Know Your Customer and Anti-Money Laundering Po

Meridian Trust Bank Ltd. (fictional - for RAG testing)

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PART 1 - CHAPTER 1: CUSTOMER ACCEPTANCE

Section 1.1 Customer Acceptance - Operating Rule Set 1.1

KAP-1.1.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/085 and that compliance is certified every quarter.

KAP-1.1.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure E-22.

KAP-1.1.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-1.1.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure G-14.

KAP-1.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-1.1.6 The Regional Credit Officer shall review cash transaction reports within 6 working days of receipt and record the outcome in the Document Management system.

KAP-1.1.7 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/203 and that compliance is certified every quarter.

KAP-1.1.8 Cases involving account-opening forms with an exposure above Rs. 360 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.6.

KAP-1.1.9 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 1.2 Customer Acceptance - Operating Rule Set 1.2

KAP-1.2.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-1.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-1.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-1.2.4 The Branch Manager shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-1.2.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure A-9.

KAP-1.2.6 Cases involving PEP screening results with an exposure above Rs. 324 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.13.

KAP-1.2.7 The Branch Manager shall review address proofs within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-1.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-1.2.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure C-10.

KAP-1.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-1.2.11 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

Section 1.3 Customer Acceptance - Operating Rule Set 1.3

KAP-1.3.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/126 and that compliance is certified every quarter.

KAP-1.3.2 Cases involving identity documents with an exposure above Rs. 392 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.10.

KAP-1.3.3 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-1.3.4 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the

Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure A-36.

KAP-1.3.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-1.3.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/176 and that compliance is certified every quarter.

KAP-1.3.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/112 and that compliance is certified every quarter.

KAP-1.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-1.3.9 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-1.3.10 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure G-26.

KAP-1.3.11 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/143 and that compliance is certified every quarter.

Section 1.4 Customer Acceptance - Operating Rule Set 1.4

KAP-1.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-1.4.2 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-5.

KAP-1.4.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure H-5.

KAP-1.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-1.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 157 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.8.

KAP-1.4.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure G-22.

KAP-1.4.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-1.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-1.4.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/097 and that compliance is certified every quarter.

Section 1.5 Customer Acceptance - Operating Rule Set 1.5

KAP-1.5.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/106 and that compliance is certified every quarter.

KAP-1.5.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Document Management system.

KAP-1.5.3 Cases involving cash transaction reports with an exposure above Rs. 395 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.16.

KAP-1.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 346 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.10.

KAP-1.5.5 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure B-36.

KAP-1.5.6 Cases involving account-opening forms with an exposure above Rs. 37 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.23.

KAP-1.5.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/104 and that compliance is certified every quarter.

KAP-1.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-1.5.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-1.5.10 Cases involving beneficial-owner declarations with an exposure above Rs. 41 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.9.

KAP-1.5.11 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure B-30.

PART 1 - CHAPTER 2: CUSTOMER IDENTIFICATION

Section 2.1 Customer Identification - Operating Rule Set 2.1

KAP-2.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-2.1.2 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-2.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-2.1.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure A-11.

KAP-2.1.5 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-2.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-2.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-2.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-2.1.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-2.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-2.1.11 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 2.2 Customer Identification - Operating Rule Set 2.2

KAP-2.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-2.2.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-2.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 343 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.2.

KAP-2.2.4 The Operations Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-2.2.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure B-3.

KAP-2.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-2.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-2.2.8 Cases involving identity documents with an exposure above Rs. 38 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.11.

KAP-2.2.9 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure D-33.

KAP-2.2.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-2.2.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 2.3 Customer Identification - Operating Rule Set 2.3

KAP-2.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-2.3.2 The Credit Committee shall review PEP screening results within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-2.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-2.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-2.3.5 The Regional Credit Officer shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-2.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-2.3.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/264 and that compliance is certified every quarter.

KAP-2.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-2.3.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure B-26.

KAP-2.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 2.4 Customer Identification - Operating Rule Set 2.4

KAP-2.4.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/158 and that compliance is certified every quarter.

KAP-2.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-2.4.3 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure C-10.

KAP-2.4.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-2.4.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure B-26.

KAP-2.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-2.4.7 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-2.4.8 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-2.4.9 Cases involving risk-rating files with an exposure above Rs. 377 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.27.

KAP-2.4.10 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure C-22.

KAP-2.4.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 17 days written notice.

Section 2.5 Customer Identification - Operating Rule Set 2.5

KAP-2.5.1 The Regional Credit Officer shall review cash transaction reports within 9 working days of receipt and record the outcome in the Case Management system.

KAP-2.5.2 Cases involving video-KYC sessions with an exposure above Rs. 482 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.12.

KAP-2.5.3 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-2.5.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-2.5.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure C-5.

KAP-2.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-2.5.7 The Operations Head shall review identity documents within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-2.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-2.5.9 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-2.5.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

Section 2.6 Customer Identification - Operating Rule Set 2.6

KAP-2.6.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure A-2.

KAP-2.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-2.6.3 Cases involving video-KYC sessions with an exposure above Rs. 146 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.5.

KAP-2.6.4 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-2.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-2.6.6 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-2.6.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/260 and that compliance is certified every quarter.

KAP-2.6.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-2.6.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 22 days written notice.

PART 1 - CHAPTER 3: CUSTOMER DUE DILIGENCE

Section 3.1 Customer Due Diligence - Operating Rule Set 3.1

KAP-3.1.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/190 and that compliance is certified every quarter.

KAP-3.1.2 The Zonal Head shall review address proofs within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-3.1.3 The Zonal Head shall review identity documents within 17 working days of receipt and record the outcome in the Case Management system.

KAP-3.1.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/298 and that compliance is certified every quarter.

KAP-3.1.5 Cases involving video-KYC sessions with an exposure above Rs. 337 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.17.

KAP-3.1.6 The Credit Committee shall review identity documents within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-3.1.7 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-3.1.8 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/114 and that compliance is certified every quarter.

KAP-3.1.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 3.2 Customer Due Diligence - Operating Rule Set 3.2

KAP-3.2.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure H-25.

KAP-3.2.2 Cases involving PEP screening results with an exposure above Rs. 308 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.30.

KAP-3.2.3 Cases involving address proofs with an exposure above Rs. 126 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.14.

KAP-3.2.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/047 and that compliance is certified every quarter.

KAP-3.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 169 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.15.

KAP-3.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-3.2.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-3.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

Section 3.3 Customer Due Diligence - Operating Rule Set 3.3

KAP-3.3.1 Cases involving PEP screening results with an exposure above Rs. 424 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.22.

KAP-3.3.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-3.3.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-3.3.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-33.

KAP-3.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-3.3.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-3.3.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/086 and that compliance is certified every quarter.

KAP-3.3.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

Section 3.4 Customer Due Diligence - Operating Rule Set 3.4

KAP-3.4.1 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-3.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-3.4.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/263 and that compliance is certified every quarter.

KAP-3.4.4 The Compliance Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-3.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-3.4.6 The Branch Manager shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-3.4.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-3.4.8 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-3.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-3.4.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure E-25.

KAP-3.4.11 Cases involving PEP screening results with an exposure above Rs. 51 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.6.

KAP-3.4.12 Cases involving risk-rating files with an exposure above Rs. 265 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.5.

Section 3.5 Customer Due Diligence - Operating Rule Set 3.5

KAP-3.5.1 The Regional Credit Officer shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Case Management system.

KAP-3.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-3.5.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-3.5.4 The Regional Credit Officer shall review address proofs within 17 working days of receipt and record the outcome in the Document Management system.

KAP-3.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-3.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-3.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-3.5.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-3.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 282 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.5.

PART 1 - CHAPTER 4: ENHANCED DUE DILIGENCE

Section 4.1 Enhanced Due Diligence - Operating Rule Set 4.1

KAP-4.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-4.1.2 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-4.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-4.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-4.1.5 The Compliance Officer shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

KAP-4.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 98 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.7.

KAP-4.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-4.1.8 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure B-11.

Section 4.2 Enhanced Due Diligence - Operating Rule Set 4.2

KAP-4.2.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a

tolerance of 6% as approved by the Board.

KAP-4.2.2 The Regional Credit Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-4.2.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-4.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-4.2.5 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-4.2.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure G-38.

KAP-4.2.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure F-20.

KAP-4.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-4.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-4.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-4.2.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 4.3 Enhanced Due Diligence - Operating Rule Set 4.3

KAP-4.3.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure H-24.

KAP-4.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-4.3.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-4.3.4 Cases involving address proofs with an exposure above Rs. 232 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.9.

KAP-4.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-4.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-4.3.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure B-18.

KAP-4.3.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-4.3.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure G-29.

KAP-4.3.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-4.3.11 Cases involving cash transaction reports with an exposure above Rs. 358 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.4.

KAP-4.3.12 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-4.3.13 The Credit Committee shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Customer Relationship system.

Section 4.4 Enhanced Due Diligence - Operating Rule Set 4.4

KAP-4.4.1 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/092 and that compliance is certified every quarter.

KAP-4.4.2 Cases involving risk-rating files with an exposure above Rs. 446 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.19.

KAP-4.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-4.4.4 The Branch Manager shall review identity documents within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-4.4.5 Cases involving cash transaction reports with an exposure above Rs. 258 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.9.

KAP-4.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-4.4.7 The Branch Manager shall review identity documents within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-4.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-4.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-4.4.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-4.4.11 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/049 and that compliance is certified every quarter.

KAP-4.4.12 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure C-7.

KAP-4.4.13 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 4.5 Enhanced Due Diligence - Operating Rule Set 4.5

KAP-4.5.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure E-39.

KAP-4.5.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-4.5.3 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-4.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-4.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-4.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-4.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-4.5.8 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-38.

KAP-4.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 158 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.3.

KAP-4.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-4.5.11 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

PART 1 - CHAPTER 5: RISK CATEGORISATION

Section 5.1 Risk Categorisation - Operating Rule Set 5.1

KAP-5.1.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-5.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-5.1.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-35.

KAP-5.1.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-5.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 474 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.16.

KAP-5.1.6 The Zonal Head shall review address proofs within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-5.1.7 Cases involving video-KYC sessions with an exposure above Rs. 8 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.16.

KAP-5.1.8 Cases involving video-KYC sessions with an exposure above Rs. 377 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.19.

KAP-5.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-5.1.10 Cases involving risk-rating files with an exposure above Rs. 263 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.12.

KAP-5.1.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 5.2 Risk Categorisation - Operating Rule Set 5.2

KAP-5.2.1 Cases involving identity documents with an exposure above Rs. 81 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.8.

KAP-5.2.2 The Branch Manager shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-5.2.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-5.2.4 Cases involving PEP screening results with an exposure above Rs. 22 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.30.

KAP-5.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-5.2.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-5.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-5.2.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-5.2.9 Cases involving account-opening forms with an exposure above Rs. 59 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.23.

Section 5.3 Risk Categorisation - Operating Rule Set 5.3

KAP-5.3.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure A-36.

KAP-5.3.2 The Regional Credit Officer shall review PEP screening results within 28 working days of receipt and record the outcome in the Document Management system.

KAP-5.3.3 The Risk Management Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-5.3.4 Cases involving identity documents with an exposure above Rs. 492 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.10.

KAP-5.3.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-5.3.6 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method,

with a tolerance of 6% as approved by the Board.

KAP-5.3.7 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/173 and that compliance is certified every quarter.

KAP-5.3.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/239 and that compliance is certified every quarter.

KAP-5.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-5.3.10 The Zonal Head shall review risk-rating files within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-5.3.11 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/137 and that compliance is certified every quarter.

Section 5.4 Risk Categorisation - Operating Rule Set 5.4

KAP-5.4.1 The Zonal Head shall review address proofs within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-5.4.2 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-5.4.3 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-5.4.4 The Regional Credit Officer shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-5.4.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-5.4.6 The Risk Management Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-5.4.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure H-21.

KAP-5.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 53 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.8.

KAP-5.4.9 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure C-16.

KAP-5.4.10 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure F-40.

Section 5.5 Risk Categorisation - Operating Rule Set 5.5

KAP-5.5.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/087 and that compliance is certified every quarter.

KAP-5.5.2 The Branch Manager shall review address proofs within 27 working days of receipt and record the outcome in the Document Management system.

KAP-5.5.3 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/051 and that compliance is certified every quarter.

KAP-5.5.4 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-5.5.5 Cases involving address proofs with an exposure above Rs. 424 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.24.

KAP-5.5.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-5.5.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-5.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-5.5.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-5.5.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-5.5.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

Section 5.6 Risk Categorisation - Operating Rule Set 5.6

KAP-5.6.1 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure D-4.

KAP-5.6.2 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-5.6.3 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-5.6.4 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure C-26.

KAP-5.6.5 The Operations Head shall review identity documents within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-5.6.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

KAP-5.6.7 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/238 and that compliance is certified every quarter.

KAP-5.6.8 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-5.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-5.6.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

PART 1 - CHAPTER 6: TRANSACTION MONITORING

Section 6.1 Transaction Monitoring - Operating Rule Set 6.1

KAP-6.1.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure E-34.

KAP-6.1.2 The Branch Manager shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-6.1.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-6.1.4 Cases involving correspondent-bank relationships with an exposure above Rs. 350 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.11.

KAP-6.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-6.1.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/105 and that compliance is certified every quarter.

KAP-6.1.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/245 and that compliance is certified every quarter.

KAP-6.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 144 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.18.

KAP-6.1.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-6.1.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-6.1.11 Cases involving cash transaction reports with an exposure above Rs. 474 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.25.

KAP-6.1.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 6.2 Transaction Monitoring - Operating Rule Set 6.2

KAP-6.2.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-6.2.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure B-23.

KAP-6.2.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-6.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-6.2.5 The Audit Department shall review PEP screening results within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-6.2.6 Cases involving beneficial-owner declarations with an exposure above Rs. 498 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.7.

KAP-6.2.7 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/136 and that compliance is certified every quarter.

KAP-6.2.8 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-6.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-6.2.10 Cases involving risk-rating files with an exposure above Rs. 459 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.15.

KAP-6.2.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-6.2.12 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

Section 6.3 Transaction Monitoring - Operating Rule Set 6.3

KAP-6.3.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure F-8.

KAP-6.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 203 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.24.

KAP-6.3.3 The Credit Committee shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-6.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-6.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure A-29.

KAP-6.3.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

KAP-6.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-6.3.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure H-22.

KAP-6.3.9 The Credit Committee shall review account-opening forms within 19 working days of receipt and record the outcome in the Document Management system.

KAP-6.3.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure A-1.

Section 6.4 Transaction Monitoring - Operating Rule Set 6.4

KAP-6.4.1 The Operations Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-6.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-6.4.3 The Compliance Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Document Management system.

KAP-6.4.4 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-6.4.5 The Credit Committee shall review PEP screening results within 11 working days of receipt and record the outcome in the Case Management system.

KAP-6.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-6.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-6.4.8 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-6.4.9 Cases involving PEP screening results with an exposure above Rs. 204 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.22.

KAP-6.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-6.4.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 131 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.19.

Section 6.5 Transaction Monitoring - Operating Rule Set 6.5

KAP-6.5.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-6.5.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-6.5.3 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-6.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-6.5.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure E-3.

KAP-6.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-6.5.7 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/022 and that compliance is certified every quarter.

KAP-6.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-6.5.9 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-6.5.10 The Operations Head shall review address proofs within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-6.5.11 The Branch Manager shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-6.5.12 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure C-23.

Section 6.6 Transaction Monitoring - Operating Rule Set 6.6

KAP-6.6.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-6.6.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-6.6.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure H-13.

KAP-6.6.4 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance

of 3% as approved by the Board.

KAP-6.6.5 The Regional Credit Officer shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

KAP-6.6.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/098 and that compliance is certified every quarter.

KAP-6.6.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure C-29.

KAP-6.6.8 The Operations Head shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-6.6.9 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/291 and that compliance is certified every quarter.

KAP-6.6.10 The Operations Head shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-6.6.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

PART 1 - CHAPTER 7: SUSPICIOUS TRANSACTION REPORTING

Section 7.1 Suspicious Transaction Reporting - Operating Rule Set 7.1

KAP-7.1.1 The Zonal Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-7.1.2 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure A-23.

KAP-7.1.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-7.1.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-7.1.5 The Credit Committee shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Case Management system.

KAP-7.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 238 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.9.

KAP-7.1.7 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure H-26.

KAP-7.1.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-7.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-7.1.10 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-7.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

Section 7.2 Suspicious Transaction Reporting - Operating Rule Set 7.2

KAP-7.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-7.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-7.2.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-7.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-7.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-7.2.6 The Compliance Officer shall review correspondent-bank relationships within 15 working days of receipt and

record the outcome in the Risk Engine system.

KAP-7.2.7 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/107 and that compliance is certified every quarter.

KAP-7.2.8 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/276 and that compliance is certified every quarter.

Section 7.3 Suspicious Transaction Reporting - Operating Rule Set 7.3

KAP-7.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-7.3.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/255 and that compliance is certified every quarter.

KAP-7.3.3 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-7.3.4 The Risk Management Department shall review address proofs within 30 working days of receipt and record the outcome in the Case Management system.

KAP-7.3.5 The Audit Department shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-7.3.6 The Branch Manager shall review PEP screening results within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-7.3.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure E-14.

KAP-7.3.8 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/273 and that compliance is certified every quarter.

KAP-7.3.9 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 7.4 Suspicious Transaction Reporting - Operating Rule Set 7.4

KAP-7.4.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/162 and that compliance is certified every quarter.

KAP-7.4.2 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure G-13.

KAP-7.4.3 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-7.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-7.4.5 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-7.4.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/131 and that compliance is certified every quarter.

KAP-7.4.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/207 and that compliance is certified every quarter.

KAP-7.4.8 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

KAP-7.4.9 The Credit Committee shall review identity documents within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-7.4.10 The Audit Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-7.4.11 In case of a request for exception, the Credit Committee must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure E-1.

Section 7.5 Suspicious Transaction Reporting - Operating Rule Set 7.5

KAP-7.5.1 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-7.5.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after

giving the customer 11 days written notice.

KAP-7.5.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-7.5.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/267 and that compliance is certified every quarter.

KAP-7.5.5 The Credit Committee shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-7.5.6 The Risk Management Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Document Management system.

KAP-7.5.7 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/163 and that compliance is certified every quarter.

KAP-7.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 7.6 Suspicious Transaction Reporting - Operating Rule Set 7.6

KAP-7.6.1 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure E-17.

KAP-7.6.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure D-7.

KAP-7.6.3 Cases involving address proofs with an exposure above Rs. 243 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.22.

KAP-7.6.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-7.6.5 The Audit Department shall review account-opening forms within 28 working days of receipt and record the outcome in the Document Management system.

KAP-7.6.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-7.6.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-7.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-7.6.9 The Credit Committee shall review cash transaction reports within 14 working days of receipt and record the outcome in the Document Management system.

KAP-7.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-7.6.11 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

PART 1 - CHAPTER 8: POLITICALLY EXPOSED PERSONS

Section 8.1 Politically Exposed Persons - Operating Rule Set 8.1

KAP-8.1.1 The Operations Head shall review identity documents within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-8.1.2 The Operations Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Document Management system.

KAP-8.1.3 Cases involving PEP screening results with an exposure above Rs. 307 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.16.

KAP-8.1.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure D-37.

KAP-8.1.5 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure H-20.

KAP-8.1.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/245 and that compliance is certified every quarter.

KAP-8.1.7 The Zonal Head shall review PEP screening results within 9 working days of receipt and record the outcome in

the Customer Relationship system.

KAP-8.1.8 The Zonal Head shall review PEP screening results within 28 working days of receipt and record the outcome in the Case Management system.

KAP-8.1.9 The Compliance Officer shall review cash transaction reports within 8 working days of receipt and record the outcome in the Document Management system.

Section 8.2 Politically Exposed Persons - Operating Rule Set 8.2

KAP-8.2.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-8.2.2 The Regional Credit Officer shall review PEP screening results within 6 working days of receipt and record the outcome in the Case Management system.

KAP-8.2.3 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure H-29.

KAP-8.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-8.2.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-8.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-8.2.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-8.2.8 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-8.2.9 Cases involving PEP screening results with an exposure above Rs. 373 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.16.

Section 8.3 Politically Exposed Persons - Operating Rule Set 8.3

KAP-8.3.1 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure D-30.

KAP-8.3.2 The Branch Manager shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Case Management system.

KAP-8.3.3 The Audit Department shall review cash transaction reports within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-8.3.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure C-32.

KAP-8.3.5 Cases involving PEP screening results with an exposure above Rs. 476 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.2.

KAP-8.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-8.3.7 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-8.3.8 The Branch Manager shall review PEP screening results within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-8.3.9 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/208 and that compliance is certified every quarter.

KAP-8.3.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-8.3.11 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 8.4 Politically Exposed Persons - Operating Rule Set 8.4

KAP-8.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-8.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day

of the following month.

KAP-8.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-8.4.4 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-8.4.5 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-8.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-8.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.14.

KAP-8.4.8 The Risk Management Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-8.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

PART 1 - CHAPTER 9: BENEFICIAL OWNERSHIP

Section 9.1 Beneficial Ownership - Operating Rule Set 9.1

KAP-9.1.1 The Regional Credit Officer shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-9.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 285 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.22.

KAP-9.1.3 Cases involving identity documents with an exposure above Rs. 258 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.10.

KAP-9.1.4 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-9.1.5 The Compliance Officer shall review identity documents within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-9.1.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure C-35.

KAP-9.1.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure E-23.

KAP-9.1.8 Cases involving PEP screening results with an exposure above Rs. 361 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.30.

KAP-9.1.9 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/281 and that compliance is certified every quarter.

KAP-9.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-9.1.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

Section 9.2 Beneficial Ownership - Operating Rule Set 9.2

KAP-9.2.1 Cases involving PEP screening results with an exposure above Rs. 431 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.5.

KAP-9.2.2 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-9.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-9.2.4 The Audit Department shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-9.2.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/249 and that compliance is certified every quarter.

KAP-9.2.6 Cases involving address proofs with an exposure above Rs. 173 lakh require prior written approval from the Risk

Management Department; otherwise the case is an exception under Clause 11.17.

KAP-9.2.7 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure F-29.

KAP-9.2.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-9.2.9 The Regional Credit Officer shall review address proofs within 29 working days of receipt and record the outcome in the Case Management system.

Section 9.3 Beneficial Ownership - Operating Rule Set 9.3

KAP-9.3.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/100 and that compliance is certified every quarter.

KAP-9.3.2 The Audit Department shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-9.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-9.3.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-9.3.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/039 and that compliance is certified every quarter.

KAP-9.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-9.3.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure D-40.

KAP-9.3.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-9.3.9 Cases involving identity documents with an exposure above Rs. 296 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.2.

Section 9.4 Beneficial Ownership - Operating Rule Set 9.4

KAP-9.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-9.4.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure A-22.

KAP-9.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-9.4.4 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-9.4.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-9.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-9.4.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-9.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-9.4.9 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-9.4.10 Cases involving video-KYC sessions with an exposure above Rs. 273 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.8.

KAP-9.4.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 9.5 Beneficial Ownership - Operating Rule Set 9.5

KAP-9.5.1 The Credit Committee shall review cash transaction reports within 10 working days of receipt and record the

outcome in the Risk Engine system.

KAP-9.5.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/218 and that compliance is certified every quarter.

KAP-9.5.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-9.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-9.5.5 The Credit Committee shall review PEP screening results within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-9.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-9.5.7 Cases involving address proofs with an exposure above Rs. 132 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.3.

KAP-9.5.8 The Compliance Officer shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-9.5.9 The Risk Management Department shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

Section 9.6 Beneficial Ownership - Operating Rule Set 9.6

KAP-9.6.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-9.6.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-9.6.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/245 and that compliance is certified every quarter.

KAP-9.6.4 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-9.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-9.6.6 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-9.6.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-9.6.8 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/129 and that compliance is certified every quarter.

KAP-9.6.9 Cases involving identity documents with an exposure above Rs. 150 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.2.

KAP-9.6.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure D-6.

KAP-9.6.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

Section 9.7 Beneficial Ownership - Operating Rule Set 9.7

KAP-9.7.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/292 and that compliance is certified every quarter.

KAP-9.7.2 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-9.7.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-9.7.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-9.7.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-9.7.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-9.7.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-9.7.8 The Branch Manager shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-9.7.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/020 and that compliance is certified every quarter.

KAP-9.7.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-9.7.11 The Operations Head shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Customer Relationship system.

PART 1 - CHAPTER 10: RECORD KEEPING

Section 10.1 Record Keeping - Operating Rule Set 10.1

KAP-10.1.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-10.1.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/260 and that compliance is certified every quarter.

KAP-10.1.3 The Compliance Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Case Management system.

KAP-10.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-10.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-10.1.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-10.1.7 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/171 and that compliance is certified every quarter.

KAP-10.1.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure B-27.

KAP-10.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-10.1.10 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure A-22.

KAP-10.1.11 The Credit Committee shall review account-opening forms within 5 working days of receipt and record the outcome in the Case Management system.

Section 10.2 Record Keeping - Operating Rule Set 10.2

KAP-10.2.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-10.2.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-10.2.3 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-10.2.4 The Credit Committee shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Case Management system.

KAP-10.2.5 Cases involving account-opening forms with an exposure above Rs. 482 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.8.

KAP-10.2.6 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-10.2.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure C-8.

KAP-10.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-10.2.9 The Audit Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-10.2.10 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 10.3 Record Keeping - Operating Rule Set 10.3

KAP-10.3.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-10.3.2 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-10.3.3 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-10.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-10.3.5 Cases involving address proofs with an exposure above Rs. 382 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.15.

KAP-10.3.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-10.3.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-10.3.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-10.3.9 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-10.3.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-10.3.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-10.3.12 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

KAP-10.3.13 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

Section 10.4 Record Keeping - Operating Rule Set 10.4

KAP-10.4.1 Cases involving cash transaction reports with an exposure above Rs. 338 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.11.

KAP-10.4.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/130 and that compliance is certified every quarter.

KAP-10.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 10 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.29.

KAP-10.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-10.4.5 Cases involving cash transaction reports with an exposure above Rs. 10 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.17.

KAP-10.4.6 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure E-9.

KAP-10.4.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure C-27.

KAP-10.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-10.4.9 Cases involving account-opening forms with an exposure above Rs. 371 lakh require prior written approval from

the Zonal Head; otherwise the case is an exception under Clause 14.29.

KAP-10.4.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-10.4.11 The Branch Manager shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-10.4.12 Cases involving beneficial-owner declarations with an exposure above Rs. 88 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.14.

KAP-10.4.13 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-10.4.14 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 10.5 Record Keeping - Operating Rule Set 10.5

KAP-10.5.1 The Branch Manager shall review address proofs within 10 working days of receipt and record the outcome in the Case Management system.

KAP-10.5.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure C-30.

KAP-10.5.3 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-10.5.4 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-10.5.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure H-9.

KAP-10.5.6 In case of a request for exception, the Credit Committee must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure G-3.

KAP-10.5.7 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-6.

KAP-10.5.8 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 10.6 Record Keeping - Operating Rule Set 10.6

KAP-10.6.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-10.6.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-10.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-10.6.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/166 and that compliance is certified every quarter.

KAP-10.6.5 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-10.6.6 The Operations Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-10.6.7 Cases involving risk-rating files with an exposure above Rs. 395 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.17.

KAP-10.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-10.6.9 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-10.6.10 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/186 and that compliance is certified every quarter.

PART 1 - CHAPTER 11: STAFF TRAINING

Section 11.1 Staff Training - Operating Rule Set 11.1

KAP-11.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-11.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-11.1.3 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-11.1.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-11.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-11.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-11.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-11.1.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure E-17.

KAP-11.1.9 The Operations Head shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-11.1.10 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure A-22.

KAP-11.1.11 Cases involving risk-rating files with an exposure above Rs. 277 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.8.

KAP-11.1.12 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

Section 11.2 Staff Training - Operating Rule Set 11.2

KAP-11.2.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/123 and that compliance is certified every quarter.

KAP-11.2.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-11.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-11.2.4 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-11.2.5 The Risk Management Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-11.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-11.2.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure E-30.

KAP-11.2.8 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/044 and that compliance is certified every quarter.

KAP-11.2.9 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-11.2.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure B-24.

Section 11.3 Staff Training - Operating Rule Set 11.3

KAP-11.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-11.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-11.3.3 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a

tolerance of 1% as approved by the Board.

KAP-11.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 390 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.1.

KAP-11.3.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-11.3.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-11.3.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-11.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-11.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-11.3.10 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-11.3.11 The Regional Credit Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

Section 11.4 Staff Training - Operating Rule Set 11.4

KAP-11.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-11.4.2 Cases involving PEP screening results with an exposure above Rs. 157 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.12.

KAP-11.4.3 The Operations Head shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-11.4.4 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-11.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-11.4.6 The Zonal Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-11.4.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure E-30.

KAP-11.4.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

KAP-11.4.9 Cases involving video-KYC sessions with an exposure above Rs. 473 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.7.

KAP-11.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 345 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.21.

KAP-11.4.11 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-11.4.12 The Risk Management Department shall review account-opening forms within 21 working days of receipt and record the outcome in the Core Banking system.

Section 11.5 Staff Training - Operating Rule Set 11.5

KAP-11.5.1 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure E-4.

KAP-11.5.2 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-11.5.3 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure D-31.

KAP-11.5.4 Cases involving PEP screening results with an exposure above Rs. 376 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.12.

KAP-11.5.5 The Zonal Head shall review account-opening forms within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-11.5.6 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-11.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-11.5.8 Cases involving PEP screening results with an exposure above Rs. 105 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.10.

KAP-11.5.9 The Branch Manager shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-11.5.10 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/123 and that compliance is certified every quarter.

KAP-11.5.11 Cases involving video-KYC sessions with an exposure above Rs. 150 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.23.

KAP-11.5.12 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/254 and that compliance is certified every quarter.

Section 11.6 Staff Training - Operating Rule Set 11.6

KAP-11.6.1 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/137 and that compliance is certified every quarter.

KAP-11.6.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-11.6.3 The Operations Head shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-11.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-11.6.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-11.6.6 The Regional Credit Officer shall review PEP screening results within 12 working days of receipt and record the outcome in the Document Management system.

KAP-11.6.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/118 and that compliance is certified every quarter.

KAP-11.6.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-11.6.9 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure H-26.

KAP-11.6.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-11.6.11 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/283 and that compliance is certified every quarter.

Section 11.7 Staff Training - Operating Rule Set 11.7

KAP-11.7.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/215 and that compliance is certified every quarter.

KAP-11.7.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-11.7.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-11.7.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-11.7.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-11.7.6 The Risk Management Department shall review correspondent-bank relationships within 11 working days of

receipt and record the outcome in the Risk Engine system.

KAP-11.7.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-11.7.8 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure C-15.

KAP-11.7.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 15 days written notice.

PART 1 - CHAPTER 12: INDEPENDENT AUDIT

Section 12.1 Independent Audit - Operating Rule Set 12.1

KAP-12.1.1 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure C-8.

KAP-12.1.2 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-12.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-12.1.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/201 and that compliance is certified every quarter.

KAP-12.1.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure H-23.

KAP-12.1.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-12.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-12.1.8 The Regional Credit Officer shall review cash transaction reports within 7 working days of receipt and record the outcome in the Document Management system.

KAP-12.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-12.1.10 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/155 and that compliance is certified every quarter.

Section 12.2 Independent Audit - Operating Rule Set 12.2

KAP-12.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-12.2.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure E-39.

KAP-12.2.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-12.2.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-12.2.5 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/227 and that compliance is certified every quarter.

KAP-12.2.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-23.

KAP-12.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-12.2.8 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Case Management system.

KAP-12.2.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-12.2.10 The Credit Committee shall review cash transaction reports within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-12.2.11 Cases involving beneficial-owner declarations with an exposure above Rs. 347 lakh require prior written

approval from the Operations Head; otherwise the case is an exception under Clause 9.5.

Section 12.3 Independent Audit - Operating Rule Set 12.3

KAP-12.3.1 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/079 and that compliance is certified every quarter.

KAP-12.3.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-12.3.3 The Compliance Officer shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-12.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-12.3.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/106 and that compliance is certified every quarter.

KAP-12.3.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure A-14.

KAP-12.3.7 Cases involving risk-rating files with an exposure above Rs. 110 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.3.

KAP-12.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-12.3.9 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 12.4 Independent Audit - Operating Rule Set 12.4

KAP-12.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-12.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-12.4.3 The Risk Management Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Document Management system.

KAP-12.4.4 Cases involving address proofs with an exposure above Rs. 134 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.2.

KAP-12.4.5 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-12.4.6 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/013 and that compliance is certified every quarter.

KAP-12.4.7 The Audit Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Case Management system.

KAP-12.4.8 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure D-25.

KAP-12.4.9 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/231 and that compliance is certified every quarter.

KAP-12.4.10 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Core Banking system.

Section 12.5 Independent Audit - Operating Rule Set 12.5

KAP-12.5.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-12.5.2 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-12.5.3 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-12.5.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-12.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be

made available to internal auditors on request.

KAP-12.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-12.5.7 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-12.5.8 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-12.5.9 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/254 and that compliance is certified every quarter.

KAP-12.5.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/027 and that compliance is certified every quarter.

Section 12.6 Independent Audit - Operating Rule Set 12.6

KAP-12.6.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/131 and that compliance is certified every quarter.

KAP-12.6.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-29.

KAP-12.6.3 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-12.6.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure A-8.

KAP-12.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-12.6.6 Cases involving PEP screening results with an exposure above Rs. 140 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.3.

KAP-12.6.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-12.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-12.6.9 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/179 and that compliance is certified every quarter.

KAP-12.6.10 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure G-32.

Section 12.7 Independent Audit - Operating Rule Set 12.7

KAP-12.7.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 432 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.1.

KAP-12.7.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-12.7.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-12.7.4 Cases involving correspondent-bank relationships with an exposure above Rs. 236 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.28.

KAP-12.7.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-12.7.6 The Operations Head shall review risk-rating files within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-12.7.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/273 and that compliance is certified every quarter.

KAP-12.7.8 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-12.7.9 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-12.7.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-12.7.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-12.7.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 12.8 Independent Audit - Operating Rule Set 12.8

KAP-12.8.1 The Operations Head shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-12.8.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-12.8.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure D-9.

KAP-12.8.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-12.8.5 Cases involving risk-rating files with an exposure above Rs. 182 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.9.

KAP-12.8.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-12.8.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-12.8.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-12.8.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

PART 2 - CHAPTER 13: CUSTOMER ACCEPTANCE

Section 13.1 Customer Acceptance - Operating Rule Set 13.1

KAP-13.1.1 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/072 and that compliance is certified every quarter.

KAP-13.1.2 The Branch Manager shall review risk-rating files within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-13.1.3 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-13.1.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure A-29.

KAP-13.1.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure E-1.

KAP-13.1.6 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure F-31.

KAP-13.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-13.1.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-13.1.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure C-21.

KAP-13.1.10 The Credit Committee shall review identity documents within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-13.1.11 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/064 and that compliance is certified every quarter.

Section 13.2 Customer Acceptance - Operating Rule Set 13.2

KAP-13.2.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance

Officer within 2 working days, with the supporting documents listed in Annexure A-29.

KAP-13.2.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure A-1.

KAP-13.2.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/068 and that compliance is certified every quarter.

KAP-13.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-13.2.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure D-29.

KAP-13.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-13.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-13.2.8 The Branch Manager shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Case Management system.

KAP-13.2.9 The Branch Manager shall review risk-rating files within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-13.2.10 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/171 and that compliance is certified every quarter.

KAP-13.2.11 Cases involving correspondent-bank relationships with an exposure above Rs. 82 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.29.

KAP-13.2.12 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 13.3 Customer Acceptance - Operating Rule Set 13.3

KAP-13.3.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-13.3.2 Cases involving address proofs with an exposure above Rs. 62 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.9.

KAP-13.3.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-13.3.4 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure D-15.

KAP-13.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-13.3.6 The Audit Department shall review address proofs within 26 working days of receipt and record the outcome in the Document Management system.

KAP-13.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 328 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.19.

KAP-13.3.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-13.3.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 13.4 Customer Acceptance - Operating Rule Set 13.4

KAP-13.4.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure D-7.

KAP-13.4.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-13.4.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/031 and that compliance is certified every quarter.

KAP-13.4.4 The Regional Credit Officer shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Document Management system.

KAP-13.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-13.4.6 The Regional Credit Officer shall review account-opening forms within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-13.4.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-13.4.8 Cases involving cash transaction reports with an exposure above Rs. 239 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.22.

KAP-13.4.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-13.4.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-13.4.11 The Branch Manager shall review PEP screening results within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-13.4.12 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/194 and that compliance is certified every quarter.

PART 2 - CHAPTER 14: CUSTOMER IDENTIFICATION

Section 14.1 Customer Identification - Operating Rule Set 14.1

KAP-14.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-14.1.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-14.1.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/151 and that compliance is certified every quarter.

KAP-14.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-14.1.5 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-14.1.6 The Credit Committee shall review account-opening forms within 7 working days of receipt and record the outcome in the Document Management system.

KAP-14.1.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-14.1.8 Cases involving PEP screening results with an exposure above Rs. 99 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.8.

KAP-14.1.9 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/131 and that compliance is certified every quarter.

Section 14.2 Customer Identification - Operating Rule Set 14.2

KAP-14.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-14.2.2 The Audit Department shall review risk-rating files within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-14.2.3 Cases involving identity documents with an exposure above Rs. 5 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.21.

KAP-14.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 395 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.25.

KAP-14.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-14.2.6 The Credit Committee shall review PEP screening results within 10 working days of receipt and record the outcome in the Document Management system.

KAP-14.2.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-14.2.8 Cases involving identity documents with an exposure above Rs. 402 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.19.

KAP-14.2.9 The Branch Manager shall review risk-rating files within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-14.2.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-14.2.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 14.3 Customer Identification - Operating Rule Set 14.3

KAP-14.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-14.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-14.3.3 Cases involving risk-rating files with an exposure above Rs. 490 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.30.

KAP-14.3.4 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-14.3.5 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/067 and that compliance is certified every quarter.

KAP-14.3.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/204 and that compliance is certified every quarter.

KAP-14.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-14.3.8 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-14.3.9 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure D-25.

KAP-14.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-14.3.11 The Compliance Officer shall review address proofs within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-14.3.12 Cases involving PEP screening results with an exposure above Rs. 493 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.25.

KAP-14.3.13 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

Section 14.4 Customer Identification - Operating Rule Set 14.4

KAP-14.4.1 The Risk Management Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Case Management system.

KAP-14.4.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-14.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-14.4.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure F-6.

KAP-14.4.5 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/150 and that compliance is certified every quarter.

KAP-14.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-14.4.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/149 and that compliance is certified every quarter.

KAP-14.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made

available to the Board Audit Committee on request.

Section 14.5 Customer Identification - Operating Rule Set 14.5

KAP-14.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-14.5.2 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-14.5.3 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-14.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 400 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.25.

KAP-14.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-14.5.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/225 and that compliance is certified every quarter.

KAP-14.5.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure F-28.

KAP-14.5.8 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-14.5.9 The Risk Management Department shall review cash transaction reports within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-14.5.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-14.5.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 14.6 Customer Identification - Operating Rule Set 14.6

KAP-14.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-14.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-14.6.3 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-14.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-14.6.5 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure H-39.

KAP-14.6.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure C-22.

KAP-14.6.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-14.6.8 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/137 and that compliance is certified every quarter.

Section 14.7 Customer Identification - Operating Rule Set 14.7

KAP-14.7.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-14.7.2 Cases involving beneficial-owner declarations with an exposure above Rs. 177 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.6.

KAP-14.7.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/100 and that compliance is certified every quarter.

KAP-14.7.4 The Audit Department shall review cash transaction reports within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-14.7.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made

available to the regulator on request.

KAP-14.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-14.7.7 The Regional Credit Officer shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-14.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-14.7.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/090 and that compliance is certified every quarter.

KAP-14.7.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

PART 2 - CHAPTER 15: CUSTOMER DUE DILIGENCE

Section 15.1 Customer Due Diligence - Operating Rule Set 15.1

KAP-15.1.1 Cases involving risk-rating files with an exposure above Rs. 73 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.25.

KAP-15.1.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-15.1.3 The Risk Management Department shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-15.1.4 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/239 and that compliance is certified every quarter.

KAP-15.1.5 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-15.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-15.1.7 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/032 and that compliance is certified every quarter.

KAP-15.1.8 Cases involving cash transaction reports with an exposure above Rs. 85 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.10.

KAP-15.1.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure D-25.

Section 15.2 Customer Due Diligence - Operating Rule Set 15.2

KAP-15.2.1 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-15.2.2 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-15.2.3 The Zonal Head shall review PEP screening results within 24 working days of receipt and record the outcome in the Document Management system.

KAP-15.2.4 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/202 and that compliance is certified every quarter.

KAP-15.2.5 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-15.2.6 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-15.2.7 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-15.2.8 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-15.2.9 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-15.2.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head

within 3 working days, with the supporting documents listed in Annexure A-15.

KAP-15.2.11 The Credit Committee shall review PEP screening results within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-15.2.12 The Operations Head shall review PEP screening results within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-15.2.13 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 22 days written notice.

Section 15.3 Customer Due Diligence - Operating Rule Set 15.3

KAP-15.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-15.3.2 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/003 and that compliance is certified every quarter.

KAP-15.3.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/214 and that compliance is certified every quarter.

KAP-15.3.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-15.3.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/105 and that compliance is certified every quarter.

KAP-15.3.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-15.3.7 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-15.3.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/151 and that compliance is certified every quarter.

KAP-15.3.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure A-30.

KAP-15.3.10 Cases involving correspondent-bank relationships with an exposure above Rs. 412 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.17.

KAP-15.3.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 15.4 Customer Due Diligence - Operating Rule Set 15.4

KAP-15.4.1 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/165 and that compliance is certified every quarter.

KAP-15.4.2 Cases involving account-opening forms with an exposure above Rs. 221 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.21.

KAP-15.4.3 Cases involving identity documents with an exposure above Rs. 242 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.10.

KAP-15.4.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-15.4.5 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-15.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-15.4.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-15.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 344 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.1.

KAP-15.4.9 The Zonal Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Case Management system.

Section 15.5 Customer Due Diligence - Operating Rule Set 15.5

KAP-15.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and

be made available to statutory auditors on request.

KAP-15.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-15.5.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure E-32.

KAP-15.5.4 The Zonal Head shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Document Management system.

KAP-15.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-15.5.6 Cases involving risk-rating files with an exposure above Rs. 70 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.24.

KAP-15.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-15.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-15.5.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-15.5.10 Cases involving correspondent-bank relationships with an exposure above Rs. 457 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.5.

KAP-15.5.11 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/299 and that compliance is certified every quarter.

KAP-15.5.12 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure A-12.

PART 2 - CHAPTER 16: ENHANCED DUE DILIGENCE

Section 16.1 Enhanced Due Diligence - Operating Rule Set 16.1

KAP-16.1.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/018 and that compliance is certified every quarter.

KAP-16.1.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure H-37.

KAP-16.1.3 The Regional Credit Officer shall review account-opening forms within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-16.1.4 The Zonal Head shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-16.1.5 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/228 and that compliance is certified every quarter.

KAP-16.1.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure C-18.

KAP-16.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-16.1.8 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-16.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-16.1.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-16.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

Section 16.2 Enhanced Due Diligence - Operating Rule Set 16.2

KAP-16.2.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/084 and that compliance is certified every quarter.

KAP-16.2.2 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic

method, with a tolerance of 9% as approved by the Board.

KAP-16.2.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-16.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-16.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-16.2.6 Cases involving video-KYC sessions with an exposure above Rs. 449 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.16.

KAP-16.2.7 Cases involving identity documents with an exposure above Rs. 200 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.29.

KAP-16.2.8 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/097 and that compliance is certified every quarter.

KAP-16.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-16.2.10 The Compliance Officer shall review address proofs within 24 working days of receipt and record the outcome in the Case Management system.

KAP-16.2.11 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/061 and that compliance is certified every quarter.

Section 16.3 Enhanced Due Diligence - Operating Rule Set 16.3

KAP-16.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-16.3.2 Cases involving PEP screening results with an exposure above Rs. 148 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.2.

KAP-16.3.3 The Operations Head shall review identity documents within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-16.3.4 Cases involving identity documents with an exposure above Rs. 231 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.28.

KAP-16.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-16.3.6 Cases involving identity documents with an exposure above Rs. 93 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.17.

KAP-16.3.7 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure G-11.

KAP-16.3.8 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-16.3.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-16.3.10 The Compliance Officer shall review address proofs within 26 working days of receipt and record the outcome in the Case Management system.

KAP-16.3.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

Section 16.4 Enhanced Due Diligence - Operating Rule Set 16.4

KAP-16.4.1 Cases involving video-KYC sessions with an exposure above Rs. 71 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.5.

KAP-16.4.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-16.4.3 Cases involving video-KYC sessions with an exposure above Rs. 72 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.19.

KAP-16.4.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/276 and that compliance is certified every quarter.

KAP-16.4.5 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-24.

KAP-16.4.6 Cases involving video-KYC sessions with an exposure above Rs. 234 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.17.

KAP-16.4.7 The Zonal Head shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Case Management system.

KAP-16.4.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure G-29.

KAP-16.4.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

PART 2 - CHAPTER 17: RISK CATEGORISATION

Section 17.1 Risk Categorisation - Operating Rule Set 17.1

KAP-17.1.1 Cases involving video-KYC sessions with an exposure above Rs. 376 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.9.

KAP-17.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-17.1.3 Cases involving cash transaction reports with an exposure above Rs. 94 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.30.

KAP-17.1.4 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-17.1.5 The Regional Credit Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Case Management system.

KAP-17.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-17.1.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-17.1.8 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/061 and that compliance is certified every quarter.

KAP-17.1.9 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/191 and that compliance is certified every quarter.

KAP-17.1.10 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/110 and that compliance is certified every quarter.

KAP-17.1.11 The Branch Manager shall review PEP screening results within 14 working days of receipt and record the outcome in the Loan Origination system.

Section 17.2 Risk Categorisation - Operating Rule Set 17.2

KAP-17.2.1 The Risk Management Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Document Management system.

KAP-17.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-17.2.3 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-8.

KAP-17.2.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-17.

KAP-17.2.5 The Regional Credit Officer shall review PEP screening results within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-17.2.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure B-33.

KAP-17.2.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-17.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

Section 17.3 Risk Categorisation - Operating Rule Set 17.3

KAP-17.3.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/194 and that compliance is certified every quarter.

KAP-17.3.2 The Credit Committee shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Case Management system.

KAP-17.3.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-17.3.4 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-17.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-17.3.6 The Credit Committee shall review account-opening forms within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-17.3.7 The Risk Management Department shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-17.3.8 Cases involving beneficial-owner declarations with an exposure above Rs. 231 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.26.

KAP-17.3.9 The Compliance Officer shall review cash transaction reports within 20 working days of receipt and record the outcome in the Document Management system.

KAP-17.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-17.3.11 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-17.3.12 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-17.3.13 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure D-33.

Section 17.4 Risk Categorisation - Operating Rule Set 17.4

KAP-17.4.1 Cases involving PEP screening results with an exposure above Rs. 52 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.25.

KAP-17.4.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/034 and that compliance is certified every quarter.

KAP-17.4.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/047 and that compliance is certified every quarter.

KAP-17.4.4 Cases involving PEP screening results with an exposure above Rs. 367 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.28.

KAP-17.4.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-17.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-17.4.7 Cases involving risk-rating files with an exposure above Rs. 109 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.29.

KAP-17.4.8 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/216 and that compliance is certified every quarter.

KAP-17.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-17.4.10 The Branch Manager shall review cash transaction reports within 3 working days of receipt and record the outcome in the Customer Relationship system.

PART 2 - CHAPTER 18: TRANSACTION MONITORING

Section 18.1 Transaction Monitoring - Operating Rule Set 18.1

KAP-18.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be

made available to internal auditors on request.

KAP-18.1.2 The Branch Manager shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-18.1.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/025 and that compliance is certified every quarter.

KAP-18.1.4 The Operations Head shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Document Management system.

KAP-18.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-18.1.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-18.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-18.1.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 8 days written notice.

Section 18.2 Transaction Monitoring - Operating Rule Set 18.2

KAP-18.2.1 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure A-34.

KAP-18.2.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/109 and that compliance is certified every quarter.

KAP-18.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-18.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-18.2.5 The Audit Department shall review account-opening forms within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-18.2.6 Cases involving PEP screening results with an exposure above Rs. 8 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.30.

KAP-18.2.7 The Credit Committee shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-18.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-18.2.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/262 and that compliance is certified every quarter.

KAP-18.2.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-18.2.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-18.2.12 The Credit Committee shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Document Management system.

Section 18.3 Transaction Monitoring - Operating Rule Set 18.3

KAP-18.3.1 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-18.3.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-18.3.3 The Zonal Head shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Case Management system.

KAP-18.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-18.3.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-18.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-18.3.7 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-18.3.8 The Credit Committee shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Document Management system.

Section 18.4 Transaction Monitoring - Operating Rule Set 18.4

KAP-18.4.1 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-18.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-18.4.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-18.4.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-18.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-18.4.6 Cases involving risk-rating files with an exposure above Rs. 92 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.1.

KAP-18.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-18.4.8 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/207 and that compliance is certified every quarter.

KAP-18.4.9 Cases involving account-opening forms with an exposure above Rs. 383 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.11.

KAP-18.4.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 18.5 Transaction Monitoring - Operating Rule Set 18.5

KAP-18.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-18.5.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure H-7.

KAP-18.5.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-18.5.4 Cases involving video-KYC sessions with an exposure above Rs. 86 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.1.

KAP-18.5.5 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/210 and that compliance is certified every quarter.

KAP-18.5.6 Cases involving account-opening forms with an exposure above Rs. 462 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.14.

KAP-18.5.7 The Operations Head shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Document Management system.

KAP-18.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-18.5.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/050 and that compliance is certified every quarter.

Section 18.6 Transaction Monitoring - Operating Rule Set 18.6

KAP-18.6.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-18.6.2 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-18.6.3 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-18.6.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-18.6.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.27.

KAP-18.6.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure H-26.

KAP-18.6.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-18.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-18.6.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

PART 2 - CHAPTER 19: SUSPICIOUS TRANSACTION REPORTING

Section 19.1 Suspicious Transaction Reporting - Operating Rule Set 19.1

KAP-19.1.1 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-19.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-19.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-19.1.4 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/194 and that compliance is certified every quarter.

KAP-19.1.5 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-19.1.6 Cases involving identity documents with an exposure above Rs. 41 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.24.

KAP-19.1.7 Cases involving video-KYC sessions with an exposure above Rs. 242 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.19.

KAP-19.1.8 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/109 and that compliance is certified every quarter.

KAP-19.1.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 19.2 Suspicious Transaction Reporting - Operating Rule Set 19.2

KAP-19.2.1 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure H-13.

KAP-19.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-19.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-19.2.4 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure H-5.

KAP-19.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-19.2.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-19.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-19.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-19.2.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure B-18.

Section 19.3 Suspicious Transaction Reporting - Operating Rule Set 19.3

KAP-19.3.1 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-19.3.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-19.3.3 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure B-20.

KAP-19.3.4 The Zonal Head shall review address proofs within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-19.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-19.3.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure A-17.

KAP-19.3.7 The Audit Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Case Management system.

KAP-19.3.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure E-7.

KAP-19.3.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-15.

KAP-19.3.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/239 and that compliance is certified every quarter.

KAP-19.3.11 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 19.4 Suspicious Transaction Reporting - Operating Rule Set 19.4

KAP-19.4.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 127 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.17.

KAP-19.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-19.4.3 The Credit Committee shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Case Management system.

KAP-19.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-19.4.5 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure A-21.

KAP-19.4.6 The Branch Manager shall review account-opening forms within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-19.4.7 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-19.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-19.4.9 The Operations Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-19.4.10 Cases involving identity documents with an exposure above Rs. 67 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.22.

KAP-19.4.11 Cases involving video-KYC sessions with an exposure above Rs. 95 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.16.

KAP-19.4.12 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-19.4.13 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in

Circular KAP/2021/154 and that compliance is certified every quarter.

KAP-19.4.14 The Operations Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Document Management system.

Section 19.5 Suspicious Transaction Reporting - Operating Rule Set 19.5

KAP-19.5.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-19.5.2 Cases involving address proofs with an exposure above Rs. 418 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.20.

KAP-19.5.3 Cases involving identity documents with an exposure above Rs. 387 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.15.

KAP-19.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-19.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-19.5.6 The Regional Credit Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-19.5.7 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-19.5.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-19.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-19.5.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

Section 19.6 Suspicious Transaction Reporting - Operating Rule Set 19.6

KAP-19.6.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/152 and that compliance is certified every quarter.

KAP-19.6.2 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-19.6.3 Cases involving video-KYC sessions with an exposure above Rs. 250 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.15.

KAP-19.6.4 The Branch Manager shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Document Management system.

KAP-19.6.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-19.6.6 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-19.6.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-19.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-19.6.9 Cases involving risk-rating files with an exposure above Rs. 296 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.13.

PART 2 - CHAPTER 20: POLITICALLY EXPOSED PERSONS

Section 20.1 Politically Exposed Persons - Operating Rule Set 20.1

KAP-20.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-20.1.2 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure B-2.

KAP-20.1.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-20.1.4 Cases involving video-KYC sessions with an exposure above Rs. 429 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.26.

KAP-20.1.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/105 and that compliance is certified every quarter.

KAP-20.1.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure H-26.

KAP-20.1.7 Cases involving account-opening forms with an exposure above Rs. 22 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.8.

KAP-20.1.8 The Operations Head shall review address proofs within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-20.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-20.1.10 Cases involving identity documents with an exposure above Rs. 110 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.11.

Section 20.2 Politically Exposed Persons - Operating Rule Set 20.2

KAP-20.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-20.2.2 The Operations Head shall review address proofs within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-20.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-20.2.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-20.2.5 The Audit Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-20.2.6 The Operations Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-20.2.7 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/199 and that compliance is certified every quarter.

KAP-20.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 464 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.28.

KAP-20.2.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-20.2.10 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 20.3 Politically Exposed Persons - Operating Rule Set 20.3

KAP-20.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-20.3.2 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-20.3.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/288 and that compliance is certified every quarter.

KAP-20.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 456 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.23.

KAP-20.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-20.3.6 Cases involving identity documents with an exposure above Rs. 83 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.5.

KAP-20.3.7 Cases involving video-KYC sessions with an exposure above Rs. 8 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.22.

KAP-20.3.8 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method,

with a tolerance of 7% as approved by the Board.

KAP-20.3.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/201 and that compliance is certified every quarter.

KAP-20.3.10 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/007 and that compliance is certified every quarter.

KAP-20.3.11 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure A-31.

KAP-20.3.12 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/150 and that compliance is certified every quarter.

Section 20.4 Politically Exposed Persons - Operating Rule Set 20.4

KAP-20.4.1 The Audit Department shall review risk-rating files within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-20.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-20.4.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-20.4.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/016 and that compliance is certified every quarter.

KAP-20.4.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-20.4.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure D-15.

KAP-20.4.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 160 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.19.

KAP-20.4.8 The Regional Credit Officer shall review identity documents within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-20.4.9 In case of a request for exception, the Credit Committee must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure D-7.

KAP-20.4.10 The Branch Manager shall review address proofs within 18 working days of receipt and record the outcome in the Document Management system.

KAP-20.4.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-20.4.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/025 and that compliance is certified every quarter.

Section 20.5 Politically Exposed Persons - Operating Rule Set 20.5

KAP-20.5.1 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-20.5.2 Cases involving risk-rating files with an exposure above Rs. 214 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.20.

KAP-20.5.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/232 and that compliance is certified every quarter.

KAP-20.5.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-20.5.5 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-20.5.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-20.5.7 The Branch Manager shall review address proofs within 5 working days of receipt and record the outcome in the Document Management system.

KAP-20.5.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-20.5.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure G-32.

Section 20.6 Politically Exposed Persons - Operating Rule Set 20.6

KAP-20.6.1 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-20.6.2 The Audit Department shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-20.6.3 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-20.6.4 The Credit Committee shall review identity documents within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-20.6.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-20.6.6 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-20.6.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure D-31.

KAP-20.6.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/119 and that compliance is certified every quarter.

KAP-20.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 20.7 Politically Exposed Persons - Operating Rule Set 20.7

KAP-20.7.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure E-39.

KAP-20.7.2 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-20.7.3 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/012 and that compliance is certified every quarter.

KAP-20.7.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 399 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.1.

KAP-20.7.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/014 and that compliance is certified every quarter.

KAP-20.7.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-20.7.7 Cases involving risk-rating files with an exposure above Rs. 40 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.8.

KAP-20.7.8 Cases involving address proofs with an exposure above Rs. 216 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.21.

KAP-20.7.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 266 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.13.

PART 2 - CHAPTER 21: BENEFICIAL OWNERSHIP

Section 21.1 Beneficial Ownership - Operating Rule Set 21.1

KAP-21.1.1 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/279 and that compliance is certified every quarter.

KAP-21.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-21.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-21.1.4 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-21.1.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 17

working days, with the supporting documents listed in Annexure G-31.

KAP-21.1.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/059 and that compliance is certified every quarter.

KAP-21.1.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure D-2.

KAP-21.1.8 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-21.1.9 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/102 and that compliance is certified every quarter.

KAP-21.1.10 The Audit Department shall review PEP screening results within 18 working days of receipt and record the outcome in the Case Management system.

Section 21.2 Beneficial Ownership - Operating Rule Set 21.2

KAP-21.2.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure A-2.

KAP-21.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-21.2.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure C-37.

KAP-21.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-21.2.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-21.2.6 Cases involving account-opening forms with an exposure above Rs. 482 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.25.

KAP-21.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-21.2.8 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/120 and that compliance is certified every quarter.

KAP-21.2.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-21.2.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure E-3.

KAP-21.2.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 21.3 Beneficial Ownership - Operating Rule Set 21.3

KAP-21.3.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-21.3.2 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-21.3.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-21.3.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-21.3.5 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-21.3.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure F-13.

KAP-21.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-21.3.8 Cases involving PEP screening results with an exposure above Rs. 94 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.15.

KAP-21.3.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-21.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-21.3.11 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/046 and that compliance is certified every quarter.

Section 21.4 Beneficial Ownership - Operating Rule Set 21.4

KAP-21.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-21.4.2 Cases involving account-opening forms with an exposure above Rs. 182 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.20.

KAP-21.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-21.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-21.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-21.4.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/235 and that compliance is certified every quarter.

KAP-21.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-21.4.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 21.5 Beneficial Ownership - Operating Rule Set 21.5

KAP-21.5.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/255 and that compliance is certified every quarter.

KAP-21.5.2 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-21.5.3 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-21.5.4 The Zonal Head shall review risk-rating files within 27 working days of receipt and record the outcome in the Document Management system.

KAP-21.5.5 Cases involving identity documents with an exposure above Rs. 448 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.5.

KAP-21.5.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/235 and that compliance is certified every quarter.

KAP-21.5.7 Cases involving account-opening forms with an exposure above Rs. 18 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.11.

KAP-21.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-21.5.9 The Zonal Head shall review account-opening forms within 26 working days of receipt and record the outcome in the Case Management system.

KAP-21.5.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-21.5.11 The Regional Credit Officer shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

PART 2 - CHAPTER 22: RECORD KEEPING

Section 22.1 Record Keeping - Operating Rule Set 22.1

KAP-22.1.1 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-22.1.2 Cases involving PEP screening results with an exposure above Rs. 494 lakh require prior written approval from

the Risk Management Department; otherwise the case is an exception under Clause 8.8.

KAP-22.1.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-22.1.4 Cases involving account-opening forms with an exposure above Rs. 281 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.4.

KAP-22.1.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-22.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-22.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-22.1.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-22.1.9 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-22.1.10 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/100 and that compliance is certified every quarter.

KAP-22.1.11 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/080 and that compliance is certified every quarter.

KAP-22.1.12 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure H-18.

KAP-22.1.13 Cases involving PEP screening results with an exposure above Rs. 390 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.29.

Section 22.2 Record Keeping - Operating Rule Set 22.2

KAP-22.2.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/179 and that compliance is certified every quarter.

KAP-22.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-22.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-22.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-22.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-22.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-22.2.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-22.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-22.2.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/228 and that compliance is certified every quarter.

Section 22.3 Record Keeping - Operating Rule Set 22.3

KAP-22.3.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/004 and that compliance is certified every quarter.

KAP-22.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-22.3.3 The Credit Committee shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-22.3.4 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/058 and that compliance is certified every quarter.

KAP-22.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-22.3.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-22.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-22.3.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-22.3.9 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-22.3.10 The Operations Head shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Core Banking system.

Section 22.4 Record Keeping - Operating Rule Set 22.4

KAP-22.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-22.4.2 The Branch Manager shall review address proofs within 13 working days of receipt and record the outcome in the Document Management system.

KAP-22.4.3 The Zonal Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-22.4.4 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-22.4.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/075 and that compliance is certified every quarter.

KAP-22.4.6 Cases involving identity documents with an exposure above Rs. 474 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.24.

KAP-22.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 211 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.23.

KAP-22.4.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-22.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-22.4.10 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/176 and that compliance is certified every quarter.

KAP-22.4.11 The Branch Manager shall review PEP screening results within 6 working days of receipt and record the outcome in the Customer Relationship system.

PART 2 - CHAPTER 23: STAFF TRAINING

Section 23.1 Staff Training - Operating Rule Set 23.1

KAP-23.1.1 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/108 and that compliance is certified every quarter.

KAP-23.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-23.1.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-23.1.4 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-23.1.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-23.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-23.1.7 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-23.1.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure H-25.

KAP-23.1.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-23.1.10 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-23.1.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-23.1.12 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure H-20.

KAP-23.1.13 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

Section 23.2 Staff Training - Operating Rule Set 23.2

KAP-23.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-23.2.2 The Zonal Head shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

KAP-23.2.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-23.2.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-12.

KAP-23.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-23.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-23.2.7 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-23.2.8 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/004 and that compliance is certified every quarter.

KAP-23.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 23.3 Staff Training - Operating Rule Set 23.3

KAP-23.3.1 The Compliance Officer shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Document Management system.

KAP-23.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-23.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-23.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-23.3.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-23.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-23.3.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-23.3.8 The Audit Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-23.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 142 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.21.

KAP-23.3.10 For private-limited-company customers, identity documents shall be assessed using the scorecard-based

method, with a tolerance of 9% as approved by the Board.

Section 23.4 Staff Training - Operating Rule Set 23.4

KAP-23.4.1 The Branch Manager shall review address proofs within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-23.4.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/064 and that compliance is certified every quarter.

KAP-23.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 362 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.18.

KAP-23.4.4 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-23.4.5 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-23.4.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/043 and that compliance is certified every quarter.

KAP-23.4.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-23.4.8 The Zonal Head shall review cash transaction reports within 24 working days of receipt and record the outcome in the Case Management system.

KAP-23.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-23.4.10 Cases involving cash transaction reports with an exposure above Rs. 483 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.5.

KAP-23.4.11 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/233 and that compliance is certified every quarter.

KAP-23.4.12 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

Section 23.5 Staff Training - Operating Rule Set 23.5

KAP-23.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-23.5.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-23.5.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/107 and that compliance is certified every quarter.

KAP-23.5.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-23.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-23.5.6 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure A-26.

KAP-23.5.7 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-23.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-23.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 5 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.7.

KAP-23.5.10 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 23.6 Staff Training - Operating Rule Set 23.6

KAP-23.6.1 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-23.6.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Zonal Head by the 11th day of the following month.

KAP-23.6.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-23.6.4 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/267 and that compliance is certified every quarter.

KAP-23.6.5 The Regional Credit Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-23.6.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure C-24.

KAP-23.6.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-23.6.8 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-23.6.9 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-23.6.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-23.6.11 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 23.7 Staff Training - Operating Rule Set 23.7

KAP-23.7.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-23.7.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-23.7.3 The Operations Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-23.7.4 The Operations Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-23.7.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-23.7.6 Cases involving address proofs with an exposure above Rs. 401 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.16.

KAP-23.7.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-23.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 402 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.12.

KAP-23.7.9 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-23.7.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 416 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.9.

PART 2 - CHAPTER 24: INDEPENDENT AUDIT

Section 24.1 Independent Audit - Operating Rule Set 24.1

KAP-24.1.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-24.1.2 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure B-39.

KAP-24.1.3 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-24.1.4 The Regional Credit Officer shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-24.1.5 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular

KAP/2024/266 and that compliance is certified every quarter.

KAP-24.1.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-24.1.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/196 and that compliance is certified every quarter.

KAP-24.1.8 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 24.2 Independent Audit - Operating Rule Set 24.2

KAP-24.2.1 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-24.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-24.2.3 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-24.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-24.2.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure A-19.

KAP-24.2.6 The Audit Department shall review identity documents within 28 working days of receipt and record the outcome in the Document Management system.

KAP-24.2.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/298 and that compliance is certified every quarter.

KAP-24.2.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure E-22.

KAP-24.2.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-24.2.10 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure A-32.

KAP-24.2.11 Cases involving address proofs with an exposure above Rs. 233 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.10.

KAP-24.2.12 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 24.3 Independent Audit - Operating Rule Set 24.3

KAP-24.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-24.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-24.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-24.3.4 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-24.3.5 The Credit Committee shall review address proofs within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-24.3.6 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-24.3.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-24.3.8 The Operations Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Case Management system.

KAP-24.3.9 Cases involving PEP screening results with an exposure above Rs. 53 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.30.

KAP-24.3.10 Cases involving account-opening forms with an exposure above Rs. 202 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.13.

Section 24.4 Independent Audit - Operating Rule Set 24.4

KAP-24.4.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/129 and that compliance is certified every quarter.

KAP-24.4.2 The Zonal Head shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-24.4.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-24.4.4 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-24.4.5 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-24.4.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure A-30.

KAP-24.4.7 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-24.4.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

PART 3 - CHAPTER 25: CUSTOMER ACCEPTANCE

Section 25.1 Customer Acceptance - Operating Rule Set 25.1

KAP-25.1.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure G-5.

KAP-25.1.2 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/063 and that compliance is certified every quarter.

KAP-25.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-25.1.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-25.1.5 The Branch Manager shall review cash transaction reports within 5 working days of receipt and record the outcome in the Case Management system.

KAP-25.1.6 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-25.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-25.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-25.1.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-25.1.10 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure F-34.

KAP-25.1.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-25.1.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 25.2 Customer Acceptance - Operating Rule Set 25.2

KAP-25.2.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-25.2.2 The Compliance Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Case Management system.

KAP-25.2.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 23 days written notice.

KAP-25.2.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-25.2.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-25.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-25.2.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-25.2.8 Cases involving video-KYC sessions with an exposure above Rs. 367 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.5.

KAP-25.2.9 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure A-10.

KAP-25.2.10 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/005 and that compliance is certified every quarter.

KAP-25.2.11 The Zonal Head shall review risk-rating files within 17 working days of receipt and record the outcome in the Risk Engine system.

Section 25.3 Customer Acceptance - Operating Rule Set 25.3

KAP-25.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-25.3.2 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/155 and that compliance is certified every quarter.

KAP-25.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-25.3.4 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-25.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-25.3.6 The Credit Committee shall review identity documents within 10 working days of receipt and record the outcome in the Case Management system.

KAP-25.3.7 Cases involving video-KYC sessions with an exposure above Rs. 154 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.5.

KAP-25.3.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-25.3.9 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

Section 25.4 Customer Acceptance - Operating Rule Set 25.4

KAP-25.4.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-25.4.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-25.4.3 The Zonal Head shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-25.4.4 Cases involving identity documents with an exposure above Rs. 292 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.1.

KAP-25.4.5 Cases involving beneficial-owner declarations with an exposure above Rs. 165 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.29.

KAP-25.4.6 The Branch Manager shall review risk-rating files within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-25.4.7 The Credit Committee shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-25.4.8 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

Section 25.5 Customer Acceptance - Operating Rule Set 25.5

KAP-25.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-25.5.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-25.5.3 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-25.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-25.5.5 The Branch Manager shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Document Management system.

KAP-25.5.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure D-37.

KAP-25.5.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/062 and that compliance is certified every quarter.

KAP-25.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-25.5.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure A-32.

KAP-25.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 25.6 Customer Acceptance - Operating Rule Set 25.6

KAP-25.6.1 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-25.6.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-25.6.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-25.6.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-25.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-25.6.6 Cases involving beneficial-owner declarations with an exposure above Rs. 129 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.29.

KAP-25.6.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-25.6.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/249 and that compliance is certified every quarter.

KAP-25.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-25.6.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-25.6.11 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 25.7 Customer Acceptance - Operating Rule Set 25.7

KAP-25.7.1 Cases involving address proofs with an exposure above Rs. 130 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.19.

KAP-25.7.2 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/064 and that compliance is certified every quarter.

KAP-25.7.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-25.7.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-25.7.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure G-4.

KAP-25.7.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-25.7.7 Cases involving video-KYC sessions with an exposure above Rs. 296 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.29.

KAP-25.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 222 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.10.

KAP-25.7.9 Cases involving cash transaction reports with an exposure above Rs. 433 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.10.

KAP-25.7.10 Cases involving beneficial-owner declarations with an exposure above Rs. 327 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.15.

PART 3 - CHAPTER 26: CUSTOMER IDENTIFICATION

Section 26.1 Customer Identification - Operating Rule Set 26.1

KAP-26.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-26.1.2 The Audit Department shall review PEP screening results within 22 working days of receipt and record the outcome in the Case Management system.

KAP-26.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-26.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-26.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-26.1.6 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-26.1.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-26.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-26.1.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/007 and that compliance is certified every quarter.

Section 26.2 Customer Identification - Operating Rule Set 26.2

KAP-26.2.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-26.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-26.2.3 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure F-3.

KAP-26.2.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-26.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 274 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.20.

KAP-26.2.6 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-26.2.7 Cases involving risk-rating files with an exposure above Rs. 199 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.13.

KAP-26.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

Section 26.3 Customer Identification - Operating Rule Set 26.3

KAP-26.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 449 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.7.

KAP-26.3.2 Cases involving cash transaction reports with an exposure above Rs. 50 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.11.

KAP-26.3.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/010 and that compliance is certified every quarter.

KAP-26.3.4 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-26.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-26.3.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure D-22.

KAP-26.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-26.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-26.3.9 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/275 and that compliance is certified every quarter.

KAP-26.3.10 The Credit Committee shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-26.3.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-26.3.12 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 26.4 Customer Identification - Operating Rule Set 26.4

KAP-26.4.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-26.4.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-26.4.3 Cases involving cash transaction reports with an exposure above Rs. 397 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.26.

KAP-26.4.4 Cases involving PEP screening results with an exposure above Rs. 398 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.24.

KAP-26.4.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/032 and that compliance is certified every quarter.

KAP-26.4.6 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-26.4.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-26.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 464 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.3.

KAP-26.4.9 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-26.4.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure H-22.

Section 26.5 Customer Identification - Operating Rule Set 26.5

KAP-26.5.1 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure G-16.

KAP-26.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-26.5.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-26.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-26.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-26.5.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-26.5.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-26.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-26.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-26.5.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-26.5.11 The Audit Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-26.5.12 The Branch Manager shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Document Management system.

Section 26.6 Customer Identification - Operating Rule Set 26.6

KAP-26.6.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/088 and that compliance is certified every quarter.

KAP-26.6.2 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-26.6.3 Cases involving PEP screening results with an exposure above Rs. 64 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.30.

KAP-26.6.4 The Compliance Officer shall review identity documents within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-26.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-26.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-26.6.7 The Regional Credit Officer shall review account-opening forms within 17 working days of receipt and record the outcome in the Case Management system.

KAP-26.6.8 Cases involving correspondent-bank relationships with an exposure above Rs. 278 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.30.

KAP-26.6.9 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure F-10.

Section 26.7 Customer Identification - Operating Rule Set 26.7

KAP-26.7.1 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/062 and that compliance is certified every quarter.

KAP-26.7.2 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/244 and that compliance is certified every quarter.

KAP-26.7.3 Cases involving risk-rating files with an exposure above Rs. 445 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.26.

KAP-26.7.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-26.7.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional

Credit Officer within 30 working days, with the supporting documents listed in Annexure C-14.

KAP-26.7.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 78 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.14.

KAP-26.7.7 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-26.7.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-26.7.9 The Zonal Head shall review risk-rating files within 20 working days of receipt and record the outcome in the Customer Relationship system.

PART 3 - CHAPTER 27: CUSTOMER DUE DILIGENCE

Section 27.1 Customer Due Diligence - Operating Rule Set 27.1

KAP-27.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-27.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-27.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-27.1.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure A-8.

KAP-27.1.5 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure H-2.

KAP-27.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-27.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 102 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.13.

KAP-27.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-27.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-27.1.10 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure E-13.

KAP-27.1.11 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/177 and that compliance is certified every quarter.

Section 27.2 Customer Due Diligence - Operating Rule Set 27.2

KAP-27.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-27.2.2 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-27.2.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/222 and that compliance is certified every quarter.

KAP-27.2.4 Cases involving cash transaction reports with an exposure above Rs. 73 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.22.

KAP-27.2.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/103 and that compliance is certified every quarter.

KAP-27.2.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/250 and that compliance is certified every quarter.

KAP-27.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-27.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-27.2.9 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6%

as approved by the Board.

KAP-27.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

Section 27.3 Customer Due Diligence - Operating Rule Set 27.3

KAP-27.3.1 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure H-34.

KAP-27.3.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/081 and that compliance is certified every quarter.

KAP-27.3.3 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-27.3.4 Cases involving account-opening forms with an exposure above Rs. 241 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.3.

KAP-27.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-27.3.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/013 and that compliance is certified every quarter.

KAP-27.3.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-27.3.8 The Credit Committee shall review cash transaction reports within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-27.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-27.3.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

Section 27.4 Customer Due Diligence - Operating Rule Set 27.4

KAP-27.4.1 The Regional Credit Officer shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-27.4.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-27.4.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-27.4.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-27.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-27.4.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/255 and that compliance is certified every quarter.

KAP-27.4.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/287 and that compliance is certified every quarter.

KAP-27.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 27.5 Customer Due Diligence - Operating Rule Set 27.5

KAP-27.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-27.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-27.5.3 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-27.5.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-27.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit

Officer by the 12th day of the following month.

KAP-27.5.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure B-40.

KAP-27.5.7 The Operations Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-27.5.8 Cases involving cash transaction reports with an exposure above Rs. 439 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.4.

KAP-27.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-27.5.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure B-35.

KAP-27.5.11 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

KAP-27.5.12 The Audit Department shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Case Management system.

Section 27.6 Customer Due Diligence - Operating Rule Set 27.6

KAP-27.6.1 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-27.6.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-27.6.3 The Credit Committee shall review cash transaction reports within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-27.6.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-27.6.5 The Risk Management Department shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-27.6.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-27.6.7 Cases involving risk-rating files with an exposure above Rs. 223 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.9.

KAP-27.6.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-27.6.9 The Credit Committee shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Document Management system.

KAP-27.6.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-27.6.11 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 2 days written notice.

PART 3 - CHAPTER 28: ENHANCED DUE DILIGENCE

Section 28.1 Enhanced Due Diligence - Operating Rule Set 28.1

KAP-28.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 470 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.12.

KAP-28.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-28.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-28.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-28.1.5 The Credit Committee shall review address proofs within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-28.1.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 11 and be made available to the Board Audit Committee on request.

KAP-28.1.7 Cases involving video-KYC sessions with an exposure above Rs. 101 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.22.

KAP-28.1.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-28.1.9 Cases involving correspondent-bank relationships with an exposure above Rs. 175 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.1.

Section 28.2 Enhanced Due Diligence - Operating Rule Set 28.2

KAP-28.2.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure B-20.

KAP-28.2.2 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-28.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-28.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-28.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-28.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-28.2.7 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-28.2.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-28.2.9 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-28.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-28.2.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

Section 28.3 Enhanced Due Diligence - Operating Rule Set 28.3

KAP-28.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 289 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.19.

KAP-28.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-28.3.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-28.3.4 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/227 and that compliance is certified every quarter.

KAP-28.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-28.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-28.3.7 The Zonal Head shall review PEP screening results within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-28.3.8 The Regional Credit Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-28.3.9 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 28.4 Enhanced Due Diligence - Operating Rule Set 28.4

KAP-28.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made

available to the Board Audit Committee on request.

KAP-28.4.2 The Operations Head shall review cash transaction reports within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-28.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 472 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.22.

KAP-28.4.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-28.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-28.4.6 The Compliance Officer shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Document Management system.

KAP-28.4.7 The Credit Committee shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-28.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-28.4.9 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/191 and that compliance is certified every quarter.

KAP-28.4.10 Cases involving video-KYC sessions with an exposure above Rs. 76 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.23.

KAP-28.4.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 28.5 Enhanced Due Diligence - Operating Rule Set 28.5

KAP-28.5.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-21.

KAP-28.5.2 Cases involving account-opening forms with an exposure above Rs. 429 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.17.

KAP-28.5.3 The Operations Head shall review risk-rating files within 24 working days of receipt and record the outcome in the Document Management system.

KAP-28.5.4 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-28.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-28.5.6 Cases involving identity documents with an exposure above Rs. 284 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.4.

KAP-28.5.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-28.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 28.6 Enhanced Due Diligence - Operating Rule Set 28.6

KAP-28.6.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-28.6.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-28.6.3 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-28.6.4 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-28.6.5 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/070 and that compliance is certified every quarter.

KAP-28.6.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure F-10.

KAP-28.6.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 313 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.7.

KAP-28.6.8 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-28.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-28.6.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure D-7.

KAP-28.6.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 255 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.1.

Section 28.7 Enhanced Due Diligence - Operating Rule Set 28.7

KAP-28.7.1 Cases involving video-KYC sessions with an exposure above Rs. 237 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.9.

KAP-28.7.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Document Management system.

KAP-28.7.3 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure F-37.

KAP-28.7.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-28.7.5 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/241 and that compliance is certified every quarter.

KAP-28.7.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-28.7.7 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-28.7.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure G-20.

KAP-28.7.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure D-24.

KAP-28.7.10 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/213 and that compliance is certified every quarter.

KAP-28.7.11 The Zonal Head shall review identity documents within 27 working days of receipt and record the outcome in the Core Banking system.

PART 3 - CHAPTER 29: RISK CATEGORISATION

Section 29.1 Risk Categorisation - Operating Rule Set 29.1

KAP-29.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-29.1.2 Cases involving account-opening forms with an exposure above Rs. 199 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.26.

KAP-29.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-29.1.4 The Credit Committee shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-29.1.5 The Operations Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-29.1.6 Cases involving address proofs with an exposure above Rs. 185 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.12.

KAP-29.1.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-29.1.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

Section 29.2 Risk Categorisation - Operating Rule Set 29.2

KAP-29.2.1 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-29.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-29.2.3 Cases involving cash transaction reports with an exposure above Rs. 124 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.3.

KAP-29.2.4 Cases involving cash transaction reports with an exposure above Rs. 414 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.1.

KAP-29.2.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-29.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-29.2.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/065 and that compliance is certified every quarter.

KAP-29.2.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure H-22.

KAP-29.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-29.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

Section 29.3 Risk Categorisation - Operating Rule Set 29.3

KAP-29.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 314 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.10.

KAP-29.3.2 The Operations Head shall review identity documents within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-29.3.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/218 and that compliance is certified every quarter.

KAP-29.3.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/113 and that compliance is certified every quarter.

KAP-29.3.5 Cases involving cash transaction reports with an exposure above Rs. 29 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.13.

KAP-29.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-29.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-29.3.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure H-11.

KAP-29.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

Section 29.4 Risk Categorisation - Operating Rule Set 29.4

KAP-29.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-29.4.2 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-33.

KAP-29.4.3 The Credit Committee shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-29.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-29.4.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-29.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-29.4.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/140 and that compliance is certified every quarter.

KAP-29.4.8 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-29.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-29.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

PART 3 - CHAPTER 30: TRANSACTION MONITORING

Section 30.1 Transaction Monitoring - Operating Rule Set 30.1

KAP-30.1.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-30.1.2 In case of a regulatory query, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-32.

KAP-30.1.3 The Audit Department shall review address proofs within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-30.1.4 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-30.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-30.1.6 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-30.1.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-30.1.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure D-40.

KAP-30.1.9 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/241 and that compliance is certified every quarter.

KAP-30.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

Section 30.2 Transaction Monitoring - Operating Rule Set 30.2

KAP-30.2.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/286 and that compliance is certified every quarter.

KAP-30.2.2 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-30.2.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-30.2.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure D-3.

KAP-30.2.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure A-6.

KAP-30.2.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-30.2.7 Cases involving identity documents with an exposure above Rs. 145 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.1.

KAP-30.2.8 The Zonal Head shall review account-opening forms within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-30.2.9 The Regional Credit Officer shall review address proofs within 29 working days of receipt and record the outcome in the Document Management system.

KAP-30.2.10 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/093 and that compliance is certified every quarter.

Section 30.3 Transaction Monitoring - Operating Rule Set 30.3

KAP-30.3.1 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/280 and that compliance is certified every quarter.

KAP-30.3.2 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-30.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-30.3.4 Cases involving address proofs with an exposure above Rs. 201 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.5.

KAP-30.3.5 The Compliance Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-30.3.6 The Audit Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Document Management system.

KAP-30.3.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/013 and that compliance is certified every quarter.

KAP-30.3.8 The Operations Head shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-30.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-30.3.10 Cases involving cash transaction reports with an exposure above Rs. 178 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.8.

KAP-30.3.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 30.4 Transaction Monitoring - Operating Rule Set 30.4

KAP-30.4.1 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Document Management system.

KAP-30.4.2 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Document Management system.

KAP-30.4.3 Cases involving risk-rating files with an exposure above Rs. 409 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.15.

KAP-30.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-30.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-30.4.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/177 and that compliance is certified every quarter.

KAP-30.4.7 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/233 and that compliance is certified every quarter.

KAP-30.4.8 The Regional Credit Officer shall review risk-rating files within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-30.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 30.5 Transaction Monitoring - Operating Rule Set 30.5

KAP-30.5.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-30.5.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure B-10.

KAP-30.5.3 The Compliance Officer shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Case Management system.

KAP-30.5.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-30.5.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/078 and that compliance is certified every quarter.

KAP-30.5.6 Cases involving risk-rating files with an exposure above Rs. 361 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.3.

KAP-30.5.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/289 and that compliance is certified every quarter.

KAP-30.5.8 Cases involving identity documents with an exposure above Rs. 343 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.29.

KAP-30.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 118 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.26.

KAP-30.5.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure H-34.

PART 3 - CHAPTER 31: SUSPICIOUS TRANSACTION REPORTING

Section 31.1 Suspicious Transaction Reporting - Operating Rule Set 31.1

KAP-31.1.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure H-13.

KAP-31.1.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/188 and that compliance is certified every quarter.

KAP-31.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-31.1.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-31.1.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-33.

KAP-31.1.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/108 and that compliance is certified every quarter.

KAP-31.1.7 The Audit Department shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-31.1.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure C-6.

Section 31.2 Suspicious Transaction Reporting - Operating Rule Set 31.2

KAP-31.2.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure F-11.

KAP-31.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 134 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.24.

KAP-31.2.3 The Branch Manager shall review risk-rating files within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-31.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-31.2.5 The Compliance Officer shall review identity documents within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-31.2.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure E-9.

KAP-31.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 93 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.21.

KAP-31.2.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-31.2.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/070 and that compliance is certified every quarter.

KAP-31.2.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/276 and that compliance is certified every quarter.

KAP-31.2.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-31.2.12 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure A-13.

Section 31.3 Suspicious Transaction Reporting - Operating Rule Set 31.3

KAP-31.3.1 The Zonal Head shall review PEP screening results within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-31.3.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/160 and that compliance is certified every quarter.

KAP-31.3.3 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-31.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-31.3.5 Cases involving address proofs with an exposure above Rs. 120 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.6.

KAP-31.3.6 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure B-15.

KAP-31.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-31.3.8 Cases involving cash transaction reports with an exposure above Rs. 53 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.15.

KAP-31.3.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure C-31.

Section 31.4 Suspicious Transaction Reporting - Operating Rule Set 31.4

KAP-31.4.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 207 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.22.

KAP-31.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-31.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-31.4.4 The Audit Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Case Management system.

KAP-31.4.5 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-31.4.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/241 and that compliance is certified every quarter.

KAP-31.4.7 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-31.4.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-31.4.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 31.5 Suspicious Transaction Reporting - Operating Rule Set 31.5

KAP-31.5.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-9.

KAP-31.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-31.5.3 The Compliance Officer shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-31.5.4 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-31.5.5 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/275 and that compliance is certified every quarter.

KAP-31.5.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-31.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-31.5.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure H-39.

KAP-31.5.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/210 and that compliance is certified every quarter.

KAP-31.5.10 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

PART 3 - CHAPTER 32: POLITICALLY EXPOSED PERSONS

Section 32.1 Politically Exposed Persons - Operating Rule Set 32.1

KAP-32.1.1 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-10.

KAP-32.1.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-32.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-32.1.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-32.1.5 The Compliance Officer shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Case Management system.

KAP-32.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-32.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-32.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

Section 32.2 Politically Exposed Persons - Operating Rule Set 32.2

KAP-32.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-32.2.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/043 and that compliance is certified every quarter.

KAP-32.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-32.2.4 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Document Management system.

KAP-32.2.5 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure F-5.

KAP-32.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-32.2.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-32.2.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/077 and that compliance is certified every quarter.

KAP-32.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-32.2.10 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure E-29.

Section 32.3 Politically Exposed Persons - Operating Rule Set 32.3

KAP-32.3.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/287 and that compliance is certified every quarter.

KAP-32.3.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure B-15.

KAP-32.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-32.3.4 The Compliance Officer shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-32.3.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure H-18.

KAP-32.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-32.3.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-20.

KAP-32.3.8 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/198 and that compliance is certified every quarter.

KAP-32.3.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/120 and that compliance is certified every quarter.

Section 32.4 Politically Exposed Persons - Operating Rule Set 32.4

KAP-32.4.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-32.4.2 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-32.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 396 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.1.

KAP-32.4.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/219 and that compliance is certified every quarter.

KAP-32.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-32.4.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure G-5.

KAP-32.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-32.4.8 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/188 and that compliance is certified every quarter.

KAP-32.4.9 Cases involving risk-rating files with an exposure above Rs. 191 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.4.

KAP-32.4.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure H-16.

KAP-32.4.11 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-2.

KAP-32.4.12 Cases involving identity documents with an exposure above Rs. 10 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.28.

Section 32.5 Politically Exposed Persons - Operating Rule Set 32.5

KAP-32.5.1 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-32.5.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-32.5.3 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-32.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-32.5.5 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure D-16.

KAP-32.5.6 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/061 and that compliance is certified every quarter.

KAP-32.5.7 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-32.5.8 The Audit Department shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

Section 32.6 Politically Exposed Persons - Operating Rule Set 32.6

KAP-32.6.1 Cases involving risk-rating files with an exposure above Rs. 240 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.13.

KAP-32.6.2 Cases involving account-opening forms with an exposure above Rs. 350 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.13.

KAP-32.6.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure F-6.

KAP-32.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-32.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-32.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-32.6.7 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-32.6.8 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-32.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 32.7 Politically Exposed Persons - Operating Rule Set 32.7

KAP-32.7.1 The Branch Manager shall review identity documents within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-32.7.2 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-32.7.3 Cases involving risk-rating files with an exposure above Rs. 263 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.5.

KAP-32.7.4 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/070 and that compliance is certified every quarter.

KAP-32.7.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-32.7.6 The Risk Management Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Case Management system.

KAP-32.7.7 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-32.7.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-32.7.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-32.7.10 The Compliance Officer shall review identity documents within 18 working days of receipt and record the

outcome in the Document Management system.

KAP-32.7.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-32.7.12 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

PART 3 - CHAPTER 33: BENEFICIAL OWNERSHIP

Section 33.1 Beneficial Ownership - Operating Rule Set 33.1

KAP-33.1.1 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-33.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-33.1.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure A-34.

KAP-33.1.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-33.1.5 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Case Management system.

KAP-33.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-33.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-33.1.8 The Audit Department shall review cash transaction reports within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-33.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-33.1.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-33.1.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure B-20.

KAP-33.1.12 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-33.1.13 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

Section 33.2 Beneficial Ownership - Operating Rule Set 33.2

KAP-33.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-33.2.2 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-33.2.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-33.2.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-33.2.5 Cases involving video-KYC sessions with an exposure above Rs. 101 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.10.

KAP-33.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-33.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-33.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-33.2.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after

giving the customer 18 days written notice.

KAP-33.2.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

Section 33.3 Beneficial Ownership - Operating Rule Set 33.3

KAP-33.3.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-33.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-33.3.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure C-34.

KAP-33.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-33.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-33.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-33.3.7 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-33.3.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-33.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-33.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-33.3.11 The Risk Management Department shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Case Management system.

Section 33.4 Beneficial Ownership - Operating Rule Set 33.4

KAP-33.4.1 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/250 and that compliance is certified every quarter.

KAP-33.4.2 Cases involving cash transaction reports with an exposure above Rs. 341 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.20.

KAP-33.4.3 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/249 and that compliance is certified every quarter.

KAP-33.4.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-33.4.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-33.4.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-33.4.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-33.4.8 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-33.4.9 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure G-27.

Section 33.5 Beneficial Ownership - Operating Rule Set 33.5

KAP-33.5.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure E-6.

KAP-33.5.2 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

KAP-33.5.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit

Committee within 28 working days, with the supporting documents listed in Annexure E-28.

KAP-33.5.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure C-3.

KAP-33.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-33.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-33.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-33.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-33.5.9 The Credit Committee shall review identity documents within 3 working days of receipt and record the outcome in the Customer Relationship system.

Section 33.6 Beneficial Ownership - Operating Rule Set 33.6

KAP-33.6.1 The Risk Management Department shall review identity documents within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-33.6.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/035 and that compliance is certified every quarter.

KAP-33.6.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure C-2.

KAP-33.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-33.6.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-33.6.6 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/100 and that compliance is certified every quarter.

KAP-33.6.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-33.6.8 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/258 and that compliance is certified every quarter.

KAP-33.6.9 The Credit Committee shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Core Banking system.

Section 33.7 Beneficial Ownership - Operating Rule Set 33.7

KAP-33.7.1 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-33.7.2 The Zonal Head shall review address proofs within 26 working days of receipt and record the outcome in the Document Management system.

KAP-33.7.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/012 and that compliance is certified every quarter.

KAP-33.7.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-33.7.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-33.7.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-33.7.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure A-28.

KAP-33.7.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-33.7.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-33.7.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-33.7.11 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/220 and that compliance is certified every quarter.

KAP-33.7.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

PART 3 - CHAPTER 34: RECORD KEEPING

Section 34.1 Record Keeping - Operating Rule Set 34.1

KAP-34.1.1 Cases involving PEP screening results with an exposure above Rs. 102 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.28.

KAP-34.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 477 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.22.

KAP-34.1.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-34.1.4 The Regional Credit Officer shall review address proofs within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-34.1.5 The Risk Management Department shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Document Management system.

KAP-34.1.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure E-37.

KAP-34.1.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/176 and that compliance is certified every quarter.

KAP-34.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-34.1.9 The Operations Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Document Management system.

KAP-34.1.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure B-20.

Section 34.2 Record Keeping - Operating Rule Set 34.2

KAP-34.2.1 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-34.2.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-34.2.3 The Operations Head shall review cash transaction reports within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-34.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-34.2.5 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-34.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-34.2.7 The Compliance Officer shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-34.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 34.3 Record Keeping - Operating Rule Set 34.3

KAP-34.3.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure B-19.

KAP-34.3.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-34.3.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are

trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-34.3.4 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-34.3.5 Cases involving risk-rating files with an exposure above Rs. 312 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.27.

KAP-34.3.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-34.3.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-34.3.8 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/139 and that compliance is certified every quarter.

KAP-34.3.9 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-34.3.10 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-34.3.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

Section 34.4 Record Keeping - Operating Rule Set 34.4

KAP-34.4.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-34.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-34.4.3 Cases involving video-KYC sessions with an exposure above Rs. 401 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.15.

KAP-34.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-34.4.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-34.4.6 The Branch Manager shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-34.4.7 Cases involving video-KYC sessions with an exposure above Rs. 399 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.1.

KAP-34.4.8 Cases involving account-opening forms with an exposure above Rs. 137 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.14.

KAP-34.4.9 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-34.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-34.4.11 Cases involving beneficial-owner declarations with an exposure above Rs. 196 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.16.

PART 3 - CHAPTER 35: STAFF TRAINING

Section 35.1 Staff Training - Operating Rule Set 35.1

KAP-35.1.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/097 and that compliance is certified every quarter.

KAP-35.1.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-35.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-35.1.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-35.1.5 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method,

with a tolerance of 4% as approved by the Board.

KAP-35.1.6 Cases involving PEP screening results with an exposure above Rs. 216 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.19.

KAP-35.1.7 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-35.1.8 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-35.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

Section 35.2 Staff Training - Operating Rule Set 35.2

KAP-35.2.1 Cases involving identity documents with an exposure above Rs. 484 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.14.

KAP-35.2.2 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-35.2.3 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure A-38.

KAP-35.2.4 The Credit Committee shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Document Management system.

KAP-35.2.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure F-6.

KAP-35.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-35.2.7 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-35.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-35.2.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-13.

KAP-35.2.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

Section 35.3 Staff Training - Operating Rule Set 35.3

KAP-35.3.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure E-28.

KAP-35.3.2 Cases involving identity documents with an exposure above Rs. 269 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.23.

KAP-35.3.3 The Branch Manager shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-35.3.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure A-20.

KAP-35.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-35.3.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-35.3.7 Cases involving PEP screening results with an exposure above Rs. 134 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.25.

KAP-35.3.8 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-35.3.9 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-35.3.10 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-20.

Section 35.4 Staff Training - Operating Rule Set 35.4

KAP-35.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-35.4.2 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-35.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-35.4.4 Cases involving identity documents with an exposure above Rs. 270 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.19.

KAP-35.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-35.4.6 Cases involving risk-rating files with an exposure above Rs. 412 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.6.

KAP-35.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-35.4.8 The Compliance Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Document Management system.

KAP-35.4.9 Cases involving account-opening forms with an exposure above Rs. 158 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.20.

KAP-35.4.10 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

Section 35.5 Staff Training - Operating Rule Set 35.5

KAP-35.5.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure C-25.

KAP-35.5.2 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure C-24.

KAP-35.5.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-23.

KAP-35.5.4 Cases involving risk-rating files with an exposure above Rs. 214 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.20.

KAP-35.5.5 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure D-40.

KAP-35.5.6 The Branch Manager shall review identity documents within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-35.5.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 387 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.1.

KAP-35.5.8 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/005 and that compliance is certified every quarter.

PART 3 - CHAPTER 36: INDEPENDENT AUDIT

Section 36.1 Independent Audit - Operating Rule Set 36.1

KAP-36.1.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-36.1.2 The Risk Management Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-36.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-36.1.4 The Audit Department shall review account-opening forms within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-36.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-36.1.6 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome

in the Document Management system.

KAP-36.1.7 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-36.1.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-36.1.9 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure C-5.

KAP-36.1.10 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-36.1.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-36.1.12 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-36.1.13 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/073 and that compliance is certified every quarter.

Section 36.2 Independent Audit - Operating Rule Set 36.2

KAP-36.2.1 Cases involving address proofs with an exposure above Rs. 368 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.6.

KAP-36.2.2 Cases involving cash transaction reports with an exposure above Rs. 456 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.22.

KAP-36.2.3 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/092 and that compliance is certified every quarter.

KAP-36.2.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 216 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.1.

KAP-36.2.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/232 and that compliance is certified every quarter.

KAP-36.2.6 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-10.

KAP-36.2.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/173 and that compliance is certified every quarter.

KAP-36.2.8 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/182 and that compliance is certified every quarter.

KAP-36.2.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-36.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

Section 36.3 Independent Audit - Operating Rule Set 36.3

KAP-36.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-36.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-36.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-36.3.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-36.3.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure C-16.

KAP-36.3.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure C-33.

KAP-36.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-36.3.8 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure G-17.

Section 36.4 Independent Audit - Operating Rule Set 36.4

KAP-36.4.1 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/109 and that compliance is certified every quarter.

KAP-36.4.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-36.4.3 The Risk Management Department shall review risk-rating files within 27 working days of receipt and record the outcome in the Document Management system.

KAP-36.4.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure B-18.

KAP-36.4.5 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-36.4.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure H-24.

KAP-36.4.7 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-36.4.8 The Audit Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-36.4.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-36.4.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

Section 36.5 Independent Audit - Operating Rule Set 36.5

KAP-36.5.1 Cases involving cash transaction reports with an exposure above Rs. 162 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.28.

KAP-36.5.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-36.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-36.5.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure A-9.

KAP-36.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-36.5.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure D-20.

KAP-36.5.7 The Operations Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-36.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-36.5.9 Cases involving correspondent-bank relationships with an exposure above Rs. 52 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.14.

KAP-36.5.10 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-36.5.11 The Regional Credit Officer shall review address proofs within 27 working days of receipt and record the outcome in the Loan Origination system.

Section 36.6 Independent Audit - Operating Rule Set 36.6

KAP-36.6.1 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-36.6.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/231 and that compliance is certified every quarter.

KAP-36.6.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-36.6.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-36.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-36.6.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-36.6.7 Cases involving address proofs with an exposure above Rs. 328 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.10.

KAP-36.6.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-36.6.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-36.6.10 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 36.7 Independent Audit - Operating Rule Set 36.7

KAP-36.7.1 Cases involving video-KYC sessions with an exposure above Rs. 62 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.25.

KAP-36.7.2 Cases involving risk-rating files with an exposure above Rs. 487 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.17.

KAP-36.7.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-36.7.4 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure C-13.

KAP-36.7.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-36.7.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-36.7.7 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/161 and that compliance is certified every quarter.

KAP-36.7.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-36.7.9 The Branch Manager shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Document Management system.

KAP-36.7.10 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-36.7.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

PART 4 - CHAPTER 37: CUSTOMER ACCEPTANCE

Section 37.1 Customer Acceptance - Operating Rule Set 37.1

KAP-37.1.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-37.1.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure B-34.

KAP-37.1.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-37.1.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-37.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-37.1.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-37.1.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/275 and that compliance is certified every quarter.

KAP-37.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 37.2 Customer Acceptance - Operating Rule Set 37.2

KAP-37.2.1 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure G-15.

KAP-37.2.2 Cases involving PEP screening results with an exposure above Rs. 338 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.24.

KAP-37.2.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-37.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-37.2.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-37.2.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/167 and that compliance is certified every quarter.

KAP-37.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-37.2.8 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure D-35.

KAP-37.2.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/166 and that compliance is certified every quarter.

Section 37.3 Customer Acceptance - Operating Rule Set 37.3

KAP-37.3.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-37.3.2 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure A-38.

KAP-37.3.3 Cases involving cash transaction reports with an exposure above Rs. 184 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.22.

KAP-37.3.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/234 and that compliance is certified every quarter.

KAP-37.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-37.3.6 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-37.3.7 The Branch Manager shall review cash transaction reports within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-37.3.8 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure B-10.

Section 37.4 Customer Acceptance - Operating Rule Set 37.4

KAP-37.4.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-37.4.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/035 and that compliance is certified every quarter.

KAP-37.4.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/255 and that compliance is certified every quarter.

KAP-37.4.4 Cases involving cash transaction reports with an exposure above Rs. 432 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.17.

KAP-37.4.5 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure A-18.

KAP-KEY-01 All cash deposits or withdrawals of Rs. 10 lakh or more in a month shall be reported to the Financial Intelligence Unit.

KAP-37.4.6 The Compliance Officer shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Document Management system.

KAP-37.4.7 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-37.4.8 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/071 and that compliance is certified every quarter.

KAP-37.4.9 The Compliance Officer shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Customer Relationship system.

Section 37.5 Customer Acceptance - Operating Rule Set 37.5

KAP-37.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-37.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-37.5.3 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure G-12.

KAP-37.5.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/260 and that compliance is certified every quarter.

KAP-37.5.5 Cases involving video-KYC sessions with an exposure above Rs. 244 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.30.

KAP-37.5.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-37.5.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/271 and that compliance is certified every quarter.

KAP-37.5.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 2 days written notice.

Section 37.6 Customer Acceptance - Operating Rule Set 37.6

KAP-37.6.1 The Compliance Officer shall review PEP screening results within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-37.6.2 Cases involving beneficial-owner declarations with an exposure above Rs. 250 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.21.

KAP-37.6.3 The Audit Department shall review address proofs within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-37.6.4 Cases involving video-KYC sessions with an exposure above Rs. 6 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.21.

KAP-37.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-37.6.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-37.6.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-21.

KAP-37.6.8 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-37.6.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-37.6.10 The Credit Committee shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Customer Relationship system.

Section 37.7 Customer Acceptance - Operating Rule Set 37.7

KAP-37.7.1 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-37.7.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-37.7.3 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure G-29.

KAP-37.7.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-37.7.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-37.7.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure A-32.

KAP-37.7.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure F-36.

KAP-37.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-37.7.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-37.7.10 The Compliance Officer shall review account-opening forms within 2 working days of receipt and record the outcome in the Customer Relationship system.

PART 4 - CHAPTER 38: CUSTOMER IDENTIFICATION

Section 38.1 Customer Identification - Operating Rule Set 38.1

KAP-38.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-38.1.2 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-38.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-38.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-38.1.5 The Audit Department shall review risk-rating files within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-38.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-38.1.7 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-38.1.8 Cases involving address proofs with an exposure above Rs. 432 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.8.

KAP-38.1.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-38.1.10 The Zonal Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Case Management system.

KAP-38.1.11 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/136 and that compliance is certified every quarter.

KAP-38.1.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 38.2 Customer Identification - Operating Rule Set 38.2

KAP-38.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-38.2.2 The Regional Credit Officer shall review identity documents within 2 working days of receipt and record the outcome in the Document Management system.

KAP-38.2.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-17.

KAP-38.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-38.2.5 Cases involving identity documents with an exposure above Rs. 17 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.3.

KAP-38.2.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/192 and that compliance is certified every quarter.

KAP-38.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 415 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.4.

KAP-38.2.8 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/231 and that compliance is certified every quarter.

KAP-38.2.9 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-38.2.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

Section 38.3 Customer Identification - Operating Rule Set 38.3

KAP-38.3.1 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-38.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-38.3.3 The Credit Committee shall review risk-rating files within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-38.3.4 The Branch Manager shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-38.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-38.3.6 Cases involving account-opening forms with an exposure above Rs. 364 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.26.

KAP-38.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-38.3.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/047 and that compliance is certified every quarter.

KAP-38.3.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

Section 38.4 Customer Identification - Operating Rule Set 38.4

KAP-38.4.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-38.4.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure E-19.

KAP-38.4.3 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-38.4.4 The Compliance Officer shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-38.4.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-38.4.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-38.4.7 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-38.4.8 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance

of 5% as approved by the Board.

KAP-38.4.9 The Regional Credit Officer shall review account-opening forms within 24 working days of receipt and record the outcome in the Core Banking system.

Section 38.5 Customer Identification - Operating Rule Set 38.5

KAP-38.5.1 The Branch Manager shall review risk-rating files within 7 working days of receipt and record the outcome in the Case Management system.

KAP-38.5.2 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-38.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-38.5.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-38.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-38.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 94 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.1.

KAP-38.5.7 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-38.5.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-38.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-38.5.10 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/118 and that compliance is certified every quarter.

KAP-38.5.11 Cases involving cash transaction reports with an exposure above Rs. 24 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.22.

KAP-38.5.12 The Regional Credit Officer shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-38.5.13 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

Section 38.6 Customer Identification - Operating Rule Set 38.6

KAP-38.6.1 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure G-26.

KAP-38.6.2 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/247 and that compliance is certified every quarter.

KAP-38.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-38.6.4 The Compliance Officer shall review account-opening forms within 11 working days of receipt and record the outcome in the Case Management system.

KAP-38.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-38.6.6 Cases involving risk-rating files with an exposure above Rs. 465 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.19.

KAP-38.6.7 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-38.6.8 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure D-3.

KAP-38.6.9 The Branch Manager shall review cash transaction reports within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-38.6.10 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 38.7 Customer Identification - Operating Rule Set 38.7

KAP-38.7.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-38.7.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-38.7.3 Cases involving correspondent-bank relationships with an exposure above Rs. 103 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.16.

KAP-38.7.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure A-8.

KAP-38.7.5 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/298 and that compliance is certified every quarter.

KAP-38.7.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-38.7.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure G-24.

KAP-38.7.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-38.7.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-38.7.10 The Audit Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Case Management system.

KAP-38.7.11 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

PART 4 - CHAPTER 39: CUSTOMER DUE DILIGENCE

Section 39.1 Customer Due Diligence - Operating Rule Set 39.1

KAP-39.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-39.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-39.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 195 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.25.

KAP-39.1.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-39.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-39.1.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/008 and that compliance is certified every quarter.

KAP-39.1.7 Cases involving PEP screening results with an exposure above Rs. 224 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.6.

KAP-39.1.8 The Branch Manager shall review account-opening forms within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-39.1.9 Cases involving video-KYC sessions with an exposure above Rs. 500 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.3.

Section 39.2 Customer Due Diligence - Operating Rule Set 39.2

KAP-39.2.1 The Regional Credit Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-39.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-39.2.3 The Zonal Head shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-39.2.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after

giving the customer 11 days written notice.

KAP-39.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-39.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-39.2.7 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-3.

KAP-39.2.8 The Branch Manager shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-39.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-39.2.10 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure F-32.

Section 39.3 Customer Due Diligence - Operating Rule Set 39.3

KAP-39.3.1 Cases involving risk-rating files with an exposure above Rs. 307 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.17.

KAP-39.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-39.3.3 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/226 and that compliance is certified every quarter.

KAP-39.3.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-30.

KAP-39.3.5 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-39.3.6 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/173 and that compliance is certified every quarter.

KAP-39.3.7 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-39.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 39.4 Customer Due Diligence - Operating Rule Set 39.4

KAP-39.4.1 Cases involving PEP screening results with an exposure above Rs. 269 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.3.

KAP-39.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-39.4.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/259 and that compliance is certified every quarter.

KAP-39.4.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/247 and that compliance is certified every quarter.

KAP-39.4.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/167 and that compliance is certified every quarter.

KAP-39.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-39.4.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure C-17.

KAP-39.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-39.4.9 The Credit Committee shall review PEP screening results within 6 working days of receipt and record the outcome in the Document Management system.

KAP-39.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-39.4.11 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure E-31.

Section 39.5 Customer Due Diligence - Operating Rule Set 39.5

KAP-39.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-39.5.2 The Branch Manager shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-39.5.3 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/131 and that compliance is certified every quarter.

KAP-39.5.4 The Operations Head shall review risk-rating files within 25 working days of receipt and record the outcome in the Case Management system.

KAP-39.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-39.5.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-39.5.7 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-39.5.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-39.5.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure H-39.

KAP-39.5.10 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure D-19.

KAP-39.5.11 Cases involving account-opening forms with an exposure above Rs. 159 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.22.

Section 39.6 Customer Due Diligence - Operating Rule Set 39.6

KAP-39.6.1 The Zonal Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-39.6.2 The Zonal Head shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Document Management system.

KAP-39.6.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-22.

KAP-39.6.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure B-6.

KAP-39.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-39.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-39.6.7 Cases involving video-KYC sessions with an exposure above Rs. 472 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.3.

KAP-39.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-39.6.9 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-39.6.10 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure C-6.

KAP-39.6.11 Cases involving cash transaction reports with an exposure above Rs. 362 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.25.

Section 39.7 Customer Due Diligence - Operating Rule Set 39.7

KAP-39.7.1 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-39.7.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/050 and that compliance is certified every quarter.

KAP-39.7.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-39.7.4 Cases involving beneficial-owner declarations with an exposure above Rs. 108 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.29.

KAP-39.7.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-39.7.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-39.7.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-39.7.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-39.7.9 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 39.8 Customer Due Diligence - Operating Rule Set 39.8

KAP-39.8.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-39.8.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-39.8.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-39.8.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-39.8.5 The Zonal Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-39.8.6 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/240 and that compliance is certified every quarter.

KAP-39.8.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/122 and that compliance is certified every quarter.

KAP-39.8.8 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/126 and that compliance is certified every quarter.

PART 4 - CHAPTER 40: ENHANCED DUE DILIGENCE

Section 40.1 Enhanced Due Diligence - Operating Rule Set 40.1

KAP-40.1.1 The Regional Credit Officer shall review address proofs within 25 working days of receipt and record the outcome in the Case Management system.

KAP-40.1.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-40.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-40.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-40.1.5 Cases involving cash transaction reports with an exposure above Rs. 127 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.22.

KAP-40.1.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-40.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-40.1.8 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-40.1.9 Cases involving risk-rating files with an exposure above Rs. 425 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.13.

KAP-40.1.10 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-40.1.11 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-40.1.12 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure F-15.

Section 40.2 Enhanced Due Diligence - Operating Rule Set 40.2

KAP-40.2.1 Cases involving risk-rating files with an exposure above Rs. 111 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.15.

KAP-40.2.2 The Branch Manager shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-40.2.3 The Compliance Officer shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-40.2.4 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-40.2.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure C-10.

KAP-40.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-40.2.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure H-20.

KAP-40.2.8 The Audit Department shall review risk-rating files within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-40.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-40.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-40.2.11 The Compliance Officer shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Case Management system.

KAP-40.2.12 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 40.3 Enhanced Due Diligence - Operating Rule Set 40.3

KAP-40.3.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-40.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-40.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-40.3.4 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-40.3.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-40.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-40.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-40.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-40.3.9 The Compliance Officer shall review account-opening forms within 4 working days of receipt and record the

outcome in the Core Banking system.

KAP-40.3.10 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-40.3.11 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/295 and that compliance is certified every quarter.

KAP-40.3.12 The Operations Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

Section 40.4 Enhanced Due Diligence - Operating Rule Set 40.4

KAP-40.4.1 Cases involving address proofs with an exposure above Rs. 18 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.17.

KAP-40.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-40.4.3 Cases involving address proofs with an exposure above Rs. 110 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.17.

KAP-40.4.4 The Credit Committee shall review cash transaction reports within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-40.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 377 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.18.

KAP-40.4.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure H-17.

KAP-40.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-40.4.8 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-40.4.9 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-40.4.10 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/237 and that compliance is certified every quarter.

Section 40.5 Enhanced Due Diligence - Operating Rule Set 40.5

KAP-40.5.1 In case of a request for exception, the Credit Committee must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure G-17.

KAP-40.5.2 The Risk Management Department shall review identity documents within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-40.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-40.5.4 The Regional Credit Officer shall review cash transaction reports within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-40.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-40.5.6 Cases involving address proofs with an exposure above Rs. 306 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.10.

KAP-40.5.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-40.5.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-40.5.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/264 and that compliance is certified every quarter.

KAP-40.5.10 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/294 and that compliance is certified every quarter.

KAP-40.5.11 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-40.5.12 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure F-23.

KAP-40.5.13 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

PART 4 - CHAPTER 41: RISK CATEGORISATION

Section 41.1 Risk Categorisation - Operating Rule Set 41.1

KAP-41.1.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/148 and that compliance is certified every quarter.

KAP-41.1.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/078 and that compliance is certified every quarter.

KAP-41.1.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure E-18.

KAP-41.1.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/165 and that compliance is certified every quarter.

KAP-41.1.5 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/133 and that compliance is certified every quarter.

KAP-41.1.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure F-39.

KAP-41.1.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-41.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 41.2 Risk Categorisation - Operating Rule Set 41.2

KAP-41.2.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-41.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-41.2.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure E-22.

KAP-41.2.4 The Zonal Head shall review account-opening forms within 9 working days of receipt and record the outcome in the Case Management system.

KAP-41.2.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/232 and that compliance is certified every quarter.

KAP-41.2.6 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-41.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-41.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-41.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-41.2.10 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-41.2.11 The Credit Committee shall review account-opening forms within 19 working days of receipt and record the outcome in the Document Management system.

Section 41.3 Risk Categorisation - Operating Rule Set 41.3

KAP-41.3.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-41.3.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/146 and that compliance is certified every quarter.

KAP-41.3.3 The Audit Department shall review address proofs within 15 working days of receipt and record the outcome in

the Document Management system.

KAP-41.3.4 Cases involving account-opening forms with an exposure above Rs. 442 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.11.

KAP-41.3.5 The Risk Management Department shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Case Management system.

KAP-41.3.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-41.3.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-41.3.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/055 and that compliance is certified every quarter.

KAP-41.3.9 Cases involving PEP screening results with an exposure above Rs. 336 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.30.

KAP-41.3.10 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/286 and that compliance is certified every quarter.

Section 41.4 Risk Categorisation - Operating Rule Set 41.4

KAP-41.4.1 The Operations Head shall review identity documents within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-41.4.2 Cases involving account-opening forms with an exposure above Rs. 302 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.30.

KAP-41.4.3 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/208 and that compliance is certified every quarter.

KAP-41.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-41.4.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-41.4.6 The Operations Head shall review cash transaction reports within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-41.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-41.4.8 Cases involving address proofs with an exposure above Rs. 375 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

KAP-41.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 323 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.4.

KAP-41.4.10 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-30.

Section 41.5 Risk Categorisation - Operating Rule Set 41.5

KAP-41.5.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-41.5.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-41.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-41.5.4 Cases involving PEP screening results with an exposure above Rs. 496 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.19.

KAP-41.5.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-41.5.6 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/295 and that compliance is certified every quarter.

KAP-41.5.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/057 and that compliance is certified every quarter.

KAP-41.5.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure F-12.

KAP-41.5.9 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure E-37.

KAP-41.5.10 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure F-25.

KAP-41.5.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

Section 41.6 Risk Categorisation - Operating Rule Set 41.6

KAP-41.6.1 Cases involving video-KYC sessions with an exposure above Rs. 253 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.22.

KAP-41.6.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-41.6.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-41.6.4 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-41.6.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-41.6.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-41.6.7 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/256 and that compliance is certified every quarter.

KAP-41.6.8 Cases involving identity documents with an exposure above Rs. 308 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.10.

KAP-41.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 41.7 Risk Categorisation - Operating Rule Set 41.7

KAP-41.7.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-41.7.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-41.7.3 Cases involving account-opening forms with an exposure above Rs. 70 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.8.

KAP-41.7.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/268 and that compliance is certified every quarter.

KAP-41.7.5 Cases involving cash transaction reports with an exposure above Rs. 66 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.9.

KAP-41.7.6 The Zonal Head shall review identity documents within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-41.7.7 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-41.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 422 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.7.

KAP-41.7.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/252 and that compliance is certified every quarter.

KAP-41.7.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure B-39.

Section 41.8 Risk Categorisation - Operating Rule Set 41.8

KAP-41.8.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-41.8.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-41.8.3 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-41.8.4 Cases involving correspondent-bank relationships with an exposure above Rs. 119 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.9.

KAP-41.8.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/237 and that compliance is certified every quarter.

KAP-41.8.6 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-41.8.7 The Credit Committee shall review account-opening forms within 26 working days of receipt and record the outcome in the Document Management system.

KAP-41.8.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-41.8.9 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure D-23.

KAP-41.8.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

PART 4 - CHAPTER 42: TRANSACTION MONITORING

Section 42.1 Transaction Monitoring - Operating Rule Set 42.1

KAP-42.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-42.1.2 The Audit Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-42.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-42.1.4 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-42.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-42.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 207 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.15.

KAP-42.1.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-42.1.8 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure F-32.

Section 42.2 Transaction Monitoring - Operating Rule Set 42.2

KAP-42.2.1 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-42.2.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure E-11.

KAP-42.2.3 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-42.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-42.2.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-42.2.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/141 and that compliance is certified every quarter.

KAP-42.2.7 The Risk Management Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-42.2.8 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-42.2.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-42.2.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-42.2.11 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-42.2.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

Section 42.3 Transaction Monitoring - Operating Rule Set 42.3

KAP-42.3.1 Cases involving video-KYC sessions with an exposure above Rs. 202 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.28.

KAP-42.3.2 The Zonal Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-42.3.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-42.3.4 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure G-28.

KAP-42.3.5 Cases involving video-KYC sessions with an exposure above Rs. 105 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.20.

KAP-42.3.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure A-4.

KAP-42.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-42.3.8 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-39.

KAP-42.3.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-42.3.10 Cases involving PEP screening results with an exposure above Rs. 232 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.27.

Section 42.4 Transaction Monitoring - Operating Rule Set 42.4

KAP-42.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 322 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.22.

KAP-42.4.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-42.4.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-42.4.4 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure C-19.

KAP-42.4.5 The Branch Manager shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-42.4.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/179 and that compliance is certified every quarter.

KAP-42.4.7 Cases involving risk-rating files with an exposure above Rs. 144 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.22.

KAP-42.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-42.4.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-42.4.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after

giving the customer 10 days written notice.

KAP-42.4.11 Cases involving PEP screening results with an exposure above Rs. 231 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.9.

KAP-42.4.12 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure C-13.

Section 42.5 Transaction Monitoring - Operating Rule Set 42.5

KAP-42.5.1 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-42.5.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure A-4.

KAP-42.5.3 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/198 and that compliance is certified every quarter.

KAP-42.5.4 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-42.5.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-42.5.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-42.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-42.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 323 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.12.

KAP-42.5.9 The Audit Department shall review account-opening forms within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-42.5.10 Cases involving PEP screening results with an exposure above Rs. 63 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.13.

KAP-42.5.11 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-42.5.12 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-42.5.13 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

PART 4 - CHAPTER 43: SUSPICIOUS TRANSACTION REPORTING

Section 43.1 Suspicious Transaction Reporting - Operating Rule Set 43.1

KAP-43.1.1 The Branch Manager shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Case Management system.

KAP-43.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-43.1.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-43.1.4 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-43.1.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-43.1.6 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/144 and that compliance is certified every quarter.

KAP-43.1.7 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure H-24.

KAP-43.1.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-43.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2

and be made available to internal auditors on request.

KAP-43.1.10 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/290 and that compliance is certified every quarter.

Section 43.2 Suspicious Transaction Reporting - Operating Rule Set 43.2

KAP-43.2.1 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure F-31.

KAP-43.2.2 The Risk Management Department shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-43.2.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-43.2.4 The Zonal Head shall review PEP screening results within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-43.2.5 The Compliance Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-43.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-43.2.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure H-10.

KAP-43.2.8 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-43.2.9 Cases involving risk-rating files with an exposure above Rs. 390 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.27.

Section 43.3 Suspicious Transaction Reporting - Operating Rule Set 43.3

KAP-43.3.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-43.3.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure B-16.

KAP-43.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-43.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-43.3.5 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-43.3.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure A-8.

KAP-43.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-43.3.8 The Zonal Head shall review identity documents within 21 working days of receipt and record the outcome in the Case Management system.

KAP-43.3.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-43.3.10 Cases involving video-KYC sessions with an exposure above Rs. 241 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.13.

KAP-43.3.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 43.4 Suspicious Transaction Reporting - Operating Rule Set 43.4

KAP-43.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-43.4.2 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/082 and that compliance is certified every quarter.

KAP-43.4.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the

procedures in Circular KAP/2022/128 and that compliance is certified every quarter.

KAP-43.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-43.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-43.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-43.4.7 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/030 and that compliance is certified every quarter.

KAP-43.4.8 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-43.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 43.5 Suspicious Transaction Reporting - Operating Rule Set 43.5

KAP-43.5.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/066 and that compliance is certified every quarter.

KAP-43.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-43.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 294 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.7.

KAP-43.5.4 Cases involving beneficial-owner declarations with an exposure above Rs. 246 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.27.

KAP-43.5.5 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/010 and that compliance is certified every quarter.

KAP-43.5.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-43.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-43.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

PART 4 - CHAPTER 44: POLITICALLY EXPOSED PERSONS

Section 44.1 Politically Exposed Persons - Operating Rule Set 44.1

KAP-44.1.1 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-44.1.2 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-44.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-44.1.4 The Risk Management Department shall review cash transaction reports within 16 working days of receipt and record the outcome in the Case Management system.

KAP-44.1.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-44.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-44.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-44.1.8 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/112 and that compliance is certified every quarter.

KAP-44.1.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-44.1.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee

within 8 working days, with the supporting documents listed in Annexure F-33.

Section 44.2 Politically Exposed Persons - Operating Rule Set 44.2

KAP-44.2.1 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-44.2.2 The Compliance Officer shall review identity documents within 10 working days of receipt and record the outcome in the Document Management system.

KAP-44.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-44.2.4 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/263 and that compliance is certified every quarter.

KAP-44.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-44.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-44.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-44.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-44.2.9 The Credit Committee shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-44.2.10 Cases involving identity documents with an exposure above Rs. 290 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.10.

Section 44.3 Politically Exposed Persons - Operating Rule Set 44.3

KAP-44.3.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure A-23.

KAP-44.3.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-44.3.3 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-44.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-44.3.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-44.3.6 The Credit Committee shall review address proofs within 28 working days of receipt and record the outcome in the Document Management system.

KAP-44.3.7 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/023 and that compliance is certified every quarter.

KAP-44.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-44.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-44.3.10 Cases involving address proofs with an exposure above Rs. 177 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.8.

KAP-44.3.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-44.3.12 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure G-22.

KAP-44.3.13 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure E-21.

Section 44.4 Politically Exposed Persons - Operating Rule Set 44.4

KAP-44.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management

Department by the 12th day of the following month.

KAP-44.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-44.4.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-44.4.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-44.4.5 Cases involving PEP screening results with an exposure above Rs. 121 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.23.

KAP-44.4.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/287 and that compliance is certified every quarter.

KAP-44.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-44.4.8 The Risk Management Department shall review cash transaction reports within 12 working days of receipt and record the outcome in the Core Banking system.

Section 44.5 Politically Exposed Persons - Operating Rule Set 44.5

KAP-44.5.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure E-18.

KAP-44.5.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-44.5.3 Cases involving video-KYC sessions with an exposure above Rs. 238 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.17.

KAP-44.5.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/275 and that compliance is certified every quarter.

KAP-44.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-44.5.6 The Compliance Officer shall review address proofs within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-44.5.7 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure A-15.

KAP-44.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 264 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.11.

PART 4 - CHAPTER 45: BENEFICIAL OWNERSHIP

Section 45.1 Beneficial Ownership - Operating Rule Set 45.1

KAP-45.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure D-27.

KAP-45.1.2 The Credit Committee shall review PEP screening results within 19 working days of receipt and record the outcome in the Document Management system.

KAP-45.1.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-45.1.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-45.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-45.1.6 The Credit Committee shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-45.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-45.1.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure F-29.

KAP-45.1.9 Cases involving identity documents with an exposure above Rs. 262 lakh require prior written approval from the

Credit Committee; otherwise the case is an exception under Clause 16.19.

KAP-45.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-45.1.11 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure A-21.

Section 45.2 Beneficial Ownership - Operating Rule Set 45.2

KAP-45.2.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-45.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-45.2.3 The Zonal Head shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-45.2.4 The Operations Head shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-45.2.5 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-45.2.6 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/149 and that compliance is certified every quarter.

KAP-45.2.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-45.2.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-45.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-45.2.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-45.2.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 45.3 Beneficial Ownership - Operating Rule Set 45.3

KAP-45.3.1 Cases involving video-KYC sessions with an exposure above Rs. 442 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.29.

KAP-45.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-45.3.3 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-45.3.4 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-45.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-45.3.6 Cases involving risk-rating files with an exposure above Rs. 484 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.4.

KAP-45.3.7 Cases involving risk-rating files with an exposure above Rs. 128 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.22.

KAP-45.3.8 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 45.4 Beneficial Ownership - Operating Rule Set 45.4

KAP-45.4.1 The Risk Management Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-45.4.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure C-26.

KAP-45.4.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system

are trained on the procedures in Circular KAP/2023/259 and that compliance is certified every quarter.

KAP-45.4.4 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-27.

KAP-45.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-45.4.6 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-45.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-45.4.8 The Branch Manager shall review identity documents within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-45.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-45.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 260 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.30.

Section 45.5 Beneficial Ownership - Operating Rule Set 45.5

KAP-45.5.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-45.5.2 The Compliance Officer shall review address proofs within 8 working days of receipt and record the outcome in the Case Management system.

KAP-45.5.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-45.5.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-45.5.5 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure B-4.

KAP-45.5.6 The Risk Management Department shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-45.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-45.5.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-45.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-45.5.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

PART 4 - CHAPTER 46: RECORD KEEPING

Section 46.1 Record Keeping - Operating Rule Set 46.1

KAP-46.1.1 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-46.1.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-46.1.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

KAP-46.1.4 Cases involving identity documents with an exposure above Rs. 152 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.10.

KAP-46.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-46.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-46.1.7 The Credit Committee shall review address proofs within 8 working days of receipt and record the outcome in

the Case Management system.

KAP-46.1.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/153 and that compliance is certified every quarter.

KAP-46.1.9 The Risk Management Department shall review risk-rating files within 23 working days of receipt and record the outcome in the Case Management system.

KAP-46.1.10 Cases involving identity documents with an exposure above Rs. 330 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.14.

KAP-46.1.11 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/080 and that compliance is certified every quarter.

Section 46.2 Record Keeping - Operating Rule Set 46.2

KAP-46.2.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure A-33.

KAP-46.2.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-46.2.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/029 and that compliance is certified every quarter.

KAP-46.2.4 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/114 and that compliance is certified every quarter.

KAP-46.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-46.2.6 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure F-27.

KAP-46.2.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure E-5.

KAP-46.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-46.2.9 The Audit Department shall review identity documents within 7 working days of receipt and record the outcome in the Customer Relationship system.

Section 46.3 Record Keeping - Operating Rule Set 46.3

KAP-46.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-46.3.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-46.3.3 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-46.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-46.3.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure C-31.

KAP-46.3.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-23.

KAP-46.3.7 The Audit Department shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Document Management system.

KAP-46.3.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/060 and that compliance is certified every quarter.

KAP-46.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-46.3.10 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/067 and that compliance is certified every quarter.

KAP-46.3.11 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-46.3.12 The Compliance Officer shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

Section 46.4 Record Keeping - Operating Rule Set 46.4

KAP-46.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-46.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-46.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-46.4.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-46.4.5 The Risk Management Department shall review account-opening forms within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-46.4.6 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-46.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-46.4.8 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Document Management system.

KAP-46.4.9 The Branch Manager shall review cash transaction reports within 30 working days of receipt and record the outcome in the Document Management system.

KAP-46.4.10 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-46.4.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/199 and that compliance is certified every quarter.

Section 46.5 Record Keeping - Operating Rule Set 46.5

KAP-46.5.1 Cases involving risk-rating files with an exposure above Rs. 266 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.12.

KAP-46.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-46.5.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-46.5.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-46.5.5 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-46.5.6 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/269 and that compliance is certified every quarter.

KAP-46.5.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-46.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-46.5.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/018 and that compliance is certified every quarter.

KAP-46.5.10 The Regional Credit Officer shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Customer Relationship system.

PART 4 - CHAPTER 47: STAFF TRAINING

Section 47.1 Staff Training - Operating Rule Set 47.1

KAP-47.1.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure C-21.

KAP-47.1.2 The Credit Committee shall review account-opening forms within 4 working days of receipt and record the

outcome in the Risk Engine system.

KAP-47.1.3 The Credit Committee shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Case Management system.

KAP-47.1.4 Cases involving risk-rating files with an exposure above Rs. 158 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.23.

KAP-47.1.5 The Risk Management Department shall review identity documents within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-47.1.6 The Credit Committee shall review PEP screening results within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-47.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-47.1.8 Cases involving risk-rating files with an exposure above Rs. 329 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.10.

KAP-47.1.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure C-30.

KAP-47.1.10 The Branch Manager shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Case Management system.

Section 47.2 Staff Training - Operating Rule Set 47.2

KAP-47.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-47.2.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure H-8.

KAP-47.2.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure D-9.

KAP-47.2.4 The Risk Management Department shall review address proofs within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-47.2.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-47.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-47.2.7 The Credit Committee shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-47.2.8 The Risk Management Department shall review identity documents within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-47.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-47.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-47.2.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-47.2.12 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/283 and that compliance is certified every quarter.

KAP-47.2.13 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

Section 47.3 Staff Training - Operating Rule Set 47.3

KAP-47.3.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-47.3.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure E-4.

KAP-47.3.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-47.3.4 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-47.3.5 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-47.3.6 The Operations Head shall review identity documents within 4 working days of receipt and record the outcome in the Document Management system.

KAP-47.3.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-47.3.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-47.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-47.3.10 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure C-14.

KAP-47.3.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 47.4 Staff Training - Operating Rule Set 47.4

KAP-47.4.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-5.

KAP-47.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-47.4.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure B-21.

KAP-47.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-47.4.5 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure A-4.

KAP-47.4.6 The Regional Credit Officer shall review address proofs within 4 working days of receipt and record the outcome in the Case Management system.

KAP-47.4.7 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-47.4.8 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/176 and that compliance is certified every quarter.

KAP-47.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-47.4.10 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/039 and that compliance is certified every quarter.

Section 47.5 Staff Training - Operating Rule Set 47.5

KAP-47.5.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-47.5.2 Cases involving PEP screening results with an exposure above Rs. 388 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.8.

KAP-47.5.3 Cases involving cash transaction reports with an exposure above Rs. 283 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.15.

KAP-47.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-47.5.5 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-47.5.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-47.5.7 The Credit Committee shall review risk-rating files within 17 working days of receipt and record the outcome in

the Core Banking system.

KAP-47.5.8 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-47.5.9 Cases involving address proofs with an exposure above Rs. 124 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.19.

PART 4 - CHAPTER 48: INDEPENDENT AUDIT

Section 48.1 Independent Audit - Operating Rule Set 48.1

KAP-48.1.1 The Credit Committee shall review address proofs within 26 working days of receipt and record the outcome in the Document Management system.

KAP-48.1.2 Cases involving video-KYC sessions with an exposure above Rs. 315 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.20.

KAP-48.1.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-48.1.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/299 and that compliance is certified every quarter.

KAP-48.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-48.1.6 Cases involving PEP screening results with an exposure above Rs. 381 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.10.

KAP-48.1.7 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure H-1.

KAP-48.1.8 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

Section 48.2 Independent Audit - Operating Rule Set 48.2

KAP-48.2.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-48.2.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure F-33.

KAP-48.2.3 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure G-27.

KAP-48.2.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-48.2.5 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure H-35.

KAP-48.2.6 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-48.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-48.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 48.3 Independent Audit - Operating Rule Set 48.3

KAP-48.3.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-48.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-48.3.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/285 and that compliance is certified every quarter.

KAP-48.3.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-48.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 290 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.12.

KAP-48.3.6 Cases involving identity documents with an exposure above Rs. 317 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.27.

KAP-48.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-48.3.8 The Zonal Head shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-48.3.9 The Risk Management Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-48.3.10 The Credit Committee shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Loan Origination system.

Section 48.4 Independent Audit - Operating Rule Set 48.4

KAP-48.4.1 The Regional Credit Officer shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-48.4.2 Cases involving account-opening forms with an exposure above Rs. 407 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.27.

KAP-48.4.3 Cases involving PEP screening results with an exposure above Rs. 347 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.16.

KAP-48.4.4 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-48.4.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/267 and that compliance is certified every quarter.

KAP-48.4.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-48.4.7 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/262 and that compliance is certified every quarter.

KAP-48.4.8 The Zonal Head shall review risk-rating files within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-48.4.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-48.4.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-48.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-48.4.12 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure F-35.

Section 48.5 Independent Audit - Operating Rule Set 48.5

KAP-48.5.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/131 and that compliance is certified every quarter.

KAP-48.5.2 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/053 and that compliance is certified every quarter.

KAP-48.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-48.5.4 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-48.5.5 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-48.5.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure H-26.

KAP-48.5.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-48.5.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 15 working

days, with the supporting documents listed in Annexure C-28.

KAP-48.5.9 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/249 and that compliance is certified every quarter.

KAP-48.5.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-48.5.11 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure G-20.

Section 48.6 Independent Audit - Operating Rule Set 48.6

KAP-48.6.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-48.6.2 The Regional Credit Officer shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-48.6.3 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure G-28.

KAP-48.6.4 Cases involving cash transaction reports with an exposure above Rs. 159 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.14.

KAP-48.6.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-48.6.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/292 and that compliance is certified every quarter.

KAP-48.6.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 325 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.24.

KAP-48.6.8 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/250 and that compliance is certified every quarter.

KAP-48.6.9 Cases involving identity documents with an exposure above Rs. 177 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.5.

KAP-48.6.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

Section 48.7 Independent Audit - Operating Rule Set 48.7

KAP-48.7.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-48.7.2 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-48.7.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/065 and that compliance is certified every quarter.

KAP-48.7.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure C-18.

KAP-48.7.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-48.7.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/209 and that compliance is certified every quarter.

KAP-48.7.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/113 and that compliance is certified every quarter.

KAP-48.7.8 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure F-13.

KAP-48.7.9 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-48.7.10 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/286 and that compliance is certified every quarter.

PART 5 - CHAPTER 49: CUSTOMER ACCEPTANCE

Section 49.1 Customer Acceptance - Operating Rule Set 49.1

KAP-49.1.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure B-34.

KAP-49.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-49.1.3 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/073 and that compliance is certified every quarter.

KAP-49.1.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-49.1.5 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/067 and that compliance is certified every quarter.

KAP-49.1.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure D-27.

KAP-49.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-49.1.8 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/085 and that compliance is certified every quarter.

KAP-49.1.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-49.1.10 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure C-29.

KAP-49.1.11 Cases involving cash transaction reports with an exposure above Rs. 131 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.19.

Section 49.2 Customer Acceptance - Operating Rule Set 49.2

KAP-49.2.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure A-37.

KAP-49.2.2 The Compliance Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-49.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-49.2.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure B-40.

KAP-49.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-49.2.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure C-6.

KAP-49.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-49.2.8 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/017 and that compliance is certified every quarter.

KAP-49.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

Section 49.3 Customer Acceptance - Operating Rule Set 49.3

KAP-49.3.1 The Audit Department shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-49.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-49.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 294 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.14.

KAP-49.3.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/137 and that compliance is certified every quarter.

KAP-49.3.5 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a

tolerance of 7% as approved by the Board.

KAP-49.3.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure G-4.

KAP-49.3.7 Cases involving video-KYC sessions with an exposure above Rs. 482 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.30.

KAP-49.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-49.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-49.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-49.3.11 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/041 and that compliance is certified every quarter.

KAP-49.3.12 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-12.

Section 49.4 Customer Acceptance - Operating Rule Set 49.4

KAP-49.4.1 Cases involving cash transaction reports with an exposure above Rs. 344 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.18.

KAP-49.4.2 The Operations Head shall review account-opening forms within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-49.4.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure A-4.

KAP-49.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-49.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-49.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-49.4.7 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-49.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-49.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

PART 5 - CHAPTER 50: CUSTOMER IDENTIFICATION

Section 50.1 Customer Identification - Operating Rule Set 50.1

KAP-50.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-50.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 247 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.20.

KAP-50.1.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-50.1.4 Cases involving risk-rating files with an exposure above Rs. 447 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.26.

KAP-50.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 299 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.27.

KAP-50.1.6 Cases involving risk-rating files with an exposure above Rs. 145 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.28.

KAP-50.1.7 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/192 and that compliance is certified every quarter.

KAP-50.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 15 and be made available to statutory auditors on request.

KAP-50.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-50.1.10 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-50.1.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

Section 50.2 Customer Identification - Operating Rule Set 50.2

KAP-50.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-50.2.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-50.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-50.2.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/042 and that compliance is certified every quarter.

KAP-50.2.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/159 and that compliance is certified every quarter.

KAP-50.2.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/050 and that compliance is certified every quarter.

KAP-50.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 394 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.16.

KAP-50.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-50.2.9 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/262 and that compliance is certified every quarter.

KAP-50.2.10 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-50.2.11 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-14.

KAP-50.2.12 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/069 and that compliance is certified every quarter.

Section 50.3 Customer Identification - Operating Rule Set 50.3

KAP-50.3.1 Cases involving account-opening forms with an exposure above Rs. 5 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.30.

KAP-50.3.2 The Credit Committee shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-50.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-50.3.4 Cases involving address proofs with an exposure above Rs. 298 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.13.

KAP-50.3.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/118 and that compliance is certified every quarter.

KAP-50.3.6 The Zonal Head shall review account-opening forms within 30 working days of receipt and record the outcome in the Document Management system.

KAP-50.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 326 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.11.

KAP-50.3.8 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/159 and that compliance is certified every quarter.

KAP-50.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

Section 50.4 Customer Identification - Operating Rule Set 50.4

KAP-50.4.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-50.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-50.4.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-50.4.4 The Credit Committee shall review identity documents within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-50.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-50.4.6 The Operations Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-50.4.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure A-4.

KAP-50.4.8 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/160 and that compliance is certified every quarter.

KAP-50.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 50.5 Customer Identification - Operating Rule Set 50.5

KAP-50.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-50.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-50.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 32 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.9.

KAP-50.5.4 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure G-26.

KAP-50.5.5 Cases involving PEP screening results with an exposure above Rs. 348 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.11.

KAP-50.5.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-50.5.7 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-50.5.8 Cases involving cash transaction reports with an exposure above Rs. 93 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.12.

KAP-50.5.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-50.5.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-50.5.11 Cases involving identity documents with an exposure above Rs. 137 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.17.

Section 50.6 Customer Identification - Operating Rule Set 50.6

KAP-50.6.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure E-12.

KAP-50.6.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-50.6.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure G-31.

KAP-50.6.4 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure G-34.

KAP-50.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-50.6.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-50.6.7 Cases involving address proofs with an exposure above Rs. 10 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.5.

KAP-50.6.8 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Document Management system.

KAP-50.6.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 50.7 Customer Identification - Operating Rule Set 50.7

KAP-50.7.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure E-23.

KAP-50.7.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-50.7.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-50.7.4 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-50.7.5 The Regional Credit Officer shall review address proofs within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-50.7.6 The Credit Committee shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-50.7.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-50.7.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

Section 50.8 Customer Identification - Operating Rule Set 50.8

KAP-50.8.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-50.8.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-50.8.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-50.8.4 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-50.8.5 In case of a request for exception, the Operations Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure A-1.

KAP-50.8.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-50.8.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 187 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.7.

KAP-50.8.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-50.8.9 Cases involving identity documents with an exposure above Rs. 202 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.24.

KAP-50.8.10 The Compliance Officer shall review identity documents within 5 working days of receipt and record the outcome in the Core Banking system.

PART 5 - CHAPTER 51: CUSTOMER DUE DILIGENCE

Section 51.1 Customer Due Diligence - Operating Rule Set 51.1

KAP-51.1.1 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2%

as approved by the Board.

KAP-51.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-51.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 348 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.20.

KAP-51.1.4 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/154 and that compliance is certified every quarter.

KAP-51.1.5 Cases involving account-opening forms with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.6.

KAP-51.1.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure A-2.

KAP-51.1.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/221 and that compliance is certified every quarter.

KAP-51.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-51.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 51.2 Customer Due Diligence - Operating Rule Set 51.2

KAP-51.2.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-51.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-51.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-51.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-51.2.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure H-1.

KAP-51.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-51.2.7 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure D-28.

KAP-51.2.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/248 and that compliance is certified every quarter.

KAP-51.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

Section 51.3 Customer Due Diligence - Operating Rule Set 51.3

KAP-51.3.1 The Operations Head shall review account-opening forms within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-51.3.2 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-51.3.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure D-37.

KAP-51.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-51.3.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-51.3.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/193 and that compliance is certified every quarter.

KAP-51.3.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-51.3.8 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-51.3.9 Cases involving video-KYC sessions with an exposure above Rs. 285 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.11.

Section 51.4 Customer Due Diligence - Operating Rule Set 51.4

KAP-51.4.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-51.4.2 The Credit Committee shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-51.4.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-51.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-51.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-51.4.6 Cases involving account-opening forms with an exposure above Rs. 336 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.28.

KAP-51.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 433 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.18.

KAP-51.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

PART 5 - CHAPTER 52: ENHANCED DUE DILIGENCE

Section 52.1 Enhanced Due Diligence - Operating Rule Set 52.1

KAP-52.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 50 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.29.

KAP-52.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-52.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-52.1.4 The Zonal Head shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-52.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-52.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-52.1.7 The Credit Committee shall review risk-rating files within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-52.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-52.1.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

Section 52.2 Enhanced Due Diligence - Operating Rule Set 52.2

KAP-52.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-52.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 214 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.22.

KAP-52.2.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/052 and that compliance is certified every quarter.

KAP-52.2.4 Cases involving identity documents with an exposure above Rs. 415 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.14.

KAP-52.2.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Risk Management

Department within 10 working days, with the supporting documents listed in Annexure H-5.

KAP-52.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-52.2.7 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-52.2.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/099 and that compliance is certified every quarter.

KAP-52.2.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-52.2.10 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure H-29.

KAP-52.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 405 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.13.

KAP-52.2.12 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

Section 52.3 Enhanced Due Diligence - Operating Rule Set 52.3

KAP-52.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-52.3.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-52.3.3 Cases involving correspondent-bank relationships with an exposure above Rs. 430 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.14.

KAP-52.3.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure A-34.

KAP-52.3.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-52.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-52.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 266 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.3.

KAP-52.3.8 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure D-21.

KAP-52.3.9 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-52.3.10 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-52.3.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-52.3.12 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

Section 52.4 Enhanced Due Diligence - Operating Rule Set 52.4

KAP-52.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-52.4.2 Cases involving risk-rating files with an exposure above Rs. 368 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.23.

KAP-52.4.3 Cases involving PEP screening results with an exposure above Rs. 424 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.11.

KAP-52.4.4 The Credit Committee shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-52.4.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-52.4.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-52.4.7 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-52.4.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure B-14.

KAP-52.4.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/060 and that compliance is certified every quarter.

Section 52.5 Enhanced Due Diligence - Operating Rule Set 52.5

KAP-52.5.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/277 and that compliance is certified every quarter.

KAP-52.5.2 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-52.5.3 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-52.5.4 The Credit Committee shall review PEP screening results within 6 working days of receipt and record the outcome in the Document Management system.

KAP-52.5.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-52.5.6 The Branch Manager shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Document Management system.

KAP-52.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-52.5.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure C-8.

KAP-52.5.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-52.5.10 Cases involving PEP screening results with an exposure above Rs. 423 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.24.

KAP-52.5.11 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 52.6 Enhanced Due Diligence - Operating Rule Set 52.6

KAP-52.6.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-52.6.2 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/215 and that compliance is certified every quarter.

KAP-52.6.3 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/181 and that compliance is certified every quarter.

KAP-52.6.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure D-4.

KAP-52.6.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/268 and that compliance is certified every quarter.

KAP-52.6.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-52.6.7 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-52.6.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure A-15.

KAP-52.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-52.6.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7

and be made available to the Board Audit Committee on request.

PART 5 - CHAPTER 53: RISK CATEGORISATION

Section 53.1 Risk Categorisation - Operating Rule Set 53.1

KAP-53.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-53.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-53.1.3 Cases involving video-KYC sessions with an exposure above Rs. 408 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.5.

KAP-53.1.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure C-38.

KAP-53.1.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure D-21.

KAP-53.1.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure D-37.

KAP-53.1.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-53.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-53.1.9 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure H-3.

KAP-53.1.10 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-29.

KAP-53.1.11 In case of a regulatory query, the Audit Department must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure F-26.

Section 53.2 Risk Categorisation - Operating Rule Set 53.2

KAP-53.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-53.2.2 The Audit Department shall review risk-rating files within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-53.2.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/060 and that compliance is certified every quarter.

KAP-53.2.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure E-16.

KAP-53.2.5 Cases involving identity documents with an exposure above Rs. 76 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.29.

KAP-53.2.6 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/247 and that compliance is certified every quarter.

KAP-53.2.7 The Branch Manager shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

KAP-53.2.8 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-33.

KAP-53.2.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-53.2.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-53.2.11 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/300 and that compliance is certified every quarter.

Section 53.3 Risk Categorisation - Operating Rule Set 53.3

KAP-53.3.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/084 and that compliance is certified every quarter.

KAP-53.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-53.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-53.3.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-53.3.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure G-20.

KAP-53.3.6 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure G-3.

KAP-53.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-53.3.8 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-53.3.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-53.3.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-53.3.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 53.4 Risk Categorisation - Operating Rule Set 53.4

KAP-53.4.1 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure A-22.

KAP-53.4.2 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/091 and that compliance is certified every quarter.

KAP-53.4.3 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-33.

KAP-53.4.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure H-23.

KAP-53.4.5 The Risk Management Department shall review cash transaction reports within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-53.4.6 Cases involving PEP screening results with an exposure above Rs. 327 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.16.

KAP-53.4.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-53.4.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-53.4.9 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure B-33.

Section 53.5 Risk Categorisation - Operating Rule Set 53.5

KAP-53.5.1 The Operations Head shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Case Management system.

KAP-53.5.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-53.5.3 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/256 and that compliance is certified every quarter.

KAP-53.5.4 The Regional Credit Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Case Management system.

KAP-53.5.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/138 and that compliance is certified every quarter.

KAP-53.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the

customer 6 days written notice.

KAP-53.5.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/104 and that compliance is certified every quarter.

KAP-53.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-53.5.9 The Credit Committee shall review account-opening forms within 5 working days of receipt and record the outcome in the Core Banking system.

PART 5 - CHAPTER 54: TRANSACTION MONITORING

Section 54.1 Transaction Monitoring - Operating Rule Set 54.1

KAP-54.1.1 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure F-14.

KAP-54.1.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure G-13.

KAP-54.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-54.1.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/079 and that compliance is certified every quarter.

KAP-54.1.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure H-26.

KAP-54.1.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure B-24.

KAP-54.1.7 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-54.1.8 The Risk Management Department shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-54.1.9 The Zonal Head shall review PEP screening results within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-54.1.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-54.1.11 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-8.

Section 54.2 Transaction Monitoring - Operating Rule Set 54.2

KAP-54.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 498 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.17.

KAP-54.2.2 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-54.2.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure H-33.

KAP-54.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-54.2.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-54.2.6 Cases involving PEP screening results with an exposure above Rs. 281 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.27.

KAP-54.2.7 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure B-29.

KAP-54.2.8 The Credit Committee shall review account-opening forms within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-54.2.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/130 and that compliance is certified every quarter.

KAP-54.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving

the customer 17 days written notice.

KAP-54.2.11 The Risk Management Department shall review PEP screening results within 6 working days of receipt and record the outcome in the Customer Relationship system.

Section 54.3 Transaction Monitoring - Operating Rule Set 54.3

KAP-54.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-54.3.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-54.3.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-54.3.4 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/046 and that compliance is certified every quarter.

KAP-54.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-54.3.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-54.3.7 The Regional Credit Officer shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Case Management system.

KAP-54.3.8 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-54.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-54.3.10 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-54.3.11 The Regional Credit Officer shall review account-opening forms within 19 working days of receipt and record the outcome in the Risk Engine system.

Section 54.4 Transaction Monitoring - Operating Rule Set 54.4

KAP-54.4.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-54.4.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-54.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-54.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-54.4.5 Cases involving account-opening forms with an exposure above Rs. 410 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.2.

KAP-54.4.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-54.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-54.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-54.4.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-54.4.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-54.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 54.5 Transaction Monitoring - Operating Rule Set 54.5

KAP-54.5.1 Cases involving address proofs with an exposure above Rs. 154 lakh require prior written approval from the

Risk Management Department; otherwise the case is an exception under Clause 2.1.

KAP-54.5.2 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-54.5.3 The Branch Manager shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-54.5.4 The Audit Department shall review identity documents within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-54.5.5 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-54.5.6 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure E-8.

KAP-54.5.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/134 and that compliance is certified every quarter.

KAP-54.5.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure D-22.

KAP-54.5.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-54.5.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-54.5.11 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/010 and that compliance is certified every quarter.

KAP-54.5.12 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

Section 54.6 Transaction Monitoring - Operating Rule Set 54.6

KAP-54.6.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-54.6.2 The Credit Committee shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Case Management system.

KAP-54.6.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-54.6.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/272 and that compliance is certified every quarter.

KAP-54.6.5 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure D-8.

KAP-54.6.6 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/193 and that compliance is certified every quarter.

KAP-54.6.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-54.6.8 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-54.6.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure G-35.

KAP-54.6.10 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-54.6.11 The Zonal Head shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-54.6.12 The Credit Committee shall review address proofs within 6 working days of receipt and record the outcome in the Case Management system.

KAP-54.6.13 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

PART 5 - CHAPTER 55: SUSPICIOUS TRANSACTION REPORTING

Section 55.1 Suspicious Transaction Reporting - Operating Rule Set 55.1

KAP-55.1.1 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-55.1.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-55.1.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-55.1.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure C-26.

KAP-55.1.5 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure A-26.

KAP-55.1.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-55.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-55.1.8 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure E-33.

KAP-55.1.9 Cases involving risk-rating files with an exposure above Rs. 394 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.9.

KAP-55.1.10 Cases involving identity documents with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.13.

Section 55.2 Suspicious Transaction Reporting - Operating Rule Set 55.2

KAP-55.2.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-55.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-55.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-55.2.4 The Regional Credit Officer shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-55.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-55.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-55.2.7 The Risk Management Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Document Management system.

KAP-55.2.8 Cases involving address proofs with an exposure above Rs. 12 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.8.

KAP-55.2.9 Cases involving video-KYC sessions with an exposure above Rs. 170 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.18.

Section 55.3 Suspicious Transaction Reporting - Operating Rule Set 55.3

KAP-55.3.1 The Compliance Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Document Management system.

KAP-55.3.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-55.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 180 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.24.

KAP-55.3.4 The Credit Committee shall review PEP screening results within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-55.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-55.3.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/264 and that compliance is certified every quarter.

KAP-55.3.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-55.3.8 Cases involving risk-rating files with an exposure above Rs. 444 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.12.

KAP-55.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-55.3.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

Section 55.4 Suspicious Transaction Reporting - Operating Rule Set 55.4

KAP-55.4.1 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-55.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-55.4.3 The Compliance Officer shall review identity documents within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-55.4.4 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-55.4.5 The Regional Credit Officer shall review cash transaction reports within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-55.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-55.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-55.4.8 The Operations Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-55.4.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure D-21.

KAP-55.4.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure B-9.

Section 55.5 Suspicious Transaction Reporting - Operating Rule Set 55.5

KAP-55.5.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-55.5.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-55.5.3 The Branch Manager shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Case Management system.

KAP-55.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-55.5.5 The Credit Committee shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Document Management system.

KAP-55.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 259 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.23.

KAP-55.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-55.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-55.5.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/201 and that compliance is certified every quarter.

KAP-55.5.10 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2019/247 and that compliance is certified every quarter.

KAP-55.5.11 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/173 and that compliance is certified every quarter.

Section 55.6 Suspicious Transaction Reporting - Operating Rule Set 55.6

KAP-55.6.1 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-55.6.2 The Branch Manager shall review account-opening forms within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-55.6.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-55.6.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-55.6.5 The Compliance Officer shall review address proofs within 17 working days of receipt and record the outcome in the Document Management system.

KAP-55.6.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-55.6.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-55.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-55.6.9 The Compliance Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Case Management system.

Section 55.7 Suspicious Transaction Reporting - Operating Rule Set 55.7

KAP-55.7.1 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-55.7.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-55.7.3 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-55.7.4 The Regional Credit Officer shall review cash transaction reports within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-55.7.5 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure B-16.

KAP-55.7.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-55.7.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-55.7.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-55.7.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure F-28.

KAP-55.7.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-55.7.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-55.7.12 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

PART 5 - CHAPTER 56: POLITICALLY EXPOSED PERSONS

Section 56.1 Politically Exposed Persons - Operating Rule Set 56.1

KAP-56.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-56.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-56.1.3 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-56.1.4 Cases involving cash transaction reports with an exposure above Rs. 450 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.17.

KAP-56.1.5 The Branch Manager shall review risk-rating files within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-56.1.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-56.1.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/023 and that compliance is certified every quarter.

KAP-56.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-56.1.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

Section 56.2 Politically Exposed Persons - Operating Rule Set 56.2

KAP-56.2.1 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-56.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 333 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.15.

KAP-56.2.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/227 and that compliance is certified every quarter.

KAP-56.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-56.2.5 The Risk Management Department shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Document Management system.

KAP-56.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-56.2.7 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure D-22.

KAP-56.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-56.2.9 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/073 and that compliance is certified every quarter.

KAP-56.2.10 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-56.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 56.3 Politically Exposed Persons - Operating Rule Set 56.3

KAP-56.3.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure G-14.

KAP-56.3.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/041 and that compliance is certified every quarter.

KAP-56.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-56.3.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/281 and that compliance is certified every quarter.

KAP-56.3.5 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure G-16.

KAP-56.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be

made available to the regulator on request.

KAP-56.3.7 The Credit Committee shall review identity documents within 3 working days of receipt and record the outcome in the Document Management system.

KAP-56.3.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-56.3.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-56.3.10 The Operations Head shall review identity documents within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-56.3.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 56.4 Politically Exposed Persons - Operating Rule Set 56.4

KAP-56.4.1 The Credit Committee shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-56.4.2 The Zonal Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-56.4.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-56.4.4 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-56.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-56.4.6 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-56.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 245 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.14.

KAP-56.4.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure H-25.

KAP-56.4.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-56.4.10 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-56.4.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-56.4.12 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

Section 56.5 Politically Exposed Persons - Operating Rule Set 56.5

KAP-56.5.1 The Compliance Officer shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-56.5.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-56.5.3 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure A-35.

KAP-56.5.4 The Operations Head shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

KAP-56.5.5 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-56.5.6 Cases involving video-KYC sessions with an exposure above Rs. 11 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.22.

KAP-56.5.7 The Audit Department shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Case Management system.

KAP-56.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-56.5.9 The Branch Manager shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-56.5.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-56.5.11 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure E-13.

PART 5 - CHAPTER 57: BENEFICIAL OWNERSHIP

Section 57.1 Beneficial Ownership - Operating Rule Set 57.1

KAP-57.1.1 Cases involving PEP screening results with an exposure above Rs. 347 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.16.

KAP-57.1.2 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-57.1.3 The Zonal Head shall review identity documents within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-57.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-57.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 295 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.23.

KAP-57.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 196 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.29.

KAP-57.1.7 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-57.1.8 Cases involving account-opening forms with an exposure above Rs. 126 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.16.

KAP-57.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 57.2 Beneficial Ownership - Operating Rule Set 57.2

KAP-57.2.1 Cases involving risk-rating files with an exposure above Rs. 161 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.9.

KAP-57.2.2 The Operations Head shall review identity documents within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-57.2.3 Cases involving cash transaction reports with an exposure above Rs. 41 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.17.

KAP-57.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-57.2.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure H-3.

KAP-57.2.6 Cases involving identity documents with an exposure above Rs. 386 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.20.

KAP-57.2.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-57.2.8 The Audit Department shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Case Management system.

KAP-57.2.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-57.2.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-57.2.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-57.2.12 Cases involving identity documents with an exposure above Rs. 169 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.6.

Section 57.3 Beneficial Ownership - Operating Rule Set 57.3

KAP-57.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 362 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.5.

KAP-57.3.2 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-57.3.3 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-57.3.4 The Credit Committee shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-57.3.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-57.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-57.3.7 Cases involving identity documents with an exposure above Rs. 337 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.12.

KAP-57.3.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-57.3.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

Section 57.4 Beneficial Ownership - Operating Rule Set 57.4

KAP-57.4.1 The Credit Committee shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-57.4.2 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/270 and that compliance is certified every quarter.

KAP-57.4.3 The Credit Committee shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-57.4.4 The Branch Manager shall review PEP screening results within 29 working days of receipt and record the outcome in the Case Management system.

KAP-57.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-57.4.6 The Compliance Officer shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Case Management system.

KAP-57.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-57.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-57.4.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

KAP-57.4.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/299 and that compliance is certified every quarter.

KAP-57.4.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-57.4.12 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/125 and that compliance is certified every quarter.

Section 57.5 Beneficial Ownership - Operating Rule Set 57.5

KAP-57.5.1 The Audit Department shall review risk-rating files within 23 working days of receipt and record the outcome in the Document Management system.

KAP-57.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-57.5.3 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/020 and that compliance is certified every quarter.

KAP-57.5.4 The Credit Committee shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-57.5.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure G-22.

KAP-57.5.6 The Compliance Officer shall review cash transaction reports within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-57.5.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure H-36.

KAP-57.5.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-57.5.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-57.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-57.5.11 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-57.5.12 Cases involving address proofs with an exposure above Rs. 82 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.10.

PART 5 - CHAPTER 58: RECORD KEEPING

Section 58.1 Record Keeping - Operating Rule Set 58.1

KAP-58.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure A-7.

KAP-58.1.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

KAP-58.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-58.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-58.1.5 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-58.1.6 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-58.1.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure C-21.

KAP-58.1.8 The Risk Management Department shall review address proofs within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-58.1.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-58.1.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

Section 58.2 Record Keeping - Operating Rule Set 58.2

KAP-58.2.1 The Compliance Officer shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Case Management system.

KAP-58.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-58.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-58.2.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-58.2.5 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-58.2.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure F-23.

KAP-58.2.7 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-58.2.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-58.2.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure D-8.

KAP-58.2.10 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 58.3 Record Keeping - Operating Rule Set 58.3

KAP-58.3.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-58.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-58.3.3 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-58.3.4 Cases involving PEP screening results with an exposure above Rs. 479 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.24.

KAP-58.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-58.3.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-58.3.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/038 and that compliance is certified every quarter.

KAP-58.3.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-58.3.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure E-40.

KAP-58.3.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-58.3.11 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure E-20.

KAP-58.3.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

Section 58.4 Record Keeping - Operating Rule Set 58.4

KAP-58.4.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-58.4.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure A-34.

KAP-58.4.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure D-15.

KAP-58.4.4 Cases involving address proofs with an exposure above Rs. 307 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.14.

KAP-58.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-58.4.6 Cases involving cash transaction reports with an exposure above Rs. 312 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.19.

KAP-58.4.7 The Regional Credit Officer shall review beneficial-owner declarations within 27 working days of receipt and

record the outcome in the Loan Origination system.

KAP-58.4.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-58.4.9 Cases involving identity documents with an exposure above Rs. 450 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.6.

KAP-58.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-58.4.11 Cases involving beneficial-owner declarations with an exposure above Rs. 203 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.29.

Section 58.5 Record Keeping - Operating Rule Set 58.5

KAP-58.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-58.5.2 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure C-4.

KAP-58.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-58.5.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-58.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-58.5.6 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-58.5.7 Cases involving video-KYC sessions with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.15.

KAP-58.5.8 The Audit Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Risk Engine system.

Section 58.6 Record Keeping - Operating Rule Set 58.6

KAP-58.6.1 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-58.6.2 Cases involving beneficial-owner declarations with an exposure above Rs. 161 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.14.

KAP-58.6.3 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-6.

KAP-58.6.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-38.

KAP-58.6.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure B-10.

KAP-58.6.6 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-58.6.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-58.6.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-58.6.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/300 and that compliance is certified every quarter.

KAP-58.6.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 58.7 Record Keeping - Operating Rule Set 58.7

KAP-58.7.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure H-30.

KAP-58.7.2 Cases involving video-KYC sessions with an exposure above Rs. 170 lakh require prior written approval from

the Branch Manager; otherwise the case is an exception under Clause 7.19.

KAP-58.7.3 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-58.7.4 Cases involving correspondent-bank relationships with an exposure above Rs. 76 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.4.

KAP-58.7.5 The Audit Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-58.7.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-58.7.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-58.7.8 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure G-9.

KAP-58.7.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-58.7.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-58.7.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-58.7.12 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

Section 58.8 Record Keeping - Operating Rule Set 58.8

KAP-58.8.1 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-58.8.2 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/049 and that compliance is certified every quarter.

KAP-58.8.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/151 and that compliance is certified every quarter.

KAP-58.8.4 Cases involving video-KYC sessions with an exposure above Rs. 241 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.23.

KAP-58.8.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-58.8.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/107 and that compliance is certified every quarter.

KAP-58.8.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-58.8.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-58.8.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-58.8.10 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/262 and that compliance is certified every quarter.

PART 5 - CHAPTER 59: STAFF TRAINING

Section 59.1 Staff Training - Operating Rule Set 59.1

KAP-59.1.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure C-37.

KAP-59.1.2 The Regional Credit Officer shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-59.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-59.1.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 23 days written notice.

KAP-59.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 396 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.12.

KAP-59.1.6 The Audit Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-59.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-59.1.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure E-35.

KAP-59.1.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-59.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-59.1.11 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 59.2 Staff Training - Operating Rule Set 59.2

KAP-59.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-59.2.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-59.2.3 The Branch Manager shall review risk-rating files within 27 working days of receipt and record the outcome in the Document Management system.

KAP-59.2.4 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-59.2.5 Cases involving cash transaction reports with an exposure above Rs. 221 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.24.

KAP-59.2.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-59.2.7 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure C-34.

KAP-59.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-59.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-59.2.10 Cases involving risk-rating files with an exposure above Rs. 187 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.30.

KAP-59.2.11 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure G-32.

KAP-59.2.12 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

Section 59.3 Staff Training - Operating Rule Set 59.3

KAP-59.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-59.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-59.3.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/063 and that compliance is certified every quarter.

KAP-59.3.4 The Audit Department shall review address proofs within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-59.3.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/009 and that compliance is certified every quarter.

KAP-59.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-59.3.7 The Credit Committee shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Document Management system.

KAP-59.3.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure C-40.

KAP-59.3.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-59.3.10 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-59.3.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure E-18.

Section 59.4 Staff Training - Operating Rule Set 59.4

KAP-59.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 346 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.29.

KAP-59.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 380 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.10.

KAP-59.4.3 The Risk Management Department shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-59.4.4 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure A-11.

KAP-59.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-59.4.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-59.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-59.4.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-59.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-59.4.10 Cases involving PEP screening results with an exposure above Rs. 402 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.16.

KAP-59.4.11 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-59.4.12 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/209 and that compliance is certified every quarter.

Section 59.5 Staff Training - Operating Rule Set 59.5

KAP-59.5.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure F-38.

KAP-59.5.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/200 and that compliance is certified every quarter.

KAP-59.5.3 Cases involving risk-rating files with an exposure above Rs. 409 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.13.

KAP-59.5.4 Cases involving beneficial-owner declarations with an exposure above Rs. 387 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.21.

KAP-59.5.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-59.5.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-59.5.7 The Risk Management Department shall review beneficial-owner declarations within 23 working days of receipt

and record the outcome in the Case Management system.

KAP-59.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-59.5.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

Section 59.6 Staff Training - Operating Rule Set 59.6

KAP-59.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-59.6.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-59.6.3 Cases involving account-opening forms with an exposure above Rs. 171 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.17.

KAP-59.6.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure D-16.

KAP-59.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-59.6.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-59.6.7 Cases involving video-KYC sessions with an exposure above Rs. 101 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.4.

KAP-59.6.8 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure A-26.

KAP-59.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

Section 59.7 Staff Training - Operating Rule Set 59.7

KAP-59.7.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-59.7.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-59.7.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-59.7.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-59.7.5 The Operations Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-59.7.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-59.7.7 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-59.7.8 Cases involving PEP screening results with an exposure above Rs. 291 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.8.

PART 5 - CHAPTER 60: INDEPENDENT AUDIT

Section 60.1 Independent Audit - Operating Rule Set 60.1

KAP-60.1.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-60.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-60.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-60.1.4 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-60.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-60.1.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure C-40.

KAP-60.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-60.1.8 The Regional Credit Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Document Management system.

KAP-60.1.9 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure G-28.

Section 60.2 Independent Audit - Operating Rule Set 60.2

KAP-60.2.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/041 and that compliance is certified every quarter.

KAP-60.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 230 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.4.

KAP-60.2.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure B-5.

KAP-60.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-60.2.5 Cases involving identity documents with an exposure above Rs. 294 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.22.

KAP-60.2.6 Cases involving identity documents with an exposure above Rs. 151 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.21.

KAP-60.2.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/026 and that compliance is certified every quarter.

KAP-60.2.8 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/030 and that compliance is certified every quarter.

KAP-60.2.9 Cases involving address proofs with an exposure above Rs. 228 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.25.

KAP-60.2.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

Section 60.3 Independent Audit - Operating Rule Set 60.3

KAP-60.3.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/287 and that compliance is certified every quarter.

KAP-60.3.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/283 and that compliance is certified every quarter.

KAP-60.3.3 The Operations Head shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Case Management system.

KAP-60.3.4 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/085 and that compliance is certified every quarter.

KAP-60.3.5 The Compliance Officer shall review address proofs within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-60.3.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure D-28.

KAP-60.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-60.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-60.3.9 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-60.3.10 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in

Circular KAP/2022/135 and that compliance is certified every quarter.

KAP-60.3.11 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 60.4 Independent Audit - Operating Rule Set 60.4

KAP-60.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-60.4.2 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-60.4.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure H-21.

KAP-60.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-60.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-60.4.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-60.4.7 The Zonal Head shall review address proofs within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-60.4.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-60.4.9 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/140 and that compliance is certified every quarter.

KAP-60.4.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 30 days written notice.

PART 6 - CHAPTER 61: CUSTOMER ACCEPTANCE

Section 61.1 Customer Acceptance - Operating Rule Set 61.1

KAP-61.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-61.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 243 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.27.

KAP-61.1.3 Cases involving risk-rating files with an exposure above Rs. 187 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.27.

KAP-61.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-61.1.5 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-61.1.6 The Risk Management Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Case Management system.

KAP-61.1.7 Cases involving identity documents with an exposure above Rs. 202 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.2.

KAP-61.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-61.1.9 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-61.1.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-61.1.11 Cases involving video-KYC sessions with an exposure above Rs. 386 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.20.

KAP-61.1.12 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure A-13.

Section 61.2 Customer Acceptance - Operating Rule Set 61.2

KAP-61.2.1 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-61.2.2 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-61.2.3 The Regional Credit Officer shall review account-opening forms within 3 working days of receipt and record the outcome in the Document Management system.

KAP-61.2.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/195 and that compliance is certified every quarter.

KAP-61.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-61.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-61.2.7 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-61.2.8 Cases involving address proofs with an exposure above Rs. 140 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.18.

Section 61.3 Customer Acceptance - Operating Rule Set 61.3

KAP-61.3.1 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-61.3.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-61.3.3 The Operations Head shall review address proofs within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-61.3.4 The Zonal Head shall review account-opening forms within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-61.3.5 The Audit Department shall review address proofs within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-61.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-61.3.7 Cases involving account-opening forms with an exposure above Rs. 57 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.9.

KAP-61.3.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/066 and that compliance is certified every quarter.

KAP-61.3.9 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/240 and that compliance is certified every quarter.

KAP-61.3.10 Cases involving cash transaction reports with an exposure above Rs. 392 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.5.

Section 61.4 Customer Acceptance - Operating Rule Set 61.4

KAP-61.4.1 Cases involving risk-rating files with an exposure above Rs. 210 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.3.

KAP-61.4.2 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-61.4.3 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-12.

KAP-61.4.4 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-61.4.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/137 and that compliance is certified every quarter.

KAP-61.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-61.4.7 Cases involving cash transaction reports with an exposure above Rs. 82 lakh require prior written approval from

the Zonal Head; otherwise the case is an exception under Clause 4.25.

KAP-61.4.8 The Risk Management Department shall review address proofs within 15 working days of receipt and record the outcome in the Core Banking system.

Section 61.5 Customer Acceptance - Operating Rule Set 61.5

KAP-61.5.1 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure C-20.

KAP-61.5.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-61.5.3 The Risk Management Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Document Management system.

KAP-61.5.4 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-61.5.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-61.5.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-61.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-61.5.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-61.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-61.5.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-12.

Section 61.6 Customer Acceptance - Operating Rule Set 61.6

KAP-61.6.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-61.6.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/276 and that compliance is certified every quarter.

KAP-61.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-61.6.4 The Zonal Head shall review account-opening forms within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-61.6.5 In case of a system outage, the Audit Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure E-3.

KAP-61.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-61.6.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-61.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-61.6.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/013 and that compliance is certified every quarter.

Section 61.7 Customer Acceptance - Operating Rule Set 61.7

KAP-61.7.1 The Branch Manager shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Document Management system.

KAP-61.7.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-61.7.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-61.7.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Operations Head by the 11th day of the following month.

KAP-61.7.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure B-2.

KAP-61.7.6 The Regional Credit Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-61.7.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-61.7.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

PART 6 - CHAPTER 62: CUSTOMER IDENTIFICATION

Section 62.1 Customer Identification - Operating Rule Set 62.1

KAP-62.1.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure A-18.

KAP-62.1.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-62.1.3 The Audit Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-62.1.4 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/073 and that compliance is certified every quarter.

KAP-62.1.5 Cases involving risk-rating files with an exposure above Rs. 153 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.25.

KAP-62.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-62.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-62.1.8 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/045 and that compliance is certified every quarter.

KAP-62.1.9 The Audit Department shall review identity documents within 10 working days of receipt and record the outcome in the Risk Engine system.

Section 62.2 Customer Identification - Operating Rule Set 62.2

KAP-62.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-62.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-62.2.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-62.2.4 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-62.2.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/225 and that compliance is certified every quarter.

KAP-62.2.6 The Audit Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-62.2.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure B-40.

KAP-62.2.8 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-32.

Section 62.3 Customer Identification - Operating Rule Set 62.3

KAP-62.3.1 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure B-24.

KAP-62.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-62.3.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-62.3.4 The Branch Manager shall review address proofs within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-62.3.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-62.3.6 Cases involving risk-rating files with an exposure above Rs. 378 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.18.

KAP-62.3.7 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-62.3.8 Cases involving cash transaction reports with an exposure above Rs. 54 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.8.

KAP-62.3.9 The Operations Head shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Case Management system.

KAP-62.3.10 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-19.

KAP-62.3.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-62.3.12 Cases involving account-opening forms with an exposure above Rs. 20 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.2.

Section 62.4 Customer Identification - Operating Rule Set 62.4

KAP-62.4.1 The Audit Department shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-62.4.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-62.4.3 The Branch Manager shall review identity documents within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-62.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-62.4.5 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-62.4.6 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-62.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-62.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-62.4.9 Cases involving cash transaction reports with an exposure above Rs. 304 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.24.

KAP-62.4.10 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 62.5 Customer Identification - Operating Rule Set 62.5

KAP-62.5.1 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-62.5.2 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-62.5.3 The Zonal Head shall review identity documents within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-62.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-62.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer

by the 9th day of the following month.

KAP-62.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-62.5.7 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-62.5.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/018 and that compliance is certified every quarter.

KAP-62.5.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure H-11.

KAP-62.5.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-62.5.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

PART 6 - CHAPTER 63: CUSTOMER DUE DILIGENCE

Section 63.1 Customer Due Diligence - Operating Rule Set 63.1

KAP-63.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-63.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-63.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-63.1.4 The Audit Department shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-63.1.5 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-63.1.6 Cases involving cash transaction reports with an exposure above Rs. 481 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.7.

KAP-63.1.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-63.1.8 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 63.2 Customer Due Diligence - Operating Rule Set 63.2

KAP-63.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 132 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.25.

KAP-63.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-63.2.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/283 and that compliance is certified every quarter.

KAP-63.2.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/211 and that compliance is certified every quarter.

KAP-63.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-63.2.6 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-63.2.7 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/022 and that compliance is certified every quarter.

KAP-63.2.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/284 and that compliance is certified every quarter.

KAP-63.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 373 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.29.

Section 63.3 Customer Due Diligence - Operating Rule Set 63.3

KAP-63.3.1 The Risk Management Department shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Document Management system.

KAP-63.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 185 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.18.

KAP-63.3.3 The Branch Manager shall review risk-rating files within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-63.3.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure G-37.

KAP-63.3.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-63.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-63.3.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/106 and that compliance is certified every quarter.

KAP-63.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-63.3.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-63.3.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-63.3.11 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure D-30.

Section 63.4 Customer Due Diligence - Operating Rule Set 63.4

KAP-63.4.1 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-63.4.2 The Credit Committee shall review risk-rating files within 21 working days of receipt and record the outcome in the Document Management system.

KAP-63.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-63.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-63.4.5 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-63.4.6 Cases involving video-KYC sessions with an exposure above Rs. 75 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.8.

KAP-63.4.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/125 and that compliance is certified every quarter.

KAP-63.4.8 The Regional Credit Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Case Management system.

KAP-63.4.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 63.5 Customer Due Diligence - Operating Rule Set 63.5

KAP-63.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 25 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.30.

KAP-63.5.2 The Operations Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-63.5.3 The Credit Committee shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-63.5.4 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure B-23.

KAP-63.5.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the

customer 15 days written notice.

KAP-63.5.6 The Risk Management Department shall review identity documents within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-63.5.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure B-30.

KAP-63.5.8 The Regional Credit Officer shall review risk-rating files within 17 working days of receipt and record the outcome in the Risk Engine system.

Section 63.6 Customer Due Diligence - Operating Rule Set 63.6

KAP-63.6.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure E-3.

KAP-63.6.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-63.6.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-63.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-63.6.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-63.6.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/219 and that compliance is certified every quarter.

KAP-63.6.7 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-63.6.8 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 63.7 Customer Due Diligence - Operating Rule Set 63.7

KAP-63.7.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-63.7.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure E-24.

KAP-63.7.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-63.7.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure A-12.

KAP-63.7.5 The Credit Committee shall review PEP screening results within 14 working days of receipt and record the outcome in the Case Management system.

KAP-63.7.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/124 and that compliance is certified every quarter.

KAP-63.7.7 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure B-28.

KAP-63.7.8 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

PART 6 - CHAPTER 64: ENHANCED DUE DILIGENCE

Section 64.1 Enhanced Due Diligence - Operating Rule Set 64.1

KAP-64.1.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure C-25.

KAP-64.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-64.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-64.1.4 The Compliance Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-64.1.5 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-64.1.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-64.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-64.1.8 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-64.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-64.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 20 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.27.

Section 64.2 Enhanced Due Diligence - Operating Rule Set 64.2

KAP-64.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-64.2.2 The Audit Department shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-64.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-64.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-64.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-64.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-64.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 202 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.11.

KAP-64.2.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-64.2.9 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/147 and that compliance is certified every quarter.

KAP-64.2.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-64.2.11 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-64.2.12 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/094 and that compliance is certified every quarter.

Section 64.3 Enhanced Due Diligence - Operating Rule Set 64.3

KAP-64.3.1 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-64.3.2 Cases involving video-KYC sessions with an exposure above Rs. 487 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.6.

KAP-64.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-64.3.4 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/020 and that compliance is certified every quarter.

KAP-64.3.5 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-64.3.6 The Credit Committee shall review PEP screening results within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-64.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk

Management Department by the 12th day of the following month.

KAP-64.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-64.3.9 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure E-31.

KAP-64.3.10 The Audit Department shall review account-opening forms within 22 working days of receipt and record the outcome in the Loan Origination system.

Section 64.4 Enhanced Due Diligence - Operating Rule Set 64.4

KAP-64.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-64.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-64.4.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-64.4.4 Cases involving cash transaction reports with an exposure above Rs. 424 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.6.

KAP-64.4.5 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-64.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-64.4.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure C-32.

KAP-64.4.8 The Zonal Head shall review address proofs within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-64.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-64.4.10 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure F-31.

Section 64.5 Enhanced Due Diligence - Operating Rule Set 64.5

KAP-64.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-64.5.2 The Compliance Officer shall review account-opening forms within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-64.5.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure D-2.

KAP-64.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-64.5.5 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-64.5.6 Cases involving PEP screening results with an exposure above Rs. 317 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.12.

KAP-64.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-64.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-64.5.9 The Zonal Head shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

Section 64.6 Enhanced Due Diligence - Operating Rule Set 64.6

KAP-64.6.1 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/278 and that compliance is certified every quarter.

KAP-64.6.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Regional Credit

Officer within 26 working days, with the supporting documents listed in Annexure H-31.

KAP-64.6.3 Cases involving video-KYC sessions with an exposure above Rs. 239 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.22.

KAP-64.6.4 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-64.6.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-64.6.6 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/266 and that compliance is certified every quarter.

KAP-64.6.7 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/251 and that compliance is certified every quarter.

KAP-64.6.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-64.6.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-64.6.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure F-2.

PART 6 - CHAPTER 65: RISK CATEGORISATION

Section 65.1 Risk Categorisation - Operating Rule Set 65.1

KAP-65.1.1 The Compliance Officer shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-65.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-65.1.3 Cases involving video-KYC sessions with an exposure above Rs. 84 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.30.

KAP-65.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-65.1.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/033 and that compliance is certified every quarter.

KAP-65.1.6 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure B-30.

KAP-65.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-65.1.8 The Branch Manager shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

KAP-65.1.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-65.1.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-65.1.11 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 65.2 Risk Categorisation - Operating Rule Set 65.2

KAP-65.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-65.2.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-65.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-65.2.4 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure H-28.

KAP-65.2.5 The Compliance Officer shall review identity documents within 27 working days of receipt and record the

outcome in the Document Management system.

KAP-65.2.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-65.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-65.2.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure F-13.

KAP-65.2.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure F-23.

Section 65.3 Risk Categorisation - Operating Rule Set 65.3

KAP-65.3.1 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/053 and that compliance is certified every quarter.

KAP-65.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-65.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-65.3.4 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-65.3.5 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-65.3.6 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-65.3.7 The Branch Manager shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-65.3.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-65.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

Section 65.4 Risk Categorisation - Operating Rule Set 65.4

KAP-65.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-65.4.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/063 and that compliance is certified every quarter.

KAP-65.4.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure A-28.

KAP-65.4.4 The Zonal Head shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-65.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-65.4.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-65.4.7 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-65.4.8 Cases involving account-opening forms with an exposure above Rs. 172 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.10.

KAP-65.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

Section 65.5 Risk Categorisation - Operating Rule Set 65.5

KAP-65.5.1 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-65.5.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices,

after giving the customer 23 days written notice.

KAP-65.5.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-65.5.4 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-65.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-65.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-65.5.7 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-65.5.8 Cases involving address proofs with an exposure above Rs. 164 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.28.

KAP-65.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 450 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.16.

Section 65.6 Risk Categorisation - Operating Rule Set 65.6

KAP-65.6.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-65.6.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 8 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.19.

KAP-65.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-65.6.4 The Regional Credit Officer shall review account-opening forms within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-65.6.5 The Branch Manager shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-65.6.6 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure E-38.

KAP-65.6.7 Cases involving account-opening forms with an exposure above Rs. 261 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.20.

KAP-65.6.8 Cases involving address proofs with an exposure above Rs. 285 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.24.

KAP-65.6.9 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/137 and that compliance is certified every quarter.

Section 65.7 Risk Categorisation - Operating Rule Set 65.7

KAP-65.7.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-65.7.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure D-12.

KAP-65.7.3 The Operations Head shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-65.7.4 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-12.

KAP-65.7.5 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure D-12.

KAP-65.7.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-65.7.7 Cases involving cash transaction reports with an exposure above Rs. 408 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.2.

KAP-65.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 130 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.2.

KAP-65.7.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-65.7.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

PART 6 - CHAPTER 66: TRANSACTION MONITORING

Section 66.1 Transaction Monitoring - Operating Rule Set 66.1

KAP-66.1.1 Cases involving video-KYC sessions with an exposure above Rs. 217 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.2.

KAP-66.1.2 The Operations Head shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-66.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-66.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-66.1.5 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-66.1.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/242 and that compliance is certified every quarter.

KAP-66.1.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-66.1.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 66.2 Transaction Monitoring - Operating Rule Set 66.2

KAP-66.2.1 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/260 and that compliance is certified every quarter.

KAP-66.2.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure D-12.

KAP-66.2.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-66.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-66.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-66.2.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-66.2.7 Cases involving account-opening forms with an exposure above Rs. 100 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.19.

KAP-66.2.8 Cases involving identity documents with an exposure above Rs. 168 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.4.

KAP-66.2.9 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-66.2.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

Section 66.3 Transaction Monitoring - Operating Rule Set 66.3

KAP-66.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-66.3.2 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-66.3.3 The Compliance Officer shall review PEP screening results within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-66.3.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 26 days written notice.

KAP-66.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-66.3.6 The Branch Manager shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Document Management system.

KAP-66.3.7 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-7.

KAP-66.3.8 The Audit Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Document Management system.

KAP-66.3.9 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/081 and that compliance is certified every quarter.

KAP-66.3.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-66.3.11 The Credit Committee shall review PEP screening results within 4 working days of receipt and record the outcome in the Case Management system.

Section 66.4 Transaction Monitoring - Operating Rule Set 66.4

KAP-66.4.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-66.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-66.4.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-66.4.4 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-66.4.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/089 and that compliance is certified every quarter.

KAP-66.4.6 Cases involving identity documents with an exposure above Rs. 427 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.10.

KAP-66.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-66.4.8 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-66.4.9 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-66.4.10 The Risk Management Department shall review account-opening forms within 3 working days of receipt and record the outcome in the Core Banking system.

Section 66.5 Transaction Monitoring - Operating Rule Set 66.5

KAP-66.5.1 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/135 and that compliance is certified every quarter.

KAP-66.5.2 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure C-19.

KAP-66.5.3 The Audit Department shall review address proofs within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-66.5.4 Cases involving PEP screening results with an exposure above Rs. 402 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.30.

KAP-66.5.5 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-66.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-66.5.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/140 and that compliance is certified every quarter.

KAP-66.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-66.5.9 The Credit Committee shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-66.5.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

PART 6 - CHAPTER 67: SUSPICIOUS TRANSACTION REPORTING

Section 67.1 Suspicious Transaction Reporting - Operating Rule Set 67.1

KAP-67.1.1 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/116 and that compliance is certified every quarter.

KAP-67.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-67.1.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-67.1.4 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/102 and that compliance is certified every quarter.

KAP-67.1.5 Cases involving address proofs with an exposure above Rs. 5 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.29.

KAP-67.1.6 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-67.1.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure H-26.

KAP-67.1.8 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.2.

KAP-67.1.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-67.1.10 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/089 and that compliance is certified every quarter.

KAP-67.1.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-67.1.12 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/013 and that compliance is certified every quarter.

Section 67.2 Suspicious Transaction Reporting - Operating Rule Set 67.2

KAP-67.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-67.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 438 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.26.

KAP-67.2.3 Cases involving PEP screening results with an exposure above Rs. 226 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.26.

KAP-67.2.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/238 and that compliance is certified every quarter.

KAP-67.2.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-67.2.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-67.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-67.2.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/099 and that compliance is certified every quarter.

KAP-67.2.9 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/146 and that compliance is certified every quarter.

KAP-67.2.10 Cases involving address proofs with an exposure above Rs. 129 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.2.

KAP-67.2.11 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure A-1.

KAP-67.2.12 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 67.3 Suspicious Transaction Reporting - Operating Rule Set 67.3

KAP-67.3.1 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-67.3.2 The Credit Committee shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-67.3.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-67.3.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure F-1.

KAP-67.3.5 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/039 and that compliance is certified every quarter.

KAP-67.3.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-67.3.7 The Operations Head shall review address proofs within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-67.3.8 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-67.3.9 Cases involving video-KYC sessions with an exposure above Rs. 151 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.28.

KAP-67.3.10 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 67.4 Suspicious Transaction Reporting - Operating Rule Set 67.4

KAP-67.4.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-67.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-67.4.3 Cases involving video-KYC sessions with an exposure above Rs. 46 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.16.

KAP-67.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-67.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-67.4.6 Cases involving account-opening forms with an exposure above Rs. 461 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.15.

KAP-67.4.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-67.4.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/231 and that compliance is certified every quarter.

KAP-67.4.9 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure B-23.

KAP-67.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-67.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

Section 67.5 Suspicious Transaction Reporting - Operating Rule Set 67.5

KAP-67.5.1 Cases involving address proofs with an exposure above Rs. 127 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.19.

KAP-67.5.2 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-67.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-67.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-67.5.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure E-27.

KAP-67.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 206 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.12.

KAP-67.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-67.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-67.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure C-40.

Section 67.6 Suspicious Transaction Reporting - Operating Rule Set 67.6

KAP-67.6.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

KAP-67.6.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure F-7.

KAP-67.6.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure B-16.

KAP-67.6.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-67.6.5 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-67.6.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-67.6.7 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-67.6.8 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/106 and that compliance is certified every quarter.

KAP-67.6.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

Section 67.7 Suspicious Transaction Reporting - Operating Rule Set 67.7

KAP-67.7.1 The Branch Manager shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-67.7.2 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure G-27.

KAP-67.7.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure E-7.

KAP-67.7.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-67.7.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/064 and that compliance is certified every quarter.

KAP-67.7.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/062 and that compliance is certified every quarter.

KAP-67.7.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 96 lakh require prior

written approval from the Credit Committee; otherwise the case is an exception under Clause 4.12.

KAP-67.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

PART 6 - CHAPTER 68: POLITICALLY EXPOSED PERSONS

Section 68.1 Politically Exposed Persons - Operating Rule Set 68.1

KAP-68.1.1 The Regional Credit Officer shall review address proofs within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-68.1.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/091 and that compliance is certified every quarter.

KAP-68.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-68.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-68.1.5 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-68.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-68.1.7 The Audit Department shall review account-opening forms within 19 working days of receipt and record the outcome in the Case Management system.

KAP-68.1.8 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/033 and that compliance is certified every quarter.

KAP-68.1.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 370 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.7.

Section 68.2 Politically Exposed Persons - Operating Rule Set 68.2

KAP-68.2.1 Cases involving address proofs with an exposure above Rs. 23 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.22.

KAP-68.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-68.2.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure F-7.

KAP-68.2.4 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-68.2.5 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-68.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-68.2.7 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/281 and that compliance is certified every quarter.

KAP-68.2.8 Cases involving identity documents with an exposure above Rs. 334 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.30.

KAP-68.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-68.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-68.2.11 The Branch Manager shall review address proofs within 16 working days of receipt and record the outcome in the Document Management system.

Section 68.3 Politically Exposed Persons - Operating Rule Set 68.3

KAP-68.3.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure H-7.

KAP-68.3.2 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/135 and that compliance is certified every quarter.

KAP-68.3.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure D-12.

KAP-68.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-68.3.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure C-39.

KAP-68.3.6 Cases involving cash transaction reports with an exposure above Rs. 260 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.20.

KAP-68.3.7 Cases involving video-KYC sessions with an exposure above Rs. 302 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.8.

KAP-68.3.8 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure B-29.

KAP-68.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 68.4 Politically Exposed Persons - Operating Rule Set 68.4

KAP-68.4.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/209 and that compliance is certified every quarter.

KAP-68.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-68.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-68.4.4 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure B-33.

KAP-68.4.5 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure C-29.

KAP-68.4.6 The Branch Manager shall review cash transaction reports within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-68.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-68.4.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-68.4.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-68.4.10 Cases involving PEP screening results with an exposure above Rs. 307 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.8.

KAP-68.4.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-68.4.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 68.5 Politically Exposed Persons - Operating Rule Set 68.5

KAP-68.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-68.5.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-68.5.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/273 and that compliance is certified every quarter.

KAP-68.5.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-68.5.5 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/069 and that compliance is certified every quarter.

KAP-68.5.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer

within 30 working days, with the supporting documents listed in Annexure H-18.

KAP-68.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-68.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

PART 6 - CHAPTER 69: BENEFICIAL OWNERSHIP

Section 69.1 Beneficial Ownership - Operating Rule Set 69.1

KAP-69.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-69.1.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/189 and that compliance is certified every quarter.

KAP-69.1.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-69.1.4 The Compliance Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

KAP-69.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-69.1.6 Cases involving cash transaction reports with an exposure above Rs. 288 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.7.

KAP-69.1.7 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-69.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 36 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.19.

Section 69.2 Beneficial Ownership - Operating Rule Set 69.2

KAP-69.2.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-69.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-69.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-69.2.4 The Audit Department shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-69.2.5 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-69.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-69.2.7 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/028 and that compliance is certified every quarter.

KAP-69.2.8 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/153 and that compliance is certified every quarter.

KAP-69.2.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/191 and that compliance is certified every quarter.

KAP-69.2.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 69.3 Beneficial Ownership - Operating Rule Set 69.3

KAP-69.3.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/102 and that compliance is certified every quarter.

KAP-69.3.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-69.3.3 The Operations Head shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-69.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-69.3.5 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-69.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-69.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-69.3.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/165 and that compliance is certified every quarter.

KAP-69.3.9 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 69.4 Beneficial Ownership - Operating Rule Set 69.4

KAP-69.4.1 The Zonal Head shall review account-opening forms within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-69.4.2 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-69.4.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure H-29.

KAP-69.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-69.4.5 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure D-17.

KAP-69.4.6 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-69.4.7 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-17.

KAP-69.4.8 Cases involving cash transaction reports with an exposure above Rs. 258 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.6.

KAP-69.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 497 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.21.

KAP-69.4.10 The Risk Management Department shall review identity documents within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-69.4.11 The Credit Committee shall review risk-rating files within 23 working days of receipt and record the outcome in the Core Banking system.

Section 69.5 Beneficial Ownership - Operating Rule Set 69.5

KAP-69.5.1 The Audit Department shall review risk-rating files within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-69.5.2 The Audit Department shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-69.5.3 Cases involving video-KYC sessions with an exposure above Rs. 281 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.10.

KAP-69.5.4 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-69.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-69.5.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/142 and that compliance is certified every quarter.

KAP-69.5.7 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/063 and that compliance is certified every quarter.

KAP-69.5.8 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a

tolerance of 4% as approved by the Board.

KAP-69.5.9 Cases involving cash transaction reports with an exposure above Rs. 462 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.24.

PART 6 - CHAPTER 70: RECORD KEEPING

Section 70.1 Record Keeping - Operating Rule Set 70.1

KAP-70.1.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/267 and that compliance is certified every quarter.

KAP-70.1.2 Cases involving cash transaction reports with an exposure above Rs. 155 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.4.

KAP-70.1.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure G-30.

KAP-70.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-70.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-70.1.6 Cases involving address proofs with an exposure above Rs. 413 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.2.

KAP-70.1.7 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-70.1.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-70.1.9 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure C-8.

Section 70.2 Record Keeping - Operating Rule Set 70.2

KAP-70.2.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-70.2.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/213 and that compliance is certified every quarter.

KAP-70.2.3 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-70.2.4 Cases involving video-KYC sessions with an exposure above Rs. 461 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.7.

KAP-70.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-70.2.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-70.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-70.2.8 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-70.2.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/202 and that compliance is certified every quarter.

KAP-70.2.10 The Zonal Head shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-70.2.11 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/201 and that compliance is certified every quarter.

Section 70.3 Record Keeping - Operating Rule Set 70.3

KAP-70.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-70.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-70.3.3 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-70.3.4 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-70.3.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure G-5.

KAP-70.3.6 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-70.3.7 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-70.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

Section 70.4 Record Keeping - Operating Rule Set 70.4

KAP-70.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-70.4.2 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure D-11.

KAP-70.4.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-70.4.4 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-70.4.5 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure E-4.

KAP-70.4.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure A-19.

KAP-70.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-70.4.8 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/082 and that compliance is certified every quarter.

PART 6 - CHAPTER 71: STAFF TRAINING

Section 71.1 Staff Training - Operating Rule Set 71.1

KAP-71.1.1 The Zonal Head shall review cash transaction reports within 16 working days of receipt and record the outcome in the Document Management system.

KAP-71.1.2 The Audit Department shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-71.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-71.1.4 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-71.1.5 Cases involving PEP screening results with an exposure above Rs. 7 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.22.

KAP-71.1.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-71.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-71.1.8 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure H-11.

KAP-71.1.9 The Branch Manager shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-71.1.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-71.1.11 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/112 and that compliance is certified every quarter.

Section 71.2 Staff Training - Operating Rule Set 71.2

KAP-71.2.1 The Operations Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-71.2.2 Cases involving PEP screening results with an exposure above Rs. 347 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.22.

KAP-71.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-71.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure B-8.

KAP-71.2.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-71.2.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-71.2.7 Cases involving identity documents with an exposure above Rs. 125 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.5.

KAP-71.2.8 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure G-17.

KAP-71.2.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-71.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-71.2.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-71.2.12 Cases involving risk-rating files with an exposure above Rs. 22 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.12.

Section 71.3 Staff Training - Operating Rule Set 71.3

KAP-71.3.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/245 and that compliance is certified every quarter.

KAP-71.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-71.3.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/160 and that compliance is certified every quarter.

KAP-71.3.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure B-11.

KAP-71.3.5 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-71.3.6 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-71.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-71.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-71.3.9 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-71.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

Section 71.4 Staff Training - Operating Rule Set 71.4

KAP-71.4.1 The Zonal Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-71.4.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-71.4.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/205 and that compliance is certified every quarter.

KAP-71.4.4 The Compliance Officer shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Document Management system.

KAP-71.4.5 The Compliance Officer shall review identity documents within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-71.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-71.4.7 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-71.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-71.4.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-71.4.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-71.4.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

Section 71.5 Staff Training - Operating Rule Set 71.5

KAP-71.5.1 The Operations Head shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-71.5.2 Cases involving risk-rating files with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.27.

KAP-71.5.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-71.5.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-71.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-71.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-71.5.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/053 and that compliance is certified every quarter.

KAP-71.5.8 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-71.5.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure A-33.

KAP-71.5.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure A-36.

KAP-71.5.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 29 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.17.

KAP-71.5.12 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 71.6 Staff Training - Operating Rule Set 71.6

KAP-71.6.1 Cases involving beneficial-owner declarations with an exposure above Rs. 362 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.23.

KAP-71.6.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-71.6.3 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a

tolerance of 3% as approved by the Board.

KAP-71.6.4 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-71.6.5 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/108 and that compliance is certified every quarter.

KAP-71.6.6 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-71.6.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-71.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-71.6.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure E-20.

KAP-71.6.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure C-24.

KAP-71.6.11 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-71.6.12 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure D-38.

KAP-71.6.13 Cases involving alerts generated by the monitoring system with an exposure above Rs. 188 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.11.

PART 6 - CHAPTER 72: INDEPENDENT AUDIT

Section 72.1 Independent Audit - Operating Rule Set 72.1

KAP-72.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 19 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.24.

KAP-72.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-72.1.3 Cases involving cash transaction reports with an exposure above Rs. 250 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.16.

KAP-72.1.4 Cases involving account-opening forms with an exposure above Rs. 106 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.25.

KAP-72.1.5 The Credit Committee shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Case Management system.

KAP-72.1.6 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/282 and that compliance is certified every quarter.

KAP-72.1.7 The Zonal Head shall review cash transaction reports within 2 working days of receipt and record the outcome in the Document Management system.

KAP-72.1.8 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-72.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-72.1.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

Section 72.2 Independent Audit - Operating Rule Set 72.2

KAP-72.2.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-72.2.2 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/023 and that compliance is certified every quarter.

KAP-72.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-72.2.4 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a

tolerance of 9% as approved by the Board.

KAP-72.2.5 Cases involving risk-rating files with an exposure above Rs. 482 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.7.

KAP-72.2.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure G-5.

KAP-72.2.7 Cases involving video-KYC sessions with an exposure above Rs. 391 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.13.

KAP-72.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-72.2.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure E-10.

KAP-72.2.10 Cases involving risk-rating files with an exposure above Rs. 53 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.2.

Section 72.3 Independent Audit - Operating Rule Set 72.3

KAP-72.3.1 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure B-34.

KAP-72.3.2 Cases involving account-opening forms with an exposure above Rs. 447 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.7.

KAP-72.3.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-72.3.4 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-72.3.5 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure C-13.

KAP-72.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-72.3.7 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure F-6.

KAP-72.3.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/090 and that compliance is certified every quarter.

KAP-72.3.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-72.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

Section 72.4 Independent Audit - Operating Rule Set 72.4

KAP-72.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 201 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.10.

KAP-72.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-72.4.3 Cases involving account-opening forms with an exposure above Rs. 425 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.27.

KAP-72.4.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure C-32.

KAP-72.4.5 The Compliance Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-72.4.6 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/142 and that compliance is certified every quarter.

KAP-72.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-72.4.8 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-72.4.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure F-22.

KAP-72.4.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-72.4.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 72.5 Independent Audit - Operating Rule Set 72.5

KAP-72.5.1 Cases involving cash transaction reports with an exposure above Rs. 178 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.14.

KAP-72.5.2 The Audit Department shall review PEP screening results within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-72.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-72.5.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-72.5.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure A-29.

KAP-72.5.6 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-72.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-72.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-72.5.9 Cases involving PEP screening results with an exposure above Rs. 404 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.8.

Section 72.6 Independent Audit - Operating Rule Set 72.6

KAP-72.6.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-72.6.2 The Branch Manager shall review identity documents within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-72.6.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-72.6.4 The Compliance Officer shall review account-opening forms within 18 working days of receipt and record the outcome in the Document Management system.

KAP-72.6.5 The Risk Management Department shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Document Management system.

KAP-72.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-72.6.7 Cases involving account-opening forms with an exposure above Rs. 225 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.13.

KAP-72.6.8 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/191 and that compliance is certified every quarter.

KAP-72.6.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/041 and that compliance is certified every quarter.

KAP-72.6.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

PART 7 - CHAPTER 73: CUSTOMER ACCEPTANCE

Section 73.1 Customer Acceptance - Operating Rule Set 73.1

KAP-73.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 255 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.30.

KAP-73.1.2 Cases involving account-opening forms with an exposure above Rs. 43 lakh require prior written approval from

the Compliance Officer; otherwise the case is an exception under Clause 9.14.

KAP-73.1.3 The Operations Head shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-73.1.4 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-73.1.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-73.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-73.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-73.1.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/183 and that compliance is certified every quarter.

KAP-73.1.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-73.1.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

Section 73.2 Customer Acceptance - Operating Rule Set 73.2

KAP-73.2.1 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure B-40.

KAP-73.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-73.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-73.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-73.2.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-73.2.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure C-8.

KAP-73.2.7 The Audit Department shall review account-opening forms within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-73.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 477 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.27.

Section 73.3 Customer Acceptance - Operating Rule Set 73.3

KAP-73.3.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure B-20.

KAP-73.3.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/068 and that compliance is certified every quarter.

KAP-73.3.3 The Branch Manager shall review identity documents within 18 working days of receipt and record the outcome in the Document Management system.

KAP-73.3.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-73.3.5 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/083 and that compliance is certified every quarter.

KAP-73.3.6 Cases involving address proofs with an exposure above Rs. 464 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.3.

KAP-73.3.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-73.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-73.3.9 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-73.3.10 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/210 and that compliance is certified every quarter.

KAP-73.3.11 Cases involving correspondent-bank relationships with an exposure above Rs. 300 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.12.

KAP-73.3.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 216 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.17.

Section 73.4 Customer Acceptance - Operating Rule Set 73.4

KAP-73.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-73.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-73.4.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-73.4.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure C-24.

KAP-73.4.5 The Zonal Head shall review risk-rating files within 29 working days of receipt and record the outcome in the Document Management system.

KAP-73.4.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure H-2.

KAP-73.4.7 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure H-37.

KAP-73.4.8 The Audit Department shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Risk Engine system.

Section 73.5 Customer Acceptance - Operating Rule Set 73.5

KAP-73.5.1 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/045 and that compliance is certified every quarter.

KAP-73.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-73.5.3 Cases involving video-KYC sessions with an exposure above Rs. 9 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.15.

KAP-73.5.4 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure B-26.

KAP-73.5.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure H-2.

KAP-73.5.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-73.5.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-73.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-73.5.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

PART 7 - CHAPTER 74: CUSTOMER IDENTIFICATION

Section 74.1 Customer Identification - Operating Rule Set 74.1

KAP-74.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-74.1.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure F-30.

KAP-74.1.3 The Zonal Head shall review PEP screening results within 19 working days of receipt and record the outcome in

the Customer Relationship system.

KAP-74.1.4 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure B-15.

KAP-74.1.5 The Operations Head shall review risk-rating files within 13 working days of receipt and record the outcome in the Case Management system.

KAP-74.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-74.1.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/250 and that compliance is certified every quarter.

KAP-74.1.8 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-74.1.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-74.1.10 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 74.2 Customer Identification - Operating Rule Set 74.2

KAP-74.2.1 The Regional Credit Officer shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-74.2.2 The Zonal Head shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Case Management system.

KAP-74.2.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/255 and that compliance is certified every quarter.

KAP-74.2.4 Cases involving video-KYC sessions with an exposure above Rs. 189 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.3.

KAP-74.2.5 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/269 and that compliance is certified every quarter.

KAP-74.2.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-74.2.7 The Risk Management Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-74.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-74.2.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-74.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

Section 74.3 Customer Identification - Operating Rule Set 74.3

KAP-74.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-74.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-74.3.3 The Regional Credit Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-74.3.4 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure B-32.

KAP-74.3.5 The Credit Committee shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-74.3.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure D-39.

KAP-74.3.7 Cases involving cash transaction reports with an exposure above Rs. 225 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.23.

KAP-74.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-74.3.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-74.3.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 74.4 Customer Identification - Operating Rule Set 74.4

KAP-74.4.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-74.4.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/263 and that compliance is certified every quarter.

KAP-74.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 390 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.7.

KAP-74.4.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-30.

KAP-74.4.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure C-14.

KAP-74.4.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-74.4.7 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-74.4.8 The Compliance Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-74.4.9 The Audit Department shall review address proofs within 18 working days of receipt and record the outcome in the Risk Engine system.

Section 74.5 Customer Identification - Operating Rule Set 74.5

KAP-74.5.1 Cases involving address proofs with an exposure above Rs. 356 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.22.

KAP-74.5.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-15.

KAP-74.5.3 The Risk Management Department shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-74.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-74.5.5 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-74.5.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-74.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-74.5.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-74.5.9 Cases involving video-KYC sessions with an exposure above Rs. 276 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.28.

PART 7 - CHAPTER 75: CUSTOMER DUE DILIGENCE

Section 75.1 Customer Due Diligence - Operating Rule Set 75.1

KAP-75.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-75.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 256 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.11.

KAP-75.1.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained

on the procedures in Circular KAP/2021/225 and that compliance is certified every quarter.

KAP-75.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-75.1.5 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-75.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 106 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.20.

KAP-75.1.7 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-75.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-75.1.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-75.1.10 Cases involving risk-rating files with an exposure above Rs. 138 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.9.

KAP-75.1.11 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/259 and that compliance is certified every quarter.

Section 75.2 Customer Due Diligence - Operating Rule Set 75.2

KAP-75.2.1 The Regional Credit Officer shall review account-opening forms within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-75.2.2 The Risk Management Department shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-75.2.3 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-75.2.4 Cases involving address proofs with an exposure above Rs. 181 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.14.

KAP-75.2.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/255 and that compliance is certified every quarter.

KAP-75.2.6 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-75.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-75.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-75.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 199 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.12.

KAP-75.2.10 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/058 and that compliance is certified every quarter.

Section 75.3 Customer Due Diligence - Operating Rule Set 75.3

KAP-75.3.1 The Zonal Head shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-75.3.2 Cases involving cash transaction reports with an exposure above Rs. 383 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.3.

KAP-75.3.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-75.3.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/275 and that compliance is certified every quarter.

KAP-75.3.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-75.3.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure F-39.

KAP-75.3.7 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-75.3.8 The Compliance Officer shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-75.3.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-75.3.10 The Risk Management Department shall review account-opening forms within 24 working days of receipt and record the outcome in the Customer Relationship system.

Section 75.4 Customer Due Diligence - Operating Rule Set 75.4

KAP-75.4.1 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/256 and that compliance is certified every quarter.

KAP-75.4.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-75.4.3 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure B-6.

KAP-75.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-75.4.5 The Compliance Officer shall review identity documents within 22 working days of receipt and record the outcome in the Document Management system.

KAP-75.4.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/213 and that compliance is certified every quarter.

KAP-75.4.7 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-38.

KAP-75.4.8 The Operations Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-75.4.9 The Zonal Head shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-75.4.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-75.4.11 The Compliance Officer shall review account-opening forms within 14 working days of receipt and record the outcome in the Core Banking system.

Section 75.5 Customer Due Diligence - Operating Rule Set 75.5

KAP-75.5.1 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure A-22.

KAP-75.5.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-75.5.3 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-75.5.4 Cases involving address proofs with an exposure above Rs. 197 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.19.

KAP-75.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-75.5.6 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-75.5.7 The Risk Management Department shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-75.5.8 The Risk Management Department shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-75.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 143 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.18.

KAP-75.5.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management

Department by the 10th day of the following month.

KAP-75.5.11 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/033 and that compliance is certified every quarter.

Section 75.6 Customer Due Diligence - Operating Rule Set 75.6

KAP-75.6.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure C-38.

KAP-75.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-75.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-75.6.4 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-75.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-75.6.6 The Regional Credit Officer shall review cash transaction reports within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-75.6.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/107 and that compliance is certified every quarter.

KAP-75.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 75.7 Customer Due Diligence - Operating Rule Set 75.7

KAP-75.7.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure H-23.

KAP-75.7.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-27.

KAP-75.7.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure E-26.

KAP-75.7.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-75.7.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-75.7.6 Cases involving PEP screening results with an exposure above Rs. 145 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.17.

KAP-75.7.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-75.7.8 The Credit Committee shall review cash transaction reports within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-75.7.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-75.7.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-75.7.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 377 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.12.

PART 7 - CHAPTER 76: ENHANCED DUE DILIGENCE

Section 76.1 Enhanced Due Diligence - Operating Rule Set 76.1

KAP-76.1.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-76.1.2 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure C-28.

KAP-76.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-76.1.4 The Credit Committee shall review account-opening forms within 11 working days of receipt and record the outcome in the Case Management system.

KAP-76.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-76.1.6 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-76.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-76.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-76.1.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-76.1.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-76.1.11 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 76.2 Enhanced Due Diligence - Operating Rule Set 76.2

KAP-76.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-76.2.2 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-76.2.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-76.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure F-8.

KAP-76.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-76.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-76.2.7 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-76.2.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure C-22.

KAP-76.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-76.2.10 The Regional Credit Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-76.2.11 The Operations Head shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-76.2.12 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure A-39.

Section 76.3 Enhanced Due Diligence - Operating Rule Set 76.3

KAP-76.3.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-76.3.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure B-27.

KAP-76.3.3 Cases involving address proofs with an exposure above Rs. 287 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.30.

KAP-76.3.4 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/188 and that compliance is certified every quarter.

KAP-76.3.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after

giving the customer 25 days written notice.

KAP-76.3.6 The Audit Department shall review PEP screening results within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-76.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-76.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-76.3.9 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 76.4 Enhanced Due Diligence - Operating Rule Set 76.4

KAP-76.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-76.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure G-11.

KAP-76.4.3 The Risk Management Department shall review address proofs within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-76.4.4 The Operations Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-76.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-76.4.6 Cases involving identity documents with an exposure above Rs. 146 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.23.

KAP-76.4.7 Cases involving account-opening forms with an exposure above Rs. 498 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.29.

KAP-76.4.8 The Audit Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-76.4.9 The Branch Manager shall review address proofs within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-76.4.10 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-76.4.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

Section 76.5 Enhanced Due Diligence - Operating Rule Set 76.5

KAP-76.5.1 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-76.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-76.5.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-76.5.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-76.5.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-76.5.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/255 and that compliance is certified every quarter.

KAP-76.5.7 The Risk Management Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-76.5.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-76.5.9 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-76.5.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-76.5.11 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure B-33.

KAP-76.5.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

Section 76.6 Enhanced Due Diligence - Operating Rule Set 76.6

KAP-76.6.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/057 and that compliance is certified every quarter.

KAP-76.6.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-76.6.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 495 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.1.

KAP-76.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-76.6.5 The Branch Manager shall review cash transaction reports within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-76.6.6 The Operations Head shall review PEP screening results within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-76.6.7 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-76.6.8 Cases involving cash transaction reports with an exposure above Rs. 248 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.29.

KAP-76.6.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-76.6.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-76.6.11 The Compliance Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Document Management system.

PART 7 - CHAPTER 77: RISK CATEGORISATION

Section 77.1 Risk Categorisation - Operating Rule Set 77.1

KAP-77.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-77.1.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-77.1.3 The Operations Head shall review address proofs within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-77.1.4 Cases involving video-KYC sessions with an exposure above Rs. 477 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.6.

KAP-77.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-77.1.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-77.1.7 The Regional Credit Officer shall review address proofs within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-77.1.8 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-23.

Section 77.2 Risk Categorisation - Operating Rule Set 77.2

KAP-77.2.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-77.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit

Committee by the 5th day of the following month.

KAP-77.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-77.2.4 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-77.2.5 The Operations Head shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Document Management system.

KAP-77.2.6 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure B-8.

KAP-77.2.7 The Risk Management Department shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-77.2.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-77.2.9 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/135 and that compliance is certified every quarter.

KAP-77.2.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/224 and that compliance is certified every quarter.

Section 77.3 Risk Categorisation - Operating Rule Set 77.3

KAP-77.3.1 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure E-31.

KAP-77.3.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure B-38.

KAP-77.3.3 Cases involving PEP screening results with an exposure above Rs. 361 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.4.

KAP-77.3.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-77.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-77.3.6 Cases involving account-opening forms with an exposure above Rs. 156 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.1.

KAP-77.3.7 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-8.

KAP-77.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-77.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-77.3.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 77.4 Risk Categorisation - Operating Rule Set 77.4

KAP-77.4.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure B-32.

KAP-77.4.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure F-36.

KAP-77.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-77.4.4 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure D-19.

KAP-77.4.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure H-13.

KAP-77.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-77.4.7 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-77.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-77.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

Section 77.5 Risk Categorisation - Operating Rule Set 77.5

KAP-77.5.1 Cases involving video-KYC sessions with an exposure above Rs. 433 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.22.

KAP-77.5.2 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-77.5.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-77.5.4 Cases involving risk-rating files with an exposure above Rs. 214 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.12.

KAP-77.5.5 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure C-7.

KAP-77.5.6 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/112 and that compliance is certified every quarter.

KAP-77.5.7 Cases involving account-opening forms with an exposure above Rs. 170 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.10.

KAP-77.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-77.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-77.5.10 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/266 and that compliance is certified every quarter.

KAP-77.5.11 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-77.5.12 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 77.6 Risk Categorisation - Operating Rule Set 77.6

KAP-77.6.1 The Operations Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Document Management system.

KAP-77.6.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure H-3.

KAP-77.6.3 Cases involving PEP screening results with an exposure above Rs. 315 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.25.

KAP-77.6.4 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure D-11.

KAP-77.6.5 The Operations Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-77.6.6 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/199 and that compliance is certified every quarter.

KAP-77.6.7 The Audit Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-77.6.8 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-77.6.9 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/041 and that compliance is certified every quarter.

KAP-77.6.10 Cases involving identity documents with an exposure above Rs. 329 lakh require prior written approval from

the Credit Committee; otherwise the case is an exception under Clause 12.25.

Section 77.7 Risk Categorisation - Operating Rule Set 77.7

KAP-77.7.1 The Operations Head shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Document Management system.

KAP-77.7.2 Cases involving beneficial-owner declarations with an exposure above Rs. 171 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.15.

KAP-77.7.3 The Branch Manager shall review cash transaction reports within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-77.7.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-77.7.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-77.7.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-77.7.7 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-77.7.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-77.7.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure F-25.

Section 77.8 Risk Categorisation - Operating Rule Set 77.8

KAP-77.8.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/089 and that compliance is certified every quarter.

KAP-77.8.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-77.8.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-77.8.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-77.8.5 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-77.8.6 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-77.8.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-77.8.8 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/059 and that compliance is certified every quarter.

KAP-77.8.9 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-77.8.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 208 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.8.

PART 7 - CHAPTER 78: TRANSACTION MONITORING

Section 78.1 Transaction Monitoring - Operating Rule Set 78.1

KAP-78.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-78.1.2 Cases involving cash transaction reports with an exposure above Rs. 143 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.8.

KAP-78.1.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure E-11.

KAP-78.1.4 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-78.1.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-78.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-78.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-78.1.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-78.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 451 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.25.

KAP-78.1.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-78.1.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure D-25.

KAP-78.1.12 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure A-2.

Section 78.2 Transaction Monitoring - Operating Rule Set 78.2

KAP-78.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-78.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-78.2.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/297 and that compliance is certified every quarter.

KAP-78.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-78.2.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/259 and that compliance is certified every quarter.

KAP-78.2.6 The Operations Head shall review risk-rating files within 25 working days of receipt and record the outcome in the Case Management system.

KAP-78.2.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-78.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-78.2.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/079 and that compliance is certified every quarter.

KAP-78.2.10 Cases involving correspondent-bank relationships with an exposure above Rs. 492 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.13.

KAP-78.2.11 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/125 and that compliance is certified every quarter.

Section 78.3 Transaction Monitoring - Operating Rule Set 78.3

KAP-78.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 328 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.25.

KAP-78.3.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-78.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-78.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-78.3.5 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/241 and that compliance is certified every quarter.

KAP-78.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be

made available to statutory auditors on request.

KAP-78.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-78.3.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/041 and that compliance is certified every quarter.

KAP-78.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-78.3.10 Cases involving PEP screening results with an exposure above Rs. 154 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.20.

Section 78.4 Transaction Monitoring - Operating Rule Set 78.4

KAP-78.4.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure E-15.

KAP-78.4.2 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure H-4.

KAP-78.4.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-78.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-78.4.5 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-78.4.6 Cases involving identity documents with an exposure above Rs. 371 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.8.

KAP-78.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-78.4.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-78.4.9 Cases involving account-opening forms with an exposure above Rs. 492 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.2.

Section 78.5 Transaction Monitoring - Operating Rule Set 78.5

KAP-78.5.1 The Credit Committee shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-78.5.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure G-17.

KAP-78.5.3 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-78.5.4 Cases involving address proofs with an exposure above Rs. 267 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.25.

KAP-78.5.5 The Branch Manager shall review address proofs within 19 working days of receipt and record the outcome in the Document Management system.

KAP-78.5.6 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-78.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-78.5.8 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 78.6 Transaction Monitoring - Operating Rule Set 78.6

KAP-78.6.1 The Risk Management Department shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-78.6.2 Cases involving risk-rating files with an exposure above Rs. 311 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.16.

KAP-78.6.3 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance

of 1% as approved by the Board.

KAP-78.6.4 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-78.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-78.6.6 Cases involving PEP screening results with an exposure above Rs. 240 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.23.

KAP-78.6.7 Cases involving video-KYC sessions with an exposure above Rs. 141 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.11.

KAP-78.6.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/075 and that compliance is certified every quarter.

KAP-78.6.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-11.

PART 7 - CHAPTER 79: SUSPICIOUS TRANSACTION REPORTING

Section 79.1 Suspicious Transaction Reporting - Operating Rule Set 79.1

KAP-79.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 227 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.4.

KAP-79.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 221 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.1.

KAP-79.1.3 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-79.1.4 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-79.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-79.1.6 Cases involving identity documents with an exposure above Rs. 138 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.6.

KAP-79.1.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/156 and that compliance is certified every quarter.

KAP-79.1.8 Cases involving identity documents with an exposure above Rs. 193 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.19.

KAP-79.1.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-79.1.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 79.2 Suspicious Transaction Reporting - Operating Rule Set 79.2

KAP-79.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-79.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-79.2.3 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-79.2.4 The Operations Head shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-79.2.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-79.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-79.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-79.2.8 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a

tolerance of 7% as approved by the Board.

KAP-79.2.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-79.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-79.2.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

Section 79.3 Suspicious Transaction Reporting - Operating Rule Set 79.3

KAP-79.3.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure C-15.

KAP-79.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-79.3.3 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-79.3.4 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure A-28.

KAP-79.3.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-79.3.6 The Zonal Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-79.3.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-79.3.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-79.3.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-79.3.10 The Zonal Head shall review address proofs within 16 working days of receipt and record the outcome in the Case Management system.

KAP-79.3.11 The Operations Head shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Document Management system.

KAP-79.3.12 The Regional Credit Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Case Management system.

Section 79.4 Suspicious Transaction Reporting - Operating Rule Set 79.4

KAP-79.4.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/257 and that compliance is certified every quarter.

KAP-79.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-79.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-79.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-79.4.5 Cases involving address proofs with an exposure above Rs. 312 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.10.

KAP-79.4.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-79.4.7 The Credit Committee shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-79.4.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/210 and that compliance is certified every quarter.

KAP-79.4.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure A-15.

Section 79.5 Suspicious Transaction Reporting - Operating Rule Set 79.5

KAP-79.5.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/130 and that compliance is certified every quarter.

KAP-79.5.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-79.5.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure D-26.

KAP-79.5.4 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/040 and that compliance is certified every quarter.

KAP-79.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-79.5.6 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-79.5.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-16.

KAP-79.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-79.5.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-24.

KAP-79.5.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-79.5.11 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure F-9.

PART 7 - CHAPTER 80: POLITICALLY EXPOSED PERSONS

Section 80.1 Politically Exposed Persons - Operating Rule Set 80.1

KAP-80.1.1 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure B-5.

KAP-80.1.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure A-26.

KAP-80.1.3 The Regional Credit Officer shall review address proofs within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-80.1.4 Cases involving account-opening forms with an exposure above Rs. 473 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.19.

KAP-80.1.5 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/014 and that compliance is certified every quarter.

KAP-80.1.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/092 and that compliance is certified every quarter.

KAP-80.1.7 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-80.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-80.1.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-80.1.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 80.2 Politically Exposed Persons - Operating Rule Set 80.2

KAP-80.2.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure F-23.

KAP-80.2.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-80.2.3 The Zonal Head shall review video-KYC sessions within 22 working days of receipt and record the outcome in

the Core Banking system.

KAP-80.2.4 Cases involving risk-rating files with an exposure above Rs. 149 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.14.

KAP-80.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-80.2.6 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-80.2.7 Cases involving risk-rating files with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.11.

KAP-80.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-80.2.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 80.3 Politically Exposed Persons - Operating Rule Set 80.3

KAP-80.3.1 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-80.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-80.3.3 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure A-30.

KAP-80.3.4 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-80.3.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-80.3.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure A-26.

KAP-80.3.7 The Compliance Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Document Management system.

KAP-80.3.8 The Zonal Head shall review cash transaction reports within 15 working days of receipt and record the outcome in the Document Management system.

KAP-80.3.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/250 and that compliance is certified every quarter.

KAP-80.3.10 The Operations Head shall review PEP screening results within 9 working days of receipt and record the outcome in the Core Banking system.

Section 80.4 Politically Exposed Persons - Operating Rule Set 80.4

KAP-80.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 274 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.19.

KAP-80.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-80.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-80.4.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/162 and that compliance is certified every quarter.

KAP-80.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-80.4.6 The Audit Department shall review address proofs within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-80.4.7 The Audit Department shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-80.4.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-80.4.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-80.4.10 Cases involving video-KYC sessions with an exposure above Rs. 99 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.9.

KAP-80.4.11 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/049 and that compliance is certified every quarter.

Section 80.5 Politically Exposed Persons - Operating Rule Set 80.5

KAP-80.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-80.5.2 The Zonal Head shall review cash transaction reports within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-80.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-80.5.4 Cases involving video-KYC sessions with an exposure above Rs. 215 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.10.

KAP-80.5.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure A-17.

KAP-80.5.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-80.5.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-80.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 80.6 Politically Exposed Persons - Operating Rule Set 80.6

KAP-80.6.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-80.6.2 Cases involving identity documents with an exposure above Rs. 241 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.25.

KAP-80.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-80.6.4 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-80.6.5 The Regional Credit Officer shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-80.6.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/217 and that compliance is certified every quarter.

KAP-80.6.7 The Credit Committee shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-80.6.8 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-80.6.9 Cases involving video-KYC sessions with an exposure above Rs. 250 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.25.

KAP-80.6.10 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/018 and that compliance is certified every quarter.

KAP-80.6.11 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Case Management system.

Section 80.7 Politically Exposed Persons - Operating Rule Set 80.7

KAP-80.7.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/282 and that compliance is certified every quarter.

KAP-80.7.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure G-25.

KAP-80.7.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/167 and that compliance is certified every quarter.

KAP-80.7.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-80.7.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-80.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-80.7.7 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-80.7.8 The Operations Head shall review address proofs within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-80.7.9 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/112 and that compliance is certified every quarter.

KAP-80.7.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 310 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.14.

KAP-80.7.11 Cases involving PEP screening results with an exposure above Rs. 334 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.28.

Section 80.8 Politically Exposed Persons - Operating Rule Set 80.8

KAP-80.8.1 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/276 and that compliance is certified every quarter.

KAP-80.8.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-80.8.3 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-80.8.4 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-80.8.5 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure G-13.

KAP-80.8.6 Cases involving video-KYC sessions with an exposure above Rs. 308 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.7.

KAP-80.8.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-80.8.8 The Operations Head shall review identity documents within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-80.8.9 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/012 and that compliance is certified every quarter.

PART 7 - CHAPTER 81: BENEFICIAL OWNERSHIP

Section 81.1 Beneficial Ownership - Operating Rule Set 81.1

KAP-81.1.1 Cases involving cash transaction reports with an exposure above Rs. 248 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.28.

KAP-81.1.2 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-81.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-81.1.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/109 and that compliance is certified every quarter.

KAP-81.1.5 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure H-29.

KAP-81.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-81.1.7 The Operations Head shall review identity documents within 24 working days of receipt and record the outcome in the Case Management system.

KAP-81.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

Section 81.2 Beneficial Ownership - Operating Rule Set 81.2

KAP-81.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 438 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.23.

KAP-81.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-81.2.3 The Audit Department shall review identity documents within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-81.2.4 Cases involving account-opening forms with an exposure above Rs. 243 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.14.

KAP-81.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-81.2.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-81.2.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/058 and that compliance is certified every quarter.

KAP-81.2.8 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

Section 81.3 Beneficial Ownership - Operating Rule Set 81.3

KAP-81.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-81.3.2 The Branch Manager shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-81.3.3 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/156 and that compliance is certified every quarter.

KAP-81.3.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/057 and that compliance is certified every quarter.

KAP-81.3.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/203 and that compliance is certified every quarter.

KAP-81.3.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-81.3.7 Cases involving PEP screening results with an exposure above Rs. 30 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.22.

KAP-81.3.8 The Risk Management Department shall review risk-rating files within 22 working days of receipt and record the outcome in the Loan Origination system.

Section 81.4 Beneficial Ownership - Operating Rule Set 81.4

KAP-81.4.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-81.4.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-81.4.3 Cases involving risk-rating files with an exposure above Rs. 298 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.23.

KAP-81.4.4 The Regional Credit Officer shall review cash transaction reports within 9 working days of receipt and record the outcome in the Case Management system.

KAP-81.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-81.4.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-81.4.7 The Credit Committee shall review identity documents within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-81.4.8 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/230 and that compliance is certified every quarter.

Section 81.5 Beneficial Ownership - Operating Rule Set 81.5

KAP-81.5.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-81.5.2 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Case Management system.

KAP-81.5.3 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-81.5.4 The Regional Credit Officer shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-81.5.5 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure D-9.

KAP-81.5.6 Cases involving address proofs with an exposure above Rs. 496 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.7.

KAP-81.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-81.5.8 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/260 and that compliance is certified every quarter.

KAP-81.5.9 The Compliance Officer shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-81.5.10 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-13.

Section 81.6 Beneficial Ownership - Operating Rule Set 81.6

KAP-81.6.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/002 and that compliance is certified every quarter.

KAP-81.6.2 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/071 and that compliance is certified every quarter.

KAP-81.6.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-81.6.4 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-81.6.5 The Zonal Head shall review account-opening forms within 19 working days of receipt and record the outcome in the Case Management system.

KAP-81.6.6 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/125 and that compliance is certified every quarter.

KAP-81.6.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-81.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-81.6.9 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure E-31.

KAP-81.6.10 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-81.6.11 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

PART 7 - CHAPTER 82: RECORD KEEPING

Section 82.1 Record Keeping - Operating Rule Set 82.1

KAP-82.1.1 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal

Head within 10 working days, with the supporting documents listed in Annexure E-11.

KAP-82.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-82.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-82.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-82.1.5 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/102 and that compliance is certified every quarter.

KAP-82.1.6 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure A-19.

KAP-82.1.7 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-82.1.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-82.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

Section 82.2 Record Keeping - Operating Rule Set 82.2

KAP-82.2.1 The Compliance Officer shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-82.2.2 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-82.2.3 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure D-27.

KAP-82.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-82.2.5 Cases involving risk-rating files with an exposure above Rs. 345 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.6.

KAP-82.2.6 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-82.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-82.2.8 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-82.2.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-82.2.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

Section 82.3 Record Keeping - Operating Rule Set 82.3

KAP-82.3.1 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure F-35.

KAP-82.3.2 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/110 and that compliance is certified every quarter.

KAP-82.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-82.3.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/095 and that compliance is certified every quarter.

KAP-82.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 190 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.29.

KAP-82.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-82.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-82.3.8 The Audit Department shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-82.3.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/104 and that compliance is certified every quarter.

Section 82.4 Record Keeping - Operating Rule Set 82.4

KAP-82.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-82.4.2 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/186 and that compliance is certified every quarter.

KAP-82.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-82.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-82.4.5 The Operations Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-82.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-82.4.7 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-82.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-82.4.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-82.4.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 82.5 Record Keeping - Operating Rule Set 82.5

KAP-82.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-82.5.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure F-7.

KAP-82.5.3 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-82.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-82.5.5 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-82.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-82.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-82.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

Section 82.6 Record Keeping - Operating Rule Set 82.6

KAP-82.6.1 Cases involving account-opening forms with an exposure above Rs. 329 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.9.

KAP-82.6.2 The Risk Management Department shall review address proofs within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-82.6.3 Cases involving correspondent-bank relationships with an exposure above Rs. 330 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.19.

KAP-82.6.4 Cases involving risk-rating files with an exposure above Rs. 251 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.5.

KAP-82.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-82.6.6 Cases involving video-KYC sessions with an exposure above Rs. 354 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.26.

KAP-82.6.7 Cases involving cash transaction reports with an exposure above Rs. 219 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.19.

KAP-82.6.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-82.6.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-82.6.10 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

PART 7 - CHAPTER 83: STAFF TRAINING

Section 83.1 Staff Training - Operating Rule Set 83.1

KAP-83.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-83.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-83.1.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/142 and that compliance is certified every quarter.

KAP-83.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-83.1.5 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/094 and that compliance is certified every quarter.

KAP-83.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-83.1.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-83.1.8 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-83.1.9 The Audit Department shall review identity documents within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-83.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 83.2 Staff Training - Operating Rule Set 83.2

KAP-83.2.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-83.2.2 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-83.2.3 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-83.2.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

KAP-83.2.5 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-83.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-83.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-83.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-83.2.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-83.2.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

Section 83.3 Staff Training - Operating Rule Set 83.3

KAP-83.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-83.3.2 The Branch Manager shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-83.3.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure E-10.

KAP-83.3.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-83.3.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure F-6.

KAP-83.3.6 The Risk Management Department shall review account-opening forms within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-83.3.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure C-1.

KAP-83.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-83.3.9 The Credit Committee shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Case Management system.

KAP-83.3.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure C-27.

Section 83.4 Staff Training - Operating Rule Set 83.4

KAP-83.4.1 In case of a system outage, the Risk Management Department must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure D-9.

KAP-83.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-83.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-83.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-83.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-83.4.6 The Operations Head shall review PEP screening results within 27 working days of receipt and record the outcome in the Document Management system.

KAP-83.4.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/250 and that compliance is certified every quarter.

KAP-83.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-83.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-83.4.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 83.5 Staff Training - Operating Rule Set 83.5

KAP-83.5.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-83.5.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure C-33.

KAP-83.5.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure E-19.

KAP-83.5.4 Cases involving address proofs with an exposure above Rs. 30 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.13.

KAP-83.5.5 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-83.5.6 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-83.5.7 Cases involving cash transaction reports with an exposure above Rs. 487 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.15.

KAP-83.5.8 In case of a system outage, the Zonal Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure F-11.

KAP-83.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-83.5.10 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-83.5.11 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-83.5.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 83.6 Staff Training - Operating Rule Set 83.6

KAP-83.6.1 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/054 and that compliance is certified every quarter.

KAP-83.6.2 The Compliance Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Case Management system.

KAP-83.6.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-83.6.4 The Credit Committee shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-83.6.5 In case of a request for exception, the Risk Management Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure C-8.

KAP-83.6.6 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-83.6.7 The Risk Management Department shall review identity documents within 2 working days of receipt and record the outcome in the Case Management system.

KAP-83.6.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 83.7 Staff Training - Operating Rule Set 83.7

KAP-83.7.1 The Credit Committee shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-83.7.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-83.7.3 The Zonal Head shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-83.7.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-83.7.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-83.7.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head

within 25 working days, with the supporting documents listed in Annexure G-29.

KAP-83.7.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-83.7.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-83.7.9 Cases involving account-opening forms with an exposure above Rs. 342 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.23.

KAP-83.7.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

Section 83.8 Staff Training - Operating Rule Set 83.8

KAP-83.8.1 The Credit Committee shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Case Management system.

KAP-83.8.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure B-28.

KAP-83.8.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-83.8.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/246 and that compliance is certified every quarter.

KAP-83.8.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 354 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.27.

KAP-83.8.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-83.8.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/137 and that compliance is certified every quarter.

KAP-83.8.8 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure H-39.

KAP-83.8.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-83.8.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

PART 7 - CHAPTER 84: INDEPENDENT AUDIT

Section 84.1 Independent Audit - Operating Rule Set 84.1

KAP-84.1.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure C-15.

KAP-84.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-84.1.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/014 and that compliance is certified every quarter.

KAP-84.1.4 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-84.1.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-84.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-84.1.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-84.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-84.1.9 The Audit Department shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-84.1.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 9 days written notice.

KAP-84.1.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-84.1.12 Cases involving risk-rating files with an exposure above Rs. 81 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.20.

Section 84.2 Independent Audit - Operating Rule Set 84.2

KAP-84.2.1 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure H-5.

KAP-84.2.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/065 and that compliance is certified every quarter.

KAP-84.2.3 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-84.2.4 Cases involving identity documents with an exposure above Rs. 497 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.30.

KAP-84.2.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-84.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-84.2.7 Cases involving address proofs with an exposure above Rs. 23 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.30.

KAP-84.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-84.2.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 84.3 Independent Audit - Operating Rule Set 84.3

KAP-84.3.1 Cases involving risk-rating files with an exposure above Rs. 468 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.2.

KAP-84.3.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/141 and that compliance is certified every quarter.

KAP-84.3.3 Cases involving cash transaction reports with an exposure above Rs. 405 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.27.

KAP-84.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 473 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.14.

KAP-84.3.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/082 and that compliance is certified every quarter.

KAP-84.3.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/167 and that compliance is certified every quarter.

KAP-84.3.7 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-84.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-84.3.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-84.3.10 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure B-10.

Section 84.4 Independent Audit - Operating Rule Set 84.4

KAP-84.4.1 The Zonal Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Document Management system.

KAP-84.4.2 The Operations Head shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-84.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4

and be made available to internal auditors on request.

KAP-84.4.4 Cases involving video-KYC sessions with an exposure above Rs. 433 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.29.

KAP-84.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-84.4.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-84.4.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure B-36.

KAP-84.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-84.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 84.5 Independent Audit - Operating Rule Set 84.5

KAP-84.5.1 The Operations Head shall review cash transaction reports within 23 working days of receipt and record the outcome in the Case Management system.

KAP-84.5.2 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/196 and that compliance is certified every quarter.

KAP-84.5.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/151 and that compliance is certified every quarter.

KAP-84.5.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-84.5.5 The Branch Manager shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-84.5.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-84.5.7 Cases involving PEP screening results with an exposure above Rs. 177 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.3.

KAP-84.5.8 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure D-8.

KAP-84.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 457 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.4.

KAP-84.5.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-84.5.11 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure G-12.

Section 84.6 Independent Audit - Operating Rule Set 84.6

KAP-84.6.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-84.6.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure F-3.

KAP-84.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-84.6.4 The Branch Manager shall review cash transaction reports within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-84.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-84.6.6 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-84.6.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-84.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-84.6.9 Cases involving PEP screening results with an exposure above Rs. 417 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.27.

KAP-84.6.10 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure F-35.

KAP-84.6.11 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

PART 8 - CHAPTER 85: CUSTOMER ACCEPTANCE

Section 85.1 Customer Acceptance - Operating Rule Set 85.1

KAP-85.1.1 The Operations Head shall review cash transaction reports within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-85.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-85.1.3 The Credit Committee shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-85.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-85.1.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/108 and that compliance is certified every quarter.

KAP-85.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-85.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-85.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-85.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 277 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.12.

KAP-85.1.10 The Branch Manager shall review risk-rating files within 14 working days of receipt and record the outcome in the Core Banking system.

Section 85.2 Customer Acceptance - Operating Rule Set 85.2

KAP-85.2.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/006 and that compliance is certified every quarter.

KAP-85.2.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/249 and that compliance is certified every quarter.

KAP-85.2.3 The Credit Committee shall review cash transaction reports within 3 working days of receipt and record the outcome in the Document Management system.

KAP-85.2.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-85.2.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure A-19.

KAP-85.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-85.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-85.2.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure A-20.

KAP-85.2.9 Cases involving PEP screening results with an exposure above Rs. 25 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.10.

KAP-85.2.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

Section 85.3 Customer Acceptance - Operating Rule Set 85.3

KAP-85.3.1 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 4 working days, with the supporting documents listed in Annexure F-2.

KAP-85.3.2 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-85.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-85.3.4 Cases involving address proofs with an exposure above Rs. 378 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.19.

KAP-85.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-85.3.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure C-6.

KAP-85.3.7 The Audit Department shall review account-opening forms within 14 working days of receipt and record the outcome in the Document Management system.

KAP-85.3.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

Section 85.4 Customer Acceptance - Operating Rule Set 85.4

KAP-85.4.1 The Branch Manager shall review account-opening forms within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-85.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-85.4.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-85.4.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-85.4.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-85.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-85.4.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-85.4.8 Cases involving account-opening forms with an exposure above Rs. 275 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.23.

KAP-85.4.9 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-85.4.10 The Branch Manager shall review address proofs within 2 working days of receipt and record the outcome in the Case Management system.

Section 85.5 Customer Acceptance - Operating Rule Set 85.5

KAP-85.5.1 The Audit Department shall review cash transaction reports within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-85.5.2 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-85.5.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-85.5.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-85.5.5 The Risk Management Department shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-85.5.6 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-85.5.7 The Compliance Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-85.5.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure D-34.

KAP-85.5.9 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

Section 85.6 Customer Acceptance - Operating Rule Set 85.6

KAP-85.6.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/201 and that compliance is certified every quarter.

KAP-85.6.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-85.6.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-85.6.4 The Credit Committee shall review account-opening forms within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-85.6.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-85.6.6 Cases involving PEP screening results with an exposure above Rs. 315 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.13.

KAP-85.6.7 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/279 and that compliance is certified every quarter.

KAP-85.6.8 The Operations Head shall review identity documents within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-85.6.9 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-31.

PART 8 - CHAPTER 86: CUSTOMER IDENTIFICATION

Section 86.1 Customer Identification - Operating Rule Set 86.1

KAP-86.1.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-86.1.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/024 and that compliance is certified every quarter.

KAP-86.1.3 The Credit Committee shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-86.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-86.1.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure G-15.

KAP-86.1.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure H-40.

KAP-86.1.7 The Audit Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-86.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 86.2 Customer Identification - Operating Rule Set 86.2

KAP-86.2.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/162 and that compliance is certified every quarter.

KAP-86.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-86.2.3 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-86.2.4 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the

procedures in Circular KAP/2019/101 and that compliance is certified every quarter.

KAP-86.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-86.2.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/158 and that compliance is certified every quarter.

KAP-86.2.7 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-86.2.8 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/085 and that compliance is certified every quarter.

KAP-86.2.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/220 and that compliance is certified every quarter.

KAP-86.2.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-86.2.11 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure E-3.

KAP-86.2.12 Cases involving beneficial-owner declarations with an exposure above Rs. 148 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.22.

Section 86.3 Customer Identification - Operating Rule Set 86.3

KAP-86.3.1 Cases involving PEP screening results with an exposure above Rs. 121 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.12.

KAP-86.3.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-86.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-86.3.4 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/138 and that compliance is certified every quarter.

KAP-86.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-86.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-86.3.7 Cases involving PEP screening results with an exposure above Rs. 153 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.5.

KAP-86.3.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-86.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 86.4 Customer Identification - Operating Rule Set 86.4

KAP-86.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-86.4.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-86.4.3 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-86.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-86.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-86.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-86.4.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/297 and that compliance is certified every quarter.

KAP-86.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-86.4.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-86.4.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-86.4.11 The Audit Department shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Case Management system.

Section 86.5 Customer Identification - Operating Rule Set 86.5

KAP-86.5.1 Cases involving correspondent-bank relationships with an exposure above Rs. 186 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.4.

KAP-86.5.2 Cases involving risk-rating files with an exposure above Rs. 338 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.25.

KAP-86.5.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-86.5.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-86.5.5 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-86.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-86.5.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-86.5.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/039 and that compliance is certified every quarter.

KAP-86.5.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-86.5.10 The Risk Management Department shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

Section 86.6 Customer Identification - Operating Rule Set 86.6

KAP-86.6.1 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure G-5.

KAP-86.6.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/214 and that compliance is certified every quarter.

KAP-86.6.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-86.6.4 The Credit Committee shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-86.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-86.6.6 The Audit Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Case Management system.

KAP-86.6.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/162 and that compliance is certified every quarter.

KAP-86.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-86.6.9 The Operations Head shall review address proofs within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-86.6.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-86.6.11 For private-limited-company customers, correspondent-bank relationships shall be assessed using the

rule-based method, with a tolerance of 1% as approved by the Board.

KAP-86.6.12 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-86.6.13 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

PART 8 - CHAPTER 87: CUSTOMER DUE DILIGENCE

Section 87.1 Customer Due Diligence - Operating Rule Set 87.1

KAP-87.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-87.1.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-87.1.3 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-87.1.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-87.1.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-87.1.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-87.1.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/169 and that compliance is certified every quarter.

KAP-87.1.8 The Regional Credit Officer shall review cash transaction reports within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-87.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-87.1.10 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure G-18.

Section 87.2 Customer Due Diligence - Operating Rule Set 87.2

KAP-87.2.1 The Branch Manager shall review PEP screening results within 12 working days of receipt and record the outcome in the Case Management system.

KAP-87.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-87.2.3 The Regional Credit Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Document Management system.

KAP-87.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-87.2.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure B-18.

KAP-87.2.6 The Risk Management Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-87.2.7 The Branch Manager shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-87.2.8 Cases involving account-opening forms with an exposure above Rs. 396 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.7.

KAP-87.2.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/158 and that compliance is certified every quarter.

KAP-87.2.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 87.3 Customer Due Diligence - Operating Rule Set 87.3

KAP-87.3.1 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-87.3.2 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure E-1.

KAP-87.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-87.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-87.3.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/145 and that compliance is certified every quarter.

KAP-87.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-87.3.7 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/241 and that compliance is certified every quarter.

KAP-87.3.8 The Credit Committee shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

Section 87.4 Customer Due Diligence - Operating Rule Set 87.4

KAP-87.4.1 Cases involving identity documents with an exposure above Rs. 80 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.28.

KAP-87.4.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/008 and that compliance is certified every quarter.

KAP-87.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 28 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.5.

KAP-87.4.4 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-87.4.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-87.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 197 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.24.

KAP-87.4.7 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-87.4.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/118 and that compliance is certified every quarter.

KAP-87.4.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-87.4.10 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-87.4.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

PART 8 - CHAPTER 88: ENHANCED DUE DILIGENCE

Section 88.1 Enhanced Due Diligence - Operating Rule Set 88.1

KAP-88.1.1 Cases involving identity documents with an exposure above Rs. 315 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.30.

KAP-88.1.2 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-88.1.3 The Regional Credit Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-88.1.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/150 and that compliance is certified every quarter.

KAP-88.1.5 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-88.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-88.1.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-88.1.8 The Branch Manager shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Customer Relationship system.

Section 88.2 Enhanced Due Diligence - Operating Rule Set 88.2

KAP-88.2.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure H-2.

KAP-88.2.2 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/292 and that compliance is certified every quarter.

KAP-88.2.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-88.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 240 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.13.

KAP-88.2.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure E-21.

KAP-88.2.6 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure H-29.

KAP-88.2.7 Cases involving identity documents with an exposure above Rs. 139 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.11.

KAP-88.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-88.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 88.3 Enhanced Due Diligence - Operating Rule Set 88.3

KAP-88.3.1 Cases involving risk-rating files with an exposure above Rs. 368 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.6.

KAP-88.3.2 Cases involving risk-rating files with an exposure above Rs. 423 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.3.

KAP-88.3.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-88.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-88.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-88.3.6 The Branch Manager shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-88.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-88.3.8 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure H-16.

KAP-88.3.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-88.3.10 Cases involving cash transaction reports with an exposure above Rs. 111 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.9.

KAP-88.3.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-88.3.12 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-27.

Section 88.4 Enhanced Due Diligence - Operating Rule Set 88.4

KAP-88.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-88.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 227 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.12.

KAP-88.4.3 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-88.4.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-88.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-88.4.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure F-34.

KAP-88.4.7 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-88.4.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure A-34.

KAP-88.4.9 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/078 and that compliance is certified every quarter.

KAP-88.4.10 The Compliance Officer shall review address proofs within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-88.4.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

PART 8 - CHAPTER 89: RISK CATEGORISATION

Section 89.1 Risk Categorisation - Operating Rule Set 89.1

KAP-89.1.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/145 and that compliance is certified every quarter.

KAP-89.1.2 The Branch Manager shall review address proofs within 30 working days of receipt and record the outcome in the Case Management system.

KAP-89.1.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-38.

KAP-89.1.4 The Risk Management Department shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Document Management system.

KAP-89.1.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure G-6.

KAP-89.1.6 The Regional Credit Officer shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-89.1.7 Cases involving video-KYC sessions with an exposure above Rs. 442 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.7.

KAP-89.1.8 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-89.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-89.1.10 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 89.2 Risk Categorisation - Operating Rule Set 89.2

KAP-89.2.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-89.2.2 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-89.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-89.2.4 Cases involving cash transaction reports with an exposure above Rs. 496 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.30.

KAP-89.2.5 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure A-33.

KAP-89.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-89.2.7 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-89.2.8 Cases involving account-opening forms with an exposure above Rs. 92 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.17.

KAP-89.2.9 The Compliance Officer shall review address proofs within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-89.2.10 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/098 and that compliance is certified every quarter.

Section 89.3 Risk Categorisation - Operating Rule Set 89.3

KAP-89.3.1 The Branch Manager shall review address proofs within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-89.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-89.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-89.3.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-89.3.5 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/002 and that compliance is certified every quarter.

KAP-89.3.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-89.3.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-89.3.8 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure C-3.

Section 89.4 Risk Categorisation - Operating Rule Set 89.4

KAP-89.4.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 398 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.6.

KAP-89.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-89.4.3 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-89.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-89.4.5 The Regional Credit Officer shall review identity documents within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-89.4.6 The Compliance Officer shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-89.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-89.4.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure H-10.

KAP-89.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-89.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 22 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.8.

KAP-89.4.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13

and be made available to internal auditors on request.

KAP-89.4.12 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-89.4.13 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 89.5 Risk Categorisation - Operating Rule Set 89.5

KAP-89.5.1 The Zonal Head shall review risk-rating files within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-89.5.2 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-89.5.3 Cases involving address proofs with an exposure above Rs. 80 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.4.

KAP-89.5.4 The Zonal Head shall review identity documents within 29 working days of receipt and record the outcome in the Document Management system.

KAP-89.5.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-89.5.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/030 and that compliance is certified every quarter.

KAP-89.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 112 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.29.

KAP-89.5.8 Cases involving address proofs with an exposure above Rs. 252 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.8.

KAP-89.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 497 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.6.

KAP-89.5.10 The Regional Credit Officer shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-89.5.11 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure C-1.

KAP-89.5.12 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-89.5.13 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure H-5.

Section 89.6 Risk Categorisation - Operating Rule Set 89.6

KAP-89.6.1 Cases involving account-opening forms with an exposure above Rs. 43 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.14.

KAP-89.6.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-89.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-89.6.4 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/033 and that compliance is certified every quarter.

KAP-89.6.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-89.6.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-89.6.7 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/029 and that compliance is certified every quarter.

KAP-89.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-89.6.9 Cases involving beneficial-owner declarations with an exposure above Rs. 7 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.11.

KAP-89.6.10 The Regional Credit Officer shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

Section 89.7 Risk Categorisation - Operating Rule Set 89.7

KAP-89.7.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-89.7.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-89.7.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-89.7.4 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/104 and that compliance is certified every quarter.

KAP-89.7.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-89.7.6 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure E-3.

KAP-89.7.7 The Operations Head shall review address proofs within 23 working days of receipt and record the outcome in the Document Management system.

KAP-89.7.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

PART 8 - CHAPTER 90: TRANSACTION MONITORING

Section 90.1 Transaction Monitoring - Operating Rule Set 90.1

KAP-90.1.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-90.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-90.1.3 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-90.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-90.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-90.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-90.1.7 Cases involving address proofs with an exposure above Rs. 83 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.28.

KAP-90.1.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/231 and that compliance is certified every quarter.

KAP-90.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

Section 90.2 Transaction Monitoring - Operating Rule Set 90.2

KAP-90.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-90.2.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/223 and that compliance is certified every quarter.

KAP-90.2.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-90.2.4 The Credit Committee shall review cash transaction reports within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-90.2.5 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-90.2.6 Cases involving risk-rating files with an exposure above Rs. 355 lakh require prior written approval from the

Credit Committee; otherwise the case is an exception under Clause 11.23.

KAP-90.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-90.2.8 The Credit Committee shall review account-opening forms within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-90.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-90.2.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-90.2.11 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/137 and that compliance is certified every quarter.

Section 90.3 Transaction Monitoring - Operating Rule Set 90.3

KAP-90.3.1 Cases involving account-opening forms with an exposure above Rs. 46 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.3.

KAP-90.3.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-90.3.3 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-90.3.4 The Risk Management Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Case Management system.

KAP-90.3.5 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure F-23.

KAP-90.3.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-26.

KAP-90.3.7 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/243 and that compliance is certified every quarter.

KAP-90.3.8 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-90.3.9 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/151 and that compliance is certified every quarter.

Section 90.4 Transaction Monitoring - Operating Rule Set 90.4

KAP-90.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-90.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-90.4.3 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure D-19.

KAP-90.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 437 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.13.

KAP-90.4.5 The Credit Committee shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Case Management system.

KAP-90.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-90.4.7 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-90.4.8 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure F-28.

KAP-90.4.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure B-21.

KAP-90.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-90.4.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-90.4.12 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 90.5 Transaction Monitoring - Operating Rule Set 90.5

KAP-90.5.1 Cases involving correspondent-bank relationships with an exposure above Rs. 69 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.23.

KAP-90.5.2 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure B-2.

KAP-90.5.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure B-26.

KAP-90.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-90.5.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure G-34.

KAP-90.5.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/119 and that compliance is certified every quarter.

KAP-90.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-90.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-90.5.9 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/064 and that compliance is certified every quarter.

KAP-90.5.10 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure A-20.

KAP-90.5.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

PART 8 - CHAPTER 91: SUSPICIOUS TRANSACTION REPORTING

Section 91.1 Suspicious Transaction Reporting - Operating Rule Set 91.1

KAP-91.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-91.1.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure F-24.

KAP-91.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-91.1.4 Cases involving cash transaction reports with an exposure above Rs. 97 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.18.

KAP-91.1.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure F-7.

KAP-91.1.6 The Risk Management Department shall review PEP screening results within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-91.1.7 The Operations Head shall review risk-rating files within 7 working days of receipt and record the outcome in the Document Management system.

KAP-91.1.8 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure A-9.

KAP-91.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-91.1.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-91.1.11 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure H-35.

Section 91.2 Suspicious Transaction Reporting - Operating Rule Set 91.2

KAP-91.2.1 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-91.2.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure F-20.

KAP-91.2.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-21.

KAP-91.2.4 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure C-16.

KAP-91.2.5 Cases involving cash transaction reports with an exposure above Rs. 94 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.8.

KAP-91.2.6 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/061 and that compliance is certified every quarter.

KAP-91.2.7 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure C-38.

KAP-91.2.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-91.2.9 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 91.3 Suspicious Transaction Reporting - Operating Rule Set 91.3

KAP-91.3.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-91.3.2 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-91.3.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-9.

KAP-91.3.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/165 and that compliance is certified every quarter.

KAP-91.3.5 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-91.3.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/072 and that compliance is certified every quarter.

KAP-91.3.7 The Zonal Head shall review identity documents within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-91.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-91.3.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/167 and that compliance is certified every quarter.

KAP-91.3.10 Cases involving cash transaction reports with an exposure above Rs. 450 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.4.

Section 91.4 Suspicious Transaction Reporting - Operating Rule Set 91.4

KAP-91.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-91.4.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure C-6.

KAP-91.4.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-91.4.4 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-91.4.5 The Risk Management Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Document Management system.

KAP-91.4.6 The Audit Department shall review identity documents within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-91.4.7 The Regional Credit Officer shall review risk-rating files within 18 working days of receipt and record the outcome in the Case Management system.

KAP-91.4.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure D-8.

KAP-91.4.9 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-91.4.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-91.4.11 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/223 and that compliance is certified every quarter.

KAP-91.4.12 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

PART 8 - CHAPTER 92: POLITICALLY EXPOSED PERSONS

Section 92.1 Politically Exposed Persons - Operating Rule Set 92.1

KAP-92.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-92.1.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-92.1.3 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-92.1.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure G-40.

KAP-92.1.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-92.1.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure A-33.

KAP-92.1.7 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure A-31.

KAP-92.1.8 The Regional Credit Officer shall review risk-rating files within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-92.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 92.2 Politically Exposed Persons - Operating Rule Set 92.2

KAP-92.2.1 Cases involving identity documents with an exposure above Rs. 309 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.29.

KAP-92.2.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure C-32.

KAP-92.2.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-92.2.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-92.2.5 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-92.2.6 The Risk Management Department shall review cash transaction reports within 8 working days of receipt and record the outcome in the Case Management system.

KAP-92.2.7 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-92.2.8 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-92.2.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-92.2.10 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/148 and that compliance is certified every quarter.

KAP-92.2.11 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 92.3 Politically Exposed Persons - Operating Rule Set 92.3

KAP-92.3.1 The Compliance Officer shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-92.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-92.3.3 The Zonal Head shall review cash transaction reports within 23 working days of receipt and record the outcome in the Document Management system.

KAP-92.3.4 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-92.3.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/230 and that compliance is certified every quarter.

KAP-92.3.6 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-92.3.7 Cases involving cash transaction reports with an exposure above Rs. 12 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.13.

KAP-92.3.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/098 and that compliance is certified every quarter.

KAP-92.3.9 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-92.3.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-92.3.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-92.3.12 The Regional Credit Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

Section 92.4 Politically Exposed Persons - Operating Rule Set 92.4

KAP-92.4.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-92.4.2 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-92.4.3 Cases involving address proofs with an exposure above Rs. 189 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.30.

KAP-92.4.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-92.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-92.4.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-92.4.7 The Compliance Officer shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-92.4.8 The Credit Committee shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Risk Engine system.

Section 92.5 Politically Exposed Persons - Operating Rule Set 92.5

KAP-92.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 161 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.3.

KAP-92.5.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-92.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 172 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.26.

KAP-92.5.4 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-92.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-92.5.6 Cases involving cash transaction reports with an exposure above Rs. 217 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.27.

KAP-92.5.7 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/057 and that compliance is certified every quarter.

KAP-92.5.8 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/164 and that compliance is certified every quarter.

KAP-92.5.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

Section 92.6 Politically Exposed Persons - Operating Rule Set 92.6

KAP-92.6.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/157 and that compliance is certified every quarter.

KAP-92.6.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-92.6.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure G-22.

KAP-92.6.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-92.6.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-92.6.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-92.6.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 445 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.21.

KAP-92.6.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure G-24.

PART 8 - CHAPTER 93: BENEFICIAL OWNERSHIP

Section 93.1 Beneficial Ownership - Operating Rule Set 93.1

KAP-93.1.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-93.1.2 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure C-4.

KAP-93.1.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-93.1.4 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure C-1.

KAP-93.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-93.1.6 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-93.1.7 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-93.1.8 Cases involving address proofs with an exposure above Rs. 324 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.21.

KAP-93.1.9 Cases involving identity documents with an exposure above Rs. 332 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.20.

Section 93.2 Beneficial Ownership - Operating Rule Set 93.2

KAP-93.2.1 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-93.2.2 Cases involving identity documents with an exposure above Rs. 396 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.29.

KAP-93.2.3 The Operations Head shall review account-opening forms within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-93.2.4 The Branch Manager shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-93.2.5 Cases involving identity documents with an exposure above Rs. 472 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.5.

KAP-93.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-93.2.7 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure H-17.

KAP-93.2.8 The Zonal Head shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-93.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 115 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.8.

Section 93.3 Beneficial Ownership - Operating Rule Set 93.3

KAP-93.3.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-93.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-93.3.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure E-11.

KAP-93.3.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-93.3.5 Cases involving cash transaction reports with an exposure above Rs. 279 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.4.

KAP-93.3.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-93.3.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure B-9.

KAP-93.3.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/166 and that compliance is certified every quarter.

KAP-93.3.9 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure A-14.

KAP-93.3.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 93.4 Beneficial Ownership - Operating Rule Set 93.4

KAP-93.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-93.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-93.4.3 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/241 and that compliance is certified every quarter.

KAP-93.4.4 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-93.4.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-25.

KAP-93.4.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-93.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-93.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-93.4.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure A-16.

KAP-93.4.10 Cases involving risk-rating files with an exposure above Rs. 443 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.29.

Section 93.5 Beneficial Ownership - Operating Rule Set 93.5

KAP-93.5.1 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-93.5.2 The Compliance Officer shall review account-opening forms within 16 working days of receipt and record the outcome in the Document Management system.

KAP-93.5.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-93.5.4 The Credit Committee shall review account-opening forms within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-93.5.5 Cases involving correspondent-bank relationships with an exposure above Rs. 41 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.4.

KAP-93.5.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-93.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-93.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 243 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.22.

KAP-93.5.9 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/100 and that compliance is certified every quarter.

KAP-93.5.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure A-9.

KAP-93.5.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

PART 8 - CHAPTER 94: RECORD KEEPING

Section 94.1 Record Keeping - Operating Rule Set 94.1

KAP-94.1.1 The Compliance Officer shall review PEP screening results within 19 working days of receipt and record the outcome in the Document Management system.

KAP-94.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-94.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 295 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.27.

KAP-94.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-94.1.5 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/289 and that compliance is certified every quarter.

KAP-94.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-94.1.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/030 and that compliance is certified every quarter.

KAP-94.1.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Case Management system.

KAP-94.1.9 The Compliance Officer shall review risk-rating files within 22 working days of receipt and record the outcome in the Customer Relationship system.

Section 94.2 Record Keeping - Operating Rule Set 94.2

KAP-94.2.1 The Compliance Officer shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-94.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 302 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.11.

KAP-94.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 443 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.4.

KAP-94.2.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-94.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-94.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-94.2.7 The Zonal Head shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-94.2.8 The Operations Head shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-94.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-94.2.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 94.3 Record Keeping - Operating Rule Set 94.3

KAP-94.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-94.3.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-94.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-94.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-94.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-94.3.6 The Compliance Officer shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-94.3.7 Cases involving address proofs with an exposure above Rs. 477 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.18.

KAP-94.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

Section 94.4 Record Keeping - Operating Rule Set 94.4

KAP-94.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-94.4.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/094 and that compliance is certified every quarter.

KAP-94.4.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-94.4.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure D-10.

KAP-94.4.5 The Regional Credit Officer shall review cash transaction reports within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-94.4.6 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/175 and that compliance is certified every quarter.

KAP-94.4.7 The Zonal Head shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-94.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-94.4.9 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-94.4.10 Cases involving identity documents with an exposure above Rs. 233 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.30.

KAP-94.4.11 The Zonal Head shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Customer Relationship system.

Section 94.5 Record Keeping - Operating Rule Set 94.5

KAP-94.5.1 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure A-21.

KAP-94.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-94.5.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-5.

KAP-94.5.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-94.5.5 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-94.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-94.5.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-94.5.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure D-32.

KAP-94.5.9 The Branch Manager shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Risk Engine system.

PART 8 - CHAPTER 95: STAFF TRAINING

Section 95.1 Staff Training - Operating Rule Set 95.1

KAP-95.1.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-95.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-95.1.3 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-95.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 39 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.30.

KAP-95.1.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-95.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-95.1.7 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-95.1.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/232 and that compliance is certified every quarter.

KAP-95.1.9 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 95.2 Staff Training - Operating Rule Set 95.2

KAP-95.2.1 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/242 and that compliance is certified every quarter.

KAP-95.2.2 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure E-32.

KAP-95.2.3 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-95.2.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/035 and that compliance is certified every quarter.

KAP-95.2.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/058 and that compliance is certified every quarter.

KAP-95.2.6 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure A-21.

KAP-95.2.7 The Audit Department shall review PEP screening results within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-95.2.8 Cases involving identity documents with an exposure above Rs. 13 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.12.

KAP-95.2.9 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure B-26.

KAP-95.2.10 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure B-33.

KAP-95.2.11 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure G-32.

KAP-95.2.12 Cases involving risk-rating files with an exposure above Rs. 378 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.9.

KAP-95.2.13 The Audit Department shall review address proofs within 13 working days of receipt and record the outcome in the Document Management system.

Section 95.3 Staff Training - Operating Rule Set 95.3

KAP-95.3.1 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-95.3.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-95.3.3 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure B-28.

KAP-95.3.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure C-15.

KAP-95.3.5 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/243 and that compliance is certified every quarter.

KAP-95.3.6 Cases involving cash transaction reports with an exposure above Rs. 163 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.29.

KAP-95.3.7 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/086 and that compliance is certified every quarter.

KAP-95.3.8 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/141 and that compliance is certified every quarter.

KAP-95.3.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/168 and that compliance is certified every quarter.

KAP-95.3.10 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/047 and that compliance is certified every quarter.

KAP-95.3.11 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional

Credit Officer within 10 working days, with the supporting documents listed in Annexure G-38.

Section 95.4 Staff Training - Operating Rule Set 95.4

KAP-95.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-95.4.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/135 and that compliance is certified every quarter.

KAP-95.4.3 Cases involving address proofs with an exposure above Rs. 210 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.28.

KAP-95.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-95.4.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/153 and that compliance is certified every quarter.

KAP-95.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-95.4.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-95.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-95.4.9 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-95.4.10 The Compliance Officer shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Document Management system.

KAP-95.4.11 The Compliance Officer shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Loan Origination system.

PART 8 - CHAPTER 96: INDEPENDENT AUDIT

Section 96.1 Independent Audit - Operating Rule Set 96.1

KAP-96.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-96.1.2 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure G-23.

KAP-96.1.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/024 and that compliance is certified every quarter.

KAP-96.1.4 Cases involving video-KYC sessions with an exposure above Rs. 132 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.24.

KAP-96.1.5 Cases involving identity documents with an exposure above Rs. 406 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.12.

KAP-96.1.6 The Credit Committee shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Case Management system.

KAP-96.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-96.1.8 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-96.1.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-96.1.10 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-96.1.11 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/079 and that compliance is certified every quarter.

Section 96.2 Independent Audit - Operating Rule Set 96.2

KAP-96.2.1 Cases involving risk-rating files with an exposure above Rs. 232 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.30.

KAP-96.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-96.2.3 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-96.2.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/283 and that compliance is certified every quarter.

KAP-96.2.5 The Risk Management Department shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-96.2.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure D-13.

KAP-96.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-96.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-96.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-96.2.10 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-96.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 96.3 Independent Audit - Operating Rule Set 96.3

KAP-96.3.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-96.3.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-96.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-96.3.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/086 and that compliance is certified every quarter.

KAP-96.3.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-96.3.6 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-96.3.7 The Zonal Head shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-96.3.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure H-34.

KAP-96.3.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure E-24.

KAP-96.3.10 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-21.

Section 96.4 Independent Audit - Operating Rule Set 96.4

KAP-96.4.1 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-96.4.2 Cases involving account-opening forms with an exposure above Rs. 217 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.9.

KAP-96.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-96.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-96.4.5 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method,

with a tolerance of 6% as approved by the Board.

KAP-96.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-96.4.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-96.4.8 The Compliance Officer shall review risk-rating files within 16 working days of receipt and record the outcome in the Case Management system.

KAP-96.4.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-96.4.10 The Operations Head shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-96.4.11 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-37.

Section 96.5 Independent Audit - Operating Rule Set 96.5

KAP-96.5.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/157 and that compliance is certified every quarter.

KAP-96.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-96.5.3 Cases involving identity documents with an exposure above Rs. 440 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.14.

KAP-96.5.4 Cases involving video-KYC sessions with an exposure above Rs. 467 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.9.

KAP-96.5.5 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-96.5.6 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/108 and that compliance is certified every quarter.

KAP-96.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-96.5.8 Cases involving identity documents with an exposure above Rs. 13 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.15.

KAP-96.5.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-96.5.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-96.5.11 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-96.5.12 The Risk Management Department shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Loan Origination system.

Section 96.6 Independent Audit - Operating Rule Set 96.6

KAP-96.6.1 The Operations Head shall review PEP screening results within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-96.6.2 The Operations Head shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-96.6.3 The Branch Manager shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-96.6.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-96.6.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-96.6.6 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-96.6.7 Cases involving video-KYC sessions with an exposure above Rs. 285 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.24.

KAP-96.6.8 Cases involving address proofs with an exposure above Rs. 105 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.1.

KAP-96.6.9 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

PART 9 - CHAPTER 97: CUSTOMER ACCEPTANCE

Section 97.1 Customer Acceptance - Operating Rule Set 97.1

KAP-97.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-97.1.2 Cases involving cash transaction reports with an exposure above Rs. 171 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.11.

KAP-97.1.3 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/095 and that compliance is certified every quarter.

KAP-97.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 441 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.1.

KAP-97.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 349 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.13.

KAP-97.1.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure C-6.

KAP-97.1.7 The Regional Credit Officer shall review cash transaction reports within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-97.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 97.2 Customer Acceptance - Operating Rule Set 97.2

KAP-97.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-97.2.2 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-97.2.3 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-13.

KAP-97.2.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-97.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 478 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.9.

KAP-97.2.6 The Operations Head shall review identity documents within 15 working days of receipt and record the outcome in the Document Management system.

KAP-97.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-97.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

Section 97.3 Customer Acceptance - Operating Rule Set 97.3

KAP-97.3.1 The Regional Credit Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-97.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-97.3.3 The Regional Credit Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-97.3.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-97.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made

available to statutory auditors on request.

KAP-97.3.6 Cases involving risk-rating files with an exposure above Rs. 166 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.6.

KAP-97.3.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-97.3.8 Cases involving risk-rating files with an exposure above Rs. 165 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.10.

KAP-97.3.9 Cases involving cash transaction reports with an exposure above Rs. 255 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.6.

KAP-97.3.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 97.4 Customer Acceptance - Operating Rule Set 97.4

KAP-97.4.1 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-97.4.2 The Compliance Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-97.4.3 The Audit Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-97.4.4 The Credit Committee shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Case Management system.

KAP-97.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-97.4.6 The Branch Manager shall review identity documents within 17 working days of receipt and record the outcome in the Document Management system.

KAP-97.4.7 Cases involving video-KYC sessions with an exposure above Rs. 454 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.18.

KAP-97.4.8 The Branch Manager shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-97.4.9 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/135 and that compliance is certified every quarter.

Section 97.5 Customer Acceptance - Operating Rule Set 97.5

KAP-97.5.1 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure C-5.

KAP-97.5.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-97.5.3 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/300 and that compliance is certified every quarter.

KAP-97.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-97.5.5 The Credit Committee shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Case Management system.

KAP-97.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-97.5.7 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-97.5.8 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/141 and that compliance is certified every quarter.

KAP-97.5.9 The Branch Manager shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Case Management system.

KAP-97.5.10 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure F-32.

KAP-97.5.11 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Risk Engine system.

Section 97.6 Customer Acceptance - Operating Rule Set 97.6

KAP-97.6.1 The Branch Manager shall review account-opening forms within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-97.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-97.6.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/267 and that compliance is certified every quarter.

KAP-97.6.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-97.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-97.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 248 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.2.

KAP-97.6.7 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-97.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-97.6.9 Cases involving PEP screening results with an exposure above Rs. 473 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.29.

PART 9 - CHAPTER 98: CUSTOMER IDENTIFICATION

Section 98.1 Customer Identification - Operating Rule Set 98.1

KAP-98.1.1 The Zonal Head shall review PEP screening results within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-98.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-98.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-98.1.4 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-98.1.5 The Compliance Officer shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-98.1.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

KAP-98.1.7 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-98.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 98.2 Customer Identification - Operating Rule Set 98.2

KAP-98.2.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/210 and that compliance is certified every quarter.

KAP-98.2.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-98.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-98.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-98.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-98.2.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2020/028 and that compliance is certified every quarter.

KAP-98.2.7 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-98.2.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-98.2.9 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-98.2.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

Section 98.3 Customer Identification - Operating Rule Set 98.3

KAP-98.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-98.3.2 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/079 and that compliance is certified every quarter.

KAP-98.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-98.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-98.3.5 The Audit Department shall review cash transaction reports within 27 working days of receipt and record the outcome in the Document Management system.

KAP-98.3.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure B-7.

KAP-98.3.7 The Zonal Head shall review address proofs within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-98.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 98.4 Customer Identification - Operating Rule Set 98.4

KAP-98.4.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/299 and that compliance is certified every quarter.

KAP-98.4.2 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-98.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-98.4.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-98.4.5 Cases involving risk-rating files with an exposure above Rs. 320 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.16.

KAP-98.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-98.4.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-98.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-98.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-98.4.10 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 98.5 Customer Identification - Operating Rule Set 98.5

KAP-98.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-98.5.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 11 days written notice.

KAP-98.5.3 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/229 and that compliance is certified every quarter.

KAP-98.5.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-98.5.5 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-98.5.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/268 and that compliance is certified every quarter.

KAP-98.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 246 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.1.

KAP-98.5.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/044 and that compliance is certified every quarter.

KAP-98.5.9 Cases involving identity documents with an exposure above Rs. 494 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.23.

KAP-98.5.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-98.5.11 Cases involving account-opening forms with an exposure above Rs. 337 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.5.

KAP-98.5.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 98.6 Customer Identification - Operating Rule Set 98.6

KAP-98.6.1 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/091 and that compliance is certified every quarter.

KAP-98.6.2 The Risk Management Department shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-98.6.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure D-16.

KAP-98.6.4 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure E-11.

KAP-98.6.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure A-19.

KAP-98.6.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-98.6.7 The Operations Head shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Case Management system.

KAP-98.6.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-98.6.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure A-9.

Section 98.7 Customer Identification - Operating Rule Set 98.7

KAP-98.7.1 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/004 and that compliance is certified every quarter.

KAP-98.7.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure G-27.

KAP-98.7.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-98.7.4 The Branch Manager shall review address proofs within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-98.7.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-98.7.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-98.7.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-98.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-98.7.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure C-29.

PART 9 - CHAPTER 99: CUSTOMER DUE DILIGENCE

Section 99.1 Customer Due Diligence - Operating Rule Set 99.1

KAP-99.1.1 The Compliance Officer shall review PEP screening results within 16 working days of receipt and record the outcome in the Document Management system.

KAP-99.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-99.1.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-99.1.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-99.1.5 Cases involving PEP screening results with an exposure above Rs. 329 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.21.

KAP-99.1.6 Cases involving risk-rating files with an exposure above Rs. 250 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.13.

KAP-99.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-99.1.8 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure E-39.

KAP-99.1.9 The Credit Committee shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-99.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-99.1.11 The Credit Committee shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

KAP-99.1.12 Cases involving risk-rating files with an exposure above Rs. 40 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.15.

Section 99.2 Customer Due Diligence - Operating Rule Set 99.2

KAP-99.2.1 Cases involving risk-rating files with an exposure above Rs. 70 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.7.

KAP-99.2.2 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-99.2.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-99.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-99.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-99.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-99.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-99.2.8 Cases involving PEP screening results with an exposure above Rs. 23 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.4.

KAP-99.2.9 The Regional Credit Officer shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Case Management system.

KAP-KEY-02 Customers rated high risk shall undergo KYC refresh every year.

KAP-99.2.10 The Audit Department shall review risk-rating files within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-99.2.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-99.2.12 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 99.3 Customer Due Diligence - Operating Rule Set 99.3

KAP-99.3.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-99.3.2 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-99.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-99.3.4 The Operations Head shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-99.3.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/276 and that compliance is certified every quarter.

KAP-99.3.6 The Regional Credit Officer shall review cash transaction reports within 7 working days of receipt and record the outcome in the Case Management system.

KAP-99.3.7 Cases involving cash transaction reports with an exposure above Rs. 427 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.30.

KAP-99.3.8 Cases involving video-KYC sessions with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.28.

KAP-99.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-99.3.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

Section 99.4 Customer Due Diligence - Operating Rule Set 99.4

KAP-99.4.1 The Audit Department shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-99.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 500 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.7.

KAP-99.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-99.4.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-99.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 74 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.26.

KAP-99.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-99.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-99.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-99.4.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

Section 99.5 Customer Due Diligence - Operating Rule Set 99.5

KAP-99.5.1 Cases involving identity documents with an exposure above Rs. 24 lakh require prior written approval from the

Zonal Head; otherwise the case is an exception under Clause 6.12.

KAP-99.5.2 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure E-27.

KAP-99.5.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-99.5.4 Cases involving beneficial-owner declarations with an exposure above Rs. 164 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.19.

KAP-99.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-99.5.6 The Branch Manager shall review cash transaction reports within 27 working days of receipt and record the outcome in the Case Management system.

KAP-99.5.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-99.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-99.5.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-99.5.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

PART 9 - CHAPTER 100: ENHANCED DUE DILIGENCE

Section 100.1 Enhanced Due Diligence - Operating Rule Set 100.1

KAP-100.1.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/250 and that compliance is certified every quarter.

KAP-100.1.2 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-100.1.3 The Credit Committee shall review address proofs within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-100.1.4 The Operations Head shall review address proofs within 18 working days of receipt and record the outcome in the Document Management system.

KAP-100.1.5 The Operations Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Case Management system.

KAP-100.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 192 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.5.

KAP-100.1.7 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-100.1.8 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 100.2 Enhanced Due Diligence - Operating Rule Set 100.2

KAP-100.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-100.2.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-100.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-100.2.4 Cases involving address proofs with an exposure above Rs. 74 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.24.

KAP-100.2.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/221 and that compliance is certified every quarter.

KAP-100.2.6 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-100.2.7 The Zonal Head shall review risk-rating files within 16 working days of receipt and record the outcome in the

Core Banking system.

KAP-100.2.8 Cases involving beneficial-owner declarations with an exposure above Rs. 385 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.2.

KAP-100.2.9 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 100.3 Enhanced Due Diligence - Operating Rule Set 100.3

KAP-100.3.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

KAP-100.3.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure H-28.

KAP-100.3.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure F-7.

KAP-100.3.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-100.3.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure G-23.

KAP-100.3.6 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/270 and that compliance is certified every quarter.

KAP-100.3.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/103 and that compliance is certified every quarter.

KAP-100.3.8 The Risk Management Department shall review identity documents within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-100.3.9 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 100.4 Enhanced Due Diligence - Operating Rule Set 100.4

KAP-100.4.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-100.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-100.4.3 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-100.4.4 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-100.4.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure D-1.

KAP-100.4.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-100.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-100.4.8 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure G-14.

KAP-100.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 360 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.2.

KAP-100.4.10 Cases involving risk-rating files with an exposure above Rs. 394 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.27.

Section 100.5 Enhanced Due Diligence - Operating Rule Set 100.5

KAP-100.5.1 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-100.5.2 Cases involving cash transaction reports with an exposure above Rs. 270 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.4.

KAP-100.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 370 lakh require prior written

approval from the Operations Head; otherwise the case is an exception under Clause 8.13.

KAP-100.5.4 The Risk Management Department shall review address proofs within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-100.5.5 The Risk Management Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-100.5.6 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Case Management system.

KAP-100.5.7 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure C-39.

KAP-100.5.8 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/237 and that compliance is certified every quarter.

KAP-100.5.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-100.5.10 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/027 and that compliance is certified every quarter.

KAP-100.5.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-100.5.12 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/084 and that compliance is certified every quarter.

PART 9 - CHAPTER 101: RISK CATEGORISATION

Section 101.1 Risk Categorisation - Operating Rule Set 101.1

KAP-101.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-101.1.2 The Operations Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Case Management system.

KAP-101.1.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-101.1.4 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-101.1.5 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure F-34.

KAP-101.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-101.1.7 Cases involving risk-rating files with an exposure above Rs. 267 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.26.

KAP-101.1.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-101.1.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-101.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-101.1.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-101.1.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 101.2 Risk Categorisation - Operating Rule Set 101.2

KAP-101.2.1 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-101.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-101.2.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after

giving the customer 10 days written notice.

KAP-101.2.4 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/291 and that compliance is certified every quarter.

KAP-101.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-101.2.6 The Compliance Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Document Management system.

KAP-101.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-101.2.8 Cases involving risk-rating files with an exposure above Rs. 354 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.23.

KAP-101.2.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

KAP-101.2.10 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/223 and that compliance is certified every quarter.

KAP-101.2.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 9 days written notice.

Section 101.3 Risk Categorisation - Operating Rule Set 101.3

KAP-101.3.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/193 and that compliance is certified every quarter.

KAP-101.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-101.3.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure A-14.

KAP-101.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-101.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-101.3.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-101.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-101.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-101.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-101.3.10 Cases involving account-opening forms with an exposure above Rs. 333 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.13.

KAP-101.3.11 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-101.3.12 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

Section 101.4 Risk Categorisation - Operating Rule Set 101.4

KAP-101.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-101.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-101.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-101.4.4 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-101.4.5 The Branch Manager shall review PEP screening results within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-101.4.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-101.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-101.4.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/221 and that compliance is certified every quarter.

KAP-101.4.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/127 and that compliance is certified every quarter.

PART 9 - CHAPTER 102: TRANSACTION MONITORING

Section 102.1 Transaction Monitoring - Operating Rule Set 102.1

KAP-102.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-102.1.2 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-102.1.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-3.

KAP-102.1.4 Cases involving video-KYC sessions with an exposure above Rs. 417 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.9.

KAP-102.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-102.1.6 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/188 and that compliance is certified every quarter.

KAP-102.1.7 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-102.1.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-102.1.9 Cases involving account-opening forms with an exposure above Rs. 168 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.23.

KAP-102.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-102.1.11 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/162 and that compliance is certified every quarter.

Section 102.2 Transaction Monitoring - Operating Rule Set 102.2

KAP-102.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-102.2.2 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure E-4.

KAP-102.2.3 Cases involving PEP screening results with an exposure above Rs. 38 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.29.

KAP-102.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-102.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-102.2.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-102.2.7 The Regional Credit Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Document Management system.

KAP-102.2.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure F-35.

KAP-102.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 298 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.9.

KAP-102.2.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 102.3 Transaction Monitoring - Operating Rule Set 102.3

KAP-102.3.1 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-102.3.2 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-102.3.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-102.3.4 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/282 and that compliance is certified every quarter.

KAP-102.3.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-102.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-102.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-102.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 102.4 Transaction Monitoring - Operating Rule Set 102.4

KAP-102.4.1 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-102.4.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/164 and that compliance is certified every quarter.

KAP-102.4.3 The Operations Head shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Case Management system.

KAP-102.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-102.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-102.4.6 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-102.4.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/237 and that compliance is certified every quarter.

KAP-102.4.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-102.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 102.5 Transaction Monitoring - Operating Rule Set 102.5

KAP-102.5.1 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure G-31.

KAP-102.5.2 The Risk Management Department shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Case Management system.

KAP-102.5.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-102.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-102.5.5 The Credit Committee shall review risk-rating files within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-102.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-102.5.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/199 and that compliance is certified every quarter.

KAP-102.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 292 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.4.

Section 102.6 Transaction Monitoring - Operating Rule Set 102.6

KAP-102.6.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-102.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-102.6.3 The Risk Management Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-102.6.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-102.6.5 The Credit Committee shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Document Management system.

KAP-102.6.6 Cases involving address proofs with an exposure above Rs. 246 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.1.

KAP-102.6.7 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-102.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-102.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-102.6.10 The Audit Department shall review address proofs within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-102.6.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-102.6.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

PART 9 - CHAPTER 103: SUSPICIOUS TRANSACTION REPORTING

Section 103.1 Suspicious Transaction Reporting - Operating Rule Set 103.1

KAP-103.1.1 The Audit Department shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-103.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-103.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-103.1.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/273 and that compliance is certified every quarter.

KAP-103.1.5 The Branch Manager shall review identity documents within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-103.1.6 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-103.1.7 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-103.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-103.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-103.1.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure H-31.

Section 103.2 Suspicious Transaction Reporting - Operating Rule Set 103.2

KAP-103.2.1 The Credit Committee shall review identity documents within 3 working days of receipt and record the outcome in the Document Management system.

KAP-103.2.2 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-103.2.3 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/214 and that compliance is certified every quarter.

KAP-103.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-103.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-103.2.6 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-103.2.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-103.2.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-38.

KAP-103.2.9 The Operations Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

Section 103.3 Suspicious Transaction Reporting - Operating Rule Set 103.3

KAP-103.3.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-103.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-103.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-103.3.4 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/148 and that compliance is certified every quarter.

KAP-103.3.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-103.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-103.3.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-103.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-103.3.9 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/237 and that compliance is certified every quarter.

Section 103.4 Suspicious Transaction Reporting - Operating Rule Set 103.4

KAP-103.4.1 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/182 and that compliance is certified every quarter.

KAP-103.4.2 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-103.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-103.4.4 The Branch Manager shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Case Management system.

KAP-103.4.5 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-103.4.6 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-103.4.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-103.4.8 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/188 and that compliance is certified every quarter.

KAP-103.4.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-103.4.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure G-39.

KAP-103.4.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 103.5 Suspicious Transaction Reporting - Operating Rule Set 103.5

KAP-103.5.1 Cases involving PEP screening results with an exposure above Rs. 430 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.2.

KAP-103.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-103.5.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-103.5.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure A-1.

KAP-103.5.5 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-103.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-103.5.7 The Audit Department shall review account-opening forms within 9 working days of receipt and record the outcome in the Case Management system.

KAP-103.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-103.5.9 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-103.5.10 The Branch Manager shall review identity documents within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-103.5.11 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-103.5.12 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

PART 9 - CHAPTER 104: POLITICALLY EXPOSED PERSONS

Section 104.1 Politically Exposed Persons - Operating Rule Set 104.1

KAP-104.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-104.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-104.1.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-104.1.4 Cases involving cash transaction reports with an exposure above Rs. 484 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.8.

KAP-104.1.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/017 and that compliance is certified every quarter.

KAP-104.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-104.1.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure A-29.

KAP-104.1.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure B-6.

KAP-104.1.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-104.1.10 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 104.2 Politically Exposed Persons - Operating Rule Set 104.2

KAP-104.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-104.2.2 The Regional Credit Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-104.2.3 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-104.2.4 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-104.2.5 The Branch Manager shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-104.2.6 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-39.

KAP-104.2.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-104.2.8 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-104.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 384 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.12.

Section 104.3 Politically Exposed Persons - Operating Rule Set 104.3

KAP-104.3.1 Cases involving PEP screening results with an exposure above Rs. 406 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.21.

KAP-104.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 154 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.11.

KAP-104.3.3 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-104.3.4 Cases involving risk-rating files with an exposure above Rs. 30 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.30.

KAP-104.3.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-104.3.6 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/154 and that compliance is certified every quarter.

KAP-104.3.7 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/077 and that compliance is certified every quarter.

KAP-104.3.8 The Zonal Head shall review risk-rating files within 4 working days of receipt and record the outcome in the Loan Origination system.

Section 104.4 Politically Exposed Persons - Operating Rule Set 104.4

KAP-104.4.1 The Credit Committee shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Document Management system.

KAP-104.4.2 The Branch Manager shall review address proofs within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-104.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-104.4.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-104.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-104.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-104.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-104.4.8 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/036 and that compliance is certified every quarter.

KAP-104.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-104.4.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-104.4.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 104.5 Politically Exposed Persons - Operating Rule Set 104.5

KAP-104.5.1 The Compliance Officer shall review account-opening forms within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-104.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-104.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-104.5.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure G-32.

KAP-104.5.5 The Risk Management Department shall review address proofs within 22 working days of receipt and record the outcome in the Document Management system.

KAP-104.5.6 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-104.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 165 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.28.

KAP-104.5.8 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-104.5.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-104.5.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-104.5.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure F-12.

KAP-104.5.12 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure A-16.

Section 104.6 Politically Exposed Persons - Operating Rule Set 104.6

KAP-104.6.1 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-104.6.2 The Compliance Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-104.6.3 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure H-33.

KAP-104.6.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure G-38.

KAP-104.6.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in

Circular KAP/2022/032 and that compliance is certified every quarter.

KAP-104.6.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-104.6.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-104.6.8 Cases involving cash transaction reports with an exposure above Rs. 382 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.11.

KAP-104.6.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-104.6.10 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

PART 9 - CHAPTER 105: BENEFICIAL OWNERSHIP

Section 105.1 Beneficial Ownership - Operating Rule Set 105.1

KAP-105.1.1 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-105.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-105.1.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-105.1.4 The Audit Department shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-105.1.5 The Branch Manager shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-105.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-105.1.7 The Zonal Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Case Management system.

KAP-105.1.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 105.2 Beneficial Ownership - Operating Rule Set 105.2

KAP-105.2.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure E-23.

KAP-105.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-105.2.3 Cases involving account-opening forms with an exposure above Rs. 418 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.13.

KAP-105.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-105.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-105.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-105.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-105.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-105.2.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure H-35.

KAP-105.2.10 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-105.2.11 Cases involving PEP screening results with an exposure above Rs. 405 lakh require prior written approval

from the Operations Head; otherwise the case is an exception under Clause 17.24.

Section 105.3 Beneficial Ownership - Operating Rule Set 105.3

KAP-105.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-105.3.2 Cases involving address proofs with an exposure above Rs. 371 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.6.

KAP-105.3.3 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-105.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-105.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure F-17.

KAP-105.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-105.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-105.3.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 105.4 Beneficial Ownership - Operating Rule Set 105.4

KAP-105.4.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

KAP-105.4.2 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/043 and that compliance is certified every quarter.

KAP-105.4.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

KAP-105.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-105.4.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-105.4.6 The Regional Credit Officer shall review account-opening forms within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-105.4.7 Cases involving identity documents with an exposure above Rs. 391 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.3.

KAP-105.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-105.4.9 The Audit Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-105.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 105.5 Beneficial Ownership - Operating Rule Set 105.5

KAP-105.5.1 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure E-6.

KAP-105.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-105.5.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-105.5.4 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-105.5.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-105.5.6 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a

tolerance of 2% as approved by the Board.

KAP-105.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 170 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.2.

KAP-105.5.8 The Risk Management Department shall review risk-rating files within 4 working days of receipt and record the outcome in the Case Management system.

KAP-105.5.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/124 and that compliance is certified every quarter.

KAP-105.5.10 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 105.6 Beneficial Ownership - Operating Rule Set 105.6

KAP-105.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 239 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.20.

KAP-105.6.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-105.6.3 The Operations Head shall review cash transaction reports within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-105.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-105.6.5 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-105.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-105.6.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-105.6.8 Cases involving identity documents with an exposure above Rs. 75 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.21.

KAP-105.6.9 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/028 and that compliance is certified every quarter.

KAP-105.6.10 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 105.7 Beneficial Ownership - Operating Rule Set 105.7

KAP-105.7.1 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-105.7.2 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-105.7.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-105.7.4 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure H-4.

KAP-105.7.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 277 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.21.

KAP-105.7.6 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/290 and that compliance is certified every quarter.

KAP-105.7.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-105.7.8 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-105.7.9 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/135 and that compliance is certified every quarter.

KAP-105.7.10 Cases involving account-opening forms with an exposure above Rs. 442 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.11.

KAP-105.7.11 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/238 and that compliance is certified every quarter.

PART 9 - CHAPTER 106: RECORD KEEPING

Section 106.1 Record Keeping - Operating Rule Set 106.1

KAP-106.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-106.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-106.1.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/027 and that compliance is certified every quarter.

KAP-106.1.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/156 and that compliance is certified every quarter.

KAP-106.1.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-106.1.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-106.1.7 The Audit Department shall review address proofs within 29 working days of receipt and record the outcome in the Document Management system.

KAP-106.1.8 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

Section 106.2 Record Keeping - Operating Rule Set 106.2

KAP-106.2.1 Cases involving identity documents with an exposure above Rs. 127 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.14.

KAP-106.2.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-106.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-106.2.4 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure C-2.

KAP-106.2.5 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/100 and that compliance is certified every quarter.

KAP-106.2.6 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-106.2.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure H-8.

KAP-106.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-106.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-106.2.10 The Zonal Head shall review address proofs within 6 working days of receipt and record the outcome in the Customer Relationship system.

Section 106.3 Record Keeping - Operating Rule Set 106.3

KAP-106.3.1 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/262 and that compliance is certified every quarter.

KAP-106.3.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-106.3.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure D-18.

KAP-106.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-106.3.5 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management

Department within 19 working days, with the supporting documents listed in Annexure F-13.

KAP-106.3.6 Cases involving identity documents with an exposure above Rs. 404 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.27.

KAP-106.3.7 Cases involving PEP screening results with an exposure above Rs. 426 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.14.

KAP-106.3.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/079 and that compliance is certified every quarter.

KAP-106.3.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-106.3.10 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/045 and that compliance is certified every quarter.

KAP-106.3.11 Cases involving PEP screening results with an exposure above Rs. 368 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.26.

KAP-106.3.12 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/133 and that compliance is certified every quarter.

KAP-106.3.13 Cases involving account-opening forms with an exposure above Rs. 94 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.5.

Section 106.4 Record Keeping - Operating Rule Set 106.4

KAP-106.4.1 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/248 and that compliance is certified every quarter.

KAP-106.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 361 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.19.

KAP-106.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-106.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-106.4.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-106.4.6 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-106.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-106.4.8 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-106.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 493 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.15.

KAP-106.4.10 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/245 and that compliance is certified every quarter.

KAP-106.4.11 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

PART 9 - CHAPTER 107: STAFF TRAINING

Section 107.1 Staff Training - Operating Rule Set 107.1

KAP-107.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-107.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-107.1.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure H-37.

KAP-107.1.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-107.1.5 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a

tolerance of 2% as approved by the Board.

KAP-107.1.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-107.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-107.1.8 Cases involving cash transaction reports with an exposure above Rs. 61 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.24.

KAP-107.1.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/125 and that compliance is certified every quarter.

KAP-107.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-107.1.11 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-107.1.12 The Audit Department shall review account-opening forms within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-107.1.13 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

Section 107.2 Staff Training - Operating Rule Set 107.2

KAP-107.2.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-107.2.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-107.2.3 The Audit Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-107.2.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-107.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-107.2.6 The Branch Manager shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-107.2.7 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-107.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-107.2.9 The Zonal Head shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-107.2.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure B-35.

Section 107.3 Staff Training - Operating Rule Set 107.3

KAP-107.3.1 Cases involving cash transaction reports with an exposure above Rs. 279 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.11.

KAP-107.3.2 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-107.3.3 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-107.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-107.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-107.3.6 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/104 and that compliance is certified every quarter.

KAP-107.3.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-107.3.8 The Audit Department shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-107.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 107.4 Staff Training - Operating Rule Set 107.4

KAP-107.4.1 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-107.4.2 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure F-40.

KAP-107.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 399 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.2.

KAP-107.4.4 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/109 and that compliance is certified every quarter.

KAP-107.4.5 Cases involving video-KYC sessions with an exposure above Rs. 142 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.3.

KAP-107.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-107.4.7 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure G-4.

KAP-107.4.8 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure E-13.

KAP-107.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 201 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.20.

PART 9 - CHAPTER 108: INDEPENDENT AUDIT

Section 108.1 Independent Audit - Operating Rule Set 108.1

KAP-108.1.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-108.1.2 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-108.1.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure H-6.

KAP-108.1.4 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-108.1.5 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-108.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-108.1.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/224 and that compliance is certified every quarter.

KAP-108.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-108.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-108.1.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-14.

Section 108.2 Independent Audit - Operating Rule Set 108.2

KAP-108.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-108.2.2 The Regional Credit Officer shall review identity documents within 15 working days of receipt and record the

outcome in the Case Management system.

KAP-108.2.3 Cases involving PEP screening results with an exposure above Rs. 173 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.14.

KAP-108.2.4 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-108.2.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/115 and that compliance is certified every quarter.

KAP-108.2.6 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-108.2.7 Cases involving PEP screening results with an exposure above Rs. 171 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.12.

KAP-108.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-108.2.9 The Compliance Officer shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Case Management system.

KAP-108.2.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure F-33.

Section 108.3 Independent Audit - Operating Rule Set 108.3

KAP-108.3.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure F-10.

KAP-108.3.2 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/156 and that compliance is certified every quarter.

KAP-108.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-108.3.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-108.3.5 The Risk Management Department shall review cash transaction reports within 2 working days of receipt and record the outcome in the Case Management system.

KAP-108.3.6 Cases involving cash transaction reports with an exposure above Rs. 155 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.11.

KAP-108.3.7 The Risk Management Department shall review address proofs within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-108.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-108.3.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 108.4 Independent Audit - Operating Rule Set 108.4

KAP-108.4.1 Cases involving address proofs with an exposure above Rs. 395 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.23.

KAP-108.4.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure D-7.

KAP-108.4.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-108.4.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-108.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-108.4.6 Cases involving video-KYC sessions with an exposure above Rs. 180 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.19.

KAP-108.4.7 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure G-19.

KAP-108.4.8 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/133 and that compliance is certified every quarter.

KAP-108.4.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-108.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 191 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.23.

KAP-108.4.11 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 108.5 Independent Audit - Operating Rule Set 108.5

KAP-108.5.1 The Regional Credit Officer shall review account-opening forms within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-108.5.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/083 and that compliance is certified every quarter.

KAP-108.5.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-108.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 84 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.23.

KAP-108.5.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-108.5.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/106 and that compliance is certified every quarter.

KAP-108.5.7 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-108.5.8 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-108.5.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-108.5.10 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-108.5.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-108.5.12 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

Section 108.6 Independent Audit - Operating Rule Set 108.6

KAP-108.6.1 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-108.6.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-108.6.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-108.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-108.6.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-108.6.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-108.6.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-108.6.8 The Audit Department shall review identity documents within 5 working days of receipt and record the outcome in the Core Banking system.

PART 10 - CHAPTER 109: CUSTOMER ACCEPTANCE

Section 109.1 Customer Acceptance - Operating Rule Set 109.1

KAP-109.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-109.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-109.1.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/042 and that compliance is certified every quarter.

KAP-109.1.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-109.1.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/275 and that compliance is certified every quarter.

KAP-109.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-109.1.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/062 and that compliance is certified every quarter.

KAP-109.1.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 109.2 Customer Acceptance - Operating Rule Set 109.2

KAP-109.2.1 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/100 and that compliance is certified every quarter.

KAP-109.2.2 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-109.2.3 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure F-8.

KAP-109.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-109.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-109.2.6 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-109.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-109.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-109.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

Section 109.3 Customer Acceptance - Operating Rule Set 109.3

KAP-109.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-109.3.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-109.3.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure A-28.

KAP-109.3.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure H-34.

KAP-109.3.5 The Risk Management Department shall review address proofs within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-109.3.6 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/114 and that compliance is certified every quarter.

KAP-109.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-109.3.8 Cases involving identity documents with an exposure above Rs. 303 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.13.

KAP-109.3.9 Cases involving video-KYC sessions with an exposure above Rs. 21 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.25.

KAP-109.3.10 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 109.4 Customer Acceptance - Operating Rule Set 109.4

KAP-109.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-109.4.2 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-109.4.3 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-109.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-109.4.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-109.4.6 The Compliance Officer shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-109.4.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-109.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-109.4.9 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/101 and that compliance is certified every quarter.

KAP-109.4.10 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure H-28.

Section 109.5 Customer Acceptance - Operating Rule Set 109.5

KAP-109.5.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/128 and that compliance is certified every quarter.

KAP-109.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-109.5.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/140 and that compliance is certified every quarter.

KAP-109.5.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-109.5.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-109.5.6 The Audit Department shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-109.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-109.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-109.5.9 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

PART 10 - CHAPTER 110: CUSTOMER IDENTIFICATION

Section 110.1 Customer Identification - Operating Rule Set 110.1

KAP-110.1.1 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-110.1.2 The Audit Department shall review identity documents within 18 working days of receipt and record the

outcome in the Document Management system.

KAP-110.1.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-110.1.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-110.1.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/296 and that compliance is certified every quarter.

KAP-110.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-110.1.7 Cases involving risk-rating files with an exposure above Rs. 229 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.8.

KAP-110.1.8 The Risk Management Department shall review PEP screening results within 3 working days of receipt and record the outcome in the Document Management system.

KAP-110.1.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/135 and that compliance is certified every quarter.

KAP-110.1.10 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure D-21.

Section 110.2 Customer Identification - Operating Rule Set 110.2

KAP-110.2.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-8.

KAP-110.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-110.2.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-110.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure D-24.

KAP-110.2.5 The Compliance Officer shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-110.2.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/093 and that compliance is certified every quarter.

KAP-110.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-110.2.8 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-110.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 72 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.15.

Section 110.3 Customer Identification - Operating Rule Set 110.3

KAP-110.3.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/210 and that compliance is certified every quarter.

KAP-110.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-110.3.3 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/283 and that compliance is certified every quarter.

KAP-110.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-110.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 162 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.17.

KAP-110.3.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-110.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-110.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-110.3.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-110.3.10 The Credit Committee shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-110.3.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure F-38.

Section 110.4 Customer Identification - Operating Rule Set 110.4

KAP-110.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 10 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.6.

KAP-110.4.2 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-110.4.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-110.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 496 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.5.

KAP-110.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 151 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.22.

KAP-110.4.6 Cases involving PEP screening results with an exposure above Rs. 278 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.28.

KAP-110.4.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-110.4.8 Cases involving video-KYC sessions with an exposure above Rs. 100 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.9.

KAP-110.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-110.4.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-110.4.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

Section 110.5 Customer Identification - Operating Rule Set 110.5

KAP-110.5.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-110.5.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure A-20.

KAP-110.5.3 Cases involving account-opening forms with an exposure above Rs. 284 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.2.

KAP-110.5.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-110.5.5 Cases involving PEP screening results with an exposure above Rs. 215 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.26.

KAP-110.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-110.5.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-110.5.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure H-2.

KAP-110.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-110.5.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the

10th day of the following month.

Section 110.6 Customer Identification - Operating Rule Set 110.6

KAP-110.6.1 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-110.6.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-110.6.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-110.6.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure A-35.

KAP-110.6.5 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-110.6.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-110.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-110.6.8 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-110.6.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-110.6.10 Cases involving video-KYC sessions with an exposure above Rs. 77 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.4.

PART 10 - CHAPTER 111: CUSTOMER DUE DILIGENCE

Section 111.1 Customer Due Diligence - Operating Rule Set 111.1

KAP-111.1.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure E-6.

KAP-111.1.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-111.1.3 The Compliance Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-111.1.4 The Compliance Officer shall review account-opening forms within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-111.1.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-111.1.6 The Credit Committee shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-111.1.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-111.1.8 The Compliance Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Case Management system.

KAP-111.1.9 The Operations Head shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

Section 111.2 Customer Due Diligence - Operating Rule Set 111.2

KAP-111.2.1 The Audit Department shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-111.2.2 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-111.2.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/264 and that compliance is certified every quarter.

KAP-111.2.4 The Credit Committee shall review address proofs within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-111.2.5 The Risk Management Department shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-111.2.6 Cases involving video-KYC sessions with an exposure above Rs. 458 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.14.

KAP-111.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-111.2.8 The Risk Management Department shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-111.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-111.2.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

Section 111.3 Customer Due Diligence - Operating Rule Set 111.3

KAP-111.3.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-111.3.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure G-16.

KAP-111.3.3 Cases involving account-opening forms with an exposure above Rs. 461 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.14.

KAP-111.3.4 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-111.3.5 Cases involving account-opening forms with an exposure above Rs. 329 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.25.

KAP-111.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-111.3.7 The Regional Credit Officer shall review identity documents within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-111.3.8 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure F-13.

KAP-111.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

Section 111.4 Customer Due Diligence - Operating Rule Set 111.4

KAP-111.4.1 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-111.4.2 The Regional Credit Officer shall review risk-rating files within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-111.4.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/093 and that compliance is certified every quarter.

KAP-111.4.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure G-14.

KAP-111.4.5 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-111.4.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-111.4.7 The Regional Credit Officer shall review account-opening forms within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-111.4.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-111.4.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-111.4.10 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in

Circular KAP/2020/252 and that compliance is certified every quarter.

PART 10 - CHAPTER 112: ENHANCED DUE DILIGENCE

Section 112.1 Enhanced Due Diligence - Operating Rule Set 112.1

KAP-112.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 398 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.2.

KAP-112.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-112.1.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure F-4.

KAP-112.1.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-19.

KAP-112.1.5 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/064 and that compliance is certified every quarter.

KAP-112.1.6 The Operations Head shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-112.1.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/287 and that compliance is certified every quarter.

KAP-112.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 6 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.7.

KAP-112.1.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-112.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

Section 112.2 Enhanced Due Diligence - Operating Rule Set 112.2

KAP-112.2.1 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-112.2.2 The Risk Management Department shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Case Management system.

KAP-112.2.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-22.

KAP-112.2.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/293 and that compliance is certified every quarter.

KAP-112.2.5 The Zonal Head shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-112.2.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure B-18.

KAP-112.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-112.2.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-112.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 112.3 Enhanced Due Diligence - Operating Rule Set 112.3

KAP-112.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-112.3.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/176 and that compliance is certified every quarter.

KAP-112.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 336 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.10.

KAP-112.3.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure B-17.

KAP-112.3.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/097 and that compliance is certified every quarter.

KAP-112.3.6 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure G-12.

KAP-112.3.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-112.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-112.3.9 The Regional Credit Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

Section 112.4 Enhanced Due Diligence - Operating Rule Set 112.4

KAP-112.4.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure G-30.

KAP-112.4.2 The Compliance Officer shall review identity documents within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-112.4.3 Cases involving risk-rating files with an exposure above Rs. 145 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.9.

KAP-112.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-112.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-112.4.6 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-112.4.7 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-112.4.8 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/277 and that compliance is certified every quarter.

KAP-112.4.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 112.5 Enhanced Due Diligence - Operating Rule Set 112.5

KAP-112.5.1 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-112.5.2 The Branch Manager shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-112.5.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-112.5.4 The Audit Department shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-112.5.5 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/233 and that compliance is certified every quarter.

KAP-112.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-112.5.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-112.5.8 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/152 and that compliance is certified every quarter.

KAP-112.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-112.5.10 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/042 and that compliance is certified every quarter.

KAP-112.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be

made available to internal auditors on request.

KAP-112.5.12 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 4 days written notice.

Section 112.6 Enhanced Due Diligence - Operating Rule Set 112.6

KAP-112.6.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/167 and that compliance is certified every quarter.

KAP-112.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-112.6.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure G-19.

KAP-112.6.4 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure B-36.

KAP-112.6.5 The Regional Credit Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-112.6.6 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-112.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-112.6.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure A-10.

KAP-112.6.9 Cases involving identity documents with an exposure above Rs. 166 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.5.

KAP-112.6.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-112.6.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-112.6.12 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/039 and that compliance is certified every quarter.

Section 112.7 Enhanced Due Diligence - Operating Rule Set 112.7

KAP-112.7.1 Cases involving correspondent-bank relationships with an exposure above Rs. 362 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.28.

KAP-112.7.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/074 and that compliance is certified every quarter.

KAP-112.7.3 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-112.7.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-112.7.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-112.7.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-112.7.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-112.7.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

Section 112.8 Enhanced Due Diligence - Operating Rule Set 112.8

KAP-112.8.1 The Compliance Officer shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Document Management system.

KAP-112.8.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure F-30.

KAP-112.8.3 Cases involving video-KYC sessions with an exposure above Rs. 323 lakh require prior written approval from

the Audit Department; otherwise the case is an exception under Clause 19.26.

KAP-112.8.4 Cases involving cash transaction reports with an exposure above Rs. 376 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.10.

KAP-112.8.5 Cases involving address proofs with an exposure above Rs. 486 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.28.

KAP-112.8.6 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-112.8.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-112.8.8 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/252 and that compliance is certified every quarter.

KAP-112.8.9 The Compliance Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Loan Origination system.

PART 10 - CHAPTER 113: RISK CATEGORISATION

Section 113.1 Risk Categorisation - Operating Rule Set 113.1

KAP-113.1.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure B-21.

KAP-113.1.2 Cases involving cash transaction reports with an exposure above Rs. 349 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.21.

KAP-113.1.3 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/143 and that compliance is certified every quarter.

KAP-113.1.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure H-40.

KAP-113.1.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure F-39.

KAP-113.1.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure B-32.

KAP-113.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 398 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.16.

KAP-113.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 113.2 Risk Categorisation - Operating Rule Set 113.2

KAP-113.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-113.2.2 Cases involving cash transaction reports with an exposure above Rs. 311 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.7.

KAP-113.2.3 The Regional Credit Officer shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-113.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-113.2.5 Cases involving video-KYC sessions with an exposure above Rs. 445 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.12.

KAP-113.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-113.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-113.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-113.2.9 The Zonal Head shall review PEP screening results within 29 working days of receipt and record the outcome in the Document Management system.

KAP-113.2.10 The Bank reserves the right to request additional documents where the customer fails to respond to two

notices, after giving the customer 21 days written notice.

KAP-113.2.11 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/261 and that compliance is certified every quarter.

Section 113.3 Risk Categorisation - Operating Rule Set 113.3

KAP-113.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-113.3.2 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-113.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-113.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-113.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 155 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.14.

KAP-113.3.6 Cases involving cash transaction reports with an exposure above Rs. 177 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.23.

KAP-113.3.7 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/150 and that compliance is certified every quarter.

KAP-113.3.8 The Zonal Head shall review account-opening forms within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-113.3.9 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure C-24.

KAP-113.3.10 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-113.3.11 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-113.3.12 Cases involving cash transaction reports with an exposure above Rs. 135 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.21.

KAP-113.3.13 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 113.4 Risk Categorisation - Operating Rule Set 113.4

KAP-113.4.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-7.

KAP-113.4.2 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/178 and that compliance is certified every quarter.

KAP-113.4.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-113.4.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure F-39.

KAP-113.4.5 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-113.4.6 Cases involving address proofs with an exposure above Rs. 352 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.24.

KAP-113.4.7 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-113.4.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure H-39.

KAP-113.4.9 The Risk Management Department shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-113.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-113.4.11 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure A-39.

Section 113.5 Risk Categorisation - Operating Rule Set 113.5

KAP-113.5.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-113.5.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-113.5.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-113.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-113.5.5 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-113.5.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-113.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-113.5.8 Cases involving account-opening forms with an exposure above Rs. 229 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.11.

KAP-113.5.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

PART 10 - CHAPTER 114: TRANSACTION MONITORING

Section 114.1 Transaction Monitoring - Operating Rule Set 114.1

KAP-114.1.1 The Risk Management Department shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-114.1.2 Cases involving address proofs with an exposure above Rs. 47 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.3.

KAP-114.1.3 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-114.1.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/223 and that compliance is certified every quarter.

KAP-114.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-114.1.6 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-114.1.7 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-114.1.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Case Management system.

KAP-114.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-114.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

Section 114.2 Transaction Monitoring - Operating Rule Set 114.2

KAP-114.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-114.2.2 The Zonal Head shall review cash transaction reports within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-114.2.3 Cases involving cash transaction reports with an exposure above Rs. 92 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.29.

KAP-114.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer

by the 9th day of the following month.

KAP-114.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-114.2.6 Cases involving account-opening forms with an exposure above Rs. 38 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.20.

KAP-114.2.7 The Audit Department shall review cash transaction reports within 15 working days of receipt and record the outcome in the Document Management system.

KAP-114.2.8 The Branch Manager shall review risk-rating files within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-114.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

Section 114.3 Transaction Monitoring - Operating Rule Set 114.3

KAP-114.3.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-114.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-114.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-114.3.4 The Branch Manager shall review cash transaction reports within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-114.3.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-114.3.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-114.3.7 The Compliance Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

KAP-114.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-114.3.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-114.3.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-114.3.11 Cases involving cash transaction reports with an exposure above Rs. 211 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.9.

KAP-114.3.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-114.3.13 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 114.4 Transaction Monitoring - Operating Rule Set 114.4

KAP-114.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-114.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-114.4.3 Cases involving video-KYC sessions with an exposure above Rs. 411 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.20.

KAP-114.4.4 Cases involving identity documents with an exposure above Rs. 293 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.19.

KAP-114.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-114.4.6 The Operations Head shall review account-opening forms within 6 working days of receipt and record the outcome in the Document Management system.

KAP-114.4.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-114.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-114.4.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure C-21.

KAP-114.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 145 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.25.

KAP-114.4.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

PART 10 - CHAPTER 115: SUSPICIOUS TRANSACTION REPORTING

Section 115.1 Suspicious Transaction Reporting - Operating Rule Set 115.1

KAP-115.1.1 Cases involving video-KYC sessions with an exposure above Rs. 364 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.7.

KAP-115.1.2 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure D-3.

KAP-115.1.3 The Branch Manager shall review cash transaction reports within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-115.1.4 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-115.1.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/047 and that compliance is certified every quarter.

KAP-115.1.6 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/072 and that compliance is certified every quarter.

KAP-115.1.7 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure B-27.

KAP-115.1.8 Cases involving cash transaction reports with an exposure above Rs. 291 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.18.

KAP-115.1.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-115.1.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 115.2 Suspicious Transaction Reporting - Operating Rule Set 115.2

KAP-115.2.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-115.2.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-115.2.3 The Zonal Head shall review risk-rating files within 19 working days of receipt and record the outcome in the Case Management system.

KAP-115.2.4 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-115.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-115.2.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/198 and that compliance is certified every quarter.

KAP-115.2.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-115.2.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/128 and that compliance is certified every quarter.

KAP-115.2.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/259 and that compliance is certified every quarter.

KAP-115.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-115.2.11 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

Section 115.3 Suspicious Transaction Reporting - Operating Rule Set 115.3

KAP-115.3.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/175 and that compliance is certified every quarter.

KAP-115.3.2 The Regional Credit Officer shall review risk-rating files within 29 working days of receipt and record the outcome in the Document Management system.

KAP-115.3.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-115.3.4 The Credit Committee shall review address proofs within 28 working days of receipt and record the outcome in the Document Management system.

KAP-115.3.5 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure D-9.

KAP-115.3.6 Cases involving video-KYC sessions with an exposure above Rs. 62 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.4.

KAP-115.3.7 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-115.3.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure D-7.

KAP-115.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-115.3.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 115.4 Suspicious Transaction Reporting - Operating Rule Set 115.4

KAP-115.4.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure C-10.

KAP-115.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-115.4.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure E-12.

KAP-115.4.4 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-115.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-115.4.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure B-34.

KAP-115.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.14.

KAP-115.4.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure B-2.

KAP-115.4.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-115.4.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

PART 10 - CHAPTER 116: POLITICALLY EXPOSED PERSONS

Section 116.1 Politically Exposed Persons - Operating Rule Set 116.1

KAP-116.1.1 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-116.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the

customer 10 days written notice.

KAP-116.1.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-7.

KAP-116.1.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/014 and that compliance is certified every quarter.

KAP-116.1.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-116.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-116.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-116.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 353 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.15.

KAP-116.1.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-116.1.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-116.1.11 The Credit Committee shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

Section 116.2 Politically Exposed Persons - Operating Rule Set 116.2

KAP-116.2.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-14.

KAP-116.2.2 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-116.2.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-116.2.4 The Regional Credit Officer shall review address proofs within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-116.2.5 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure D-39.

KAP-116.2.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure H-14.

KAP-116.2.7 Cases involving PEP screening results with an exposure above Rs. 176 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.4.

KAP-116.2.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure D-27.

KAP-116.2.9 The Compliance Officer shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-116.2.10 The Zonal Head shall review identity documents within 3 working days of receipt and record the outcome in the Loan Origination system.

Section 116.3 Politically Exposed Persons - Operating Rule Set 116.3

KAP-116.3.1 The Regional Credit Officer shall review account-opening forms within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-116.3.2 The Operations Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Document Management system.

KAP-116.3.3 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-14.

KAP-116.3.4 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/292 and that compliance is certified every quarter.

KAP-116.3.5 Cases involving identity documents with an exposure above Rs. 347 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.20.

KAP-116.3.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/158 and that compliance is certified every quarter.

KAP-116.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-116.3.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-116.3.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/181 and that compliance is certified every quarter.

KAP-116.3.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-116.3.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-116.3.12 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/101 and that compliance is certified every quarter.

Section 116.4 Politically Exposed Persons - Operating Rule Set 116.4

KAP-116.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-116.4.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure H-12.

KAP-116.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-116.4.4 In case of a system outage, the Zonal Head must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure G-8.

KAP-116.4.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure B-5.

KAP-116.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-116.4.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-116.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-116.4.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-116.4.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-116.4.11 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure A-35.

Section 116.5 Politically Exposed Persons - Operating Rule Set 116.5

KAP-116.5.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure A-4.

KAP-116.5.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure A-6.

KAP-116.5.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-116.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 175 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.4.

KAP-116.5.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/080 and that compliance is certified every quarter.

KAP-116.5.6 Cases involving video-KYC sessions with an exposure above Rs. 364 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.1.

KAP-116.5.7 Cases involving risk-rating files with an exposure above Rs. 223 lakh require prior written approval from the

Branch Manager; otherwise the case is an exception under Clause 1.11.

KAP-116.5.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-116.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-116.5.10 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/053 and that compliance is certified every quarter.

KAP-116.5.11 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/239 and that compliance is certified every quarter.

KAP-116.5.12 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure A-28.

KAP-116.5.13 Cases involving beneficial-owner declarations with an exposure above Rs. 395 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.25.

Section 116.6 Politically Exposed Persons - Operating Rule Set 116.6

KAP-116.6.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure H-7.

KAP-116.6.2 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-116.6.3 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-116.6.4 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-116.6.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-116.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-116.6.7 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-116.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-116.6.9 Cases involving PEP screening results with an exposure above Rs. 240 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.27.

KAP-116.6.10 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 116.7 Politically Exposed Persons - Operating Rule Set 116.7

KAP-116.7.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-116.7.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/128 and that compliance is certified every quarter.

KAP-116.7.3 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-116.7.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-116.7.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-116.7.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 138 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.30.

KAP-116.7.7 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-116.7.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-116.7.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-116.7.10 The Operations Head shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-116.7.11 The Zonal Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Document Management system.

KAP-116.7.12 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

PART 10 - CHAPTER 117: BENEFICIAL OWNERSHIP

Section 117.1 Beneficial Ownership - Operating Rule Set 117.1

KAP-117.1.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-117.1.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/084 and that compliance is certified every quarter.

KAP-117.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-117.1.4 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-117.1.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/192 and that compliance is certified every quarter.

KAP-117.1.6 The Credit Committee shall review address proofs within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-117.1.7 The Compliance Officer shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-117.1.8 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-117.1.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-117.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 117.2 Beneficial Ownership - Operating Rule Set 117.2

KAP-117.2.1 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-117.2.2 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-117.2.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-117.2.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-117.2.5 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/267 and that compliance is certified every quarter.

KAP-117.2.6 Cases involving risk-rating files with an exposure above Rs. 353 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.2.

KAP-117.2.7 Cases involving cash transaction reports with an exposure above Rs. 416 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.15.

KAP-117.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-117.2.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-117.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-117.2.11 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

Section 117.3 Beneficial Ownership - Operating Rule Set 117.3

KAP-117.3.1 The Risk Management Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

KAP-117.3.2 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/041 and that compliance is certified every quarter.

KAP-117.3.3 The Compliance Officer shall review cash transaction reports within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-117.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-117.3.5 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-117.3.6 Cases involving PEP screening results with an exposure above Rs. 11 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.28.

KAP-117.3.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/008 and that compliance is certified every quarter.

KAP-117.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-117.3.9 The Credit Committee shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-117.3.10 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/271 and that compliance is certified every quarter.

Section 117.4 Beneficial Ownership - Operating Rule Set 117.4

KAP-117.4.1 Cases involving account-opening forms with an exposure above Rs. 76 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.13.

KAP-117.4.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure F-39.

KAP-117.4.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-117.4.4 Cases involving video-KYC sessions with an exposure above Rs. 270 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.9.

KAP-117.4.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-117.4.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-117.4.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure G-23.

KAP-117.4.8 Cases involving address proofs with an exposure above Rs. 271 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.13.

Section 117.5 Beneficial Ownership - Operating Rule Set 117.5

KAP-117.5.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-117.5.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/059 and that compliance is certified every quarter.

KAP-117.5.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-117.5.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure A-17.

KAP-117.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-117.5.6 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/217 and that compliance is certified every quarter.

KAP-117.5.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-117.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-117.5.9 The Regional Credit Officer shall review risk-rating files within 26 working days of receipt and record the outcome in the Customer Relationship system.

PART 10 - CHAPTER 118: RECORD KEEPING

Section 118.1 Record Keeping - Operating Rule Set 118.1

KAP-118.1.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/070 and that compliance is certified every quarter.

KAP-118.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-118.1.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/294 and that compliance is certified every quarter.

KAP-118.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-118.1.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-118.1.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-118.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 440 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.17.

KAP-118.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-118.1.9 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/203 and that compliance is certified every quarter.

KAP-118.1.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

Section 118.2 Record Keeping - Operating Rule Set 118.2

KAP-118.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-118.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-118.2.3 Cases involving cash transaction reports with an exposure above Rs. 128 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.5.

KAP-118.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 319 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.25.

KAP-118.2.5 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure F-35.

KAP-118.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-118.2.7 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/201 and that compliance is certified every quarter.

KAP-118.2.8 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-118.2.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

Section 118.3 Record Keeping - Operating Rule Set 118.3

KAP-118.3.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after

giving the customer 16 days written notice.

KAP-118.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 190 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.26.

KAP-118.3.3 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-118.3.4 Cases involving address proofs with an exposure above Rs. 58 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.4.

KAP-118.3.5 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure E-22.

KAP-118.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-118.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-118.3.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-118.3.9 The Risk Management Department shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-118.3.10 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure B-3.

KAP-118.3.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 118.4 Record Keeping - Operating Rule Set 118.4

KAP-118.4.1 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/235 and that compliance is certified every quarter.

KAP-118.4.2 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure A-22.

KAP-118.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-118.4.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-118.4.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure B-14.

KAP-118.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 109 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.11.

KAP-118.4.7 The Audit Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Document Management system.

KAP-118.4.8 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-118.4.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure C-12.

KAP-118.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-118.4.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

PART 10 - CHAPTER 119: STAFF TRAINING

Section 119.1 Staff Training - Operating Rule Set 119.1

KAP-119.1.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/028 and that compliance is certified every quarter.

KAP-119.1.2 Cases involving cash transaction reports with an exposure above Rs. 128 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.20.

KAP-119.1.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the

procedures in Circular KAP/2022/144 and that compliance is certified every quarter.

KAP-119.1.4 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-119.1.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-14.

KAP-119.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-119.1.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-6.

KAP-119.1.8 The Operations Head shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Case Management system.

KAP-119.1.9 Cases involving correspondent-bank relationships with an exposure above Rs. 335 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.13.

KAP-119.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-119.1.11 Cases involving account-opening forms with an exposure above Rs. 121 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.6.

Section 119.2 Staff Training - Operating Rule Set 119.2

KAP-119.2.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-15.

KAP-119.2.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/300 and that compliance is certified every quarter.

KAP-119.2.3 Cases involving address proofs with an exposure above Rs. 251 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.16.

KAP-119.2.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-119.2.5 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/167 and that compliance is certified every quarter.

KAP-119.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-119.2.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-119.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

Section 119.3 Staff Training - Operating Rule Set 119.3

KAP-119.3.1 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-119.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-119.3.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/083 and that compliance is certified every quarter.

KAP-119.3.4 The Compliance Officer shall review risk-rating files within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-119.3.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure D-17.

KAP-119.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-119.3.7 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure F-24.

KAP-119.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-119.3.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-119.3.10 The Credit Committee shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Document Management system.

KAP-119.3.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 168 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.9.

KAP-119.3.12 The Compliance Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-119.3.13 Cases involving PEP screening results with an exposure above Rs. 413 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.18.

Section 119.4 Staff Training - Operating Rule Set 119.4

KAP-119.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-119.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-119.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-119.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 62 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.9.

KAP-119.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-119.4.6 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure D-40.

KAP-119.4.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

KAP-119.4.8 Cases involving account-opening forms with an exposure above Rs. 344 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.18.

KAP-119.4.9 The Audit Department shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-119.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 417 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.23.

KAP-119.4.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 119.5 Staff Training - Operating Rule Set 119.5

KAP-119.5.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure A-36.

KAP-119.5.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-119.5.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-119.5.4 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/296 and that compliance is certified every quarter.

KAP-119.5.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/281 and that compliance is certified every quarter.

KAP-119.5.6 The Audit Department shall review risk-rating files within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-119.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-119.5.8 The Risk Management Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Document Management system.

KAP-119.5.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations

Head by the 6th day of the following month.

KAP-119.5.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-119.5.11 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/278 and that compliance is certified every quarter.

Section 119.6 Staff Training - Operating Rule Set 119.6

KAP-119.6.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-119.6.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-119.6.3 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure D-25.

KAP-119.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-119.6.5 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/058 and that compliance is certified every quarter.

KAP-119.6.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-119.6.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-119.6.8 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/184 and that compliance is certified every quarter.

Section 119.7 Staff Training - Operating Rule Set 119.7

KAP-119.7.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-119.7.2 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure E-29.

KAP-119.7.3 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure F-12.

KAP-119.7.4 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-10.

KAP-119.7.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/145 and that compliance is certified every quarter.

KAP-119.7.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/215 and that compliance is certified every quarter.

KAP-119.7.7 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-119.7.8 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

KAP-119.7.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-119.7.10 The Branch Manager shall review risk-rating files within 25 working days of receipt and record the outcome in the Document Management system.

KAP-119.7.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 119.8 Staff Training - Operating Rule Set 119.8

KAP-119.8.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-119.8.2 The Regional Credit Officer shall review PEP screening results within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-119.8.3 The Branch Manager shall review PEP screening results within 13 working days of receipt and record the

outcome in the Core Banking system.

KAP-119.8.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure G-27.

KAP-119.8.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/240 and that compliance is certified every quarter.

KAP-119.8.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-119.8.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-119.8.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

PART 10 - CHAPTER 120: INDEPENDENT AUDIT

Section 120.1 Independent Audit - Operating Rule Set 120.1

KAP-120.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-120.1.2 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

KAP-120.1.3 Cases involving PEP screening results with an exposure above Rs. 355 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.29.

KAP-120.1.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-120.1.5 The Risk Management Department shall review identity documents within 16 working days of receipt and record the outcome in the Case Management system.

KAP-120.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-120.1.7 Cases involving beneficial-owner declarations with an exposure above Rs. 436 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.12.

KAP-120.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

Section 120.2 Independent Audit - Operating Rule Set 120.2

KAP-120.2.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/192 and that compliance is certified every quarter.

KAP-120.2.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-120.2.3 Cases involving risk-rating files with an exposure above Rs. 476 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.3.

KAP-120.2.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure F-8.

KAP-120.2.5 Cases involving risk-rating files with an exposure above Rs. 242 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.29.

KAP-120.2.6 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/011 and that compliance is certified every quarter.

KAP-120.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-120.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-120.2.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-120.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-120.2.11 In case of a change in borrower profile, the Operations Head must escalate the matter to the Zonal Head

within 10 working days, with the supporting documents listed in Annexure G-29.

KAP-120.2.12 Cases involving risk-rating files with an exposure above Rs. 307 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.22.

KAP-120.2.13 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 120.3 Independent Audit - Operating Rule Set 120.3

KAP-120.3.1 Cases involving PEP screening results with an exposure above Rs. 195 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.22.

KAP-120.3.2 Cases involving risk-rating files with an exposure above Rs. 145 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.25.

KAP-120.3.3 Cases involving identity documents with an exposure above Rs. 192 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.8.

KAP-120.3.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-120.3.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-120.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-120.3.7 Cases involving account-opening forms with an exposure above Rs. 83 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.1.

KAP-120.3.8 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/120 and that compliance is certified every quarter.

KAP-120.3.9 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-120.3.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

Section 120.4 Independent Audit - Operating Rule Set 120.4

KAP-120.4.1 Cases involving PEP screening results with an exposure above Rs. 176 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.24.

KAP-120.4.2 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/081 and that compliance is certified every quarter.

KAP-120.4.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-120.4.4 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure E-24.

KAP-120.4.5 The Operations Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-120.4.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-120.4.7 The Risk Management Department shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Document Management system.

KAP-120.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-120.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/217 and that compliance is certified every quarter.

KAP-120.4.10 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure C-26.

KAP-120.4.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-120.4.12 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

Section 120.5 Independent Audit - Operating Rule Set 120.5

KAP-120.5.1 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-120.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-120.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-120.5.4 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure C-12.

KAP-120.5.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/281 and that compliance is certified every quarter.

KAP-120.5.6 Cases involving account-opening forms with an exposure above Rs. 278 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.3.

KAP-120.5.7 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/006 and that compliance is certified every quarter.

KAP-120.5.8 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Document Management system.

Section 120.6 Independent Audit - Operating Rule Set 120.6

KAP-120.6.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/227 and that compliance is certified every quarter.

KAP-120.6.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-120.6.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-120.6.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/027 and that compliance is certified every quarter.

KAP-120.6.5 Cases involving PEP screening results with an exposure above Rs. 11 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.27.

KAP-120.6.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-120.6.7 The Zonal Head shall review cash transaction reports within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-120.6.8 The Compliance Officer shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Document Management system.

KAP-120.6.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

Section 120.7 Independent Audit - Operating Rule Set 120.7

KAP-120.7.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/009 and that compliance is certified every quarter.

KAP-120.7.2 The Branch Manager shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

KAP-120.7.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 460 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.12.

KAP-120.7.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/271 and that compliance is certified every quarter.

KAP-120.7.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/198 and that compliance is certified every quarter.

KAP-120.7.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-120.7.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-120.7.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-120.7.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-120.7.10 The Branch Manager shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

PART 11 - CHAPTER 121: CUSTOMER ACCEPTANCE

Section 121.1 Customer Acceptance - Operating Rule Set 121.1

KAP-121.1.1 Cases involving cash transaction reports with an exposure above Rs. 92 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.19.

KAP-121.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-121.1.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-121.1.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure A-13.

KAP-121.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 186 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.17.

KAP-121.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-121.1.7 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure C-21.

KAP-121.1.8 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-121.1.9 Cases involving identity documents with an exposure above Rs. 143 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.13.

KAP-121.1.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-121.1.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

Section 121.2 Customer Acceptance - Operating Rule Set 121.2

KAP-121.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-121.2.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/152 and that compliance is certified every quarter.

KAP-121.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-121.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-121.2.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-121.2.6 The Zonal Head shall review risk-rating files within 29 working days of receipt and record the outcome in the Case Management system.

KAP-121.2.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure D-5.

KAP-121.2.8 The Branch Manager shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-121.2.9 Cases involving address proofs with an exposure above Rs. 412 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.13.

Section 121.3 Customer Acceptance - Operating Rule Set 121.3

KAP-121.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two

notices, after giving the customer 16 days written notice.

KAP-121.3.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-121.3.3 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/090 and that compliance is certified every quarter.

KAP-121.3.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/167 and that compliance is certified every quarter.

KAP-121.3.5 The Compliance Officer shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-121.3.6 Cases involving PEP screening results with an exposure above Rs. 130 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.12.

KAP-121.3.7 The Operations Head shall review identity documents within 4 working days of receipt and record the outcome in the Document Management system.

KAP-121.3.8 Cases involving PEP screening results with an exposure above Rs. 409 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.15.

KAP-121.3.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure H-25.

KAP-121.3.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/198 and that compliance is certified every quarter.

Section 121.4 Customer Acceptance - Operating Rule Set 121.4

KAP-121.4.1 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/105 and that compliance is certified every quarter.

KAP-121.4.2 Cases involving cash transaction reports with an exposure above Rs. 88 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.21.

KAP-121.4.3 The Operations Head shall review account-opening forms within 6 working days of receipt and record the outcome in the Document Management system.

KAP-121.4.4 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-121.4.5 The Zonal Head shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-121.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-121.4.7 The Branch Manager shall review address proofs within 4 working days of receipt and record the outcome in the Document Management system.

KAP-121.4.8 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-121.4.9 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-121.4.10 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure E-14.

Section 121.5 Customer Acceptance - Operating Rule Set 121.5

KAP-121.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-121.5.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/235 and that compliance is certified every quarter.

KAP-121.5.3 Cases involving identity documents with an exposure above Rs. 229 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.3.

KAP-121.5.4 Cases involving address proofs with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.9.

KAP-121.5.5 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-121.5.6 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/166 and that compliance is certified every quarter.

KAP-121.5.7 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-121.5.8 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-121.5.9 The Branch Manager shall review PEP screening results within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-121.5.10 Cases involving identity documents with an exposure above Rs. 468 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.14.

KAP-121.5.11 Cases involving address proofs with an exposure above Rs. 386 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.24.

Section 121.6 Customer Acceptance - Operating Rule Set 121.6

KAP-121.6.1 The Regional Credit Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-121.6.2 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/006 and that compliance is certified every quarter.

KAP-121.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-121.6.4 Cases involving PEP screening results with an exposure above Rs. 24 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.13.

KAP-121.6.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure F-19.

KAP-121.6.6 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-121.6.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-121.6.8 The Compliance Officer shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-121.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

PART 11 - CHAPTER 122: CUSTOMER IDENTIFICATION

Section 122.1 Customer Identification - Operating Rule Set 122.1

KAP-122.1.1 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure F-28.

KAP-122.1.2 The Compliance Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Case Management system.

KAP-122.1.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-122.1.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-122.1.5 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-122.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-122.1.7 The Audit Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-122.1.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-122.1.9 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure G-12.

Section 122.2 Customer Identification - Operating Rule Set 122.2

KAP-122.2.1 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-122.2.2 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-122.2.3 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/181 and that compliance is certified every quarter.

KAP-122.2.4 The Risk Management Department shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-122.2.5 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure C-5.

KAP-122.2.6 Cases involving address proofs with an exposure above Rs. 193 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.22.

KAP-122.2.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/264 and that compliance is certified every quarter.

KAP-122.2.8 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure A-34.

KAP-122.2.9 The Audit Department shall review identity documents within 23 working days of receipt and record the outcome in the Document Management system.

KAP-122.2.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

Section 122.3 Customer Identification - Operating Rule Set 122.3

KAP-122.3.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-35.

KAP-122.3.2 The Compliance Officer shall review address proofs within 12 working days of receipt and record the outcome in the Case Management system.

KAP-122.3.3 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-122.3.4 The Audit Department shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-122.3.5 Cases involving video-KYC sessions with an exposure above Rs. 175 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.12.

KAP-122.3.6 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure H-36.

KAP-122.3.7 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-122.3.8 The Zonal Head shall review identity documents within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-122.3.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-1.

Section 122.4 Customer Identification - Operating Rule Set 122.4

KAP-122.4.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure E-21.

KAP-122.4.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/054 and that compliance is certified every quarter.

KAP-122.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-122.4.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/201 and that compliance is certified every quarter.

KAP-122.4.5 Cases involving video-KYC sessions with an exposure above Rs. 306 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.8.

KAP-122.4.6 The Compliance Officer shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-122.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-122.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-122.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-122.4.10 The Audit Department shall review risk-rating files within 29 working days of receipt and record the outcome in the Case Management system.

KAP-122.4.11 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-35.

KAP-122.4.12 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 10 days written notice.

PART 11 - CHAPTER 123: CUSTOMER DUE DILIGENCE

Section 123.1 Customer Due Diligence - Operating Rule Set 123.1

KAP-123.1.1 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-123.1.2 The Operations Head shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-123.1.3 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/202 and that compliance is certified every quarter.

KAP-123.1.4 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-123.1.5 Cases involving risk-rating files with an exposure above Rs. 24 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.25.

KAP-123.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-123.1.7 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-123.1.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/249 and that compliance is certified every quarter.

KAP-123.1.9 The Risk Management Department shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Risk Engine system.

Section 123.2 Customer Due Diligence - Operating Rule Set 123.2

KAP-123.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-123.2.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/052 and that compliance is certified every quarter.

KAP-123.2.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure D-35.

KAP-123.2.4 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure H-36.

KAP-123.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-123.2.6 The Risk Management Department shall review account-opening forms within 22 working days of receipt and record the outcome in the Document Management system.

KAP-123.2.7 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-123.2.8 The Branch Manager shall review PEP screening results within 21 working days of receipt and record the outcome in the Document Management system.

KAP-123.2.9 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure D-35.

KAP-123.2.10 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-123.2.11 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-123.2.12 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

Section 123.3 Customer Due Diligence - Operating Rule Set 123.3

KAP-123.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-123.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-123.3.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-3.

KAP-123.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 148 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.4.

KAP-123.3.5 The Operations Head shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Case Management system.

KAP-123.3.6 Cases involving risk-rating files with an exposure above Rs. 169 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.24.

KAP-123.3.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure B-22.

KAP-123.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-123.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 315 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.30.

KAP-123.3.10 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-123.3.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-123.3.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

Section 123.4 Customer Due Diligence - Operating Rule Set 123.4

KAP-123.4.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure G-22.

KAP-123.4.2 Cases involving cash transaction reports with an exposure above Rs. 350 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.25.

KAP-123.4.3 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-123.4.4 The Zonal Head shall review cash transaction reports within 17 working days of receipt and record the outcome in the Case Management system.

KAP-123.4.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-123.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 209 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.29.

KAP-123.4.7 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/269 and that compliance is certified every quarter.

KAP-123.4.8 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-123.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6

and be made available to the regulator on request.

Section 123.5 Customer Due Diligence - Operating Rule Set 123.5

KAP-123.5.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-123.5.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

KAP-123.5.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/126 and that compliance is certified every quarter.

KAP-123.5.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-123.5.5 Cases involving account-opening forms with an exposure above Rs. 224 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.12.

KAP-123.5.6 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/277 and that compliance is certified every quarter.

KAP-123.5.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure F-20.

KAP-123.5.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure H-32.

KAP-123.5.9 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-123.5.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

PART 11 - CHAPTER 124: ENHANCED DUE DILIGENCE

Section 124.1 Enhanced Due Diligence - Operating Rule Set 124.1

KAP-124.1.1 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-124.1.2 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-12.

KAP-124.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-124.1.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-124.1.5 Cases involving identity documents with an exposure above Rs. 365 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.11.

KAP-124.1.6 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-124.1.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-124.1.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/102 and that compliance is certified every quarter.

KAP-124.1.9 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 124.2 Enhanced Due Diligence - Operating Rule Set 124.2

KAP-124.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-124.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-124.2.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-124.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-124.2.5 The Risk Management Department shall review address proofs within 11 working days of receipt and record the outcome in the Case Management system.

KAP-124.2.6 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-124.2.7 The Zonal Head shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-124.2.8 The Compliance Officer shall review PEP screening results within 4 working days of receipt and record the outcome in the Customer Relationship system.

Section 124.3 Enhanced Due Diligence - Operating Rule Set 124.3

KAP-124.3.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-124.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-124.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-124.3.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure H-38.

KAP-124.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-124.3.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure F-19.

KAP-124.3.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-124.3.8 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-124.3.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-124.3.10 The Audit Department shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-124.3.11 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/046 and that compliance is certified every quarter.

KAP-124.3.12 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 124.4 Enhanced Due Diligence - Operating Rule Set 124.4

KAP-124.4.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-124.4.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-124.4.3 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-124.4.4 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/237 and that compliance is certified every quarter.

KAP-124.4.5 Cases involving cash transaction reports with an exposure above Rs. 57 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.19.

KAP-124.4.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/108 and that compliance is certified every quarter.

KAP-124.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-124.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-124.4.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be

made available to statutory auditors on request.

Section 124.5 Enhanced Due Diligence - Operating Rule Set 124.5

KAP-124.5.1 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-124.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-124.5.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-124.5.4 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/130 and that compliance is certified every quarter.

KAP-124.5.5 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-124.5.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure G-10.

KAP-124.5.7 Cases involving address proofs with an exposure above Rs. 173 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.24.

KAP-124.5.8 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/253 and that compliance is certified every quarter.

Section 124.6 Enhanced Due Diligence - Operating Rule Set 124.6

KAP-124.6.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-124.6.2 Cases involving identity documents with an exposure above Rs. 268 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.18.

KAP-124.6.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-124.6.4 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/299 and that compliance is certified every quarter.

KAP-124.6.5 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-124.6.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-124.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-124.6.8 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-124.6.9 The Compliance Officer shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-124.6.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

PART 11 - CHAPTER 125: RISK CATEGORISATION

Section 125.1 Risk Categorisation - Operating Rule Set 125.1

KAP-125.1.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure F-12.

KAP-125.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-125.1.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-125.1.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-125.1.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/010 and that compliance is certified every quarter.

KAP-125.1.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-125.1.7 Cases involving address proofs with an exposure above Rs. 314 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.10.

KAP-125.1.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure H-15.

KAP-125.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-125.1.10 The Regional Credit Officer shall review account-opening forms within 24 working days of receipt and record the outcome in the Case Management system.

KAP-125.1.11 Cases involving correspondent-bank relationships with an exposure above Rs. 384 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.30.

Section 125.2 Risk Categorisation - Operating Rule Set 125.2

KAP-125.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-125.2.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-125.2.3 Cases involving account-opening forms with an exposure above Rs. 224 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.23.

KAP-125.2.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-125.2.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-125.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-125.2.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-23.

KAP-125.2.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/159 and that compliance is certified every quarter.

Section 125.3 Risk Categorisation - Operating Rule Set 125.3

KAP-125.3.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-125.3.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure F-32.

KAP-125.3.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/157 and that compliance is certified every quarter.

KAP-125.3.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-125.3.5 The Operations Head shall review risk-rating files within 3 working days of receipt and record the outcome in the Document Management system.

KAP-125.3.6 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-39.

KAP-125.3.7 Cases involving account-opening forms with an exposure above Rs. 170 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.29.

KAP-125.3.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure H-32.

KAP-125.3.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure D-28.

KAP-125.3.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-125.3.11 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a

tolerance of 8% as approved by the Board.

Section 125.4 Risk Categorisation - Operating Rule Set 125.4

KAP-125.4.1 The Operations Head shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-125.4.2 The Operations Head shall review identity documents within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-125.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-125.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-125.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-125.4.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-125.4.7 Cases involving address proofs with an exposure above Rs. 157 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.12.

KAP-125.4.8 The Operations Head shall review risk-rating files within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-125.4.9 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/078 and that compliance is certified every quarter.

KAP-125.4.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-125.4.11 The Credit Committee shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-125.4.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

Section 125.5 Risk Categorisation - Operating Rule Set 125.5

KAP-125.5.1 The Regional Credit Officer shall review address proofs within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-125.5.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-125.5.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/191 and that compliance is certified every quarter.

KAP-125.5.4 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/103 and that compliance is certified every quarter.

KAP-125.5.5 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-125.5.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-125.5.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/056 and that compliance is certified every quarter.

KAP-125.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-125.5.9 Cases involving account-opening forms with an exposure above Rs. 160 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.18.

KAP-125.5.10 The Risk Management Department shall review identity documents within 27 working days of receipt and record the outcome in the Customer Relationship system.

Section 125.6 Risk Categorisation - Operating Rule Set 125.6

KAP-125.6.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/002 and that compliance is certified every quarter.

KAP-125.6.2 The Zonal Head shall review identity documents within 23 working days of receipt and record the outcome in

the Loan Origination system.

KAP-125.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-125.6.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-125.6.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure A-19.

KAP-125.6.6 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-125.6.7 The Regional Credit Officer shall review identity documents within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-125.6.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-125.6.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-125.6.10 The Compliance Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-125.6.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 125.7 Risk Categorisation - Operating Rule Set 125.7

KAP-125.7.1 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure A-4.

KAP-125.7.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-125.7.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-125.7.4 The Risk Management Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Case Management system.

KAP-125.7.5 The Audit Department shall review address proofs within 8 working days of receipt and record the outcome in the Document Management system.

KAP-125.7.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-125.7.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-125.7.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-125.7.9 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-125.7.10 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure D-9.

PART 11 - CHAPTER 126: TRANSACTION MONITORING

Section 126.1 Transaction Monitoring - Operating Rule Set 126.1

KAP-126.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-126.1.2 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-126.1.3 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-126.1.4 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-126.1.5 The Audit Department shall review PEP screening results within 8 working days of receipt and record the

outcome in the Risk Engine system.

KAP-126.1.6 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-126.1.7 Cases involving correspondent-bank relationships with an exposure above Rs. 491 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.27.

KAP-126.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-126.1.9 Cases involving video-KYC sessions with an exposure above Rs. 425 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.3.

KAP-126.1.10 The Risk Management Department shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Case Management system.

KAP-126.1.11 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-126.1.12 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure C-4.

KAP-126.1.13 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure A-3.

Section 126.2 Transaction Monitoring - Operating Rule Set 126.2

KAP-126.2.1 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-126.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-126.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-126.2.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/129 and that compliance is certified every quarter.

KAP-126.2.5 The Audit Department shall review identity documents within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-126.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-126.2.7 The Operations Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-126.2.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-126.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-126.2.10 Cases involving PEP screening results with an exposure above Rs. 56 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.18.

KAP-126.2.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-126.2.12 Cases involving address proofs with an exposure above Rs. 421 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.29.

Section 126.3 Transaction Monitoring - Operating Rule Set 126.3

KAP-126.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-126.3.2 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/021 and that compliance is certified every quarter.

KAP-126.3.3 Cases involving cash transaction reports with an exposure above Rs. 40 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.18.

KAP-126.3.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/242 and that compliance is certified every quarter.

KAP-126.3.5 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure D-14.

KAP-126.3.6 The Compliance Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-126.3.7 Cases involving cash transaction reports with an exposure above Rs. 356 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.1.

KAP-126.3.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 126.4 Transaction Monitoring - Operating Rule Set 126.4

KAP-126.4.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-126.4.2 The Operations Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-126.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-126.4.4 The Operations Head shall review PEP screening results within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-126.4.5 The Operations Head shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Case Management system.

KAP-126.4.6 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/051 and that compliance is certified every quarter.

KAP-126.4.7 The Risk Management Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-126.4.8 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-126.4.9 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-126.4.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 126.5 Transaction Monitoring - Operating Rule Set 126.5

KAP-126.5.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-126.5.2 The Audit Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-126.5.3 Cases involving identity documents with an exposure above Rs. 104 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.30.

KAP-126.5.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-126.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-126.5.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-126.5.7 The Zonal Head shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-126.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-126.5.9 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-126.5.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-126.5.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by

the Zonal Head by the 12th day of the following month.

KAP-126.5.12 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

PART 11 - CHAPTER 127: SUSPICIOUS TRANSACTION REPORTING

Section 127.1 Suspicious Transaction Reporting - Operating Rule Set 127.1

KAP-127.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-127.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-127.1.3 Cases involving address proofs with an exposure above Rs. 268 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.20.

KAP-127.1.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-127.1.5 The Zonal Head shall review account-opening forms within 5 working days of receipt and record the outcome in the Document Management system.

KAP-127.1.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-127.1.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-127.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-127.1.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure H-7.

KAP-127.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-127.1.11 The Audit Department shall review cash transaction reports within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-127.1.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

Section 127.2 Suspicious Transaction Reporting - Operating Rule Set 127.2

KAP-127.2.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-11.

KAP-127.2.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-127.2.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-127.2.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-127.2.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure A-13.

KAP-127.2.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure C-15.

KAP-127.2.7 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/139 and that compliance is certified every quarter.

KAP-127.2.8 Cases involving video-KYC sessions with an exposure above Rs. 309 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.8.

Section 127.3 Suspicious Transaction Reporting - Operating Rule Set 127.3

KAP-127.3.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-127.3.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-127.3.3 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Document Management system.

KAP-127.3.4 The Operations Head shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Case Management system.

KAP-127.3.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-127.3.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure D-2.

KAP-127.3.7 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-127.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-127.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 127.4 Suspicious Transaction Reporting - Operating Rule Set 127.4

KAP-127.4.1 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure B-13.

KAP-127.4.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure H-35.

KAP-127.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-127.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-127.4.5 The Audit Department shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-127.4.6 Cases involving PEP screening results with an exposure above Rs. 20 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.17.

KAP-127.4.7 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-127.4.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure F-13.

KAP-127.4.9 Cases involving address proofs with an exposure above Rs. 402 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.30.

KAP-127.4.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

Section 127.5 Suspicious Transaction Reporting - Operating Rule Set 127.5

KAP-127.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-127.5.2 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-127.5.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-127.5.4 The Credit Committee shall review risk-rating files within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-127.5.5 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-127.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-127.5.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-127.5.8 The Compliance Officer shall review address proofs within 25 working days of receipt and record the outcome

in the Core Banking system.

KAP-127.5.9 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/060 and that compliance is certified every quarter.

Section 127.6 Suspicious Transaction Reporting - Operating Rule Set 127.6

KAP-127.6.1 The Credit Committee shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-127.6.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure C-17.

KAP-127.6.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-127.6.4 The Credit Committee shall review account-opening forms within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-127.6.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure H-18.

KAP-127.6.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-127.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-127.6.8 The Branch Manager shall review PEP screening results within 15 working days of receipt and record the outcome in the Core Banking system.

PART 11 - CHAPTER 128: POLITICALLY EXPOSED PERSONS

Section 128.1 Politically Exposed Persons - Operating Rule Set 128.1

KAP-128.1.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/183 and that compliance is certified every quarter.

KAP-128.1.2 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/299 and that compliance is certified every quarter.

KAP-128.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-128.1.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure G-4.

KAP-128.1.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/150 and that compliance is certified every quarter.

KAP-128.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-128.1.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/191 and that compliance is certified every quarter.

KAP-128.1.8 Cases involving account-opening forms with an exposure above Rs. 333 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.11.

KAP-128.1.9 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/294 and that compliance is certified every quarter.

KAP-128.1.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-128.1.11 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 128.2 Politically Exposed Persons - Operating Rule Set 128.2

KAP-128.2.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-128.2.2 Cases involving account-opening forms with an exposure above Rs. 497 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.7.

KAP-128.2.3 Cases involving video-KYC sessions with an exposure above Rs. 392 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.17.

KAP-128.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-128.2.5 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/063 and that compliance is certified every quarter.

KAP-128.2.6 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-128.2.7 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/247 and that compliance is certified every quarter.

KAP-128.2.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/183 and that compliance is certified every quarter.

KAP-128.2.9 Cases involving PEP screening results with an exposure above Rs. 360 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.4.

KAP-128.2.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-128.2.11 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure C-18.

KAP-128.2.12 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

Section 128.3 Politically Exposed Persons - Operating Rule Set 128.3

KAP-128.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-128.3.2 The Operations Head shall review identity documents within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-128.3.3 The Risk Management Department shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-128.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 458 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.20.

KAP-128.3.5 Cases involving identity documents with an exposure above Rs. 488 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.3.

KAP-128.3.6 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure B-16.

KAP-128.3.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/110 and that compliance is certified every quarter.

KAP-128.3.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-128.3.9 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/249 and that compliance is certified every quarter.

Section 128.4 Politically Exposed Persons - Operating Rule Set 128.4

KAP-128.4.1 The Compliance Officer shall review risk-rating files within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-128.4.2 Cases involving video-KYC sessions with an exposure above Rs. 131 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.21.

KAP-128.4.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure F-5.

KAP-128.4.4 The Audit Department shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-128.4.5 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-128.4.6 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/156 and that compliance is certified every quarter.

KAP-128.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by

the 10th day of the following month.

KAP-128.4.8 Cases involving address proofs with an exposure above Rs. 341 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.1.

KAP-128.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-128.4.10 The Audit Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Case Management system.

KAP-128.4.11 The Zonal Head shall review address proofs within 5 working days of receipt and record the outcome in the Case Management system.

PART 11 - CHAPTER 129: BENEFICIAL OWNERSHIP

Section 129.1 Beneficial Ownership - Operating Rule Set 129.1

KAP-129.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-129.1.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure B-29.

KAP-129.1.3 The Branch Manager shall review address proofs within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-129.1.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure G-23.

KAP-129.1.5 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/205 and that compliance is certified every quarter.

KAP-129.1.6 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/284 and that compliance is certified every quarter.

KAP-129.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-129.1.8 The Zonal Head shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-129.1.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-129.1.10 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure E-29.

Section 129.2 Beneficial Ownership - Operating Rule Set 129.2

KAP-129.2.1 The Zonal Head shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-129.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-129.2.3 Cases involving account-opening forms with an exposure above Rs. 427 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.12.

KAP-129.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-129.2.5 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-129.2.6 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-129.2.7 Cases involving identity documents with an exposure above Rs. 480 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.25.

KAP-129.2.8 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-129.2.9 The Zonal Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-129.2.10 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2023/111 and that compliance is certified every quarter.

Section 129.3 Beneficial Ownership - Operating Rule Set 129.3

KAP-129.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-129.3.2 Cases involving risk-rating files with an exposure above Rs. 468 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.17.

KAP-129.3.3 The Risk Management Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

KAP-129.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-129.3.5 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure A-36.

KAP-129.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-129.3.7 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-129.3.8 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/033 and that compliance is certified every quarter.

KAP-129.3.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

Section 129.4 Beneficial Ownership - Operating Rule Set 129.4

KAP-129.4.1 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-129.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-129.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-129.4.4 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-129.4.5 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure A-35.

KAP-129.4.6 The Regional Credit Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Document Management system.

KAP-129.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-129.4.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-129.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

Section 129.5 Beneficial Ownership - Operating Rule Set 129.5

KAP-129.5.1 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-129.5.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure D-27.

KAP-129.5.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-129.5.4 Cases involving address proofs with an exposure above Rs. 215 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.9.

KAP-129.5.5 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-129.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 265 lakh require prior written

approval from the Credit Committee; otherwise the case is an exception under Clause 17.28.

KAP-129.5.7 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-129.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-129.5.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure A-4.

KAP-129.5.10 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/051 and that compliance is certified every quarter.

PART 11 - CHAPTER 130: RECORD KEEPING

Section 130.1 Record Keeping - Operating Rule Set 130.1

KAP-130.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-130.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-130.1.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-25.

KAP-130.1.4 Cases involving cash transaction reports with an exposure above Rs. 416 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.8.

KAP-130.1.5 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure G-15.

KAP-130.1.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure F-31.

KAP-130.1.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/173 and that compliance is certified every quarter.

KAP-130.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-130.1.9 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

Section 130.2 Record Keeping - Operating Rule Set 130.2

KAP-130.2.1 Cases involving cash transaction reports with an exposure above Rs. 170 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.1.

KAP-130.2.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure C-5.

KAP-130.2.3 The Credit Committee shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-130.2.4 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-130.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 339 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.10.

KAP-130.2.6 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/287 and that compliance is certified every quarter.

KAP-130.2.7 Cases involving account-opening forms with an exposure above Rs. 99 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.24.

KAP-130.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-130.2.9 The Regional Credit Officer shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Loan Origination system.

Section 130.3 Record Keeping - Operating Rule Set 130.3

KAP-130.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-130.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-130.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-130.3.4 The Operations Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-130.3.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-130.3.6 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure E-1.

KAP-130.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 129 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.12.

KAP-130.3.8 Cases involving identity documents with an exposure above Rs. 453 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.25.

KAP-130.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 130.4 Record Keeping - Operating Rule Set 130.4

KAP-130.4.1 The Compliance Officer shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-130.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-130.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-130.4.4 The Audit Department shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-130.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-130.4.6 Cases involving identity documents with an exposure above Rs. 262 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.25.

KAP-130.4.7 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-130.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

PART 11 - CHAPTER 131: STAFF TRAINING

Section 131.1 Staff Training - Operating Rule Set 131.1

KAP-131.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-131.1.2 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/266 and that compliance is certified every quarter.

KAP-131.1.3 The Regional Credit Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Case Management system.

KAP-131.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-131.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-131.1.6 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-131.1.7 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/177 and that compliance is certified every quarter.

KAP-131.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 274 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.24.

KAP-131.1.9 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 131.2 Staff Training - Operating Rule Set 131.2

KAP-131.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-131.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-131.2.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-131.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-131.2.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-131.2.6 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure H-19.

KAP-131.2.7 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-131.2.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-131.2.9 The Operations Head shall review address proofs within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-131.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 131.3 Staff Training - Operating Rule Set 131.3

KAP-131.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-131.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-131.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-131.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-131.3.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/040 and that compliance is certified every quarter.

KAP-131.3.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-131.3.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-131.3.8 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-131.3.9 Cases involving identity documents with an exposure above Rs. 119 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.9.

KAP-131.3.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 131.4 Staff Training - Operating Rule Set 131.4

KAP-131.4.1 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-131.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-131.4.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/086 and that compliance is certified every quarter.

KAP-131.4.4 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure F-26.

KAP-131.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-131.4.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-131.4.7 Cases involving account-opening forms with an exposure above Rs. 50 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.28.

KAP-131.4.8 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure E-8.

KAP-131.4.9 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-21.

PART 11 - CHAPTER 132: INDEPENDENT AUDIT

Section 132.1 Independent Audit - Operating Rule Set 132.1

KAP-132.1.1 Cases involving address proofs with an exposure above Rs. 326 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.2.

KAP-132.1.2 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-132.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-132.1.4 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-132.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-132.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-132.1.7 The Regional Credit Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Document Management system.

KAP-132.1.8 The Regional Credit Officer shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-132.1.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-132.1.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-35.

KAP-132.1.11 Cases involving account-opening forms with an exposure above Rs. 369 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.25.

KAP-132.1.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

Section 132.2 Independent Audit - Operating Rule Set 132.2

KAP-132.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-132.2.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-132.2.3 The Operations Head shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-132.2.4 The Audit Department shall review address proofs within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-132.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-132.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-132.2.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/076 and that compliance is certified every quarter.

KAP-132.2.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/185 and that compliance is certified every quarter.

KAP-132.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 12 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.23.

KAP-132.2.10 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure A-17.

Section 132.3 Independent Audit - Operating Rule Set 132.3

KAP-132.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-132.3.2 The Regional Credit Officer shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-132.3.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure C-2.

KAP-132.3.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-132.3.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/078 and that compliance is certified every quarter.

KAP-132.3.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure A-15.

KAP-132.3.7 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-132.3.8 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-132.3.9 The Credit Committee shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Core Banking system.

Section 132.4 Independent Audit - Operating Rule Set 132.4

KAP-132.4.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-32.

KAP-132.4.2 The Compliance Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Case Management system.

KAP-132.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-132.4.4 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-132.4.5 The Operations Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Document Management system.

KAP-132.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-132.4.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-132.4.8 The Audit Department shall review identity documents within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-132.4.9 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-132.4.10 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/274 and that compliance is certified every quarter.

Section 132.5 Independent Audit - Operating Rule Set 132.5

KAP-132.5.1 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-132.5.2 Cases involving PEP screening results with an exposure above Rs. 303 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.5.

KAP-132.5.3 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-132.5.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-132.5.5 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure G-1.

KAP-132.5.6 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure B-33.

KAP-132.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-132.5.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/216 and that compliance is certified every quarter.

KAP-132.5.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 24 days written notice.

PART 12 - CHAPTER 133: CUSTOMER ACCEPTANCE

Section 133.1 Customer Acceptance - Operating Rule Set 133.1

KAP-133.1.1 The Audit Department shall review identity documents within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-133.1.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure A-28.

KAP-133.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-133.1.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure B-38.

KAP-133.1.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure G-33.

KAP-133.1.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/150 and that compliance is certified every quarter.

KAP-133.1.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure G-34.

KAP-133.1.8 The Operations Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-133.1.9 The Regional Credit Officer shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-133.1.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure F-10.

Section 133.2 Customer Acceptance - Operating Rule Set 133.2

KAP-133.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-133.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-133.2.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/030 and that compliance is certified every quarter.

KAP-133.2.4 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure F-4.

KAP-133.2.5 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-133.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-133.2.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-133.2.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure H-3.

KAP-133.2.9 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/100 and that compliance is certified every quarter.

Section 133.3 Customer Acceptance - Operating Rule Set 133.3

KAP-133.3.1 The Audit Department shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Document Management system.

KAP-133.3.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure C-3.

KAP-133.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-133.3.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-133.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 133 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.17.

KAP-133.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-133.3.7 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-133.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 481 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.29.

KAP-133.3.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 133.4 Customer Acceptance - Operating Rule Set 133.4

KAP-133.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-133.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-133.4.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure E-24.

KAP-133.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-133.4.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure F-38.

KAP-133.4.6 Cases involving PEP screening results with an exposure above Rs. 185 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.29.

KAP-133.4.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-133.4.8 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/026 and that compliance is certified every quarter.

KAP-133.4.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/227 and that compliance is certified every quarter.

Section 133.5 Customer Acceptance - Operating Rule Set 133.5

KAP-133.5.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-133.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-133.5.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-133.5.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/156 and that compliance is certified every quarter.

KAP-133.5.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-133.5.6 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-133.5.7 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-133.5.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure F-26.

KAP-133.5.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-133.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-133.5.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-133.5.12 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

PART 12 - CHAPTER 134: CUSTOMER IDENTIFICATION

Section 134.1 Customer Identification - Operating Rule Set 134.1

KAP-134.1.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/194 and that compliance is certified every quarter.

KAP-134.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-134.1.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/281 and that compliance is certified every quarter.

KAP-134.1.4 Cases involving PEP screening results with an exposure above Rs. 356 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.29.

KAP-134.1.5 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-134.1.6 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/278 and that compliance is certified every quarter.

KAP-134.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-134.1.8 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-134.1.9 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/178 and that compliance is certified every quarter.

Section 134.2 Customer Identification - Operating Rule Set 134.2

KAP-134.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-134.2.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-134.2.3 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/252 and that compliance is certified every quarter.

KAP-134.2.4 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-134.2.5 Cases involving identity documents with an exposure above Rs. 481 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.15.

KAP-134.2.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/294 and that compliance is certified every quarter.

KAP-134.2.7 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-134.2.8 The Regional Credit Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-134.2.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure H-18.

KAP-134.2.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-134.2.11 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure G-14.

Section 134.3 Customer Identification - Operating Rule Set 134.3

KAP-134.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-134.3.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/256 and that compliance is certified every quarter.

KAP-134.3.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/289 and that compliance is certified every quarter.

KAP-134.3.4 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure G-22.

KAP-134.3.5 Cases involving risk-rating files with an exposure above Rs. 369 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.16.

KAP-134.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-134.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-134.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

Section 134.4 Customer Identification - Operating Rule Set 134.4

KAP-134.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-134.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-134.4.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-134.4.4 Cases involving risk-rating files with an exposure above Rs. 301 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.20.

KAP-134.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-134.4.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-134.4.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-134.4.8 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure A-15.

KAP-134.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-134.4.10 Cases involving beneficial-owner declarations with an exposure above Rs. 243 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.28.

PART 12 - CHAPTER 135: CUSTOMER DUE DILIGENCE

Section 135.1 Customer Due Diligence - Operating Rule Set 135.1

KAP-135.1.1 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a

tolerance of 8% as approved by the Board.

KAP-135.1.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure G-34.

KAP-135.1.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/192 and that compliance is certified every quarter.

KAP-135.1.4 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-135.1.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure C-23.

KAP-135.1.6 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/121 and that compliance is certified every quarter.

KAP-135.1.7 The Risk Management Department shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-135.1.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure C-10.

Section 135.2 Customer Due Diligence - Operating Rule Set 135.2

KAP-135.2.1 The Operations Head shall review address proofs within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-135.2.2 Cases involving account-opening forms with an exposure above Rs. 433 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.21.

KAP-135.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-135.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-135.2.5 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/065 and that compliance is certified every quarter.

KAP-135.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-135.2.7 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/177 and that compliance is certified every quarter.

KAP-135.2.8 The Branch Manager shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Risk Engine system.

Section 135.3 Customer Due Diligence - Operating Rule Set 135.3

KAP-135.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-135.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-135.3.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-135.3.4 The Credit Committee shall review PEP screening results within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-135.3.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-135.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-135.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-135.3.8 The Audit Department shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-135.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 138 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.8.

KAP-135.3.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-135.3.11 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-135.3.12 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-135.3.13 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 135.4 Customer Due Diligence - Operating Rule Set 135.4

KAP-135.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-135.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-135.4.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/036 and that compliance is certified every quarter.

KAP-135.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-135.4.5 The Credit Committee shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-135.4.6 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-135.4.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-135.4.8 Cases involving account-opening forms with an exposure above Rs. 409 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.6.

KAP-135.4.9 Cases involving video-KYC sessions with an exposure above Rs. 13 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.10.

PART 12 - CHAPTER 136: ENHANCED DUE DILIGENCE

Section 136.1 Enhanced Due Diligence - Operating Rule Set 136.1

KAP-136.1.1 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/130 and that compliance is certified every quarter.

KAP-136.1.2 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure H-2.

KAP-136.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-136.1.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/027 and that compliance is certified every quarter.

KAP-136.1.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-136.1.6 The Credit Committee shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-136.1.7 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure C-30.

KAP-136.1.8 The Branch Manager shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

KAP-136.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

Section 136.2 Enhanced Due Diligence - Operating Rule Set 136.2

KAP-136.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-136.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be

incorrect, after giving the customer 6 days written notice.

KAP-136.2.3 Cases involving cash transaction reports with an exposure above Rs. 419 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.30.

KAP-136.2.4 The Operations Head shall review PEP screening results within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-136.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-136.2.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure D-30.

KAP-136.2.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-136.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-136.2.9 Cases involving risk-rating files with an exposure above Rs. 450 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.17.

KAP-136.2.10 Cases involving account-opening forms with an exposure above Rs. 115 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.29.

KAP-136.2.11 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/167 and that compliance is certified every quarter.

KAP-136.2.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-136.2.13 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-136.2.14 Cases involving alerts generated by the monitoring system with an exposure above Rs. 170 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.8.

Section 136.3 Enhanced Due Diligence - Operating Rule Set 136.3

KAP-136.3.1 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-136.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-136.3.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-136.3.4 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-136.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure E-5.

KAP-136.3.6 Cases involving video-KYC sessions with an exposure above Rs. 399 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.7.

KAP-136.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-136.3.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/182 and that compliance is certified every quarter.

KAP-136.3.9 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-136.3.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure H-35.

Section 136.4 Enhanced Due Diligence - Operating Rule Set 136.4

KAP-136.4.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/233 and that compliance is certified every quarter.

KAP-136.4.2 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-136.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-136.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-136.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-136.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-136.4.7 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure B-40.

KAP-136.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-136.4.9 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

PART 12 - CHAPTER 137: RISK CATEGORISATION

Section 137.1 Risk Categorisation - Operating Rule Set 137.1

KAP-137.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-137.1.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-137.1.3 Cases involving address proofs with an exposure above Rs. 472 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.25.

KAP-137.1.4 Cases involving cash transaction reports with an exposure above Rs. 102 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.12.

KAP-137.1.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/172 and that compliance is certified every quarter.

KAP-137.1.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure G-1.

KAP-137.1.7 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Document Management system.

KAP-137.1.8 The Zonal Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Case Management system.

KAP-137.1.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/213 and that compliance is certified every quarter.

KAP-137.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-137.1.11 The Compliance Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Core Banking system.

Section 137.2 Risk Categorisation - Operating Rule Set 137.2

KAP-137.2.1 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-137.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-137.2.3 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-137.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-137.2.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-137.2.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure A-29.

KAP-137.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-137.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-137.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 100 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.30.

KAP-137.2.10 The Operations Head shall review risk-rating files within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-137.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 137.3 Risk Categorisation - Operating Rule Set 137.3

KAP-137.3.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure G-29.

KAP-137.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-137.3.3 The Audit Department shall review risk-rating files within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-137.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-137.3.5 The Audit Department shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-137.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-137.3.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-137.3.8 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-137.3.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-137.3.10 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-137.3.11 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/075 and that compliance is certified every quarter.

Section 137.4 Risk Categorisation - Operating Rule Set 137.4

KAP-137.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-137.4.2 The Branch Manager shall review PEP screening results within 12 working days of receipt and record the outcome in the Case Management system.

KAP-137.4.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-137.4.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/192 and that compliance is certified every quarter.

KAP-137.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 492 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.8.

KAP-137.4.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-137.4.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-137.4.8 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-137.4.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the

Audit Department within 21 working days, with the supporting documents listed in Annexure E-26.

KAP-137.4.10 The Credit Committee shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

Section 137.5 Risk Categorisation - Operating Rule Set 137.5

KAP-137.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-137.5.2 The Compliance Officer shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Document Management system.

KAP-137.5.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure B-10.

KAP-137.5.4 The Compliance Officer shall review address proofs within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-137.5.5 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-137.5.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-137.5.7 The Compliance Officer shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-137.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 496 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.8.

KAP-137.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 216 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.7.

Section 137.6 Risk Categorisation - Operating Rule Set 137.6

KAP-137.6.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/225 and that compliance is certified every quarter.

KAP-137.6.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-28.

KAP-137.6.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-137.6.4 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-137.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-137.6.6 The Risk Management Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-137.6.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-137.6.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-137.6.9 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/104 and that compliance is certified every quarter.

KAP-137.6.10 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 137.7 Risk Categorisation - Operating Rule Set 137.7

KAP-137.7.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/241 and that compliance is certified every quarter.

KAP-137.7.2 The Audit Department shall review cash transaction reports within 14 working days of receipt and record the outcome in the Document Management system.

KAP-137.7.3 Cases involving risk-rating files with an exposure above Rs. 441 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.14.

KAP-137.7.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after

giving the customer 6 days written notice.

KAP-137.7.5 Cases involving correspondent-bank relationships with an exposure above Rs. 32 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.27.

KAP-137.7.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-137.7.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-137.7.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-137.7.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure A-29.

KAP-137.7.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

PART 12 - CHAPTER 138: TRANSACTION MONITORING

Section 138.1 Transaction Monitoring - Operating Rule Set 138.1

KAP-138.1.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-138.1.2 The Audit Department shall review account-opening forms within 10 working days of receipt and record the outcome in the Case Management system.

KAP-138.1.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure B-40.

KAP-138.1.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-138.1.5 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-138.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-138.1.7 Cases involving address proofs with an exposure above Rs. 254 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.3.

KAP-138.1.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-138.1.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-138.1.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 138.2 Transaction Monitoring - Operating Rule Set 138.2

KAP-138.2.1 Cases involving cash transaction reports with an exposure above Rs. 185 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.4.

KAP-138.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-138.2.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/167 and that compliance is certified every quarter.

KAP-138.2.4 The Branch Manager shall review cash transaction reports within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-138.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-138.2.6 Cases involving risk-rating files with an exposure above Rs. 207 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.29.

KAP-138.2.7 The Risk Management Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-138.2.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in

Circular KAP/2021/269 and that compliance is certified every quarter.

KAP-138.2.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/067 and that compliance is certified every quarter.

KAP-138.2.10 Cases involving PEP screening results with an exposure above Rs. 392 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.14.

KAP-138.2.11 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

Section 138.3 Transaction Monitoring - Operating Rule Set 138.3

KAP-138.3.1 Cases involving identity documents with an exposure above Rs. 358 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.28.

KAP-138.3.2 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/226 and that compliance is certified every quarter.

KAP-138.3.3 The Branch Manager shall review address proofs within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-138.3.4 Cases involving cash transaction reports with an exposure above Rs. 375 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.16.

KAP-138.3.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-138.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 369 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.20.

KAP-138.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-138.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-138.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 138.4 Transaction Monitoring - Operating Rule Set 138.4

KAP-138.4.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/208 and that compliance is certified every quarter.

KAP-138.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-138.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-138.4.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-138.4.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/272 and that compliance is certified every quarter.

KAP-138.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-138.4.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/184 and that compliance is certified every quarter.

KAP-138.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-138.4.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-138.4.10 Cases involving risk-rating files with an exposure above Rs. 134 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.23.

KAP-138.4.11 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/293 and that compliance is certified every quarter.

KAP-138.4.12 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

Section 138.5 Transaction Monitoring - Operating Rule Set 138.5

KAP-138.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-138.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-138.5.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure F-34.

KAP-138.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-138.5.5 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-138.5.6 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-138.5.7 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-138.5.8 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-138.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-138.5.10 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure C-28.

KAP-138.5.11 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure D-1.

Section 138.6 Transaction Monitoring - Operating Rule Set 138.6

KAP-138.6.1 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/207 and that compliance is certified every quarter.

KAP-138.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-138.6.3 Cases involving identity documents with an exposure above Rs. 439 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.8.

KAP-138.6.4 The Regional Credit Officer shall review account-opening forms within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-138.6.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-138.6.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-138.6.7 The Audit Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Document Management system.

KAP-138.6.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/234 and that compliance is certified every quarter.

PART 12 - CHAPTER 139: SUSPICIOUS TRANSACTION REPORTING

Section 139.1 Suspicious Transaction Reporting - Operating Rule Set 139.1

KAP-139.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-139.1.2 Cases involving PEP screening results with an exposure above Rs. 205 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.24.

KAP-139.1.3 The Regional Credit Officer shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-139.1.4 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-139.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Operations Head by the 11th day of the following month.

KAP-139.1.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure F-17.

KAP-139.1.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure C-20.

KAP-139.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-139.1.9 The Operations Head shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-139.1.10 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/013 and that compliance is certified every quarter.

KAP-139.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-139.1.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 139.2 Suspicious Transaction Reporting - Operating Rule Set 139.2

KAP-139.2.1 The Zonal Head shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-139.2.2 The Risk Management Department shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-139.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-15.

KAP-139.2.4 The Audit Department shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Case Management system.

KAP-139.2.5 Cases involving account-opening forms with an exposure above Rs. 49 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.7.

KAP-139.2.6 The Zonal Head shall review risk-rating files within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-139.2.7 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-139.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-139.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-139.2.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-139.2.11 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/255 and that compliance is certified every quarter.

KAP-139.2.12 Cases involving cash transaction reports with an exposure above Rs. 188 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.17.

KAP-139.2.13 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-139.2.14 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

Section 139.3 Suspicious Transaction Reporting - Operating Rule Set 139.3

KAP-139.3.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/122 and that compliance is certified every quarter.

KAP-139.3.2 The Audit Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Case Management system.

KAP-139.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-139.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-139.3.5 The Zonal Head shall review PEP screening results within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-139.3.6 Cases involving address proofs with an exposure above Rs. 76 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.20.

KAP-139.3.7 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure E-37.

KAP-139.3.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-139.3.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-8.

KAP-139.3.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 139.4 Suspicious Transaction Reporting - Operating Rule Set 139.4

KAP-139.4.1 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-139.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-139.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-139.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-139.4.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-139.4.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/020 and that compliance is certified every quarter.

KAP-139.4.7 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/103 and that compliance is certified every quarter.

KAP-139.4.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-139.4.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-139.4.10 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 139.5 Suspicious Transaction Reporting - Operating Rule Set 139.5

KAP-139.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-139.5.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-139.5.3 The Zonal Head shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-139.5.4 Cases involving identity documents with an exposure above Rs. 498 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.16.

KAP-139.5.5 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-139.5.6 The Operations Head shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-139.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-139.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11

and be made available to the regulator on request.

KAP-139.5.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/187 and that compliance is certified every quarter.

KAP-139.5.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 137 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.27.

KAP-139.5.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-139.5.12 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 139.6 Suspicious Transaction Reporting - Operating Rule Set 139.6

KAP-139.6.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure G-28.

KAP-139.6.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-139.6.3 Cases involving account-opening forms with an exposure above Rs. 72 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.13.

KAP-139.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-139.6.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-139.6.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-139.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-139.6.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-139.6.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-139.6.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 139.7 Suspicious Transaction Reporting - Operating Rule Set 139.7

KAP-139.7.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-139.7.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure E-26.

KAP-139.7.3 The Regional Credit Officer shall review address proofs within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-139.7.4 The Audit Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-139.7.5 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-139.7.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-139.7.7 The Zonal Head shall review PEP screening results within 11 working days of receipt and record the outcome in the Case Management system.

KAP-139.7.8 The Branch Manager shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-139.7.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-139.7.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-139.7.11 The Compliance Officer shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

PART 12 - CHAPTER 140: POLITICALLY EXPOSED PERSONS

Section 140.1 Politically Exposed Persons - Operating Rule Set 140.1

KAP-140.1.1 The Zonal Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-140.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-140.1.3 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure D-32.

KAP-140.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-140.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-140.1.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/105 and that compliance is certified every quarter.

KAP-140.1.7 The Credit Committee shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

KAP-140.1.8 Cases involving account-opening forms with an exposure above Rs. 362 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.9.

KAP-140.1.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-140.1.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 140.2 Politically Exposed Persons - Operating Rule Set 140.2

KAP-140.2.1 Cases involving risk-rating files with an exposure above Rs. 467 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.23.

KAP-140.2.2 Cases involving cash transaction reports with an exposure above Rs. 156 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.15.

KAP-140.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-140.2.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-140.2.5 Cases involving PEP screening results with an exposure above Rs. 497 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.3.

KAP-140.2.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-140.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-140.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 140.3 Politically Exposed Persons - Operating Rule Set 140.3

KAP-140.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-140.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-140.3.3 The Credit Committee shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-140.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-140.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made

available to the Board Audit Committee on request.

KAP-140.3.6 The Credit Committee shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-140.3.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure G-30.

KAP-140.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 259 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.25.

KAP-140.3.9 The Operations Head shall review identity documents within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-140.3.10 Cases involving risk-rating files with an exposure above Rs. 66 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.1.

KAP-140.3.11 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

Section 140.4 Politically Exposed Persons - Operating Rule Set 140.4

KAP-140.4.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/212 and that compliance is certified every quarter.

KAP-140.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-140.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-140.4.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Case Management system.

KAP-140.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-140.4.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure E-20.

KAP-140.4.7 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure E-28.

KAP-140.4.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-140.4.9 The Zonal Head shall review account-opening forms within 15 working days of receipt and record the outcome in the Core Banking system.

Section 140.5 Politically Exposed Persons - Operating Rule Set 140.5

KAP-140.5.1 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/224 and that compliance is certified every quarter.

KAP-140.5.2 Cases involving risk-rating files with an exposure above Rs. 56 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.23.

KAP-140.5.3 Cases involving risk-rating files with an exposure above Rs. 240 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.9.

KAP-140.5.4 The Credit Committee shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-140.5.5 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-140.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-140.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-140.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-140.5.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

Section 140.6 Politically Exposed Persons - Operating Rule Set 140.6

KAP-140.6.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-140.6.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-140.6.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-140.6.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-140.6.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-140.6.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-140.6.7 The Regional Credit Officer shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-140.6.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-140.6.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 140.7 Politically Exposed Persons - Operating Rule Set 140.7

KAP-140.7.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-140.7.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-140.7.3 Cases involving correspondent-bank relationships with an exposure above Rs. 144 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.24.

KAP-140.7.4 The Branch Manager shall review account-opening forms within 13 working days of receipt and record the outcome in the Document Management system.

KAP-140.7.5 The Operations Head shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-140.7.6 The Audit Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-140.7.7 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-140.7.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-140.7.9 The Compliance Officer shall review identity documents within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-140.7.10 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/003 and that compliance is certified every quarter.

Section 140.8 Politically Exposed Persons - Operating Rule Set 140.8

KAP-140.8.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-140.8.2 Cases involving risk-rating files with an exposure above Rs. 200 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.9.

KAP-140.8.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-140.8.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-140.8.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-140.8.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/018 and that compliance is certified every quarter.

KAP-140.8.7 The Operations Head shall review address proofs within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-140.8.8 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

PART 12 - CHAPTER 141: BENEFICIAL OWNERSHIP

Section 141.1 Beneficial Ownership - Operating Rule Set 141.1

KAP-141.1.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-141.1.2 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/010 and that compliance is certified every quarter.

KAP-141.1.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-141.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-141.1.5 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-141.1.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure E-12.

KAP-141.1.7 Cases involving identity documents with an exposure above Rs. 464 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.9.

KAP-141.1.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-141.1.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-141.1.10 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/297 and that compliance is certified every quarter.

Section 141.2 Beneficial Ownership - Operating Rule Set 141.2

KAP-141.2.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-141.2.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-141.2.3 Cases involving PEP screening results with an exposure above Rs. 89 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.2.

KAP-141.2.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/114 and that compliance is certified every quarter.

KAP-141.2.5 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/056 and that compliance is certified every quarter.

KAP-141.2.6 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure C-19.

KAP-141.2.7 Cases involving PEP screening results with an exposure above Rs. 444 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.21.

KAP-141.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-141.2.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

Section 141.3 Beneficial Ownership - Operating Rule Set 141.3

KAP-141.3.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-141.3.2 Cases involving PEP screening results with an exposure above Rs. 463 lakh require prior written approval from

the Branch Manager; otherwise the case is an exception under Clause 20.6.

KAP-141.3.3 Cases involving cash transaction reports with an exposure above Rs. 202 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.18.

KAP-141.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-141.3.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/286 and that compliance is certified every quarter.

KAP-141.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-141.3.7 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-141.3.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/087 and that compliance is certified every quarter.

KAP-141.3.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

Section 141.4 Beneficial Ownership - Operating Rule Set 141.4

KAP-141.4.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/093 and that compliance is certified every quarter.

KAP-141.4.2 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-141.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 447 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.9.

KAP-141.4.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-141.4.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-141.4.6 Cases involving risk-rating files with an exposure above Rs. 461 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.21.

KAP-141.4.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-141.4.8 Cases involving PEP screening results with an exposure above Rs. 67 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.22.

KAP-141.4.9 The Audit Department shall review cash transaction reports within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-141.4.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-141.4.11 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure A-29.

KAP-141.4.12 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 141.5 Beneficial Ownership - Operating Rule Set 141.5

KAP-141.5.1 Cases involving identity documents with an exposure above Rs. 125 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.13.

KAP-141.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-141.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-141.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-141.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-141.5.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure A-13.

KAP-141.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-141.5.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure C-13.

KAP-141.5.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-141.5.10 The Compliance Officer shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Document Management system.

KAP-141.5.11 The Credit Committee shall review address proofs within 6 working days of receipt and record the outcome in the Loan Origination system.

Section 141.6 Beneficial Ownership - Operating Rule Set 141.6

KAP-141.6.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-141.6.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-141.6.3 Cases involving risk-rating files with an exposure above Rs. 100 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.2.

KAP-141.6.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure F-25.

KAP-141.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-141.6.6 The Regional Credit Officer shall review address proofs within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-141.6.7 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-141.6.8 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-141.6.9 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-141.6.10 Cases involving correspondent-bank relationships with an exposure above Rs. 62 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.27.

KAP-141.6.11 The Zonal Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Risk Engine system.

Section 141.7 Beneficial Ownership - Operating Rule Set 141.7

KAP-141.7.1 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-141.7.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-141.7.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-141.7.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-141.7.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-141.7.6 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/081 and that compliance is certified every quarter.

KAP-141.7.7 The Zonal Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-141.7.8 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular

KAP/2024/153 and that compliance is certified every quarter.

KAP-141.7.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure F-15.

KAP-141.7.10 The Audit Department shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Case Management system.

PART 12 - CHAPTER 142: RECORD KEEPING

Section 142.1 Record Keeping - Operating Rule Set 142.1

KAP-142.1.1 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure H-10.

KAP-142.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-142.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-142.1.4 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/261 and that compliance is certified every quarter.

KAP-142.1.5 The Regional Credit Officer shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

KAP-142.1.6 The Compliance Officer shall review PEP screening results within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-142.1.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-142.1.8 The Zonal Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-142.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-142.1.10 Cases involving PEP screening results with an exposure above Rs. 345 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.13.

KAP-142.1.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-142.1.12 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure F-29.

Section 142.2 Record Keeping - Operating Rule Set 142.2

KAP-142.2.1 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-142.2.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-142.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-142.2.4 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-142.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-142.2.6 Cases involving video-KYC sessions with an exposure above Rs. 410 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.25.

KAP-142.2.7 The Credit Committee shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-142.2.8 Cases involving cash transaction reports with an exposure above Rs. 341 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.6.

KAP-142.2.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure E-9.

KAP-142.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee

by the 3th day of the following month.

Section 142.3 Record Keeping - Operating Rule Set 142.3

KAP-142.3.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-142.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-142.3.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-142.3.4 Cases involving identity documents with an exposure above Rs. 430 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.8.

KAP-142.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-142.3.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-142.3.7 The Credit Committee shall review address proofs within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-142.3.8 The Credit Committee shall review risk-rating files within 9 working days of receipt and record the outcome in the Document Management system.

KAP-142.3.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/008 and that compliance is certified every quarter.

Section 142.4 Record Keeping - Operating Rule Set 142.4

KAP-142.4.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-142.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-142.4.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-142.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-142.4.5 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-1.

KAP-142.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-142.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-142.4.8 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-142.4.9 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure B-16.

KAP-142.4.10 Cases involving risk-rating files with an exposure above Rs. 316 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.26.

PART 12 - CHAPTER 143: STAFF TRAINING

Section 143.1 Staff Training - Operating Rule Set 143.1

KAP-143.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-143.1.2 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/133 and that compliance is certified every quarter.

KAP-143.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 436 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.23.

KAP-143.1.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/203 and that compliance is certified every quarter.

KAP-143.1.5 The Audit Department shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Document Management system.

KAP-143.1.6 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-143.1.7 The Audit Department shall review identity documents within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-143.1.8 The Regional Credit Officer shall review cash transaction reports within 29 working days of receipt and record the outcome in the Core Banking system.

Section 143.2 Staff Training - Operating Rule Set 143.2

KAP-143.2.1 Cases involving identity documents with an exposure above Rs. 15 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.2.

KAP-143.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-143.2.3 The Risk Management Department shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

KAP-143.2.4 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/252 and that compliance is certified every quarter.

KAP-143.2.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/137 and that compliance is certified every quarter.

KAP-143.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-143.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-143.2.8 The Credit Committee shall review cash transaction reports within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-143.2.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-143.2.10 The Audit Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-143.2.11 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/015 and that compliance is certified every quarter.

Section 143.3 Staff Training - Operating Rule Set 143.3

KAP-143.3.1 Cases involving PEP screening results with an exposure above Rs. 338 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.1.

KAP-143.3.2 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.6.

KAP-143.3.3 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure C-17.

KAP-143.3.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/294 and that compliance is certified every quarter.

KAP-143.3.5 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-143.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 131 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.24.

KAP-143.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-143.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-143.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 143.4 Staff Training - Operating Rule Set 143.4

KAP-143.4.1 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/230 and that compliance is certified every quarter.

KAP-143.4.2 The Operations Head shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-143.4.3 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/161 and that compliance is certified every quarter.

KAP-143.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-143.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 358 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.1.

KAP-143.4.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-2.

KAP-143.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 409 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.19.

KAP-143.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

PART 12 - CHAPTER 144: INDEPENDENT AUDIT

Section 144.1 Independent Audit - Operating Rule Set 144.1

KAP-144.1.1 The Branch Manager shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-144.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-144.1.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure C-12.

KAP-144.1.4 The Credit Committee shall review cash transaction reports within 26 working days of receipt and record the outcome in the Document Management system.

KAP-144.1.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-144.1.6 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure E-9.

KAP-144.1.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure A-25.

KAP-144.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-144.1.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/042 and that compliance is certified every quarter.

Section 144.2 Independent Audit - Operating Rule Set 144.2

KAP-144.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 274 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.28.

KAP-144.2.2 The Risk Management Department shall review account-opening forms within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-144.2.3 The Risk Management Department shall review account-opening forms within 12 working days of receipt and record the outcome in the Document Management system.

KAP-144.2.4 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-144.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-144.2.6 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure H-12.

KAP-144.2.7 Cases involving PEP screening results with an exposure above Rs. 57 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.18.

KAP-144.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-144.2.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/009 and that compliance is certified every quarter.

Section 144.3 Independent Audit - Operating Rule Set 144.3

KAP-144.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-144.3.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-144.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-144.3.4 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-144.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 19 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.11.

KAP-144.3.6 Cases involving PEP screening results with an exposure above Rs. 300 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.6.

KAP-144.3.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure C-3.

KAP-144.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-144.3.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-144.3.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-144.3.11 Cases involving PEP screening results with an exposure above Rs. 281 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.8.

KAP-144.3.12 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure C-16.

Section 144.4 Independent Audit - Operating Rule Set 144.4

KAP-144.4.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure B-5.

KAP-144.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-144.4.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-144.4.4 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-144.4.5 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure E-21.

KAP-144.4.6 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-144.4.7 The Regional Credit Officer shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-144.4.8 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-144.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

PART 13 - CHAPTER 145: CUSTOMER ACCEPTANCE

Section 145.1 Customer Acceptance - Operating Rule Set 145.1

KAP-145.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the

8th day of the following month.

KAP-145.1.2 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-145.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-145.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-145.1.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-145.1.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/218 and that compliance is certified every quarter.

KAP-145.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-145.1.8 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

KAP-145.1.9 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-145.1.10 Cases involving PEP screening results with an exposure above Rs. 264 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.10.

KAP-145.1.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-145.1.12 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure A-11.

Section 145.2 Customer Acceptance - Operating Rule Set 145.2

KAP-145.2.1 The Credit Committee shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-145.2.2 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure D-8.

KAP-145.2.3 The Compliance Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-145.2.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure A-5.

KAP-145.2.5 Cases involving identity documents with an exposure above Rs. 495 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.2.

KAP-145.2.6 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-145.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-145.2.8 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/085 and that compliance is certified every quarter.

KAP-145.2.9 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/162 and that compliance is certified every quarter.

Section 145.3 Customer Acceptance - Operating Rule Set 145.3

KAP-145.3.1 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/015 and that compliance is certified every quarter.

KAP-145.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-145.3.3 Cases involving risk-rating files with an exposure above Rs. 17 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.13.

KAP-145.3.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-145.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-145.3.6 Cases involving address proofs with an exposure above Rs. 477 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.16.

KAP-145.3.7 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure F-1.

KAP-145.3.8 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-145.3.9 Cases involving risk-rating files with an exposure above Rs. 56 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.1.

KAP-145.3.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/055 and that compliance is certified every quarter.

KAP-145.3.11 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 145.4 Customer Acceptance - Operating Rule Set 145.4

KAP-145.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-145.4.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-145.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-145.4.4 Cases involving account-opening forms with an exposure above Rs. 460 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.8.

KAP-145.4.5 The Operations Head shall review identity documents within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-145.4.6 The Branch Manager shall review account-opening forms within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-145.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-145.4.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/149 and that compliance is certified every quarter.

KAP-145.4.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-145.4.10 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-16.

Section 145.5 Customer Acceptance - Operating Rule Set 145.5

KAP-145.5.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure A-19.

KAP-145.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-145.5.3 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure E-10.

KAP-145.5.4 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/076 and that compliance is certified every quarter.

KAP-145.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 123 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.7.

KAP-145.5.6 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/048 and that compliance is certified every quarter.

KAP-145.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-145.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving

the customer 19 days written notice.

KAP-145.5.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-145.5.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

PART 13 - CHAPTER 146: CUSTOMER IDENTIFICATION

Section 146.1 Customer Identification - Operating Rule Set 146.1

KAP-146.1.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure B-19.

KAP-146.1.2 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-146.1.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/211 and that compliance is certified every quarter.

KAP-146.1.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-146.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-146.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-146.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-146.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-146.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-146.1.10 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-146.1.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-146.1.12 Cases involving risk-rating files with an exposure above Rs. 277 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.13.

Section 146.2 Customer Identification - Operating Rule Set 146.2

KAP-146.2.1 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-146.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-146.2.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-146.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-146.2.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-146.2.6 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-146.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-146.2.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-146.2.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/170 and that compliance is certified every quarter.

KAP-146.2.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule

13 and be made available to statutory auditors on request.

Section 146.3 Customer Identification - Operating Rule Set 146.3

KAP-146.3.1 Cases involving PEP screening results with an exposure above Rs. 279 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.8.

KAP-146.3.2 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure C-26.

KAP-146.3.3 Cases involving PEP screening results with an exposure above Rs. 75 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.18.

KAP-146.3.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-146.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-146.3.6 Cases involving beneficial-owner declarations with an exposure above Rs. 116 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.20.

KAP-146.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-146.3.8 The Audit Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Case Management system.

KAP-146.3.9 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/297 and that compliance is certified every quarter.

KAP-146.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

Section 146.4 Customer Identification - Operating Rule Set 146.4

KAP-146.4.1 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure H-2.

KAP-146.4.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-146.4.3 Cases involving video-KYC sessions with an exposure above Rs. 347 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.7.

KAP-146.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-146.4.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-146.4.6 Cases involving video-KYC sessions with an exposure above Rs. 485 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.24.

KAP-146.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-146.4.8 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-146.4.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-146.4.10 The Compliance Officer shall review identity documents within 26 working days of receipt and record the outcome in the Core Banking system.

Section 146.5 Customer Identification - Operating Rule Set 146.5

KAP-146.5.1 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-146.5.2 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-146.5.3 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-146.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made

available to internal auditors on request.

KAP-146.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-146.5.6 Cases involving risk-rating files with an exposure above Rs. 447 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.3.

KAP-146.5.7 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure A-19.

KAP-146.5.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/018 and that compliance is certified every quarter.

Section 146.6 Customer Identification - Operating Rule Set 146.6

KAP-146.6.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-146.6.2 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure H-14.

KAP-146.6.3 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-146.6.4 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure B-37.

KAP-146.6.5 Cases involving correspondent-bank relationships with an exposure above Rs. 24 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.2.

KAP-146.6.6 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-146.6.7 The Compliance Officer shall review account-opening forms within 23 working days of receipt and record the outcome in the Case Management system.

KAP-146.6.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-146.6.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-146.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-146.6.11 Cases involving correspondent-bank relationships with an exposure above Rs. 8 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.1.

PART 13 - CHAPTER 147: CUSTOMER DUE DILIGENCE

Section 147.1 Customer Due Diligence - Operating Rule Set 147.1

KAP-147.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 267 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.24.

KAP-147.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-147.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-147.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-147.1.5 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-147.1.6 Cases involving address proofs with an exposure above Rs. 233 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.22.

KAP-147.1.7 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-147.1.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/283 and that compliance is certified every quarter.

KAP-147.1.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk

Management Department within 24 working days, with the supporting documents listed in Annexure B-3.

Section 147.2 Customer Due Diligence - Operating Rule Set 147.2

KAP-147.2.1 The Zonal Head shall review account-opening forms within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-147.2.2 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-147.2.3 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-147.2.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-147.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-147.2.6 Cases involving identity documents with an exposure above Rs. 453 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.11.

KAP-147.2.7 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure H-10.

KAP-147.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-147.2.9 The Operations Head shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Customer Relationship system.

Section 147.3 Customer Due Diligence - Operating Rule Set 147.3

KAP-147.3.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/180 and that compliance is certified every quarter.

KAP-147.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 335 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.21.

KAP-147.3.3 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-147.3.4 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-147.3.5 Cases involving identity documents with an exposure above Rs. 321 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.14.

KAP-147.3.6 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure C-31.

KAP-147.3.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-147.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-147.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-147.3.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

Section 147.4 Customer Due Diligence - Operating Rule Set 147.4

KAP-147.4.1 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure G-27.

KAP-147.4.2 Cases involving account-opening forms with an exposure above Rs. 438 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.17.

KAP-147.4.3 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/087 and that compliance is certified every quarter.

KAP-147.4.4 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 4 working days, with the supporting documents listed in Annexure H-39.

KAP-147.4.5 Cases involving video-KYC sessions with an exposure above Rs. 238 lakh require prior written approval from

the Zonal Head; otherwise the case is an exception under Clause 3.15.

KAP-147.4.6 The Zonal Head shall review account-opening forms within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-147.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-147.4.8 The Credit Committee shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-147.4.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure D-32.

KAP-147.4.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure H-40.

KAP-147.4.11 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure C-19.

Section 147.5 Customer Due Diligence - Operating Rule Set 147.5

KAP-147.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-147.5.2 The Credit Committee shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-147.5.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-147.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-147.5.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/059 and that compliance is certified every quarter.

KAP-147.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 303 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.23.

KAP-147.5.7 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-147.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-147.5.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/063 and that compliance is certified every quarter.

KAP-147.5.10 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/021 and that compliance is certified every quarter.

KAP-147.5.11 Cases involving beneficial-owner declarations with an exposure above Rs. 186 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.25.

Section 147.6 Customer Due Diligence - Operating Rule Set 147.6

KAP-147.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-147.6.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-147.6.3 Cases involving video-KYC sessions with an exposure above Rs. 201 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.15.

KAP-147.6.4 The Regional Credit Officer shall review risk-rating files within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-147.6.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-147.6.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-147.6.7 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-147.6.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/105 and that compliance is certified every quarter.

KAP-147.6.9 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-30.

KAP-147.6.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-147.6.11 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 22 days written notice.

Section 147.7 Customer Due Diligence - Operating Rule Set 147.7

KAP-147.7.1 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-147.7.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-147.7.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-147.7.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/021 and that compliance is certified every quarter.

KAP-147.7.5 The Audit Department shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-147.7.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-147.7.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-147.7.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-147.7.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 12 days written notice.

PART 13 - CHAPTER 148: ENHANCED DUE DILIGENCE

Section 148.1 Enhanced Due Diligence - Operating Rule Set 148.1

KAP-148.1.1 The Zonal Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-148.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-148.1.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-148.1.4 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-148.1.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-148.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-148.1.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-148.1.8 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-148.1.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-148.1.10 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/254 and that compliance is certified every quarter.

KAP-148.1.11 Cases involving account-opening forms with an exposure above Rs. 342 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.30.

Section 148.2 Enhanced Due Diligence - Operating Rule Set 148.2

KAP-148.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-148.2.2 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-148.2.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure D-3.

KAP-148.2.4 The Compliance Officer shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-148.2.5 Cases involving cash transaction reports with an exposure above Rs. 152 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.5.

KAP-148.2.6 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure D-36.

KAP-148.2.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-148.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 20 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.25.

Section 148.3 Enhanced Due Diligence - Operating Rule Set 148.3

KAP-148.3.1 The Risk Management Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-148.3.2 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-148.3.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-148.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-148.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-148.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-148.3.7 Cases involving cash transaction reports with an exposure above Rs. 422 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.3.

KAP-148.3.8 The Zonal Head shall review cash transaction reports within 10 working days of receipt and record the outcome in the Case Management system.

KAP-148.3.9 The Operations Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-148.3.10 The Regional Credit Officer shall review risk-rating files within 18 working days of receipt and record the outcome in the Core Banking system.

Section 148.4 Enhanced Due Diligence - Operating Rule Set 148.4

KAP-148.4.1 The Zonal Head shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-148.4.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-148.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-148.4.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

KAP-148.4.5 The Compliance Officer shall review identity documents within 15 working days of receipt and record the outcome in the Case Management system.

KAP-148.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-148.4.7 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/226 and that compliance is certified every quarter.

KAP-148.4.8 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-148.4.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-148.4.10 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/037 and that compliance is certified every quarter.

Section 148.5 Enhanced Due Diligence - Operating Rule Set 148.5

KAP-148.5.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

KAP-148.5.2 The Risk Management Department shall review identity documents within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-148.5.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-148.5.4 Cases involving address proofs with an exposure above Rs. 96 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.16.

KAP-148.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-148.5.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure B-11.

KAP-148.5.7 The Audit Department shall review risk-rating files within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-148.5.8 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure F-26.

KAP-148.5.9 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

PART 13 - CHAPTER 149: RISK CATEGORISATION

Section 149.1 Risk Categorisation - Operating Rule Set 149.1

KAP-149.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-149.1.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure H-15.

KAP-149.1.3 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-149.1.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure C-12.

KAP-149.1.5 Cases involving risk-rating files with an exposure above Rs. 77 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.25.

KAP-149.1.6 Cases involving video-KYC sessions with an exposure above Rs. 39 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.26.

KAP-149.1.7 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-149.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-149.1.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 149.2 Risk Categorisation - Operating Rule Set 149.2

KAP-149.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-149.2.2 Cases involving cash transaction reports with an exposure above Rs. 6 lakh require prior written approval from

the Compliance Officer; otherwise the case is an exception under Clause 14.17.

KAP-149.2.3 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-149.2.4 The Zonal Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Document Management system.

KAP-149.2.5 The Audit Department shall review identity documents within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-149.2.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-149.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-149.2.8 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-149.2.9 The Zonal Head shall review cash transaction reports within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-149.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-149.2.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-149.2.12 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 149.3 Risk Categorisation - Operating Rule Set 149.3

KAP-149.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-149.3.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-149.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-149.3.4 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-149.3.5 The Risk Management Department shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Document Management system.

KAP-149.3.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/272 and that compliance is certified every quarter.

KAP-149.3.7 Cases involving cash transaction reports with an exposure above Rs. 440 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.20.

KAP-149.3.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure A-35.

KAP-149.3.9 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-149.3.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

Section 149.4 Risk Categorisation - Operating Rule Set 149.4

KAP-149.4.1 Cases involving video-KYC sessions with an exposure above Rs. 306 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.15.

KAP-149.4.2 Cases involving PEP screening results with an exposure above Rs. 258 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.2.

KAP-149.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-149.4.4 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-149.4.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure B-33.

KAP-149.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-149.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-149.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-149.4.9 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 149.5 Risk Categorisation - Operating Rule Set 149.5

KAP-149.5.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-149.5.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-149.5.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-149.5.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-149.5.5 The Risk Management Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Document Management system.

KAP-149.5.6 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-149.5.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-149.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 160 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.12.

KAP-149.5.9 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/174 and that compliance is certified every quarter.

KAP-149.5.10 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-149.5.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-149.5.12 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure F-7.

Section 149.6 Risk Categorisation - Operating Rule Set 149.6

KAP-149.6.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-149.6.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-149.6.3 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-149.6.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-149.6.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/181 and that compliance is certified every quarter.

KAP-149.6.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/123 and that compliance is certified every quarter.

KAP-149.6.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-149.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer

by the 3th day of the following month.

KAP-149.6.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-149.6.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 9 days written notice.

Section 149.7 Risk Categorisation - Operating Rule Set 149.7

KAP-149.7.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-149.7.2 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-149.7.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure H-3.

KAP-149.7.4 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure B-6.

KAP-149.7.5 The Audit Department shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-149.7.6 The Compliance Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-149.7.7 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-149.7.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-149.7.9 The Compliance Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-149.7.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

PART 13 - CHAPTER 150: TRANSACTION MONITORING

Section 150.1 Transaction Monitoring - Operating Rule Set 150.1

KAP-150.1.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure B-28.

KAP-150.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-150.1.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure C-35.

KAP-150.1.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/148 and that compliance is certified every quarter.

KAP-150.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-150.1.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-150.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-150.1.8 Cases involving address proofs with an exposure above Rs. 17 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.20.

KAP-150.1.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 150.2 Transaction Monitoring - Operating Rule Set 150.2

KAP-150.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-150.2.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-150.2.3 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-150.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-150.2.5 The Zonal Head shall review address proofs within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-150.2.6 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure D-28.

KAP-150.2.7 The Zonal Head shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-150.2.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure B-32.

KAP-150.2.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure A-18.

KAP-150.2.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-4.

Section 150.3 Transaction Monitoring - Operating Rule Set 150.3

KAP-150.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-150.3.2 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-150.3.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure F-39.

KAP-150.3.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-150.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-150.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 261 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.15.

KAP-150.3.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-150.3.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure E-27.

KAP-150.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 283 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.13.

Section 150.4 Transaction Monitoring - Operating Rule Set 150.4

KAP-150.4.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/299 and that compliance is certified every quarter.

KAP-150.4.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

KAP-150.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-150.4.4 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/086 and that compliance is certified every quarter.

KAP-150.4.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-150.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-150.4.7 The Zonal Head shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-150.4.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2024/132 and that compliance is certified every quarter.

KAP-150.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 150.5 Transaction Monitoring - Operating Rule Set 150.5

KAP-150.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-150.5.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-150.5.3 The Zonal Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-150.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-150.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-150.5.6 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/205 and that compliance is certified every quarter.

KAP-150.5.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/294 and that compliance is certified every quarter.

KAP-150.5.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/163 and that compliance is certified every quarter.

KAP-150.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-150.5.10 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure B-8.

Section 150.6 Transaction Monitoring - Operating Rule Set 150.6

KAP-150.6.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-150.6.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-150.6.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure H-7.

KAP-150.6.4 Cases involving beneficial-owner declarations with an exposure above Rs. 214 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.26.

KAP-150.6.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/205 and that compliance is certified every quarter.

KAP-150.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-150.6.7 The Zonal Head shall review address proofs within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-150.6.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-150.6.9 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure F-25.

KAP-150.6.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-150.6.11 Cases involving identity documents with an exposure above Rs. 285 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.19.

KAP-150.6.12 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

Section 150.7 Transaction Monitoring - Operating Rule Set 150.7

KAP-150.7.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional

Credit Officer within 9 working days, with the supporting documents listed in Annexure G-35.

KAP-150.7.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-150.7.3 The Zonal Head shall review account-opening forms within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-150.7.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-150.7.5 The Audit Department shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-150.7.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-150.7.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure F-33.

KAP-150.7.8 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/182 and that compliance is certified every quarter.

Section 150.8 Transaction Monitoring - Operating Rule Set 150.8

KAP-150.8.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-150.8.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-150.8.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-150.8.4 The Risk Management Department shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Case Management system.

KAP-150.8.5 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-150.8.6 Cases involving PEP screening results with an exposure above Rs. 465 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.9.

KAP-150.8.7 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-150.8.8 The Zonal Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-150.8.9 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/144 and that compliance is certified every quarter.

PART 13 - CHAPTER 151: SUSPICIOUS TRANSACTION REPORTING

Section 151.1 Suspicious Transaction Reporting - Operating Rule Set 151.1

KAP-151.1.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/166 and that compliance is certified every quarter.

KAP-151.1.2 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure E-34.

KAP-151.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-151.1.4 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-151.1.5 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-151.1.6 The Compliance Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Case Management system.

KAP-151.1.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-151.1.8 The Risk Management Department shall review beneficial-owner declarations within 11 working days of receipt

and record the outcome in the Case Management system.

KAP-151.1.9 The Risk Management Department shall review risk-rating files within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-151.1.10 The Branch Manager shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Core Banking system.

Section 151.2 Suspicious Transaction Reporting - Operating Rule Set 151.2

KAP-151.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 32 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.16.

KAP-151.2.2 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/071 and that compliance is certified every quarter.

KAP-151.2.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/111 and that compliance is certified every quarter.

KAP-151.2.4 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-151.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-151.2.6 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-151.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-151.2.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/206 and that compliance is certified every quarter.

KAP-151.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-151.2.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-151.2.11 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure G-39.

Section 151.3 Suspicious Transaction Reporting - Operating Rule Set 151.3

KAP-151.3.1 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-151.3.2 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure D-7.

KAP-151.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-151.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-151.3.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-151.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-151.3.7 The Credit Committee shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

KAP-151.3.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/135 and that compliance is certified every quarter.

Section 151.4 Suspicious Transaction Reporting - Operating Rule Set 151.4

KAP-151.4.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-151.4.2 The Zonal Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-151.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6

and be made available to the regulator on request.

KAP-151.4.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure D-38.

KAP-151.4.5 Cases involving account-opening forms with an exposure above Rs. 140 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.10.

KAP-151.4.6 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-151.4.7 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-151.4.8 Cases involving PEP screening results with an exposure above Rs. 322 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.9.

KAP-151.4.9 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure H-23.

KAP-151.4.10 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/194 and that compliance is certified every quarter.

Section 151.5 Suspicious Transaction Reporting - Operating Rule Set 151.5

KAP-151.5.1 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-151.5.2 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-151.5.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-151.5.4 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-151.5.5 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

KAP-151.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-151.5.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-151.5.8 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-151.5.9 The Credit Committee shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-151.5.10 Cases involving video-KYC sessions with an exposure above Rs. 55 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.18.

KAP-151.5.11 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure B-32.

Section 151.6 Suspicious Transaction Reporting - Operating Rule Set 151.6

KAP-151.6.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-151.6.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure E-9.

KAP-151.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-151.6.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-151.6.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-151.6.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-151.6.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-151.6.8 The Regional Credit Officer shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Document Management system.

PART 13 - CHAPTER 152: POLITICALLY EXPOSED PERSONS

Section 152.1 Politically Exposed Persons - Operating Rule Set 152.1

KAP-152.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-152.1.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure E-10.

KAP-152.1.3 The Regional Credit Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-152.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-152.1.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-152.1.6 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-152.1.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/069 and that compliance is certified every quarter.

KAP-152.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-152.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 25 days written notice.

Section 152.2 Politically Exposed Persons - Operating Rule Set 152.2

KAP-152.2.1 The Zonal Head shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-152.2.2 Cases involving PEP screening results with an exposure above Rs. 89 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.29.

KAP-152.2.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-152.2.4 The Zonal Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-152.2.5 Cases involving PEP screening results with an exposure above Rs. 347 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.13.

KAP-152.2.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-152.2.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure D-17.

KAP-152.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-152.2.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 152.3 Politically Exposed Persons - Operating Rule Set 152.3

KAP-152.3.1 The Compliance Officer shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-152.3.2 Cases involving PEP screening results with an exposure above Rs. 164 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.5.

KAP-152.3.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure H-28.

KAP-152.3.4 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2024/244 and that compliance is certified every quarter.

KAP-KEY-03 Customers rated low risk shall undergo KYC refresh every 10 years.

KAP-152.3.5 The Branch Manager shall review risk-rating files within 27 working days of receipt and record the outcome in the Case Management system.

KAP-152.3.6 The Regional Credit Officer shall review address proofs within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-152.3.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/146 and that compliance is certified every quarter.

KAP-152.3.8 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure A-4.

KAP-152.3.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-28.

KAP-152.3.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-152.3.11 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure B-5.

Section 152.4 Politically Exposed Persons - Operating Rule Set 152.4

KAP-152.4.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure E-35.

KAP-152.4.2 The Risk Management Department shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-152.4.3 The Branch Manager shall review risk-rating files within 13 working days of receipt and record the outcome in the Case Management system.

KAP-152.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-152.4.5 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/038 and that compliance is certified every quarter.

KAP-152.4.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/071 and that compliance is certified every quarter.

KAP-152.4.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure H-29.

KAP-152.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-152.4.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-152.4.10 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/008 and that compliance is certified every quarter.

Section 152.5 Politically Exposed Persons - Operating Rule Set 152.5

KAP-152.5.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/222 and that compliance is certified every quarter.

KAP-152.5.2 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/105 and that compliance is certified every quarter.

KAP-152.5.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-152.5.4 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure H-6.

KAP-152.5.5 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-152.5.6 The Audit Department shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Case Management system.

KAP-152.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the

7th day of the following month.

KAP-152.5.8 The Credit Committee shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-152.5.9 The Audit Department shall review address proofs within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-152.5.10 Cases involving PEP screening results with an exposure above Rs. 158 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.13.

Section 152.6 Politically Exposed Persons - Operating Rule Set 152.6

KAP-152.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-152.6.2 Cases involving risk-rating files with an exposure above Rs. 281 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.7.

KAP-152.6.3 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure C-22.

KAP-152.6.4 Cases involving PEP screening results with an exposure above Rs. 212 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.21.

KAP-152.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-152.6.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-152.6.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure E-19.

KAP-152.6.8 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-152.6.9 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure H-2.

KAP-152.6.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure A-36.

PART 13 - CHAPTER 153: BENEFICIAL OWNERSHIP

Section 153.1 Beneficial Ownership - Operating Rule Set 153.1

KAP-153.1.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure E-3.

KAP-153.1.2 The Branch Manager shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-153.1.3 The Branch Manager shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-153.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-153.1.5 Cases involving address proofs with an exposure above Rs. 54 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.12.

KAP-153.1.6 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure B-36.

KAP-153.1.7 Cases involving video-KYC sessions with an exposure above Rs. 80 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.28.

KAP-153.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-153.1.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-153.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-153.1.11 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after

giving the customer 6 days written notice.

Section 153.2 Beneficial Ownership - Operating Rule Set 153.2

KAP-153.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-153.2.2 The Zonal Head shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-153.2.3 The Compliance Officer shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-153.2.4 The Risk Management Department shall review address proofs within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-153.2.5 The Regional Credit Officer shall review cash transaction reports within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-153.2.6 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-153.2.7 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-153.2.8 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/086 and that compliance is certified every quarter.

KAP-153.2.9 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-153.2.10 Cases involving video-KYC sessions with an exposure above Rs. 28 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.22.

KAP-153.2.11 Cases involving cash transaction reports with an exposure above Rs. 164 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.25.

KAP-153.2.12 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 153.3 Beneficial Ownership - Operating Rule Set 153.3

KAP-153.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-153.3.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/210 and that compliance is certified every quarter.

KAP-153.3.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-153.3.4 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-153.3.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-153.3.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure C-12.

KAP-153.3.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-153.3.8 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-153.3.9 Cases involving address proofs with an exposure above Rs. 357 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.3.

KAP-153.3.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-14.

KAP-153.3.11 The Regional Credit Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Document Management system.

KAP-153.3.12 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/166 and that compliance is certified every quarter.

KAP-153.3.13 The Credit Committee shall review PEP screening results within 16 working days of receipt and record the outcome in the Case Management system.

KAP-153.3.14 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

Section 153.4 Beneficial Ownership - Operating Rule Set 153.4

KAP-153.4.1 The Risk Management Department shall review identity documents within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-153.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-153.4.3 Cases involving account-opening forms with an exposure above Rs. 177 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.18.

KAP-153.4.4 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-153.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-153.4.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-153.4.7 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/144 and that compliance is certified every quarter.

KAP-153.4.8 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure H-5.

KAP-153.4.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

Section 153.5 Beneficial Ownership - Operating Rule Set 153.5

KAP-153.5.1 The Risk Management Department shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-153.5.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-153.5.3 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/056 and that compliance is certified every quarter.

KAP-153.5.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-153.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-153.5.6 Cases involving video-KYC sessions with an exposure above Rs. 330 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.27.

KAP-153.5.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-153.5.8 The Compliance Officer shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-153.5.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-153.5.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-153.5.11 The Regional Credit Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Case Management system.

KAP-153.5.12 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/281 and that compliance is certified every quarter.

Section 153.6 Beneficial Ownership - Operating Rule Set 153.6

KAP-153.6.1 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/138 and that compliance is certified every quarter.

KAP-153.6.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure G-39.

KAP-153.6.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-153.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-153.6.5 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-153.6.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-153.6.7 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/129 and that compliance is certified every quarter.

KAP-153.6.8 In case of a system outage, the Audit Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure D-14.

KAP-153.6.9 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

PART 13 - CHAPTER 154: RECORD KEEPING

Section 154.1 Record Keeping - Operating Rule Set 154.1

KAP-154.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-154.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-154.1.3 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-154.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-154.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-154.1.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-154.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-154.1.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/074 and that compliance is certified every quarter.

KAP-154.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-154.1.10 The Credit Committee shall review account-opening forms within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-154.1.11 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 154.2 Record Keeping - Operating Rule Set 154.2

KAP-154.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-154.2.2 The Compliance Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Document Management system.

KAP-154.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-154.2.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure H-19.

KAP-154.2.5 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure D-30.

KAP-154.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-154.2.7 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-154.2.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-19.

KAP-154.2.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-154.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 154.3 Record Keeping - Operating Rule Set 154.3

KAP-154.3.1 Cases involving PEP screening results with an exposure above Rs. 153 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.2.

KAP-154.3.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-154.3.3 Cases involving risk-rating files with an exposure above Rs. 184 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.9.

KAP-154.3.4 The Audit Department shall review cash transaction reports within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-154.3.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-154.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-154.3.7 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-154.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-154.3.9 Cases involving PEP screening results with an exposure above Rs. 272 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.3.

KAP-154.3.10 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-154.3.11 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-154.3.12 The Zonal Head shall review identity documents within 26 working days of receipt and record the outcome in the Core Banking system.

Section 154.4 Record Keeping - Operating Rule Set 154.4

KAP-154.4.1 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-154.4.2 Cases involving identity documents with an exposure above Rs. 5 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.9.

KAP-154.4.3 Cases involving video-KYC sessions with an exposure above Rs. 102 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.8.

KAP-154.4.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-154.4.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/147 and that compliance is certified every quarter.

KAP-154.4.6 The Credit Committee shall review PEP screening results within 8 working days of receipt and record the outcome in the Document Management system.

KAP-154.4.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-154.4.8 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on

the procedures in Circular KAP/2020/199 and that compliance is certified every quarter.

Section 154.5 Record Keeping - Operating Rule Set 154.5

KAP-154.5.1 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure D-34.

KAP-154.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-154.5.3 The Regional Credit Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-154.5.4 The Regional Credit Officer shall review identity documents within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-154.5.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure A-39.

KAP-154.5.6 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-154.5.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-154.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 154.6 Record Keeping - Operating Rule Set 154.6

KAP-154.6.1 Cases involving risk-rating files with an exposure above Rs. 96 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.14.

KAP-154.6.2 Cases involving risk-rating files with an exposure above Rs. 125 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.4.

KAP-154.6.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-154.6.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/013 and that compliance is certified every quarter.

KAP-154.6.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-154.6.6 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-154.6.7 The Audit Department shall review address proofs within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-154.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-154.6.9 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/215 and that compliance is certified every quarter.

Section 154.7 Record Keeping - Operating Rule Set 154.7

KAP-154.7.1 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-154.7.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/273 and that compliance is certified every quarter.

KAP-154.7.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-154.7.4 The Operations Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-154.7.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-154.7.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-154.7.7 The Regional Credit Officer shall review cash transaction reports within 13 working days of receipt and record

the outcome in the Core Banking system.

KAP-154.7.8 Cases involving identity documents with an exposure above Rs. 499 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.28.

PART 13 - CHAPTER 155: STAFF TRAINING

Section 155.1 Staff Training - Operating Rule Set 155.1

KAP-155.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-155.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-155.1.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure C-8.

KAP-155.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-155.1.5 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-155.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-155.1.7 Cases involving beneficial-owner declarations with an exposure above Rs. 74 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.14.

KAP-155.1.8 The Zonal Head shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-155.1.9 Cases involving account-opening forms with an exposure above Rs. 493 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.6.

Section 155.2 Staff Training - Operating Rule Set 155.2

KAP-155.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-155.2.2 The Credit Committee shall review cash transaction reports within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-155.2.3 The Audit Department shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Document Management system.

KAP-155.2.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-155.2.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/292 and that compliance is certified every quarter.

KAP-155.2.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-155.2.7 Cases involving address proofs with an exposure above Rs. 84 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.25.

KAP-155.2.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure A-36.

KAP-155.2.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure C-14.

Section 155.3 Staff Training - Operating Rule Set 155.3

KAP-155.3.1 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-155.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-155.3.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-155.3.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-155.3.5 The Branch Manager shall review cash transaction reports within 27 working days of receipt and record the outcome in the Document Management system.

KAP-155.3.6 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/004 and that compliance is certified every quarter.

KAP-155.3.7 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure C-15.

KAP-155.3.8 The Zonal Head shall review account-opening forms within 27 working days of receipt and record the outcome in the Document Management system.

KAP-155.3.9 The Risk Management Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-155.3.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/007 and that compliance is certified every quarter.

KAP-155.3.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

Section 155.4 Staff Training - Operating Rule Set 155.4

KAP-155.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-155.4.2 Cases involving video-KYC sessions with an exposure above Rs. 238 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.11.

KAP-155.4.3 Cases involving address proofs with an exposure above Rs. 36 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.11.

KAP-155.4.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/180 and that compliance is certified every quarter.

KAP-155.4.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/055 and that compliance is certified every quarter.

KAP-155.4.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-155.4.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-6.

KAP-155.4.8 Cases involving video-KYC sessions with an exposure above Rs. 218 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.23.

KAP-155.4.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 25 days written notice.

PART 13 - CHAPTER 156: INDEPENDENT AUDIT

Section 156.1 Independent Audit - Operating Rule Set 156.1

KAP-156.1.1 Cases involving address proofs with an exposure above Rs. 255 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.5.

KAP-156.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-156.1.3 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-156.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-156.1.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/174 and that compliance is certified every quarter.

KAP-156.1.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure F-7.

KAP-156.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-156.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 141 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.21.

KAP-156.1.9 In case of a system outage, the Operations Head must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure D-14.

Section 156.2 Independent Audit - Operating Rule Set 156.2

KAP-156.2.1 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/234 and that compliance is certified every quarter.

KAP-156.2.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure E-32.

KAP-156.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure D-12.

KAP-156.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-156.2.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure G-39.

KAP-156.2.6 The Zonal Head shall review address proofs within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-156.2.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/208 and that compliance is certified every quarter.

KAP-156.2.8 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-156.2.9 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure E-31.

KAP-156.2.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 71 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.21.

Section 156.3 Independent Audit - Operating Rule Set 156.3

KAP-156.3.1 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-156.3.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/030 and that compliance is certified every quarter.

KAP-156.3.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/261 and that compliance is certified every quarter.

KAP-156.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-156.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-156.3.6 The Audit Department shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-156.3.7 Cases involving risk-rating files with an exposure above Rs. 182 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.23.

KAP-156.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-156.3.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 156.4 Independent Audit - Operating Rule Set 156.4

KAP-156.4.1 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-156.4.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-156.4.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure G-3.

KAP-156.4.4 The Branch Manager shall review risk-rating files within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-156.4.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure A-13.

KAP-156.4.6 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-156.4.7 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-156.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-156.4.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure A-32.

Section 156.5 Independent Audit - Operating Rule Set 156.5

KAP-156.5.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/256 and that compliance is certified every quarter.

KAP-156.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-156.5.3 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-28.

KAP-156.5.4 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-156.5.5 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-156.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-156.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-156.5.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-156.5.9 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure G-34.

KAP-156.5.10 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/023 and that compliance is certified every quarter.

KAP-156.5.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

PART 14 - CHAPTER 157: CUSTOMER ACCEPTANCE

Section 157.1 Customer Acceptance - Operating Rule Set 157.1

KAP-157.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-157.1.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/228 and that compliance is certified every quarter.

KAP-157.1.3 The Risk Management Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Case Management system.

KAP-157.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-157.1.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-157.1.6 The Audit Department shall review identity documents within 21 working days of receipt and record the outcome in the Case Management system.

KAP-157.1.7 Cases involving account-opening forms with an exposure above Rs. 116 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.27.

KAP-157.1.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-157.1.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-157.1.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-157.1.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-157.1.12 Cases involving account-opening forms with an exposure above Rs. 193 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.9.

KAP-157.1.13 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure B-14.

Section 157.2 Customer Acceptance - Operating Rule Set 157.2

KAP-157.2.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/005 and that compliance is certified every quarter.

KAP-157.2.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-157.2.3 The Audit Department shall review address proofs within 2 working days of receipt and record the outcome in the Case Management system.

KAP-157.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-157.2.5 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/241 and that compliance is certified every quarter.

KAP-157.2.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-157.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-157.2.8 The Audit Department shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Customer Relationship system.

Section 157.3 Customer Acceptance - Operating Rule Set 157.3

KAP-157.3.1 Cases involving PEP screening results with an exposure above Rs. 48 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.18.

KAP-157.3.2 Cases involving identity documents with an exposure above Rs. 325 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.4.

KAP-157.3.3 Cases involving correspondent-bank relationships with an exposure above Rs. 37 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.26.

KAP-157.3.4 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-18.

KAP-157.3.5 The Operations Head shall review identity documents within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-157.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-157.3.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-157.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-157.3.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-157.3.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure B-39.

KAP-157.3.11 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 157.4 Customer Acceptance - Operating Rule Set 157.4

KAP-157.4.1 Cases involving identity documents with an exposure above Rs. 233 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.1.

KAP-157.4.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/125 and that compliance is certified every quarter.

KAP-157.4.3 The Risk Management Department shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-157.4.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-157.4.5 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure H-32.

KAP-157.4.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-157.4.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-157.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 431 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.3.

KAP-157.4.9 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-157.4.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

Section 157.5 Customer Acceptance - Operating Rule Set 157.5

KAP-157.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-157.5.2 The Operations Head shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-157.5.3 The Regional Credit Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Case Management system.

KAP-157.5.4 Cases involving identity documents with an exposure above Rs. 30 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.4.

KAP-157.5.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-157.5.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-157.5.7 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/145 and that compliance is certified every quarter.

KAP-157.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-157.5.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-157.5.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

Section 157.6 Customer Acceptance - Operating Rule Set 157.6

KAP-157.6.1 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure H-21.

KAP-157.6.2 The Compliance Officer shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-157.6.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-157.6.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-157.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made

available to the Board Audit Committee on request.

KAP-157.6.6 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-157.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-157.6.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/009 and that compliance is certified every quarter.

KAP-157.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-157.6.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/143 and that compliance is certified every quarter.

Section 157.7 Customer Acceptance - Operating Rule Set 157.7

KAP-157.7.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-157.7.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure G-35.

KAP-157.7.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-157.7.4 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-25.

KAP-157.7.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/296 and that compliance is certified every quarter.

KAP-157.7.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure G-22.

KAP-157.7.7 Cases involving identity documents with an exposure above Rs. 406 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.27.

KAP-157.7.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

PART 14 - CHAPTER 158: CUSTOMER IDENTIFICATION

Section 158.1 Customer Identification - Operating Rule Set 158.1

KAP-158.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-158.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-158.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-158.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-158.1.5 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/085 and that compliance is certified every quarter.

KAP-158.1.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-158.1.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-158.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-158.1.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-158.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-158.1.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit

Committee by the 6th day of the following month.

KAP-158.1.12 The Operations Head shall review PEP screening results within 27 working days of receipt and record the outcome in the Case Management system.

Section 158.2 Customer Identification - Operating Rule Set 158.2

KAP-158.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-158.2.2 The Regional Credit Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Case Management system.

KAP-158.2.3 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-158.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-158.2.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/257 and that compliance is certified every quarter.

KAP-158.2.6 Cases involving risk-rating files with an exposure above Rs. 264 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.18.

KAP-158.2.7 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-158.2.8 Cases involving risk-rating files with an exposure above Rs. 113 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.27.

KAP-158.2.9 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure G-27.

KAP-158.2.10 Cases involving PEP screening results with an exposure above Rs. 428 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.22.

KAP-158.2.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

Section 158.3 Customer Identification - Operating Rule Set 158.3

KAP-158.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-158.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-158.3.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-158.3.4 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-158.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 496 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.17.

KAP-158.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-158.3.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-158.3.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/077 and that compliance is certified every quarter.

KAP-158.3.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-158.3.10 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-158.3.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

Section 158.4 Customer Identification - Operating Rule Set 158.4

KAP-158.4.1 Cases involving video-KYC sessions with an exposure above Rs. 384 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 4.7.

KAP-158.4.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-158.4.3 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-158.4.4 Cases involving beneficial-owner declarations with an exposure above Rs. 23 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.23.

KAP-158.4.5 Cases involving video-KYC sessions with an exposure above Rs. 419 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.2.

KAP-158.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-158.4.7 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/187 and that compliance is certified every quarter.

KAP-158.4.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-158.4.9 Cases involving address proofs with an exposure above Rs. 413 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.28.

Section 158.5 Customer Identification - Operating Rule Set 158.5

KAP-158.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-158.5.2 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/007 and that compliance is certified every quarter.

KAP-158.5.3 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/047 and that compliance is certified every quarter.

KAP-158.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 186 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.14.

KAP-158.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-158.5.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-158.5.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-158.5.8 The Zonal Head shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-158.5.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-158.5.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-158.5.11 Cases involving account-opening forms with an exposure above Rs. 286 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.6.

Section 158.6 Customer Identification - Operating Rule Set 158.6

KAP-158.6.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-158.6.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-158.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-158.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-158.6.5 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-158.6.6 The Branch Manager shall review risk-rating files within 30 working days of receipt and record the outcome in the Document Management system.

KAP-158.6.7 The Audit Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-158.6.8 Cases involving risk-rating files with an exposure above Rs. 366 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.19.

KAP-158.6.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-158.6.10 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/072 and that compliance is certified every quarter.

PART 14 - CHAPTER 159: CUSTOMER DUE DILIGENCE

Section 159.1 Customer Due Diligence - Operating Rule Set 159.1

KAP-159.1.1 The Risk Management Department shall review identity documents within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-159.1.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-159.1.3 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/192 and that compliance is certified every quarter.

KAP-159.1.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure C-17.

KAP-159.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 449 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.24.

KAP-159.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-159.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-159.1.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 159.2 Customer Due Diligence - Operating Rule Set 159.2

KAP-159.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-159.2.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-159.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-159.2.4 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/068 and that compliance is certified every quarter.

KAP-159.2.5 The Branch Manager shall review risk-rating files within 20 working days of receipt and record the outcome in the Document Management system.

KAP-159.2.6 The Operations Head shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-159.2.7 The Risk Management Department shall review risk-rating files within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-159.2.8 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-159.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 159.3 Customer Due Diligence - Operating Rule Set 159.3

KAP-159.3.1 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-159.3.2 Cases involving identity documents with an exposure above Rs. 466 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 2.14.

KAP-159.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-159.3.4 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Case Management system.

KAP-159.3.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-159.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-159.3.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-159.3.8 Cases involving video-KYC sessions with an exposure above Rs. 493 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.14.

KAP-159.3.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure C-10.

KAP-159.3.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-159.3.11 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/049 and that compliance is certified every quarter.

KAP-159.3.12 Cases involving cash transaction reports with an exposure above Rs. 18 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.11.

Section 159.4 Customer Due Diligence - Operating Rule Set 159.4

KAP-159.4.1 Cases involving video-KYC sessions with an exposure above Rs. 480 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.1.

KAP-159.4.2 Cases involving risk-rating files with an exposure above Rs. 266 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.6.

KAP-159.4.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure C-9.

KAP-159.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-159.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 32 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.12.

KAP-159.4.6 The Operations Head shall review PEP screening results within 20 working days of receipt and record the outcome in the Document Management system.

KAP-159.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-159.4.8 The Credit Committee shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Document Management system.

KAP-159.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

Section 159.5 Customer Due Diligence - Operating Rule Set 159.5

KAP-159.5.1 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/096 and that compliance is certified every quarter.

KAP-159.5.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-159.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-159.5.4 Cases involving address proofs with an exposure above Rs. 87 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.29.

KAP-159.5.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure H-21.

KAP-159.5.6 The Operations Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Document Management system.

KAP-159.5.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure G-26.

KAP-159.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-159.5.9 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/034 and that compliance is certified every quarter.

PART 14 - CHAPTER 160: ENHANCED DUE DILIGENCE

Section 160.1 Enhanced Due Diligence - Operating Rule Set 160.1

KAP-160.1.1 The Compliance Officer shall review identity documents within 18 working days of receipt and record the outcome in the Document Management system.

KAP-160.1.2 The Branch Manager shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-160.1.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/295 and that compliance is certified every quarter.

KAP-160.1.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/049 and that compliance is certified every quarter.

KAP-160.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-160.1.6 Cases involving PEP screening results with an exposure above Rs. 34 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.8.

KAP-160.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-160.1.8 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure A-33.

KAP-160.1.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/130 and that compliance is certified every quarter.

Section 160.2 Enhanced Due Diligence - Operating Rule Set 160.2

KAP-160.2.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/238 and that compliance is certified every quarter.

KAP-160.2.2 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-160.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-160.2.4 The Branch Manager shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-160.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-160.2.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-160.2.7 The Risk Management Department shall review risk-rating files within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-160.2.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-160.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 160.3 Enhanced Due Diligence - Operating Rule Set 160.3

KAP-160.3.1 Cases involving identity documents with an exposure above Rs. 486 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.11.

KAP-160.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the

9th day of the following month.

KAP-160.3.3 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure D-29.

KAP-160.3.4 Cases involving risk-rating files with an exposure above Rs. 83 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.28.

KAP-160.3.5 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-160.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-160.3.7 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-160.3.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-160.3.9 Cases involving video-KYC sessions with an exposure above Rs. 58 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.19.

KAP-160.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-160.3.11 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure D-13.

Section 160.4 Enhanced Due Diligence - Operating Rule Set 160.4

KAP-160.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-160.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-160.4.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-160.4.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-160.4.5 Cases involving address proofs with an exposure above Rs. 125 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.29.

KAP-160.4.6 Cases involving address proofs with an exposure above Rs. 362 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.17.

KAP-160.4.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-160.4.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-160.4.9 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure F-5.

KAP-160.4.10 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-160.4.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-160.4.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 160.5 Enhanced Due Diligence - Operating Rule Set 160.5

KAP-160.5.1 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-160.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-160.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-160.5.4 Cases involving account-opening forms with an exposure above Rs. 175 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.19.

KAP-160.5.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-160.5.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure D-36.

KAP-160.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-160.5.8 The Zonal Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-160.5.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

Section 160.6 Enhanced Due Diligence - Operating Rule Set 160.6

KAP-160.6.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-160.6.2 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-160.6.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-160.6.4 The Regional Credit Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Document Management system.

KAP-160.6.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-160.6.6 Cases involving identity documents with an exposure above Rs. 498 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.26.

KAP-160.6.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-160.6.8 The Zonal Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-160.6.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-160.6.10 The Risk Management Department shall review cash transaction reports within 3 working days of receipt and record the outcome in the Core Banking system.

Section 160.7 Enhanced Due Diligence - Operating Rule Set 160.7

KAP-160.7.1 The Risk Management Department shall review PEP screening results within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-160.7.2 The Risk Management Department shall review risk-rating files within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-160.7.3 The Risk Management Department shall review account-opening forms within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-160.7.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-160.7.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure A-29.

KAP-160.7.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-160.7.7 The Branch Manager shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-160.7.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-160.7.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after

giving the customer 21 days written notice.

KAP-160.7.10 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

PART 14 - CHAPTER 161: RISK CATEGORISATION

Section 161.1 Risk Categorisation - Operating Rule Set 161.1

KAP-161.1.1 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure G-15.

KAP-161.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-161.1.3 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/193 and that compliance is certified every quarter.

KAP-161.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-161.1.5 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-161.1.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-161.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-161.1.8 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-161.1.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-161.1.10 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/233 and that compliance is certified every quarter.

Section 161.2 Risk Categorisation - Operating Rule Set 161.2

KAP-161.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-161.2.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure D-6.

KAP-161.2.3 The Operations Head shall review risk-rating files within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-161.2.4 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-161.2.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/179 and that compliance is certified every quarter.

KAP-161.2.6 The Compliance Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Case Management system.

KAP-161.2.7 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/260 and that compliance is certified every quarter.

KAP-161.2.8 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-161.2.9 Cases involving PEP screening results with an exposure above Rs. 415 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.3.

KAP-161.2.10 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/132 and that compliance is certified every quarter.

KAP-161.2.11 Cases involving identity documents with an exposure above Rs. 177 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.7.

KAP-161.2.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-161.2.13 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method,

with a tolerance of 9% as approved by the Board.

KAP-161.2.14 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure D-24.

Section 161.3 Risk Categorisation - Operating Rule Set 161.3

KAP-161.3.1 The Branch Manager shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-161.3.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/156 and that compliance is certified every quarter.

KAP-161.3.3 Cases involving address proofs with an exposure above Rs. 40 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.6.

KAP-161.3.4 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-161.3.5 The Zonal Head shall review identity documents within 4 working days of receipt and record the outcome in the Document Management system.

KAP-161.3.6 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-161.3.7 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-161.3.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

Section 161.4 Risk Categorisation - Operating Rule Set 161.4

KAP-161.4.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-161.4.2 The Regional Credit Officer shall review PEP screening results within 29 working days of receipt and record the outcome in the Document Management system.

KAP-161.4.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-161.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-161.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-161.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-161.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-161.4.8 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/258 and that compliance is certified every quarter.

KAP-161.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-161.4.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-39.

Section 161.5 Risk Categorisation - Operating Rule Set 161.5

KAP-161.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-161.5.2 Cases involving account-opening forms with an exposure above Rs. 249 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.4.

KAP-161.5.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-161.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-161.5.5 The Audit Department shall review beneficial-owner declarations within 24 working days of receipt and record

the outcome in the Risk Engine system.

KAP-161.5.6 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-161.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-161.5.8 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure A-9.

KAP-161.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-161.5.10 The Audit Department shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 161.6 Risk Categorisation - Operating Rule Set 161.6

KAP-161.6.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-161.6.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-161.6.3 The Operations Head shall review cash transaction reports within 4 working days of receipt and record the outcome in the Case Management system.

KAP-161.6.4 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-161.6.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-161.6.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-161.6.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/045 and that compliance is certified every quarter.

KAP-161.6.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 92 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.24.

KAP-161.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-161.6.10 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-161.6.11 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure D-1.

Section 161.7 Risk Categorisation - Operating Rule Set 161.7

KAP-161.7.1 The Risk Management Department shall review account-opening forms within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-161.7.2 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-161.7.3 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-161.7.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-161.7.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-161.7.6 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-29.

KAP-161.7.7 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-161.7.8 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-161.7.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 201 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.29.

KAP-161.7.10 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/090 and that compliance is certified every quarter.

KAP-161.7.11 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

PART 14 - CHAPTER 162: TRANSACTION MONITORING

Section 162.1 Transaction Monitoring - Operating Rule Set 162.1

KAP-162.1.1 Cases involving risk-rating files with an exposure above Rs. 257 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.8.

KAP-162.1.2 Cases involving PEP screening results with an exposure above Rs. 392 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.14.

KAP-162.1.3 Cases involving PEP screening results with an exposure above Rs. 176 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.1.

KAP-162.1.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure F-27.

KAP-162.1.5 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-162.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-162.1.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-162.1.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-162.1.9 The Audit Department shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-162.1.10 The Compliance Officer shall review cash transaction reports within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-162.1.11 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure A-12.

KAP-162.1.12 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/246 and that compliance is certified every quarter.

Section 162.2 Transaction Monitoring - Operating Rule Set 162.2

KAP-162.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-162.2.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure F-14.

KAP-162.2.3 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-162.2.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/006 and that compliance is certified every quarter.

KAP-162.2.5 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-162.2.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/064 and that compliance is certified every quarter.

KAP-162.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-162.2.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure E-17.

KAP-162.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-162.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-162.2.11 The Operations Head shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Core Banking system.

Section 162.3 Transaction Monitoring - Operating Rule Set 162.3

KAP-162.3.1 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-162.3.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-162.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-162.3.4 Cases involving cash transaction reports with an exposure above Rs. 98 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.24.

KAP-162.3.5 The Compliance Officer shall review address proofs within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-162.3.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-162.3.7 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-162.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

Section 162.4 Transaction Monitoring - Operating Rule Set 162.4

KAP-162.4.1 The Risk Management Department shall review cash transaction reports within 29 working days of receipt and record the outcome in the Case Management system.

KAP-162.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-162.4.3 The Audit Department shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Case Management system.

KAP-162.4.4 The Branch Manager shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Case Management system.

KAP-162.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-162.4.6 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-162.4.7 Cases involving video-KYC sessions with an exposure above Rs. 257 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.19.

KAP-162.4.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-162.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

Section 162.5 Transaction Monitoring - Operating Rule Set 162.5

KAP-162.5.1 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-162.5.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure C-35.

KAP-162.5.3 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-162.5.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/237 and that compliance is certified every quarter.

KAP-162.5.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-162.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-162.5.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-162.5.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-162.5.9 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-162.5.10 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 162.6 Transaction Monitoring - Operating Rule Set 162.6

KAP-162.6.1 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-162.6.2 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-162.6.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-162.6.4 The Zonal Head shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-162.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-162.6.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/038 and that compliance is certified every quarter.

KAP-162.6.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-162.6.8 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/066 and that compliance is certified every quarter.

KAP-162.6.9 The Audit Department shall review identity documents within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-162.6.10 The Compliance Officer shall review address proofs within 9 working days of receipt and record the outcome in the Case Management system.

PART 14 - CHAPTER 163: SUSPICIOUS TRANSACTION REPORTING

Section 163.1 Suspicious Transaction Reporting - Operating Rule Set 163.1

KAP-163.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-163.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-163.1.3 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-163.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-163.1.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-163.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-163.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-163.1.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-163.1.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure G-21.

KAP-163.1.10 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/022 and that compliance is certified every quarter.

Section 163.2 Suspicious Transaction Reporting - Operating Rule Set 163.2

KAP-163.2.1 Cases involving PEP screening results with an exposure above Rs. 304 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.20.

KAP-163.2.2 Cases involving cash transaction reports with an exposure above Rs. 363 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.30.

KAP-163.2.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-31.

KAP-163.2.4 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-163.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-163.2.6 The Audit Department shall review identity documents within 11 working days of receipt and record the outcome in the Document Management system.

KAP-163.2.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/251 and that compliance is certified every quarter.

KAP-163.2.8 Cases involving address proofs with an exposure above Rs. 425 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.17.

KAP-163.2.9 The Risk Management Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Case Management system.

Section 163.3 Suspicious Transaction Reporting - Operating Rule Set 163.3

KAP-163.3.1 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-163.3.2 Cases involving beneficial-owner declarations with an exposure above Rs. 63 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.30.

KAP-163.3.3 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-39.

KAP-163.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-163.3.5 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/227 and that compliance is certified every quarter.

KAP-163.3.6 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-163.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 23 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.22.

KAP-163.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 163.4 Suspicious Transaction Reporting - Operating Rule Set 163.4

KAP-163.4.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-163.4.2 The Zonal Head shall review account-opening forms within 2 working days of receipt and record the outcome in the Document Management system.

KAP-163.4.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure A-23.

KAP-163.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-163.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-163.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-163.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 25 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.11.

KAP-163.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 421 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.29.

PART 14 - CHAPTER 164: POLITICALLY EXPOSED PERSONS

Section 164.1 Politically Exposed Persons - Operating Rule Set 164.1

KAP-164.1.1 The Operations Head shall review address proofs within 25 working days of receipt and record the outcome in the Document Management system.

KAP-164.1.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure A-19.

KAP-164.1.3 Cases involving account-opening forms with an exposure above Rs. 177 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.27.

KAP-164.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-164.1.5 The Regional Credit Officer shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-164.1.6 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure B-16.

KAP-164.1.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-164.1.8 Cases involving address proofs with an exposure above Rs. 311 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.22.

KAP-164.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 398 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.20.

KAP-164.1.10 The Compliance Officer shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-164.1.11 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure F-5.

Section 164.2 Politically Exposed Persons - Operating Rule Set 164.2

KAP-164.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-164.2.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure A-6.

KAP-164.2.3 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-164.2.4 The Compliance Officer shall review identity documents within 16 working days of receipt and record the outcome in the Document Management system.

KAP-164.2.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/231 and that compliance is certified every quarter.

KAP-164.2.6 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure F-12.

KAP-164.2.7 The Branch Manager shall review PEP screening results within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-164.2.8 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-164.2.9 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-164.2.10 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

Section 164.3 Politically Exposed Persons - Operating Rule Set 164.3

KAP-164.3.1 The Operations Head shall review cash transaction reports within 18 working days of receipt and record the

outcome in the Risk Engine system.

KAP-164.3.2 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-164.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-164.3.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-164.3.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/169 and that compliance is certified every quarter.

KAP-164.3.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-164.3.7 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-164.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-164.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 65 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.8.

Section 164.4 Politically Exposed Persons - Operating Rule Set 164.4

KAP-164.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-164.4.2 Cases involving account-opening forms with an exposure above Rs. 467 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.3.

KAP-164.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-164.4.4 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Document Management system.

KAP-164.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-164.4.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure F-22.

KAP-164.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 489 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.2.

KAP-164.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-164.4.9 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-164.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

PART 14 - CHAPTER 165: BENEFICIAL OWNERSHIP

Section 165.1 Beneficial Ownership - Operating Rule Set 165.1

KAP-165.1.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/207 and that compliance is certified every quarter.

KAP-165.1.2 Cases involving address proofs with an exposure above Rs. 378 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.9.

KAP-165.1.3 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-165.1.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure D-21.

KAP-165.1.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-165.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be

made available to the regulator on request.

KAP-165.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-165.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-165.1.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

Section 165.2 Beneficial Ownership - Operating Rule Set 165.2

KAP-165.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-165.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 313 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.19.

KAP-165.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-165.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-165.2.5 Cases involving identity documents with an exposure above Rs. 389 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.22.

KAP-165.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-165.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-165.2.8 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 165.3 Beneficial Ownership - Operating Rule Set 165.3

KAP-165.3.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure B-36.

KAP-165.3.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/154 and that compliance is certified every quarter.

KAP-165.3.3 Cases involving video-KYC sessions with an exposure above Rs. 47 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.30.

KAP-165.3.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/036 and that compliance is certified every quarter.

KAP-165.3.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-165.3.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-165.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-165.3.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-165.3.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure G-38.

KAP-165.3.10 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 165.4 Beneficial Ownership - Operating Rule Set 165.4

KAP-165.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-165.4.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-165.4.3 Cases involving address proofs with an exposure above Rs. 20 lakh require prior written approval from the

Operations Head; otherwise the case is an exception under Clause 19.4.

KAP-165.4.4 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure B-2.

KAP-165.4.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure C-40.

KAP-165.4.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-165.4.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-165.4.8 The Risk Management Department shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-165.4.9 The Branch Manager shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-165.4.10 The Compliance Officer shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Customer Relationship system.

PART 14 - CHAPTER 166: RECORD KEEPING

Section 166.1 Record Keeping - Operating Rule Set 166.1

KAP-166.1.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-166.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-166.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-166.1.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/230 and that compliance is certified every quarter.

KAP-166.1.5 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-166.1.6 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-166.1.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure H-37.

KAP-166.1.8 The Risk Management Department shall review cash transaction reports within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-166.1.9 The Branch Manager shall review account-opening forms within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-166.1.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 166.2 Record Keeping - Operating Rule Set 166.2

KAP-166.2.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure E-30.

KAP-166.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-166.2.3 Cases involving account-opening forms with an exposure above Rs. 396 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.13.

KAP-166.2.4 The Compliance Officer shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-166.2.5 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-166.2.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure G-26.

KAP-166.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th

day of the following month.

KAP-166.2.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure B-20.

KAP-166.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 330 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.26.

Section 166.3 Record Keeping - Operating Rule Set 166.3

KAP-166.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-166.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-166.3.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-166.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-166.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-166.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-166.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 103 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.4.

KAP-166.3.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 21 days written notice.

Section 166.4 Record Keeping - Operating Rule Set 166.4

KAP-166.4.1 The Regional Credit Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-166.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-166.4.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/196 and that compliance is certified every quarter.

KAP-166.4.4 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-166.4.5 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-166.4.6 The Regional Credit Officer shall review address proofs within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-166.4.7 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/212 and that compliance is certified every quarter.

KAP-166.4.8 Cases involving account-opening forms with an exposure above Rs. 253 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.19.

KAP-166.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

Section 166.5 Record Keeping - Operating Rule Set 166.5

KAP-166.5.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/240 and that compliance is certified every quarter.

KAP-166.5.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-166.5.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-166.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-166.5.5 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular

KAP/2023/121 and that compliance is certified every quarter.

KAP-166.5.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-166.5.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-166.5.8 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure B-3.

Section 166.6 Record Keeping - Operating Rule Set 166.6

KAP-166.6.1 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure D-14.

KAP-166.6.2 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-166.6.3 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/242 and that compliance is certified every quarter.

KAP-166.6.4 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/142 and that compliance is certified every quarter.

KAP-166.6.5 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-166.6.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-166.6.7 Cases involving address proofs with an exposure above Rs. 255 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.17.

KAP-166.6.8 The Audit Department shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Core Banking system.

PART 14 - CHAPTER 167: STAFF TRAINING

Section 167.1 Staff Training - Operating Rule Set 167.1

KAP-167.1.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/089 and that compliance is certified every quarter.

KAP-167.1.2 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-167.1.3 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-167.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-167.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 33 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.21.

KAP-167.1.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/082 and that compliance is certified every quarter.

KAP-167.1.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure G-16.

KAP-167.1.8 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/047 and that compliance is certified every quarter.

KAP-167.1.9 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-167.1.10 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure H-28.

Section 167.2 Staff Training - Operating Rule Set 167.2

KAP-167.2.1 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-167.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 23 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.26.

KAP-167.2.3 Cases involving identity documents with an exposure above Rs. 114 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.5.

KAP-167.2.4 The Zonal Head shall review cash transaction reports within 6 working days of receipt and record the outcome in the Case Management system.

KAP-167.2.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-9.

KAP-167.2.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-167.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 417 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.14.

KAP-167.2.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/268 and that compliance is certified every quarter.

KAP-167.2.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure D-27.

Section 167.3 Staff Training - Operating Rule Set 167.3

KAP-167.3.1 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-167.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 435 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.6.

KAP-167.3.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-167.3.4 Cases involving account-opening forms with an exposure above Rs. 386 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.13.

KAP-167.3.5 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-167.3.6 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-167.3.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/022 and that compliance is certified every quarter.

KAP-167.3.8 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-167.3.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-25.

KAP-167.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 167.4 Staff Training - Operating Rule Set 167.4

KAP-167.4.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-167.4.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/228 and that compliance is certified every quarter.

KAP-167.4.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-167.4.4 Cases involving address proofs with an exposure above Rs. 248 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.28.

KAP-167.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 12 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.11.

KAP-167.4.6 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-167.4.7 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-167.4.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee

within 21 working days, with the supporting documents listed in Annexure H-38.

Section 167.5 Staff Training - Operating Rule Set 167.5

KAP-167.5.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/117 and that compliance is certified every quarter.

KAP-167.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-167.5.3 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/229 and that compliance is certified every quarter.

KAP-167.5.4 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/227 and that compliance is certified every quarter.

KAP-167.5.5 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure C-14.

KAP-167.5.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/092 and that compliance is certified every quarter.

KAP-167.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-167.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 279 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.4.

KAP-167.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-167.5.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 27 days written notice.

PART 14 - CHAPTER 168: INDEPENDENT AUDIT

Section 168.1 Independent Audit - Operating Rule Set 168.1

KAP-168.1.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-6.

KAP-168.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-168.1.3 The Regional Credit Officer shall review address proofs within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-168.1.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/255 and that compliance is certified every quarter.

KAP-168.1.5 The Compliance Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-168.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-168.1.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/296 and that compliance is certified every quarter.

KAP-168.1.8 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure B-8.

KAP-168.1.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/069 and that compliance is certified every quarter.

KAP-168.1.10 The Branch Manager shall review risk-rating files within 11 working days of receipt and record the outcome in the Document Management system.

Section 168.2 Independent Audit - Operating Rule Set 168.2

KAP-168.2.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-168.2.2 The Operations Head shall review risk-rating files within 24 working days of receipt and record the outcome in the Case Management system.

KAP-168.2.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-168.2.4 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-168.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 65 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.25.

KAP-168.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-168.2.7 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure F-35.

KAP-168.2.8 The Branch Manager shall review account-opening forms within 3 working days of receipt and record the outcome in the Case Management system.

KAP-168.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 168.3 Independent Audit - Operating Rule Set 168.3

KAP-168.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-168.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-168.3.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/287 and that compliance is certified every quarter.

KAP-168.3.4 Cases involving video-KYC sessions with an exposure above Rs. 500 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.14.

KAP-168.3.5 Cases involving address proofs with an exposure above Rs. 154 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.14.

KAP-168.3.6 The Branch Manager shall review cash transaction reports within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-168.3.7 Cases involving cash transaction reports with an exposure above Rs. 53 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.25.

KAP-168.3.8 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure E-16.

KAP-168.3.9 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-168.3.10 The Regional Credit Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Document Management system.

KAP-168.3.11 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-168.3.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 168.4 Independent Audit - Operating Rule Set 168.4

KAP-168.4.1 Cases involving PEP screening results with an exposure above Rs. 442 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.23.

KAP-168.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-168.4.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-168.4.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/033 and that compliance is certified every quarter.

KAP-168.4.5 Cases involving risk-rating files with an exposure above Rs. 172 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.18.

KAP-168.4.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure G-18.

KAP-168.4.7 Cases involving account-opening forms with an exposure above Rs. 115 lakh require prior written approval

from the Operations Head; otherwise the case is an exception under Clause 6.11.

KAP-168.4.8 The Credit Committee shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-168.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

PART 15 - CHAPTER 169: CUSTOMER ACCEPTANCE

Section 169.1 Customer Acceptance - Operating Rule Set 169.1

KAP-169.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-169.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-169.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-169.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-169.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-169.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-169.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-169.1.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-169.1.9 The Zonal Head shall review identity documents within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-169.1.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-169.1.11 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure D-4.

KAP-169.1.12 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/100 and that compliance is certified every quarter.

Section 169.2 Customer Acceptance - Operating Rule Set 169.2

KAP-169.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-169.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-169.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-169.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure B-24.

KAP-169.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-169.2.6 Cases involving cash transaction reports with an exposure above Rs. 448 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.7.

KAP-169.2.7 The Audit Department shall review identity documents within 21 working days of receipt and record the outcome in the Document Management system.

KAP-169.2.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure G-25.

KAP-169.2.9 The Risk Management Department shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Customer Relationship system.

Section 169.3 Customer Acceptance - Operating Rule Set 169.3

KAP-169.3.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/140 and that compliance is certified every quarter.

KAP-169.3.2 Cases involving cash transaction reports with an exposure above Rs. 119 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.7.

KAP-169.3.3 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/287 and that compliance is certified every quarter.

KAP-169.3.4 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-169.3.5 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure C-33.

KAP-169.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-169.3.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/199 and that compliance is certified every quarter.

KAP-169.3.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure B-39.

KAP-169.3.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-169.3.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 169.4 Customer Acceptance - Operating Rule Set 169.4

KAP-169.4.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/153 and that compliance is certified every quarter.

KAP-169.4.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure A-22.

KAP-169.4.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/289 and that compliance is certified every quarter.

KAP-169.4.4 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-35.

KAP-169.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-169.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-169.4.7 Cases involving risk-rating files with an exposure above Rs. 89 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.4.

KAP-169.4.8 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure G-14.

KAP-169.4.9 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/022 and that compliance is certified every quarter.

KAP-169.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-169.4.11 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

Section 169.5 Customer Acceptance - Operating Rule Set 169.5

KAP-169.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-169.5.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-169.5.3 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure B-7.

KAP-169.5.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance

Officer within 16 working days, with the supporting documents listed in Annexure A-15.

KAP-169.5.5 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/190 and that compliance is certified every quarter.

KAP-169.5.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure F-38.

KAP-169.5.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-169.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

PART 15 - CHAPTER 170: CUSTOMER IDENTIFICATION

Section 170.1 Customer Identification - Operating Rule Set 170.1

KAP-170.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-170.1.2 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-170.1.3 Cases involving video-KYC sessions with an exposure above Rs. 265 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.30.

KAP-170.1.4 Cases involving cash transaction reports with an exposure above Rs. 414 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.11.

KAP-170.1.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-170.1.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-170.1.7 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/118 and that compliance is certified every quarter.

KAP-170.1.8 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure A-19.

KAP-170.1.9 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Case Management system.

KAP-170.1.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/209 and that compliance is certified every quarter.

Section 170.2 Customer Identification - Operating Rule Set 170.2

KAP-170.2.1 The Credit Committee shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Case Management system.

KAP-170.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-170.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 294 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.27.

KAP-170.2.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

KAP-170.2.5 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-38.

KAP-170.2.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/174 and that compliance is certified every quarter.

KAP-170.2.7 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/023 and that compliance is certified every quarter.

KAP-170.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-170.2.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-170.2.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the

scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 170.3 Customer Identification - Operating Rule Set 170.3

KAP-170.3.1 The Operations Head shall review identity documents within 30 working days of receipt and record the outcome in the Document Management system.

KAP-170.3.2 Cases involving identity documents with an exposure above Rs. 274 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.17.

KAP-170.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-170.3.4 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-170.3.5 Cases involving cash transaction reports with an exposure above Rs. 103 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.5.

KAP-170.3.6 The Operations Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-170.3.7 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-170.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-170.3.9 The Risk Management Department shall review PEP screening results within 8 working days of receipt and record the outcome in the Case Management system.

KAP-170.3.10 Cases involving account-opening forms with an exposure above Rs. 334 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.16.

KAP-170.3.11 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-170.3.12 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure G-12.

Section 170.4 Customer Identification - Operating Rule Set 170.4

KAP-170.4.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-170.4.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-170.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-170.4.4 The Compliance Officer shall review account-opening forms within 6 working days of receipt and record the outcome in the Document Management system.

KAP-170.4.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-170.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-170.4.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/163 and that compliance is certified every quarter.

KAP-170.4.8 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-170.4.9 The Regional Credit Officer shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Document Management system.

KAP-170.4.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-170.4.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

Section 170.5 Customer Identification - Operating Rule Set 170.5

KAP-170.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made

available to the Board Audit Committee on request.

KAP-170.5.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure D-27.

KAP-170.5.3 The Credit Committee shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-170.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-170.5.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-17.

KAP-170.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-170.5.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/099 and that compliance is certified every quarter.

KAP-170.5.8 Cases involving risk-rating files with an exposure above Rs. 62 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.13.

KAP-170.5.9 The Zonal Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-170.5.10 The Regional Credit Officer shall review cash transaction reports within 11 working days of receipt and record the outcome in the Loan Origination system.

Section 170.6 Customer Identification - Operating Rule Set 170.6

KAP-170.6.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-170.6.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-170.6.3 Cases involving cash transaction reports with an exposure above Rs. 193 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.13.

KAP-170.6.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-170.6.5 Cases involving video-KYC sessions with an exposure above Rs. 484 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.2.

KAP-170.6.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-170.6.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-170.6.8 Cases involving address proofs with an exposure above Rs. 335 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.11.

KAP-170.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-170.6.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

PART 15 - CHAPTER 171: CUSTOMER DUE DILIGENCE

Section 171.1 Customer Due Diligence - Operating Rule Set 171.1

KAP-171.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 438 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.15.

KAP-171.1.2 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-171.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-171.1.4 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-171.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made

available to the Board Audit Committee on request.

KAP-171.1.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-171.1.7 The Regional Credit Officer shall review cash transaction reports within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-171.1.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-171.1.9 The Audit Department shall review cash transaction reports within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-171.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-171.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 171.2 Customer Due Diligence - Operating Rule Set 171.2

KAP-171.2.1 The Risk Management Department shall review cash transaction reports within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-171.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-171.2.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/120 and that compliance is certified every quarter.

KAP-171.2.4 The Credit Committee shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-171.2.5 The Risk Management Department shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Case Management system.

KAP-171.2.6 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-171.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-171.2.8 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure D-32.

KAP-171.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-171.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

Section 171.3 Customer Due Diligence - Operating Rule Set 171.3

KAP-171.3.1 The Audit Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-171.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-171.3.3 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure E-16.

KAP-171.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-171.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 122 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.6.

KAP-171.3.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-171.3.7 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-171.3.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure E-40.

KAP-171.3.9 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-171.3.10 The Branch Manager shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

Section 171.4 Customer Due Diligence - Operating Rule Set 171.4

KAP-171.4.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/069 and that compliance is certified every quarter.

KAP-171.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-171.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-171.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-171.4.5 The Credit Committee shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Case Management system.

KAP-171.4.6 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure A-38.

KAP-171.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 8 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.11.

KAP-171.4.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-171.4.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/279 and that compliance is certified every quarter.

KAP-171.4.10 Cases involving beneficial-owner declarations with an exposure above Rs. 251 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.20.

KAP-171.4.11 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure H-34.

Section 171.5 Customer Due Diligence - Operating Rule Set 171.5

KAP-171.5.1 Cases involving video-KYC sessions with an exposure above Rs. 263 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.3.

KAP-171.5.2 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-171.5.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-171.5.4 The Regional Credit Officer shall review PEP screening results within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-171.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-171.5.6 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure E-35.

KAP-171.5.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/207 and that compliance is certified every quarter.

KAP-171.5.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-171.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-171.5.10 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 171.6 Customer Due Diligence - Operating Rule Set 171.6

KAP-171.6.1 The Audit Department shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-171.6.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/256 and that compliance is certified every quarter.

KAP-171.6.3 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure D-11.

KAP-171.6.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-171.6.5 Cases involving cash transaction reports with an exposure above Rs. 224 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.2.

KAP-171.6.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-171.6.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-171.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-171.6.9 The Credit Committee shall review account-opening forms within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-171.6.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-171.6.11 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-171.6.12 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/238 and that compliance is certified every quarter.

KAP-171.6.13 The Credit Committee shall review PEP screening results within 20 working days of receipt and record the outcome in the Core Banking system.

PART 15 - CHAPTER 172: ENHANCED DUE DILIGENCE

Section 172.1 Enhanced Due Diligence - Operating Rule Set 172.1

KAP-172.1.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-172.1.2 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-172.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-172.1.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure D-22.

KAP-172.1.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-172.1.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-172.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-172.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-172.1.9 The Operations Head shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-172.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 172.2 Enhanced Due Diligence - Operating Rule Set 172.2

KAP-172.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-172.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-172.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-172.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-172.2.5 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-172.2.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-172.2.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/093 and that compliance is certified every quarter.

KAP-172.2.8 The Regional Credit Officer shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Document Management system.

KAP-172.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 172.3 Enhanced Due Diligence - Operating Rule Set 172.3

KAP-172.3.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/031 and that compliance is certified every quarter.

KAP-172.3.2 The Regional Credit Officer shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-172.3.3 Cases involving address proofs with an exposure above Rs. 99 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.10.

KAP-172.3.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-172.3.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure E-15.

KAP-172.3.6 The Credit Committee shall review identity documents within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-172.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-172.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 287 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.17.

KAP-172.3.9 Cases involving identity documents with an exposure above Rs. 293 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.8.

KAP-172.3.10 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 172.4 Enhanced Due Diligence - Operating Rule Set 172.4

KAP-172.4.1 The Zonal Head shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-172.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-172.4.3 The Audit Department shall review address proofs within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-172.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 17 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.17.

KAP-172.4.5 The Risk Management Department shall review address proofs within 4 working days of receipt and record the outcome in the Case Management system.

KAP-172.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-172.4.7 Cases involving address proofs with an exposure above Rs. 19 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.26.

KAP-172.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 8 and be made available to internal auditors on request.

KAP-172.4.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/080 and that compliance is certified every quarter.

KAP-172.4.10 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-172.4.11 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 172.5 Enhanced Due Diligence - Operating Rule Set 172.5

KAP-172.5.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure D-18.

KAP-172.5.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-172.5.3 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/119 and that compliance is certified every quarter.

KAP-172.5.4 The Compliance Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-172.5.5 Cases involving correspondent-bank relationships with an exposure above Rs. 260 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.26.

KAP-172.5.6 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-172.5.7 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-172.5.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure C-12.

KAP-172.5.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-172.5.10 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

PART 15 - CHAPTER 173: RISK CATEGORISATION

Section 173.1 Risk Categorisation - Operating Rule Set 173.1

KAP-173.1.1 The Audit Department shall review account-opening forms within 5 working days of receipt and record the outcome in the Document Management system.

KAP-173.1.2 The Branch Manager shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-173.1.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-173.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-173.1.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure G-23.

KAP-173.1.6 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-173.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-173.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 253 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.11.

KAP-173.1.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-173.1.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/281 and that compliance is certified every quarter.

KAP-173.1.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit

Department by the 3th day of the following month.

Section 173.2 Risk Categorisation - Operating Rule Set 173.2

KAP-173.2.1 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-173.2.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure G-18.

KAP-173.2.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure F-11.

KAP-173.2.4 The Zonal Head shall review address proofs within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-173.2.5 The Branch Manager shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-173.2.6 The Compliance Officer shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

KAP-173.2.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-173.2.8 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure G-16.

KAP-173.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 322 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.17.

KAP-173.2.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure C-11.

Section 173.3 Risk Categorisation - Operating Rule Set 173.3

KAP-173.3.1 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure G-30.

KAP-173.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 114 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.3.

KAP-173.3.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/257 and that compliance is certified every quarter.

KAP-173.3.4 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure A-4.

KAP-173.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 197 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.9.

KAP-173.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-173.3.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-173.3.8 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-173.3.9 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/139 and that compliance is certified every quarter.

KAP-173.3.10 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure A-7.

Section 173.4 Risk Categorisation - Operating Rule Set 173.4

KAP-173.4.1 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-173.4.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure H-5.

KAP-173.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-173.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made

available to statutory auditors on request.

KAP-173.4.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/061 and that compliance is certified every quarter.

KAP-173.4.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-173.4.7 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure H-2.

KAP-173.4.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/168 and that compliance is certified every quarter.

KAP-173.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-173.4.10 Cases involving account-opening forms with an exposure above Rs. 357 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.28.

KAP-173.4.11 The Audit Department shall review cash transaction reports within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-173.4.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-173.4.13 Cases involving video-KYC sessions with an exposure above Rs. 64 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.11.

Section 173.5 Risk Categorisation - Operating Rule Set 173.5

KAP-173.5.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-173.5.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/257 and that compliance is certified every quarter.

KAP-173.5.3 The Risk Management Department shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Case Management system.

KAP-173.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-173.5.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-37.

KAP-173.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-173.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-173.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-173.5.9 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-173.5.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-173.5.11 Cases involving address proofs with an exposure above Rs. 205 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.12.

Section 173.6 Risk Categorisation - Operating Rule Set 173.6

KAP-173.6.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/080 and that compliance is certified every quarter.

KAP-173.6.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-173.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-173.6.4 The Zonal Head shall review address proofs within 29 working days of receipt and record the outcome in the Document Management system.

KAP-173.6.5 The Risk Management Department shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-173.6.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/158 and that compliance is certified every quarter.

KAP-173.6.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-173.6.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-173.6.9 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-173.6.10 Cases involving risk-rating files with an exposure above Rs. 220 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.20.

Section 173.7 Risk Categorisation - Operating Rule Set 173.7

KAP-173.7.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-173.7.2 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-173.7.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-173.7.4 Cases involving beneficial-owner declarations with an exposure above Rs. 13 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.23.

KAP-173.7.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-173.7.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure F-30.

KAP-173.7.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-173.7.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-173.7.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/203 and that compliance is certified every quarter.

KAP-173.7.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

PART 15 - CHAPTER 174: TRANSACTION MONITORING

Section 174.1 Transaction Monitoring - Operating Rule Set 174.1

KAP-174.1.1 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-174.1.2 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-174.1.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/266 and that compliance is certified every quarter.

KAP-174.1.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure B-10.

KAP-174.1.5 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Document Management system.

KAP-174.1.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure F-12.

KAP-174.1.7 The Zonal Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Document Management system.

KAP-174.1.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

Section 174.2 Transaction Monitoring - Operating Rule Set 174.2

KAP-174.2.1 Cases involving risk-rating files with an exposure above Rs. 392 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.8.

KAP-174.2.2 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-174.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 246 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.20.

KAP-174.2.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure C-5.

KAP-174.2.5 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/292 and that compliance is certified every quarter.

KAP-174.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-174.2.7 The Credit Committee shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-174.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-174.2.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-174.2.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-174.2.11 Cases involving correspondent-bank relationships with an exposure above Rs. 291 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.11.

KAP-174.2.12 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

Section 174.3 Transaction Monitoring - Operating Rule Set 174.3

KAP-174.3.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/044 and that compliance is certified every quarter.

KAP-174.3.2 The Operations Head shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-174.3.3 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-174.3.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-174.3.5 The Credit Committee shall review identity documents within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-174.3.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure A-26.

KAP-174.3.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure D-29.

KAP-174.3.8 The Branch Manager shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-174.3.9 Cases involving identity documents with an exposure above Rs. 214 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.30.

KAP-174.3.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-174.3.11 Cases involving risk-rating files with an exposure above Rs. 377 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.4.

Section 174.4 Transaction Monitoring - Operating Rule Set 174.4

KAP-174.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 351 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.12.

KAP-174.4.2 Cases involving identity documents with an exposure above Rs. 364 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.13.

KAP-174.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-174.4.4 Cases involving PEP screening results with an exposure above Rs. 439 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.16.

KAP-174.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-174.4.6 The Branch Manager shall review risk-rating files within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-174.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-174.4.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-174.4.9 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-174.4.10 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/024 and that compliance is certified every quarter.

Section 174.5 Transaction Monitoring - Operating Rule Set 174.5

KAP-174.5.1 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure C-37.

KAP-174.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-174.5.3 Cases involving video-KYC sessions with an exposure above Rs. 499 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.5.

KAP-174.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-174.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 303 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.16.

KAP-174.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-174.5.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-174.5.8 Cases involving risk-rating files with an exposure above Rs. 244 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.26.

KAP-174.5.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-174.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-174.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-174.5.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

Section 174.6 Transaction Monitoring - Operating Rule Set 174.6

KAP-174.6.1 The Credit Committee shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-174.6.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure B-11.

KAP-174.6.3 Cases involving account-opening forms with an exposure above Rs. 327 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.14.

KAP-174.6.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the

10th day of the following month.

KAP-174.6.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-174.6.6 The Regional Credit Officer shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-174.6.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/118 and that compliance is certified every quarter.

KAP-174.6.8 Cases involving account-opening forms with an exposure above Rs. 80 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.8.

KAP-174.6.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure A-34.

KAP-174.6.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-174.6.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

PART 15 - CHAPTER 175: SUSPICIOUS TRANSACTION REPORTING

Section 175.1 Suspicious Transaction Reporting - Operating Rule Set 175.1

KAP-175.1.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-175.1.2 The Zonal Head shall review risk-rating files within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-175.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-175.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-175.1.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-175.1.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-175.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-175.1.8 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure A-7.

KAP-175.1.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 175.2 Suspicious Transaction Reporting - Operating Rule Set 175.2

KAP-175.2.1 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-175.2.2 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-175.2.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-175.2.4 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure D-28.

KAP-175.2.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-175.2.6 Cases involving video-KYC sessions with an exposure above Rs. 148 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.18.

KAP-175.2.7 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure G-9.

KAP-175.2.8 For private-limited-company customers, identity documents shall be assessed using the rule-based method,

with a tolerance of 4% as approved by the Board.

KAP-175.2.9 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/231 and that compliance is certified every quarter.

Section 175.3 Suspicious Transaction Reporting - Operating Rule Set 175.3

KAP-175.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 297 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.9.

KAP-175.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-175.3.3 The Compliance Officer shall review address proofs within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-175.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 35 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.29.

KAP-175.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-175.3.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure A-14.

KAP-175.3.7 Cases involving risk-rating files with an exposure above Rs. 252 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.24.

KAP-175.3.8 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-175.3.9 The Operations Head shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-175.3.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-175.3.11 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-175.3.12 Cases involving video-KYC sessions with an exposure above Rs. 62 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.2.

Section 175.4 Suspicious Transaction Reporting - Operating Rule Set 175.4

KAP-175.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-175.4.2 The Compliance Officer shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-175.4.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/131 and that compliance is certified every quarter.

KAP-175.4.4 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-175.4.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/265 and that compliance is certified every quarter.

KAP-175.4.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure A-39.

KAP-175.4.7 Cases involving risk-rating files with an exposure above Rs. 58 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.23.

KAP-175.4.8 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/080 and that compliance is certified every quarter.

KAP-175.4.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/177 and that compliance is certified every quarter.

KAP-175.4.10 Cases involving address proofs with an exposure above Rs. 438 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.9.

Section 175.5 Suspicious Transaction Reporting - Operating Rule Set 175.5

KAP-175.5.1 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 2

working days, with the supporting documents listed in Annexure A-40.

KAP-175.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-175.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-175.5.4 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-175.5.5 Cases involving address proofs with an exposure above Rs. 213 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.20.

KAP-175.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 202 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.26.

KAP-175.5.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure E-33.

KAP-175.5.8 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-175.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 240 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.21.

Section 175.6 Suspicious Transaction Reporting - Operating Rule Set 175.6

KAP-175.6.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-175.6.2 The Risk Management Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-175.6.3 Cases involving beneficial-owner declarations with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.3.

KAP-175.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-175.6.5 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-175.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-175.6.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-175.6.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-175.6.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/127 and that compliance is certified every quarter.

KAP-175.6.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-175.6.11 Cases involving PEP screening results with an exposure above Rs. 199 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.4.

KAP-175.6.12 Cases involving beneficial-owner declarations with an exposure above Rs. 361 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.22.

Section 175.7 Suspicious Transaction Reporting - Operating Rule Set 175.7

KAP-175.7.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/297 and that compliance is certified every quarter.

KAP-175.7.2 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-175.7.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-175.7.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-175.7.5 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure A-23.

KAP-175.7.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-175.7.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-175.7.8 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-175.7.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-175.7.10 Cases involving correspondent-bank relationships with an exposure above Rs. 73 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.27.

PART 15 - CHAPTER 176: POLITICALLY EXPOSED PERSONS

Section 176.1 Politically Exposed Persons - Operating Rule Set 176.1

KAP-176.1.1 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-176.1.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-176.1.3 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

KAP-176.1.4 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-176.1.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure H-20.

KAP-176.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-176.1.7 The Branch Manager shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-176.1.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

Section 176.2 Politically Exposed Persons - Operating Rule Set 176.2

KAP-176.2.1 The Compliance Officer shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-176.2.2 The Compliance Officer shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-176.2.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-176.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-176.2.5 The Branch Manager shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-176.2.6 The Branch Manager shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Document Management system.

KAP-176.2.7 Cases involving PEP screening results with an exposure above Rs. 338 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.15.

KAP-176.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-176.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-176.2.10 Cases involving address proofs with an exposure above Rs. 325 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.24.

Section 176.3 Politically Exposed Persons - Operating Rule Set 176.3

KAP-176.3.1 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-176.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-176.3.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure C-2.

KAP-176.3.4 Cases involving account-opening forms with an exposure above Rs. 492 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.26.

KAP-176.3.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-176.3.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-176.3.7 Cases involving risk-rating files with an exposure above Rs. 138 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.20.

KAP-176.3.8 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-176.3.9 Cases involving cash transaction reports with an exposure above Rs. 477 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.8.

KAP-176.3.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-176.3.11 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-38.

KAP-176.3.12 Cases involving address proofs with an exposure above Rs. 45 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.13.

Section 176.4 Politically Exposed Persons - Operating Rule Set 176.4

KAP-176.4.1 Cases involving video-KYC sessions with an exposure above Rs. 13 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.27.

KAP-176.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-176.4.3 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/178 and that compliance is certified every quarter.

KAP-176.4.4 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-176.4.5 Cases involving video-KYC sessions with an exposure above Rs. 360 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.21.

KAP-176.4.6 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-176.4.7 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-176.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-176.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 176.5 Politically Exposed Persons - Operating Rule Set 176.5

KAP-176.5.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/259 and that compliance is certified every quarter.

KAP-176.5.2 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-176.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 442 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.28.

KAP-176.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-176.5.5 Cases involving risk-rating files with an exposure above Rs. 338 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.19.

KAP-176.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 451 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.6.

KAP-176.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-176.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 161 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.8.

KAP-176.5.9 The Operations Head shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Customer Relationship system.

PART 15 - CHAPTER 177: BENEFICIAL OWNERSHIP

Section 177.1 Beneficial Ownership - Operating Rule Set 177.1

KAP-177.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-177.1.2 Cases involving account-opening forms with an exposure above Rs. 275 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.21.

KAP-177.1.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/131 and that compliance is certified every quarter.

KAP-177.1.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure B-8.

KAP-177.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-177.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-177.1.7 Cases involving cash transaction reports with an exposure above Rs. 29 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.17.

KAP-177.1.8 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-177.1.9 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 177.2 Beneficial Ownership - Operating Rule Set 177.2

KAP-177.2.1 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-177.2.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/256 and that compliance is certified every quarter.

KAP-177.2.3 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-177.2.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-177.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 88 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.23.

KAP-177.2.6 The Regional Credit Officer shall review PEP screening results within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-177.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-177.2.8 The Operations Head shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-177.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-177.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-177.2.11 The Branch Manager shall review PEP screening results within 27 working days of receipt and record the outcome in the Core Banking system.

Section 177.3 Beneficial Ownership - Operating Rule Set 177.3

KAP-177.3.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/042 and that compliance is certified every quarter.

KAP-177.3.2 Cases involving risk-rating files with an exposure above Rs. 373 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.4.

KAP-177.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-177.3.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-177.3.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-177.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-177.3.7 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-35.

KAP-177.3.8 The Audit Department shall review risk-rating files within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-177.3.9 The Compliance Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Document Management system.

Section 177.4 Beneficial Ownership - Operating Rule Set 177.4

KAP-177.4.1 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/024 and that compliance is certified every quarter.

KAP-177.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-177.4.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-177.4.4 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-177.4.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure A-11.

KAP-177.4.6 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-177.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-177.4.8 Cases involving video-KYC sessions with an exposure above Rs. 494 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.9.

KAP-177.4.9 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-177.4.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-177.4.11 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure H-10.

KAP-177.4.12 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure F-12.

KAP-177.4.13 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure B-37.

PART 15 - CHAPTER 178: RECORD KEEPING

Section 178.1 Record Keeping - Operating Rule Set 178.1

KAP-178.1.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/268 and that compliance is certified every quarter.

KAP-178.1.2 The Branch Manager shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-178.1.3 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure E-14.

KAP-178.1.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure H-31.

KAP-178.1.5 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-178.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-178.1.7 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-178.1.8 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 178.2 Record Keeping - Operating Rule Set 178.2

KAP-178.2.1 The Credit Committee shall review address proofs within 2 working days of receipt and record the outcome in the Document Management system.

KAP-178.2.2 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-178.2.3 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-178.2.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-178.2.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-178.2.6 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-9.

KAP-178.2.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-178.2.8 The Compliance Officer shall review address proofs within 6 working days of receipt and record the outcome in the Document Management system.

Section 178.3 Record Keeping - Operating Rule Set 178.3

KAP-178.3.1 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure H-16.

KAP-178.3.2 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-178.3.3 Cases involving account-opening forms with an exposure above Rs. 469 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.29.

KAP-178.3.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure B-10.

KAP-178.3.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-10.

KAP-178.3.6 The Audit Department shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-178.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-178.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-178.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-178.3.10 Cases involving address proofs with an exposure above Rs. 321 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.26.

KAP-178.3.11 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

Section 178.4 Record Keeping - Operating Rule Set 178.4

KAP-178.4.1 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-178.4.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/249 and that compliance is certified every quarter.

KAP-178.4.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-178.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-178.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 156 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.14.

KAP-178.4.6 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-178.4.7 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-178.4.8 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure H-32.

Section 178.5 Record Keeping - Operating Rule Set 178.5

KAP-178.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-178.5.2 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/205 and that compliance is certified every quarter.

KAP-178.5.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure H-14.

KAP-178.5.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-178.5.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-178.5.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-178.5.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-178.5.8 Cases involving video-KYC sessions with an exposure above Rs. 232 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.22.

KAP-178.5.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure A-16.

PART 15 - CHAPTER 179: STAFF TRAINING

Section 179.1 Staff Training - Operating Rule Set 179.1

KAP-179.1.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/145 and that compliance is certified every quarter.

KAP-179.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-179.1.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-179.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 4 and be made available to statutory auditors on request.

KAP-179.1.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure H-19.

KAP-179.1.6 Cases involving identity documents with an exposure above Rs. 461 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.10.

KAP-179.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-179.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-179.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 179.2 Staff Training - Operating Rule Set 179.2

KAP-179.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-179.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-179.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-179.2.4 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-179.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-179.2.6 Cases involving account-opening forms with an exposure above Rs. 363 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.18.

KAP-179.2.7 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure C-37.

KAP-179.2.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-179.2.9 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/145 and that compliance is certified every quarter.

KAP-179.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

Section 179.3 Staff Training - Operating Rule Set 179.3

KAP-179.3.1 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-179.3.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure D-8.

KAP-179.3.3 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-179.3.4 The Compliance Officer shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-179.3.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/180 and that compliance is certified every quarter.

KAP-179.3.6 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-179.3.7 The Operations Head shall review risk-rating files within 6 working days of receipt and record the outcome in the Case Management system.

KAP-179.3.8 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure E-24.

KAP-179.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-179.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 276 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.22.

Section 179.4 Staff Training - Operating Rule Set 179.4

KAP-179.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-179.4.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-179.4.3 The Credit Committee shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Document Management system.

KAP-179.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-179.4.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-179.4.6 The Audit Department shall review identity documents within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-179.4.7 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure C-12.

KAP-179.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-179.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 85 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.6.

KAP-179.4.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure B-26.

Section 179.5 Staff Training - Operating Rule Set 179.5

KAP-179.5.1 Cases involving account-opening forms with an exposure above Rs. 453 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.13.

KAP-179.5.2 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-179.5.3 Cases involving address proofs with an exposure above Rs. 58 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.15.

KAP-179.5.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/080 and that compliance is certified every quarter.

KAP-179.5.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-179.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-179.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-179.5.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/122 and that compliance is certified every quarter.

KAP-179.5.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/171 and that compliance is certified every quarter.

KAP-179.5.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 179.6 Staff Training - Operating Rule Set 179.6

KAP-179.6.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/063 and that compliance is certified every quarter.

KAP-179.6.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-179.6.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-179.6.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure G-36.

KAP-179.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-179.6.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-179.6.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-179.6.8 The Compliance Officer shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-179.6.9 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/288 and that compliance is certified every quarter.

KAP-179.6.10 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/214 and that compliance is certified every quarter.

KAP-179.6.11 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

PART 15 - CHAPTER 180: INDEPENDENT AUDIT

Section 180.1 Independent Audit - Operating Rule Set 180.1

KAP-180.1.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure F-32.

KAP-180.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-180.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-180.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-180.1.5 The Credit Committee shall review PEP screening results within 30 working days of receipt and record the outcome in the Document Management system.

KAP-180.1.6 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-180.1.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure D-33.

KAP-180.1.8 The Operations Head shall review cash transaction reports within 6 working days of receipt and record the outcome in the Document Management system.

Section 180.2 Independent Audit - Operating Rule Set 180.2

KAP-180.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-180.2.2 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

KAP-180.2.3 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/029 and that compliance is certified every quarter.

KAP-180.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-180.2.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-180.2.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-180.2.7 The Credit Committee shall review identity documents within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-180.2.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/027 and that compliance is certified every quarter.

KAP-180.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-180.2.10 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-180.2.11 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/055 and that compliance is certified every quarter.

KAP-180.2.12 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 21 days written notice.

Section 180.3 Independent Audit - Operating Rule Set 180.3

KAP-180.3.1 The Credit Committee shall review PEP screening results within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-180.3.2 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/146 and that compliance is certified every quarter.

KAP-180.3.3 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/280 and that compliance is certified every quarter.

KAP-180.3.4 The Credit Committee shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-180.3.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/086 and that compliance is certified every quarter.

KAP-180.3.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-180.3.7 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-180.3.8 Cases involving risk-rating files with an exposure above Rs. 119 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.9.

KAP-180.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 192 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.8.

Section 180.4 Independent Audit - Operating Rule Set 180.4

KAP-180.4.1 The Risk Management Department shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-180.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-180.4.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/105 and that compliance is certified every quarter.

KAP-180.4.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-180.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-180.4.6 The Branch Manager shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-180.4.7 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-180.4.8 Cases involving video-KYC sessions with an exposure above Rs. 350 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.4.

KAP-180.4.9 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-180.4.10 The Zonal Head shall review PEP screening results within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-180.4.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-180.4.12 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular

KAP/2024/150 and that compliance is certified every quarter.

KAP-180.4.13 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/135 and that compliance is certified every quarter.

Section 180.5 Independent Audit - Operating Rule Set 180.5

KAP-180.5.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure C-34.

KAP-180.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-180.5.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/060 and that compliance is certified every quarter.

KAP-180.5.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-180.5.5 Cases involving address proofs with an exposure above Rs. 85 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.17.

KAP-180.5.6 Cases involving cash transaction reports with an exposure above Rs. 193 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.6.

KAP-180.5.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure H-25.

KAP-180.5.8 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 180.6 Independent Audit - Operating Rule Set 180.6

KAP-180.6.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/131 and that compliance is certified every quarter.

KAP-180.6.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-180.6.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-180.6.4 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/029 and that compliance is certified every quarter.

KAP-180.6.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure D-37.

KAP-180.6.6 Cases involving risk-rating files with an exposure above Rs. 434 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.16.

KAP-180.6.7 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure F-1.

KAP-180.6.8 Cases involving address proofs with an exposure above Rs. 357 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.14.

KAP-180.6.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

PART 16 - CHAPTER 181: CUSTOMER ACCEPTANCE

Section 181.1 Customer Acceptance - Operating Rule Set 181.1

KAP-181.1.1 The Risk Management Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Case Management system.

KAP-181.1.2 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/065 and that compliance is certified every quarter.

KAP-181.1.3 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-181.1.4 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-181.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-181.1.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure C-20.

KAP-181.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-181.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 360 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.30.

KAP-181.1.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/197 and that compliance is certified every quarter.

KAP-181.1.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-181.1.11 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 181.2 Customer Acceptance - Operating Rule Set 181.2

KAP-181.2.1 The Credit Committee shall review identity documents within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-181.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-181.2.3 Cases involving identity documents with an exposure above Rs. 181 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.30.

KAP-181.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-181.2.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure E-32.

KAP-181.2.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-181.2.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure E-26.

KAP-181.2.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-181.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 181.3 Customer Acceptance - Operating Rule Set 181.3

KAP-181.3.1 The Branch Manager shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-181.3.2 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-181.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-181.3.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/239 and that compliance is certified every quarter.

KAP-181.3.5 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-181.3.6 The Audit Department shall review address proofs within 9 working days of receipt and record the outcome in the Document Management system.

KAP-181.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-181.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-181.3.9 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-181.3.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional

Credit Officer within 21 working days, with the supporting documents listed in Annexure D-17.

KAP-181.3.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-181.3.12 Cases involving cash transaction reports with an exposure above Rs. 221 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.20.

KAP-181.3.13 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 181.4 Customer Acceptance - Operating Rule Set 181.4

KAP-181.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-181.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-181.4.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure F-15.

KAP-181.4.4 The Risk Management Department shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-181.4.5 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/151 and that compliance is certified every quarter.

KAP-181.4.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-181.4.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-181.4.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-181.4.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-181.4.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 181.5 Customer Acceptance - Operating Rule Set 181.5

KAP-181.5.1 The Operations Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Document Management system.

KAP-181.5.2 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure H-23.

KAP-181.5.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-181.5.4 Cases involving video-KYC sessions with an exposure above Rs. 243 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.11.

KAP-181.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 146 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.26.

KAP-181.5.6 The Regional Credit Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Case Management system.

KAP-181.5.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure A-26.

KAP-181.5.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

KAP-181.5.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

PART 16 - CHAPTER 182: CUSTOMER IDENTIFICATION

Section 182.1 Customer Identification - Operating Rule Set 182.1

KAP-182.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-182.1.2 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/230 and that compliance is certified every quarter.

KAP-182.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-182.1.4 The Zonal Head shall review PEP screening results within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-182.1.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-182.1.6 The Zonal Head shall review address proofs within 8 working days of receipt and record the outcome in the Document Management system.

KAP-182.1.7 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-182.1.8 The Compliance Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-182.1.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-182.1.10 Cases involving risk-rating files with an exposure above Rs. 337 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.11.

KAP-182.1.11 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/159 and that compliance is certified every quarter.

KAP-182.1.12 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure E-34.

Section 182.2 Customer Identification - Operating Rule Set 182.2

KAP-182.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-182.2.2 Cases involving identity documents with an exposure above Rs. 197 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.18.

KAP-182.2.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure E-14.

KAP-182.2.4 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-182.2.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/270 and that compliance is certified every quarter.

KAP-182.2.6 The Operations Head shall review address proofs within 16 working days of receipt and record the outcome in the Case Management system.

KAP-182.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-182.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 132 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.11.

KAP-182.2.9 Cases involving cash transaction reports with an exposure above Rs. 411 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.16.

KAP-182.2.10 The Risk Management Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-182.2.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 182.3 Customer Identification - Operating Rule Set 182.3

KAP-182.3.1 The Operations Head shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-182.3.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-182.3.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk

Management Department within 10 working days, with the supporting documents listed in Annexure G-40.

KAP-182.3.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-182.3.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-182.3.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-182.3.7 The Operations Head shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-182.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-182.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

Section 182.4 Customer Identification - Operating Rule Set 182.4

KAP-182.4.1 The Branch Manager shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-182.4.2 In case of a request for exception, the Credit Committee must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure B-10.

KAP-182.4.3 The Regional Credit Officer shall review identity documents within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-182.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-182.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-182.4.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/298 and that compliance is certified every quarter.

KAP-182.4.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/241 and that compliance is certified every quarter.

KAP-182.4.8 Cases involving video-KYC sessions with an exposure above Rs. 351 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.6.

KAP-182.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-182.4.10 Cases involving account-opening forms with an exposure above Rs. 27 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.4.

KAP-182.4.11 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure D-18.

KAP-182.4.12 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure E-4.

KAP-182.4.13 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 182.5 Customer Identification - Operating Rule Set 182.5

KAP-182.5.1 Cases involving address proofs with an exposure above Rs. 295 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.14.

KAP-182.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-182.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-182.5.4 The Regional Credit Officer shall review account-opening forms within 21 working days of receipt and record the outcome in the Document Management system.

KAP-182.5.5 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure F-16.

KAP-182.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-182.5.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/291 and that compliance is certified every quarter.

KAP-182.5.8 Cases involving cash transaction reports with an exposure above Rs. 318 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.14.

KAP-182.5.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 3 days written notice.

PART 16 - CHAPTER 183: CUSTOMER DUE DILIGENCE

Section 183.1 Customer Due Diligence - Operating Rule Set 183.1

KAP-183.1.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-183.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-183.1.3 Cases involving risk-rating files with an exposure above Rs. 473 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.16.

KAP-183.1.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/102 and that compliance is certified every quarter.

KAP-183.1.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-183.1.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-183.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-183.1.8 Cases involving PEP screening results with an exposure above Rs. 479 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.11.

KAP-183.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-183.1.10 Cases involving cash transaction reports with an exposure above Rs. 336 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.21.

KAP-183.1.11 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure E-36.

KAP-183.1.12 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

Section 183.2 Customer Due Diligence - Operating Rule Set 183.2

KAP-183.2.1 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/106 and that compliance is certified every quarter.

KAP-183.2.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-183.2.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-183.2.4 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-183.2.5 The Compliance Officer shall review address proofs within 5 working days of receipt and record the outcome in the Document Management system.

KAP-183.2.6 Cases involving PEP screening results with an exposure above Rs. 467 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.24.

KAP-183.2.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-16.

KAP-183.2.8 The Regional Credit Officer shall review identity documents within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-183.2.9 The Credit Committee shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

Section 183.3 Customer Due Diligence - Operating Rule Set 183.3

KAP-183.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 109 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.24.

KAP-183.3.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure C-26.

KAP-183.3.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/079 and that compliance is certified every quarter.

KAP-183.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-183.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-183.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-183.3.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-183.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-183.3.9 The Compliance Officer shall review risk-rating files within 17 working days of receipt and record the outcome in the Case Management system.

KAP-183.3.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-183.3.11 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure G-32.

Section 183.4 Customer Due Diligence - Operating Rule Set 183.4

KAP-183.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-183.4.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure B-8.

KAP-183.4.3 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Case Management system.

KAP-183.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-183.4.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/263 and that compliance is certified every quarter.

KAP-183.4.6 Cases involving video-KYC sessions with an exposure above Rs. 193 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.30.

KAP-183.4.7 The Risk Management Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Document Management system.

KAP-183.4.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure E-15.

Section 183.5 Customer Due Diligence - Operating Rule Set 183.5

KAP-183.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-183.5.2 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-183.5.3 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-183.5.4 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-183.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-183.5.6 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-183.5.7 Cases involving video-KYC sessions with an exposure above Rs. 198 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.15.

KAP-183.5.8 Cases involving identity documents with an exposure above Rs. 141 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.12.

KAP-183.5.9 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-183.5.10 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 183.6 Customer Due Diligence - Operating Rule Set 183.6

KAP-183.6.1 Cases involving beneficial-owner declarations with an exposure above Rs. 169 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.10.

KAP-183.6.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-183.6.3 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-183.6.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-183.6.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-183.6.6 Cases involving PEP screening results with an exposure above Rs. 59 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.11.

KAP-183.6.7 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-183.6.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-183.6.9 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

PART 16 - CHAPTER 184: ENHANCED DUE DILIGENCE

Section 184.1 Enhanced Due Diligence - Operating Rule Set 184.1

KAP-184.1.1 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/280 and that compliance is certified every quarter.

KAP-184.1.2 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-184.1.3 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure F-32.

KAP-184.1.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-184.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 394 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.19.

KAP-184.1.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-184.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-184.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-184.1.9 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 184.2 Enhanced Due Diligence - Operating Rule Set 184.2

KAP-184.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-184.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-184.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 197 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.8.

KAP-184.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-184.2.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure B-4.

KAP-184.2.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-184.2.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/091 and that compliance is certified every quarter.

KAP-184.2.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-184.2.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-184.2.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-184.2.11 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 184.3 Enhanced Due Diligence - Operating Rule Set 184.3

KAP-184.3.1 Cases involving video-KYC sessions with an exposure above Rs. 230 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.15.

KAP-184.3.2 Cases involving identity documents with an exposure above Rs. 191 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.27.

KAP-184.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-184.3.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/051 and that compliance is certified every quarter.

KAP-184.3.5 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-184.3.6 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-184.3.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/231 and that compliance is certified every quarter.

KAP-184.3.8 The Branch Manager shall review address proofs within 30 working days of receipt and record the outcome in the Customer Relationship system.

Section 184.4 Enhanced Due Diligence - Operating Rule Set 184.4

KAP-184.4.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-184.4.2 Cases involving beneficial-owner declarations with an exposure above Rs. 240 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.27.

KAP-184.4.3 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-184.4.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-184.4.5 The Regional Credit Officer shall review PEP screening results within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-184.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-184.4.7 The Compliance Officer shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-184.4.8 The Audit Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Case Management system.

KAP-184.4.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure G-6.

KAP-184.4.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-184.4.11 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/054 and that compliance is certified every quarter.

Section 184.5 Enhanced Due Diligence - Operating Rule Set 184.5

KAP-184.5.1 Cases involving correspondent-bank relationships with an exposure above Rs. 343 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.28.

KAP-184.5.2 The Audit Department shall review cash transaction reports within 6 working days of receipt and record the outcome in the Document Management system.

KAP-184.5.3 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-184.5.4 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-184.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-184.5.6 The Operations Head shall review risk-rating files within 2 working days of receipt and record the outcome in the Case Management system.

KAP-184.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-184.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-184.5.9 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

PART 16 - CHAPTER 185: RISK CATEGORISATION

Section 185.1 Risk Categorisation - Operating Rule Set 185.1

KAP-185.1.1 The Operations Head shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Document Management system.

KAP-185.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-185.1.3 The Regional Credit Officer shall review cash transaction reports within 14 working days of receipt and record the outcome in the Case Management system.

KAP-185.1.4 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-185.1.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure E-22.

KAP-185.1.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-185.1.7 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure C-28.

KAP-185.1.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure A-33.

KAP-185.1.9 The Compliance Officer shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Case Management system.

KAP-185.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 185.2 Risk Categorisation - Operating Rule Set 185.2

KAP-185.2.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure F-15.

KAP-185.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 58 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.18.

KAP-185.2.3 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure F-4.

KAP-185.2.4 The Operations Head shall review PEP screening results within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-185.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-185.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-185.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-185.2.8 Cases involving cash transaction reports with an exposure above Rs. 182 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.5.

KAP-185.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-185.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-185.2.11 The Regional Credit Officer shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-185.2.12 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure H-14.

Section 185.3 Risk Categorisation - Operating Rule Set 185.3

KAP-185.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-185.3.2 Cases involving identity documents with an exposure above Rs. 471 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.24.

KAP-185.3.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure H-40.

KAP-185.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-185.3.5 The Regional Credit Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-185.3.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-185.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-185.3.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-185.3.9 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/238 and that compliance is certified every quarter.

Section 185.4 Risk Categorisation - Operating Rule Set 185.4

KAP-185.4.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-185.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-185.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-185.4.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

KAP-185.4.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/283 and that compliance is certified every quarter.

KAP-185.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-185.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-185.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

PART 16 - CHAPTER 186: TRANSACTION MONITORING

Section 186.1 Transaction Monitoring - Operating Rule Set 186.1

KAP-186.1.1 Cases involving identity documents with an exposure above Rs. 482 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.17.

KAP-186.1.2 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-186.1.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure E-37.

KAP-186.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-186.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-186.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-186.1.7 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/135 and that compliance is certified every quarter.

KAP-186.1.8 The Branch Manager shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Case Management system.

Section 186.2 Transaction Monitoring - Operating Rule Set 186.2

KAP-186.2.1 Cases involving identity documents with an exposure above Rs. 384 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.6.

KAP-186.2.2 Cases involving cash transaction reports with an exposure above Rs. 489 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.4.

KAP-186.2.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-186.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-186.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-186.2.6 Cases involving risk-rating files with an exposure above Rs. 372 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.17.

KAP-186.2.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure D-32.

KAP-186.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-186.2.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-186.2.10 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/153 and that compliance is certified every quarter.

Section 186.3 Transaction Monitoring - Operating Rule Set 186.3

KAP-186.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-186.3.2 Cases involving address proofs with an exposure above Rs. 357 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.27.

KAP-186.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-186.3.4 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/179 and that compliance is certified every quarter.

KAP-186.3.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-186.3.6 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-186.3.7 The Zonal Head shall review address proofs within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-186.3.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure C-8.

KAP-186.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-186.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 156 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.22.

KAP-186.3.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 186.4 Transaction Monitoring - Operating Rule Set 186.4

KAP-186.4.1 Cases involving video-KYC sessions with an exposure above Rs. 165 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.5.

KAP-186.4.2 Cases involving address proofs with an exposure above Rs. 454 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.7.

KAP-186.4.3 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure B-23.

KAP-186.4.4 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure F-8.

KAP-186.4.5 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/026 and that compliance is certified every quarter.

KAP-186.4.6 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-186.4.7 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-186.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 199 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.6.

KAP-186.4.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-186.4.10 Cases involving video-KYC sessions with an exposure above Rs. 26 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.22.

Section 186.5 Transaction Monitoring - Operating Rule Set 186.5

KAP-186.5.1 The Compliance Officer shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-186.5.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure D-27.

KAP-186.5.3 The Risk Management Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-186.5.4 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure D-1.

KAP-186.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-186.5.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-186.5.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/005 and that compliance is certified every quarter.

KAP-186.5.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-186.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-186.5.10 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure E-12.

KAP-186.5.11 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure B-40.

KAP-186.5.12 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/189 and that compliance is certified every quarter.

Section 186.6 Transaction Monitoring - Operating Rule Set 186.6

KAP-186.6.1 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-186.6.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-186.6.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure G-8.

KAP-186.6.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-186.6.5 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure G-20.

KAP-186.6.6 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-186.6.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-186.6.8 The Audit Department shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-186.6.9 Cases involving risk-rating files with an exposure above Rs. 169 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.17.

PART 16 - CHAPTER 187: SUSPICIOUS TRANSACTION REPORTING

Section 187.1 Suspicious Transaction Reporting - Operating Rule Set 187.1

KAP-187.1.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/165 and that compliance is certified every quarter.

KAP-187.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 185 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.29.

KAP-187.1.3 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-187.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-187.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-187.1.6 The Audit Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Case Management system.

KAP-187.1.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/119 and that compliance is certified every quarter.

KAP-187.1.8 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-187.1.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-187.1.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-187.1.11 Cases involving cash transaction reports with an exposure above Rs. 222 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.23.

Section 187.2 Suspicious Transaction Reporting - Operating Rule Set 187.2

KAP-187.2.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/194 and that compliance is certified every quarter.

KAP-187.2.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure C-21.

KAP-187.2.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure F-16.

KAP-187.2.4 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-187.2.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure D-3.

KAP-187.2.6 The Risk Management Department shall review risk-rating files within 20 working days of receipt and record the outcome in the Case Management system.

KAP-187.2.7 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure D-22.

KAP-187.2.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-187.2.9 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/165 and that compliance is certified every quarter.

Section 187.3 Suspicious Transaction Reporting - Operating Rule Set 187.3

KAP-187.3.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/278 and that compliance is certified every quarter.

KAP-187.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-187.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-187.3.4 The Branch Manager shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-187.3.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-187.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-187.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-187.3.8 The Compliance Officer shall review account-opening forms within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-187.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-187.3.10 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 187.4 Suspicious Transaction Reporting - Operating Rule Set 187.4

KAP-187.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-187.4.2 Cases involving risk-rating files with an exposure above Rs. 326 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.2.

KAP-187.4.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-187.4.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-187.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-187.4.6 Cases involving address proofs with an exposure above Rs. 423 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.16.

KAP-187.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-187.4.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-187.4.9 Cases involving risk-rating files with an exposure above Rs. 124 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.1.

KAP-187.4.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/023 and that compliance is certified every quarter.

Section 187.5 Suspicious Transaction Reporting - Operating Rule Set 187.5

KAP-187.5.1 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/198 and that compliance is certified every quarter.

KAP-187.5.2 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-187.5.3 The Branch Manager shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-187.5.4 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure G-1.

KAP-187.5.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-187.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-187.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-187.5.8 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-187.5.9 The Branch Manager shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Document Management system.

PART 16 - CHAPTER 188: POLITICALLY EXPOSED PERSONS

Section 188.1 Politically Exposed Persons - Operating Rule Set 188.1

KAP-188.1.1 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-188.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-188.1.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/035 and that compliance is certified every quarter.

KAP-188.1.4 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure B-14.

KAP-188.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-188.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-188.1.7 The Compliance Officer shall review identity documents within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-188.1.8 The Regional Credit Officer shall review PEP screening results within 21 working days of receipt and record the outcome in the Case Management system.

KAP-188.1.9 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure F-37.

KAP-188.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

Section 188.2 Politically Exposed Persons - Operating Rule Set 188.2

KAP-188.2.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-188.2.2 Cases involving video-KYC sessions with an exposure above Rs. 383 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.15.

KAP-188.2.3 Cases involving address proofs with an exposure above Rs. 46 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.1.

KAP-188.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-188.2.5 The Branch Manager shall review cash transaction reports within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-188.2.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure A-22.

KAP-188.2.7 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-188.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-188.2.9 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure G-15.

KAP-188.2.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 112 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.3.

KAP-188.2.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

Section 188.3 Politically Exposed Persons - Operating Rule Set 188.3

KAP-188.3.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-188.3.2 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure A-11.

KAP-188.3.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure C-4.

KAP-188.3.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/070 and that compliance is certified every quarter.

KAP-188.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 53 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.5.

KAP-188.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-188.3.7 The Operations Head shall review account-opening forms within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-188.3.8 The Risk Management Department shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Case Management system.

Section 188.4 Politically Exposed Persons - Operating Rule Set 188.4

KAP-188.4.1 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure E-23.

KAP-188.4.2 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/008 and that compliance is certified every quarter.

KAP-188.4.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure A-18.

KAP-188.4.4 The Zonal Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-188.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-188.4.6 The Regional Credit Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Document Management system.

KAP-188.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-188.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-188.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-188.4.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

PART 16 - CHAPTER 189: BENEFICIAL OWNERSHIP

Section 189.1 Beneficial Ownership - Operating Rule Set 189.1

KAP-189.1.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/157 and that compliance is certified every quarter.

KAP-189.1.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure D-9.

KAP-189.1.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-189.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-189.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 309 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.30.

KAP-189.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 113 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.26.

KAP-189.1.7 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/231 and that compliance is certified every quarter.

KAP-189.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-189.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 189.2 Beneficial Ownership - Operating Rule Set 189.2

KAP-189.2.1 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/024 and that compliance is certified every quarter.

KAP-189.2.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-19.

KAP-189.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-189.2.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure D-1.

KAP-189.2.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure E-35.

KAP-189.2.6 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure H-8.

KAP-189.2.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure D-3.

KAP-189.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-189.2.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-189.2.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-189.2.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

Section 189.3 Beneficial Ownership - Operating Rule Set 189.3

KAP-189.3.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure F-5.

KAP-189.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-189.3.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure A-2.

KAP-189.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-189.3.5 Cases involving risk-rating files with an exposure above Rs. 438 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.29.

KAP-189.3.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-189.3.7 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-189.3.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure B-21.

KAP-189.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 330 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.14.

KAP-189.3.10 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Customer Relationship system.

Section 189.4 Beneficial Ownership - Operating Rule Set 189.4

KAP-189.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-189.4.2 The Zonal Head shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-189.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-189.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-189.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-189.4.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-189.4.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-189.4.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure F-22.

KAP-189.4.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the

6th day of the following month.

KAP-189.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-189.4.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-189.4.12 The Zonal Head shall review PEP screening results within 11 working days of receipt and record the outcome in the Customer Relationship system.

PART 16 - CHAPTER 190: RECORD KEEPING

Section 190.1 Record Keeping - Operating Rule Set 190.1

KAP-190.1.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-190.1.2 Cases involving PEP screening results with an exposure above Rs. 15 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.17.

KAP-190.1.3 The Risk Management Department shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-190.1.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-190.1.5 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-190.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-190.1.7 The Compliance Officer shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-190.1.8 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Case Management system.

KAP-190.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-190.1.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-190.1.11 The Regional Credit Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Core Banking system.

Section 190.2 Record Keeping - Operating Rule Set 190.2

KAP-190.2.1 The Branch Manager shall review risk-rating files within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-190.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-190.2.3 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-190.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-18.

KAP-190.2.5 The Credit Committee shall review cash transaction reports within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-190.2.6 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-190.2.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-190.2.8 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/261 and that compliance is certified every quarter.

KAP-190.2.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 10 days written notice.

Section 190.3 Record Keeping - Operating Rule Set 190.3

KAP-190.3.1 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-190.3.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-190.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-190.3.4 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-190.3.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-190.3.6 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-190.3.7 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-190.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-190.3.9 The Branch Manager shall review PEP screening results within 7 working days of receipt and record the outcome in the Loan Origination system.

Section 190.4 Record Keeping - Operating Rule Set 190.4

KAP-190.4.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-190.4.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-190.4.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-190.4.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-190.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-190.4.6 The Operations Head shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-190.4.7 Cases involving account-opening forms with an exposure above Rs. 324 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.27.

KAP-190.4.8 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-190.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-190.4.10 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

Section 190.5 Record Keeping - Operating Rule Set 190.5

KAP-190.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-190.5.2 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-190.5.3 Cases involving cash transaction reports with an exposure above Rs. 158 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.16.

KAP-190.5.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure F-17.

KAP-190.5.5 Cases involving address proofs with an exposure above Rs. 190 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.12.

KAP-190.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made

available to the Board Audit Committee on request.

KAP-190.5.7 Cases involving cash transaction reports with an exposure above Rs. 482 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.7.

KAP-190.5.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 190.6 Record Keeping - Operating Rule Set 190.6

KAP-190.6.1 Cases involving address proofs with an exposure above Rs. 230 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.23.

KAP-190.6.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure E-14.

KAP-190.6.3 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-190.6.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-190.6.5 Cases involving correspondent-bank relationships with an exposure above Rs. 264 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.11.

KAP-190.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-190.6.7 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/042 and that compliance is certified every quarter.

KAP-190.6.8 Cases involving risk-rating files with an exposure above Rs. 332 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.2.

KAP-190.6.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-190.6.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure F-1.

KAP-190.6.11 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/001 and that compliance is certified every quarter.

KAP-190.6.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

PART 16 - CHAPTER 191: STAFF TRAINING

Section 191.1 Staff Training - Operating Rule Set 191.1

KAP-191.1.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-191.1.2 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-191.1.3 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure A-17.

KAP-191.1.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/202 and that compliance is certified every quarter.

KAP-191.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-191.1.6 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/058 and that compliance is certified every quarter.

KAP-191.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-191.1.8 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure E-5.

KAP-191.1.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 191.2 Staff Training - Operating Rule Set 191.2

KAP-191.2.1 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-191.2.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-191.2.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure C-19.

KAP-191.2.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/212 and that compliance is certified every quarter.

KAP-191.2.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-6.

KAP-191.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-191.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-191.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-191.2.9 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/130 and that compliance is certified every quarter.

KAP-191.2.10 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/232 and that compliance is certified every quarter.

Section 191.3 Staff Training - Operating Rule Set 191.3

KAP-191.3.1 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-191.3.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure G-28.

KAP-191.3.3 Cases involving risk-rating files with an exposure above Rs. 166 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.3.

KAP-191.3.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure A-36.

KAP-191.3.5 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/172 and that compliance is certified every quarter.

KAP-191.3.6 The Audit Department shall review risk-rating files within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-191.3.7 Cases involving risk-rating files with an exposure above Rs. 251 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.18.

KAP-191.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-191.3.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure G-25.

Section 191.4 Staff Training - Operating Rule Set 191.4

KAP-191.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-191.4.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-191.4.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/180 and that compliance is certified every quarter.

KAP-191.4.4 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/150 and that compliance is certified every quarter.

KAP-191.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-191.4.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after

giving the customer 13 days written notice.

KAP-191.4.7 The Branch Manager shall review account-opening forms within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-191.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-191.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

PART 16 - CHAPTER 192: INDEPENDENT AUDIT

Section 192.1 Independent Audit - Operating Rule Set 192.1

KAP-192.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-192.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-192.1.3 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-192.1.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-192.1.5 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-192.1.6 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure B-38.

KAP-192.1.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-192.1.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/147 and that compliance is certified every quarter.

KAP-192.1.9 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 192.2 Independent Audit - Operating Rule Set 192.2

KAP-192.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-192.2.2 The Audit Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Document Management system.

KAP-192.2.3 The Operations Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-192.2.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-192.2.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-192.2.6 The Regional Credit Officer shall review address proofs within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-192.2.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-192.2.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-192.2.9 The Branch Manager shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Case Management system.

KAP-192.2.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-192.2.11 The Compliance Officer shall review identity documents within 17 working days of receipt and record the outcome in the Risk Engine system.

Section 192.3 Independent Audit - Operating Rule Set 192.3

KAP-192.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-192.3.2 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-192.3.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-192.3.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-192.3.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/036 and that compliance is certified every quarter.

KAP-192.3.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-192.3.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-192.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-192.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-192.3.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/251 and that compliance is certified every quarter.

Section 192.4 Independent Audit - Operating Rule Set 192.4

KAP-192.4.1 Cases involving identity documents with an exposure above Rs. 321 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.8.

KAP-192.4.2 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-192.4.3 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-192.4.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-192.4.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-192.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-192.4.7 Cases involving PEP screening results with an exposure above Rs. 357 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.14.

KAP-192.4.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-192.4.9 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-192.4.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 192.5 Independent Audit - Operating Rule Set 192.5

KAP-192.5.1 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-192.5.2 Cases involving correspondent-bank relationships with an exposure above Rs. 498 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.6.

KAP-192.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 275 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.3.

KAP-192.5.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-40.

KAP-192.5.5 The Audit Department shall review beneficial-owner declarations within 16 working days of receipt and record

the outcome in the Loan Origination system.

KAP-192.5.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/015 and that compliance is certified every quarter.

KAP-192.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-192.5.8 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-192.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 434 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.5.

Section 192.6 Independent Audit - Operating Rule Set 192.6

KAP-192.6.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-192.6.2 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure F-36.

KAP-192.6.3 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-192.6.4 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/050 and that compliance is certified every quarter.

KAP-192.6.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure F-37.

KAP-192.6.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-192.6.7 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-192.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-192.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-192.6.10 Cases involving video-KYC sessions with an exposure above Rs. 296 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.22.

Section 192.7 Independent Audit - Operating Rule Set 192.7

KAP-192.7.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-192.7.2 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-192.7.3 The Credit Committee shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-192.7.4 Cases involving address proofs with an exposure above Rs. 88 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.30.

KAP-192.7.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-192.7.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure D-22.

KAP-192.7.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/066 and that compliance is certified every quarter.

KAP-192.7.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-192.7.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-192.7.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-192.7.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

PART 17 - CHAPTER 193: CUSTOMER ACCEPTANCE

Section 193.1 Customer Acceptance - Operating Rule Set 193.1

KAP-193.1.1 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-193.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-193.1.3 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure D-38.

KAP-193.1.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-193.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-193.1.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-193.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-193.1.8 The Audit Department shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

Section 193.2 Customer Acceptance - Operating Rule Set 193.2

KAP-193.2.1 The Regional Credit Officer shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-193.2.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-193.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-193.2.4 Cases involving address proofs with an exposure above Rs. 258 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.27.

KAP-193.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-193.2.6 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-193.2.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-193.2.8 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-193.2.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-193.2.10 Cases involving beneficial-owner declarations with an exposure above Rs. 426 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.20.

KAP-193.2.11 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure B-35.

KAP-193.2.12 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-193.2.13 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/235 and that compliance is certified every quarter.

KAP-193.2.14 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 193.3 Customer Acceptance - Operating Rule Set 193.3

KAP-193.3.1 The Credit Committee shall review risk-rating files within 29 working days of receipt and record the outcome in

the Loan Origination system.

KAP-193.3.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/227 and that compliance is certified every quarter.

KAP-193.3.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure E-11.

KAP-193.3.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

KAP-193.3.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-193.3.6 The Audit Department shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-193.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-193.3.8 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 193.4 Customer Acceptance - Operating Rule Set 193.4

KAP-193.4.1 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-193.4.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-193.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-193.4.4 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure F-28.

KAP-193.4.5 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure C-31.

KAP-193.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-193.4.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/159 and that compliance is certified every quarter.

KAP-193.4.8 Cases involving address proofs with an exposure above Rs. 25 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.18.

KAP-193.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-193.4.10 The Zonal Head shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-193.4.11 The Compliance Officer shall review address proofs within 13 working days of receipt and record the outcome in the Customer Relationship system.

Section 193.5 Customer Acceptance - Operating Rule Set 193.5

KAP-193.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-193.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-193.5.3 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-193.5.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-193.5.5 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-193.5.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/028 and that compliance is certified every quarter.

KAP-193.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-193.5.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/148 and that compliance is certified every quarter.

KAP-193.5.9 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-193.5.10 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/246 and that compliance is certified every quarter.

KAP-193.5.11 The Credit Committee shall review address proofs within 10 working days of receipt and record the outcome in the Core Banking system.

PART 17 - CHAPTER 194: CUSTOMER IDENTIFICATION

Section 194.1 Customer Identification - Operating Rule Set 194.1

KAP-194.1.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-194.1.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-194.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 230 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.13.

KAP-194.1.4 Cases involving address proofs with an exposure above Rs. 498 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.7.

KAP-194.1.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-194.1.6 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure D-25.

KAP-194.1.7 The Audit Department shall review address proofs within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-194.1.8 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/300 and that compliance is certified every quarter.

KAP-194.1.9 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure H-3.

Section 194.2 Customer Identification - Operating Rule Set 194.2

KAP-194.2.1 The Audit Department shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Case Management system.

KAP-194.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-194.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-194.2.4 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-194.2.5 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-194.2.6 The Operations Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Document Management system.

KAP-194.2.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-194.2.8 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-194.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-194.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 194.3 Customer Identification - Operating Rule Set 194.3

KAP-194.3.1 The Credit Committee shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Case Management system.

KAP-194.3.2 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/070 and that compliance is certified every quarter.

KAP-194.3.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure A-32.

KAP-194.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 124 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.30.

KAP-194.3.5 The Audit Department shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-194.3.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-194.3.7 The Operations Head shall review cash transaction reports within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-194.3.8 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/030 and that compliance is certified every quarter.

KAP-194.3.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-194.3.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-194.3.11 The Credit Committee shall review address proofs within 16 working days of receipt and record the outcome in the Document Management system.

KAP-194.3.12 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure A-39.

Section 194.4 Customer Identification - Operating Rule Set 194.4

KAP-194.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-194.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 193 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.20.

KAP-194.4.3 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-194.4.4 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-194.4.5 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/195 and that compliance is certified every quarter.

KAP-194.4.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-194.4.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure A-2.

KAP-194.4.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/172 and that compliance is certified every quarter.

KAP-194.4.9 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/027 and that compliance is certified every quarter.

KAP-194.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-194.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

Section 194.5 Customer Identification - Operating Rule Set 194.5

KAP-194.5.1 The Operations Head shall review risk-rating files within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-194.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-194.5.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-194.5.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/074 and that compliance is certified every quarter.

KAP-194.5.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-194.5.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/212 and that compliance is certified every quarter.

KAP-194.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-194.5.8 Cases involving account-opening forms with an exposure above Rs. 62 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.13.

KAP-194.5.9 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure G-18.

KAP-194.5.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

PART 17 - CHAPTER 195: CUSTOMER DUE DILIGENCE

Section 195.1 Customer Due Diligence - Operating Rule Set 195.1

KAP-195.1.1 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure H-28.

KAP-195.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-195.1.3 Cases involving risk-rating files with an exposure above Rs. 265 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.19.

KAP-195.1.4 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/040 and that compliance is certified every quarter.

KAP-195.1.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-195.1.6 The Audit Department shall review identity documents within 10 working days of receipt and record the outcome in the Document Management system.

KAP-195.1.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/217 and that compliance is certified every quarter.

KAP-195.1.8 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-195.1.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 195.2 Customer Due Diligence - Operating Rule Set 195.2

KAP-195.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-195.2.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-195.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 289 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.29.

KAP-195.2.4 The Credit Committee shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Document Management system.

KAP-195.2.5 Cases involving cash transaction reports with an exposure above Rs. 71 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.4.

KAP-195.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-195.2.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-195.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-195.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-195.2.10 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure E-20.

Section 195.3 Customer Due Diligence - Operating Rule Set 195.3

KAP-195.3.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/055 and that compliance is certified every quarter.

KAP-195.3.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure A-16.

KAP-195.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-195.3.4 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-195.3.5 The Risk Management Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-195.3.6 Cases involving risk-rating files with an exposure above Rs. 153 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.15.

KAP-195.3.7 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/014 and that compliance is certified every quarter.

KAP-195.3.8 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/036 and that compliance is certified every quarter.

KAP-195.3.9 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-195.3.10 The Zonal Head shall review risk-rating files within 17 working days of receipt and record the outcome in the Case Management system.

Section 195.4 Customer Due Diligence - Operating Rule Set 195.4

KAP-195.4.1 In case of a system outage, the Audit Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure G-11.

KAP-195.4.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

KAP-195.4.3 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

KAP-195.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-195.4.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/134 and that compliance is certified every quarter.

KAP-195.4.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/290 and that compliance is certified every quarter.

KAP-195.4.7 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure H-32.

KAP-195.4.8 Cases involving PEP screening results with an exposure above Rs. 116 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.6.

KAP-195.4.9 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Risk Engine system.

Section 195.5 Customer Due Diligence - Operating Rule Set 195.5

KAP-195.5.1 The Audit Department shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Document Management system.

KAP-195.5.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/241 and that compliance is certified every quarter.

KAP-195.5.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/211 and that compliance is certified every quarter.

KAP-195.5.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure G-10.

KAP-195.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-195.5.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-195.5.7 The Regional Credit Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-195.5.8 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/148 and that compliance is certified every quarter.

KAP-195.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 364 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.4.

KAP-195.5.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

PART 17 - CHAPTER 196: ENHANCED DUE DILIGENCE

Section 196.1 Enhanced Due Diligence - Operating Rule Set 196.1

KAP-196.1.1 The Zonal Head shall review PEP screening results within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-196.1.2 The Compliance Officer shall review risk-rating files within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-196.1.3 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/054 and that compliance is certified every quarter.

KAP-196.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-196.1.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-196.1.6 Cases involving cash transaction reports with an exposure above Rs. 44 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.10.

KAP-196.1.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-196.1.8 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-196.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-196.1.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

Section 196.2 Enhanced Due Diligence - Operating Rule Set 196.2

KAP-196.2.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-196.2.2 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/180 and that compliance is certified every quarter.

KAP-196.2.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-196.2.4 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-196.2.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-196.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-196.2.7 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure F-7.

KAP-196.2.8 The Credit Committee shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-196.2.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 23 days written notice.

Section 196.3 Enhanced Due Diligence - Operating Rule Set 196.3

KAP-196.3.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/263 and that compliance is certified every quarter.

KAP-196.3.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-196.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-196.3.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-36.

KAP-196.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-196.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-196.3.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-196.3.8 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-196.3.9 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure G-8.

Section 196.4 Enhanced Due Diligence - Operating Rule Set 196.4

KAP-196.4.1 Cases involving video-KYC sessions with an exposure above Rs. 230 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.11.

KAP-196.4.2 Cases involving video-KYC sessions with an exposure above Rs. 156 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.19.

KAP-196.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-196.4.4 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/059 and that compliance is certified every quarter.

KAP-196.4.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-196.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-196.4.7 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-196.4.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-196.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 370 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.18.

Section 196.5 Enhanced Due Diligence - Operating Rule Set 196.5

KAP-196.5.1 Cases involving address proofs with an exposure above Rs. 486 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.22.

KAP-196.5.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-196.5.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-196.5.4 Cases involving cash transaction reports with an exposure above Rs. 439 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.24.

KAP-196.5.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure H-28.

KAP-196.5.6 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/210 and that compliance is certified every quarter.

KAP-196.5.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure H-26.

KAP-196.5.8 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-196.5.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-196.5.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

PART 17 - CHAPTER 197: RISK CATEGORISATION

Section 197.1 Risk Categorisation - Operating Rule Set 197.1

KAP-197.1.1 Cases involving cash transaction reports with an exposure above Rs. 21 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.17.

KAP-197.1.2 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure C-2.

KAP-197.1.3 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-197.1.4 Cases involving correspondent-bank relationships with an exposure above Rs. 284 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.1.

KAP-197.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-197.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-197.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-197.1.8 The Credit Committee shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Risk Engine system.

Section 197.2 Risk Categorisation - Operating Rule Set 197.2

KAP-197.2.1 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-197.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-197.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 84 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.13.

KAP-197.2.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-197.2.5 The Operations Head shall review PEP screening results within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-197.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-197.2.7 Cases involving address proofs with an exposure above Rs. 202 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.30.

KAP-197.2.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-197.2.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-197.2.10 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-197.2.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 197.3 Risk Categorisation - Operating Rule Set 197.3

KAP-197.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-197.3.2 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-197.3.3 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-197.3.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure F-37.

KAP-197.3.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-197.3.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure E-33.

KAP-197.3.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-197.3.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-197.3.9 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/256 and that compliance is certified every quarter.

KAP-197.3.10 The Zonal Head shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-197.3.11 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-197.3.12 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-197.3.13 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure E-9.

Section 197.4 Risk Categorisation - Operating Rule Set 197.4

KAP-197.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-197.4.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/253 and that compliance is certified every quarter.

KAP-197.4.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-197.4.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure B-18.

KAP-197.4.5 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-197.4.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure G-35.

KAP-197.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-197.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-197.4.9 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2022/033 and that compliance is certified every quarter.

Section 197.5 Risk Categorisation - Operating Rule Set 197.5

KAP-197.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-197.5.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-197.5.3 The Risk Management Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Document Management system.

KAP-197.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-197.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-197.5.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-197.5.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-197.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-197.5.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/043 and that compliance is certified every quarter.

KAP-197.5.10 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure C-12.

Section 197.6 Risk Categorisation - Operating Rule Set 197.6

KAP-197.6.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-197.6.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure A-30.

KAP-197.6.3 Cases involving video-KYC sessions with an exposure above Rs. 235 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.16.

KAP-197.6.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure F-5.

KAP-197.6.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/285 and that compliance is certified every quarter.

KAP-197.6.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-197.6.7 The Risk Management Department shall review PEP screening results within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-197.6.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure C-22.

KAP-197.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-197.6.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-197.6.11 Cases involving correspondent-bank relationships with an exposure above Rs. 151 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.14.

PART 17 - CHAPTER 198: TRANSACTION MONITORING

Section 198.1 Transaction Monitoring - Operating Rule Set 198.1

KAP-198.1.1 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/054 and that compliance is certified every quarter.

KAP-198.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-198.1.3 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-34.

KAP-198.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-198.1.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure H-29.

KAP-198.1.6 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-198.1.7 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-198.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-198.1.9 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/034 and that compliance is certified every quarter.

Section 198.2 Transaction Monitoring - Operating Rule Set 198.2

KAP-198.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-198.2.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/296 and that compliance is certified every quarter.

KAP-198.2.3 Cases involving identity documents with an exposure above Rs. 261 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.3.

KAP-198.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-198.2.5 Cases involving identity documents with an exposure above Rs. 176 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.28.

KAP-198.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-198.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-198.2.8 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 198.3 Transaction Monitoring - Operating Rule Set 198.3

KAP-198.3.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-198.3.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-198.3.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-198.3.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/147 and that compliance is certified every quarter.

KAP-198.3.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure A-19.

KAP-198.3.6 Cases involving beneficial-owner declarations with an exposure above Rs. 133 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.24.

KAP-198.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-198.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-198.3.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-198.3.10 The Risk Management Department shall review video-KYC sessions within 25 working days of receipt and

record the outcome in the Customer Relationship system.

KAP-198.3.11 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-198.3.12 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/087 and that compliance is certified every quarter.

Section 198.4 Transaction Monitoring - Operating Rule Set 198.4

KAP-198.4.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/073 and that compliance is certified every quarter.

KAP-198.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-198.4.3 The Branch Manager shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-198.4.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-198.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-198.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-198.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-198.4.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/176 and that compliance is certified every quarter.

KAP-198.4.9 Cases involving video-KYC sessions with an exposure above Rs. 140 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.18.

Section 198.5 Transaction Monitoring - Operating Rule Set 198.5

KAP-198.5.1 The Credit Committee shall review identity documents within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-198.5.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-198.5.3 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-198.5.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-198.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-198.5.6 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-198.5.7 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure F-23.

KAP-198.5.8 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure H-1.

Section 198.6 Transaction Monitoring - Operating Rule Set 198.6

KAP-198.6.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-198.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-198.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-198.6.4 The Compliance Officer shall review PEP screening results within 14 working days of receipt and record the outcome in the Document Management system.

KAP-198.6.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations

Head within 29 working days, with the supporting documents listed in Annexure D-29.

KAP-198.6.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-198.6.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-198.6.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

PART 17 - CHAPTER 199: SUSPICIOUS TRANSACTION REPORTING

Section 199.1 Suspicious Transaction Reporting - Operating Rule Set 199.1

KAP-199.1.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/207 and that compliance is certified every quarter.

KAP-199.1.2 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-199.1.3 The Branch Manager shall review address proofs within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-199.1.4 The Audit Department shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-199.1.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-199.1.6 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/012 and that compliance is certified every quarter.

KAP-199.1.7 Cases involving video-KYC sessions with an exposure above Rs. 266 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.22.

KAP-199.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-199.1.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 199.2 Suspicious Transaction Reporting - Operating Rule Set 199.2

KAP-199.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-199.2.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/176 and that compliance is certified every quarter.

KAP-199.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 453 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.17.

KAP-199.2.4 Cases involving cash transaction reports with an exposure above Rs. 361 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.2.

KAP-199.2.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/206 and that compliance is certified every quarter.

KAP-199.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-199.2.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/070 and that compliance is certified every quarter.

KAP-199.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-199.2.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/032 and that compliance is certified every quarter.

KAP-199.2.10 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 199.3 Suspicious Transaction Reporting - Operating Rule Set 199.3

KAP-199.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-199.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-199.3.3 Cases involving address proofs with an exposure above Rs. 410 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.14.

KAP-199.3.4 Cases involving account-opening forms with an exposure above Rs. 363 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.5.

KAP-199.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-199.3.6 The Branch Manager shall review risk-rating files within 22 working days of receipt and record the outcome in the Case Management system.

KAP-199.3.7 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-199.3.8 Cases involving address proofs with an exposure above Rs. 258 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.3.

KAP-199.3.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure B-35.

KAP-199.3.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure D-10.

Section 199.4 Suspicious Transaction Reporting - Operating Rule Set 199.4

KAP-199.4.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/175 and that compliance is certified every quarter.

KAP-199.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-199.4.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure C-21.

KAP-199.4.4 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-199.4.5 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/109 and that compliance is certified every quarter.

KAP-199.4.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/237 and that compliance is certified every quarter.

KAP-199.4.7 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure G-34.

KAP-199.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-199.4.9 The Audit Department shall review address proofs within 11 working days of receipt and record the outcome in the Core Banking system.

PART 17 - CHAPTER 200: POLITICALLY EXPOSED PERSONS

Section 200.1 Politically Exposed Persons - Operating Rule Set 200.1

KAP-200.1.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-200.1.2 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-200.1.3 The Branch Manager shall review identity documents within 5 working days of receipt and record the outcome in the Document Management system.

KAP-200.1.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-200.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 86 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.10.

KAP-200.1.6 The Compliance Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-200.1.7 The Credit Committee shall review cash transaction reports within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-200.1.8 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-200.1.9 The Regional Credit Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-200.1.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/041 and that compliance is certified every quarter.

KAP-200.1.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-200.1.12 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-200.1.13 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

Section 200.2 Politically Exposed Persons - Operating Rule Set 200.2

KAP-200.2.1 Cases involving address proofs with an exposure above Rs. 491 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.3.

KAP-200.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-200.2.3 The Branch Manager shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-200.2.4 Cases involving identity documents with an exposure above Rs. 258 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.11.

KAP-200.2.5 The Risk Management Department shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-200.2.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/074 and that compliance is certified every quarter.

KAP-200.2.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-200.2.8 Cases involving risk-rating files with an exposure above Rs. 227 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.12.

KAP-200.2.9 The Compliance Officer shall review cash transaction reports within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-200.2.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

Section 200.3 Politically Exposed Persons - Operating Rule Set 200.3

KAP-200.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-200.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-200.3.3 The Credit Committee shall review identity documents within 18 working days of receipt and record the outcome in the Document Management system.

KAP-200.3.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-200.3.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure B-8.

KAP-200.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 209 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.19.

KAP-200.3.7 The Credit Committee shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-200.3.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2020/262 and that compliance is certified every quarter.

KAP-200.3.9 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-200.3.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-200.3.11 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure D-18.

KAP-200.3.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 200.4 Politically Exposed Persons - Operating Rule Set 200.4

KAP-200.4.1 The Regional Credit Officer shall review risk-rating files within 29 working days of receipt and record the outcome in the Document Management system.

KAP-200.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-200.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-200.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-200.4.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/205 and that compliance is certified every quarter.

KAP-200.4.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure H-39.

KAP-200.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-200.4.8 The Branch Manager shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-200.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

Section 200.5 Politically Exposed Persons - Operating Rule Set 200.5

KAP-200.5.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-200.5.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure H-31.

KAP-200.5.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-200.5.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-200.5.5 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-200.5.6 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/167 and that compliance is certified every quarter.

KAP-200.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-200.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-200.5.9 Cases involving cash transaction reports with an exposure above Rs. 14 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.27.

Section 200.6 Politically Exposed Persons - Operating Rule Set 200.6

KAP-200.6.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-28.

KAP-200.6.2 The Regional Credit Officer shall review video-KYC sessions within 7 working days of receipt and record the

outcome in the Core Banking system.

KAP-200.6.3 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/056 and that compliance is certified every quarter.

KAP-200.6.4 The Credit Committee shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-200.6.5 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-200.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 462 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.14.

KAP-200.6.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-200.6.8 The Risk Management Department shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-200.6.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-200.6.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

PART 17 - CHAPTER 201: BENEFICIAL OWNERSHIP

Section 201.1 Beneficial Ownership - Operating Rule Set 201.1

KAP-201.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-201.1.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-201.1.3 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/024 and that compliance is certified every quarter.

KAP-201.1.4 The Branch Manager shall review address proofs within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-201.1.5 Cases involving identity documents with an exposure above Rs. 126 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.13.

KAP-201.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-201.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-201.1.8 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-201.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-201.1.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

Section 201.2 Beneficial Ownership - Operating Rule Set 201.2

KAP-201.2.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/048 and that compliance is certified every quarter.

KAP-201.2.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/168 and that compliance is certified every quarter.

KAP-201.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-201.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-201.2.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-201.2.6 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in

Circular KAP/2024/237 and that compliance is certified every quarter.

KAP-201.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-201.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 452 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.7.

KAP-201.2.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-201.2.10 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-201.2.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 201.3 Beneficial Ownership - Operating Rule Set 201.3

KAP-201.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-201.3.2 The Regional Credit Officer shall review address proofs within 13 working days of receipt and record the outcome in the Document Management system.

KAP-201.3.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-201.3.4 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure B-30.

KAP-201.3.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-201.3.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-201.3.7 Cases involving account-opening forms with an exposure above Rs. 74 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.15.

KAP-201.3.8 The Credit Committee shall review identity documents within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-201.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-201.3.10 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/108 and that compliance is certified every quarter.

KAP-201.3.11 Cases involving PEP screening results with an exposure above Rs. 43 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.8.

KAP-201.3.12 The Audit Department shall review address proofs within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-201.3.13 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure C-26.

KAP-201.3.14 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 201.4 Beneficial Ownership - Operating Rule Set 201.4

KAP-201.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-201.4.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-201.4.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-201.4.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-201.4.5 Cases involving cash transaction reports with an exposure above Rs. 219 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.16.

KAP-201.4.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-201.4.7 The Compliance Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-201.4.8 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure C-15.

KAP-201.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-201.4.10 Cases involving risk-rating files with an exposure above Rs. 329 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.19.

Section 201.5 Beneficial Ownership - Operating Rule Set 201.5

KAP-201.5.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/136 and that compliance is certified every quarter.

KAP-201.5.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/100 and that compliance is certified every quarter.

KAP-201.5.3 The Risk Management Department shall review identity documents within 4 working days of receipt and record the outcome in the Document Management system.

KAP-201.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-201.5.5 The Operations Head shall review identity documents within 27 working days of receipt and record the outcome in the Case Management system.

KAP-201.5.6 Cases involving identity documents with an exposure above Rs. 49 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.30.

KAP-201.5.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure D-21.

KAP-201.5.8 The Credit Committee shall review identity documents within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-201.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-201.5.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

PART 17 - CHAPTER 202: RECORD KEEPING

Section 202.1 Record Keeping - Operating Rule Set 202.1

KAP-202.1.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure B-30.

KAP-202.1.2 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/023 and that compliance is certified every quarter.

KAP-202.1.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-202.1.4 The Risk Management Department shall review account-opening forms within 12 working days of receipt and record the outcome in the Document Management system.

KAP-202.1.5 The Operations Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-202.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-202.1.7 The Risk Management Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-202.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-202.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-202.1.10 Cases involving cash transaction reports with an exposure above Rs. 107 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.24.

KAP-202.1.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-202.1.12 Cases involving correspondent-bank relationships with an exposure above Rs. 386 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.3.

KAP-202.1.13 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-202.1.14 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 202.2 Record Keeping - Operating Rule Set 202.2

KAP-202.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-202.2.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-202.2.3 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-202.2.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure D-11.

KAP-202.2.5 The Zonal Head shall review address proofs within 29 working days of receipt and record the outcome in the Document Management system.

KAP-202.2.6 Cases involving PEP screening results with an exposure above Rs. 458 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.10.

KAP-202.2.7 The Operations Head shall review risk-rating files within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-202.2.8 The Credit Committee shall review account-opening forms within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-202.2.9 The Compliance Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

Section 202.3 Record Keeping - Operating Rule Set 202.3

KAP-202.3.1 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-202.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 207 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.26.

KAP-202.3.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-23.

KAP-202.3.4 Cases involving risk-rating files with an exposure above Rs. 307 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.25.

KAP-202.3.5 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-202.3.6 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure G-12.

KAP-202.3.7 The Compliance Officer shall review address proofs within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-202.3.8 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 202.4 Record Keeping - Operating Rule Set 202.4

KAP-202.4.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-202.4.2 Cases involving risk-rating files with an exposure above Rs. 459 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.19.

KAP-202.4.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-202.4.4 Cases involving cash transaction reports with an exposure above Rs. 477 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.25.

KAP-202.4.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/228 and that compliance is certified every quarter.

KAP-202.4.6 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/173 and that compliance is certified every quarter.

KAP-202.4.7 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-202.4.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure F-32.

KAP-202.4.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 202.5 Record Keeping - Operating Rule Set 202.5

KAP-202.5.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-25.

KAP-202.5.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-202.5.3 The Branch Manager shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-202.5.4 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/012 and that compliance is certified every quarter.

KAP-202.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-202.5.6 Cases involving account-opening forms with an exposure above Rs. 400 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.8.

KAP-202.5.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure C-14.

KAP-202.5.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-202.5.9 Cases involving risk-rating files with an exposure above Rs. 188 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.8.

KAP-202.5.10 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure C-6.

Section 202.6 Record Keeping - Operating Rule Set 202.6

KAP-202.6.1 The Audit Department shall review cash transaction reports within 7 working days of receipt and record the outcome in the Document Management system.

KAP-202.6.2 Cases involving cash transaction reports with an exposure above Rs. 426 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.23.

KAP-202.6.3 Cases involving correspondent-bank relationships with an exposure above Rs. 349 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.21.

KAP-202.6.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/281 and that compliance is certified every quarter.

KAP-202.6.5 The Credit Committee shall review risk-rating files within 9 working days of receipt and record the outcome in the Case Management system.

KAP-202.6.6 The Zonal Head shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-202.6.7 Cases involving account-opening forms with an exposure above Rs. 87 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.2.

KAP-202.6.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made

available to the regulator on request.

KAP-202.6.9 The Credit Committee shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Case Management system.

KAP-202.6.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

PART 17 - CHAPTER 203: STAFF TRAINING

Section 203.1 Staff Training - Operating Rule Set 203.1

KAP-203.1.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-203.1.2 The Zonal Head shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-203.1.3 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-203.1.4 Cases involving address proofs with an exposure above Rs. 216 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.29.

KAP-203.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-203.1.6 The Credit Committee shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-203.1.7 The Credit Committee shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-203.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 180 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.30.

KAP-203.1.9 In case of a system outage, the Zonal Head must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure C-12.

KAP-203.1.10 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 203.2 Staff Training - Operating Rule Set 203.2

KAP-203.2.1 The Zonal Head shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-203.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-203.2.3 Cases involving address proofs with an exposure above Rs. 12 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.18.

KAP-203.2.4 The Branch Manager shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Document Management system.

KAP-203.2.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-203.2.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-203.2.7 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure F-30.

KAP-203.2.8 The Risk Management Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-203.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-203.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 203.3 Staff Training - Operating Rule Set 203.3

KAP-203.3.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/053 and that compliance is certified every quarter.

KAP-203.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-203.3.3 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-203.3.4 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure F-15.

KAP-203.3.5 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-203.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-203.3.7 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure E-34.

KAP-203.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 89 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.20.

KAP-203.3.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-203.3.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure D-25.

KAP-203.3.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 203.4 Staff Training - Operating Rule Set 203.4

KAP-203.4.1 The Operations Head shall review address proofs within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-203.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 486 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.15.

KAP-203.4.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-203.4.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-203.4.5 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-203.4.6 Cases involving video-KYC sessions with an exposure above Rs. 272 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.19.

KAP-203.4.7 The Compliance Officer shall review PEP screening results within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-203.4.8 The Credit Committee shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

Section 203.5 Staff Training - Operating Rule Set 203.5

KAP-203.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-203.5.2 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.5.

KAP-203.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-203.5.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-203.5.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-203.5.6 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-203.5.7 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic

method, with a tolerance of 5% as approved by the Board.

KAP-203.5.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure H-1.

KAP-203.5.9 The Operations Head shall review cash transaction reports within 24 working days of receipt and record the outcome in the Case Management system.

PART 17 - CHAPTER 204: INDEPENDENT AUDIT

Section 204.1 Independent Audit - Operating Rule Set 204.1

KAP-204.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-204.1.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/179 and that compliance is certified every quarter.

KAP-204.1.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-11.

KAP-204.1.4 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-204.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-204.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 207 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.10.

KAP-204.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-204.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-204.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-204.1.10 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-204.1.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-204.1.12 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-204.1.13 Cases involving risk-rating files with an exposure above Rs. 162 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.20.

Section 204.2 Independent Audit - Operating Rule Set 204.2

KAP-204.2.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure F-24.

KAP-204.2.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure F-33.

KAP-204.2.3 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-37.

KAP-204.2.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure E-27.

KAP-204.2.5 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-204.2.6 Cases involving risk-rating files with an exposure above Rs. 109 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.24.

KAP-204.2.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-204.2.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure A-15.

KAP-204.2.9 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in

Circular KAP/2023/191 and that compliance is certified every quarter.

Section 204.3 Independent Audit - Operating Rule Set 204.3

KAP-204.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-204.3.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-204.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-204.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-204.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-204.3.6 The Zonal Head shall review cash transaction reports within 2 working days of receipt and record the outcome in the Document Management system.

KAP-204.3.7 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-204.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 70 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.19.

Section 204.4 Independent Audit - Operating Rule Set 204.4

KAP-204.4.1 Cases involving video-KYC sessions with an exposure above Rs. 399 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.19.

KAP-204.4.2 The Risk Management Department shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Case Management system.

KAP-204.4.3 The Regional Credit Officer shall review cash transaction reports within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-204.4.4 Cases involving video-KYC sessions with an exposure above Rs. 448 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.26.

KAP-204.4.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-204.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-204.4.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-204.4.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/099 and that compliance is certified every quarter.

KAP-204.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-204.4.10 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/062 and that compliance is certified every quarter.

KAP-204.4.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-204.4.12 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/120 and that compliance is certified every quarter.

KAP-204.4.13 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

Section 204.5 Independent Audit - Operating Rule Set 204.5

KAP-204.5.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure F-40.

KAP-204.5.2 The Credit Committee shall review PEP screening results within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-204.5.3 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with

a tolerance of 3% as approved by the Board.

KAP-204.5.4 The Risk Management Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-204.5.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/042 and that compliance is certified every quarter.

KAP-204.5.6 Cases involving PEP screening results with an exposure above Rs. 364 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.20.

KAP-204.5.7 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/141 and that compliance is certified every quarter.

KAP-204.5.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure C-35.

KAP-204.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

PART 18 - CHAPTER 205: CUSTOMER ACCEPTANCE

Section 205.1 Customer Acceptance - Operating Rule Set 205.1

KAP-205.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-205.1.2 The Compliance Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Case Management system.

KAP-205.1.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/164 and that compliance is certified every quarter.

KAP-205.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-205.1.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-205.1.6 The Compliance Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-205.1.7 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-205.1.8 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-205.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

Section 205.2 Customer Acceptance - Operating Rule Set 205.2

KAP-205.2.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure H-22.

KAP-205.2.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure C-9.

KAP-205.2.3 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure A-31.

KAP-205.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-205.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-205.2.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-27.

KAP-205.2.7 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure G-17.

KAP-205.2.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure D-37.

KAP-205.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4

and be made available to statutory auditors on request.

KAP-205.2.10 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/212 and that compliance is certified every quarter.

KAP-205.2.11 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/130 and that compliance is certified every quarter.

KAP-205.2.12 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure C-7.

Section 205.3 Customer Acceptance - Operating Rule Set 205.3

KAP-205.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-205.3.2 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-205.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-205.3.4 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/109 and that compliance is certified every quarter.

KAP-205.3.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-205.3.6 The Regional Credit Officer shall review address proofs within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-205.3.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/261 and that compliance is certified every quarter.

KAP-205.3.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-205.3.9 The Branch Manager shall review address proofs within 2 working days of receipt and record the outcome in the Case Management system.

Section 205.4 Customer Acceptance - Operating Rule Set 205.4

KAP-205.4.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-205.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-205.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-205.4.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-205.4.5 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-205.4.6 Cases involving PEP screening results with an exposure above Rs. 252 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.7.

KAP-205.4.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure C-31.

KAP-205.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 482 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.20.

KAP-205.4.9 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure E-35.

KAP-205.4.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/221 and that compliance is certified every quarter.

Section 205.5 Customer Acceptance - Operating Rule Set 205.5

KAP-205.5.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/192 and that compliance is certified every quarter.

KAP-205.5.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be

made available to the Board Audit Committee on request.

KAP-205.5.3 Cases involving address proofs with an exposure above Rs. 296 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.10.

KAP-205.5.4 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure F-28.

KAP-205.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-205.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 288 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.13.

KAP-205.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-205.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-205.5.9 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-205.5.10 Cases involving video-KYC sessions with an exposure above Rs. 359 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.18.

PART 18 - CHAPTER 206: CUSTOMER IDENTIFICATION

Section 206.1 Customer Identification - Operating Rule Set 206.1

KAP-206.1.1 The Compliance Officer shall review PEP screening results within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-206.1.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/082 and that compliance is certified every quarter.

KAP-206.1.3 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/162 and that compliance is certified every quarter.

KAP-206.1.4 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure F-40.

KAP-206.1.5 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure F-30.

KAP-206.1.6 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-206.1.7 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-206.1.8 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-206.1.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure H-11.

KAP-206.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 206.2 Customer Identification - Operating Rule Set 206.2

KAP-206.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-206.2.2 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-206.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-206.2.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-206.2.5 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-206.2.6 The Audit Department shall review address proofs within 26 working days of receipt and record the outcome in

the Core Banking system.

KAP-206.2.7 Cases involving account-opening forms with an exposure above Rs. 218 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.10.

KAP-206.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-206.2.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-206.2.10 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure B-5.

Section 206.3 Customer Identification - Operating Rule Set 206.3

KAP-206.3.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/173 and that compliance is certified every quarter.

KAP-206.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-206.3.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/031 and that compliance is certified every quarter.

KAP-206.3.4 The Audit Department shall review account-opening forms within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-206.3.5 Cases involving cash transaction reports with an exposure above Rs. 463 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.24.

KAP-206.3.6 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure E-34.

KAP-206.3.7 Cases involving address proofs with an exposure above Rs. 397 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.13.

KAP-206.3.8 Cases involving address proofs with an exposure above Rs. 258 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.1.

KAP-206.3.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/068 and that compliance is certified every quarter.

KAP-206.3.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 206.4 Customer Identification - Operating Rule Set 206.4

KAP-206.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-206.4.2 Cases involving beneficial-owner declarations with an exposure above Rs. 130 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.26.

KAP-206.4.3 The Risk Management Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Document Management system.

KAP-206.4.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-206.4.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/099 and that compliance is certified every quarter.

KAP-206.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-206.4.7 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-206.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-206.4.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/288 and that compliance is certified every quarter.

KAP-206.4.10 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure G-2.

KAP-206.4.11 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-20.

Section 206.5 Customer Identification - Operating Rule Set 206.5

KAP-206.5.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-206.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-206.5.3 The Audit Department shall review address proofs within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-206.5.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-24.

KAP-206.5.5 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-206.5.6 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-206.5.7 The Credit Committee shall review cash transaction reports within 14 working days of receipt and record the outcome in the Document Management system.

KAP-206.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 205 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.2.

KAP-206.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-206.5.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

Section 206.6 Customer Identification - Operating Rule Set 206.6

KAP-206.6.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-206.6.2 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure C-24.

KAP-206.6.3 The Credit Committee shall review PEP screening results within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-206.6.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-206.6.5 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-206.6.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-206.6.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-206.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-206.6.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

Section 206.7 Customer Identification - Operating Rule Set 206.7

KAP-206.7.1 The Audit Department shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-206.7.2 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/142 and that compliance is certified every quarter.

KAP-206.7.3 The Compliance Officer shall review identity documents within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-206.7.4 The Credit Committee shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Document Management system.

KAP-206.7.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-206.7.6 The Risk Management Department shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-206.7.7 Cases involving address proofs with an exposure above Rs. 330 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.3.

KAP-206.7.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/155 and that compliance is certified every quarter.

PART 18 - CHAPTER 207: CUSTOMER DUE DILIGENCE

Section 207.1 Customer Due Diligence - Operating Rule Set 207.1

KAP-207.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-207.1.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-207.1.3 Cases involving address proofs with an exposure above Rs. 198 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.16.

KAP-207.1.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-207.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-207.1.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-207.1.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure G-7.

KAP-207.1.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure B-8.

KAP-207.1.9 Cases involving video-KYC sessions with an exposure above Rs. 315 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.23.

KAP-207.1.10 The Credit Committee shall review cash transaction reports within 3 working days of receipt and record the outcome in the Risk Engine system.

Section 207.2 Customer Due Diligence - Operating Rule Set 207.2

KAP-207.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-207.2.2 The Zonal Head shall review PEP screening results within 28 working days of receipt and record the outcome in the Case Management system.

KAP-207.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-207.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-207.2.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-40.

KAP-207.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-207.2.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure F-21.

KAP-207.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

Section 207.3 Customer Due Diligence - Operating Rule Set 207.3

KAP-207.3.1 Cases involving risk-rating files with an exposure above Rs. 402 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.16.

KAP-207.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk

Management Department by the 12th day of the following month.

KAP-207.3.3 Cases involving identity documents with an exposure above Rs. 46 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.30.

KAP-207.3.4 Cases involving PEP screening results with an exposure above Rs. 5 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.10.

KAP-207.3.5 The Credit Committee shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-207.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-207.3.7 The Operations Head shall review risk-rating files within 27 working days of receipt and record the outcome in the Document Management system.

KAP-207.3.8 The Zonal Head shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Customer Relationship system.

Section 207.4 Customer Due Diligence - Operating Rule Set 207.4

KAP-207.4.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-207.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-207.4.3 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-207.4.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-207.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-207.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-207.4.7 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure C-38.

KAP-207.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-207.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-207.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

Section 207.5 Customer Due Diligence - Operating Rule Set 207.5

KAP-207.5.1 The Audit Department shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Case Management system.

KAP-207.5.2 Cases involving correspondent-bank relationships with an exposure above Rs. 338 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.2.

KAP-207.5.3 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-207.5.4 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-207.5.5 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure D-31.

KAP-207.5.6 Cases involving address proofs with an exposure above Rs. 407 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.21.

KAP-207.5.7 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-207.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-207.5.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-207.5.10 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-9.

KAP-207.5.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-207.5.12 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-207.5.13 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/016 and that compliance is certified every quarter.

Section 207.6 Customer Due Diligence - Operating Rule Set 207.6

KAP-207.6.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-207.6.2 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-207.6.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure G-7.

KAP-207.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-207.6.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/262 and that compliance is certified every quarter.

KAP-207.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-207.6.7 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-207.6.8 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/262 and that compliance is certified every quarter.

KAP-207.6.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-207.6.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-207.6.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 207.7 Customer Due Diligence - Operating Rule Set 207.7

KAP-207.7.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/262 and that compliance is certified every quarter.

KAP-207.7.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/168 and that compliance is certified every quarter.

KAP-207.7.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-207.7.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-207.7.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/135 and that compliance is certified every quarter.

KAP-207.7.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-207.7.7 The Compliance Officer shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-207.7.8 Cases involving risk-rating files with an exposure above Rs. 102 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.1.

KAP-207.7.9 The Regional Credit Officer shall review alerts generated by the monitoring system within 27 working days of

receipt and record the outcome in the Risk Engine system.

KAP-207.7.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-207.7.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

PART 18 - CHAPTER 208: ENHANCED DUE DILIGENCE

Section 208.1 Enhanced Due Diligence - Operating Rule Set 208.1

KAP-208.1.1 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-17.

KAP-208.1.2 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure B-37.

KAP-208.1.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-208.1.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-208.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-208.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-208.1.7 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/236 and that compliance is certified every quarter.

KAP-208.1.8 Cases involving address proofs with an exposure above Rs. 384 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.21.

KAP-208.1.9 In case of a system outage, the Branch Manager must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure F-40.

Section 208.2 Enhanced Due Diligence - Operating Rule Set 208.2

KAP-208.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-208.2.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-6.

KAP-208.2.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/062 and that compliance is certified every quarter.

KAP-208.2.4 The Risk Management Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-208.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-208.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-208.2.7 The Regional Credit Officer shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-208.2.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-208.2.9 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-208.2.10 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

Section 208.3 Enhanced Due Diligence - Operating Rule Set 208.3

KAP-208.3.1 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/216 and that compliance is certified every quarter.

KAP-208.3.2 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-208.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-208.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-208.3.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure D-37.

KAP-208.3.6 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/171 and that compliance is certified every quarter.

KAP-208.3.7 Cases involving cash transaction reports with an exposure above Rs. 201 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.3.

KAP-208.3.8 The Compliance Officer shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

Section 208.4 Enhanced Due Diligence - Operating Rule Set 208.4

KAP-208.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-208.4.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-208.4.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-208.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-208.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-208.4.6 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure E-39.

KAP-208.4.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-208.4.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

Section 208.5 Enhanced Due Diligence - Operating Rule Set 208.5

KAP-208.5.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/058 and that compliance is certified every quarter.

KAP-208.5.2 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-12.

KAP-208.5.3 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-2.

KAP-208.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-208.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-208.5.6 The Branch Manager shall review identity documents within 30 working days of receipt and record the outcome in the Document Management system.

KAP-208.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-208.5.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

Section 208.6 Enhanced Due Diligence - Operating Rule Set 208.6

KAP-208.6.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/064 and that compliance is certified every quarter.

KAP-208.6.2 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-208.6.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure A-38.

KAP-208.6.4 The Credit Committee shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-208.6.5 The Zonal Head shall review PEP screening results within 22 working days of receipt and record the outcome in the Document Management system.

KAP-208.6.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-36.

KAP-208.6.7 The Zonal Head shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Document Management system.

KAP-208.6.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-208.6.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-208.6.10 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/180 and that compliance is certified every quarter.

PART 18 - CHAPTER 209: RISK CATEGORISATION

Section 209.1 Risk Categorisation - Operating Rule Set 209.1

KAP-209.1.1 Cases involving risk-rating files with an exposure above Rs. 177 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.15.

KAP-209.1.2 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure H-4.

KAP-209.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-209.1.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/157 and that compliance is certified every quarter.

KAP-209.1.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure H-37.

KAP-209.1.6 Cases involving cash transaction reports with an exposure above Rs. 401 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.25.

KAP-209.1.7 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure A-17.

KAP-209.1.8 The Regional Credit Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-209.1.9 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure D-37.

KAP-209.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 209.2 Risk Categorisation - Operating Rule Set 209.2

KAP-209.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-209.2.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-209.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-209.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-209.2.5 The Risk Management Department shall review risk-rating files within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-209.2.6 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-209.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-209.2.8 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/104 and that compliance is certified every quarter.

KAP-209.2.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/242 and that compliance is certified every quarter.

Section 209.3 Risk Categorisation - Operating Rule Set 209.3

KAP-209.3.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/267 and that compliance is certified every quarter.

KAP-209.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-209.3.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure D-6.

KAP-209.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 464 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.12.

KAP-209.3.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure F-23.

KAP-209.3.6 The Regional Credit Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Document Management system.

KAP-209.3.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure H-10.

KAP-209.3.8 The Audit Department shall review cash transaction reports within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-209.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-209.3.10 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-27.

KAP-209.3.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-209.3.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-209.3.13 The Regional Credit Officer shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Loan Origination system.

Section 209.4 Risk Categorisation - Operating Rule Set 209.4

KAP-209.4.1 The Branch Manager shall review cash transaction reports within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-209.4.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure H-29.

KAP-209.4.3 Cases involving account-opening forms with an exposure above Rs. 210 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.29.

KAP-209.4.4 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure F-20.

KAP-209.4.5 Cases involving PEP screening results with an exposure above Rs. 123 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.17.

KAP-209.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-209.4.7 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-209.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-209.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 477 lakh require prior written

approval from the Zonal Head; otherwise the case is an exception under Clause 1.11.

KAP-209.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-209.4.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-209.4.12 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/056 and that compliance is certified every quarter.

PART 18 - CHAPTER 210: TRANSACTION MONITORING

Section 210.1 Transaction Monitoring - Operating Rule Set 210.1

KAP-210.1.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/137 and that compliance is certified every quarter.

KAP-210.1.2 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure G-23.

KAP-210.1.3 Cases involving cash transaction reports with an exposure above Rs. 65 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.14.

KAP-210.1.4 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/297 and that compliance is certified every quarter.

KAP-210.1.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure G-8.

KAP-210.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-210.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-210.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-210.1.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure H-37.

Section 210.2 Transaction Monitoring - Operating Rule Set 210.2

KAP-210.2.1 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-210.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-210.2.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure C-15.

KAP-210.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-210.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-210.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-210.2.7 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-210.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-210.2.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/177 and that compliance is certified every quarter.

KAP-210.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-210.2.11 Cases involving video-KYC sessions with an exposure above Rs. 456 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.17.

KAP-210.2.12 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2

and be made available to the regulator on request.

Section 210.3 Transaction Monitoring - Operating Rule Set 210.3

KAP-210.3.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-210.3.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/256 and that compliance is certified every quarter.

KAP-210.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-210.3.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-210.3.5 The Regional Credit Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-210.3.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-210.3.7 Cases involving cash transaction reports with an exposure above Rs. 193 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.15.

KAP-210.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-210.3.9 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure B-28.

KAP-210.3.10 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 210.4 Transaction Monitoring - Operating Rule Set 210.4

KAP-210.4.1 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure B-37.

KAP-210.4.2 The Credit Committee shall review PEP screening results within 30 working days of receipt and record the outcome in the Document Management system.

KAP-210.4.3 The Credit Committee shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-210.4.4 The Operations Head shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Document Management system.

KAP-210.4.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-210.4.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-210.4.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/260 and that compliance is certified every quarter.

KAP-210.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 116 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.14.

KAP-210.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-210.4.10 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/276 and that compliance is certified every quarter.

KAP-210.4.11 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 9 days written notice.

Section 210.5 Transaction Monitoring - Operating Rule Set 210.5

KAP-210.5.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/172 and that compliance is certified every quarter.

KAP-210.5.2 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure E-3.

KAP-210.5.3 The Branch Manager shall review beneficial-owner declarations within 16 working days of receipt and record

the outcome in the Case Management system.

KAP-210.5.4 The Audit Department shall review account-opening forms within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-210.5.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-210.5.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-210.5.7 The Branch Manager shall review PEP screening results within 15 working days of receipt and record the outcome in the Document Management system.

KAP-210.5.8 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/127 and that compliance is certified every quarter.

KAP-210.5.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-210.5.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-210.5.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

Section 210.6 Transaction Monitoring - Operating Rule Set 210.6

KAP-210.6.1 Cases involving address proofs with an exposure above Rs. 225 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.24.

KAP-210.6.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-210.6.3 The Operations Head shall review risk-rating files within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-210.6.4 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-210.6.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure D-34.

KAP-210.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 209 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.2.

KAP-210.6.7 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

KAP-210.6.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-210.6.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-210.6.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-210.6.11 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/104 and that compliance is certified every quarter.

Section 210.7 Transaction Monitoring - Operating Rule Set 210.7

KAP-210.7.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-210.7.2 Cases involving video-KYC sessions with an exposure above Rs. 146 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.7.

KAP-210.7.3 The Branch Manager shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-210.7.4 The Compliance Officer shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-210.7.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-210.7.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-210.7.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-210.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 405 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.4.

KAP-210.7.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

PART 18 - CHAPTER 211: SUSPICIOUS TRANSACTION REPORTING

Section 211.1 Suspicious Transaction Reporting - Operating Rule Set 211.1

KAP-211.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure A-14.

KAP-211.1.2 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-211.1.3 The Risk Management Department shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-211.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-211.1.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-211.1.6 The Compliance Officer shall review account-opening forms within 6 working days of receipt and record the outcome in the Document Management system.

KAP-211.1.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-6.

KAP-211.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-211.1.9 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 211.2 Suspicious Transaction Reporting - Operating Rule Set 211.2

KAP-211.2.1 The Branch Manager shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-211.2.2 The Regional Credit Officer shall review risk-rating files within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-211.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-211.2.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-211.2.5 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-211.2.6 The Regional Credit Officer shall review risk-rating files within 3 working days of receipt and record the outcome in the Case Management system.

KAP-211.2.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure C-7.

KAP-211.2.8 Cases involving account-opening forms with an exposure above Rs. 73 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.24.

KAP-211.2.9 Cases involving address proofs with an exposure above Rs. 37 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.1.

KAP-211.2.10 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-211.2.11 Cases involving identity documents with an exposure above Rs. 88 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.25.

Section 211.3 Suspicious Transaction Reporting - Operating Rule Set 211.3

KAP-211.3.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-211.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-211.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-211.3.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-211.3.5 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/107 and that compliance is certified every quarter.

KAP-211.3.6 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-211.3.7 The Risk Management Department shall review account-opening forms within 23 working days of receipt and record the outcome in the Document Management system.

KAP-211.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-211.3.9 Cases involving video-KYC sessions with an exposure above Rs. 61 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.8.

KAP-211.3.10 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 211.4 Suspicious Transaction Reporting - Operating Rule Set 211.4

KAP-211.4.1 The Operations Head shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-211.4.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-4.

KAP-211.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 182 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.24.

KAP-211.4.4 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-211.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-211.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-211.4.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-211.4.8 The Regional Credit Officer shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-211.4.9 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/152 and that compliance is certified every quarter.

KAP-211.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 211.5 Suspicious Transaction Reporting - Operating Rule Set 211.5

KAP-211.5.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-211.5.2 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/061 and that compliance is certified every quarter.

KAP-211.5.3 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-211.5.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/073 and that compliance is certified every quarter.

KAP-211.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-211.5.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-211.5.7 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-37.

KAP-211.5.8 Cases involving address proofs with an exposure above Rs. 373 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.7.

KAP-211.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

PART 18 - CHAPTER 212: POLITICALLY EXPOSED PERSONS

Section 212.1 Politically Exposed Persons - Operating Rule Set 212.1

KAP-212.1.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/213 and that compliance is certified every quarter.

KAP-212.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-212.1.3 The Compliance Officer shall review risk-rating files within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-212.1.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure E-17.

KAP-212.1.5 Cases involving identity documents with an exposure above Rs. 253 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.6.

KAP-212.1.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/140 and that compliance is certified every quarter.

KAP-212.1.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-212.1.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/274 and that compliance is certified every quarter.

KAP-212.1.9 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 212.2 Politically Exposed Persons - Operating Rule Set 212.2

KAP-212.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-212.2.2 The Risk Management Department shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-212.2.3 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-212.2.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

KAP-212.2.5 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/285 and that compliance is certified every quarter.

KAP-212.2.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure H-17.

KAP-212.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-212.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-212.2.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

Section 212.3 Politically Exposed Persons - Operating Rule Set 212.3

KAP-212.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the

customer 5 days written notice.

KAP-212.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-212.3.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure E-26.

KAP-212.3.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure C-33.

KAP-212.3.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-40.

KAP-212.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-212.3.7 The Zonal Head shall review address proofs within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-212.3.8 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-212.3.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-212.3.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 117 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.11.

KAP-212.3.11 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-11.

Section 212.4 Politically Exposed Persons - Operating Rule Set 212.4

KAP-212.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-212.4.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-212.4.3 Cases involving PEP screening results with an exposure above Rs. 474 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.25.

KAP-212.4.4 Cases involving cash transaction reports with an exposure above Rs. 484 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.14.

KAP-212.4.5 Cases involving risk-rating files with an exposure above Rs. 328 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.8.

KAP-212.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-212.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-212.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 64 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.11.

KAP-212.4.9 Cases involving address proofs with an exposure above Rs. 22 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.25.

Section 212.5 Politically Exposed Persons - Operating Rule Set 212.5

KAP-212.5.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/216 and that compliance is certified every quarter.

KAP-212.5.2 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-212.5.3 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-212.5.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-212.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-212.5.6 The Risk Management Department shall review identity documents within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-212.5.7 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/280 and that compliance is certified every quarter.

KAP-212.5.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-212.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-212.5.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-212.5.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-212.5.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-212.5.13 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

Section 212.6 Politically Exposed Persons - Operating Rule Set 212.6

KAP-212.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-212.6.2 Cases involving correspondent-bank relationships with an exposure above Rs. 297 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.27.

KAP-212.6.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/060 and that compliance is certified every quarter.

KAP-212.6.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-212.6.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-212.6.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-212.6.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-212.6.8 The Compliance Officer shall review PEP screening results within 2 working days of receipt and record the outcome in the Case Management system.

KAP-212.6.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-212.6.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-212.6.11 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/160 and that compliance is certified every quarter.

KAP-212.6.12 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 212.7 Politically Exposed Persons - Operating Rule Set 212.7

KAP-212.7.1 Cases involving video-KYC sessions with an exposure above Rs. 348 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.15.

KAP-212.7.2 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/070 and that compliance is certified every quarter.

KAP-212.7.3 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-212.7.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-212.7.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two

notices, after giving the customer 21 days written notice.

KAP-212.7.6 The Credit Committee shall review address proofs within 3 working days of receipt and record the outcome in the Case Management system.

KAP-212.7.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-212.7.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-212.7.9 The Regional Credit Officer shall review cash transaction reports within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-212.7.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-212.7.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-212.7.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 125 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.15.

PART 18 - CHAPTER 213: BENEFICIAL OWNERSHIP

Section 213.1 Beneficial Ownership - Operating Rule Set 213.1

KAP-213.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-213.1.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure F-40.

KAP-213.1.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-213.1.4 Cases involving identity documents with an exposure above Rs. 358 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.21.

KAP-213.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-213.1.6 Cases involving risk-rating files with an exposure above Rs. 191 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.20.

KAP-213.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-213.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-213.1.9 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-213.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 213.2 Beneficial Ownership - Operating Rule Set 213.2

KAP-213.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-213.2.2 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Document Management system.

KAP-213.2.3 Cases involving cash transaction reports with an exposure above Rs. 302 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.20.

KAP-213.2.4 The Operations Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-213.2.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-213.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 412 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.3.

KAP-213.2.7 Cases involving video-KYC sessions with an exposure above Rs. 235 lakh require prior written approval from

the Branch Manager; otherwise the case is an exception under Clause 12.9.

KAP-213.2.8 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-213.2.9 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/132 and that compliance is certified every quarter.

Section 213.3 Beneficial Ownership - Operating Rule Set 213.3

KAP-213.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-213.3.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-213.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-213.3.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure A-19.

KAP-213.3.5 The Risk Management Department shall review account-opening forms within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-213.3.6 Cases involving cash transaction reports with an exposure above Rs. 290 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.20.

KAP-213.3.7 The Credit Committee shall review PEP screening results within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-213.3.8 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-213.3.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure F-1.

Section 213.4 Beneficial Ownership - Operating Rule Set 213.4

KAP-213.4.1 The Regional Credit Officer shall review address proofs within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-213.4.2 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-213.4.3 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-213.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-213.4.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/192 and that compliance is certified every quarter.

KAP-213.4.6 The Audit Department shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-213.4.7 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure D-13.

KAP-213.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-213.4.9 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-213.4.10 The Compliance Officer shall review identity documents within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-213.4.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 213.5 Beneficial Ownership - Operating Rule Set 213.5

KAP-213.5.1 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure D-35.

KAP-213.5.2 Cases involving cash transaction reports with an exposure above Rs. 56 lakh require prior written approval

from the Branch Manager; otherwise the case is an exception under Clause 13.6.

KAP-213.5.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-213.5.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/134 and that compliance is certified every quarter.

KAP-213.5.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-213.5.6 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-213.5.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-213.5.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 213.6 Beneficial Ownership - Operating Rule Set 213.6

KAP-213.6.1 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/079 and that compliance is certified every quarter.

KAP-213.6.2 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure B-11.

KAP-213.6.3 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-213.6.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-213.6.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/147 and that compliance is certified every quarter.

KAP-213.6.6 Cases involving address proofs with an exposure above Rs. 177 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.24.

KAP-213.6.7 Cases involving address proofs with an exposure above Rs. 181 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.20.

KAP-213.6.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-213.6.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

PART 18 - CHAPTER 214: RECORD KEEPING

Section 214.1 Record Keeping - Operating Rule Set 214.1

KAP-214.1.1 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/104 and that compliance is certified every quarter.

KAP-214.1.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-214.1.3 The Audit Department shall review risk-rating files within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-214.1.4 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-214.1.5 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-214.1.6 The Zonal Head shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-214.1.7 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure D-29.

KAP-214.1.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

Section 214.2 Record Keeping - Operating Rule Set 214.2

KAP-214.2.1 Cases involving risk-rating files with an exposure above Rs. 355 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.24.

KAP-214.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 139 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.20.

KAP-214.2.3 The Credit Committee shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-214.2.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/116 and that compliance is certified every quarter.

KAP-214.2.5 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure A-30.

KAP-214.2.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-214.2.7 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-16.

KAP-214.2.8 The Risk Management Department shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Core Banking system.

Section 214.3 Record Keeping - Operating Rule Set 214.3

KAP-214.3.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-214.3.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-214.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-214.3.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-214.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-214.3.6 The Credit Committee shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-214.3.7 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/202 and that compliance is certified every quarter.

KAP-214.3.8 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure E-21.

Section 214.4 Record Keeping - Operating Rule Set 214.4

KAP-214.4.1 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-214.4.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-214.4.3 The Branch Manager shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-214.4.4 Cases involving cash transaction reports with an exposure above Rs. 448 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.18.

KAP-214.4.5 The Operations Head shall review address proofs within 5 working days of receipt and record the outcome in the Document Management system.

KAP-214.4.6 Cases involving address proofs with an exposure above Rs. 484 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.5.

KAP-214.4.7 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/123 and that compliance is certified every quarter.

KAP-214.4.8 Cases involving video-KYC sessions with an exposure above Rs. 117 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.29.

KAP-214.4.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after

giving the customer 9 days written notice.

KAP-214.4.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-214.4.11 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/284 and that compliance is certified every quarter.

KAP-214.4.12 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

PART 18 - CHAPTER 215: STAFF TRAINING

Section 215.1 Staff Training - Operating Rule Set 215.1

KAP-215.1.1 Cases involving identity documents with an exposure above Rs. 498 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.27.

KAP-215.1.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-215.1.3 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-215.1.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-215.1.5 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-215.1.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-215.1.7 Cases involving video-KYC sessions with an exposure above Rs. 18 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.7.

KAP-215.1.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/176 and that compliance is certified every quarter.

Section 215.2 Staff Training - Operating Rule Set 215.2

KAP-215.2.1 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-215.2.2 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-215.2.3 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-215.2.4 Cases involving cash transaction reports with an exposure above Rs. 370 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.10.

KAP-215.2.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/062 and that compliance is certified every quarter.

KAP-215.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-215.2.7 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-215.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-215.2.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 215.3 Staff Training - Operating Rule Set 215.3

KAP-215.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-215.3.2 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-215.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-215.3.4 The Credit Committee shall review risk-rating files within 16 working days of receipt and record the outcome in the Document Management system.

KAP-215.3.5 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-215.3.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/015 and that compliance is certified every quarter.

KAP-215.3.7 The Credit Committee shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-215.3.8 Cases involving cash transaction reports with an exposure above Rs. 89 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.13.

Section 215.4 Staff Training - Operating Rule Set 215.4

KAP-215.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-215.4.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/200 and that compliance is certified every quarter.

KAP-215.4.3 The Audit Department shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-215.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 382 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.19.

KAP-215.4.5 Cases involving address proofs with an exposure above Rs. 309 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.20.

KAP-215.4.6 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-38.

KAP-215.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-215.4.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/175 and that compliance is certified every quarter.

KAP-215.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-215.4.10 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure E-31.

Section 215.5 Staff Training - Operating Rule Set 215.5

KAP-215.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-215.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-215.5.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-215.5.4 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-215.5.5 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-215.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-215.5.7 Cases involving identity documents with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.12.

KAP-215.5.8 Cases involving risk-rating files with an exposure above Rs. 55 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.10.

KAP-215.5.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure H-2.

Section 215.6 Staff Training - Operating Rule Set 215.6

KAP-215.6.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-215.6.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-215.6.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-215.6.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure E-30.

KAP-215.6.5 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-215.6.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-215.6.7 Cases involving PEP screening results with an exposure above Rs. 225 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.24.

KAP-215.6.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-215.6.9 The Compliance Officer shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-215.6.10 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/062 and that compliance is certified every quarter.

PART 18 - CHAPTER 216: INDEPENDENT AUDIT

Section 216.1 Independent Audit - Operating Rule Set 216.1

KAP-216.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-216.1.2 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-216.1.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/123 and that compliance is certified every quarter.

KAP-216.1.4 The Zonal Head shall review cash transaction reports within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-216.1.5 Cases involving video-KYC sessions with an exposure above Rs. 245 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.7.

KAP-216.1.6 The Credit Committee shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-216.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-216.1.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure G-29.

KAP-216.1.9 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure G-29.

KAP-216.1.10 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 216.2 Independent Audit - Operating Rule Set 216.2

KAP-216.2.1 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-216.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-216.2.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-216.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-216.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-216.2.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-216.2.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-216.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-216.2.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 216.3 Independent Audit - Operating Rule Set 216.3

KAP-216.3.1 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-216.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-216.3.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-216.3.4 The Compliance Officer shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-216.3.5 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure H-2.

KAP-216.3.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-216.3.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-216.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-216.3.9 Cases involving identity documents with an exposure above Rs. 66 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.6.

KAP-216.3.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure A-9.

KAP-216.3.11 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure F-9.

KAP-216.3.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

Section 216.4 Independent Audit - Operating Rule Set 216.4

KAP-216.4.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure F-1.

KAP-216.4.2 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-216.4.3 The Compliance Officer shall review cash transaction reports within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-216.4.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure A-12.

KAP-216.4.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-216.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-216.4.7 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-216.4.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit

Committee within 4 working days, with the supporting documents listed in Annexure G-39.

KAP-216.4.9 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/191 and that compliance is certified every quarter.

KAP-216.4.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

PART 19 - CHAPTER 217: CUSTOMER ACCEPTANCE

Section 217.1 Customer Acceptance - Operating Rule Set 217.1

KAP-217.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-217.1.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure G-23.

KAP-217.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-217.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 22 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-217.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-217.1.6 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-217.1.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/191 and that compliance is certified every quarter.

KAP-217.1.8 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/135 and that compliance is certified every quarter.

KAP-217.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-217.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-217.1.11 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 217.2 Customer Acceptance - Operating Rule Set 217.2

KAP-217.2.1 The Regional Credit Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-217.2.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/125 and that compliance is certified every quarter.

KAP-217.2.3 The Compliance Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-217.2.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-217.2.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

KAP-217.2.6 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/086 and that compliance is certified every quarter.

KAP-217.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-217.2.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-217.2.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-217.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-217.2.11 The Operations Head shall review account-opening forms within 9 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-217.2.12 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

Section 217.3 Customer Acceptance - Operating Rule Set 217.3

KAP-217.3.1 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure C-18.

KAP-217.3.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-217.3.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-217.3.4 The Branch Manager shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-217.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-217.3.6 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-217.3.7 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-217.3.8 In case of a request for exception, the Risk Management Department must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure G-28.

KAP-217.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 216 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.13.

Section 217.4 Customer Acceptance - Operating Rule Set 217.4

KAP-217.4.1 The Compliance Officer shall review identity documents within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-217.4.2 The Audit Department shall review identity documents within 25 working days of receipt and record the outcome in the Case Management system.

KAP-217.4.3 Cases involving address proofs with an exposure above Rs. 310 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.23.

KAP-217.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-217.4.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-33.

KAP-217.4.6 Cases involving risk-rating files with an exposure above Rs. 458 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.8.

KAP-217.4.7 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure G-33.

KAP-217.4.8 Cases involving account-opening forms with an exposure above Rs. 242 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.4.

KAP-217.4.9 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure G-10.

KAP-217.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-217.4.11 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 217.5 Customer Acceptance - Operating Rule Set 217.5

KAP-217.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 155 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.22.

KAP-217.5.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure A-7.

KAP-217.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be

made available to the Board Audit Committee on request.

KAP-217.5.4 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-217.5.5 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-13.

KAP-217.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-217.5.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-217.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 128 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.20.

KAP-217.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-217.5.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-217.5.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-217.5.12 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 217.6 Customer Acceptance - Operating Rule Set 217.6

KAP-217.6.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure G-23.

KAP-217.6.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure A-25.

KAP-217.6.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-217.6.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-217.6.5 The Credit Committee shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-217.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 383 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.5.

KAP-217.6.7 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-217.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-217.6.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

PART 19 - CHAPTER 218: CUSTOMER IDENTIFICATION

Section 218.1 Customer Identification - Operating Rule Set 218.1

KAP-218.1.1 The Zonal Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-218.1.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-218.1.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-218.1.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-11.

KAP-218.1.5 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-218.1.6 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2020/270 and that compliance is certified every quarter.

KAP-218.1.7 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/026 and that compliance is certified every quarter.

KAP-218.1.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-218.1.9 The Branch Manager shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-218.1.10 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 218.2 Customer Identification - Operating Rule Set 218.2

KAP-218.2.1 The Branch Manager shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Document Management system.

KAP-218.2.2 The Regional Credit Officer shall review risk-rating files within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-218.2.3 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure B-36.

KAP-218.2.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/276 and that compliance is certified every quarter.

KAP-218.2.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure F-12.

KAP-218.2.6 The Credit Committee shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-218.2.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-218.2.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-218.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 197 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

Section 218.3 Customer Identification - Operating Rule Set 218.3

KAP-218.3.1 The Operations Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-218.3.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure D-35.

KAP-218.3.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-218.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-218.3.5 The Risk Management Department shall review PEP screening results within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-218.3.6 Cases involving risk-rating files with an exposure above Rs. 460 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.11.

KAP-218.3.7 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-218.3.8 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-218.3.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

Section 218.4 Customer Identification - Operating Rule Set 218.4

KAP-218.4.1 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-218.4.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in

Circular KAP/2023/212 and that compliance is certified every quarter.

KAP-218.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 282 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.6.

KAP-218.4.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/138 and that compliance is certified every quarter.

KAP-218.4.5 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure G-21.

KAP-218.4.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/045 and that compliance is certified every quarter.

KAP-218.4.7 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure F-7.

KAP-218.4.8 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

PART 19 - CHAPTER 219: CUSTOMER DUE DILIGENCE

Section 219.1 Customer Due Diligence - Operating Rule Set 219.1

KAP-219.1.1 The Audit Department shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-219.1.2 The Branch Manager shall review account-opening forms within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-219.1.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure E-26.

KAP-219.1.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-219.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-219.1.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-219.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-219.1.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/257 and that compliance is certified every quarter.

KAP-219.1.9 The Risk Management Department shall review cash transaction reports within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-219.1.10 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure E-12.

Section 219.2 Customer Due Diligence - Operating Rule Set 219.2

KAP-219.2.1 The Audit Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-219.2.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/258 and that compliance is certified every quarter.

KAP-219.2.3 The Operations Head shall review account-opening forms within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-219.2.4 The Risk Management Department shall review cash transaction reports within 14 working days of receipt and record the outcome in the Document Management system.

KAP-219.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-219.2.6 Cases involving account-opening forms with an exposure above Rs. 497 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.23.

KAP-219.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-219.2.8 The Credit Committee shall review risk-rating files within 11 working days of receipt and record the outcome in

the Core Banking system.

KAP-219.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-219.2.10 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-219.2.11 Cases involving identity documents with an exposure above Rs. 16 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.7.

Section 219.3 Customer Due Diligence - Operating Rule Set 219.3

KAP-219.3.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-219.3.2 The Compliance Officer shall review identity documents within 27 working days of receipt and record the outcome in the Case Management system.

KAP-219.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-219.3.4 The Regional Credit Officer shall review identity documents within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-219.3.5 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-219.3.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-219.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 55 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.23.

KAP-219.3.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-219.3.9 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 219.4 Customer Due Diligence - Operating Rule Set 219.4

KAP-219.4.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-219.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 47 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.7.

KAP-219.4.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-219.4.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-219.4.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-219.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-219.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 184 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.5.

KAP-219.4.8 Cases involving video-KYC sessions with an exposure above Rs. 217 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.12.

KAP-219.4.9 Cases involving PEP screening results with an exposure above Rs. 85 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.19.

KAP-219.4.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 219.5 Customer Due Diligence - Operating Rule Set 219.5

KAP-219.5.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure G-1.

KAP-219.5.2 The Risk Management Department shall ensure that staff handling address proofs are trained on the

procedures in Circular KAP/2021/056 and that compliance is certified every quarter.

KAP-219.5.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/071 and that compliance is certified every quarter.

KAP-219.5.4 Cases involving PEP screening results with an exposure above Rs. 355 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.12.

KAP-219.5.5 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure F-31.

KAP-219.5.6 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-219.5.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-219.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-219.5.9 The Compliance Officer shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-219.5.10 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/014 and that compliance is certified every quarter.

KAP-219.5.11 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

PART 19 - CHAPTER 220: ENHANCED DUE DILIGENCE

Section 220.1 Enhanced Due Diligence - Operating Rule Set 220.1

KAP-220.1.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-220.1.2 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-220.1.3 The Branch Manager shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Document Management system.

KAP-220.1.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/231 and that compliance is certified every quarter.

KAP-220.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 12 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.16.

KAP-220.1.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure A-17.

KAP-220.1.7 The Compliance Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-220.1.8 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/140 and that compliance is certified every quarter.

KAP-220.1.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/031 and that compliance is certified every quarter.

KAP-220.1.10 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure G-12.

KAP-220.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

Section 220.2 Enhanced Due Diligence - Operating Rule Set 220.2

KAP-220.2.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-220.2.2 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-26.

KAP-220.2.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/084 and that compliance is certified every quarter.

KAP-220.2.4 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic

method, with a tolerance of 8% as approved by the Board.

KAP-220.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 227 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.19.

KAP-220.2.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure C-34.

KAP-220.2.7 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/286 and that compliance is certified every quarter.

KAP-220.2.8 The Operations Head shall review risk-rating files within 25 working days of receipt and record the outcome in the Document Management system.

Section 220.3 Enhanced Due Diligence - Operating Rule Set 220.3

KAP-220.3.1 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-220.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-220.3.3 Cases involving risk-rating files with an exposure above Rs. 222 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.13.

KAP-220.3.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure G-16.

KAP-220.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-220.3.6 Cases involving address proofs with an exposure above Rs. 411 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.22.

KAP-220.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-220.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-220.3.9 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-220.3.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-220.3.11 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-220.3.12 The Risk Management Department shall review risk-rating files within 16 working days of receipt and record the outcome in the Document Management system.

Section 220.4 Enhanced Due Diligence - Operating Rule Set 220.4

KAP-220.4.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-2.

KAP-220.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-220.4.3 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-220.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-220.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 109 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.3.

KAP-220.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 184 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.27.

KAP-220.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-220.4.8 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure H-9.

KAP-220.4.9 The Compliance Officer shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-220.4.10 The Audit Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Case Management system.

KAP-220.4.11 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-220.4.12 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/191 and that compliance is certified every quarter.

PART 19 - CHAPTER 221: RISK CATEGORISATION

Section 221.1 Risk Categorisation - Operating Rule Set 221.1

KAP-221.1.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-221.1.2 The Compliance Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-221.1.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure B-17.

KAP-221.1.4 Cases involving risk-rating files with an exposure above Rs. 326 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.24.

KAP-221.1.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-221.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-221.1.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-221.1.8 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/065 and that compliance is certified every quarter.

KAP-221.1.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

Section 221.2 Risk Categorisation - Operating Rule Set 221.2

KAP-221.2.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure G-13.

KAP-221.2.2 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-221.2.3 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-221.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-221.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 352 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.23.

KAP-221.2.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/106 and that compliance is certified every quarter.

KAP-221.2.7 The Compliance Officer shall review PEP screening results within 19 working days of receipt and record the outcome in the Case Management system.

KAP-221.2.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-7.

KAP-221.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-221.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-221.2.11 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 221.3 Risk Categorisation - Operating Rule Set 221.3

KAP-221.3.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-221.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-221.3.3 Cases involving risk-rating files with an exposure above Rs. 194 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.9.

KAP-221.3.4 Cases involving video-KYC sessions with an exposure above Rs. 171 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.14.

KAP-221.3.5 Cases involving address proofs with an exposure above Rs. 309 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.8.

KAP-221.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-221.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 408 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.7.

KAP-221.3.8 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-221.3.9 Cases involving account-opening forms with an exposure above Rs. 194 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.10.

Section 221.4 Risk Categorisation - Operating Rule Set 221.4

KAP-221.4.1 The Compliance Officer shall review cash transaction reports within 14 working days of receipt and record the outcome in the Document Management system.

KAP-221.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-221.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-221.4.4 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure G-37.

KAP-221.4.5 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure F-8.

KAP-221.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-221.4.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-221.4.8 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-221.4.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/003 and that compliance is certified every quarter.

KAP-221.4.10 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-221.4.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

Section 221.5 Risk Categorisation - Operating Rule Set 221.5

KAP-221.5.1 Cases involving risk-rating files with an exposure above Rs. 160 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.17.

KAP-221.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-221.5.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-221.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-221.5.5 Cases involving PEP screening results with an exposure above Rs. 425 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.19.

KAP-221.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-221.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 312 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.17.

KAP-221.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-221.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-221.5.10 The Credit Committee shall review risk-rating files within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-221.5.11 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure E-29.

KAP-221.5.12 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 221.6 Risk Categorisation - Operating Rule Set 221.6

KAP-221.6.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-221.6.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-221.6.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-221.6.4 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/210 and that compliance is certified every quarter.

KAP-221.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-221.6.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/001 and that compliance is certified every quarter.

KAP-221.6.7 Cases involving account-opening forms with an exposure above Rs. 470 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.28.

KAP-221.6.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-221.6.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-221.6.10 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/119 and that compliance is certified every quarter.

KAP-221.6.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

Section 221.7 Risk Categorisation - Operating Rule Set 221.7

KAP-221.7.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-221.7.2 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-221.7.3 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-221.7.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-221.7.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-221.7.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by

the 4th day of the following month.

KAP-221.7.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure G-6.

KAP-221.7.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure A-35.

KAP-221.7.9 Cases involving cash transaction reports with an exposure above Rs. 70 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.7.

KAP-221.7.10 Cases involving correspondent-bank relationships with an exposure above Rs. 201 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.27.

PART 19 - CHAPTER 222: TRANSACTION MONITORING

Section 222.1 Transaction Monitoring - Operating Rule Set 222.1

KAP-222.1.1 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-222.1.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-222.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-222.1.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-222.1.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-222.1.6 Cases involving video-KYC sessions with an exposure above Rs. 95 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.24.

KAP-222.1.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-222.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-222.1.9 The Zonal Head shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-222.1.10 Cases involving identity documents with an exposure above Rs. 227 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.1.

KAP-222.1.11 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure C-14.

Section 222.2 Transaction Monitoring - Operating Rule Set 222.2

KAP-222.2.1 Cases involving cash transaction reports with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.22.

KAP-222.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-222.2.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/003 and that compliance is certified every quarter.

KAP-222.2.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-222.2.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/034 and that compliance is certified every quarter.

KAP-222.2.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure A-11.

KAP-222.2.7 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/006 and that compliance is certified every quarter.

KAP-222.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 85 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.29.

KAP-222.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made

available to internal auditors on request.

KAP-222.2.10 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-222.2.11 The Branch Manager shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

KAP-222.2.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

Section 222.3 Transaction Monitoring - Operating Rule Set 222.3

KAP-222.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-222.3.2 Cases involving identity documents with an exposure above Rs. 35 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.28.

KAP-222.3.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

KAP-222.3.4 Cases involving address proofs with an exposure above Rs. 70 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.19.

KAP-222.3.5 The Audit Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-222.3.6 The Risk Management Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-222.3.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/256 and that compliance is certified every quarter.

KAP-222.3.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/155 and that compliance is certified every quarter.

KAP-222.3.9 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 222.4 Transaction Monitoring - Operating Rule Set 222.4

KAP-222.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-222.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 198 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.24.

KAP-222.4.3 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-222.4.4 Cases involving account-opening forms with an exposure above Rs. 70 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.18.

KAP-222.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-222.4.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-222.4.7 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure F-5.

KAP-222.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-222.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

PART 19 - CHAPTER 223: SUSPICIOUS TRANSACTION REPORTING

Section 223.1 Suspicious Transaction Reporting - Operating Rule Set 223.1

KAP-223.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 81 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.20.

KAP-223.1.2 The Regional Credit Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Case Management system.

KAP-223.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-223.1.4 Cases involving cash transaction reports with an exposure above Rs. 429 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.28.

KAP-223.1.5 Cases involving account-opening forms with an exposure above Rs. 366 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.26.

KAP-223.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-223.1.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-26.

KAP-223.1.8 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-223.1.9 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/281 and that compliance is certified every quarter.

KAP-223.1.10 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure A-28.

KAP-223.1.11 The Zonal Head shall review PEP screening results within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-223.1.12 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

Section 223.2 Suspicious Transaction Reporting - Operating Rule Set 223.2

KAP-223.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-223.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-223.2.3 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-223.2.4 Cases involving correspondent-bank relationships with an exposure above Rs. 414 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.8.

KAP-223.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-223.2.6 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-223.2.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-223.2.8 The Compliance Officer shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-223.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

Section 223.3 Suspicious Transaction Reporting - Operating Rule Set 223.3

KAP-223.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-223.3.2 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/064 and that compliance is certified every quarter.

KAP-223.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-223.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-223.3.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/094 and that compliance is certified every quarter.

KAP-223.3.6 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a

tolerance of 5% as approved by the Board.

KAP-223.3.7 Cases involving PEP screening results with an exposure above Rs. 298 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.24.

KAP-223.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 358 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.6.

Section 223.4 Suspicious Transaction Reporting - Operating Rule Set 223.4

KAP-223.4.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure D-1.

KAP-223.4.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-223.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-223.4.4 The Zonal Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Case Management system.

KAP-223.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 317 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.2.

KAP-223.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-223.4.7 Cases involving PEP screening results with an exposure above Rs. 108 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.2.

KAP-223.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-223.4.9 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-223.4.10 The Audit Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-223.4.11 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure E-27.

KAP-223.4.12 The Regional Credit Officer shall review risk-rating files within 29 working days of receipt and record the outcome in the Loan Origination system.

Section 223.5 Suspicious Transaction Reporting - Operating Rule Set 223.5

KAP-223.5.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-223.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-223.5.3 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-223.5.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-223.5.5 The Operations Head shall review address proofs within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-223.5.6 The Risk Management Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-223.5.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/297 and that compliance is certified every quarter.

KAP-223.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-223.5.9 Cases involving risk-rating files with an exposure above Rs. 433 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.29.

KAP-223.5.10 Cases involving risk-rating files with an exposure above Rs. 124 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.27.

PART 19 - CHAPTER 224: POLITICALLY EXPOSED PERSONS

Section 224.1 Politically Exposed Persons - Operating Rule Set 224.1

KAP-224.1.1 The Branch Manager shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-224.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 199 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.24.

KAP-224.1.3 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-224.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-224.1.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-224.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-224.1.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-224.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-224.1.9 The Risk Management Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Document Management system.

KAP-224.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 92 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.14.

KAP-224.1.11 The Operations Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-224.1.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/165 and that compliance is certified every quarter.

Section 224.2 Politically Exposed Persons - Operating Rule Set 224.2

KAP-224.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-224.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-224.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-224.2.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/144 and that compliance is certified every quarter.

KAP-224.2.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-224.2.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-224.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-224.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-224.2.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/041 and that compliance is certified every quarter.

Section 224.3 Politically Exposed Persons - Operating Rule Set 224.3

KAP-224.3.1 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-224.3.2 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/108 and that compliance is certified every quarter.

KAP-224.3.3 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method,

with a tolerance of 3% as approved by the Board.

KAP-224.3.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-224.3.5 Cases involving account-opening forms with an exposure above Rs. 166 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.2.

KAP-224.3.6 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-224.3.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-224.3.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-224.3.9 The Risk Management Department shall review PEP screening results within 15 working days of receipt and record the outcome in the Customer Relationship system.

Section 224.4 Politically Exposed Persons - Operating Rule Set 224.4

KAP-224.4.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-224.4.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure A-2.

KAP-224.4.3 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-224.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-224.4.5 The Credit Committee shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-224.4.6 Cases involving PEP screening results with an exposure above Rs. 428 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.22.

KAP-224.4.7 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-224.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

Section 224.5 Politically Exposed Persons - Operating Rule Set 224.5

KAP-224.5.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-224.5.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-224.5.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-224.5.4 The Branch Manager shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-224.5.5 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-224.5.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-224.5.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-36.

KAP-224.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-224.5.9 The Compliance Officer shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-224.5.10 The Risk Management Department shall review cash transaction reports within 22 working days of receipt and record the outcome in the Document Management system.

PART 19 - CHAPTER 225: BENEFICIAL OWNERSHIP

Section 225.1 Beneficial Ownership - Operating Rule Set 225.1

KAP-225.1.1 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/202 and that compliance is certified every quarter.

KAP-225.1.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-225.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-225.1.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-225.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-225.1.6 The Zonal Head shall review account-opening forms within 27 working days of receipt and record the outcome in the Case Management system.

KAP-225.1.7 The Credit Committee shall review PEP screening results within 18 working days of receipt and record the outcome in the Case Management system.

KAP-225.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-225.1.9 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure H-32.

KAP-225.1.10 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-225.1.11 Cases involving correspondent-bank relationships with an exposure above Rs. 449 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.18.

Section 225.2 Beneficial Ownership - Operating Rule Set 225.2

KAP-225.2.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure C-28.

KAP-225.2.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/288 and that compliance is certified every quarter.

KAP-225.2.3 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/299 and that compliance is certified every quarter.

KAP-225.2.4 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure A-1.

KAP-225.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-225.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-225.2.7 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-225.2.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 225.3 Beneficial Ownership - Operating Rule Set 225.3

KAP-225.3.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-225.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-225.3.3 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-225.3.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/016 and that compliance is certified every quarter.

KAP-225.3.5 Cases involving risk-rating files with an exposure above Rs. 266 lakh require prior written approval from the

Audit Department; otherwise the case is an exception under Clause 15.12.

KAP-225.3.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-225.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-225.3.8 The Branch Manager shall review PEP screening results within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-225.3.9 Cases involving account-opening forms with an exposure above Rs. 490 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.14.

KAP-225.3.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

Section 225.4 Beneficial Ownership - Operating Rule Set 225.4

KAP-225.4.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-225.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-225.4.3 The Risk Management Department shall review address proofs within 3 working days of receipt and record the outcome in the Document Management system.

KAP-225.4.4 Cases involving account-opening forms with an exposure above Rs. 366 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.20.

KAP-225.4.5 The Operations Head shall review address proofs within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-225.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 178 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.15.

KAP-225.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-225.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 288 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.16.

KAP-225.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

Section 225.5 Beneficial Ownership - Operating Rule Set 225.5

KAP-225.5.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-225.5.2 Cases involving correspondent-bank relationships with an exposure above Rs. 56 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.15.

KAP-225.5.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/121 and that compliance is certified every quarter.

KAP-225.5.4 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/133 and that compliance is certified every quarter.

KAP-225.5.5 Cases involving account-opening forms with an exposure above Rs. 373 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.27.

KAP-225.5.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-225.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-225.5.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-225.5.9 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/028 and that compliance is certified every quarter.

PART 19 - CHAPTER 226: RECORD KEEPING

Section 226.1 Record Keeping - Operating Rule Set 226.1

KAP-226.1.1 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-13.

KAP-226.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-226.1.3 Cases involving PEP screening results with an exposure above Rs. 382 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.20.

KAP-226.1.4 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure C-17.

KAP-226.1.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-226.1.6 The Credit Committee shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Document Management system.

KAP-226.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-226.1.8 The Credit Committee shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-226.1.9 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/240 and that compliance is certified every quarter.

KAP-226.1.10 Cases involving account-opening forms with an exposure above Rs. 247 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.2.

KAP-226.1.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 23 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.29.

Section 226.2 Record Keeping - Operating Rule Set 226.2

KAP-226.2.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-226.2.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure D-19.

KAP-226.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-226.2.4 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-226.2.5 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-226.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-226.2.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-226.2.8 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/178 and that compliance is certified every quarter.

KAP-226.2.9 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/228 and that compliance is certified every quarter.

KAP-226.2.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-226.2.11 In case of a regulatory query, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-27.

KAP-226.2.12 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

Section 226.3 Record Keeping - Operating Rule Set 226.3

KAP-226.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-226.3.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after

giving the customer 9 days written notice.

KAP-226.3.3 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure E-23.

KAP-226.3.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/073 and that compliance is certified every quarter.

KAP-226.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 392 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.1.

KAP-226.3.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure D-9.

KAP-226.3.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure C-25.

KAP-226.3.8 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-226.3.9 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure G-36.

KAP-226.3.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure H-26.

Section 226.4 Record Keeping - Operating Rule Set 226.4

KAP-226.4.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure A-17.

KAP-226.4.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-226.4.3 The Regional Credit Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-226.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-226.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-226.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-226.4.7 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-226.4.8 The Zonal Head shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-226.4.9 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 226.5 Record Keeping - Operating Rule Set 226.5

KAP-226.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-226.5.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure E-29.

KAP-226.5.3 The Branch Manager shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-226.5.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/239 and that compliance is certified every quarter.

KAP-226.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-226.5.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-226.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 405 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.8.

KAP-226.5.8 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure B-23.

KAP-226.5.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure H-23.

PART 19 - CHAPTER 227: STAFF TRAINING

Section 227.1 Staff Training - Operating Rule Set 227.1

KAP-227.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-227.1.2 Cases involving risk-rating files with an exposure above Rs. 352 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.22.

KAP-227.1.3 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure B-21.

KAP-227.1.4 Cases involving address proofs with an exposure above Rs. 236 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.12.

KAP-227.1.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure H-3.

KAP-227.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-227.1.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-227.1.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-227.1.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-227.1.10 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-227.1.11 Cases involving beneficial-owner declarations with an exposure above Rs. 219 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.22.

KAP-227.1.12 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 227.2 Staff Training - Operating Rule Set 227.2

KAP-227.2.1 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure D-27.

KAP-227.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-227.2.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-227.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-227.2.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-227.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-227.2.7 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-22.

KAP-227.2.8 Cases involving address proofs with an exposure above Rs. 213 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.23.

KAP-227.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-227.2.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure H-20.

KAP-227.2.11 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

Section 227.3 Staff Training - Operating Rule Set 227.3

KAP-227.3.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/233 and that compliance is certified every quarter.

KAP-227.3.2 Cases involving account-opening forms with an exposure above Rs. 150 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.30.

KAP-227.3.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-227.3.4 The Audit Department shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-227.3.5 The Compliance Officer shall review PEP screening results within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-227.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 421 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.29.

KAP-227.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-227.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

Section 227.4 Staff Training - Operating Rule Set 227.4

KAP-227.4.1 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure F-26.

KAP-227.4.2 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/162 and that compliance is certified every quarter.

KAP-227.4.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure A-33.

KAP-227.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-227.4.5 The Operations Head shall review address proofs within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-227.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-227.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-227.4.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-227.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-227.4.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-227.4.11 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure C-8.

KAP-227.4.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-227.4.13 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-227.4.14 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

Section 227.5 Staff Training - Operating Rule Set 227.5

KAP-227.5.1 Cases involving video-KYC sessions with an exposure above Rs. 270 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.14.

KAP-227.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-227.5.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure D-38.

KAP-227.5.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-227.5.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-13.

KAP-227.5.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-227.5.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-227.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 454 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.22.

KAP-227.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-227.5.10 Cases involving identity documents with an exposure above Rs. 197 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.30.

KAP-227.5.11 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure A-18.

Section 227.6 Staff Training - Operating Rule Set 227.6

KAP-227.6.1 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/216 and that compliance is certified every quarter.

KAP-227.6.2 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/221 and that compliance is certified every quarter.

KAP-227.6.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-227.6.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/072 and that compliance is certified every quarter.

KAP-227.6.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-227.6.6 The Compliance Officer shall review risk-rating files within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-227.6.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-227.6.8 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/088 and that compliance is certified every quarter.

KAP-227.6.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-227.6.10 The Operations Head shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Risk Engine system.

Section 227.7 Staff Training - Operating Rule Set 227.7

KAP-227.7.1 Cases involving address proofs with an exposure above Rs. 103 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.20.

KAP-227.7.2 The Risk Management Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-227.7.3 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-227.7.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-227.7.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2019/139 and that compliance is certified every quarter.

KAP-227.7.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-227.7.7 Cases involving risk-rating files with an exposure above Rs. 84 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.14.

KAP-227.7.8 Cases involving beneficial-owner declarations with an exposure above Rs. 266 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.7.

KAP-227.7.9 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-227.7.10 The Credit Committee shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Document Management system.

PART 19 - CHAPTER 228: INDEPENDENT AUDIT

Section 228.1 Independent Audit - Operating Rule Set 228.1

KAP-228.1.1 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/027 and that compliance is certified every quarter.

KAP-228.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-228.1.3 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-228.1.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-228.1.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-228.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-228.1.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-29.

KAP-228.1.8 Cases involving risk-rating files with an exposure above Rs. 346 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.1.

KAP-228.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-228.1.10 Cases involving risk-rating files with an exposure above Rs. 177 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.9.

KAP-228.1.11 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure A-21.

Section 228.2 Independent Audit - Operating Rule Set 228.2

KAP-228.2.1 The Regional Credit Officer shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-228.2.2 The Zonal Head shall review address proofs within 23 working days of receipt and record the outcome in the Case Management system.

KAP-228.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-228.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-228.2.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure G-17.

KAP-228.2.6 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/051 and that compliance is certified every quarter.

KAP-228.2.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure H-32.

KAP-228.2.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after

giving the customer 22 days written notice.

KAP-228.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

Section 228.3 Independent Audit - Operating Rule Set 228.3

KAP-228.3.1 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-228.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-228.3.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure B-11.

KAP-228.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-228.3.5 The Audit Department shall review account-opening forms within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-228.3.6 The Credit Committee shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-228.3.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/019 and that compliance is certified every quarter.

KAP-228.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-228.3.9 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure A-10.

Section 228.4 Independent Audit - Operating Rule Set 228.4

KAP-228.4.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-228.4.2 The Regional Credit Officer shall review address proofs within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-228.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-228.4.4 The Regional Credit Officer shall review address proofs within 27 working days of receipt and record the outcome in the Case Management system.

KAP-228.4.5 The Audit Department shall review identity documents within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-228.4.6 The Branch Manager shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-228.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-228.4.8 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-228.4.9 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure B-28.

Section 228.5 Independent Audit - Operating Rule Set 228.5

KAP-228.5.1 The Zonal Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Case Management system.

KAP-228.5.2 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-33.

KAP-228.5.3 Cases involving risk-rating files with an exposure above Rs. 359 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.19.

KAP-228.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-228.5.5 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional

Credit Officer within 16 working days, with the supporting documents listed in Annexure B-38.

KAP-228.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-228.5.7 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure F-37.

KAP-228.5.8 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure C-39.

KAP-228.5.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure H-16.

Section 228.6 Independent Audit - Operating Rule Set 228.6

KAP-228.6.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure B-37.

KAP-228.6.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-228.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-228.6.4 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure F-20.

KAP-228.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-228.6.6 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

KAP-228.6.7 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-228.6.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure H-13.

KAP-228.6.9 The Compliance Officer shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Case Management system.

KAP-228.6.10 Cases involving cash transaction reports with an exposure above Rs. 306 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.5.

KAP-228.6.11 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure E-6.

Section 228.7 Independent Audit - Operating Rule Set 228.7

KAP-228.7.1 The Branch Manager shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-228.7.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-228.7.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-228.7.4 The Audit Department shall review identity documents within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-228.7.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-228.7.6 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-228.7.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-228.7.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-228.7.9 The Operations Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-228.7.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-228.7.11 Cases involving account-opening forms with an exposure above Rs. 386 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.14.

PART 20 - CHAPTER 229: CUSTOMER ACCEPTANCE

Section 229.1 Customer Acceptance - Operating Rule Set 229.1

KAP-229.1.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-229.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-229.1.3 The Operations Head shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-229.1.4 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure G-40.

KAP-229.1.5 Cases involving risk-rating files with an exposure above Rs. 79 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.22.

KAP-229.1.6 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/294 and that compliance is certified every quarter.

KAP-229.1.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-229.1.8 Cases involving video-KYC sessions with an exposure above Rs. 93 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.4.

Section 229.2 Customer Acceptance - Operating Rule Set 229.2

KAP-229.2.1 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure A-39.

KAP-229.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 433 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.1.

KAP-229.2.3 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-229.2.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-229.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-229.2.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure E-6.

KAP-229.2.7 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure F-14.

KAP-229.2.8 The Zonal Head shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-229.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-229.2.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure A-23.

KAP-229.2.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 229.3 Customer Acceptance - Operating Rule Set 229.3

KAP-229.3.1 The Zonal Head shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-229.3.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure C-5.

KAP-229.3.3 Cases involving risk-rating files with an exposure above Rs. 374 lakh require prior written approval from the

Compliance Officer; otherwise the case is an exception under Clause 13.24.

KAP-229.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-229.3.5 The Credit Committee shall review identity documents within 21 working days of receipt and record the outcome in the Case Management system.

KAP-229.3.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-229.3.7 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-229.3.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-229.3.9 The Regional Credit Officer shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-229.3.10 The Operations Head shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Document Management system.

KAP-229.3.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

Section 229.4 Customer Acceptance - Operating Rule Set 229.4

KAP-229.4.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-229.4.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/060 and that compliance is certified every quarter.

KAP-229.4.3 The Audit Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-229.4.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-229.4.5 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-229.4.6 The Regional Credit Officer shall review PEP screening results within 16 working days of receipt and record the outcome in the Document Management system.

KAP-229.4.7 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-229.4.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-229.4.9 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

PART 20 - CHAPTER 230: CUSTOMER IDENTIFICATION

Section 230.1 Customer Identification - Operating Rule Set 230.1

KAP-230.1.1 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-230.1.2 The Regional Credit Officer shall review identity documents within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-230.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-230.1.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-230.1.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure B-31.

KAP-230.1.6 Cases involving cash transaction reports with an exposure above Rs. 8 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.7.

KAP-230.1.7 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a

tolerance of 7% as approved by the Board.

KAP-230.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-230.1.9 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure D-4.

KAP-230.1.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure D-11.

KAP-230.1.11 Cases involving account-opening forms with an exposure above Rs. 268 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.10.

Section 230.2 Customer Identification - Operating Rule Set 230.2

KAP-230.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-230.2.2 Cases involving risk-rating files with an exposure above Rs. 56 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.28.

KAP-230.2.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-230.2.4 The Zonal Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-230.2.5 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure A-21.

KAP-230.2.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-230.2.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure H-37.

KAP-230.2.8 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-230.2.9 Cases involving cash transaction reports with an exposure above Rs. 19 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.23.

Section 230.3 Customer Identification - Operating Rule Set 230.3

KAP-230.3.1 Cases involving address proofs with an exposure above Rs. 212 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.12.

KAP-230.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-230.3.3 Cases involving account-opening forms with an exposure above Rs. 186 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.29.

KAP-230.3.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-230.3.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/150 and that compliance is certified every quarter.

KAP-230.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-230.3.7 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-230.3.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure H-39.

KAP-230.3.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/073 and that compliance is certified every quarter.

KAP-230.3.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/018 and that compliance is certified every quarter.

KAP-230.3.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure E-33.

Section 230.4 Customer Identification - Operating Rule Set 230.4

KAP-230.4.1 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/299 and that compliance is certified every quarter.

KAP-230.4.2 The Zonal Head shall review PEP screening results within 14 working days of receipt and record the outcome in the Case Management system.

KAP-230.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-230.4.4 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/243 and that compliance is certified every quarter.

KAP-230.4.5 Cases involving identity documents with an exposure above Rs. 342 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.26.

KAP-230.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-230.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 421 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.13.

KAP-230.4.8 The Compliance Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-230.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-230.4.10 Cases involving address proofs with an exposure above Rs. 329 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.3.

Section 230.5 Customer Identification - Operating Rule Set 230.5

KAP-230.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-230.5.2 The Credit Committee shall review identity documents within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-230.5.3 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-230.5.4 The Operations Head shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Case Management system.

KAP-230.5.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-230.5.6 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-230.5.7 Cases involving account-opening forms with an exposure above Rs. 328 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.17.

KAP-230.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-230.5.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/158 and that compliance is certified every quarter.

KAP-230.5.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-230.5.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-230.5.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 146 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.8.

Section 230.6 Customer Identification - Operating Rule Set 230.6

KAP-230.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-230.6.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-230.6.3 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-230.6.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-230.6.5 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/046 and that compliance is certified every quarter.

KAP-230.6.6 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-230.6.7 The Risk Management Department shall review account-opening forms within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-230.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-230.6.9 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/112 and that compliance is certified every quarter.

PART 20 - CHAPTER 231: CUSTOMER DUE DILIGENCE

Section 231.1 Customer Due Diligence - Operating Rule Set 231.1

KAP-231.1.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-231.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-231.1.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure F-38.

KAP-231.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-231.1.5 Cases involving video-KYC sessions with an exposure above Rs. 109 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.11.

KAP-231.1.6 The Risk Management Department shall review identity documents within 16 working days of receipt and record the outcome in the Case Management system.

KAP-231.1.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure F-22.

KAP-231.1.8 Cases involving video-KYC sessions with an exposure above Rs. 109 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.18.

KAP-231.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-231.1.10 The Risk Management Department shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Core Banking system.

Section 231.2 Customer Due Diligence - Operating Rule Set 231.2

KAP-231.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-231.2.2 The Compliance Officer shall review account-opening forms within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-231.2.3 The Regional Credit Officer shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-231.2.4 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure A-19.

KAP-231.2.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/152 and that compliance is certified every quarter.

KAP-231.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 185 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.1.

KAP-231.2.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-231.2.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/110 and that compliance is certified every quarter.

KAP-231.2.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-231.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-231.2.11 The Audit Department shall review risk-rating files within 17 working days of receipt and record the outcome in the Document Management system.

Section 231.3 Customer Due Diligence - Operating Rule Set 231.3

KAP-231.3.1 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure B-33.

KAP-231.3.2 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-231.3.3 The Branch Manager shall review PEP screening results within 16 working days of receipt and record the outcome in the Case Management system.

KAP-231.3.4 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-231.3.5 The Compliance Officer shall review address proofs within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-231.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-231.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-231.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-231.3.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-231.3.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

Section 231.4 Customer Due Diligence - Operating Rule Set 231.4

KAP-231.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-231.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-231.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-231.4.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-231.4.5 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-231.4.6 The Branch Manager shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

KAP-231.4.7 The Zonal Head shall review identity documents within 2 working days of receipt and record the outcome in the Document Management system.

KAP-231.4.8 Cases involving PEP screening results with an exposure above Rs. 268 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.30.

KAP-231.4.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 231.5 Customer Due Diligence - Operating Rule Set 231.5

KAP-231.5.1 The Branch Manager shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-231.5.2 Cases involving address proofs with an exposure above Rs. 114 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.9.

KAP-231.5.3 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/243 and that compliance is certified every quarter.

KAP-231.5.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-231.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-231.5.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure H-11.

KAP-231.5.7 The Compliance Officer shall review address proofs within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-231.5.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

PART 20 - CHAPTER 232: ENHANCED DUE DILIGENCE

Section 232.1 Enhanced Due Diligence - Operating Rule Set 232.1

KAP-232.1.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/178 and that compliance is certified every quarter.

KAP-232.1.2 Cases involving video-KYC sessions with an exposure above Rs. 383 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.21.

KAP-232.1.3 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-232.1.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-232.1.5 The Compliance Officer shall review risk-rating files within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-232.1.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure A-31.

KAP-232.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-232.1.8 Cases involving PEP screening results with an exposure above Rs. 187 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.23.

KAP-232.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-232.1.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

Section 232.2 Enhanced Due Diligence - Operating Rule Set 232.2

KAP-232.2.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/281 and that compliance is certified every quarter.

KAP-232.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 369 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.4.

KAP-232.2.3 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-232.2.4 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure A-31.

KAP-232.2.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure B-32.

KAP-232.2.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-232.2.7 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-12.

KAP-232.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-232.2.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/038 and that compliance is certified every quarter.

Section 232.3 Enhanced Due Diligence - Operating Rule Set 232.3

KAP-232.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-232.3.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure H-25.

KAP-232.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-232.3.4 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/162 and that compliance is certified every quarter.

KAP-232.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 320 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.18.

KAP-232.3.6 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/050 and that compliance is certified every quarter.

KAP-232.3.7 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-232.3.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure A-14.

KAP-232.3.9 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-232.3.10 Cases involving address proofs with an exposure above Rs. 406 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.17.

KAP-232.3.11 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure H-34.

Section 232.4 Enhanced Due Diligence - Operating Rule Set 232.4

KAP-232.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-232.4.2 Cases involving cash transaction reports with an exposure above Rs. 30 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.20.

KAP-232.4.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-232.4.4 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/221 and that compliance is certified every quarter.

KAP-232.4.5 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure H-28.

KAP-232.4.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure B-3.

KAP-232.4.7 The Credit Committee shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-232.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-232.4.9 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/197 and that compliance is certified every quarter.

KAP-232.4.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/227 and that compliance is certified every quarter.

Section 232.5 Enhanced Due Diligence - Operating Rule Set 232.5

KAP-232.5.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-232.5.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-KEY-04 A Suspicious Transaction Report must be filed within 5 working days of the Principal Officer concluding that a transaction is suspicious.

KAP-232.5.3 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-232.5.4 Cases involving video-KYC sessions with an exposure above Rs. 272 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.1.

KAP-232.5.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-232.5.6 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/001 and that compliance is certified every quarter.

KAP-232.5.7 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure F-7.

KAP-232.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-232.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-232.5.10 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/157 and that compliance is certified every quarter.

KAP-232.5.11 Cases involving correspondent-bank relationships with an exposure above Rs. 495 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.10.

Section 232.6 Enhanced Due Diligence - Operating Rule Set 232.6

KAP-232.6.1 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure C-40.

KAP-232.6.2 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/128 and that compliance is certified every quarter.

KAP-232.6.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-232.6.4 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-232.6.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-232.6.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-232.6.7 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/054 and that compliance is certified every quarter.

KAP-232.6.8 The Regional Credit Officer shall review PEP screening results within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-232.6.9 The Compliance Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

Section 232.7 Enhanced Due Diligence - Operating Rule Set 232.7

KAP-232.7.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-232.7.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-232.7.3 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-232.7.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-232.7.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving

the customer 29 days written notice.

KAP-232.7.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-232.7.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-232.7.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-232.7.9 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/206 and that compliance is certified every quarter.

PART 20 - CHAPTER 233: RISK CATEGORISATION

Section 233.1 Risk Categorisation - Operating Rule Set 233.1

KAP-233.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-233.1.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-233.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-233.1.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/216 and that compliance is certified every quarter.

KAP-233.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-233.1.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-233.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 165 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.8.

KAP-233.1.8 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-39.

KAP-233.1.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-233.1.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-233.1.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-233.1.12 Cases involving account-opening forms with an exposure above Rs. 369 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.8.

Section 233.2 Risk Categorisation - Operating Rule Set 233.2

KAP-233.2.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-233.2.2 Cases involving account-opening forms with an exposure above Rs. 418 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.28.

KAP-233.2.3 The Regional Credit Officer shall review identity documents within 9 working days of receipt and record the outcome in the Case Management system.

KAP-233.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-233.2.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-233.2.6 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/279 and that compliance is certified every quarter.

KAP-233.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-233.2.8 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2022/207 and that compliance is certified every quarter.

KAP-233.2.9 Cases involving identity documents with an exposure above Rs. 423 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.24.

Section 233.3 Risk Categorisation - Operating Rule Set 233.3

KAP-233.3.1 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/257 and that compliance is certified every quarter.

KAP-233.3.2 Cases involving identity documents with an exposure above Rs. 55 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.4.

KAP-233.3.3 Cases involving risk-rating files with an exposure above Rs. 228 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.10.

KAP-233.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-233.3.5 Cases involving risk-rating files with an exposure above Rs. 107 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.18.

KAP-233.3.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-233.3.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/186 and that compliance is certified every quarter.

KAP-233.3.8 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 233.4 Risk Categorisation - Operating Rule Set 233.4

KAP-233.4.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-233.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-233.4.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-233.4.4 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-233.4.5 Cases involving video-KYC sessions with an exposure above Rs. 373 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.1.

KAP-233.4.6 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-233.4.7 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure G-9.

KAP-233.4.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure C-35.

KAP-233.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

PART 20 - CHAPTER 234: TRANSACTION MONITORING

Section 234.1 Transaction Monitoring - Operating Rule Set 234.1

KAP-234.1.1 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/073 and that compliance is certified every quarter.

KAP-234.1.2 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-234.1.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-234.1.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-234.1.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure G-4.

KAP-234.1.6 Cases involving PEP screening results with an exposure above Rs. 17 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.8.

KAP-234.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-234.1.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-234.1.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/007 and that compliance is certified every quarter.

Section 234.2 Transaction Monitoring - Operating Rule Set 234.2

KAP-234.2.1 The Regional Credit Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Document Management system.

KAP-234.2.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-234.2.3 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/095 and that compliance is certified every quarter.

KAP-234.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-234.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-234.2.6 The Branch Manager shall review cash transaction reports within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-234.2.7 Cases involving account-opening forms with an exposure above Rs. 248 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.18.

KAP-234.2.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-234.2.9 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure C-27.

Section 234.3 Transaction Monitoring - Operating Rule Set 234.3

KAP-234.3.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-234.3.2 Cases involving PEP screening results with an exposure above Rs. 393 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.28.

KAP-234.3.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/220 and that compliance is certified every quarter.

KAP-234.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-234.3.5 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-234.3.6 The Compliance Officer shall review PEP screening results within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-234.3.7 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-234.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-234.3.9 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 234.4 Transaction Monitoring - Operating Rule Set 234.4

KAP-234.4.1 Cases involving identity documents with an exposure above Rs. 209 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.2.

KAP-234.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-234.4.3 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-234.4.4 Cases involving beneficial-owner declarations with an exposure above Rs. 386 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.25.

KAP-234.4.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure E-16.

KAP-234.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-234.4.7 The Compliance Officer shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Document Management system.

KAP-234.4.8 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-234.4.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-234.4.10 Cases involving address proofs with an exposure above Rs. 121 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.25.

KAP-234.4.11 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 234.5 Transaction Monitoring - Operating Rule Set 234.5

KAP-234.5.1 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-234.5.2 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/181 and that compliance is certified every quarter.

KAP-234.5.3 Cases involving risk-rating files with an exposure above Rs. 302 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.27.

KAP-234.5.4 The Credit Committee shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-234.5.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-234.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-234.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-234.5.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-234.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 234.6 Transaction Monitoring - Operating Rule Set 234.6

KAP-234.6.1 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-234.6.2 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/010 and that compliance is certified every quarter.

KAP-234.6.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/199 and that compliance is certified every quarter.

KAP-234.6.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-234.6.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-234.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-234.6.7 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a

tolerance of 9% as approved by the Board.

KAP-234.6.8 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 234.7 Transaction Monitoring - Operating Rule Set 234.7

KAP-234.7.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-234.7.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure F-29.

KAP-234.7.3 The Audit Department shall review account-opening forms within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-234.7.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure F-31.

KAP-234.7.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-234.7.6 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-234.7.7 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-234.7.8 The Branch Manager shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Case Management system.

KAP-234.7.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

PART 20 - CHAPTER 235: SUSPICIOUS TRANSACTION REPORTING

Section 235.1 Suspicious Transaction Reporting - Operating Rule Set 235.1

KAP-235.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 112 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.11.

KAP-235.1.2 The Regional Credit Officer shall review account-opening forms within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-235.1.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure H-35.

KAP-235.1.4 The Compliance Officer shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Document Management system.

KAP-235.1.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-235.1.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-235.1.7 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-235.1.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure F-16.

KAP-235.1.9 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure B-9.

Section 235.2 Suspicious Transaction Reporting - Operating Rule Set 235.2

KAP-235.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 222 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.20.

KAP-235.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-235.2.3 The Branch Manager shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-235.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-235.2.5 The Branch Manager shall review cash transaction reports within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-235.2.6 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/037 and that compliance is certified every quarter.

KAP-235.2.7 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-235.2.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-235.2.9 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-22.

Section 235.3 Suspicious Transaction Reporting - Operating Rule Set 235.3

KAP-235.3.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure D-40.

KAP-235.3.2 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-235.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 256 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.26.

KAP-235.3.4 The Regional Credit Officer shall review account-opening forms within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-235.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-235.3.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-235.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-235.3.8 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-235.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-235.3.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/149 and that compliance is certified every quarter.

KAP-235.3.11 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/184 and that compliance is certified every quarter.

KAP-235.3.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 235.4 Suspicious Transaction Reporting - Operating Rule Set 235.4

KAP-235.4.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-235.4.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-235.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-235.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-235.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-235.4.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-235.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-235.4.8 Cases involving identity documents with an exposure above Rs. 24 lakh require prior written approval from the

Risk Management Department; otherwise the case is an exception under Clause 18.18.

KAP-235.4.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-235.4.10 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure D-4.

Section 235.5 Suspicious Transaction Reporting - Operating Rule Set 235.5

KAP-235.5.1 Cases involving PEP screening results with an exposure above Rs. 126 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.2.

KAP-235.5.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-235.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-235.5.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-235.5.5 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure G-38.

KAP-235.5.6 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-235.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-235.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-235.5.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

Section 235.6 Suspicious Transaction Reporting - Operating Rule Set 235.6

KAP-235.6.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure H-36.

KAP-235.6.2 The Zonal Head shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-235.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-235.6.4 The Audit Department shall review cash transaction reports within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-235.6.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-235.6.6 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-235.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-235.6.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-235.6.9 The Compliance Officer shall review identity documents within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-235.6.10 The Compliance Officer shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-235.6.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

Section 235.7 Suspicious Transaction Reporting - Operating Rule Set 235.7

KAP-235.7.1 Cases involving beneficial-owner declarations with an exposure above Rs. 158 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.2.

KAP-235.7.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 9 and be made available to internal auditors on request.

KAP-235.7.3 Cases involving risk-rating files with an exposure above Rs. 308 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.5.

KAP-235.7.4 The Risk Management Department shall review account-opening forms within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-235.7.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/185 and that compliance is certified every quarter.

KAP-235.7.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-235.7.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/053 and that compliance is certified every quarter.

KAP-235.7.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure D-16.

KAP-235.7.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure F-26.

KAP-235.7.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 128 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.22.

KAP-235.7.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-235.7.12 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

PART 20 - CHAPTER 236: POLITICALLY EXPOSED PERSONS

Section 236.1 Politically Exposed Persons - Operating Rule Set 236.1

KAP-236.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-236.1.2 Cases involving address proofs with an exposure above Rs. 124 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.5.

KAP-236.1.3 Cases involving risk-rating files with an exposure above Rs. 48 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.6.

KAP-236.1.4 Cases involving cash transaction reports with an exposure above Rs. 97 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.5.

KAP-236.1.5 The Risk Management Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-236.1.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-236.1.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure A-5.

KAP-236.1.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

Section 236.2 Politically Exposed Persons - Operating Rule Set 236.2

KAP-236.2.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/126 and that compliance is certified every quarter.

KAP-236.2.2 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-236.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-236.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-236.2.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure E-33.

KAP-236.2.6 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 14

working days, with the supporting documents listed in Annexure H-19.

KAP-236.2.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-236.2.8 Cases involving video-KYC sessions with an exposure above Rs. 202 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.20.

KAP-236.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-236.2.10 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 236.3 Politically Exposed Persons - Operating Rule Set 236.3

KAP-236.3.1 The Operations Head shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Document Management system.

KAP-236.3.2 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-236.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-236.3.4 The Audit Department shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Case Management system.

KAP-236.3.5 Cases involving risk-rating files with an exposure above Rs. 90 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.18.

KAP-236.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-236.3.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure B-28.

KAP-236.3.8 Cases involving cash transaction reports with an exposure above Rs. 39 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.12.

KAP-236.3.9 The Operations Head shall review risk-rating files within 6 working days of receipt and record the outcome in the Case Management system.

KAP-236.3.10 The Regional Credit Officer shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

Section 236.4 Politically Exposed Persons - Operating Rule Set 236.4

KAP-236.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-236.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-236.4.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-236.4.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/292 and that compliance is certified every quarter.

KAP-236.4.5 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-9.

KAP-236.4.6 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure A-38.

KAP-236.4.7 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure A-34.

KAP-236.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-236.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-236.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-236.4.11 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 236.5 Politically Exposed Persons - Operating Rule Set 236.5

KAP-236.5.1 The Compliance Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-236.5.2 The Operations Head shall review cash transaction reports within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-236.5.3 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-236.5.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-236.5.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/019 and that compliance is certified every quarter.

KAP-236.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 18 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.8.

KAP-236.5.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-236.5.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure G-9.

KAP-236.5.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

PART 20 - CHAPTER 237: BENEFICIAL OWNERSHIP

Section 237.1 Beneficial Ownership - Operating Rule Set 237.1

KAP-237.1.1 The Compliance Officer shall review cash transaction reports within 16 working days of receipt and record the outcome in the Document Management system.

KAP-237.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 182 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.19.

KAP-237.1.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-237.1.4 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-237.1.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-237.1.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-237.1.7 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-237.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 237.2 Beneficial Ownership - Operating Rule Set 237.2

KAP-237.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-237.2.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/263 and that compliance is certified every quarter.

KAP-237.2.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-10.

KAP-237.2.4 Cases involving account-opening forms with an exposure above Rs. 346 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.1.

KAP-237.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-237.2.6 Cases involving video-KYC sessions with an exposure above Rs. 125 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 3.27.

KAP-237.2.7 The Compliance Officer shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-237.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-237.2.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure G-29.

Section 237.3 Beneficial Ownership - Operating Rule Set 237.3

KAP-237.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-237.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-237.3.3 Cases involving cash transaction reports with an exposure above Rs. 248 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.22.

KAP-237.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-237.3.5 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-237.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-237.3.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure F-29.

KAP-237.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-237.3.9 The Branch Manager shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-237.3.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 237.4 Beneficial Ownership - Operating Rule Set 237.4

KAP-237.4.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-237.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-237.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-237.4.4 The Credit Committee shall review cash transaction reports within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-237.4.5 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-237.4.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/013 and that compliance is certified every quarter.

KAP-237.4.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/220 and that compliance is certified every quarter.

KAP-237.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-237.4.9 The Zonal Head shall review address proofs within 15 working days of receipt and record the outcome in the Document Management system.

KAP-237.4.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-237.4.11 Cases involving account-opening forms with an exposure above Rs. 420 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.13.

Section 237.5 Beneficial Ownership - Operating Rule Set 237.5

KAP-237.5.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure F-16.

KAP-237.5.2 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-237.5.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-237.5.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure A-15.

KAP-237.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 329 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.22.

KAP-237.5.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure C-4.

KAP-237.5.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-237.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-237.5.9 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

Section 237.6 Beneficial Ownership - Operating Rule Set 237.6

KAP-237.6.1 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-237.6.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-237.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-237.6.4 Cases involving address proofs with an exposure above Rs. 350 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.5.

KAP-237.6.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-237.6.6 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-237.6.7 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-237.6.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-237.6.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure H-21.

KAP-237.6.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/155 and that compliance is certified every quarter.

KAP-237.6.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-237.6.12 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 237.7 Beneficial Ownership - Operating Rule Set 237.7

KAP-237.7.1 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-237.7.2 Cases involving account-opening forms with an exposure above Rs. 476 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.6.

KAP-237.7.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure A-23.

KAP-237.7.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-237.7.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-237.7.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-237.7.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-237.7.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/066 and that compliance is certified every quarter.

KAP-237.7.9 Cases involving account-opening forms with an exposure above Rs. 203 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.25.

KAP-237.7.10 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

PART 20 - CHAPTER 238: RECORD KEEPING

Section 238.1 Record Keeping - Operating Rule Set 238.1

KAP-238.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-238.1.2 Cases involving account-opening forms with an exposure above Rs. 197 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.25.

KAP-238.1.3 Cases involving identity documents with an exposure above Rs. 470 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.25.

KAP-238.1.4 Cases involving identity documents with an exposure above Rs. 42 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.13.

KAP-238.1.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/123 and that compliance is certified every quarter.

KAP-238.1.6 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-238.1.7 Cases involving risk-rating files with an exposure above Rs. 212 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.1.

KAP-238.1.8 The Credit Committee shall review risk-rating files within 2 working days of receipt and record the outcome in the Document Management system.

KAP-238.1.9 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-238.1.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-8.

KAP-238.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-238.1.12 Cases involving PEP screening results with an exposure above Rs. 473 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.27.

KAP-238.1.13 Cases involving beneficial-owner declarations with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.30.

Section 238.2 Record Keeping - Operating Rule Set 238.2

KAP-238.2.1 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure F-19.

KAP-238.2.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure D-35.

KAP-238.2.3 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure G-2.

KAP-238.2.4 The Credit Committee shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-238.2.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/102 and that compliance is certified every quarter.

KAP-238.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 54 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.16.

KAP-238.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-238.2.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure F-33.

Section 238.3 Record Keeping - Operating Rule Set 238.3

KAP-238.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-238.3.2 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/298 and that compliance is certified every quarter.

KAP-238.3.3 The Branch Manager shall review cash transaction reports within 17 working days of receipt and record the outcome in the Document Management system.

KAP-238.3.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-238.3.5 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-238.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-238.3.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-238.3.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/006 and that compliance is certified every quarter.

Section 238.4 Record Keeping - Operating Rule Set 238.4

KAP-238.4.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-238.4.2 The Zonal Head shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-238.4.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure F-3.

KAP-238.4.4 The Operations Head shall review risk-rating files within 29 working days of receipt and record the outcome in the Document Management system.

KAP-238.4.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-238.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-238.4.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-238.4.8 The Risk Management Department shall review identity documents within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-238.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-238.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 238.5 Record Keeping - Operating Rule Set 238.5

KAP-238.5.1 Cases involving risk-rating files with an exposure above Rs. 186 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.27.

KAP-238.5.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure C-6.

KAP-238.5.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-238.5.4 Cases involving account-opening forms with an exposure above Rs. 497 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.17.

KAP-238.5.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/123 and that compliance is certified every quarter.

KAP-238.5.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/220 and that compliance is certified every quarter.

KAP-238.5.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure G-8.

KAP-238.5.8 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/130 and that compliance is certified every quarter.

KAP-238.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-238.5.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-238.5.11 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/246 and that compliance is certified every quarter.

KAP-238.5.12 Cases involving PEP screening results with an exposure above Rs. 399 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.23.

Section 238.6 Record Keeping - Operating Rule Set 238.6

KAP-238.6.1 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/164 and that compliance is certified every quarter.

KAP-238.6.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-238.6.3 Cases involving identity documents with an exposure above Rs. 164 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.20.

KAP-238.6.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-238.6.5 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure E-2.

KAP-238.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-238.6.7 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-238.6.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

PART 20 - CHAPTER 239: STAFF TRAINING

Section 239.1 Staff Training - Operating Rule Set 239.1

KAP-239.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-239.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-239.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-239.1.4 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-239.1.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-239.1.6 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure H-1.

KAP-239.1.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure G-4.

KAP-239.1.8 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-239.1.9 Cases involving identity documents with an exposure above Rs. 261 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.29.

Section 239.2 Staff Training - Operating Rule Set 239.2

KAP-239.2.1 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-239.2.2 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure F-23.

KAP-239.2.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-239.2.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-239.2.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-239.2.6 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure B-16.

KAP-239.2.7 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-239.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 239.3 Staff Training - Operating Rule Set 239.3

KAP-239.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 365 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.29.

KAP-239.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-239.3.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-239.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-239.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-239.3.6 The Operations Head shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-239.3.7 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/291 and that compliance is certified every quarter.

KAP-239.3.8 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-239.3.9 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-239.3.10 The Risk Management Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-239.3.11 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure E-10.

Section 239.4 Staff Training - Operating Rule Set 239.4

KAP-239.4.1 The Credit Committee shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-239.4.2 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-239.4.3 The Zonal Head shall review PEP screening results within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-239.4.4 The Risk Management Department shall review PEP screening results within 21 working days of receipt and record the outcome in the Case Management system.

KAP-239.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-239.4.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-239.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-239.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-239.4.9 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure B-22.

KAP-239.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-239.4.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

Section 239.5 Staff Training - Operating Rule Set 239.5

KAP-239.5.1 The Operations Head shall review address proofs within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-239.5.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure B-35.

KAP-239.5.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/103 and that compliance is certified every quarter.

KAP-239.5.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/039 and that compliance is certified every quarter.

KAP-239.5.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure B-32.

KAP-239.5.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-239.5.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-239.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-239.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-239.5.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure H-3.

KAP-239.5.11 Cases involving cash transaction reports with an exposure above Rs. 172 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.1.

Section 239.6 Staff Training - Operating Rule Set 239.6

KAP-239.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-239.6.2 The Regional Credit Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-239.6.3 Cases involving address proofs with an exposure above Rs. 493 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.16.

KAP-239.6.4 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-239.6.5 The Branch Manager shall review cash transaction reports within 10 working days of receipt and record the

outcome in the Case Management system.

KAP-239.6.6 The Audit Department shall review identity documents within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-239.6.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-239.6.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/039 and that compliance is certified every quarter.

KAP-239.6.9 The Compliance Officer shall review address proofs within 17 working days of receipt and record the outcome in the Document Management system.

KAP-239.6.10 Cases involving correspondent-bank relationships with an exposure above Rs. 490 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.3.

PART 20 - CHAPTER 240: INDEPENDENT AUDIT

Section 240.1 Independent Audit - Operating Rule Set 240.1

KAP-240.1.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure F-6.

KAP-240.1.2 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure E-34.

KAP-240.1.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-240.1.4 The Risk Management Department shall review account-opening forms within 15 working days of receipt and record the outcome in the Document Management system.

KAP-240.1.5 The Risk Management Department shall review PEP screening results within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-240.1.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/149 and that compliance is certified every quarter.

KAP-240.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-240.1.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-240.1.9 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-240.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

Section 240.2 Independent Audit - Operating Rule Set 240.2

KAP-240.2.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/291 and that compliance is certified every quarter.

KAP-240.2.2 The Audit Department shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Document Management system.

KAP-240.2.3 Cases involving address proofs with an exposure above Rs. 142 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.19.

KAP-240.2.4 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/282 and that compliance is certified every quarter.

KAP-240.2.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-240.2.6 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-240.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 351 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.9.

KAP-240.2.8 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure H-29.

KAP-240.2.9 The Credit Committee shall review identity documents within 11 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-240.2.10 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/025 and that compliance is certified every quarter.

KAP-240.2.11 The Risk Management Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Document Management system.

KAP-240.2.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

Section 240.3 Independent Audit - Operating Rule Set 240.3

KAP-240.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-240.3.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure C-11.

KAP-240.3.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/021 and that compliance is certified every quarter.

KAP-240.3.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-240.3.5 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-240.3.6 The Compliance Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-240.3.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/092 and that compliance is certified every quarter.

KAP-240.3.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/273 and that compliance is certified every quarter.

KAP-240.3.9 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/209 and that compliance is certified every quarter.

KAP-240.3.10 The Zonal Head shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Document Management system.

Section 240.4 Independent Audit - Operating Rule Set 240.4

KAP-240.4.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/133 and that compliance is certified every quarter.

KAP-240.4.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-240.4.3 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-240.4.4 The Credit Committee shall review cash transaction reports within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-240.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-240.4.6 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/021 and that compliance is certified every quarter.

KAP-240.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 426 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.13.

KAP-240.4.8 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/003 and that compliance is certified every quarter.

Section 240.5 Independent Audit - Operating Rule Set 240.5

KAP-240.5.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-240.5.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-240.5.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch

Manager by the 6th day of the following month.

KAP-240.5.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/160 and that compliance is certified every quarter.

KAP-240.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-240.5.6 Cases involving risk-rating files with an exposure above Rs. 261 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.16.

KAP-240.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-240.5.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-23.

KAP-240.5.9 The Zonal Head shall review address proofs within 8 working days of receipt and record the outcome in the Customer Relationship system.

PART 21 - CHAPTER 241: CUSTOMER ACCEPTANCE

Section 241.1 Customer Acceptance - Operating Rule Set 241.1

KAP-241.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-241.1.2 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-241.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 246 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.27.

KAP-241.1.4 Cases involving identity documents with an exposure above Rs. 395 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.11.

KAP-241.1.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/173 and that compliance is certified every quarter.

KAP-241.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 374 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.11.

KAP-241.1.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure C-18.

KAP-241.1.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-241.1.9 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-241.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 241.2 Customer Acceptance - Operating Rule Set 241.2

KAP-241.2.1 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-241.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 258 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.18.

KAP-241.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 272 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.11.

KAP-241.2.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/046 and that compliance is certified every quarter.

KAP-241.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-241.2.6 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-241.2.7 Cases involving identity documents with an exposure above Rs. 309 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.22.

KAP-241.2.8 Cases involving beneficial-owner declarations with an exposure above Rs. 324 lakh require prior written

approval from the Operations Head; otherwise the case is an exception under Clause 12.25.

Section 241.3 Customer Acceptance - Operating Rule Set 241.3

KAP-241.3.1 The Operations Head shall review risk-rating files within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-241.3.2 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-241.3.3 The Regional Credit Officer shall review address proofs within 5 working days of receipt and record the outcome in the Case Management system.

KAP-241.3.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/073 and that compliance is certified every quarter.

KAP-241.3.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/213 and that compliance is certified every quarter.

KAP-241.3.6 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-241.3.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-241.3.8 Cases involving identity documents with an exposure above Rs. 434 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.8.

KAP-241.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-241.3.10 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/004 and that compliance is certified every quarter.

KAP-241.3.11 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-241.3.12 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 24 days written notice.

Section 241.4 Customer Acceptance - Operating Rule Set 241.4

KAP-241.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-241.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-241.4.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-241.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-241.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-241.4.6 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure A-19.

KAP-241.4.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-241.4.8 The Regional Credit Officer shall review risk-rating files within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-241.4.9 The Regional Credit Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-241.4.10 Cases involving address proofs with an exposure above Rs. 104 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.6.

Section 241.5 Customer Acceptance - Operating Rule Set 241.5

KAP-241.5.1 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-241.5.2 Cases involving video-KYC sessions with an exposure above Rs. 351 lakh require prior written approval from

the Operations Head; otherwise the case is an exception under Clause 18.19.

KAP-241.5.3 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/136 and that compliance is certified every quarter.

KAP-241.5.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/001 and that compliance is certified every quarter.

KAP-241.5.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/007 and that compliance is certified every quarter.

KAP-241.5.6 Cases involving account-opening forms with an exposure above Rs. 368 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.15.

KAP-241.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 170 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.7.

KAP-241.5.8 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-241.5.9 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure F-30.

KAP-241.5.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-241.5.11 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure B-5.

Section 241.6 Customer Acceptance - Operating Rule Set 241.6

KAP-241.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-241.6.2 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-241.6.3 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-241.6.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-241.6.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure A-40.

KAP-241.6.6 The Compliance Officer shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-241.6.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/159 and that compliance is certified every quarter.

KAP-241.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-241.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-241.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

PART 21 - CHAPTER 242: CUSTOMER IDENTIFICATION

Section 242.1 Customer Identification - Operating Rule Set 242.1

KAP-242.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-242.1.2 Cases involving address proofs with an exposure above Rs. 26 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.19.

KAP-242.1.3 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-31.

KAP-242.1.4 Cases involving identity documents with an exposure above Rs. 421 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.23.

KAP-242.1.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 22 days written notice.

KAP-242.1.6 The Operations Head shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Case Management system.

KAP-242.1.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/261 and that compliance is certified every quarter.

KAP-242.1.8 Cases involving video-KYC sessions with an exposure above Rs. 494 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.18.

KAP-242.1.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure D-1.

KAP-242.1.10 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/257 and that compliance is certified every quarter.

KAP-242.1.11 Cases involving cash transaction reports with an exposure above Rs. 421 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.4.

Section 242.2 Customer Identification - Operating Rule Set 242.2

KAP-242.2.1 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-242.2.2 Cases involving risk-rating files with an exposure above Rs. 248 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.2.

KAP-242.2.3 The Compliance Officer shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-242.2.4 Cases involving account-opening forms with an exposure above Rs. 236 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.28.

KAP-242.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-242.2.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-242.2.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure E-20.

KAP-242.2.8 The Regional Credit Officer shall review account-opening forms within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-242.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-242.2.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

KAP-242.2.11 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

Section 242.3 Customer Identification - Operating Rule Set 242.3

KAP-242.3.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/132 and that compliance is certified every quarter.

KAP-242.3.2 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-242.3.3 Cases involving address proofs with an exposure above Rs. 248 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.20.

KAP-242.3.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-242.3.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure B-24.

KAP-242.3.6 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/090 and that compliance is certified every quarter.

KAP-242.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-242.3.8 The Risk Management Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Loan Origination system.

Section 242.4 Customer Identification - Operating Rule Set 242.4

KAP-242.4.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure B-12.

KAP-242.4.2 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-242.4.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-242.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-242.4.5 Cases involving account-opening forms with an exposure above Rs. 326 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.28.

KAP-242.4.6 Cases involving address proofs with an exposure above Rs. 161 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.28.

KAP-242.4.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/256 and that compliance is certified every quarter.

KAP-242.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-242.4.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 8 days written notice.

PART 21 - CHAPTER 243: CUSTOMER DUE DILIGENCE

Section 243.1 Customer Due Diligence - Operating Rule Set 243.1

KAP-243.1.1 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-243.1.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-243.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-243.1.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/285 and that compliance is certified every quarter.

KAP-243.1.5 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-243.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-243.1.7 The Operations Head shall review risk-rating files within 14 working days of receipt and record the outcome in the Case Management system.

KAP-243.1.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-243.1.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-243.1.10 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure H-17.

KAP-243.1.11 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 243.2 Customer Due Diligence - Operating Rule Set 243.2

KAP-243.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-243.2.2 The Regional Credit Officer shall review address proofs within 11 working days of receipt and record the outcome in the Case Management system.

KAP-243.2.3 Cases involving address proofs with an exposure above Rs. 383 lakh require prior written approval from the

Audit Department; otherwise the case is an exception under Clause 12.19.

KAP-243.2.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-243.2.5 The Operations Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Case Management system.

KAP-243.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-243.2.7 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-243.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-243.2.9 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 243.3 Customer Due Diligence - Operating Rule Set 243.3

KAP-243.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-243.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-243.3.3 Cases involving account-opening forms with an exposure above Rs. 109 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.28.

KAP-243.3.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-243.3.5 The Operations Head shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-243.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-243.3.7 The Compliance Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-243.3.8 The Zonal Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

KAP-243.3.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure C-6.

KAP-243.3.10 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 243.4 Customer Due Diligence - Operating Rule Set 243.4

KAP-243.4.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-243.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-243.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-243.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-243.4.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-243.4.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure G-29.

KAP-243.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-243.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-243.4.9 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/140 and that compliance is certified every quarter.

Section 243.5 Customer Due Diligence - Operating Rule Set 243.5

KAP-243.5.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-243.5.2 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-243.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-243.5.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-243.5.5 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-243.5.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-243.5.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure E-38.

KAP-243.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 243.6 Customer Due Diligence - Operating Rule Set 243.6

KAP-243.6.1 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-243.6.2 The Audit Department shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-243.6.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-243.6.4 Cases involving identity documents with an exposure above Rs. 130 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.13.

KAP-243.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-243.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-243.6.7 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-243.6.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-243.6.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 393 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.12.

KAP-243.6.10 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/050 and that compliance is certified every quarter.

Section 243.7 Customer Due Diligence - Operating Rule Set 243.7

KAP-243.7.1 The Risk Management Department shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-243.7.2 The Compliance Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-243.7.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-243.7.4 Cases involving correspondent-bank relationships with an exposure above Rs. 186 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.5.

KAP-243.7.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-243.7.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-243.7.7 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-243.7.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/010 and that compliance is certified every quarter.

KAP-243.7.9 The Regional Credit Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-243.7.10 Cases involving video-KYC sessions with an exposure above Rs. 200 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.13.

KAP-243.7.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

PART 21 - CHAPTER 244: ENHANCED DUE DILIGENCE

Section 244.1 Enhanced Due Diligence - Operating Rule Set 244.1

KAP-244.1.1 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-244.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-244.1.3 The Operations Head shall review PEP screening results within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-244.1.4 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-244.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-244.1.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-244.1.7 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-244.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-244.1.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-244.1.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-244.1.11 Cases involving beneficial-owner declarations with an exposure above Rs. 385 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.15.

KAP-244.1.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/245 and that compliance is certified every quarter.

KAP-244.1.13 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 244.2 Enhanced Due Diligence - Operating Rule Set 244.2

KAP-244.2.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/257 and that compliance is certified every quarter.

KAP-244.2.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/039 and that compliance is certified every quarter.

KAP-244.2.3 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure C-22.

KAP-244.2.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-244.2.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-244.2.6 The Zonal Head shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Document Management system.

KAP-244.2.7 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure B-12.

KAP-244.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 244.3 Enhanced Due Diligence - Operating Rule Set 244.3

KAP-244.3.1 Cases involving address proofs with an exposure above Rs. 16 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.7.

KAP-244.3.2 The Compliance Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-244.3.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure H-29.

KAP-244.3.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-244.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-244.3.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure B-18.

KAP-244.3.7 The Risk Management Department shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

KAP-244.3.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure B-34.

KAP-244.3.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/142 and that compliance is certified every quarter.

Section 244.4 Enhanced Due Diligence - Operating Rule Set 244.4

KAP-244.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-244.4.2 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-244.4.3 Cases involving PEP screening results with an exposure above Rs. 110 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.1.

KAP-244.4.4 Cases involving address proofs with an exposure above Rs. 342 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.21.

KAP-244.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-244.4.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-244.4.7 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-244.4.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure B-12.

KAP-244.4.9 Cases involving address proofs with an exposure above Rs. 261 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.5.

KAP-244.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 43 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.8.

KAP-244.4.11 Cases involving PEP screening results with an exposure above Rs. 182 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.20.

Section 244.5 Enhanced Due Diligence - Operating Rule Set 244.5

KAP-244.5.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-244.5.2 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-244.5.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure F-36.

KAP-244.5.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/147 and that compliance is certified every quarter.

KAP-244.5.5 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-244.5.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-244.5.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-244.5.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure D-28.

KAP-244.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

Section 244.6 Enhanced Due Diligence - Operating Rule Set 244.6

KAP-244.6.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure B-5.

KAP-244.6.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure A-28.

KAP-244.6.3 The Compliance Officer shall review risk-rating files within 30 working days of receipt and record the outcome in the Document Management system.

KAP-244.6.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-244.6.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure G-34.

KAP-244.6.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-244.6.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure H-2.

KAP-244.6.8 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure G-17.

KAP-244.6.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-244.6.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-244.6.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

Section 244.7 Enhanced Due Diligence - Operating Rule Set 244.7

KAP-244.7.1 Cases involving account-opening forms with an exposure above Rs. 413 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.21.

KAP-244.7.2 Cases involving video-KYC sessions with an exposure above Rs. 440 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.8.

KAP-244.7.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-244.7.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/254 and that compliance is certified every quarter.

KAP-244.7.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-244.7.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 26 days written notice.

KAP-244.7.7 The Compliance Officer shall review cash transaction reports within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-244.7.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-244.7.9 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-11.

KAP-244.7.10 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-244.7.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

PART 21 - CHAPTER 245: RISK CATEGORISATION

Section 245.1 Risk Categorisation - Operating Rule Set 245.1

KAP-245.1.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-245.1.2 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-245.1.3 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-245.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-245.1.5 Cases involving PEP screening results with an exposure above Rs. 281 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.28.

KAP-245.1.6 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/250 and that compliance is certified every quarter.

KAP-245.1.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-245.1.8 The Audit Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Document Management system.

KAP-245.1.9 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Case Management system.

KAP-245.1.10 The Credit Committee shall review cash transaction reports within 8 working days of receipt and record the outcome in the Case Management system.

KAP-245.1.11 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 245.2 Risk Categorisation - Operating Rule Set 245.2

KAP-245.2.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-245.2.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/291 and that compliance is certified every quarter.

KAP-245.2.3 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/064 and that compliance is certified every quarter.

KAP-245.2.4 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure E-11.

KAP-245.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-245.2.6 Cases involving risk-rating files with an exposure above Rs. 439 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.3.

KAP-245.2.7 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-245.2.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after

giving the customer 24 days written notice.

KAP-245.2.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure A-9.

Section 245.3 Risk Categorisation - Operating Rule Set 245.3

KAP-245.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 357 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.3.

KAP-245.3.2 Cases involving PEP screening results with an exposure above Rs. 445 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.14.

KAP-245.3.3 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-245.3.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-245.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-245.3.6 Cases involving account-opening forms with an exposure above Rs. 192 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.22.

KAP-245.3.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure F-30.

KAP-245.3.8 The Operations Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-245.3.9 The Operations Head shall review identity documents within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-245.3.10 Cases involving risk-rating files with an exposure above Rs. 45 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.2.

Section 245.4 Risk Categorisation - Operating Rule Set 245.4

KAP-245.4.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-245.4.2 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-245.4.3 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-245.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-245.4.5 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure B-14.

KAP-245.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-245.4.7 The Risk Management Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-245.4.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-245.4.9 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure A-1.

Section 245.5 Risk Categorisation - Operating Rule Set 245.5

KAP-245.5.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/274 and that compliance is certified every quarter.

KAP-245.5.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-245.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-245.5.4 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic

method, with a tolerance of 9% as approved by the Board.

KAP-245.5.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure D-19.

KAP-245.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-245.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-245.5.8 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-245.5.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-245.5.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

Section 245.6 Risk Categorisation - Operating Rule Set 245.6

KAP-245.6.1 The Risk Management Department shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-245.6.2 Cases involving account-opening forms with an exposure above Rs. 202 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.22.

KAP-245.6.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-245.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-245.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-245.6.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-245.6.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/098 and that compliance is certified every quarter.

KAP-245.6.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-245.6.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 420 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.11.

PART 21 - CHAPTER 246: TRANSACTION MONITORING

Section 246.1 Transaction Monitoring - Operating Rule Set 246.1

KAP-246.1.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure G-37.

KAP-246.1.2 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure E-23.

KAP-246.1.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-246.1.4 Cases involving cash transaction reports with an exposure above Rs. 72 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.26.

KAP-246.1.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/006 and that compliance is certified every quarter.

KAP-246.1.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-246.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-246.1.8 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 246.2 Transaction Monitoring - Operating Rule Set 246.2

KAP-246.2.1 The Compliance Officer shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

KAP-246.2.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure C-8.

KAP-246.2.3 Cases involving account-opening forms with an exposure above Rs. 431 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.3.

KAP-246.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-246.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-246.2.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-36.

KAP-246.2.7 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/059 and that compliance is certified every quarter.

KAP-246.2.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure A-13.

KAP-246.2.9 The Credit Committee shall review account-opening forms within 17 working days of receipt and record the outcome in the Case Management system.

KAP-246.2.10 The Audit Department shall review identity documents within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-246.2.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-246.2.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-246.2.13 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

Section 246.3 Transaction Monitoring - Operating Rule Set 246.3

KAP-246.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-246.3.2 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-246.3.3 Cases involving risk-rating files with an exposure above Rs. 46 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.25.

KAP-246.3.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-246.3.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-246.3.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/082 and that compliance is certified every quarter.

KAP-246.3.7 The Regional Credit Officer shall review cash transaction reports within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-246.3.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure F-40.

KAP-246.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 116 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.18.

KAP-246.3.10 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure A-13.

Section 246.4 Transaction Monitoring - Operating Rule Set 246.4

KAP-246.4.1 Cases involving identity documents with an exposure above Rs. 152 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.29.

KAP-246.4.2 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance

of 3% as approved by the Board.

KAP-246.4.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-246.4.4 Cases involving video-KYC sessions with an exposure above Rs. 18 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.27.

KAP-246.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-246.4.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-246.4.7 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-246.4.8 Cases involving PEP screening results with an exposure above Rs. 119 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.6.

KAP-246.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-246.4.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure C-22.

KAP-246.4.11 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-246.4.12 The Audit Department shall review address proofs within 19 working days of receipt and record the outcome in the Document Management system.

Section 246.5 Transaction Monitoring - Operating Rule Set 246.5

KAP-246.5.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure B-15.

KAP-246.5.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-246.5.3 The Credit Committee shall review account-opening forms within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-246.5.4 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-246.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-246.5.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure D-36.

KAP-246.5.7 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-246.5.8 The Credit Committee shall review address proofs within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-246.5.9 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-246.5.10 The Risk Management Department shall review cash transaction reports within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-246.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

Section 246.6 Transaction Monitoring - Operating Rule Set 246.6

KAP-246.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-246.6.2 Cases involving address proofs with an exposure above Rs. 404 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.11.

KAP-246.6.3 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-18.

KAP-246.6.4 The Audit Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-246.6.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-246.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-246.6.7 Cases involving cash transaction reports with an exposure above Rs. 433 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.6.

KAP-246.6.8 Cases involving address proofs with an exposure above Rs. 116 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.5.

KAP-246.6.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-246.6.10 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-246.6.11 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-246.6.12 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

PART 21 - CHAPTER 247: SUSPICIOUS TRANSACTION REPORTING

Section 247.1 Suspicious Transaction Reporting - Operating Rule Set 247.1

KAP-247.1.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure A-36.

KAP-247.1.2 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-247.1.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure G-38.

KAP-247.1.4 The Branch Manager shall review address proofs within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-247.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-247.1.6 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/161 and that compliance is certified every quarter.

KAP-247.1.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-247.1.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-247.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-247.1.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-22.

KAP-247.1.11 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/043 and that compliance is certified every quarter.

KAP-247.1.12 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/111 and that compliance is certified every quarter.

Section 247.2 Suspicious Transaction Reporting - Operating Rule Set 247.2

KAP-247.2.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/069 and that compliance is certified every quarter.

KAP-247.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-247.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-247.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 447 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.7.

KAP-247.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-247.2.6 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-247.2.7 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-247.2.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-15.

KAP-247.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 247.3 Suspicious Transaction Reporting - Operating Rule Set 247.3

KAP-247.3.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-247.3.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure H-28.

KAP-247.3.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure F-24.

KAP-247.3.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-247.3.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-247.3.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure A-19.

KAP-247.3.7 For NRI customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-247.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-247.3.9 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-247.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-247.3.11 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/033 and that compliance is certified every quarter.

KAP-247.3.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-247.3.13 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 247.4 Suspicious Transaction Reporting - Operating Rule Set 247.4

KAP-247.4.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure C-21.

KAP-247.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure H-25.

KAP-247.4.3 Cases involving PEP screening results with an exposure above Rs. 99 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.8.

KAP-247.4.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/256 and that compliance is certified every quarter.

KAP-247.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-247.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Branch Manager by the 3th day of the following month.

KAP-247.4.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-6.

KAP-247.4.8 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-247.4.9 In case of a system outage, the Branch Manager must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure B-3.

KAP-247.4.10 Cases involving address proofs with an exposure above Rs. 445 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.8.

KAP-247.4.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-247.4.12 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-247.4.13 The Compliance Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Customer Relationship system.

Section 247.5 Suspicious Transaction Reporting - Operating Rule Set 247.5

KAP-247.5.1 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-247.5.2 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-247.5.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-247.5.4 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-247.5.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-247.5.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-247.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-247.5.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure A-36.

KAP-247.5.9 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-17.

KAP-247.5.10 Cases involving address proofs with an exposure above Rs. 16 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.2.

Section 247.6 Suspicious Transaction Reporting - Operating Rule Set 247.6

KAP-247.6.1 Cases involving correspondent-bank relationships with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.25.

KAP-247.6.2 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure D-13.

KAP-247.6.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-247.6.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-247.6.5 In case of a system outage, the Operations Head must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure H-34.

KAP-247.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-247.6.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/021 and that compliance is certified every quarter.

KAP-247.6.8 The Credit Committee shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Risk Engine system.

PART 21 - CHAPTER 248: POLITICALLY EXPOSED PERSONS

Section 248.1 Politically Exposed Persons - Operating Rule Set 248.1

KAP-248.1.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure F-7.

KAP-248.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 275 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.20.

KAP-248.1.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/037 and that compliance is certified every quarter.

KAP-248.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-248.1.5 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-248.1.6 The Audit Department shall review cash transaction reports within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-248.1.7 The Zonal Head shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-248.1.8 The Branch Manager shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Loan Origination system.

Section 248.2 Politically Exposed Persons - Operating Rule Set 248.2

KAP-248.2.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure A-24.

KAP-248.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-248.2.3 Cases involving address proofs with an exposure above Rs. 41 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.27.

KAP-248.2.4 The Operations Head shall review identity documents within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-248.2.5 Cases involving account-opening forms with an exposure above Rs. 429 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.7.

KAP-248.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-248.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-248.2.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-248.2.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/147 and that compliance is certified every quarter.

Section 248.3 Politically Exposed Persons - Operating Rule Set 248.3

KAP-248.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-248.3.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-248.3.3 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-248.3.4 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-248.3.5 Cases involving PEP screening results with an exposure above Rs. 457 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.4.

KAP-248.3.6 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a

tolerance of 2% as approved by the Board.

KAP-248.3.7 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/247 and that compliance is certified every quarter.

KAP-248.3.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure C-24.

Section 248.4 Politically Exposed Persons - Operating Rule Set 248.4

KAP-248.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-248.4.2 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-248.4.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/099 and that compliance is certified every quarter.

KAP-248.4.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure F-3.

KAP-248.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-248.4.6 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure E-23.

KAP-248.4.7 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-248.4.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-248.4.9 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure D-32.

KAP-248.4.10 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/268 and that compliance is certified every quarter.

KAP-248.4.11 The Credit Committee shall review identity documents within 15 working days of receipt and record the outcome in the Case Management system.

PART 21 - CHAPTER 249: BENEFICIAL OWNERSHIP

Section 249.1 Beneficial Ownership - Operating Rule Set 249.1

KAP-249.1.1 Cases involving account-opening forms with an exposure above Rs. 62 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.10.

KAP-249.1.2 Cases involving account-opening forms with an exposure above Rs. 487 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.13.

KAP-249.1.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-249.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-249.1.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/204 and that compliance is certified every quarter.

KAP-249.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-249.1.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure H-25.

KAP-249.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-249.1.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

Section 249.2 Beneficial Ownership - Operating Rule Set 249.2

KAP-249.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-249.2.2 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure H-37.

KAP-249.2.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/174 and that compliance is certified every quarter.

KAP-249.2.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-249.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-249.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-249.2.7 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/132 and that compliance is certified every quarter.

KAP-249.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 34 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.25.

KAP-249.2.9 The Operations Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Case Management system.

Section 249.3 Beneficial Ownership - Operating Rule Set 249.3

KAP-249.3.1 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-249.3.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/181 and that compliance is certified every quarter.

KAP-249.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-249.3.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure G-25.

KAP-249.3.5 The Compliance Officer shall review account-opening forms within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-249.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-249.3.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/015 and that compliance is certified every quarter.

KAP-249.3.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-249.3.9 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/181 and that compliance is certified every quarter.

KAP-249.3.10 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 249.4 Beneficial Ownership - Operating Rule Set 249.4

KAP-249.4.1 The Credit Committee shall review address proofs within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-249.4.2 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure B-32.

KAP-249.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-249.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-249.4.5 The Branch Manager shall review cash transaction reports within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-249.4.6 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/203 and that compliance is certified every quarter.

KAP-249.4.7 The Audit Department shall review cash transaction reports within 29 working days of receipt and record the

outcome in the Document Management system.

KAP-249.4.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure A-3.

KAP-249.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

PART 21 - CHAPTER 250: RECORD KEEPING

Section 250.1 Record Keeping - Operating Rule Set 250.1

KAP-250.1.1 Cases involving account-opening forms with an exposure above Rs. 168 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.23.

KAP-250.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-250.1.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure C-3.

KAP-250.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-250.1.5 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-250.1.6 Cases involving risk-rating files with an exposure above Rs. 498 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.1.

KAP-250.1.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure G-11.

KAP-250.1.8 Cases involving video-KYC sessions with an exposure above Rs. 375 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.25.

KAP-250.1.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-250.1.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-250.1.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-250.1.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/278 and that compliance is certified every quarter.

Section 250.2 Record Keeping - Operating Rule Set 250.2

KAP-250.2.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure F-20.

KAP-250.2.2 The Credit Committee shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-250.2.3 Cases involving account-opening forms with an exposure above Rs. 84 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.10.

KAP-250.2.4 Cases involving risk-rating files with an exposure above Rs. 424 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.11.

KAP-250.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-250.2.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-250.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 93 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.11.

KAP-250.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-250.2.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-38.

Section 250.3 Record Keeping - Operating Rule Set 250.3

KAP-250.3.1 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure D-30.

KAP-250.3.2 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-250.3.3 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-250.3.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/185 and that compliance is certified every quarter.

KAP-250.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-250.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-250.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-250.3.8 The Risk Management Department shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-250.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

Section 250.4 Record Keeping - Operating Rule Set 250.4

KAP-250.4.1 The Zonal Head shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-250.4.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure G-35.

KAP-250.4.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-250.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-250.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-250.4.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-250.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-250.4.8 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-250.4.9 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-250.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-250.4.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-250.4.12 The Operations Head shall review address proofs within 8 working days of receipt and record the outcome in the Document Management system.

PART 21 - CHAPTER 251: STAFF TRAINING

Section 251.1 Staff Training - Operating Rule Set 251.1

KAP-251.1.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure B-35.

KAP-251.1.2 Cases involving cash transaction reports with an exposure above Rs. 151 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.22.

KAP-251.1.3 The Operations Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Case Management system.

KAP-251.1.4 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/273 and that compliance is certified every quarter.

KAP-251.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-251.1.6 The Operations Head shall review identity documents within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-251.1.7 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/271 and that compliance is certified every quarter.

KAP-251.1.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure E-9.

Section 251.2 Staff Training - Operating Rule Set 251.2

KAP-251.2.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure B-12.

KAP-251.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 298 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.18.

KAP-251.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-251.2.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-251.2.5 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-251.2.6 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/226 and that compliance is certified every quarter.

KAP-251.2.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-251.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-251.2.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-251.2.10 Cases involving correspondent-bank relationships with an exposure above Rs. 222 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.27.

Section 251.3 Staff Training - Operating Rule Set 251.3

KAP-251.3.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/116 and that compliance is certified every quarter.

KAP-251.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-251.3.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-251.3.4 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure E-35.

KAP-251.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 400 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.9.

KAP-251.3.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-251.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-251.3.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-251.3.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/212 and that compliance is certified every quarter.

KAP-251.3.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5

and be made available to the Board Audit Committee on request.

Section 251.4 Staff Training - Operating Rule Set 251.4

KAP-251.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 225 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.10.

KAP-251.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-251.4.3 Cases involving video-KYC sessions with an exposure above Rs. 412 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.1.

KAP-251.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-251.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-251.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-251.4.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-251.4.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure A-23.

KAP-251.4.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-251.4.10 Cases involving beneficial-owner declarations with an exposure above Rs. 78 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.27.

KAP-251.4.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

Section 251.5 Staff Training - Operating Rule Set 251.5

KAP-251.5.1 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-251.5.2 The Audit Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-251.5.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/025 and that compliance is certified every quarter.

KAP-251.5.4 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-251.5.5 Cases involving PEP screening results with an exposure above Rs. 237 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.29.

KAP-251.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-251.5.7 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure E-14.

KAP-251.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-251.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-251.5.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

PART 21 - CHAPTER 252: INDEPENDENT AUDIT

Section 252.1 Independent Audit - Operating Rule Set 252.1

KAP-252.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-252.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-252.1.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-252.1.4 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-252.1.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-252.1.6 Cases involving video-KYC sessions with an exposure above Rs. 337 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.24.

KAP-252.1.7 Cases involving account-opening forms with an exposure above Rs. 282 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.29.

KAP-252.1.8 The Audit Department shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-252.1.9 Cases involving PEP screening results with an exposure above Rs. 202 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.4.

KAP-252.1.10 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-252.1.11 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/137 and that compliance is certified every quarter.

Section 252.2 Independent Audit - Operating Rule Set 252.2

KAP-252.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-252.2.2 The Risk Management Department shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-252.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-252.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-252.2.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/066 and that compliance is certified every quarter.

KAP-252.2.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure F-24.

KAP-252.2.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-252.2.8 The Risk Management Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 252.3 Independent Audit - Operating Rule Set 252.3

KAP-252.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-252.3.2 The Zonal Head shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-252.3.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-252.3.4 Cases involving account-opening forms with an exposure above Rs. 348 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.29.

KAP-252.3.5 Cases involving PEP screening results with an exposure above Rs. 300 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.26.

KAP-252.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-252.3.7 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/060 and that compliance is certified every quarter.

KAP-252.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit

Committee by the 8th day of the following month.

KAP-252.3.9 The Credit Committee shall review cash transaction reports within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-252.3.10 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 252.4 Independent Audit - Operating Rule Set 252.4

KAP-252.4.1 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Document Management system.

KAP-252.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-252.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-252.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 400 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.28.

KAP-252.4.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/033 and that compliance is certified every quarter.

KAP-252.4.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-252.4.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-252.4.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-252.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 252.5 Independent Audit - Operating Rule Set 252.5

KAP-252.5.1 Cases involving address proofs with an exposure above Rs. 25 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.24.

KAP-252.5.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-252.5.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/180 and that compliance is certified every quarter.

KAP-252.5.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-252.5.5 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-252.5.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-252.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-252.5.8 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/175 and that compliance is certified every quarter.

KAP-252.5.9 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-252.5.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

PART 22 - CHAPTER 253: CUSTOMER ACCEPTANCE

Section 253.1 Customer Acceptance - Operating Rule Set 253.1

KAP-253.1.1 Cases involving cash transaction reports with an exposure above Rs. 312 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.2.

KAP-253.1.2 Cases involving cash transaction reports with an exposure above Rs. 361 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.18.

KAP-253.1.3 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure C-8.

KAP-253.1.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-253.1.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-253.1.6 The Regional Credit Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-253.1.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-253.1.8 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure D-6.

KAP-253.1.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

Section 253.2 Customer Acceptance - Operating Rule Set 253.2

KAP-253.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-253.2.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-253.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure G-16.

KAP-253.2.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-29.

KAP-253.2.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-253.2.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-253.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-253.2.8 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-253.2.9 The Compliance Officer shall review risk-rating files within 30 working days of receipt and record the outcome in the Document Management system.

Section 253.3 Customer Acceptance - Operating Rule Set 253.3

KAP-253.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-253.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-253.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-253.3.4 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-253.3.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure B-21.

KAP-253.3.6 Cases involving cash transaction reports with an exposure above Rs. 177 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.22.

KAP-253.3.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure F-34.

KAP-253.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 253.4 Customer Acceptance - Operating Rule Set 253.4

KAP-253.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-253.4.2 The Branch Manager shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-253.4.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/043 and that compliance is certified every quarter.

KAP-253.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-253.4.5 Cases involving video-KYC sessions with an exposure above Rs. 163 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.3.

KAP-253.4.6 The Zonal Head shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-253.4.7 The Zonal Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-253.4.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/277 and that compliance is certified every quarter.

Section 253.5 Customer Acceptance - Operating Rule Set 253.5

KAP-253.5.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/138 and that compliance is certified every quarter.

KAP-253.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-253.5.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-253.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-253.5.5 The Operations Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-253.5.6 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-253.5.7 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-253.5.8 Cases involving account-opening forms with an exposure above Rs. 320 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.21.

KAP-253.5.9 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/108 and that compliance is certified every quarter.

KAP-253.5.10 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Risk Engine system.

Section 253.6 Customer Acceptance - Operating Rule Set 253.6

KAP-253.6.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-253.6.2 Cases involving account-opening forms with an exposure above Rs. 301 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.3.

KAP-253.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-253.6.4 The Zonal Head shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-253.6.5 The Operations Head shall review address proofs within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-253.6.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/150 and that compliance is certified every quarter.

KAP-253.6.7 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance

of 5% as approved by the Board.

KAP-253.6.8 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-253.6.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-253.6.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

PART 22 - CHAPTER 254: CUSTOMER IDENTIFICATION

Section 254.1 Customer Identification - Operating Rule Set 254.1

KAP-254.1.1 Cases involving identity documents with an exposure above Rs. 139 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.21.

KAP-254.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-254.1.3 The Audit Department shall review cash transaction reports within 26 working days of receipt and record the outcome in the Document Management system.

KAP-254.1.4 The Audit Department shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-254.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-254.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 241 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.13.

KAP-254.1.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-6.

KAP-254.1.8 The Operations Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Document Management system.

KAP-254.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-254.1.10 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure A-20.

KAP-254.1.11 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/058 and that compliance is certified every quarter.

KAP-254.1.12 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure C-34.

Section 254.2 Customer Identification - Operating Rule Set 254.2

KAP-254.2.1 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure A-26.

KAP-254.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-254.2.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure H-26.

KAP-254.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-254.2.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure A-6.

KAP-254.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-254.2.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-254.2.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-254.2.9 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method,

with a tolerance of 3% as approved by the Board.

Section 254.3 Customer Identification - Operating Rule Set 254.3

KAP-254.3.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-254.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-254.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-254.3.4 Cases involving PEP screening results with an exposure above Rs. 327 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.29.

KAP-254.3.5 The Branch Manager shall review cash transaction reports within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-254.3.6 The Regional Credit Officer shall review risk-rating files within 26 working days of receipt and record the outcome in the Document Management system.

KAP-254.3.7 The Operations Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-254.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-254.3.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-254.3.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/171 and that compliance is certified every quarter.

Section 254.4 Customer Identification - Operating Rule Set 254.4

KAP-254.4.1 The Risk Management Department shall review identity documents within 5 working days of receipt and record the outcome in the Document Management system.

KAP-254.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-254.4.3 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-254.4.4 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/011 and that compliance is certified every quarter.

KAP-254.4.5 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure F-23.

KAP-254.4.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-254.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-254.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

Section 254.5 Customer Identification - Operating Rule Set 254.5

KAP-254.5.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/151 and that compliance is certified every quarter.

KAP-254.5.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-254.5.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-254.5.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-254.5.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure A-21.

KAP-254.5.6 The Regional Credit Officer shall review cash transaction reports within 29 working days of receipt and record

the outcome in the Loan Origination system.

KAP-254.5.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-254.5.8 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-254.5.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/190 and that compliance is certified every quarter.

KAP-254.5.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 491 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.4.

KAP-254.5.11 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

PART 22 - CHAPTER 255: CUSTOMER DUE DILIGENCE

Section 255.1 Customer Due Diligence - Operating Rule Set 255.1

KAP-255.1.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/257 and that compliance is certified every quarter.

KAP-255.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 203 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.11.

KAP-255.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 418 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.4.

KAP-255.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-255.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 193 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.24.

KAP-255.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-255.1.7 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure A-28.

KAP-255.1.8 The Compliance Officer shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-255.1.9 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-255.1.10 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-255.1.11 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 255.2 Customer Due Diligence - Operating Rule Set 255.2

KAP-255.2.1 The Compliance Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Document Management system.

KAP-255.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-255.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-255.2.4 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure F-3.

KAP-255.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-255.2.6 The Risk Management Department shall review risk-rating files within 18 working days of receipt and record the outcome in the Case Management system.

KAP-255.2.7 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/133 and that compliance is certified every quarter.

KAP-255.2.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the

procedures in Circular KAP/2024/183 and that compliance is certified every quarter.

KAP-255.2.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/273 and that compliance is certified every quarter.

KAP-255.2.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure F-39.

Section 255.3 Customer Due Diligence - Operating Rule Set 255.3

KAP-255.3.1 The Zonal Head shall review cash transaction reports within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-255.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-255.3.3 The Operations Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Document Management system.

KAP-255.3.4 The Regional Credit Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-255.3.5 The Zonal Head shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-255.3.6 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-255.3.7 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-255.3.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-30.

KAP-255.3.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-255.3.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-255.3.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

Section 255.4 Customer Due Diligence - Operating Rule Set 255.4

KAP-255.4.1 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure C-30.

KAP-255.4.2 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-255.4.3 The Operations Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-255.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-255.4.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-255.4.6 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure F-34.

KAP-255.4.7 Cases involving risk-rating files with an exposure above Rs. 85 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.16.

KAP-255.4.8 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure G-35.

KAP-255.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-255.4.10 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/151 and that compliance is certified every quarter.

Section 255.5 Customer Due Diligence - Operating Rule Set 255.5

KAP-255.5.1 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a

tolerance of 6% as approved by the Board.

KAP-255.5.2 Cases involving cash transaction reports with an exposure above Rs. 442 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.30.

KAP-255.5.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure B-22.

KAP-255.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-255.5.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/289 and that compliance is certified every quarter.

KAP-255.5.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/145 and that compliance is certified every quarter.

KAP-255.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-255.5.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/300 and that compliance is certified every quarter.

PART 22 - CHAPTER 256: ENHANCED DUE DILIGENCE

Section 256.1 Enhanced Due Diligence - Operating Rule Set 256.1

KAP-256.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-256.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 55 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.17.

KAP-256.1.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure C-25.

KAP-256.1.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/060 and that compliance is certified every quarter.

KAP-256.1.5 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure F-6.

KAP-256.1.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure C-38.

KAP-256.1.7 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-256.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-256.1.9 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-256.1.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

Section 256.2 Enhanced Due Diligence - Operating Rule Set 256.2

KAP-256.2.1 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-256.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-256.2.3 The Zonal Head shall review PEP screening results within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-256.2.4 The Zonal Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-256.2.5 The Audit Department shall review identity documents within 12 working days of receipt and record the outcome in the Case Management system.

KAP-256.2.6 Cases involving beneficial-owner declarations with an exposure above Rs. 241 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.18.

KAP-256.2.7 The Regional Credit Officer shall review account-opening forms within 9 working days of receipt and record the

outcome in the Core Banking system.

KAP-256.2.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/024 and that compliance is certified every quarter.

KAP-256.2.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

Section 256.3 Enhanced Due Diligence - Operating Rule Set 256.3

KAP-256.3.1 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-22.

KAP-256.3.2 Cases involving PEP screening results with an exposure above Rs. 416 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.19.

KAP-256.3.3 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-256.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-256.3.5 The Operations Head shall review account-opening forms within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-256.3.6 The Branch Manager shall review identity documents within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-256.3.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-256.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 14 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.25.

KAP-256.3.9 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/294 and that compliance is certified every quarter.

KAP-256.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

Section 256.4 Enhanced Due Diligence - Operating Rule Set 256.4

KAP-256.4.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure H-25.

KAP-256.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-256.4.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure E-38.

KAP-256.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-256.4.5 Cases involving PEP screening results with an exposure above Rs. 18 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.24.

KAP-256.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-256.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-256.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 9 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.28.

KAP-256.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

Section 256.5 Enhanced Due Diligence - Operating Rule Set 256.5

KAP-256.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-256.5.2 Cases involving risk-rating files with an exposure above Rs. 448 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.5.

KAP-256.5.3 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2024/119 and that compliance is certified every quarter.

KAP-256.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-256.5.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/210 and that compliance is certified every quarter.

KAP-256.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-256.5.7 The Branch Manager shall review identity documents within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-256.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-256.5.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-256.5.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure B-29.

PART 22 - CHAPTER 257: RISK CATEGORISATION

Section 257.1 Risk Categorisation - Operating Rule Set 257.1

KAP-257.1.1 Cases involving video-KYC sessions with an exposure above Rs. 45 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.19.

KAP-257.1.2 The Branch Manager shall review risk-rating files within 16 working days of receipt and record the outcome in the Document Management system.

KAP-257.1.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-257.1.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-257.1.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-257.1.6 Cases involving risk-rating files with an exposure above Rs. 340 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.23.

KAP-257.1.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/107 and that compliance is certified every quarter.

KAP-257.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-257.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

Section 257.2 Risk Categorisation - Operating Rule Set 257.2

KAP-257.2.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/184 and that compliance is certified every quarter.

KAP-257.2.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure D-33.

KAP-257.2.3 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-257.2.4 Cases involving correspondent-bank relationships with an exposure above Rs. 66 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.15.

KAP-257.2.5 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure G-1.

KAP-257.2.6 Cases involving PEP screening results with an exposure above Rs. 345 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.11.

KAP-257.2.7 The Operations Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

KAP-257.2.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the

Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure H-34.

KAP-257.2.9 The Operations Head shall review identity documents within 11 working days of receipt and record the outcome in the Customer Relationship system.

Section 257.3 Risk Categorisation - Operating Rule Set 257.3

KAP-257.3.1 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure B-18.

KAP-257.3.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure H-25.

KAP-257.3.3 The Risk Management Department shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-257.3.4 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-257.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-257.3.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/300 and that compliance is certified every quarter.

KAP-257.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-257.3.8 The Audit Department shall review PEP screening results within 9 working days of receipt and record the outcome in the Document Management system.

KAP-257.3.9 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-257.3.10 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/052 and that compliance is certified every quarter.

KAP-257.3.11 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure A-21.

KAP-257.3.12 For individual customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 257.4 Risk Categorisation - Operating Rule Set 257.4

KAP-257.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-257.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-257.4.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-257.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-257.4.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/165 and that compliance is certified every quarter.

KAP-257.4.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-257.4.7 The Branch Manager shall review risk-rating files within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-257.4.8 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-257.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/175 and that compliance is certified every quarter.

Section 257.5 Risk Categorisation - Operating Rule Set 257.5

KAP-257.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-257.5.2 The Bank reserves the right to request additional documents where material information is found to be

incorrect, after giving the customer 17 days written notice.

KAP-257.5.3 Cases involving PEP screening results with an exposure above Rs. 258 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.10.

KAP-257.5.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/138 and that compliance is certified every quarter.

KAP-257.5.5 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-257.5.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/286 and that compliance is certified every quarter.

KAP-257.5.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure D-38.

KAP-257.5.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-257.5.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-257.5.10 Cases involving account-opening forms with an exposure above Rs. 163 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.17.

KAP-257.5.11 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure A-10.

Section 257.6 Risk Categorisation - Operating Rule Set 257.6

KAP-257.6.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-257.6.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure D-37.

KAP-257.6.3 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

KAP-257.6.4 Cases involving video-KYC sessions with an exposure above Rs. 49 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.29.

KAP-257.6.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-257.6.6 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/043 and that compliance is certified every quarter.

KAP-257.6.7 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-257.6.8 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-257.6.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-257.6.10 The Branch Manager shall review PEP screening results within 17 working days of receipt and record the outcome in the Document Management system.

KAP-257.6.11 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 257.7 Risk Categorisation - Operating Rule Set 257.7

KAP-257.7.1 The Branch Manager shall review cash transaction reports within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-257.7.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-257.7.3 Cases involving cash transaction reports with an exposure above Rs. 271 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.9.

KAP-257.7.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-257.7.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 269 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.15.

KAP-257.7.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-257.7.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-257.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 204 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.26.

PART 22 - CHAPTER 258: TRANSACTION MONITORING

Section 258.1 Transaction Monitoring - Operating Rule Set 258.1

KAP-258.1.1 Cases involving identity documents with an exposure above Rs. 263 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.6.

KAP-258.1.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-258.1.3 Cases involving PEP screening results with an exposure above Rs. 161 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.10.

KAP-258.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-258.1.5 The Operations Head shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Case Management system.

KAP-258.1.6 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-258.1.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/088 and that compliance is certified every quarter.

KAP-258.1.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-258.1.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-258.1.10 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-258.1.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-258.1.12 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure E-7.

Section 258.2 Transaction Monitoring - Operating Rule Set 258.2

KAP-258.2.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure G-26.

KAP-258.2.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure F-9.

KAP-258.2.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-258.2.4 Cases involving correspondent-bank relationships with an exposure above Rs. 331 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.10.

KAP-258.2.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-258.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-258.2.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-258.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-258.2.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 21 days written notice.

Section 258.3 Transaction Monitoring - Operating Rule Set 258.3

KAP-258.3.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-258.3.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/074 and that compliance is certified every quarter.

KAP-258.3.3 Cases involving account-opening forms with an exposure above Rs. 301 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.29.

KAP-258.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 269 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.3.

KAP-258.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-258.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-258.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-258.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-258.3.9 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/201 and that compliance is certified every quarter.

KAP-258.3.10 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure D-1.

Section 258.4 Transaction Monitoring - Operating Rule Set 258.4

KAP-258.4.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure E-29.

KAP-258.4.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/197 and that compliance is certified every quarter.

KAP-258.4.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-258.4.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-258.4.5 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-258.4.6 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure D-40.

KAP-258.4.7 Cases involving cash transaction reports with an exposure above Rs. 482 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.10.

KAP-258.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-258.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-258.4.10 The Branch Manager shall review identity documents within 19 working days of receipt and record the outcome in the Document Management system.

PART 22 - CHAPTER 259: SUSPICIOUS TRANSACTION REPORTING

Section 259.1 Suspicious Transaction Reporting - Operating Rule Set 259.1

KAP-259.1.1 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/102 and that compliance is certified every quarter.

KAP-259.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-259.1.3 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic

method, with a tolerance of 7% as approved by the Board.

KAP-259.1.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure C-33.

KAP-259.1.5 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/131 and that compliance is certified every quarter.

KAP-259.1.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-259.1.7 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-259.1.8 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-259.1.9 The Risk Management Department shall review address proofs within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-259.1.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-259.1.11 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 259.2 Suspicious Transaction Reporting - Operating Rule Set 259.2

KAP-259.2.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/186 and that compliance is certified every quarter.

KAP-259.2.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/116 and that compliance is certified every quarter.

KAP-259.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 262 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.21.

KAP-259.2.4 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-259.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-259.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-259.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-259.2.8 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/170 and that compliance is certified every quarter.

KAP-259.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 259.3 Suspicious Transaction Reporting - Operating Rule Set 259.3

KAP-259.3.1 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-259.3.2 The Operations Head shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-259.3.3 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-259.3.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/137 and that compliance is certified every quarter.

KAP-259.3.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-259.3.6 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/075 and that compliance is certified every quarter.

KAP-259.3.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-259.3.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-259.3.9 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/038 and that compliance is certified every quarter.

KAP-259.3.10 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure B-13.

KAP-259.3.11 The Risk Management Department shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Core Banking system.

Section 259.4 Suspicious Transaction Reporting - Operating Rule Set 259.4

KAP-259.4.1 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-14.

KAP-259.4.2 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-259.4.3 Cases involving address proofs with an exposure above Rs. 337 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.9.

KAP-259.4.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure C-3.

KAP-259.4.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure D-23.

KAP-259.4.6 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Case Management system.

KAP-259.4.7 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-259.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-259.4.9 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure H-40.

Section 259.5 Suspicious Transaction Reporting - Operating Rule Set 259.5

KAP-259.5.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-259.5.2 The Audit Department shall review address proofs within 7 working days of receipt and record the outcome in the Case Management system.

KAP-259.5.3 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/109 and that compliance is certified every quarter.

KAP-259.5.4 The Risk Management Department shall review risk-rating files within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-259.5.5 The Audit Department shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Case Management system.

KAP-259.5.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/142 and that compliance is certified every quarter.

KAP-259.5.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-259.5.8 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure E-9.

KAP-259.5.9 Cases involving correspondent-bank relationships with an exposure above Rs. 112 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.18.

KAP-259.5.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-259.5.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

PART 22 - CHAPTER 260: POLITICALLY EXPOSED PERSONS

Section 260.1 Politically Exposed Persons - Operating Rule Set 260.1

KAP-260.1.1 Cases involving address proofs with an exposure above Rs. 388 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.5.

KAP-260.1.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/165 and that compliance is certified every quarter.

KAP-260.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-260.1.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-260.1.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/110 and that compliance is certified every quarter.

KAP-260.1.6 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-260.1.7 Cases involving beneficial-owner declarations with an exposure above Rs. 472 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.19.

KAP-260.1.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure D-2.

KAP-260.1.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-260.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-260.1.11 Cases involving address proofs with an exposure above Rs. 150 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.17.

Section 260.2 Politically Exposed Persons - Operating Rule Set 260.2

KAP-260.2.1 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-260.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-260.2.3 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure F-22.

KAP-260.2.4 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/171 and that compliance is certified every quarter.

KAP-260.2.5 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/126 and that compliance is certified every quarter.

KAP-260.2.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-260.2.7 The Regional Credit Officer shall review identity documents within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-260.2.8 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-260.2.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure D-16.

KAP-260.2.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure H-20.

Section 260.3 Politically Exposed Persons - Operating Rule Set 260.3

KAP-260.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-260.3.2 Cases involving address proofs with an exposure above Rs. 491 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.19.

KAP-260.3.3 The Branch Manager shall review cash transaction reports within 17 working days of receipt and record the outcome in the Document Management system.

KAP-260.3.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-260.3.5 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-260.3.6 The Operations Head shall review risk-rating files within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-260.3.7 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-260.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-260.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-260.3.10 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/239 and that compliance is certified every quarter.

Section 260.4 Politically Exposed Persons - Operating Rule Set 260.4

KAP-260.4.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/073 and that compliance is certified every quarter.

KAP-260.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-260.4.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-260.4.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-260.4.5 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-260.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-260.4.7 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-260.4.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

Section 260.5 Politically Exposed Persons - Operating Rule Set 260.5

KAP-260.5.1 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-260.5.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-260.5.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-27.

KAP-260.5.4 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-260.5.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-260.5.6 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-260.5.7 Cases involving PEP screening results with an exposure above Rs. 457 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.6.

KAP-260.5.8 The Credit Committee shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Document Management system.

KAP-260.5.9 The Regional Credit Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Document Management system.

KAP-260.5.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10

and be made available to internal auditors on request.

Section 260.6 Politically Exposed Persons - Operating Rule Set 260.6

KAP-260.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-260.6.2 The Branch Manager shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-260.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-260.6.4 Cases involving account-opening forms with an exposure above Rs. 293 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.26.

KAP-260.6.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-260.6.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-260.6.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-260.6.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 9 days written notice.

Section 260.7 Politically Exposed Persons - Operating Rule Set 260.7

KAP-260.7.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-260.7.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/033 and that compliance is certified every quarter.

KAP-260.7.3 The Branch Manager shall review account-opening forms within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-260.7.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-260.7.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-260.7.6 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-32.

KAP-260.7.7 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure G-28.

KAP-260.7.8 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure A-19.

KAP-260.7.9 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure A-7.

KAP-260.7.10 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure B-28.

PART 22 - CHAPTER 261: BENEFICIAL OWNERSHIP

Section 261.1 Beneficial Ownership - Operating Rule Set 261.1

KAP-261.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-261.1.2 The Branch Manager shall review account-opening forms within 29 working days of receipt and record the outcome in the Case Management system.

KAP-261.1.3 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-261.1.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure F-8.

KAP-261.1.5 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-261.1.6 Cases involving cash transaction reports with an exposure above Rs. 87 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.26.

KAP-261.1.7 Cases involving identity documents with an exposure above Rs. 21 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.16.

KAP-261.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 369 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.3.

Section 261.2 Beneficial Ownership - Operating Rule Set 261.2

KAP-261.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-261.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-261.2.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/242 and that compliance is certified every quarter.

KAP-261.2.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure E-14.

KAP-261.2.5 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure G-29.

KAP-261.2.6 Cases involving video-KYC sessions with an exposure above Rs. 24 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.30.

KAP-261.2.7 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure H-27.

KAP-261.2.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure H-12.

KAP-261.2.9 The Branch Manager shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-261.2.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-261.2.11 The Credit Committee shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

KAP-261.2.12 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure G-23.

Section 261.3 Beneficial Ownership - Operating Rule Set 261.3

KAP-261.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-261.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 144 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.8.

KAP-261.3.3 The Compliance Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-261.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-261.3.5 The Audit Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Case Management system.

KAP-261.3.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-261.3.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure F-27.

KAP-261.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-261.3.9 The Operations Head shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-261.3.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 24 days written notice.

KAP-261.3.11 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure D-20.

KAP-261.3.12 Cases involving cash transaction reports with an exposure above Rs. 178 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.6.

Section 261.4 Beneficial Ownership - Operating Rule Set 261.4

KAP-261.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-261.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-261.4.3 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-261.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-261.4.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-261.4.6 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-261.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-261.4.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-261.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-261.4.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/109 and that compliance is certified every quarter.

KAP-261.4.11 The Audit Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Loan Origination system.

Section 261.5 Beneficial Ownership - Operating Rule Set 261.5

KAP-261.5.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-261.5.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-261.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-261.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-261.5.5 The Branch Manager shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-261.5.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 119 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.11.

KAP-261.5.7 In case of a system outage, the Operations Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure H-27.

KAP-261.5.8 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/009 and that compliance is certified every quarter.

KAP-261.5.9 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure F-27.

KAP-261.5.10 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

PART 22 - CHAPTER 262: RECORD KEEPING

Section 262.1 Record Keeping - Operating Rule Set 262.1

KAP-262.1.1 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/129 and that compliance is certified every quarter.

KAP-262.1.2 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-262.1.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/141 and that compliance is certified every quarter.

KAP-262.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-262.1.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-262.1.6 The Branch Manager shall review risk-rating files within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-262.1.7 Cases involving risk-rating files with an exposure above Rs. 24 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.27.

KAP-262.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-262.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-262.1.10 The Regional Credit Officer shall review address proofs within 21 working days of receipt and record the outcome in the Document Management system.

KAP-262.1.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-262.1.12 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure H-2.

Section 262.2 Record Keeping - Operating Rule Set 262.2

KAP-262.2.1 The Operations Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Case Management system.

KAP-262.2.2 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-262.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-262.2.4 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure B-10.

KAP-262.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-262.2.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-39.

KAP-262.2.7 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-262.2.8 The Credit Committee shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Loan Origination system.

Section 262.3 Record Keeping - Operating Rule Set 262.3

KAP-262.3.1 Cases involving video-KYC sessions with an exposure above Rs. 297 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.21.

KAP-262.3.2 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure C-28.

KAP-262.3.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-262.3.4 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure A-14.

KAP-262.3.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches,

after giving the customer 21 days written notice.

KAP-262.3.6 Cases involving video-KYC sessions with an exposure above Rs. 490 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.18.

KAP-262.3.7 Cases involving identity documents with an exposure above Rs. 196 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.21.

KAP-262.3.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure F-16.

KAP-262.3.9 Cases involving video-KYC sessions with an exposure above Rs. 256 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.12.

KAP-262.3.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-262.3.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-262.3.12 Cases involving correspondent-bank relationships with an exposure above Rs. 160 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.7.

Section 262.4 Record Keeping - Operating Rule Set 262.4

KAP-262.4.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure C-3.

KAP-262.4.2 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-262.4.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-262.4.4 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/188 and that compliance is certified every quarter.

KAP-262.4.5 Cases involving PEP screening results with an exposure above Rs. 279 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.11.

KAP-262.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 204 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.6.

KAP-262.4.7 Cases involving address proofs with an exposure above Rs. 315 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.9.

KAP-262.4.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-262.4.9 The Zonal Head shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Customer Relationship system.

Section 262.5 Record Keeping - Operating Rule Set 262.5

KAP-262.5.1 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-262.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-262.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-262.5.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-262.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-262.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-262.5.7 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Document Management system.

KAP-262.5.8 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-262.5.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/087 and that compliance is certified every quarter.

KAP-262.5.10 The Credit Committee shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-262.5.11 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure B-15.

PART 22 - CHAPTER 263: STAFF TRAINING

Section 263.1 Staff Training - Operating Rule Set 263.1

KAP-263.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-263.1.2 The Audit Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-263.1.3 Cases involving account-opening forms with an exposure above Rs. 178 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.23.

KAP-263.1.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/160 and that compliance is certified every quarter.

KAP-263.1.5 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure B-20.

KAP-263.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-263.1.7 The Audit Department shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

KAP-263.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-263.1.9 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure F-32.

KAP-263.1.10 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-263.1.11 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/138 and that compliance is certified every quarter.

Section 263.2 Staff Training - Operating Rule Set 263.2

KAP-263.2.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/275 and that compliance is certified every quarter.

KAP-263.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-263.2.3 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-263.2.4 The Credit Committee shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-263.2.5 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/090 and that compliance is certified every quarter.

KAP-263.2.6 Cases involving beneficial-owner declarations with an exposure above Rs. 475 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.4.

KAP-263.2.7 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/196 and that compliance is certified every quarter.

KAP-263.2.8 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-263.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-263.2.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

Section 263.3 Staff Training - Operating Rule Set 263.3

KAP-263.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-263.3.2 Cases involving PEP screening results with an exposure above Rs. 352 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.14.

KAP-263.3.3 Cases involving address proofs with an exposure above Rs. 367 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.9.

KAP-263.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-263.3.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-24.

KAP-263.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-263.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-263.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-263.3.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure E-39.

Section 263.4 Staff Training - Operating Rule Set 263.4

KAP-263.4.1 The Compliance Officer shall review risk-rating files within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-263.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-263.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-263.4.4 The Zonal Head shall review PEP screening results within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-263.4.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/252 and that compliance is certified every quarter.

KAP-263.4.6 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-263.4.7 Cases involving PEP screening results with an exposure above Rs. 407 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.8.

KAP-263.4.8 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-263.4.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-263.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 263.5 Staff Training - Operating Rule Set 263.5

KAP-263.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 241 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.25.

KAP-263.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-263.5.3 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure F-32.

KAP-263.5.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-263.5.5 Cases involving account-opening forms with an exposure above Rs. 175 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.8.

KAP-263.5.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure F-2.

KAP-263.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-263.5.8 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 263.6 Staff Training - Operating Rule Set 263.6

KAP-263.6.1 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure H-29.

KAP-263.6.2 The Zonal Head shall review risk-rating files within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-263.6.3 The Credit Committee shall review address proofs within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-263.6.4 The Operations Head shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-263.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-263.6.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure C-17.

KAP-263.6.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-263.6.8 The Audit Department shall review cash transaction reports within 4 working days of receipt and record the outcome in the Document Management system.

KAP-263.6.9 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Customer Relationship system.

PART 22 - CHAPTER 264: INDEPENDENT AUDIT

Section 264.1 Independent Audit - Operating Rule Set 264.1

KAP-264.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-264.1.2 The Operations Head shall review account-opening forms within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-264.1.3 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-264.1.4 The Credit Committee shall review account-opening forms within 8 working days of receipt and record the outcome in the Document Management system.

KAP-264.1.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-264.1.6 The Risk Management Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Case Management system.

KAP-264.1.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-264.1.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure G-23.

KAP-264.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 264.2 Independent Audit - Operating Rule Set 264.2

KAP-264.2.1 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure B-19.

KAP-264.2.2 The Regional Credit Officer shall review risk-rating files within 8 working days of receipt and record the outcome in the Case Management system.

KAP-264.2.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management

Department within 19 working days, with the supporting documents listed in Annexure G-1.

KAP-264.2.4 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-264.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-264.2.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-264.2.7 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-264.2.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure B-27.

KAP-264.2.9 The Risk Management Department shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

Section 264.3 Independent Audit - Operating Rule Set 264.3

KAP-264.3.1 The Risk Management Department shall review address proofs within 24 working days of receipt and record the outcome in the Document Management system.

KAP-264.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-264.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-264.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 59 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.8.

KAP-264.3.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-264.3.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/014 and that compliance is certified every quarter.

KAP-264.3.7 The Zonal Head shall review risk-rating files within 13 working days of receipt and record the outcome in the Document Management system.

KAP-264.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-264.3.9 The Risk Management Department shall review PEP screening results within 5 working days of receipt and record the outcome in the Case Management system.

KAP-264.3.10 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/225 and that compliance is certified every quarter.

KAP-264.3.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-264.3.12 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-264.3.13 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-264.3.14 The Regional Credit Officer shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Core Banking system.

Section 264.4 Independent Audit - Operating Rule Set 264.4

KAP-264.4.1 Cases involving PEP screening results with an exposure above Rs. 6 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.10.

KAP-264.4.2 Cases involving account-opening forms with an exposure above Rs. 230 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.15.

KAP-264.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 245 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.24.

KAP-264.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-264.4.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-264.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-264.4.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure E-16.

KAP-264.4.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-264.4.9 The Credit Committee shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

KAP-264.4.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

Section 264.5 Independent Audit - Operating Rule Set 264.5

KAP-264.5.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-264.5.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/138 and that compliance is certified every quarter.

KAP-264.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-264.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-264.5.5 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-26.

KAP-264.5.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure E-8.

KAP-264.5.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/054 and that compliance is certified every quarter.

KAP-264.5.8 Cases involving risk-rating files with an exposure above Rs. 441 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.17.

KAP-264.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-264.5.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 9 days written notice.

PART 23 - CHAPTER 265: CUSTOMER ACCEPTANCE

Section 265.1 Customer Acceptance - Operating Rule Set 265.1

KAP-265.1.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/251 and that compliance is certified every quarter.

KAP-265.1.2 The Operations Head shall review cash transaction reports within 16 working days of receipt and record the outcome in the Document Management system.

KAP-265.1.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-265.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-265.1.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-265.1.6 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-265.1.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-265.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-265.1.9 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-265.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

Section 265.2 Customer Acceptance - Operating Rule Set 265.2

KAP-265.2.1 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-265.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 289 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.16.

KAP-265.2.3 Cases involving PEP screening results with an exposure above Rs. 404 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.5.

KAP-265.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-265.2.5 Cases involving risk-rating files with an exposure above Rs. 133 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.27.

KAP-265.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-265.2.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-265.2.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/288 and that compliance is certified every quarter.

KAP-265.2.9 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/015 and that compliance is certified every quarter.

Section 265.3 Customer Acceptance - Operating Rule Set 265.3

KAP-265.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 449 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.9.

KAP-265.3.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/182 and that compliance is certified every quarter.

KAP-265.3.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/077 and that compliance is certified every quarter.

KAP-265.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 438 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.30.

KAP-265.3.5 Cases involving address proofs with an exposure above Rs. 340 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.6.

KAP-265.3.6 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-265.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-265.3.8 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/224 and that compliance is certified every quarter.

KAP-265.3.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure A-13.

KAP-265.3.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure G-18.

KAP-265.3.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-265.3.12 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 265.4 Customer Acceptance - Operating Rule Set 265.4

KAP-265.4.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-265.4.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-265.4.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/025 and that compliance is certified every quarter.

KAP-265.4.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-265.4.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/061 and that compliance is certified every quarter.

KAP-265.4.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-265.4.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-265.4.8 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure G-30.

KAP-265.4.9 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-265.4.10 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure D-8.

Section 265.5 Customer Acceptance - Operating Rule Set 265.5

KAP-265.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-265.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-265.5.3 Cases involving video-KYC sessions with an exposure above Rs. 194 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.7.

KAP-265.5.4 Cases involving identity documents with an exposure above Rs. 84 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.17.

KAP-265.5.5 Cases involving cash transaction reports with an exposure above Rs. 50 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.14.

KAP-265.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-265.5.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-265.5.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/237 and that compliance is certified every quarter.

KAP-265.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-265.5.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-265.5.11 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure H-27.

PART 23 - CHAPTER 266: CUSTOMER IDENTIFICATION

Section 266.1 Customer Identification - Operating Rule Set 266.1

KAP-266.1.1 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/145 and that compliance is certified every quarter.

KAP-266.1.2 The Compliance Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-266.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-266.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-266.1.5 The Regional Credit Officer shall review PEP screening results within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-266.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-266.1.7 The Branch Manager shall review account-opening forms within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-266.1.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

Section 266.2 Customer Identification - Operating Rule Set 266.2

KAP-266.2.1 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure H-16.

KAP-266.2.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-266.2.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-266.2.4 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-266.2.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure C-19.

KAP-266.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-266.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-266.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-266.2.9 Cases involving video-KYC sessions with an exposure above Rs. 222 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.11.

KAP-266.2.10 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure G-11.

Section 266.3 Customer Identification - Operating Rule Set 266.3

KAP-266.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-266.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-266.3.3 The Regional Credit Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-266.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-266.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 360 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.10.

KAP-266.3.6 The Regional Credit Officer shall review PEP screening results within 14 working days of receipt and record the outcome in the Document Management system.

KAP-266.3.7 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-266.3.8 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-266.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-266.3.10 Cases involving cash transaction reports with an exposure above Rs. 448 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.13.

KAP-266.3.11 The Branch Manager shall review risk-rating files within 26 working days of receipt and record the outcome in

the Document Management system.

Section 266.4 Customer Identification - Operating Rule Set 266.4

KAP-266.4.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-266.4.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-266.4.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-266.4.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/147 and that compliance is certified every quarter.

KAP-266.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-266.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-266.4.7 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-266.4.8 Cases involving account-opening forms with an exposure above Rs. 373 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.4.

KAP-266.4.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/039 and that compliance is certified every quarter.

KAP-266.4.10 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/132 and that compliance is certified every quarter.

KAP-266.4.11 Cases involving account-opening forms with an exposure above Rs. 383 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.8.

KAP-266.4.12 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-266.4.13 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-22.

KAP-266.4.14 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/252 and that compliance is certified every quarter.

Section 266.5 Customer Identification - Operating Rule Set 266.5

KAP-266.5.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-266.5.2 Cases involving identity documents with an exposure above Rs. 128 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.29.

KAP-266.5.3 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-266.5.4 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/143 and that compliance is certified every quarter.

KAP-266.5.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure A-37.

KAP-266.5.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-266.5.7 The Risk Management Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Document Management system.

KAP-266.5.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 266.6 Customer Identification - Operating Rule Set 266.6

KAP-266.6.1 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure A-13.

KAP-266.6.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be

made available to the Board Audit Committee on request.

KAP-266.6.3 Cases involving beneficial-owner declarations with an exposure above Rs. 358 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.13.

KAP-266.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-266.6.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/125 and that compliance is certified every quarter.

KAP-266.6.6 The Zonal Head shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-266.6.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/070 and that compliance is certified every quarter.

KAP-266.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-266.6.9 Cases involving video-KYC sessions with an exposure above Rs. 230 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.27.

Section 266.7 Customer Identification - Operating Rule Set 266.7

KAP-266.7.1 Cases involving beneficial-owner declarations with an exposure above Rs. 120 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.6.

KAP-266.7.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-266.7.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure H-22.

KAP-266.7.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-24.

KAP-266.7.5 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-266.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-266.7.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-266.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 264 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.23.

KAP-266.7.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-266.7.10 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/073 and that compliance is certified every quarter.

PART 23 - CHAPTER 267: CUSTOMER DUE DILIGENCE

Section 267.1 Customer Due Diligence - Operating Rule Set 267.1

KAP-267.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 478 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.7.

KAP-267.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-267.1.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/140 and that compliance is certified every quarter.

KAP-267.1.4 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-267.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-267.1.6 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/173 and that compliance is certified every quarter.

KAP-267.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit

Officer by the 12th day of the following month.

KAP-267.1.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/180 and that compliance is certified every quarter.

KAP-267.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-267.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 371 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.21.

Section 267.2 Customer Due Diligence - Operating Rule Set 267.2

KAP-267.2.1 Cases involving risk-rating files with an exposure above Rs. 395 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.4.

KAP-267.2.2 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-267.2.3 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-267.2.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-267.2.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-267.2.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/121 and that compliance is certified every quarter.

KAP-267.2.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-267.2.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/108 and that compliance is certified every quarter.

KAP-267.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-267.2.10 The Credit Committee shall review address proofs within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-267.2.11 Cases involving cash transaction reports with an exposure above Rs. 233 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.25.

KAP-267.2.12 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

Section 267.3 Customer Due Diligence - Operating Rule Set 267.3

KAP-267.3.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/063 and that compliance is certified every quarter.

KAP-267.3.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/228 and that compliance is certified every quarter.

KAP-267.3.3 The Credit Committee shall review identity documents within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-267.3.4 The Branch Manager shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Document Management system.

KAP-267.3.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-267.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 462 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-267.3.7 Cases involving account-opening forms with an exposure above Rs. 68 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.21.

KAP-267.3.8 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-30.

KAP-267.3.9 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-267.3.10 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-267.3.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-267.3.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-267.3.13 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

Section 267.4 Customer Due Diligence - Operating Rule Set 267.4

KAP-267.4.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-267.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 46 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.28.

KAP-267.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-267.4.4 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/222 and that compliance is certified every quarter.

KAP-267.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-267.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-267.4.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/144 and that compliance is certified every quarter.

KAP-267.4.8 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-267.4.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-267.4.10 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-267.4.11 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-267.4.12 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/050 and that compliance is certified every quarter.

KAP-267.4.13 Cases involving alerts generated by the monitoring system with an exposure above Rs. 352 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.7.

PART 23 - CHAPTER 268: ENHANCED DUE DILIGENCE

Section 268.1 Enhanced Due Diligence - Operating Rule Set 268.1

KAP-268.1.1 The Branch Manager shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-268.1.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-268.1.3 The Risk Management Department shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Document Management system.

KAP-268.1.4 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-268.1.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-268.1.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-268.1.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-268.1.8 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-268.1.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-268.1.10 Cases involving address proofs with an exposure above Rs. 429 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.16.

KAP-268.1.11 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/148 and that compliance is certified every quarter.

KAP-268.1.12 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 268.2 Enhanced Due Diligence - Operating Rule Set 268.2

KAP-268.2.1 Cases involving identity documents with an exposure above Rs. 424 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.2.

KAP-268.2.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-268.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 335 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.6.

KAP-268.2.4 The Credit Committee shall review address proofs within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-268.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 361 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.11.

KAP-268.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-268.2.7 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure C-8.

KAP-268.2.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

Section 268.3 Enhanced Due Diligence - Operating Rule Set 268.3

KAP-268.3.1 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-268.3.2 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure F-31.

KAP-268.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 87 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.4.

KAP-268.3.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-268.3.5 Cases involving PEP screening results with an exposure above Rs. 263 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.30.

KAP-268.3.6 Cases involving cash transaction reports with an exposure above Rs. 28 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.18.

KAP-268.3.7 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-268.3.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/055 and that compliance is certified every quarter.

KAP-268.3.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/257 and that compliance is certified every quarter.

KAP-268.3.10 Cases involving correspondent-bank relationships with an exposure above Rs. 6 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.17.

KAP-268.3.11 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 268.4 Enhanced Due Diligence - Operating Rule Set 268.4

KAP-268.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-268.4.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure H-21.

KAP-268.4.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/130 and that compliance is certified every quarter.

KAP-268.4.4 Cases involving PEP screening results with an exposure above Rs. 336 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.30.

KAP-268.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-268.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-268.4.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-268.4.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-268.4.9 The Branch Manager shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

Section 268.5 Enhanced Due Diligence - Operating Rule Set 268.5

KAP-268.5.1 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-33.

KAP-268.5.2 Cases involving account-opening forms with an exposure above Rs. 500 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.26.

KAP-268.5.3 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-268.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 133 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.29.

KAP-268.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-268.5.6 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure A-2.

KAP-268.5.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/116 and that compliance is certified every quarter.

KAP-268.5.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-268.5.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure G-16.

KAP-268.5.10 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/195 and that compliance is certified every quarter.

PART 23 - CHAPTER 269: RISK CATEGORISATION

Section 269.1 Risk Categorisation - Operating Rule Set 269.1

KAP-269.1.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-269.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-269.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 354 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.13.

KAP-269.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-269.1.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-269.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-269.1.7 Cases involving account-opening forms with an exposure above Rs. 329 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.15.

KAP-269.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-269.1.9 Cases involving risk-rating files with an exposure above Rs. 197 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.15.

KAP-269.1.10 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/168 and that compliance is certified every quarter.

KAP-269.1.11 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/135 and that compliance is certified every quarter.

KAP-269.1.12 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure B-18.

Section 269.2 Risk Categorisation - Operating Rule Set 269.2

KAP-269.2.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-269.2.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-269.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-269.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-269.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-269.2.6 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/195 and that compliance is certified every quarter.

KAP-269.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 223 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.29.

KAP-269.2.8 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/222 and that compliance is certified every quarter.

Section 269.3 Risk Categorisation - Operating Rule Set 269.3

KAP-269.3.1 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-269.3.2 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure D-36.

KAP-269.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-269.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-269.3.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-269.3.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure B-24.

KAP-269.3.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/032 and that compliance is certified every quarter.

KAP-269.3.8 The Operations Head shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Case Management system.

KAP-269.3.9 The Compliance Officer shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Risk Engine system.

Section 269.4 Risk Categorisation - Operating Rule Set 269.4

KAP-269.4.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-269.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-269.4.3 Cases involving PEP screening results with an exposure above Rs. 264 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.19.

KAP-269.4.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

KAP-269.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-269.4.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure B-16.

KAP-269.4.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-269.4.8 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/193 and that compliance is certified every quarter.

KAP-269.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/297 and that compliance is certified every quarter.

Section 269.5 Risk Categorisation - Operating Rule Set 269.5

KAP-269.5.1 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-269.5.2 The Operations Head shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-269.5.3 Cases involving video-KYC sessions with an exposure above Rs. 97 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.13.

KAP-269.5.4 Cases involving PEP screening results with an exposure above Rs. 284 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.4.

KAP-269.5.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-269.5.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-269.5.7 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-269.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 342 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.2.

KAP-269.5.9 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure F-11.

KAP-269.5.10 The Audit Department shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

KAP-269.5.11 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

Section 269.6 Risk Categorisation - Operating Rule Set 269.6

KAP-269.6.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/210 and that compliance is certified every quarter.

KAP-269.6.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-269.6.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/081 and that compliance is certified every quarter.

KAP-269.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-269.6.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee

by the 11th day of the following month.

KAP-269.6.6 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-269.6.7 Cases involving correspondent-bank relationships with an exposure above Rs. 330 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.5.

KAP-269.6.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-269.6.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/025 and that compliance is certified every quarter.

KAP-269.6.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-269.6.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

PART 23 - CHAPTER 270: TRANSACTION MONITORING

Section 270.1 Transaction Monitoring - Operating Rule Set 270.1

KAP-270.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-270.1.2 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-270.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-270.1.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/232 and that compliance is certified every quarter.

KAP-270.1.5 The Regional Credit Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Document Management system.

KAP-270.1.6 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-270.1.7 Cases involving identity documents with an exposure above Rs. 499 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.2.

KAP-270.1.8 The Credit Committee shall review PEP screening results within 15 working days of receipt and record the outcome in the Document Management system.

KAP-270.1.9 The Zonal Head shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

Section 270.2 Transaction Monitoring - Operating Rule Set 270.2

KAP-270.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-270.2.2 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/073 and that compliance is certified every quarter.

KAP-270.2.3 The Risk Management Department shall review identity documents within 15 working days of receipt and record the outcome in the Document Management system.

KAP-270.2.4 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/283 and that compliance is certified every quarter.

KAP-270.2.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure F-39.

KAP-270.2.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/023 and that compliance is certified every quarter.

KAP-270.2.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure C-14.

KAP-270.2.8 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-270.2.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance

Officer within 10 working days, with the supporting documents listed in Annexure G-2.

KAP-270.2.10 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure H-23.

Section 270.3 Transaction Monitoring - Operating Rule Set 270.3

KAP-270.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-270.3.2 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/224 and that compliance is certified every quarter.

KAP-270.3.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure E-20.

KAP-270.3.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure D-34.

KAP-270.3.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-270.3.6 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/006 and that compliance is certified every quarter.

KAP-270.3.7 The Operations Head shall review account-opening forms within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-270.3.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

Section 270.4 Transaction Monitoring - Operating Rule Set 270.4

KAP-270.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-270.4.2 The Operations Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

KAP-270.4.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/113 and that compliance is certified every quarter.

KAP-270.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-270.4.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/228 and that compliance is certified every quarter.

KAP-270.4.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-270.4.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/243 and that compliance is certified every quarter.

KAP-270.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-270.4.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-270.4.10 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-270.4.11 The Compliance Officer shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Risk Engine system.

Section 270.5 Transaction Monitoring - Operating Rule Set 270.5

KAP-270.5.1 Cases involving identity documents with an exposure above Rs. 29 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.29.

KAP-270.5.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-270.5.3 Cases involving identity documents with an exposure above Rs. 77 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.10.

KAP-270.5.4 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review

method, with a tolerance of 7% as approved by the Board.

KAP-270.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-270.5.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure F-25.

KAP-270.5.7 Cases involving account-opening forms with an exposure above Rs. 411 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.25.

KAP-270.5.8 Cases involving PEP screening results with an exposure above Rs. 140 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.23.

KAP-270.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

PART 23 - CHAPTER 271: SUSPICIOUS TRANSACTION REPORTING

Section 271.1 Suspicious Transaction Reporting - Operating Rule Set 271.1

KAP-271.1.1 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure C-40.

KAP-271.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-271.1.3 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Case Management system.

KAP-271.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-271.1.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure H-7.

KAP-271.1.6 Cases involving address proofs with an exposure above Rs. 452 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.17.

KAP-271.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-271.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-271.1.9 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure H-17.

Section 271.2 Suspicious Transaction Reporting - Operating Rule Set 271.2

KAP-271.2.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/188 and that compliance is certified every quarter.

KAP-271.2.2 Cases involving video-KYC sessions with an exposure above Rs. 65 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.22.

KAP-271.2.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/084 and that compliance is certified every quarter.

KAP-271.2.4 The Risk Management Department shall review identity documents within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-271.2.5 Cases involving risk-rating files with an exposure above Rs. 133 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.6.

KAP-271.2.6 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-271.2.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure F-36.

KAP-271.2.8 The Credit Committee shall review risk-rating files within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-271.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 271.3 Suspicious Transaction Reporting - Operating Rule Set 271.3

KAP-271.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-271.3.2 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/249 and that compliance is certified every quarter.

KAP-271.3.3 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-271.3.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/283 and that compliance is certified every quarter.

KAP-271.3.5 The Regional Credit Officer shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-271.3.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure F-35.

KAP-271.3.7 Cases involving address proofs with an exposure above Rs. 416 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.25.

KAP-271.3.8 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure B-39.

KAP-271.3.9 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-271.3.10 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 271.4 Suspicious Transaction Reporting - Operating Rule Set 271.4

KAP-271.4.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-271.4.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-271.4.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-11.

KAP-271.4.4 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure A-40.

KAP-271.4.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-271.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-271.4.7 The Credit Committee shall review identity documents within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-271.4.8 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 271.5 Suspicious Transaction Reporting - Operating Rule Set 271.5

KAP-271.5.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-271.5.2 Cases involving account-opening forms with an exposure above Rs. 22 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.14.

KAP-271.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-271.5.4 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-271.5.5 Cases involving PEP screening results with an exposure above Rs. 141 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.11.

KAP-271.5.6 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-271.5.7 Cases involving account-opening forms with an exposure above Rs. 250 lakh require prior written approval

from the Audit Department; otherwise the case is an exception under Clause 17.23.

KAP-271.5.8 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/212 and that compliance is certified every quarter.

KAP-271.5.9 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/240 and that compliance is certified every quarter.

KAP-271.5.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-271.5.11 The Branch Manager shall review account-opening forms within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-271.5.12 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-271.5.13 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

Section 271.6 Suspicious Transaction Reporting - Operating Rule Set 271.6

KAP-271.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-271.6.2 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-271.6.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-271.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-271.6.5 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/052 and that compliance is certified every quarter.

KAP-271.6.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-271.6.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-271.6.8 Cases involving account-opening forms with an exposure above Rs. 431 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.27.

Section 271.7 Suspicious Transaction Reporting - Operating Rule Set 271.7

KAP-271.7.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-271.7.2 The Zonal Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-271.7.3 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-271.7.4 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/274 and that compliance is certified every quarter.

KAP-271.7.5 The Audit Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-271.7.6 Cases involving beneficial-owner declarations with an exposure above Rs. 495 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.26.

KAP-271.7.7 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-271.7.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-271.7.9 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-271.7.10 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-271.7.11 The Credit Committee shall review risk-rating files within 23 working days of receipt and record the outcome in the Risk Engine system.

PART 23 - CHAPTER 272: POLITICALLY EXPOSED PERSONS

Section 272.1 Politically Exposed Persons - Operating Rule Set 272.1

KAP-272.1.1 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/263 and that compliance is certified every quarter.

KAP-272.1.2 Cases involving video-KYC sessions with an exposure above Rs. 301 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.1.

KAP-272.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-272.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 87 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.17.

KAP-272.1.5 The Operations Head shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Case Management system.

KAP-272.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-272.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-272.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 418 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.17.

KAP-272.1.9 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 272.2 Politically Exposed Persons - Operating Rule Set 272.2

KAP-272.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-272.2.2 The Operations Head shall review cash transaction reports within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-272.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-272.2.4 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/149 and that compliance is certified every quarter.

KAP-272.2.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-272.2.6 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure F-23.

KAP-272.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-272.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-272.2.9 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-272.2.10 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure D-26.

KAP-272.2.11 Cases involving identity documents with an exposure above Rs. 80 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.15.

Section 272.3 Politically Exposed Persons - Operating Rule Set 272.3

KAP-272.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-272.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-272.3.3 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance

of 7% as approved by the Board.

KAP-272.3.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure C-32.

KAP-272.3.5 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure C-36.

KAP-272.3.6 Cases involving cash transaction reports with an exposure above Rs. 39 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.5.

KAP-272.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-272.3.8 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-272.3.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-272.3.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

Section 272.4 Politically Exposed Persons - Operating Rule Set 272.4

KAP-272.4.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure H-22.

KAP-272.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-272.4.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-272.4.4 The Audit Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Case Management system.

KAP-272.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-272.4.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-272.4.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure A-27.

KAP-272.4.8 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-272.4.9 Cases involving risk-rating files with an exposure above Rs. 257 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.11.

KAP-272.4.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure B-2.

Section 272.5 Politically Exposed Persons - Operating Rule Set 272.5

KAP-272.5.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/060 and that compliance is certified every quarter.

KAP-272.5.2 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure H-29.

KAP-272.5.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

KAP-272.5.4 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-272.5.5 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-272.5.6 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-272.5.7 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-272.5.8 Cases involving identity documents with an exposure above Rs. 235 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.18.

KAP-272.5.9 The Branch Manager shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-272.5.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-272.5.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-272.5.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

Section 272.6 Politically Exposed Persons - Operating Rule Set 272.6

KAP-272.6.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-272.6.2 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-272.6.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure E-26.

KAP-272.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-272.6.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-272.6.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-272.6.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-272.6.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-272.6.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

Section 272.7 Politically Exposed Persons - Operating Rule Set 272.7

KAP-272.7.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-272.7.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-272.7.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/272 and that compliance is certified every quarter.

KAP-272.7.4 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-272.7.5 Cases involving address proofs with an exposure above Rs. 297 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.14.

KAP-272.7.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-272.7.7 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-272.7.8 Cases involving beneficial-owner declarations with an exposure above Rs. 20 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.6.

KAP-272.7.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-272.7.10 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/167 and that compliance is certified every quarter.

KAP-272.7.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee

by the 5th day of the following month.

Section 272.8 Politically Exposed Persons - Operating Rule Set 272.8

KAP-272.8.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-272.8.2 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure B-13.

KAP-272.8.3 The Regional Credit Officer shall review identity documents within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-272.8.4 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-272.8.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-272.8.6 The Zonal Head shall review account-opening forms within 12 working days of receipt and record the outcome in the Document Management system.

KAP-272.8.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure C-29.

KAP-272.8.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-272.8.9 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-272.8.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

PART 23 - CHAPTER 273: BENEFICIAL OWNERSHIP

Section 273.1 Beneficial Ownership - Operating Rule Set 273.1

KAP-273.1.1 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-273.1.2 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure E-37.

KAP-273.1.3 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Document Management system.

KAP-273.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-273.1.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-273.1.6 Cases involving PEP screening results with an exposure above Rs. 386 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.11.

KAP-273.1.7 Cases involving video-KYC sessions with an exposure above Rs. 417 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.10.

KAP-273.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-273.1.9 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-18.

Section 273.2 Beneficial Ownership - Operating Rule Set 273.2

KAP-273.2.1 Cases involving PEP screening results with an exposure above Rs. 256 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.23.

KAP-273.2.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure G-37.

KAP-273.2.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/188 and that compliance is certified every quarter.

KAP-273.2.4 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-273.2.5 The Credit Committee shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

KAP-273.2.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure A-36.

KAP-273.2.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/289 and that compliance is certified every quarter.

KAP-273.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-273.2.9 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-273.2.10 Cases involving identity documents with an exposure above Rs. 126 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.26.

Section 273.3 Beneficial Ownership - Operating Rule Set 273.3

KAP-273.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-273.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-273.3.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure A-38.

KAP-273.3.4 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure G-7.

KAP-273.3.5 Cases involving account-opening forms with an exposure above Rs. 282 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.5.

KAP-273.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-273.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-273.3.8 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-273.3.9 Cases involving video-KYC sessions with an exposure above Rs. 284 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.25.

Section 273.4 Beneficial Ownership - Operating Rule Set 273.4

KAP-273.4.1 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-273.4.2 Cases involving account-opening forms with an exposure above Rs. 242 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.11.

KAP-273.4.3 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-20.

KAP-273.4.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-273.4.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-273.4.6 The Credit Committee shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-273.4.7 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure E-35.

KAP-273.4.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure B-12.

KAP-273.4.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-273.4.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by

the 10th day of the following month.

KAP-273.4.11 The Branch Manager shall review cash transaction reports within 20 working days of receipt and record the outcome in the Case Management system.

KAP-273.4.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

Section 273.5 Beneficial Ownership - Operating Rule Set 273.5

KAP-273.5.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-273.5.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure C-21.

KAP-273.5.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/020 and that compliance is certified every quarter.

KAP-273.5.4 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-273.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-273.5.6 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-273.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-273.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-273.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-273.5.10 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/300 and that compliance is certified every quarter.

KAP-273.5.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-273.5.12 The Compliance Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-273.5.13 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

Section 273.6 Beneficial Ownership - Operating Rule Set 273.6

KAP-273.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-273.6.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/264 and that compliance is certified every quarter.

KAP-273.6.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-273.6.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-273.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-273.6.6 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-273.6.7 The Credit Committee shall review identity documents within 29 working days of receipt and record the outcome in the Document Management system.

KAP-273.6.8 The Risk Management Department shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-273.6.9 The Compliance Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

KAP-273.6.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-273.6.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

PART 23 - CHAPTER 274: RECORD KEEPING

Section 274.1 Record Keeping - Operating Rule Set 274.1

KAP-274.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-274.1.2 Cases involving video-KYC sessions with an exposure above Rs. 80 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.24.

KAP-274.1.3 The Operations Head shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-274.1.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/181 and that compliance is certified every quarter.

KAP-274.1.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-274.1.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/250 and that compliance is certified every quarter.

KAP-274.1.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/158 and that compliance is certified every quarter.

KAP-274.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 33 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.13.

Section 274.2 Record Keeping - Operating Rule Set 274.2

KAP-274.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-274.2.2 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure A-22.

KAP-274.2.3 The Risk Management Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-274.2.4 The Branch Manager shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-274.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-274.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-274.2.7 Cases involving cash transaction reports with an exposure above Rs. 297 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.7.

KAP-274.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-274.2.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure F-15.

KAP-274.2.10 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-28.

Section 274.3 Record Keeping - Operating Rule Set 274.3

KAP-274.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-274.3.2 Cases involving beneficial-owner declarations with an exposure above Rs. 347 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.19.

KAP-274.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-274.3.4 Cases involving cash transaction reports with an exposure above Rs. 373 lakh require prior written approval

from the Branch Manager; otherwise the case is an exception under Clause 13.20.

KAP-274.3.5 Cases involving identity documents with an exposure above Rs. 149 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.29.

KAP-274.3.6 The Branch Manager shall review risk-rating files within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-274.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-274.3.8 Cases involving video-KYC sessions with an exposure above Rs. 293 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.17.

KAP-274.3.9 The Audit Department shall review account-opening forms within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-274.3.10 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure B-6.

KAP-274.3.11 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-274.3.12 The Zonal Head shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

KAP-274.3.13 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-274.3.14 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/208 and that compliance is certified every quarter.

Section 274.4 Record Keeping - Operating Rule Set 274.4

KAP-274.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-274.4.2 Cases involving PEP screening results with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.25.

KAP-274.4.3 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-274.4.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-274.4.5 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-274.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-274.4.7 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-24.

KAP-274.4.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure G-15.

Section 274.5 Record Keeping - Operating Rule Set 274.5

KAP-274.5.1 Cases involving risk-rating files with an exposure above Rs. 474 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.2.

KAP-274.5.2 The Compliance Officer shall review risk-rating files within 26 working days of receipt and record the outcome in the Document Management system.

KAP-274.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-274.5.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-274.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 79 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.27.

KAP-274.5.6 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure A-39.

KAP-274.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-274.5.8 The Zonal Head shall review account-opening forms within 10 working days of receipt and record the outcome in the Document Management system.

KAP-274.5.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-274.5.10 Cases involving cash transaction reports with an exposure above Rs. 44 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.3.

KAP-274.5.11 The Operations Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

Section 274.6 Record Keeping - Operating Rule Set 274.6

KAP-274.6.1 Cases involving address proofs with an exposure above Rs. 248 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.4.

KAP-274.6.2 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-274.6.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure H-19.

KAP-274.6.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure B-8.

KAP-274.6.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-274.6.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-274.6.7 Cases involving video-KYC sessions with an exposure above Rs. 315 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.21.

KAP-274.6.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-274.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-274.6.10 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-274.6.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

PART 23 - CHAPTER 275: STAFF TRAINING

Section 275.1 Staff Training - Operating Rule Set 275.1

KAP-275.1.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-275.1.2 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-275.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-275.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-275.1.5 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-275.1.6 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-275.1.7 Cases involving account-opening forms with an exposure above Rs. 60 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.21.

KAP-275.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-275.1.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/228 and that compliance is certified every quarter.

KAP-275.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-275.1.11 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-275.1.12 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/014 and that compliance is certified every quarter.

Section 275.2 Staff Training - Operating Rule Set 275.2

KAP-275.2.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/035 and that compliance is certified every quarter.

KAP-275.2.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-275.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-275.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-275.2.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/224 and that compliance is certified every quarter.

KAP-275.2.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-275.2.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-275.2.8 The Audit Department shall review identity documents within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-275.2.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure G-11.

KAP-275.2.10 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/228 and that compliance is certified every quarter.

KAP-275.2.11 Cases involving address proofs with an exposure above Rs. 108 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.3.

KAP-275.2.12 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-275.2.13 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

Section 275.3 Staff Training - Operating Rule Set 275.3

KAP-275.3.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-275.3.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure C-33.

KAP-275.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-275.3.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure E-23.

KAP-275.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-275.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-275.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-275.3.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance

Officer within 26 working days, with the supporting documents listed in Annexure H-9.

KAP-275.3.9 Cases involving PEP screening results with an exposure above Rs. 153 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.17.

KAP-275.3.10 The Zonal Head shall review risk-rating files within 19 working days of receipt and record the outcome in the Loan Origination system.

Section 275.4 Staff Training - Operating Rule Set 275.4

KAP-275.4.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure H-3.

KAP-275.4.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/002 and that compliance is certified every quarter.

KAP-275.4.3 The Branch Manager shall review address proofs within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-275.4.4 The Zonal Head shall review address proofs within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-275.4.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/182 and that compliance is certified every quarter.

KAP-275.4.6 The Branch Manager shall review cash transaction reports within 21 working days of receipt and record the outcome in the Document Management system.

KAP-275.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-275.4.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-275.4.9 Cases involving address proofs with an exposure above Rs. 480 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.16.

KAP-275.4.10 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/070 and that compliance is certified every quarter.

KAP-275.4.11 Cases involving risk-rating files with an exposure above Rs. 184 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.27.

Section 275.5 Staff Training - Operating Rule Set 275.5

KAP-275.5.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/202 and that compliance is certified every quarter.

KAP-275.5.2 The Risk Management Department shall review risk-rating files within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-275.5.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-33.

KAP-275.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-275.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-275.5.6 Cases involving video-KYC sessions with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.29.

KAP-275.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-275.5.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-275.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

PART 23 - CHAPTER 276: INDEPENDENT AUDIT

Section 276.1 Independent Audit - Operating Rule Set 276.1

KAP-276.1.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/064 and that compliance is certified every quarter.

KAP-276.1.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-276.1.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure B-18.

KAP-276.1.4 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure C-26.

KAP-276.1.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure B-34.

KAP-276.1.6 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-276.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-276.1.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-276.1.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure H-18.

KAP-276.1.10 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-276.1.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 276.2 Independent Audit - Operating Rule Set 276.2

KAP-276.2.1 Cases involving identity documents with an exposure above Rs. 318 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.18.

KAP-276.2.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/160 and that compliance is certified every quarter.

KAP-276.2.3 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-276.2.4 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/043 and that compliance is certified every quarter.

KAP-276.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-276.2.6 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-9.

KAP-276.2.7 Cases involving cash transaction reports with an exposure above Rs. 333 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.17.

KAP-276.2.8 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/284 and that compliance is certified every quarter.

KAP-276.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-276.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-276.2.11 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure G-34.

Section 276.3 Independent Audit - Operating Rule Set 276.3

KAP-276.3.1 Cases involving account-opening forms with an exposure above Rs. 311 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.26.

KAP-276.3.2 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/268 and that compliance is certified every quarter.

KAP-276.3.3 The Branch Manager shall review address proofs within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-276.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department

by the 12th day of the following month.

KAP-276.3.5 Cases involving cash transaction reports with an exposure above Rs. 173 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.18.

KAP-276.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-276.3.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

KAP-276.3.8 Cases involving beneficial-owner declarations with an exposure above Rs. 402 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.15.

KAP-276.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

Section 276.4 Independent Audit - Operating Rule Set 276.4

KAP-276.4.1 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-276.4.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-276.4.3 The Zonal Head shall review address proofs within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-276.4.4 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-276.4.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-276.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-276.4.7 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-276.4.8 The Operations Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-276.4.9 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure B-27.

KAP-276.4.10 The Credit Committee shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-276.4.11 The Audit Department shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Loan Origination system.

Section 276.5 Independent Audit - Operating Rule Set 276.5

KAP-276.5.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-276.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-276.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-276.5.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-276.5.5 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-276.5.6 Cases involving video-KYC sessions with an exposure above Rs. 203 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.2.

KAP-276.5.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure C-18.

KAP-276.5.8 Cases involving video-KYC sessions with an exposure above Rs. 450 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.2.

KAP-276.5.9 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-276.5.10 Cases involving account-opening forms with an exposure above Rs. 215 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.12.

KAP-276.5.11 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure B-36.

KAP-276.5.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

PART 24 - CHAPTER 277: CUSTOMER ACCEPTANCE

Section 277.1 Customer Acceptance - Operating Rule Set 277.1

KAP-277.1.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/065 and that compliance is certified every quarter.

KAP-277.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-277.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-277.1.4 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-277.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-277.1.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-277.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-277.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

Section 277.2 Customer Acceptance - Operating Rule Set 277.2

KAP-277.2.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/020 and that compliance is certified every quarter.

KAP-277.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-277.2.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-277.2.4 Cases involving correspondent-bank relationships with an exposure above Rs. 220 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.16.

KAP-277.2.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-31.

KAP-277.2.6 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-277.2.7 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/010 and that compliance is certified every quarter.

KAP-277.2.8 Cases involving identity documents with an exposure above Rs. 252 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.12.

KAP-277.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 404 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.21.

KAP-277.2.10 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/049 and that compliance is certified every quarter.

Section 277.3 Customer Acceptance - Operating Rule Set 277.3

KAP-277.3.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-277.3.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the

Audit Department within 10 working days, with the supporting documents listed in Annexure D-28.

KAP-277.3.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure C-17.

KAP-277.3.4 The Audit Department shall review PEP screening results within 14 working days of receipt and record the outcome in the Case Management system.

KAP-277.3.5 Cases involving account-opening forms with an exposure above Rs. 311 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.7.

KAP-277.3.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure F-22.

KAP-277.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 500 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.11.

KAP-277.3.8 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/080 and that compliance is certified every quarter.

KAP-277.3.9 Cases involving cash transaction reports with an exposure above Rs. 171 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.15.

KAP-277.3.10 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure A-36.

KAP-277.3.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

Section 277.4 Customer Acceptance - Operating Rule Set 277.4

KAP-277.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-277.4.2 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-277.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-277.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-277.4.5 The Operations Head shall review account-opening forms within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-277.4.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-277.4.7 Cases involving identity documents with an exposure above Rs. 183 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.25.

KAP-277.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 277.5 Customer Acceptance - Operating Rule Set 277.5

KAP-277.5.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/169 and that compliance is certified every quarter.

KAP-277.5.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure D-36.

KAP-277.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-277.5.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure B-24.

KAP-277.5.5 The Regional Credit Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-277.5.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/057 and that compliance is certified every quarter.

KAP-277.5.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/106 and that compliance is certified every quarter.

KAP-277.5.8 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/080 and that compliance is certified every quarter.

KAP-277.5.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-277.5.10 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

Section 277.6 Customer Acceptance - Operating Rule Set 277.6

KAP-277.6.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-277.6.2 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/209 and that compliance is certified every quarter.

KAP-277.6.3 The Risk Management Department shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-277.6.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-277.6.5 Cases involving video-KYC sessions with an exposure above Rs. 331 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.18.

KAP-277.6.6 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure F-28.

KAP-277.6.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-277.6.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-277.6.9 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/176 and that compliance is certified every quarter.

KAP-277.6.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

PART 24 - CHAPTER 278: CUSTOMER IDENTIFICATION

Section 278.1 Customer Identification - Operating Rule Set 278.1

KAP-278.1.1 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-278.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-278.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-278.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-278.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-278.1.6 Cases involving video-KYC sessions with an exposure above Rs. 165 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.3.

KAP-278.1.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/264 and that compliance is certified every quarter.

KAP-278.1.8 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/285 and that compliance is certified every quarter.

KAP-278.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-278.1.10 Cases involving video-KYC sessions with an exposure above Rs. 198 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.9.

Section 278.2 Customer Identification - Operating Rule Set 278.2

KAP-278.2.1 The Risk Management Department shall review account-opening forms within 3 working days of receipt and

record the outcome in the Core Banking system.

KAP-278.2.2 Cases involving identity documents with an exposure above Rs. 483 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.15.

KAP-278.2.3 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/086 and that compliance is certified every quarter.

KAP-278.2.4 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-278.2.5 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/286 and that compliance is certified every quarter.

KAP-278.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 386 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.13.

KAP-278.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 500 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.16.

KAP-278.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-278.2.9 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-278.2.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure A-37.

KAP-278.2.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

Section 278.3 Customer Identification - Operating Rule Set 278.3

KAP-278.3.1 The Risk Management Department shall review identity documents within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-278.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-278.3.3 The Compliance Officer shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-278.3.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/010 and that compliance is certified every quarter.

KAP-278.3.5 The Branch Manager shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Document Management system.

KAP-278.3.6 The Compliance Officer shall review address proofs within 27 working days of receipt and record the outcome in the Case Management system.

KAP-278.3.7 The Compliance Officer shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-278.3.8 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-278.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-278.3.10 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/192 and that compliance is certified every quarter.

Section 278.4 Customer Identification - Operating Rule Set 278.4

KAP-278.4.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/018 and that compliance is certified every quarter.

KAP-278.4.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure C-19.

KAP-278.4.3 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-278.4.4 The Risk Management Department shall review risk-rating files within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-278.4.5 The Regional Credit Officer shall review identity documents within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-278.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-278.4.7 Cases involving video-KYC sessions with an exposure above Rs. 156 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.3.

KAP-278.4.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/205 and that compliance is certified every quarter.

KAP-278.4.9 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-278.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

PART 24 - CHAPTER 279: CUSTOMER DUE DILIGENCE

Section 279.1 Customer Due Diligence - Operating Rule Set 279.1

KAP-279.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-279.1.2 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-279.1.3 The Zonal Head shall review address proofs within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-279.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-279.1.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-279.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 342 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.12.

KAP-279.1.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure G-22.

KAP-279.1.8 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure A-8.

KAP-279.1.9 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/116 and that compliance is certified every quarter.

KAP-279.1.10 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Risk Engine system.

Section 279.2 Customer Due Diligence - Operating Rule Set 279.2

KAP-279.2.1 The Credit Committee shall review PEP screening results within 18 working days of receipt and record the outcome in the Document Management system.

KAP-279.2.2 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-279.2.3 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-279.2.4 The Branch Manager shall review address proofs within 10 working days of receipt and record the outcome in the Document Management system.

KAP-279.2.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-279.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-279.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-279.2.8 The Regional Credit Officer shall review cash transaction reports within 16 working days of receipt and record the outcome in the Document Management system.

KAP-279.2.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-279.2.10 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/227 and that compliance is certified every quarter.

Section 279.3 Customer Due Diligence - Operating Rule Set 279.3

KAP-279.3.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure F-10.

KAP-279.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-279.3.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-279.3.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-279.3.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure B-32.

KAP-279.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-279.3.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/272 and that compliance is certified every quarter.

KAP-279.3.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-279.3.9 Cases involving address proofs with an exposure above Rs. 142 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.2.

KAP-279.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-279.3.11 The Compliance Officer shall review risk-rating files within 12 working days of receipt and record the outcome in the Customer Relationship system.

Section 279.4 Customer Due Diligence - Operating Rule Set 279.4

KAP-279.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.27.

KAP-279.4.2 Cases involving PEP screening results with an exposure above Rs. 277 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.30.

KAP-279.4.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/140 and that compliance is certified every quarter.

KAP-279.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-279.4.5 The Zonal Head shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-279.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-279.4.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/059 and that compliance is certified every quarter.

KAP-279.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-279.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 279.5 Customer Due Diligence - Operating Rule Set 279.5

KAP-279.5.1 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-279.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-279.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-279.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-279.5.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure F-25.

KAP-279.5.6 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-279.5.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure E-36.

KAP-279.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-279.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-279.5.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-279.5.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

Section 279.6 Customer Due Diligence - Operating Rule Set 279.6

KAP-279.6.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-279.6.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-279.6.3 Cases involving account-opening forms with an exposure above Rs. 313 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.13.

KAP-279.6.4 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-279.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-279.6.6 Cases involving address proofs with an exposure above Rs. 418 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.26.

KAP-279.6.7 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure B-32.

KAP-279.6.8 Cases involving identity documents with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.6.

KAP-279.6.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

Section 279.7 Customer Due Diligence - Operating Rule Set 279.7

KAP-279.7.1 The Audit Department shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-279.7.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/043 and that compliance is certified every quarter.

KAP-279.7.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-279.7.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-279.7.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-279.7.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-279.7.7 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review

method, with a tolerance of 3% as approved by the Board.

KAP-279.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-279.7.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure G-32.

KAP-279.7.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-279.7.11 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/088 and that compliance is certified every quarter.

PART 24 - CHAPTER 280: ENHANCED DUE DILIGENCE

Section 280.1 Enhanced Due Diligence - Operating Rule Set 280.1

KAP-280.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-280.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-280.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-280.1.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/164 and that compliance is certified every quarter.

KAP-280.1.5 In case of a system outage, the Operations Head must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure H-16.

KAP-280.1.6 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-280.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-280.1.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure F-29.

Section 280.2 Enhanced Due Diligence - Operating Rule Set 280.2

KAP-280.2.1 The Risk Management Department shall review risk-rating files within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-280.2.2 The Risk Management Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-280.2.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure G-28.

KAP-280.2.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-280.2.5 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-280.2.6 The Operations Head shall review account-opening forms within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-280.2.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-280.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-280.2.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-280.2.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 4 days written notice.

Section 280.3 Enhanced Due Diligence - Operating Rule Set 280.3

KAP-280.3.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure G-40.

KAP-280.3.2 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure B-23.

KAP-280.3.3 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-280.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-280.3.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-280.3.6 Cases involving risk-rating files with an exposure above Rs. 475 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.11.

KAP-280.3.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure B-36.

KAP-280.3.8 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure H-11.

KAP-280.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

Section 280.4 Enhanced Due Diligence - Operating Rule Set 280.4

KAP-280.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-280.4.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-280.4.3 Cases involving PEP screening results with an exposure above Rs. 443 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.22.

KAP-280.4.4 Cases involving video-KYC sessions with an exposure above Rs. 116 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.6.

KAP-280.4.5 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/075 and that compliance is certified every quarter.

KAP-280.4.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-280.4.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure G-30.

KAP-280.4.8 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-280.4.9 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-280.4.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-280.4.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-280.4.12 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 280.5 Enhanced Due Diligence - Operating Rule Set 280.5

KAP-280.5.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-280.5.2 The Zonal Head shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Document Management system.

KAP-280.5.3 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/263 and that compliance is certified every quarter.

KAP-280.5.4 The Risk Management Department shall review address proofs within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-280.5.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular

KAP/2020/201 and that compliance is certified every quarter.

KAP-280.5.6 The Operations Head shall review account-opening forms within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-280.5.7 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-280.5.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-280.5.9 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-280.5.10 The Regional Credit Officer shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

KAP-280.5.11 Cases involving beneficial-owner declarations with an exposure above Rs. 208 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.5.

KAP-280.5.12 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure A-4.

KAP-280.5.13 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-280.5.14 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure C-30.

Section 280.6 Enhanced Due Diligence - Operating Rule Set 280.6

KAP-280.6.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-280.6.2 The Risk Management Department shall review account-opening forms within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-280.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-280.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-280.6.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-280.6.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-280.6.7 The Operations Head shall review address proofs within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-280.6.8 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/033 and that compliance is certified every quarter.

KAP-280.6.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-280.6.10 The Zonal Head shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Case Management system.

KAP-280.6.11 The Audit Department shall review risk-rating files within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-280.6.12 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/008 and that compliance is certified every quarter.

Section 280.7 Enhanced Due Diligence - Operating Rule Set 280.7

KAP-280.7.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure E-36.

KAP-280.7.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-280.7.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-280.7.4 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure C-28.

KAP-280.7.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-280.7.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-280.7.7 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-280.7.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-280.7.9 The Operations Head shall review identity documents within 22 working days of receipt and record the outcome in the Loan Origination system.

PART 24 - CHAPTER 281: RISK CATEGORISATION

Section 281.1 Risk Categorisation - Operating Rule Set 281.1

KAP-281.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-281.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-281.1.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/090 and that compliance is certified every quarter.

KAP-281.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-281.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-281.1.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-281.1.7 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-281.1.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-281.1.9 The Risk Management Department shall review PEP screening results within 12 working days of receipt and record the outcome in the Document Management system.

KAP-281.1.10 The Credit Committee shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-281.1.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-281.1.12 The Operations Head shall review identity documents within 26 working days of receipt and record the outcome in the Customer Relationship system.

Section 281.2 Risk Categorisation - Operating Rule Set 281.2

KAP-281.2.1 Cases involving video-KYC sessions with an exposure above Rs. 138 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.4.

KAP-281.2.2 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-281.2.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-281.2.4 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-281.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-281.2.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-281.2.7 The Credit Committee shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-281.2.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure E-13.

Section 281.3 Risk Categorisation - Operating Rule Set 281.3

KAP-281.3.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure D-20.

KAP-281.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-281.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-281.3.4 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-281.3.5 Cases involving identity documents with an exposure above Rs. 401 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.19.

KAP-281.3.6 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-281.3.7 Cases involving cash transaction reports with an exposure above Rs. 275 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.13.

KAP-281.3.8 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-281.3.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-281.3.10 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure D-26.

Section 281.4 Risk Categorisation - Operating Rule Set 281.4

KAP-281.4.1 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-281.4.2 Cases involving address proofs with an exposure above Rs. 403 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.25.

KAP-281.4.3 Cases involving video-KYC sessions with an exposure above Rs. 188 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.6.

KAP-281.4.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/032 and that compliance is certified every quarter.

KAP-281.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-281.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-281.4.7 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-281.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 134 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.11.

KAP-281.4.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

PART 24 - CHAPTER 282: TRANSACTION MONITORING

Section 282.1 Transaction Monitoring - Operating Rule Set 282.1

KAP-282.1.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-282.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-282.1.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the

rule-based method, with a tolerance of 4% as approved by the Board.

KAP-282.1.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure D-16.

KAP-282.1.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/087 and that compliance is certified every quarter.

KAP-282.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-282.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-282.1.8 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-282.1.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-282.1.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/159 and that compliance is certified every quarter.

KAP-282.1.11 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/231 and that compliance is certified every quarter.

KAP-282.1.12 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 282.2 Transaction Monitoring - Operating Rule Set 282.2

KAP-282.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-282.2.2 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-282.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-282.2.4 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-282.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-282.2.6 Cases involving address proofs with an exposure above Rs. 381 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.30.

KAP-282.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-282.2.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/052 and that compliance is certified every quarter.

Section 282.3 Transaction Monitoring - Operating Rule Set 282.3

KAP-282.3.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-282.3.2 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/255 and that compliance is certified every quarter.

KAP-282.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-282.3.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure D-28.

KAP-282.3.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/080 and that compliance is certified every quarter.

KAP-282.3.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-282.3.7 The Operations Head shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-282.3.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-282.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-282.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-282.3.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-282.3.12 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-282.3.13 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

Section 282.4 Transaction Monitoring - Operating Rule Set 282.4

KAP-282.4.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/247 and that compliance is certified every quarter.

KAP-282.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-282.4.3 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure E-39.

KAP-282.4.4 The Regional Credit Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Case Management system.

KAP-282.4.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/282 and that compliance is certified every quarter.

KAP-282.4.6 The Credit Committee shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-282.4.7 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-282.4.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/174 and that compliance is certified every quarter.

KAP-282.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-282.4.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-282.4.11 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/065 and that compliance is certified every quarter.

Section 282.5 Transaction Monitoring - Operating Rule Set 282.5

KAP-282.5.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure F-18.

KAP-282.5.2 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-282.5.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-282.5.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-282.5.5 The Risk Management Department shall review address proofs within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-282.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-282.5.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure A-40.

KAP-282.5.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 27 days written notice.

KAP-282.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-282.5.10 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-282.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

PART 24 - CHAPTER 283: SUSPICIOUS TRANSACTION REPORTING

Section 283.1 Suspicious Transaction Reporting - Operating Rule Set 283.1

KAP-283.1.1 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure H-18.

KAP-283.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-283.1.3 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-2.

KAP-283.1.4 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Case Management system.

KAP-283.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-283.1.6 Cases involving risk-rating files with an exposure above Rs. 168 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.5.

KAP-283.1.7 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-283.1.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure D-28.

Section 283.2 Suspicious Transaction Reporting - Operating Rule Set 283.2

KAP-283.2.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-283.2.2 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/253 and that compliance is certified every quarter.

KAP-283.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-283.2.4 The Compliance Officer shall review address proofs within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-283.2.5 In case of a system outage, the Risk Management Department must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure A-10.

KAP-283.2.6 The Regional Credit Officer shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Document Management system.

KAP-283.2.7 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-283.2.8 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-283.2.9 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-283.2.10 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure E-28.

KAP-283.2.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

Section 283.3 Suspicious Transaction Reporting - Operating Rule Set 283.3

KAP-283.3.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-283.3.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/065 and that compliance is certified every quarter.

KAP-283.3.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/141 and that compliance is certified every quarter.

KAP-283.3.4 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/061 and that compliance is certified every quarter.

KAP-283.3.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-283.3.6 The Credit Committee shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-283.3.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-18.

KAP-283.3.8 The Branch Manager shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Document Management system.

Section 283.4 Suspicious Transaction Reporting - Operating Rule Set 283.4

KAP-283.4.1 Cases involving risk-rating files with an exposure above Rs. 221 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.15.

KAP-283.4.2 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-283.4.3 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-283.4.4 Cases involving address proofs with an exposure above Rs. 99 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.18.

KAP-283.4.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/044 and that compliance is certified every quarter.

KAP-283.4.6 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-283.4.7 Cases involving account-opening forms with an exposure above Rs. 406 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.14.

KAP-283.4.8 The Compliance Officer shall review account-opening forms within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-283.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

Section 283.5 Suspicious Transaction Reporting - Operating Rule Set 283.5

KAP-283.5.1 The Regional Credit Officer shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

KAP-283.5.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure D-17.

KAP-283.5.3 Cases involving video-KYC sessions with an exposure above Rs. 161 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.13.

KAP-283.5.4 Cases involving account-opening forms with an exposure above Rs. 154 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.23.

KAP-283.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-283.5.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-283.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-283.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-283.5.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by

the 3th day of the following month.

KAP-283.5.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

Section 283.6 Suspicious Transaction Reporting - Operating Rule Set 283.6

KAP-283.6.1 Cases involving PEP screening results with an exposure above Rs. 18 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.17.

KAP-283.6.2 The Compliance Officer shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-283.6.3 Cases involving risk-rating files with an exposure above Rs. 265 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.1.

KAP-283.6.4 The Credit Committee shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-283.6.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-283.6.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure C-30.

KAP-283.6.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/264 and that compliance is certified every quarter.

KAP-283.6.8 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-283.6.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-283.6.10 Cases involving cash transaction reports with an exposure above Rs. 18 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.17.

PART 24 - CHAPTER 284: POLITICALLY EXPOSED PERSONS

Section 284.1 Politically Exposed Persons - Operating Rule Set 284.1

KAP-284.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-284.1.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/086 and that compliance is certified every quarter.

KAP-284.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 278 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.27.

KAP-284.1.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-284.1.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure C-8.

KAP-284.1.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-284.1.7 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-284.1.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-284.1.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/106 and that compliance is certified every quarter.

KAP-284.1.10 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-284.1.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

Section 284.2 Politically Exposed Persons - Operating Rule Set 284.2

KAP-284.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-284.2.2 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure H-15.

KAP-284.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-284.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-284.2.5 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/188 and that compliance is certified every quarter.

KAP-284.2.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-284.2.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure A-31.

KAP-284.2.8 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-284.2.9 Cases involving risk-rating files with an exposure above Rs. 243 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.20.

KAP-284.2.10 Cases involving identity documents with an exposure above Rs. 178 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.21.

Section 284.3 Politically Exposed Persons - Operating Rule Set 284.3

KAP-284.3.1 Cases involving video-KYC sessions with an exposure above Rs. 48 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.18.

KAP-284.3.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-284.3.3 Cases involving address proofs with an exposure above Rs. 334 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-284.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-284.3.5 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure B-9.

KAP-284.3.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure A-27.

KAP-284.3.7 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure G-28.

KAP-284.3.8 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 284.4 Politically Exposed Persons - Operating Rule Set 284.4

KAP-284.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-284.4.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure B-16.

KAP-284.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 265 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.6.

KAP-284.4.4 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-284.4.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-284.4.6 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-284.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-284.4.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after

giving the customer 13 days written notice.

KAP-284.4.9 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/269 and that compliance is certified every quarter.

KAP-284.4.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/021 and that compliance is certified every quarter.

PART 24 - CHAPTER 285: BENEFICIAL OWNERSHIP

Section 285.1 Beneficial Ownership - Operating Rule Set 285.1

KAP-285.1.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure B-36.

KAP-285.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-285.1.3 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-285.1.4 The Branch Manager shall review account-opening forms within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-285.1.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/292 and that compliance is certified every quarter.

KAP-285.1.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure A-34.

KAP-285.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-285.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-285.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-285.1.10 Cases involving risk-rating files with an exposure above Rs. 123 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.22.

KAP-285.1.11 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/249 and that compliance is certified every quarter.

KAP-285.1.12 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 285.2 Beneficial Ownership - Operating Rule Set 285.2

KAP-285.2.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/203 and that compliance is certified every quarter.

KAP-285.2.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-285.2.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/151 and that compliance is certified every quarter.

KAP-285.2.4 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-285.2.5 The Zonal Head shall review address proofs within 22 working days of receipt and record the outcome in the Document Management system.

KAP-285.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 247 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.17.

KAP-285.2.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure A-34.

KAP-285.2.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-285.2.9 The Operations Head shall review cash transaction reports within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-285.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management

Department by the 12th day of the following month.

KAP-285.2.11 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/272 and that compliance is certified every quarter.

KAP-285.2.12 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-285.2.13 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 285.3 Beneficial Ownership - Operating Rule Set 285.3

KAP-285.3.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure A-13.

KAP-285.3.2 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-285.3.3 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/154 and that compliance is certified every quarter.

KAP-285.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-285.3.5 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-285.3.6 The Branch Manager shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

KAP-285.3.7 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-285.3.8 The Zonal Head shall review PEP screening results within 8 working days of receipt and record the outcome in the Document Management system.

KAP-285.3.9 The Branch Manager shall review account-opening forms within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-285.3.10 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-14.

KAP-285.3.11 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 285.4 Beneficial Ownership - Operating Rule Set 285.4

KAP-285.4.1 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-285.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-285.4.3 The Regional Credit Officer shall review identity documents within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-285.4.4 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-285.4.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/260 and that compliance is certified every quarter.

KAP-285.4.6 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-285.4.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure B-39.

KAP-285.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-285.4.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure A-14.

KAP-285.4.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

Section 285.5 Beneficial Ownership - Operating Rule Set 285.5

KAP-285.5.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-285.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-285.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 144 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.16.

KAP-285.5.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/190 and that compliance is certified every quarter.

KAP-285.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-285.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-285.5.7 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-285.5.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-285.5.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-285.5.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure G-2.

KAP-285.5.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 8 days written notice.

Section 285.6 Beneficial Ownership - Operating Rule Set 285.6

KAP-285.6.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-19.

KAP-285.6.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-285.6.3 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-14.

KAP-285.6.4 The Operations Head shall review address proofs within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-285.6.5 Cases involving PEP screening results with an exposure above Rs. 58 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.23.

KAP-285.6.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure D-39.

KAP-285.6.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-285.6.8 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/300 and that compliance is certified every quarter.

PART 24 - CHAPTER 286: RECORD KEEPING

Section 286.1 Record Keeping - Operating Rule Set 286.1

KAP-286.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-286.1.2 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-286.1.3 The Risk Management Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-286.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-286.1.5 The Audit Department shall review video-KYC sessions within 23 working days of receipt and record the

outcome in the Risk Engine system.

KAP-286.1.6 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-286.1.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure B-28.

KAP-286.1.8 The Risk Management Department shall review PEP screening results within 27 working days of receipt and record the outcome in the Risk Engine system.

Section 286.2 Record Keeping - Operating Rule Set 286.2

KAP-286.2.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-286.2.2 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-286.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-286.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-286.2.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure G-12.

KAP-286.2.6 Cases involving risk-rating files with an exposure above Rs. 342 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.29.

KAP-286.2.7 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-286.2.8 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-286.2.9 The Risk Management Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-286.2.10 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/078 and that compliance is certified every quarter.

KAP-286.2.11 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-286.2.12 Cases involving address proofs with an exposure above Rs. 209 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.15.

Section 286.3 Record Keeping - Operating Rule Set 286.3

KAP-286.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-286.3.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-286.3.3 Cases involving PEP screening results with an exposure above Rs. 11 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.11.

KAP-286.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 114 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.7.

KAP-286.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-286.3.6 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/072 and that compliance is certified every quarter.

KAP-286.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-286.3.8 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure D-23.

Section 286.4 Record Keeping - Operating Rule Set 286.4

KAP-286.4.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 10 working

days, with the supporting documents listed in Annexure D-31.

KAP-286.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-286.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-286.4.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-286.4.5 The Credit Committee shall review PEP screening results within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-286.4.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-286.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-286.4.8 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-28.

KAP-286.4.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/046 and that compliance is certified every quarter.

KAP-286.4.10 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/215 and that compliance is certified every quarter.

KAP-286.4.11 The Branch Manager shall review cash transaction reports within 19 working days of receipt and record the outcome in the Loan Origination system.

Section 286.5 Record Keeping - Operating Rule Set 286.5

KAP-286.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 330 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.13.

KAP-286.5.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/261 and that compliance is certified every quarter.

KAP-286.5.3 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/247 and that compliance is certified every quarter.

KAP-286.5.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-286.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-286.5.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/039 and that compliance is certified every quarter.

KAP-286.5.7 The Branch Manager shall review account-opening forms within 26 working days of receipt and record the outcome in the Document Management system.

KAP-286.5.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-286.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-286.5.10 The Compliance Officer shall review cash transaction reports within 11 working days of receipt and record the outcome in the Customer Relationship system.

PART 24 - CHAPTER 287: STAFF TRAINING

Section 287.1 Staff Training - Operating Rule Set 287.1

KAP-287.1.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-287.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 76 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.17.

KAP-287.1.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-287.1.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method,

with a tolerance of 3% as approved by the Board.

KAP-287.1.5 The Credit Committee shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-287.1.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/058 and that compliance is certified every quarter.

KAP-287.1.7 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-287.1.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-287.1.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-287.1.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-287.1.11 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

Section 287.2 Staff Training - Operating Rule Set 287.2

KAP-287.2.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-287.2.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-287.2.3 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-287.2.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 333 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.29.

KAP-287.2.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-287.2.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-287.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-287.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

Section 287.3 Staff Training - Operating Rule Set 287.3

KAP-287.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-287.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-287.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-287.3.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-287.3.5 The Operations Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-287.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-287.3.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-39.

KAP-287.3.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/252 and that compliance is certified every quarter.

KAP-287.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-287.3.10 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/252 and that compliance is certified every quarter.

Section 287.4 Staff Training - Operating Rule Set 287.4

KAP-287.4.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-287.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-287.4.3 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-287.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-287.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-287.4.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-27.

KAP-287.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-287.4.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-287.4.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure D-17.

Section 287.5 Staff Training - Operating Rule Set 287.5

KAP-287.5.1 Cases involving PEP screening results with an exposure above Rs. 410 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.14.

KAP-287.5.2 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/300 and that compliance is certified every quarter.

KAP-287.5.3 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure G-32.

KAP-287.5.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-287.5.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-287.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-287.5.7 The Regional Credit Officer shall review cash transaction reports within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-287.5.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/023 and that compliance is certified every quarter.

KAP-287.5.9 Cases involving address proofs with an exposure above Rs. 16 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.18.

Section 287.6 Staff Training - Operating Rule Set 287.6

KAP-287.6.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-287.6.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/203 and that compliance is certified every quarter.

KAP-287.6.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/152 and that compliance is certified every quarter.

KAP-287.6.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/012 and that compliance is certified every quarter.

KAP-287.6.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-287.6.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-287.6.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-287.6.8 The Zonal Head shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Loan Origination system.

PART 24 - CHAPTER 288: INDEPENDENT AUDIT

Section 288.1 Independent Audit - Operating Rule Set 288.1

KAP-288.1.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-288.1.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/058 and that compliance is certified every quarter.

KAP-288.1.3 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-288.1.4 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure D-39.

KAP-288.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-288.1.6 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/074 and that compliance is certified every quarter.

KAP-288.1.7 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-288.1.8 The Audit Department shall review address proofs within 4 working days of receipt and record the outcome in the Document Management system.

Section 288.2 Independent Audit - Operating Rule Set 288.2

KAP-288.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-288.2.2 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-288.2.3 The Audit Department shall review identity documents within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-288.2.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure F-29.

KAP-288.2.5 The Audit Department shall review risk-rating files within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-288.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-288.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-288.2.8 The Operations Head shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Document Management system.

KAP-288.2.9 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-8.

Section 288.3 Independent Audit - Operating Rule Set 288.3

KAP-288.3.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-288.3.2 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-288.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-288.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be

made available to the Board Audit Committee on request.

KAP-288.3.5 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-288.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-288.3.7 The Branch Manager shall review address proofs within 9 working days of receipt and record the outcome in the Document Management system.

KAP-288.3.8 Cases involving video-KYC sessions with an exposure above Rs. 469 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.28.

KAP-288.3.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-288.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-288.3.11 Cases involving address proofs with an exposure above Rs. 184 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.11.

Section 288.4 Independent Audit - Operating Rule Set 288.4

KAP-288.4.1 Cases involving cash transaction reports with an exposure above Rs. 211 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.10.

KAP-288.4.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-288.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-288.4.4 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-288.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-288.4.6 Cases involving address proofs with an exposure above Rs. 365 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.15.

KAP-288.4.7 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/176 and that compliance is certified every quarter.

KAP-288.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-288.4.9 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

PART 25 - CHAPTER 289: CUSTOMER ACCEPTANCE

Section 289.1 Customer Acceptance - Operating Rule Set 289.1

KAP-289.1.1 The Compliance Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Document Management system.

KAP-289.1.2 The Branch Manager shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

KAP-289.1.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-289.1.4 The Audit Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-289.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-289.1.6 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-289.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-289.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 355 lakh require prior

written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.12.

KAP-289.1.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure C-14.

KAP-289.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

Section 289.2 Customer Acceptance - Operating Rule Set 289.2

KAP-289.2.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/246 and that compliance is certified every quarter.

KAP-289.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-289.2.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure B-4.

KAP-289.2.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-289.2.5 The Risk Management Department shall review risk-rating files within 25 working days of receipt and record the outcome in the Document Management system.

KAP-289.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-289.2.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure E-26.

KAP-289.2.8 Cases involving PEP screening results with an exposure above Rs. 71 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.12.

KAP-289.2.9 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/012 and that compliance is certified every quarter.

KAP-289.2.10 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/046 and that compliance is certified every quarter.

Section 289.3 Customer Acceptance - Operating Rule Set 289.3

KAP-289.3.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/207 and that compliance is certified every quarter.

KAP-289.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-289.3.3 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure F-16.

KAP-289.3.4 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-289.3.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-289.3.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/041 and that compliance is certified every quarter.

KAP-289.3.7 The Regional Credit Officer shall review account-opening forms within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-289.3.8 The Operations Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-289.3.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

Section 289.4 Customer Acceptance - Operating Rule Set 289.4

KAP-289.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 202 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.20.

KAP-289.4.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure G-20.

KAP-289.4.3 The Branch Manager shall review alerts generated by the monitoring system within 25 working days of receipt

and record the outcome in the Document Management system.

KAP-289.4.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/073 and that compliance is certified every quarter.

KAP-289.4.5 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-289.4.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure C-26.

KAP-289.4.7 Cases involving PEP screening results with an exposure above Rs. 299 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.4.

KAP-289.4.8 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Document Management system.

KAP-289.4.9 The Compliance Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-289.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 240 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.21.

Section 289.5 Customer Acceptance - Operating Rule Set 289.5

KAP-289.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-289.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-289.5.3 Cases involving address proofs with an exposure above Rs. 487 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.4.

KAP-289.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-289.5.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-289.5.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure A-23.

KAP-289.5.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-289.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

PART 25 - CHAPTER 290: CUSTOMER IDENTIFICATION

Section 290.1 Customer Identification - Operating Rule Set 290.1

KAP-290.1.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-290.1.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure A-10.

KAP-290.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-290.1.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/160 and that compliance is certified every quarter.

KAP-290.1.5 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-290.1.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/031 and that compliance is certified every quarter.

KAP-290.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-290.1.8 The Zonal Head shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Case Management system.

KAP-290.1.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 12 days written notice.

Section 290.2 Customer Identification - Operating Rule Set 290.2

KAP-290.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-290.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-290.2.3 The Compliance Officer shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-290.2.4 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-290.2.5 Cases involving cash transaction reports with an exposure above Rs. 394 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.2.

KAP-290.2.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/200 and that compliance is certified every quarter.

KAP-290.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-290.2.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure A-7.

KAP-290.2.9 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/170 and that compliance is certified every quarter.

KAP-290.2.10 Cases involving correspondent-bank relationships with an exposure above Rs. 299 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.14.

KAP-290.2.11 The Audit Department shall review identity documents within 21 working days of receipt and record the outcome in the Document Management system.

Section 290.3 Customer Identification - Operating Rule Set 290.3

KAP-290.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-290.3.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-290.3.3 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/161 and that compliance is certified every quarter.

KAP-290.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-290.3.5 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-290.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-290.3.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure H-36.

KAP-290.3.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure H-25.

Section 290.4 Customer Identification - Operating Rule Set 290.4

KAP-290.4.1 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/178 and that compliance is certified every quarter.

KAP-290.4.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-290.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-290.4.4 The Credit Committee shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Case Management system.

KAP-290.4.5 The Regional Credit Officer shall review video-KYC sessions within 2 working days of receipt and record the

outcome in the Case Management system.

KAP-290.4.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-34.

KAP-290.4.7 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure F-38.

KAP-290.4.8 Cases involving video-KYC sessions with an exposure above Rs. 138 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.23.

KAP-290.4.9 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-290.4.10 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/155 and that compliance is certified every quarter.

KAP-290.4.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-290.4.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 290.5 Customer Identification - Operating Rule Set 290.5

KAP-290.5.1 Cases involving PEP screening results with an exposure above Rs. 79 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.25.

KAP-290.5.2 Cases involving risk-rating files with an exposure above Rs. 61 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.9.

KAP-290.5.3 Cases involving video-KYC sessions with an exposure above Rs. 153 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.14.

KAP-290.5.4 Cases involving address proofs with an exposure above Rs. 436 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.9.

KAP-290.5.5 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-290.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-290.5.7 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/285 and that compliance is certified every quarter.

KAP-290.5.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 290.6 Customer Identification - Operating Rule Set 290.6

KAP-290.6.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/075 and that compliance is certified every quarter.

KAP-290.6.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/227 and that compliance is certified every quarter.

KAP-290.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-290.6.4 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-290.6.5 Cases involving account-opening forms with an exposure above Rs. 48 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.20.

KAP-290.6.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-290.6.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/056 and that compliance is certified every quarter.

KAP-290.6.8 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure E-39.

KAP-290.6.9 The Branch Manager shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-290.6.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

PART 25 - CHAPTER 291: CUSTOMER DUE DILIGENCE

Section 291.1 Customer Due Diligence - Operating Rule Set 291.1

KAP-291.1.1 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-291.1.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/227 and that compliance is certified every quarter.

KAP-291.1.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-291.1.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-291.1.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-291.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-291.1.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/255 and that compliance is certified every quarter.

KAP-291.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-291.1.9 Cases involving video-KYC sessions with an exposure above Rs. 417 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.11.

KAP-291.1.10 The Credit Committee shall review cash transaction reports within 27 working days of receipt and record the outcome in the Loan Origination system.

Section 291.2 Customer Due Diligence - Operating Rule Set 291.2

KAP-291.2.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/061 and that compliance is certified every quarter.

KAP-291.2.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure D-37.

KAP-291.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-291.2.4 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-291.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-291.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-291.2.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-291.2.8 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-291.2.9 The Audit Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Customer Relationship system.

Section 291.3 Customer Due Diligence - Operating Rule Set 291.3

KAP-291.3.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-291.3.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure G-20.

KAP-291.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-291.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made

available to the Board Audit Committee on request.

KAP-291.3.5 Cases involving identity documents with an exposure above Rs. 49 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.29.

KAP-291.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-291.3.7 The Compliance Officer shall review account-opening forms within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-291.3.8 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-291.3.9 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure F-34.

KAP-291.3.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-291.3.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-28.

Section 291.4 Customer Due Diligence - Operating Rule Set 291.4

KAP-291.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-291.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-291.4.3 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Case Management system.

KAP-291.4.4 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure A-6.

KAP-291.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 197 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.11.

KAP-291.4.6 The Credit Committee shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-291.4.7 Cases involving address proofs with an exposure above Rs. 372 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.4.

KAP-291.4.8 Cases involving account-opening forms with an exposure above Rs. 6 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.3.

KAP-291.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 184 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.21.

KAP-291.4.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-291.4.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

Section 291.5 Customer Due Diligence - Operating Rule Set 291.5

KAP-291.5.1 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure G-3.

KAP-291.5.2 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-291.5.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-291.5.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/225 and that compliance is certified every quarter.

KAP-291.5.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure H-33.

KAP-291.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-291.5.7 The Risk Management Department shall review PEP screening results within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-291.5.8 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-291.5.9 Cases involving cash transaction reports with an exposure above Rs. 121 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.7.

KAP-291.5.10 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-291.5.11 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/290 and that compliance is certified every quarter.

Section 291.6 Customer Due Diligence - Operating Rule Set 291.6

KAP-291.6.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure D-6.

KAP-291.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-291.6.3 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-291.6.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-291.6.5 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-291.6.6 Cases involving address proofs with an exposure above Rs. 101 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.16.

KAP-291.6.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/045 and that compliance is certified every quarter.

KAP-291.6.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-291.6.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-291.6.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-291.6.11 Cases involving correspondent-bank relationships with an exposure above Rs. 164 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.15.

KAP-291.6.12 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/144 and that compliance is certified every quarter.

Section 291.7 Customer Due Diligence - Operating Rule Set 291.7

KAP-291.7.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/024 and that compliance is certified every quarter.

KAP-291.7.2 Cases involving video-KYC sessions with an exposure above Rs. 284 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.21.

KAP-291.7.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/212 and that compliance is certified every quarter.

KAP-291.7.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-291.7.5 The Regional Credit Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-291.7.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-291.7.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-12.

KAP-291.7.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11

and be made available to internal auditors on request.

KAP-291.7.9 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 291.8 Customer Due Diligence - Operating Rule Set 291.8

KAP-291.8.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-291.8.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-291.8.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure E-39.

KAP-291.8.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-291.8.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-291.8.6 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure G-22.

KAP-291.8.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure E-39.

KAP-291.8.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-291.8.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-291.8.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-291.8.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-18.

PART 25 - CHAPTER 292: ENHANCED DUE DILIGENCE

Section 292.1 Enhanced Due Diligence - Operating Rule Set 292.1

KAP-292.1.1 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/129 and that compliance is certified every quarter.

KAP-292.1.2 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/100 and that compliance is certified every quarter.

KAP-292.1.3 The Credit Committee shall review identity documents within 3 working days of receipt and record the outcome in the Case Management system.

KAP-292.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-292.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 451 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.23.

KAP-292.1.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-292.1.7 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-292.1.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 7 days written notice.

Section 292.2 Enhanced Due Diligence - Operating Rule Set 292.2

KAP-292.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-292.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-292.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-292.2.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-292.2.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-292.2.6 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/191 and that compliance is certified every quarter.

KAP-292.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-292.2.8 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-292.2.9 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 292.3 Enhanced Due Diligence - Operating Rule Set 292.3

KAP-292.3.1 Cases involving cash transaction reports with an exposure above Rs. 471 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.15.

KAP-292.3.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-292.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 68 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.4.

KAP-292.3.4 The Compliance Officer shall review cash transaction reports within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-292.3.5 The Compliance Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Document Management system.

KAP-292.3.6 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure E-22.

KAP-292.3.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/213 and that compliance is certified every quarter.

KAP-292.3.8 Cases involving PEP screening results with an exposure above Rs. 20 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.17.

KAP-292.3.9 The Compliance Officer shall review PEP screening results within 21 working days of receipt and record the outcome in the Document Management system.

KAP-292.3.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/159 and that compliance is certified every quarter.

KAP-292.3.11 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

Section 292.4 Enhanced Due Diligence - Operating Rule Set 292.4

KAP-292.4.1 The Compliance Officer shall review identity documents within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-292.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-292.4.3 Cases involving address proofs with an exposure above Rs. 339 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.13.

KAP-292.4.4 Cases involving beneficial-owner declarations with an exposure above Rs. 42 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.2.

KAP-292.4.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/236 and that compliance is certified every quarter.

KAP-292.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-292.4.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/203 and that compliance is certified every quarter.

KAP-292.4.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the

10th day of the following month.

KAP-292.4.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-292.4.10 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/273 and that compliance is certified every quarter.

KAP-292.4.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

Section 292.5 Enhanced Due Diligence - Operating Rule Set 292.5

KAP-292.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-292.5.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/163 and that compliance is certified every quarter.

KAP-292.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 152 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.22.

KAP-292.5.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-292.5.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/265 and that compliance is certified every quarter.

KAP-292.5.6 Cases involving address proofs with an exposure above Rs. 448 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.30.

KAP-292.5.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-292.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-292.5.9 Cases involving PEP screening results with an exposure above Rs. 231 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.17.

KAP-292.5.10 The Regional Credit Officer shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Case Management system.

KAP-292.5.11 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-292.5.12 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure H-15.

KAP-292.5.13 Cases involving beneficial-owner declarations with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.18.

Section 292.6 Enhanced Due Diligence - Operating Rule Set 292.6

KAP-292.6.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-292.6.2 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-292.6.3 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/233 and that compliance is certified every quarter.

KAP-292.6.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/175 and that compliance is certified every quarter.

KAP-292.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-292.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-292.6.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/028 and that compliance is certified every quarter.

KAP-292.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-292.6.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-292.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

PART 25 - CHAPTER 293: RISK CATEGORISATION

Section 293.1 Risk Categorisation - Operating Rule Set 293.1

KAP-293.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-293.1.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-293.1.3 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure C-34.

KAP-293.1.4 The Zonal Head shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-293.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-293.1.6 The Branch Manager shall review address proofs within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-293.1.7 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/178 and that compliance is certified every quarter.

KAP-293.1.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-293.1.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-293.1.10 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/143 and that compliance is certified every quarter.

KAP-293.1.11 The Zonal Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Customer Relationship system.

Section 293.2 Risk Categorisation - Operating Rule Set 293.2

KAP-293.2.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure D-29.

KAP-293.2.2 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-293.2.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/068 and that compliance is certified every quarter.

KAP-293.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-293.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-293.2.6 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-293.2.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure A-19.

KAP-293.2.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/176 and that compliance is certified every quarter.

KAP-293.2.9 Cases involving video-KYC sessions with an exposure above Rs. 212 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.30.

KAP-293.2.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-293.2.11 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 293.3 Risk Categorisation - Operating Rule Set 293.3

KAP-293.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 101 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.12.

KAP-293.3.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-293.3.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-293.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-293.3.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-293.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-293.3.7 Cases involving PEP screening results with an exposure above Rs. 285 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.26.

KAP-293.3.8 The Regional Credit Officer shall review address proofs within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-293.3.9 The Credit Committee shall review cash transaction reports within 10 working days of receipt and record the outcome in the Document Management system.

KAP-293.3.10 The Regional Credit Officer shall review identity documents within 3 working days of receipt and record the outcome in the Document Management system.

KAP-293.3.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

Section 293.4 Risk Categorisation - Operating Rule Set 293.4

KAP-293.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-293.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-293.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-293.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-293.4.5 The Audit Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-293.4.6 The Zonal Head shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Document Management system.

KAP-293.4.7 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-293.4.8 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-293.4.9 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-293.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 489 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.12.

Section 293.5 Risk Categorisation - Operating Rule Set 293.5

KAP-293.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-293.5.2 The Compliance Officer shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-293.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-293.5.4 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/298 and that compliance is certified every quarter.

KAP-293.5.5 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-293.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-293.5.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/102 and that compliance is certified every quarter.

KAP-293.5.8 Cases involving account-opening forms with an exposure above Rs. 374 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.22.

KAP-293.5.9 The Audit Department shall review PEP screening results within 16 working days of receipt and record the outcome in the Customer Relationship system.

Section 293.6 Risk Categorisation - Operating Rule Set 293.6

KAP-293.6.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/274 and that compliance is certified every quarter.

KAP-293.6.2 The Compliance Officer shall review account-opening forms within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-293.6.3 The Compliance Officer shall review cash transaction reports within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-293.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-293.6.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-293.6.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-293.6.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-293.6.8 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-36.

KAP-293.6.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-293.6.10 Cases involving cash transaction reports with an exposure above Rs. 206 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.2.

Section 293.7 Risk Categorisation - Operating Rule Set 293.7

KAP-293.7.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-293.7.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure F-28.

KAP-293.7.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-293.7.4 Cases involving identity documents with an exposure above Rs. 237 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.16.

KAP-293.7.5 Cases involving video-KYC sessions with an exposure above Rs. 133 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.28.

KAP-293.7.6 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-293.7.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-293.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

PART 25 - CHAPTER 294: TRANSACTION MONITORING

Section 294.1 Transaction Monitoring - Operating Rule Set 294.1

KAP-294.1.1 The Compliance Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-294.1.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-294.1.3 The Credit Committee shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-294.1.4 The Branch Manager shall review identity documents within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-294.1.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure H-6.

KAP-294.1.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-294.1.7 The Credit Committee shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Case Management system.

KAP-294.1.8 The Operations Head shall review address proofs within 20 working days of receipt and record the outcome in the Document Management system.

Section 294.2 Transaction Monitoring - Operating Rule Set 294.2

KAP-294.2.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-294.2.2 The Branch Manager shall review risk-rating files within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-294.2.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/064 and that compliance is certified every quarter.

KAP-294.2.4 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-14.

KAP-294.2.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-294.2.6 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-294.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-294.2.8 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-294.2.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-294.2.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-294.2.11 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure F-14.

KAP-294.2.12 Cases involving address proofs with an exposure above Rs. 203 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.10.

Section 294.3 Transaction Monitoring - Operating Rule Set 294.3

KAP-294.3.1 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-294.3.2 The Credit Committee shall review risk-rating files within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-294.3.3 The Compliance Officer shall review risk-rating files within 22 working days of receipt and record the outcome in the Document Management system.

KAP-294.3.4 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-294.3.5 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure B-35.

KAP-294.3.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/125 and that compliance is certified every quarter.

KAP-294.3.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-6.

KAP-294.3.8 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-294.3.9 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-294.3.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 28 days written notice.

Section 294.4 Transaction Monitoring - Operating Rule Set 294.4

KAP-294.4.1 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

KAP-294.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-294.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-294.4.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure G-24.

KAP-294.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 76 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.24.

KAP-294.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-294.4.7 Cases involving address proofs with an exposure above Rs. 139 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.20.

KAP-294.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 56 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.20.

KAP-294.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-294.4.10 In case of a customer complaint, the Zonal Head must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure A-3.

Section 294.5 Transaction Monitoring - Operating Rule Set 294.5

KAP-294.5.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure G-3.

KAP-294.5.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-294.5.3 Cases involving identity documents with an exposure above Rs. 56 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.19.

KAP-294.5.4 Cases involving account-opening forms with an exposure above Rs. 307 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.23.

KAP-294.5.5 The Risk Management Department shall review address proofs within 14 working days of receipt and record the outcome in the Case Management system.

KAP-294.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-294.5.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure H-12.

KAP-294.5.8 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

PART 25 - CHAPTER 295: SUSPICIOUS TRANSACTION REPORTING

Section 295.1 Suspicious Transaction Reporting - Operating Rule Set 295.1

KAP-295.1.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure A-10.

KAP-295.1.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-295.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-295.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-295.1.5 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure F-3.

KAP-295.1.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-295.1.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure C-4.

KAP-295.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-295.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-295.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 295.2 Suspicious Transaction Reporting - Operating Rule Set 295.2

KAP-295.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-295.2.2 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/296 and that compliance is certified every quarter.

KAP-295.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-295.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-295.2.5 Cases involving risk-rating files with an exposure above Rs. 333 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.30.

KAP-295.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-295.2.7 The Branch Manager shall review PEP screening results within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-295.2.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-295.2.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/139 and that compliance is certified every quarter.

KAP-295.2.10 The Compliance Officer shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Document Management system.

KAP-295.2.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 295.3 Suspicious Transaction Reporting - Operating Rule Set 295.3

KAP-295.3.1 The Branch Manager shall review risk-rating files within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-295.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-295.3.3 Cases involving account-opening forms with an exposure above Rs. 182 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.30.

KAP-295.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 90 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.27.

KAP-295.3.5 The Credit Committee shall review PEP screening results within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-295.3.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-295.3.7 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-295.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-295.3.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 295.4 Suspicious Transaction Reporting - Operating Rule Set 295.4

KAP-295.4.1 The Operations Head shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-295.4.2 The Risk Management Department shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-295.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-295.4.4 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-295.4.5 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-295.4.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure B-30.

KAP-295.4.7 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-295.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-295.4.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure G-14.

KAP-295.4.10 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

Section 295.5 Suspicious Transaction Reporting - Operating Rule Set 295.5

KAP-295.5.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-295.5.2 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-295.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 262 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.28.

KAP-295.5.4 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-295.5.5 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-295.5.6 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-295.5.7 The Operations Head shall review PEP screening results within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-295.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-295.5.9 In case of a system outage, the Zonal Head must escalate the matter to the Zonal Head within 19 working

days, with the supporting documents listed in Annexure C-15.

KAP-295.5.10 Cases involving account-opening forms with an exposure above Rs. 344 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.12.

Section 295.6 Suspicious Transaction Reporting - Operating Rule Set 295.6

KAP-295.6.1 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/248 and that compliance is certified every quarter.

KAP-295.6.2 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure E-3.

KAP-295.6.3 Cases involving correspondent-bank relationships with an exposure above Rs. 73 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.9.

KAP-295.6.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure B-27.

KAP-295.6.5 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-295.6.6 The Credit Committee shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-295.6.7 Cases involving address proofs with an exposure above Rs. 354 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.30.

KAP-295.6.8 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure A-33.

KAP-295.6.9 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure G-23.

KAP-295.6.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-295.6.11 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

PART 25 - CHAPTER 296: POLITICALLY EXPOSED PERSONS

Section 296.1 Politically Exposed Persons - Operating Rule Set 296.1

KAP-296.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 122 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.11.

KAP-296.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-296.1.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-296.1.4 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-296.1.5 Cases involving identity documents with an exposure above Rs. 284 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.3.

KAP-296.1.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-296.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-296.1.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure H-33.

KAP-296.1.9 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 296.2 Politically Exposed Persons - Operating Rule Set 296.2

KAP-296.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-296.2.2 The Branch Manager shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-296.2.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure A-29.

KAP-296.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-296.2.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-296.2.6 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome in the Case Management system.

KAP-296.2.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-296.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-296.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-296.2.10 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure D-10.

Section 296.3 Politically Exposed Persons - Operating Rule Set 296.3

KAP-296.3.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-296.3.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-296.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-296.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-296.3.5 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-296.3.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure H-2.

KAP-296.3.7 The Audit Department shall review PEP screening results within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-296.3.8 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-296.3.9 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 296.4 Politically Exposed Persons - Operating Rule Set 296.4

KAP-296.4.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure H-36.

KAP-296.4.2 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/060 and that compliance is certified every quarter.

KAP-296.4.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/051 and that compliance is certified every quarter.

KAP-296.4.4 The Audit Department shall review risk-rating files within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-296.4.5 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/151 and that compliance is certified every quarter.

KAP-296.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-296.4.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-296.4.8 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the

procedures in Circular KAP/2020/250 and that compliance is certified every quarter.

KAP-296.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-296.4.10 The Audit Department shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-296.4.11 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/153 and that compliance is certified every quarter.

Section 296.5 Politically Exposed Persons - Operating Rule Set 296.5

KAP-296.5.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-296.5.2 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-296.5.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/079 and that compliance is certified every quarter.

KAP-296.5.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-296.5.5 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-296.5.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-296.5.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure F-20.

KAP-296.5.8 The Branch Manager shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Case Management system.

KAP-296.5.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/001 and that compliance is certified every quarter.

KAP-296.5.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

PART 25 - CHAPTER 297: BENEFICIAL OWNERSHIP

Section 297.1 Beneficial Ownership - Operating Rule Set 297.1

KAP-297.1.1 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure E-19.

KAP-297.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-297.1.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure E-26.

KAP-297.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-297.1.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/157 and that compliance is certified every quarter.

KAP-297.1.6 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/278 and that compliance is certified every quarter.

KAP-297.1.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure C-35.

KAP-297.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-297.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-297.1.10 The Branch Manager shall review account-opening forms within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-297.1.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department

by the 6th day of the following month.

Section 297.2 Beneficial Ownership - Operating Rule Set 297.2

KAP-297.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-297.2.2 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-297.2.3 Cases involving address proofs with an exposure above Rs. 59 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.9.

KAP-297.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-297.2.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-297.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-297.2.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-297.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 297.3 Beneficial Ownership - Operating Rule Set 297.3

KAP-297.3.1 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/298 and that compliance is certified every quarter.

KAP-297.3.2 The Operations Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Document Management system.

KAP-297.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 435 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.24.

KAP-297.3.4 The Risk Management Department shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-297.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-297.3.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-297.3.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-297.3.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/226 and that compliance is certified every quarter.

KAP-297.3.9 Cases involving risk-rating files with an exposure above Rs. 349 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.28.

Section 297.4 Beneficial Ownership - Operating Rule Set 297.4

KAP-297.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-297.4.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-297.4.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-297.4.4 Cases involving identity documents with an exposure above Rs. 141 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.8.

KAP-297.4.5 The Risk Management Department shall review PEP screening results within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-297.4.6 Cases involving cash transaction reports with an exposure above Rs. 448 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.2.

KAP-297.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5

and be made available to the regulator on request.

KAP-297.4.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/224 and that compliance is certified every quarter.

KAP-297.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 169 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.2.

KAP-297.4.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/257 and that compliance is certified every quarter.

KAP-297.4.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/250 and that compliance is certified every quarter.

KAP-297.4.12 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure B-39.

Section 297.5 Beneficial Ownership - Operating Rule Set 297.5

KAP-297.5.1 The Compliance Officer shall review risk-rating files within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-297.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-297.5.3 The Zonal Head shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-297.5.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-297.5.5 The Operations Head shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-297.5.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-297.5.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/155 and that compliance is certified every quarter.

KAP-297.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-297.5.9 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 297.6 Beneficial Ownership - Operating Rule Set 297.6

KAP-297.6.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-297.6.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-297.6.3 The Operations Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-297.6.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-297.6.5 The Risk Management Department shall review identity documents within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-297.6.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-297.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-297.6.8 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-297.6.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-297.6.10 Cases involving beneficial-owner declarations with an exposure above Rs. 47 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.27.

KAP-297.6.11 Cases involving correspondent-bank relationships with an exposure above Rs. 322 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.20.

KAP-297.6.12 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

PART 25 - CHAPTER 298: RECORD KEEPING

Section 298.1 Record Keeping - Operating Rule Set 298.1

KAP-298.1.1 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-298.1.2 The Risk Management Department shall review identity documents within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-298.1.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-32.

KAP-298.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-298.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-298.1.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure H-6.

KAP-298.1.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/070 and that compliance is certified every quarter.

KAP-298.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-298.1.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure C-25.

KAP-298.1.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-298.1.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-298.1.12 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/172 and that compliance is certified every quarter.

Section 298.2 Record Keeping - Operating Rule Set 298.2

KAP-298.2.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/154 and that compliance is certified every quarter.

KAP-298.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-298.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-298.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-298.2.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure E-3.

KAP-298.2.6 The Audit Department shall review PEP screening results within 8 working days of receipt and record the outcome in the Document Management system.

KAP-298.2.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/215 and that compliance is certified every quarter.

KAP-298.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-298.2.9 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure D-16.

KAP-298.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

Section 298.3 Record Keeping - Operating Rule Set 298.3

KAP-298.3.1 The Compliance Officer shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Case Management system.

KAP-298.3.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-298.3.3 Cases involving account-opening forms with an exposure above Rs. 384 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.9.

KAP-298.3.4 Cases involving cash transaction reports with an exposure above Rs. 271 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.23.

KAP-298.3.5 The Zonal Head shall review address proofs within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-298.3.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure G-14.

KAP-298.3.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/194 and that compliance is certified every quarter.

KAP-298.3.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-2.

KAP-298.3.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-298.3.10 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure F-29.

KAP-298.3.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 298.4 Record Keeping - Operating Rule Set 298.4

KAP-298.4.1 Cases involving risk-rating files with an exposure above Rs. 116 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.26.

KAP-298.4.2 The Operations Head shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-298.4.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-298.4.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-298.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 127 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.28.

KAP-298.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-298.4.7 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-298.4.8 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-298.4.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-298.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-298.4.11 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-26.

Section 298.5 Record Keeping - Operating Rule Set 298.5

KAP-298.5.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-298.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-298.5.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/288 and that compliance is certified every quarter.

KAP-298.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-298.5.5 Cases involving risk-rating files with an exposure above Rs. 481 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.28.

KAP-298.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-298.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-298.5.8 The Regional Credit Officer shall review address proofs within 16 working days of receipt and record the outcome in the Case Management system.

KAP-298.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

Section 298.6 Record Keeping - Operating Rule Set 298.6

KAP-298.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-298.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-298.6.3 The Zonal Head shall review account-opening forms within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-298.6.4 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/228 and that compliance is certified every quarter.

KAP-298.6.5 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-298.6.6 The Compliance Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-298.6.7 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-3.

KAP-298.6.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-298.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-298.6.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/135 and that compliance is certified every quarter.

Section 298.7 Record Keeping - Operating Rule Set 298.7

KAP-298.7.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure C-25.

KAP-298.7.2 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure D-27.

KAP-298.7.3 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-298.7.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-298.7.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-298.7.6 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure F-40.

KAP-298.7.7 Cases involving PEP screening results with an exposure above Rs. 149 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.20.

KAP-298.7.8 The Operations Head shall review address proofs within 17 working days of receipt and record the outcome in

the Loan Origination system.

KAP-298.7.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-298.7.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure E-19.

PART 25 - CHAPTER 299: STAFF TRAINING

Section 299.1 Staff Training - Operating Rule Set 299.1

KAP-299.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-299.1.2 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-299.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-299.1.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure A-37.

KAP-299.1.5 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-299.1.6 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-299.1.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure F-34.

KAP-299.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 299.2 Staff Training - Operating Rule Set 299.2

KAP-299.2.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/034 and that compliance is certified every quarter.

KAP-299.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-299.2.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-299.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-299.2.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-299.2.6 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-299.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 128 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.12.

KAP-299.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-299.2.9 Cases involving cash transaction reports with an exposure above Rs. 464 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.1.

KAP-299.2.10 Cases involving correspondent-bank relationships with an exposure above Rs. 225 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.14.

Section 299.3 Staff Training - Operating Rule Set 299.3

KAP-299.3.1 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-34.

KAP-299.3.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure C-13.

KAP-299.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-299.3.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-299.3.5 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-299.3.6 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure H-34.

KAP-299.3.7 Cases involving identity documents with an exposure above Rs. 349 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.1.

KAP-299.3.8 The Zonal Head shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Document Management system.

Section 299.4 Staff Training - Operating Rule Set 299.4

KAP-299.4.1 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-299.4.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-299.4.3 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure F-32.

KAP-299.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-299.4.5 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Case Management system.

KAP-299.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-299.4.7 The Risk Management Department shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-299.4.8 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-299.4.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 299.5 Staff Training - Operating Rule Set 299.5

KAP-299.5.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/011 and that compliance is certified every quarter.

KAP-299.5.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/020 and that compliance is certified every quarter.

KAP-299.5.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure G-35.

KAP-299.5.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-299.5.5 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure B-25.

KAP-299.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-299.5.7 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-299.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-299.5.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-299.5.10 The Branch Manager shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

Section 299.6 Staff Training - Operating Rule Set 299.6

KAP-299.6.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-299.6.2 Cases involving identity documents with an exposure above Rs. 492 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.18.

KAP-299.6.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-299.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-299.6.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/134 and that compliance is certified every quarter.

KAP-299.6.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/002 and that compliance is certified every quarter.

KAP-299.6.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/163 and that compliance is certified every quarter.

KAP-299.6.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-299.6.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure F-36.

KAP-299.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 299.7 Staff Training - Operating Rule Set 299.7

KAP-299.7.1 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/065 and that compliance is certified every quarter.

KAP-299.7.2 Cases involving cash transaction reports with an exposure above Rs. 428 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.3.

KAP-299.7.3 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-299.7.4 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/189 and that compliance is certified every quarter.

KAP-299.7.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-5.

KAP-299.7.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-299.7.7 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-299.7.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

PART 25 - CHAPTER 300: INDEPENDENT AUDIT

Section 300.1 Independent Audit - Operating Rule Set 300.1

KAP-300.1.1 The Credit Committee shall review identity documents within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-300.1.2 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/121 and that compliance is certified every quarter.

KAP-300.1.3 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-300.1.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/023 and that compliance is certified every quarter.

KAP-300.1.5 The Credit Committee shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Case Management system.

KAP-300.1.6 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure E-26.

KAP-300.1.7 The Operations Head shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-300.1.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure B-5.

KAP-300.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-300.1.10 The Operations Head shall review risk-rating files within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-300.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-300.1.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-300.1.13 The Zonal Head shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Case Management system.

KAP-300.1.14 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

Section 300.2 Independent Audit - Operating Rule Set 300.2

KAP-300.2.1 Cases involving address proofs with an exposure above Rs. 76 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.4.

KAP-300.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-300.2.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-300.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-300.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-300.2.6 Cases involving risk-rating files with an exposure above Rs. 325 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.3.

KAP-300.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-300.2.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-25.

KAP-300.2.9 The Risk Management Department shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Case Management system.

Section 300.3 Independent Audit - Operating Rule Set 300.3

KAP-300.3.1 The Compliance Officer shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Document Management system.

KAP-300.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-300.3.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure A-22.

KAP-300.3.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-300.3.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-300.3.6 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/005 and that compliance is certified every quarter.

KAP-300.3.7 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/061 and that compliance is certified every quarter.

KAP-300.3.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management

Department within 8 working days, with the supporting documents listed in Annexure G-14.

Section 300.4 Independent Audit - Operating Rule Set 300.4

KAP-300.4.1 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-300.4.2 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-300.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-300.4.4 The Audit Department shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-300.4.5 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/228 and that compliance is certified every quarter.

KAP-300.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-300.4.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure E-30.

KAP-300.4.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-300.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

Section 300.5 Independent Audit - Operating Rule Set 300.5

KAP-300.5.1 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-300.5.2 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure A-15.

KAP-300.5.3 Cases involving cash transaction reports with an exposure above Rs. 283 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.10.

KAP-300.5.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/253 and that compliance is certified every quarter.

KAP-300.5.5 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-300.5.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-300.5.7 Cases involving cash transaction reports with an exposure above Rs. 113 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.21.

KAP-300.5.8 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure G-35.

Section 300.6 Independent Audit - Operating Rule Set 300.6

KAP-300.6.1 The Audit Department shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-300.6.2 The Credit Committee shall review address proofs within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-300.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-300.6.4 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-300.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-300.6.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-300.6.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a

tolerance of 8% as approved by the Board.

KAP-300.6.8 Cases involving video-KYC sessions with an exposure above Rs. 129 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.15.

Section 300.7 Independent Audit - Operating Rule Set 300.7

KAP-300.7.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-300.7.2 Cases involving correspondent-bank relationships with an exposure above Rs. 87 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.28.

KAP-300.7.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/264 and that compliance is certified every quarter.

KAP-300.7.4 Cases involving cash transaction reports with an exposure above Rs. 125 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.4.

KAP-300.7.5 In case of a request for exception, the Credit Committee must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure B-10.

KAP-300.7.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-300.7.7 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/076 and that compliance is certified every quarter.

KAP-300.7.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

PART 26 - CHAPTER 301: CUSTOMER ACCEPTANCE

Section 301.1 Customer Acceptance - Operating Rule Set 301.1

KAP-301.1.1 The Compliance Officer shall review account-opening forms within 26 working days of receipt and record the outcome in the Case Management system.

KAP-301.1.2 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-301.1.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-301.1.4 The Branch Manager shall review risk-rating files within 20 working days of receipt and record the outcome in the Case Management system.

KAP-301.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-301.1.6 The Audit Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Case Management system.

KAP-301.1.7 Cases involving video-KYC sessions with an exposure above Rs. 411 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.6.

KAP-301.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-301.1.9 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-301.1.10 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 301.2 Customer Acceptance - Operating Rule Set 301.2

KAP-301.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 453 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.26.

KAP-301.2.2 Cases involving risk-rating files with an exposure above Rs. 487 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.22.

KAP-301.2.3 Cases involving address proofs with an exposure above Rs. 158 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.14.

KAP-301.2.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-301.2.5 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-301.2.6 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-301.2.7 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-301.2.8 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure D-20.

KAP-301.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 301.3 Customer Acceptance - Operating Rule Set 301.3

KAP-301.3.1 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-301.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-301.3.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/185 and that compliance is certified every quarter.

KAP-301.3.4 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure E-30.

KAP-301.3.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-301.3.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-301.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-301.3.8 Cases involving identity documents with an exposure above Rs. 26 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.1.

KAP-301.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

Section 301.4 Customer Acceptance - Operating Rule Set 301.4

KAP-301.4.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/211 and that compliance is certified every quarter.

KAP-301.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-301.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 409 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.7.

KAP-301.4.4 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/277 and that compliance is certified every quarter.

KAP-301.4.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure B-39.

KAP-301.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-301.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-301.4.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-301.4.9 The Risk Management Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-301.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 301.5 Customer Acceptance - Operating Rule Set 301.5

KAP-301.5.1 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-301.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-301.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-301.5.4 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/270 and that compliance is certified every quarter.

KAP-301.5.5 Cases involving cash transaction reports with an exposure above Rs. 124 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.15.

KAP-301.5.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-301.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-301.5.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-301.5.9 The Compliance Officer shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Document Management system.

KAP-301.5.10 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/238 and that compliance is certified every quarter.

Section 301.6 Customer Acceptance - Operating Rule Set 301.6

KAP-301.6.1 Cases involving address proofs with an exposure above Rs. 199 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.5.

KAP-301.6.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-301.6.3 Cases involving risk-rating files with an exposure above Rs. 209 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.23.

KAP-301.6.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-301.6.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/127 and that compliance is certified every quarter.

KAP-301.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-301.6.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-301.6.8 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Case Management system.

KAP-301.6.9 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure D-37.

PART 26 - CHAPTER 302: CUSTOMER IDENTIFICATION

Section 302.1 Customer Identification - Operating Rule Set 302.1

KAP-302.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 434 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.27.

KAP-302.1.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-302.1.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure H-20.

KAP-302.1.4 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-302.1.5 Cases involving identity documents with an exposure above Rs. 333 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.25.

KAP-302.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-302.1.7 The Risk Management Department shall review identity documents within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-302.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 302.2 Customer Identification - Operating Rule Set 302.2

KAP-302.2.1 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-302.2.2 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/251 and that compliance is certified every quarter.

KAP-302.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-302.2.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-302.2.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure H-8.

KAP-302.2.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-302.2.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-302.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-302.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 102 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.18.

Section 302.3 Customer Identification - Operating Rule Set 302.3

KAP-302.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-302.3.2 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-302.3.3 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-302.3.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-302.3.5 The Branch Manager shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-302.3.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure D-18.

KAP-302.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-302.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-302.3.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-302.3.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

Section 302.4 Customer Identification - Operating Rule Set 302.4

KAP-302.4.1 Cases involving video-KYC sessions with an exposure above Rs. 404 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.22.

KAP-302.4.2 Cases involving video-KYC sessions with an exposure above Rs. 209 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.30.

KAP-302.4.3 Cases involving video-KYC sessions with an exposure above Rs. 147 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.9.

KAP-302.4.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-302.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-302.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-302.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-302.4.8 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 302.5 Customer Identification - Operating Rule Set 302.5

KAP-302.5.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-302.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-302.5.3 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-302.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-302.5.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-302.5.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

KAP-302.5.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/077 and that compliance is certified every quarter.

KAP-302.5.8 Cases involving cash transaction reports with an exposure above Rs. 331 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.15.

KAP-302.5.9 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure G-40.

KAP-302.5.10 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure B-7.

Section 302.6 Customer Identification - Operating Rule Set 302.6

KAP-302.6.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-302.6.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-27.

KAP-302.6.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/029 and that compliance is certified every quarter.

KAP-302.6.4 Cases involving video-KYC sessions with an exposure above Rs. 95 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.7.

KAP-302.6.5 Cases involving video-KYC sessions with an exposure above Rs. 9 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.3.

KAP-302.6.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/076 and that compliance is certified every quarter.

KAP-302.6.7 The Operations Head shall review address proofs within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-302.6.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-302.6.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in

Circular KAP/2019/188 and that compliance is certified every quarter.

PART 26 - CHAPTER 303: CUSTOMER DUE DILIGENCE

Section 303.1 Customer Due Diligence - Operating Rule Set 303.1

KAP-303.1.1 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-303.1.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/223 and that compliance is certified every quarter.

KAP-303.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-303.1.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure D-32.

KAP-303.1.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure H-39.

KAP-303.1.6 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/130 and that compliance is certified every quarter.

KAP-303.1.7 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-303.1.8 Cases involving risk-rating files with an exposure above Rs. 95 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.5.

KAP-303.1.9 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/142 and that compliance is certified every quarter.

KAP-303.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-303.1.11 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 303.2 Customer Due Diligence - Operating Rule Set 303.2

KAP-303.2.1 Cases involving identity documents with an exposure above Rs. 494 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.21.

KAP-303.2.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-303.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-303.2.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-303.2.5 The Operations Head shall review risk-rating files within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-303.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-303.2.7 The Zonal Head shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-303.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-303.2.9 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-303.2.10 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure D-10.

Section 303.3 Customer Due Diligence - Operating Rule Set 303.3

KAP-303.3.1 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-303.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-303.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-303.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 131 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.1.

KAP-303.3.5 The Regional Credit Officer shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-303.3.6 The Risk Management Department shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-303.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-303.3.8 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-303.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 64 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.9.

Section 303.4 Customer Due Diligence - Operating Rule Set 303.4

KAP-303.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-303.4.2 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-303.4.3 Cases involving account-opening forms with an exposure above Rs. 350 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.19.

KAP-303.4.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/107 and that compliance is certified every quarter.

KAP-303.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-303.4.6 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-303.4.7 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-303.4.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/099 and that compliance is certified every quarter.

KAP-303.4.9 The Regional Credit Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Document Management system.

Section 303.5 Customer Due Diligence - Operating Rule Set 303.5

KAP-303.5.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-303.5.2 Cases involving account-opening forms with an exposure above Rs. 137 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.3.

KAP-303.5.3 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure A-29.

KAP-303.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-303.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-303.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-303.5.7 Cases involving address proofs with an exposure above Rs. 213 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.15.

KAP-303.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-303.5.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal

Head within 6 working days, with the supporting documents listed in Annexure E-25.

KAP-303.5.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure F-28.

PART 26 - CHAPTER 304: ENHANCED DUE DILIGENCE

Section 304.1 Enhanced Due Diligence - Operating Rule Set 304.1

KAP-304.1.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/251 and that compliance is certified every quarter.

KAP-304.1.2 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/132 and that compliance is certified every quarter.

KAP-304.1.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/126 and that compliance is certified every quarter.

KAP-304.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-304.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-304.1.6 Cases involving cash transaction reports with an exposure above Rs. 227 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.2.

KAP-304.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 321 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.5.

KAP-304.1.8 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-304.1.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-304.1.10 Cases involving identity documents with an exposure above Rs. 322 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.24.

KAP-304.1.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-304.1.12 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Customer Relationship system.

Section 304.2 Enhanced Due Diligence - Operating Rule Set 304.2

KAP-304.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-304.2.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-304.2.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/218 and that compliance is certified every quarter.

KAP-304.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-304.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-304.2.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-304.2.7 The Zonal Head shall review PEP screening results within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-304.2.8 The Audit Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-304.2.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure A-8.

Section 304.3 Enhanced Due Diligence - Operating Rule Set 304.3

KAP-304.3.1 The Risk Management Department shall review cash transaction reports within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-304.3.2 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-304.3.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-304.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-304.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-304.3.6 Cases involving video-KYC sessions with an exposure above Rs. 209 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.25.

KAP-304.3.7 The Regional Credit Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-304.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 465 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.22.

KAP-304.3.9 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-304.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-304.3.11 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 304.4 Enhanced Due Diligence - Operating Rule Set 304.4

KAP-304.4.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure H-32.

KAP-304.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 316 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.29.

KAP-304.4.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure H-6.

KAP-304.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-304.4.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-304.4.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/021 and that compliance is certified every quarter.

KAP-304.4.7 The Branch Manager shall review risk-rating files within 22 working days of receipt and record the outcome in the Document Management system.

KAP-304.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-304.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-304.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 304.5 Enhanced Due Diligence - Operating Rule Set 304.5

KAP-304.5.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-304.5.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/021 and that compliance is certified every quarter.

KAP-304.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-304.5.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-304.5.5 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2023/250 and that compliance is certified every quarter.

KAP-304.5.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-304.5.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-304.5.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-304.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-304.5.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

PART 26 - CHAPTER 305: RISK CATEGORISATION

Section 305.1 Risk Categorisation - Operating Rule Set 305.1

KAP-305.1.1 The Operations Head shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-305.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-305.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-305.1.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-305.1.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure F-15.

KAP-305.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 187 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.30.

KAP-305.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 184 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.29.

KAP-305.1.8 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-26.

Section 305.2 Risk Categorisation - Operating Rule Set 305.2

KAP-305.2.1 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/120 and that compliance is certified every quarter.

KAP-305.2.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-305.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-305.2.4 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/056 and that compliance is certified every quarter.

KAP-305.2.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/158 and that compliance is certified every quarter.

KAP-305.2.6 Cases involving cash transaction reports with an exposure above Rs. 352 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.22.

KAP-305.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 433 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.21.

KAP-305.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-305.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

Section 305.3 Risk Categorisation - Operating Rule Set 305.3

KAP-305.3.1 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-305.3.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure E-15.

KAP-305.3.3 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure E-33.

KAP-305.3.4 The Branch Manager shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-305.3.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure B-4.

KAP-305.3.6 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-305.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 246 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.9.

KAP-305.3.8 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure F-34.

KAP-305.3.9 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 305.4 Risk Categorisation - Operating Rule Set 305.4

KAP-305.4.1 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-305.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-305.4.3 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure C-19.

KAP-305.4.4 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/206 and that compliance is certified every quarter.

KAP-305.4.5 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure D-15.

KAP-305.4.6 The Operations Head shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-305.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 346 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.23.

KAP-305.4.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure C-27.

KAP-305.4.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/184 and that compliance is certified every quarter.

KAP-305.4.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

Section 305.5 Risk Categorisation - Operating Rule Set 305.5

KAP-305.5.1 Cases involving account-opening forms with an exposure above Rs. 463 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.30.

KAP-305.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-305.5.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-305.5.4 Cases involving PEP screening results with an exposure above Rs. 9 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.29.

KAP-305.5.5 The Branch Manager shall review address proofs within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-305.5.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure H-5.

KAP-305.5.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be

made available to internal auditors on request.

KAP-305.5.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

Section 305.6 Risk Categorisation - Operating Rule Set 305.6

KAP-305.6.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-305.6.2 The Regional Credit Officer shall review identity documents within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-305.6.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/073 and that compliance is certified every quarter.

KAP-305.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-305.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-305.6.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-305.6.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-305.6.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure A-29.

KAP-305.6.9 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure A-17.

PART 26 - CHAPTER 306: TRANSACTION MONITORING

Section 306.1 Transaction Monitoring - Operating Rule Set 306.1

KAP-306.1.1 The Risk Management Department shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-306.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-306.1.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/283 and that compliance is certified every quarter.

KAP-306.1.4 The Operations Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-306.1.5 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/165 and that compliance is certified every quarter.

KAP-306.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-306.1.7 Cases involving account-opening forms with an exposure above Rs. 174 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.9.

KAP-306.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 306.2 Transaction Monitoring - Operating Rule Set 306.2

KAP-306.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-306.2.2 Cases involving account-opening forms with an exposure above Rs. 328 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.25.

KAP-306.2.3 The Risk Management Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Case Management system.

KAP-306.2.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-306.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-306.2.6 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-306.2.7 Cases involving PEP screening results with an exposure above Rs. 230 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.7.

KAP-306.2.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-306.2.9 The Zonal Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

Section 306.3 Transaction Monitoring - Operating Rule Set 306.3

KAP-306.3.1 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/044 and that compliance is certified every quarter.

KAP-306.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-306.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-306.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-306.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-306.3.6 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-306.3.7 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-306.3.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-306.3.9 Cases involving account-opening forms with an exposure above Rs. 157 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.5.

KAP-306.3.10 The Credit Committee shall review identity documents within 9 working days of receipt and record the outcome in the Loan Origination system.

Section 306.4 Transaction Monitoring - Operating Rule Set 306.4

KAP-306.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-306.4.2 Cases involving identity documents with an exposure above Rs. 365 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.27.

KAP-306.4.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure G-23.

KAP-306.4.4 The Credit Committee shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Document Management system.

KAP-306.4.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure D-1.

KAP-306.4.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-306.4.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/075 and that compliance is certified every quarter.

KAP-306.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 370 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.7.

KAP-306.4.9 The Zonal Head shall review account-opening forms within 3 working days of receipt and record the outcome in the Case Management system.

KAP-306.4.10 The Credit Committee shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-306.4.11 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch

Manager within 8 working days, with the supporting documents listed in Annexure F-29.

KAP-306.4.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 306.5 Transaction Monitoring - Operating Rule Set 306.5

KAP-306.5.1 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-306.5.2 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure B-14.

KAP-306.5.3 Cases involving risk-rating files with an exposure above Rs. 450 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.21.

KAP-306.5.4 Cases involving account-opening forms with an exposure above Rs. 435 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.10.

KAP-306.5.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-306.5.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-306.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-306.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

PART 26 - CHAPTER 307: SUSPICIOUS TRANSACTION REPORTING

Section 307.1 Suspicious Transaction Reporting - Operating Rule Set 307.1

KAP-307.1.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/206 and that compliance is certified every quarter.

KAP-307.1.2 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/299 and that compliance is certified every quarter.

KAP-307.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-307.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-307.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-307.1.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure E-15.

KAP-307.1.7 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-307.1.8 Cases involving cash transaction reports with an exposure above Rs. 468 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.17.

KAP-307.1.9 The Regional Credit Officer shall review identity documents within 7 working days of receipt and record the outcome in the Core Banking system.

Section 307.2 Suspicious Transaction Reporting - Operating Rule Set 307.2

KAP-307.2.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-307.2.2 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-307.2.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure B-11.

KAP-307.2.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-307.2.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure G-18.

KAP-307.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-307.2.7 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-307.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-307.2.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/290 and that compliance is certified every quarter.

KAP-307.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-307.2.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

Section 307.3 Suspicious Transaction Reporting - Operating Rule Set 307.3

KAP-307.3.1 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-307.3.2 The Audit Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-307.3.3 Cases involving identity documents with an exposure above Rs. 279 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.6.

KAP-307.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-307.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-307.3.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/118 and that compliance is certified every quarter.

KAP-307.3.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-307.3.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-307.3.9 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/062 and that compliance is certified every quarter.

KAP-307.3.10 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 307.4 Suspicious Transaction Reporting - Operating Rule Set 307.4

KAP-307.4.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-307.4.2 The Operations Head shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

KAP-307.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-307.4.4 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-307.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-307.4.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/221 and that compliance is certified every quarter.

KAP-307.4.7 The Compliance Officer shall review account-opening forms within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-307.4.8 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-307.4.9 The Compliance Officer shall review beneficial-owner declarations within 8 working days of receipt and record

the outcome in the Loan Origination system.

Section 307.5 Suspicious Transaction Reporting - Operating Rule Set 307.5

KAP-307.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-307.5.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure H-32.

KAP-307.5.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/178 and that compliance is certified every quarter.

KAP-307.5.4 Cases involving address proofs with an exposure above Rs. 239 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.25.

KAP-307.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-307.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-307.5.7 The Audit Department shall review account-opening forms within 7 working days of receipt and record the outcome in the Case Management system.

KAP-307.5.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-307.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 52 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.25.

KAP-307.5.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

Section 307.6 Suspicious Transaction Reporting - Operating Rule Set 307.6

KAP-307.6.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-307.6.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-307.6.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-307.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 490 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.1.

KAP-307.6.5 The Zonal Head shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-307.6.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure B-20.

KAP-307.6.7 The Risk Management Department shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Case Management system.

KAP-307.6.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure E-36.

PART 26 - CHAPTER 308: POLITICALLY EXPOSED PERSONS

Section 308.1 Politically Exposed Persons - Operating Rule Set 308.1

KAP-308.1.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

KAP-308.1.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-308.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-308.1.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/033 and that compliance is certified every quarter.

KAP-308.1.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure G-17.

KAP-308.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-308.1.7 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure G-2.

KAP-308.1.8 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure D-15.

KAP-308.1.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/055 and that compliance is certified every quarter.

KAP-308.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 135 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.9.

Section 308.2 Politically Exposed Persons - Operating Rule Set 308.2

KAP-308.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-308.2.2 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure B-33.

KAP-308.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-308.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-308.2.5 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/180 and that compliance is certified every quarter.

KAP-308.2.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-308.2.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/297 and that compliance is certified every quarter.

KAP-308.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-308.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-308.2.10 Cases involving cash transaction reports with an exposure above Rs. 290 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.29.

Section 308.3 Politically Exposed Persons - Operating Rule Set 308.3

KAP-308.3.1 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-308.3.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-308.3.3 The Credit Committee shall review account-opening forms within 12 working days of receipt and record the outcome in the Case Management system.

KAP-308.3.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure H-25.

KAP-308.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-308.3.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure F-18.

KAP-308.3.7 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-308.3.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-308.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-308.3.10 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance

of 1% as approved by the Board.

Section 308.4 Politically Exposed Persons - Operating Rule Set 308.4

KAP-308.4.1 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-308.4.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-308.4.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure B-37.

KAP-308.4.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/216 and that compliance is certified every quarter.

KAP-308.4.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/033 and that compliance is certified every quarter.

KAP-308.4.6 The Audit Department shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-308.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-308.4.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure B-6.

Section 308.5 Politically Exposed Persons - Operating Rule Set 308.5

KAP-308.5.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-308.5.2 The Credit Committee shall review identity documents within 10 working days of receipt and record the outcome in the Document Management system.

KAP-308.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 474 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.26.

KAP-308.5.4 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure E-17.

KAP-308.5.5 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-308.5.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-8.

KAP-308.5.7 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure G-6.

KAP-308.5.8 Cases involving account-opening forms with an exposure above Rs. 31 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.27.

KAP-308.5.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure C-19.

Section 308.6 Politically Exposed Persons - Operating Rule Set 308.6

KAP-308.6.1 The Credit Committee shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-308.6.2 The Risk Management Department shall review account-opening forms within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-308.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-308.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 368 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.23.

KAP-308.6.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/034 and that compliance is certified every quarter.

KAP-308.6.6 Cases involving address proofs with an exposure above Rs. 386 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.7.

KAP-308.6.7 The Regional Credit Officer shall review cash transaction reports within 28 working days of receipt and record

the outcome in the Loan Origination system.

KAP-308.6.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 229 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.23.

KAP-308.6.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-308.6.10 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-308.6.11 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure A-36.

Section 308.7 Politically Exposed Persons - Operating Rule Set 308.7

KAP-308.7.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/167 and that compliance is certified every quarter.

KAP-308.7.2 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-308.7.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure F-7.

KAP-308.7.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-308.7.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure C-30.

KAP-308.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-308.7.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-308.7.8 Cases involving risk-rating files with an exposure above Rs. 444 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.5.

KAP-308.7.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-308.7.10 The Regional Credit Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Core Banking system.

Section 308.8 Politically Exposed Persons - Operating Rule Set 308.8

KAP-308.8.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-308.8.2 The Compliance Officer shall review account-opening forms within 11 working days of receipt and record the outcome in the Case Management system.

KAP-308.8.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-308.8.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-308.8.5 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/299 and that compliance is certified every quarter.

KAP-308.8.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-308.8.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/056 and that compliance is certified every quarter.

KAP-308.8.8 The Compliance Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Case Management system.

PART 26 - CHAPTER 309: BENEFICIAL OWNERSHIP

Section 309.1 Beneficial Ownership - Operating Rule Set 309.1

KAP-309.1.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/098 and that compliance is certified every quarter.

KAP-309.1.2 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-309.1.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure D-22.

KAP-309.1.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/199 and that compliance is certified every quarter.

KAP-309.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 200 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.21.

KAP-309.1.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-309.1.7 The Regional Credit Officer shall review identity documents within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-309.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-309.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 342 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.4.

KAP-309.1.10 The Regional Credit Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Risk Engine system.

Section 309.2 Beneficial Ownership - Operating Rule Set 309.2

KAP-309.2.1 Cases involving video-KYC sessions with an exposure above Rs. 81 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.4.

KAP-309.2.2 The Credit Committee shall review PEP screening results within 18 working days of receipt and record the outcome in the Document Management system.

KAP-309.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-309.2.4 The Audit Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-309.2.5 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/112 and that compliance is certified every quarter.

KAP-309.2.6 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-309.2.7 The Operations Head shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-309.2.8 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/298 and that compliance is certified every quarter.

KAP-309.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-309.2.10 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure C-4.

KAP-309.2.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

Section 309.3 Beneficial Ownership - Operating Rule Set 309.3

KAP-309.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-309.3.2 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure H-8.

KAP-309.3.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure G-14.

KAP-309.3.4 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/260 and that compliance is certified every quarter.

KAP-309.3.5 The Operations Head shall review beneficial-owner declarations within 22 working days of receipt and record

the outcome in the Customer Relationship system.

KAP-KEY-05 A natural person holding 10% or more of the shares or capital of a company shall be identified as a beneficial owner.

KAP-309.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-309.3.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-309.3.8 The Regional Credit Officer shall review cash transaction reports within 8 working days of receipt and record the outcome in the Document Management system.

KAP-309.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-309.3.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-309.3.11 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-309.3.12 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure G-31.

Section 309.4 Beneficial Ownership - Operating Rule Set 309.4

KAP-309.4.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure B-36.

KAP-309.4.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/189 and that compliance is certified every quarter.

KAP-309.4.3 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/289 and that compliance is certified every quarter.

KAP-309.4.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-309.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-309.4.6 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-309.4.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure F-4.

KAP-309.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-309.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-309.4.10 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 309.5 Beneficial Ownership - Operating Rule Set 309.5

KAP-309.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 229 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.17.

KAP-309.5.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-309.5.3 Cases involving identity documents with an exposure above Rs. 432 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.20.

KAP-309.5.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-309.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-309.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-309.5.7 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-309.5.8 The Compliance Officer shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Loan Origination system.

Section 309.6 Beneficial Ownership - Operating Rule Set 309.6

KAP-309.6.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-309.6.2 The Audit Department shall review account-opening forms within 23 working days of receipt and record the outcome in the Document Management system.

KAP-309.6.3 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-309.6.4 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/184 and that compliance is certified every quarter.

KAP-309.6.5 Cases involving PEP screening results with an exposure above Rs. 98 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.26.

KAP-309.6.6 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-309.6.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/183 and that compliance is certified every quarter.

KAP-309.6.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-309.6.9 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-309.6.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

PART 26 - CHAPTER 310: RECORD KEEPING

Section 310.1 Record Keeping - Operating Rule Set 310.1

KAP-310.1.1 Cases involving cash transaction reports with an exposure above Rs. 213 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.28.

KAP-310.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-310.1.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure D-8.

KAP-310.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-310.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-310.1.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure D-33.

KAP-310.1.7 The Branch Manager shall review identity documents within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-310.1.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure C-20.

KAP-310.1.9 Cases involving account-opening forms with an exposure above Rs. 352 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.17.

KAP-310.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 254 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.11.

KAP-310.1.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-310.1.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-310.1.13 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure C-4.

Section 310.2 Record Keeping - Operating Rule Set 310.2

KAP-310.2.1 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-310.2.2 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/188 and that compliance is certified every quarter.

KAP-310.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-310.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-310.2.5 The Operations Head shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-310.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-310.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 8 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.28.

KAP-310.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-310.2.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/135 and that compliance is certified every quarter.

KAP-310.2.10 The Compliance Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-310.2.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 310.3 Record Keeping - Operating Rule Set 310.3

KAP-310.3.1 Cases involving risk-rating files with an exposure above Rs. 482 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.13.

KAP-310.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-310.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-310.3.4 The Credit Committee shall review cash transaction reports within 29 working days of receipt and record the outcome in the Document Management system.

KAP-310.3.5 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-310.3.6 Cases involving identity documents with an exposure above Rs. 334 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.9.

KAP-310.3.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure B-26.

KAP-310.3.8 Cases involving cash transaction reports with an exposure above Rs. 19 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.20.

Section 310.4 Record Keeping - Operating Rule Set 310.4

KAP-310.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-310.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-310.4.3 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-310.4.4 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-310.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-310.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-310.4.7 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-310.4.8 The Zonal Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-310.4.9 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-310.4.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-310.4.11 Cases involving address proofs with an exposure above Rs. 322 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.11.

KAP-310.4.12 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/011 and that compliance is certified every quarter.

KAP-310.4.13 The Zonal Head shall review address proofs within 15 working days of receipt and record the outcome in the Loan Origination system.

Section 310.5 Record Keeping - Operating Rule Set 310.5

KAP-310.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-310.5.2 Cases involving identity documents with an exposure above Rs. 119 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.20.

KAP-310.5.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/001 and that compliance is certified every quarter.

KAP-310.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 24 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.25.

KAP-310.5.5 The Zonal Head shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-310.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-310.5.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure D-4.

KAP-310.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-310.5.9 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/270 and that compliance is certified every quarter.

KAP-310.5.10 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/023 and that compliance is certified every quarter.

KAP-310.5.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 276 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.19.

Section 310.6 Record Keeping - Operating Rule Set 310.6

KAP-310.6.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-310.6.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/166 and that compliance is certified every quarter.

KAP-310.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-310.6.4 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-310.6.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the

Operations Head by the 9th day of the following month.

KAP-310.6.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure A-29.

KAP-310.6.7 Cases involving account-opening forms with an exposure above Rs. 385 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.27.

KAP-310.6.8 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-310.6.9 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure G-2.

KAP-310.6.10 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-310.6.11 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/019 and that compliance is certified every quarter.

Section 310.7 Record Keeping - Operating Rule Set 310.7

KAP-310.7.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/056 and that compliance is certified every quarter.

KAP-310.7.2 The Risk Management Department shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Document Management system.

KAP-310.7.3 Cases involving identity documents with an exposure above Rs. 27 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.2.

KAP-310.7.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure A-7.

KAP-310.7.5 Cases involving risk-rating files with an exposure above Rs. 364 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.24.

KAP-310.7.6 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-8.

KAP-310.7.7 The Risk Management Department shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

KAP-310.7.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-310.7.9 Cases involving risk-rating files with an exposure above Rs. 491 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.8.

KAP-310.7.10 Cases involving video-KYC sessions with an exposure above Rs. 422 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.5.

KAP-310.7.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 310.8 Record Keeping - Operating Rule Set 310.8

KAP-310.8.1 The Compliance Officer shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-310.8.2 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-310.8.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-310.8.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure B-39.

KAP-310.8.5 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure G-40.

KAP-310.8.6 The Risk Management Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-310.8.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

KAP-310.8.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-310.8.9 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/207 and that compliance is certified every quarter.

KAP-310.8.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

PART 26 - CHAPTER 311: STAFF TRAINING

Section 311.1 Staff Training - Operating Rule Set 311.1

KAP-311.1.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-311.1.2 The Regional Credit Officer shall review cash transaction reports within 16 working days of receipt and record the outcome in the Document Management system.

KAP-311.1.3 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-311.1.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 450 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.3.

KAP-311.1.5 The Credit Committee shall review identity documents within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-311.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-311.1.7 Cases involving account-opening forms with an exposure above Rs. 273 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.16.

KAP-311.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 200 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.9.

KAP-311.1.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-311.1.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

Section 311.2 Staff Training - Operating Rule Set 311.2

KAP-311.2.1 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-311.2.2 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-311.2.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-311.2.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/158 and that compliance is certified every quarter.

KAP-311.2.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-311.2.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure B-7.

KAP-311.2.7 The Zonal Head shall review PEP screening results within 6 working days of receipt and record the outcome in the Case Management system.

KAP-311.2.8 The Credit Committee shall review cash transaction reports within 28 working days of receipt and record the outcome in the Case Management system.

KAP-311.2.9 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-311.2.10 Cases involving account-opening forms with an exposure above Rs. 150 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.12.

KAP-311.2.11 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Risk Engine system.

Section 311.3 Staff Training - Operating Rule Set 311.3

KAP-311.3.1 The Credit Committee shall review PEP screening results within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-311.3.2 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/294 and that compliance is certified every quarter.

KAP-311.3.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-311.3.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-311.3.5 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-311.3.6 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-311.3.7 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-311.3.8 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/133 and that compliance is certified every quarter.

KAP-311.3.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/044 and that compliance is certified every quarter.

KAP-311.3.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure F-24.

KAP-311.3.11 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure D-11.

KAP-311.3.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 311.4 Staff Training - Operating Rule Set 311.4

KAP-311.4.1 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-311.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-311.4.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-16.

KAP-311.4.4 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/100 and that compliance is certified every quarter.

KAP-311.4.5 The Compliance Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-311.4.6 Cases involving video-KYC sessions with an exposure above Rs. 277 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.9.

KAP-311.4.7 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-311.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-311.4.9 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 311.5 Staff Training - Operating Rule Set 311.5

KAP-311.5.1 The Branch Manager shall review PEP screening results within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-311.5.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-311.5.3 Cases involving video-KYC sessions with an exposure above Rs. 122 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.24.

KAP-311.5.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-311.5.5 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-311.5.6 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure E-29.

KAP-311.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-311.5.8 The Branch Manager shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Loan Origination system.

Section 311.6 Staff Training - Operating Rule Set 311.6

KAP-311.6.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-311.6.2 The Operations Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-311.6.3 The Zonal Head shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-311.6.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-311.6.5 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-311.6.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-311.6.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-311.6.8 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-311.6.9 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/268 and that compliance is certified every quarter.

PART 26 - CHAPTER 312: INDEPENDENT AUDIT

Section 312.1 Independent Audit - Operating Rule Set 312.1

KAP-312.1.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/235 and that compliance is certified every quarter.

KAP-312.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-312.1.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-312.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-312.1.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-312.1.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure G-37.

KAP-312.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-312.1.8 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure D-13.

KAP-312.1.9 Cases involving account-opening forms with an exposure above Rs. 207 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.27.

KAP-312.1.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-312.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 312.2 Independent Audit - Operating Rule Set 312.2

KAP-312.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-312.2.2 The Credit Committee shall review address proofs within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-312.2.3 Cases involving video-KYC sessions with an exposure above Rs. 426 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.17.

KAP-312.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-312.2.5 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/117 and that compliance is certified every quarter.

KAP-312.2.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/175 and that compliance is certified every quarter.

KAP-312.2.7 Cases involving risk-rating files with an exposure above Rs. 182 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.20.

KAP-312.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-312.2.9 The Credit Committee shall review PEP screening results within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-312.2.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure D-28.

Section 312.3 Independent Audit - Operating Rule Set 312.3

KAP-312.3.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-312.3.2 Cases involving video-KYC sessions with an exposure above Rs. 221 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.15.

KAP-312.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-312.3.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-312.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 63 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.10.

KAP-312.3.6 Cases involving identity documents with an exposure above Rs. 68 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.15.

KAP-312.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-312.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-312.3.9 Cases involving identity documents with an exposure above Rs. 482 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.25.

KAP-312.3.10 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-312.3.11 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-312.3.12 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-312.3.13 Cases involving beneficial-owner declarations with an exposure above Rs. 255 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.1.

Section 312.4 Independent Audit - Operating Rule Set 312.4

KAP-312.4.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-7.

KAP-312.4.2 Cases involving video-KYC sessions with an exposure above Rs. 62 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.9.

KAP-312.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-312.4.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure B-6.

KAP-312.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-312.4.6 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-312.4.7 The Credit Committee shall review identity documents within 19 working days of receipt and record the outcome in the Case Management system.

KAP-312.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

PART 27 - CHAPTER 313: CUSTOMER ACCEPTANCE

Section 313.1 Customer Acceptance - Operating Rule Set 313.1

KAP-313.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-313.1.2 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-313.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-313.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-313.1.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure B-37.

KAP-313.1.6 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/218 and that compliance is certified every quarter.

KAP-313.1.7 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-313.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 313.2 Customer Acceptance - Operating Rule Set 313.2

KAP-313.2.1 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-313.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-313.2.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-313.2.4 The Branch Manager shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-313.2.5 Cases involving video-KYC sessions with an exposure above Rs. 41 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.25.

KAP-313.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-313.2.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure E-10.

KAP-313.2.8 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-313.2.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-313.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-313.2.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-313.2.12 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 313.3 Customer Acceptance - Operating Rule Set 313.3

KAP-313.3.1 Cases involving correspondent-bank relationships with an exposure above Rs. 285 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.25.

KAP-313.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 480 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.17.

KAP-313.3.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure B-10.

KAP-313.3.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure F-11.

KAP-313.3.5 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure H-11.

KAP-313.3.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/293 and that compliance is certified every quarter.

KAP-313.3.7 Cases involving PEP screening results with an exposure above Rs. 280 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.27.

KAP-313.3.8 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure F-39.

KAP-313.3.9 Cases involving PEP screening results with an exposure above Rs. 140 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.12.

Section 313.4 Customer Acceptance - Operating Rule Set 313.4

KAP-313.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-313.4.2 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/236 and that compliance is certified every quarter.

KAP-313.4.3 The Operations Head shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-313.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-313.4.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/211 and that compliance is certified every quarter.

KAP-313.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-313.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-313.4.8 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 313.5 Customer Acceptance - Operating Rule Set 313.5

KAP-313.5.1 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-313.5.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-313.5.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/187 and that compliance is certified every quarter.

KAP-313.5.4 The Operations Head shall review account-opening forms within 6 working days of receipt and record the outcome in the Document Management system.

KAP-313.5.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure G-39.

KAP-313.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-313.5.7 The Risk Management Department shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-313.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-313.5.9 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-313.5.10 Cases involving account-opening forms with an exposure above Rs. 146 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.14.

PART 27 - CHAPTER 314: CUSTOMER IDENTIFICATION

Section 314.1 Customer Identification - Operating Rule Set 314.1

KAP-314.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-314.1.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/045 and that compliance is certified every quarter.

KAP-314.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 426 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.17.

KAP-314.1.4 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/256 and that compliance is certified every quarter.

KAP-314.1.5 Cases involving cash transaction reports with an exposure above Rs. 214 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.9.

KAP-314.1.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure D-40.

KAP-314.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-314.1.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure B-7.

KAP-314.1.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

Section 314.2 Customer Identification - Operating Rule Set 314.2

KAP-314.2.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/126 and that compliance is certified every quarter.

KAP-314.2.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-314.2.3 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-314.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 301 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.13.

KAP-314.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-314.2.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure A-24.

KAP-314.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-314.2.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/184 and that compliance is certified every quarter.

KAP-314.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 314.3 Customer Identification - Operating Rule Set 314.3

KAP-314.3.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/288 and that compliance is certified every quarter.

KAP-314.3.2 The Compliance Officer shall review identity documents within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-314.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-314.3.4 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-314.3.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-314.3.6 The Branch Manager shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-314.3.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-314.3.8 Cases involving identity documents with an exposure above Rs. 434 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.27.

KAP-314.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 103 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.23.

KAP-314.3.10 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure F-35.

Section 314.4 Customer Identification - Operating Rule Set 314.4

KAP-314.4.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-314.4.2 Cases involving PEP screening results with an exposure above Rs. 91 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.18.

KAP-314.4.3 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-314.4.4 The Regional Credit Officer shall review identity documents within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-314.4.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure F-31.

KAP-314.4.6 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure G-12.

KAP-314.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-314.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-314.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 314.5 Customer Identification - Operating Rule Set 314.5

KAP-314.5.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-314.5.2 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure C-6.

KAP-314.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 371 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.19.

KAP-314.5.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-314.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-314.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-314.5.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-314.5.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/129 and that compliance is certified every quarter.

KAP-314.5.9 Cases involving identity documents with an exposure above Rs. 11 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.26.

PART 27 - CHAPTER 315: CUSTOMER DUE DILIGENCE

Section 315.1 Customer Due Diligence - Operating Rule Set 315.1

KAP-315.1.1 The Regional Credit Officer shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-315.1.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-315.1.3 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/288 and that compliance is certified every quarter.

KAP-315.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-315.1.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/153 and that compliance is certified every quarter.

KAP-315.1.6 Cases involving address proofs with an exposure above Rs. 40 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.2.

KAP-315.1.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-315.1.8 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/293 and that compliance is certified every quarter.

Section 315.2 Customer Due Diligence - Operating Rule Set 315.2

KAP-315.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-315.2.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/170 and that compliance is certified every quarter.

KAP-315.2.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-315.2.4 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-315.2.5 The Branch Manager shall review address proofs within 7 working days of receipt and record the outcome in the Document Management system.

KAP-315.2.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-315.2.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure E-16.

KAP-315.2.8 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/227 and that compliance is certified every quarter.

KAP-315.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 315.3 Customer Due Diligence - Operating Rule Set 315.3

KAP-315.3.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure B-19.

KAP-315.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the

Compliance Officer by the 4th day of the following month.

KAP-315.3.3 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-315.3.4 Cases involving risk-rating files with an exposure above Rs. 158 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.26.

KAP-315.3.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/237 and that compliance is certified every quarter.

KAP-315.3.6 The Operations Head shall review PEP screening results within 20 working days of receipt and record the outcome in the Document Management system.

KAP-315.3.7 Cases involving identity documents with an exposure above Rs. 358 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.3.

KAP-315.3.8 The Zonal Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-315.3.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-315.3.10 Cases involving PEP screening results with an exposure above Rs. 236 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.1.

Section 315.4 Customer Due Diligence - Operating Rule Set 315.4

KAP-315.4.1 Cases involving address proofs with an exposure above Rs. 102 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.5.

KAP-315.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-315.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-315.4.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-315.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-315.4.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure G-13.

KAP-315.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-315.4.8 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-315.4.9 The Credit Committee shall review PEP screening results within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-315.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-315.4.11 Cases involving beneficial-owner declarations with an exposure above Rs. 149 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.3.

Section 315.5 Customer Due Diligence - Operating Rule Set 315.5

KAP-315.5.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/187 and that compliance is certified every quarter.

KAP-315.5.2 Cases involving identity documents with an exposure above Rs. 81 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.5.

KAP-315.5.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure F-27.

KAP-315.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-315.5.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-315.5.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-315.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 271 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.24.

KAP-315.5.8 Cases involving video-KYC sessions with an exposure above Rs. 311 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.14.

PART 27 - CHAPTER 316: ENHANCED DUE DILIGENCE

Section 316.1 Enhanced Due Diligence - Operating Rule Set 316.1

KAP-316.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-316.1.2 The Compliance Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-316.1.3 Cases involving PEP screening results with an exposure above Rs. 153 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.13.

KAP-316.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-316.1.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-316.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-316.1.7 The Credit Committee shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-316.1.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure F-16.

KAP-316.1.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure D-21.

KAP-316.1.10 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure A-38.

KAP-316.1.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 316.2 Enhanced Due Diligence - Operating Rule Set 316.2

KAP-316.2.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-316.2.2 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure G-25.

KAP-316.2.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-316.2.4 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure E-35.

KAP-316.2.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/138 and that compliance is certified every quarter.

KAP-316.2.6 Cases involving account-opening forms with an exposure above Rs. 164 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.23.

KAP-316.2.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/054 and that compliance is certified every quarter.

KAP-316.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-316.2.9 The Zonal Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-316.2.10 The Regional Credit Officer shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-316.2.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

Section 316.3 Enhanced Due Diligence - Operating Rule Set 316.3

KAP-316.3.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/044 and that compliance is certified every quarter.

KAP-316.3.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/106 and that compliance is certified every quarter.

KAP-316.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-316.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-316.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 225 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.8.

KAP-316.3.6 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/043 and that compliance is certified every quarter.

KAP-316.3.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/250 and that compliance is certified every quarter.

KAP-316.3.8 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-316.3.9 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/207 and that compliance is certified every quarter.

Section 316.4 Enhanced Due Diligence - Operating Rule Set 316.4

KAP-316.4.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-316.4.2 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure H-28.

KAP-316.4.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/034 and that compliance is certified every quarter.

KAP-316.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 133 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.9.

KAP-316.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-316.4.6 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-316.4.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure F-38.

KAP-316.4.8 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-316.4.9 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

PART 27 - CHAPTER 317: RISK CATEGORISATION

Section 317.1 Risk Categorisation - Operating Rule Set 317.1

KAP-317.1.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/108 and that compliance is certified every quarter.

KAP-317.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 297 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.26.

KAP-317.1.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-317.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-317.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and

be made available to statutory auditors on request.

KAP-317.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-317.1.7 The Regional Credit Officer shall review account-opening forms within 27 working days of receipt and record the outcome in the Case Management system.

KAP-317.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-317.1.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/177 and that compliance is certified every quarter.

Section 317.2 Risk Categorisation - Operating Rule Set 317.2

KAP-317.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-317.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-317.2.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-317.2.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/070 and that compliance is certified every quarter.

KAP-317.2.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/201 and that compliance is certified every quarter.

KAP-317.2.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-317.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-317.2.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure B-15.

KAP-317.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-317.2.10 The Zonal Head shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Document Management system.

KAP-317.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 317.3 Risk Categorisation - Operating Rule Set 317.3

KAP-317.3.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/131 and that compliance is certified every quarter.

KAP-317.3.2 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-317.3.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-317.3.4 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Case Management system.

KAP-317.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-317.3.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-317.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 420 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.16.

KAP-317.3.8 Cases involving account-opening forms with an exposure above Rs. 431 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.24.

KAP-317.3.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/059 and that compliance is certified every quarter.

KAP-317.3.10 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 317.4 Risk Categorisation - Operating Rule Set 317.4

KAP-317.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-317.4.2 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/041 and that compliance is certified every quarter.

KAP-317.4.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure A-15.

KAP-317.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-317.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-317.4.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure E-10.

KAP-317.4.7 The Branch Manager shall review address proofs within 12 working days of receipt and record the outcome in the Case Management system.

KAP-317.4.8 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure C-36.

Section 317.5 Risk Categorisation - Operating Rule Set 317.5

KAP-317.5.1 The Zonal Head shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-317.5.2 The Credit Committee shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Document Management system.

KAP-317.5.3 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-317.5.4 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure F-32.

KAP-317.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-317.5.6 The Operations Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Document Management system.

KAP-317.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-317.5.8 The Regional Credit Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-317.5.9 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-317.5.10 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-317.5.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-317.5.12 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-317.5.13 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure D-29.

PART 27 - CHAPTER 318: TRANSACTION MONITORING

Section 318.1 Transaction Monitoring - Operating Rule Set 318.1

KAP-318.1.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure D-34.

KAP-318.1.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be

made available to statutory auditors on request.

KAP-318.1.3 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/252 and that compliance is certified every quarter.

KAP-318.1.4 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-318.1.5 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-318.1.6 The Audit Department shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-318.1.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

KAP-318.1.8 Cases involving cash transaction reports with an exposure above Rs. 155 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.18.

KAP-318.1.9 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

Section 318.2 Transaction Monitoring - Operating Rule Set 318.2

KAP-318.2.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/251 and that compliance is certified every quarter.

KAP-318.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-318.2.3 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/172 and that compliance is certified every quarter.

KAP-318.2.4 The Credit Committee shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-318.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-318.2.6 The Risk Management Department shall review identity documents within 18 working days of receipt and record the outcome in the Case Management system.

KAP-318.2.7 The Credit Committee shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-318.2.8 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/220 and that compliance is certified every quarter.

Section 318.3 Transaction Monitoring - Operating Rule Set 318.3

KAP-318.3.1 Cases involving address proofs with an exposure above Rs. 8 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.16.

KAP-318.3.2 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure B-24.

KAP-318.3.3 The Zonal Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Document Management system.

KAP-318.3.4 The Operations Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Case Management system.

KAP-318.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-318.3.6 Cases involving PEP screening results with an exposure above Rs. 136 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.22.

KAP-318.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 216 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.8.

KAP-318.3.8 The Zonal Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Core Banking system.

Section 318.4 Transaction Monitoring - Operating Rule Set 318.4

KAP-318.4.1 The Regional Credit Officer shall review PEP screening results within 19 working days of receipt and record

the outcome in the Loan Origination system.

KAP-318.4.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-318.4.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure G-2.

KAP-318.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-318.4.5 Cases involving identity documents with an exposure above Rs. 162 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.28.

KAP-318.4.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-318.4.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 488 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.18.

KAP-318.4.8 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure H-27.

KAP-318.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-318.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-318.4.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-318.4.12 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-318.4.13 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure D-6.

Section 318.5 Transaction Monitoring - Operating Rule Set 318.5

KAP-318.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-318.5.2 The Credit Committee shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Case Management system.

KAP-318.5.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-318.5.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-318.5.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-318.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-318.5.7 Cases involving risk-rating files with an exposure above Rs. 447 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.5.

KAP-318.5.8 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure H-33.

KAP-318.5.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-318.5.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-318.5.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-318.5.12 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-318.5.13 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two

notices, after giving the customer 17 days written notice.

Section 318.6 Transaction Monitoring - Operating Rule Set 318.6

KAP-318.6.1 Cases involving risk-rating files with an exposure above Rs. 344 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.1.

KAP-318.6.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-318.6.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure F-3.

KAP-318.6.4 Cases involving account-opening forms with an exposure above Rs. 259 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.20.

KAP-318.6.5 Cases involving PEP screening results with an exposure above Rs. 426 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.24.

KAP-318.6.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-318.6.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/092 and that compliance is certified every quarter.

KAP-318.6.8 Cases involving risk-rating files with an exposure above Rs. 309 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.26.

KAP-318.6.9 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-318.6.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 118 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.2.

KAP-318.6.11 Cases involving address proofs with an exposure above Rs. 14 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.26.

Section 318.7 Transaction Monitoring - Operating Rule Set 318.7

KAP-318.7.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure G-30.

KAP-318.7.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-318.7.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-318.7.4 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-318.7.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure B-18.

KAP-318.7.6 The Zonal Head shall review address proofs within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-318.7.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-318.7.8 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-318.7.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

PART 27 - CHAPTER 319: SUSPICIOUS TRANSACTION REPORTING

Section 319.1 Suspicious Transaction Reporting - Operating Rule Set 319.1

KAP-319.1.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure C-40.

KAP-319.1.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/255 and that compliance is certified every quarter.

KAP-319.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-319.1.4 Cases involving cash transaction reports with an exposure above Rs. 247 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.11.

KAP-319.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-319.1.6 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-319.1.7 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/144 and that compliance is certified every quarter.

KAP-319.1.8 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-319.1.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/148 and that compliance is certified every quarter.

KAP-319.1.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-319.1.11 Cases involving account-opening forms with an exposure above Rs. 147 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.14.

Section 319.2 Suspicious Transaction Reporting - Operating Rule Set 319.2

KAP-319.2.1 The Credit Committee shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-319.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-319.2.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/083 and that compliance is certified every quarter.

KAP-319.2.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure A-27.

KAP-319.2.5 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/242 and that compliance is certified every quarter.

KAP-319.2.6 The Credit Committee shall review risk-rating files within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-319.2.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/267 and that compliance is certified every quarter.

KAP-319.2.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/057 and that compliance is certified every quarter.

KAP-319.2.9 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/141 and that compliance is certified every quarter.

KAP-319.2.10 Cases involving address proofs with an exposure above Rs. 153 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.27.

KAP-319.2.11 The Branch Manager shall review risk-rating files within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-319.2.12 The Branch Manager shall review identity documents within 18 working days of receipt and record the outcome in the Case Management system.

Section 319.3 Suspicious Transaction Reporting - Operating Rule Set 319.3

KAP-319.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-319.3.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure F-12.

KAP-319.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-319.3.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-319.3.5 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic

method, with a tolerance of 5% as approved by the Board.

KAP-319.3.6 Cases involving address proofs with an exposure above Rs. 107 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.15.

KAP-319.3.7 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure H-14.

KAP-319.3.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/053 and that compliance is certified every quarter.

KAP-319.3.9 The Compliance Officer shall review account-opening forms within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-319.3.10 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure F-23.

KAP-319.3.11 The Risk Management Department shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Customer Relationship system.

Section 319.4 Suspicious Transaction Reporting - Operating Rule Set 319.4

KAP-319.4.1 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-319.4.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-319.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-319.4.4 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-319.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 30 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.10.

KAP-319.4.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure D-26.

KAP-319.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-319.4.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-319.4.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure A-34.

KAP-319.4.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-319.4.11 The Branch Manager shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Document Management system.

KAP-319.4.12 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-319.4.13 The Operations Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Case Management system.

Section 319.5 Suspicious Transaction Reporting - Operating Rule Set 319.5

KAP-319.5.1 The Zonal Head shall review PEP screening results within 15 working days of receipt and record the outcome in the Case Management system.

KAP-319.5.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-319.5.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-319.5.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/078 and that compliance is certified every quarter.

KAP-319.5.5 The Branch Manager shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-319.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-319.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-319.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

Section 319.6 Suspicious Transaction Reporting - Operating Rule Set 319.6

KAP-319.6.1 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/168 and that compliance is certified every quarter.

KAP-319.6.2 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure C-13.

KAP-319.6.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-319.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-319.6.5 Cases involving cash transaction reports with an exposure above Rs. 257 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.12.

KAP-319.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 378 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.2.

KAP-319.6.7 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure C-23.

KAP-319.6.8 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-319.6.9 Cases involving risk-rating files with an exposure above Rs. 490 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.18.

Section 319.7 Suspicious Transaction Reporting - Operating Rule Set 319.7

KAP-319.7.1 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-319.7.2 The Zonal Head shall review identity documents within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-319.7.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-319.7.4 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-319.7.5 The Risk Management Department shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-319.7.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-319.7.7 Cases involving identity documents with an exposure above Rs. 19 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.4.

KAP-319.7.8 Cases involving video-KYC sessions with an exposure above Rs. 468 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.10.

KAP-319.7.9 Cases involving video-KYC sessions with an exposure above Rs. 149 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.28.

KAP-319.7.10 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-319.7.11 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

PART 27 - CHAPTER 320: POLITICALLY EXPOSED PERSONS

Section 320.1 Politically Exposed Persons - Operating Rule Set 320.1

KAP-320.1.1 Cases involving video-KYC sessions with an exposure above Rs. 169 lakh require prior written approval from

the Audit Department; otherwise the case is an exception under Clause 19.23.

KAP-320.1.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-320.1.3 Cases involving address proofs with an exposure above Rs. 500 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.29.

KAP-320.1.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure A-24.

KAP-320.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-320.1.6 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/113 and that compliance is certified every quarter.

KAP-320.1.7 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure G-40.

KAP-320.1.8 The Branch Manager shall review PEP screening results within 26 working days of receipt and record the outcome in the Customer Relationship system.

Section 320.2 Politically Exposed Persons - Operating Rule Set 320.2

KAP-320.2.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-320.2.2 Cases involving identity documents with an exposure above Rs. 60 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.2.

KAP-320.2.3 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/184 and that compliance is certified every quarter.

KAP-320.2.4 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/135 and that compliance is certified every quarter.

KAP-320.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-320.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-320.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-320.2.8 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure H-25.

Section 320.3 Politically Exposed Persons - Operating Rule Set 320.3

KAP-320.3.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-320.3.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure E-19.

KAP-320.3.3 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-320.3.4 Cases involving PEP screening results with an exposure above Rs. 102 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.12.

KAP-320.3.5 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/206 and that compliance is certified every quarter.

KAP-320.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-320.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-320.3.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/203 and that compliance is certified every quarter.

KAP-320.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 320.4 Politically Exposed Persons - Operating Rule Set 320.4

KAP-320.4.1 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-320.4.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure D-27.

KAP-320.4.3 Cases involving identity documents with an exposure above Rs. 334 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.2.

KAP-320.4.4 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-320.4.5 The Audit Department shall review account-opening forms within 19 working days of receipt and record the outcome in the Document Management system.

KAP-320.4.6 Cases involving cash transaction reports with an exposure above Rs. 435 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.17.

KAP-320.4.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/296 and that compliance is certified every quarter.

KAP-320.4.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 320.5 Politically Exposed Persons - Operating Rule Set 320.5

KAP-320.5.1 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-320.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-320.5.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/013 and that compliance is certified every quarter.

KAP-320.5.4 The Regional Credit Officer shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-320.5.5 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure B-11.

KAP-320.5.6 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure C-39.

KAP-320.5.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/077 and that compliance is certified every quarter.

KAP-320.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

PART 27 - CHAPTER 321: BENEFICIAL OWNERSHIP

Section 321.1 Beneficial Ownership - Operating Rule Set 321.1

KAP-321.1.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-321.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-321.1.3 Cases involving account-opening forms with an exposure above Rs. 18 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.20.

KAP-321.1.4 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/265 and that compliance is certified every quarter.

KAP-321.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-321.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-321.1.7 The Zonal Head shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-321.1.8 The Compliance Officer shall review address proofs within 5 working days of receipt and record the outcome in

the Core Banking system.

Section 321.2 Beneficial Ownership - Operating Rule Set 321.2

KAP-321.2.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure E-2.

KAP-321.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-321.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-321.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-321.2.5 Cases involving account-opening forms with an exposure above Rs. 360 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.16.

KAP-321.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-321.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-321.2.8 The Operations Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-321.2.9 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-321.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-321.2.11 Cases involving identity documents with an exposure above Rs. 386 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.21.

KAP-321.2.12 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 321.3 Beneficial Ownership - Operating Rule Set 321.3

KAP-321.3.1 The Regional Credit Officer shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-321.3.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/161 and that compliance is certified every quarter.

KAP-321.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-321.3.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/296 and that compliance is certified every quarter.

KAP-321.3.5 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure A-7.

KAP-321.3.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-321.3.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-321.3.8 The Zonal Head shall review risk-rating files within 7 working days of receipt and record the outcome in the Case Management system.

KAP-321.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

Section 321.4 Beneficial Ownership - Operating Rule Set 321.4

KAP-321.4.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-321.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-321.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15

and be made available to the Board Audit Committee on request.

KAP-321.4.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-321.4.5 The Risk Management Department shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-321.4.6 The Audit Department shall review PEP screening results within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-321.4.7 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-321.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-321.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 321.5 Beneficial Ownership - Operating Rule Set 321.5

KAP-321.5.1 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-321.5.2 The Credit Committee shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-321.5.3 Cases involving video-KYC sessions with an exposure above Rs. 488 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.26.

KAP-321.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 115 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.14.

KAP-321.5.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 119 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.15.

KAP-321.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-321.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-321.5.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-321.5.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-321.5.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure E-2.

KAP-321.5.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

PART 27 - CHAPTER 322: RECORD KEEPING

Section 322.1 Record Keeping - Operating Rule Set 322.1

KAP-322.1.1 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/081 and that compliance is certified every quarter.

KAP-322.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-322.1.3 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-322.1.4 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure F-15.

KAP-322.1.5 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/256 and that compliance is certified every quarter.

KAP-322.1.6 The Zonal Head shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-322.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made

available to the regulator on request.

KAP-322.1.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-322.1.9 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-322.1.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/010 and that compliance is certified every quarter.

KAP-322.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 322.2 Record Keeping - Operating Rule Set 322.2

KAP-322.2.1 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-322.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-322.2.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-322.2.4 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-322.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-322.2.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-322.2.7 Cases involving cash transaction reports with an exposure above Rs. 259 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.21.

KAP-322.2.8 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-322.2.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-322.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 322.3 Record Keeping - Operating Rule Set 322.3

KAP-322.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-322.3.2 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure B-33.

KAP-322.3.3 The Risk Management Department shall review cash transaction reports within 12 working days of receipt and record the outcome in the Case Management system.

KAP-322.3.4 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-322.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-322.3.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/248 and that compliance is certified every quarter.

KAP-322.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-322.3.8 Cases involving account-opening forms with an exposure above Rs. 140 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.30.

KAP-322.3.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 322.4 Record Keeping - Operating Rule Set 322.4

KAP-322.4.1 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2022/076 and that compliance is certified every quarter.

KAP-322.4.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure C-36.

KAP-322.4.3 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-322.4.4 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-4.

KAP-322.4.5 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-322.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-322.4.7 Cases involving account-opening forms with an exposure above Rs. 63 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.26.

KAP-322.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 322.5 Record Keeping - Operating Rule Set 322.5

KAP-322.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-322.5.2 The Compliance Officer shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-322.5.3 The Risk Management Department shall review identity documents within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-322.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-322.5.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-322.5.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-322.5.7 The Risk Management Department shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Case Management system.

KAP-322.5.8 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-322.5.9 Cases involving identity documents with an exposure above Rs. 410 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.20.

KAP-322.5.10 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-322.5.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

PART 27 - CHAPTER 323: STAFF TRAINING

Section 323.1 Staff Training - Operating Rule Set 323.1

KAP-323.1.1 The Compliance Officer shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-323.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-323.1.3 The Regional Credit Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Case Management system.

KAP-323.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-323.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 116 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.12.

KAP-323.1.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by

the 7th day of the following month.

KAP-323.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-323.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-323.1.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/109 and that compliance is certified every quarter.

KAP-323.1.10 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/275 and that compliance is certified every quarter.

KAP-323.1.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-323.1.12 Cases involving address proofs with an exposure above Rs. 164 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.24.

Section 323.2 Staff Training - Operating Rule Set 323.2

KAP-323.2.1 The Audit Department shall review identity documents within 17 working days of receipt and record the outcome in the Document Management system.

KAP-323.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-323.2.3 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/226 and that compliance is certified every quarter.

KAP-323.2.4 Cases involving account-opening forms with an exposure above Rs. 431 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.8.

KAP-323.2.5 Cases involving risk-rating files with an exposure above Rs. 200 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.26.

KAP-323.2.6 The Branch Manager shall review risk-rating files within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-323.2.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/179 and that compliance is certified every quarter.

KAP-323.2.8 Cases involving risk-rating files with an exposure above Rs. 245 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.29.

KAP-323.2.9 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-323.2.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

Section 323.3 Staff Training - Operating Rule Set 323.3

KAP-323.3.1 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/104 and that compliance is certified every quarter.

KAP-323.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-323.3.3 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-323.3.4 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-323.3.5 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure E-8.

KAP-323.3.6 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-323.3.7 Cases involving PEP screening results with an exposure above Rs. 39 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.26.

KAP-323.3.8 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 323.4 Staff Training - Operating Rule Set 323.4

KAP-323.4.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-323.4.2 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/162 and that compliance is certified every quarter.

KAP-323.4.3 Cases involving cash transaction reports with an exposure above Rs. 47 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.21.

KAP-323.4.4 The Compliance Officer shall review cash transaction reports within 15 working days of receipt and record the outcome in the Case Management system.

KAP-323.4.5 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-323.4.6 The Compliance Officer shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-323.4.7 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure B-30.

KAP-323.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-323.4.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/212 and that compliance is certified every quarter.

PART 27 - CHAPTER 324: INDEPENDENT AUDIT

Section 324.1 Independent Audit - Operating Rule Set 324.1

KAP-324.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-324.1.2 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-324.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-324.1.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure H-3.

KAP-324.1.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure G-5.

KAP-324.1.6 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/252 and that compliance is certified every quarter.

KAP-324.1.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-324.1.8 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/225 and that compliance is certified every quarter.

KAP-324.1.9 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure A-34.

Section 324.2 Independent Audit - Operating Rule Set 324.2

KAP-324.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 15 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.16.

KAP-324.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 111 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.10.

KAP-324.2.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure H-31.

KAP-324.2.4 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-324.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-324.2.6 Cases involving cash transaction reports with an exposure above Rs. 235 lakh require prior written approval

from the Branch Manager; otherwise the case is an exception under Clause 17.30.

KAP-324.2.7 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-324.2.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure A-15.

KAP-324.2.9 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/182 and that compliance is certified every quarter.

KAP-324.2.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-324.2.11 The Risk Management Department shall review identity documents within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-324.2.12 The Branch Manager shall review PEP screening results within 22 working days of receipt and record the outcome in the Case Management system.

Section 324.3 Independent Audit - Operating Rule Set 324.3

KAP-324.3.1 The Regional Credit Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-324.3.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-36.

KAP-324.3.3 Cases involving PEP screening results with an exposure above Rs. 500 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.11.

KAP-324.3.4 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-324.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-324.3.6 Cases involving identity documents with an exposure above Rs. 229 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.5.

KAP-324.3.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-324.3.8 The Operations Head shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

Section 324.4 Independent Audit - Operating Rule Set 324.4

KAP-324.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-324.4.2 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/247 and that compliance is certified every quarter.

KAP-324.4.3 Cases involving cash transaction reports with an exposure above Rs. 188 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.6.

KAP-324.4.4 Cases involving video-KYC sessions with an exposure above Rs. 156 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.5.

KAP-324.4.5 The Risk Management Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-324.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-324.4.7 Cases involving video-KYC sessions with an exposure above Rs. 166 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.29.

KAP-324.4.8 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure C-40.

KAP-324.4.9 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

PART 28 - CHAPTER 325: CUSTOMER ACCEPTANCE

Section 325.1 Customer Acceptance - Operating Rule Set 325.1

KAP-325.1.1 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/275 and that compliance is certified every quarter.

KAP-325.1.2 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/131 and that compliance is certified every quarter.

KAP-325.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-325.1.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-325.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-325.1.6 The Zonal Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-325.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-325.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-325.1.9 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/175 and that compliance is certified every quarter.

KAP-325.1.10 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/146 and that compliance is certified every quarter.

KAP-325.1.11 Cases involving cash transaction reports with an exposure above Rs. 279 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.27.

Section 325.2 Customer Acceptance - Operating Rule Set 325.2

KAP-325.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-325.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-325.2.3 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-325.2.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-325.2.5 The Operations Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-325.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-325.2.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-325.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-325.2.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure D-15.

KAP-325.2.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-325.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 223 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.2.

KAP-325.2.12 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/293 and that compliance is certified every quarter.

KAP-325.2.13 The Credit Committee shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-325.2.14 Cases involving account-opening forms with an exposure above Rs. 47 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.20.

Section 325.3 Customer Acceptance - Operating Rule Set 325.3

KAP-325.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-325.3.2 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-325.3.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/044 and that compliance is certified every quarter.

KAP-325.3.4 In case of a request for exception, the Credit Committee must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure F-15.

KAP-325.3.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-24.

KAP-325.3.6 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-325.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-325.3.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure G-18.

KAP-325.3.9 The Risk Management Department shall review PEP screening results within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-325.3.10 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 325.4 Customer Acceptance - Operating Rule Set 325.4

KAP-325.4.1 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-325.4.2 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure D-17.

KAP-325.4.3 Cases involving account-opening forms with an exposure above Rs. 164 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.19.

KAP-325.4.4 The Regional Credit Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-325.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 134 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.1.

KAP-325.4.6 Cases involving cash transaction reports with an exposure above Rs. 27 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.8.

KAP-325.4.7 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure F-36.

KAP-325.4.8 The Risk Management Department shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Risk Engine system.

Section 325.5 Customer Acceptance - Operating Rule Set 325.5

KAP-325.5.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-325.5.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-325.5.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-9.

KAP-325.5.4 Cases involving PEP screening results with an exposure above Rs. 56 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.12.

KAP-325.5.5 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-325.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-325.5.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-325.5.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/044 and that compliance is certified every quarter.

KAP-325.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-325.5.10 Cases involving cash transaction reports with an exposure above Rs. 496 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.26.

Section 325.6 Customer Acceptance - Operating Rule Set 325.6

KAP-325.6.1 The Operations Head shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-325.6.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-325.6.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-325.6.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/294 and that compliance is certified every quarter.

KAP-325.6.5 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-39.

KAP-325.6.6 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure D-37.

KAP-325.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-325.6.8 Cases involving identity documents with an exposure above Rs. 40 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.2.

KAP-325.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

PART 28 - CHAPTER 326: CUSTOMER IDENTIFICATION

Section 326.1 Customer Identification - Operating Rule Set 326.1

KAP-326.1.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-326.1.2 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-326.1.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-326.1.4 Cases involving cash transaction reports with an exposure above Rs. 53 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.14.

KAP-326.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-326.1.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-326.1.7 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-326.1.8 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-326.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-326.1.10 The Branch Manager shall review risk-rating files within 16 working days of receipt and record the outcome in the Risk Engine system.

Section 326.2 Customer Identification - Operating Rule Set 326.2

KAP-326.2.1 Cases involving cash transaction reports with an exposure above Rs. 233 lakh require prior written approval

from the Zonal Head; otherwise the case is an exception under Clause 2.28.

KAP-326.2.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-326.2.3 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/185 and that compliance is certified every quarter.

KAP-326.2.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/040 and that compliance is certified every quarter.

KAP-326.2.5 The Branch Manager shall review cash transaction reports within 12 working days of receipt and record the outcome in the Case Management system.

KAP-326.2.6 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-326.2.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Document Management system.

KAP-326.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-326.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-326.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 326.3 Customer Identification - Operating Rule Set 326.3

KAP-326.3.1 The Zonal Head shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-326.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-326.3.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/051 and that compliance is certified every quarter.

KAP-326.3.4 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-326.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-326.3.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-326.3.7 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure F-12.

KAP-326.3.8 The Branch Manager shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Case Management system.

KAP-326.3.9 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-326.3.10 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

KAP-326.3.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

Section 326.4 Customer Identification - Operating Rule Set 326.4

KAP-326.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-326.4.2 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure H-3.

KAP-326.4.3 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-326.4.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-326.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-326.4.6 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-326.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-326.4.8 The Credit Committee shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-326.4.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/222 and that compliance is certified every quarter.

Section 326.5 Customer Identification - Operating Rule Set 326.5

KAP-326.5.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-326.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-326.5.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure A-38.

KAP-326.5.4 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-326.5.5 Cases involving video-KYC sessions with an exposure above Rs. 98 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.25.

KAP-326.5.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/002 and that compliance is certified every quarter.

KAP-326.5.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure D-12.

KAP-326.5.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-326.5.9 The Compliance Officer shall review account-opening forms within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-326.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-326.5.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

PART 28 - CHAPTER 327: CUSTOMER DUE DILIGENCE

Section 327.1 Customer Due Diligence - Operating Rule Set 327.1

KAP-327.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-327.1.2 Cases involving cash transaction reports with an exposure above Rs. 248 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.8.

KAP-327.1.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-327.1.4 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/098 and that compliance is certified every quarter.

KAP-327.1.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/235 and that compliance is certified every quarter.

KAP-327.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-327.1.7 Cases involving PEP screening results with an exposure above Rs. 242 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.21.

KAP-327.1.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-327.1.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure A-24.

KAP-327.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 327.2 Customer Due Diligence - Operating Rule Set 327.2

KAP-327.2.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-327.2.2 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-327.2.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-327.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-327.2.5 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-327.2.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-327.2.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/092 and that compliance is certified every quarter.

KAP-327.2.8 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-327.2.9 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-327.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-327.2.11 Cases involving PEP screening results with an exposure above Rs. 306 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.18.

Section 327.3 Customer Due Diligence - Operating Rule Set 327.3

KAP-327.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-327.3.2 The Operations Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-327.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-327.3.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-327.3.5 The Risk Management Department shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Case Management system.

KAP-327.3.6 Cases involving account-opening forms with an exposure above Rs. 160 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.18.

KAP-327.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-327.3.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure A-31.

KAP-327.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 389 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.15.

KAP-327.3.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure E-39.

KAP-327.3.11 Cases involving address proofs with an exposure above Rs. 89 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.2.

KAP-327.3.12 Cases involving address proofs with an exposure above Rs. 347 lakh require prior written approval from the

Risk Management Department; otherwise the case is an exception under Clause 2.11.

Section 327.4 Customer Due Diligence - Operating Rule Set 327.4

KAP-327.4.1 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-327.4.2 Cases involving identity documents with an exposure above Rs. 16 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.11.

KAP-327.4.3 The Branch Manager shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

KAP-327.4.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-327.4.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-327.4.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-327.4.7 Cases involving account-opening forms with an exposure above Rs. 400 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.24.

KAP-327.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-327.4.9 The Audit Department shall review risk-rating files within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-327.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-327.4.11 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure F-18.

Section 327.5 Customer Due Diligence - Operating Rule Set 327.5

KAP-327.5.1 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-327.5.2 Cases involving risk-rating files with an exposure above Rs. 468 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.19.

KAP-327.5.3 The Compliance Officer shall review address proofs within 30 working days of receipt and record the outcome in the Case Management system.

KAP-327.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-327.5.5 Cases involving video-KYC sessions with an exposure above Rs. 352 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.30.

KAP-327.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-327.5.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-327.5.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-327.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

Section 327.6 Customer Due Diligence - Operating Rule Set 327.6

KAP-327.6.1 Cases involving cash transaction reports with an exposure above Rs. 100 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.11.

KAP-327.6.2 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-327.6.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-327.6.4 The Credit Committee shall review address proofs within 8 working days of receipt and record the outcome in

the Document Management system.

KAP-327.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-327.6.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-327.6.7 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/032 and that compliance is certified every quarter.

KAP-327.6.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure B-36.

Section 327.7 Customer Due Diligence - Operating Rule Set 327.7

KAP-327.7.1 Cases involving correspondent-bank relationships with an exposure above Rs. 438 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.18.

KAP-327.7.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-327.7.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 247 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.19.

KAP-327.7.4 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-327.7.5 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-327.7.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure A-12.

KAP-327.7.7 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure B-2.

KAP-327.7.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

PART 28 - CHAPTER 328: ENHANCED DUE DILIGENCE

Section 328.1 Enhanced Due Diligence - Operating Rule Set 328.1

KAP-328.1.1 Cases involving address proofs with an exposure above Rs. 149 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.11.

KAP-328.1.2 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-328.1.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure E-16.

KAP-328.1.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-328.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-328.1.6 The Credit Committee shall review identity documents within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-328.1.7 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-328.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-328.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-328.1.10 Cases involving PEP screening results with an exposure above Rs. 362 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.9.

Section 328.2 Enhanced Due Diligence - Operating Rule Set 328.2

KAP-328.2.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure G-16.

KAP-328.2.2 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-328.2.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-328.2.4 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-328.2.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-328.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-328.2.7 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-328.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-328.2.9 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 328.3 Enhanced Due Diligence - Operating Rule Set 328.3

KAP-328.3.1 Cases involving address proofs with an exposure above Rs. 163 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.19.

KAP-328.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-328.3.3 Cases involving video-KYC sessions with an exposure above Rs. 426 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.8.

KAP-328.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-328.3.5 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-328.3.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/143 and that compliance is certified every quarter.

KAP-328.3.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure H-25.

KAP-328.3.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure E-18.

KAP-328.3.9 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-328.3.10 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 328.4 Enhanced Due Diligence - Operating Rule Set 328.4

KAP-328.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-328.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-328.4.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-328.4.4 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/293 and that compliance is certified every quarter.

KAP-328.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-328.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-328.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be

made available to statutory auditors on request.

KAP-328.4.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-328.4.9 The Risk Management Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-328.4.10 Cases involving correspondent-bank relationships with an exposure above Rs. 152 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.30.

Section 328.5 Enhanced Due Diligence - Operating Rule Set 328.5

KAP-328.5.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-328.5.2 The Zonal Head shall review PEP screening results within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-328.5.3 Cases involving account-opening forms with an exposure above Rs. 336 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.11.

KAP-328.5.4 The Risk Management Department shall review identity documents within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-328.5.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/213 and that compliance is certified every quarter.

KAP-328.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-328.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-328.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-328.5.9 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

PART 28 - CHAPTER 329: RISK CATEGORISATION

Section 329.1 Risk Categorisation - Operating Rule Set 329.1

KAP-329.1.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/118 and that compliance is certified every quarter.

KAP-329.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-329.1.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-329.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-329.1.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-329.1.6 The Compliance Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-329.1.7 Cases involving PEP screening results with an exposure above Rs. 290 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.15.

KAP-329.1.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/243 and that compliance is certified every quarter.

KAP-329.1.9 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-329.1.10 Cases involving identity documents with an exposure above Rs. 221 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.15.

Section 329.2 Risk Categorisation - Operating Rule Set 329.2

KAP-329.2.1 The Zonal Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-329.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-329.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 454 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.27.

KAP-329.2.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-329.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-329.2.6 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/205 and that compliance is certified every quarter.

KAP-329.2.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/277 and that compliance is certified every quarter.

KAP-329.2.8 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-329.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 329.3 Risk Categorisation - Operating Rule Set 329.3

KAP-329.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-329.3.2 The Compliance Officer shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Case Management system.

KAP-329.3.3 The Operations Head shall review identity documents within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-329.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-329.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 408 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.16.

KAP-329.3.6 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-329.3.7 Cases involving video-KYC sessions with an exposure above Rs. 162 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.7.

KAP-329.3.8 The Zonal Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-329.3.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-329.3.10 The Regional Credit Officer shall review identity documents within 24 working days of receipt and record the outcome in the Customer Relationship system.

Section 329.4 Risk Categorisation - Operating Rule Set 329.4

KAP-329.4.1 Cases involving account-opening forms with an exposure above Rs. 399 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.29.

KAP-329.4.2 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/109 and that compliance is certified every quarter.

KAP-329.4.3 The Zonal Head shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Document Management system.

KAP-329.4.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure C-13.

KAP-329.4.5 The Operations Head shall review account-opening forms within 8 working days of receipt and record the outcome in the Case Management system.

KAP-329.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-329.4.7 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2022/067 and that compliance is certified every quarter.

KAP-329.4.8 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/012 and that compliance is certified every quarter.

KAP-329.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 329.5 Risk Categorisation - Operating Rule Set 329.5

KAP-329.5.1 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/101 and that compliance is certified every quarter.

KAP-329.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-329.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-329.5.4 In case of a system outage, the Audit Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure F-28.

KAP-329.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-329.5.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure F-19.

KAP-329.5.7 The Compliance Officer shall review address proofs within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-329.5.8 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/167 and that compliance is certified every quarter.

KAP-329.5.9 Cases involving correspondent-bank relationships with an exposure above Rs. 248 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.21.

KAP-329.5.10 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-329.5.11 The Zonal Head shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

Section 329.6 Risk Categorisation - Operating Rule Set 329.6

KAP-329.6.1 Cases involving beneficial-owner declarations with an exposure above Rs. 480 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.10.

KAP-329.6.2 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-329.6.3 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure B-34.

KAP-329.6.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/085 and that compliance is certified every quarter.

KAP-329.6.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-329.6.6 Cases involving beneficial-owner declarations with an exposure above Rs. 266 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.11.

KAP-329.6.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-329.6.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-329.6.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-329.6.10 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure G-39.

KAP-329.6.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

PART 28 - CHAPTER 330: TRANSACTION MONITORING

Section 330.1 Transaction Monitoring - Operating Rule Set 330.1

KAP-330.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 96 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.27.

KAP-330.1.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/126 and that compliance is certified every quarter.

KAP-330.1.3 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/107 and that compliance is certified every quarter.

KAP-330.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-330.1.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-330.1.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure F-27.

KAP-330.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-330.1.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure F-4.

KAP-330.1.9 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure H-26.

Section 330.2 Transaction Monitoring - Operating Rule Set 330.2

KAP-330.2.1 Cases involving risk-rating files with an exposure above Rs. 206 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.5.

KAP-330.2.2 Cases involving PEP screening results with an exposure above Rs. 102 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.27.

KAP-330.2.3 The Operations Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-330.2.4 Cases involving account-opening forms with an exposure above Rs. 322 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.30.

KAP-330.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 86 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.16.

KAP-330.2.6 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/176 and that compliance is certified every quarter.

KAP-330.2.7 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-30.

KAP-330.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 330.3 Transaction Monitoring - Operating Rule Set 330.3

KAP-330.3.1 The Zonal Head shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-330.3.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-330.3.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-330.3.4 The Compliance Officer shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-330.3.5 Cases involving address proofs with an exposure above Rs. 102 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.11.

KAP-330.3.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-330.3.7 Cases involving address proofs with an exposure above Rs. 143 lakh require prior written approval from the

Zonal Head; otherwise the case is an exception under Clause 10.27.

KAP-330.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 330.4 Transaction Monitoring - Operating Rule Set 330.4

KAP-330.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-330.4.2 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-330.4.3 The Credit Committee shall review address proofs within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-330.4.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/010 and that compliance is certified every quarter.

KAP-330.4.5 The Risk Management Department shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-330.4.6 The Operations Head shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-330.4.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure C-38.

KAP-330.4.8 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-330.4.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure D-7.

KAP-330.4.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-330.4.11 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/247 and that compliance is certified every quarter.

KAP-330.4.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-330.4.13 The Risk Management Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Risk Engine system.

Section 330.5 Transaction Monitoring - Operating Rule Set 330.5

KAP-330.5.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-330.5.2 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-330.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-330.5.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure C-32.

KAP-330.5.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-330.5.6 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-330.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-330.5.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure B-22.

KAP-330.5.9 Cases involving PEP screening results with an exposure above Rs. 181 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.27.

KAP-330.5.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

Section 330.6 Transaction Monitoring - Operating Rule Set 330.6

KAP-330.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-330.6.2 The Compliance Officer shall review PEP screening results within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-330.6.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/280 and that compliance is certified every quarter.

KAP-330.6.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-330.6.5 Cases involving beneficial-owner declarations with an exposure above Rs. 409 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.11.

KAP-330.6.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-330.6.7 The Credit Committee shall review risk-rating files within 13 working days of receipt and record the outcome in the Case Management system.

KAP-330.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-330.6.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 290 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.1.

PART 28 - CHAPTER 331: SUSPICIOUS TRANSACTION REPORTING

Section 331.1 Suspicious Transaction Reporting - Operating Rule Set 331.1

KAP-331.1.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-331.1.2 Cases involving cash transaction reports with an exposure above Rs. 471 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.3.

KAP-331.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-331.1.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure D-27.

KAP-331.1.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-331.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 134 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.21.

KAP-331.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-331.1.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

Section 331.2 Suspicious Transaction Reporting - Operating Rule Set 331.2

KAP-331.2.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/057 and that compliance is certified every quarter.

KAP-331.2.2 The Compliance Officer shall review PEP screening results within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-331.2.3 Cases involving address proofs with an exposure above Rs. 282 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.30.

KAP-331.2.4 The Regional Credit Officer shall review address proofs within 13 working days of receipt and record the outcome in the Case Management system.

KAP-331.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-331.2.6 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.21.

KAP-331.2.7 Cases involving cash transaction reports with an exposure above Rs. 477 lakh require prior written approval

from the Audit Department; otherwise the case is an exception under Clause 14.24.

KAP-331.2.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

Section 331.3 Suspicious Transaction Reporting - Operating Rule Set 331.3

KAP-331.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-331.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-331.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-331.3.4 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure H-12.

KAP-331.3.5 Cases involving risk-rating files with an exposure above Rs. 182 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.14.

KAP-331.3.6 The Operations Head shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-331.3.7 The Audit Department shall review address proofs within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-331.3.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure C-34.

Section 331.4 Suspicious Transaction Reporting - Operating Rule Set 331.4

KAP-331.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-331.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-331.4.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure A-25.

KAP-331.4.4 The Branch Manager shall review identity documents within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-331.4.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-331.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-331.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-331.4.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/132 and that compliance is certified every quarter.

KAP-331.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-331.4.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-331.4.11 The Compliance Officer shall review account-opening forms within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-331.4.12 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure A-7.

Section 331.5 Suspicious Transaction Reporting - Operating Rule Set 331.5

KAP-331.5.1 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure E-19.

KAP-331.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-331.5.3 The Compliance Officer shall review alerts generated by the monitoring system within 2 working days of receipt

and record the outcome in the Core Banking system.

KAP-331.5.4 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-331.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-331.5.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure E-5.

KAP-331.5.7 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-331.5.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-331.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-331.5.10 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Customer Relationship system.

PART 28 - CHAPTER 332: POLITICALLY EXPOSED PERSONS

Section 332.1 Politically Exposed Persons - Operating Rule Set 332.1

KAP-332.1.1 The Audit Department shall review address proofs within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-332.1.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure F-34.

KAP-332.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 141 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.23.

KAP-332.1.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/186 and that compliance is certified every quarter.

KAP-332.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-332.1.6 The Regional Credit Officer shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Document Management system.

KAP-332.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-332.1.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-332.1.9 The Branch Manager shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

Section 332.2 Politically Exposed Persons - Operating Rule Set 332.2

KAP-332.2.1 Cases involving identity documents with an exposure above Rs. 478 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.28.

KAP-332.2.2 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-332.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-332.2.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/227 and that compliance is certified every quarter.

KAP-332.2.5 Cases involving identity documents with an exposure above Rs. 289 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.12.

KAP-332.2.6 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure H-25.

KAP-332.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-332.2.8 Cases involving video-KYC sessions with an exposure above Rs. 486 lakh require prior written approval from

the Operations Head; otherwise the case is an exception under Clause 4.11.

KAP-332.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-332.2.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 332.3 Politically Exposed Persons - Operating Rule Set 332.3

KAP-332.3.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-332.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-332.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-332.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-332.3.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-332.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-332.3.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure G-22.

KAP-332.3.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-332.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-332.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

Section 332.4 Politically Exposed Persons - Operating Rule Set 332.4

KAP-332.4.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/141 and that compliance is certified every quarter.

KAP-332.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure C-11.

KAP-332.4.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure D-8.

KAP-332.4.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure B-21.

KAP-332.4.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/050 and that compliance is certified every quarter.

KAP-332.4.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-332.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-332.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-332.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-332.4.10 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/222 and that compliance is certified every quarter.

KAP-332.4.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure C-22.

Section 332.5 Politically Exposed Persons - Operating Rule Set 332.5

KAP-332.5.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on

the procedures in Circular KAP/2021/162 and that compliance is certified every quarter.

KAP-332.5.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-332.5.3 Cases involving PEP screening results with an exposure above Rs. 350 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.30.

KAP-332.5.4 Cases involving cash transaction reports with an exposure above Rs. 325 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.16.

KAP-332.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-332.5.6 The Branch Manager shall review PEP screening results within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-332.5.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure C-17.

KAP-332.5.8 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-332.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-332.5.10 Cases involving identity documents with an exposure above Rs. 491 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.27.

Section 332.6 Politically Exposed Persons - Operating Rule Set 332.6

KAP-332.6.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-332.6.2 The Audit Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Document Management system.

KAP-332.6.3 Cases involving account-opening forms with an exposure above Rs. 183 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.7.

KAP-332.6.4 The Compliance Officer shall review account-opening forms within 27 working days of receipt and record the outcome in the Document Management system.

KAP-332.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-332.6.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-332.6.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-332.6.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-332.6.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure F-40.

PART 28 - CHAPTER 333: BENEFICIAL OWNERSHIP

Section 333.1 Beneficial Ownership - Operating Rule Set 333.1

KAP-333.1.1 The Credit Committee shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-333.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-333.1.3 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-333.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 298 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.19.

KAP-333.1.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure C-4.

KAP-333.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be

made available to internal auditors on request.

KAP-333.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-333.1.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-333.1.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure E-40.

Section 333.2 Beneficial Ownership - Operating Rule Set 333.2

KAP-333.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-333.2.2 Cases involving identity documents with an exposure above Rs. 448 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.12.

KAP-333.2.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-333.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-333.2.5 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-333.2.6 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/090 and that compliance is certified every quarter.

KAP-333.2.7 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/298 and that compliance is certified every quarter.

KAP-333.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-333.2.9 The Compliance Officer shall review cash transaction reports within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-333.2.10 The Zonal Head shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Risk Engine system.

Section 333.3 Beneficial Ownership - Operating Rule Set 333.3

KAP-333.3.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/043 and that compliance is certified every quarter.

KAP-333.3.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/250 and that compliance is certified every quarter.

KAP-333.3.3 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-333.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-333.3.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/016 and that compliance is certified every quarter.

KAP-333.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-333.3.7 The Compliance Officer shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-333.3.8 The Risk Management Department shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-333.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-333.3.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 333.4 Beneficial Ownership - Operating Rule Set 333.4

KAP-333.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations

Head by the 4th day of the following month.

KAP-333.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-333.4.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-333.4.4 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-333.4.5 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure H-26.

KAP-333.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-333.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-333.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-333.4.9 The Credit Committee shall review identity documents within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-333.4.10 The Zonal Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Risk Engine system.

Section 333.5 Beneficial Ownership - Operating Rule Set 333.5

KAP-333.5.1 The Operations Head shall review cash transaction reports within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-333.5.2 The Audit Department shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-333.5.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-333.5.4 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/139 and that compliance is certified every quarter.

KAP-333.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-333.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 92 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.15.

KAP-333.5.7 The Regional Credit Officer shall review account-opening forms within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-333.5.8 Cases involving account-opening forms with an exposure above Rs. 176 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.4.

KAP-333.5.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-333.5.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-333.5.11 Cases involving beneficial-owner declarations with an exposure above Rs. 73 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.5.

PART 28 - CHAPTER 334: RECORD KEEPING

Section 334.1 Record Keeping - Operating Rule Set 334.1

KAP-334.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-334.1.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/026 and that compliance is certified every quarter.

KAP-334.1.3 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure B-24.

KAP-334.1.4 Cases involving account-opening forms with an exposure above Rs. 56 lakh require prior written approval from

the Audit Department; otherwise the case is an exception under Clause 16.30.

KAP-334.1.5 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-334.1.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-334.1.7 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-334.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 355 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.16.

KAP-334.1.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 334.2 Record Keeping - Operating Rule Set 334.2

KAP-334.2.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/241 and that compliance is certified every quarter.

KAP-334.2.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/081 and that compliance is certified every quarter.

KAP-334.2.3 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-334.2.4 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-334.2.5 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/188 and that compliance is certified every quarter.

KAP-334.2.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-334.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-334.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-334.2.9 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 334.3 Record Keeping - Operating Rule Set 334.3

KAP-334.3.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure A-26.

KAP-334.3.2 The Credit Committee shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-334.3.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/129 and that compliance is certified every quarter.

KAP-334.3.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-334.3.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-334.3.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/240 and that compliance is certified every quarter.

KAP-334.3.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-26.

KAP-334.3.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/073 and that compliance is certified every quarter.

KAP-334.3.9 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/031 and that compliance is certified every quarter.

KAP-334.3.10 The Audit Department shall review account-opening forms within 26 working days of receipt and record the outcome in the Case Management system.

Section 334.4 Record Keeping - Operating Rule Set 334.4

KAP-334.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-334.4.2 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure A-40.

KAP-334.4.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure B-28.

KAP-334.4.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/012 and that compliance is certified every quarter.

KAP-334.4.5 The Credit Committee shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-334.4.6 The Compliance Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-334.4.7 Cases involving risk-rating files with an exposure above Rs. 123 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.25.

KAP-334.4.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/187 and that compliance is certified every quarter.

KAP-334.4.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-334.4.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure F-27.

KAP-334.4.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

Section 334.5 Record Keeping - Operating Rule Set 334.5

KAP-334.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 485 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.15.

KAP-334.5.2 The Operations Head shall review account-opening forms within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-334.5.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-334.5.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure D-31.

KAP-334.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-334.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 213 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.3.

KAP-334.5.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-334.5.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/057 and that compliance is certified every quarter.

KAP-334.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-334.5.10 Cases involving account-opening forms with an exposure above Rs. 123 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.9.

KAP-334.5.11 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure A-5.

PART 28 - CHAPTER 335: STAFF TRAINING

Section 335.1 Staff Training - Operating Rule Set 335.1

KAP-335.1.1 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-335.1.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch

Manager within 30 working days, with the supporting documents listed in Annexure H-10.

KAP-335.1.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/211 and that compliance is certified every quarter.

KAP-335.1.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-335.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-335.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-335.1.7 The Operations Head shall review PEP screening results within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-335.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-335.1.9 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 335.2 Staff Training - Operating Rule Set 335.2

KAP-335.2.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure D-34.

KAP-335.2.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/155 and that compliance is certified every quarter.

KAP-335.2.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-335.2.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-335.2.5 Cases involving address proofs with an exposure above Rs. 141 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.16.

KAP-335.2.6 The Compliance Officer shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-335.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-335.2.8 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/021 and that compliance is certified every quarter.

KAP-335.2.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-335.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 335.3 Staff Training - Operating Rule Set 335.3

KAP-335.3.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure A-10.

KAP-335.3.2 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-335.3.3 The Compliance Officer shall review risk-rating files within 2 working days of receipt and record the outcome in the Document Management system.

KAP-335.3.4 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure A-21.

KAP-335.3.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/227 and that compliance is certified every quarter.

KAP-335.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-335.3.7 The Operations Head shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Document Management system.

KAP-335.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-335.3.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-335.3.10 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-335.3.11 Cases involving PEP screening results with an exposure above Rs. 225 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.14.

KAP-335.3.12 The Credit Committee shall review identity documents within 10 working days of receipt and record the outcome in the Document Management system.

Section 335.4 Staff Training - Operating Rule Set 335.4

KAP-335.4.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-335.4.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/179 and that compliance is certified every quarter.

KAP-335.4.3 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

KAP-335.4.4 Cases involving identity documents with an exposure above Rs. 394 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.3.

KAP-335.4.5 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-335.4.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-335.4.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-335.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 421 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.1.

KAP-335.4.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure A-17.

KAP-335.4.10 The Operations Head shall review address proofs within 15 working days of receipt and record the outcome in the Case Management system.

KAP-335.4.11 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure A-17.

Section 335.5 Staff Training - Operating Rule Set 335.5

KAP-335.5.1 The Credit Committee shall review risk-rating files within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-335.5.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-335.5.3 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure C-37.

KAP-335.5.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure B-19.

KAP-335.5.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure F-13.

KAP-335.5.6 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-335.5.7 Cases involving account-opening forms with an exposure above Rs. 194 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.1.

KAP-335.5.8 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-335.5.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after

giving the customer 21 days written notice.

KAP-335.5.10 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/174 and that compliance is certified every quarter.

Section 335.6 Staff Training - Operating Rule Set 335.6

KAP-335.6.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-335.6.2 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/291 and that compliance is certified every quarter.

KAP-335.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-335.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-335.6.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-335.6.6 The Operations Head shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-335.6.7 Cases involving identity documents with an exposure above Rs. 52 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.1.

KAP-335.6.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure F-5.

KAP-335.6.9 The Compliance Officer shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-335.6.10 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

PART 28 - CHAPTER 336: INDEPENDENT AUDIT

Section 336.1 Independent Audit - Operating Rule Set 336.1

KAP-336.1.1 Cases involving address proofs with an exposure above Rs. 142 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.23.

KAP-336.1.2 Cases involving PEP screening results with an exposure above Rs. 11 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.7.

KAP-336.1.3 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-336.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-336.1.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/139 and that compliance is certified every quarter.

KAP-336.1.6 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

KAP-336.1.7 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-336.1.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-336.1.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/204 and that compliance is certified every quarter.

KAP-336.1.10 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure F-5.

Section 336.2 Independent Audit - Operating Rule Set 336.2

KAP-336.2.1 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/092 and that compliance is certified every quarter.

KAP-336.2.2 Cases involving address proofs with an exposure above Rs. 248 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.12.

KAP-336.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-336.2.4 The Compliance Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-336.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-336.2.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-336.2.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-336.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-336.2.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure F-29.

KAP-336.2.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure A-1.

KAP-336.2.11 The Regional Credit Officer shall review identity documents within 18 working days of receipt and record the outcome in the Document Management system.

Section 336.3 Independent Audit - Operating Rule Set 336.3

KAP-336.3.1 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure F-29.

KAP-336.3.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-336.3.3 Cases involving correspondent-bank relationships with an exposure above Rs. 307 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.3.

KAP-336.3.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/133 and that compliance is certified every quarter.

KAP-336.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-336.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-336.3.7 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-336.3.8 Cases involving address proofs with an exposure above Rs. 190 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.8.

KAP-336.3.9 The Branch Manager shall review account-opening forms within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-336.3.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

Section 336.4 Independent Audit - Operating Rule Set 336.4

KAP-336.4.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/119 and that compliance is certified every quarter.

KAP-336.4.2 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-336.4.3 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-336.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-336.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-336.4.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2023/192 and that compliance is certified every quarter.

KAP-336.4.7 The Compliance Officer shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-336.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-336.4.9 The Operations Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Case Management system.

KAP-336.4.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure D-40.

Section 336.5 Independent Audit - Operating Rule Set 336.5

KAP-336.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-336.5.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-25.

KAP-336.5.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure F-30.

KAP-336.5.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-336.5.5 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/078 and that compliance is certified every quarter.

KAP-336.5.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/095 and that compliance is certified every quarter.

KAP-336.5.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-336.5.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-336.5.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure C-3.

KAP-336.5.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-336.5.11 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/218 and that compliance is certified every quarter.

PART 29 - CHAPTER 337: CUSTOMER ACCEPTANCE

Section 337.1 Customer Acceptance - Operating Rule Set 337.1

KAP-337.1.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-337.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-337.1.3 The Credit Committee shall review account-opening forms within 23 working days of receipt and record the outcome in the Document Management system.

KAP-337.1.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-337.1.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-337.1.6 Cases involving PEP screening results with an exposure above Rs. 398 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.10.

KAP-337.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 285 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.17.

KAP-337.1.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-337.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch

Manager by the 8th day of the following month.

KAP-337.1.10 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 337.2 Customer Acceptance - Operating Rule Set 337.2

KAP-337.2.1 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure G-24.

KAP-337.2.2 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-337.2.3 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-337.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-337.2.5 Cases involving address proofs with an exposure above Rs. 387 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.23.

KAP-337.2.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure D-18.

KAP-337.2.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure C-1.

KAP-337.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-337.2.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/241 and that compliance is certified every quarter.

KAP-337.2.10 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 337.3 Customer Acceptance - Operating Rule Set 337.3

KAP-337.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-337.3.2 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure H-34.

KAP-337.3.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/258 and that compliance is certified every quarter.

KAP-337.3.4 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-337.3.5 Cases involving account-opening forms with an exposure above Rs. 130 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.8.

KAP-337.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-337.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-337.3.8 The Risk Management Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-337.3.9 The Risk Management Department shall review identity documents within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-337.3.10 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure F-19.

Section 337.4 Customer Acceptance - Operating Rule Set 337.4

KAP-337.4.1 The Operations Head shall review cash transaction reports within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-337.4.2 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/034 and that compliance is certified every quarter.

KAP-337.4.3 The Compliance Officer shall review video-KYC sessions within 14 working days of receipt and record the

outcome in the Core Banking system.

KAP-337.4.4 Cases involving cash transaction reports with an exposure above Rs. 407 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.23.

KAP-337.4.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-337.4.6 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/096 and that compliance is certified every quarter.

KAP-337.4.7 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-337.4.8 The Regional Credit Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-337.4.9 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Core Banking system.

Section 337.5 Customer Acceptance - Operating Rule Set 337.5

KAP-337.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-337.5.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/060 and that compliance is certified every quarter.

KAP-337.5.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure B-21.

KAP-337.5.4 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure A-27.

KAP-337.5.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/170 and that compliance is certified every quarter.

KAP-337.5.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-337.5.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-337.5.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure A-33.

KAP-337.5.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/196 and that compliance is certified every quarter.

KAP-337.5.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 23 days written notice.

Section 337.6 Customer Acceptance - Operating Rule Set 337.6

KAP-337.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-337.6.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-337.6.3 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-337.6.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure G-6.

KAP-337.6.5 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure G-36.

KAP-337.6.6 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/173 and that compliance is certified every quarter.

KAP-337.6.7 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-337.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-337.6.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-337.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

PART 29 - CHAPTER 338: CUSTOMER IDENTIFICATION

Section 338.1 Customer Identification - Operating Rule Set 338.1

KAP-338.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 344 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.16.

KAP-338.1.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-338.1.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure H-25.

KAP-338.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-338.1.5 The Credit Committee shall review identity documents within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-338.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-338.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-338.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-338.1.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure D-29.

KAP-338.1.10 The Risk Management Department shall review account-opening forms within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-338.1.11 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-338.1.12 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 338.2 Customer Identification - Operating Rule Set 338.2

KAP-338.2.1 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-338.2.2 Cases involving cash transaction reports with an exposure above Rs. 43 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.6.

KAP-338.2.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/167 and that compliance is certified every quarter.

KAP-338.2.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure H-9.

KAP-338.2.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-338.2.6 The Audit Department shall review identity documents within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-338.2.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-338.2.8 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/249 and that compliance is certified every quarter.

Section 338.3 Customer Identification - Operating Rule Set 338.3

KAP-338.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-338.3.2 Cases involving PEP screening results with an exposure above Rs. 203 lakh require prior written approval from

the Operations Head; otherwise the case is an exception under Clause 14.4.

KAP-338.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-338.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-338.3.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-338.3.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure E-6.

KAP-338.3.7 The Risk Management Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Document Management system.

KAP-338.3.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-338.3.9 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure E-36.

Section 338.4 Customer Identification - Operating Rule Set 338.4

KAP-338.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-338.4.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/282 and that compliance is certified every quarter.

KAP-338.4.3 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-338.4.4 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure E-3.

KAP-338.4.5 Cases involving identity documents with an exposure above Rs. 232 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.9.

KAP-338.4.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/185 and that compliance is certified every quarter.

KAP-338.4.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-338.4.8 The Regional Credit Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Core Banking system.

Section 338.5 Customer Identification - Operating Rule Set 338.5

KAP-338.5.1 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/035 and that compliance is certified every quarter.

KAP-338.5.2 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-338.5.3 Cases involving risk-rating files with an exposure above Rs. 361 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.30.

KAP-338.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-338.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-338.5.6 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-338.5.7 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/202 and that compliance is certified every quarter.

KAP-338.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-338.5.9 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-338.5.10 The Zonal Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-338.5.11 Cases involving address proofs with an exposure above Rs. 497 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.18.

Section 338.6 Customer Identification - Operating Rule Set 338.6

KAP-338.6.1 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/006 and that compliance is certified every quarter.

KAP-338.6.2 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-338.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-338.6.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-338.6.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-338.6.6 Cases involving risk-rating files with an exposure above Rs. 49 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.10.

KAP-338.6.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/004 and that compliance is certified every quarter.

KAP-338.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-338.6.9 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-338.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

PART 29 - CHAPTER 339: CUSTOMER DUE DILIGENCE

Section 339.1 Customer Due Diligence - Operating Rule Set 339.1

KAP-339.1.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure E-15.

KAP-339.1.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-339.1.3 In case of a system outage, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-36.

KAP-339.1.4 The Regional Credit Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-339.1.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/063 and that compliance is certified every quarter.

KAP-339.1.6 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-339.1.7 The Regional Credit Officer shall review account-opening forms within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-339.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-339.1.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-339.1.10 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-339.1.11 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-339.1.12 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-339.1.13 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-339.1.14 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure A-5.

Section 339.2 Customer Due Diligence - Operating Rule Set 339.2

KAP-339.2.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-339.2.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure G-37.

KAP-339.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-339.2.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-21.

KAP-339.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 30 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.25.

KAP-339.2.6 Cases involving address proofs with an exposure above Rs. 53 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.19.

KAP-339.2.7 Cases involving risk-rating files with an exposure above Rs. 177 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.1.

KAP-339.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-339.2.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/074 and that compliance is certified every quarter.

KAP-339.2.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/251 and that compliance is certified every quarter.

KAP-339.2.11 The Compliance Officer shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-339.2.12 Cases involving identity documents with an exposure above Rs. 443 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.18.

Section 339.3 Customer Due Diligence - Operating Rule Set 339.3

KAP-339.3.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/083 and that compliance is certified every quarter.

KAP-339.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 258 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.22.

KAP-339.3.3 The Compliance Officer shall review address proofs within 18 working days of receipt and record the outcome in the Case Management system.

KAP-339.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-339.3.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-339.3.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/050 and that compliance is certified every quarter.

KAP-339.3.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-339.3.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure G-25.

KAP-339.3.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

Section 339.4 Customer Due Diligence - Operating Rule Set 339.4

KAP-339.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-339.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure A-4.

KAP-339.4.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/006 and that compliance is certified every quarter.

KAP-339.4.4 The Regional Credit Officer shall review address proofs within 19 working days of receipt and record the outcome in the Case Management system.

KAP-339.4.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-339.4.6 The Credit Committee shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-339.4.7 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-339.4.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-339.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 155 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.16.

KAP-339.4.10 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-339.4.11 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/109 and that compliance is certified every quarter.

KAP-339.4.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 339.5 Customer Due Diligence - Operating Rule Set 339.5

KAP-339.5.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/164 and that compliance is certified every quarter.

KAP-339.5.2 In case of a system outage, the Operations Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure B-14.

KAP-339.5.3 For NRI customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-339.5.4 Cases involving PEP screening results with an exposure above Rs. 187 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.6.

KAP-339.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-339.5.6 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-339.5.7 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-339.5.8 Cases involving risk-rating files with an exposure above Rs. 440 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.7.

KAP-339.5.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure A-16.

KAP-339.5.10 The Compliance Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-339.5.11 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 16 days written notice.

PART 29 - CHAPTER 340: ENHANCED DUE DILIGENCE

Section 340.1 Enhanced Due Diligence - Operating Rule Set 340.1

KAP-340.1.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure F-30.

KAP-340.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-340.1.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-340.1.4 Cases involving risk-rating files with an exposure above Rs. 353 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.11.

KAP-340.1.5 The Credit Committee shall review risk-rating files within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-340.1.6 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-340.1.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/022 and that compliance is certified every quarter.

KAP-340.1.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure A-10.

Section 340.2 Enhanced Due Diligence - Operating Rule Set 340.2

KAP-340.2.1 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-340.2.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/275 and that compliance is certified every quarter.

KAP-340.2.3 Cases involving account-opening forms with an exposure above Rs. 340 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.6.

KAP-340.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-340.2.5 Cases involving risk-rating files with an exposure above Rs. 20 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.3.

KAP-340.2.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure D-21.

KAP-340.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-340.2.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/297 and that compliance is certified every quarter.

KAP-340.2.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/013 and that compliance is certified every quarter.

Section 340.3 Enhanced Due Diligence - Operating Rule Set 340.3

KAP-340.3.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure A-13.

KAP-340.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-340.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-340.3.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-340.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-340.3.6 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-340.3.7 Cases involving video-KYC sessions with an exposure above Rs. 365 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.6.

KAP-340.3.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-340.3.9 The Regional Credit Officer shall review identity documents within 23 working days of receipt and record the outcome in the Case Management system.

KAP-340.3.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after

giving the customer 20 days written notice.

KAP-340.3.11 The Compliance Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-340.3.12 Cases involving risk-rating files with an exposure above Rs. 487 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.5.

Section 340.4 Enhanced Due Diligence - Operating Rule Set 340.4

KAP-340.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 268 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.5.

KAP-340.4.2 Cases involving identity documents with an exposure above Rs. 108 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.20.

KAP-340.4.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-340.4.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/128 and that compliance is certified every quarter.

KAP-340.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 87 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.13.

KAP-340.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-340.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-340.4.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure C-15.

Section 340.5 Enhanced Due Diligence - Operating Rule Set 340.5

KAP-340.5.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure G-28.

KAP-340.5.2 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-340.5.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/275 and that compliance is certified every quarter.

KAP-340.5.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-27.

KAP-340.5.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/191 and that compliance is certified every quarter.

KAP-340.5.6 The Operations Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-340.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-340.5.8 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-340.5.9 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-340.5.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure H-4.

PART 29 - CHAPTER 341: RISK CATEGORISATION

Section 341.1 Risk Categorisation - Operating Rule Set 341.1

KAP-341.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-341.1.2 Cases involving risk-rating files with an exposure above Rs. 156 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.11.

KAP-341.1.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-341.1.4 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/245 and that compliance is certified every quarter.

KAP-341.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-341.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-341.1.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure H-13.

KAP-341.1.8 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-341.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-341.1.10 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/160 and that compliance is certified every quarter.

KAP-341.1.11 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-341.1.12 Cases involving address proofs with an exposure above Rs. 422 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.13.

KAP-341.1.13 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

Section 341.2 Risk Categorisation - Operating Rule Set 341.2

KAP-341.2.1 The Credit Committee shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-341.2.2 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-341.2.3 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-341.2.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure D-31.

KAP-341.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-341.2.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-341.2.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-341.2.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-341.2.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure H-21.

Section 341.3 Risk Categorisation - Operating Rule Set 341.3

KAP-341.3.1 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-341.3.2 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-341.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 33 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.18.

KAP-341.3.4 Cases involving account-opening forms with an exposure above Rs. 413 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.28.

KAP-341.3.5 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-341.3.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving

the customer 14 days written notice.

KAP-341.3.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-341.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 476 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.26.

KAP-341.3.9 The Regional Credit Officer shall review PEP screening results within 3 working days of receipt and record the outcome in the Document Management system.

Section 341.4 Risk Categorisation - Operating Rule Set 341.4

KAP-341.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-341.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-341.4.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/259 and that compliance is certified every quarter.

KAP-341.4.4 Cases involving risk-rating files with an exposure above Rs. 271 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.3.

KAP-341.4.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/043 and that compliance is certified every quarter.

KAP-341.4.6 Cases involving cash transaction reports with an exposure above Rs. 349 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.13.

KAP-341.4.7 The Credit Committee shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-341.4.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/132 and that compliance is certified every quarter.

KAP-341.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 341.5 Risk Categorisation - Operating Rule Set 341.5

KAP-341.5.1 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-341.5.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-341.5.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-341.5.4 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-341.5.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-341.5.6 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/161 and that compliance is certified every quarter.

KAP-341.5.7 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-341.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-341.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-341.5.10 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 341.6 Risk Categorisation - Operating Rule Set 341.6

KAP-341.6.1 The Credit Committee shall review PEP screening results within 4 working days of receipt and record the outcome in the Case Management system.

KAP-341.6.2 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a

tolerance of 2% as approved by the Board.

KAP-341.6.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-341.6.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-341.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-341.6.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-341.6.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-341.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-341.6.9 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure D-4.

KAP-341.6.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-341.6.11 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/076 and that compliance is certified every quarter.

Section 341.7 Risk Categorisation - Operating Rule Set 341.7

KAP-341.7.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-341.7.2 The Credit Committee shall review PEP screening results within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-341.7.3 Cases involving address proofs with an exposure above Rs. 307 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.21.

KAP-341.7.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-341.7.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-341.7.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure F-8.

KAP-341.7.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/211 and that compliance is certified every quarter.

KAP-341.7.8 Cases involving beneficial-owner declarations with an exposure above Rs. 240 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.5.

PART 29 - CHAPTER 342: TRANSACTION MONITORING

Section 342.1 Transaction Monitoring - Operating Rule Set 342.1

KAP-342.1.1 The Compliance Officer shall review risk-rating files within 9 working days of receipt and record the outcome in the Document Management system.

KAP-342.1.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure D-11.

KAP-342.1.3 Cases involving identity documents with an exposure above Rs. 477 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.13.

KAP-342.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-342.1.5 The Risk Management Department shall review PEP screening results within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-342.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-342.1.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based

method, with a tolerance of 2% as approved by the Board.

KAP-342.1.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure C-3.

KAP-342.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-342.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 342.2 Transaction Monitoring - Operating Rule Set 342.2

KAP-342.2.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure C-40.

KAP-342.2.2 Cases involving PEP screening results with an exposure above Rs. 75 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.10.

KAP-342.2.3 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-342.2.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/190 and that compliance is certified every quarter.

KAP-342.2.5 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-342.2.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/258 and that compliance is certified every quarter.

KAP-342.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-342.2.8 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure A-1.

KAP-342.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 342.3 Transaction Monitoring - Operating Rule Set 342.3

KAP-342.3.1 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure D-3.

KAP-342.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-342.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-342.3.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-342.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-342.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-342.3.7 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-342.3.8 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure D-33.

KAP-342.3.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-342.3.10 The Regional Credit Officer shall review cash transaction reports within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-342.3.11 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-342.3.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-342.3.13 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 342.4 Transaction Monitoring - Operating Rule Set 342.4

KAP-342.4.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure H-32.

KAP-342.4.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-342.4.3 Cases involving cash transaction reports with an exposure above Rs. 272 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.26.

KAP-342.4.4 The Operations Head shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-342.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-342.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-342.4.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-342.4.8 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-23.

Section 342.5 Transaction Monitoring - Operating Rule Set 342.5

KAP-342.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-342.5.2 The Zonal Head shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-342.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-342.5.4 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Case Management system.

KAP-342.5.5 The Risk Management Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-342.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-342.5.7 Cases involving address proofs with an exposure above Rs. 388 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.8.

KAP-342.5.8 The Credit Committee shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Document Management system.

KAP-342.5.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

PART 29 - CHAPTER 343: SUSPICIOUS TRANSACTION REPORTING

Section 343.1 Suspicious Transaction Reporting - Operating Rule Set 343.1

KAP-343.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-343.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-343.1.3 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/157 and that compliance is certified every quarter.

KAP-343.1.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure C-26.

KAP-343.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-343.1.6 The Credit Committee shall review video-KYC sessions within 16 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-343.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-343.1.8 The Zonal Head shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Case Management system.

KAP-343.1.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-37.

KAP-343.1.10 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-343.1.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure A-10.

Section 343.2 Suspicious Transaction Reporting - Operating Rule Set 343.2

KAP-343.2.1 The Risk Management Department shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-343.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-343.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-343.2.4 The Compliance Officer shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-343.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-343.2.6 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-343.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-343.2.8 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-343.2.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-343.2.10 Cases involving beneficial-owner declarations with an exposure above Rs. 419 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.27.

KAP-343.2.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-343.2.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-343.2.13 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/251 and that compliance is certified every quarter.

KAP-343.2.14 The Zonal Head shall review identity documents within 18 working days of receipt and record the outcome in the Loan Origination system.

Section 343.3 Suspicious Transaction Reporting - Operating Rule Set 343.3

KAP-343.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-343.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-343.3.3 Cases involving identity documents with an exposure above Rs. 26 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.19.

KAP-343.3.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-343.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-343.3.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/182 and that compliance is certified every quarter.

KAP-343.3.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/035 and that compliance is certified every quarter.

KAP-343.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-343.3.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 343.4 Suspicious Transaction Reporting - Operating Rule Set 343.4

KAP-343.4.1 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-343.4.2 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-343.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-343.4.4 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-343.4.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/274 and that compliance is certified every quarter.

KAP-343.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-343.4.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/131 and that compliance is certified every quarter.

KAP-343.4.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-343.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 343.5 Suspicious Transaction Reporting - Operating Rule Set 343.5

KAP-343.5.1 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure G-7.

KAP-343.5.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-343.5.3 Cases involving identity documents with an exposure above Rs. 99 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.8.

KAP-343.5.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-343.5.5 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-343.5.6 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-343.5.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-343.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

PART 29 - CHAPTER 344: POLITICALLY EXPOSED PERSONS

Section 344.1 Politically Exposed Persons - Operating Rule Set 344.1

KAP-344.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-344.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-344.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 4 and be made available to internal auditors on request.

KAP-344.1.4 The Branch Manager shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-344.1.5 Cases involving identity documents with an exposure above Rs. 333 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.28.

KAP-344.1.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-13.

KAP-344.1.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-344.1.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/269 and that compliance is certified every quarter.

Section 344.2 Politically Exposed Persons - Operating Rule Set 344.2

KAP-344.2.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-344.2.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/295 and that compliance is certified every quarter.

KAP-344.2.3 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/102 and that compliance is certified every quarter.

KAP-344.2.4 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure A-34.

KAP-344.2.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-344.2.6 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-344.2.7 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-344.2.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure E-32.

KAP-344.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 344.3 Politically Exposed Persons - Operating Rule Set 344.3

KAP-344.3.1 Cases involving risk-rating files with an exposure above Rs. 179 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.8.

KAP-344.3.2 Cases involving address proofs with an exposure above Rs. 145 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.24.

KAP-344.3.3 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Document Management system.

KAP-344.3.4 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-344.3.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure C-24.

KAP-344.3.6 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-344.3.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-344.3.8 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-29.

KAP-344.3.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 344.4 Politically Exposed Persons - Operating Rule Set 344.4

KAP-344.4.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches,

after giving the customer 21 days written notice.

KAP-344.4.2 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-344.4.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure D-27.

KAP-344.4.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/063 and that compliance is certified every quarter.

KAP-344.4.5 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/083 and that compliance is certified every quarter.

KAP-344.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-344.4.7 Cases involving beneficial-owner declarations with an exposure above Rs. 100 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.14.

KAP-344.4.8 Cases involving cash transaction reports with an exposure above Rs. 342 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.30.

KAP-344.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 344.5 Politically Exposed Persons - Operating Rule Set 344.5

KAP-344.5.1 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/187 and that compliance is certified every quarter.

KAP-344.5.2 Cases involving PEP screening results with an exposure above Rs. 356 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.10.

KAP-344.5.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-344.5.4 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-344.5.5 The Compliance Officer shall review cash transaction reports within 20 working days of receipt and record the outcome in the Case Management system.

KAP-344.5.6 The Risk Management Department shall review risk-rating files within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-344.5.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-344.5.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-344.5.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-344.5.10 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/221 and that compliance is certified every quarter.

PART 29 - CHAPTER 345: BENEFICIAL OWNERSHIP

Section 345.1 Beneficial Ownership - Operating Rule Set 345.1

KAP-345.1.1 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure B-2.

KAP-345.1.2 The Zonal Head shall review identity documents within 12 working days of receipt and record the outcome in the Case Management system.

KAP-345.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-345.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-345.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-345.1.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the

manual-review method, with a tolerance of 5% as approved by the Board.

KAP-345.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-345.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

Section 345.2 Beneficial Ownership - Operating Rule Set 345.2

KAP-345.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-345.2.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-345.2.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/224 and that compliance is certified every quarter.

KAP-345.2.4 Cases involving PEP screening results with an exposure above Rs. 82 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.28.

KAP-345.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-345.2.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure B-6.

KAP-345.2.7 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-345.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-345.2.9 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 345.3 Beneficial Ownership - Operating Rule Set 345.3

KAP-345.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-345.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-345.3.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure B-16.

KAP-345.3.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-345.3.5 The Risk Management Department shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-345.3.6 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-345.3.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-345.3.8 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-345.3.9 The Compliance Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-345.3.10 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 345.4 Beneficial Ownership - Operating Rule Set 345.4

KAP-345.4.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/088 and that compliance is certified every quarter.

KAP-345.4.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/297 and that compliance is certified every quarter.

KAP-345.4.3 The Operations Head shall review identity documents within 7 working days of receipt and record the outcome

in the Risk Engine system.

KAP-345.4.4 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-345.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-345.4.6 The Credit Committee shall review address proofs within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-345.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-345.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-345.4.9 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-345.4.10 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure C-25.

KAP-345.4.11 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-345.4.12 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-345.4.13 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

PART 29 - CHAPTER 346: RECORD KEEPING

Section 346.1 Record Keeping - Operating Rule Set 346.1

KAP-346.1.1 Cases involving video-KYC sessions with an exposure above Rs. 321 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.20.

KAP-346.1.2 Cases involving address proofs with an exposure above Rs. 127 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.13.

KAP-346.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-346.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-346.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-346.1.6 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-346.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-346.1.8 The Zonal Head shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Document Management system.

KAP-346.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-346.1.10 The Branch Manager shall review risk-rating files within 28 working days of receipt and record the outcome in the Core Banking system.

Section 346.2 Record Keeping - Operating Rule Set 346.2

KAP-346.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-346.2.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure E-34.

KAP-346.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-346.2.4 Cases involving risk-rating files with an exposure above Rs. 184 lakh require prior written approval from the

Branch Manager; otherwise the case is an exception under Clause 15.22.

KAP-346.2.5 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-346.2.6 Cases involving risk-rating files with an exposure above Rs. 392 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.29.

KAP-346.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 409 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.24.

KAP-346.2.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-346.2.9 Cases involving address proofs with an exposure above Rs. 254 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.18.

KAP-346.2.10 Cases involving beneficial-owner declarations with an exposure above Rs. 112 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.17.

Section 346.3 Record Keeping - Operating Rule Set 346.3

KAP-346.3.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/036 and that compliance is certified every quarter.

KAP-346.3.2 Cases involving identity documents with an exposure above Rs. 293 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.29.

KAP-346.3.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/153 and that compliance is certified every quarter.

KAP-346.3.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-346.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 456 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.8.

KAP-346.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-346.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-346.3.8 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure H-13.

Section 346.4 Record Keeping - Operating Rule Set 346.4

KAP-346.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-346.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-346.4.3 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-346.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-346.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-346.4.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/183 and that compliance is certified every quarter.

KAP-346.4.7 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-346.4.8 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-346.4.9 Cases involving PEP screening results with an exposure above Rs. 359 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.3.

KAP-346.4.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-346.4.11 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/072 and that compliance is certified every quarter.

PART 29 - CHAPTER 347: STAFF TRAINING

Section 347.1 Staff Training - Operating Rule Set 347.1

KAP-347.1.1 The Credit Committee shall review address proofs within 21 working days of receipt and record the outcome in the Document Management system.

KAP-347.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 101 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.23.

KAP-347.1.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure E-7.

KAP-347.1.4 The Credit Committee shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-347.1.5 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-347.1.6 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure A-8.

KAP-347.1.7 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-347.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 347.2 Staff Training - Operating Rule Set 347.2

KAP-347.2.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/215 and that compliance is certified every quarter.

KAP-347.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-347.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-347.2.4 The Operations Head shall review risk-rating files within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-347.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-347.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-347.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-347.2.8 The Risk Management Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-347.2.9 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-347.2.10 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-347.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 347.3 Staff Training - Operating Rule Set 347.3

KAP-347.3.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-347.3.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure E-25.

KAP-347.3.3 The Risk Management Department shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-347.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made

available to the regulator on request.

KAP-347.3.5 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/139 and that compliance is certified every quarter.

KAP-347.3.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-347.3.7 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure B-7.

KAP-347.3.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 28 days written notice.

Section 347.4 Staff Training - Operating Rule Set 347.4

KAP-347.4.1 The Regional Credit Officer shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-347.4.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure H-28.

KAP-347.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-347.4.4 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure H-1.

KAP-347.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-347.4.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-347.4.7 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-347.4.8 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure A-33.

KAP-347.4.9 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/092 and that compliance is certified every quarter.

KAP-347.4.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/073 and that compliance is certified every quarter.

KAP-347.4.11 Cases involving correspondent-bank relationships with an exposure above Rs. 361 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.3.

KAP-347.4.12 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

Section 347.5 Staff Training - Operating Rule Set 347.5

KAP-347.5.1 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-347.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-347.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-347.5.4 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-347.5.5 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-347.5.6 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-347.5.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-347.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-347.5.9 The Zonal Head shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Document Management system.

KAP-347.5.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

Section 347.6 Staff Training - Operating Rule Set 347.6

KAP-347.6.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-347.6.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-347.6.3 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure G-23.

KAP-347.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 198 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.5.

KAP-347.6.5 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-347.6.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-347.6.7 Cases involving PEP screening results with an exposure above Rs. 389 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.29.

KAP-347.6.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-347.6.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-347.6.10 The Compliance Officer shall review PEP screening results within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-347.6.11 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-347.6.12 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

PART 29 - CHAPTER 348: INDEPENDENT AUDIT

Section 348.1 Independent Audit - Operating Rule Set 348.1

KAP-348.1.1 The Audit Department shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Case Management system.

KAP-348.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-348.1.3 Cases involving risk-rating files with an exposure above Rs. 474 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.21.

KAP-348.1.4 The Operations Head shall review account-opening forms within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-348.1.5 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-348.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-348.1.7 Cases involving video-KYC sessions with an exposure above Rs. 433 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.19.

KAP-348.1.8 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-16.

KAP-348.1.9 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure D-2.

KAP-348.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-348.1.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-348.1.12 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 348.2 Independent Audit - Operating Rule Set 348.2

KAP-348.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-348.2.2 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-348.2.3 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-348.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-348.2.5 The Compliance Officer shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-348.2.6 The Risk Management Department shall review risk-rating files within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-348.2.7 Cases involving cash transaction reports with an exposure above Rs. 15 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.30.

KAP-348.2.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-4.

Section 348.3 Independent Audit - Operating Rule Set 348.3

KAP-348.3.1 The Credit Committee shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-348.3.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/267 and that compliance is certified every quarter.

KAP-348.3.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/294 and that compliance is certified every quarter.

KAP-348.3.4 The Audit Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-348.3.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure E-1.

KAP-348.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 33 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.1.

KAP-348.3.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure E-37.

KAP-348.3.8 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-348.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 155 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.1.

KAP-348.3.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-348.3.11 The Branch Manager shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

KAP-348.3.12 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-37.

Section 348.4 Independent Audit - Operating Rule Set 348.4

KAP-348.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-348.4.2 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/075 and that compliance is certified every quarter.

KAP-348.4.3 The Branch Manager shall review account-opening forms within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-348.4.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/003 and that compliance is certified every quarter.

KAP-348.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-348.4.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-348.4.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 51 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.27.

KAP-348.4.8 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-348.4.9 Cases involving cash transaction reports with an exposure above Rs. 168 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.9.

KAP-348.4.10 Cases involving identity documents with an exposure above Rs. 303 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.18.

KAP-348.4.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-348.4.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

Section 348.5 Independent Audit - Operating Rule Set 348.5

KAP-348.5.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/055 and that compliance is certified every quarter.

KAP-348.5.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-348.5.3 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-348.5.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-348.5.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure H-32.

KAP-348.5.6 Cases involving risk-rating files with an exposure above Rs. 427 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.30.

KAP-348.5.7 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-348.5.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure G-10.

KAP-348.5.9 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/293 and that compliance is certified every quarter.

KAP-348.5.10 Cases involving address proofs with an exposure above Rs. 450 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.6.

PART 30 - CHAPTER 349: CUSTOMER ACCEPTANCE

Section 349.1 Customer Acceptance - Operating Rule Set 349.1

KAP-349.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-349.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-349.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-349.1.4 The Risk Management Department shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-349.1.5 The Credit Committee shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-349.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-349.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-349.1.8 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 349.2 Customer Acceptance - Operating Rule Set 349.2

KAP-349.2.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-349.2.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-349.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-349.2.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/102 and that compliance is certified every quarter.

KAP-349.2.5 The Operations Head shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-349.2.6 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-349.2.7 The Operations Head shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Document Management system.

KAP-349.2.8 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/172 and that compliance is certified every quarter.

Section 349.3 Customer Acceptance - Operating Rule Set 349.3

KAP-349.3.1 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure F-22.

KAP-349.3.2 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-349.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-349.3.4 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-349.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 144 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.1.

KAP-349.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 136 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.24.

KAP-349.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-349.3.8 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure C-31.

KAP-349.3.9 Cases involving cash transaction reports with an exposure above Rs. 477 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.2.

KAP-349.3.10 The Audit Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-349.3.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-349.3.12 The Credit Committee shall review identity documents within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-349.3.13 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the

procedures in Circular KAP/2024/100 and that compliance is certified every quarter.

Section 349.4 Customer Acceptance - Operating Rule Set 349.4

KAP-349.4.1 Cases involving account-opening forms with an exposure above Rs. 113 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.21.

KAP-349.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure E-25.

KAP-349.4.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-349.4.4 Cases involving PEP screening results with an exposure above Rs. 10 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.1.

KAP-349.4.5 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-349.4.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-4.

KAP-349.4.7 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-349.4.8 Cases involving address proofs with an exposure above Rs. 278 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.24.

KAP-349.4.9 The Credit Committee shall review PEP screening results within 4 working days of receipt and record the outcome in the Case Management system.

KAP-349.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

PART 30 - CHAPTER 350: CUSTOMER IDENTIFICATION

Section 350.1 Customer Identification - Operating Rule Set 350.1

KAP-350.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-350.1.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/045 and that compliance is certified every quarter.

KAP-350.1.3 The Risk Management Department shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-350.1.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/131 and that compliance is certified every quarter.

KAP-350.1.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure D-1.

KAP-350.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-350.1.7 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure C-22.

KAP-350.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-350.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-350.1.10 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 350.2 Customer Identification - Operating Rule Set 350.2

KAP-350.2.1 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure E-14.

KAP-350.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-350.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-350.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-350.2.5 The Audit Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Document Management system.

KAP-350.2.6 Cases involving video-KYC sessions with an exposure above Rs. 285 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.17.

KAP-350.2.7 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/229 and that compliance is certified every quarter.

KAP-350.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-350.2.9 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/090 and that compliance is certified every quarter.

Section 350.3 Customer Identification - Operating Rule Set 350.3

KAP-350.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-350.3.2 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure F-13.

KAP-350.3.3 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/208 and that compliance is certified every quarter.

KAP-350.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-350.3.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-350.3.6 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/212 and that compliance is certified every quarter.

KAP-350.3.7 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-350.3.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/150 and that compliance is certified every quarter.

Section 350.4 Customer Identification - Operating Rule Set 350.4

KAP-350.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-350.4.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-350.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-350.4.4 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-350.4.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-350.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-350.4.7 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-350.4.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-350.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-350.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 350.5 Customer Identification - Operating Rule Set 350.5

KAP-350.5.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure D-26.

KAP-350.5.2 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/007 and that compliance is certified every quarter.

KAP-350.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-350.5.4 The Risk Management Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Case Management system.

KAP-350.5.5 Cases involving cash transaction reports with an exposure above Rs. 436 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.15.

KAP-350.5.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-350.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-350.5.8 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-350.5.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-350.5.10 Cases involving account-opening forms with an exposure above Rs. 308 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.10.

Section 350.6 Customer Identification - Operating Rule Set 350.6

KAP-350.6.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-350.6.2 The Audit Department shall review identity documents within 23 working days of receipt and record the outcome in the Case Management system.

KAP-350.6.3 Cases involving cash transaction reports with an exposure above Rs. 423 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.28.

KAP-350.6.4 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-350.6.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/188 and that compliance is certified every quarter.

KAP-350.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-350.6.7 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure H-16.

KAP-350.6.8 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-350.6.9 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-350.6.10 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure G-23.

KAP-350.6.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

PART 30 - CHAPTER 351: CUSTOMER DUE DILIGENCE

Section 351.1 Customer Due Diligence - Operating Rule Set 351.1

KAP-351.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-351.1.2 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-351.1.3 The Risk Management Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-351.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-351.1.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-351.1.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/162 and that compliance is certified every quarter.

KAP-351.1.7 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure H-33.

KAP-351.1.8 Cases involving identity documents with an exposure above Rs. 42 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.24.

Section 351.2 Customer Due Diligence - Operating Rule Set 351.2

KAP-351.2.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-26.

KAP-351.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-351.2.3 The Branch Manager shall review account-opening forms within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-351.2.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-351.2.5 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure B-21.

KAP-351.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-351.2.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure D-15.

KAP-351.2.8 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-351.2.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/218 and that compliance is certified every quarter.

Section 351.3 Customer Due Diligence - Operating Rule Set 351.3

KAP-351.3.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure D-38.

KAP-351.3.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure A-36.

KAP-351.3.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-21.

KAP-351.3.4 Cases involving video-KYC sessions with an exposure above Rs. 496 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.16.

KAP-351.3.5 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-351.3.6 The Regional Credit Officer shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Document Management system.

KAP-351.3.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/008 and that compliance is certified every quarter.

KAP-351.3.8 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-351.3.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-351.3.10 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-351.3.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the

customer 7 days written notice.

KAP-351.3.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

Section 351.4 Customer Due Diligence - Operating Rule Set 351.4

KAP-351.4.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-351.4.2 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-1.

KAP-351.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-351.4.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-351.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 497 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.16.

KAP-351.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-351.4.7 The Risk Management Department shall review risk-rating files within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-351.4.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-351.4.9 Cases involving risk-rating files with an exposure above Rs. 110 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.2.

KAP-351.4.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 351.5 Customer Due Diligence - Operating Rule Set 351.5

KAP-351.5.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure D-34.

KAP-351.5.2 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-351.5.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-351.5.4 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-351.5.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-351.5.6 Cases involving video-KYC sessions with an exposure above Rs. 330 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.30.

KAP-351.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-351.5.8 Cases involving correspondent-bank relationships with an exposure above Rs. 464 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.5.

KAP-351.5.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-4.

PART 30 - CHAPTER 352: ENHANCED DUE DILIGENCE

Section 352.1 Enhanced Due Diligence - Operating Rule Set 352.1

KAP-352.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-352.1.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-352.1.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-352.1.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-352.1.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/297 and that compliance is certified every quarter.

KAP-352.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-352.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-352.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-352.1.9 The Risk Management Department shall review risk-rating files within 26 working days of receipt and record the outcome in the Case Management system.

KAP-352.1.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure E-13.

Section 352.2 Enhanced Due Diligence - Operating Rule Set 352.2

KAP-352.2.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-352.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-352.2.3 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-352.2.4 The Branch Manager shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-352.2.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure D-6.

KAP-352.2.6 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-352.2.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/208 and that compliance is certified every quarter.

KAP-352.2.8 Cases involving PEP screening results with an exposure above Rs. 389 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.8.

KAP-352.2.9 The Zonal Head shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Loan Origination system.

Section 352.3 Enhanced Due Diligence - Operating Rule Set 352.3

KAP-352.3.1 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-352.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-352.3.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure E-21.

KAP-352.3.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/094 and that compliance is certified every quarter.

KAP-352.3.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-352.3.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-17.

KAP-352.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-352.3.8 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure C-16.

Section 352.4 Enhanced Due Diligence - Operating Rule Set 352.4

KAP-352.4.1 The Compliance Officer shall review cash transaction reports within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-352.4.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-352.4.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure A-16.

KAP-352.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-352.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-352.4.6 The Credit Committee shall review address proofs within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-352.4.7 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-352.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-352.4.9 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/164 and that compliance is certified every quarter.

KAP-352.4.10 The Branch Manager shall review risk-rating files within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-352.4.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-352.4.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

Section 352.5 Enhanced Due Diligence - Operating Rule Set 352.5

KAP-352.5.1 Cases involving identity documents with an exposure above Rs. 478 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.26.

KAP-352.5.2 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/039 and that compliance is certified every quarter.

KAP-352.5.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-352.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 416 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.9.

KAP-352.5.5 Cases involving account-opening forms with an exposure above Rs. 232 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.15.

KAP-352.5.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-352.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-352.5.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure F-39.

Section 352.6 Enhanced Due Diligence - Operating Rule Set 352.6

KAP-352.6.1 Cases involving account-opening forms with an exposure above Rs. 235 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.6.

KAP-352.6.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-352.6.3 Cases involving cash transaction reports with an exposure above Rs. 262 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.9.

KAP-352.6.4 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure C-16.

KAP-352.6.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 16 days written notice.

KAP-352.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-352.6.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-352.6.8 The Risk Management Department shall review PEP screening results within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-352.6.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/257 and that compliance is certified every quarter.

KAP-352.6.10 Cases involving identity documents with an exposure above Rs. 376 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.19.

KAP-352.6.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/173 and that compliance is certified every quarter.

KAP-352.6.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

PART 30 - CHAPTER 353: RISK CATEGORISATION

Section 353.1 Risk Categorisation - Operating Rule Set 353.1

KAP-353.1.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-353.1.2 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure G-30.

KAP-353.1.3 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-353.1.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-353.1.5 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-353.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-353.1.7 Cases involving PEP screening results with an exposure above Rs. 276 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.27.

KAP-353.1.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-24.

KAP-353.1.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-353.1.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 456 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.4.

KAP-353.1.11 Cases involving account-opening forms with an exposure above Rs. 338 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.18.

Section 353.2 Risk Categorisation - Operating Rule Set 353.2

KAP-353.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-353.2.2 Cases involving PEP screening results with an exposure above Rs. 287 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.16.

KAP-353.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-353.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-353.2.5 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/199 and that compliance is certified every quarter.

KAP-353.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional

Credit Officer by the 5th day of the following month.

KAP-353.2.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-353.2.8 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure G-14.

KAP-353.2.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

Section 353.3 Risk Categorisation - Operating Rule Set 353.3

KAP-353.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-353.3.2 The Operations Head shall review identity documents within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-353.3.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-353.3.4 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure D-29.

KAP-353.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-353.3.6 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure H-8.

KAP-353.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 152 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.8.

KAP-353.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-353.3.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-353.3.10 The Credit Committee shall review account-opening forms within 13 working days of receipt and record the outcome in the Customer Relationship system.

Section 353.4 Risk Categorisation - Operating Rule Set 353.4

KAP-353.4.1 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/078 and that compliance is certified every quarter.

KAP-353.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-353.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-353.4.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-353.4.5 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure H-22.

KAP-353.4.6 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure B-17.

KAP-353.4.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-10.

KAP-353.4.8 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-353.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 353.5 Risk Categorisation - Operating Rule Set 353.5

KAP-353.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-353.5.2 The Credit Committee shall review video-KYC sessions within 14 working days of receipt and record the

outcome in the Case Management system.

KAP-353.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-353.5.4 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/085 and that compliance is certified every quarter.

KAP-353.5.5 Cases involving address proofs with an exposure above Rs. 384 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.16.

KAP-353.5.6 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure G-32.

KAP-353.5.7 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-353.5.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-353.5.9 Cases involving video-KYC sessions with an exposure above Rs. 416 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.3.

PART 30 - CHAPTER 354: TRANSACTION MONITORING

Section 354.1 Transaction Monitoring - Operating Rule Set 354.1

KAP-354.1.1 Cases involving video-KYC sessions with an exposure above Rs. 240 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.19.

KAP-354.1.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/228 and that compliance is certified every quarter.

KAP-354.1.3 The Audit Department shall review identity documents within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-354.1.4 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/271 and that compliance is certified every quarter.

KAP-354.1.5 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-354.1.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-354.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-354.1.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-354.1.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

Section 354.2 Transaction Monitoring - Operating Rule Set 354.2

KAP-354.2.1 Cases involving address proofs with an exposure above Rs. 407 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.15.

KAP-354.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-354.2.3 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-354.2.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure B-4.

KAP-354.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-354.2.6 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/051 and that compliance is certified every quarter.

KAP-354.2.7 Cases involving cash transaction reports with an exposure above Rs. 123 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.14.

KAP-354.2.8 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee

within 29 working days, with the supporting documents listed in Annexure E-6.

KAP-354.2.9 Cases involving PEP screening results with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.7.

KAP-354.2.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-354.2.11 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure A-2.

Section 354.3 Transaction Monitoring - Operating Rule Set 354.3

KAP-354.3.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/085 and that compliance is certified every quarter.

KAP-354.3.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure F-21.

KAP-354.3.3 The Audit Department shall review risk-rating files within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-354.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-354.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-354.3.6 The Compliance Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-354.3.7 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure A-39.

KAP-354.3.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-354.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 179 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.7.

Section 354.4 Transaction Monitoring - Operating Rule Set 354.4

KAP-354.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-354.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-354.4.3 The Compliance Officer shall review address proofs within 12 working days of receipt and record the outcome in the Case Management system.

KAP-354.4.4 Cases involving account-opening forms with an exposure above Rs. 239 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.3.

KAP-354.4.5 Cases involving identity documents with an exposure above Rs. 469 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.27.

KAP-354.4.6 The Regional Credit Officer shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-354.4.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-354.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-354.4.9 The Compliance Officer shall review account-opening forms within 4 working days of receipt and record the outcome in the Document Management system.

KAP-354.4.10 Cases involving account-opening forms with an exposure above Rs. 230 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.3.

Section 354.5 Transaction Monitoring - Operating Rule Set 354.5

KAP-354.5.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 18 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.30.

KAP-354.5.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be

made available to internal auditors on request.

KAP-354.5.3 The Credit Committee shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Case Management system.

KAP-354.5.4 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/298 and that compliance is certified every quarter.

KAP-354.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 454 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.14.

KAP-354.5.6 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-354.5.7 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-354.5.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-354.5.9 The Regional Credit Officer shall review address proofs within 25 working days of receipt and record the outcome in the Risk Engine system.

PART 30 - CHAPTER 355: SUSPICIOUS TRANSACTION REPORTING

Section 355.1 Suspicious Transaction Reporting - Operating Rule Set 355.1

KAP-355.1.1 The Audit Department shall review address proofs within 15 working days of receipt and record the outcome in the Document Management system.

KAP-355.1.2 The Operations Head shall review PEP screening results within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-355.1.3 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure C-6.

KAP-355.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-355.1.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure C-34.

KAP-355.1.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/259 and that compliance is certified every quarter.

KAP-355.1.7 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-355.1.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure H-18.

KAP-355.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-355.1.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-355.1.11 The Compliance Officer shall review cash transaction reports within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-355.1.12 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure C-14.

KAP-355.1.13 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

Section 355.2 Suspicious Transaction Reporting - Operating Rule Set 355.2

KAP-355.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-355.2.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure E-20.

KAP-355.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-355.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made

available to the Board Audit Committee on request.

KAP-355.2.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/133 and that compliance is certified every quarter.

KAP-355.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-355.2.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure D-28.

KAP-355.2.8 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure E-26.

KAP-355.2.9 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Loan Origination system.

Section 355.3 Suspicious Transaction Reporting - Operating Rule Set 355.3

KAP-355.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-355.3.2 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-355.3.3 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-355.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-355.3.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-9.

KAP-355.3.6 Cases involving address proofs with an exposure above Rs. 121 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.1.

KAP-355.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-355.3.8 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure G-29.

KAP-355.3.9 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/095 and that compliance is certified every quarter.

KAP-355.3.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure D-16.

Section 355.4 Suspicious Transaction Reporting - Operating Rule Set 355.4

KAP-355.4.1 The Branch Manager shall review PEP screening results within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-355.4.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/066 and that compliance is certified every quarter.

KAP-355.4.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-355.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-355.4.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure F-3.

KAP-355.4.6 The Risk Management Department shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-355.4.7 The Zonal Head shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-355.4.8 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure F-37.

KAP-355.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 429 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.8.

KAP-355.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-355.4.11 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-355.4.12 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure A-20.

KAP-355.4.13 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 355.5 Suspicious Transaction Reporting - Operating Rule Set 355.5

KAP-355.5.1 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure F-21.

KAP-355.5.2 Cases involving beneficial-owner declarations with an exposure above Rs. 172 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.7.

KAP-355.5.3 The Credit Committee shall review risk-rating files within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-355.5.4 The Regional Credit Officer shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-355.5.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure A-26.

KAP-355.5.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-355.5.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/200 and that compliance is certified every quarter.

KAP-355.5.8 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-355.5.9 Cases involving address proofs with an exposure above Rs. 261 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.9.

PART 30 - CHAPTER 356: POLITICALLY EXPOSED PERSONS

Section 356.1 Politically Exposed Persons - Operating Rule Set 356.1

KAP-356.1.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-356.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 401 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.6.

KAP-356.1.3 The Risk Management Department shall review identity documents within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-356.1.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-356.1.5 Cases involving cash transaction reports with an exposure above Rs. 454 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.4.

KAP-356.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-356.1.7 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/247 and that compliance is certified every quarter.

KAP-356.1.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-356.1.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 248 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.10.

KAP-356.1.10 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/136 and that compliance is certified every quarter.

KAP-356.1.11 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 356.2 Politically Exposed Persons - Operating Rule Set 356.2

KAP-356.2.1 The Risk Management Department shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

KAP-356.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-356.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-356.2.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/099 and that compliance is certified every quarter.

KAP-356.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-356.2.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure F-9.

KAP-356.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-356.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-356.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 159 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.21.

Section 356.3 Politically Exposed Persons - Operating Rule Set 356.3

KAP-356.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-356.3.2 The Operations Head shall review risk-rating files within 22 working days of receipt and record the outcome in the Case Management system.

KAP-356.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-356.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-356.3.5 The Compliance Officer shall review risk-rating files within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-356.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-356.3.7 The Audit Department shall review cash transaction reports within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-356.3.8 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure C-25.

KAP-356.3.9 The Branch Manager shall review address proofs within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-356.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 356.4 Politically Exposed Persons - Operating Rule Set 356.4

KAP-356.4.1 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-356.4.2 The Zonal Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-356.4.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-31.

KAP-356.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-356.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-356.4.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-356.4.7 Cases involving account-opening forms with an exposure above Rs. 111 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.21.

KAP-356.4.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-356.4.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-356.4.10 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/012 and that compliance is certified every quarter.

KAP-356.4.11 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure H-12.

Section 356.5 Politically Exposed Persons - Operating Rule Set 356.5

KAP-356.5.1 The Compliance Officer shall review PEP screening results within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-356.5.2 The Operations Head shall review cash transaction reports within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-356.5.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-356.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-356.5.5 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-356.5.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-356.5.7 The Operations Head shall review cash transaction reports within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-356.5.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-356.5.9 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-356.5.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

PART 30 - CHAPTER 357: BENEFICIAL OWNERSHIP

Section 357.1 Beneficial Ownership - Operating Rule Set 357.1

KAP-357.1.1 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-357.1.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure F-23.

KAP-357.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 295 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.3.

KAP-357.1.4 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-357.1.5 The Regional Credit Officer shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Case Management system.

KAP-357.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-357.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 169 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.16.

KAP-357.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 357.2 Beneficial Ownership - Operating Rule Set 357.2

KAP-357.2.1 Cases involving address proofs with an exposure above Rs. 205 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.10.

KAP-357.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-357.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-357.2.4 The Compliance Officer shall review risk-rating files within 15 working days of receipt and record the outcome in the Case Management system.

KAP-357.2.5 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure E-28.

KAP-357.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-357.2.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure C-5.

KAP-357.2.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-357.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 32 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.12.

KAP-357.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-357.2.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 24 days written notice.

Section 357.3 Beneficial Ownership - Operating Rule Set 357.3

KAP-357.3.1 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-357.3.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure G-9.

KAP-357.3.3 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure F-12.

KAP-357.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-357.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure F-17.

KAP-357.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-357.3.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-357.3.8 The Audit Department shall review address proofs within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-357.3.9 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure F-28.

KAP-357.3.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-357.3.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure A-4.

KAP-357.3.12 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 357.4 Beneficial Ownership - Operating Rule Set 357.4

KAP-357.4.1 The Regional Credit Officer shall review PEP screening results within 27 working days of receipt and record the outcome in the Case Management system.

KAP-357.4.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-357.4.3 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/127 and that compliance is certified every quarter.

KAP-357.4.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-357.4.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-357.4.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure H-2.

KAP-357.4.7 The Operations Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-357.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-357.4.9 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-357.4.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

Section 357.5 Beneficial Ownership - Operating Rule Set 357.5

KAP-357.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-357.5.2 Cases involving PEP screening results with an exposure above Rs. 185 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.5.

KAP-357.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-357.5.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/089 and that compliance is certified every quarter.

KAP-357.5.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-357.5.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure D-16.

KAP-357.5.7 Cases involving account-opening forms with an exposure above Rs. 417 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.10.

KAP-357.5.8 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure F-18.

KAP-357.5.9 The Operations Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Document Management system.

KAP-357.5.10 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-357.5.11 Cases involving correspondent-bank relationships with an exposure above Rs. 21 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.1.

Section 357.6 Beneficial Ownership - Operating Rule Set 357.6

KAP-357.6.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-357.6.2 Cases involving video-KYC sessions with an exposure above Rs. 495 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.18.

KAP-357.6.3 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-357.6.4 The Operations Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Case Management system.

KAP-357.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made

available to statutory auditors on request.

KAP-357.6.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-357.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-357.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-357.6.9 The Zonal Head shall review cash transaction reports within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-357.6.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

Section 357.7 Beneficial Ownership - Operating Rule Set 357.7

KAP-357.7.1 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure G-34.

KAP-357.7.2 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/161 and that compliance is certified every quarter.

KAP-357.7.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-357.7.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-357.7.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/178 and that compliance is certified every quarter.

KAP-357.7.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-357.7.7 In case of a system outage, the Audit Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure E-30.

KAP-357.7.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-357.7.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-357.7.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/095 and that compliance is certified every quarter.

PART 30 - CHAPTER 358: RECORD KEEPING

Section 358.1 Record Keeping - Operating Rule Set 358.1

KAP-358.1.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-358.1.2 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure B-29.

KAP-358.1.3 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-358.1.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure F-2.

KAP-358.1.5 Cases involving video-KYC sessions with an exposure above Rs. 94 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.30.

KAP-358.1.6 Cases involving cash transaction reports with an exposure above Rs. 471 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.12.

KAP-358.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-358.1.8 Cases involving address proofs with an exposure above Rs. 441 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.25.

KAP-358.1.9 Cases involving video-KYC sessions with an exposure above Rs. 483 lakh require prior written approval from

the Zonal Head; otherwise the case is an exception under Clause 7.20.

KAP-358.1.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure C-25.

Section 358.2 Record Keeping - Operating Rule Set 358.2

KAP-358.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-358.2.2 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-358.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-358.2.4 Cases involving PEP screening results with an exposure above Rs. 51 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.16.

KAP-358.2.5 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-358.2.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-358.2.7 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-358.2.8 Cases involving address proofs with an exposure above Rs. 444 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.16.

KAP-358.2.9 Cases involving risk-rating files with an exposure above Rs. 376 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.3.

Section 358.3 Record Keeping - Operating Rule Set 358.3

KAP-358.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-358.3.2 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure G-5.

KAP-358.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-358.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-358.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-358.3.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-358.3.7 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-358.3.8 The Regional Credit Officer shall review identity documents within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-358.3.9 The Compliance Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Case Management system.

KAP-358.3.10 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 358.4 Record Keeping - Operating Rule Set 358.4

KAP-358.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-358.4.2 The Audit Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Document Management system.

KAP-358.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-358.4.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after

giving the customer 27 days written notice.

KAP-358.4.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-358.4.6 The Risk Management Department shall review PEP screening results within 5 working days of receipt and record the outcome in the Document Management system.

KAP-358.4.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-358.4.8 The Risk Management Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-358.4.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/079 and that compliance is certified every quarter.

KAP-358.4.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure H-32.

KAP-358.4.11 Cases involving risk-rating files with an exposure above Rs. 110 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.9.

Section 358.5 Record Keeping - Operating Rule Set 358.5

KAP-358.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-358.5.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-358.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-358.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 243 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.24.

KAP-358.5.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-358.5.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-358.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-358.5.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-358.5.9 Cases involving address proofs with an exposure above Rs. 340 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.29.

KAP-358.5.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

PART 30 - CHAPTER 359: STAFF TRAINING

Section 359.1 Staff Training - Operating Rule Set 359.1

KAP-359.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-359.1.2 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure F-36.

KAP-359.1.3 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-359.1.4 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/210 and that compliance is certified every quarter.

KAP-359.1.5 Cases involving risk-rating files with an exposure above Rs. 468 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.30.

KAP-359.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-359.1.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager

within 20 working days, with the supporting documents listed in Annexure F-22.

KAP-359.1.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure F-31.

KAP-359.1.9 The Compliance Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Case Management system.

Section 359.2 Staff Training - Operating Rule Set 359.2

KAP-359.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-359.2.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure H-27.

KAP-359.2.3 Cases involving PEP screening results with an exposure above Rs. 36 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.11.

KAP-359.2.4 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/235 and that compliance is certified every quarter.

KAP-359.2.5 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/113 and that compliance is certified every quarter.

KAP-359.2.6 The Credit Committee shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Document Management system.

KAP-359.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-359.2.8 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-359.2.9 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-359.2.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-359.2.11 Cases involving correspondent-bank relationships with an exposure above Rs. 270 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.14.

KAP-359.2.12 The Risk Management Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Core Banking system.

Section 359.3 Staff Training - Operating Rule Set 359.3

KAP-359.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-359.3.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-359.3.3 Cases involving cash transaction reports with an exposure above Rs. 423 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.1.

KAP-359.3.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-359.3.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-359.3.6 The Audit Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-359.3.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-359.3.8 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/156 and that compliance is certified every quarter.

KAP-359.3.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-359.3.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

Section 359.4 Staff Training - Operating Rule Set 359.4

KAP-359.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-359.4.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/069 and that compliance is certified every quarter.

KAP-359.4.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure H-40.

KAP-359.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 480 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.18.

KAP-359.4.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure E-7.

KAP-359.4.6 The Zonal Head shall review PEP screening results within 23 working days of receipt and record the outcome in the Document Management system.

KAP-359.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-359.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 84 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.18.

KAP-359.4.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/183 and that compliance is certified every quarter.

KAP-359.4.10 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

Section 359.5 Staff Training - Operating Rule Set 359.5

KAP-359.5.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure D-32.

KAP-359.5.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-359.5.3 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/020 and that compliance is certified every quarter.

KAP-359.5.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure D-8.

KAP-359.5.5 Cases involving account-opening forms with an exposure above Rs. 97 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.22.

KAP-359.5.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure E-33.

KAP-359.5.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-359.5.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-359.5.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-359.5.10 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

KAP-359.5.11 The Operations Head shall review address proofs within 7 working days of receipt and record the outcome in the Customer Relationship system.

PART 30 - CHAPTER 360: INDEPENDENT AUDIT

Section 360.1 Independent Audit - Operating Rule Set 360.1

KAP-360.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-360.1.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-360.1.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2019/228 and that compliance is certified every quarter.

KAP-360.1.4 The Credit Committee shall review cash transaction reports within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-360.1.5 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-360.1.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-360.1.7 Cases involving cash transaction reports with an exposure above Rs. 445 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.10.

KAP-360.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-360.1.9 Cases involving account-opening forms with an exposure above Rs. 484 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.3.

KAP-360.1.10 Cases involving account-opening forms with an exposure above Rs. 354 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.30.

KAP-360.1.11 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/220 and that compliance is certified every quarter.

Section 360.2 Independent Audit - Operating Rule Set 360.2

KAP-360.2.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-360.2.2 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-360.2.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/229 and that compliance is certified every quarter.

KAP-360.2.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure E-9.

KAP-360.2.5 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure E-40.

KAP-360.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-360.2.7 Cases involving PEP screening results with an exposure above Rs. 297 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.12.

KAP-360.2.8 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/146 and that compliance is certified every quarter.

KAP-360.2.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 360.3 Independent Audit - Operating Rule Set 360.3

KAP-360.3.1 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-360.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-360.3.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/007 and that compliance is certified every quarter.

KAP-360.3.4 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-360.3.5 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-360.3.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/004 and that compliance is certified every quarter.

KAP-360.3.7 The Audit Department shall review cash transaction reports within 25 working days of receipt and record the outcome in the Document Management system.

KAP-360.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-360.3.9 Cases involving account-opening forms with an exposure above Rs. 239 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.23.

KAP-360.3.10 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure D-38.

KAP-360.3.11 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

Section 360.4 Independent Audit - Operating Rule Set 360.4

KAP-360.4.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure D-35.

KAP-360.4.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/137 and that compliance is certified every quarter.

KAP-360.4.3 The Audit Department shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-360.4.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/122 and that compliance is certified every quarter.

KAP-360.4.5 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-33.

KAP-360.4.6 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-360.4.7 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-360.4.8 Cases involving cash transaction reports with an exposure above Rs. 274 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.19.

KAP-360.4.9 Cases involving identity documents with an exposure above Rs. 161 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.8.

KAP-360.4.10 Cases involving risk-rating files with an exposure above Rs. 31 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.9.

KAP-360.4.11 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

Section 360.5 Independent Audit - Operating Rule Set 360.5

KAP-360.5.1 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-360.5.2 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-360.5.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-360.5.4 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-360.5.5 The Regional Credit Officer shall review identity documents within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-360.5.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure E-35.

KAP-360.5.7 The Branch Manager shall review address proofs within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-360.5.8 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/090 and that compliance is certified every quarter.

KAP-360.5.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure F-14.

KAP-360.5.10 Cases involving address proofs with an exposure above Rs. 325 lakh require prior written approval from the

Zonal Head; otherwise the case is an exception under Clause 2.11.

PART 31 - CHAPTER 361: CUSTOMER ACCEPTANCE

Section 361.1 Customer Acceptance - Operating Rule Set 361.1

KAP-361.1.1 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/274 and that compliance is certified every quarter.

KAP-361.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 340 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.18.

KAP-361.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-361.1.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

KAP-361.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 149 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.25.

KAP-361.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-361.1.7 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-361.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-361.1.9 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-361.1.10 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-361.1.11 The Compliance Officer shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-361.1.12 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure D-31.

Section 361.2 Customer Acceptance - Operating Rule Set 361.2

KAP-361.2.1 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/254 and that compliance is certified every quarter.

KAP-361.2.2 The Zonal Head shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

KAP-361.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-361.2.4 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-361.2.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/147 and that compliance is certified every quarter.

KAP-361.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-361.2.7 Cases involving cash transaction reports with an exposure above Rs. 341 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.14.

KAP-361.2.8 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-361.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-361.2.10 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/195 and that compliance is certified every quarter.

KAP-361.2.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

Section 361.3 Customer Acceptance - Operating Rule Set 361.3

KAP-361.3.1 Cases involving cash transaction reports with an exposure above Rs. 5 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.19.

KAP-361.3.2 The Risk Management Department shall review identity documents within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-361.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-361.3.4 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-361.3.5 The Credit Committee shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-361.3.6 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-361.3.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/136 and that compliance is certified every quarter.

KAP-361.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-361.3.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-361.3.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 361.4 Customer Acceptance - Operating Rule Set 361.4

KAP-361.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-361.4.2 The Compliance Officer shall review risk-rating files within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-361.4.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure E-23.

KAP-361.4.4 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/290 and that compliance is certified every quarter.

KAP-361.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-361.4.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure H-36.

KAP-361.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-361.4.8 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/213 and that compliance is certified every quarter.

KAP-361.4.9 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-361.4.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure B-34.

KAP-361.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 361.5 Customer Acceptance - Operating Rule Set 361.5

KAP-361.5.1 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-361.5.2 The Audit Department shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Case Management system.

KAP-361.5.3 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure A-1.

KAP-361.5.4 In case of a request for exception, the Risk Management Department must escalate the matter to the

Operations Head within 5 working days, with the supporting documents listed in Annexure B-12.

KAP-361.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-361.5.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/133 and that compliance is certified every quarter.

KAP-361.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-361.5.8 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/069 and that compliance is certified every quarter.

KAP-361.5.9 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/139 and that compliance is certified every quarter.

Section 361.6 Customer Acceptance - Operating Rule Set 361.6

KAP-361.6.1 The Credit Committee shall review account-opening forms within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-361.6.2 The Branch Manager shall review PEP screening results within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-361.6.3 The Branch Manager shall review PEP screening results within 16 working days of receipt and record the outcome in the Document Management system.

KAP-361.6.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-361.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-361.6.6 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-361.6.7 The Operations Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-361.6.8 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/240 and that compliance is certified every quarter.

KAP-361.6.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-361.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-361.6.11 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/159 and that compliance is certified every quarter.

KAP-361.6.12 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-361.6.13 Cases involving address proofs with an exposure above Rs. 312 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.16.

Section 361.7 Customer Acceptance - Operating Rule Set 361.7

KAP-361.7.1 Cases involving account-opening forms with an exposure above Rs. 171 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.13.

KAP-361.7.2 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-361.7.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-361.7.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-361.7.5 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/159 and that compliance is certified every quarter.

KAP-361.7.6 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-361.7.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-361.7.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-361.7.9 The Operations Head shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-361.7.10 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/259 and that compliance is certified every quarter.

KAP-361.7.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-361.7.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 247 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.29.

PART 31 - CHAPTER 362: CUSTOMER IDENTIFICATION

Section 362.1 Customer Identification - Operating Rule Set 362.1

KAP-362.1.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure E-30.

KAP-362.1.2 Cases involving address proofs with an exposure above Rs. 231 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.25.

KAP-362.1.3 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-362.1.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-362.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-362.1.6 Cases involving identity documents with an exposure above Rs. 472 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.8.

KAP-362.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-362.1.8 The Compliance Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Document Management system.

KAP-362.1.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure E-36.

KAP-362.1.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-362.1.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 362.2 Customer Identification - Operating Rule Set 362.2

KAP-362.2.1 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure C-26.

KAP-362.2.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/040 and that compliance is certified every quarter.

KAP-362.2.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-362.2.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/103 and that compliance is certified every quarter.

KAP-362.2.5 The Compliance Officer shall review account-opening forms within 19 working days of receipt and record the outcome in the Case Management system.

KAP-362.2.6 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-362.2.7 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-362.2.8 The Regional Credit Officer shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-362.2.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-362.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-362.2.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-362.2.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 362.3 Customer Identification - Operating Rule Set 362.3

KAP-362.3.1 The Risk Management Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-362.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-362.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-362.3.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-362.3.5 Cases involving identity documents with an exposure above Rs. 30 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.28.

KAP-362.3.6 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-362.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 198 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.11.

KAP-362.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-362.3.9 The Branch Manager shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Case Management system.

KAP-362.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 362.4 Customer Identification - Operating Rule Set 362.4

KAP-362.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-362.4.2 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-362.4.3 The Compliance Officer shall review PEP screening results within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-362.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-362.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-362.4.6 Cases involving correspondent-bank relationships with an exposure above Rs. 461 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.16.

KAP-362.4.7 Cases involving address proofs with an exposure above Rs. 113 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.22.

KAP-362.4.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/219 and that compliance is certified every quarter.

KAP-362.4.9 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-362.4.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management

Department by the 9th day of the following month.

Section 362.5 Customer Identification - Operating Rule Set 362.5

KAP-362.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-362.5.2 Cases involving risk-rating files with an exposure above Rs. 277 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.14.

KAP-362.5.3 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/255 and that compliance is certified every quarter.

KAP-362.5.4 In case of a system outage, the Branch Manager must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-17.

KAP-362.5.5 The Branch Manager shall review account-opening forms within 29 working days of receipt and record the outcome in the Document Management system.

KAP-362.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-362.5.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-362.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-362.5.9 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-362.5.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-362.5.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

PART 31 - CHAPTER 363: CUSTOMER DUE DILIGENCE

Section 363.1 Customer Due Diligence - Operating Rule Set 363.1

KAP-363.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-363.1.2 The Risk Management Department shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-363.1.3 Cases involving risk-rating files with an exposure above Rs. 103 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.2.

KAP-363.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-363.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-363.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-363.1.7 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-363.1.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/255 and that compliance is certified every quarter.

KAP-363.1.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-363.1.10 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-23.

KAP-363.1.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 363.2 Customer Due Diligence - Operating Rule Set 363.2

KAP-363.2.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-4.

KAP-363.2.2 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/262 and that compliance is certified every quarter.

KAP-363.2.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-363.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-363.2.5 The Audit Department shall review risk-rating files within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-363.2.6 The Regional Credit Officer shall review risk-rating files within 4 working days of receipt and record the outcome in the Document Management system.

KAP-363.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-363.2.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-363.2.9 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-363.2.10 The Credit Committee shall review cash transaction reports within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-363.2.11 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/050 and that compliance is certified every quarter.

Section 363.3 Customer Due Diligence - Operating Rule Set 363.3

KAP-363.3.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-363.3.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-363.3.3 Cases involving correspondent-bank relationships with an exposure above Rs. 105 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.27.

KAP-363.3.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-363.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-363.3.6 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

KAP-363.3.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-20.

KAP-363.3.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure A-28.

KAP-363.3.9 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure D-16.

KAP-363.3.10 The Branch Manager shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Case Management system.

KAP-363.3.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-363.3.12 Cases involving address proofs with an exposure above Rs. 58 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.27.

KAP-363.3.13 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 363.4 Customer Due Diligence - Operating Rule Set 363.4

KAP-363.4.1 Cases involving account-opening forms with an exposure above Rs. 387 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.14.

KAP-363.4.2 The Credit Committee shall review alerts generated by the monitoring system within 16 working days of receipt

and record the outcome in the Core Banking system.

KAP-363.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-363.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-363.4.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-363.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-363.4.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-363.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-363.4.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 363.5 Customer Due Diligence - Operating Rule Set 363.5

KAP-363.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-363.5.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure D-1.

KAP-363.5.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-363.5.4 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-363.5.5 The Compliance Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Case Management system.

KAP-363.5.6 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/074 and that compliance is certified every quarter.

KAP-363.5.7 Cases involving account-opening forms with an exposure above Rs. 457 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.12.

KAP-363.5.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-12.

KAP-363.5.9 Cases involving identity documents with an exposure above Rs. 228 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.3.

Section 363.6 Customer Due Diligence - Operating Rule Set 363.6

KAP-363.6.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-363.6.2 Cases involving address proofs with an exposure above Rs. 440 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.24.

KAP-363.6.3 The Zonal Head shall review identity documents within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-363.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-363.6.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure E-7.

KAP-363.6.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-363.6.7 Cases involving video-KYC sessions with an exposure above Rs. 134 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.12.

KAP-363.6.8 The Branch Manager shall review identity documents within 4 working days of receipt and record the outcome in the Document Management system.

PART 31 - CHAPTER 364: ENHANCED DUE DILIGENCE

Section 364.1 Enhanced Due Diligence - Operating Rule Set 364.1

KAP-364.1.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-364.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 152 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.4.

KAP-364.1.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-364.1.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-364.1.5 Cases involving risk-rating files with an exposure above Rs. 375 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.29.

KAP-364.1.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-364.1.7 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-364.1.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-364.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 364.2 Enhanced Due Diligence - Operating Rule Set 364.2

KAP-364.2.1 Cases involving account-opening forms with an exposure above Rs. 128 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.17.

KAP-364.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-364.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-364.2.4 Cases involving risk-rating files with an exposure above Rs. 354 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.22.

KAP-364.2.5 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-364.2.6 Cases involving video-KYC sessions with an exposure above Rs. 435 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.18.

KAP-364.2.7 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure A-16.

KAP-364.2.8 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-364.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-364.2.10 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure E-4.

KAP-364.2.11 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-364.2.12 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

Section 364.3 Enhanced Due Diligence - Operating Rule Set 364.3

KAP-364.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-364.3.2 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-364.3.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after

giving the customer 29 days written notice.

KAP-364.3.4 Cases involving address proofs with an exposure above Rs. 266 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.16.

KAP-364.3.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-364.3.6 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-364.3.7 Cases involving PEP screening results with an exposure above Rs. 395 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.7.

KAP-364.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-364.3.9 The Audit Department shall review PEP screening results within 10 working days of receipt and record the outcome in the Customer Relationship system.

Section 364.4 Enhanced Due Diligence - Operating Rule Set 364.4

KAP-364.4.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-364.4.2 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure G-33.

KAP-364.4.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-364.4.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/081 and that compliance is certified every quarter.

KAP-364.4.5 Cases involving cash transaction reports with an exposure above Rs. 70 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.12.

KAP-364.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-364.4.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/046 and that compliance is certified every quarter.

KAP-364.4.8 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/155 and that compliance is certified every quarter.

KAP-364.4.9 Cases involving account-opening forms with an exposure above Rs. 103 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.21.

PART 31 - CHAPTER 365: RISK CATEGORISATION

Section 365.1 Risk Categorisation - Operating Rule Set 365.1

KAP-365.1.1 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-365.1.2 The Operations Head shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Case Management system.

KAP-365.1.3 The Risk Management Department shall review account-opening forms within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-365.1.4 In case of a system outage, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure G-23.

KAP-365.1.5 The Operations Head shall review account-opening forms within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-365.1.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure B-37.

KAP-365.1.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure G-4.

KAP-365.1.8 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-365.1.9 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2023/239 and that compliance is certified every quarter.

KAP-365.1.10 Cases involving cash transaction reports with an exposure above Rs. 17 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.25.

KAP-365.1.11 Cases involving address proofs with an exposure above Rs. 377 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.16.

Section 365.2 Risk Categorisation - Operating Rule Set 365.2

KAP-365.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-365.2.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-365.2.3 Cases involving account-opening forms with an exposure above Rs. 164 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.7.

KAP-365.2.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-365.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-365.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-365.2.7 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure F-31.

KAP-365.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-365.2.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/235 and that compliance is certified every quarter.

KAP-365.2.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-365.2.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-365.2.12 Cases involving PEP screening results with an exposure above Rs. 5 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.19.

KAP-365.2.13 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 365.3 Risk Categorisation - Operating Rule Set 365.3

KAP-365.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 260 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.15.

KAP-365.3.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/253 and that compliance is certified every quarter.

KAP-365.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-365.3.4 Cases involving identity documents with an exposure above Rs. 424 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.14.

KAP-365.3.5 The Branch Manager shall review PEP screening results within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-365.3.6 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-365.3.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/213 and that compliance is certified every quarter.

KAP-365.3.8 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-365.3.9 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure H-20.

Section 365.4 Risk Categorisation - Operating Rule Set 365.4

KAP-365.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 385 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.1.

KAP-365.4.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure C-37.

KAP-365.4.3 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/253 and that compliance is certified every quarter.

KAP-365.4.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure B-39.

KAP-365.4.5 Cases involving address proofs with an exposure above Rs. 145 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.27.

KAP-365.4.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-365.4.7 The Audit Department shall review cash transaction reports within 29 working days of receipt and record the outcome in the Document Management system.

KAP-365.4.8 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-365.4.9 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/055 and that compliance is certified every quarter.

KAP-365.4.10 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

Section 365.5 Risk Categorisation - Operating Rule Set 365.5

KAP-365.5.1 Cases involving video-KYC sessions with an exposure above Rs. 342 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.14.

KAP-365.5.2 Cases involving identity documents with an exposure above Rs. 478 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.29.

KAP-365.5.3 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure B-1.

KAP-365.5.4 The Branch Manager shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-365.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-365.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-365.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 52 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.25.

KAP-365.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-365.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 466 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.29.

KAP-365.5.10 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-365.5.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-365.5.12 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 365.6 Risk Categorisation - Operating Rule Set 365.6

KAP-365.6.1 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-365.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-365.6.3 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/264 and that compliance is certified every quarter.

KAP-365.6.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-365.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-365.6.6 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/005 and that compliance is certified every quarter.

KAP-365.6.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-365.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-365.6.9 The Operations Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

KAP-365.6.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

PART 31 - CHAPTER 366: TRANSACTION MONITORING

Section 366.1 Transaction Monitoring - Operating Rule Set 366.1

KAP-366.1.1 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/177 and that compliance is certified every quarter.

KAP-366.1.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-366.1.3 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-366.1.4 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-366.1.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-366.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-366.1.7 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-366.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 366.2 Transaction Monitoring - Operating Rule Set 366.2

KAP-366.2.1 The Regional Credit Officer shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-366.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-366.2.3 The Regional Credit Officer shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-366.2.4 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-366.2.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-366.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-366.2.7 Cases involving cash transaction reports with an exposure above Rs. 465 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.4.

KAP-366.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

Section 366.3 Transaction Monitoring - Operating Rule Set 366.3

KAP-366.3.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/129 and that compliance is certified every quarter.

KAP-366.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-366.3.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure D-33.

KAP-366.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-366.3.5 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/196 and that compliance is certified every quarter.

KAP-366.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-366.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-366.3.8 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-366.3.9 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-366.3.10 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/141 and that compliance is certified every quarter.

Section 366.4 Transaction Monitoring - Operating Rule Set 366.4

KAP-366.4.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-366.4.2 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure E-24.

KAP-366.4.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure E-32.

KAP-366.4.4 The Risk Management Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-366.4.5 Cases involving account-opening forms with an exposure above Rs. 7 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.21.

KAP-366.4.6 Cases involving address proofs with an exposure above Rs. 222 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.14.

KAP-366.4.7 Cases involving cash transaction reports with an exposure above Rs. 415 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.13.

KAP-366.4.8 Cases involving risk-rating files with an exposure above Rs. 322 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.16.

KAP-366.4.9 The Credit Committee shall review identity documents within 26 working days of receipt and record the outcome in the Document Management system.

KAP-366.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-366.4.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-366.4.12 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/267 and that compliance is certified every quarter.

KAP-366.4.13 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

Section 366.5 Transaction Monitoring - Operating Rule Set 366.5

KAP-366.5.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure A-16.

KAP-366.5.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure B-25.

KAP-366.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 192 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.21.

KAP-366.5.4 Cases involving risk-rating files with an exposure above Rs. 491 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.15.

KAP-366.5.5 The Regional Credit Officer shall review address proofs within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-366.5.6 Cases involving risk-rating files with an exposure above Rs. 464 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.22.

KAP-366.5.7 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-366.5.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure G-2.

KAP-366.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 402 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.4.

PART 31 - CHAPTER 367: SUSPICIOUS TRANSACTION REPORTING

Section 367.1 Suspicious Transaction Reporting - Operating Rule Set 367.1

KAP-367.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-367.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-367.1.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-367.1.4 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-367.1.5 Cases involving cash transaction reports with an exposure above Rs. 273 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.18.

KAP-367.1.6 Cases involving address proofs with an exposure above Rs. 98 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.5.

KAP-367.1.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-367.1.8 Cases involving risk-rating files with an exposure above Rs. 135 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.9.

KAP-367.1.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-367.1.10 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 367.2 Suspicious Transaction Reporting - Operating Rule Set 367.2

KAP-367.2.1 The Operations Head shall review address proofs within 28 working days of receipt and record the outcome in the Document Management system.

KAP-367.2.2 Cases involving account-opening forms with an exposure above Rs. 432 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.10.

KAP-367.2.3 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-367.2.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-367.2.5 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-367.2.6 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure G-21.

KAP-367.2.7 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-367.2.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/216 and that compliance is certified every quarter.

KAP-367.2.9 The Risk Management Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-367.2.10 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure A-12.

KAP-367.2.11 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-367.2.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-367.2.13 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/069 and that compliance is certified every quarter.

Section 367.3 Suspicious Transaction Reporting - Operating Rule Set 367.3

KAP-367.3.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure G-26.

KAP-367.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-367.3.3 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-20.

KAP-367.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-367.3.5 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-367.3.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-367.3.7 Cases involving address proofs with an exposure above Rs. 382 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.2.

KAP-367.3.8 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/052 and that compliance is certified every quarter.

KAP-367.3.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-367.3.10 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-367.3.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

Section 367.4 Suspicious Transaction Reporting - Operating Rule Set 367.4

KAP-367.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-367.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 327 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.10.

KAP-367.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 63 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.11.

KAP-367.4.4 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/243 and that compliance is certified every quarter.

KAP-367.4.5 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-367.4.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/184 and that compliance is certified every quarter.

KAP-367.4.7 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular

KAP/2021/164 and that compliance is certified every quarter.

KAP-367.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-367.4.9 The Operations Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Core Banking system.

Section 367.5 Suspicious Transaction Reporting - Operating Rule Set 367.5

KAP-367.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-367.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-367.5.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure E-16.

KAP-367.5.4 Cases involving PEP screening results with an exposure above Rs. 448 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.7.

KAP-367.5.5 Cases involving cash transaction reports with an exposure above Rs. 373 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.15.

KAP-367.5.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-367.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-367.5.8 The Zonal Head shall review account-opening forms within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-367.5.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-367.5.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure E-4.

Section 367.6 Suspicious Transaction Reporting - Operating Rule Set 367.6

KAP-367.6.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-367.6.2 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/155 and that compliance is certified every quarter.

KAP-367.6.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure E-27.

KAP-367.6.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-367.6.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure C-2.

KAP-367.6.6 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-367.6.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-367.6.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-367.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-367.6.10 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure A-13.

KAP-367.6.11 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure C-5.

PART 31 - CHAPTER 368: POLITICALLY EXPOSED PERSONS

Section 368.1 Politically Exposed Persons - Operating Rule Set 368.1

KAP-368.1.1 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/214 and that compliance is certified every quarter.

KAP-368.1.2 The Operations Head shall review identity documents within 30 working days of receipt and record the outcome in the Case Management system.

KAP-368.1.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-368.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-368.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-368.1.6 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-368.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-368.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-368.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-368.1.10 The Branch Manager shall review address proofs within 13 working days of receipt and record the outcome in the Loan Origination system.

Section 368.2 Politically Exposed Persons - Operating Rule Set 368.2

KAP-368.2.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-368.2.2 Cases involving PEP screening results with an exposure above Rs. 258 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.14.

KAP-368.2.3 The Operations Head shall review identity documents within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-368.2.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure B-10.

KAP-368.2.5 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure C-23.

KAP-368.2.6 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-17.

KAP-368.2.7 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-368.2.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure B-25.

KAP-368.2.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure G-9.

KAP-368.2.10 The Operations Head shall review risk-rating files within 8 working days of receipt and record the outcome in the Case Management system.

KAP-368.2.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 368.3 Politically Exposed Persons - Operating Rule Set 368.3

KAP-368.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-368.3.2 For NRI customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-368.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-368.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made

available to the regulator on request.

KAP-368.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 405 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.1.

KAP-368.3.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-368.3.7 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-368.3.8 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-368.3.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure C-2.

KAP-368.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-368.3.11 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/249 and that compliance is certified every quarter.

KAP-368.3.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 368.4 Politically Exposed Persons - Operating Rule Set 368.4

KAP-368.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-368.4.2 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-25.

KAP-368.4.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-368.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-368.4.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-368.4.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/192 and that compliance is certified every quarter.

KAP-368.4.7 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/298 and that compliance is certified every quarter.

KAP-368.4.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure D-9.

KAP-368.4.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-368.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-368.4.11 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/173 and that compliance is certified every quarter.

KAP-368.4.12 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-368.4.13 The Compliance Officer shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Customer Relationship system.

Section 368.5 Politically Exposed Persons - Operating Rule Set 368.5

KAP-368.5.1 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-368.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-368.5.3 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-368.5.4 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-368.5.5 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/232 and that compliance is certified every quarter.

KAP-368.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-368.5.7 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/160 and that compliance is certified every quarter.

KAP-368.5.8 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

Section 368.6 Politically Exposed Persons - Operating Rule Set 368.6

KAP-368.6.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-368.6.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-368.6.3 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-368.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 288 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

KAP-368.6.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-368.6.6 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/229 and that compliance is certified every quarter.

KAP-368.6.7 Cases involving video-KYC sessions with an exposure above Rs. 427 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.17.

KAP-368.6.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure H-10.

KAP-368.6.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-368.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-368.6.11 Cases involving video-KYC sessions with an exposure above Rs. 200 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.26.

PART 31 - CHAPTER 369: BENEFICIAL OWNERSHIP

Section 369.1 Beneficial Ownership - Operating Rule Set 369.1

KAP-369.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-369.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-369.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-369.1.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-369.1.5 The Audit Department shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-369.1.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-369.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-369.1.8 The Operations Head shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-369.1.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure D-39.

Section 369.2 Beneficial Ownership - Operating Rule Set 369.2

KAP-369.2.1 Cases involving PEP screening results with an exposure above Rs. 460 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.28.

KAP-369.2.2 The Compliance Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-369.2.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-369.2.4 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/061 and that compliance is certified every quarter.

KAP-369.2.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/135 and that compliance is certified every quarter.

KAP-369.2.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-369.2.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/190 and that compliance is certified every quarter.

KAP-369.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-369.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 363 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.27.

KAP-369.2.10 Cases involving account-opening forms with an exposure above Rs. 76 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.10.

Section 369.3 Beneficial Ownership - Operating Rule Set 369.3

KAP-369.3.1 Cases involving correspondent-bank relationships with an exposure above Rs. 375 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.19.

KAP-369.3.2 The Risk Management Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-369.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 314 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.8.

KAP-369.3.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-369.3.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-369.3.6 The Zonal Head shall review cash transaction reports within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-369.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-369.3.8 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-369.3.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure G-38.

Section 369.4 Beneficial Ownership - Operating Rule Set 369.4

KAP-369.4.1 The Risk Management Department shall review PEP screening results within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-369.4.2 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure A-17.

KAP-369.4.3 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/271 and that compliance is certified every quarter.

KAP-369.4.4 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-369.4.5 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-369.4.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-369.4.7 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-20.

KAP-369.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-369.4.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/271 and that compliance is certified every quarter.

KAP-369.4.10 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure E-32.

KAP-369.4.11 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 369.5 Beneficial Ownership - Operating Rule Set 369.5

KAP-369.5.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/203 and that compliance is certified every quarter.

KAP-369.5.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure H-37.

KAP-369.5.3 The Risk Management Department shall review address proofs within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-369.5.4 The Risk Management Department shall review PEP screening results within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-369.5.5 The Audit Department shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-369.5.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure H-3.

KAP-369.5.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

KAP-369.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-369.5.9 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-369.5.10 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure E-39.

Section 369.6 Beneficial Ownership - Operating Rule Set 369.6

KAP-369.6.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/255 and that compliance is certified every quarter.

KAP-369.6.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-369.6.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-369.6.4 The Credit Committee shall review PEP screening results within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-369.6.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure B-3.

KAP-369.6.6 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-369.6.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-369.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by

the 3th day of the following month.

KAP-369.6.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-369.6.10 In case of a system outage, the Zonal Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure A-5.

PART 31 - CHAPTER 370: RECORD KEEPING

Section 370.1 Record Keeping - Operating Rule Set 370.1

KAP-370.1.1 The Operations Head shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-370.1.2 The Credit Committee shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-370.1.3 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-370.1.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-370.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-370.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-370.1.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure C-21.

KAP-370.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-370.1.9 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-370.1.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-370.1.11 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/200 and that compliance is certified every quarter.

KAP-370.1.12 The Zonal Head shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Document Management system.

Section 370.2 Record Keeping - Operating Rule Set 370.2

KAP-370.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 299 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.6.

KAP-370.2.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/038 and that compliance is certified every quarter.

KAP-370.2.3 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-370.2.4 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-370.2.5 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-370.2.6 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure G-5.

KAP-370.2.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-370.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-370.2.9 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/223 and that compliance is certified every quarter.

Section 370.3 Record Keeping - Operating Rule Set 370.3

KAP-370.3.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-370.3.2 The Zonal Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Document Management system.

KAP-370.3.3 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure D-27.

KAP-370.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-370.3.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-370.3.6 Cases involving identity documents with an exposure above Rs. 232 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.24.

KAP-370.3.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/270 and that compliance is certified every quarter.

KAP-370.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

Section 370.4 Record Keeping - Operating Rule Set 370.4

KAP-370.4.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure F-28.

KAP-370.4.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/175 and that compliance is certified every quarter.

KAP-370.4.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/039 and that compliance is certified every quarter.

KAP-370.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-370.4.5 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-370.4.6 Cases involving identity documents with an exposure above Rs. 118 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.22.

KAP-370.4.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-370.4.8 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-370.4.9 Cases involving risk-rating files with an exposure above Rs. 12 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.21.

KAP-370.4.10 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-370.4.11 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure A-14.

Section 370.5 Record Keeping - Operating Rule Set 370.5

KAP-370.5.1 The Audit Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Document Management system.

KAP-370.5.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/259 and that compliance is certified every quarter.

KAP-370.5.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-370.5.4 Cases involving PEP screening results with an exposure above Rs. 213 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.3.

KAP-370.5.5 Cases involving PEP screening results with an exposure above Rs. 95 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.2.

KAP-370.5.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by

the 11th day of the following month.

KAP-370.5.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-370.5.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure D-28.

KAP-370.5.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-370.5.10 Cases involving beneficial-owner declarations with an exposure above Rs. 200 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.28.

KAP-370.5.11 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

PART 31 - CHAPTER 371: STAFF TRAINING

Section 371.1 Staff Training - Operating Rule Set 371.1

KAP-371.1.1 The Operations Head shall review address proofs within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-371.1.2 Cases involving identity documents with an exposure above Rs. 401 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.11.

KAP-371.1.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/159 and that compliance is certified every quarter.

KAP-371.1.4 Cases involving account-opening forms with an exposure above Rs. 307 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.8.

KAP-371.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-371.1.6 The Zonal Head shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-371.1.7 Cases involving account-opening forms with an exposure above Rs. 394 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.30.

KAP-371.1.8 The Credit Committee shall review address proofs within 17 working days of receipt and record the outcome in the Case Management system.

KAP-371.1.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/258 and that compliance is certified every quarter.

Section 371.2 Staff Training - Operating Rule Set 371.2

KAP-371.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-371.2.2 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-371.2.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure E-26.

KAP-371.2.4 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Case Management system.

KAP-371.2.5 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure E-15.

KAP-371.2.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-371.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-371.2.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-371.2.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/125 and that compliance is certified every quarter.

Section 371.3 Staff Training - Operating Rule Set 371.3

KAP-371.3.1 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/025 and that compliance is certified every quarter.

KAP-371.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-371.3.3 Cases involving video-KYC sessions with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.4.

KAP-371.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-371.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 103 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.11.

KAP-371.3.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/027 and that compliance is certified every quarter.

KAP-371.3.7 The Credit Committee shall review risk-rating files within 28 working days of receipt and record the outcome in the Case Management system.

KAP-371.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-371.3.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/028 and that compliance is certified every quarter.

KAP-371.3.10 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/156 and that compliance is certified every quarter.

KAP-371.3.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/053 and that compliance is certified every quarter.

KAP-371.3.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 371.4 Staff Training - Operating Rule Set 371.4

KAP-371.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-371.4.2 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-371.4.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure E-38.

KAP-371.4.4 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-35.

KAP-371.4.5 Cases involving risk-rating files with an exposure above Rs. 383 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.26.

KAP-371.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-371.4.7 The Audit Department shall review account-opening forms within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-371.4.8 Cases involving video-KYC sessions with an exposure above Rs. 339 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.22.

KAP-371.4.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/138 and that compliance is certified every quarter.

KAP-371.4.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

PART 31 - CHAPTER 372: INDEPENDENT AUDIT

Section 372.1 Independent Audit - Operating Rule Set 372.1

KAP-372.1.1 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/119 and that compliance is certified every quarter.

KAP-372.1.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure C-30.

KAP-372.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-372.1.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-372.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 333 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.10.

KAP-372.1.6 Cases involving account-opening forms with an exposure above Rs. 129 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.15.

KAP-372.1.7 The Zonal Head shall review address proofs within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-372.1.8 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-372.1.9 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/252 and that compliance is certified every quarter.

KAP-372.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

Section 372.2 Independent Audit - Operating Rule Set 372.2

KAP-372.2.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-372.2.2 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-372.2.3 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-372.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-372.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 157 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.19.

KAP-372.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-372.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-372.2.8 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-372.2.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-372.2.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-372.2.11 The Regional Credit Officer shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Case Management system.

Section 372.3 Independent Audit - Operating Rule Set 372.3

KAP-372.3.1 The Credit Committee shall review risk-rating files within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-372.3.2 Cases involving identity documents with an exposure above Rs. 472 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.19.

KAP-372.3.3 The Regional Credit Officer shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-372.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 255 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.27.

KAP-372.3.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-372.3.6 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a

tolerance of 2% as approved by the Board.

KAP-372.3.7 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-372.3.8 Cases involving video-KYC sessions with an exposure above Rs. 39 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.7.

KAP-372.3.9 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/139 and that compliance is certified every quarter.

Section 372.4 Independent Audit - Operating Rule Set 372.4

KAP-372.4.1 Cases involving PEP screening results with an exposure above Rs. 246 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.12.

KAP-372.4.2 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-372.4.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-372.4.4 The Branch Manager shall review identity documents within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-372.4.5 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure D-13.

KAP-372.4.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/106 and that compliance is certified every quarter.

KAP-372.4.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-372.4.8 Cases involving video-KYC sessions with an exposure above Rs. 13 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.16.

KAP-372.4.9 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-372.4.10 The Compliance Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Loan Origination system.

Section 372.5 Independent Audit - Operating Rule Set 372.5

KAP-372.5.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-372.5.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-372.5.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure G-33.

KAP-372.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-372.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-372.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-372.5.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure A-32.

KAP-372.5.8 The Credit Committee shall review cash transaction reports within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-372.5.9 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

PART 32 - CHAPTER 373: CUSTOMER ACCEPTANCE

Section 373.1 Customer Acceptance - Operating Rule Set 373.1

KAP-373.1.1 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure A-22.

KAP-373.1.2 For private-limited-company customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-373.1.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-373.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-373.1.5 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure H-5.

KAP-373.1.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-373.1.7 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure B-30.

KAP-373.1.8 Cases involving risk-rating files with an exposure above Rs. 394 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.2.

KAP-373.1.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-373.1.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-373.1.11 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-373.1.12 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

Section 373.2 Customer Acceptance - Operating Rule Set 373.2

KAP-373.2.1 The Credit Committee shall review cash transaction reports within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-373.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-373.2.3 The Operations Head shall review identity documents within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-373.2.4 Cases involving account-opening forms with an exposure above Rs. 103 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.4.

KAP-373.2.5 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-373.2.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure E-33.

KAP-373.2.7 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/059 and that compliance is certified every quarter.

KAP-373.2.8 The Risk Management Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-373.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 258 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.11.

Section 373.3 Customer Acceptance - Operating Rule Set 373.3

KAP-373.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-373.3.2 The Operations Head shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-373.3.3 Cases involving video-KYC sessions with an exposure above Rs. 88 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.27.

KAP-373.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-373.3.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 6 days written notice.

KAP-373.3.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-373.3.7 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-373.3.8 The Credit Committee shall review address proofs within 12 working days of receipt and record the outcome in the Case Management system.

Section 373.4 Customer Acceptance - Operating Rule Set 373.4

KAP-373.4.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure H-31.

KAP-373.4.2 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/115 and that compliance is certified every quarter.

KAP-373.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 177 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.27.

KAP-373.4.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-373.4.5 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-373.4.6 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/154 and that compliance is certified every quarter.

KAP-373.4.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/048 and that compliance is certified every quarter.

KAP-373.4.8 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-373.4.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-373.4.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-373.4.11 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/047 and that compliance is certified every quarter.

Section 373.5 Customer Acceptance - Operating Rule Set 373.5

KAP-373.5.1 The Risk Management Department shall review cash transaction reports within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-373.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-373.5.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure C-23.

KAP-373.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-373.5.5 Cases involving cash transaction reports with an exposure above Rs. 415 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.14.

KAP-373.5.6 The Zonal Head shall review PEP screening results within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-373.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-373.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-373.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 373.6 Customer Acceptance - Operating Rule Set 373.6

KAP-373.6.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Branch Manager by the 3th day of the following month.

KAP-373.6.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/114 and that compliance is certified every quarter.

KAP-373.6.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/032 and that compliance is certified every quarter.

KAP-373.6.4 Cases involving cash transaction reports with an exposure above Rs. 417 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.29.

KAP-373.6.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-373.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-373.6.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-373.6.8 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

PART 32 - CHAPTER 374: CUSTOMER IDENTIFICATION

Section 374.1 Customer Identification - Operating Rule Set 374.1

KAP-374.1.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-374.1.2 The Operations Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-374.1.3 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/013 and that compliance is certified every quarter.

KAP-374.1.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

KAP-374.1.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-374.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-374.1.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/180 and that compliance is certified every quarter.

KAP-374.1.8 Cases involving address proofs with an exposure above Rs. 217 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.10.

KAP-374.1.9 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/268 and that compliance is certified every quarter.

Section 374.2 Customer Identification - Operating Rule Set 374.2

KAP-374.2.1 The Audit Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-374.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-374.2.3 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure C-10.

KAP-374.2.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/214 and that compliance is certified every quarter.

KAP-374.2.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-374.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-374.2.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-374.2.8 The Operations Head shall review address proofs within 6 working days of receipt and record the outcome in

the Loan Origination system.

KAP-374.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-374.2.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-374.2.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

Section 374.3 Customer Identification - Operating Rule Set 374.3

KAP-374.3.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure F-12.

KAP-374.3.2 Cases involving video-KYC sessions with an exposure above Rs. 121 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.21.

KAP-374.3.3 The Risk Management Department shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Document Management system.

KAP-374.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-374.3.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-36.

KAP-374.3.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/244 and that compliance is certified every quarter.

KAP-374.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-374.3.8 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/090 and that compliance is certified every quarter.

Section 374.4 Customer Identification - Operating Rule Set 374.4

KAP-374.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-374.4.2 Cases involving risk-rating files with an exposure above Rs. 148 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.28.

KAP-374.4.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/161 and that compliance is certified every quarter.

KAP-374.4.4 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-374.4.5 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-374.4.6 Cases involving cash transaction reports with an exposure above Rs. 232 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.7.

KAP-374.4.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-374.4.8 Cases involving risk-rating files with an exposure above Rs. 209 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.14.

KAP-374.4.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-374.4.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure A-4.

KAP-374.4.11 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure C-38.

Section 374.5 Customer Identification - Operating Rule Set 374.5

KAP-374.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-374.5.2 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2022/194 and that compliance is certified every quarter.

KAP-374.5.3 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/151 and that compliance is certified every quarter.

KAP-374.5.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/082 and that compliance is certified every quarter.

KAP-374.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-374.5.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 342 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.11.

KAP-374.5.7 The Regional Credit Officer shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-374.5.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-374.5.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

PART 32 - CHAPTER 375: CUSTOMER DUE DILIGENCE

Section 375.1 Customer Due Diligence - Operating Rule Set 375.1

KAP-375.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-375.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-375.1.3 Cases involving video-KYC sessions with an exposure above Rs. 111 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.30.

KAP-375.1.4 The Zonal Head shall review risk-rating files within 20 working days of receipt and record the outcome in the Case Management system.

KAP-375.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-375.1.6 Cases involving PEP screening results with an exposure above Rs. 368 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.25.

KAP-375.1.7 The Zonal Head shall review cash transaction reports within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-375.1.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-39.

KAP-375.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-375.1.10 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-8.

KAP-375.1.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-375.1.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-375.1.13 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 375.2 Customer Due Diligence - Operating Rule Set 375.2

KAP-375.2.1 Cases involving risk-rating files with an exposure above Rs. 292 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.3.

KAP-375.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-375.2.3 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure C-14.

KAP-375.2.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after

giving the customer 6 days written notice.

KAP-375.2.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/223 and that compliance is certified every quarter.

KAP-375.2.6 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/003 and that compliance is certified every quarter.

KAP-375.2.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 4 working days, with the supporting documents listed in Annexure A-2.

KAP-375.2.8 The Branch Manager shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-375.2.9 The Credit Committee shall review risk-rating files within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-375.2.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-375.2.11 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure A-16.

KAP-375.2.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 375.3 Customer Due Diligence - Operating Rule Set 375.3

KAP-375.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-375.3.2 Cases involving risk-rating files with an exposure above Rs. 250 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.6.

KAP-375.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-375.3.4 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-375.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-375.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-375.3.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-375.3.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-375.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-375.3.10 Cases involving account-opening forms with an exposure above Rs. 357 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.2.

Section 375.4 Customer Due Diligence - Operating Rule Set 375.4

KAP-375.4.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure F-4.

KAP-375.4.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/008 and that compliance is certified every quarter.

KAP-375.4.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure B-13.

KAP-375.4.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure H-18.

KAP-375.4.5 The Compliance Officer shall review address proofs within 12 working days of receipt and record the outcome in the Document Management system.

KAP-375.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-375.4.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-375.4.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/080 and that compliance is certified every quarter.

KAP-375.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

Section 375.5 Customer Due Diligence - Operating Rule Set 375.5

KAP-375.5.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure F-7.

KAP-375.5.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-375.5.3 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure G-24.

KAP-375.5.4 Cases involving PEP screening results with an exposure above Rs. 80 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.4.

KAP-375.5.5 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-375.5.6 The Compliance Officer shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-375.5.7 The Credit Committee shall review account-opening forms within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-375.5.8 The Risk Management Department shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-375.5.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/160 and that compliance is certified every quarter.

KAP-375.5.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-375.5.11 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure G-27.

Section 375.6 Customer Due Diligence - Operating Rule Set 375.6

KAP-375.6.1 Cases involving correspondent-bank relationships with an exposure above Rs. 103 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.25.

KAP-375.6.2 The Compliance Officer shall review identity documents within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-375.6.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-375.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 484 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.25.

KAP-375.6.5 The Zonal Head shall review cash transaction reports within 12 working days of receipt and record the outcome in the Document Management system.

KAP-375.6.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-375.6.7 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/271 and that compliance is certified every quarter.

KAP-375.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-375.6.9 The Risk Management Department shall review account-opening forms within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-375.6.10 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/025 and that compliance is certified every quarter.

KAP-375.6.11 Cases involving address proofs with an exposure above Rs. 301 lakh require prior written approval from the

Zonal Head; otherwise the case is an exception under Clause 13.14.

KAP-375.6.12 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure F-2.

Section 375.7 Customer Due Diligence - Operating Rule Set 375.7

KAP-375.7.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-375.7.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure G-39.

KAP-375.7.3 Cases involving address proofs with an exposure above Rs. 277 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.6.

KAP-375.7.4 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/141 and that compliance is certified every quarter.

KAP-375.7.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure F-35.

KAP-375.7.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-375.7.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-375.7.8 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-375.7.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-375.7.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-375.7.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-375.7.12 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/174 and that compliance is certified every quarter.

PART 32 - CHAPTER 376: ENHANCED DUE DILIGENCE

Section 376.1 Enhanced Due Diligence - Operating Rule Set 376.1

KAP-376.1.1 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-376.1.2 The Compliance Officer shall review cash transaction reports within 3 working days of receipt and record the outcome in the Case Management system.

KAP-376.1.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/048 and that compliance is certified every quarter.

KAP-376.1.4 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-376.1.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-376.1.6 The Regional Credit Officer shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-376.1.7 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/054 and that compliance is certified every quarter.

KAP-376.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-376.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-376.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 376.2 Enhanced Due Diligence - Operating Rule Set 376.2

KAP-376.2.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-376.2.2 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-376.2.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-376.2.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-376.2.5 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure B-22.

KAP-376.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-376.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-376.2.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 17 days written notice.

Section 376.3 Enhanced Due Diligence - Operating Rule Set 376.3

KAP-376.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-376.3.2 The Credit Committee shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-376.3.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure H-38.

KAP-376.3.4 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/292 and that compliance is certified every quarter.

KAP-376.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-376.3.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure D-28.

KAP-376.3.7 Cases involving identity documents with an exposure above Rs. 25 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.29.

KAP-376.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-376.3.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 376.4 Enhanced Due Diligence - Operating Rule Set 376.4

KAP-376.4.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-376.4.2 Cases involving cash transaction reports with an exposure above Rs. 50 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.19.

KAP-376.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-376.4.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-376.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-376.4.6 The Zonal Head shall review address proofs within 10 working days of receipt and record the outcome in the Document Management system.

KAP-376.4.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-376.4.8 The Credit Committee shall review risk-rating files within 16 working days of receipt and record the outcome in

the Risk Engine system.

KAP-376.4.9 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/092 and that compliance is certified every quarter.

KAP-376.4.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

Section 376.5 Enhanced Due Diligence - Operating Rule Set 376.5

KAP-376.5.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/291 and that compliance is certified every quarter.

KAP-376.5.2 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure F-5.

KAP-376.5.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/222 and that compliance is certified every quarter.

KAP-376.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-376.5.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-376.5.6 Cases involving risk-rating files with an exposure above Rs. 398 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.9.

KAP-376.5.7 Cases involving cash transaction reports with an exposure above Rs. 190 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.8.

KAP-376.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-376.5.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure C-24.

Section 376.6 Enhanced Due Diligence - Operating Rule Set 376.6

KAP-376.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-376.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-376.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-376.6.4 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-25.

KAP-376.6.5 The Credit Committee shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-376.6.6 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-376.6.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure E-25.

KAP-376.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-376.6.9 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-376.6.10 The Compliance Officer shall review address proofs within 10 working days of receipt and record the outcome in the Core Banking system.

PART 32 - CHAPTER 377: RISK CATEGORISATION

Section 377.1 Risk Categorisation - Operating Rule Set 377.1

KAP-377.1.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-377.1.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/194 and that compliance is certified every quarter.

KAP-377.1.3 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-377.1.4 The Risk Management Department shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-377.1.5 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-377.1.6 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/112 and that compliance is certified every quarter.

KAP-377.1.7 The Audit Department shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-377.1.8 The Compliance Officer shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-377.1.9 Cases involving risk-rating files with an exposure above Rs. 481 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.30.

KAP-377.1.10 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-377.1.11 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-377.1.12 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure H-18.

KAP-377.1.13 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 377.2 Risk Categorisation - Operating Rule Set 377.2

KAP-377.2.1 The Audit Department shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-377.2.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/210 and that compliance is certified every quarter.

KAP-377.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-377.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-377.2.5 Cases involving PEP screening results with an exposure above Rs. 308 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.4.

KAP-377.2.6 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-377.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-377.2.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 377.3 Risk Categorisation - Operating Rule Set 377.3

KAP-377.3.1 The Branch Manager shall review risk-rating files within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-377.3.2 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-377.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-377.3.4 Cases involving risk-rating files with an exposure above Rs. 265 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.15.

KAP-377.3.5 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-377.3.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after

giving the customer 29 days written notice.

KAP-377.3.7 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-377.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

Section 377.4 Risk Categorisation - Operating Rule Set 377.4

KAP-377.4.1 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/099 and that compliance is certified every quarter.

KAP-377.4.2 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-377.4.3 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-377.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-377.4.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure A-27.

KAP-377.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-377.4.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure E-38.

KAP-377.4.8 The Risk Management Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Document Management system.

KAP-377.4.9 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-377.4.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

Section 377.5 Risk Categorisation - Operating Rule Set 377.5

KAP-377.5.1 Cases involving cash transaction reports with an exposure above Rs. 75 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.6.

KAP-377.5.2 The Branch Manager shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-377.5.3 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/200 and that compliance is certified every quarter.

KAP-377.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-377.5.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-377.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-377.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-377.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-377.5.9 The Audit Department shall review risk-rating files within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-377.5.10 The Zonal Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-377.5.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-377.5.12 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

Section 377.6 Risk Categorisation - Operating Rule Set 377.6

KAP-377.6.1 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-377.6.2 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-377.6.3 Cases involving correspondent-bank relationships with an exposure above Rs. 372 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.17.

KAP-377.6.4 The Compliance Officer shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-377.6.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/115 and that compliance is certified every quarter.

KAP-377.6.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 207 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.10.

KAP-377.6.7 The Operations Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-377.6.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-377.6.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 377.7 Risk Categorisation - Operating Rule Set 377.7

KAP-377.7.1 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/146 and that compliance is certified every quarter.

KAP-377.7.2 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-377.7.3 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-377.7.4 Cases involving address proofs with an exposure above Rs. 83 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.29.

KAP-377.7.5 Cases involving identity documents with an exposure above Rs. 275 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.5.

KAP-377.7.6 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-377.7.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/080 and that compliance is certified every quarter.

KAP-377.7.8 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-377.7.9 Cases involving beneficial-owner declarations with an exposure above Rs. 113 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.11.

PART 32 - CHAPTER 378: TRANSACTION MONITORING

Section 378.1 Transaction Monitoring - Operating Rule Set 378.1

KAP-378.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-378.1.2 Cases involving account-opening forms with an exposure above Rs. 405 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.17.

KAP-378.1.3 The Zonal Head shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-378.1.4 Cases involving cash transaction reports with an exposure above Rs. 98 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.29.

KAP-378.1.5 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-378.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 395 lakh require prior written

approval from the Operations Head; otherwise the case is an exception under Clause 2.8.

KAP-378.1.7 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-378.1.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-378.1.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-378.1.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-378.1.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure H-32.

Section 378.2 Transaction Monitoring - Operating Rule Set 378.2

KAP-378.2.1 Cases involving cash transaction reports with an exposure above Rs. 153 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.21.

KAP-378.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-378.2.3 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-378.2.4 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure F-11.

KAP-378.2.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure D-8.

KAP-378.2.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/114 and that compliance is certified every quarter.

KAP-378.2.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-378.2.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/067 and that compliance is certified every quarter.

KAP-378.2.9 Cases involving cash transaction reports with an exposure above Rs. 131 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.8.

KAP-378.2.10 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

Section 378.3 Transaction Monitoring - Operating Rule Set 378.3

KAP-378.3.1 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-378.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-378.3.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure E-26.

KAP-378.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-378.3.5 The Branch Manager shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-378.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-378.3.7 Cases involving account-opening forms with an exposure above Rs. 200 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.19.

KAP-378.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-378.3.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-378.3.10 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-378.3.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

Section 378.4 Transaction Monitoring - Operating Rule Set 378.4

KAP-378.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-378.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-378.4.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-378.4.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-378.4.5 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/145 and that compliance is certified every quarter.

KAP-378.4.6 The Credit Committee shall review PEP screening results within 24 working days of receipt and record the outcome in the Case Management system.

KAP-378.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-378.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-378.4.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-378.4.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure A-17.

KAP-378.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-378.4.12 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure H-6.

PART 32 - CHAPTER 379: SUSPICIOUS TRANSACTION REPORTING

Section 379.1 Suspicious Transaction Reporting - Operating Rule Set 379.1

KAP-379.1.1 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/055 and that compliance is certified every quarter.

KAP-379.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-379.1.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-10.

KAP-379.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-379.1.5 The Branch Manager shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-379.1.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-379.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-379.1.8 Cases involving risk-rating files with an exposure above Rs. 317 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.5.

KAP-379.1.9 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/178 and that compliance is certified every quarter.

Section 379.2 Suspicious Transaction Reporting - Operating Rule Set 379.2

KAP-379.2.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-379.2.2 Cases involving identity documents with an exposure above Rs. 376 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.18.

KAP-379.2.3 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/155 and that compliance is certified every quarter.

KAP-379.2.4 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-379.2.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/153 and that compliance is certified every quarter.

KAP-379.2.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure G-25.

KAP-379.2.7 Cases involving identity documents with an exposure above Rs. 125 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.30.

KAP-379.2.8 The Credit Committee shall review risk-rating files within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-379.2.9 Cases involving identity documents with an exposure above Rs. 449 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.10.

KAP-379.2.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-379.2.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-379.2.12 The Risk Management Department shall review cash transaction reports within 10 working days of receipt and record the outcome in the Core Banking system.

Section 379.3 Suspicious Transaction Reporting - Operating Rule Set 379.3

KAP-379.3.1 The Risk Management Department shall review cash transaction reports within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-379.3.2 Cases involving address proofs with an exposure above Rs. 401 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.4.

KAP-379.3.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure D-17.

KAP-379.3.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-379.3.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/235 and that compliance is certified every quarter.

KAP-379.3.6 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/159 and that compliance is certified every quarter.

KAP-379.3.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure B-10.

KAP-379.3.8 Cases involving account-opening forms with an exposure above Rs. 464 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.22.

KAP-379.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-379.3.10 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure C-35.

KAP-379.3.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 379.4 Suspicious Transaction Reporting - Operating Rule Set 379.4

KAP-379.4.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-379.4.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-379.4.3 The Audit Department shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-379.4.4 The Audit Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-379.4.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-379.4.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure H-29.

KAP-379.4.7 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-379.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-379.4.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-379.4.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

Section 379.5 Suspicious Transaction Reporting - Operating Rule Set 379.5

KAP-379.5.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-379.5.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-379.5.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure F-31.

KAP-379.5.4 The Compliance Officer shall review identity documents within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-379.5.5 The Regional Credit Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-379.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 320 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.10.

KAP-379.5.7 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/156 and that compliance is certified every quarter.

KAP-379.5.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-379.5.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/287 and that compliance is certified every quarter.

KAP-379.5.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/259 and that compliance is certified every quarter.

Section 379.6 Suspicious Transaction Reporting - Operating Rule Set 379.6

KAP-379.6.1 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/272 and that compliance is certified every quarter.

KAP-379.6.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-379.6.3 Cases involving risk-rating files with an exposure above Rs. 35 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.22.

KAP-379.6.4 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure D-4.

KAP-379.6.5 Cases involving cash transaction reports with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.26.

KAP-379.6.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/098 and that compliance is certified every quarter.

KAP-379.6.7 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with

a tolerance of 2% as approved by the Board.

KAP-379.6.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/247 and that compliance is certified every quarter.

KAP-379.6.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 379.7 Suspicious Transaction Reporting - Operating Rule Set 379.7

KAP-379.7.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-379.7.2 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-379.7.3 The Risk Management Department shall review cash transaction reports within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-379.7.4 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

KAP-379.7.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/275 and that compliance is certified every quarter.

KAP-379.7.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-379.7.7 Cases involving video-KYC sessions with an exposure above Rs. 398 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.12.

KAP-379.7.8 The Zonal Head shall review address proofs within 6 working days of receipt and record the outcome in the Case Management system.

KAP-379.7.9 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/214 and that compliance is certified every quarter.

PART 32 - CHAPTER 380: POLITICALLY EXPOSED PERSONS

Section 380.1 Politically Exposed Persons - Operating Rule Set 380.1

KAP-380.1.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure B-20.

KAP-380.1.2 The Credit Committee shall review account-opening forms within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-380.1.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-380.1.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-380.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-380.1.6 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-380.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-380.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-380.1.9 Cases involving address proofs with an exposure above Rs. 327 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.14.

KAP-380.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

Section 380.2 Politically Exposed Persons - Operating Rule Set 380.2

KAP-380.2.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-380.2.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure C-35.

KAP-380.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-380.2.4 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-380.2.5 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/095 and that compliance is certified every quarter.

KAP-380.2.6 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-380.2.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-380.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-380.2.9 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure C-14.

Section 380.3 Politically Exposed Persons - Operating Rule Set 380.3

KAP-380.3.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-5.

KAP-380.3.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-380.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-380.3.4 Cases involving cash transaction reports with an exposure above Rs. 356 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.25.

KAP-380.3.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-380.3.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/205 and that compliance is certified every quarter.

KAP-380.3.7 The Branch Manager shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-380.3.8 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-380.3.9 The Regional Credit Officer shall review risk-rating files within 22 working days of receipt and record the outcome in the Case Management system.

KAP-380.3.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

Section 380.4 Politically Exposed Persons - Operating Rule Set 380.4

KAP-380.4.1 Cases involving video-KYC sessions with an exposure above Rs. 405 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.16.

KAP-380.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-380.4.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-380.4.4 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-380.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-380.4.6 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-380.4.7 Cases involving video-KYC sessions with an exposure above Rs. 146 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.15.

KAP-380.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 9 lakh require prior written

approval from the Operations Head; otherwise the case is an exception under Clause 4.1.

KAP-380.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 380.5 Politically Exposed Persons - Operating Rule Set 380.5

KAP-380.5.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-380.5.2 The Credit Committee shall review cash transaction reports within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-380.5.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure B-21.

KAP-380.5.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/279 and that compliance is certified every quarter.

KAP-380.5.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/160 and that compliance is certified every quarter.

KAP-380.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-380.5.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-380.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 440 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.11.

KAP-380.5.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

Section 380.6 Politically Exposed Persons - Operating Rule Set 380.6

KAP-380.6.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-380.6.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-380.6.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure F-38.

KAP-380.6.4 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Document Management system.

KAP-380.6.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-380.6.6 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-380.6.7 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-380.6.8 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-26.

Section 380.7 Politically Exposed Persons - Operating Rule Set 380.7

KAP-380.7.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 394 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.30.

KAP-380.7.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/287 and that compliance is certified every quarter.

KAP-380.7.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-380.7.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-380.7.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-380.7.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after

giving the customer 5 days written notice.

KAP-380.7.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure G-32.

KAP-380.7.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-380.7.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

PART 32 - CHAPTER 381: BENEFICIAL OWNERSHIP

Section 381.1 Beneficial Ownership - Operating Rule Set 381.1

KAP-381.1.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-381.1.2 Cases involving address proofs with an exposure above Rs. 289 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.7.

KAP-381.1.3 Cases involving video-KYC sessions with an exposure above Rs. 290 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.5.

KAP-381.1.4 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-381.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-381.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-381.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-381.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 79 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.8.

KAP-381.1.9 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

Section 381.2 Beneficial Ownership - Operating Rule Set 381.2

KAP-381.2.1 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure D-8.

KAP-381.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-381.2.3 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure E-28.

KAP-381.2.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure F-14.

KAP-381.2.5 The Audit Department shall review account-opening forms within 27 working days of receipt and record the outcome in the Document Management system.

KAP-381.2.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-32.

KAP-381.2.7 Cases involving address proofs with an exposure above Rs. 304 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.1.

KAP-381.2.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-381.2.9 The Zonal Head shall review cash transaction reports within 13 working days of receipt and record the outcome in the Case Management system.

KAP-381.2.10 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-381.2.11 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure A-25.

KAP-381.2.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 121 lakh require prior

written approval from the Zonal Head; otherwise the case is an exception under Clause 6.11.

Section 381.3 Beneficial Ownership - Operating Rule Set 381.3

KAP-381.3.1 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-381.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 73 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.1.

KAP-381.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-381.3.4 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/235 and that compliance is certified every quarter.

KAP-381.3.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/036 and that compliance is certified every quarter.

KAP-381.3.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/184 and that compliance is certified every quarter.

KAP-381.3.7 The Compliance Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

KAP-381.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-381.3.9 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/130 and that compliance is certified every quarter.

KAP-381.3.10 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure A-38.

KAP-381.3.11 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 381.4 Beneficial Ownership - Operating Rule Set 381.4

KAP-381.4.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure F-4.

KAP-381.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-381.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-381.4.4 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-381.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-381.4.6 The Compliance Officer shall review cash transaction reports within 10 working days of receipt and record the outcome in the Document Management system.

KAP-381.4.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/173 and that compliance is certified every quarter.

KAP-381.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

Section 381.5 Beneficial Ownership - Operating Rule Set 381.5

KAP-381.5.1 The Zonal Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-381.5.2 The Risk Management Department shall review account-opening forms within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-381.5.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure D-26.

KAP-381.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-381.5.5 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a

tolerance of 5% as approved by the Board.

KAP-381.5.6 The Operations Head shall review account-opening forms within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-381.5.7 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-381.5.8 The Regional Credit Officer shall review address proofs within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-381.5.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/158 and that compliance is certified every quarter.

KAP-381.5.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-381.5.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

PART 32 - CHAPTER 382: RECORD KEEPING

Section 382.1 Record Keeping - Operating Rule Set 382.1

KAP-382.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 151 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.12.

KAP-382.1.2 Cases involving identity documents with an exposure above Rs. 289 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.24.

KAP-382.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-382.1.4 Cases involving cash transaction reports with an exposure above Rs. 309 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.27.

KAP-382.1.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-382.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-382.1.7 The Audit Department shall review identity documents within 6 working days of receipt and record the outcome in the Case Management system.

KAP-382.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-382.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-382.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-382.1.11 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/095 and that compliance is certified every quarter.

Section 382.2 Record Keeping - Operating Rule Set 382.2

KAP-382.2.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/087 and that compliance is certified every quarter.

KAP-382.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-382.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure B-22.

KAP-382.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure G-16.

KAP-382.2.5 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure A-35.

KAP-382.2.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-382.2.7 For private-limited-company customers, account-opening forms shall be assessed using the manual-review

method, with a tolerance of 2% as approved by the Board.

KAP-382.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-382.2.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-382.2.10 Cases involving video-KYC sessions with an exposure above Rs. 268 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.18.

Section 382.3 Record Keeping - Operating Rule Set 382.3

KAP-382.3.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/002 and that compliance is certified every quarter.

KAP-382.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-382.3.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure D-8.

KAP-382.3.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-382.3.5 The Operations Head shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-382.3.6 The Branch Manager shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

KAP-382.3.7 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-382.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-382.3.9 The Branch Manager shall review identity documents within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-382.3.10 Cases involving risk-rating files with an exposure above Rs. 297 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.22.

KAP-382.3.11 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-382.3.12 Cases involving beneficial-owner declarations with an exposure above Rs. 454 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.10.

Section 382.4 Record Keeping - Operating Rule Set 382.4

KAP-382.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-382.4.2 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure H-25.

KAP-382.4.3 The Zonal Head shall review account-opening forms within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-382.4.4 The Zonal Head shall review cash transaction reports within 14 working days of receipt and record the outcome in the Case Management system.

KAP-382.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-382.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-382.4.7 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/094 and that compliance is certified every quarter.

KAP-382.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

Section 382.5 Record Keeping - Operating Rule Set 382.5

KAP-382.5.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk

Management Department within 4 working days, with the supporting documents listed in Annexure F-27.

KAP-382.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-382.5.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/140 and that compliance is certified every quarter.

KAP-382.5.4 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/296 and that compliance is certified every quarter.

KAP-382.5.5 The Credit Committee shall review cash transaction reports within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-382.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 201 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.14.

KAP-382.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-382.5.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-382.5.9 The Zonal Head shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-382.5.10 The Operations Head shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Case Management system.

KAP-382.5.11 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-32.

KAP-382.5.12 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-382.5.13 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

Section 382.6 Record Keeping - Operating Rule Set 382.6

KAP-382.6.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-382.6.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/252 and that compliance is certified every quarter.

KAP-382.6.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-382.6.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/294 and that compliance is certified every quarter.

KAP-382.6.5 The Risk Management Department shall review risk-rating files within 4 working days of receipt and record the outcome in the Case Management system.

KAP-382.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-382.6.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-27.

KAP-382.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-382.6.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure F-13.

PART 32 - CHAPTER 383: STAFF TRAINING

Section 383.1 Staff Training - Operating Rule Set 383.1

KAP-383.1.1 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-383.1.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-8.

KAP-383.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 309 lakh require prior

written approval from the Credit Committee; otherwise the case is an exception under Clause 18.24.

KAP-383.1.4 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/289 and that compliance is certified every quarter.

KAP-383.1.5 The Credit Committee shall review PEP screening results within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-383.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-383.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-383.1.8 Cases involving identity documents with an exposure above Rs. 63 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.28.

KAP-383.1.9 Cases involving cash transaction reports with an exposure above Rs. 16 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.3.

KAP-383.1.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure D-11.

Section 383.2 Staff Training - Operating Rule Set 383.2

KAP-383.2.1 Cases involving account-opening forms with an exposure above Rs. 426 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.25.

KAP-383.2.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-383.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-383.2.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure A-25.

KAP-383.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-383.2.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure D-26.

KAP-383.2.7 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-383.2.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-383.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 85 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.27.

KAP-383.2.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 383.3 Staff Training - Operating Rule Set 383.3

KAP-383.3.1 The Branch Manager shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Document Management system.

KAP-383.3.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-383.3.3 Cases involving video-KYC sessions with an exposure above Rs. 211 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.29.

KAP-383.3.4 Cases involving PEP screening results with an exposure above Rs. 207 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.28.

KAP-383.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-383.3.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-383.3.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-383.3.8 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 383.4 Staff Training - Operating Rule Set 383.4

KAP-383.4.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure B-14.

KAP-383.4.2 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-383.4.3 The Branch Manager shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Case Management system.

KAP-383.4.4 The Regional Credit Officer shall review address proofs within 4 working days of receipt and record the outcome in the Case Management system.

KAP-383.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-383.4.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/029 and that compliance is certified every quarter.

KAP-383.4.7 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/198 and that compliance is certified every quarter.

KAP-383.4.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-383.4.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-383.4.10 Cases involving cash transaction reports with an exposure above Rs. 19 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.19.

KAP-383.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-383.4.12 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/001 and that compliance is certified every quarter.

Section 383.5 Staff Training - Operating Rule Set 383.5

KAP-383.5.1 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/237 and that compliance is certified every quarter.

KAP-383.5.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-383.5.3 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/047 and that compliance is certified every quarter.

KAP-383.5.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-383.5.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-383.5.6 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-383.5.7 Cases involving video-KYC sessions with an exposure above Rs. 358 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.3.

KAP-383.5.8 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure B-25.

KAP-383.5.9 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-383.5.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-383.5.11 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/231 and that compliance is certified every quarter.

PART 32 - CHAPTER 384: INDEPENDENT AUDIT

Section 384.1 Independent Audit - Operating Rule Set 384.1

KAP-384.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-384.1.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure A-39.

KAP-384.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-384.1.4 Cases involving identity documents with an exposure above Rs. 296 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.11.

KAP-384.1.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/195 and that compliance is certified every quarter.

KAP-384.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-384.1.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-384.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-384.1.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 384.2 Independent Audit - Operating Rule Set 384.2

KAP-384.2.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-384.2.2 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-384.2.3 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure A-40.

KAP-384.2.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 358 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.21.

KAP-384.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-384.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-384.2.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-384.2.8 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 384.3 Independent Audit - Operating Rule Set 384.3

KAP-384.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-384.3.2 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/012 and that compliance is certified every quarter.

KAP-384.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-384.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-384.3.5 The Regional Credit Officer shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Document Management system.

KAP-384.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-384.3.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-384.3.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/101 and that compliance is certified every quarter.

KAP-384.3.9 The Regional Credit Officer shall review PEP screening results within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-384.3.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-384.3.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-384.3.12 Cases involving account-opening forms with an exposure above Rs. 70 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.11.

Section 384.4 Independent Audit - Operating Rule Set 384.4

KAP-384.4.1 Cases involving account-opening forms with an exposure above Rs. 435 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.19.

KAP-384.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-384.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-384.4.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure A-35.

KAP-384.4.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure A-30.

KAP-384.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-384.4.7 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-384.4.8 The Credit Committee shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Loan Origination system.

Section 384.5 Independent Audit - Operating Rule Set 384.5

KAP-384.5.1 The Operations Head shall review PEP screening results within 14 working days of receipt and record the outcome in the Document Management system.

KAP-384.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-384.5.3 The Risk Management Department shall review cash transaction reports within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-384.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 243 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.11.

KAP-384.5.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-384.5.6 Cases involving cash transaction reports with an exposure above Rs. 108 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.28.

KAP-384.5.7 The Risk Management Department shall review identity documents within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-384.5.8 The Branch Manager shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Document Management system.

KAP-384.5.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-384.5.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-384.5.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/177 and that compliance is certified every quarter.

KAP-384.5.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal

Head by the 11th day of the following month.

Section 384.6 Independent Audit - Operating Rule Set 384.6

KAP-384.6.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-384.6.2 The Zonal Head shall review identity documents within 28 working days of receipt and record the outcome in the Case Management system.

KAP-384.6.3 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure G-17.

KAP-384.6.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure H-16.

KAP-384.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-384.6.6 Cases involving address proofs with an exposure above Rs. 335 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.2.

KAP-384.6.7 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-384.6.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 339 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.22.

KAP-384.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

Section 384.7 Independent Audit - Operating Rule Set 384.7

KAP-384.7.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-384.7.2 Cases involving video-KYC sessions with an exposure above Rs. 274 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.25.

KAP-384.7.3 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-384.7.4 The Risk Management Department shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-384.7.5 The Risk Management Department shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Document Management system.

KAP-384.7.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/177 and that compliance is certified every quarter.

KAP-384.7.7 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-384.7.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-384.7.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure C-1.

KAP-384.7.10 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-384.7.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

PART 33 - CHAPTER 385: CUSTOMER ACCEPTANCE

Section 385.1 Customer Acceptance - Operating Rule Set 385.1

KAP-385.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-385.1.2 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-385.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-385.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-385.1.5 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/105 and that compliance is certified every quarter.

KAP-385.1.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/151 and that compliance is certified every quarter.

KAP-385.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-385.1.8 The Credit Committee shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

KAP-385.1.9 Cases involving identity documents with an exposure above Rs. 428 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.30.

KAP-385.1.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-385.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

Section 385.2 Customer Acceptance - Operating Rule Set 385.2

KAP-385.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 376 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.17.

KAP-385.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 425 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.13.

KAP-385.2.3 Cases involving identity documents with an exposure above Rs. 382 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.15.

KAP-385.2.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-385.2.5 Cases involving PEP screening results with an exposure above Rs. 403 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.11.

KAP-385.2.6 The Credit Committee shall review address proofs within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-385.2.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure G-35.

KAP-385.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

Section 385.3 Customer Acceptance - Operating Rule Set 385.3

KAP-385.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-385.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-385.3.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure D-27.

KAP-385.3.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/119 and that compliance is certified every quarter.

KAP-385.3.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-385.3.6 Cases involving beneficial-owner declarations with an exposure above Rs. 92 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.3.

KAP-385.3.7 The Credit Committee shall review account-opening forms within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-385.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-385.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Audit Department by the 12th day of the following month.

KAP-385.3.10 The Zonal Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Core Banking system.

Section 385.4 Customer Acceptance - Operating Rule Set 385.4

KAP-385.4.1 The Branch Manager shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-385.4.2 Cases involving risk-rating files with an exposure above Rs. 277 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.16.

KAP-385.4.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-385.4.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure C-35.

KAP-385.4.5 Cases involving address proofs with an exposure above Rs. 253 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.5.

KAP-385.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-385.4.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-385.4.8 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure A-40.

Section 385.5 Customer Acceptance - Operating Rule Set 385.5

KAP-385.5.1 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-385.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-385.5.3 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-385.5.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-385.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-385.5.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure F-13.

KAP-385.5.7 Cases involving PEP screening results with an exposure above Rs. 447 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.4.

KAP-385.5.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure D-21.

KAP-385.5.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/257 and that compliance is certified every quarter.

PART 33 - CHAPTER 386: CUSTOMER IDENTIFICATION

Section 386.1 Customer Identification - Operating Rule Set 386.1

KAP-386.1.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/152 and that compliance is certified every quarter.

KAP-386.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-386.1.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/158 and that compliance is certified every quarter.

KAP-386.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-386.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-386.1.6 In case of a regulatory query, the Audit Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-28.

KAP-386.1.7 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/253 and that compliance is certified every quarter.

KAP-386.1.8 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-386.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 386.2 Customer Identification - Operating Rule Set 386.2

KAP-386.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-386.2.2 Cases involving identity documents with an exposure above Rs. 398 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.7.

KAP-386.2.3 The Branch Manager shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-386.2.4 The Regional Credit Officer shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-386.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 444 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.25.

KAP-386.2.6 Cases involving risk-rating files with an exposure above Rs. 290 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.15.

KAP-386.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-386.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-386.2.9 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/298 and that compliance is certified every quarter.

KAP-386.2.10 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure E-28.

KAP-386.2.11 Cases involving PEP screening results with an exposure above Rs. 305 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.4.

KAP-386.2.12 The Audit Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Case Management system.

Section 386.3 Customer Identification - Operating Rule Set 386.3

KAP-386.3.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-386.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-386.3.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-386.3.4 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-386.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-386.3.6 The Operations Head shall review risk-rating files within 6 working days of receipt and record the outcome in the Case Management system.

KAP-386.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-386.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-386.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the

customer 17 days written notice.

Section 386.4 Customer Identification - Operating Rule Set 386.4

KAP-386.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 30 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.23.

KAP-386.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-386.4.3 The Regional Credit Officer shall review address proofs within 14 working days of receipt and record the outcome in the Document Management system.

KAP-386.4.4 Cases involving beneficial-owner declarations with an exposure above Rs. 382 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.10.

KAP-386.4.5 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-386.4.6 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/243 and that compliance is certified every quarter.

KAP-386.4.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-386.4.8 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure C-20.

KAP-386.4.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

Section 386.5 Customer Identification - Operating Rule Set 386.5

KAP-386.5.1 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-386.5.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-386.5.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-386.5.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-386.5.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-386.5.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/241 and that compliance is certified every quarter.

KAP-386.5.7 Cases involving risk-rating files with an exposure above Rs. 389 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.6.

KAP-386.5.8 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/220 and that compliance is certified every quarter.

KAP-386.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 177 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.9.

KAP-386.5.10 Cases involving correspondent-bank relationships with an exposure above Rs. 278 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.18.

Section 386.6 Customer Identification - Operating Rule Set 386.6

KAP-386.6.1 The Operations Head shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Document Management system.

KAP-386.6.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/206 and that compliance is certified every quarter.

KAP-386.6.3 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure B-30.

KAP-386.6.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure A-10.

KAP-386.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance

Officer by the 11th day of the following month.

KAP-386.6.6 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-386.6.7 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-386.6.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure F-39.

Section 386.7 Customer Identification - Operating Rule Set 386.7

KAP-386.7.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-386.7.2 Cases involving identity documents with an exposure above Rs. 68 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.30.

KAP-386.7.3 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-386.7.4 Cases involving cash transaction reports with an exposure above Rs. 102 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.30.

KAP-386.7.5 The Audit Department shall review cash transaction reports within 13 working days of receipt and record the outcome in the Document Management system.

KAP-386.7.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/092 and that compliance is certified every quarter.

KAP-386.7.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-386.7.8 Cases involving address proofs with an exposure above Rs. 224 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.15.

KAP-386.7.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-386.7.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/121 and that compliance is certified every quarter.

PART 33 - CHAPTER 387: CUSTOMER DUE DILIGENCE

Section 387.1 Customer Due Diligence - Operating Rule Set 387.1

KAP-387.1.1 Cases involving PEP screening results with an exposure above Rs. 214 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.23.

KAP-387.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-387.1.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-387.1.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-387.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 40 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.18.

KAP-387.1.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-387.1.7 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/236 and that compliance is certified every quarter.

KAP-387.1.8 The Compliance Officer shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-387.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 90 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.22.

KAP-387.1.10 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 387.2 Customer Due Diligence - Operating Rule Set 387.2

KAP-387.2.1 The Zonal Head shall review risk-rating files within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-387.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-387.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-387.2.4 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/148 and that compliance is certified every quarter.

KAP-387.2.5 Cases involving risk-rating files with an exposure above Rs. 121 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.6.

KAP-387.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 122 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.17.

KAP-387.2.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-387.2.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/263 and that compliance is certified every quarter.

KAP-387.2.9 Cases involving identity documents with an exposure above Rs. 357 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.19.

Section 387.3 Customer Due Diligence - Operating Rule Set 387.3

KAP-387.3.1 The Risk Management Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-387.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-387.3.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure F-32.

KAP-387.3.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-387.3.5 The Audit Department shall review account-opening forms within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-387.3.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/296 and that compliance is certified every quarter.

KAP-387.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-387.3.8 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/017 and that compliance is certified every quarter.

KAP-387.3.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-387.3.10 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-5.

Section 387.4 Customer Due Diligence - Operating Rule Set 387.4

KAP-387.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-387.4.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-387.4.3 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-387.4.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-387.4.5 Cases involving video-KYC sessions with an exposure above Rs. 69 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.22.

KAP-387.4.6 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 9

working days, with the supporting documents listed in Annexure D-24.

KAP-387.4.7 Cases involving account-opening forms with an exposure above Rs. 498 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.28.

KAP-387.4.8 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-387.4.9 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/292 and that compliance is certified every quarter.

KAP-387.4.10 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 387.5 Customer Due Diligence - Operating Rule Set 387.5

KAP-387.5.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-387.5.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-387.5.3 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/150 and that compliance is certified every quarter.

KAP-387.5.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure B-34.

KAP-387.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-387.5.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-387.5.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/157 and that compliance is certified every quarter.

KAP-387.5.8 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-387.5.9 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/085 and that compliance is certified every quarter.

KAP-387.5.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

PART 33 - CHAPTER 388: ENHANCED DUE DILIGENCE

Section 388.1 Enhanced Due Diligence - Operating Rule Set 388.1

KAP-388.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-388.1.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-388.1.3 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-388.1.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/249 and that compliance is certified every quarter.

KAP-388.1.5 Cases involving address proofs with an exposure above Rs. 194 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.30.

KAP-388.1.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure E-12.

KAP-388.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-388.1.8 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-388.1.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/096 and that compliance is certified every quarter.

KAP-388.1.10 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 29

working days, with the supporting documents listed in Annexure B-40.

KAP-388.1.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-388.1.12 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-388.1.13 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/200 and that compliance is certified every quarter.

Section 388.2 Enhanced Due Diligence - Operating Rule Set 388.2

KAP-388.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-388.2.2 The Compliance Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-388.2.3 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure E-40.

KAP-388.2.4 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-388.2.5 Cases involving cash transaction reports with an exposure above Rs. 158 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.11.

KAP-388.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-388.2.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-37.

KAP-388.2.8 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure C-2.

KAP-388.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-388.2.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure C-8.

Section 388.3 Enhanced Due Diligence - Operating Rule Set 388.3

KAP-388.3.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-388.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-388.3.3 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure A-4.

KAP-388.3.4 The Regional Credit Officer shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-388.3.5 The Zonal Head shall review address proofs within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-388.3.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/105 and that compliance is certified every quarter.

KAP-388.3.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-388.3.8 The Branch Manager shall review cash transaction reports within 24 working days of receipt and record the outcome in the Case Management system.

KAP-388.3.9 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure B-1.

KAP-388.3.10 The Branch Manager shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-388.3.11 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-388.3.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-KEY-06 Accounts of Politically Exposed Persons may be opened only with approval of the Head of Compliance and the Chief Risk Officer.

KAP-388.3.13 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/014 and that compliance is certified every quarter.

Section 388.4 Enhanced Due Diligence - Operating Rule Set 388.4

KAP-388.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-388.4.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-388.4.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/298 and that compliance is certified every quarter.

KAP-388.4.4 In case of a regulatory query, the Audit Department must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure C-14.

KAP-388.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-388.4.6 Cases involving cash transaction reports with an exposure above Rs. 490 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.4.

KAP-388.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-388.4.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Document Management system.

KAP-388.4.9 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 388.5 Enhanced Due Diligence - Operating Rule Set 388.5

KAP-388.5.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-388.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-388.5.3 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/260 and that compliance is certified every quarter.

KAP-388.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-388.5.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 264 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.6.

KAP-388.5.6 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-388.5.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-388.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-388.5.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

PART 33 - CHAPTER 389: RISK CATEGORISATION

Section 389.1 Risk Categorisation - Operating Rule Set 389.1

KAP-389.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 12 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.13.

KAP-389.1.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/260 and that compliance is certified every quarter.

KAP-389.1.3 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2019/169 and that compliance is certified every quarter.

KAP-389.1.4 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure B-12.

KAP-389.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-389.1.6 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-389.1.7 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure F-27.

KAP-389.1.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure F-8.

Section 389.2 Risk Categorisation - Operating Rule Set 389.2

KAP-389.2.1 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-389.2.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-389.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-389.2.4 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-389.2.5 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-389.2.6 Cases involving video-KYC sessions with an exposure above Rs. 323 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.11.

KAP-389.2.7 The Zonal Head shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Document Management system.

KAP-389.2.8 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-389.2.9 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-389.2.10 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 389.3 Risk Categorisation - Operating Rule Set 389.3

KAP-389.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 239 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.5.

KAP-389.3.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-389.3.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-389.3.4 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure G-23.

KAP-389.3.5 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-389.3.6 Cases involving cash transaction reports with an exposure above Rs. 322 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.17.

KAP-389.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-389.3.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-389.3.9 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/011 and that compliance is certified every quarter.

KAP-389.3.10 Cases involving video-KYC sessions with an exposure above Rs. 263 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.8.

KAP-389.3.11 Cases involving beneficial-owner declarations with an exposure above Rs. 471 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.12.

KAP-389.3.12 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

Section 389.4 Risk Categorisation - Operating Rule Set 389.4

KAP-389.4.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 415 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.11.

KAP-389.4.2 The Zonal Head shall review account-opening forms within 2 working days of receipt and record the outcome in the Case Management system.

KAP-389.4.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/300 and that compliance is certified every quarter.

KAP-389.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-389.4.5 Cases involving PEP screening results with an exposure above Rs. 41 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.4.

KAP-389.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-389.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-389.4.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure A-6.

KAP-389.4.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure F-15.

KAP-389.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-389.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

Section 389.5 Risk Categorisation - Operating Rule Set 389.5

KAP-389.5.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-389.5.2 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-389.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-389.5.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/035 and that compliance is certified every quarter.

KAP-389.5.5 Cases involving video-KYC sessions with an exposure above Rs. 38 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.12.

KAP-389.5.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-389.5.7 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/196 and that compliance is certified every quarter.

KAP-389.5.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/046 and that compliance is certified every quarter.

KAP-389.5.9 The Risk Management Department shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-389.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-389.5.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 8 and be made available to the regulator on request.

Section 389.6 Risk Categorisation - Operating Rule Set 389.6

KAP-389.6.1 Cases involving video-KYC sessions with an exposure above Rs. 46 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.1.

KAP-389.6.2 Cases involving PEP screening results with an exposure above Rs. 408 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.29.

KAP-389.6.3 Cases involving PEP screening results with an exposure above Rs. 152 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.1.

KAP-389.6.4 The Risk Management Department shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Case Management system.

KAP-389.6.5 The Risk Management Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-389.6.6 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure B-39.

KAP-389.6.7 Cases involving video-KYC sessions with an exposure above Rs. 497 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.26.

KAP-389.6.8 The Operations Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Document Management system.

KAP-389.6.9 The Branch Manager shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Document Management system.

KAP-389.6.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-389.6.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-389.6.12 Cases involving correspondent-bank relationships with an exposure above Rs. 376 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.21.

PART 33 - CHAPTER 390: TRANSACTION MONITORING

Section 390.1 Transaction Monitoring - Operating Rule Set 390.1

KAP-390.1.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/202 and that compliance is certified every quarter.

KAP-390.1.2 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure B-21.

KAP-390.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 362 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.22.

KAP-390.1.4 Cases involving identity documents with an exposure above Rs. 479 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.18.

KAP-390.1.5 The Regional Credit Officer shall review address proofs within 28 working days of receipt and record the outcome in the Case Management system.

KAP-390.1.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-36.

KAP-390.1.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-390.1.8 The Risk Management Department shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Document Management system.

KAP-390.1.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 390.2 Transaction Monitoring - Operating Rule Set 390.2

KAP-390.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-390.2.2 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/046 and that compliance is certified every quarter.

KAP-390.2.3 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/206 and that compliance is certified every quarter.

KAP-390.2.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure C-14.

KAP-390.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-390.2.6 Cases involving address proofs with an exposure above Rs. 224 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.26.

KAP-390.2.7 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-390.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-390.2.9 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-390.2.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-390.2.11 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 390.3 Transaction Monitoring - Operating Rule Set 390.3

KAP-390.3.1 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-390.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-390.3.3 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-1.

KAP-390.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 377 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.28.

KAP-390.3.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-390.3.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure G-39.

KAP-390.3.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/138 and that compliance is certified every quarter.

KAP-390.3.8 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/080 and that compliance is certified every quarter.

KAP-390.3.9 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 390.4 Transaction Monitoring - Operating Rule Set 390.4

KAP-390.4.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-390.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure A-8.

KAP-390.4.3 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-390.4.4 The Credit Committee shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-390.4.5 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-390.4.6 The Compliance Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-390.4.7 The Credit Committee shall review identity documents within 23 working days of receipt and record the

outcome in the Core Banking system.

KAP-390.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-390.4.9 Cases involving PEP screening results with an exposure above Rs. 198 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.29.

KAP-390.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-390.4.11 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure G-5.

KAP-390.4.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

PART 33 - CHAPTER 391: SUSPICIOUS TRANSACTION REPORTING

Section 391.1 Suspicious Transaction Reporting - Operating Rule Set 391.1

KAP-391.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-391.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-391.1.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/260 and that compliance is certified every quarter.

KAP-391.1.4 Cases involving cash transaction reports with an exposure above Rs. 326 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.23.

KAP-391.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-391.1.6 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-391.1.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/074 and that compliance is certified every quarter.

KAP-391.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-391.1.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure A-1.

KAP-391.1.10 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-391.1.11 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure G-11.

KAP-391.1.12 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-391.1.13 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/048 and that compliance is certified every quarter.

Section 391.2 Suspicious Transaction Reporting - Operating Rule Set 391.2

KAP-391.2.1 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-391.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-391.2.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure F-19.

KAP-391.2.4 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/184 and that compliance is certified every quarter.

KAP-391.2.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-391.2.6 Cases involving video-KYC sessions with an exposure above Rs. 20 lakh require prior written approval from

the Zonal Head; otherwise the case is an exception under Clause 8.18.

KAP-391.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-391.2.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/006 and that compliance is certified every quarter.

KAP-391.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-391.2.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-8.

Section 391.3 Suspicious Transaction Reporting - Operating Rule Set 391.3

KAP-391.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-391.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 268 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.1.

KAP-391.3.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-391.3.4 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-391.3.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-391.3.6 The Risk Management Department shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-391.3.7 The Audit Department shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-391.3.8 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/187 and that compliance is certified every quarter.

KAP-391.3.9 The Branch Manager shall review cash transaction reports within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-391.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-391.3.11 The Branch Manager shall review account-opening forms within 22 working days of receipt and record the outcome in the Customer Relationship system.

Section 391.4 Suspicious Transaction Reporting - Operating Rule Set 391.4

KAP-391.4.1 Cases involving address proofs with an exposure above Rs. 436 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.21.

KAP-391.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 461 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.13.

KAP-391.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-391.4.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/079 and that compliance is certified every quarter.

KAP-391.4.5 The Credit Committee shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Case Management system.

KAP-391.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-391.4.7 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/240 and that compliance is certified every quarter.

KAP-391.4.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-391.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-391.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

PART 33 - CHAPTER 392: POLITICALLY EXPOSED PERSONS

Section 392.1 Politically Exposed Persons - Operating Rule Set 392.1

KAP-392.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-392.1.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-392.1.3 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-392.1.4 The Operations Head shall review identity documents within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-392.1.5 The Regional Credit Officer shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-392.1.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure B-9.

KAP-392.1.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/281 and that compliance is certified every quarter.

KAP-392.1.8 The Regional Credit Officer shall review risk-rating files within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-392.1.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-392.1.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 392.2 Politically Exposed Persons - Operating Rule Set 392.2

KAP-392.2.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-392.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-392.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-392.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-392.2.5 Cases involving video-KYC sessions with an exposure above Rs. 293 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.29.

KAP-392.2.6 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-392.2.7 Cases involving video-KYC sessions with an exposure above Rs. 68 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.14.

KAP-392.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-392.2.9 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-392.2.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 473 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.2.

KAP-392.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 409 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.1.

Section 392.3 Politically Exposed Persons - Operating Rule Set 392.3

KAP-392.3.1 Cases involving risk-rating files with an exposure above Rs. 415 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.19.

KAP-392.3.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2023/247 and that compliance is certified every quarter.

KAP-392.3.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-23.

KAP-392.3.4 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-16.

KAP-392.3.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/208 and that compliance is certified every quarter.

KAP-392.3.6 Cases involving PEP screening results with an exposure above Rs. 229 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.13.

KAP-392.3.7 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure D-28.

KAP-392.3.8 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-392.3.9 Cases involving video-KYC sessions with an exposure above Rs. 415 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.3.

Section 392.4 Politically Exposed Persons - Operating Rule Set 392.4

KAP-392.4.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-392.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-392.4.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-392.4.4 The Branch Manager shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-392.4.5 The Zonal Head shall review cash transaction reports within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-392.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-392.4.7 Cases involving risk-rating files with an exposure above Rs. 269 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.1.

KAP-392.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

Section 392.5 Politically Exposed Persons - Operating Rule Set 392.5

KAP-392.5.1 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-392.5.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/125 and that compliance is certified every quarter.

KAP-392.5.3 Cases involving risk-rating files with an exposure above Rs. 83 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.4.

KAP-392.5.4 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-392.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-392.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-392.5.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-392.5.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure F-11.

PART 33 - CHAPTER 393: BENEFICIAL OWNERSHIP

Section 393.1 Beneficial Ownership - Operating Rule Set 393.1

KAP-393.1.1 The Branch Manager shall review PEP screening results within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-393.1.2 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure C-7.

KAP-393.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-393.1.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-393.1.5 Cases involving account-opening forms with an exposure above Rs. 51 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.22.

KAP-393.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-393.1.7 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-393.1.8 Cases involving identity documents with an exposure above Rs. 159 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.17.

KAP-393.1.9 The Zonal Head shall review identity documents within 2 working days of receipt and record the outcome in the Document Management system.

KAP-393.1.10 The Branch Manager shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Case Management system.

KAP-393.1.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-393.1.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-393.1.13 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 393.2 Beneficial Ownership - Operating Rule Set 393.2

KAP-393.2.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-393.2.2 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/015 and that compliance is certified every quarter.

KAP-393.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-393.2.4 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/074 and that compliance is certified every quarter.

KAP-393.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-393.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-393.2.7 Cases involving cash transaction reports with an exposure above Rs. 240 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.7.

KAP-393.2.8 Cases involving video-KYC sessions with an exposure above Rs. 207 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.8.

KAP-393.2.9 The Zonal Head shall review identity documents within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-393.2.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-393.2.11 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/182 and that compliance is certified every quarter.

Section 393.3 Beneficial Ownership - Operating Rule Set 393.3

KAP-393.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made

available to internal auditors on request.

KAP-393.3.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-393.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-393.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 241 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.22.

KAP-393.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-393.3.6 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-393.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-393.3.8 The Branch Manager shall review address proofs within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-393.3.9 The Compliance Officer shall review cash transaction reports within 4 working days of receipt and record the outcome in the Case Management system.

KAP-393.3.10 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/235 and that compliance is certified every quarter.

KAP-393.3.11 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 393.4 Beneficial Ownership - Operating Rule Set 393.4

KAP-393.4.1 The Zonal Head shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Case Management system.

KAP-393.4.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/121 and that compliance is certified every quarter.

KAP-393.4.3 The Audit Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-393.4.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure D-26.

KAP-393.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-393.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 217 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.29.

KAP-393.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-393.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-393.4.9 Cases involving PEP screening results with an exposure above Rs. 232 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.9.

KAP-393.4.10 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/053 and that compliance is certified every quarter.

Section 393.5 Beneficial Ownership - Operating Rule Set 393.5

KAP-393.5.1 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure E-34.

KAP-393.5.2 Cases involving risk-rating files with an exposure above Rs. 213 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.4.

KAP-393.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 75 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.1.

KAP-393.5.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-393.5.5 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-393.5.6 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-393.5.7 The Branch Manager shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-393.5.8 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

PART 33 - CHAPTER 394: RECORD KEEPING

Section 394.1 Record Keeping - Operating Rule Set 394.1

KAP-394.1.1 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-394.1.2 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-394.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-394.1.4 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-394.1.5 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/246 and that compliance is certified every quarter.

KAP-394.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-394.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-394.1.8 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-394.1.9 The Zonal Head shall review risk-rating files within 15 working days of receipt and record the outcome in the Document Management system.

KAP-394.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 379 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.27.

Section 394.2 Record Keeping - Operating Rule Set 394.2

KAP-394.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-394.2.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-394.2.3 The Credit Committee shall review PEP screening results within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-394.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-394.2.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-394.2.6 Cases involving video-KYC sessions with an exposure above Rs. 204 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.1.

KAP-394.2.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/259 and that compliance is certified every quarter.

KAP-394.2.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-6.

KAP-394.2.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure B-8.

KAP-394.2.10 The Zonal Head shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Case Management system.

KAP-394.2.11 The Credit Committee shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Document Management system.

Section 394.3 Record Keeping - Operating Rule Set 394.3

KAP-394.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-394.3.2 Cases involving address proofs with an exposure above Rs. 9 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.19.

KAP-394.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-394.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-394.3.5 The Regional Credit Officer shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-394.3.6 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/013 and that compliance is certified every quarter.

KAP-394.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-394.3.8 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure H-3.

KAP-394.3.9 The Operations Head shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Document Management system.

KAP-394.3.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-394.3.11 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

Section 394.4 Record Keeping - Operating Rule Set 394.4

KAP-394.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-394.4.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure H-13.

KAP-394.4.3 The Risk Management Department shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Document Management system.

KAP-394.4.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-28.

KAP-394.4.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/028 and that compliance is certified every quarter.

KAP-394.4.6 The Audit Department shall review risk-rating files within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-394.4.7 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure A-22.

KAP-394.4.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/094 and that compliance is certified every quarter.

KAP-394.4.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/213 and that compliance is certified every quarter.

KAP-394.4.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-394.4.11 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-394.4.12 Cases involving cash transaction reports with an exposure above Rs. 385 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.14.

KAP-394.4.13 The Bank reserves the right to request additional documents where the risk rating deteriorates by two

notches, after giving the customer 7 days written notice.

PART 33 - CHAPTER 395: STAFF TRAINING

Section 395.1 Staff Training - Operating Rule Set 395.1

KAP-395.1.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-395.1.2 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/216 and that compliance is certified every quarter.

KAP-395.1.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/087 and that compliance is certified every quarter.

KAP-395.1.4 The Operations Head shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-395.1.5 Cases involving PEP screening results with an exposure above Rs. 124 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.5.

KAP-395.1.6 The Compliance Officer shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Case Management system.

KAP-395.1.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-395.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-395.1.9 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 395.2 Staff Training - Operating Rule Set 395.2

KAP-395.2.1 Cases involving risk-rating files with an exposure above Rs. 363 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.20.

KAP-395.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-395.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-395.2.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-395.2.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-395.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-395.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 260 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.25.

KAP-395.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-395.2.9 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-395.2.10 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/198 and that compliance is certified every quarter.

KAP-395.2.11 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 395.3 Staff Training - Operating Rule Set 395.3

KAP-395.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-395.3.2 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-395.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-395.3.4 Cases involving cash transaction reports with an exposure above Rs. 59 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.24.

KAP-395.3.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-395.3.6 The Operations Head shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-395.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-395.3.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/090 and that compliance is certified every quarter.

KAP-395.3.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/097 and that compliance is certified every quarter.

KAP-395.3.10 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure B-9.

Section 395.4 Staff Training - Operating Rule Set 395.4

KAP-395.4.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/277 and that compliance is certified every quarter.

KAP-395.4.2 The Zonal Head shall review address proofs within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-395.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-395.4.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure G-35.

KAP-395.4.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure G-35.

KAP-395.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-395.4.7 Cases involving cash transaction reports with an exposure above Rs. 433 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.18.

KAP-395.4.8 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/190 and that compliance is certified every quarter.

KAP-395.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

Section 395.5 Staff Training - Operating Rule Set 395.5

KAP-395.5.1 Cases involving cash transaction reports with an exposure above Rs. 483 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.4.

KAP-395.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-395.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-395.5.4 The Audit Department shall review risk-rating files within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-395.5.5 The Branch Manager shall review identity documents within 5 working days of receipt and record the outcome in the Case Management system.

KAP-395.5.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-395.5.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-395.5.8 Cases involving risk-rating files with an exposure above Rs. 456 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.26.

KAP-395.5.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the

procedures in Circular KAP/2023/229 and that compliance is certified every quarter.

KAP-395.5.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 395.6 Staff Training - Operating Rule Set 395.6

KAP-395.6.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-395.6.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/234 and that compliance is certified every quarter.

KAP-395.6.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-395.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-395.6.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-395.6.6 Cases involving cash transaction reports with an exposure above Rs. 295 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.15.

KAP-395.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-395.6.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-395.6.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-395.6.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

Section 395.7 Staff Training - Operating Rule Set 395.7

KAP-395.7.1 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-4.

KAP-395.7.2 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-395.7.3 The Credit Committee shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-395.7.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-395.7.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure D-11.

KAP-395.7.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-395.7.7 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-395.7.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-395.7.9 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure D-7.

KAP-395.7.10 The Zonal Head shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Customer Relationship system.

PART 33 - CHAPTER 396: INDEPENDENT AUDIT

Section 396.1 Independent Audit - Operating Rule Set 396.1

KAP-396.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-396.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-396.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-396.1.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-396.1.5 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-11.

KAP-396.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 420 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.23.

KAP-396.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-396.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 394 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.8.

KAP-396.1.9 The Risk Management Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Case Management system.

Section 396.2 Independent Audit - Operating Rule Set 396.2

KAP-396.2.1 The Risk Management Department shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-396.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 492 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.2.

KAP-396.2.3 Cases involving cash transaction reports with an exposure above Rs. 428 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.23.

KAP-396.2.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-396.2.5 The Credit Committee shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-396.2.6 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/097 and that compliance is certified every quarter.

KAP-396.2.7 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-396.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

Section 396.3 Independent Audit - Operating Rule Set 396.3

KAP-396.3.1 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-396.3.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure E-1.

KAP-396.3.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure E-28.

KAP-396.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-396.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure G-10.

KAP-396.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-396.3.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-396.3.8 Cases involving account-opening forms with an exposure above Rs. 469 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.3.

KAP-396.3.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

Section 396.4 Independent Audit - Operating Rule Set 396.4

KAP-396.4.1 The Zonal Head shall review address proofs within 6 working days of receipt and record the outcome in the Document Management system.

KAP-396.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-396.4.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure A-2.

KAP-396.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-396.4.5 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/298 and that compliance is certified every quarter.

KAP-396.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-396.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-396.4.8 Cases involving identity documents with an exposure above Rs. 452 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.27.

KAP-396.4.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-396.4.10 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

Section 396.5 Independent Audit - Operating Rule Set 396.5

KAP-396.5.1 Cases involving risk-rating files with an exposure above Rs. 494 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.27.

KAP-396.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-396.5.3 The Branch Manager shall review risk-rating files within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-396.5.4 The Audit Department shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-396.5.5 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-396.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 393 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.16.

KAP-396.5.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure G-12.

KAP-396.5.8 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/197 and that compliance is certified every quarter.

KAP-396.5.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-396.5.10 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/246 and that compliance is certified every quarter.

KAP-396.5.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-396.5.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 325 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.8.

PART 34 - CHAPTER 397: CUSTOMER ACCEPTANCE

Section 397.1 Customer Acceptance - Operating Rule Set 397.1

KAP-397.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-397.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 195 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.2.

KAP-397.1.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure D-19.

KAP-397.1.4 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-397.1.5 Cases involving risk-rating files with an exposure above Rs. 366 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.19.

KAP-397.1.6 The Branch Manager shall review identity documents within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-397.1.7 Cases involving address proofs with an exposure above Rs. 187 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.5.

KAP-397.1.8 Cases involving video-KYC sessions with an exposure above Rs. 6 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.18.

KAP-397.1.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/263 and that compliance is certified every quarter.

KAP-397.1.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-397.1.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-397.1.12 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 397.2 Customer Acceptance - Operating Rule Set 397.2

KAP-397.2.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-397.2.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-397.2.3 Cases involving account-opening forms with an exposure above Rs. 280 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.24.

KAP-397.2.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-397.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-397.2.6 The Branch Manager shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-397.2.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/045 and that compliance is certified every quarter.

KAP-397.2.8 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/127 and that compliance is certified every quarter.

KAP-397.2.9 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/009 and that compliance is certified every quarter.

Section 397.3 Customer Acceptance - Operating Rule Set 397.3

KAP-397.3.1 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-397.3.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-26.

KAP-397.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-397.3.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure E-13.

KAP-397.3.5 The Branch Manager shall review address proofs within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-397.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk

Management Department by the 5th day of the following month.

KAP-397.3.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-397.3.8 The Audit Department shall review PEP screening results within 30 working days of receipt and record the outcome in the Core Banking system.

Section 397.4 Customer Acceptance - Operating Rule Set 397.4

KAP-397.4.1 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

KAP-397.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-397.4.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-397.4.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-397.4.5 The Zonal Head shall review PEP screening results within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-397.4.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/184 and that compliance is certified every quarter.

KAP-397.4.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-397.4.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/178 and that compliance is certified every quarter.

KAP-397.4.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-397.4.10 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

PART 34 - CHAPTER 398: CUSTOMER IDENTIFICATION

Section 398.1 Customer Identification - Operating Rule Set 398.1

KAP-398.1.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/264 and that compliance is certified every quarter.

KAP-398.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-398.1.3 The Regional Credit Officer shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-398.1.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-398.1.5 The Branch Manager shall review address proofs within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-398.1.6 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-398.1.7 Cases involving address proofs with an exposure above Rs. 499 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.24.

KAP-398.1.8 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/032 and that compliance is certified every quarter.

KAP-398.1.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-398.1.10 Cases involving account-opening forms with an exposure above Rs. 463 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.28.

KAP-398.1.11 Cases involving PEP screening results with an exposure above Rs. 407 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.10.

Section 398.2 Customer Identification - Operating Rule Set 398.2

KAP-398.2.1 The Compliance Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-398.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 57 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.30.

KAP-398.2.3 Cases involving PEP screening results with an exposure above Rs. 50 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-398.2.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure C-12.

KAP-398.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-398.2.6 The Audit Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-398.2.7 Cases involving PEP screening results with an exposure above Rs. 380 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.13.

KAP-398.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-398.2.9 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure B-21.

KAP-398.2.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-398.2.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 398.3 Customer Identification - Operating Rule Set 398.3

KAP-398.3.1 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-398.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-398.3.3 The Regional Credit Officer shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-398.3.4 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-398.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-398.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-398.3.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-398.3.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

Section 398.4 Customer Identification - Operating Rule Set 398.4

KAP-398.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 401 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.23.

KAP-398.4.2 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/102 and that compliance is certified every quarter.

KAP-398.4.3 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-398.4.4 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure F-22.

KAP-398.4.5 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-398.4.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on

the procedures in Circular KAP/2021/202 and that compliance is certified every quarter.

KAP-398.4.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure B-11.

KAP-398.4.8 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/236 and that compliance is certified every quarter.

KAP-398.4.9 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 398.5 Customer Identification - Operating Rule Set 398.5

KAP-398.5.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure E-34.

KAP-398.5.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-398.5.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-398.5.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-398.5.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/265 and that compliance is certified every quarter.

KAP-398.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-398.5.7 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure A-34.

KAP-398.5.8 The Credit Committee shall review cash transaction reports within 7 working days of receipt and record the outcome in the Case Management system.

KAP-398.5.9 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 398.6 Customer Identification - Operating Rule Set 398.6

KAP-398.6.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-398.6.2 The Credit Committee shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-398.6.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-398.6.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure F-39.

KAP-398.6.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-398.6.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-398.6.7 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-398.6.8 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure F-29.

KAP-398.6.9 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-398.6.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-398.6.11 Cases involving identity documents with an exposure above Rs. 186 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.29.

KAP-398.6.12 The Audit Department shall review PEP screening results within 15 working days of receipt and record the outcome in the Loan Origination system.

PART 34 - CHAPTER 399: CUSTOMER DUE DILIGENCE

Section 399.1 Customer Due Diligence - Operating Rule Set 399.1

KAP-399.1.1 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/220 and that compliance is certified every quarter.

KAP-399.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-399.1.3 The Compliance Officer shall review address proofs within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-399.1.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure A-40.

KAP-399.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 80 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.3.

KAP-399.1.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-399.1.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-399.1.8 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-399.1.9 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure F-22.

Section 399.2 Customer Due Diligence - Operating Rule Set 399.2

KAP-399.2.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-399.2.2 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-399.2.3 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-399.2.4 The Credit Committee shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-399.2.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-399.2.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-399.2.7 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/279 and that compliance is certified every quarter.

KAP-399.2.8 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Document Management system.

KAP-399.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-399.2.10 Cases involving cash transaction reports with an exposure above Rs. 388 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.7.

Section 399.3 Customer Due Diligence - Operating Rule Set 399.3

KAP-399.3.1 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/291 and that compliance is certified every quarter.

KAP-399.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-399.3.3 Cases involving address proofs with an exposure above Rs. 5 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.20.

KAP-399.3.4 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/194 and that compliance is certified every quarter.

KAP-399.3.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager

by the 10th day of the following month.

KAP-399.3.6 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/130 and that compliance is certified every quarter.

KAP-399.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-399.3.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure E-7.

KAP-399.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-399.3.10 Cases involving address proofs with an exposure above Rs. 195 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.27.

Section 399.4 Customer Due Diligence - Operating Rule Set 399.4

KAP-399.4.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-399.4.2 The Audit Department shall review cash transaction reports within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-399.4.3 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-399.4.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/277 and that compliance is certified every quarter.

KAP-399.4.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-399.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-399.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-399.4.8 Cases involving account-opening forms with an exposure above Rs. 87 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.25.

KAP-399.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

PART 34 - CHAPTER 400: ENHANCED DUE DILIGENCE

Section 400.1 Enhanced Due Diligence - Operating Rule Set 400.1

KAP-400.1.1 The Audit Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

KAP-400.1.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/036 and that compliance is certified every quarter.

KAP-400.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-400.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-400.1.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/250 and that compliance is certified every quarter.

KAP-400.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-400.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-400.1.8 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-400.1.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure C-32.

Section 400.2 Enhanced Due Diligence - Operating Rule Set 400.2

KAP-400.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-400.2.2 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure F-37.

KAP-400.2.3 Cases involving cash transaction reports with an exposure above Rs. 494 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.13.

KAP-400.2.4 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure E-12.

KAP-400.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-400.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-400.2.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/116 and that compliance is certified every quarter.

KAP-400.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 460 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.9.

KAP-400.2.9 The Branch Manager shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Core Banking system.

Section 400.3 Enhanced Due Diligence - Operating Rule Set 400.3

KAP-400.3.1 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-400.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-400.3.3 Cases involving video-KYC sessions with an exposure above Rs. 415 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.25.

KAP-400.3.4 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-400.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-400.3.6 Cases involving identity documents with an exposure above Rs. 54 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.24.

KAP-400.3.7 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure D-11.

KAP-400.3.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure D-36.

Section 400.4 Enhanced Due Diligence - Operating Rule Set 400.4

KAP-400.4.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-12.

KAP-400.4.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-400.4.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/041 and that compliance is certified every quarter.

KAP-400.4.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-400.4.5 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-400.4.6 The Credit Committee shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Document Management system.

KAP-400.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-400.4.8 The Risk Management Department shall review identity documents within 25 working days of receipt and

record the outcome in the Risk Engine system.

KAP-400.4.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-400.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-400.4.11 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 400.5 Enhanced Due Diligence - Operating Rule Set 400.5

KAP-400.5.1 The Compliance Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-400.5.2 Cases involving address proofs with an exposure above Rs. 342 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.30.

KAP-400.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-400.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-400.5.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-400.5.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/248 and that compliance is certified every quarter.

KAP-400.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-400.5.8 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-400.5.9 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/087 and that compliance is certified every quarter.

KAP-400.5.10 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure E-37.

PART 34 - CHAPTER 401: RISK CATEGORISATION

Section 401.1 Risk Categorisation - Operating Rule Set 401.1

KAP-401.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-401.1.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-401.1.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-401.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-401.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-401.1.6 The Regional Credit Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Case Management system.

KAP-401.1.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-401.1.8 Cases involving account-opening forms with an exposure above Rs. 275 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.11.

Section 401.2 Risk Categorisation - Operating Rule Set 401.2

KAP-401.2.1 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-401.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-401.2.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-401.2.4 The Branch Manager shall review address proofs within 15 working days of receipt and record the outcome in the Document Management system.

KAP-401.2.5 The Regional Credit Officer shall review address proofs within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-401.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-401.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-401.2.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-401.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-401.2.10 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/064 and that compliance is certified every quarter.

KAP-401.2.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-401.2.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-401.2.13 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/095 and that compliance is certified every quarter.

Section 401.3 Risk Categorisation - Operating Rule Set 401.3

KAP-401.3.1 The Compliance Officer shall review address proofs within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-401.3.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-401.3.3 The Zonal Head shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-401.3.4 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-401.3.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure G-32.

KAP-401.3.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-401.3.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-401.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-401.3.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-401.3.10 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-401.3.11 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-401.3.12 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure H-14.

Section 401.4 Risk Categorisation - Operating Rule Set 401.4

KAP-401.4.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure D-30.

KAP-401.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the

6th day of the following month.

KAP-401.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-401.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 288 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.22.

KAP-401.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-401.4.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-401.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-401.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-401.4.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure A-36.

KAP-401.4.10 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure D-22.

KAP-401.4.11 Cases involving cash transaction reports with an exposure above Rs. 365 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.10.

KAP-401.4.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 401.5 Risk Categorisation - Operating Rule Set 401.5

KAP-401.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-401.5.2 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-401.5.3 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-401.5.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure B-17.

KAP-401.5.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-401.5.6 Cases involving PEP screening results with an exposure above Rs. 169 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.2.

KAP-401.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-401.5.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-401.5.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-401.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-401.5.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 401.6 Risk Categorisation - Operating Rule Set 401.6

KAP-401.6.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-401.6.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-401.6.3 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-401.6.4 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-401.6.5 The Compliance Officer shall review PEP screening results within 14 working days of receipt and record the outcome in the Document Management system.

KAP-401.6.6 The Branch Manager shall review account-opening forms within 8 working days of receipt and record the outcome in the Case Management system.

KAP-401.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-401.6.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-401.6.9 The Audit Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Document Management system.

KAP-401.6.10 In case of a request for exception, the Operations Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure D-25.

Section 401.7 Risk Categorisation - Operating Rule Set 401.7

KAP-401.7.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-401.7.2 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure H-14.

KAP-401.7.3 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-401.7.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/253 and that compliance is certified every quarter.

KAP-401.7.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/279 and that compliance is certified every quarter.

KAP-401.7.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-401.7.7 The Compliance Officer shall review identity documents within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-401.7.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure G-25.

KAP-401.7.9 Cases involving beneficial-owner declarations with an exposure above Rs. 385 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.3.

KAP-401.7.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-401.7.11 The Compliance Officer shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Core Banking system.

PART 34 - CHAPTER 402: TRANSACTION MONITORING

Section 402.1 Transaction Monitoring - Operating Rule Set 402.1

KAP-402.1.1 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-402.1.2 Cases involving identity documents with an exposure above Rs. 399 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.4.

KAP-402.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-402.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-402.1.5 Cases involving risk-rating files with an exposure above Rs. 204 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.3.

KAP-402.1.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure C-32.

KAP-402.1.7 Cases involving cash transaction reports with an exposure above Rs. 280 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.8.

KAP-402.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-402.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

Section 402.2 Transaction Monitoring - Operating Rule Set 402.2

KAP-402.2.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-402.2.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-402.2.3 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-402.2.4 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-402.2.5 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-402.2.6 The Zonal Head shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-402.2.7 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure D-37.

KAP-402.2.8 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure F-39.

KAP-402.2.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/128 and that compliance is certified every quarter.

KAP-402.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

Section 402.3 Transaction Monitoring - Operating Rule Set 402.3

KAP-402.3.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-402.3.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure A-17.

KAP-402.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-402.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-402.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-402.3.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-402.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-402.3.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-402.3.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/058 and that compliance is certified every quarter.

Section 402.4 Transaction Monitoring - Operating Rule Set 402.4

KAP-402.4.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-402.4.2 Cases involving account-opening forms with an exposure above Rs. 19 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.3.

KAP-402.4.3 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-402.4.4 Cases involving PEP screening results with an exposure above Rs. 128 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.2.

KAP-402.4.5 The Regional Credit Officer shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-402.4.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-402.4.7 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-402.4.8 The Regional Credit Officer shall review account-opening forms within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-402.4.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

Section 402.5 Transaction Monitoring - Operating Rule Set 402.5

KAP-402.5.1 Cases involving PEP screening results with an exposure above Rs. 239 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.30.

KAP-402.5.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-402.5.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-402.5.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/108 and that compliance is certified every quarter.

KAP-402.5.5 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure B-28.

KAP-402.5.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-402.5.7 The Audit Department shall review PEP screening results within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-402.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 298 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.4.

KAP-402.5.9 The Zonal Head shall review PEP screening results within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-402.5.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-402.5.11 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure C-31.

KAP-402.5.12 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 402.6 Transaction Monitoring - Operating Rule Set 402.6

KAP-402.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-402.6.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/103 and that compliance is certified every quarter.

KAP-402.6.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-402.6.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure H-19.

KAP-402.6.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 82 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.3.

KAP-402.6.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal

Head within 8 working days, with the supporting documents listed in Annexure D-24.

KAP-402.6.7 The Compliance Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-402.6.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-402.6.9 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-402.6.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 402.7 Transaction Monitoring - Operating Rule Set 402.7

KAP-402.7.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-402.7.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure A-23.

KAP-402.7.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-402.7.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure E-14.

KAP-402.7.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-402.7.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-402.7.7 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure B-17.

KAP-402.7.8 The Risk Management Department shall review risk-rating files within 14 working days of receipt and record the outcome in the Case Management system.

KAP-402.7.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-402.7.10 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/088 and that compliance is certified every quarter.

KAP-402.7.11 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-402.7.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 297 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.4.

KAP-402.7.13 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

PART 34 - CHAPTER 403: SUSPICIOUS TRANSACTION REPORTING

Section 403.1 Suspicious Transaction Reporting - Operating Rule Set 403.1

KAP-403.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-403.1.2 Cases involving video-KYC sessions with an exposure above Rs. 11 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.12.

KAP-403.1.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-403.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-403.1.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-403.1.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure H-38.

KAP-403.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and

be made available to statutory auditors on request.

KAP-403.1.8 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-403.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

Section 403.2 Suspicious Transaction Reporting - Operating Rule Set 403.2

KAP-403.2.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-403.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-403.2.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-403.2.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-403.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-403.2.6 Cases involving beneficial-owner declarations with an exposure above Rs. 108 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

KAP-403.2.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-403.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-403.2.9 Cases involving PEP screening results with an exposure above Rs. 133 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.21.

KAP-403.2.10 Cases involving address proofs with an exposure above Rs. 375 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.3.

KAP-403.2.11 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure F-2.

KAP-403.2.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

Section 403.3 Suspicious Transaction Reporting - Operating Rule Set 403.3

KAP-403.3.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/224 and that compliance is certified every quarter.

KAP-403.3.2 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/195 and that compliance is certified every quarter.

KAP-403.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-403.3.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure D-21.

KAP-403.3.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-403.3.6 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure A-32.

KAP-403.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-403.3.8 The Zonal Head shall review account-opening forms within 13 working days of receipt and record the outcome in the Document Management system.

KAP-403.3.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure F-13.

KAP-403.3.10 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-403.3.11 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/036 and that compliance is certified every quarter.

Section 403.4 Suspicious Transaction Reporting - Operating Rule Set 403.4

KAP-403.4.1 The Credit Committee shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-403.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-403.4.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure A-6.

KAP-403.4.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-403.4.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-403.4.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-403.4.7 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-403.4.8 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure G-40.

Section 403.5 Suspicious Transaction Reporting - Operating Rule Set 403.5

KAP-403.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-403.5.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/053 and that compliance is certified every quarter.

KAP-403.5.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-403.5.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure H-22.

KAP-403.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-403.5.6 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-403.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-403.5.8 The Branch Manager shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-403.5.9 Cases involving risk-rating files with an exposure above Rs. 453 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.9.

KAP-403.5.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

Section 403.6 Suspicious Transaction Reporting - Operating Rule Set 403.6

KAP-403.6.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-403.6.2 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/168 and that compliance is certified every quarter.

KAP-403.6.3 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-403.6.4 The Audit Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-403.6.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-403.6.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-403.6.7 The Operations Head shall review account-opening forms within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-403.6.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

Section 403.7 Suspicious Transaction Reporting - Operating Rule Set 403.7

KAP-403.7.1 The Operations Head shall review PEP screening results within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-403.7.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-32.

KAP-403.7.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-403.7.4 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-11.

KAP-403.7.5 The Operations Head shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-403.7.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-403.7.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure D-30.

KAP-403.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-403.7.9 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-403.7.10 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/087 and that compliance is certified every quarter.

KAP-403.7.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-403.7.12 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-403.7.13 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure F-20.

PART 34 - CHAPTER 404: POLITICALLY EXPOSED PERSONS

Section 404.1 Politically Exposed Persons - Operating Rule Set 404.1

KAP-404.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-404.1.2 In case of a system outage, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure D-22.

KAP-404.1.3 Cases involving account-opening forms with an exposure above Rs. 47 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.19.

KAP-404.1.4 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-404.1.5 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/216 and that compliance is certified every quarter.

KAP-404.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-404.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-404.1.8 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-404.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-404.1.10 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 404.2 Politically Exposed Persons - Operating Rule Set 404.2

KAP-404.2.1 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-404.2.2 The Operations Head shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Document Management system.

KAP-404.2.3 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-404.2.4 Cases involving address proofs with an exposure above Rs. 112 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.18.

KAP-404.2.5 The Branch Manager shall review account-opening forms within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-404.2.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-404.2.7 The Risk Management Department shall review risk-rating files within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-404.2.8 Cases involving video-KYC sessions with an exposure above Rs. 56 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.7.

Section 404.3 Politically Exposed Persons - Operating Rule Set 404.3

KAP-404.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-404.3.2 Cases involving beneficial-owner declarations with an exposure above Rs. 53 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.18.

KAP-404.3.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/248 and that compliance is certified every quarter.

KAP-404.3.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-404.3.5 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-404.3.6 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure B-7.

KAP-404.3.7 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Case Management system.

KAP-404.3.8 Cases involving cash transaction reports with an exposure above Rs. 149 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.14.

KAP-404.3.9 The Regional Credit Officer shall review PEP screening results within 3 working days of receipt and record the outcome in the Document Management system.

KAP-404.3.10 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-404.3.11 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/280 and that compliance is certified every quarter.

KAP-404.3.12 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 404.4 Politically Exposed Persons - Operating Rule Set 404.4

KAP-404.4.1 Cases involving risk-rating files with an exposure above Rs. 15 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.22.

KAP-404.4.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-404.4.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-404.4.4 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-404.4.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/283 and that compliance is certified every quarter.

KAP-404.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-404.4.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/031 and that compliance is certified every quarter.

KAP-404.4.8 Cases involving video-KYC sessions with an exposure above Rs. 34 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.5.

KAP-404.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 404.5 Politically Exposed Persons - Operating Rule Set 404.5

KAP-404.5.1 The Branch Manager shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-404.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-404.5.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure G-21.

KAP-404.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-404.5.5 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure F-31.

KAP-404.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 109 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.5.

KAP-404.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-404.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-404.5.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/265 and that compliance is certified every quarter.

KAP-404.5.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-404.5.11 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure F-1.

Section 404.6 Politically Exposed Persons - Operating Rule Set 404.6

KAP-404.6.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-404.6.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 27 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.13.

KAP-404.6.3 Cases involving video-KYC sessions with an exposure above Rs. 273 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.7.

KAP-404.6.4 Cases involving risk-rating files with an exposure above Rs. 216 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.8.

KAP-404.6.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-404.6.6 The Operations Head shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Case Management system.

KAP-404.6.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches,

after giving the customer 11 days written notice.

KAP-404.6.8 Cases involving account-opening forms with an exposure above Rs. 359 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.10.

PART 34 - CHAPTER 405: BENEFICIAL OWNERSHIP

Section 405.1 Beneficial Ownership - Operating Rule Set 405.1

KAP-405.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-405.1.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure B-33.

KAP-405.1.3 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/169 and that compliance is certified every quarter.

KAP-405.1.4 The Operations Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-405.1.5 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-21.

KAP-405.1.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-405.1.7 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

KAP-405.1.8 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/081 and that compliance is certified every quarter.

KAP-405.1.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure B-22.

Section 405.2 Beneficial Ownership - Operating Rule Set 405.2

KAP-405.2.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-405.2.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/042 and that compliance is certified every quarter.

KAP-405.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-405.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-405.2.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-405.2.6 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-405.2.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-405.2.8 Cases involving beneficial-owner declarations with an exposure above Rs. 294 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.11.

KAP-405.2.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-405.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

Section 405.3 Beneficial Ownership - Operating Rule Set 405.3

KAP-405.3.1 Cases involving account-opening forms with an exposure above Rs. 310 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.20.

KAP-405.3.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-405.3.3 The Regional Credit Officer shall review account-opening forms within 5 working days of receipt and record the outcome in the Document Management system.

KAP-405.3.4 Cases involving video-KYC sessions with an exposure above Rs. 221 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.6.

KAP-405.3.5 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/229 and that compliance is certified every quarter.

KAP-405.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-405.3.7 Cases involving address proofs with an exposure above Rs. 347 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.24.

KAP-405.3.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-405.3.9 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 405.4 Beneficial Ownership - Operating Rule Set 405.4

KAP-405.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-405.4.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure A-9.

KAP-405.4.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-405.4.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-405.4.5 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-405.4.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-405.4.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/293 and that compliance is certified every quarter.

KAP-405.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-405.4.9 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 405.5 Beneficial Ownership - Operating Rule Set 405.5

KAP-405.5.1 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-405.5.2 The Risk Management Department shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Case Management system.

KAP-405.5.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure D-21.

KAP-405.5.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/077 and that compliance is certified every quarter.

KAP-405.5.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/093 and that compliance is certified every quarter.

KAP-405.5.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/004 and that compliance is certified every quarter.

KAP-405.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-405.5.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/162 and that compliance is certified every quarter.

Section 405.6 Beneficial Ownership - Operating Rule Set 405.6

KAP-405.6.1 Cases involving correspondent-bank relationships with an exposure above Rs. 473 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.29.

KAP-405.6.2 The Audit Department shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-405.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-405.6.4 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-405.6.5 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-405.6.6 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/115 and that compliance is certified every quarter.

KAP-405.6.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-405.6.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure D-8.

KAP-405.6.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-405.6.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-405.6.11 The Branch Manager shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Risk Engine system.

PART 34 - CHAPTER 406: RECORD KEEPING

Section 406.1 Record Keeping - Operating Rule Set 406.1

KAP-406.1.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/158 and that compliance is certified every quarter.

KAP-406.1.2 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure C-15.

KAP-406.1.3 The Regional Credit Officer shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Case Management system.

KAP-406.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-406.1.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-406.1.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure F-29.

KAP-406.1.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-406.1.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure F-16.

KAP-406.1.9 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure A-8.

KAP-406.1.10 The Regional Credit Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-406.1.11 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/254 and that compliance is certified every quarter.

Section 406.2 Record Keeping - Operating Rule Set 406.2

KAP-406.2.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure D-16.

KAP-406.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-406.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-406.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-406.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-406.2.6 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-406.2.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/223 and that compliance is certified every quarter.

KAP-406.2.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-406.2.9 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/057 and that compliance is certified every quarter.

KAP-406.2.10 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-406.2.11 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure B-23.

KAP-406.2.12 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 406.3 Record Keeping - Operating Rule Set 406.3

KAP-406.3.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/137 and that compliance is certified every quarter.

KAP-406.3.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-406.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-406.3.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-406.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-406.3.6 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-406.3.7 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-406.3.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-406.3.9 The Regional Credit Officer shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Case Management system.

Section 406.4 Record Keeping - Operating Rule Set 406.4

KAP-406.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-406.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-406.4.3 Cases involving video-KYC sessions with an exposure above Rs. 210 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.15.

KAP-406.4.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-406.4.5 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-406.4.6 Cases involving address proofs with an exposure above Rs. 19 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.29.

KAP-406.4.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk

Management Department by the 12th day of the following month.

KAP-406.4.8 The Branch Manager shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-406.4.9 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure G-32.

Section 406.5 Record Keeping - Operating Rule Set 406.5

KAP-406.5.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-406.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-406.5.3 The Credit Committee shall review address proofs within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-406.5.4 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-406.5.5 The Branch Manager shall review cash transaction reports within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-406.5.6 The Risk Management Department shall review address proofs within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-406.5.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/280 and that compliance is certified every quarter.

KAP-406.5.8 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/105 and that compliance is certified every quarter.

KAP-406.5.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure A-11.

Section 406.6 Record Keeping - Operating Rule Set 406.6

KAP-406.6.1 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-406.6.2 Cases involving beneficial-owner declarations with an exposure above Rs. 293 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.18.

KAP-406.6.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-406.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-406.6.5 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-406.6.6 The Compliance Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-406.6.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure F-38.

KAP-406.6.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure F-20.

Section 406.7 Record Keeping - Operating Rule Set 406.7

KAP-406.7.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-406.7.2 The Branch Manager shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Case Management system.

KAP-406.7.3 The Compliance Officer shall review account-opening forms within 10 working days of receipt and record the outcome in the Document Management system.

KAP-406.7.4 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/206 and that compliance is certified every quarter.

KAP-406.7.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid

analytic method, with a tolerance of 3% as approved by the Board.

KAP-406.7.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-406.7.7 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-406.7.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/091 and that compliance is certified every quarter.

KAP-406.7.9 Cases involving correspondent-bank relationships with an exposure above Rs. 312 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.2.

KAP-406.7.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-406.7.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

Section 406.8 Record Keeping - Operating Rule Set 406.8

KAP-406.8.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-406.8.2 Cases involving cash transaction reports with an exposure above Rs. 144 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.19.

KAP-406.8.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/182 and that compliance is certified every quarter.

KAP-406.8.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-406.8.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/209 and that compliance is certified every quarter.

KAP-406.8.6 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/110 and that compliance is certified every quarter.

KAP-406.8.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-406.8.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-406.8.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-406.8.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure E-24.

PART 34 - CHAPTER 407: STAFF TRAINING

Section 407.1 Staff Training - Operating Rule Set 407.1

KAP-407.1.1 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-407.1.2 The Branch Manager shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-407.1.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure F-5.

KAP-407.1.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-407.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-407.1.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-9.

KAP-407.1.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/146 and that compliance is certified every quarter.

KAP-407.1.8 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark

method, with a tolerance of 2% as approved by the Board.

KAP-407.1.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-407.1.10 The Operations Head shall review address proofs within 3 working days of receipt and record the outcome in the Document Management system.

KAP-407.1.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-407.1.12 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-407.1.13 Cases involving video-KYC sessions with an exposure above Rs. 12 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.15.

Section 407.2 Staff Training - Operating Rule Set 407.2

KAP-407.2.1 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-407.2.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure E-8.

KAP-407.2.3 The Risk Management Department shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Document Management system.

KAP-407.2.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure B-11.

KAP-407.2.5 Cases involving cash transaction reports with an exposure above Rs. 478 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.29.

KAP-407.2.6 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-407.2.7 The Risk Management Department shall review cash transaction reports within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-407.2.8 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/117 and that compliance is certified every quarter.

KAP-407.2.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-407.2.10 Cases involving risk-rating files with an exposure above Rs. 34 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.17.

KAP-407.2.11 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/222 and that compliance is certified every quarter.

KAP-407.2.12 The Credit Committee shall review address proofs within 20 working days of receipt and record the outcome in the Core Banking system.

Section 407.3 Staff Training - Operating Rule Set 407.3

KAP-407.3.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-407.3.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-407.3.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure A-34.

KAP-407.3.4 The Regional Credit Officer shall review identity documents within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-407.3.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-13.

KAP-407.3.6 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-407.3.7 Cases involving account-opening forms with an exposure above Rs. 495 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.23.

KAP-407.3.8 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-407.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-407.3.10 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 407.4 Staff Training - Operating Rule Set 407.4

KAP-407.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-407.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 193 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.4.

KAP-407.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-407.4.4 Cases involving account-opening forms with an exposure above Rs. 237 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.1.

KAP-407.4.5 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure G-32.

KAP-407.4.6 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-407.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-407.4.8 The Credit Committee shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-407.4.9 The Zonal Head shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Document Management system.

KAP-407.4.10 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure D-8.

KAP-407.4.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

PART 34 - CHAPTER 408: INDEPENDENT AUDIT

Section 408.1 Independent Audit - Operating Rule Set 408.1

KAP-408.1.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure C-21.

KAP-408.1.2 The Zonal Head shall review identity documents within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-408.1.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

KAP-408.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-408.1.5 Cases involving PEP screening results with an exposure above Rs. 418 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.14.

KAP-408.1.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure G-18.

KAP-408.1.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure D-27.

KAP-408.1.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-408.1.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/099 and that compliance is certified every quarter.

Section 408.2 Independent Audit - Operating Rule Set 408.2

KAP-408.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made

available to statutory auditors on request.

KAP-408.2.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/228 and that compliance is certified every quarter.

KAP-408.2.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-408.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-408.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-408.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-408.2.7 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure F-10.

KAP-408.2.8 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-408.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-408.2.10 The Operations Head shall review identity documents within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-408.2.11 Cases involving risk-rating files with an exposure above Rs. 302 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.28.

KAP-408.2.12 Cases involving PEP screening results with an exposure above Rs. 321 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.10.

KAP-408.2.13 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 408.3 Independent Audit - Operating Rule Set 408.3

KAP-408.3.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure H-3.

KAP-408.3.2 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/202 and that compliance is certified every quarter.

KAP-408.3.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/159 and that compliance is certified every quarter.

KAP-408.3.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/121 and that compliance is certified every quarter.

KAP-408.3.5 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-408.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-408.3.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure F-24.

KAP-408.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-408.3.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/222 and that compliance is certified every quarter.

Section 408.4 Independent Audit - Operating Rule Set 408.4

KAP-408.4.1 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-408.4.2 The Zonal Head shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-408.4.3 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure B-28.

KAP-408.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-408.4.5 The Compliance Officer shall review address proofs within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-408.4.6 Cases involving address proofs with an exposure above Rs. 105 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.6.

KAP-408.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-408.4.8 Cases involving account-opening forms with an exposure above Rs. 187 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.9.

Section 408.5 Independent Audit - Operating Rule Set 408.5

KAP-408.5.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure G-10.

KAP-408.5.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-408.5.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

KAP-408.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-408.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-408.5.6 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-408.5.7 Cases involving cash transaction reports with an exposure above Rs. 394 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.7.

KAP-408.5.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/118 and that compliance is certified every quarter.

Section 408.6 Independent Audit - Operating Rule Set 408.6

KAP-408.6.1 The Regional Credit Officer shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Case Management system.

KAP-408.6.2 The Regional Credit Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Case Management system.

KAP-408.6.3 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-408.6.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure H-1.

KAP-408.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-408.6.6 Cases involving correspondent-bank relationships with an exposure above Rs. 373 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.15.

KAP-408.6.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/251 and that compliance is certified every quarter.

KAP-408.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-408.6.9 Cases involving beneficial-owner declarations with an exposure above Rs. 226 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.12.

KAP-408.6.10 Cases involving cash transaction reports with an exposure above Rs. 106 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.4.

KAP-408.6.11 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure C-7.

PART 35 - CHAPTER 409: CUSTOMER ACCEPTANCE

Section 409.1 Customer Acceptance - Operating Rule Set 409.1

KAP-409.1.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/289 and that compliance is certified every quarter.

KAP-409.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-409.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-409.1.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/284 and that compliance is certified every quarter.

KAP-409.1.5 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-409.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-409.1.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure B-16.

KAP-409.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

Section 409.2 Customer Acceptance - Operating Rule Set 409.2

KAP-409.2.1 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-409.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-409.2.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-409.2.4 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-409.2.5 The Compliance Officer shall review identity documents within 7 working days of receipt and record the outcome in the Case Management system.

KAP-409.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-409.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-409.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-409.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

Section 409.3 Customer Acceptance - Operating Rule Set 409.3

KAP-409.3.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/214 and that compliance is certified every quarter.

KAP-409.3.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure B-14.

KAP-409.3.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/212 and that compliance is certified every quarter.

KAP-409.3.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure B-4.

KAP-409.3.5 The Audit Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Document Management system.

KAP-409.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-409.3.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure E-6.

KAP-409.3.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-409.3.9 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-409.3.10 Cases involving address proofs with an exposure above Rs. 456 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.26.

KAP-409.3.11 Cases involving video-KYC sessions with an exposure above Rs. 67 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.15.

Section 409.4 Customer Acceptance - Operating Rule Set 409.4

KAP-409.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-409.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-409.4.3 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/229 and that compliance is certified every quarter.

KAP-409.4.4 The Credit Committee shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-409.4.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-409.4.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-409.4.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-409.4.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure B-40.

Section 409.5 Customer Acceptance - Operating Rule Set 409.5

KAP-409.5.1 The Branch Manager shall review PEP screening results within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-409.5.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-409.5.3 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-30.

KAP-409.5.4 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-409.5.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-409.5.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-409.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-409.5.8 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-409.5.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-409.5.10 The Risk Management Department shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Core Banking system.

Section 409.6 Customer Acceptance - Operating Rule Set 409.6

KAP-409.6.1 Cases involving video-KYC sessions with an exposure above Rs. 106 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.20.

KAP-409.6.2 The Operations Head shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-409.6.3 The Compliance Officer shall review risk-rating files within 5 working days of receipt and record the outcome in the Case Management system.

KAP-409.6.4 Cases involving beneficial-owner declarations with an exposure above Rs. 422 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.22.

KAP-409.6.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-409.6.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/276 and that compliance is certified every quarter.

KAP-409.6.7 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-409.6.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-409.6.9 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-409.6.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-409.6.11 Cases involving account-opening forms with an exposure above Rs. 283 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.17.

KAP-409.6.12 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

PART 35 - CHAPTER 410: CUSTOMER IDENTIFICATION

Section 410.1 Customer Identification - Operating Rule Set 410.1

KAP-410.1.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-410.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-410.1.3 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/101 and that compliance is certified every quarter.

KAP-410.1.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/001 and that compliance is certified every quarter.

KAP-410.1.5 The Risk Management Department shall review PEP screening results within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-410.1.6 The Credit Committee shall review address proofs within 5 working days of receipt and record the outcome in the Case Management system.

KAP-410.1.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-410.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-410.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-410.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 410.2 Customer Identification - Operating Rule Set 410.2

KAP-410.2.1 The Risk Management Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-410.2.2 Cases involving account-opening forms with an exposure above Rs. 30 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.4.

KAP-410.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 347 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.13.

KAP-410.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-410.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-410.2.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure G-39.

KAP-410.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-410.2.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 410.3 Customer Identification - Operating Rule Set 410.3

KAP-410.3.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-410.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-410.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-410.3.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/247 and that compliance is certified every quarter.

KAP-410.3.5 Cases involving PEP screening results with an exposure above Rs. 21 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.14.

KAP-410.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-410.3.7 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-410.3.8 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure F-7.

KAP-410.3.9 The Risk Management Department shall review address proofs within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-410.3.10 Cases involving cash transaction reports with an exposure above Rs. 84 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.15.

KAP-410.3.11 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-410.3.12 Cases involving video-KYC sessions with an exposure above Rs. 377 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.21.

Section 410.4 Customer Identification - Operating Rule Set 410.4

KAP-410.4.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-410.4.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-410.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-410.4.4 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-410.4.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-410.4.6 Cases involving PEP screening results with an exposure above Rs. 49 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.9.

KAP-410.4.7 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-410.4.8 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure G-7.

KAP-410.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 13 days written notice.

KAP-410.4.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-410.4.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

PART 35 - CHAPTER 411: CUSTOMER DUE DILIGENCE

Section 411.1 Customer Due Diligence - Operating Rule Set 411.1

KAP-411.1.1 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-411.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-411.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-411.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-411.1.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-411.1.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure D-39.

KAP-411.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-411.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-411.1.9 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/153 and that compliance is certified every quarter.

KAP-411.1.10 Cases involving address proofs with an exposure above Rs. 335 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.23.

Section 411.2 Customer Due Diligence - Operating Rule Set 411.2

KAP-411.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-411.2.2 Cases involving risk-rating files with an exposure above Rs. 170 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.28.

KAP-411.2.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/033 and that compliance is certified every quarter.

KAP-411.2.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-411.2.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-411.2.6 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/288 and that compliance is certified every quarter.

KAP-411.2.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-411.2.8 Cases involving address proofs with an exposure above Rs. 59 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.6.

KAP-411.2.9 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/185 and that compliance is certified every quarter.

KAP-411.2.10 Cases involving risk-rating files with an exposure above Rs. 148 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.19.

KAP-411.2.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 411.3 Customer Due Diligence - Operating Rule Set 411.3

KAP-411.3.1 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-39.

KAP-411.3.2 Cases involving address proofs with an exposure above Rs. 301 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.29.

KAP-411.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-411.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-411.3.5 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-411.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-411.3.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure B-39.

KAP-411.3.8 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-411.3.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure F-12.

KAP-411.3.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

Section 411.4 Customer Due Diligence - Operating Rule Set 411.4

KAP-411.4.1 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/057 and that compliance is certified every quarter.

KAP-411.4.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-411.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-411.4.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-411.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-411.4.6 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure D-11.

KAP-411.4.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-411.4.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-411.4.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-411.4.10 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-411.4.11 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/272 and that compliance is certified every quarter.

KAP-411.4.12 Cases involving identity documents with an exposure above Rs. 470 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.12.

KAP-411.4.13 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 411.5 Customer Due Diligence - Operating Rule Set 411.5

KAP-411.5.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-411.5.2 Cases involving beneficial-owner declarations with an exposure above Rs. 134 lakh require prior written

approval from the Branch Manager; otherwise the case is an exception under Clause 13.22.

KAP-411.5.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/001 and that compliance is certified every quarter.

KAP-411.5.4 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-411.5.5 The Operations Head shall review risk-rating files within 14 working days of receipt and record the outcome in the Case Management system.

KAP-411.5.6 Cases involving cash transaction reports with an exposure above Rs. 66 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.16.

KAP-411.5.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-411.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-411.5.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-411.5.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 411.6 Customer Due Diligence - Operating Rule Set 411.6

KAP-411.6.1 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/156 and that compliance is certified every quarter.

KAP-411.6.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-411.6.3 Cases involving identity documents with an exposure above Rs. 398 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.8.

KAP-411.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-411.6.5 The Operations Head shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-411.6.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-411.6.7 The Regional Credit Officer shall review identity documents within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-411.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

PART 35 - CHAPTER 412: ENHANCED DUE DILIGENCE

Section 412.1 Enhanced Due Diligence - Operating Rule Set 412.1

KAP-412.1.1 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-412.1.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure H-30.

KAP-412.1.3 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-412.1.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/120 and that compliance is certified every quarter.

KAP-412.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-412.1.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-412.1.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/089 and that compliance is certified every quarter.

KAP-412.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit

Officer by the 9th day of the following month.

KAP-412.1.9 Cases involving PEP screening results with an exposure above Rs. 299 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.11.

KAP-412.1.10 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/149 and that compliance is certified every quarter.

KAP-412.1.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 412.2 Enhanced Due Diligence - Operating Rule Set 412.2

KAP-412.2.1 The Compliance Officer shall review risk-rating files within 12 working days of receipt and record the outcome in the Case Management system.

KAP-412.2.2 For NRI customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-412.2.3 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure A-23.

KAP-412.2.4 The Credit Committee shall review PEP screening results within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-412.2.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure A-24.

KAP-412.2.6 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-412.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 438 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.28.

KAP-412.2.8 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/085 and that compliance is certified every quarter.

KAP-412.2.9 The Zonal Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Case Management system.

KAP-412.2.10 Cases involving identity documents with an exposure above Rs. 213 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.14.

Section 412.3 Enhanced Due Diligence - Operating Rule Set 412.3

KAP-412.3.1 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-412.3.2 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure A-39.

KAP-412.3.3 The Operations Head shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

KAP-412.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-412.3.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-412.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-412.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-412.3.8 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/292 and that compliance is certified every quarter.

KAP-412.3.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-412.3.10 The Compliance Officer shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-412.3.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 17 days written notice.

Section 412.4 Enhanced Due Diligence - Operating Rule Set 412.4

KAP-412.4.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-412.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-412.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-412.4.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/133 and that compliance is certified every quarter.

KAP-412.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-412.4.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

KAP-412.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-412.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-412.4.9 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-412.4.10 Cases involving address proofs with an exposure above Rs. 348 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.9.

KAP-412.4.11 Cases involving address proofs with an exposure above Rs. 65 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.28.

KAP-412.4.12 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure A-39.

Section 412.5 Enhanced Due Diligence - Operating Rule Set 412.5

KAP-412.5.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure G-26.

KAP-412.5.2 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Case Management system.

KAP-412.5.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure C-37.

KAP-412.5.4 The Compliance Officer shall review account-opening forms within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-412.5.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure C-33.

KAP-412.5.6 The Credit Committee shall review account-opening forms within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-412.5.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure D-34.

KAP-412.5.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-412.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

PART 35 - CHAPTER 413: RISK CATEGORISATION

Section 413.1 Risk Categorisation - Operating Rule Set 413.1

KAP-413.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure F-17.

KAP-413.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-413.1.3 The Risk Management Department shall review risk-rating files within 28 working days of receipt and record

the outcome in the Customer Relationship system.

KAP-413.1.4 Cases involving risk-rating files with an exposure above Rs. 128 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.1.

KAP-413.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-413.1.6 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure C-35.

KAP-413.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-413.1.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/088 and that compliance is certified every quarter.

KAP-413.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-413.1.10 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 413.2 Risk Categorisation - Operating Rule Set 413.2

KAP-413.2.1 Cases involving risk-rating files with an exposure above Rs. 312 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.26.

KAP-413.2.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure H-16.

KAP-413.2.3 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure D-22.

KAP-413.2.4 The Credit Committee shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-413.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-413.2.6 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure B-4.

KAP-413.2.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/035 and that compliance is certified every quarter.

KAP-413.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 413.3 Risk Categorisation - Operating Rule Set 413.3

KAP-413.3.1 Cases involving PEP screening results with an exposure above Rs. 369 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-413.3.2 Cases involving account-opening forms with an exposure above Rs. 410 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.27.

KAP-413.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-413.3.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-413.3.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-413.3.6 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure F-14.

KAP-413.3.7 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-413.3.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-413.3.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-413.3.10 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/059 and that compliance is certified every quarter.

Section 413.4 Risk Categorisation - Operating Rule Set 413.4

KAP-413.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-413.4.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/008 and that compliance is certified every quarter.

KAP-413.4.3 Cases involving risk-rating files with an exposure above Rs. 422 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.6.

KAP-413.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 407 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.16.

KAP-413.4.5 Cases involving PEP screening results with an exposure above Rs. 461 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.24.

KAP-413.4.6 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure F-8.

KAP-413.4.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/051 and that compliance is certified every quarter.

KAP-413.4.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-413.4.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-413.4.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-413.4.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 39 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.15.

KAP-413.4.12 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure A-31.

KAP-413.4.13 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

Section 413.5 Risk Categorisation - Operating Rule Set 413.5

KAP-413.5.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/263 and that compliance is certified every quarter.

KAP-413.5.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-413.5.3 Cases involving cash transaction reports with an exposure above Rs. 239 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.7.

KAP-413.5.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-413.5.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/215 and that compliance is certified every quarter.

KAP-413.5.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/141 and that compliance is certified every quarter.

KAP-413.5.7 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-413.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 454 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.12.

PART 35 - CHAPTER 414: TRANSACTION MONITORING

Section 414.1 Transaction Monitoring - Operating Rule Set 414.1

KAP-414.1.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/025 and that compliance is certified every quarter.

KAP-414.1.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2021/285 and that compliance is certified every quarter.

KAP-414.1.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/296 and that compliance is certified every quarter.

KAP-414.1.4 Cases involving risk-rating files with an exposure above Rs. 121 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.8.

KAP-414.1.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

KAP-414.1.6 Cases involving account-opening forms with an exposure above Rs. 82 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.3.

KAP-414.1.7 Cases involving correspondent-bank relationships with an exposure above Rs. 65 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.3.

KAP-414.1.8 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-414.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-414.1.10 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 414.2 Transaction Monitoring - Operating Rule Set 414.2

KAP-414.2.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-414.2.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure C-31.

KAP-414.2.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/009 and that compliance is certified every quarter.

KAP-414.2.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/019 and that compliance is certified every quarter.

KAP-414.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-414.2.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure F-19.

KAP-414.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-414.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 313 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.4.

KAP-414.2.9 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Case Management system.

Section 414.3 Transaction Monitoring - Operating Rule Set 414.3

KAP-414.3.1 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-414.3.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/009 and that compliance is certified every quarter.

KAP-414.3.3 The Risk Management Department shall review address proofs within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-414.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-414.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-414.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-414.3.7 The Regional Credit Officer shall review account-opening forms within 4 working days of receipt and record the outcome in the Document Management system.

KAP-414.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 259 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.22.

Section 414.4 Transaction Monitoring - Operating Rule Set 414.4

KAP-414.4.1 The Zonal Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-414.4.2 Cases involving PEP screening results with an exposure above Rs. 247 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.29.

KAP-414.4.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-414.4.4 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/112 and that compliance is certified every quarter.

KAP-414.4.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure F-34.

KAP-414.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-414.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-414.4.8 Cases involving address proofs with an exposure above Rs. 87 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.29.

KAP-414.4.9 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 414.5 Transaction Monitoring - Operating Rule Set 414.5

KAP-414.5.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-414.5.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure E-4.

KAP-414.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-414.5.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-414.5.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-414.5.6 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-414.5.7 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-414.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-414.5.9 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-414.5.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 414.6 Transaction Monitoring - Operating Rule Set 414.6

KAP-414.6.1 Cases involving account-opening forms with an exposure above Rs. 197 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.14.

KAP-414.6.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-414.6.3 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-414.6.4 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-414.6.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure F-4.

KAP-414.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-414.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-414.6.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-414.6.9 Cases involving cash transaction reports with an exposure above Rs. 139 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.28.

KAP-414.6.10 The Risk Management Department shall review risk-rating files within 29 working days of receipt and record the outcome in the Document Management system.

KAP-414.6.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-414.6.12 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

PART 35 - CHAPTER 415: SUSPICIOUS TRANSACTION REPORTING

Section 415.1 Suspicious Transaction Reporting - Operating Rule Set 415.1

KAP-415.1.1 The Risk Management Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-415.1.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/197 and that compliance is certified every quarter.

KAP-415.1.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-415.1.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/171 and that compliance is certified every quarter.

KAP-415.1.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-415.1.6 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-415.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-415.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-415.1.9 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-415.1.10 Cases involving beneficial-owner declarations with an exposure above Rs. 297 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.4.

Section 415.2 Suspicious Transaction Reporting - Operating Rule Set 415.2

KAP-415.2.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

KAP-415.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-415.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-415.2.4 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure G-11.

KAP-415.2.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/193 and that compliance is certified every quarter.

KAP-415.2.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-415.2.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/088 and that compliance is certified every quarter.

KAP-415.2.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure G-11.

KAP-415.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 87 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.13.

KAP-415.2.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-415.2.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 415.3 Suspicious Transaction Reporting - Operating Rule Set 415.3

KAP-415.3.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

KAP-415.3.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure A-6.

KAP-415.3.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-415.3.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-415.3.5 The Zonal Head shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-415.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-415.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 39 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.9.

KAP-415.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-415.3.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure G-14.

KAP-415.3.10 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 415.4 Suspicious Transaction Reporting - Operating Rule Set 415.4

KAP-415.4.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/082 and that compliance is certified every quarter.

KAP-415.4.2 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-415.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-415.4.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-415.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-415.4.6 The Risk Management Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-415.4.7 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-415.4.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure G-26.

KAP-415.4.9 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/293 and that compliance is certified every quarter.

KAP-415.4.10 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within

8 working days, with the supporting documents listed in Annexure D-9.

KAP-415.4.11 Cases involving video-KYC sessions with an exposure above Rs. 153 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.12.

Section 415.5 Suspicious Transaction Reporting - Operating Rule Set 415.5

KAP-415.5.1 The Branch Manager shall review PEP screening results within 28 working days of receipt and record the outcome in the Document Management system.

KAP-415.5.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-415.5.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-415.5.4 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure E-1.

KAP-415.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-415.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-415.5.7 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure C-13.

KAP-415.5.8 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-415.5.9 The Credit Committee shall review risk-rating files within 2 working days of receipt and record the outcome in the Case Management system.

KAP-415.5.10 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Document Management system.

KAP-415.5.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-415.5.12 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

PART 35 - CHAPTER 416: POLITICALLY EXPOSED PERSONS

Section 416.1 Politically Exposed Persons - Operating Rule Set 416.1

KAP-416.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-416.1.2 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-416.1.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-416.1.4 The Operations Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Document Management system.

KAP-416.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-416.1.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure C-22.

KAP-416.1.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure F-32.

KAP-416.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-416.1.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-23.

KAP-416.1.10 The Zonal Head shall review cash transaction reports within 4 working days of receipt and record the outcome in the Case Management system.

KAP-416.1.11 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2021/284 and that compliance is certified every quarter.

Section 416.2 Politically Exposed Persons - Operating Rule Set 416.2

KAP-416.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-416.2.2 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-416.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-416.2.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-416.2.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-416.2.6 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-416.2.7 The Branch Manager shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-416.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-416.2.9 The Regional Credit Officer shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-416.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 416.3 Politically Exposed Persons - Operating Rule Set 416.3

KAP-416.3.1 Cases involving PEP screening results with an exposure above Rs. 72 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.3.

KAP-416.3.2 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/026 and that compliance is certified every quarter.

KAP-416.3.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/292 and that compliance is certified every quarter.

KAP-416.3.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/120 and that compliance is certified every quarter.

KAP-416.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-416.3.6 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-416.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-416.3.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-416.3.9 Cases involving PEP screening results with an exposure above Rs. 498 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.26.

Section 416.4 Politically Exposed Persons - Operating Rule Set 416.4

KAP-416.4.1 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-416.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-416.4.3 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-416.4.4 Cases involving account-opening forms with an exposure above Rs. 121 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.1.

KAP-416.4.5 Cases involving account-opening forms with an exposure above Rs. 172 lakh require prior written approval

from the Branch Manager; otherwise the case is an exception under Clause 3.22.

KAP-416.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-416.4.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-416.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-416.4.9 The Credit Committee shall review PEP screening results within 10 working days of receipt and record the outcome in the Document Management system.

Section 416.5 Politically Exposed Persons - Operating Rule Set 416.5

KAP-416.5.1 The Regional Credit Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Case Management system.

KAP-416.5.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure H-2.

KAP-416.5.3 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/121 and that compliance is certified every quarter.

KAP-416.5.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-416.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-416.5.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-416.5.7 Cases involving video-KYC sessions with an exposure above Rs. 53 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.25.

KAP-416.5.8 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-416.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-416.5.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

Section 416.6 Politically Exposed Persons - Operating Rule Set 416.6

KAP-416.6.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/218 and that compliance is certified every quarter.

KAP-416.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-416.6.3 The Compliance Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-416.6.4 Cases involving PEP screening results with an exposure above Rs. 28 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.20.

KAP-416.6.5 Cases involving cash transaction reports with an exposure above Rs. 369 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.1.

KAP-416.6.6 Cases involving risk-rating files with an exposure above Rs. 342 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.29.

KAP-416.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-416.6.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/215 and that compliance is certified every quarter.

KAP-416.6.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure E-25.

PART 35 - CHAPTER 417: BENEFICIAL OWNERSHIP

Section 417.1 Beneficial Ownership - Operating Rule Set 417.1

KAP-417.1.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-417.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-417.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 477 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.12.

KAP-417.1.4 The Risk Management Department shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Case Management system.

KAP-417.1.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/074 and that compliance is certified every quarter.

KAP-417.1.6 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-417.1.7 Cases involving risk-rating files with an exposure above Rs. 185 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.17.

KAP-417.1.8 The Compliance Officer shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Document Management system.

KAP-417.1.9 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-26.

KAP-417.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-417.1.11 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 417.2 Beneficial Ownership - Operating Rule Set 417.2

KAP-417.2.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure C-31.

KAP-417.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-417.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-417.2.4 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/161 and that compliance is certified every quarter.

KAP-417.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-417.2.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-417.2.7 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-417.2.8 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-417.2.9 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure C-39.

Section 417.3 Beneficial Ownership - Operating Rule Set 417.3

KAP-417.3.1 The Operations Head shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-417.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-417.3.3 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/161 and that compliance is certified every quarter.

KAP-417.3.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure B-26.

KAP-417.3.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 243 lakh require prior

written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.14.

KAP-417.3.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-14.

KAP-417.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-417.3.8 The Branch Manager shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Case Management system.

KAP-417.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

Section 417.4 Beneficial Ownership - Operating Rule Set 417.4

KAP-417.4.1 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/125 and that compliance is certified every quarter.

KAP-417.4.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-417.4.3 The Credit Committee shall review risk-rating files within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-417.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-417.4.5 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/269 and that compliance is certified every quarter.

KAP-417.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-417.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-417.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-417.4.9 The Risk Management Department shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Risk Engine system.

Section 417.5 Beneficial Ownership - Operating Rule Set 417.5

KAP-417.5.1 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure E-34.

KAP-417.5.2 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-417.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-417.5.4 Cases involving risk-rating files with an exposure above Rs. 206 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.27.

KAP-417.5.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-417.5.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-417.5.7 The Compliance Officer shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-417.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-417.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-417.5.10 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

PART 35 - CHAPTER 418: RECORD KEEPING

Section 418.1 Record Keeping - Operating Rule Set 418.1

KAP-418.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-418.1.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-418.1.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-418.1.4 The Zonal Head shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-418.1.5 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/291 and that compliance is certified every quarter.

KAP-418.1.6 The Audit Department shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-418.1.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-418.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-418.1.9 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-418.1.10 The Regional Credit Officer shall review address proofs within 29 working days of receipt and record the outcome in the Case Management system.

KAP-418.1.11 Cases involving identity documents with an exposure above Rs. 308 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.17.

Section 418.2 Record Keeping - Operating Rule Set 418.2

KAP-418.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-418.2.2 The Branch Manager shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-418.2.3 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-418.2.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-418.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-418.2.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-418.2.7 Cases involving risk-rating files with an exposure above Rs. 107 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.28.

KAP-418.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-418.2.9 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure D-39.

KAP-418.2.10 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.30.

KAP-418.2.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 4 days written notice.

Section 418.3 Record Keeping - Operating Rule Set 418.3

KAP-418.3.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-418.3.2 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/011 and that compliance is certified every quarter.

KAP-418.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee

by the 6th day of the following month.

KAP-418.3.4 The Branch Manager shall review identity documents within 23 working days of receipt and record the outcome in the Document Management system.

KAP-418.3.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-418.3.6 Cases involving address proofs with an exposure above Rs. 132 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.8.

KAP-418.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 150 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.28.

KAP-418.3.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/193 and that compliance is certified every quarter.

KAP-418.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-418.3.10 Cases involving address proofs with an exposure above Rs. 438 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.17.

Section 418.4 Record Keeping - Operating Rule Set 418.4

KAP-418.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-418.4.2 The Risk Management Department shall review account-opening forms within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-418.4.3 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/138 and that compliance is certified every quarter.

KAP-418.4.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/274 and that compliance is certified every quarter.

KAP-418.4.5 Cases involving beneficial-owner declarations with an exposure above Rs. 404 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.29.

KAP-418.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-418.4.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/219 and that compliance is certified every quarter.

KAP-418.4.8 The Credit Committee shall review address proofs within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-418.4.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

Section 418.5 Record Keeping - Operating Rule Set 418.5

KAP-418.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-418.5.2 The Compliance Officer shall review cash transaction reports within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-418.5.3 The Compliance Officer shall review PEP screening results within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-418.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-418.5.5 Cases involving address proofs with an exposure above Rs. 279 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.4.

KAP-418.5.6 The Credit Committee shall review identity documents within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-418.5.7 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure C-34.

KAP-418.5.8 Cases involving identity documents with an exposure above Rs. 452 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.2.

KAP-418.5.9 The Risk Management Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Document Management system.

KAP-418.5.10 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-418.5.11 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-418.5.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

Section 418.6 Record Keeping - Operating Rule Set 418.6

KAP-418.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 54 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.20.

KAP-418.6.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-418.6.3 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/024 and that compliance is certified every quarter.

KAP-418.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-418.6.5 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-418.6.6 The Operations Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-418.6.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-418.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-418.6.9 Cases involving cash transaction reports with an exposure above Rs. 371 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.10.

KAP-418.6.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-418.6.11 The Risk Management Department shall review cash transaction reports within 28 working days of receipt and record the outcome in the Core Banking system.

Section 418.7 Record Keeping - Operating Rule Set 418.7

KAP-418.7.1 The Zonal Head shall review cash transaction reports within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-418.7.2 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-418.7.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-418.7.4 Cases involving risk-rating files with an exposure above Rs. 279 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.5.

KAP-418.7.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-418.7.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-36.

KAP-418.7.7 In case of a customer complaint, the Audit Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure C-34.

KAP-418.7.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-418.7.9 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-418.7.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by

the 4th day of the following month.

KAP-418.7.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

PART 35 - CHAPTER 419: STAFF TRAINING

Section 419.1 Staff Training - Operating Rule Set 419.1

KAP-419.1.1 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-419.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-419.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-419.1.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-419.1.5 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-419.1.6 The Credit Committee shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Case Management system.

KAP-419.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-419.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 194 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.5.

Section 419.2 Staff Training - Operating Rule Set 419.2

KAP-419.2.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

KAP-419.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-419.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-419.2.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure B-14.

KAP-419.2.5 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-419.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-419.2.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-419.2.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure A-13.

Section 419.3 Staff Training - Operating Rule Set 419.3

KAP-419.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-419.3.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-419.3.3 Cases involving video-KYC sessions with an exposure above Rs. 27 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.28.

KAP-419.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 257 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.27.

KAP-419.3.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-419.3.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/139 and that compliance is certified every quarter.

KAP-419.3.7 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-419.3.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure D-32.

KAP-419.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 419.4 Staff Training - Operating Rule Set 419.4

KAP-419.4.1 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/147 and that compliance is certified every quarter.

KAP-419.4.2 The Credit Committee shall review identity documents within 14 working days of receipt and record the outcome in the Document Management system.

KAP-419.4.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/115 and that compliance is certified every quarter.

KAP-419.4.4 The Credit Committee shall review identity documents within 9 working days of receipt and record the outcome in the Document Management system.

KAP-419.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-419.4.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-419.4.7 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-419.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-419.4.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure F-27.

KAP-419.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-419.4.11 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-419.4.12 The Credit Committee shall review account-opening forms within 16 working days of receipt and record the outcome in the Document Management system.

Section 419.5 Staff Training - Operating Rule Set 419.5

KAP-419.5.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-419.5.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure E-5.

KAP-419.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-419.5.4 Cases involving address proofs with an exposure above Rs. 92 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.27.

KAP-419.5.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/246 and that compliance is certified every quarter.

KAP-419.5.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-34.

KAP-419.5.7 The Credit Committee shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Case Management system.

KAP-419.5.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-419.5.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure H-40.

KAP-419.5.10 The Operations Head shall review correspondent-bank relationships within 5 working days of receipt and

record the outcome in the Customer Relationship system.

KAP-419.5.11 The Branch Manager shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Core Banking system.

Section 419.6 Staff Training - Operating Rule Set 419.6

KAP-419.6.1 The Compliance Officer shall review PEP screening results within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-419.6.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-419.6.3 Cases involving account-opening forms with an exposure above Rs. 146 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.15.

KAP-419.6.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-419.6.5 Cases involving PEP screening results with an exposure above Rs. 338 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.25.

KAP-419.6.6 The Credit Committee shall review cash transaction reports within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-419.6.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-419.6.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-419.6.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

PART 35 - CHAPTER 420: INDEPENDENT AUDIT

Section 420.1 Independent Audit - Operating Rule Set 420.1

KAP-420.1.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/260 and that compliance is certified every quarter.

KAP-420.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-420.1.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-420.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-420.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-420.1.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/085 and that compliance is certified every quarter.

KAP-420.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 402 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.10.

KAP-420.1.8 The Audit Department shall review PEP screening results within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-420.1.9 Cases involving account-opening forms with an exposure above Rs. 59 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.21.

KAP-420.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 272 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.1.

KAP-420.1.11 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/208 and that compliance is certified every quarter.

Section 420.2 Independent Audit - Operating Rule Set 420.2

KAP-420.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 225 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.28.

KAP-420.2.2 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-420.2.3 The Risk Management Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-420.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-420.2.5 The Zonal Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-420.2.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-27.

KAP-420.2.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-420.2.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure C-27.

KAP-420.2.9 The Zonal Head shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Case Management system.

KAP-420.2.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-420.2.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-420.2.12 The Risk Management Department shall review cash transaction reports within 10 working days of receipt and record the outcome in the Case Management system.

KAP-420.2.13 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-420.2.14 Cases involving risk-rating files with an exposure above Rs. 109 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.23.

Section 420.3 Independent Audit - Operating Rule Set 420.3

KAP-420.3.1 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-420.3.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-420.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-420.3.4 The Audit Department shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-420.3.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure F-13.

KAP-420.3.6 The Regional Credit Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-420.3.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-420.3.8 The Zonal Head shall review identity documents within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-420.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-420.3.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

Section 420.4 Independent Audit - Operating Rule Set 420.4

KAP-420.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-420.4.2 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/014 and that compliance is certified every quarter.

KAP-420.4.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after

giving the customer 9 days written notice.

KAP-420.4.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/187 and that compliance is certified every quarter.

KAP-420.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-420.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-420.4.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure E-22.

KAP-420.4.8 The Credit Committee shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-420.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-420.4.10 The Risk Management Department shall review cash transaction reports within 26 working days of receipt and record the outcome in the Core Banking system.

Section 420.5 Independent Audit - Operating Rule Set 420.5

KAP-420.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-420.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-420.5.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure A-20.

KAP-420.5.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-420.5.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

KAP-420.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-420.5.7 The Zonal Head shall review identity documents within 16 working days of receipt and record the outcome in the Case Management system.

KAP-420.5.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/061 and that compliance is certified every quarter.

KAP-420.5.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure B-40.

Section 420.6 Independent Audit - Operating Rule Set 420.6

KAP-420.6.1 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-420.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-420.6.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-420.6.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-420.6.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 43 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.22.

KAP-420.6.6 The Audit Department shall review account-opening forms within 3 working days of receipt and record the outcome in the Document Management system.

KAP-420.6.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-420.6.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-420.6.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-420.6.10 The Audit Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-420.6.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

PART 36 - CHAPTER 421: CUSTOMER ACCEPTANCE

Section 421.1 Customer Acceptance - Operating Rule Set 421.1

KAP-421.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-421.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-421.1.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure H-25.

KAP-421.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-421.1.5 Cases involving video-KYC sessions with an exposure above Rs. 193 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.29.

KAP-421.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-421.1.7 The Credit Committee shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-421.1.8 The Credit Committee shall review account-opening forms within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-421.1.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-421.1.10 The Zonal Head shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-421.1.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-421.1.12 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

Section 421.2 Customer Acceptance - Operating Rule Set 421.2

KAP-421.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 87 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.26.

KAP-421.2.2 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-421.2.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure F-20.

KAP-421.2.4 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-421.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-421.2.6 Cases involving cash transaction reports with an exposure above Rs. 433 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.20.

KAP-421.2.7 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/069 and that compliance is certified every quarter.

KAP-421.2.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/177 and that compliance is certified every quarter.

KAP-421.2.9 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 421.3 Customer Acceptance - Operating Rule Set 421.3

KAP-421.3.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure G-14.

KAP-421.3.2 The Audit Department shall review account-opening forms within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-421.3.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/087 and that compliance is certified every quarter.

KAP-421.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-421.3.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/215 and that compliance is certified every quarter.

KAP-421.3.6 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/235 and that compliance is certified every quarter.

KAP-421.3.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure H-18.

KAP-421.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-421.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-421.3.10 The Credit Committee shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-421.3.11 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/053 and that compliance is certified every quarter.

Section 421.4 Customer Acceptance - Operating Rule Set 421.4

KAP-421.4.1 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-421.4.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/048 and that compliance is certified every quarter.

KAP-421.4.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-421.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-421.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 254 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.26.

KAP-421.4.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure H-38.

KAP-421.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-421.4.8 The Risk Management Department shall review address proofs within 18 working days of receipt and record the outcome in the Core Banking system.

Section 421.5 Customer Acceptance - Operating Rule Set 421.5

KAP-421.5.1 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-10.

KAP-421.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-421.5.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-421.5.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-421.5.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/066 and that compliance is certified every quarter.

KAP-421.5.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-421.5.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-421.5.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-421.5.9 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/030 and that compliance is certified every quarter.

PART 36 - CHAPTER 422: CUSTOMER IDENTIFICATION

Section 422.1 Customer Identification - Operating Rule Set 422.1

KAP-422.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-422.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-422.1.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/181 and that compliance is certified every quarter.

KAP-422.1.4 For individual customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-422.1.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-422.1.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 430 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.13.

KAP-422.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-422.1.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure G-17.

KAP-422.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-422.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-422.1.11 The Branch Manager shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Document Management system.

Section 422.2 Customer Identification - Operating Rule Set 422.2

KAP-422.2.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-422.2.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-422.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 83 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.10.

KAP-422.2.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-422.2.5 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure F-22.

KAP-422.2.6 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-422.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-422.2.8 The Credit Committee shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-422.2.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/268 and that compliance is certified every quarter.

KAP-422.2.10 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 422.3 Customer Identification - Operating Rule Set 422.3

KAP-422.3.1 Cases involving risk-rating files with an exposure above Rs. 437 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.4.

KAP-422.3.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-422.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 248 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.28.

KAP-422.3.4 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-422.3.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-422.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-422.3.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-422.3.8 Cases involving address proofs with an exposure above Rs. 469 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.7.

Section 422.4 Customer Identification - Operating Rule Set 422.4

KAP-422.4.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-422.4.2 The Risk Management Department shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-422.4.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/197 and that compliance is certified every quarter.

KAP-422.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-422.4.5 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-422.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-422.4.7 The Audit Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-422.4.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-422.4.9 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-422.4.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-422.4.11 The Operations Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

Section 422.5 Customer Identification - Operating Rule Set 422.5

KAP-422.5.1 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-422.5.2 Cases involving account-opening forms with an exposure above Rs. 12 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.14.

KAP-422.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-422.5.4 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure H-12.

KAP-422.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-422.5.6 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/272 and that compliance is certified every quarter.

KAP-422.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-422.5.8 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-422.5.9 The Regional Credit Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Risk Engine system.

Section 422.6 Customer Identification - Operating Rule Set 422.6

KAP-422.6.1 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-422.6.2 The Compliance Officer shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-422.6.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-422.6.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-422.6.5 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-422.6.6 The Branch Manager shall review account-opening forms within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-422.6.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-422.6.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 386 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.1.

PART 36 - CHAPTER 423: CUSTOMER DUE DILIGENCE

Section 423.1 Customer Due Diligence - Operating Rule Set 423.1

KAP-423.1.1 In case of a system outage, the Risk Management Department must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure C-18.

KAP-423.1.2 For NRI customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-423.1.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/060 and that compliance is certified every quarter.

KAP-423.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-423.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-423.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-423.1.7 The Branch Manager shall review PEP screening results within 24 working days of receipt and record the outcome in the Document Management system.

KAP-423.1.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-423.1.9 Cases involving account-opening forms with an exposure above Rs. 145 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.14.

KAP-423.1.10 The Regional Credit Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-423.1.11 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-18.

KAP-423.1.12 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-423.1.13 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

Section 423.2 Customer Due Diligence - Operating Rule Set 423.2

KAP-423.2.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-423.2.2 The Regional Credit Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Document Management system.

KAP-423.2.3 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/024 and that compliance is certified every quarter.

KAP-423.2.4 The Compliance Officer shall review identity documents within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-423.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-423.2.6 The Audit Department shall review risk-rating files within 4 working days of receipt and record the outcome in the Document Management system.

KAP-423.2.7 The Operations Head shall review cash transaction reports within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-423.2.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

Section 423.3 Customer Due Diligence - Operating Rule Set 423.3

KAP-423.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-423.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-423.3.3 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure H-26.

KAP-423.3.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-423.3.5 The Branch Manager shall review address proofs within 15 working days of receipt and record the outcome in the Case Management system.

KAP-423.3.6 Cases involving risk-rating files with an exposure above Rs. 308 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.8.

KAP-423.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-423.3.8 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-423.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-423.3.10 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-423.3.11 The Regional Credit Officer shall review risk-rating files within 13 working days of receipt and record the outcome in the Document Management system.

KAP-423.3.12 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/220 and that compliance is certified every quarter.

KAP-423.3.13 The Zonal Head shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Case Management system.

Section 423.4 Customer Due Diligence - Operating Rule Set 423.4

KAP-423.4.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-423.4.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-35.

KAP-423.4.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/228 and that compliance is certified every quarter.

KAP-423.4.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-423.4.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-423.4.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-423.4.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-423.4.8 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure B-16.

KAP-423.4.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure B-7.

KAP-423.4.10 The Compliance Officer shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Case Management system.

Section 423.5 Customer Due Diligence - Operating Rule Set 423.5

KAP-423.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-423.5.2 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-423.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 158 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.25.

KAP-423.5.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-423.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-423.5.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/225 and that compliance is certified every quarter.

KAP-423.5.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-423.5.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-15.

KAP-423.5.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-423.5.10 The Zonal Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Case Management system.

KAP-423.5.11 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/156 and that compliance is certified every quarter.

Section 423.6 Customer Due Diligence - Operating Rule Set 423.6

KAP-423.6.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure C-9.

KAP-423.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-423.6.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-423.6.4 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure C-32.

KAP-423.6.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 20 days written notice.

KAP-423.6.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-423.6.7 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-423.6.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-423.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-423.6.10 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/055 and that compliance is certified every quarter.

Section 423.7 Customer Due Diligence - Operating Rule Set 423.7

KAP-423.7.1 The Regional Credit Officer shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Case Management system.

KAP-423.7.2 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure H-2.

KAP-423.7.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure A-28.

KAP-423.7.4 The Audit Department shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-423.7.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-423.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-423.7.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-423.7.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/175 and that compliance is certified every quarter.

Section 423.8 Customer Due Diligence - Operating Rule Set 423.8

KAP-423.8.1 Cases involving correspondent-bank relationships with an exposure above Rs. 428 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.15.

KAP-423.8.2 The Risk Management Department shall review address proofs within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-423.8.3 Cases involving risk-rating files with an exposure above Rs. 91 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.21.

KAP-423.8.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-423.8.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/146 and that compliance is certified every quarter.

KAP-423.8.6 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-423.8.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-423.8.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure A-23.

KAP-423.8.9 Cases involving video-KYC sessions with an exposure above Rs. 427 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.14.

KAP-423.8.10 Cases involving video-KYC sessions with an exposure above Rs. 46 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.28.

PART 36 - CHAPTER 424: ENHANCED DUE DILIGENCE

Section 424.1 Enhanced Due Diligence - Operating Rule Set 424.1

KAP-424.1.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/218 and that compliance is certified every quarter.

KAP-424.1.2 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-424.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 385 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.28.

KAP-424.1.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/150 and that compliance is certified every quarter.

KAP-424.1.5 Cases involving cash transaction reports with an exposure above Rs. 358 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.22.

KAP-424.1.6 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure F-3.

KAP-424.1.7 The Risk Management Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Document Management system.

KAP-424.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-424.1.9 The Credit Committee shall review identity documents within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 424.2 Enhanced Due Diligence - Operating Rule Set 424.2

KAP-424.2.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/126 and that compliance is certified every quarter.

KAP-424.2.2 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/094 and that compliance is certified every quarter.

KAP-424.2.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-424.2.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-424.2.5 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-424.2.6 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/094 and that compliance is certified every quarter.

KAP-424.2.7 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/009 and that compliance is certified every quarter.

KAP-424.2.8 The Operations Head shall review address proofs within 11 working days of receipt and record the outcome in the Document Management system.

KAP-424.2.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/154 and that compliance is certified every quarter.

KAP-424.2.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-424.2.11 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

Section 424.3 Enhanced Due Diligence - Operating Rule Set 424.3

KAP-424.3.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/051 and that compliance is certified every quarter.

KAP-424.3.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-424.3.3 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-424.3.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-424.3.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made

available to the regulator on request.

KAP-424.3.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure F-23.

KAP-424.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 404 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.1.

KAP-424.3.8 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-424.3.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-424.3.10 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-424.3.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-424.3.12 The Compliance Officer shall review cash transaction reports within 30 working days of receipt and record the outcome in the Risk Engine system.

Section 424.4 Enhanced Due Diligence - Operating Rule Set 424.4

KAP-424.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-424.4.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-424.4.3 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-424.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-424.4.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-424.4.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure G-7.

KAP-424.4.7 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-424.4.8 The Compliance Officer shall review address proofs within 17 working days of receipt and record the outcome in the Loan Origination system.

Section 424.5 Enhanced Due Diligence - Operating Rule Set 424.5

KAP-424.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-424.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-424.5.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/244 and that compliance is certified every quarter.

KAP-424.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-424.5.5 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure C-24.

KAP-424.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-424.5.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-424.5.8 The Credit Committee shall review cash transaction reports within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-424.5.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-424.5.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

PART 36 - CHAPTER 425: RISK CATEGORISATION

Section 425.1 Risk Categorisation - Operating Rule Set 425.1

KAP-425.1.1 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-425.1.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-425.1.3 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-425.1.4 Cases involving address proofs with an exposure above Rs. 179 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.8.

KAP-425.1.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/152 and that compliance is certified every quarter.

KAP-425.1.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/229 and that compliance is certified every quarter.

KAP-425.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-425.1.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure B-16.

KAP-425.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 154 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.24.

KAP-425.1.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-425.1.11 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure E-23.

Section 425.2 Risk Categorisation - Operating Rule Set 425.2

KAP-425.2.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/069 and that compliance is certified every quarter.

KAP-425.2.2 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-425.2.3 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/084 and that compliance is certified every quarter.

KAP-425.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 476 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.9.

KAP-425.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-425.2.6 The Operations Head shall review PEP screening results within 12 working days of receipt and record the outcome in the Case Management system.

KAP-425.2.7 The Credit Committee shall review risk-rating files within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-425.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-425.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-425.2.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/271 and that compliance is certified every quarter.

KAP-425.2.11 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 425.3 Risk Categorisation - Operating Rule Set 425.3

KAP-425.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made

available to the Board Audit Committee on request.

KAP-425.3.2 The Credit Committee shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-425.3.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-425.3.4 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Case Management system.

KAP-425.3.5 The Credit Committee shall review PEP screening results within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-425.3.6 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure D-36.

KAP-425.3.7 The Risk Management Department shall review identity documents within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-425.3.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure F-15.

Section 425.4 Risk Categorisation - Operating Rule Set 425.4

KAP-425.4.1 The Risk Management Department shall review risk-rating files within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-425.4.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-425.4.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-425.4.4 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-425.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 51 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.2.

KAP-425.4.6 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-425.4.7 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/245 and that compliance is certified every quarter.

KAP-425.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 128 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.11.

KAP-425.4.9 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-425.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 368 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.19.

KAP-425.4.11 Cases involving correspondent-bank relationships with an exposure above Rs. 108 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.26.

Section 425.5 Risk Categorisation - Operating Rule Set 425.5

KAP-425.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-425.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-425.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-425.5.4 Cases involving PEP screening results with an exposure above Rs. 282 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.21.

KAP-425.5.5 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-425.5.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-425.5.7 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-425.5.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-425.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-425.5.10 The Risk Management Department shall review address proofs within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-425.5.11 The Zonal Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Case Management system.

PART 36 - CHAPTER 426: TRANSACTION MONITORING

Section 426.1 Transaction Monitoring - Operating Rule Set 426.1

KAP-426.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-426.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-426.1.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure E-6.

KAP-426.1.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 344 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.20.

KAP-426.1.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-426.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-426.1.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-426.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-426.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-426.1.10 Cases involving account-opening forms with an exposure above Rs. 489 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.26.

KAP-426.1.11 Cases involving beneficial-owner declarations with an exposure above Rs. 306 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.4.

KAP-426.1.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

Section 426.2 Transaction Monitoring - Operating Rule Set 426.2

KAP-426.2.1 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/178 and that compliance is certified every quarter.

KAP-426.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-426.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-426.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-426.2.5 The Branch Manager shall review identity documents within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-426.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-426.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-426.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-426.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-426.2.10 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

Section 426.3 Transaction Monitoring - Operating Rule Set 426.3

KAP-426.3.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/099 and that compliance is certified every quarter.

KAP-426.3.2 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-426.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-426.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-426.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-426.3.6 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure B-9.

KAP-426.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-426.3.8 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 426.4 Transaction Monitoring - Operating Rule Set 426.4

KAP-426.4.1 Cases involving identity documents with an exposure above Rs. 446 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.12.

KAP-426.4.2 Cases involving cash transaction reports with an exposure above Rs. 349 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.16.

KAP-426.4.3 The Audit Department shall review cash transaction reports within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-426.4.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-426.4.5 Cases involving cash transaction reports with an exposure above Rs. 388 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.10.

KAP-426.4.6 Cases involving correspondent-bank relationships with an exposure above Rs. 455 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.6.

KAP-426.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-426.4.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-16.

Section 426.5 Transaction Monitoring - Operating Rule Set 426.5

KAP-426.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-426.5.2 Cases involving account-opening forms with an exposure above Rs. 423 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.4.

KAP-426.5.3 Cases involving risk-rating files with an exposure above Rs. 466 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.22.

KAP-426.5.4 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/069 and that compliance is certified every quarter.

KAP-426.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-426.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 56 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.2.

KAP-426.5.7 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/004 and that compliance is certified every quarter.

KAP-426.5.8 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-426.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-426.5.10 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-426.5.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-426.5.12 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

Section 426.6 Transaction Monitoring - Operating Rule Set 426.6

KAP-426.6.1 Cases involving address proofs with an exposure above Rs. 311 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.16.

KAP-426.6.2 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure D-18.

KAP-426.6.3 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/056 and that compliance is certified every quarter.

KAP-426.6.4 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-426.6.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 107 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.3.

KAP-426.6.6 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-426.6.7 Cases involving identity documents with an exposure above Rs. 166 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.22.

KAP-426.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-426.6.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 426.7 Transaction Monitoring - Operating Rule Set 426.7

KAP-426.7.1 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-426.7.2 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-426.7.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-426.7.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-426.7.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-426.7.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/037 and that compliance is certified every quarter.

KAP-426.7.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-426.7.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-426.7.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the

9th day of the following month.

KAP-426.7.10 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-426.7.11 Cases involving beneficial-owner declarations with an exposure above Rs. 315 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.18.

PART 36 - CHAPTER 427: SUSPICIOUS TRANSACTION REPORTING

Section 427.1 Suspicious Transaction Reporting - Operating Rule Set 427.1

KAP-427.1.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/266 and that compliance is certified every quarter.

KAP-427.1.2 The Compliance Officer shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-427.1.3 For NRI customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-427.1.4 Cases involving identity documents with an exposure above Rs. 392 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.19.

KAP-427.1.5 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-427.1.6 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-427.1.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure H-38.

KAP-427.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-427.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-427.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

Section 427.2 Suspicious Transaction Reporting - Operating Rule Set 427.2

KAP-427.2.1 The Audit Department shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-427.2.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-427.2.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/100 and that compliance is certified every quarter.

KAP-427.2.4 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-427.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-427.2.6 For private-limited-company customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-427.2.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/158 and that compliance is certified every quarter.

KAP-427.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 173 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.5.

Section 427.3 Suspicious Transaction Reporting - Operating Rule Set 427.3

KAP-427.3.1 The Operations Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-427.3.2 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure C-6.

KAP-427.3.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/293 and that compliance is certified every quarter.

KAP-427.3.4 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-29.

KAP-427.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-427.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-427.3.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/048 and that compliance is certified every quarter.

KAP-427.3.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-427.3.9 The Risk Management Department shall review PEP screening results within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-427.3.10 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 427.4 Suspicious Transaction Reporting - Operating Rule Set 427.4

KAP-427.4.1 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure C-36.

KAP-427.4.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure C-9.

KAP-427.4.3 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/078 and that compliance is certified every quarter.

KAP-427.4.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-427.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-427.4.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-427.4.7 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/100 and that compliance is certified every quarter.

KAP-427.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

Section 427.5 Suspicious Transaction Reporting - Operating Rule Set 427.5

KAP-427.5.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-427.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-427.5.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-427.5.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-427.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-427.5.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/079 and that compliance is certified every quarter.

KAP-427.5.7 The Regional Credit Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-427.5.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-427.5.9 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/104 and that compliance is certified every quarter.

KAP-427.5.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made

available to statutory auditors on request.

PART 36 - CHAPTER 428: POLITICALLY EXPOSED PERSONS

Section 428.1 Politically Exposed Persons - Operating Rule Set 428.1

KAP-428.1.1 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-428.1.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-428.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-428.1.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-428.1.5 Cases involving identity documents with an exposure above Rs. 7 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.3.

KAP-428.1.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/195 and that compliance is certified every quarter.

KAP-428.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 12 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.5.

KAP-428.1.8 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-428.1.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-428.1.10 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure F-6.

KAP-428.1.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-428.1.12 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 428.2 Politically Exposed Persons - Operating Rule Set 428.2

KAP-428.2.1 The Credit Committee shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-428.2.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-428.2.3 The Audit Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-428.2.4 The Risk Management Department shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-428.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-428.2.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-428.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-428.2.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/067 and that compliance is certified every quarter.

KAP-428.2.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

Section 428.3 Politically Exposed Persons - Operating Rule Set 428.3

KAP-428.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-428.3.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/190 and that compliance is certified every quarter.

KAP-428.3.3 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-428.3.4 The Risk Management Department shall review identity documents within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-428.3.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-19.

KAP-428.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-428.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-428.3.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/077 and that compliance is certified every quarter.

KAP-428.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 428.4 Politically Exposed Persons - Operating Rule Set 428.4

KAP-428.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-428.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-428.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-428.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-428.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-428.4.6 The Zonal Head shall review cash transaction reports within 28 working days of receipt and record the outcome in the Document Management system.

KAP-428.4.7 Cases involving risk-rating files with an exposure above Rs. 306 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.6.

KAP-428.4.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-428.4.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/283 and that compliance is certified every quarter.

KAP-428.4.10 Cases involving beneficial-owner declarations with an exposure above Rs. 79 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.11.

KAP-428.4.11 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/291 and that compliance is certified every quarter.

KAP-428.4.12 The Audit Department shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Core Banking system.

Section 428.5 Politically Exposed Persons - Operating Rule Set 428.5

KAP-428.5.1 Cases involving account-opening forms with an exposure above Rs. 109 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.23.

KAP-428.5.2 The Operations Head shall review account-opening forms within 26 working days of receipt and record the outcome in the Document Management system.

KAP-428.5.3 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-428.5.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-428.5.5 The Credit Committee shall review identity documents within 12 working days of receipt and record the outcome in the Case Management system.

KAP-428.5.6 The Credit Committee shall review PEP screening results within 29 working days of receipt and record the

outcome in the Case Management system.

KAP-428.5.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-428.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-428.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 8 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.29.

KAP-428.5.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-428.5.11 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 428.6 Politically Exposed Persons - Operating Rule Set 428.6

KAP-428.6.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/298 and that compliance is certified every quarter.

KAP-428.6.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-428.6.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure C-13.

KAP-428.6.4 The Regional Credit Officer shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-428.6.5 The Operations Head shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Document Management system.

KAP-428.6.6 The Operations Head shall review cash transaction reports within 12 working days of receipt and record the outcome in the Document Management system.

KAP-428.6.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-428.6.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-3.

KAP-428.6.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 428.7 Politically Exposed Persons - Operating Rule Set 428.7

KAP-428.7.1 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-428.7.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-428.7.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure D-19.

KAP-428.7.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/086 and that compliance is certified every quarter.

KAP-428.7.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-428.7.6 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-428.7.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure A-33.

KAP-428.7.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-428.7.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

PART 36 - CHAPTER 429: BENEFICIAL OWNERSHIP

Section 429.1 Beneficial Ownership - Operating Rule Set 429.1

KAP-429.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-429.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-429.1.3 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-429.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-429.1.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/120 and that compliance is certified every quarter.

KAP-429.1.6 Cases involving identity documents with an exposure above Rs. 164 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.14.

KAP-429.1.7 The Risk Management Department shall review PEP screening results within 21 working days of receipt and record the outcome in the Case Management system.

KAP-429.1.8 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure H-40.

Section 429.2 Beneficial Ownership - Operating Rule Set 429.2

KAP-429.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-429.2.2 Cases involving identity documents with an exposure above Rs. 45 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.28.

KAP-429.2.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/016 and that compliance is certified every quarter.

KAP-429.2.4 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure G-30.

KAP-429.2.5 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/277 and that compliance is certified every quarter.

KAP-429.2.6 The Operations Head shall review cash transaction reports within 24 working days of receipt and record the outcome in the Document Management system.

KAP-429.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-429.2.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-429.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 392 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.26.

KAP-429.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-429.2.11 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure E-34.

Section 429.3 Beneficial Ownership - Operating Rule Set 429.3

KAP-429.3.1 Cases involving account-opening forms with an exposure above Rs. 268 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.26.

KAP-429.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-429.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 314 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.27.

KAP-429.3.4 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/041 and that compliance is certified every quarter.

KAP-429.3.5 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-429.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the

Compliance Officer by the 11th day of the following month.

KAP-429.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-429.3.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-429.3.9 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-429.3.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

Section 429.4 Beneficial Ownership - Operating Rule Set 429.4

KAP-429.4.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-429.4.2 The Compliance Officer shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-429.4.3 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-429.4.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/078 and that compliance is certified every quarter.

KAP-429.4.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-429.4.6 Cases involving identity documents with an exposure above Rs. 406 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.19.

KAP-429.4.7 The Branch Manager shall review account-opening forms within 27 working days of receipt and record the outcome in the Case Management system.

KAP-429.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-429.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-429.4.10 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-429.4.11 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

Section 429.5 Beneficial Ownership - Operating Rule Set 429.5

KAP-429.5.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure A-12.

KAP-429.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-429.5.3 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-429.5.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure A-38.

KAP-429.5.5 The Risk Management Department shall review account-opening forms within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-429.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-429.5.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-429.5.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-13.

PART 36 - CHAPTER 430: RECORD KEEPING

Section 430.1 Record Keeping - Operating Rule Set 430.1

KAP-430.1.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure B-31.

KAP-430.1.2 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-430.1.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-430.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-430.1.5 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/103 and that compliance is certified every quarter.

KAP-430.1.6 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/265 and that compliance is certified every quarter.

KAP-430.1.7 The Branch Manager shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-430.1.8 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/208 and that compliance is certified every quarter.

KAP-430.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-430.1.10 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

Section 430.2 Record Keeping - Operating Rule Set 430.2

KAP-430.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-430.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 102 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.20.

KAP-430.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-430.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-430.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-430.2.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure G-17.

KAP-430.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-430.2.8 The Branch Manager shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-430.2.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure H-7.

Section 430.3 Record Keeping - Operating Rule Set 430.3

KAP-430.3.1 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure G-10.

KAP-430.3.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/242 and that compliance is certified every quarter.

KAP-430.3.3 The Zonal Head shall review risk-rating files within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-430.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-430.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-430.3.6 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a

tolerance of 6% as approved by the Board.

KAP-430.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-430.3.8 The Compliance Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Case Management system.

KAP-430.3.9 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-20.

Section 430.4 Record Keeping - Operating Rule Set 430.4

KAP-430.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-430.4.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-430.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-430.4.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-430.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 496 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.5.

KAP-430.4.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-430.4.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-430.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-430.4.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-430.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-430.4.11 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-430.4.12 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

Section 430.5 Record Keeping - Operating Rule Set 430.5

KAP-430.5.1 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/263 and that compliance is certified every quarter.

KAP-430.5.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-430.5.3 The Risk Management Department shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Case Management system.

KAP-430.5.4 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure C-7.

KAP-430.5.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-430.5.6 The Operations Head shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

KAP-430.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-430.5.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

PART 36 - CHAPTER 431: STAFF TRAINING

Section 431.1 Staff Training - Operating Rule Set 431.1

KAP-431.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-431.1.2 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure G-22.

KAP-431.1.3 The Zonal Head shall review cash transaction reports within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-431.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-431.1.5 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/278 and that compliance is certified every quarter.

KAP-431.1.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-431.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-431.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-431.1.9 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/001 and that compliance is certified every quarter.

KAP-431.1.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-431.1.11 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/033 and that compliance is certified every quarter.

Section 431.2 Staff Training - Operating Rule Set 431.2

KAP-431.2.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-431.2.2 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure G-6.

KAP-431.2.3 Cases involving video-KYC sessions with an exposure above Rs. 280 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.30.

KAP-431.2.4 The Operations Head shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-431.2.5 The Zonal Head shall review account-opening forms within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-431.2.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/199 and that compliance is certified every quarter.

KAP-431.2.7 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-431.2.8 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-431.2.9 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 431.3 Staff Training - Operating Rule Set 431.3

KAP-431.3.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 285 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.8.

KAP-431.3.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-431.3.3 The Operations Head shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-431.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-431.3.5 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a

tolerance of 7% as approved by the Board.

KAP-431.3.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/212 and that compliance is certified every quarter.

KAP-431.3.7 Cases involving cash transaction reports with an exposure above Rs. 217 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.18.

KAP-431.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-431.3.9 The Regional Credit Officer shall review address proofs within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-431.3.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 431.4 Staff Training - Operating Rule Set 431.4

KAP-431.4.1 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/035 and that compliance is certified every quarter.

KAP-431.4.2 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-431.4.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-431.4.4 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-431.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-431.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-431.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-431.4.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

PART 36 - CHAPTER 432: INDEPENDENT AUDIT

Section 432.1 Independent Audit - Operating Rule Set 432.1

KAP-432.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-432.1.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/174 and that compliance is certified every quarter.

KAP-432.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 152 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.30.

KAP-432.1.4 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure G-15.

KAP-432.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-432.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-432.1.7 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-432.1.8 The Credit Committee shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Document Management system.

Section 432.2 Independent Audit - Operating Rule Set 432.2

KAP-432.2.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure E-27.

KAP-432.2.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/198 and that compliance is certified every quarter.

KAP-432.2.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure B-16.

KAP-432.2.4 Cases involving account-opening forms with an exposure above Rs. 142 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.22.

KAP-432.2.5 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-432.2.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/213 and that compliance is certified every quarter.

KAP-432.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-432.2.8 The Zonal Head shall review risk-rating files within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-432.2.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-432.2.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 432.3 Independent Audit - Operating Rule Set 432.3

KAP-432.3.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-432.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-432.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 77 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.20.

KAP-432.3.4 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/056 and that compliance is certified every quarter.

KAP-432.3.5 Cases involving PEP screening results with an exposure above Rs. 352 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.29.

KAP-432.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-432.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-432.3.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-432.3.9 Cases involving cash transaction reports with an exposure above Rs. 214 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.11.

Section 432.4 Independent Audit - Operating Rule Set 432.4

KAP-432.4.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/269 and that compliance is certified every quarter.

KAP-432.4.2 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/122 and that compliance is certified every quarter.

KAP-432.4.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-432.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-432.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-432.4.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-432.4.7 The Compliance Officer shall review identity documents within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-432.4.8 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2021/185 and that compliance is certified every quarter.

KAP-432.4.9 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-432.4.10 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure C-16.

KAP-432.4.11 The Regional Credit Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-432.4.12 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure C-15.

PART 37 - CHAPTER 433: CUSTOMER ACCEPTANCE

Section 433.1 Customer Acceptance - Operating Rule Set 433.1

KAP-433.1.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-36.

KAP-433.1.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-433.1.3 The Branch Manager shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-433.1.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/081 and that compliance is certified every quarter.

KAP-433.1.5 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-433.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 473 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.28.

KAP-433.1.7 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-433.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-433.1.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure H-5.

KAP-433.1.10 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-433.1.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 210 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.27.

Section 433.2 Customer Acceptance - Operating Rule Set 433.2

KAP-433.2.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/202 and that compliance is certified every quarter.

KAP-433.2.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-433.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-433.2.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-33.

KAP-433.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-433.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-433.2.7 The Branch Manager shall review cash transaction reports within 7 working days of receipt and record the outcome in the Case Management system.

KAP-433.2.8 The Audit Department shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-433.2.9 The Bank reserves the right to request additional documents where the customer fails to respond to two

notices, after giving the customer 28 days written notice.

KAP-433.2.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

Section 433.3 Customer Acceptance - Operating Rule Set 433.3

KAP-433.3.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-433.3.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-433.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-433.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-433.3.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/184 and that compliance is certified every quarter.

KAP-433.3.6 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/193 and that compliance is certified every quarter.

KAP-433.3.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-433.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-433.3.9 Cases involving identity documents with an exposure above Rs. 438 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.16.

Section 433.4 Customer Acceptance - Operating Rule Set 433.4

KAP-433.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-433.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-433.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-433.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-433.4.5 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-433.4.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/051 and that compliance is certified every quarter.

KAP-433.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-433.4.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-433.4.9 Cases involving video-KYC sessions with an exposure above Rs. 398 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.21.

KAP-433.4.10 Cases involving video-KYC sessions with an exposure above Rs. 365 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.30.

KAP-433.4.11 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-433.4.12 Cases involving account-opening forms with an exposure above Rs. 208 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.9.

Section 433.5 Customer Acceptance - Operating Rule Set 433.5

KAP-433.5.1 The Compliance Officer shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-433.5.2 Cases involving risk-rating files with an exposure above Rs. 96 lakh require prior written approval from the

Regional Credit Officer; otherwise the case is an exception under Clause 8.20.

KAP-433.5.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-38.

KAP-433.5.4 The Compliance Officer shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-433.5.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-433.5.6 The Branch Manager shall review identity documents within 28 working days of receipt and record the outcome in the Document Management system.

KAP-433.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-433.5.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-433.5.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure A-2.

Section 433.6 Customer Acceptance - Operating Rule Set 433.6

KAP-433.6.1 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-433.6.2 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure A-36.

KAP-433.6.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure H-35.

KAP-433.6.4 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-433.6.5 The Audit Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-433.6.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-433.6.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/288 and that compliance is certified every quarter.

KAP-433.6.8 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-433.6.9 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/100 and that compliance is certified every quarter.

KAP-433.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

PART 37 - CHAPTER 434: CUSTOMER IDENTIFICATION

Section 434.1 Customer Identification - Operating Rule Set 434.1

KAP-434.1.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-434.1.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/274 and that compliance is certified every quarter.

KAP-434.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-434.1.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure F-7.

KAP-434.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-434.1.6 Cases involving PEP screening results with an exposure above Rs. 447 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.19.

KAP-434.1.7 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within

28 working days, with the supporting documents listed in Annexure C-24.

KAP-434.1.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-434.1.9 The Risk Management Department shall review account-opening forms within 25 working days of receipt and record the outcome in the Case Management system.

KAP-434.1.10 Cases involving video-KYC sessions with an exposure above Rs. 85 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.24.

Section 434.2 Customer Identification - Operating Rule Set 434.2

KAP-434.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-434.2.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-434.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-434.2.4 Cases involving PEP screening results with an exposure above Rs. 415 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.19.

KAP-434.2.5 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-434.2.6 The Audit Department shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-434.2.7 The Compliance Officer shall review address proofs within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-434.2.8 The Zonal Head shall review PEP screening results within 3 working days of receipt and record the outcome in the Case Management system.

KAP-434.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 499 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.10.

Section 434.3 Customer Identification - Operating Rule Set 434.3

KAP-434.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-434.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-434.3.3 Cases involving address proofs with an exposure above Rs. 435 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.10.

KAP-434.3.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/022 and that compliance is certified every quarter.

KAP-434.3.5 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure E-10.

KAP-434.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-434.3.7 Cases involving risk-rating files with an exposure above Rs. 261 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.2.

KAP-434.3.8 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/235 and that compliance is certified every quarter.

Section 434.4 Customer Identification - Operating Rule Set 434.4

KAP-434.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-434.4.2 The Risk Management Department shall review PEP screening results within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-434.4.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure F-23.

KAP-434.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the

6th day of the following month.

KAP-434.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 341 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.8.

KAP-434.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-434.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-434.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-434.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-434.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-434.4.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-434.4.12 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/112 and that compliance is certified every quarter.

Section 434.5 Customer Identification - Operating Rule Set 434.5

KAP-434.5.1 Cases involving identity documents with an exposure above Rs. 369 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.16.

KAP-434.5.2 Cases involving identity documents with an exposure above Rs. 365 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.24.

KAP-434.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-434.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 176 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.7.

KAP-434.5.5 In case of a system outage, the Operations Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure B-35.

KAP-434.5.6 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure H-13.

KAP-434.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 277 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.15.

KAP-434.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-434.5.9 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 434.6 Customer Identification - Operating Rule Set 434.6

KAP-434.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-434.6.2 The Audit Department shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-434.6.3 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-434.6.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

KAP-434.6.5 The Zonal Head shall review cash transaction reports within 22 working days of receipt and record the outcome in the Case Management system.

KAP-434.6.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-434.6.7 The Risk Management Department shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-434.6.8 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-434.6.9 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure C-3.

KAP-434.6.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-434.6.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-434.6.12 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 2 days written notice.

Section 434.7 Customer Identification - Operating Rule Set 434.7

KAP-434.7.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/264 and that compliance is certified every quarter.

KAP-434.7.2 Cases involving identity documents with an exposure above Rs. 455 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.6.

KAP-434.7.3 The Compliance Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-434.7.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/035 and that compliance is certified every quarter.

KAP-434.7.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/165 and that compliance is certified every quarter.

KAP-434.7.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/123 and that compliance is certified every quarter.

KAP-434.7.7 The Operations Head shall review risk-rating files within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-434.7.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-434.7.9 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/255 and that compliance is certified every quarter.

KAP-434.7.10 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/236 and that compliance is certified every quarter.

KAP-434.7.11 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-33.

KAP-434.7.12 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-434.7.13 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

PART 37 - CHAPTER 435: CUSTOMER DUE DILIGENCE

Section 435.1 Customer Due Diligence - Operating Rule Set 435.1

KAP-435.1.1 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-435.1.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-435.1.3 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-435.1.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-435.1.5 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-435.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-435.1.7 The Compliance Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Document Management system.

KAP-435.1.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-435.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-435.1.10 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure G-7.

Section 435.2 Customer Due Diligence - Operating Rule Set 435.2

KAP-435.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-435.2.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-435.2.3 The Credit Committee shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-435.2.4 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-2.

KAP-435.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-435.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-435.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-435.2.8 The Branch Manager shall review risk-rating files within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-435.2.9 Cases involving video-KYC sessions with an exposure above Rs. 230 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.4.

Section 435.3 Customer Due Diligence - Operating Rule Set 435.3

KAP-435.3.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/065 and that compliance is certified every quarter.

KAP-435.3.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/123 and that compliance is certified every quarter.

KAP-435.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-435.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-435.3.5 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/299 and that compliance is certified every quarter.

KAP-435.3.6 The Audit Department shall review account-opening forms within 28 working days of receipt and record the outcome in the Document Management system.

KAP-435.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-435.3.8 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-435.3.9 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/256 and that compliance is certified every quarter.

KAP-435.3.10 For partnership customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 435.4 Customer Due Diligence - Operating Rule Set 435.4

KAP-435.4.1 In case of a request for exception, the Zonal Head must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure A-21.

KAP-435.4.2 Cases involving PEP screening results with an exposure above Rs. 299 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.24.

KAP-435.4.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure A-27.

KAP-435.4.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-435.4.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-435.4.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure C-1.

KAP-435.4.7 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-435.4.8 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/189 and that compliance is certified every quarter.

KAP-435.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-435.4.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-435.4.11 Cases involving PEP screening results with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.3.

Section 435.5 Customer Due Diligence - Operating Rule Set 435.5

KAP-435.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-435.5.2 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/227 and that compliance is certified every quarter.

KAP-435.5.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-435.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-435.5.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-435.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-435.5.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/213 and that compliance is certified every quarter.

KAP-435.5.8 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure A-9.

KAP-435.5.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-435.5.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 435.6 Customer Due Diligence - Operating Rule Set 435.6

KAP-435.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-435.6.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure A-3.

KAP-435.6.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure C-40.

KAP-435.6.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-435.6.5 The Regional Credit Officer shall review address proofs within 2 working days of receipt and record the

outcome in the Risk Engine system.

KAP-435.6.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-435.6.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-435.6.8 Cases involving address proofs with an exposure above Rs. 129 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.20.

KAP-435.6.9 The Compliance Officer shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

Section 435.7 Customer Due Diligence - Operating Rule Set 435.7

KAP-435.7.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-435.7.2 The Credit Committee shall review PEP screening results within 30 working days of receipt and record the outcome in the Case Management system.

KAP-435.7.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-435.7.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-435.7.5 The Regional Credit Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-435.7.6 The Zonal Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-435.7.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure G-39.

KAP-435.7.8 The Operations Head shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-435.7.9 Cases involving cash transaction reports with an exposure above Rs. 344 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.16.

PART 37 - CHAPTER 436: ENHANCED DUE DILIGENCE

Section 436.1 Enhanced Due Diligence - Operating Rule Set 436.1

KAP-436.1.1 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-436.1.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-436.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-436.1.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-436.1.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-436.1.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure F-38.

KAP-436.1.7 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-27.

KAP-436.1.8 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure A-30.

KAP-436.1.9 The Credit Committee shall review PEP screening results within 15 working days of receipt and record the outcome in the Customer Relationship system.

Section 436.2 Enhanced Due Diligence - Operating Rule Set 436.2

KAP-436.2.1 The Risk Management Department shall review account-opening forms within 19 working days of receipt and record the outcome in the Case Management system.

KAP-436.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-436.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 89 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.11.

KAP-436.2.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/012 and that compliance is certified every quarter.

KAP-436.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-436.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-436.2.7 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/043 and that compliance is certified every quarter.

KAP-436.2.8 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/194 and that compliance is certified every quarter.

KAP-436.2.9 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-436.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-436.2.11 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/216 and that compliance is certified every quarter.

Section 436.3 Enhanced Due Diligence - Operating Rule Set 436.3

KAP-436.3.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-436.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-436.3.3 The Credit Committee shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-436.3.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-436.3.5 The Operations Head shall review cash transaction reports within 7 working days of receipt and record the outcome in the Case Management system.

KAP-436.3.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-436.3.7 The Zonal Head shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Case Management system.

KAP-436.3.8 The Risk Management Department shall review account-opening forms within 23 working days of receipt and record the outcome in the Document Management system.

KAP-436.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 436.4 Enhanced Due Diligence - Operating Rule Set 436.4

KAP-436.4.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/070 and that compliance is certified every quarter.

KAP-436.4.2 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-436.4.3 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure E-22.

KAP-436.4.4 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-436.4.5 Cases involving identity documents with an exposure above Rs. 373 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.2.

KAP-436.4.6 Cases involving cash transaction reports with an exposure above Rs. 432 lakh require prior written approval

from the Audit Department; otherwise the case is an exception under Clause 12.26.

KAP-436.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-436.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 436.5 Enhanced Due Diligence - Operating Rule Set 436.5

KAP-436.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-436.5.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/136 and that compliance is certified every quarter.

KAP-436.5.3 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure C-8.

KAP-436.5.4 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-436.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-436.5.6 Cases involving address proofs with an exposure above Rs. 99 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.3.

KAP-436.5.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-436.5.8 Cases involving PEP screening results with an exposure above Rs. 172 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.19.

KAP-436.5.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-436.5.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-436.5.11 Cases involving video-KYC sessions with an exposure above Rs. 457 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.29.

PART 37 - CHAPTER 437: RISK CATEGORISATION

Section 437.1 Risk Categorisation - Operating Rule Set 437.1

KAP-437.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-437.1.2 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/218 and that compliance is certified every quarter.

KAP-437.1.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-437.1.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-437.1.5 The Regional Credit Officer shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-437.1.6 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure F-36.

KAP-437.1.7 Cases involving account-opening forms with an exposure above Rs. 160 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.29.

KAP-437.1.8 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 437.2 Risk Categorisation - Operating Rule Set 437.2

KAP-437.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-437.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-437.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-437.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-437.2.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-437.2.6 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-437.2.7 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure A-28.

KAP-437.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-437.2.9 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/122 and that compliance is certified every quarter.

KAP-437.2.10 Cases involving account-opening forms with an exposure above Rs. 389 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.5.

KAP-437.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 13 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.9.

Section 437.3 Risk Categorisation - Operating Rule Set 437.3

KAP-437.3.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/123 and that compliance is certified every quarter.

KAP-437.3.2 The Audit Department shall review cash transaction reports within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-437.3.3 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-437.3.4 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-437.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-437.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-437.3.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/067 and that compliance is certified every quarter.

KAP-437.3.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-437.3.9 The Compliance Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-437.3.10 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-437.3.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-437.3.12 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure C-4.

KAP-437.3.13 The Risk Management Department shall review PEP screening results within 22 working days of receipt and record the outcome in the Case Management system.

Section 437.4 Risk Categorisation - Operating Rule Set 437.4

KAP-437.4.1 The Operations Head shall review identity documents within 11 working days of receipt and record the outcome in the Document Management system.

KAP-437.4.2 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-437.4.3 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within

18 working days, with the supporting documents listed in Annexure E-13.

KAP-437.4.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-437.4.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/212 and that compliance is certified every quarter.

KAP-437.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-437.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-437.4.8 Cases involving account-opening forms with an exposure above Rs. 203 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.23.

KAP-437.4.9 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-437.4.10 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

PART 37 - CHAPTER 438: TRANSACTION MONITORING

Section 438.1 Transaction Monitoring - Operating Rule Set 438.1

KAP-438.1.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure B-22.

KAP-438.1.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-438.1.3 Cases involving address proofs with an exposure above Rs. 392 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.16.

KAP-438.1.4 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure G-26.

KAP-438.1.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-438.1.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/197 and that compliance is certified every quarter.

KAP-438.1.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-438.1.8 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-438.1.9 Cases involving video-KYC sessions with an exposure above Rs. 419 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.14.

Section 438.2 Transaction Monitoring - Operating Rule Set 438.2

KAP-438.2.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure D-35.

KAP-438.2.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure E-38.

KAP-438.2.3 Cases involving risk-rating files with an exposure above Rs. 326 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.17.

KAP-438.2.4 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/120 and that compliance is certified every quarter.

KAP-438.2.5 Cases involving video-KYC sessions with an exposure above Rs. 441 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.30.

KAP-438.2.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/205 and that compliance is certified every quarter.

KAP-438.2.7 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-438.2.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2021/209 and that compliance is certified every quarter.

KAP-438.2.9 Cases involving cash transaction reports with an exposure above Rs. 149 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.20.

KAP-438.2.10 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/073 and that compliance is certified every quarter.

KAP-438.2.11 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-40.

KAP-438.2.12 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

Section 438.3 Transaction Monitoring - Operating Rule Set 438.3

KAP-438.3.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure C-18.

KAP-438.3.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-438.3.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-438.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-438.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-438.3.6 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-438.3.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-438.3.8 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-438.3.9 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure C-38.

KAP-438.3.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 438.4 Transaction Monitoring - Operating Rule Set 438.4

KAP-438.4.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-438.4.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-438.4.3 Cases involving identity documents with an exposure above Rs. 161 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.8.

KAP-438.4.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-438.4.5 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-438.4.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure E-4.

KAP-438.4.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 193 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.30.

KAP-438.4.8 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure B-38.

Section 438.5 Transaction Monitoring - Operating Rule Set 438.5

KAP-438.5.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-438.5.2 The Regional Credit Officer shall review cash transaction reports within 6 working days of receipt and record

the outcome in the Core Banking system.

KAP-438.5.3 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure F-18.

KAP-438.5.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/105 and that compliance is certified every quarter.

KAP-438.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-438.5.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-438.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-438.5.8 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-30.

KAP-438.5.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-438.5.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-438.5.11 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/252 and that compliance is certified every quarter.

Section 438.6 Transaction Monitoring - Operating Rule Set 438.6

KAP-438.6.1 Cases involving video-KYC sessions with an exposure above Rs. 139 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.23.

KAP-438.6.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-438.6.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure F-24.

KAP-438.6.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-438.6.5 Cases involving correspondent-bank relationships with an exposure above Rs. 80 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.26.

KAP-438.6.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-438.6.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-438.6.8 The Regional Credit Officer shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-438.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-438.6.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-30.

PART 37 - CHAPTER 439: SUSPICIOUS TRANSACTION REPORTING

Section 439.1 Suspicious Transaction Reporting - Operating Rule Set 439.1

KAP-439.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-439.1.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-439.1.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-439.1.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-439.1.5 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark

method, with a tolerance of 9% as approved by the Board.

KAP-439.1.6 Cases involving identity documents with an exposure above Rs. 145 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.12.

KAP-439.1.7 In case of a system outage, the Branch Manager must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure B-3.

KAP-439.1.8 Cases involving account-opening forms with an exposure above Rs. 479 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.5.

KAP-439.1.9 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/096 and that compliance is certified every quarter.

KAP-439.1.10 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure D-11.

KAP-439.1.11 The Zonal Head shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Risk Engine system.

Section 439.2 Suspicious Transaction Reporting - Operating Rule Set 439.2

KAP-439.2.1 In case of a customer complaint, the Audit Department must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure G-37.

KAP-439.2.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/297 and that compliance is certified every quarter.

KAP-439.2.3 The Risk Management Department shall review address proofs within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-439.2.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure G-25.

KAP-439.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-439.2.6 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-439.2.7 Cases involving cash transaction reports with an exposure above Rs. 469 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.19.

KAP-439.2.8 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-439.2.9 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure F-31.

Section 439.3 Suspicious Transaction Reporting - Operating Rule Set 439.3

KAP-439.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-439.3.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/251 and that compliance is certified every quarter.

KAP-439.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-439.3.4 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure E-26.

KAP-439.3.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-439.3.6 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-439.3.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/144 and that compliance is certified every quarter.

KAP-439.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-439.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-439.3.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 439.4 Suspicious Transaction Reporting - Operating Rule Set 439.4

KAP-439.4.1 The Regional Credit Officer shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-439.4.2 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-439.4.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure B-35.

KAP-439.4.4 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure B-37.

KAP-439.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-439.4.6 Cases involving risk-rating files with an exposure above Rs. 266 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.27.

KAP-439.4.7 Cases involving account-opening forms with an exposure above Rs. 282 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.3.

KAP-439.4.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-439.4.9 Cases involving cash transaction reports with an exposure above Rs. 70 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.14.

Section 439.5 Suspicious Transaction Reporting - Operating Rule Set 439.5

KAP-439.5.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-439.5.2 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-439.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-439.5.4 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-439.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-439.5.6 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-439.5.7 Cases involving account-opening forms with an exposure above Rs. 252 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.13.

KAP-439.5.8 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/221 and that compliance is certified every quarter.

KAP-439.5.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-439.5.10 Cases involving PEP screening results with an exposure above Rs. 450 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.5.

KAP-439.5.11 The Risk Management Department shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Risk Engine system.

Section 439.6 Suspicious Transaction Reporting - Operating Rule Set 439.6

KAP-439.6.1 Cases involving correspondent-bank relationships with an exposure above Rs. 227 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.1.

KAP-439.6.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-439.6.3 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure D-25.

KAP-439.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-439.6.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-439.6.6 The Credit Committee shall review PEP screening results within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-439.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-439.6.8 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-439.6.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 9 days written notice.

PART 37 - CHAPTER 440: POLITICALLY EXPOSED PERSONS

Section 440.1 Politically Exposed Persons - Operating Rule Set 440.1

KAP-440.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure C-32.

KAP-440.1.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/290 and that compliance is certified every quarter.

KAP-440.1.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-440.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-440.1.5 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/066 and that compliance is certified every quarter.

KAP-440.1.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-440.1.7 The Zonal Head shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-440.1.8 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure D-9.

KAP-440.1.9 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure H-9.

Section 440.2 Politically Exposed Persons - Operating Rule Set 440.2

KAP-440.2.1 The Branch Manager shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-440.2.2 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-440.2.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/029 and that compliance is certified every quarter.

KAP-440.2.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 27 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.10.

KAP-440.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-440.2.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-440.2.7 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure A-17.

KAP-440.2.8 Cases involving risk-rating files with an exposure above Rs. 356 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.22.

KAP-440.2.9 Cases involving PEP screening results with an exposure above Rs. 126 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.18.

KAP-440.2.10 Cases involving risk-rating files with an exposure above Rs. 392 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.8.

KAP-440.2.11 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-440.2.12 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/019 and that compliance is certified every quarter.

Section 440.3 Politically Exposed Persons - Operating Rule Set 440.3

KAP-440.3.1 The Zonal Head shall review PEP screening results within 25 working days of receipt and record the outcome in the Document Management system.

KAP-440.3.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-440.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-440.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-440.3.5 Cases involving video-KYC sessions with an exposure above Rs. 459 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.29.

KAP-440.3.6 Cases involving beneficial-owner declarations with an exposure above Rs. 329 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.16.

KAP-440.3.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/185 and that compliance is certified every quarter.

KAP-440.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-440.3.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-440.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 162 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.10.

KAP-440.3.11 Cases involving account-opening forms with an exposure above Rs. 483 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.21.

Section 440.4 Politically Exposed Persons - Operating Rule Set 440.4

KAP-440.4.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-39.

KAP-440.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-440.4.3 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-440.4.4 The Risk Management Department shall review identity documents within 20 working days of receipt and record the outcome in the Document Management system.

KAP-440.4.5 Cases involving video-KYC sessions with an exposure above Rs. 389 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.17.

KAP-440.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-440.4.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-6.

KAP-440.4.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-440.4.9 The Compliance Officer shall review identity documents within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-440.4.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-440.4.11 Cases involving correspondent-bank relationships with an exposure above Rs. 313 lakh require prior written

approval from the Audit Department; otherwise the case is an exception under Clause 16.18.

KAP-440.4.12 Cases involving risk-rating files with an exposure above Rs. 64 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.5.

Section 440.5 Politically Exposed Persons - Operating Rule Set 440.5

KAP-440.5.1 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-440.5.2 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-440.5.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-440.5.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 478 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.1.

KAP-440.5.5 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-440.5.6 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-440.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-440.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

PART 37 - CHAPTER 441: BENEFICIAL OWNERSHIP

Section 441.1 Beneficial Ownership - Operating Rule Set 441.1

KAP-441.1.1 The Branch Manager shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-441.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-441.1.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-441.1.4 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/157 and that compliance is certified every quarter.

KAP-441.1.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure A-18.

KAP-441.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-441.1.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-2.

KAP-441.1.8 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-441.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

Section 441.2 Beneficial Ownership - Operating Rule Set 441.2

KAP-441.2.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/068 and that compliance is certified every quarter.

KAP-441.2.2 Cases involving risk-rating files with an exposure above Rs. 72 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.21.

KAP-441.2.3 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/214 and that compliance is certified every quarter.

KAP-441.2.4 Cases involving PEP screening results with an exposure above Rs. 386 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.27.

KAP-441.2.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/296 and that compliance is certified every quarter.

KAP-441.2.6 The Audit Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Document Management system.

KAP-441.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-441.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-441.2.9 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure C-14.

KAP-441.2.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 176 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.10.

KAP-441.2.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-441.2.12 The Risk Management Department shall review address proofs within 22 working days of receipt and record the outcome in the Risk Engine system.

Section 441.3 Beneficial Ownership - Operating Rule Set 441.3

KAP-441.3.1 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/117 and that compliance is certified every quarter.

KAP-441.3.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/066 and that compliance is certified every quarter.

KAP-441.3.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/138 and that compliance is certified every quarter.

KAP-441.3.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-441.3.5 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure G-27.

KAP-441.3.6 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-441.3.7 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure E-10.

KAP-441.3.8 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/092 and that compliance is certified every quarter.

KAP-441.3.9 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/089 and that compliance is certified every quarter.

Section 441.4 Beneficial Ownership - Operating Rule Set 441.4

KAP-441.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-441.4.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure G-26.

KAP-441.4.3 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-441.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-441.4.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-441.4.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/102 and that compliance is certified every quarter.

KAP-441.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-441.4.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/166 and that compliance is certified every quarter.

KAP-441.4.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit

Committee by the 7th day of the following month.

KAP-441.4.10 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/208 and that compliance is certified every quarter.

KAP-441.4.11 The Risk Management Department shall review address proofs within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-441.4.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

Section 441.5 Beneficial Ownership - Operating Rule Set 441.5

KAP-441.5.1 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure E-22.

KAP-441.5.2 The Credit Committee shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-441.5.3 Cases involving video-KYC sessions with an exposure above Rs. 68 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.3.

KAP-441.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-441.5.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/149 and that compliance is certified every quarter.

KAP-441.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-441.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-441.5.8 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/175 and that compliance is certified every quarter.

KAP-441.5.9 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure C-23.

PART 37 - CHAPTER 442: RECORD KEEPING

Section 442.1 Record Keeping - Operating Rule Set 442.1

KAP-442.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-442.1.2 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/036 and that compliance is certified every quarter.

KAP-442.1.3 The Branch Manager shall review address proofs within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-442.1.4 The Compliance Officer shall review correspondent-bank relationships within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-442.1.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-442.1.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-442.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-442.1.8 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-442.1.9 The Branch Manager shall review address proofs within 28 working days of receipt and record the outcome in the Document Management system.

KAP-442.1.10 The Regional Credit Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-442.1.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 331 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.27.

Section 442.2 Record Keeping - Operating Rule Set 442.2

KAP-442.2.1 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-442.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-442.2.3 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-442.2.4 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/113 and that compliance is certified every quarter.

KAP-442.2.5 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure H-27.

KAP-442.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-442.2.7 Cases involving risk-rating files with an exposure above Rs. 485 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.30.

KAP-442.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-442.2.9 Cases involving address proofs with an exposure above Rs. 440 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.12.

KAP-442.2.10 The Compliance Officer shall review risk-rating files within 9 working days of receipt and record the outcome in the Risk Engine system.

Section 442.3 Record Keeping - Operating Rule Set 442.3

KAP-442.3.1 The Compliance Officer shall review PEP screening results within 25 working days of receipt and record the outcome in the Document Management system.

KAP-442.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-442.3.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure F-1.

KAP-442.3.4 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-442.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-442.3.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-442.3.7 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-442.3.8 Cases involving account-opening forms with an exposure above Rs. 440 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.12.

Section 442.4 Record Keeping - Operating Rule Set 442.4

KAP-442.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-442.4.2 The Audit Department shall review address proofs within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-442.4.3 Cases involving risk-rating files with an exposure above Rs. 128 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.20.

KAP-442.4.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-442.4.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure A-23.

KAP-442.4.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-442.4.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a

tolerance of 5% as approved by the Board.

KAP-442.4.8 The Operations Head shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Case Management system.

KAP-442.4.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 442.5 Record Keeping - Operating Rule Set 442.5

KAP-442.5.1 Cases involving risk-rating files with an exposure above Rs. 118 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.21.

KAP-442.5.2 Cases involving beneficial-owner declarations with an exposure above Rs. 383 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.13.

KAP-442.5.3 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/168 and that compliance is certified every quarter.

KAP-442.5.4 Cases involving identity documents with an exposure above Rs. 258 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.18.

KAP-442.5.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure G-7.

KAP-442.5.6 The Audit Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-442.5.7 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure G-30.

KAP-442.5.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure E-8.

KAP-442.5.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 442.6 Record Keeping - Operating Rule Set 442.6

KAP-442.6.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-442.6.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 56 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.20.

KAP-442.6.3 The Zonal Head shall review identity documents within 10 working days of receipt and record the outcome in the Case Management system.

KAP-442.6.4 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-442.6.5 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-442.6.6 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-442.6.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-442.6.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-442.6.9 The Operations Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Risk Engine system.

PART 37 - CHAPTER 443: STAFF TRAINING

Section 443.1 Staff Training - Operating Rule Set 443.1

KAP-443.1.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/230 and that compliance is certified every quarter.

KAP-443.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-443.1.3 Cases involving account-opening forms with an exposure above Rs. 67 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.8.

KAP-443.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-443.1.5 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-443.1.6 The Credit Committee shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-443.1.7 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/192 and that compliance is certified every quarter.

KAP-443.1.8 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/159 and that compliance is certified every quarter.

KAP-443.1.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure G-5.

KAP-443.1.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-443.1.11 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-443.1.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-443.1.13 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/042 and that compliance is certified every quarter.

Section 443.2 Staff Training - Operating Rule Set 443.2

KAP-443.2.1 The Zonal Head shall review account-opening forms within 8 working days of receipt and record the outcome in the Case Management system.

KAP-443.2.2 The Branch Manager shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-443.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-443.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-443.2.5 The Branch Manager shall review PEP screening results within 11 working days of receipt and record the outcome in the Case Management system.

KAP-443.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-443.2.7 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-443.2.8 The Operations Head shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Case Management system.

KAP-443.2.9 The Credit Committee shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-443.2.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-443.2.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

Section 443.3 Staff Training - Operating Rule Set 443.3

KAP-443.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-443.3.2 The Operations Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-443.3.3 The Risk Management Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-443.3.4 Cases involving cash transaction reports with an exposure above Rs. 60 lakh require prior written approval

from the Operations Head; otherwise the case is an exception under Clause 4.1.

KAP-443.3.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-443.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-443.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-443.3.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/065 and that compliance is certified every quarter.

KAP-443.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 493 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.23.

Section 443.4 Staff Training - Operating Rule Set 443.4

KAP-443.4.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-443.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-443.4.3 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/124 and that compliance is certified every quarter.

KAP-443.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-443.4.5 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure H-28.

KAP-443.4.6 Cases involving correspondent-bank relationships with an exposure above Rs. 180 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.5.

KAP-443.4.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-443.4.8 Cases involving account-opening forms with an exposure above Rs. 358 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.21.

KAP-443.4.9 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/294 and that compliance is certified every quarter.

KAP-443.4.10 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/163 and that compliance is certified every quarter.

Section 443.5 Staff Training - Operating Rule Set 443.5

KAP-443.5.1 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-443.5.2 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-443.5.3 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure A-8.

KAP-443.5.4 Cases involving video-KYC sessions with an exposure above Rs. 187 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.25.

KAP-443.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-443.5.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-443.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-443.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

PART 37 - CHAPTER 444: INDEPENDENT AUDIT

Section 444.1 Independent Audit - Operating Rule Set 444.1

KAP-444.1.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-444.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-444.1.3 Cases involving identity documents with an exposure above Rs. 232 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.7.

KAP-444.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-444.1.5 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-444.1.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-444.1.7 Cases involving correspondent-bank relationships with an exposure above Rs. 481 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.5.

KAP-444.1.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-444.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-444.1.10 Cases involving beneficial-owner declarations with an exposure above Rs. 333 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.26.

Section 444.2 Independent Audit - Operating Rule Set 444.2

KAP-444.2.1 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-444.2.2 The Risk Management Department shall review identity documents within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-444.2.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/070 and that compliance is certified every quarter.

KAP-444.2.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/268 and that compliance is certified every quarter.

KAP-444.2.5 In case of a system outage, the Zonal Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure A-31.

KAP-444.2.6 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-444.2.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

KAP-444.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 241 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.25.

Section 444.3 Independent Audit - Operating Rule Set 444.3

KAP-444.3.1 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/195 and that compliance is certified every quarter.

KAP-444.3.2 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-444.3.3 The Risk Management Department shall review cash transaction reports within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-444.3.4 The Compliance Officer shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

KAP-444.3.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/003 and that compliance is certified every quarter.

KAP-444.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-444.3.7 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the

procedures in Circular KAP/2020/052 and that compliance is certified every quarter.

KAP-444.3.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure H-11.

KAP-444.3.9 Cases involving account-opening forms with an exposure above Rs. 474 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.26.

KAP-444.3.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-444.3.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-444.3.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

Section 444.4 Independent Audit - Operating Rule Set 444.4

KAP-444.4.1 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-444.4.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-444.4.3 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-444.4.4 The Regional Credit Officer shall review account-opening forms within 5 working days of receipt and record the outcome in the Case Management system.

KAP-444.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-444.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-444.4.7 The Compliance Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-444.4.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/199 and that compliance is certified every quarter.

KAP-444.4.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-444.4.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure E-32.

KAP-444.4.11 The Credit Committee shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-444.4.12 The Branch Manager shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Document Management system.

Section 444.5 Independent Audit - Operating Rule Set 444.5

KAP-444.5.1 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/285 and that compliance is certified every quarter.

KAP-444.5.2 Cases involving PEP screening results with an exposure above Rs. 180 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.4.

KAP-444.5.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-444.5.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-444.5.5 Cases involving PEP screening results with an exposure above Rs. 169 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.23.

KAP-444.5.6 Cases involving address proofs with an exposure above Rs. 16 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.20.

KAP-444.5.7 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/124 and that compliance is certified every quarter.

KAP-444.5.8 The Credit Committee shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Case Management system.

KAP-444.5.9 The Branch Manager shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-444.5.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure B-22.

KAP-444.5.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure G-28.

Section 444.6 Independent Audit - Operating Rule Set 444.6

KAP-444.6.1 Cases involving identity documents with an exposure above Rs. 242 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.19.

KAP-444.6.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-444.6.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/025 and that compliance is certified every quarter.

KAP-444.6.4 The Audit Department shall review address proofs within 27 working days of receipt and record the outcome in the Document Management system.

KAP-444.6.5 Cases involving video-KYC sessions with an exposure above Rs. 499 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.24.

KAP-444.6.6 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-6.

KAP-444.6.7 The Regional Credit Officer shall review address proofs within 20 working days of receipt and record the outcome in the Document Management system.

KAP-444.6.8 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure H-10.

KAP-444.6.9 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-444.6.10 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-444.6.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-444.6.12 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

PART 38 - CHAPTER 445: CUSTOMER ACCEPTANCE

Section 445.1 Customer Acceptance - Operating Rule Set 445.1

KAP-445.1.1 Cases involving identity documents with an exposure above Rs. 496 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.5.

KAP-445.1.2 The Audit Department shall review identity documents within 9 working days of receipt and record the outcome in the Case Management system.

KAP-445.1.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/104 and that compliance is certified every quarter.

KAP-445.1.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-445.1.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/174 and that compliance is certified every quarter.

KAP-445.1.6 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/284 and that compliance is certified every quarter.

KAP-445.1.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-445.1.8 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-445.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-445.1.10 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/252 and that compliance is certified every quarter.

KAP-445.1.11 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

Section 445.2 Customer Acceptance - Operating Rule Set 445.2

KAP-445.2.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure D-30.

KAP-445.2.2 The Operations Head shall review address proofs within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-445.2.3 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-445.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-445.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-445.2.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/075 and that compliance is certified every quarter.

KAP-445.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-445.2.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-445.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-445.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-445.2.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-445.2.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 445.3 Customer Acceptance - Operating Rule Set 445.3

KAP-445.3.1 The Compliance Officer shall review address proofs within 24 working days of receipt and record the outcome in the Document Management system.

KAP-445.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-445.3.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-445.3.4 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-445.3.5 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-445.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-445.3.7 Cases involving video-KYC sessions with an exposure above Rs. 433 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.21.

KAP-445.3.8 Cases involving video-KYC sessions with an exposure above Rs. 250 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.26.

KAP-445.3.9 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-5.

KAP-445.3.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after

giving the customer 4 days written notice.

KAP-445.3.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 445.4 Customer Acceptance - Operating Rule Set 445.4

KAP-445.4.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-445.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-445.4.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-445.4.4 Cases involving cash transaction reports with an exposure above Rs. 223 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.29.

KAP-445.4.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/179 and that compliance is certified every quarter.

KAP-445.4.6 The Risk Management Department shall review PEP screening results within 26 working days of receipt and record the outcome in the Case Management system.

KAP-445.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-445.4.8 The Regional Credit Officer shall review address proofs within 2 working days of receipt and record the outcome in the Case Management system.

KAP-445.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 445.5 Customer Acceptance - Operating Rule Set 445.5

KAP-445.5.1 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-445.5.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 26 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.6.

KAP-445.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 394 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.6.

KAP-445.5.4 The Zonal Head shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-445.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-445.5.6 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Document Management system.

KAP-445.5.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-445.5.8 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-445.5.9 Cases involving PEP screening results with an exposure above Rs. 21 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.2.

KAP-445.5.10 Cases involving cash transaction reports with an exposure above Rs. 339 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.13.

KAP-445.5.11 Cases involving address proofs with an exposure above Rs. 362 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.3.

PART 38 - CHAPTER 446: CUSTOMER IDENTIFICATION

Section 446.1 Customer Identification - Operating Rule Set 446.1

KAP-446.1.1 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-446.1.2 Cases involving cash transaction reports with an exposure above Rs. 284 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.12.

KAP-446.1.3 Cases involving correspondent-bank relationships with an exposure above Rs. 402 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.5.

KAP-446.1.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-446.1.5 The Regional Credit Officer shall review account-opening forms within 21 working days of receipt and record the outcome in the Document Management system.

KAP-446.1.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-446.1.7 Cases involving risk-rating files with an exposure above Rs. 123 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.20.

KAP-446.1.8 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Case Management system.

KAP-446.1.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 17 days written notice.

Section 446.2 Customer Identification - Operating Rule Set 446.2

KAP-446.2.1 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-446.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-446.2.3 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/253 and that compliance is certified every quarter.

KAP-446.2.4 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-446.2.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-446.2.6 Cases involving risk-rating files with an exposure above Rs. 192 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.6.

KAP-446.2.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/060 and that compliance is certified every quarter.

KAP-446.2.8 Cases involving video-KYC sessions with an exposure above Rs. 69 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.14.

KAP-446.2.9 Cases involving identity documents with an exposure above Rs. 392 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.19.

KAP-446.2.10 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/227 and that compliance is certified every quarter.

KAP-446.2.11 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure G-25.

Section 446.3 Customer Identification - Operating Rule Set 446.3

KAP-446.3.1 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-446.3.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-446.3.3 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-446.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-446.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-446.3.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/115 and that compliance is certified every quarter.

KAP-446.3.7 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance

of 8% as approved by the Board.

KAP-446.3.8 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-446.3.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-446.3.10 Cases involving address proofs with an exposure above Rs. 298 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.10.

KAP-446.3.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

Section 446.4 Customer Identification - Operating Rule Set 446.4

KAP-446.4.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-446.4.2 The Compliance Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-446.4.3 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-446.4.4 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure E-8.

KAP-446.4.5 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-446.4.6 The Operations Head shall review identity documents within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-446.4.7 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/260 and that compliance is certified every quarter.

KAP-446.4.8 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-446.4.9 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-446.4.10 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-446.4.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 446.5 Customer Identification - Operating Rule Set 446.5

KAP-446.5.1 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure G-14.

KAP-446.5.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-446.5.3 The Branch Manager shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Document Management system.

KAP-446.5.4 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/028 and that compliance is certified every quarter.

KAP-446.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-446.5.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 51 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.18.

KAP-446.5.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/086 and that compliance is certified every quarter.

KAP-446.5.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-446.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 320 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.29.

KAP-446.5.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure H-26.

KAP-446.5.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 18 days written notice.

Section 446.6 Customer Identification - Operating Rule Set 446.6

KAP-446.6.1 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure B-34.

KAP-446.6.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure G-26.

KAP-446.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-446.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-446.6.5 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-26.

KAP-446.6.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-446.6.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-446.6.8 Cases involving account-opening forms with an exposure above Rs. 249 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.6.

KAP-446.6.9 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-35.

KAP-446.6.10 Cases involving PEP screening results with an exposure above Rs. 312 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.5.

Section 446.7 Customer Identification - Operating Rule Set 446.7

KAP-446.7.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-446.7.2 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/033 and that compliance is certified every quarter.

KAP-446.7.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/166 and that compliance is certified every quarter.

KAP-446.7.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/285 and that compliance is certified every quarter.

KAP-446.7.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-446.7.6 Cases involving risk-rating files with an exposure above Rs. 442 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.9.

KAP-446.7.7 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure G-25.

KAP-446.7.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure H-37.

KAP-446.7.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-446.7.10 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure D-34.

KAP-446.7.11 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 446.8 Customer Identification - Operating Rule Set 446.8

KAP-446.8.1 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-446.8.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-446.8.3 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-446.8.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-3.

KAP-446.8.5 Cases involving account-opening forms with an exposure above Rs. 66 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.20.

KAP-446.8.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-446.8.7 Cases involving cash transaction reports with an exposure above Rs. 447 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.19.

KAP-446.8.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-446.8.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-446.8.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-446.8.11 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure D-5.

KAP-446.8.12 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-446.8.13 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

PART 38 - CHAPTER 447: CUSTOMER DUE DILIGENCE

Section 447.1 Customer Due Diligence - Operating Rule Set 447.1

KAP-447.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-447.1.2 The Zonal Head shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-447.1.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-447.1.4 Cases involving account-opening forms with an exposure above Rs. 457 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.9.

KAP-447.1.5 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-447.1.6 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/041 and that compliance is certified every quarter.

KAP-447.1.7 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/121 and that compliance is certified every quarter.

KAP-447.1.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-447.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 296 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.13.

KAP-447.1.10 The Operations Head shall review PEP screening results within 5 working days of receipt and record the outcome in the Risk Engine system.

Section 447.2 Customer Due Diligence - Operating Rule Set 447.2

KAP-447.2.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-447.2.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-447.2.3 The Credit Committee shall review address proofs within 6 working days of receipt and record the outcome in the Case Management system.

KAP-447.2.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-447.2.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/189 and that compliance is certified every quarter.

KAP-447.2.6 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure D-36.

KAP-447.2.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-447.2.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure H-21.

KAP-447.2.9 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 447.3 Customer Due Diligence - Operating Rule Set 447.3

KAP-447.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-447.3.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/295 and that compliance is certified every quarter.

KAP-447.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-447.3.4 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure E-39.

KAP-447.3.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-447.3.6 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-447.3.7 The Zonal Head shall review risk-rating files within 22 working days of receipt and record the outcome in the Case Management system.

KAP-447.3.8 The Zonal Head shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Case Management system.

KAP-447.3.9 The Operations Head shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-447.3.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

Section 447.4 Customer Due Diligence - Operating Rule Set 447.4

KAP-447.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-447.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-447.4.3 The Zonal Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-447.4.4 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-447.4.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/152 and that compliance is certified every quarter.

KAP-447.4.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure D-12.

KAP-447.4.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/049 and that compliance is certified every quarter.

KAP-447.4.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the

Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-3.

KAP-447.4.9 Cases involving address proofs with an exposure above Rs. 349 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.9.

KAP-447.4.10 Cases involving video-KYC sessions with an exposure above Rs. 365 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.18.

KAP-447.4.11 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/176 and that compliance is certified every quarter.

Section 447.5 Customer Due Diligence - Operating Rule Set 447.5

KAP-447.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-447.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-447.5.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-447.5.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/082 and that compliance is certified every quarter.

KAP-447.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-447.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 257 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.8.

KAP-447.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-447.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 314 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.15.

KAP-447.5.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-447.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

PART 38 - CHAPTER 448: ENHANCED DUE DILIGENCE

Section 448.1 Enhanced Due Diligence - Operating Rule Set 448.1

KAP-448.1.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-448.1.2 The Branch Manager shall review PEP screening results within 2 working days of receipt and record the outcome in the Document Management system.

KAP-448.1.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/185 and that compliance is certified every quarter.

KAP-448.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-448.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-448.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-448.1.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure D-22.

KAP-448.1.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-448.1.9 The Credit Committee shall review address proofs within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-448.1.10 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/126 and that compliance is certified every quarter.

Section 448.2 Enhanced Due Diligence - Operating Rule Set 448.2

KAP-448.2.1 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-448.2.2 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure C-21.

KAP-448.2.3 Cases involving address proofs with an exposure above Rs. 239 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.3.

KAP-448.2.4 The Zonal Head shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-448.2.5 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/031 and that compliance is certified every quarter.

KAP-448.2.6 The Regional Credit Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-448.2.7 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/211 and that compliance is certified every quarter.

KAP-448.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-448.2.9 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure E-27.

KAP-448.2.10 The Risk Management Department shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Risk Engine system.

Section 448.3 Enhanced Due Diligence - Operating Rule Set 448.3

KAP-448.3.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-448.3.2 Cases involving cash transaction reports with an exposure above Rs. 113 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.8.

KAP-448.3.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/150 and that compliance is certified every quarter.

KAP-448.3.4 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-448.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 303 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.9.

KAP-448.3.6 The Audit Department shall review address proofs within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-448.3.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure G-27.

KAP-448.3.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-448.3.9 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-448.3.10 Cases involving PEP screening results with an exposure above Rs. 187 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.11.

KAP-448.3.11 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

Section 448.4 Enhanced Due Diligence - Operating Rule Set 448.4

KAP-448.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 84 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.2.

KAP-448.4.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-448.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-448.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by

the 8th day of the following month.

KAP-448.4.5 The Regional Credit Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Case Management system.

KAP-448.4.6 The Zonal Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-448.4.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure F-5.

KAP-448.4.8 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-448.4.9 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-448.4.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-448.4.11 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/207 and that compliance is certified every quarter.

Section 448.5 Enhanced Due Diligence - Operating Rule Set 448.5

KAP-448.5.1 The Credit Committee shall review risk-rating files within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-448.5.2 The Risk Management Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Case Management system.

KAP-448.5.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure G-23.

KAP-448.5.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-448.5.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-448.5.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-448.5.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/194 and that compliance is certified every quarter.

KAP-448.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-448.5.9 Cases involving account-opening forms with an exposure above Rs. 416 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.23.

KAP-448.5.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-448.5.11 The Zonal Head shall review address proofs within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-448.5.12 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/202 and that compliance is certified every quarter.

Section 448.6 Enhanced Due Diligence - Operating Rule Set 448.6

KAP-448.6.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-448.6.2 Cases involving beneficial-owner declarations with an exposure above Rs. 238 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.20.

KAP-448.6.3 Cases involving address proofs with an exposure above Rs. 32 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.11.

KAP-448.6.4 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/257 and that compliance is certified every quarter.

KAP-448.6.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/120 and that compliance is certified every quarter.

KAP-448.6.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-448.6.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-448.6.8 Cases involving correspondent-bank relationships with an exposure above Rs. 184 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.17.

KAP-448.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-448.6.10 Cases involving identity documents with an exposure above Rs. 80 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.4.

KAP-448.6.11 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-10.

KAP-448.6.12 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

PART 38 - CHAPTER 449: RISK CATEGORISATION

Section 449.1 Risk Categorisation - Operating Rule Set 449.1

KAP-449.1.1 Cases involving address proofs with an exposure above Rs. 194 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.2.

KAP-449.1.2 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure H-7.

KAP-449.1.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-20.

KAP-449.1.4 The Zonal Head shall review address proofs within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-449.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-449.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-449.1.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/230 and that compliance is certified every quarter.

KAP-449.1.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-449.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-449.1.10 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/153 and that compliance is certified every quarter.

KAP-449.1.11 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-4.

KAP-449.1.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-449.1.13 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

Section 449.2 Risk Categorisation - Operating Rule Set 449.2

KAP-449.2.1 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-449.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-449.2.3 Cases involving beneficial-owner declarations with an exposure above Rs. 279 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.3.

KAP-449.2.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-449.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-449.2.6 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-449.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-449.2.8 The Regional Credit Officer shall review account-opening forms within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-449.2.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure F-35.

Section 449.3 Risk Categorisation - Operating Rule Set 449.3

KAP-449.3.1 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-449.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-449.3.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-449.3.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-449.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-449.3.6 The Audit Department shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-449.3.7 Cases involving account-opening forms with an exposure above Rs. 63 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.16.

KAP-449.3.8 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure H-35.

Section 449.4 Risk Categorisation - Operating Rule Set 449.4

KAP-449.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-449.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-449.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-449.4.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/262 and that compliance is certified every quarter.

KAP-449.4.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/042 and that compliance is certified every quarter.

KAP-449.4.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/088 and that compliance is certified every quarter.

KAP-449.4.7 The Risk Management Department shall review risk-rating files within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-449.4.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-449.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 449.5 Risk Categorisation - Operating Rule Set 449.5

KAP-449.5.1 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-449.5.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/055 and that compliance is certified every quarter.

KAP-449.5.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-449.5.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-449.5.5 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-449.5.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-449.5.7 For trust customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-449.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-449.5.9 Cases involving risk-rating files with an exposure above Rs. 321 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.25.

KAP-449.5.10 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure H-30.

KAP-449.5.11 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/081 and that compliance is certified every quarter.

KAP-449.5.12 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-449.5.13 Cases involving video-KYC sessions with an exposure above Rs. 238 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.16.

Section 449.6 Risk Categorisation - Operating Rule Set 449.6

KAP-449.6.1 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-449.6.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-449.6.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-3.

KAP-449.6.4 The Operations Head shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-449.6.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/228 and that compliance is certified every quarter.

KAP-449.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-449.6.7 Cases involving correspondent-bank relationships with an exposure above Rs. 268 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.12.

KAP-449.6.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-449.6.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-449.6.10 The Risk Management Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-449.6.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-449.6.12 The Audit Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Case Management system.

Section 449.7 Risk Categorisation - Operating Rule Set 449.7

KAP-449.7.1 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-449.7.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2020/235 and that compliance is certified every quarter.

KAP-449.7.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-449.7.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-449.7.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/242 and that compliance is certified every quarter.

KAP-449.7.6 Cases involving correspondent-bank relationships with an exposure above Rs. 211 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.28.

KAP-449.7.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-449.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 44 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.10.

KAP-449.7.9 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure B-19.

KAP-449.7.10 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure A-10.

Section 449.8 Risk Categorisation - Operating Rule Set 449.8

KAP-449.8.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-449.8.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-449.8.3 The Operations Head shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-449.8.4 The Operations Head shall review PEP screening results within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-449.8.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-449.8.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 471 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.3.

KAP-449.8.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-449.8.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-449.8.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-449.8.10 The Zonal Head shall review identity documents within 20 working days of receipt and record the outcome in the Document Management system.

KAP-449.8.11 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure C-27.

PART 38 - CHAPTER 450: TRANSACTION MONITORING

Section 450.1 Transaction Monitoring - Operating Rule Set 450.1

KAP-450.1.1 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/139 and that compliance is certified every quarter.

KAP-450.1.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-450.1.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure D-39.

KAP-450.1.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/275 and that compliance is certified every quarter.

KAP-450.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and

be made available to the regulator on request.

KAP-450.1.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-450.1.7 The Operations Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-450.1.8 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-450.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-450.1.10 Cases involving account-opening forms with an exposure above Rs. 314 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.18.

KAP-450.1.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-450.1.12 Cases involving account-opening forms with an exposure above Rs. 173 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.1.

KAP-450.1.13 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 450.2 Transaction Monitoring - Operating Rule Set 450.2

KAP-450.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-450.2.2 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-450.2.3 Cases involving address proofs with an exposure above Rs. 464 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.28.

KAP-450.2.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure B-17.

KAP-450.2.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-450.2.6 The Zonal Head shall review identity documents within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-450.2.7 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-450.2.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure D-21.

KAP-450.2.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-450.2.10 The Branch Manager shall review cash transaction reports within 26 working days of receipt and record the outcome in the Risk Engine system.

Section 450.3 Transaction Monitoring - Operating Rule Set 450.3

KAP-450.3.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-450.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-450.3.3 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Document Management system.

KAP-450.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-450.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 305 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.28.

KAP-450.3.6 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure G-17.

KAP-450.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-450.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-450.3.9 Cases involving PEP screening results with an exposure above Rs. 460 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.30.

KAP-450.3.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 450.4 Transaction Monitoring - Operating Rule Set 450.4

KAP-450.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 124 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.8.

KAP-450.4.2 The Audit Department shall review PEP screening results within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-450.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-450.4.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-450.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-450.4.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-450.4.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/143 and that compliance is certified every quarter.

KAP-450.4.8 Cases involving risk-rating files with an exposure above Rs. 106 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.28.

PART 38 - CHAPTER 451: SUSPICIOUS TRANSACTION REPORTING

Section 451.1 Suspicious Transaction Reporting - Operating Rule Set 451.1

KAP-451.1.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-451.1.2 Cases involving cash transaction reports with an exposure above Rs. 222 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.10.

KAP-451.1.3 Cases involving risk-rating files with an exposure above Rs. 211 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.30.

KAP-451.1.4 Cases involving address proofs with an exposure above Rs. 194 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.6.

KAP-451.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 31 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.9.

KAP-451.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-451.1.7 Cases involving account-opening forms with an exposure above Rs. 283 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.24.

KAP-451.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-451.1.9 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-3.

KAP-451.1.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-451.1.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

Section 451.2 Suspicious Transaction Reporting - Operating Rule Set 451.2

KAP-451.2.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two

notices, after giving the customer 20 days written notice.

KAP-451.2.2 Cases involving risk-rating files with an exposure above Rs. 12 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.12.

KAP-451.2.3 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/190 and that compliance is certified every quarter.

KAP-451.2.4 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure D-18.

KAP-451.2.5 The Regional Credit Officer shall review risk-rating files within 25 working days of receipt and record the outcome in the Document Management system.

KAP-451.2.6 Cases involving PEP screening results with an exposure above Rs. 58 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.8.

KAP-451.2.7 The Compliance Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Document Management system.

KAP-451.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

Section 451.3 Suspicious Transaction Reporting - Operating Rule Set 451.3

KAP-451.3.1 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-451.3.2 Cases involving account-opening forms with an exposure above Rs. 276 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.9.

KAP-451.3.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure C-20.

KAP-451.3.4 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-451.3.5 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure F-4.

KAP-451.3.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/076 and that compliance is certified every quarter.

KAP-451.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-451.3.8 Cases involving risk-rating files with an exposure above Rs. 54 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.5.

KAP-451.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-451.3.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-451.3.11 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure D-19.

Section 451.4 Suspicious Transaction Reporting - Operating Rule Set 451.4

KAP-451.4.1 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/125 and that compliance is certified every quarter.

KAP-451.4.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-451.4.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure A-20.

KAP-451.4.4 The Credit Committee shall review address proofs within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-451.4.5 Cases involving cash transaction reports with an exposure above Rs. 251 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.1.

KAP-451.4.6 The Zonal Head shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-451.4.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure A-27.

KAP-451.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 396 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.19.

KAP-451.4.9 The Operations Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Document Management system.

KAP-451.4.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

Section 451.5 Suspicious Transaction Reporting - Operating Rule Set 451.5

KAP-451.5.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure C-1.

KAP-451.5.2 The Credit Committee shall review risk-rating files within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-451.5.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-451.5.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-451.5.5 The Audit Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Case Management system.

KAP-451.5.6 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure H-40.

KAP-451.5.7 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure C-3.

KAP-451.5.8 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/156 and that compliance is certified every quarter.

KAP-451.5.9 The Audit Department shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-451.5.10 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

Section 451.6 Suspicious Transaction Reporting - Operating Rule Set 451.6

KAP-451.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-451.6.2 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-451.6.3 Cases involving address proofs with an exposure above Rs. 125 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.15.

KAP-451.6.4 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-451.6.5 The Regional Credit Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-451.6.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/142 and that compliance is certified every quarter.

KAP-451.6.7 The Operations Head shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-451.6.8 The Zonal Head shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Core Banking system.

PART 38 - CHAPTER 452: POLITICALLY EXPOSED PERSONS

Section 452.1 Politically Exposed Persons - Operating Rule Set 452.1

KAP-452.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-452.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made

available to statutory auditors on request.

KAP-452.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-452.1.4 The Risk Management Department shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-452.1.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-452.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-452.1.7 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-1.

KAP-452.1.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-452.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-452.1.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-452.1.11 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/025 and that compliance is certified every quarter.

KAP-452.1.12 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure C-33.

KAP-452.1.13 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

Section 452.2 Politically Exposed Persons - Operating Rule Set 452.2

KAP-452.2.1 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-452.2.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-452.2.3 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-452.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-452.2.5 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure E-27.

KAP-452.2.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/134 and that compliance is certified every quarter.

KAP-452.2.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure C-25.

KAP-452.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-452.2.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-452.2.10 Cases involving identity documents with an exposure above Rs. 278 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.29.

Section 452.3 Politically Exposed Persons - Operating Rule Set 452.3

KAP-452.3.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/225 and that compliance is certified every quarter.

KAP-452.3.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-452.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-452.3.4 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-KEY-07 Video-based customer identification is permitted for individual savings accounts with a maximum initial balance of Rs. 1,00,000.

KAP-452.3.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-452.3.6 Cases involving address proofs with an exposure above Rs. 224 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.6.

KAP-452.3.7 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-452.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-452.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-452.3.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

Section 452.4 Politically Exposed Persons - Operating Rule Set 452.4

KAP-452.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-452.4.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-452.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-452.4.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-452.4.5 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/127 and that compliance is certified every quarter.

KAP-452.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-452.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-452.4.8 The Regional Credit Officer shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-452.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 484 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.21.

KAP-452.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-452.4.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-452.4.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

PART 38 - CHAPTER 453: BENEFICIAL OWNERSHIP

Section 453.1 Beneficial Ownership - Operating Rule Set 453.1

KAP-453.1.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-453.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 210 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.26.

KAP-453.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-453.1.4 The Regional Credit Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-453.1.5 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure A-34.

KAP-453.1.6 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-453.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-453.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-453.1.9 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-453.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 453.2 Beneficial Ownership - Operating Rule Set 453.2

KAP-453.2.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure B-17.

KAP-453.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-453.2.3 The Audit Department shall review risk-rating files within 7 working days of receipt and record the outcome in the Document Management system.

KAP-453.2.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure C-30.

KAP-453.2.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/119 and that compliance is certified every quarter.

KAP-453.2.6 Cases involving account-opening forms with an exposure above Rs. 447 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.2.

KAP-453.2.7 The Operations Head shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Case Management system.

KAP-453.2.8 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure A-1.

Section 453.3 Beneficial Ownership - Operating Rule Set 453.3

KAP-453.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-453.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-453.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 362 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.17.

KAP-453.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-453.3.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-453.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-453.3.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-453.3.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-453.3.9 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure A-22.

KAP-453.3.10 The Zonal Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Loan Origination system.

Section 453.4 Beneficial Ownership - Operating Rule Set 453.4

KAP-453.4.1 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-453.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 355 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.6.

KAP-453.4.3 The Zonal Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Document Management system.

KAP-453.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-453.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-453.4.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-453.4.7 The Risk Management Department shall review risk-rating files within 7 working days of receipt and record the outcome in the Document Management system.

KAP-453.4.8 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure G-4.

KAP-453.4.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-11.

KAP-453.4.10 Cases involving identity documents with an exposure above Rs. 42 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.25.

Section 453.5 Beneficial Ownership - Operating Rule Set 453.5

KAP-453.5.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-453.5.2 The Risk Management Department shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-453.5.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure C-5.

KAP-453.5.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-453.5.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure G-19.

KAP-453.5.6 The Credit Committee shall review PEP screening results within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-453.5.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure F-30.

KAP-453.5.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/236 and that compliance is certified every quarter.

KAP-453.5.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-453.5.10 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-453.5.11 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/107 and that compliance is certified every quarter.

Section 453.6 Beneficial Ownership - Operating Rule Set 453.6

KAP-453.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-453.6.2 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure D-19.

KAP-453.6.3 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure G-39.

KAP-453.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be

made available to statutory auditors on request.

KAP-453.6.5 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-453.6.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-453.6.7 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-453.6.8 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

PART 38 - CHAPTER 454: RECORD KEEPING

Section 454.1 Record Keeping - Operating Rule Set 454.1

KAP-454.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-454.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-454.1.3 In case of a request for exception, the Branch Manager must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-36.

KAP-454.1.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-454.1.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure C-30.

KAP-454.1.6 In case of a system outage, the Branch Manager must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure H-39.

KAP-454.1.7 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/035 and that compliance is certified every quarter.

KAP-454.1.8 Cases involving risk-rating files with an exposure above Rs. 425 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.25.

KAP-454.1.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/296 and that compliance is certified every quarter.

KAP-454.1.10 The Risk Management Department shall review risk-rating files within 9 working days of receipt and record the outcome in the Case Management system.

KAP-454.1.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure C-3.

KAP-454.1.12 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 454.2 Record Keeping - Operating Rule Set 454.2

KAP-454.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-454.2.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/156 and that compliance is certified every quarter.

KAP-454.2.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-454.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-454.2.5 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/147 and that compliance is certified every quarter.

KAP-454.2.6 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/183 and that compliance is certified every quarter.

KAP-454.2.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-454.2.8 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with

a tolerance of 9% as approved by the Board.

KAP-454.2.9 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/031 and that compliance is certified every quarter.

KAP-454.2.10 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure D-40.

KAP-454.2.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 454.3 Record Keeping - Operating Rule Set 454.3

KAP-454.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-454.3.2 The Regional Credit Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Document Management system.

KAP-454.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-454.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-454.3.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-454.3.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-454.3.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure B-39.

KAP-454.3.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/286 and that compliance is certified every quarter.

KAP-454.3.9 The Credit Committee shall review PEP screening results within 21 working days of receipt and record the outcome in the Risk Engine system.

Section 454.4 Record Keeping - Operating Rule Set 454.4

KAP-454.4.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-454.4.2 Cases involving address proofs with an exposure above Rs. 431 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.24.

KAP-454.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-454.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-454.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-454.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-454.4.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/163 and that compliance is certified every quarter.

KAP-454.4.8 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/099 and that compliance is certified every quarter.

KAP-454.4.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/011 and that compliance is certified every quarter.

Section 454.5 Record Keeping - Operating Rule Set 454.5

KAP-454.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-454.5.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-454.5.3 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2021/276 and that compliance is certified every quarter.

KAP-454.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-454.5.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure B-32.

KAP-454.5.6 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-454.5.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-454.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

PART 38 - CHAPTER 455: STAFF TRAINING

Section 455.1 Staff Training - Operating Rule Set 455.1

KAP-455.1.1 The Zonal Head shall review cash transaction reports within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-455.1.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-455.1.3 Cases involving identity documents with an exposure above Rs. 338 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.29.

KAP-455.1.4 The Operations Head shall review address proofs within 27 working days of receipt and record the outcome in the Case Management system.

KAP-455.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-455.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-455.1.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-455.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-455.1.9 The Credit Committee shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-455.1.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-455.1.11 Cases involving identity documents with an exposure above Rs. 159 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.13.

KAP-455.1.12 The Audit Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Document Management system.

Section 455.2 Staff Training - Operating Rule Set 455.2

KAP-455.2.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/005 and that compliance is certified every quarter.

KAP-455.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-455.2.3 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-455.2.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-455.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-455.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-455.2.7 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 9

working days, with the supporting documents listed in Annexure D-29.

KAP-455.2.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-455.2.9 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/153 and that compliance is certified every quarter.

KAP-455.2.10 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-455.2.11 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-455.2.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 455.3 Staff Training - Operating Rule Set 455.3

KAP-455.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-455.3.2 The Regional Credit Officer shall review risk-rating files within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-455.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-455.3.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-455.3.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-455.3.6 The Audit Department shall review risk-rating files within 23 working days of receipt and record the outcome in the Document Management system.

KAP-455.3.7 The Credit Committee shall review cash transaction reports within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-455.3.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-455.3.9 Cases involving identity documents with an exposure above Rs. 151 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.23.

KAP-455.3.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

Section 455.4 Staff Training - Operating Rule Set 455.4

KAP-455.4.1 The Operations Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Case Management system.

KAP-455.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-455.4.3 Cases involving address proofs with an exposure above Rs. 345 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.29.

KAP-455.4.4 The Compliance Officer shall review risk-rating files within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-455.4.5 The Audit Department shall review risk-rating files within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-455.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-455.4.7 In case of a request for exception, the Credit Committee must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure B-38.

KAP-455.4.8 Cases involving video-KYC sessions with an exposure above Rs. 424 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.7.

KAP-455.4.9 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

Section 455.5 Staff Training - Operating Rule Set 455.5

KAP-455.5.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-455.5.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-455.5.3 Cases involving risk-rating files with an exposure above Rs. 66 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.18.

KAP-455.5.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/020 and that compliance is certified every quarter.

KAP-455.5.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/123 and that compliance is certified every quarter.

KAP-455.5.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/219 and that compliance is certified every quarter.

KAP-455.5.7 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-455.5.8 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-455.5.9 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-455.5.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 455.6 Staff Training - Operating Rule Set 455.6

KAP-455.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 13 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.5.

KAP-455.6.2 Cases involving PEP screening results with an exposure above Rs. 220 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.20.

KAP-455.6.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure G-12.

KAP-455.6.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-455.6.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/200 and that compliance is certified every quarter.

KAP-455.6.6 The Regional Credit Officer shall review cash transaction reports within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-455.6.7 Cases involving account-opening forms with an exposure above Rs. 24 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.17.

KAP-455.6.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/048 and that compliance is certified every quarter.

KAP-455.6.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-455.6.10 Cases involving address proofs with an exposure above Rs. 381 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.6.

Section 455.7 Staff Training - Operating Rule Set 455.7

KAP-455.7.1 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-455.7.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-455.7.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-455.7.4 Cases involving address proofs with an exposure above Rs. 432 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.18.

KAP-455.7.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-455.7.6 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/279 and that compliance is certified every quarter.

KAP-455.7.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-455.7.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-455.7.9 The Regional Credit Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Document Management system.

KAP-455.7.10 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-455.7.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

PART 38 - CHAPTER 456: INDEPENDENT AUDIT

Section 456.1 Independent Audit - Operating Rule Set 456.1

KAP-456.1.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure B-37.

KAP-456.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-456.1.3 The Branch Manager shall review risk-rating files within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-456.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-456.1.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-456.1.6 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-456.1.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-456.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-456.1.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure F-28.

Section 456.2 Independent Audit - Operating Rule Set 456.2

KAP-456.2.1 The Risk Management Department shall review risk-rating files within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-456.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-456.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-456.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-456.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 23 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.6.

KAP-456.2.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/011 and that compliance is certified every quarter.

KAP-456.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-456.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-456.2.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure G-16.

KAP-456.2.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-456.2.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

Section 456.3 Independent Audit - Operating Rule Set 456.3

KAP-456.3.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure D-2.

KAP-456.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-456.3.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-456.3.4 In case of a system outage, the Credit Committee must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure G-24.

KAP-456.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-456.3.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-456.3.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure E-24.

KAP-456.3.8 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-456.3.9 Cases involving risk-rating files with an exposure above Rs. 184 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.26.

KAP-456.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 456.4 Independent Audit - Operating Rule Set 456.4

KAP-456.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-456.4.2 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-456.4.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure B-37.

KAP-456.4.4 The Zonal Head shall review risk-rating files within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-456.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 116 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.7.

KAP-456.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-456.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-456.4.8 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/196 and that compliance is certified every quarter.

KAP-456.4.9 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

PART 39 - CHAPTER 457: CUSTOMER ACCEPTANCE

Section 457.1 Customer Acceptance - Operating Rule Set 457.1

KAP-457.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-457.1.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after

giving the customer 6 days written notice.

KAP-457.1.3 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-19.

KAP-457.1.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure G-12.

KAP-457.1.5 The Operations Head shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Document Management system.

KAP-457.1.6 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-457.1.7 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-457.1.8 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure B-6.

KAP-457.1.9 Cases involving identity documents with an exposure above Rs. 421 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.1.

KAP-457.1.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-457.1.11 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-457.1.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

Section 457.2 Customer Acceptance - Operating Rule Set 457.2

KAP-457.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-457.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 370 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.26.

KAP-457.2.3 The Compliance Officer shall review identity documents within 21 working days of receipt and record the outcome in the Document Management system.

KAP-457.2.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-457.2.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-457.2.6 The Regional Credit Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-457.2.7 Cases involving video-KYC sessions with an exposure above Rs. 238 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.17.

KAP-457.2.8 The Compliance Officer shall review identity documents within 27 working days of receipt and record the outcome in the Risk Engine system.

Section 457.3 Customer Acceptance - Operating Rule Set 457.3

KAP-457.3.1 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/271 and that compliance is certified every quarter.

KAP-457.3.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/128 and that compliance is certified every quarter.

KAP-457.3.3 The Compliance Officer shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-457.3.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-457.3.5 The Risk Management Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Case Management system.

KAP-457.3.6 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-457.3.7 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/218 and that compliance is certified every quarter.

KAP-457.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-457.3.9 Cases involving PEP screening results with an exposure above Rs. 191 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.7.

KAP-457.3.10 The Risk Management Department shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-457.3.11 The Operations Head shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Risk Engine system.

Section 457.4 Customer Acceptance - Operating Rule Set 457.4

KAP-457.4.1 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-457.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-457.4.3 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-457.4.4 The Credit Committee shall review address proofs within 13 working days of receipt and record the outcome in the Document Management system.

KAP-457.4.5 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure F-17.

KAP-457.4.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure E-21.

KAP-457.4.7 Cases involving risk-rating files with an exposure above Rs. 105 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.14.

KAP-457.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

PART 39 - CHAPTER 458: CUSTOMER IDENTIFICATION

Section 458.1 Customer Identification - Operating Rule Set 458.1

KAP-458.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 114 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.15.

KAP-458.1.2 The Zonal Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-458.1.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-38.

KAP-458.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-458.1.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure A-14.

KAP-458.1.6 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/106 and that compliance is certified every quarter.

KAP-458.1.7 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-458.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-458.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-458.1.10 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/194 and that compliance is certified every quarter.

Section 458.2 Customer Identification - Operating Rule Set 458.2

KAP-458.2.1 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures

in Circular KAP/2022/003 and that compliance is certified every quarter.

KAP-458.2.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-458.2.3 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-458.2.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-458.2.5 The Zonal Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-458.2.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/277 and that compliance is certified every quarter.

KAP-458.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-458.2.8 Cases involving cash transaction reports with an exposure above Rs. 199 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.26.

Section 458.3 Customer Identification - Operating Rule Set 458.3

KAP-458.3.1 Cases involving correspondent-bank relationships with an exposure above Rs. 223 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.30.

KAP-458.3.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure A-6.

KAP-458.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-458.3.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure H-15.

KAP-458.3.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure D-25.

KAP-458.3.6 Cases involving identity documents with an exposure above Rs. 156 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.2.

KAP-458.3.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-458.3.8 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/115 and that compliance is certified every quarter.

Section 458.4 Customer Identification - Operating Rule Set 458.4

KAP-458.4.1 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure C-15.

KAP-458.4.2 The Operations Head shall review identity documents within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-458.4.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-458.4.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-458.4.5 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure F-39.

KAP-458.4.6 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure B-15.

KAP-458.4.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-458.4.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/198 and that compliance is certified every quarter.

KAP-458.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-458.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 458.5 Customer Identification - Operating Rule Set 458.5

KAP-458.5.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/139 and that compliance is certified every quarter.

KAP-458.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-458.5.3 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Document Management system.

KAP-458.5.4 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-458.5.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-458.5.6 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-458.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 395 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.8.

KAP-458.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

Section 458.6 Customer Identification - Operating Rule Set 458.6

KAP-458.6.1 The Operations Head shall review risk-rating files within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-458.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-458.6.3 Cases involving address proofs with an exposure above Rs. 166 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.1.

KAP-458.6.4 The Audit Department shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-458.6.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-458.6.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-458.6.7 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure H-14.

KAP-458.6.8 Cases involving identity documents with an exposure above Rs. 170 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.11.

KAP-458.6.9 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

PART 39 - CHAPTER 459: CUSTOMER DUE DILIGENCE

Section 459.1 Customer Due Diligence - Operating Rule Set 459.1

KAP-459.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-459.1.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/024 and that compliance is certified every quarter.

KAP-459.1.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/240 and that compliance is certified every quarter.

KAP-459.1.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/036 and that compliance is certified every quarter.

KAP-459.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 216 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.30.

KAP-459.1.6 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2020/068 and that compliance is certified every quarter.

KAP-459.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-459.1.8 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure H-24.

KAP-459.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-459.1.10 The Credit Committee shall review identity documents within 2 working days of receipt and record the outcome in the Risk Engine system.

Section 459.2 Customer Due Diligence - Operating Rule Set 459.2

KAP-459.2.1 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure B-1.

KAP-459.2.2 In case of a request for exception, the Credit Committee must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure E-34.

KAP-459.2.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-18.

KAP-459.2.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-459.2.5 The Compliance Officer shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Case Management system.

KAP-459.2.6 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure H-30.

KAP-459.2.7 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure A-6.

KAP-459.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 459.3 Customer Due Diligence - Operating Rule Set 459.3

KAP-459.3.1 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/277 and that compliance is certified every quarter.

KAP-459.3.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-459.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 472 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.23.

KAP-459.3.4 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-459.3.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-459.3.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure C-35.

KAP-459.3.7 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-459.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 360 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.9.

KAP-459.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

Section 459.4 Customer Due Diligence - Operating Rule Set 459.4

KAP-459.4.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-459.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-459.4.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the

procedures in Circular KAP/2022/107 and that compliance is certified every quarter.

KAP-459.4.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/156 and that compliance is certified every quarter.

KAP-459.4.5 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/154 and that compliance is certified every quarter.

KAP-459.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-459.4.7 Cases involving PEP screening results with an exposure above Rs. 445 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.7.

KAP-459.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-459.4.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-459.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-459.4.11 Cases involving address proofs with an exposure above Rs. 48 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.16.

Section 459.5 Customer Due Diligence - Operating Rule Set 459.5

KAP-459.5.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/295 and that compliance is certified every quarter.

KAP-459.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-459.5.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-459.5.4 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure A-4.

KAP-459.5.5 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-459.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-459.5.7 Cases involving PEP screening results with an exposure above Rs. 194 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.8.

KAP-459.5.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-459.5.9 The Audit Department shall review identity documents within 29 working days of receipt and record the outcome in the Document Management system.

PART 39 - CHAPTER 460: ENHANCED DUE DILIGENCE

Section 460.1 Enhanced Due Diligence - Operating Rule Set 460.1

KAP-460.1.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/059 and that compliance is certified every quarter.

KAP-460.1.2 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure B-29.

KAP-460.1.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-460.1.4 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-460.1.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure E-34.

KAP-460.1.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-460.1.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after

giving the customer 27 days written notice.

KAP-460.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-460.1.9 The Credit Committee shall review risk-rating files within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-460.1.10 Cases involving video-KYC sessions with an exposure above Rs. 285 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.9.

Section 460.2 Enhanced Due Diligence - Operating Rule Set 460.2

KAP-460.2.1 Cases involving cash transaction reports with an exposure above Rs. 175 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.14.

KAP-460.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-460.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 80 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.30.

KAP-460.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-460.2.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/112 and that compliance is certified every quarter.

KAP-460.2.6 In case of a customer complaint, the Audit Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure A-23.

KAP-460.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-460.2.8 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

KAP-460.2.9 Cases involving account-opening forms with an exposure above Rs. 294 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.12.

KAP-460.2.10 Cases involving account-opening forms with an exposure above Rs. 390 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.29.

KAP-460.2.11 The Audit Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-460.2.12 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/081 and that compliance is certified every quarter.

KAP-460.2.13 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/117 and that compliance is certified every quarter.

Section 460.3 Enhanced Due Diligence - Operating Rule Set 460.3

KAP-460.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-460.3.2 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-460.3.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-460.3.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-460.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-460.3.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/044 and that compliance is certified every quarter.

KAP-460.3.7 The Credit Committee shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-460.3.8 Cases involving video-KYC sessions with an exposure above Rs. 264 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.29.

KAP-460.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-460.3.10 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 460.4 Enhanced Due Diligence - Operating Rule Set 460.4

KAP-460.4.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/075 and that compliance is certified every quarter.

KAP-460.4.2 Cases involving address proofs with an exposure above Rs. 112 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.3.

KAP-460.4.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-460.4.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure H-38.

KAP-460.4.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-460.4.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-460.4.7 The Audit Department shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-460.4.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure B-24.

KAP-460.4.9 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

KAP-460.4.10 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/078 and that compliance is certified every quarter.

KAP-460.4.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

Section 460.5 Enhanced Due Diligence - Operating Rule Set 460.5

KAP-460.5.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-460.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-460.5.3 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Case Management system.

KAP-460.5.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-460.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-460.5.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-460.5.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-460.5.8 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-460.5.9 Cases involving video-KYC sessions with an exposure above Rs. 275 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.14.

KAP-460.5.10 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-460.5.11 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

PART 39 - CHAPTER 461: RISK CATEGORISATION

Section 461.1 Risk Categorisation - Operating Rule Set 461.1

KAP-461.1.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-461.1.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure G-40.

KAP-461.1.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-461.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-461.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-461.1.6 Cases involving address proofs with an exposure above Rs. 39 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.1.

KAP-461.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 59 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.9.

KAP-461.1.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-461.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 461.2 Risk Categorisation - Operating Rule Set 461.2

KAP-461.2.1 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure D-21.

KAP-461.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-461.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-461.2.4 The Credit Committee shall review account-opening forms within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-461.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-461.2.6 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-461.2.7 The Zonal Head shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-461.2.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-461.2.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure A-40.

KAP-461.2.10 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/151 and that compliance is certified every quarter.

KAP-461.2.11 Cases involving correspondent-bank relationships with an exposure above Rs. 93 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.2.

Section 461.3 Risk Categorisation - Operating Rule Set 461.3

KAP-461.3.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-461.3.2 Cases involving PEP screening results with an exposure above Rs. 16 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.7.

KAP-461.3.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-461.3.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-461.3.5 The Audit Department shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Document Management system.

KAP-461.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-461.3.7 Cases involving PEP screening results with an exposure above Rs. 333 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.4.

KAP-461.3.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-461.3.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-461.3.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-461.3.11 The Audit Department shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Risk Engine system.

Section 461.4 Risk Categorisation - Operating Rule Set 461.4

KAP-461.4.1 The Audit Department shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-461.4.2 Cases involving video-KYC sessions with an exposure above Rs. 249 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.14.

KAP-461.4.3 The Operations Head shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-461.4.4 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-461.4.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-461.4.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure E-30.

KAP-461.4.7 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure H-2.

KAP-461.4.8 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-461.4.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 461.5 Risk Categorisation - Operating Rule Set 461.5

KAP-461.5.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-461.5.2 The Credit Committee shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-461.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-461.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-461.5.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-461.5.6 Cases involving PEP screening results with an exposure above Rs. 168 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.24.

KAP-461.5.7 Cases involving account-opening forms with an exposure above Rs. 261 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.5.

KAP-461.5.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-461.5.9 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 11

working days, with the supporting documents listed in Annexure C-19.

Section 461.6 Risk Categorisation - Operating Rule Set 461.6

KAP-461.6.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-461.6.2 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure H-31.

KAP-461.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-461.6.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-461.6.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-461.6.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-461.6.7 The Compliance Officer shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-461.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-461.6.9 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-461.6.10 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

PART 39 - CHAPTER 462: TRANSACTION MONITORING

Section 462.1 Transaction Monitoring - Operating Rule Set 462.1

KAP-462.1.1 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-462.1.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/117 and that compliance is certified every quarter.

KAP-462.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 295 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.19.

KAP-462.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-462.1.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-462.1.6 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-462.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-462.1.8 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-462.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-462.1.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 279 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.24.

KAP-462.1.11 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-462.1.12 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 14 days written notice.

Section 462.2 Transaction Monitoring - Operating Rule Set 462.2

KAP-462.2.1 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-462.2.2 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-462.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-462.2.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/125 and that compliance is certified every quarter.

KAP-462.2.5 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-462.2.6 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure H-19.

KAP-462.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-462.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-462.2.9 The Operations Head shall review identity documents within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-462.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-462.2.11 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-4.

KAP-462.2.12 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure A-29.

KAP-462.2.13 The Branch Manager shall review address proofs within 13 working days of receipt and record the outcome in the Risk Engine system.

Section 462.3 Transaction Monitoring - Operating Rule Set 462.3

KAP-462.3.1 The Compliance Officer shall review identity documents within 24 working days of receipt and record the outcome in the Document Management system.

KAP-462.3.2 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure G-21.

KAP-462.3.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-462.3.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure G-6.

KAP-462.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-462.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-462.3.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-462.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-462.3.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-462.3.10 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure D-21.

Section 462.4 Transaction Monitoring - Operating Rule Set 462.4

KAP-462.4.1 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure C-11.

KAP-462.4.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/117 and that compliance is certified every quarter.

KAP-462.4.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the

procedures in Circular KAP/2024/182 and that compliance is certified every quarter.

KAP-462.4.4 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-462.4.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-462.4.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-462.4.7 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/137 and that compliance is certified every quarter.

KAP-462.4.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/179 and that compliance is certified every quarter.

KAP-462.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 17 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.26.

KAP-462.4.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

PART 39 - CHAPTER 463: SUSPICIOUS TRANSACTION REPORTING

Section 463.1 Suspicious Transaction Reporting - Operating Rule Set 463.1

KAP-463.1.1 The Credit Committee shall review identity documents within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-463.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-463.1.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure H-13.

KAP-463.1.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/251 and that compliance is certified every quarter.

KAP-463.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 126 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.20.

KAP-463.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-463.1.7 Cases involving address proofs with an exposure above Rs. 96 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.18.

KAP-463.1.8 Cases involving PEP screening results with an exposure above Rs. 400 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.30.

KAP-463.1.9 The Risk Management Department shall review account-opening forms within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-463.1.10 Cases involving identity documents with an exposure above Rs. 368 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.22.

Section 463.2 Suspicious Transaction Reporting - Operating Rule Set 463.2

KAP-463.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-463.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-463.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-463.2.4 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-463.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-463.2.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure C-16.

KAP-463.2.7 The Audit Department shall review correspondent-bank relationships within 12 working days of receipt and

record the outcome in the Customer Relationship system.

KAP-463.2.8 The Risk Management Department shall review address proofs within 10 working days of receipt and record the outcome in the Document Management system.

KAP-463.2.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 30 working days, with the supporting documents listed in Annexure G-7.

KAP-463.2.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-463.2.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

Section 463.3 Suspicious Transaction Reporting - Operating Rule Set 463.3

KAP-463.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-463.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-463.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-463.3.4 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-463.3.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-463.3.6 Cases involving account-opening forms with an exposure above Rs. 228 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.20.

KAP-463.3.7 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure D-6.

KAP-463.3.8 Cases involving cash transaction reports with an exposure above Rs. 174 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.28.

KAP-463.3.9 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure E-27.

KAP-463.3.10 The Credit Committee shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Case Management system.

KAP-463.3.11 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 463.4 Suspicious Transaction Reporting - Operating Rule Set 463.4

KAP-463.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-463.4.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/207 and that compliance is certified every quarter.

KAP-463.4.3 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-463.4.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-463.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 155 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.26.

KAP-463.4.6 The Branch Manager shall review account-opening forms within 13 working days of receipt and record the outcome in the Case Management system.

KAP-463.4.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/260 and that compliance is certified every quarter.

KAP-463.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-463.4.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-463.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

Section 463.5 Suspicious Transaction Reporting - Operating Rule Set 463.5

KAP-463.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-463.5.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/076 and that compliance is certified every quarter.

KAP-463.5.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-463.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-463.5.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-463.5.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-4.

KAP-463.5.7 The Operations Head shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-463.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-463.5.9 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/118 and that compliance is certified every quarter.

PART 39 - CHAPTER 464: POLITICALLY EXPOSED PERSONS

Section 464.1 Politically Exposed Persons - Operating Rule Set 464.1

KAP-464.1.1 The Branch Manager shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-464.1.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-464.1.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-464.1.4 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/019 and that compliance is certified every quarter.

KAP-464.1.5 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/209 and that compliance is certified every quarter.

KAP-464.1.6 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/272 and that compliance is certified every quarter.

KAP-464.1.7 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-464.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-464.1.9 Cases involving video-KYC sessions with an exposure above Rs. 470 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.14.

KAP-464.1.10 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-464.1.11 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure E-1.

Section 464.2 Politically Exposed Persons - Operating Rule Set 464.2

KAP-464.2.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/170 and that compliance is certified every quarter.

KAP-464.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-464.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 3th day

of the following month.

KAP-464.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-464.2.5 The Credit Committee shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-464.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-464.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 301 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.6.

KAP-464.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-464.2.9 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 464.3 Politically Exposed Persons - Operating Rule Set 464.3

KAP-464.3.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-464.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-464.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-464.3.4 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-464.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-464.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-464.3.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-464.3.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-464.3.9 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-464.3.10 The Risk Management Department shall review PEP screening results within 17 working days of receipt and record the outcome in the Loan Origination system.

Section 464.4 Politically Exposed Persons - Operating Rule Set 464.4

KAP-464.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-464.4.2 Cases involving video-KYC sessions with an exposure above Rs. 130 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.3.

KAP-464.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-464.4.4 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-464.4.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure H-35.

KAP-464.4.6 Cases involving correspondent-bank relationships with an exposure above Rs. 309 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.24.

KAP-464.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-464.4.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-464.4.9 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure H-12.

KAP-464.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-464.4.11 The Compliance Officer shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Case Management system.

KAP-464.4.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

Section 464.5 Politically Exposed Persons - Operating Rule Set 464.5

KAP-464.5.1 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-464.5.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure A-11.

KAP-464.5.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-464.5.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-464.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-464.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-464.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-464.5.8 The Regional Credit Officer shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Document Management system.

KAP-464.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure F-6.

KAP-464.5.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure E-2.

KAP-464.5.11 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/198 and that compliance is certified every quarter.

PART 39 - CHAPTER 465: BENEFICIAL OWNERSHIP

Section 465.1 Beneficial Ownership - Operating Rule Set 465.1

KAP-465.1.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure A-3.

KAP-465.1.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/122 and that compliance is certified every quarter.

KAP-465.1.3 The Risk Management Department shall review risk-rating files within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-465.1.4 The Branch Manager shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-465.1.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/278 and that compliance is certified every quarter.

KAP-465.1.6 Cases involving PEP screening results with an exposure above Rs. 223 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.19.

KAP-465.1.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/007 and that compliance is certified every quarter.

KAP-465.1.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-465.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-465.1.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure F-38.

Section 465.2 Beneficial Ownership - Operating Rule Set 465.2

KAP-465.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 259 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.20.

KAP-465.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-465.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-465.2.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-465.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-465.2.6 The Risk Management Department shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-465.2.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-465.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 465.3 Beneficial Ownership - Operating Rule Set 465.3

KAP-465.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-465.3.2 The Operations Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-465.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-465.3.4 Cases involving address proofs with an exposure above Rs. 384 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.2.

KAP-465.3.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/286 and that compliance is certified every quarter.

KAP-465.3.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-465.3.7 Cases involving cash transaction reports with an exposure above Rs. 152 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.3.

KAP-465.3.8 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-465.3.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-465.3.10 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-465.3.11 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure H-29.

Section 465.4 Beneficial Ownership - Operating Rule Set 465.4

KAP-465.4.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-465.4.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/090 and that compliance is certified every quarter.

KAP-465.4.3 The Credit Committee shall review risk-rating files within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-465.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 355 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.25.

KAP-465.4.5 Cases involving identity documents with an exposure above Rs. 375 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.29.

KAP-465.4.6 Cases involving address proofs with an exposure above Rs. 188 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.9.

KAP-465.4.7 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure A-28.

KAP-465.4.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/057 and that compliance is certified every quarter.

KAP-465.4.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-2.

Section 465.5 Beneficial Ownership - Operating Rule Set 465.5

KAP-465.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-465.5.2 The Compliance Officer shall review identity documents within 25 working days of receipt and record the outcome in the Case Management system.

KAP-465.5.3 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-465.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-465.5.5 Cases involving address proofs with an exposure above Rs. 497 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.4.

KAP-465.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-465.5.7 Cases involving identity documents with an exposure above Rs. 48 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.11.

KAP-465.5.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

PART 39 - CHAPTER 466: RECORD KEEPING

Section 466.1 Record Keeping - Operating Rule Set 466.1

KAP-466.1.1 Cases involving PEP screening results with an exposure above Rs. 354 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.15.

KAP-466.1.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/299 and that compliance is certified every quarter.

KAP-466.1.3 Cases involving cash transaction reports with an exposure above Rs. 108 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.11.

KAP-466.1.4 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/009 and that compliance is certified every quarter.

KAP-466.1.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-466.1.6 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/132 and that compliance is certified every quarter.

KAP-466.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-466.1.8 Cases involving cash transaction reports with an exposure above Rs. 447 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.9.

KAP-466.1.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 26 days written notice.

Section 466.2 Record Keeping - Operating Rule Set 466.2

KAP-466.2.1 The Branch Manager shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-466.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Compliance Officer by the 4th day of the following month.

KAP-466.2.3 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/246 and that compliance is certified every quarter.

KAP-466.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-466.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-466.2.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/180 and that compliance is certified every quarter.

KAP-466.2.7 For individual customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-466.2.8 The Credit Committee shall review cash transaction reports within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-466.2.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-466.2.10 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-466.2.11 The Operations Head shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Case Management system.

Section 466.3 Record Keeping - Operating Rule Set 466.3

KAP-466.3.1 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/051 and that compliance is certified every quarter.

KAP-466.3.2 Cases involving video-KYC sessions with an exposure above Rs. 29 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.11.

KAP-466.3.3 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-466.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-466.3.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-466.3.6 The Branch Manager shall review risk-rating files within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-466.3.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-466.3.8 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure D-22.

KAP-466.3.9 Cases involving video-KYC sessions with an exposure above Rs. 186 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.5.

KAP-466.3.10 The Branch Manager shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Core Banking system.

Section 466.4 Record Keeping - Operating Rule Set 466.4

KAP-466.4.1 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-466.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-466.4.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure C-28.

KAP-466.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-466.4.5 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/285 and that compliance is certified every quarter.

KAP-466.4.6 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/003 and that compliance is certified every quarter.

KAP-466.4.7 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-466.4.8 The Zonal Head shall review account-opening forms within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-466.4.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure C-1.

Section 466.5 Record Keeping - Operating Rule Set 466.5

KAP-466.5.1 Cases involving identity documents with an exposure above Rs. 163 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.30.

KAP-466.5.2 Cases involving identity documents with an exposure above Rs. 198 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.19.

KAP-466.5.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-466.5.4 Cases involving video-KYC sessions with an exposure above Rs. 275 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.3.

KAP-466.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-466.5.6 The Audit Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-466.5.7 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/003 and that compliance is certified every quarter.

KAP-466.5.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/122 and that compliance is certified every quarter.

KAP-466.5.9 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-466.5.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

PART 39 - CHAPTER 467: STAFF TRAINING

Section 467.1 Staff Training - Operating Rule Set 467.1

KAP-467.1.1 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-467.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-467.1.3 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/214 and that compliance is certified every quarter.

KAP-467.1.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/081 and that compliance is certified every quarter.

KAP-467.1.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-467.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-467.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-467.1.8 Cases involving video-KYC sessions with an exposure above Rs. 429 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.9.

KAP-467.1.9 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/113 and that compliance is certified every quarter.

Section 467.2 Staff Training - Operating Rule Set 467.2

KAP-467.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch

Manager by the 5th day of the following month.

KAP-467.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-467.2.3 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure F-31.

KAP-467.2.4 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure A-1.

KAP-467.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 369 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.21.

KAP-467.2.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-467.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-467.2.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-467.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 437 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.14.

KAP-467.2.10 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-467.2.11 Cases involving beneficial-owner declarations with an exposure above Rs. 360 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.18.

Section 467.3 Staff Training - Operating Rule Set 467.3

KAP-467.3.1 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure H-26.

KAP-467.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-467.3.3 The Regional Credit Officer shall review identity documents within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-467.3.4 The Credit Committee shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-467.3.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure B-40.

KAP-467.3.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure F-16.

KAP-467.3.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure H-1.

KAP-467.3.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure C-19.

KAP-467.3.9 The Regional Credit Officer shall review account-opening forms within 17 working days of receipt and record the outcome in the Customer Relationship system.

Section 467.4 Staff Training - Operating Rule Set 467.4

KAP-467.4.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure G-20.

KAP-467.4.2 Cases involving address proofs with an exposure above Rs. 186 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.6.

KAP-467.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-467.4.4 Cases involving address proofs with an exposure above Rs. 14 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.15.

KAP-467.4.5 Cases involving cash transaction reports with an exposure above Rs. 185 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.28.

KAP-467.4.6 The Audit Department shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-467.4.7 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-467.4.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-467.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/161 and that compliance is certified every quarter.

Section 467.5 Staff Training - Operating Rule Set 467.5

KAP-467.5.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-467.5.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure A-24.

KAP-467.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 134 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.16.

KAP-467.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-467.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-467.5.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-467.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-467.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-467.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

PART 39 - CHAPTER 468: INDEPENDENT AUDIT

Section 468.1 Independent Audit - Operating Rule Set 468.1

KAP-468.1.1 Cases involving correspondent-bank relationships with an exposure above Rs. 142 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.13.

KAP-468.1.2 Cases involving correspondent-bank relationships with an exposure above Rs. 480 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.17.

KAP-468.1.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure G-26.

KAP-468.1.4 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure B-10.

KAP-468.1.5 The Zonal Head shall review address proofs within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-468.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-468.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-468.1.8 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure B-27.

KAP-468.1.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

Section 468.2 Independent Audit - Operating Rule Set 468.2

KAP-468.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-468.2.2 Cases involving risk-rating files with an exposure above Rs. 401 lakh require prior written approval from the

Branch Manager; otherwise the case is an exception under Clause 6.11.

KAP-468.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-468.2.4 Cases involving PEP screening results with an exposure above Rs. 37 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.22.

KAP-468.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-468.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-468.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 318 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.24.

KAP-468.2.8 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/164 and that compliance is certified every quarter.

KAP-468.2.9 In case of a regulatory query, the Zonal Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure E-20.

KAP-468.2.10 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure D-8.

KAP-468.2.11 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/220 and that compliance is certified every quarter.

Section 468.3 Independent Audit - Operating Rule Set 468.3

KAP-468.3.1 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-468.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-468.3.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure G-22.

KAP-468.3.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/178 and that compliance is certified every quarter.

KAP-468.3.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-468.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-468.3.7 The Audit Department shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-468.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-468.3.9 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-468.3.10 The Credit Committee shall review identity documents within 11 working days of receipt and record the outcome in the Core Banking system.

Section 468.4 Independent Audit - Operating Rule Set 468.4

KAP-468.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-468.4.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-468.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-468.4.4 Cases involving account-opening forms with an exposure above Rs. 138 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.11.

KAP-468.4.5 The Zonal Head shall review cash transaction reports within 23 working days of receipt and record the outcome in the Document Management system.

KAP-468.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 185 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.10.

KAP-468.4.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure G-9.

KAP-468.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-468.4.9 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/155 and that compliance is certified every quarter.

KAP-468.4.10 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/160 and that compliance is certified every quarter.

KAP-468.4.11 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 468.5 Independent Audit - Operating Rule Set 468.5

KAP-468.5.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-468.5.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-468.5.3 The Operations Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Document Management system.

KAP-468.5.4 The Audit Department shall review identity documents within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-468.5.5 Cases involving account-opening forms with an exposure above Rs. 228 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.21.

KAP-468.5.6 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-468.5.7 The Branch Manager shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-468.5.8 The Branch Manager shall review account-opening forms within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-468.5.9 The Zonal Head shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-468.5.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-468.5.11 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure F-30.

KAP-468.5.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-468.5.13 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-468.5.14 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure H-4.

PART 40 - CHAPTER 469: CUSTOMER ACCEPTANCE

Section 469.1 Customer Acceptance - Operating Rule Set 469.1

KAP-469.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 306 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.21.

KAP-469.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-469.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-469.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 357 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.19.

KAP-469.1.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/128 and that compliance is certified every quarter.

KAP-469.1.6 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-469.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-469.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-469.1.9 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-469.1.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 469.2 Customer Acceptance - Operating Rule Set 469.2

KAP-469.2.1 Cases involving risk-rating files with an exposure above Rs. 495 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.11.

KAP-469.2.2 Cases involving address proofs with an exposure above Rs. 39 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.2.

KAP-469.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-469.2.4 The Risk Management Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Case Management system.

KAP-469.2.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-469.2.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-469.2.7 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-469.2.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-469.2.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 469.3 Customer Acceptance - Operating Rule Set 469.3

KAP-469.3.1 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure C-4.

KAP-469.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-469.3.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-469.3.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-469.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-469.3.6 Cases involving cash transaction reports with an exposure above Rs. 46 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.12.

KAP-469.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-469.3.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-469.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

Section 469.4 Customer Acceptance - Operating Rule Set 469.4

KAP-469.4.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure C-35.

KAP-469.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-469.4.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-469.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-469.4.5 Cases involving risk-rating files with an exposure above Rs. 377 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.3.

KAP-469.4.6 The Branch Manager shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Document Management system.

KAP-469.4.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure C-7.

KAP-469.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-469.4.9 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure E-7.

KAP-469.4.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-469.4.11 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/239 and that compliance is certified every quarter.

KAP-469.4.12 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/171 and that compliance is certified every quarter.

PART 40 - CHAPTER 470: CUSTOMER IDENTIFICATION

Section 470.1 Customer Identification - Operating Rule Set 470.1

KAP-470.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-470.1.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-470.1.3 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/225 and that compliance is certified every quarter.

KAP-470.1.4 The Branch Manager shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Document Management system.

KAP-470.1.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-470.1.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-470.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-470.1.8 For individual customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-470.1.9 The Credit Committee shall review account-opening forms within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-470.1.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

Section 470.2 Customer Identification - Operating Rule Set 470.2

KAP-470.2.1 The Operations Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-470.2.2 The Risk Management Department shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-470.2.3 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/291 and that compliance is certified every quarter.

KAP-470.2.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/142 and that compliance is certified every quarter.

KAP-470.2.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-15.

KAP-470.2.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure C-35.

KAP-470.2.7 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure C-34.

KAP-470.2.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-470.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 173 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.12.

Section 470.3 Customer Identification - Operating Rule Set 470.3

KAP-470.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-470.3.2 The Audit Department shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-470.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-470.3.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-470.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-470.3.6 Cases involving video-KYC sessions with an exposure above Rs. 248 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.11.

KAP-470.3.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/230 and that compliance is certified every quarter.

KAP-470.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-470.3.9 Cases involving risk-rating files with an exposure above Rs. 24 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.3.

KAP-470.3.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

Section 470.4 Customer Identification - Operating Rule Set 470.4

KAP-470.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-470.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-470.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-470.4.4 The Credit Committee shall review account-opening forms within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-470.4.5 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/076 and that compliance is certified every quarter.

KAP-470.4.6 Cases involving account-opening forms with an exposure above Rs. 217 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.30.

KAP-470.4.7 Cases involving risk-rating files with an exposure above Rs. 269 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.28.

KAP-470.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4

and be made available to the regulator on request.

KAP-470.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-470.4.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-470.4.11 Cases involving risk-rating files with an exposure above Rs. 424 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

Section 470.5 Customer Identification - Operating Rule Set 470.5

KAP-470.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-470.5.2 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-470.5.3 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/287 and that compliance is certified every quarter.

KAP-470.5.4 Cases involving account-opening forms with an exposure above Rs. 405 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.18.

KAP-470.5.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/018 and that compliance is certified every quarter.

KAP-470.5.6 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure A-33.

KAP-470.5.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/221 and that compliance is certified every quarter.

KAP-470.5.8 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/059 and that compliance is certified every quarter.

KAP-470.5.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-470.5.10 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure B-17.

KAP-470.5.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-470.5.12 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 470.6 Customer Identification - Operating Rule Set 470.6

KAP-470.6.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-470.6.2 The Branch Manager shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Document Management system.

KAP-470.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-470.6.4 The Audit Department shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-470.6.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/065 and that compliance is certified every quarter.

KAP-470.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-470.6.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-470.6.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-470.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

Section 470.7 Customer Identification - Operating Rule Set 470.7

KAP-470.7.1 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-470.7.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/258 and that compliance is certified every quarter.

KAP-470.7.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-470.7.4 Cases involving risk-rating files with an exposure above Rs. 234 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.9.

KAP-470.7.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-470.7.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure C-37.

KAP-470.7.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-470.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

PART 40 - CHAPTER 471: CUSTOMER DUE DILIGENCE

Section 471.1 Customer Due Diligence - Operating Rule Set 471.1

KAP-471.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 52 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.15.

KAP-471.1.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/100 and that compliance is certified every quarter.

KAP-471.1.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-471.1.4 Cases involving PEP screening results with an exposure above Rs. 144 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.12.

KAP-471.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-471.1.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/060 and that compliance is certified every quarter.

KAP-471.1.7 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-471.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-471.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-471.1.10 Cases involving video-KYC sessions with an exposure above Rs. 47 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.10.

KAP-471.1.11 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-471.1.12 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure D-14.

KAP-471.1.13 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

Section 471.2 Customer Due Diligence - Operating Rule Set 471.2

KAP-471.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-471.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-471.2.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after

giving the customer 13 days written notice.

KAP-471.2.4 Cases involving address proofs with an exposure above Rs. 331 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.17.

KAP-471.2.5 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure F-19.

KAP-471.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-471.2.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-471.2.8 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/107 and that compliance is certified every quarter.

KAP-471.2.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure G-15.

Section 471.3 Customer Due Diligence - Operating Rule Set 471.3

KAP-471.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-471.3.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure G-38.

KAP-471.3.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/245 and that compliance is certified every quarter.

KAP-471.3.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-471.3.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-471.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 466 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.8.

KAP-471.3.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-471.3.8 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure E-39.

KAP-471.3.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-471.3.10 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/039 and that compliance is certified every quarter.

KAP-471.3.11 Cases involving account-opening forms with an exposure above Rs. 355 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.12.

KAP-471.3.12 The Audit Department shall review PEP screening results within 22 working days of receipt and record the outcome in the Case Management system.

Section 471.4 Customer Due Diligence - Operating Rule Set 471.4

KAP-471.4.1 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure A-3.

KAP-471.4.2 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure C-23.

KAP-471.4.3 The Branch Manager shall review PEP screening results within 16 working days of receipt and record the outcome in the Case Management system.

KAP-471.4.4 Cases involving address proofs with an exposure above Rs. 104 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.30.

KAP-471.4.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure C-29.

KAP-471.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-471.4.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/209 and that compliance is certified every quarter.

KAP-471.4.8 Cases involving risk-rating files with an exposure above Rs. 366 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.10.

KAP-471.4.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-471.4.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-471.4.11 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure B-12.

KAP-471.4.12 The Operations Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

Section 471.5 Customer Due Diligence - Operating Rule Set 471.5

KAP-471.5.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/096 and that compliance is certified every quarter.

KAP-471.5.2 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-471.5.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-471.5.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/169 and that compliance is certified every quarter.

KAP-471.5.5 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-471.5.6 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-471.5.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-471.5.8 Cases involving video-KYC sessions with an exposure above Rs. 495 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.17.

KAP-471.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure D-28.

Section 471.6 Customer Due Diligence - Operating Rule Set 471.6

KAP-471.6.1 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-471.6.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-471.6.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-471.6.4 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-2.

KAP-471.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-471.6.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure A-17.

KAP-471.6.7 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/023 and that compliance is certified every quarter.

KAP-471.6.8 The Zonal Head shall review account-opening forms within 9 working days of receipt and record the outcome in the Document Management system.

KAP-471.6.9 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/107 and that compliance is certified every quarter.

Section 471.7 Customer Due Diligence - Operating Rule Set 471.7

KAP-471.7.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 416 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.12.

KAP-471.7.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-471.7.3 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-471.7.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/272 and that compliance is certified every quarter.

KAP-471.7.5 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-471.7.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-471.7.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-471.7.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-471.7.9 Cases involving beneficial-owner declarations with an exposure above Rs. 371 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.18.

KAP-471.7.10 Cases involving risk-rating files with an exposure above Rs. 170 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.13.

KAP-471.7.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

PART 40 - CHAPTER 472: ENHANCED DUE DILIGENCE

Section 472.1 Enhanced Due Diligence - Operating Rule Set 472.1

KAP-472.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-472.1.2 The Zonal Head shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-472.1.3 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-472.1.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/200 and that compliance is certified every quarter.

KAP-472.1.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-472.1.6 The Operations Head shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-472.1.7 In case of a request for exception, the Branch Manager must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure E-28.

KAP-472.1.8 The Branch Manager shall review identity documents within 14 working days of receipt and record the outcome in the Case Management system.

KAP-472.1.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-472.1.10 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-472.1.11 Cases involving PEP screening results with an exposure above Rs. 483 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.15.

Section 472.2 Enhanced Due Diligence - Operating Rule Set 472.2

KAP-472.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-472.2.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure D-12.

KAP-472.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-472.2.4 Cases involving correspondent-bank relationships with an exposure above Rs. 486 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.19.

KAP-472.2.5 Cases involving video-KYC sessions with an exposure above Rs. 287 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.22.

KAP-472.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-472.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-472.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-472.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 53 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.29.

KAP-472.2.10 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure D-38.

KAP-472.2.11 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-472.2.12 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure F-5.

KAP-472.2.13 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/065 and that compliance is certified every quarter.

Section 472.3 Enhanced Due Diligence - Operating Rule Set 472.3

KAP-472.3.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-472.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-472.3.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-472.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 162 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.12.

KAP-472.3.5 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-472.3.6 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-472.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 491 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.20.

KAP-472.3.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-472.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-472.3.10 The Risk Management Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-472.3.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 98 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.19.

Section 472.4 Enhanced Due Diligence - Operating Rule Set 472.4

KAP-472.4.1 Cases involving cash transaction reports with an exposure above Rs. 152 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.21.

KAP-472.4.2 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-472.4.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the

12th day of the following month.

KAP-472.4.4 The Audit Department shall review risk-rating files within 12 working days of receipt and record the outcome in the Core Banking system.

KAP-472.4.5 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/101 and that compliance is certified every quarter.

KAP-472.4.6 The Audit Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-472.4.7 The Regional Credit Officer shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-472.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 472.5 Enhanced Due Diligence - Operating Rule Set 472.5

KAP-472.5.1 The Operations Head shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-472.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-472.5.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure C-4.

KAP-472.5.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-472.5.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/007 and that compliance is certified every quarter.

KAP-472.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-472.5.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-472.5.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-472.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 472.6 Enhanced Due Diligence - Operating Rule Set 472.6

KAP-472.6.1 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-472.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-472.6.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-472.6.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-472.6.5 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-472.6.6 The Operations Head shall review risk-rating files within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-472.6.7 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-472.6.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/225 and that compliance is certified every quarter.

Section 472.7 Enhanced Due Diligence - Operating Rule Set 472.7

KAP-472.7.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure H-33.

KAP-472.7.2 The Regional Credit Officer shall review video-KYC sessions within 11 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-472.7.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-472.7.4 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/175 and that compliance is certified every quarter.

KAP-472.7.5 The Compliance Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Case Management system.

KAP-472.7.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-472.7.7 Cases involving account-opening forms with an exposure above Rs. 44 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.25.

KAP-472.7.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-472.7.9 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure A-23.

KAP-472.7.10 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure H-19.

PART 40 - CHAPTER 473: RISK CATEGORISATION

Section 473.1 Risk Categorisation - Operating Rule Set 473.1

KAP-473.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-473.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-473.1.3 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure F-33.

KAP-473.1.4 The Operations Head shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-473.1.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-473.1.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-473.1.7 The Zonal Head shall review address proofs within 5 working days of receipt and record the outcome in the Case Management system.

KAP-473.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-473.1.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-473.1.10 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 473.2 Risk Categorisation - Operating Rule Set 473.2

KAP-473.2.1 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-473.2.2 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-473.2.3 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/141 and that compliance is certified every quarter.

KAP-473.2.4 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-473.2.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-473.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11

and be made available to internal auditors on request.

KAP-473.2.7 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure A-18.

KAP-473.2.8 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 473.3 Risk Categorisation - Operating Rule Set 473.3

KAP-473.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-473.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-473.3.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/059 and that compliance is certified every quarter.

KAP-473.3.4 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-473.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-473.3.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-473.3.7 The Audit Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-473.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-473.3.9 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 473.4 Risk Categorisation - Operating Rule Set 473.4

KAP-473.4.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-473.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-473.4.3 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-473.4.4 Cases involving PEP screening results with an exposure above Rs. 473 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.11.

KAP-473.4.5 The Risk Management Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-473.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-473.4.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-473.4.8 The Risk Management Department shall review PEP screening results within 7 working days of receipt and record the outcome in the Case Management system.

KAP-473.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-473.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 473.5 Risk Categorisation - Operating Rule Set 473.5

KAP-473.5.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-473.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-473.5.3 Cases involving address proofs with an exposure above Rs. 241 lakh require prior written approval from the

Audit Department; otherwise the case is an exception under Clause 20.7.

KAP-473.5.4 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-473.5.5 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure D-33.

KAP-473.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 410 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.8.

KAP-473.5.7 Cases involving risk-rating files with an exposure above Rs. 281 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.6.

KAP-473.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 473.6 Risk Categorisation - Operating Rule Set 473.6

KAP-473.6.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/146 and that compliance is certified every quarter.

KAP-473.6.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-473.6.3 The Compliance Officer shall review address proofs within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-473.6.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-473.6.5 Cases involving identity documents with an exposure above Rs. 216 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.6.

KAP-473.6.6 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-473.6.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-473.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-473.6.9 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-473.6.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-473.6.11 The Operations Head shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Customer Relationship system.

Section 473.7 Risk Categorisation - Operating Rule Set 473.7

KAP-473.7.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-473.7.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/035 and that compliance is certified every quarter.

KAP-473.7.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-473.7.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-473.7.5 The Zonal Head shall review account-opening forms within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-473.7.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-473.7.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-473.7.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-473.7.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure B-10.

PART 40 - CHAPTER 474: TRANSACTION MONITORING

Section 474.1 Transaction Monitoring - Operating Rule Set 474.1

KAP-474.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-474.1.2 Cases involving cash transaction reports with an exposure above Rs. 206 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.30.

KAP-474.1.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-474.1.4 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/253 and that compliance is certified every quarter.

KAP-474.1.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-474.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-474.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 495 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.20.

KAP-474.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 474.2 Transaction Monitoring - Operating Rule Set 474.2

KAP-474.2.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-474.2.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-474.2.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/270 and that compliance is certified every quarter.

KAP-474.2.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure C-31.

KAP-474.2.5 The Regional Credit Officer shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-474.2.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure B-11.

KAP-474.2.7 The Risk Management Department shall review identity documents within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-474.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-474.2.9 Cases involving cash transaction reports with an exposure above Rs. 186 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.27.

Section 474.3 Transaction Monitoring - Operating Rule Set 474.3

KAP-474.3.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-474.3.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-474.3.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-474.3.4 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure C-14.

KAP-474.3.5 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-474.3.6 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular

KAP/2024/023 and that compliance is certified every quarter.

KAP-474.3.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-474.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-474.3.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 474.4 Transaction Monitoring - Operating Rule Set 474.4

KAP-474.4.1 The Operations Head shall review PEP screening results within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-474.4.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-474.4.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-474.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-474.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-474.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-474.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-474.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 453 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.18.

KAP-474.4.9 The Operations Head shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-474.4.10 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure B-29.

KAP-474.4.11 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/258 and that compliance is certified every quarter.

Section 474.5 Transaction Monitoring - Operating Rule Set 474.5

KAP-474.5.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-474.5.2 Cases involving beneficial-owner declarations with an exposure above Rs. 102 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.16.

KAP-474.5.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-474.5.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-474.5.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-474.5.6 Cases involving beneficial-owner declarations with an exposure above Rs. 167 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.5.

KAP-474.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-474.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-474.5.9 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-474.5.10 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-14.

PART 40 - CHAPTER 475: SUSPICIOUS TRANSACTION REPORTING

Section 475.1 Suspicious Transaction Reporting - Operating Rule Set 475.1

KAP-475.1.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-475.1.2 Cases involving address proofs with an exposure above Rs. 317 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.1.

KAP-475.1.3 Cases involving address proofs with an exposure above Rs. 185 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.20.

KAP-475.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-475.1.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-475.1.6 The Operations Head shall review cash transaction reports within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-475.1.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/162 and that compliance is certified every quarter.

KAP-475.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 475.2 Suspicious Transaction Reporting - Operating Rule Set 475.2

KAP-475.2.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-475.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-475.2.3 Cases involving account-opening forms with an exposure above Rs. 94 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.6.

KAP-475.2.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-475.2.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-13.

KAP-475.2.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-475.2.7 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure B-30.

KAP-475.2.8 The Operations Head shall review account-opening forms within 15 working days of receipt and record the outcome in the Document Management system.

KAP-475.2.9 The Audit Department shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Document Management system.

KAP-475.2.10 Cases involving risk-rating files with an exposure above Rs. 227 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.12.

KAP-475.2.11 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure E-34.

KAP-475.2.12 Cases involving video-KYC sessions with an exposure above Rs. 484 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.17.

Section 475.3 Suspicious Transaction Reporting - Operating Rule Set 475.3

KAP-475.3.1 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/230 and that compliance is certified every quarter.

KAP-475.3.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-17.

KAP-475.3.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-475.3.4 The Branch Manager shall review address proofs within 6 working days of receipt and record the outcome in

the Loan Origination system.

KAP-475.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-475.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 256 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.4.

KAP-475.3.7 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-475.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-475.3.9 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/164 and that compliance is certified every quarter.

KAP-475.3.10 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/199 and that compliance is certified every quarter.

KAP-475.3.11 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-475.3.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-475.3.13 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-37.

Section 475.4 Suspicious Transaction Reporting - Operating Rule Set 475.4

KAP-475.4.1 For NRI customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-475.4.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-475.4.3 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/011 and that compliance is certified every quarter.

KAP-475.4.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-475.4.5 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/128 and that compliance is certified every quarter.

KAP-475.4.6 Cases involving identity documents with an exposure above Rs. 129 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.6.

KAP-475.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-475.4.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-475.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 458 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.4.

KAP-475.4.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

PART 40 - CHAPTER 476: POLITICALLY EXPOSED PERSONS

Section 476.1 Politically Exposed Persons - Operating Rule Set 476.1

KAP-476.1.1 Cases involving PEP screening results with an exposure above Rs. 39 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.5.

KAP-476.1.2 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-476.1.3 Cases involving PEP screening results with an exposure above Rs. 485 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.27.

KAP-476.1.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-476.1.5 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a

tolerance of 5% as approved by the Board.

KAP-476.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-476.1.7 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-476.1.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Document Management system.

KAP-476.1.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure H-5.

KAP-476.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-476.1.11 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure C-14.

KAP-476.1.12 Cases involving PEP screening results with an exposure above Rs. 467 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.27.

Section 476.2 Politically Exposed Persons - Operating Rule Set 476.2

KAP-476.2.1 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure F-23.

KAP-476.2.2 The Credit Committee shall review address proofs within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-476.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-476.2.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-476.2.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-476.2.6 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-476.2.7 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-476.2.8 Cases involving cash transaction reports with an exposure above Rs. 154 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.29.

KAP-476.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-476.2.10 Cases involving address proofs with an exposure above Rs. 301 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.25.

Section 476.3 Politically Exposed Persons - Operating Rule Set 476.3

KAP-476.3.1 The Operations Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-476.3.2 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/221 and that compliance is certified every quarter.

KAP-476.3.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-476.3.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-476.3.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/256 and that compliance is certified every quarter.

KAP-476.3.6 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-476.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-476.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-476.3.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/165 and that compliance is certified every quarter.

KAP-476.3.10 The Regional Credit Officer shall review identity documents within 4 working days of receipt and record the outcome in the Customer Relationship system.

Section 476.4 Politically Exposed Persons - Operating Rule Set 476.4

KAP-476.4.1 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-476.4.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/244 and that compliance is certified every quarter.

KAP-476.4.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-476.4.4 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-476.4.5 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure C-30.

KAP-476.4.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-476.4.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-476.4.8 The Operations Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-476.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

Section 476.5 Politically Exposed Persons - Operating Rule Set 476.5

KAP-476.5.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/184 and that compliance is certified every quarter.

KAP-476.5.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-476.5.3 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-476.5.4 The Regional Credit Officer shall review account-opening forms within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-476.5.5 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/287 and that compliance is certified every quarter.

KAP-476.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-476.5.7 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure E-14.

KAP-476.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-476.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure E-19.

KAP-476.5.10 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-476.5.11 The Regional Credit Officer shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Core Banking system.

Section 476.6 Politically Exposed Persons - Operating Rule Set 476.6

KAP-476.6.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-476.6.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-476.6.3 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure E-9.

KAP-476.6.4 The Zonal Head shall review PEP screening results within 29 working days of receipt and record the outcome in the Case Management system.

KAP-476.6.5 The Credit Committee shall review account-opening forms within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-476.6.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure F-30.

KAP-476.6.7 Cases involving cash transaction reports with an exposure above Rs. 498 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.14.

KAP-476.6.8 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/087 and that compliance is certified every quarter.

KAP-476.6.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-476.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

PART 40 - CHAPTER 477: BENEFICIAL OWNERSHIP

Section 477.1 Beneficial Ownership - Operating Rule Set 477.1

KAP-477.1.1 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-477.1.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 24 working days, with the supporting documents listed in Annexure B-37.

KAP-477.1.3 Cases involving video-KYC sessions with an exposure above Rs. 242 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.28.

KAP-477.1.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/210 and that compliance is certified every quarter.

KAP-477.1.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-477.1.6 The Regional Credit Officer shall review cash transaction reports within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-477.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-477.1.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-477.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-477.1.10 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/003 and that compliance is certified every quarter.

Section 477.2 Beneficial Ownership - Operating Rule Set 477.2

KAP-477.2.1 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-477.2.2 The Risk Management Department shall review address proofs within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-477.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-477.2.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-477.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-477.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 450 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.22.

KAP-477.2.7 Cases involving video-KYC sessions with an exposure above Rs. 27 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.25.

KAP-477.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-477.2.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-477.2.10 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/007 and that compliance is certified every quarter.

KAP-477.2.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-477.2.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

Section 477.3 Beneficial Ownership - Operating Rule Set 477.3

KAP-477.3.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/137 and that compliance is certified every quarter.

KAP-477.3.2 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/177 and that compliance is certified every quarter.

KAP-477.3.3 The Credit Committee shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-477.3.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-477.3.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure E-38.

KAP-477.3.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure D-6.

KAP-477.3.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure B-24.

KAP-477.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 49 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.8.

KAP-477.3.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-477.3.10 The Compliance Officer shall review address proofs within 24 working days of receipt and record the outcome in the Case Management system.

KAP-477.3.11 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure D-23.

KAP-477.3.12 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-477.3.13 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

Section 477.4 Beneficial Ownership - Operating Rule Set 477.4

KAP-477.4.1 The Branch Manager shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-477.4.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-477.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-477.4.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/096 and that compliance is certified every quarter.

KAP-477.4.5 For private-limited-company customers, PEP screening results shall be assessed using the manual-review

method, with a tolerance of 7% as approved by the Board.

KAP-477.4.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-477.4.7 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-477.4.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-477.4.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure F-3.

KAP-477.4.10 The Operations Head shall review identity documents within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-477.4.11 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

Section 477.5 Beneficial Ownership - Operating Rule Set 477.5

KAP-477.5.1 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/005 and that compliance is certified every quarter.

KAP-477.5.2 The Audit Department shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-477.5.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-477.5.4 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-477.5.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-10.

KAP-477.5.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/155 and that compliance is certified every quarter.

KAP-477.5.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/009 and that compliance is certified every quarter.

KAP-477.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-477.5.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 6 days written notice.

Section 477.6 Beneficial Ownership - Operating Rule Set 477.6

KAP-477.6.1 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-477.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-477.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-477.6.4 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure E-10.

KAP-477.6.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-477.6.6 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-477.6.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-477.6.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure D-31.

KAP-477.6.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-477.6.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-477.6.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 477.7 Beneficial Ownership - Operating Rule Set 477.7

KAP-477.7.1 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-477.7.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-477.7.3 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-477.7.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-477.7.5 The Risk Management Department shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-477.7.6 Cases involving identity documents with an exposure above Rs. 268 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.23.

KAP-477.7.7 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Case Management system.

KAP-477.7.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-477.7.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-477.7.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 11 days written notice.

Section 477.8 Beneficial Ownership - Operating Rule Set 477.8

KAP-477.8.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-477.8.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-477.8.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-477.8.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/256 and that compliance is certified every quarter.

KAP-477.8.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-477.8.6 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/051 and that compliance is certified every quarter.

KAP-477.8.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/253 and that compliance is certified every quarter.

KAP-477.8.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-477.8.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

PART 40 - CHAPTER 478: RECORD KEEPING

Section 478.1 Record Keeping - Operating Rule Set 478.1

KAP-478.1.1 The Compliance Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-478.1.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/247 and that compliance is certified every quarter.

KAP-478.1.3 The Audit Department shall review identity documents within 25 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-478.1.4 Cases involving video-KYC sessions with an exposure above Rs. 233 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.15.

KAP-478.1.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/047 and that compliance is certified every quarter.

KAP-478.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 137 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.16.

KAP-478.1.7 The Audit Department shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-478.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-478.1.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 22 days written notice.

Section 478.2 Record Keeping - Operating Rule Set 478.2

KAP-478.2.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-478.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-478.2.3 Cases involving PEP screening results with an exposure above Rs. 319 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.17.

KAP-478.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-478.2.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-478.2.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-478.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-478.2.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure C-5.

KAP-478.2.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-478.2.10 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 478.3 Record Keeping - Operating Rule Set 478.3

KAP-478.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 124 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.25.

KAP-478.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-478.3.3 The Risk Management Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-478.3.4 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure H-35.

KAP-478.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-478.3.6 The Branch Manager shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-478.3.7 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-478.3.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-478.3.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-478.3.10 Cases involving risk-rating files with an exposure above Rs. 8 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.10.

KAP-478.3.11 The Risk Management Department shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

Section 478.4 Record Keeping - Operating Rule Set 478.4

KAP-478.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-478.4.2 The Credit Committee shall review PEP screening results within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-478.4.3 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-478.4.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-478.4.5 The Audit Department shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Document Management system.

KAP-478.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-478.4.7 The Zonal Head shall review cash transaction reports within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-478.4.8 The Risk Management Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-478.4.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 478.5 Record Keeping - Operating Rule Set 478.5

KAP-478.5.1 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure G-3.

KAP-478.5.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-478.5.3 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-478.5.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/188 and that compliance is certified every quarter.

KAP-478.5.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-478.5.6 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-478.5.7 Cases involving risk-rating files with an exposure above Rs. 349 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.19.

KAP-478.5.8 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure C-4.

KAP-478.5.9 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/241 and that compliance is certified every quarter.

Section 478.6 Record Keeping - Operating Rule Set 478.6

KAP-478.6.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure C-5.

KAP-478.6.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/244 and that compliance is certified every quarter.

KAP-478.6.3 Cases involving risk-rating files with an exposure above Rs. 357 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.18.

KAP-478.6.4 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/132 and that compliance is certified every quarter.

KAP-478.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-478.6.6 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-478.6.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-478.6.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-478.6.9 Cases involving PEP screening results with an exposure above Rs. 289 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.26.

PART 40 - CHAPTER 479: STAFF TRAINING

Section 479.1 Staff Training - Operating Rule Set 479.1

KAP-479.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-479.1.2 Cases involving video-KYC sessions with an exposure above Rs. 90 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.24.

KAP-479.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-479.1.4 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-479.1.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure A-3.

KAP-479.1.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-479.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-479.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-479.1.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/091 and that compliance is certified every quarter.

KAP-479.1.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-479.1.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 479.2 Staff Training - Operating Rule Set 479.2

KAP-479.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-479.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-479.2.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-479.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-479.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 140 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.25.

KAP-479.2.6 Cases involving account-opening forms with an exposure above Rs. 484 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.23.

KAP-479.2.7 Cases involving cash transaction reports with an exposure above Rs. 324 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.19.

KAP-479.2.8 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/152 and that compliance is certified every quarter.

KAP-479.2.9 Cases involving cash transaction reports with an exposure above Rs. 29 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.13.

KAP-479.2.10 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-34.

Section 479.3 Staff Training - Operating Rule Set 479.3

KAP-479.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-479.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-479.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-479.3.4 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/224 and that compliance is certified every quarter.

KAP-479.3.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/228 and that compliance is certified every quarter.

KAP-479.3.6 The Credit Committee shall review account-opening forms within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-479.3.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/196 and that compliance is certified every quarter.

KAP-479.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-479.3.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

Section 479.4 Staff Training - Operating Rule Set 479.4

KAP-479.4.1 The Operations Head shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-479.4.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure B-30.

KAP-479.4.3 Cases involving cash transaction reports with an exposure above Rs. 299 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.24.

KAP-479.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-479.4.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/253 and that compliance is certified every quarter.

KAP-479.4.6 The Branch Manager shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-479.4.7 The Compliance Officer shall review identity documents within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-479.4.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-479.4.9 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-12.

KAP-479.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 330 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.18.

Section 479.5 Staff Training - Operating Rule Set 479.5

KAP-479.5.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-479.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-479.5.3 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/235 and that compliance is certified every quarter.

KAP-479.5.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/086 and that compliance is certified every quarter.

KAP-479.5.5 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-479.5.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/254 and that compliance is certified every quarter.

KAP-479.5.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-479.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-479.5.9 Cases involving risk-rating files with an exposure above Rs. 194 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.25.

KAP-479.5.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/193 and that compliance is certified every quarter.

KAP-479.5.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 479.6 Staff Training - Operating Rule Set 479.6

KAP-479.6.1 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-479.6.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-479.6.3 The Branch Manager shall review account-opening forms within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-479.6.4 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-479.6.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-479.6.6 The Regional Credit Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-479.6.7 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-479.6.8 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-479.6.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure D-31.

KAP-479.6.10 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 479.7 Staff Training - Operating Rule Set 479.7

KAP-479.7.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-479.7.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure D-8.

KAP-479.7.3 Cases involving cash transaction reports with an exposure above Rs. 316 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.7.

KAP-479.7.4 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-479.7.5 Cases involving correspondent-bank relationships with an exposure above Rs. 337 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.23.

KAP-479.7.6 Cases involving cash transaction reports with an exposure above Rs. 353 lakh require prior written approval

from the Risk Management Department; otherwise the case is an exception under Clause 8.5.

KAP-479.7.7 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-479.7.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-479.7.9 Cases involving PEP screening results with an exposure above Rs. 7 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.12.

KAP-479.7.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-479.7.11 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

PART 40 - CHAPTER 480: INDEPENDENT AUDIT

Section 480.1 Independent Audit - Operating Rule Set 480.1

KAP-480.1.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-480.1.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-480.1.3 The Risk Management Department shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Case Management system.

KAP-480.1.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure A-8.

KAP-480.1.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-480.1.6 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure G-15.

KAP-480.1.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-480.1.8 The Operations Head shall review correspondent-bank relationships within 2 working days of receipt and record the outcome in the Case Management system.

KAP-480.1.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-480.1.10 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure C-17.

Section 480.2 Independent Audit - Operating Rule Set 480.2

KAP-480.2.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-480.2.2 Cases involving account-opening forms with an exposure above Rs. 426 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.25.

KAP-480.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-480.2.4 Cases involving account-opening forms with an exposure above Rs. 73 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.17.

KAP-480.2.5 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/099 and that compliance is certified every quarter.

KAP-480.2.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-480.2.7 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure D-30.

KAP-480.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-480.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 52 lakh require prior written

approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.8.

KAP-480.2.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 480.3 Independent Audit - Operating Rule Set 480.3

KAP-480.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-480.3.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure G-15.

KAP-480.3.3 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/183 and that compliance is certified every quarter.

KAP-480.3.4 Cases involving risk-rating files with an exposure above Rs. 283 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.20.

KAP-480.3.5 The Audit Department shall review PEP screening results within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-480.3.6 Cases involving beneficial-owner declarations with an exposure above Rs. 429 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.30.

KAP-480.3.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure D-29.

KAP-480.3.8 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure D-15.

KAP-480.3.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-480.3.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 2 days written notice.

Section 480.4 Independent Audit - Operating Rule Set 480.4

KAP-480.4.1 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-480.4.2 The Compliance Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-480.4.3 The Operations Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-480.4.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-480.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-480.4.6 In case of a system outage, the Compliance Officer must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure H-1.

KAP-480.4.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-480.4.8 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-480.4.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-480.4.10 The Compliance Officer shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-480.4.11 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 480.5 Independent Audit - Operating Rule Set 480.5

KAP-480.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-480.5.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 9 working days of

receipt and record the outcome in the Document Management system.

KAP-480.5.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/274 and that compliance is certified every quarter.

KAP-480.5.4 Cases involving video-KYC sessions with an exposure above Rs. 265 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.16.

KAP-480.5.5 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-480.5.6 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-480.5.7 The Risk Management Department shall review PEP screening results within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-480.5.8 The Risk Management Department shall review address proofs within 9 working days of receipt and record the outcome in the Document Management system.

KAP-480.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-480.5.10 Cases involving cash transaction reports with an exposure above Rs. 136 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.6.

KAP-480.5.11 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/029 and that compliance is certified every quarter.

Section 480.6 Independent Audit - Operating Rule Set 480.6

KAP-480.6.1 Cases involving address proofs with an exposure above Rs. 18 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.26.

KAP-480.6.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/046 and that compliance is certified every quarter.

KAP-480.6.3 The Regional Credit Officer shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Case Management system.

KAP-480.6.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-480.6.5 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-480.6.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-480.6.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure A-20.

KAP-480.6.8 Cases involving video-KYC sessions with an exposure above Rs. 387 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.17.

PART 41 - CHAPTER 481: CUSTOMER ACCEPTANCE

Section 481.1 Customer Acceptance - Operating Rule Set 481.1

KAP-481.1.1 Cases involving video-KYC sessions with an exposure above Rs. 55 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.23.

KAP-481.1.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-481.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-481.1.4 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/010 and that compliance is certified every quarter.

KAP-481.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-481.1.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-481.1.7 The Credit Committee shall review cash transaction reports within 25 working days of receipt and record the

outcome in the Document Management system.

KAP-481.1.8 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/214 and that compliance is certified every quarter.

KAP-481.1.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-481.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-481.1.11 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 25 days written notice.

Section 481.2 Customer Acceptance - Operating Rule Set 481.2

KAP-481.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-481.2.2 The Audit Department shall review identity documents within 6 working days of receipt and record the outcome in the Case Management system.

KAP-481.2.3 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure A-8.

KAP-481.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-481.2.5 The Operations Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Document Management system.

KAP-481.2.6 The Risk Management Department shall review identity documents within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-481.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-481.2.8 Cases involving risk-rating files with an exposure above Rs. 420 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.12.

Section 481.3 Customer Acceptance - Operating Rule Set 481.3

KAP-481.3.1 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-481.3.2 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-481.3.3 The Branch Manager shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-481.3.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/189 and that compliance is certified every quarter.

KAP-481.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-481.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-481.3.7 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-481.3.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-481.3.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure H-35.

Section 481.4 Customer Acceptance - Operating Rule Set 481.4

KAP-481.4.1 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-481.4.2 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/026 and that compliance is certified every quarter.

KAP-481.4.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the

Operations Head within 21 working days, with the supporting documents listed in Annexure C-21.

KAP-481.4.4 The Branch Manager shall review identity documents within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-481.4.5 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure D-23.

KAP-481.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-481.4.7 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-481.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-481.4.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-481.4.10 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/076 and that compliance is certified every quarter.

KAP-481.4.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 174 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.15.

Section 481.5 Customer Acceptance - Operating Rule Set 481.5

KAP-481.5.1 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure F-18.

KAP-481.5.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-481.5.3 Cases involving address proofs with an exposure above Rs. 426 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.25.

KAP-481.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-481.5.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-481.5.6 Cases involving PEP screening results with an exposure above Rs. 297 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.13.

KAP-481.5.7 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-481.5.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-481.5.9 Cases involving PEP screening results with an exposure above Rs. 238 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.30.

KAP-481.5.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-481.5.11 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/226 and that compliance is certified every quarter.

KAP-481.5.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

Section 481.6 Customer Acceptance - Operating Rule Set 481.6

KAP-481.6.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure B-18.

KAP-481.6.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-481.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-481.6.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-481.6.5 Cases involving identity documents with an exposure above Rs. 490 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.3.

KAP-481.6.6 The Audit Department shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-481.6.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-481.6.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 481.7 Customer Acceptance - Operating Rule Set 481.7

KAP-481.7.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-481.7.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

KAP-481.7.3 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-481.7.4 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/238 and that compliance is certified every quarter.

KAP-481.7.5 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure C-7.

KAP-481.7.6 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-481.7.7 The Risk Management Department shall review address proofs within 4 working days of receipt and record the outcome in the Case Management system.

KAP-481.7.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure G-31.

KAP-481.7.9 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

PART 41 - CHAPTER 482: CUSTOMER IDENTIFICATION

Section 482.1 Customer Identification - Operating Rule Set 482.1

KAP-482.1.1 Cases involving address proofs with an exposure above Rs. 184 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.10.

KAP-482.1.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-482.1.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-482.1.4 The Regional Credit Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-482.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-482.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-482.1.7 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure E-18.

KAP-482.1.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure H-24.

Section 482.2 Customer Identification - Operating Rule Set 482.2

KAP-482.2.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/191 and that compliance is certified every quarter.

KAP-482.2.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/227 and that compliance is certified every quarter.

KAP-482.2.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches,

after giving the customer 12 days written notice.

KAP-482.2.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-482.2.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-482.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-482.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-482.2.8 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-482.2.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-482.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-482.2.11 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/249 and that compliance is certified every quarter.

Section 482.3 Customer Identification - Operating Rule Set 482.3

KAP-482.3.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-482.3.2 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure B-25.

KAP-482.3.3 The Branch Manager shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-482.3.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-482.3.5 The Audit Department shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-482.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-482.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-482.3.8 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/295 and that compliance is certified every quarter.

KAP-482.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 482.4 Customer Identification - Operating Rule Set 482.4

KAP-482.4.1 Cases involving PEP screening results with an exposure above Rs. 481 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.26.

KAP-482.4.2 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/294 and that compliance is certified every quarter.

KAP-482.4.3 The Regional Credit Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-482.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-482.4.5 Cases involving identity documents with an exposure above Rs. 422 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.6.

KAP-482.4.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/257 and that compliance is certified every quarter.

KAP-482.4.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-482.4.8 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-482.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-482.4.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-482.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 482.5 Customer Identification - Operating Rule Set 482.5

KAP-482.5.1 The Compliance Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Document Management system.

KAP-482.5.2 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-482.5.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-482.5.4 The Compliance Officer shall review risk-rating files within 4 working days of receipt and record the outcome in the Document Management system.

KAP-482.5.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-482.5.6 The Regional Credit Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Document Management system.

KAP-482.5.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-482.5.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-482.5.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-482.5.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 178 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.23.

KAP-482.5.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 482.6 Customer Identification - Operating Rule Set 482.6

KAP-482.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 203 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.10.

KAP-482.6.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-482.6.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-482.6.4 The Credit Committee shall review cash transaction reports within 30 working days of receipt and record the outcome in the Case Management system.

KAP-482.6.5 Cases involving cash transaction reports with an exposure above Rs. 35 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.8.

KAP-482.6.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure G-26.

KAP-482.6.7 Cases involving correspondent-bank relationships with an exposure above Rs. 344 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.30.

KAP-482.6.8 The Operations Head shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Document Management system.

KAP-482.6.9 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure F-14.

KAP-482.6.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained

on the procedures in Circular KAP/2020/300 and that compliance is certified every quarter.

PART 41 - CHAPTER 483: CUSTOMER DUE DILIGENCE

Section 483.1 Customer Due Diligence - Operating Rule Set 483.1

KAP-483.1.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/200 and that compliance is certified every quarter.

KAP-483.1.2 Cases involving PEP screening results with an exposure above Rs. 273 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.21.

KAP-483.1.3 Cases involving identity documents with an exposure above Rs. 318 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.2.

KAP-483.1.4 In case of a regulatory query, the Audit Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure C-7.

KAP-483.1.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-483.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-483.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-483.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-483.1.9 Cases involving account-opening forms with an exposure above Rs. 417 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.16.

KAP-483.1.10 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/268 and that compliance is certified every quarter.

Section 483.2 Customer Due Diligence - Operating Rule Set 483.2

KAP-483.2.1 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-483.2.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure C-4.

KAP-483.2.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-483.2.4 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/146 and that compliance is certified every quarter.

KAP-483.2.5 Cases involving risk-rating files with an exposure above Rs. 146 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.20.

KAP-483.2.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/259 and that compliance is certified every quarter.

KAP-483.2.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-483.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-483.2.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure E-13.

Section 483.3 Customer Due Diligence - Operating Rule Set 483.3

KAP-483.3.1 Cases involving PEP screening results with an exposure above Rs. 377 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.25.

KAP-483.3.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-483.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-483.3.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-483.3.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/156 and that compliance is certified every quarter.

KAP-483.3.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure G-27.

KAP-483.3.7 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-483.3.8 The Compliance Officer shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Case Management system.

KAP-483.3.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure A-28.

Section 483.4 Customer Due Diligence - Operating Rule Set 483.4

KAP-483.4.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure D-39.

KAP-483.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure G-18.

KAP-483.4.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-483.4.4 Cases involving video-KYC sessions with an exposure above Rs. 301 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.21.

KAP-483.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-483.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-483.4.7 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-483.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 279 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.5.

KAP-483.4.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 483.5 Customer Due Diligence - Operating Rule Set 483.5

KAP-483.5.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure B-22.

KAP-483.5.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-483.5.3 In case of a customer complaint, the Operations Head must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure D-35.

KAP-483.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-483.5.5 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-483.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-483.5.7 The Operations Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Document Management system.

KAP-483.5.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-483.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

PART 41 - CHAPTER 484: ENHANCED DUE DILIGENCE

Section 484.1 Enhanced Due Diligence - Operating Rule Set 484.1

KAP-484.1.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the

customer 19 days written notice.

KAP-484.1.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-484.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-484.1.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 315 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.16.

KAP-484.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-484.1.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure A-7.

KAP-484.1.7 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-484.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

Section 484.2 Enhanced Due Diligence - Operating Rule Set 484.2

KAP-484.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-484.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 32 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.25.

KAP-484.2.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-15.

KAP-484.2.4 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-484.2.5 The Operations Head shall review risk-rating files within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-484.2.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure D-10.

KAP-484.2.7 The Credit Committee shall review risk-rating files within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-484.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-484.2.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/272 and that compliance is certified every quarter.

KAP-484.2.10 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/063 and that compliance is certified every quarter.

Section 484.3 Enhanced Due Diligence - Operating Rule Set 484.3

KAP-484.3.1 Cases involving correspondent-bank relationships with an exposure above Rs. 396 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.10.

KAP-484.3.2 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure B-32.

KAP-484.3.3 Cases involving cash transaction reports with an exposure above Rs. 96 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.19.

KAP-484.3.4 Cases involving video-KYC sessions with an exposure above Rs. 197 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.18.

KAP-484.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-484.3.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/141 and that compliance is certified every quarter.

KAP-484.3.7 The Audit Department shall review beneficial-owner declarations within 3 working days of receipt and record the outcome in the Document Management system.

KAP-484.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-484.3.9 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-40.

Section 484.4 Enhanced Due Diligence - Operating Rule Set 484.4

KAP-484.4.1 Cases involving PEP screening results with an exposure above Rs. 27 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.19.

KAP-484.4.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-484.4.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure E-39.

KAP-484.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-484.4.5 The Zonal Head shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Document Management system.

KAP-484.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 12 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.15.

KAP-484.4.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-484.4.8 The Compliance Officer shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-484.4.9 The Regional Credit Officer shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-484.4.10 Cases involving risk-rating files with an exposure above Rs. 46 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.2.

KAP-484.4.11 In case of a customer complaint, the Operations Head must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure F-7.

Section 484.5 Enhanced Due Diligence - Operating Rule Set 484.5

KAP-484.5.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-484.5.2 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/001 and that compliance is certified every quarter.

KAP-484.5.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure B-20.

KAP-484.5.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-484.5.5 The Regional Credit Officer shall review cash transaction reports within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-484.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-484.5.7 The Zonal Head shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Case Management system.

KAP-484.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-484.5.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-484.5.10 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 484.6 Enhanced Due Diligence - Operating Rule Set 484.6

KAP-484.6.1 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-484.6.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-484.6.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-484.6.4 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-484.6.5 Cases involving cash transaction reports with an exposure above Rs. 351 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.9.

KAP-484.6.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-484.6.7 The Credit Committee shall review cash transaction reports within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-484.6.8 Cases involving video-KYC sessions with an exposure above Rs. 342 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.7.

PART 41 - CHAPTER 485: RISK CATEGORISATION

Section 485.1 Risk Categorisation - Operating Rule Set 485.1

KAP-485.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-485.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 190 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.21.

KAP-485.1.3 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-485.1.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-5.

KAP-485.1.5 The Audit Department shall review cash transaction reports within 27 working days of receipt and record the outcome in the Document Management system.

KAP-485.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-485.1.7 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-485.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-485.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-485.1.10 Cases involving account-opening forms with an exposure above Rs. 387 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.21.

KAP-485.1.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-485.1.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

Section 485.2 Risk Categorisation - Operating Rule Set 485.2

KAP-485.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-485.2.2 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/169 and that compliance is certified every quarter.

KAP-485.2.3 The Audit Department shall review risk-rating files within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-485.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-485.2.5 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/125 and that compliance is certified every quarter.

KAP-485.2.6 Cases involving account-opening forms with an exposure above Rs. 209 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.3.

KAP-485.2.7 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure G-29.

KAP-485.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-485.2.9 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-485.2.10 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

Section 485.3 Risk Categorisation - Operating Rule Set 485.3

KAP-485.3.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/169 and that compliance is certified every quarter.

KAP-485.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-485.3.3 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-37.

KAP-485.3.4 The Compliance Officer shall review address proofs within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-485.3.5 The Regional Credit Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Document Management system.

KAP-485.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-485.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-485.3.8 The Regional Credit Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Document Management system.

KAP-485.3.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/281 and that compliance is certified every quarter.

KAP-485.3.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 57 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.9.

Section 485.4 Risk Categorisation - Operating Rule Set 485.4

KAP-485.4.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure E-4.

KAP-485.4.2 Cases involving address proofs with an exposure above Rs. 59 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.17.

KAP-485.4.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure D-35.

KAP-485.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-485.4.5 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-485.4.6 The Audit Department shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-485.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-485.4.8 The Audit Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Core Banking system.

Section 485.5 Risk Categorisation - Operating Rule Set 485.5

KAP-485.5.1 The Compliance Officer shall review risk-rating files within 3 working days of receipt and record the outcome in the Case Management system.

KAP-485.5.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-485.5.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-485.5.4 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-485.5.5 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-485.5.6 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/231 and that compliance is certified every quarter.

KAP-485.5.7 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-485.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

PART 41 - CHAPTER 486: TRANSACTION MONITORING

Section 486.1 Transaction Monitoring - Operating Rule Set 486.1

KAP-486.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-486.1.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-486.1.3 The Zonal Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Document Management system.

KAP-486.1.4 The Zonal Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Document Management system.

KAP-486.1.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/268 and that compliance is certified every quarter.

KAP-486.1.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-486.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-486.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 355 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.15.

KAP-486.1.9 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-486.1.10 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/061 and that compliance is certified every quarter.

KAP-486.1.11 The Risk Management Department shall review address proofs within 7 working days of receipt and record the outcome in the Document Management system.

Section 486.2 Transaction Monitoring - Operating Rule Set 486.2

KAP-486.2.1 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/129 and that compliance is certified every quarter.

KAP-486.2.2 In case of a system outage, the Zonal Head must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure G-32.

KAP-486.2.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/145 and that compliance is certified every quarter.

KAP-486.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-486.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-486.2.6 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure G-32.

KAP-486.2.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-486.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-486.2.9 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/297 and that compliance is certified every quarter.

KAP-486.2.10 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/113 and that compliance is certified every quarter.

KAP-486.2.11 The Risk Management Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Case Management system.

Section 486.3 Transaction Monitoring - Operating Rule Set 486.3

KAP-486.3.1 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-486.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-486.3.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-486.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-486.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-486.3.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure E-28.

KAP-486.3.7 The Regional Credit Officer shall review PEP screening results within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-486.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-486.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-486.3.10 Cases involving video-KYC sessions with an exposure above Rs. 315 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.29.

KAP-486.3.11 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 486.4 Transaction Monitoring - Operating Rule Set 486.4

KAP-486.4.1 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-486.4.2 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/109 and that compliance is certified every quarter.

KAP-486.4.3 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-486.4.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure D-2.

KAP-486.4.5 The Risk Management Department shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-486.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-486.4.7 The Credit Committee shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-486.4.8 Cases involving video-KYC sessions with an exposure above Rs. 403 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.24.

KAP-486.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional

Credit Officer by the 4th day of the following month.

Section 486.5 Transaction Monitoring - Operating Rule Set 486.5

KAP-486.5.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-486.5.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-486.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-486.5.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure C-26.

KAP-486.5.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-486.5.6 Cases involving risk-rating files with an exposure above Rs. 173 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.1.

KAP-486.5.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-486.5.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-486.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-486.5.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

PART 41 - CHAPTER 487: SUSPICIOUS TRANSACTION REPORTING

Section 487.1 Suspicious Transaction Reporting - Operating Rule Set 487.1

KAP-487.1.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/149 and that compliance is certified every quarter.

KAP-487.1.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-10.

KAP-487.1.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure A-24.

KAP-487.1.4 Cases involving identity documents with an exposure above Rs. 280 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.13.

KAP-487.1.5 Cases involving account-opening forms with an exposure above Rs. 77 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.19.

KAP-487.1.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-487.1.7 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/084 and that compliance is certified every quarter.

KAP-487.1.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/082 and that compliance is certified every quarter.

KAP-487.1.9 Cases involving address proofs with an exposure above Rs. 32 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.30.

KAP-487.1.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

Section 487.2 Suspicious Transaction Reporting - Operating Rule Set 487.2

KAP-487.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-487.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-487.2.3 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-487.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-487.2.5 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-487.2.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-487.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-487.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-487.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

Section 487.3 Suspicious Transaction Reporting - Operating Rule Set 487.3

KAP-487.3.1 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Case Management system.

KAP-487.3.2 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/215 and that compliance is certified every quarter.

KAP-487.3.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-487.3.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/097 and that compliance is certified every quarter.

KAP-487.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-487.3.6 Cases involving identity documents with an exposure above Rs. 146 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.18.

KAP-487.3.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-487.3.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-487.3.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-487.3.10 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

Section 487.4 Suspicious Transaction Reporting - Operating Rule Set 487.4

KAP-487.4.1 The Credit Committee shall review risk-rating files within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-487.4.2 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/277 and that compliance is certified every quarter.

KAP-487.4.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure B-19.

KAP-487.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-487.4.5 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-487.4.6 Cases involving PEP screening results with an exposure above Rs. 167 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.21.

KAP-487.4.7 The Regional Credit Officer shall review identity documents within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-487.4.8 The Credit Committee shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-487.4.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk

Management Department by the 6th day of the following month.

KAP-487.4.10 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-487.4.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 487.5 Suspicious Transaction Reporting - Operating Rule Set 487.5

KAP-487.5.1 Cases involving address proofs with an exposure above Rs. 466 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.5.

KAP-487.5.2 Cases involving video-KYC sessions with an exposure above Rs. 246 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.25.

KAP-487.5.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/215 and that compliance is certified every quarter.

KAP-487.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-487.5.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-487.5.6 The Branch Manager shall review address proofs within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-487.5.7 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure H-39.

KAP-487.5.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure B-27.

KAP-487.5.9 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/008 and that compliance is certified every quarter.

KAP-487.5.10 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure E-26.

KAP-487.5.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-487.5.12 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

Section 487.6 Suspicious Transaction Reporting - Operating Rule Set 487.6

KAP-487.6.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-487.6.2 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/300 and that compliance is certified every quarter.

KAP-487.6.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-487.6.4 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/102 and that compliance is certified every quarter.

KAP-487.6.5 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-487.6.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-487.6.7 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/087 and that compliance is certified every quarter.

KAP-487.6.8 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-487.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-487.6.10 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure G-25.

KAP-487.6.11 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

PART 41 - CHAPTER 488: POLITICALLY EXPOSED PERSONS

Section 488.1 Politically Exposed Persons - Operating Rule Set 488.1

KAP-488.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-488.1.2 The Branch Manager shall review cash transaction reports within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-488.1.3 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/010 and that compliance is certified every quarter.

KAP-488.1.4 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-488.1.5 Cases involving address proofs with an exposure above Rs. 423 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.25.

KAP-488.1.6 Cases involving identity documents with an exposure above Rs. 430 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.26.

KAP-488.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-488.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-488.1.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-488.1.10 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-488.1.11 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 488.2 Politically Exposed Persons - Operating Rule Set 488.2

KAP-488.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-488.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 207 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.10.

KAP-488.2.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/057 and that compliance is certified every quarter.

KAP-488.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-488.2.5 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/170 and that compliance is certified every quarter.

KAP-488.2.6 Cases involving cash transaction reports with an exposure above Rs. 442 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.7.

KAP-488.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-488.2.8 The Branch Manager shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Document Management system.

KAP-488.2.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-488.2.10 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 488.3 Politically Exposed Persons - Operating Rule Set 488.3

KAP-488.3.1 The Operations Head shall review address proofs within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-488.3.2 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark

method, with a tolerance of 5% as approved by the Board.

KAP-488.3.3 The Audit Department shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Case Management system.

KAP-488.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 364 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.17.

KAP-488.3.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-488.3.6 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-488.3.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-488.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-488.3.9 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure F-39.

Section 488.4 Politically Exposed Persons - Operating Rule Set 488.4

KAP-488.4.1 The Risk Management Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-488.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 398 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.3.

KAP-488.4.3 Cases involving video-KYC sessions with an exposure above Rs. 309 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.30.

KAP-488.4.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure B-35.

KAP-488.4.5 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-488.4.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-488.4.7 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/051 and that compliance is certified every quarter.

KAP-488.4.8 The Compliance Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-488.4.9 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-488.4.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-488.4.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 23 days written notice.

Section 488.5 Politically Exposed Persons - Operating Rule Set 488.5

KAP-488.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 252 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.10.

KAP-488.5.2 Cases involving address proofs with an exposure above Rs. 121 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.22.

KAP-488.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-488.5.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-488.5.5 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/111 and that compliance is certified every quarter.

KAP-488.5.6 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/190 and that compliance is certified every quarter.

KAP-488.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 86 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.16.

KAP-488.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-488.5.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 26 days written notice.

Section 488.6 Politically Exposed Persons - Operating Rule Set 488.6

KAP-488.6.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

KAP-488.6.2 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-488.6.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-488.6.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/027 and that compliance is certified every quarter.

KAP-488.6.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-488.6.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-488.6.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-488.6.8 The Audit Department shall review account-opening forms within 9 working days of receipt and record the outcome in the Document Management system.

KAP-488.6.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/241 and that compliance is certified every quarter.

KAP-488.6.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-488.6.11 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/085 and that compliance is certified every quarter.

PART 41 - CHAPTER 489: BENEFICIAL OWNERSHIP

Section 489.1 Beneficial Ownership - Operating Rule Set 489.1

KAP-489.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-489.1.2 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/186 and that compliance is certified every quarter.

KAP-489.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-489.1.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-489.1.5 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/141 and that compliance is certified every quarter.

KAP-489.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 86 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.26.

KAP-489.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-489.1.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure A-8.

KAP-489.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-489.1.10 The Regional Credit Officer shall review PEP screening results within 28 working days of receipt and record the outcome in the Core Banking system.

Section 489.2 Beneficial Ownership - Operating Rule Set 489.2

KAP-489.2.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/211 and that compliance is certified every quarter.

KAP-489.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-489.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-489.2.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-489.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-489.2.6 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-489.2.7 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-489.2.8 The Branch Manager shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Loan Origination system.

Section 489.3 Beneficial Ownership - Operating Rule Set 489.3

KAP-489.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-489.3.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure D-40.

KAP-489.3.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure G-22.

KAP-489.3.4 Cases involving video-KYC sessions with an exposure above Rs. 276 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.3.

KAP-489.3.5 Cases involving video-KYC sessions with an exposure above Rs. 362 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.19.

KAP-489.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 288 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.5.

KAP-489.3.7 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-489.3.8 Cases involving account-opening forms with an exposure above Rs. 357 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.19.

KAP-489.3.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

Section 489.4 Beneficial Ownership - Operating Rule Set 489.4

KAP-489.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-489.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-489.4.3 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/014 and that compliance is certified every quarter.

KAP-489.4.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-489.4.5 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-489.4.6 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/068 and that compliance is certified every quarter.

KAP-489.4.7 Cases involving risk-rating files with an exposure above Rs. 274 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.3.

KAP-489.4.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-489.4.9 The Compliance Officer shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Loan Origination system.

Section 489.5 Beneficial Ownership - Operating Rule Set 489.5

KAP-489.5.1 The Compliance Officer shall review risk-rating files within 13 working days of receipt and record the outcome in the Case Management system.

KAP-489.5.2 The Credit Committee shall review cash transaction reports within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-489.5.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-489.5.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-489.5.5 The Audit Department shall review PEP screening results within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-489.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 62 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.15.

KAP-489.5.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/156 and that compliance is certified every quarter.

KAP-489.5.8 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/231 and that compliance is certified every quarter.

KAP-489.5.9 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-489.5.10 The Branch Manager shall review risk-rating files within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-489.5.11 Cases involving address proofs with an exposure above Rs. 266 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.16.

Section 489.6 Beneficial Ownership - Operating Rule Set 489.6

KAP-489.6.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

KAP-489.6.2 The Zonal Head shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Case Management system.

KAP-489.6.3 The Operations Head shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Document Management system.

KAP-489.6.4 The Regional Credit Officer shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Document Management system.

KAP-489.6.5 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-489.6.6 The Operations Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-489.6.7 The Regional Credit Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-489.6.8 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/004 and that compliance is certified every quarter.

KAP-489.6.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 460 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.12.

KAP-489.6.10 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure C-2.

PART 41 - CHAPTER 490: RECORD KEEPING

Section 490.1 Record Keeping - Operating Rule Set 490.1

KAP-490.1.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 25 days written notice.

KAP-490.1.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/292 and that compliance is certified every quarter.

KAP-490.1.3 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure B-18.

KAP-490.1.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/164 and that compliance is certified every quarter.

KAP-490.1.5 Cases involving PEP screening results with an exposure above Rs. 351 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.10.

KAP-490.1.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-490.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-490.1.8 The Branch Manager shall review cash transaction reports within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-490.1.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure B-15.

KAP-490.1.10 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/217 and that compliance is certified every quarter.

KAP-490.1.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-490.1.12 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-490.1.13 Cases involving video-KYC sessions with an exposure above Rs. 367 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.21.

KAP-490.1.14 The Compliance Officer shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Core Banking system.

Section 490.2 Record Keeping - Operating Rule Set 490.2

KAP-490.2.1 Cases involving address proofs with an exposure above Rs. 243 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.18.

KAP-490.2.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-490.2.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-490.2.4 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-490.2.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-490.2.6 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/108 and that compliance is certified every quarter.

KAP-490.2.7 In case of a customer complaint, the Operations Head must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure H-9.

KAP-490.2.8 In case of a system outage, the Risk Management Department must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure A-17.

KAP-490.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 490.3 Record Keeping - Operating Rule Set 490.3

KAP-490.3.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-490.3.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure E-4.

KAP-490.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-490.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-490.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-490.3.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-490.3.7 The Credit Committee shall review account-opening forms within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-490.3.8 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 490.4 Record Keeping - Operating Rule Set 490.4

KAP-490.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-490.4.2 In case of a regulatory query, the Zonal Head must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure H-37.

KAP-490.4.3 The Regional Credit Officer shall review address proofs within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-490.4.4 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-490.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-490.4.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-490.4.7 The Compliance Officer shall review cash transaction reports within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-490.4.8 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-490.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-490.4.10 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure C-21.

KAP-490.4.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-490.4.12 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

Section 490.5 Record Keeping - Operating Rule Set 490.5

KAP-490.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-490.5.2 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure B-31.

KAP-490.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-490.5.4 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/230 and that compliance is certified every quarter.

KAP-490.5.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure D-7.

KAP-490.5.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-490.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made

available to the Board Audit Committee on request.

KAP-490.5.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-490.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure A-21.

KAP-490.5.10 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

PART 41 - CHAPTER 491: STAFF TRAINING

Section 491.1 Staff Training - Operating Rule Set 491.1

KAP-491.1.1 Cases involving cash transaction reports with an exposure above Rs. 68 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.17.

KAP-491.1.2 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-491.1.3 Cases involving cash transaction reports with an exposure above Rs. 123 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.27.

KAP-491.1.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/298 and that compliance is certified every quarter.

KAP-491.1.5 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/126 and that compliance is certified every quarter.

KAP-491.1.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure E-18.

KAP-491.1.7 The Risk Management Department shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-491.1.8 Cases involving cash transaction reports with an exposure above Rs. 93 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.19.

Section 491.2 Staff Training - Operating Rule Set 491.2

KAP-491.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-491.2.2 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-491.2.3 The Branch Manager shall review cash transaction reports within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-491.2.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-491.2.5 Cases involving PEP screening results with an exposure above Rs. 63 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.12.

KAP-491.2.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/010 and that compliance is certified every quarter.

KAP-491.2.7 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/162 and that compliance is certified every quarter.

KAP-491.2.8 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-491.2.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-491.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 491.3 Staff Training - Operating Rule Set 491.3

KAP-491.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-491.3.2 Cases involving identity documents with an exposure above Rs. 255 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.23.

KAP-491.3.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-491.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-491.3.5 The Regional Credit Officer shall review address proofs within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-491.3.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure B-25.

KAP-491.3.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-491.3.8 Cases involving identity documents with an exposure above Rs. 9 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.29.

KAP-491.3.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/181 and that compliance is certified every quarter.

KAP-491.3.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-491.3.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 491.4 Staff Training - Operating Rule Set 491.4

KAP-491.4.1 The Risk Management Department shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-491.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-491.4.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-491.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-491.4.5 Cases involving account-opening forms with an exposure above Rs. 54 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.12.

KAP-491.4.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

KAP-491.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-491.4.8 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 491.5 Staff Training - Operating Rule Set 491.5

KAP-491.5.1 The Zonal Head shall review address proofs within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-491.5.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-491.5.3 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure D-22.

KAP-491.5.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

KAP-491.5.5 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-491.5.6 The Credit Committee shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Document Management system.

KAP-491.5.7 Cases involving cash transaction reports with an exposure above Rs. 95 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.1.

KAP-491.5.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in

Circular KAP/2023/116 and that compliance is certified every quarter.

KAP-491.5.9 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-491.5.10 The Regional Credit Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-491.5.11 Cases involving address proofs with an exposure above Rs. 309 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.16.

PART 41 - CHAPTER 492: INDEPENDENT AUDIT

Section 492.1 Independent Audit - Operating Rule Set 492.1

KAP-492.1.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-492.1.2 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-492.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-492.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 110 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.25.

KAP-492.1.5 The Credit Committee shall review PEP screening results within 4 working days of receipt and record the outcome in the Document Management system.

KAP-492.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 270 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.13.

KAP-492.1.7 The Compliance Officer shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-492.1.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/277 and that compliance is certified every quarter.

Section 492.2 Independent Audit - Operating Rule Set 492.2

KAP-492.2.1 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/170 and that compliance is certified every quarter.

KAP-492.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 204 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.3.

KAP-492.2.3 Cases involving risk-rating files with an exposure above Rs. 295 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.4.

KAP-492.2.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure D-30.

KAP-492.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-492.2.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure D-39.

KAP-492.2.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-492.2.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/280 and that compliance is certified every quarter.

KAP-492.2.9 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/293 and that compliance is certified every quarter.

KAP-492.2.10 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/226 and that compliance is certified every quarter.

KAP-492.2.11 Cases involving risk-rating files with an exposure above Rs. 237 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.28.

Section 492.3 Independent Audit - Operating Rule Set 492.3

KAP-492.3.1 Cases involving PEP screening results with an exposure above Rs. 99 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.21.

KAP-492.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 57 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.18.

KAP-492.3.3 The Zonal Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-492.3.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure H-20.

KAP-492.3.5 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/014 and that compliance is certified every quarter.

KAP-492.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-492.3.7 The Regional Credit Officer shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-492.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

Section 492.4 Independent Audit - Operating Rule Set 492.4

KAP-492.4.1 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure A-21.

KAP-492.4.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-492.4.3 The Credit Committee shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-492.4.4 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/229 and that compliance is certified every quarter.

KAP-492.4.5 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/119 and that compliance is certified every quarter.

KAP-492.4.6 The Risk Management Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Document Management system.

KAP-492.4.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-492.4.8 Cases involving account-opening forms with an exposure above Rs. 106 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.10.

KAP-492.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-492.4.10 The Branch Manager shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 492.5 Independent Audit - Operating Rule Set 492.5

KAP-492.5.1 Cases involving risk-rating files with an exposure above Rs. 440 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.18.

KAP-492.5.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-492.5.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-492.5.4 The Risk Management Department shall review cash transaction reports within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-492.5.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-492.5.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-492.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-492.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made

available to the regulator on request.

KAP-492.5.9 The Regional Credit Officer shall review cash transaction reports within 16 working days of receipt and record the outcome in the Customer Relationship system.

Section 492.6 Independent Audit - Operating Rule Set 492.6

KAP-492.6.1 Cases involving beneficial-owner declarations with an exposure above Rs. 260 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.12.

KAP-492.6.2 The Branch Manager shall review cash transaction reports within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-492.6.3 The Audit Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-492.6.4 Cases involving PEP screening results with an exposure above Rs. 200 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.11.

KAP-492.6.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-492.6.6 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-492.6.7 The Risk Management Department shall review account-opening forms within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-492.6.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-492.6.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-492.6.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-492.6.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-492.6.12 The Branch Manager shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Customer Relationship system.

PART 42 - CHAPTER 493: CUSTOMER ACCEPTANCE

Section 493.1 Customer Acceptance - Operating Rule Set 493.1

KAP-493.1.1 The Regional Credit Officer shall review cash transaction reports within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-493.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-493.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-493.1.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/007 and that compliance is certified every quarter.

KAP-493.1.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/095 and that compliance is certified every quarter.

KAP-493.1.6 Cases involving cash transaction reports with an exposure above Rs. 276 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.1.

KAP-493.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-493.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 273 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.7.

KAP-493.1.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-493.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

Section 493.2 Customer Acceptance - Operating Rule Set 493.2

KAP-493.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-493.2.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure F-33.

KAP-493.2.3 Cases involving risk-rating files with an exposure above Rs. 327 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.27.

KAP-493.2.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-493.2.5 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-493.2.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/102 and that compliance is certified every quarter.

KAP-493.2.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-493.2.8 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-493.2.9 Cases involving identity documents with an exposure above Rs. 319 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.22.

KAP-493.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

Section 493.3 Customer Acceptance - Operating Rule Set 493.3

KAP-493.3.1 The Branch Manager shall review identity documents within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-493.3.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure H-11.

KAP-493.3.3 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure B-25.

KAP-493.3.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-493.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-493.3.6 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-493.3.7 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-493.3.8 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/039 and that compliance is certified every quarter.

KAP-493.3.9 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-493.3.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-493.3.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 493.4 Customer Acceptance - Operating Rule Set 493.4

KAP-493.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-493.4.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure A-16.

KAP-493.4.3 The Regional Credit Officer shall review PEP screening results within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-493.4.4 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 15

working days, with the supporting documents listed in Annexure B-15.

KAP-493.4.5 The Compliance Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-493.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-493.4.7 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-493.4.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-493.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-493.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 493.5 Customer Acceptance - Operating Rule Set 493.5

KAP-493.5.1 Cases involving PEP screening results with an exposure above Rs. 67 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.16.

KAP-493.5.2 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-493.5.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-493.5.4 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure H-8.

KAP-493.5.5 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-493.5.6 The Regional Credit Officer shall review video-KYC sessions within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-493.5.7 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-493.5.8 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure D-20.

PART 42 - CHAPTER 494: CUSTOMER IDENTIFICATION

Section 494.1 Customer Identification - Operating Rule Set 494.1

KAP-494.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-494.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-494.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-494.1.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-494.1.5 Cases involving account-opening forms with an exposure above Rs. 94 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.5.

KAP-494.1.6 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-494.1.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-494.1.8 The Branch Manager shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Document Management system.

Section 494.2 Customer Identification - Operating Rule Set 494.2

KAP-494.2.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-494.2.2 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-494.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-494.2.4 Cases involving risk-rating files with an exposure above Rs. 180 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.10.

KAP-494.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-494.2.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 432 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.27.

KAP-494.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-494.2.8 Cases involving identity documents with an exposure above Rs. 91 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.13.

KAP-494.2.9 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/149 and that compliance is certified every quarter.

KAP-494.2.10 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

Section 494.3 Customer Identification - Operating Rule Set 494.3

KAP-494.3.1 Cases involving identity documents with an exposure above Rs. 280 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.16.

KAP-494.3.2 Cases involving cash transaction reports with an exposure above Rs. 210 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.17.

KAP-494.3.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-494.3.4 The Compliance Officer shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-494.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-494.3.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-494.3.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-494.3.8 The Risk Management Department shall review PEP screening results within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-494.3.9 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-494.3.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

Section 494.4 Customer Identification - Operating Rule Set 494.4

KAP-494.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-494.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-18.

KAP-494.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-494.4.4 Cases involving cash transaction reports with an exposure above Rs. 413 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.2.

KAP-494.4.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/167 and that compliance is certified every quarter.

KAP-494.4.6 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with

a tolerance of 9% as approved by the Board.

KAP-494.4.7 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure F-16.

KAP-494.4.8 In case of a request for exception, the Operations Head must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-17.

KAP-494.4.9 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-494.4.10 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

PART 42 - CHAPTER 495: CUSTOMER DUE DILIGENCE

Section 495.1 Customer Due Diligence - Operating Rule Set 495.1

KAP-495.1.1 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-495.1.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/166 and that compliance is certified every quarter.

KAP-495.1.3 The Audit Department shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Case Management system.

KAP-495.1.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-495.1.5 Cases involving cash transaction reports with an exposure above Rs. 246 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.10.

KAP-495.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-495.1.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-495.1.8 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure G-22.

KAP-495.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-495.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

Section 495.2 Customer Due Diligence - Operating Rule Set 495.2

KAP-495.2.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure C-19.

KAP-495.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-495.2.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/262 and that compliance is certified every quarter.

KAP-495.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-495.2.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure A-27.

KAP-495.2.6 Cases involving video-KYC sessions with an exposure above Rs. 127 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.13.

KAP-495.2.7 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/253 and that compliance is certified every quarter.

KAP-495.2.8 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/265 and that compliance is certified every quarter.

KAP-495.2.9 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure A-24.

Section 495.3 Customer Due Diligence - Operating Rule Set 495.3

KAP-495.3.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-495.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-495.3.3 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/111 and that compliance is certified every quarter.

KAP-495.3.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-495.3.5 Cases involving video-KYC sessions with an exposure above Rs. 183 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.12.

KAP-495.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-495.3.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/046 and that compliance is certified every quarter.

KAP-495.3.8 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-495.3.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-495.3.10 Cases involving cash transaction reports with an exposure above Rs. 443 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.24.

Section 495.4 Customer Due Diligence - Operating Rule Set 495.4

KAP-495.4.1 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure B-13.

KAP-495.4.2 The Risk Management Department shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-495.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 227 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.4.

KAP-495.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-495.4.5 The Branch Manager shall review PEP screening results within 2 working days of receipt and record the outcome in the Document Management system.

KAP-495.4.6 The Compliance Officer shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-495.4.7 Cases involving video-KYC sessions with an exposure above Rs. 375 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.2.

KAP-495.4.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-495.4.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/285 and that compliance is certified every quarter.

KAP-495.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-495.4.11 The Compliance Officer shall review account-opening forms within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-495.4.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/075 and that compliance is certified every quarter.

KAP-495.4.13 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

Section 495.5 Customer Due Diligence - Operating Rule Set 495.5

KAP-495.5.1 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-495.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee

by the 7th day of the following month.

KAP-495.5.3 The Credit Committee shall review correspondent-bank relationships within 11 working days of receipt and record the outcome in the Document Management system.

KAP-495.5.4 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/130 and that compliance is certified every quarter.

KAP-495.5.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/101 and that compliance is certified every quarter.

KAP-495.5.6 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/241 and that compliance is certified every quarter.

KAP-495.5.7 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/017 and that compliance is certified every quarter.

KAP-495.5.8 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-495.5.9 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/273 and that compliance is certified every quarter.

Section 495.6 Customer Due Diligence - Operating Rule Set 495.6

KAP-495.6.1 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/009 and that compliance is certified every quarter.

KAP-495.6.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-495.6.3 Cases involving correspondent-bank relationships with an exposure above Rs. 85 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.2.

KAP-495.6.4 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-495.6.5 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-495.6.6 The Credit Committee shall review identity documents within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-495.6.7 Cases involving risk-rating files with an exposure above Rs. 167 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.16.

KAP-495.6.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure H-3.

KAP-495.6.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-495.6.10 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/086 and that compliance is certified every quarter.

KAP-495.6.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

Section 495.7 Customer Due Diligence - Operating Rule Set 495.7

KAP-495.7.1 The Operations Head shall review identity documents within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-495.7.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-495.7.3 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-495.7.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-495.7.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-495.7.6 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure F-25.

KAP-495.7.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-495.7.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

PART 42 - CHAPTER 496: ENHANCED DUE DILIGENCE

Section 496.1 Enhanced Due Diligence - Operating Rule Set 496.1

KAP-496.1.1 Cases involving account-opening forms with an exposure above Rs. 478 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.27.

KAP-496.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-496.1.3 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-496.1.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-496.1.5 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-496.1.6 Cases involving address proofs with an exposure above Rs. 352 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.4.

KAP-496.1.7 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-496.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

Section 496.2 Enhanced Due Diligence - Operating Rule Set 496.2

KAP-496.2.1 The Risk Management Department shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-496.2.2 Cases involving PEP screening results with an exposure above Rs. 326 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.26.

KAP-496.2.3 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-496.2.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure A-20.

KAP-496.2.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-496.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-496.2.7 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-496.2.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-496.2.9 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-496.2.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 496.3 Enhanced Due Diligence - Operating Rule Set 496.3

KAP-496.3.1 Cases involving risk-rating files with an exposure above Rs. 417 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.17.

KAP-496.3.2 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-496.3.3 Cases involving identity documents with an exposure above Rs. 179 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.24.

KAP-496.3.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional

Credit Officer within 14 working days, with the supporting documents listed in Annexure A-5.

KAP-496.3.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-496.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-496.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-496.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-496.3.9 The Audit Department shall review account-opening forms within 3 working days of receipt and record the outcome in the Customer Relationship system.

Section 496.4 Enhanced Due Diligence - Operating Rule Set 496.4

KAP-496.4.1 The Risk Management Department shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

KAP-496.4.2 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure B-25.

KAP-496.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 184 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.18.

KAP-496.4.4 Cases involving PEP screening results with an exposure above Rs. 112 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.7.

KAP-496.4.5 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-21.

KAP-496.4.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-496.4.7 Cases involving PEP screening results with an exposure above Rs. 393 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.27.

KAP-496.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-496.4.9 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/193 and that compliance is certified every quarter.

Section 496.5 Enhanced Due Diligence - Operating Rule Set 496.5

KAP-496.5.1 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-496.5.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/007 and that compliance is certified every quarter.

KAP-496.5.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-496.5.4 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-496.5.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure G-36.

KAP-496.5.6 Cases involving account-opening forms with an exposure above Rs. 53 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.6.

KAP-496.5.7 The Risk Management Department shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-496.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 154 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.18.

KAP-496.5.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

Section 496.6 Enhanced Due Diligence - Operating Rule Set 496.6

KAP-496.6.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in

Circular KAP/2019/075 and that compliance is certified every quarter.

KAP-496.6.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-496.6.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/068 and that compliance is certified every quarter.

KAP-496.6.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure H-20.

KAP-496.6.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure H-11.

KAP-496.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-496.6.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-496.6.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-496.6.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-496.6.10 The Risk Management Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Risk Engine system.

PART 42 - CHAPTER 497: RISK CATEGORISATION

Section 497.1 Risk Categorisation - Operating Rule Set 497.1

KAP-497.1.1 Cases involving video-KYC sessions with an exposure above Rs. 71 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.22.

KAP-497.1.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-497.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-497.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-497.1.5 Cases involving cash transaction reports with an exposure above Rs. 130 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.3.

KAP-497.1.6 Cases involving PEP screening results with an exposure above Rs. 122 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.24.

KAP-497.1.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-497.1.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-497.1.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

Section 497.2 Risk Categorisation - Operating Rule Set 497.2

KAP-497.2.1 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-497.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-497.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-497.2.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/133 and that compliance is certified every quarter.

KAP-497.2.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-497.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations

Head by the 11th day of the following month.

KAP-497.2.7 Cases involving video-KYC sessions with an exposure above Rs. 489 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.22.

KAP-497.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-497.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 497.3 Risk Categorisation - Operating Rule Set 497.3

KAP-497.3.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/031 and that compliance is certified every quarter.

KAP-497.3.2 Cases involving risk-rating files with an exposure above Rs. 186 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.27.

KAP-497.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-497.3.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/245 and that compliance is certified every quarter.

KAP-497.3.5 The Regional Credit Officer shall review PEP screening results within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-497.3.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-497.3.7 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-497.3.8 The Operations Head shall review account-opening forms within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-497.3.9 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-497.3.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure E-38.

Section 497.4 Risk Categorisation - Operating Rule Set 497.4

KAP-497.4.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-497.4.2 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/157 and that compliance is certified every quarter.

KAP-497.4.3 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-497.4.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-497.4.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 387 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.7.

KAP-497.4.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-497.4.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-497.4.8 Cases involving risk-rating files with an exposure above Rs. 292 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.9.

KAP-497.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 497.5 Risk Categorisation - Operating Rule Set 497.5

KAP-497.5.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/023 and that compliance is certified every quarter.

KAP-497.5.2 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2024/022 and that compliance is certified every quarter.

KAP-497.5.3 The Risk Management Department shall review account-opening forms within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-497.5.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure D-3.

KAP-497.5.5 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

KAP-497.5.6 Cases involving video-KYC sessions with an exposure above Rs. 197 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.10.

KAP-497.5.7 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/273 and that compliance is certified every quarter.

KAP-497.5.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-27.

PART 42 - CHAPTER 498: TRANSACTION MONITORING

Section 498.1 Transaction Monitoring - Operating Rule Set 498.1

KAP-498.1.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-498.1.2 The Branch Manager shall review cash transaction reports within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-498.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-498.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-498.1.5 Cases involving address proofs with an exposure above Rs. 22 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.15.

KAP-498.1.6 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure B-1.

KAP-498.1.7 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-498.1.8 The Compliance Officer shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-498.1.9 The Zonal Head shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Case Management system.

Section 498.2 Transaction Monitoring - Operating Rule Set 498.2

KAP-498.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-498.2.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-498.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-498.2.4 Cases involving account-opening forms with an exposure above Rs. 176 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.6.

KAP-498.2.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-498.2.6 The Credit Committee shall review address proofs within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-498.2.7 The Risk Management Department shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Document Management system.

KAP-498.2.8 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-498.2.9 For individual customers, address proofs shall be assessed using the manual-review method, with a tolerance

of 7% as approved by the Board.

Section 498.3 Transaction Monitoring - Operating Rule Set 498.3

KAP-498.3.1 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-498.3.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/189 and that compliance is certified every quarter.

KAP-498.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-498.3.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-498.3.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-498.3.6 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/140 and that compliance is certified every quarter.

KAP-498.3.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-498.3.8 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure E-26.

KAP-498.3.9 The Credit Committee shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Customer Relationship system.

Section 498.4 Transaction Monitoring - Operating Rule Set 498.4

KAP-498.4.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure D-10.

KAP-498.4.2 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-498.4.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/207 and that compliance is certified every quarter.

KAP-498.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-498.4.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-498.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-498.4.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/104 and that compliance is certified every quarter.

KAP-498.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-498.4.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-498.4.10 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

PART 42 - CHAPTER 499: SUSPICIOUS TRANSACTION REPORTING

Section 499.1 Suspicious Transaction Reporting - Operating Rule Set 499.1

KAP-499.1.1 The Branch Manager shall review PEP screening results within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-499.1.2 The Audit Department shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-499.1.3 The Credit Committee shall review PEP screening results within 3 working days of receipt and record the outcome in the Case Management system.

KAP-499.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-499.1.5 The Compliance Officer shall review account-opening forms within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-499.1.6 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/095 and that compliance is certified every quarter.

KAP-499.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-499.1.8 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/069 and that compliance is certified every quarter.

KAP-499.1.9 The Credit Committee shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-499.1.10 The Compliance Officer shall review cash transaction reports within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-499.1.11 The Audit Department shall review account-opening forms within 10 working days of receipt and record the outcome in the Document Management system.

KAP-499.1.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/294 and that compliance is certified every quarter.

Section 499.2 Suspicious Transaction Reporting - Operating Rule Set 499.2

KAP-499.2.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-499.2.2 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-499.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-499.2.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-499.2.5 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/242 and that compliance is certified every quarter.

KAP-499.2.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/079 and that compliance is certified every quarter.

KAP-499.2.7 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/269 and that compliance is certified every quarter.

KAP-499.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-499.2.9 The Audit Department shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Case Management system.

Section 499.3 Suspicious Transaction Reporting - Operating Rule Set 499.3

KAP-499.3.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/196 and that compliance is certified every quarter.

KAP-499.3.2 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-499.3.3 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/165 and that compliance is certified every quarter.

KAP-499.3.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-499.3.5 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-499.3.6 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-499.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-499.3.8 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method,

with a tolerance of 1% as approved by the Board.

KAP-499.3.9 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-499.3.10 Cases involving PEP screening results with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.30.

Section 499.4 Suspicious Transaction Reporting - Operating Rule Set 499.4

KAP-499.4.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-499.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-499.4.3 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure C-39.

KAP-499.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 185 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.13.

KAP-499.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-499.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 106 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.8.

KAP-499.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-499.4.8 The Branch Manager shall review risk-rating files within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-499.4.9 For NRI customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-499.4.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/220 and that compliance is certified every quarter.

PART 42 - CHAPTER 500: POLITICALLY EXPOSED PERSONS

Section 500.1 Politically Exposed Persons - Operating Rule Set 500.1

KAP-500.1.1 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure D-40.

KAP-500.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-500.1.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure G-34.

KAP-500.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-500.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-500.1.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure F-24.

KAP-500.1.7 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure A-14.

KAP-500.1.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-500.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-500.1.10 The Operations Head shall review address proofs within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-500.1.11 Cases involving video-KYC sessions with an exposure above Rs. 170 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.16.

Section 500.2 Politically Exposed Persons - Operating Rule Set 500.2

KAP-500.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 245 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.28.

KAP-500.2.2 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-500.2.3 The Operations Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Document Management system.

KAP-500.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-500.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-500.2.6 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-500.2.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-500.2.8 Cases involving identity documents with an exposure above Rs. 496 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.22.

KAP-500.2.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

Section 500.3 Politically Exposed Persons - Operating Rule Set 500.3

KAP-500.3.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-500.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-500.3.3 The Branch Manager shall review address proofs within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-500.3.4 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/125 and that compliance is certified every quarter.

KAP-500.3.5 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/096 and that compliance is certified every quarter.

KAP-500.3.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure A-32.

KAP-500.3.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-500.3.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-500.3.9 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure G-10.

KAP-500.3.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-500.3.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-500.3.12 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 10 days written notice.

Section 500.4 Politically Exposed Persons - Operating Rule Set 500.4

KAP-500.4.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/086 and that compliance is certified every quarter.

KAP-500.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-500.4.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-500.4.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by

the 12th day of the following month.

KAP-500.4.5 In case of a request for exception, the Audit Department must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure C-34.

KAP-500.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-500.4.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-500.4.8 Cases involving risk-rating files with an exposure above Rs. 43 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.16.

KAP-500.4.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-500.4.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-500.4.11 Cases involving identity documents with an exposure above Rs. 243 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.27.

KAP-500.4.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 406 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.14.

KAP-500.4.13 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

PART 42 - CHAPTER 501: BENEFICIAL OWNERSHIP

Section 501.1 Beneficial Ownership - Operating Rule Set 501.1

KAP-501.1.1 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure C-34.

KAP-501.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 132 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.10.

KAP-501.1.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure F-11.

KAP-501.1.4 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure B-31.

KAP-501.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-501.1.6 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-501.1.7 Cases involving account-opening forms with an exposure above Rs. 425 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.12.

KAP-501.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-501.1.9 The Credit Committee shall review cash transaction reports within 17 working days of receipt and record the outcome in the Document Management system.

Section 501.2 Beneficial Ownership - Operating Rule Set 501.2

KAP-501.2.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-501.2.2 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure A-31.

KAP-501.2.3 The Branch Manager shall review PEP screening results within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-501.2.4 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-501.2.5 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/215 and that compliance is certified every quarter.

KAP-501.2.6 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a

tolerance of 8% as approved by the Board.

KAP-501.2.7 The Risk Management Department shall review identity documents within 4 working days of receipt and record the outcome in the Case Management system.

KAP-501.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-501.2.9 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 501.3 Beneficial Ownership - Operating Rule Set 501.3

KAP-501.3.1 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure D-9.

KAP-501.3.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/210 and that compliance is certified every quarter.

KAP-501.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-501.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-501.3.5 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure E-24.

KAP-501.3.6 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-501.3.7 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure D-9.

KAP-501.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-501.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 32 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.1.

Section 501.4 Beneficial Ownership - Operating Rule Set 501.4

KAP-501.4.1 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-501.4.2 The Zonal Head shall review PEP screening results within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-501.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-501.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-501.4.5 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure H-21.

KAP-501.4.6 The Compliance Officer shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-501.4.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-501.4.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/057 and that compliance is certified every quarter.

KAP-501.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 385 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.13.

Section 501.5 Beneficial Ownership - Operating Rule Set 501.5

KAP-501.5.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/021 and that compliance is certified every quarter.

KAP-501.5.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure E-38.

KAP-501.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 365 lakh require prior

written approval from the Audit Department; otherwise the case is an exception under Clause 12.17.

KAP-501.5.4 The Compliance Officer shall review account-opening forms within 12 working days of receipt and record the outcome in the Case Management system.

KAP-501.5.5 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/180 and that compliance is certified every quarter.

KAP-501.5.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-36.

KAP-501.5.7 Cases involving identity documents with an exposure above Rs. 7 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.12.

KAP-501.5.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure H-9.

KAP-501.5.9 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure G-5.

KAP-501.5.10 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 501.6 Beneficial Ownership - Operating Rule Set 501.6

KAP-501.6.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-501.6.2 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-501.6.3 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-501.6.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-501.6.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-501.6.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-501.6.7 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/167 and that compliance is certified every quarter.

KAP-501.6.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/245 and that compliance is certified every quarter.

KAP-501.6.9 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure F-25.

KAP-501.6.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 501.7 Beneficial Ownership - Operating Rule Set 501.7

KAP-501.7.1 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/066 and that compliance is certified every quarter.

KAP-501.7.2 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure B-17.

KAP-501.7.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-501.7.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-501.7.5 Cases involving cash transaction reports with an exposure above Rs. 298 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.12.

KAP-501.7.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-501.7.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-501.7.8 The Operations Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

KAP-501.7.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-501.7.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-501.7.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 291 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.30.

PART 42 - CHAPTER 502: RECORD KEEPING

Section 502.1 Record Keeping - Operating Rule Set 502.1

KAP-502.1.1 Cases involving video-KYC sessions with an exposure above Rs. 448 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.10.

KAP-502.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-502.1.3 The Credit Committee shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Document Management system.

KAP-502.1.4 Cases involving risk-rating files with an exposure above Rs. 423 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.12.

KAP-502.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-502.1.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure H-9.

KAP-502.1.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-502.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-502.1.9 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure B-31.

KAP-502.1.10 Cases involving beneficial-owner declarations with an exposure above Rs. 235 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.25.

Section 502.2 Record Keeping - Operating Rule Set 502.2

KAP-502.2.1 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure D-30.

KAP-502.2.2 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure G-25.

KAP-502.2.3 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/091 and that compliance is certified every quarter.

KAP-502.2.4 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure D-33.

KAP-502.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-502.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-502.2.7 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/028 and that compliance is certified every quarter.

KAP-502.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-502.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

Section 502.3 Record Keeping - Operating Rule Set 502.3

KAP-502.3.1 The Credit Committee shall review identity documents within 19 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-502.3.2 Cases involving risk-rating files with an exposure above Rs. 203 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.19.

KAP-502.3.3 The Audit Department shall review account-opening forms within 22 working days of receipt and record the outcome in the Document Management system.

KAP-502.3.4 The Compliance Officer shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-502.3.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/200 and that compliance is certified every quarter.

KAP-502.3.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure C-17.

KAP-502.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-502.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-502.3.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-502.3.10 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/241 and that compliance is certified every quarter.

KAP-502.3.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-502.3.12 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/200 and that compliance is certified every quarter.

Section 502.4 Record Keeping - Operating Rule Set 502.4

KAP-502.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-502.4.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-502.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-502.4.4 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-502.4.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-16.

KAP-502.4.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-502.4.7 Cases involving cash transaction reports with an exposure above Rs. 189 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.4.

KAP-502.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-502.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-502.4.10 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure B-12.

KAP-502.4.11 The Branch Manager shall review address proofs within 22 working days of receipt and record the outcome in the Document Management system.

KAP-502.4.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 502.5 Record Keeping - Operating Rule Set 502.5

KAP-502.5.1 The Credit Committee shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Document Management system.

KAP-502.5.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure D-34.

KAP-502.5.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/139 and that compliance is certified every quarter.

KAP-502.5.4 The Branch Manager shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Case Management system.

KAP-502.5.5 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-502.5.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure D-20.

KAP-502.5.7 The Risk Management Department shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

KAP-502.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-502.5.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-502.5.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-502.5.11 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-502.5.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

PART 42 - CHAPTER 503: STAFF TRAINING

Section 503.1 Staff Training - Operating Rule Set 503.1

KAP-503.1.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-503.1.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure D-33.

KAP-503.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-503.1.4 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure A-21.

KAP-503.1.5 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/272 and that compliance is certified every quarter.

KAP-503.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-503.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-503.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 333 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.8.

KAP-503.1.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-503.1.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-503.1.11 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/096 and that compliance is certified every quarter.

Section 503.2 Staff Training - Operating Rule Set 503.2

KAP-503.2.1 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-503.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 293 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.22.

KAP-503.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 258 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.1.

KAP-503.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 49 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.30.

KAP-503.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-503.2.6 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure B-2.

KAP-503.2.7 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/222 and that compliance is certified every quarter.

KAP-503.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-503.2.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/129 and that compliance is certified every quarter.

KAP-503.2.10 Cases involving cash transaction reports with an exposure above Rs. 370 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.26.

Section 503.3 Staff Training - Operating Rule Set 503.3

KAP-503.3.1 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-503.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-503.3.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure B-33.

KAP-503.3.4 In case of a regulatory query, the Audit Department must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure F-26.

KAP-503.3.5 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/213 and that compliance is certified every quarter.

KAP-503.3.6 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure H-36.

KAP-503.3.7 The Audit Department shall review PEP screening results within 24 working days of receipt and record the outcome in the Case Management system.

KAP-503.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-503.3.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-503.3.10 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-503.3.11 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/221 and that compliance is certified every quarter.

Section 503.4 Staff Training - Operating Rule Set 503.4

KAP-503.4.1 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-503.4.2 Cases involving correspondent-bank relationships with an exposure above Rs. 348 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.1.

KAP-503.4.3 The Zonal Head shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-503.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-503.4.5 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-34.

KAP-503.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the

Compliance Officer by the 4th day of the following month.

KAP-503.4.7 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/007 and that compliance is certified every quarter.

KAP-503.4.8 Cases involving PEP screening results with an exposure above Rs. 336 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.9.

KAP-503.4.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-503.4.10 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-503.4.11 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure A-37.

PART 42 - CHAPTER 504: INDEPENDENT AUDIT

Section 504.1 Independent Audit - Operating Rule Set 504.1

KAP-504.1.1 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/236 and that compliance is certified every quarter.

KAP-504.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-504.1.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/054 and that compliance is certified every quarter.

KAP-504.1.4 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-504.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-504.1.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/041 and that compliance is certified every quarter.

KAP-504.1.7 The Operations Head shall review cash transaction reports within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-504.1.8 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-504.1.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-504.1.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 448 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.26.

KAP-504.1.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-504.1.12 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 504.2 Independent Audit - Operating Rule Set 504.2

KAP-504.2.1 Cases involving address proofs with an exposure above Rs. 445 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.12.

KAP-504.2.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/295 and that compliance is certified every quarter.

KAP-504.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure B-29.

KAP-504.2.4 The Audit Department shall review address proofs within 21 working days of receipt and record the outcome in the Case Management system.

KAP-504.2.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-504.2.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/018 and that compliance is certified every quarter.

KAP-504.2.7 The Audit Department shall review account-opening forms within 9 working days of receipt and record the

outcome in the Case Management system.

KAP-504.2.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure C-40.

Section 504.3 Independent Audit - Operating Rule Set 504.3

KAP-504.3.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-504.3.2 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/030 and that compliance is certified every quarter.

KAP-504.3.3 Cases involving identity documents with an exposure above Rs. 468 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.30.

KAP-504.3.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-504.3.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure B-40.

KAP-504.3.6 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-504.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 393 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.2.

KAP-504.3.8 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-504.3.9 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure G-40.

KAP-504.3.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

Section 504.4 Independent Audit - Operating Rule Set 504.4

KAP-504.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-504.4.2 Cases involving account-opening forms with an exposure above Rs. 407 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.4.

KAP-504.4.3 Cases involving account-opening forms with an exposure above Rs. 254 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.2.

KAP-504.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-504.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-504.4.6 Cases involving cash transaction reports with an exposure above Rs. 338 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.27.

KAP-504.4.7 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure B-16.

KAP-504.4.8 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-504.4.9 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-504.4.10 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/097 and that compliance is certified every quarter.

PART 43 - CHAPTER 505: CUSTOMER ACCEPTANCE

Section 505.1 Customer Acceptance - Operating Rule Set 505.1

KAP-505.1.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-505.1.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-505.1.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-505.1.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-505.1.5 The Compliance Officer shall review address proofs within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-505.1.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-505.1.7 For private-limited-company customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-505.1.8 The Operations Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-505.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-505.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-505.1.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-505.1.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 505.2 Customer Acceptance - Operating Rule Set 505.2

KAP-505.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-505.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-505.2.3 For NRI customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-505.2.4 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-505.2.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/198 and that compliance is certified every quarter.

KAP-505.2.6 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-505.2.7 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure D-11.

KAP-505.2.8 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-505.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 359 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.14.

KAP-505.2.10 Cases involving risk-rating files with an exposure above Rs. 417 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.29.

Section 505.3 Customer Acceptance - Operating Rule Set 505.3

KAP-505.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-505.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-505.3.3 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure A-12.

KAP-505.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 367 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.5.

KAP-505.3.5 Cases involving account-opening forms with an exposure above Rs. 365 lakh require prior written approval

from the Compliance Officer; otherwise the case is an exception under Clause 7.30.

KAP-505.3.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure D-22.

KAP-505.3.7 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-505.3.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-505.3.9 The Operations Head shall review address proofs within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-505.3.10 The Audit Department shall review PEP screening results within 18 working days of receipt and record the outcome in the Case Management system.

Section 505.4 Customer Acceptance - Operating Rule Set 505.4

KAP-505.4.1 For NRI customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-505.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-505.4.3 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/185 and that compliance is certified every quarter.

KAP-505.4.4 The Credit Committee shall review cash transaction reports within 18 working days of receipt and record the outcome in the Case Management system.

KAP-505.4.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-505.4.6 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-505.4.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-505.4.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-505.4.9 Cases involving video-KYC sessions with an exposure above Rs. 296 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.2.

KAP-505.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

PART 43 - CHAPTER 506: CUSTOMER IDENTIFICATION

Section 506.1 Customer Identification - Operating Rule Set 506.1

KAP-506.1.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/005 and that compliance is certified every quarter.

KAP-506.1.2 The Branch Manager shall review risk-rating files within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-506.1.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-506.1.4 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-506.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-506.1.6 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-506.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-506.1.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/039 and that compliance is certified every quarter.

KAP-506.1.9 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular

KAP/2020/004 and that compliance is certified every quarter.

KAP-506.1.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 506.2 Customer Identification - Operating Rule Set 506.2

KAP-506.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-506.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-506.2.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-506.2.4 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-506.2.5 Cases involving address proofs with an exposure above Rs. 436 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.14.

KAP-506.2.6 The Zonal Head shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Document Management system.

KAP-506.2.7 The Operations Head shall review PEP screening results within 19 working days of receipt and record the outcome in the Document Management system.

KAP-506.2.8 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-506.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

Section 506.3 Customer Identification - Operating Rule Set 506.3

KAP-506.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-506.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-506.3.3 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/219 and that compliance is certified every quarter.

KAP-506.3.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-506.3.5 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/058 and that compliance is certified every quarter.

KAP-506.3.6 The Operations Head shall review cash transaction reports within 27 working days of receipt and record the outcome in the Case Management system.

KAP-506.3.7 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-506.3.8 Cases involving address proofs with an exposure above Rs. 192 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.2.

KAP-506.3.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-22.

KAP-506.3.10 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/143 and that compliance is certified every quarter.

KAP-506.3.11 The Regional Credit Officer shall review risk-rating files within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-506.3.12 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

Section 506.4 Customer Identification - Operating Rule Set 506.4

KAP-506.4.1 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-506.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the

4th day of the following month.

KAP-506.4.3 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure B-36.

KAP-506.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-506.4.5 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-506.4.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure E-37.

KAP-506.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-506.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-506.4.9 Cases involving video-KYC sessions with an exposure above Rs. 368 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.20.

Section 506.5 Customer Identification - Operating Rule Set 506.5

KAP-506.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-506.5.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-506.5.3 Cases involving PEP screening results with an exposure above Rs. 496 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.15.

KAP-506.5.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure B-3.

KAP-506.5.5 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure F-23.

KAP-506.5.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-506.5.7 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-506.5.8 The Audit Department shall review account-opening forms within 18 working days of receipt and record the outcome in the Case Management system.

KAP-506.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-506.5.10 The Risk Management Department shall review PEP screening results within 3 working days of receipt and record the outcome in the Document Management system.

KAP-506.5.11 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/213 and that compliance is certified every quarter.

KAP-506.5.12 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-506.5.13 The Compliance Officer shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Document Management system.

Section 506.6 Customer Identification - Operating Rule Set 506.6

KAP-506.6.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure G-37.

KAP-506.6.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-506.6.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/024 and that compliance is certified every quarter.

KAP-506.6.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-506.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-506.6.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure G-1.

KAP-506.6.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure G-28.

KAP-506.6.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure C-36.

KAP-506.6.9 In case of a regulatory query, the Audit Department must escalate the matter to the Audit Department within 17 working days, with the supporting documents listed in Annexure A-32.

KAP-506.6.10 The Operations Head shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-506.6.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-506.6.12 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure C-9.

Section 506.7 Customer Identification - Operating Rule Set 506.7

KAP-506.7.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-506.7.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-506.7.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure C-11.

KAP-506.7.4 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-506.7.5 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-506.7.6 The Zonal Head shall review identity documents within 16 working days of receipt and record the outcome in the Case Management system.

KAP-506.7.7 The Credit Committee shall review beneficial-owner declarations within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-506.7.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

PART 43 - CHAPTER 507: CUSTOMER DUE DILIGENCE

Section 507.1 Customer Due Diligence - Operating Rule Set 507.1

KAP-507.1.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/219 and that compliance is certified every quarter.

KAP-507.1.2 In case of a system outage, the Zonal Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure F-31.

KAP-507.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-507.1.4 Cases involving account-opening forms with an exposure above Rs. 141 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.3.

KAP-507.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 469 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.2.

KAP-507.1.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-507.1.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-507.1.8 Cases involving account-opening forms with an exposure above Rs. 140 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.29.

KAP-507.1.9 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-507.1.10 The Regional Credit Officer shall review risk-rating files within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-507.1.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-507.1.12 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

Section 507.2 Customer Due Diligence - Operating Rule Set 507.2

KAP-507.2.1 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-507.2.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-507.2.3 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/268 and that compliance is certified every quarter.

KAP-507.2.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-31.

KAP-507.2.5 Cases involving address proofs with an exposure above Rs. 108 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.3.

KAP-507.2.6 Cases involving address proofs with an exposure above Rs. 196 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.11.

KAP-507.2.7 Cases involving account-opening forms with an exposure above Rs. 78 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.11.

KAP-507.2.8 Cases involving address proofs with an exposure above Rs. 363 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.6.

KAP-507.2.9 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-507.2.10 The Risk Management Department shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-507.2.11 Cases involving correspondent-bank relationships with an exposure above Rs. 213 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.23.

KAP-507.2.12 The Regional Credit Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Loan Origination system.

Section 507.3 Customer Due Diligence - Operating Rule Set 507.3

KAP-507.3.1 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-507.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-507.3.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure D-29.

KAP-507.3.4 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-507.3.5 Cases involving PEP screening results with an exposure above Rs. 408 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.27.

KAP-507.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-507.3.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-507.3.8 The Branch Manager shall review cash transaction reports within 4 working days of receipt and record the outcome in the Document Management system.

KAP-507.3.9 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a

tolerance of 6% as approved by the Board.

KAP-507.3.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 507.4 Customer Due Diligence - Operating Rule Set 507.4

KAP-507.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-507.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-507.4.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-507.4.4 Cases involving cash transaction reports with an exposure above Rs. 468 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.14.

KAP-507.4.5 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-507.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-507.4.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-507.4.8 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 507.5 Customer Due Diligence - Operating Rule Set 507.5

KAP-507.5.1 Cases involving PEP screening results with an exposure above Rs. 245 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.23.

KAP-507.5.2 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-507.5.3 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-507.5.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-507.5.5 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure A-25.

KAP-507.5.6 The Branch Manager shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Document Management system.

KAP-507.5.7 Cases involving address proofs with an exposure above Rs. 128 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.2.

KAP-507.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-507.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 233 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.8.

KAP-507.5.10 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure D-24.

KAP-507.5.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 383 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.25.

PART 43 - CHAPTER 508: ENHANCED DUE DILIGENCE

Section 508.1 Enhanced Due Diligence - Operating Rule Set 508.1

KAP-508.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-508.1.2 The Operations Head shall review account-opening forms within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-508.1.3 The Audit Department shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-508.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-508.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 281 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.4.

KAP-508.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-508.1.7 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-508.1.8 Cases involving video-KYC sessions with an exposure above Rs. 61 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.15.

KAP-508.1.9 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/074 and that compliance is certified every quarter.

Section 508.2 Enhanced Due Diligence - Operating Rule Set 508.2

KAP-508.2.1 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-508.2.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-508.2.3 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-508.2.4 The Branch Manager shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Case Management system.

KAP-508.2.5 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-508.2.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-508.2.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-508.2.8 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-508.2.9 Cases involving cash transaction reports with an exposure above Rs. 176 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.4.

KAP-508.2.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-508.2.11 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-508.2.12 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 508.3 Enhanced Due Diligence - Operating Rule Set 508.3

KAP-508.3.1 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/168 and that compliance is certified every quarter.

KAP-508.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-508.3.3 The Zonal Head shall review identity documents within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-508.3.4 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-508.3.5 Cases involving correspondent-bank relationships with an exposure above Rs. 442 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.23.

KAP-508.3.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/290 and that compliance is certified every quarter.

KAP-508.3.7 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 11

working days, with the supporting documents listed in Annexure B-40.

KAP-508.3.8 Cases involving PEP screening results with an exposure above Rs. 261 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.3.

KAP-508.3.9 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/190 and that compliance is certified every quarter.

KAP-508.3.10 The Compliance Officer shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-508.3.11 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/151 and that compliance is certified every quarter.

KAP-508.3.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

Section 508.4 Enhanced Due Diligence - Operating Rule Set 508.4

KAP-508.4.1 Cases involving cash transaction reports with an exposure above Rs. 301 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.9.

KAP-508.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-508.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 383 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.27.

KAP-508.4.4 The Zonal Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Case Management system.

KAP-508.4.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-508.4.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure B-10.

KAP-508.4.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-508.4.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-508.4.9 Cases involving identity documents with an exposure above Rs. 421 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.6.

KAP-508.4.10 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure F-27.

Section 508.5 Enhanced Due Diligence - Operating Rule Set 508.5

KAP-508.5.1 The Compliance Officer shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Case Management system.

KAP-508.5.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure B-1.

KAP-508.5.3 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-508.5.4 Cases involving address proofs with an exposure above Rs. 413 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.30.

KAP-508.5.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure A-26.

KAP-508.5.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-508.5.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 15 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.19.

KAP-508.5.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-508.5.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-508.5.10 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 508.6 Enhanced Due Diligence - Operating Rule Set 508.6

KAP-508.6.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-508.6.2 Cases involving identity documents with an exposure above Rs. 382 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.30.

KAP-508.6.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-508.6.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/273 and that compliance is certified every quarter.

KAP-508.6.5 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-26.

KAP-508.6.6 Cases involving cash transaction reports with an exposure above Rs. 404 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.22.

KAP-508.6.7 The Compliance Officer shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-508.6.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

KAP-508.6.9 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

PART 43 - CHAPTER 509: RISK CATEGORISATION

Section 509.1 Risk Categorisation - Operating Rule Set 509.1

KAP-509.1.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-509.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-509.1.3 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure H-36.

KAP-509.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-509.1.5 In case of a change in borrower profile, the Audit Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure D-9.

KAP-509.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-509.1.7 The Branch Manager shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-509.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-509.1.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/261 and that compliance is certified every quarter.

Section 509.2 Risk Categorisation - Operating Rule Set 509.2

KAP-509.2.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-509.2.2 The Compliance Officer shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Document Management system.

KAP-509.2.3 Cases involving identity documents with an exposure above Rs. 23 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.3.

KAP-509.2.4 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-509.2.5 The Branch Manager shall review beneficial-owner declarations within 14 working days of receipt and record

the outcome in the Loan Origination system.

KAP-509.2.6 Cases involving PEP screening results with an exposure above Rs. 352 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.15.

KAP-509.2.7 The Regional Credit Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Case Management system.

KAP-509.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-509.2.9 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure G-6.

Section 509.3 Risk Categorisation - Operating Rule Set 509.3

KAP-509.3.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure F-13.

KAP-509.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 185 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.20.

KAP-509.3.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/027 and that compliance is certified every quarter.

KAP-509.3.4 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-509.3.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/244 and that compliance is certified every quarter.

KAP-509.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-509.3.7 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-509.3.8 The Risk Management Department shall review cash transaction reports within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-509.3.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-509.3.10 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 509.4 Risk Categorisation - Operating Rule Set 509.4

KAP-509.4.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-509.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-509.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-509.4.4 The Zonal Head shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Document Management system.

KAP-509.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-509.4.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure H-21.

KAP-509.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-509.4.8 The Zonal Head shall review risk-rating files within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-509.4.9 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 509.5 Risk Categorisation - Operating Rule Set 509.5

KAP-509.5.1 The Zonal Head shall review cash transaction reports within 23 working days of receipt and record the

outcome in the Core Banking system.

KAP-509.5.2 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/188 and that compliance is certified every quarter.

KAP-509.5.3 The Audit Department shall review risk-rating files within 17 working days of receipt and record the outcome in the Case Management system.

KAP-509.5.4 In case of a customer complaint, the Compliance Officer must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure A-10.

KAP-509.5.5 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-509.5.6 The Audit Department shall review PEP screening results within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-509.5.7 The Zonal Head shall review address proofs within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-509.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-509.5.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

PART 43 - CHAPTER 510: TRANSACTION MONITORING

Section 510.1 Transaction Monitoring - Operating Rule Set 510.1

KAP-510.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-510.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-510.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-510.1.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure B-8.

KAP-510.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-510.1.6 Cases involving address proofs with an exposure above Rs. 319 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.20.

KAP-510.1.7 The Zonal Head shall review address proofs within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-510.1.8 The Branch Manager shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Document Management system.

KAP-510.1.9 Cases involving identity documents with an exposure above Rs. 131 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.10.

KAP-510.1.10 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/218 and that compliance is certified every quarter.

Section 510.2 Transaction Monitoring - Operating Rule Set 510.2

KAP-510.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 248 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.1.

KAP-510.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 297 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.21.

KAP-510.2.3 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-510.2.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-510.2.5 Cases involving address proofs with an exposure above Rs. 341 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.30.

KAP-510.2.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit

Department within 11 working days, with the supporting documents listed in Annexure C-30.

KAP-510.2.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-510.2.8 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-510.2.9 Cases involving address proofs with an exposure above Rs. 17 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.17.

KAP-510.2.10 The Audit Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-510.2.11 The Compliance Officer shall review address proofs within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-510.2.12 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure F-26.

Section 510.3 Transaction Monitoring - Operating Rule Set 510.3

KAP-510.3.1 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-510.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-510.3.3 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/078 and that compliance is certified every quarter.

KAP-510.3.4 Cases involving video-KYC sessions with an exposure above Rs. 398 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.8.

KAP-510.3.5 Cases involving video-KYC sessions with an exposure above Rs. 393 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.27.

KAP-510.3.6 The Credit Committee shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-510.3.7 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-510.3.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-510.3.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure A-37.

KAP-510.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-510.3.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

Section 510.4 Transaction Monitoring - Operating Rule Set 510.4

KAP-510.4.1 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-510.4.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure F-34.

KAP-510.4.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-510.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-510.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-510.4.6 The Zonal Head shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-510.4.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/264 and that compliance is certified every quarter.

KAP-510.4.8 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/048 and that compliance is certified every quarter.

KAP-510.4.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/293 and that compliance is certified every quarter.

Section 510.5 Transaction Monitoring - Operating Rule Set 510.5

KAP-510.5.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure A-5.

KAP-510.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-510.5.3 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-510.5.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-510.5.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 316 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.16.

KAP-510.5.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure F-33.

KAP-510.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-510.5.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/012 and that compliance is certified every quarter.

KAP-510.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-510.5.10 Cases involving identity documents with an exposure above Rs. 439 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.5.

PART 43 - CHAPTER 511: SUSPICIOUS TRANSACTION REPORTING

Section 511.1 Suspicious Transaction Reporting - Operating Rule Set 511.1

KAP-511.1.1 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/217 and that compliance is certified every quarter.

KAP-511.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-511.1.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-511.1.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-511.1.5 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-511.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-511.1.7 The Audit Department shall review address proofs within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-511.1.8 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure E-17.

KAP-511.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-511.1.10 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/065 and that compliance is certified every quarter.

KAP-511.1.11 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-511.1.12 The Credit Committee shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Core Banking system.

Section 511.2 Suspicious Transaction Reporting - Operating Rule Set 511.2

KAP-511.2.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-511.2.2 Cases involving PEP screening results with an exposure above Rs. 188 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.6.

KAP-511.2.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-511.2.4 The Branch Manager shall review identity documents within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-511.2.5 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure H-7.

KAP-511.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-511.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-511.2.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-511.2.9 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

Section 511.3 Suspicious Transaction Reporting - Operating Rule Set 511.3

KAP-511.3.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-511.3.2 Cases involving video-KYC sessions with an exposure above Rs. 99 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.4.

KAP-511.3.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure C-5.

KAP-511.3.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/273 and that compliance is certified every quarter.

KAP-511.3.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/093 and that compliance is certified every quarter.

KAP-511.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-511.3.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-511.3.8 Cases involving address proofs with an exposure above Rs. 317 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.12.

KAP-511.3.9 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure F-26.

KAP-511.3.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-511.3.11 Cases involving PEP screening results with an exposure above Rs. 384 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.2.

Section 511.4 Suspicious Transaction Reporting - Operating Rule Set 511.4

KAP-511.4.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-511.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-511.4.3 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/121 and that compliance is certified every quarter.

KAP-511.4.4 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-511.4.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/208 and that compliance is certified every quarter.

KAP-511.4.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-511.4.7 Cases involving identity documents with an exposure above Rs. 146 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.25.

KAP-511.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-511.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-511.4.10 Cases involving risk-rating files with an exposure above Rs. 159 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.30.

Section 511.5 Suspicious Transaction Reporting - Operating Rule Set 511.5

KAP-511.5.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-511.5.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/196 and that compliance is certified every quarter.

KAP-511.5.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/263 and that compliance is certified every quarter.

KAP-511.5.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-511.5.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure F-12.

KAP-511.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-511.5.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-511.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-511.5.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/041 and that compliance is certified every quarter.

KAP-511.5.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-511.5.11 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

PART 43 - CHAPTER 512: POLITICALLY EXPOSED PERSONS

Section 512.1 Politically Exposed Persons - Operating Rule Set 512.1

KAP-512.1.1 The Credit Committee shall review account-opening forms within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-512.1.2 Cases involving cash transaction reports with an exposure above Rs. 233 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.27.

KAP-512.1.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-512.1.4 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-16.

KAP-512.1.5 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-512.1.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-512.1.7 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/145 and that compliance is certified every quarter.

KAP-512.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 329 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.26.

KAP-512.1.9 The Branch Manager shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-512.1.10 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/058 and that compliance is certified every quarter.

KAP-512.1.11 Cases involving risk-rating files with an exposure above Rs. 389 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.10.

Section 512.2 Politically Exposed Persons - Operating Rule Set 512.2

KAP-512.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-512.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-512.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-512.2.4 Cases involving risk-rating files with an exposure above Rs. 73 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.26.

KAP-512.2.5 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure A-9.

KAP-512.2.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure B-34.

KAP-512.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-512.2.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-512.2.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-512.2.10 Cases involving cash transaction reports with an exposure above Rs. 453 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.19.

Section 512.3 Politically Exposed Persons - Operating Rule Set 512.3

KAP-512.3.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure E-5.

KAP-512.3.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-512.3.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-512.3.4 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/060 and that compliance is certified every quarter.

KAP-512.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-512.3.6 The Zonal Head shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Case Management system.

KAP-512.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-512.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-512.3.9 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/152 and that compliance is certified every quarter.

Section 512.4 Politically Exposed Persons - Operating Rule Set 512.4

KAP-512.4.1 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-512.4.2 The Credit Committee shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-512.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 275 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.6.

KAP-512.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-512.4.5 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/092 and that compliance is certified every quarter.

KAP-512.4.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure G-2.

KAP-512.4.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure E-8.

KAP-512.4.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure G-27.

KAP-512.4.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-512.4.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 20 days written notice.

Section 512.5 Politically Exposed Persons - Operating Rule Set 512.5

KAP-512.5.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/054 and that compliance is certified every quarter.

KAP-512.5.2 The Zonal Head shall review address proofs within 4 working days of receipt and record the outcome in the Document Management system.

KAP-512.5.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-512.5.4 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-512.5.5 The Credit Committee shall review address proofs within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-512.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-512.5.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-512.5.8 The Audit Department shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Document Management system.

KAP-512.5.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/059 and that compliance is certified every quarter.

KAP-512.5.10 The Compliance Officer shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-512.5.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

Section 512.6 Politically Exposed Persons - Operating Rule Set 512.6

KAP-512.6.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/039 and that compliance is certified every quarter.

KAP-512.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-512.6.3 Cases involving PEP screening results with an exposure above Rs. 50 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.20.

KAP-512.6.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-512.6.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the

Risk Management Department by the 12th day of the following month.

KAP-512.6.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure H-3.

KAP-512.6.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 383 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.8.

KAP-512.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-512.6.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-512.6.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 13 days written notice.

PART 43 - CHAPTER 513: BENEFICIAL OWNERSHIP

Section 513.1 Beneficial Ownership - Operating Rule Set 513.1

KAP-513.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-513.1.2 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure C-24.

KAP-513.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-513.1.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-513.1.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/042 and that compliance is certified every quarter.

KAP-513.1.6 For trust customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-513.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-513.1.8 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure F-1.

KAP-513.1.9 The Credit Committee shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-513.1.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

Section 513.2 Beneficial Ownership - Operating Rule Set 513.2

KAP-513.2.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-513.2.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/232 and that compliance is certified every quarter.

KAP-513.2.3 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/249 and that compliance is certified every quarter.

KAP-513.2.4 The Zonal Head shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-513.2.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-513.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-513.2.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-4.

KAP-513.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 247 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.1.

KAP-513.2.9 Cases involving account-opening forms with an exposure above Rs. 229 lakh require prior written approval

from the Credit Committee; otherwise the case is an exception under Clause 5.15.

Section 513.3 Beneficial Ownership - Operating Rule Set 513.3

KAP-513.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-513.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-513.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-513.3.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-513.3.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-513.3.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure B-34.

KAP-513.3.7 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-513.3.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure F-1.

KAP-513.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 435 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.1.

Section 513.4 Beneficial Ownership - Operating Rule Set 513.4

KAP-513.4.1 The Risk Management Department shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-513.4.2 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-513.4.3 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/062 and that compliance is certified every quarter.

KAP-513.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-513.4.5 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-513.4.6 Cases involving correspondent-bank relationships with an exposure above Rs. 207 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.27.

KAP-513.4.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-513.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-513.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

Section 513.5 Beneficial Ownership - Operating Rule Set 513.5

KAP-513.5.1 Cases involving risk-rating files with an exposure above Rs. 270 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.8.

KAP-513.5.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-513.5.3 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-513.5.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-513.5.5 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/044 and that compliance is certified every quarter.

KAP-513.5.6 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based

method, with a tolerance of 6% as approved by the Board.

KAP-513.5.7 Cases involving account-opening forms with an exposure above Rs. 322 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.8.

KAP-513.5.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-3.

KAP-513.5.9 The Regional Credit Officer shall review address proofs within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-513.5.10 The Risk Management Department shall review risk-rating files within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-513.5.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure H-18.

PART 43 - CHAPTER 514: RECORD KEEPING

Section 514.1 Record Keeping - Operating Rule Set 514.1

KAP-514.1.1 The Risk Management Department shall review identity documents within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-514.1.2 Cases involving cash transaction reports with an exposure above Rs. 315 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.21.

KAP-514.1.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-514.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-514.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-514.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-514.1.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-514.1.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-514.1.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-514.1.10 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/115 and that compliance is certified every quarter.

Section 514.2 Record Keeping - Operating Rule Set 514.2

KAP-514.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-514.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-514.2.3 For NRI customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-514.2.4 Cases involving video-KYC sessions with an exposure above Rs. 316 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.29.

KAP-514.2.5 The Zonal Head shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-514.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-514.2.7 Cases involving correspondent-bank relationships with an exposure above Rs. 47 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.2.

KAP-514.2.8 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/251 and that compliance is certified every quarter.

KAP-514.2.9 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2022/027 and that compliance is certified every quarter.

KAP-514.2.10 Cases involving risk-rating files with an exposure above Rs. 131 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.20.

KAP-514.2.11 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-514.2.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-514.2.13 Cases involving risk-rating files with an exposure above Rs. 131 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.21.

Section 514.3 Record Keeping - Operating Rule Set 514.3

KAP-514.3.1 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-514.3.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/190 and that compliance is certified every quarter.

KAP-514.3.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure B-20.

KAP-514.3.4 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-514.3.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure C-2.

KAP-514.3.6 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-514.3.7 In case of a request for exception, the Operations Head must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure A-11.

KAP-514.3.8 The Zonal Head shall review risk-rating files within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-514.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-514.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

Section 514.4 Record Keeping - Operating Rule Set 514.4

KAP-514.4.1 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure G-9.

KAP-514.4.2 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/234 and that compliance is certified every quarter.

KAP-514.4.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-514.4.4 Cases involving PEP screening results with an exposure above Rs. 482 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.1.

KAP-514.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-514.4.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure F-28.

KAP-514.4.7 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-514.4.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/268 and that compliance is certified every quarter.

KAP-514.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 489 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.24.

Section 514.5 Record Keeping - Operating Rule Set 514.5

KAP-514.5.1 Cases involving address proofs with an exposure above Rs. 472 lakh require prior written approval from the

Risk Management Department; otherwise the case is an exception under Clause 9.23.

KAP-514.5.2 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-514.5.3 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-514.5.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-514.5.5 The Zonal Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-514.5.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure B-25.

KAP-514.5.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-514.5.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure D-26.

KAP-514.5.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-514.5.10 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure A-24.

KAP-514.5.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 514.6 Record Keeping - Operating Rule Set 514.6

KAP-514.6.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/017 and that compliance is certified every quarter.

KAP-514.6.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-514.6.3 In case of a regulatory query, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure F-40.

KAP-514.6.4 Cases involving risk-rating files with an exposure above Rs. 14 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.6.

KAP-514.6.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-514.6.6 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/105 and that compliance is certified every quarter.

KAP-514.6.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-514.6.8 Cases involving PEP screening results with an exposure above Rs. 451 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.24.

KAP-514.6.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-514.6.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-514.6.11 The Audit Department shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-514.6.12 Cases involving risk-rating files with an exposure above Rs. 411 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.17.

Section 514.7 Record Keeping - Operating Rule Set 514.7

KAP-514.7.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure D-25.

KAP-514.7.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-514.7.3 Cases involving identity documents with an exposure above Rs. 232 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.12.

KAP-514.7.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/168 and that compliance is certified every quarter.

KAP-514.7.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/229 and that compliance is certified every quarter.

KAP-514.7.6 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-514.7.7 Cases involving video-KYC sessions with an exposure above Rs. 435 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.13.

KAP-514.7.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-514.7.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-514.7.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-514.7.11 Cases involving correspondent-bank relationships with an exposure above Rs. 109 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.28.

Section 514.8 Record Keeping - Operating Rule Set 514.8

KAP-514.8.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-514.8.2 The Operations Head shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-514.8.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure F-34.

KAP-514.8.4 The Operations Head shall review identity documents within 26 working days of receipt and record the outcome in the Core Banking system.

KAP-514.8.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-514.8.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-514.8.7 The Compliance Officer shall review PEP screening results within 7 working days of receipt and record the outcome in the Document Management system.

KAP-514.8.8 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure G-5.

KAP-514.8.9 Cases involving address proofs with an exposure above Rs. 75 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.14.

KAP-514.8.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-514.8.11 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

PART 43 - CHAPTER 515: STAFF TRAINING

Section 515.1 Staff Training - Operating Rule Set 515.1

KAP-515.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-515.1.2 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-515.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-515.1.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-515.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-515.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-515.1.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-515.1.8 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/153 and that compliance is certified every quarter.

KAP-515.1.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-515.1.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-515.1.11 Cases involving correspondent-bank relationships with an exposure above Rs. 445 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.21.

KAP-515.1.12 Cases involving PEP screening results with an exposure above Rs. 478 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.23.

Section 515.2 Staff Training - Operating Rule Set 515.2

KAP-515.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-515.2.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/284 and that compliance is certified every quarter.

KAP-515.2.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure B-21.

KAP-515.2.4 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/184 and that compliance is certified every quarter.

KAP-515.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-515.2.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-515.2.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-515.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 286 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.3.

KAP-515.2.9 Cases involving identity documents with an exposure above Rs. 387 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.25.

KAP-515.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-515.2.11 The Regional Credit Officer shall review address proofs within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-515.2.12 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 515.3 Staff Training - Operating Rule Set 515.3

KAP-515.3.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-515.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-515.3.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/206 and that compliance is certified every quarter.

KAP-515.3.4 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-515.3.5 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a

tolerance of 2% as approved by the Board.

KAP-515.3.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-515.3.7 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure C-32.

KAP-515.3.8 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-515.3.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-515.3.10 Cases involving correspondent-bank relationships with an exposure above Rs. 171 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.14.

KAP-515.3.11 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 14 days written notice.

Section 515.4 Staff Training - Operating Rule Set 515.4

KAP-515.4.1 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-515.4.2 The Operations Head shall review risk-rating files within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-515.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 259 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.6.

KAP-515.4.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure G-29.

KAP-515.4.5 Cases involving video-KYC sessions with an exposure above Rs. 271 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.13.

KAP-515.4.6 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure A-14.

KAP-515.4.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-515.4.8 The Compliance Officer shall review account-opening forms within 6 working days of receipt and record the outcome in the Core Banking system.

Section 515.5 Staff Training - Operating Rule Set 515.5

KAP-515.5.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 234 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.26.

KAP-515.5.2 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure B-18.

KAP-515.5.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-515.5.4 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-515.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-515.5.6 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-515.5.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure F-33.

KAP-515.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-515.5.9 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure F-26.

PART 43 - CHAPTER 516: INDEPENDENT AUDIT

Section 516.1 Independent Audit - Operating Rule Set 516.1

KAP-516.1.1 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-516.1.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-516.1.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-516.1.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-516.1.5 In case of a regulatory query, the Audit Department must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure G-14.

KAP-516.1.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-516.1.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-516.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 20 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.2.

KAP-516.1.9 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure H-8.

KAP-516.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-516.1.11 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 18 working days, with the supporting documents listed in Annexure D-36.

Section 516.2 Independent Audit - Operating Rule Set 516.2

KAP-516.2.1 The Credit Committee shall review risk-rating files within 25 working days of receipt and record the outcome in the Document Management system.

KAP-516.2.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-516.2.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure F-13.

KAP-516.2.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure A-16.

KAP-516.2.5 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-516.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-516.2.7 Cases involving risk-rating files with an exposure above Rs. 104 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.5.

KAP-516.2.8 Cases involving account-opening forms with an exposure above Rs. 177 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.18.

KAP-516.2.9 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure E-27.

KAP-516.2.10 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/140 and that compliance is certified every quarter.

KAP-516.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 382 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.29.

KAP-516.2.12 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/147 and that compliance is certified every quarter.

Section 516.3 Independent Audit - Operating Rule Set 516.3

KAP-516.3.1 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/031 and that compliance is certified every quarter.

KAP-516.3.2 The Credit Committee shall review address proofs within 8 working days of receipt and record the outcome in

the Loan Origination system.

KAP-516.3.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-516.3.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-516.3.5 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-516.3.6 The Operations Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-516.3.7 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-516.3.8 The Audit Department shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-516.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-516.3.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure E-31.

Section 516.4 Independent Audit - Operating Rule Set 516.4

KAP-516.4.1 The Risk Management Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Case Management system.

KAP-516.4.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-516.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-516.4.4 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure E-26.

KAP-516.4.5 The Zonal Head shall review risk-rating files within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-516.4.6 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure G-23.

KAP-516.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-516.4.8 The Audit Department shall review address proofs within 9 working days of receipt and record the outcome in the Document Management system.

KAP-516.4.9 Cases involving address proofs with an exposure above Rs. 177 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.14.

KAP-516.4.10 Cases involving video-KYC sessions with an exposure above Rs. 475 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.14.

KAP-516.4.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-516.4.12 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 516.5 Independent Audit - Operating Rule Set 516.5

KAP-516.5.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure E-22.

KAP-516.5.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-516.5.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/173 and that compliance is certified every quarter.

KAP-516.5.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-516.5.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-516.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-516.5.7 Cases involving PEP screening results with an exposure above Rs. 384 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.22.

KAP-516.5.8 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-516.5.9 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-516.5.10 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/066 and that compliance is certified every quarter.

Section 516.6 Independent Audit - Operating Rule Set 516.6

KAP-516.6.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/166 and that compliance is certified every quarter.

KAP-516.6.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-516.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-516.6.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 23 working days, with the supporting documents listed in Annexure G-24.

KAP-516.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-516.6.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-516.6.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-516.6.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-516.6.9 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/119 and that compliance is certified every quarter.

KAP-516.6.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-516.6.11 Cases involving beneficial-owner declarations with an exposure above Rs. 182 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.14.

PART 44 - CHAPTER 517: CUSTOMER ACCEPTANCE

Section 517.1 Customer Acceptance - Operating Rule Set 517.1

KAP-517.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-517.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-517.1.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-517.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-517.1.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-517.1.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/085 and that compliance is certified every quarter.

KAP-517.1.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-517.1.8 The Branch Manager shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Case Management system.

KAP-517.1.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-517.1.10 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 517.2 Customer Acceptance - Operating Rule Set 517.2

KAP-517.2.1 Cases involving identity documents with an exposure above Rs. 480 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.5.

KAP-517.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-517.2.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-517.2.4 The Branch Manager shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-517.2.5 Cases involving PEP screening results with an exposure above Rs. 356 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.4.

KAP-517.2.6 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-517.2.7 Cases involving address proofs with an exposure above Rs. 273 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.28.

KAP-517.2.8 The Audit Department shall review identity documents within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-517.2.9 The Branch Manager shall review cash transaction reports within 22 working days of receipt and record the outcome in the Case Management system.

KAP-517.2.10 The Compliance Officer shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-517.2.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-517.2.12 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

Section 517.3 Customer Acceptance - Operating Rule Set 517.3

KAP-517.3.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-517.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 198 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.17.

KAP-517.3.3 Cases involving video-KYC sessions with an exposure above Rs. 23 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.24.

KAP-517.3.4 The Regional Credit Officer shall review identity documents within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-517.3.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/276 and that compliance is certified every quarter.

KAP-517.3.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure D-7.

KAP-517.3.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-517.3.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-517.3.9 Cases involving address proofs with an exposure above Rs. 465 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.1.

KAP-517.3.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be

made available to the Board Audit Committee on request.

Section 517.4 Customer Acceptance - Operating Rule Set 517.4

KAP-517.4.1 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-517.4.2 The Compliance Officer shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Case Management system.

KAP-517.4.3 The Zonal Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-517.4.4 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/204 and that compliance is certified every quarter.

KAP-517.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-517.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-517.4.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/049 and that compliance is certified every quarter.

KAP-517.4.8 The Audit Department shall review risk-rating files within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-517.4.9 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/072 and that compliance is certified every quarter.

KAP-517.4.10 Cases involving identity documents with an exposure above Rs. 144 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.25.

KAP-517.4.11 The Zonal Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Case Management system.

KAP-517.4.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 517.5 Customer Acceptance - Operating Rule Set 517.5

KAP-517.5.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure E-12.

KAP-517.5.2 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-517.5.3 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/214 and that compliance is certified every quarter.

KAP-517.5.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-517.5.5 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure F-27.

KAP-517.5.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure F-22.

KAP-517.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 73 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.27.

KAP-517.5.8 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/217 and that compliance is certified every quarter.

KAP-517.5.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 517.6 Customer Acceptance - Operating Rule Set 517.6

KAP-517.6.1 Cases involving cash transaction reports with an exposure above Rs. 351 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.1.

KAP-517.6.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-517.6.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after

giving the customer 20 days written notice.

KAP-517.6.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-517.6.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure C-4.

KAP-517.6.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-517.6.7 The Branch Manager shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-517.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-517.6.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-517.6.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 517.7 Customer Acceptance - Operating Rule Set 517.7

KAP-517.7.1 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 5 working days, with the supporting documents listed in Annexure H-15.

KAP-517.7.2 The Audit Department shall review cash transaction reports within 9 working days of receipt and record the outcome in the Document Management system.

KAP-517.7.3 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-517.7.4 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure D-26.

KAP-517.7.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure F-2.

KAP-517.7.6 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure G-4.

KAP-517.7.7 Cases involving account-opening forms with an exposure above Rs. 281 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.19.

KAP-517.7.8 Cases involving correspondent-bank relationships with an exposure above Rs. 379 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.23.

KAP-517.7.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure E-34.

PART 44 - CHAPTER 518: CUSTOMER IDENTIFICATION

Section 518.1 Customer Identification - Operating Rule Set 518.1

KAP-518.1.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure C-23.

KAP-518.1.2 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-518.1.3 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure B-28.

KAP-518.1.4 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-518.1.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-518.1.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-518.1.7 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-518.1.8 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular

KAP/2023/148 and that compliance is certified every quarter.

KAP-KEY-08 Customer identification records shall be preserved for 7 years after the end of the business relationship.

KAP-518.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-518.1.10 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure E-38.

Section 518.2 Customer Identification - Operating Rule Set 518.2

KAP-518.2.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure A-6.

KAP-518.2.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-518.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 492 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.28.

KAP-518.2.4 Cases involving PEP screening results with an exposure above Rs. 497 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.10.

KAP-518.2.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-518.2.6 Cases involving PEP screening results with an exposure above Rs. 353 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.21.

KAP-518.2.7 The Risk Management Department shall review risk-rating files within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-518.2.8 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure A-18.

KAP-518.2.9 Cases involving video-KYC sessions with an exposure above Rs. 102 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.20.

KAP-518.2.10 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-518.2.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

Section 518.3 Customer Identification - Operating Rule Set 518.3

KAP-518.3.1 The Credit Committee shall review cash transaction reports within 15 working days of receipt and record the outcome in the Document Management system.

KAP-518.3.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-518.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-518.3.4 The Compliance Officer shall review address proofs within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-518.3.5 The Operations Head shall review identity documents within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-518.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-518.3.7 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-518.3.8 The Compliance Officer shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-518.3.9 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 518.4 Customer Identification - Operating Rule Set 518.4

KAP-518.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be

made available to the Board Audit Committee on request.

KAP-518.4.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure C-29.

KAP-518.4.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-518.4.4 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-518.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-518.4.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-518.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-518.4.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-518.4.9 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-518.4.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/229 and that compliance is certified every quarter.

Section 518.5 Customer Identification - Operating Rule Set 518.5

KAP-518.5.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/045 and that compliance is certified every quarter.

KAP-518.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-518.5.3 The Risk Management Department shall review risk-rating files within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-518.5.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-518.5.5 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/016 and that compliance is certified every quarter.

KAP-518.5.6 The Credit Committee shall review risk-rating files within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-518.5.7 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure C-22.

KAP-518.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

PART 44 - CHAPTER 519: CUSTOMER DUE DILIGENCE

Section 519.1 Customer Due Diligence - Operating Rule Set 519.1

KAP-519.1.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-519.1.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-519.1.3 Cases involving identity documents with an exposure above Rs. 80 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.20.

KAP-519.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-519.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-519.1.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure B-11.

KAP-519.1.7 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic

method, with a tolerance of 9% as approved by the Board.

KAP-519.1.8 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/257 and that compliance is certified every quarter.

KAP-519.1.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 331 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.15.

KAP-519.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 519.2 Customer Due Diligence - Operating Rule Set 519.2

KAP-519.2.1 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-519.2.2 Cases involving account-opening forms with an exposure above Rs. 96 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.2.

KAP-519.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-519.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-519.2.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-519.2.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-519.2.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-519.2.8 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure E-38.

KAP-519.2.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 519.3 Customer Due Diligence - Operating Rule Set 519.3

KAP-519.3.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/171 and that compliance is certified every quarter.

KAP-519.3.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-519.3.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/126 and that compliance is certified every quarter.

KAP-519.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 62 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.1.

KAP-519.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-519.3.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-519.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-519.3.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure H-35.

KAP-519.3.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure G-23.

KAP-519.3.10 The Audit Department shall review address proofs within 21 working days of receipt and record the outcome in the Case Management system.

KAP-519.3.11 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure G-31.

Section 519.4 Customer Due Diligence - Operating Rule Set 519.4

KAP-519.4.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the

3th day of the following month.

KAP-519.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-519.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 462 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.12.

KAP-519.4.4 Cases involving PEP screening results with an exposure above Rs. 147 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.26.

KAP-519.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-519.4.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-519.4.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-519.4.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-519.4.9 Cases involving account-opening forms with an exposure above Rs. 101 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.24.

KAP-519.4.10 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-519.4.11 Cases involving cash transaction reports with an exposure above Rs. 307 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.18.

KAP-519.4.12 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

PART 44 - CHAPTER 520: ENHANCED DUE DILIGENCE

Section 520.1 Enhanced Due Diligence - Operating Rule Set 520.1

KAP-520.1.1 Cases involving identity documents with an exposure above Rs. 469 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.7.

KAP-520.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 454 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.23.

KAP-520.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 490 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.4.

KAP-520.1.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-520.1.5 Cases involving video-KYC sessions with an exposure above Rs. 337 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.8.

KAP-520.1.6 Cases involving account-opening forms with an exposure above Rs. 46 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.15.

KAP-520.1.7 Cases involving address proofs with an exposure above Rs. 114 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.3.

KAP-520.1.8 Cases involving risk-rating files with an exposure above Rs. 151 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.4.

KAP-520.1.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure D-17.

KAP-520.1.10 The Regional Credit Officer shall review PEP screening results within 23 working days of receipt and record the outcome in the Customer Relationship system.

Section 520.2 Enhanced Due Diligence - Operating Rule Set 520.2

KAP-520.2.1 Cases involving identity documents with an exposure above Rs. 16 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.10.

KAP-520.2.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-520.2.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2021/231 and that compliance is certified every quarter.

KAP-520.2.4 The Branch Manager shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-520.2.5 Cases involving PEP screening results with an exposure above Rs. 164 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.1.

KAP-520.2.6 The Branch Manager shall review cash transaction reports within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-520.2.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure A-16.

KAP-520.2.8 The Branch Manager shall review address proofs within 9 working days of receipt and record the outcome in the Case Management system.

KAP-520.2.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-520.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-520.2.11 Cases involving cash transaction reports with an exposure above Rs. 382 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.17.

KAP-520.2.12 Cases involving cash transaction reports with an exposure above Rs. 234 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.12.

Section 520.3 Enhanced Due Diligence - Operating Rule Set 520.3

KAP-520.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-520.3.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-520.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-520.3.4 Cases involving risk-rating files with an exposure above Rs. 401 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.3.

KAP-520.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure E-38.

KAP-520.3.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-520.3.7 The Zonal Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-520.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-520.3.9 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-520.3.10 Cases involving account-opening forms with an exposure above Rs. 198 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.16.

Section 520.4 Enhanced Due Diligence - Operating Rule Set 520.4

KAP-520.4.1 In case of a system outage, the Zonal Head must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure C-20.

KAP-520.4.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 309 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.14.

KAP-520.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-520.4.4 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/256 and that compliance is certified every quarter.

KAP-520.4.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure E-40.

KAP-520.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-520.4.7 Cases involving video-KYC sessions with an exposure above Rs. 284 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.28.

KAP-520.4.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-520.4.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-520.4.10 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

KAP-520.4.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

Section 520.5 Enhanced Due Diligence - Operating Rule Set 520.5

KAP-520.5.1 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-16.

KAP-520.5.2 In case of a customer complaint, the Zonal Head must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure C-6.

KAP-520.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 331 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.6.

KAP-520.5.4 The Audit Department shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

KAP-520.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-520.5.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-520.5.7 The Compliance Officer shall review identity documents within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-520.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-520.5.9 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/005 and that compliance is certified every quarter.

KAP-520.5.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

Section 520.6 Enhanced Due Diligence - Operating Rule Set 520.6

KAP-520.6.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-520.6.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/058 and that compliance is certified every quarter.

KAP-520.6.3 Cases involving cash transaction reports with an exposure above Rs. 342 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.20.

KAP-520.6.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure D-34.

KAP-520.6.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure D-8.

KAP-520.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-520.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-520.6.8 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-520.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made

available to statutory auditors on request.

KAP-520.6.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-520.6.11 Cases involving account-opening forms with an exposure above Rs. 322 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.13.

Section 520.7 Enhanced Due Diligence - Operating Rule Set 520.7

KAP-520.7.1 Cases involving PEP screening results with an exposure above Rs. 26 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.15.

KAP-520.7.2 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/165 and that compliance is certified every quarter.

KAP-520.7.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-520.7.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-520.7.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-520.7.6 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-520.7.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/167 and that compliance is certified every quarter.

KAP-520.7.8 The Risk Management Department shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Document Management system.

KAP-520.7.9 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure F-6.

KAP-520.7.10 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/093 and that compliance is certified every quarter.

KAP-520.7.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

PART 44 - CHAPTER 521: RISK CATEGORISATION

Section 521.1 Risk Categorisation - Operating Rule Set 521.1

KAP-521.1.1 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/198 and that compliance is certified every quarter.

KAP-521.1.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-521.1.3 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure D-40.

KAP-521.1.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-521.1.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure F-37.

KAP-521.1.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-521.1.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-521.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-521.1.9 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-521.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 521.2 Risk Categorisation - Operating Rule Set 521.2

KAP-521.2.1 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-521.2.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/070 and that compliance is certified every quarter.

KAP-521.2.3 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-521.2.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/167 and that compliance is certified every quarter.

KAP-521.2.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/153 and that compliance is certified every quarter.

KAP-521.2.6 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/283 and that compliance is certified every quarter.

KAP-521.2.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure F-35.

KAP-521.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-521.2.9 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 521.3 Risk Categorisation - Operating Rule Set 521.3

KAP-521.3.1 Cases involving address proofs with an exposure above Rs. 222 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.9.

KAP-521.3.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-521.3.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-521.3.4 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/168 and that compliance is certified every quarter.

KAP-521.3.5 Cases involving PEP screening results with an exposure above Rs. 325 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.18.

KAP-521.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-521.3.7 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-521.3.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

Section 521.4 Risk Categorisation - Operating Rule Set 521.4

KAP-521.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-521.4.2 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-521.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-521.4.4 For private-limited-company customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-521.4.5 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-521.4.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/257 and that compliance is certified every quarter.

KAP-521.4.7 The Compliance Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-521.4.8 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a

tolerance of 8% as approved by the Board.

KAP-521.4.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-521.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-521.4.11 Cases involving identity documents with an exposure above Rs. 339 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.9.

KAP-521.4.12 The Zonal Head shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-521.4.13 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/107 and that compliance is certified every quarter.

Section 521.5 Risk Categorisation - Operating Rule Set 521.5

KAP-521.5.1 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure E-32.

KAP-521.5.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-521.5.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-521.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-521.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-521.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-521.5.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-521.5.8 Cases involving account-opening forms with an exposure above Rs. 264 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.6.

KAP-521.5.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 13 days written notice.

Section 521.6 Risk Categorisation - Operating Rule Set 521.6

KAP-521.6.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-521.6.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-521.6.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/030 and that compliance is certified every quarter.

KAP-521.6.4 The Operations Head shall review account-opening forms within 16 working days of receipt and record the outcome in the Case Management system.

KAP-521.6.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-521.6.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-521.6.7 Cases involving cash transaction reports with an exposure above Rs. 352 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.18.

KAP-521.6.8 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-521.6.9 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-21.

KAP-521.6.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 280 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.2.

KAP-521.6.11 In case of a system outage, the Zonal Head must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure B-13.

KAP-521.6.12 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/192 and that compliance is certified every quarter.

PART 44 - CHAPTER 522: TRANSACTION MONITORING

Section 522.1 Transaction Monitoring - Operating Rule Set 522.1

KAP-522.1.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 436 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.15.

KAP-522.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-522.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-522.1.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/007 and that compliance is certified every quarter.

KAP-522.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-522.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-522.1.7 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-522.1.8 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure A-36.

KAP-522.1.9 The Risk Management Department shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Risk Engine system.

Section 522.2 Transaction Monitoring - Operating Rule Set 522.2

KAP-522.2.1 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-522.2.2 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-10.

KAP-522.2.3 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure H-27.

KAP-522.2.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-522.2.5 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/287 and that compliance is certified every quarter.

KAP-522.2.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-522.2.7 The Audit Department shall review cash transaction reports within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-522.2.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-522.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-522.2.10 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/176 and that compliance is certified every quarter.

KAP-522.2.11 The Zonal Head shall review cash transaction reports within 26 working days of receipt and record the outcome in the Risk Engine system.

Section 522.3 Transaction Monitoring - Operating Rule Set 522.3

KAP-522.3.1 In case of a regulatory query, the Compliance Officer must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure B-36.

KAP-522.3.2 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance

of 8% as approved by the Board.

KAP-522.3.3 The Risk Management Department shall review account-opening forms within 21 working days of receipt and record the outcome in the Document Management system.

KAP-522.3.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-522.3.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-522.3.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-522.3.7 Cases involving identity documents with an exposure above Rs. 40 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.21.

KAP-522.3.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure A-15.

Section 522.4 Transaction Monitoring - Operating Rule Set 522.4

KAP-522.4.1 For partnership customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-522.4.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-522.4.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-522.4.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-522.4.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-522.4.6 Cases involving cash transaction reports with an exposure above Rs. 418 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.11.

KAP-522.4.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-522.4.8 Cases involving correspondent-bank relationships with an exposure above Rs. 103 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.19.

KAP-522.4.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 522.5 Transaction Monitoring - Operating Rule Set 522.5

KAP-522.5.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-522.5.2 The Branch Manager shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-522.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 249 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.8.

KAP-522.5.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-522.5.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-522.5.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-522.5.7 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-522.5.8 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/095 and that compliance is certified every quarter.

KAP-522.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-522.5.10 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/125 and that compliance is certified every quarter.

Section 522.6 Transaction Monitoring - Operating Rule Set 522.6

KAP-522.6.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/182 and that compliance is certified every quarter.

KAP-522.6.2 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/222 and that compliance is certified every quarter.

KAP-522.6.3 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/001 and that compliance is certified every quarter.

KAP-522.6.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-522.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-522.6.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-522.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-522.6.8 Cases involving beneficial-owner declarations with an exposure above Rs. 42 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.30.

PART 44 - CHAPTER 523: SUSPICIOUS TRANSACTION REPORTING

Section 523.1 Suspicious Transaction Reporting - Operating Rule Set 523.1

KAP-523.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-523.1.2 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/164 and that compliance is certified every quarter.

KAP-523.1.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-523.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-523.1.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure C-9.

KAP-523.1.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-523.1.7 The Audit Department shall review cash transaction reports within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-523.1.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-523.1.9 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-523.1.10 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/002 and that compliance is certified every quarter.

Section 523.2 Suspicious Transaction Reporting - Operating Rule Set 523.2

KAP-523.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-523.2.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-523.2.3 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/097 and that compliance is certified every quarter.

KAP-523.2.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-523.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day

of the following month.

KAP-523.2.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-523.2.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure F-6.

KAP-523.2.8 Cases involving cash transaction reports with an exposure above Rs. 487 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.2.

KAP-523.2.9 Cases involving account-opening forms with an exposure above Rs. 395 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.8.

KAP-523.2.10 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure C-38.

Section 523.3 Suspicious Transaction Reporting - Operating Rule Set 523.3

KAP-523.3.1 The Compliance Officer shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Document Management system.

KAP-523.3.2 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/049 and that compliance is certified every quarter.

KAP-523.3.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-523.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-523.3.5 Cases involving address proofs with an exposure above Rs. 18 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.1.

KAP-523.3.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-523.3.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-523.3.8 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-523.3.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/260 and that compliance is certified every quarter.

KAP-523.3.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-523.3.11 For partnership customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 523.4 Suspicious Transaction Reporting - Operating Rule Set 523.4

KAP-523.4.1 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-523.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-523.4.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure C-38.

KAP-523.4.4 Cases involving video-KYC sessions with an exposure above Rs. 278 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.6.

KAP-523.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-523.4.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-523.4.7 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure D-22.

KAP-523.4.8 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure A-19.

KAP-523.4.9 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/029 and that compliance is certified every quarter.

KAP-523.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 523.5 Suspicious Transaction Reporting - Operating Rule Set 523.5

KAP-523.5.1 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure H-3.

KAP-523.5.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-523.5.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-523.5.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-523.5.5 The Branch Manager shall review account-opening forms within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-523.5.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-523.5.7 Cases involving identity documents with an exposure above Rs. 365 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.29.

KAP-523.5.8 The Risk Management Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

KAP-523.5.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/211 and that compliance is certified every quarter.

PART 44 - CHAPTER 524: POLITICALLY EXPOSED PERSONS

Section 524.1 Politically Exposed Persons - Operating Rule Set 524.1

KAP-524.1.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-524.1.2 The Credit Committee shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-524.1.3 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure F-7.

KAP-524.1.4 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-524.1.5 Cases involving risk-rating files with an exposure above Rs. 81 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.2.

KAP-524.1.6 The Risk Management Department shall review risk-rating files within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-524.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-524.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-524.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 524.2 Politically Exposed Persons - Operating Rule Set 524.2

KAP-524.2.1 Cases involving address proofs with an exposure above Rs. 386 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.18.

KAP-524.2.2 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-524.2.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-524.2.4 Cases involving video-KYC sessions with an exposure above Rs. 38 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 5.29.

KAP-524.2.5 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure C-25.

KAP-524.2.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-524.2.7 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-524.2.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-524.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

Section 524.3 Politically Exposed Persons - Operating Rule Set 524.3

KAP-524.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-524.3.2 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/223 and that compliance is certified every quarter.

KAP-524.3.3 The Regional Credit Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-524.3.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/026 and that compliance is certified every quarter.

KAP-524.3.5 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-524.3.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/216 and that compliance is certified every quarter.

KAP-524.3.7 In case of a regulatory query, the Credit Committee must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure A-8.

KAP-524.3.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-524.3.9 Cases involving cash transaction reports with an exposure above Rs. 200 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.20.

KAP-524.3.10 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-524.3.11 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/215 and that compliance is certified every quarter.

Section 524.4 Politically Exposed Persons - Operating Rule Set 524.4

KAP-524.4.1 The Credit Committee shall review PEP screening results within 9 working days of receipt and record the outcome in the Document Management system.

KAP-524.4.2 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-524.4.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-524.4.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 369 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.30.

KAP-524.4.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-7.

KAP-524.4.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-524.4.7 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/121 and that compliance is certified every quarter.

KAP-524.4.8 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure H-14.

KAP-524.4.9 The Compliance Officer shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Case Management system.

KAP-524.4.10 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/051 and that compliance is certified every quarter.

KAP-524.4.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 524.5 Politically Exposed Persons - Operating Rule Set 524.5

KAP-524.5.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-524.5.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-524.5.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-524.5.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-524.5.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure G-37.

KAP-524.5.6 The Audit Department shall review cash transaction reports within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-524.5.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-524.5.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-524.5.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-524.5.10 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-524.5.11 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure E-14.

PART 44 - CHAPTER 525: BENEFICIAL OWNERSHIP

Section 525.1 Beneficial Ownership - Operating Rule Set 525.1

KAP-525.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-525.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-525.1.3 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure A-30.

KAP-525.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-525.1.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-525.1.6 The Risk Management Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-525.1.7 Cases involving correspondent-bank relationships with an exposure above Rs. 184 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.22.

KAP-525.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-525.1.9 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure C-13.

KAP-525.1.10 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure B-14.

KAP-525.1.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

Section 525.2 Beneficial Ownership - Operating Rule Set 525.2

KAP-525.2.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-525.2.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-525.2.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-525.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-525.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-525.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-525.2.7 The Credit Committee shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-525.2.8 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/199 and that compliance is certified every quarter.

KAP-525.2.9 Cases involving risk-rating files with an exposure above Rs. 334 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.12.

KAP-525.2.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

Section 525.3 Beneficial Ownership - Operating Rule Set 525.3

KAP-525.3.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure H-37.

KAP-525.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-525.3.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-525.3.4 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/054 and that compliance is certified every quarter.

KAP-525.3.5 The Audit Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-525.3.6 The Regional Credit Officer shall review risk-rating files within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-525.3.7 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/135 and that compliance is certified every quarter.

KAP-525.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-525.3.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/273 and that compliance is certified every quarter.

KAP-525.3.10 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 525.4 Beneficial Ownership - Operating Rule Set 525.4

KAP-525.4.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-525.4.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure E-14.

KAP-525.4.3 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-525.4.4 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/296 and that compliance is certified every quarter.

KAP-525.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-525.4.6 The Branch Manager shall review address proofs within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-525.4.7 In case of a system outage, the Audit Department must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure H-39.

KAP-525.4.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/080 and that compliance is certified every quarter.

KAP-525.4.9 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/042 and that compliance is certified every quarter.

KAP-525.4.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

Section 525.5 Beneficial Ownership - Operating Rule Set 525.5

KAP-525.5.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-525.5.2 Cases involving cash transaction reports with an exposure above Rs. 361 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.21.

KAP-525.5.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-525.5.4 The Regional Credit Officer shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-525.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-525.5.6 In case of a request for exception, the Audit Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure D-10.

KAP-525.5.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/213 and that compliance is certified every quarter.

KAP-525.5.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/021 and that compliance is certified every quarter.

KAP-525.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-525.5.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 525.6 Beneficial Ownership - Operating Rule Set 525.6

KAP-525.6.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-525.6.2 The Regional Credit Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Document Management system.

KAP-525.6.3 Cases involving identity documents with an exposure above Rs. 295 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.13.

KAP-525.6.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-525.6.5 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-525.6.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-525.6.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-525.6.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made

available to internal auditors on request.

KAP-525.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-525.6.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure A-6.

KAP-525.6.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

PART 44 - CHAPTER 526: RECORD KEEPING

Section 526.1 Record Keeping - Operating Rule Set 526.1

KAP-526.1.1 Cases involving PEP screening results with an exposure above Rs. 290 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.30.

KAP-526.1.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure E-2.

KAP-526.1.3 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-526.1.4 Cases involving cash transaction reports with an exposure above Rs. 224 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.25.

KAP-526.1.5 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-526.1.6 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/243 and that compliance is certified every quarter.

KAP-526.1.7 In case of a regulatory query, the Branch Manager must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure F-4.

KAP-526.1.8 In case of a request for exception, the Credit Committee must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure A-25.

KAP-526.1.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure A-17.

KAP-526.1.10 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

Section 526.2 Record Keeping - Operating Rule Set 526.2

KAP-526.2.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/289 and that compliance is certified every quarter.

KAP-526.2.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-526.2.3 Cases involving account-opening forms with an exposure above Rs. 468 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.3.

KAP-526.2.4 The Credit Committee shall review identity documents within 30 working days of receipt and record the outcome in the Document Management system.

KAP-526.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-526.2.6 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-15.

KAP-526.2.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-526.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 378 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.26.

KAP-526.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-526.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-526.2.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be

made available to the regulator on request.

KAP-526.2.12 The Credit Committee shall review account-opening forms within 10 working days of receipt and record the outcome in the Core Banking system.

Section 526.3 Record Keeping - Operating Rule Set 526.3

KAP-526.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-526.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-526.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-526.3.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-526.3.5 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/170 and that compliance is certified every quarter.

KAP-526.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-526.3.7 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure C-31.

KAP-526.3.8 Cases involving address proofs with an exposure above Rs. 499 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.22.

KAP-526.3.9 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/067 and that compliance is certified every quarter.

KAP-526.3.10 Cases involving PEP screening results with an exposure above Rs. 401 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.27.

KAP-526.3.11 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-526.3.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-526.3.13 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

Section 526.4 Record Keeping - Operating Rule Set 526.4

KAP-526.4.1 The Credit Committee shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-526.4.2 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-526.4.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-526.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-526.4.5 The Zonal Head shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-526.4.6 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure F-27.

KAP-526.4.7 The Operations Head shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-526.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-526.4.9 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 526.5 Record Keeping - Operating Rule Set 526.5

KAP-526.5.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches,

after giving the customer 30 days written notice.

KAP-526.5.2 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-526.5.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure G-2.

KAP-526.5.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-526.5.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-526.5.6 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/115 and that compliance is certified every quarter.

KAP-526.5.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-14.

KAP-526.5.8 For NRI customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-526.5.9 Cases involving identity documents with an exposure above Rs. 71 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.22.

KAP-526.5.10 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure D-11.

Section 526.6 Record Keeping - Operating Rule Set 526.6

KAP-526.6.1 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-526.6.2 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-526.6.3 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-526.6.4 The Risk Management Department shall review PEP screening results within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-526.6.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-526.6.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-526.6.7 The Audit Department shall review address proofs within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-526.6.8 In case of a system outage, the Operations Head must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure F-19.

KAP-526.6.9 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

Section 526.7 Record Keeping - Operating Rule Set 526.7

KAP-526.7.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-526.7.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-526.7.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 429 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.24.

KAP-526.7.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-526.7.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-526.7.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-526.7.7 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/247 and that compliance is certified every quarter.

KAP-526.7.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-526.7.9 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/270 and that compliance is certified every quarter.

PART 44 - CHAPTER 527: STAFF TRAINING

Section 527.1 Staff Training - Operating Rule Set 527.1

KAP-527.1.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-527.1.2 The Audit Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Document Management system.

KAP-527.1.3 The Branch Manager shall review identity documents within 9 working days of receipt and record the outcome in the Document Management system.

KAP-527.1.4 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/270 and that compliance is certified every quarter.

KAP-527.1.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-527.1.6 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/028 and that compliance is certified every quarter.

KAP-527.1.7 Cases involving video-KYC sessions with an exposure above Rs. 75 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.15.

KAP-527.1.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-527.1.9 Cases involving video-KYC sessions with an exposure above Rs. 87 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.21.

KAP-527.1.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 527.2 Staff Training - Operating Rule Set 527.2

KAP-527.2.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-527.2.2 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-527.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-527.2.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-527.2.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure A-19.

KAP-527.2.6 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-527.2.7 The Credit Committee shall review address proofs within 23 working days of receipt and record the outcome in the Case Management system.

KAP-527.2.8 The Branch Manager shall review identity documents within 9 working days of receipt and record the outcome in the Document Management system.

Section 527.3 Staff Training - Operating Rule Set 527.3

KAP-527.3.1 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure G-20.

KAP-527.3.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-527.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional

Credit Officer by the 11th day of the following month.

KAP-527.3.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-527.3.5 The Compliance Officer shall review account-opening forms within 3 working days of receipt and record the outcome in the Case Management system.

KAP-527.3.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/173 and that compliance is certified every quarter.

KAP-527.3.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-527.3.8 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure H-37.

KAP-527.3.9 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 527.4 Staff Training - Operating Rule Set 527.4

KAP-527.4.1 The Credit Committee shall review address proofs within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-527.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-527.4.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/159 and that compliance is certified every quarter.

KAP-527.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-527.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-527.4.6 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-27.

KAP-527.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-527.4.8 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-527.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-527.4.10 Cases involving PEP screening results with an exposure above Rs. 83 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.14.

KAP-527.4.11 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-527.4.12 The Branch Manager shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Core Banking system.

Section 527.5 Staff Training - Operating Rule Set 527.5

KAP-527.5.1 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure A-8.

KAP-527.5.2 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure A-16.

KAP-527.5.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-527.5.4 Cases involving address proofs with an exposure above Rs. 465 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.15.

KAP-527.5.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-527.5.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure F-3.

KAP-527.5.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-527.5.8 The Operations Head shall review risk-rating files within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-527.5.9 Cases involving cash transaction reports with an exposure above Rs. 162 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.26.

Section 527.6 Staff Training - Operating Rule Set 527.6

KAP-527.6.1 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-527.6.2 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/216 and that compliance is certified every quarter.

KAP-527.6.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-527.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-527.6.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-527.6.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-527.6.7 The Branch Manager shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-527.6.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-527.6.9 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure F-17.

KAP-527.6.10 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-527.6.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-527.6.12 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure G-24.

Section 527.7 Staff Training - Operating Rule Set 527.7

KAP-527.7.1 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-527.7.2 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure D-37.

KAP-527.7.3 The Operations Head shall review cash transaction reports within 19 working days of receipt and record the outcome in the Case Management system.

KAP-527.7.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-527.7.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-527.7.6 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-527.7.7 Cases involving cash transaction reports with an exposure above Rs. 252 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.27.

KAP-527.7.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

Section 527.8 Staff Training - Operating Rule Set 527.8

KAP-527.8.1 The Audit Department shall review cash transaction reports within 6 working days of receipt and record the outcome in the Document Management system.

KAP-527.8.2 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure B-35.

KAP-527.8.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure F-37.

KAP-527.8.4 Cases involving beneficial-owner declarations with an exposure above Rs. 374 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.23.

KAP-527.8.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/291 and that compliance is certified every quarter.

KAP-527.8.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-527.8.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-527.8.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-527.8.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

PART 44 - CHAPTER 528: INDEPENDENT AUDIT

Section 528.1 Independent Audit - Operating Rule Set 528.1

KAP-528.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-528.1.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/061 and that compliance is certified every quarter.

KAP-528.1.3 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-528.1.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-528.1.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-528.1.6 The Branch Manager shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-528.1.7 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-528.1.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-528.1.9 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-528.1.10 The Risk Management Department shall review identity documents within 11 working days of receipt and record the outcome in the Loan Origination system.

Section 528.2 Independent Audit - Operating Rule Set 528.2

KAP-528.2.1 The Audit Department shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-528.2.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure H-12.

KAP-528.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 396 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.26.

KAP-528.2.4 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-528.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-528.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-528.2.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure H-14.

KAP-528.2.8 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/142 and that compliance is certified every quarter.

KAP-528.2.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-528.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-528.2.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

Section 528.3 Independent Audit - Operating Rule Set 528.3

KAP-528.3.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-528.3.2 Cases involving address proofs with an exposure above Rs. 228 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.1.

KAP-528.3.3 Cases involving cash transaction reports with an exposure above Rs. 160 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.25.

KAP-528.3.4 Cases involving identity documents with an exposure above Rs. 245 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.8.

KAP-528.3.5 In case of a system outage, the Operations Head must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure D-11.

KAP-528.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-528.3.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure G-9.

KAP-528.3.8 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

Section 528.4 Independent Audit - Operating Rule Set 528.4

KAP-528.4.1 The Credit Committee shall review PEP screening results within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-528.4.2 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-528.4.3 Cases involving identity documents with an exposure above Rs. 173 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.7.

KAP-528.4.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-528.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-528.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-528.4.7 The Zonal Head shall review PEP screening results within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-528.4.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure D-29.

KAP-528.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

Section 528.5 Independent Audit - Operating Rule Set 528.5

KAP-528.5.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-528.5.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-528.5.3 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/261 and that compliance is certified every quarter.

KAP-528.5.4 The Risk Management Department shall review account-opening forms within 14 working days of receipt and record the outcome in the Document Management system.

KAP-528.5.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-528.5.6 Cases involving identity documents with an exposure above Rs. 49 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.28.

KAP-528.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-528.5.8 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-528.5.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-528.5.10 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/009 and that compliance is certified every quarter.

KAP-528.5.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-528.5.12 Cases involving beneficial-owner declarations with an exposure above Rs. 138 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.26.

KAP-528.5.13 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

PART 45 - CHAPTER 529: CUSTOMER ACCEPTANCE

Section 529.1 Customer Acceptance - Operating Rule Set 529.1

KAP-529.1.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/143 and that compliance is certified every quarter.

KAP-529.1.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-529.1.3 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-529.1.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/121 and that compliance is certified every quarter.

KAP-529.1.5 The Compliance Officer shall review risk-rating files within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-529.1.6 The Risk Management Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Case Management system.

KAP-529.1.7 For individual customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-529.1.8 The Branch Manager shall review risk-rating files within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-529.1.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-529.1.10 The Compliance Officer shall review PEP screening results within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-529.1.11 Cases involving correspondent-bank relationships with an exposure above Rs. 308 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.7.

Section 529.2 Customer Acceptance - Operating Rule Set 529.2

KAP-529.2.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-529.2.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-529.2.3 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-529.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 311 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.24.

KAP-529.2.5 The Operations Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-529.2.6 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure D-39.

KAP-529.2.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-529.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 529.3 Customer Acceptance - Operating Rule Set 529.3

KAP-529.3.1 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-529.3.2 The Compliance Officer shall review identity documents within 6 working days of receipt and record the outcome in the Core Banking system.

KAP-529.3.3 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-529.3.4 The Audit Department shall review address proofs within 9 working days of receipt and record the outcome in the Case Management system.

KAP-529.3.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure D-6.

KAP-529.3.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/170 and that compliance is certified every quarter.

KAP-529.3.7 The Operations Head shall review account-opening forms within 8 working days of receipt and record the outcome in the Document Management system.

KAP-529.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-529.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-529.3.10 The Risk Management Department shall review PEP screening results within 3 working days of receipt and record the outcome in the Document Management system.

KAP-529.3.11 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 529.4 Customer Acceptance - Operating Rule Set 529.4

KAP-529.4.1 Cases involving account-opening forms with an exposure above Rs. 141 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.6.

KAP-529.4.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-529.4.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure F-30.

KAP-529.4.4 Cases involving identity documents with an exposure above Rs. 454 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.2.

KAP-529.4.5 In case of a request for exception, the Credit Committee must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure F-14.

KAP-529.4.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-529.4.7 Cases involving address proofs with an exposure above Rs. 399 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.13.

KAP-529.4.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after

giving the customer 30 days written notice.

KAP-529.4.9 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/078 and that compliance is certified every quarter.

PART 45 - CHAPTER 530: CUSTOMER IDENTIFICATION

Section 530.1 Customer Identification - Operating Rule Set 530.1

KAP-530.1.1 The Credit Committee shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-530.1.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-530.1.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure H-18.

KAP-530.1.4 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-530.1.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/178 and that compliance is certified every quarter.

KAP-530.1.6 For individual customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-530.1.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/054 and that compliance is certified every quarter.

KAP-530.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-530.1.9 The Regional Credit Officer shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Document Management system.

Section 530.2 Customer Identification - Operating Rule Set 530.2

KAP-530.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 24 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.9.

KAP-530.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-530.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-530.2.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-530.2.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/085 and that compliance is certified every quarter.

KAP-530.2.6 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure C-9.

KAP-530.2.7 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-530.2.8 The Branch Manager shall review risk-rating files within 30 working days of receipt and record the outcome in the Case Management system.

KAP-530.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 530.3 Customer Identification - Operating Rule Set 530.3

KAP-530.3.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/079 and that compliance is certified every quarter.

KAP-530.3.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-530.3.3 The Compliance Officer shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-530.3.4 In case of a customer complaint, the Audit Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure A-21.

KAP-530.3.5 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-530.3.6 Cases involving cash transaction reports with an exposure above Rs. 83 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.24.

KAP-530.3.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-530.3.8 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure B-39.

KAP-530.3.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-530.3.10 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-530.3.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 13 days written notice.

Section 530.4 Customer Identification - Operating Rule Set 530.4

KAP-530.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-530.4.2 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-530.4.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/297 and that compliance is certified every quarter.

KAP-530.4.4 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-530.4.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/002 and that compliance is certified every quarter.

KAP-530.4.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure B-29.

KAP-530.4.7 For partnership customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-530.4.8 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/204 and that compliance is certified every quarter.

PART 45 - CHAPTER 531: CUSTOMER DUE DILIGENCE

Section 531.1 Customer Due Diligence - Operating Rule Set 531.1

KAP-531.1.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-531.1.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-531.1.3 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-531.1.4 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/090 and that compliance is certified every quarter.

KAP-531.1.5 Cases involving video-KYC sessions with an exposure above Rs. 452 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.20.

KAP-531.1.6 Cases involving video-KYC sessions with an exposure above Rs. 26 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.14.

KAP-531.1.7 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-531.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-531.1.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 24 days written notice.

Section 531.2 Customer Due Diligence - Operating Rule Set 531.2

KAP-531.2.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-531.2.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-531.2.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-531.2.4 The Operations Head shall review PEP screening results within 19 working days of receipt and record the outcome in the Case Management system.

KAP-531.2.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure B-16.

KAP-531.2.6 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/237 and that compliance is certified every quarter.

KAP-531.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-531.2.8 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-531.2.9 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-531.2.10 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure D-35.

Section 531.3 Customer Due Diligence - Operating Rule Set 531.3

KAP-531.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-531.3.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-531.3.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-531.3.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-531.3.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/255 and that compliance is certified every quarter.

KAP-531.3.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-531.3.7 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure B-8.

KAP-531.3.8 The Operations Head shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

Section 531.4 Customer Due Diligence - Operating Rule Set 531.4

KAP-531.4.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-531.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-531.4.3 The Branch Manager shall review account-opening forms within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-531.4.4 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-531.4.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-531.4.6 The Credit Committee shall review cash transaction reports within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-531.4.7 The Operations Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-531.4.8 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure C-33.

KAP-531.4.9 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-531.4.10 The Regional Credit Officer shall review identity documents within 14 working days of receipt and record the outcome in the Loan Origination system.

Section 531.5 Customer Due Diligence - Operating Rule Set 531.5

KAP-531.5.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure B-17.

KAP-531.5.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-531.5.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-531.5.4 The Zonal Head shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-531.5.5 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure B-15.

KAP-531.5.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-531.5.7 The Regional Credit Officer shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Document Management system.

KAP-531.5.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-531.5.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/172 and that compliance is certified every quarter.

KAP-531.5.10 The Regional Credit Officer shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-531.5.11 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-531.5.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 531.6 Customer Due Diligence - Operating Rule Set 531.6

KAP-531.6.1 The Risk Management Department shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Document Management system.

KAP-531.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-531.6.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-531.6.4 Cases involving address proofs with an exposure above Rs. 258 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.7.

KAP-531.6.5 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-531.6.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-531.6.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-531.6.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-531.6.9 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on

the procedures in Circular KAP/2020/238 and that compliance is certified every quarter.

KAP-531.6.10 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/254 and that compliance is certified every quarter.

KAP-531.6.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-531.6.12 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-531.6.13 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-14.

Section 531.7 Customer Due Diligence - Operating Rule Set 531.7

KAP-531.7.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-531.7.2 The Regional Credit Officer shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-531.7.3 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-531.7.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/206 and that compliance is certified every quarter.

KAP-531.7.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-531.7.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-531.7.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-531.7.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-531.7.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-531.7.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-531.7.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-531.7.12 Cases involving PEP screening results with an exposure above Rs. 197 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.5.

PART 45 - CHAPTER 532: ENHANCED DUE DILIGENCE

Section 532.1 Enhanced Due Diligence - Operating Rule Set 532.1

KAP-532.1.1 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/166 and that compliance is certified every quarter.

KAP-532.1.2 The Credit Committee shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-532.1.3 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/071 and that compliance is certified every quarter.

KAP-532.1.4 Cases involving cash transaction reports with an exposure above Rs. 282 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.2.

KAP-532.1.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/235 and that compliance is certified every quarter.

KAP-532.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-532.1.7 The Operations Head shall review account-opening forms within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-532.1.8 The Operations Head shall review correspondent-bank relationships within 3 working days of receipt and

record the outcome in the Loan Origination system.

KAP-532.1.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

Section 532.2 Enhanced Due Diligence - Operating Rule Set 532.2

KAP-532.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 109 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.7.

KAP-532.2.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/220 and that compliance is certified every quarter.

KAP-532.2.3 For individual customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-532.2.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-532.2.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-532.2.6 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure F-25.

KAP-532.2.7 The Zonal Head shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Case Management system.

KAP-532.2.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-532.2.9 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/121 and that compliance is certified every quarter.

KAP-532.2.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/014 and that compliance is certified every quarter.

KAP-532.2.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-532.2.12 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure B-36.

KAP-532.2.13 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/058 and that compliance is certified every quarter.

KAP-532.2.14 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

Section 532.3 Enhanced Due Diligence - Operating Rule Set 532.3

KAP-532.3.1 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/231 and that compliance is certified every quarter.

KAP-532.3.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure C-35.

KAP-532.3.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/195 and that compliance is certified every quarter.

KAP-532.3.4 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/129 and that compliance is certified every quarter.

KAP-532.3.5 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-532.3.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-532.3.7 Cases involving beneficial-owner declarations with an exposure above Rs. 404 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.16.

KAP-532.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 532.4 Enhanced Due Diligence - Operating Rule Set 532.4

KAP-532.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager

by the 4th day of the following month.

KAP-532.4.2 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/024 and that compliance is certified every quarter.

KAP-532.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 5 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.30.

KAP-532.4.4 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure H-29.

KAP-532.4.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-532.4.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure H-14.

KAP-532.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-532.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-532.4.9 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 532.5 Enhanced Due Diligence - Operating Rule Set 532.5

KAP-532.5.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure G-26.

KAP-532.5.2 The Audit Department shall review identity documents within 6 working days of receipt and record the outcome in the Case Management system.

KAP-532.5.3 Cases involving identity documents with an exposure above Rs. 354 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.11.

KAP-532.5.4 The Regional Credit Officer shall review cash transaction reports within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-532.5.5 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-532.5.6 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-532.5.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 235 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.1.

KAP-532.5.8 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-532.5.9 Cases involving correspondent-bank relationships with an exposure above Rs. 258 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.29.

KAP-532.5.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-532.5.11 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-532.5.12 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

Section 532.6 Enhanced Due Diligence - Operating Rule Set 532.6

KAP-532.6.1 The Zonal Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-532.6.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-532.6.3 Cases involving address proofs with an exposure above Rs. 498 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.15.

KAP-532.6.4 Cases involving address proofs with an exposure above Rs. 40 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.17.

KAP-532.6.5 Cases involving video-KYC sessions with an exposure above Rs. 319 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.7.

KAP-532.6.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-532.6.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-532.6.8 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Case Management system.

KAP-532.6.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/274 and that compliance is certified every quarter.

KAP-532.6.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

PART 45 - CHAPTER 533: RISK CATEGORISATION

Section 533.1 Risk Categorisation - Operating Rule Set 533.1

KAP-533.1.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/021 and that compliance is certified every quarter.

KAP-533.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-533.1.3 Cases involving identity documents with an exposure above Rs. 203 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.16.

KAP-533.1.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-533.1.5 Cases involving account-opening forms with an exposure above Rs. 75 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.29.

KAP-533.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-533.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-533.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-533.1.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-533.1.10 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

Section 533.2 Risk Categorisation - Operating Rule Set 533.2

KAP-533.2.1 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-533.2.2 The Zonal Head shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-533.2.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure C-2.

KAP-533.2.4 Cases involving cash transaction reports with an exposure above Rs. 344 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.6.

KAP-533.2.5 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure F-1.

KAP-533.2.6 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/203 and that compliance is certified every quarter.

KAP-533.2.7 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure A-10.

KAP-533.2.8 The Risk Management Department shall review cash transaction reports within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-533.2.9 Cases involving PEP screening results with an exposure above Rs. 471 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.15.

KAP-533.2.10 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-1.

KAP-533.2.11 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure E-39.

KAP-533.2.12 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/145 and that compliance is certified every quarter.

Section 533.3 Risk Categorisation - Operating Rule Set 533.3

KAP-533.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-533.3.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-533.3.3 The Operations Head shall review identity documents within 21 working days of receipt and record the outcome in the Case Management system.

KAP-533.3.4 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-533.3.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-533.3.6 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-533.3.7 The Regional Credit Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-533.3.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-533.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-533.3.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 533.4 Risk Categorisation - Operating Rule Set 533.4

KAP-533.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 314 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.24.

KAP-533.4.2 Cases involving cash transaction reports with an exposure above Rs. 95 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.10.

KAP-533.4.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-533.4.4 Cases involving PEP screening results with an exposure above Rs. 316 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.4.

KAP-533.4.5 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 26 working days, with the supporting documents listed in Annexure C-6.

KAP-533.4.6 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-533.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-533.4.8 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-533.4.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

Section 533.5 Risk Categorisation - Operating Rule Set 533.5

KAP-533.5.1 The Zonal Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-533.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-533.5.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-533.5.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-533.5.5 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/123 and that compliance is certified every quarter.

KAP-533.5.6 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-533.5.7 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure A-15.

KAP-533.5.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure G-38.

KAP-533.5.9 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-533.5.10 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/179 and that compliance is certified every quarter.

PART 45 - CHAPTER 534: TRANSACTION MONITORING

Section 534.1 Transaction Monitoring - Operating Rule Set 534.1

KAP-534.1.1 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/297 and that compliance is certified every quarter.

KAP-534.1.2 Cases involving identity documents with an exposure above Rs. 282 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.23.

KAP-534.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-534.1.4 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/172 and that compliance is certified every quarter.

KAP-534.1.5 The Branch Manager shall review cash transaction reports within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-534.1.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure G-28.

KAP-534.1.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/165 and that compliance is certified every quarter.

KAP-534.1.8 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure E-40.

KAP-534.1.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-534.1.10 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/068 and that compliance is certified every quarter.

KAP-534.1.11 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

Section 534.2 Transaction Monitoring - Operating Rule Set 534.2

KAP-534.2.1 Cases involving correspondent-bank relationships with an exposure above Rs. 129 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.5.

KAP-534.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-534.2.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-534.2.4 The Risk Management Department shall review address proofs within 23 working days of receipt and record the outcome in the Document Management system.

KAP-534.2.5 Cases involving video-KYC sessions with an exposure above Rs. 353 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.2.

KAP-534.2.6 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/062 and that compliance is certified every quarter.

KAP-534.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-534.2.8 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/211 and that compliance is certified every quarter.

KAP-534.2.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-534.2.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-534.2.11 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-534.2.12 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

Section 534.3 Transaction Monitoring - Operating Rule Set 534.3

KAP-534.3.1 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure F-39.

KAP-534.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-534.3.3 The Risk Management Department shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-534.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-534.3.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-534.3.6 The Zonal Head shall review PEP screening results within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-534.3.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-534.3.8 Cases involving risk-rating files with an exposure above Rs. 307 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.25.

KAP-534.3.9 The Credit Committee shall review address proofs within 24 working days of receipt and record the outcome in the Core Banking system.

Section 534.4 Transaction Monitoring - Operating Rule Set 534.4

KAP-534.4.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-534.4.2 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-534.4.3 The Branch Manager shall review account-opening forms within 18 working days of receipt and record the outcome in the Document Management system.

KAP-534.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-534.4.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-534.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 210 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.2.

KAP-534.4.7 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Document Management system.

KAP-534.4.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after

giving the customer 14 days written notice.

KAP-534.4.9 Cases involving cash transaction reports with an exposure above Rs. 7 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.11.

Section 534.5 Transaction Monitoring - Operating Rule Set 534.5

KAP-534.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-534.5.2 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-534.5.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/059 and that compliance is certified every quarter.

KAP-534.5.4 Cases involving identity documents with an exposure above Rs. 267 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.7.

KAP-534.5.5 Cases involving risk-rating files with an exposure above Rs. 322 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.28.

KAP-534.5.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/108 and that compliance is certified every quarter.

KAP-534.5.7 Cases involving address proofs with an exposure above Rs. 227 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.20.

KAP-534.5.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/114 and that compliance is certified every quarter.

KAP-534.5.9 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/220 and that compliance is certified every quarter.

KAP-534.5.10 Cases involving risk-rating files with an exposure above Rs. 338 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.14.

Section 534.6 Transaction Monitoring - Operating Rule Set 534.6

KAP-534.6.1 Cases involving correspondent-bank relationships with an exposure above Rs. 293 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.11.

KAP-534.6.2 Cases involving risk-rating files with an exposure above Rs. 367 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.10.

KAP-534.6.3 The Regional Credit Officer shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-534.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-534.6.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-534.6.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-534.6.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/195 and that compliance is certified every quarter.

KAP-534.6.8 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-24.

KAP-534.6.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-534.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-534.6.11 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure B-15.

Section 534.7 Transaction Monitoring - Operating Rule Set 534.7

KAP-534.7.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-534.7.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 27 days written notice.

KAP-534.7.3 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/201 and that compliance is certified every quarter.

KAP-534.7.4 Cases involving video-KYC sessions with an exposure above Rs. 485 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.29.

KAP-534.7.5 Cases involving correspondent-bank relationships with an exposure above Rs. 259 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.13.

KAP-534.7.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-534.7.7 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure H-20.

KAP-534.7.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-534.7.9 Cases involving PEP screening results with an exposure above Rs. 47 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.2.

KAP-534.7.10 The Risk Management Department shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-534.7.11 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

PART 45 - CHAPTER 535: SUSPICIOUS TRANSACTION REPORTING

Section 535.1 Suspicious Transaction Reporting - Operating Rule Set 535.1

KAP-535.1.1 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure G-31.

KAP-535.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-535.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-535.1.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure G-34.

KAP-535.1.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure E-31.

KAP-535.1.6 The Compliance Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-535.1.7 The Branch Manager shall review account-opening forms within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-535.1.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure D-15.

KAP-535.1.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-535.1.10 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 535.2 Suspicious Transaction Reporting - Operating Rule Set 535.2

KAP-535.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-535.2.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-535.2.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-535.2.4 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-535.2.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the

customer 13 days written notice.

KAP-535.2.6 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/089 and that compliance is certified every quarter.

KAP-535.2.7 The Audit Department shall review PEP screening results within 21 working days of receipt and record the outcome in the Document Management system.

KAP-535.2.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-535.2.9 The Regional Credit Officer shall review identity documents within 5 working days of receipt and record the outcome in the Document Management system.

KAP-535.2.10 Cases involving account-opening forms with an exposure above Rs. 440 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.13.

Section 535.3 Suspicious Transaction Reporting - Operating Rule Set 535.3

KAP-535.3.1 Cases involving PEP screening results with an exposure above Rs. 491 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.25.

KAP-535.3.2 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-535.3.3 The Operations Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-535.3.4 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure D-25.

KAP-535.3.5 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/269 and that compliance is certified every quarter.

KAP-535.3.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure A-40.

KAP-535.3.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-535.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-535.3.9 The Operations Head shall review PEP screening results within 25 working days of receipt and record the outcome in the Document Management system.

KAP-535.3.10 In case of a system outage, the Regional Credit Officer must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure H-1.

KAP-535.3.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

Section 535.4 Suspicious Transaction Reporting - Operating Rule Set 535.4

KAP-535.4.1 Cases involving address proofs with an exposure above Rs. 366 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.25.

KAP-535.4.2 The Credit Committee shall review cash transaction reports within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-535.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-535.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-535.4.5 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-535.4.6 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-535.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-535.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-535.4.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-535.4.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

Section 535.5 Suspicious Transaction Reporting - Operating Rule Set 535.5

KAP-535.5.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-535.5.2 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-535.5.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure E-18.

KAP-535.5.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/205 and that compliance is certified every quarter.

KAP-535.5.5 The Audit Department shall review alerts generated by the monitoring system within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-535.5.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-535.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-535.5.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-535.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-535.5.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-535.5.11 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-535.5.12 Cases involving identity documents with an exposure above Rs. 297 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.24.

PART 45 - CHAPTER 536: POLITICALLY EXPOSED PERSONS

Section 536.1 Politically Exposed Persons - Operating Rule Set 536.1

KAP-536.1.1 The Zonal Head shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-536.1.2 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/092 and that compliance is certified every quarter.

KAP-536.1.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure A-35.

KAP-536.1.4 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-536.1.5 The Compliance Officer shall review address proofs within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-536.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-536.1.7 The Risk Management Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-536.1.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-536.1.9 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/272 and that compliance is certified every quarter.

Section 536.2 Politically Exposed Persons - Operating Rule Set 536.2

KAP-536.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance

Officer by the 9th day of the following month.

KAP-536.2.2 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/128 and that compliance is certified every quarter.

KAP-536.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-536.2.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure C-7.

KAP-536.2.5 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure E-14.

KAP-536.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-536.2.7 Cases involving risk-rating files with an exposure above Rs. 325 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.9.

KAP-536.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-536.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-536.2.10 The Compliance Officer shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Customer Relationship system.

Section 536.3 Politically Exposed Persons - Operating Rule Set 536.3

KAP-536.3.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-536.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 39 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.3.

KAP-536.3.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/199 and that compliance is certified every quarter.

KAP-536.3.4 Cases involving risk-rating files with an exposure above Rs. 428 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.10.

KAP-536.3.5 In case of a request for exception, the Zonal Head must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure H-11.

KAP-536.3.6 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 4 working days, with the supporting documents listed in Annexure A-32.

KAP-536.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-536.3.8 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-536.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 463 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.21.

KAP-536.3.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-536.3.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 89 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.3.

Section 536.4 Politically Exposed Persons - Operating Rule Set 536.4

KAP-536.4.1 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-536.4.2 The Operations Head shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-536.4.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-536.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-536.4.5 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure B-2.

KAP-536.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-536.4.7 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-536.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-536.4.9 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 536.5 Politically Exposed Persons - Operating Rule Set 536.5

KAP-536.5.1 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-536.5.2 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-536.5.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-536.5.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-536.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-536.5.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure H-18.

KAP-536.5.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/011 and that compliance is certified every quarter.

KAP-536.5.8 The Operations Head shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-536.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-536.5.10 The Compliance Officer shall review address proofs within 11 working days of receipt and record the outcome in the Loan Origination system.

PART 45 - CHAPTER 537: BENEFICIAL OWNERSHIP

Section 537.1 Beneficial Ownership - Operating Rule Set 537.1

KAP-537.1.1 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure A-10.

KAP-537.1.2 The Compliance Officer shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-537.1.3 Cases involving address proofs with an exposure above Rs. 353 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.9.

KAP-537.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 203 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.14.

KAP-537.1.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-537.1.6 The Branch Manager shall review identity documents within 25 working days of receipt and record the outcome in the Document Management system.

KAP-537.1.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure E-29.

KAP-537.1.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-537.1.9 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure G-39.

Section 537.2 Beneficial Ownership - Operating Rule Set 537.2

KAP-537.2.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure F-31.

KAP-537.2.2 Cases involving address proofs with an exposure above Rs. 208 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.1.

KAP-537.2.3 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-537.2.4 In case of a customer complaint, the Operations Head must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure E-18.

KAP-537.2.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-537.2.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure G-23.

KAP-537.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-537.2.8 Cases involving risk-rating files with an exposure above Rs. 401 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.21.

KAP-537.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-537.2.10 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure F-35.

Section 537.3 Beneficial Ownership - Operating Rule Set 537.3

KAP-537.3.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-537.3.2 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure G-33.

KAP-537.3.3 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure C-20.

KAP-537.3.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-537.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 371 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.16.

KAP-537.3.6 The Regional Credit Officer shall review identity documents within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-537.3.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure E-5.

KAP-537.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 127 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.25.

KAP-537.3.9 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 537.4 Beneficial Ownership - Operating Rule Set 537.4

KAP-537.4.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-537.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-537.4.3 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/138 and that compliance is certified every quarter.

KAP-537.4.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-537.4.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-537.4.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-537.4.7 Cases involving identity documents with an exposure above Rs. 277 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.8.

KAP-537.4.8 The Compliance Officer shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-537.4.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-537.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

Section 537.5 Beneficial Ownership - Operating Rule Set 537.5

KAP-537.5.1 Cases involving address proofs with an exposure above Rs. 434 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.15.

KAP-537.5.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-537.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-537.5.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-25.

KAP-537.5.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-537.5.6 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/261 and that compliance is certified every quarter.

KAP-537.5.7 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-537.5.8 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-537.5.9 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-537.5.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-537.5.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-537.5.12 The Zonal Head shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-537.5.13 The Branch Manager shall review identity documents within 24 working days of receipt and record the outcome in the Loan Origination system.

Section 537.6 Beneficial Ownership - Operating Rule Set 537.6

KAP-537.6.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-537.6.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-537.6.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-537.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-537.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-537.6.6 The Audit Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-537.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management

Department by the 6th day of the following month.

KAP-537.6.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-537.6.9 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/066 and that compliance is certified every quarter.

Section 537.7 Beneficial Ownership - Operating Rule Set 537.7

KAP-537.7.1 Cases involving risk-rating files with an exposure above Rs. 120 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.30.

KAP-537.7.2 The Audit Department shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-537.7.3 Cases involving identity documents with an exposure above Rs. 230 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.16.

KAP-537.7.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-537.7.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-537.7.6 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/287 and that compliance is certified every quarter.

KAP-537.7.7 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure E-5.

KAP-537.7.8 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-537.7.9 The Operations Head shall review beneficial-owner declarations within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-537.7.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

PART 45 - CHAPTER 538: RECORD KEEPING

Section 538.1 Record Keeping - Operating Rule Set 538.1

KAP-538.1.1 Cases involving PEP screening results with an exposure above Rs. 249 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.3.

KAP-538.1.2 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/243 and that compliance is certified every quarter.

KAP-538.1.3 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/229 and that compliance is certified every quarter.

KAP-538.1.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure C-30.

KAP-538.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-538.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-538.1.7 The Compliance Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Document Management system.

KAP-538.1.8 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-538.1.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/081 and that compliance is certified every quarter.

KAP-538.1.10 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/169 and that compliance is certified every quarter.

Section 538.2 Record Keeping - Operating Rule Set 538.2

KAP-538.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 213 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.9.

KAP-538.2.2 Cases involving beneficial-owner declarations with an exposure above Rs. 16 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.2.

KAP-538.2.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure D-15.

KAP-538.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-538.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-538.2.6 For private-limited-company customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-538.2.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 322 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.7.

KAP-538.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 178 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.22.

KAP-538.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 321 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.2.

KAP-538.2.10 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/015 and that compliance is certified every quarter.

Section 538.3 Record Keeping - Operating Rule Set 538.3

KAP-538.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-538.3.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-538.3.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-538.3.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-538.3.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-538.3.6 The Credit Committee shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-538.3.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-538.3.8 The Risk Management Department shall review risk-rating files within 2 working days of receipt and record the outcome in the Risk Engine system.

Section 538.4 Record Keeping - Operating Rule Set 538.4

KAP-538.4.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-538.4.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/182 and that compliance is certified every quarter.

KAP-538.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-538.4.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-538.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-538.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-538.4.7 Cases involving account-opening forms with an exposure above Rs. 161 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.9.

KAP-538.4.8 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional

Credit Officer within 23 working days, with the supporting documents listed in Annexure G-14.

KAP-538.4.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-538.4.10 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/094 and that compliance is certified every quarter.

KAP-538.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

Section 538.5 Record Keeping - Operating Rule Set 538.5

KAP-538.5.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-538.5.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-538.5.3 The Branch Manager shall review PEP screening results within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-538.5.4 The Credit Committee shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-538.5.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/262 and that compliance is certified every quarter.

KAP-538.5.6 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/205 and that compliance is certified every quarter.

KAP-538.5.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-538.5.8 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure D-1.

KAP-538.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-538.5.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

PART 45 - CHAPTER 539: STAFF TRAINING

Section 539.1 Staff Training - Operating Rule Set 539.1

KAP-539.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-539.1.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 10 working days, with the supporting documents listed in Annexure F-13.

KAP-539.1.3 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/162 and that compliance is certified every quarter.

KAP-539.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-539.1.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-539.1.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-539.1.7 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-539.1.8 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure A-28.

KAP-539.1.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/117 and that compliance is certified every quarter.

KAP-539.1.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-539.1.11 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after

giving the customer 15 days written notice.

Section 539.2 Staff Training - Operating Rule Set 539.2

KAP-539.2.1 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-539.2.2 The Compliance Officer shall review video-KYC sessions within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-539.2.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-539.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-539.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-539.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-539.2.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure F-4.

KAP-539.2.8 In case of a request for exception, the Audit Department must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure C-27.

KAP-539.2.9 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 539.3 Staff Training - Operating Rule Set 539.3

KAP-539.3.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/186 and that compliance is certified every quarter.

KAP-539.3.2 The Branch Manager shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Document Management system.

KAP-539.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-539.3.4 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-539.3.5 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure A-8.

KAP-539.3.6 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-539.3.7 The Compliance Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-539.3.8 Cases involving video-KYC sessions with an exposure above Rs. 205 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.6.

Section 539.4 Staff Training - Operating Rule Set 539.4

KAP-539.4.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-539.4.2 The Compliance Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Document Management system.

KAP-539.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-539.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-539.4.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-539.4.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure A-38.

KAP-539.4.7 Cases involving account-opening forms with an exposure above Rs. 420 lakh require prior written approval

from the Operations Head; otherwise the case is an exception under Clause 13.23.

KAP-539.4.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-539.4.9 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/261 and that compliance is certified every quarter.

KAP-539.4.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-539.4.11 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-539.4.12 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-539.4.13 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 539.5 Staff Training - Operating Rule Set 539.5

KAP-539.5.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-539.5.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-539.5.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/218 and that compliance is certified every quarter.

KAP-539.5.4 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-539.5.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-539.5.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-539.5.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-539.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-539.5.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-539.5.10 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/237 and that compliance is certified every quarter.

KAP-539.5.11 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

Section 539.6 Staff Training - Operating Rule Set 539.6

KAP-539.6.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/144 and that compliance is certified every quarter.

KAP-539.6.2 In case of a request for exception, the Operations Head must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure A-20.

KAP-539.6.3 The Regional Credit Officer shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-539.6.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-539.6.5 Cases involving cash transaction reports with an exposure above Rs. 494 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.9.

KAP-539.6.6 Cases involving cash transaction reports with an exposure above Rs. 210 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.1.

KAP-539.6.7 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-539.6.8 Cases involving identity documents with an exposure above Rs. 238 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.2.

KAP-539.6.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure A-21.

Section 539.7 Staff Training - Operating Rule Set 539.7

KAP-539.7.1 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/090 and that compliance is certified every quarter.

KAP-539.7.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/111 and that compliance is certified every quarter.

KAP-539.7.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-539.7.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/246 and that compliance is certified every quarter.

KAP-539.7.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-539.7.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-539.7.7 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-539.7.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-539.7.9 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/007 and that compliance is certified every quarter.

KAP-539.7.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 30 days written notice.

Section 539.8 Staff Training - Operating Rule Set 539.8

KAP-539.8.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-539.8.2 The Compliance Officer shall review account-opening forms within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-539.8.3 Cases involving identity documents with an exposure above Rs. 66 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.26.

KAP-539.8.4 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/200 and that compliance is certified every quarter.

KAP-539.8.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure H-24.

KAP-539.8.6 The Risk Management Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Document Management system.

KAP-539.8.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-539.8.8 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

PART 45 - CHAPTER 540: INDEPENDENT AUDIT

Section 540.1 Independent Audit - Operating Rule Set 540.1

KAP-540.1.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-540.1.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-540.1.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-540.1.4 The Bank reserves the right to request additional documents where material information is found to be

incorrect, after giving the customer 24 days written notice.

KAP-540.1.5 Cases involving PEP screening results with an exposure above Rs. 218 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.17.

KAP-540.1.6 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-540.1.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-540.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

Section 540.2 Independent Audit - Operating Rule Set 540.2

KAP-540.2.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-540.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-540.2.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/276 and that compliance is certified every quarter.

KAP-540.2.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

KAP-540.2.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-540.2.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-540.2.7 Cases involving cash transaction reports with an exposure above Rs. 293 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.27.

KAP-540.2.8 The Credit Committee shall review PEP screening results within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-540.2.9 Cases involving risk-rating files with an exposure above Rs. 457 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.18.

KAP-540.2.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 540.3 Independent Audit - Operating Rule Set 540.3

KAP-540.3.1 The Zonal Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-540.3.2 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/247 and that compliance is certified every quarter.

KAP-540.3.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure G-31.

KAP-540.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 252 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.23.

KAP-540.3.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-540.3.6 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-540.3.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/011 and that compliance is certified every quarter.

KAP-540.3.8 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-540.3.9 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/021 and that compliance is certified every quarter.

KAP-540.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 540.4 Independent Audit - Operating Rule Set 540.4

KAP-540.4.1 Cases involving account-opening forms with an exposure above Rs. 183 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.10.

KAP-540.4.2 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure B-22.

KAP-540.4.3 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-540.4.4 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-540.4.5 In case of a regulatory query, the Audit Department must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure C-2.

KAP-540.4.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-540.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-540.4.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-540.4.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

Section 540.5 Independent Audit - Operating Rule Set 540.5

KAP-540.5.1 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-540.5.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 127 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.8.

KAP-540.5.3 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure C-12.

KAP-540.5.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-540.5.5 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/288 and that compliance is certified every quarter.

KAP-540.5.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-540.5.7 In case of a request for exception, the Operations Head must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure C-26.

KAP-540.5.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-540.5.9 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/018 and that compliance is certified every quarter.

KAP-540.5.10 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-540.5.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 540.6 Independent Audit - Operating Rule Set 540.6

KAP-540.6.1 Cases involving risk-rating files with an exposure above Rs. 277 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.14.

KAP-540.6.2 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure C-21.

KAP-540.6.3 Cases involving address proofs with an exposure above Rs. 82 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.14.

KAP-540.6.4 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer within 3 working days, with the supporting documents listed in Annexure G-32.

KAP-540.6.5 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-540.6.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-540.6.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-540.6.8 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure D-20.

KAP-540.6.9 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-540.6.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

Section 540.7 Independent Audit - Operating Rule Set 540.7

KAP-540.7.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-540.7.2 Cases involving cash transaction reports with an exposure above Rs. 87 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.4.

KAP-540.7.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure A-27.

KAP-540.7.4 The Zonal Head shall review address proofs within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-540.7.5 The Regional Credit Officer shall review cash transaction reports within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-540.7.6 The Risk Management Department shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Case Management system.

KAP-540.7.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-540.7.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-540.7.9 Cases involving video-KYC sessions with an exposure above Rs. 292 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.3.

KAP-540.7.10 Cases involving address proofs with an exposure above Rs. 467 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.16.

KAP-540.7.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

PART 46 - CHAPTER 541: CUSTOMER ACCEPTANCE

Section 541.1 Customer Acceptance - Operating Rule Set 541.1

KAP-541.1.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-541.1.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-541.1.3 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure H-26.

KAP-541.1.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure H-16.

KAP-541.1.5 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure F-40.

KAP-541.1.6 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/296 and that compliance is certified every quarter.

KAP-541.1.7 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/186 and that compliance is certified every quarter.

KAP-541.1.8 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/026 and that compliance is certified every quarter.

KAP-541.1.9 Cases involving address proofs with an exposure above Rs. 116 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.9.

KAP-541.1.10 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-541.1.11 The Operations Head shall review account-opening forms within 29 working days of receipt and record the outcome in the Risk Engine system.

Section 541.2 Customer Acceptance - Operating Rule Set 541.2

KAP-541.2.1 The Branch Manager shall review PEP screening results within 12 working days of receipt and record the outcome in the Document Management system.

KAP-541.2.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-541.2.3 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/246 and that compliance is certified every quarter.

KAP-541.2.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-541.2.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-541.2.6 Cases involving video-KYC sessions with an exposure above Rs. 217 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.20.

KAP-541.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-541.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-541.2.9 Cases involving address proofs with an exposure above Rs. 303 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.22.

KAP-541.2.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

Section 541.3 Customer Acceptance - Operating Rule Set 541.3

KAP-541.3.1 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure E-16.

KAP-541.3.2 Cases involving video-KYC sessions with an exposure above Rs. 370 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.28.

KAP-541.3.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-541.3.4 The Audit Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Case Management system.

KAP-541.3.5 Cases involving cash transaction reports with an exposure above Rs. 407 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 10.18.

KAP-541.3.6 Cases involving risk-rating files with an exposure above Rs. 448 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.11.

KAP-541.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-541.3.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/237 and that compliance is certified every quarter.

KAP-541.3.9 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-33.

Section 541.4 Customer Acceptance - Operating Rule Set 541.4

KAP-541.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-541.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-541.4.3 The Audit Department shall review address proofs within 14 working days of receipt and record the outcome in the Document Management system.

KAP-541.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-541.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-541.4.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-541.4.7 Cases involving video-KYC sessions with an exposure above Rs. 173 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.10.

KAP-541.4.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure B-19.

KAP-541.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

Section 541.5 Customer Acceptance - Operating Rule Set 541.5

KAP-541.5.1 Cases involving account-opening forms with an exposure above Rs. 141 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.20.

KAP-541.5.2 Cases involving address proofs with an exposure above Rs. 65 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.19.

KAP-541.5.3 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure H-35.

KAP-541.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-541.5.5 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-541.5.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-541.5.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 19 working days, with the supporting documents listed in Annexure B-12.

KAP-541.5.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 541.6 Customer Acceptance - Operating Rule Set 541.6

KAP-541.6.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-541.6.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-541.6.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-541.6.4 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure B-24.

KAP-541.6.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-541.6.6 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure D-34.

KAP-541.6.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-541.6.8 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-541.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made

available to the regulator on request.

KAP-541.6.10 Cases involving identity documents with an exposure above Rs. 453 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.11.

KAP-541.6.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-541.6.12 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-10.

KAP-541.6.13 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure H-2.

PART 46 - CHAPTER 542: CUSTOMER IDENTIFICATION

Section 542.1 Customer Identification - Operating Rule Set 542.1

KAP-542.1.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/244 and that compliance is certified every quarter.

KAP-542.1.2 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/289 and that compliance is certified every quarter.

KAP-542.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-542.1.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/187 and that compliance is certified every quarter.

KAP-542.1.5 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-542.1.6 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 13 working days, with the supporting documents listed in Annexure B-23.

KAP-542.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 256 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.2.

KAP-542.1.8 The Branch Manager shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-542.1.9 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/029 and that compliance is certified every quarter.

KAP-542.1.10 The Branch Manager shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Customer Relationship system.

Section 542.2 Customer Identification - Operating Rule Set 542.2

KAP-542.2.1 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/027 and that compliance is certified every quarter.

KAP-542.2.2 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure A-23.

KAP-542.2.3 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-542.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-542.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-542.2.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-542.2.7 Cases involving account-opening forms with an exposure above Rs. 139 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.12.

KAP-542.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-542.2.9 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/089 and that compliance is certified every quarter.

KAP-542.2.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit

Committee by the 7th day of the following month.

KAP-542.2.11 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure E-26.

Section 542.3 Customer Identification - Operating Rule Set 542.3

KAP-542.3.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-542.3.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-542.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-542.3.4 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-542.3.5 The Credit Committee shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-542.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-542.3.7 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-542.3.8 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure A-35.

KAP-542.3.9 Cases involving beneficial-owner declarations with an exposure above Rs. 8 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.3.

KAP-542.3.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-542.3.11 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/170 and that compliance is certified every quarter.

Section 542.4 Customer Identification - Operating Rule Set 542.4

KAP-542.4.1 The Zonal Head shall review address proofs within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-542.4.2 The Compliance Officer shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-542.4.3 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure A-24.

KAP-542.4.4 The Audit Department shall review cash transaction reports within 26 working days of receipt and record the outcome in the Case Management system.

KAP-542.4.5 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-542.4.6 Cases involving PEP screening results with an exposure above Rs. 374 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.12.

KAP-542.4.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-542.4.8 Cases involving PEP screening results with an exposure above Rs. 27 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.18.

Section 542.5 Customer Identification - Operating Rule Set 542.5

KAP-542.5.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-542.5.2 Cases involving correspondent-bank relationships with an exposure above Rs. 100 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.2.

KAP-542.5.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-542.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit

Officer by the 5th day of the following month.

KAP-542.5.5 Cases involving PEP screening results with an exposure above Rs. 79 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.8.

KAP-542.5.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-542.5.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-542.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-542.5.9 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-542.5.10 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure D-3.

Section 542.6 Customer Identification - Operating Rule Set 542.6

KAP-542.6.1 The Branch Manager shall review account-opening forms within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-542.6.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-32.

KAP-542.6.3 Cases involving identity documents with an exposure above Rs. 159 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.18.

KAP-542.6.4 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/023 and that compliance is certified every quarter.

KAP-542.6.5 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-542.6.6 The Risk Management Department shall review identity documents within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-542.6.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-542.6.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-542.6.9 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure E-20.

KAP-542.6.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-542.6.11 The Branch Manager shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Loan Origination system.

Section 542.7 Customer Identification - Operating Rule Set 542.7

KAP-542.7.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-542.7.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-542.7.3 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-542.7.4 Cases involving beneficial-owner declarations with an exposure above Rs. 58 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.26.

KAP-542.7.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-542.7.6 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/203 and that compliance is certified every quarter.

KAP-542.7.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-542.7.8 The Operations Head shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-542.7.9 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 542.8 Customer Identification - Operating Rule Set 542.8

KAP-542.8.1 The Compliance Officer shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-542.8.2 In case of a change in borrower profile, the Audit Department must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure H-12.

KAP-542.8.3 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure H-32.

KAP-542.8.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-542.8.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-542.8.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/266 and that compliance is certified every quarter.

KAP-542.8.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-542.8.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-542.8.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 126 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.27.

KAP-542.8.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure B-38.

KAP-542.8.11 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/194 and that compliance is certified every quarter.

PART 46 - CHAPTER 543: CUSTOMER DUE DILIGENCE

Section 543.1 Customer Due Diligence - Operating Rule Set 543.1

KAP-543.1.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-543.1.2 The Audit Department shall review identity documents within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-543.1.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-543.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-543.1.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-543.1.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-543.1.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-543.1.8 The Operations Head shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Customer Relationship system.

Section 543.2 Customer Due Diligence - Operating Rule Set 543.2

KAP-543.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-543.2.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 164 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.2.

KAP-543.2.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the

Zonal Head within 24 working days, with the supporting documents listed in Annexure H-32.

KAP-543.2.4 Cases involving cash transaction reports with an exposure above Rs. 377 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.18.

KAP-543.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-543.2.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-543.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-543.2.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/188 and that compliance is certified every quarter.

KAP-543.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 543.3 Customer Due Diligence - Operating Rule Set 543.3

KAP-543.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-543.3.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-543.3.3 Cases involving beneficial-owner declarations with an exposure above Rs. 476 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.12.

KAP-543.3.4 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/005 and that compliance is certified every quarter.

KAP-543.3.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/142 and that compliance is certified every quarter.

KAP-543.3.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-543.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-543.3.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure H-17.

Section 543.4 Customer Due Diligence - Operating Rule Set 543.4

KAP-543.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-543.4.2 The Credit Committee shall review PEP screening results within 29 working days of receipt and record the outcome in the Document Management system.

KAP-543.4.3 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-543.4.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-543.4.5 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-543.4.6 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-543.4.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-543.4.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-543.4.9 Cases involving identity documents with an exposure above Rs. 182 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.10.

KAP-543.4.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-543.4.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure H-31.

KAP-543.4.12 The Branch Manager shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Loan Origination system.

Section 543.5 Customer Due Diligence - Operating Rule Set 543.5

KAP-543.5.1 The Operations Head shall review account-opening forms within 18 working days of receipt and record the outcome in the Case Management system.

KAP-543.5.2 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-543.5.3 The Operations Head shall review account-opening forms within 10 working days of receipt and record the outcome in the Document Management system.

KAP-543.5.4 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/024 and that compliance is certified every quarter.

KAP-543.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-543.5.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-543.5.7 The Branch Manager shall review address proofs within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-543.5.8 For NRI customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-543.5.9 Cases involving address proofs with an exposure above Rs. 493 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.21.

KAP-543.5.10 Cases involving identity documents with an exposure above Rs. 100 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.28.

KAP-543.5.11 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/203 and that compliance is certified every quarter.

PART 46 - CHAPTER 544: ENHANCED DUE DILIGENCE

Section 544.1 Enhanced Due Diligence - Operating Rule Set 544.1

KAP-544.1.1 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-544.1.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/286 and that compliance is certified every quarter.

KAP-544.1.3 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure F-10.

KAP-544.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-544.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 338 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.7.

KAP-544.1.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-544.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-544.1.8 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/046 and that compliance is certified every quarter.

KAP-544.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 209 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.28.

KAP-544.1.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure A-17.

KAP-544.1.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 544.2 Enhanced Due Diligence - Operating Rule Set 544.2

KAP-544.2.1 For sole-proprietor customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-544.2.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-544.2.3 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-544.2.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-544.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-544.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-544.2.7 The Operations Head shall review risk-rating files within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-544.2.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-544.2.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/295 and that compliance is certified every quarter.

KAP-544.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-544.2.11 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

Section 544.3 Enhanced Due Diligence - Operating Rule Set 544.3

KAP-544.3.1 For NRI customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-544.3.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-544.3.3 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-544.3.4 The Regional Credit Officer shall review PEP screening results within 19 working days of receipt and record the outcome in the Document Management system.

KAP-544.3.5 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/247 and that compliance is certified every quarter.

KAP-544.3.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/116 and that compliance is certified every quarter.

KAP-544.3.7 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure B-39.

KAP-544.3.8 The Credit Committee shall review cash transaction reports within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-544.3.9 Cases involving video-KYC sessions with an exposure above Rs. 35 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.3.

KAP-544.3.10 The Risk Management Department shall review identity documents within 10 working days of receipt and record the outcome in the Document Management system.

KAP-544.3.11 Cases involving account-opening forms with an exposure above Rs. 185 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.28.

KAP-544.3.12 In case of a system outage, the Audit Department must escalate the matter to the Compliance Officer within 29 working days, with the supporting documents listed in Annexure C-12.

Section 544.4 Enhanced Due Diligence - Operating Rule Set 544.4

KAP-544.4.1 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/140 and that compliance is certified every quarter.

KAP-544.4.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-544.4.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-544.4.4 The Audit Department shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-544.4.5 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-544.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-544.4.7 The Zonal Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-544.4.8 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-544.4.9 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/073 and that compliance is certified every quarter.

KAP-544.4.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 544.5 Enhanced Due Diligence - Operating Rule Set 544.5

KAP-544.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-544.5.2 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-544.5.3 Cases involving risk-rating files with an exposure above Rs. 110 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.13.

KAP-544.5.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure H-33.

KAP-544.5.5 The Operations Head shall review risk-rating files within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-544.5.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/160 and that compliance is certified every quarter.

KAP-544.5.7 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-544.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-544.5.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-544.5.10 The Branch Manager shall review account-opening forms within 13 working days of receipt and record the outcome in the Risk Engine system.

Section 544.6 Enhanced Due Diligence - Operating Rule Set 544.6

KAP-544.6.1 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-544.6.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-544.6.3 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure C-14.

KAP-544.6.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/098 and that compliance is certified every quarter.

KAP-544.6.5 The Zonal Head shall review identity documents within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-544.6.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be

made available to the regulator on request.

KAP-544.6.7 The Audit Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

KAP-544.6.8 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure A-31.

KAP-544.6.9 For sole-proprietor customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-544.6.10 Cases involving account-opening forms with an exposure above Rs. 100 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.15.

KAP-544.6.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-544.6.12 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

PART 46 - CHAPTER 545: RISK CATEGORISATION

Section 545.1 Risk Categorisation - Operating Rule Set 545.1

KAP-545.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-545.1.2 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-545.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-545.1.4 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/044 and that compliance is certified every quarter.

KAP-545.1.5 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/145 and that compliance is certified every quarter.

KAP-545.1.6 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-545.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 359 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.21.

KAP-545.1.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-545.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-545.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-545.1.11 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure C-3.

KAP-545.1.12 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/197 and that compliance is certified every quarter.

Section 545.2 Risk Categorisation - Operating Rule Set 545.2

KAP-545.2.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-545.2.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-545.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-545.2.4 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-545.2.5 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-545.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and

be made available to statutory auditors on request.

KAP-545.2.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-32.

KAP-545.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-545.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

Section 545.3 Risk Categorisation - Operating Rule Set 545.3

KAP-545.3.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-545.3.2 Cases involving beneficial-owner declarations with an exposure above Rs. 53 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.21.

KAP-545.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-545.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 270 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.7.

KAP-545.3.5 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 30 working days, with the supporting documents listed in Annexure C-17.

KAP-545.3.6 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-545.3.7 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure A-37.

KAP-545.3.8 Cases involving risk-rating files with an exposure above Rs. 77 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.16.

KAP-545.3.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/181 and that compliance is certified every quarter.

KAP-545.3.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-545.3.11 The Branch Manager shall review account-opening forms within 11 working days of receipt and record the outcome in the Document Management system.

Section 545.4 Risk Categorisation - Operating Rule Set 545.4

KAP-545.4.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure A-20.

KAP-545.4.2 Cases involving risk-rating files with an exposure above Rs. 323 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.15.

KAP-545.4.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-545.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-545.4.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Branch Manager within 28 working days, with the supporting documents listed in Annexure H-22.

KAP-545.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-545.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 181 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.18.

KAP-545.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-545.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 20 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.2.

KAP-545.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-545.4.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-545.4.12 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

PART 46 - CHAPTER 546: TRANSACTION MONITORING

Section 546.1 Transaction Monitoring - Operating Rule Set 546.1

KAP-546.1.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-546.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-546.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 156 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.16.

KAP-546.1.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Case Management system.

KAP-546.1.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-35.

KAP-546.1.6 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-546.1.7 Cases involving identity documents with an exposure above Rs. 208 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.14.

KAP-546.1.8 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/006 and that compliance is certified every quarter.

KAP-546.1.9 Cases involving cash transaction reports with an exposure above Rs. 496 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.27.

KAP-546.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

Section 546.2 Transaction Monitoring - Operating Rule Set 546.2

KAP-546.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-546.2.2 The Zonal Head shall review PEP screening results within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-546.2.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-546.2.4 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-546.2.5 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure F-32.

KAP-546.2.6 Cases involving video-KYC sessions with an exposure above Rs. 47 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.27.

KAP-546.2.7 The Branch Manager shall review PEP screening results within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-546.2.8 Cases involving PEP screening results with an exposure above Rs. 175 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.6.

KAP-546.2.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-546.2.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-546.2.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 546.3 Transaction Monitoring - Operating Rule Set 546.3

KAP-546.3.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made

available to the Board Audit Committee on request.

KAP-546.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-546.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-546.3.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure D-22.

KAP-546.3.5 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 29 working days, with the supporting documents listed in Annexure B-37.

KAP-546.3.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure A-30.

KAP-546.3.7 Cases involving address proofs with an exposure above Rs. 146 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.18.

KAP-546.3.8 Cases involving risk-rating files with an exposure above Rs. 149 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.25.

KAP-546.3.9 Cases involving risk-rating files with an exposure above Rs. 477 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.25.

KAP-546.3.10 Cases involving address proofs with an exposure above Rs. 439 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.8.

Section 546.4 Transaction Monitoring - Operating Rule Set 546.4

KAP-546.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-546.4.2 In case of a system outage, the Audit Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure H-7.

KAP-546.4.3 The Operations Head shall review identity documents within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-546.4.4 The Zonal Head shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Document Management system.

KAP-546.4.5 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/127 and that compliance is certified every quarter.

KAP-546.4.6 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/018 and that compliance is certified every quarter.

KAP-546.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-546.4.8 The Risk Management Department shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Document Management system.

KAP-546.4.9 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/077 and that compliance is certified every quarter.

PART 46 - CHAPTER 547: SUSPICIOUS TRANSACTION REPORTING

Section 547.1 Suspicious Transaction Reporting - Operating Rule Set 547.1

KAP-547.1.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/288 and that compliance is certified every quarter.

KAP-547.1.2 The Zonal Head shall review address proofs within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-547.1.3 The Risk Management Department shall review address proofs within 15 working days of receipt and record the outcome in the Case Management system.

KAP-547.1.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/203 and that compliance is certified every quarter.

KAP-547.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-547.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made

available to the regulator on request.

KAP-547.1.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-547.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-547.1.9 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-547.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

Section 547.2 Suspicious Transaction Reporting - Operating Rule Set 547.2

KAP-547.2.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-547.2.2 The Zonal Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-547.2.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-547.2.4 Cases involving beneficial-owner declarations with an exposure above Rs. 280 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.22.

KAP-547.2.5 Cases involving identity documents with an exposure above Rs. 472 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.14.

KAP-547.2.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-547.2.7 Cases involving address proofs with an exposure above Rs. 182 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.7.

KAP-547.2.8 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-547.2.9 The Branch Manager shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Case Management system.

KAP-547.2.10 Cases involving PEP screening results with an exposure above Rs. 16 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.24.

Section 547.3 Suspicious Transaction Reporting - Operating Rule Set 547.3

KAP-547.3.1 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-547.3.2 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/195 and that compliance is certified every quarter.

KAP-547.3.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-547.3.4 The Zonal Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Document Management system.

KAP-547.3.5 Cases involving identity documents with an exposure above Rs. 372 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.10.

KAP-547.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-547.3.7 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/102 and that compliance is certified every quarter.

KAP-547.3.8 The Audit Department shall review risk-rating files within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-547.3.9 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-547.3.10 Cases involving PEP screening results with an exposure above Rs. 338 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.12.

Section 547.4 Suspicious Transaction Reporting - Operating Rule Set 547.4

KAP-547.4.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure G-1.

KAP-547.4.2 Cases involving account-opening forms with an exposure above Rs. 174 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.20.

KAP-547.4.3 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure E-11.

KAP-547.4.4 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/206 and that compliance is certified every quarter.

KAP-547.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-547.4.6 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-547.4.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-547.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-547.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

Section 547.5 Suspicious Transaction Reporting - Operating Rule Set 547.5

KAP-547.5.1 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-547.5.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-547.5.3 Cases involving beneficial-owner declarations with an exposure above Rs. 312 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.24.

KAP-547.5.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-547.5.5 The Branch Manager shall review PEP screening results within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-547.5.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-547.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-547.5.8 The Audit Department shall review risk-rating files within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-547.5.9 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-547.5.10 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-547.5.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 2 days written notice.

PART 46 - CHAPTER 548: POLITICALLY EXPOSED PERSONS

Section 548.1 Politically Exposed Persons - Operating Rule Set 548.1

KAP-548.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-548.1.2 The Branch Manager shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-548.1.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-548.1.4 The Bank reserves the right to revise the applicable charges where material information is found to be

incorrect, after giving the customer 7 days written notice.

KAP-548.1.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-548.1.6 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-548.1.7 The Risk Management Department shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-548.1.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure D-31.

KAP-548.1.9 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/096 and that compliance is certified every quarter.

Section 548.2 Politically Exposed Persons - Operating Rule Set 548.2

KAP-548.2.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure B-12.

KAP-548.2.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/063 and that compliance is certified every quarter.

KAP-548.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 474 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.8.

KAP-548.2.4 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-548.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-548.2.6 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/022 and that compliance is certified every quarter.

KAP-548.2.7 Cases involving PEP screening results with an exposure above Rs. 326 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.12.

KAP-548.2.8 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-548.2.9 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/181 and that compliance is certified every quarter.

KAP-548.2.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-548.2.11 Cases involving PEP screening results with an exposure above Rs. 499 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.30.

Section 548.3 Politically Exposed Persons - Operating Rule Set 548.3

KAP-548.3.1 The Audit Department shall review address proofs within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-548.3.2 The Audit Department shall review risk-rating files within 13 working days of receipt and record the outcome in the Document Management system.

KAP-548.3.3 The Compliance Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-548.3.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-548.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 371 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.15.

KAP-548.3.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-548.3.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-548.3.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure C-1.

KAP-548.3.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-548.3.10 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-548.3.11 The Audit Department shall review cash transaction reports within 5 working days of receipt and record the outcome in the Core Banking system.

Section 548.4 Politically Exposed Persons - Operating Rule Set 548.4

KAP-548.4.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-548.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-548.4.3 Cases involving video-KYC sessions with an exposure above Rs. 472 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.27.

KAP-548.4.4 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-548.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 418 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.7.

KAP-548.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 44 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.1.

KAP-548.4.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-548.4.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/145 and that compliance is certified every quarter.

Section 548.5 Politically Exposed Persons - Operating Rule Set 548.5

KAP-548.5.1 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure D-14.

KAP-548.5.2 In case of a request for exception, the Audit Department must escalate the matter to the Audit Department within 7 working days, with the supporting documents listed in Annexure D-28.

KAP-548.5.3 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-548.5.4 Cases involving PEP screening results with an exposure above Rs. 217 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.30.

KAP-548.5.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 451 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.30.

KAP-548.5.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure E-38.

KAP-548.5.7 Cases involving PEP screening results with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.4.

KAP-548.5.8 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-548.5.9 The Audit Department shall review identity documents within 3 working days of receipt and record the outcome in the Core Banking system.

Section 548.6 Politically Exposed Persons - Operating Rule Set 548.6

KAP-548.6.1 Cases involving video-KYC sessions with an exposure above Rs. 449 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.9.

KAP-548.6.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure F-32.

KAP-548.6.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/243 and that compliance is certified every quarter.

KAP-548.6.4 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-548.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-548.6.6 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure C-15.

KAP-548.6.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/063 and that compliance is certified every quarter.

KAP-548.6.8 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-548.6.9 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-548.6.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-548.6.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-548.6.12 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/123 and that compliance is certified every quarter.

PART 46 - CHAPTER 549: BENEFICIAL OWNERSHIP

Section 549.1 Beneficial Ownership - Operating Rule Set 549.1

KAP-549.1.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/047 and that compliance is certified every quarter.

KAP-549.1.2 Cases involving identity documents with an exposure above Rs. 185 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.9.

KAP-549.1.3 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/254 and that compliance is certified every quarter.

KAP-549.1.4 Cases involving account-opening forms with an exposure above Rs. 355 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.14.

KAP-549.1.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure E-22.

KAP-549.1.6 The Regional Credit Officer shall review address proofs within 21 working days of receipt and record the outcome in the Document Management system.

KAP-549.1.7 Cases involving address proofs with an exposure above Rs. 66 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.4.

KAP-549.1.8 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-549.1.9 Cases involving cash transaction reports with an exposure above Rs. 491 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.6.

KAP-549.1.10 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

Section 549.2 Beneficial Ownership - Operating Rule Set 549.2

KAP-549.2.1 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/005 and that compliance is certified every quarter.

KAP-549.2.2 The Operations Head shall review cash transaction reports within 14 working days of receipt and record the outcome in the Case Management system.

KAP-549.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure A-26.

KAP-549.2.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-549.2.5 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-549.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-549.2.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/128 and that compliance is certified every quarter.

KAP-549.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-549.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

Section 549.3 Beneficial Ownership - Operating Rule Set 549.3

KAP-549.3.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/216 and that compliance is certified every quarter.

KAP-549.3.2 The Credit Committee shall review address proofs within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-549.3.3 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure B-18.

KAP-549.3.4 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/058 and that compliance is certified every quarter.

KAP-549.3.5 The Regional Credit Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-549.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-549.3.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-549.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-549.3.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-549.3.10 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-549.3.11 For trust customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-549.3.12 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 549.4 Beneficial Ownership - Operating Rule Set 549.4

KAP-549.4.1 The Credit Committee shall review address proofs within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-549.4.2 The Branch Manager shall review cash transaction reports within 19 working days of receipt and record the outcome in the Case Management system.

KAP-549.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-549.4.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-549.4.5 Cases involving cash transaction reports with an exposure above Rs. 351 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.9.

KAP-549.4.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-549.4.7 The Branch Manager shall review account-opening forms within 16 working days of receipt and record the outcome in the Case Management system.

KAP-549.4.8 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 549.5 Beneficial Ownership - Operating Rule Set 549.5

KAP-549.5.1 The Regional Credit Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-549.5.2 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure G-32.

KAP-549.5.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure B-13.

KAP-549.5.4 For private-limited-company customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-549.5.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure C-13.

KAP-549.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-549.5.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-549.5.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-549.5.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/190 and that compliance is certified every quarter.

Section 549.6 Beneficial Ownership - Operating Rule Set 549.6

KAP-549.6.1 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/030 and that compliance is certified every quarter.

KAP-549.6.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-549.6.3 The Branch Manager shall review account-opening forms within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-549.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 8 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.9.

KAP-549.6.5 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-549.6.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-549.6.7 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/055 and that compliance is certified every quarter.

KAP-549.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-549.6.9 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-549.6.10 The Risk Management Department shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Customer Relationship system.

PART 46 - CHAPTER 550: RECORD KEEPING

Section 550.1 Record Keeping - Operating Rule Set 550.1

KAP-550.1.1 The Regional Credit Officer shall review identity documents within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-550.1.2 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-550.1.3 The Risk Management Department shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Document Management system.

KAP-550.1.4 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-550.1.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-550.1.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-550.1.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-550.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-550.1.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

Section 550.2 Record Keeping - Operating Rule Set 550.2

KAP-550.2.1 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure A-18.

KAP-550.2.2 Cases involving cash transaction reports with an exposure above Rs. 397 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.30.

KAP-550.2.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 294 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.23.

KAP-550.2.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-550.2.5 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure E-16.

KAP-550.2.6 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-550.2.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure H-17.

KAP-550.2.8 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-550.2.9 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure C-34.

KAP-550.2.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

Section 550.3 Record Keeping - Operating Rule Set 550.3

KAP-550.3.1 Cases involving account-opening forms with an exposure above Rs. 416 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.14.

KAP-550.3.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-550.3.3 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure C-13.

KAP-550.3.4 Cases involving identity documents with an exposure above Rs. 473 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.23.

KAP-550.3.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/074 and that compliance is certified every quarter.

KAP-550.3.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-550.3.7 Cases involving account-opening forms with an exposure above Rs. 20 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.21.

KAP-550.3.8 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-550.3.9 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 550.4 Record Keeping - Operating Rule Set 550.4

KAP-550.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-550.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-550.4.3 Cases involving address proofs with an exposure above Rs. 416 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.23.

KAP-550.4.4 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-550.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-550.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-550.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-550.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-550.4.9 For NRI customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 550.5 Record Keeping - Operating Rule Set 550.5

KAP-550.5.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-550.5.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/007 and that compliance is certified every quarter.

KAP-550.5.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-550.5.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-550.5.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure A-38.

KAP-550.5.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-550.5.7 Cases involving address proofs with an exposure above Rs. 246 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.1.

KAP-550.5.8 The Risk Management Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-550.5.9 Cases involving account-opening forms with an exposure above Rs. 284 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.23.

Section 550.6 Record Keeping - Operating Rule Set 550.6

KAP-550.6.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-550.6.2 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-550.6.3 Cases involving cash transaction reports with an exposure above Rs. 84 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.21.

KAP-550.6.4 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-550.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-550.6.6 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure G-39.

KAP-550.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-550.6.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-550.6.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made

available to statutory auditors on request.

KAP-550.6.10 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/053 and that compliance is certified every quarter.

Section 550.7 Record Keeping - Operating Rule Set 550.7

KAP-550.7.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-550.7.2 The Compliance Officer shall review cash transaction reports within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-550.7.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 357 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.29.

KAP-550.7.4 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-550.7.5 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/060 and that compliance is certified every quarter.

KAP-550.7.6 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/193 and that compliance is certified every quarter.

KAP-550.7.7 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-550.7.8 The Operations Head shall review PEP screening results within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-550.7.9 The Regional Credit Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-550.7.10 The Zonal Head shall review PEP screening results within 23 working days of receipt and record the outcome in the Case Management system.

KAP-550.7.11 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

PART 46 - CHAPTER 551: STAFF TRAINING

Section 551.1 Staff Training - Operating Rule Set 551.1

KAP-551.1.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-551.1.2 In case of a change in borrower profile, the Operations Head must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure F-40.

KAP-551.1.3 The Operations Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-551.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-551.1.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure D-2.

KAP-551.1.6 The Zonal Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-551.1.7 Cases involving PEP screening results with an exposure above Rs. 299 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.14.

KAP-551.1.8 The Risk Management Department shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-551.1.9 Cases involving risk-rating files with an exposure above Rs. 142 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.21.

Section 551.2 Staff Training - Operating Rule Set 551.2

KAP-551.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-551.2.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/227 and that compliance is certified every quarter.

KAP-551.2.3 The Audit Department shall review PEP screening results within 5 working days of receipt and record the outcome in the Case Management system.

KAP-551.2.4 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/179 and that compliance is certified every quarter.

KAP-551.2.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/133 and that compliance is certified every quarter.

KAP-551.2.6 The Audit Department shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-551.2.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-551.2.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure G-24.

KAP-551.2.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-551.2.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure E-17.

KAP-551.2.11 Cases involving PEP screening results with an exposure above Rs. 424 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.17.

Section 551.3 Staff Training - Operating Rule Set 551.3

KAP-551.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-551.3.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure D-8.

KAP-551.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-551.3.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-551.3.5 Cases involving PEP screening results with an exposure above Rs. 22 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.26.

KAP-551.3.6 In case of a system outage, the Compliance Officer must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure H-29.

KAP-551.3.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-551.3.8 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/282 and that compliance is certified every quarter.

KAP-551.3.9 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/010 and that compliance is certified every quarter.

KAP-551.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-551.3.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-551.3.12 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-551.3.13 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 7 working days, with the supporting documents listed in Annexure G-3.

Section 551.4 Staff Training - Operating Rule Set 551.4

KAP-551.4.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure D-8.

KAP-551.4.2 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/205 and that compliance is certified every quarter.

KAP-551.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4

and be made available to internal auditors on request.

KAP-551.4.4 Cases involving risk-rating files with an exposure above Rs. 295 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.15.

KAP-551.4.5 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/213 and that compliance is certified every quarter.

KAP-551.4.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure C-9.

KAP-551.4.7 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-551.4.8 Cases involving address proofs with an exposure above Rs. 354 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.19.

KAP-551.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 402 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.8.

KAP-551.4.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-551.4.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

Section 551.5 Staff Training - Operating Rule Set 551.5

KAP-551.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-551.5.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/144 and that compliance is certified every quarter.

KAP-551.5.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-551.5.4 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/254 and that compliance is certified every quarter.

KAP-551.5.5 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-551.5.6 The Branch Manager shall review alerts generated by the monitoring system within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-551.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-551.5.8 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-551.5.9 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure C-31.

KAP-551.5.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-551.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

Section 551.6 Staff Training - Operating Rule Set 551.6

KAP-551.6.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-551.6.2 Cases involving identity documents with an exposure above Rs. 51 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.22.

KAP-551.6.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 114 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.29.

KAP-551.6.4 Cases involving correspondent-bank relationships with an exposure above Rs. 252 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.1.

KAP-551.6.5 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure A-40.

KAP-551.6.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-551.6.7 Cases involving video-KYC sessions with an exposure above Rs. 198 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.18.

KAP-551.6.8 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/278 and that compliance is certified every quarter.

KAP-551.6.9 Cases involving address proofs with an exposure above Rs. 232 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.9.

PART 46 - CHAPTER 552: INDEPENDENT AUDIT

Section 552.1 Independent Audit - Operating Rule Set 552.1

KAP-552.1.1 For partnership customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-552.1.2 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-552.1.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 263 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.24.

KAP-552.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-552.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-552.1.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-552.1.7 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-552.1.8 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/217 and that compliance is certified every quarter.

KAP-552.1.9 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure A-9.

KAP-552.1.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-552.1.11 The Risk Management Department shall review PEP screening results within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-552.1.12 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 6 days written notice.

Section 552.2 Independent Audit - Operating Rule Set 552.2

KAP-552.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-552.2.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/114 and that compliance is certified every quarter.

KAP-552.2.3 Cases involving risk-rating files with an exposure above Rs. 202 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.8.

KAP-552.2.4 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/057 and that compliance is certified every quarter.

KAP-552.2.5 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure F-36.

KAP-552.2.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-552.2.7 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/147 and that compliance is certified every quarter.

KAP-552.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-552.2.9 The Compliance Officer shall review account-opening forms within 9 working days of receipt and record the outcome in the Core Banking system.

Section 552.3 Independent Audit - Operating Rule Set 552.3

KAP-552.3.1 The Regional Credit Officer shall review risk-rating files within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-552.3.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-552.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-552.3.4 The Zonal Head shall review risk-rating files within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-552.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-552.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 311 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.6.

KAP-552.3.7 The Operations Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Case Management system.

KAP-552.3.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure E-23.

KAP-552.3.9 Cases involving PEP screening results with an exposure above Rs. 473 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.7.

Section 552.4 Independent Audit - Operating Rule Set 552.4

KAP-552.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-552.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 19 working days, with the supporting documents listed in Annexure A-5.

KAP-552.4.3 Cases involving PEP screening results with an exposure above Rs. 43 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.6.

KAP-552.4.4 Cases involving account-opening forms with an exposure above Rs. 460 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.11.

KAP-552.4.5 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-552.4.6 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure B-11.

KAP-552.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-552.4.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/019 and that compliance is certified every quarter.

KAP-552.4.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-552.4.10 The Regional Credit Officer shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-552.4.11 The Regional Credit Officer shall review identity documents within 24 working days of receipt and record the outcome in the Document Management system.

KAP-552.4.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

Section 552.5 Independent Audit - Operating Rule Set 552.5

KAP-552.5.1 Cases involving identity documents with an exposure above Rs. 478 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.4.

KAP-552.5.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-552.5.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-552.5.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure D-8.

KAP-552.5.5 For individual customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-552.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-552.5.7 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/124 and that compliance is certified every quarter.

KAP-552.5.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-552.5.9 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-552.5.10 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure G-9.

KAP-552.5.11 Cases involving cash transaction reports with an exposure above Rs. 31 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.3.

KAP-552.5.12 The Credit Committee shall review risk-rating files within 8 working days of receipt and record the outcome in the Core Banking system.

Section 552.6 Independent Audit - Operating Rule Set 552.6

KAP-552.6.1 For trust customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-552.6.2 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/260 and that compliance is certified every quarter.

KAP-552.6.3 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/286 and that compliance is certified every quarter.

KAP-552.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-552.6.5 The Regional Credit Officer shall review address proofs within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-552.6.6 Cases involving PEP screening results with an exposure above Rs. 485 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.6.

KAP-552.6.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-552.6.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure A-27.

KAP-552.6.9 Cases involving risk-rating files with an exposure above Rs. 243 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.25.

PART 47 - CHAPTER 553: CUSTOMER ACCEPTANCE

Section 553.1 Customer Acceptance - Operating Rule Set 553.1

KAP-553.1.1 Cases involving address proofs with an exposure above Rs. 184 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.7.

KAP-553.1.2 Cases involving account-opening forms with an exposure above Rs. 292 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.24.

KAP-553.1.3 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/047 and that compliance is certified every quarter.

KAP-553.1.4 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-553.1.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/231 and that compliance is certified every quarter.

KAP-553.1.6 Cases involving address proofs with an exposure above Rs. 415 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.22.

KAP-553.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-553.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-553.1.9 The Credit Committee shall review identity documents within 19 working days of receipt and record the outcome in the Case Management system.

KAP-553.1.10 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-553.1.11 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Customer Relationship system.

Section 553.2 Customer Acceptance - Operating Rule Set 553.2

KAP-553.2.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/300 and that compliance is certified every quarter.

KAP-553.2.2 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-553.2.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-553.2.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure H-6.

KAP-553.2.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/200 and that compliance is certified every quarter.

KAP-553.2.6 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-28.

KAP-553.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 472 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.3.

KAP-553.2.8 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 553.3 Customer Acceptance - Operating Rule Set 553.3

KAP-553.3.1 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-553.3.2 The Operations Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-553.3.3 Cases involving video-KYC sessions with an exposure above Rs. 371 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.5.

KAP-553.3.4 The Operations Head shall review video-KYC sessions within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-553.3.5 Cases involving risk-rating files with an exposure above Rs. 357 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.3.

KAP-553.3.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-553.3.7 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-553.3.8 The Branch Manager shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-553.3.9 The Zonal Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-553.3.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-553.3.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be

made available to the regulator on request.

Section 553.4 Customer Acceptance - Operating Rule Set 553.4

KAP-553.4.1 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-553.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-553.4.3 For private-limited-company customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-553.4.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure A-14.

KAP-553.4.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure H-11.

KAP-553.4.6 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/034 and that compliance is certified every quarter.

KAP-553.4.7 For partnership customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-553.4.8 The Credit Committee shall review identity documents within 5 working days of receipt and record the outcome in the Document Management system.

KAP-553.4.9 Cases involving PEP screening results with an exposure above Rs. 498 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.16.

Section 553.5 Customer Acceptance - Operating Rule Set 553.5

KAP-553.5.1 In case of a system outage, the Risk Management Department must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure A-27.

KAP-553.5.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-553.5.3 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-553.5.4 Cases involving risk-rating files with an exposure above Rs. 468 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.21.

KAP-553.5.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-553.5.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-553.5.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 69 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.9.

KAP-553.5.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure B-40.

KAP-553.5.9 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-553.5.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

PART 47 - CHAPTER 554: CUSTOMER IDENTIFICATION

Section 554.1 Customer Identification - Operating Rule Set 554.1

KAP-554.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-554.1.2 The Audit Department shall review account-opening forms within 5 working days of receipt and record the outcome in the Case Management system.

KAP-554.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-554.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-554.1.5 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-554.1.6 The Operations Head shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Document Management system.

KAP-554.1.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-554.1.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-554.1.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 100 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.10.

KAP-554.1.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-554.1.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-554.1.12 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/110 and that compliance is certified every quarter.

Section 554.2 Customer Identification - Operating Rule Set 554.2

KAP-554.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-554.2.2 Cases involving PEP screening results with an exposure above Rs. 75 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.6.

KAP-554.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-554.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-554.2.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-554.2.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-554.2.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/165 and that compliance is certified every quarter.

KAP-554.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-554.2.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-554.2.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-554.2.11 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-554.2.12 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

Section 554.3 Customer Identification - Operating Rule Set 554.3

KAP-554.3.1 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-554.3.2 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-554.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-554.3.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure H-8.

KAP-554.3.5 The Operations Head shall review correspondent-bank relationships within 28 working days of receipt and

record the outcome in the Customer Relationship system.

KAP-554.3.6 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-554.3.7 In case of a customer complaint, the Zonal Head must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure B-27.

KAP-554.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-554.3.9 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure B-38.

KAP-554.3.10 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/080 and that compliance is certified every quarter.

KAP-554.3.11 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/140 and that compliance is certified every quarter.

Section 554.4 Customer Identification - Operating Rule Set 554.4

KAP-554.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-554.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-554.4.3 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure F-30.

KAP-554.4.4 In case of a request for exception, the Compliance Officer must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure F-5.

KAP-554.4.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure E-35.

KAP-554.4.6 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure C-22.

KAP-554.4.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-554.4.8 The Branch Manager shall review account-opening forms within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-554.4.9 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/073 and that compliance is certified every quarter.

Section 554.5 Customer Identification - Operating Rule Set 554.5

KAP-554.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-554.5.2 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-554.5.3 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/075 and that compliance is certified every quarter.

KAP-554.5.4 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-554.5.5 Cases involving cash transaction reports with an exposure above Rs. 481 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.12.

KAP-554.5.6 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-554.5.7 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/025 and that compliance is certified every quarter.

KAP-554.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

PART 47 - CHAPTER 555: CUSTOMER DUE DILIGENCE

Section 555.1 Customer Due Diligence - Operating Rule Set 555.1

KAP-555.1.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-555.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-555.1.3 The Operations Head shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Core Banking system.

KAP-555.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-555.1.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/172 and that compliance is certified every quarter.

KAP-555.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-555.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-555.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-555.1.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 555.2 Customer Due Diligence - Operating Rule Set 555.2

KAP-555.2.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-555.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 43 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.9.

KAP-555.2.3 The Operations Head shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Case Management system.

KAP-555.2.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/295 and that compliance is certified every quarter.

KAP-555.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 292 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.20.

KAP-555.2.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-555.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-555.2.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-555.2.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-555.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-555.2.11 In case of a system outage, the Operations Head must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure E-15.

Section 555.3 Customer Due Diligence - Operating Rule Set 555.3

KAP-555.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-555.3.2 Cases involving PEP screening results with an exposure above Rs. 457 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.30.

KAP-555.3.3 Cases involving risk-rating files with an exposure above Rs. 194 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.11.

KAP-555.3.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-555.3.5 The Regional Credit Officer shall review correspondent-bank relationships within 14 working days of receipt

and record the outcome in the Risk Engine system.

KAP-555.3.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-555.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 451 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.15.

KAP-555.3.8 Cases involving cash transaction reports with an exposure above Rs. 361 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.11.

Section 555.4 Customer Due Diligence - Operating Rule Set 555.4

KAP-555.4.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/205 and that compliance is certified every quarter.

KAP-555.4.2 Cases involving video-KYC sessions with an exposure above Rs. 266 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.14.

KAP-555.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-555.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-555.4.5 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-555.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-555.4.7 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-555.4.8 The Risk Management Department shall review identity documents within 11 working days of receipt and record the outcome in the Document Management system.

KAP-555.4.9 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure G-16.

Section 555.5 Customer Due Diligence - Operating Rule Set 555.5

KAP-555.5.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-555.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-555.5.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-555.5.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-555.5.5 The Operations Head shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-555.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 218 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.26.

KAP-555.5.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-555.5.8 Cases involving video-KYC sessions with an exposure above Rs. 254 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 7.21.

KAP-555.5.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

Section 555.6 Customer Due Diligence - Operating Rule Set 555.6

KAP-555.6.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-555.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-555.6.3 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on

the procedures in Circular KAP/2022/159 and that compliance is certified every quarter.

KAP-555.6.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/009 and that compliance is certified every quarter.

KAP-555.6.5 The Risk Management Department shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-555.6.6 The Operations Head shall review identity documents within 6 working days of receipt and record the outcome in the Document Management system.

KAP-555.6.7 Cases involving address proofs with an exposure above Rs. 457 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.5.

KAP-555.6.8 Cases involving risk-rating files with an exposure above Rs. 54 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.17.

KAP-555.6.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/066 and that compliance is certified every quarter.

PART 47 - CHAPTER 556: ENHANCED DUE DILIGENCE

Section 556.1 Enhanced Due Diligence - Operating Rule Set 556.1

KAP-556.1.1 The Branch Manager shall review account-opening forms within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-556.1.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure D-28.

KAP-556.1.3 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-556.1.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/131 and that compliance is certified every quarter.

KAP-556.1.5 The Risk Management Department shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-556.1.6 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

KAP-556.1.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-556.1.8 Cases involving address proofs with an exposure above Rs. 42 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.9.

KAP-556.1.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-556.1.10 The Branch Manager shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Risk Engine system.

Section 556.2 Enhanced Due Diligence - Operating Rule Set 556.2

KAP-556.2.1 The Credit Committee shall review address proofs within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-556.2.2 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-556.2.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure H-38.

KAP-556.2.4 The Audit Department shall review address proofs within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-556.2.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-556.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-556.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-556.2.8 Cases involving cash transaction reports with an exposure above Rs. 188 lakh require prior written approval

from the Operations Head; otherwise the case is an exception under Clause 8.30.

Section 556.3 Enhanced Due Diligence - Operating Rule Set 556.3

KAP-556.3.1 Cases involving cash transaction reports with an exposure above Rs. 321 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.10.

KAP-556.3.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure B-40.

KAP-556.3.3 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/219 and that compliance is certified every quarter.

KAP-556.3.4 The Audit Department shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-556.3.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-556.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-556.3.7 The Compliance Officer shall review identity documents within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-556.3.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-556.3.9 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/264 and that compliance is certified every quarter.

KAP-556.3.10 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/082 and that compliance is certified every quarter.

Section 556.4 Enhanced Due Diligence - Operating Rule Set 556.4

KAP-556.4.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-556.4.2 The Risk Management Department shall review address proofs within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-556.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-556.4.4 Cases involving identity documents with an exposure above Rs. 414 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.17.

KAP-556.4.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-556.4.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/193 and that compliance is certified every quarter.

KAP-556.4.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure F-29.

KAP-556.4.8 Cases involving address proofs with an exposure above Rs. 385 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.18.

KAP-556.4.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure F-9.

KAP-556.4.10 The Credit Committee shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Customer Relationship system.

Section 556.5 Enhanced Due Diligence - Operating Rule Set 556.5

KAP-556.5.1 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure C-39.

KAP-556.5.2 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Case Management system.

KAP-556.5.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-556.5.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made

available to internal auditors on request.

KAP-556.5.5 Cases involving identity documents with an exposure above Rs. 459 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.1.

KAP-556.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 130 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.6.

KAP-556.5.7 The Operations Head shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-556.5.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-556.5.9 Cases involving identity documents with an exposure above Rs. 246 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.21.

KAP-556.5.10 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

PART 47 - CHAPTER 557: RISK CATEGORISATION

Section 557.1 Risk Categorisation - Operating Rule Set 557.1

KAP-557.1.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-557.1.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-557.1.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure A-5.

KAP-557.1.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-557.1.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-557.1.6 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-557.1.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-557.1.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-557.1.9 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/172 and that compliance is certified every quarter.

KAP-557.1.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-557.1.11 Cases involving beneficial-owner declarations with an exposure above Rs. 53 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.21.

KAP-557.1.12 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure G-31.

Section 557.2 Risk Categorisation - Operating Rule Set 557.2

KAP-557.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-557.2.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-557.2.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-557.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-557.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-557.2.6 Cases involving video-KYC sessions with an exposure above Rs. 294 lakh require prior written approval from

the Branch Manager; otherwise the case is an exception under Clause 5.20.

KAP-557.2.7 Cases involving address proofs with an exposure above Rs. 26 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.5.

KAP-557.2.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/163 and that compliance is certified every quarter.

KAP-557.2.9 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-557.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-557.2.11 Cases involving alerts generated by the monitoring system with an exposure above Rs. 370 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.25.

Section 557.3 Risk Categorisation - Operating Rule Set 557.3

KAP-557.3.1 The Regional Credit Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-557.3.2 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-557.3.3 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-557.3.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-557.3.5 The Operations Head shall review cash transaction reports within 3 working days of receipt and record the outcome in the Case Management system.

KAP-557.3.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-557.3.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/296 and that compliance is certified every quarter.

KAP-557.3.8 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-557.3.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-557.3.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure E-20.

Section 557.4 Risk Categorisation - Operating Rule Set 557.4

KAP-557.4.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-557.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-557.4.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-557.4.4 The Compliance Officer shall review address proofs within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-557.4.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/190 and that compliance is certified every quarter.

KAP-557.4.6 Cases involving address proofs with an exposure above Rs. 223 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.1.

KAP-557.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-557.4.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

Section 557.5 Risk Categorisation - Operating Rule Set 557.5

KAP-557.5.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2024/220 and that compliance is certified every quarter.

KAP-557.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-557.5.3 Cases involving identity documents with an exposure above Rs. 140 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.2.

KAP-557.5.4 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/269 and that compliance is certified every quarter.

KAP-557.5.5 Cases involving PEP screening results with an exposure above Rs. 345 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.20.

KAP-557.5.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure G-2.

KAP-557.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 488 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.2.

KAP-557.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 390 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.24.

KAP-557.5.9 Cases involving video-KYC sessions with an exposure above Rs. 8 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.17.

KAP-557.5.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-557.5.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-557.5.12 Cases involving beneficial-owner declarations with an exposure above Rs. 484 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.29.

Section 557.6 Risk Categorisation - Operating Rule Set 557.6

KAP-557.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 118 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.25.

KAP-557.6.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/041 and that compliance is certified every quarter.

KAP-557.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-557.6.4 Cases involving identity documents with an exposure above Rs. 332 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.15.

KAP-557.6.5 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-557.6.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-557.6.7 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure H-19.

KAP-557.6.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-557.6.9 The Credit Committee shall review identity documents within 23 working days of receipt and record the outcome in the Case Management system.

KAP-557.6.10 Cases involving video-KYC sessions with an exposure above Rs. 58 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 2.23.

PART 47 - CHAPTER 558: TRANSACTION MONITORING

Section 558.1 Transaction Monitoring - Operating Rule Set 558.1

KAP-558.1.1 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/109 and that compliance is certified every quarter.

KAP-558.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-558.1.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after

giving the customer 22 days written notice.

KAP-558.1.4 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/244 and that compliance is certified every quarter.

KAP-558.1.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/044 and that compliance is certified every quarter.

KAP-558.1.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-558.1.7 The Audit Department shall review risk-rating files within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-558.1.8 The Risk Management Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-558.1.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-558.1.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

Section 558.2 Transaction Monitoring - Operating Rule Set 558.2

KAP-558.2.1 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-558.2.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-558.2.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/066 and that compliance is certified every quarter.

KAP-558.2.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-558.2.5 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-558.2.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/207 and that compliance is certified every quarter.

KAP-558.2.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-558.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-558.2.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-558.2.10 Cases involving address proofs with an exposure above Rs. 441 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.18.

KAP-558.2.11 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 558.3 Transaction Monitoring - Operating Rule Set 558.3

KAP-558.3.1 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-558.3.2 Cases involving identity documents with an exposure above Rs. 294 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.5.

KAP-558.3.3 The Zonal Head shall review risk-rating files within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-558.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-558.3.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-558.3.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-558.3.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-558.3.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-558.3.9 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/047 and that compliance is certified every quarter.

Section 558.4 Transaction Monitoring - Operating Rule Set 558.4

KAP-558.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-558.4.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-558.4.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/233 and that compliance is certified every quarter.

KAP-558.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-558.4.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-558.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-558.4.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-558.4.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-558.4.9 The Branch Manager shall review identity documents within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-558.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-558.4.11 For individual customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-558.4.12 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 6 days written notice.

Section 558.5 Transaction Monitoring - Operating Rule Set 558.5

KAP-558.5.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 3 working days, with the supporting documents listed in Annexure F-36.

KAP-558.5.2 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

KAP-558.5.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-558.5.4 Cases involving beneficial-owner declarations with an exposure above Rs. 342 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.19.

KAP-558.5.5 In case of a system outage, the Risk Management Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure H-15.

KAP-558.5.6 In case of a system outage, the Audit Department must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure E-5.

KAP-558.5.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/256 and that compliance is certified every quarter.

KAP-558.5.8 Cases involving cash transaction reports with an exposure above Rs. 100 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.11.

KAP-558.5.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure F-1.

KAP-558.5.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be

made available to internal auditors on request.

KAP-558.5.11 The Credit Committee shall review video-KYC sessions within 2 working days of receipt and record the outcome in the Risk Engine system.

Section 558.6 Transaction Monitoring - Operating Rule Set 558.6

KAP-558.6.1 Cases involving risk-rating files with an exposure above Rs. 312 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.30.

KAP-558.6.2 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-558.6.3 The Credit Committee shall review identity documents within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-558.6.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-558.6.5 Cases involving cash transaction reports with an exposure above Rs. 257 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.30.

KAP-558.6.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-558.6.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-558.6.8 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure F-35.

KAP-558.6.9 In case of a change in borrower profile, the Audit Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure D-5.

Section 558.7 Transaction Monitoring - Operating Rule Set 558.7

KAP-558.7.1 The Operations Head shall review alerts generated by the monitoring system within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-558.7.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-558.7.3 In case of a regulatory query, the Credit Committee must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure B-33.

KAP-558.7.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

KAP-558.7.5 Cases involving beneficial-owner declarations with an exposure above Rs. 474 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.28.

KAP-558.7.6 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/105 and that compliance is certified every quarter.

KAP-558.7.7 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure H-19.

KAP-558.7.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-558.7.9 The Zonal Head shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Document Management system.

PART 47 - CHAPTER 559: SUSPICIOUS TRANSACTION REPORTING

Section 559.1 Suspicious Transaction Reporting - Operating Rule Set 559.1

KAP-559.1.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-559.1.2 The Regional Credit Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-559.1.3 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-559.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-559.1.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/058 and that compliance is certified every quarter.

KAP-559.1.6 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-559.1.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-559.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-559.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-559.1.10 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/170 and that compliance is certified every quarter.

Section 559.2 Suspicious Transaction Reporting - Operating Rule Set 559.2

KAP-559.2.1 The Credit Committee shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-559.2.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-559.2.3 The Audit Department shall review cash transaction reports within 2 working days of receipt and record the outcome in the Core Banking system.

KAP-559.2.4 The Zonal Head shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Case Management system.

KAP-559.2.5 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-559.2.6 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/188 and that compliance is certified every quarter.

KAP-559.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-559.2.8 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-559.2.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-559.2.10 Cases involving cash transaction reports with an exposure above Rs. 315 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.20.

KAP-559.2.11 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-559.2.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

Section 559.3 Suspicious Transaction Reporting - Operating Rule Set 559.3

KAP-559.3.1 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/013 and that compliance is certified every quarter.

KAP-559.3.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-559.3.3 The Compliance Officer shall review identity documents within 18 working days of receipt and record the outcome in the Case Management system.

KAP-559.3.4 The Compliance Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Case Management system.

KAP-559.3.5 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure A-8.

KAP-559.3.6 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-559.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk

Management Department by the 10th day of the following month.

KAP-559.3.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-559.3.9 Cases involving PEP screening results with an exposure above Rs. 36 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.16.

KAP-559.3.10 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure C-9.

KAP-559.3.11 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure F-24.

Section 559.4 Suspicious Transaction Reporting - Operating Rule Set 559.4

KAP-559.4.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/279 and that compliance is certified every quarter.

KAP-559.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-559.4.3 The Compliance Officer shall review risk-rating files within 22 working days of receipt and record the outcome in the Case Management system.

KAP-559.4.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-559.4.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure F-39.

KAP-559.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 360 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.3.

KAP-559.4.7 The Audit Department shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-559.4.8 Cases involving PEP screening results with an exposure above Rs. 382 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.16.

KAP-559.4.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-559.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-559.4.11 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 559.5 Suspicious Transaction Reporting - Operating Rule Set 559.5

KAP-559.5.1 Cases involving PEP screening results with an exposure above Rs. 117 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.30.

KAP-559.5.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-559.5.3 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure C-28.

KAP-559.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-559.5.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-559.5.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure H-20.

KAP-559.5.7 Cases involving video-KYC sessions with an exposure above Rs. 364 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.15.

KAP-559.5.8 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Case Management system.

KAP-559.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-559.5.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 559.6 Suspicious Transaction Reporting - Operating Rule Set 559.6

KAP-559.6.1 The Branch Manager shall review correspondent-bank relationships within 4 working days of receipt and record the outcome in the Case Management system.

KAP-559.6.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure C-17.

KAP-559.6.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-559.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-559.6.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-559.6.6 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/264 and that compliance is certified every quarter.

KAP-559.6.7 Cases involving beneficial-owner declarations with an exposure above Rs. 244 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.20.

KAP-559.6.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/136 and that compliance is certified every quarter.

KAP-559.6.9 In case of a system outage, the Audit Department must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure C-19.

KAP-559.6.10 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure F-25.

KAP-559.6.11 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/227 and that compliance is certified every quarter.

PART 47 - CHAPTER 560: POLITICALLY EXPOSED PERSONS

Section 560.1 Politically Exposed Persons - Operating Rule Set 560.1

KAP-560.1.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure A-13.

KAP-560.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-560.1.3 Cases involving identity documents with an exposure above Rs. 452 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.26.

KAP-560.1.4 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/072 and that compliance is certified every quarter.

KAP-560.1.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-560.1.6 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/012 and that compliance is certified every quarter.

KAP-560.1.7 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-560.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-560.1.9 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-560.1.10 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-560.1.11 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 560.2 Politically Exposed Persons - Operating Rule Set 560.2

KAP-560.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management

Department by the 4th day of the following month.

KAP-560.2.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-560.2.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-560.2.4 Cases involving cash transaction reports with an exposure above Rs. 335 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.2.

KAP-560.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-560.2.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure D-17.

KAP-560.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-560.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-560.2.9 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-560.2.10 The Audit Department shall review PEP screening results within 22 working days of receipt and record the outcome in the Risk Engine system.

KAP-560.2.11 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

Section 560.3 Politically Exposed Persons - Operating Rule Set 560.3

KAP-560.3.1 The Credit Committee shall review risk-rating files within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-560.3.2 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/291 and that compliance is certified every quarter.

KAP-560.3.3 Cases involving risk-rating files with an exposure above Rs. 210 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.11.

KAP-560.3.4 For trust customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-560.3.5 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure H-17.

KAP-560.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 252 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.18.

KAP-560.3.7 Cases involving risk-rating files with an exposure above Rs. 259 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.4.

KAP-560.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-560.3.9 Cases involving video-KYC sessions with an exposure above Rs. 325 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.21.

Section 560.4 Politically Exposed Persons - Operating Rule Set 560.4

KAP-560.4.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure C-21.

KAP-560.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-560.4.3 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure B-11.

KAP-560.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-560.4.5 The Zonal Head shall review account-opening forms within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-560.4.6 The Branch Manager shall review account-opening forms within 24 working days of receipt and record the outcome in the Document Management system.

KAP-560.4.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-560.4.8 The Operations Head shall review risk-rating files within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-560.4.9 Cases involving risk-rating files with an exposure above Rs. 395 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.19.

Section 560.5 Politically Exposed Persons - Operating Rule Set 560.5

KAP-560.5.1 The Regional Credit Officer shall review account-opening forms within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-560.5.2 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/259 and that compliance is certified every quarter.

KAP-560.5.3 The Credit Committee shall review risk-rating files within 16 working days of receipt and record the outcome in the Document Management system.

KAP-560.5.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-560.5.5 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 11 working days, with the supporting documents listed in Annexure H-35.

KAP-560.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-560.5.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/006 and that compliance is certified every quarter.

KAP-560.5.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-560.5.9 The Compliance Officer shall review identity documents within 8 working days of receipt and record the outcome in the Document Management system.

KAP-560.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 5th day of the following month.

KAP-560.5.11 The Audit Department shall review risk-rating files within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-560.5.12 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

Section 560.6 Politically Exposed Persons - Operating Rule Set 560.6

KAP-560.6.1 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/002 and that compliance is certified every quarter.

KAP-560.6.2 The Regional Credit Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-560.6.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/165 and that compliance is certified every quarter.

KAP-560.6.4 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/167 and that compliance is certified every quarter.

KAP-560.6.5 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-560.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-560.6.7 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure D-15.

KAP-560.6.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-560.6.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 24 days written notice.

KAP-560.6.10 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-560.6.11 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-560.6.12 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-560.6.13 The Regional Credit Officer shall review cash transaction reports within 9 working days of receipt and record the outcome in the Loan Origination system.

PART 47 - CHAPTER 561: BENEFICIAL OWNERSHIP

Section 561.1 Beneficial Ownership - Operating Rule Set 561.1

KAP-561.1.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-561.1.2 The Audit Department shall review address proofs within 25 working days of receipt and record the outcome in the Core Banking system.

KAP-561.1.3 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-561.1.4 The Operations Head shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Document Management system.

KAP-561.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-561.1.6 The Compliance Officer shall review PEP screening results within 24 working days of receipt and record the outcome in the Document Management system.

KAP-561.1.7 The Operations Head shall review beneficial-owner declarations within 12 working days of receipt and record the outcome in the Document Management system.

KAP-561.1.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure D-18.

KAP-561.1.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/076 and that compliance is certified every quarter.

KAP-561.1.10 The Zonal Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Loan Origination system.

Section 561.2 Beneficial Ownership - Operating Rule Set 561.2

KAP-561.2.1 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-561.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-561.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-561.2.4 The Operations Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-561.2.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-561.2.6 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/024 and that compliance is certified every quarter.

KAP-561.2.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-561.2.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-561.2.9 The Credit Committee shall review video-KYC sessions within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-561.2.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 8 and be made available to statutory auditors on request.

KAP-561.2.11 Cases involving PEP screening results with an exposure above Rs. 369 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.20.

KAP-561.2.12 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

Section 561.3 Beneficial Ownership - Operating Rule Set 561.3

KAP-561.3.1 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure B-10.

KAP-561.3.2 The Operations Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-561.3.3 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-561.3.4 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure G-30.

KAP-561.3.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-561.3.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure E-5.

KAP-561.3.7 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-561.3.8 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-561.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

Section 561.4 Beneficial Ownership - Operating Rule Set 561.4

KAP-561.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 376 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.27.

KAP-561.4.2 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure E-17.

KAP-561.4.3 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-561.4.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-561.4.5 Cases involving beneficial-owner declarations with an exposure above Rs. 55 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.29.

KAP-561.4.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/003 and that compliance is certified every quarter.

KAP-561.4.7 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-561.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-561.4.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-561.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-561.4.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-561.4.12 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 561.5 Beneficial Ownership - Operating Rule Set 561.5

KAP-561.5.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 15 days written notice.

KAP-561.5.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-561.5.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-561.5.4 Cases involving cash transaction reports with an exposure above Rs. 379 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.18.

KAP-561.5.5 In case of a customer complaint, the Zonal Head must escalate the matter to the Regional Credit Officer within 24 working days, with the supporting documents listed in Annexure H-36.

KAP-561.5.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure C-35.

KAP-561.5.7 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure C-19.

KAP-561.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-561.5.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-561.5.10 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-561.5.11 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-561.5.12 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 561.6 Beneficial Ownership - Operating Rule Set 561.6

KAP-561.6.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 299 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.27.

KAP-561.6.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-561.6.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-561.6.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-561.6.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure G-18.

KAP-561.6.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-561.6.7 The Branch Manager shall review cash transaction reports within 15 working days of receipt and record the outcome in the Document Management system.

KAP-561.6.8 Cases involving video-KYC sessions with an exposure above Rs. 316 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.24.

KAP-561.6.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-561.6.10 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-35.

KAP-561.6.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

PART 47 - CHAPTER 562: RECORD KEEPING

Section 562.1 Record Keeping - Operating Rule Set 562.1

KAP-562.1.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/161 and that compliance is certified every quarter.

KAP-562.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer

by the 6th day of the following month.

KAP-562.1.3 The Compliance Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-562.1.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure E-23.

KAP-562.1.5 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-562.1.6 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure E-25.

KAP-562.1.7 The Risk Management Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-562.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-562.1.9 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure A-27.

KAP-562.1.10 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure F-5.

Section 562.2 Record Keeping - Operating Rule Set 562.2

KAP-562.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 203 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.27.

KAP-562.2.2 Cases involving identity documents with an exposure above Rs. 428 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.14.

KAP-562.2.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure C-4.

KAP-562.2.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure G-34.

KAP-562.2.5 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-562.2.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/208 and that compliance is certified every quarter.

KAP-562.2.7 The Zonal Head shall review account-opening forms within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-562.2.8 Cases involving correspondent-bank relationships with an exposure above Rs. 308 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.18.

KAP-562.2.9 Cases involving identity documents with an exposure above Rs. 329 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.28.

KAP-562.2.10 The Branch Manager shall review risk-rating files within 22 working days of receipt and record the outcome in the Risk Engine system.

Section 562.3 Record Keeping - Operating Rule Set 562.3

KAP-562.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-562.3.2 Cases involving identity documents with an exposure above Rs. 86 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.17.

KAP-562.3.3 Cases involving address proofs with an exposure above Rs. 199 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.12.

KAP-562.3.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-562.3.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/116 and that compliance is certified every quarter.

KAP-562.3.6 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure H-17.

KAP-562.3.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-562.3.8 In case of a customer complaint, the Credit Committee must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure C-7.

KAP-562.3.9 The Risk Management Department shall review address proofs within 26 working days of receipt and record the outcome in the Risk Engine system.

Section 562.4 Record Keeping - Operating Rule Set 562.4

KAP-562.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-562.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-562.4.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-562.4.4 Cases involving identity documents with an exposure above Rs. 59 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.28.

KAP-562.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-562.4.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/067 and that compliance is certified every quarter.

KAP-562.4.7 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-562.4.8 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-562.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-562.4.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

Section 562.5 Record Keeping - Operating Rule Set 562.5

KAP-562.5.1 The Compliance Officer shall review cash transaction reports within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-562.5.2 Cases involving account-opening forms with an exposure above Rs. 32 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.3.

KAP-562.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-562.5.4 Cases involving account-opening forms with an exposure above Rs. 93 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.4.

KAP-562.5.5 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-562.5.6 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-562.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-562.5.8 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure H-2.

KAP-562.5.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-562.5.10 For sole-proprietor customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-562.5.11 The Credit Committee shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Case Management system.

Section 562.6 Record Keeping - Operating Rule Set 562.6

KAP-562.6.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure C-27.

KAP-562.6.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-562.6.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-562.6.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure F-16.

KAP-562.6.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/228 and that compliance is certified every quarter.

KAP-562.6.6 Cases involving account-opening forms with an exposure above Rs. 308 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.8.

KAP-562.6.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-562.6.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-562.6.9 The Zonal Head shall review cash transaction reports within 27 working days of receipt and record the outcome in the Case Management system.

Section 562.7 Record Keeping - Operating Rule Set 562.7

KAP-562.7.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure D-33.

KAP-562.7.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-562.7.3 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure A-2.

KAP-562.7.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-562.7.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-562.7.6 Cases involving beneficial-owner declarations with an exposure above Rs. 359 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.8.

KAP-562.7.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/180 and that compliance is certified every quarter.

KAP-562.7.8 The Branch Manager shall review account-opening forms within 26 working days of receipt and record the outcome in the Document Management system.

KAP-562.7.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-562.7.10 The Zonal Head shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Loan Origination system.

PART 47 - CHAPTER 563: STAFF TRAINING

Section 563.1 Staff Training - Operating Rule Set 563.1

KAP-563.1.1 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure C-12.

KAP-563.1.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/255 and that compliance is certified every quarter.

KAP-563.1.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-563.1.4 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-563.1.5 The Branch Manager shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-563.1.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-563.1.7 Cases involving address proofs with an exposure above Rs. 223 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.2.

KAP-563.1.8 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/088 and that compliance is certified every quarter.

KAP-563.1.9 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-563.1.10 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 563.2 Staff Training - Operating Rule Set 563.2

KAP-563.2.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-563.2.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-563.2.3 The Risk Management Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Document Management system.

KAP-563.2.4 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-563.2.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-563.2.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-563.2.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-563.2.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-563.2.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/115 and that compliance is certified every quarter.

KAP-563.2.10 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/299 and that compliance is certified every quarter.

KAP-563.2.11 In case of a request for exception, the Branch Manager must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure H-19.

Section 563.3 Staff Training - Operating Rule Set 563.3

KAP-563.3.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure B-4.

KAP-563.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-563.3.3 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/264 and that compliance is certified every quarter.

KAP-563.3.4 Cases involving cash transaction reports with an exposure above Rs. 431 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.28.

KAP-563.3.5 Cases involving risk-rating files with an exposure above Rs. 448 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.11.

KAP-563.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-563.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-563.3.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-563.3.9 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in

Circular KAP/2021/054 and that compliance is certified every quarter.

KAP-563.3.10 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-563.3.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-563.3.12 The Audit Department shall review PEP screening results within 3 working days of receipt and record the outcome in the Loan Origination system.

Section 563.4 Staff Training - Operating Rule Set 563.4

KAP-563.4.1 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-563.4.2 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/155 and that compliance is certified every quarter.

KAP-563.4.3 Cases involving cash transaction reports with an exposure above Rs. 208 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.5.

KAP-563.4.4 The Risk Management Department shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-563.4.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-563.4.6 For trust customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-563.4.7 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-563.4.8 The Branch Manager shall review PEP screening results within 22 working days of receipt and record the outcome in the Document Management system.

PART 47 - CHAPTER 564: INDEPENDENT AUDIT

Section 564.1 Independent Audit - Operating Rule Set 564.1

KAP-564.1.1 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/149 and that compliance is certified every quarter.

KAP-564.1.2 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure F-11.

KAP-564.1.3 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-564.1.4 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/200 and that compliance is certified every quarter.

KAP-564.1.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/277 and that compliance is certified every quarter.

KAP-564.1.6 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-564.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-564.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 160 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.24.

KAP-564.1.9 The Operations Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-564.1.10 The Branch Manager shall review risk-rating files within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-564.1.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

Section 564.2 Independent Audit - Operating Rule Set 564.2

KAP-564.2.1 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-564.2.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-564.2.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure B-14.

KAP-564.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-564.2.5 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure A-21.

KAP-564.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-564.2.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure F-24.

KAP-564.2.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-564.2.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure D-31.

KAP-564.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

Section 564.3 Independent Audit - Operating Rule Set 564.3

KAP-564.3.1 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/024 and that compliance is certified every quarter.

KAP-564.3.2 Cases involving video-KYC sessions with an exposure above Rs. 239 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.23.

KAP-564.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-564.3.4 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure F-3.

KAP-564.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-564.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 468 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.6.

KAP-564.3.7 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-564.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-564.3.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-564.3.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 564.4 Independent Audit - Operating Rule Set 564.4

KAP-564.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 51 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.3.

KAP-564.4.2 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-564.4.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure F-15.

KAP-564.4.4 Cases involving identity documents with an exposure above Rs. 442 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.15.

KAP-564.4.5 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-564.4.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12

and be made available to the regulator on request.

KAP-564.4.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-564.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

PART 48 - CHAPTER 565: CUSTOMER ACCEPTANCE

Section 565.1 Customer Acceptance - Operating Rule Set 565.1

KAP-565.1.1 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-565.1.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-565.1.3 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure H-9.

KAP-565.1.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-565.1.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-565.1.6 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-565.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-565.1.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure G-39.

KAP-565.1.9 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/097 and that compliance is certified every quarter.

KAP-565.1.10 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/224 and that compliance is certified every quarter.

KAP-565.1.11 The Branch Manager shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Case Management system.

KAP-565.1.12 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

Section 565.2 Customer Acceptance - Operating Rule Set 565.2

KAP-565.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-565.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 454 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.4.

KAP-565.2.3 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/121 and that compliance is certified every quarter.

KAP-565.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-565.2.5 The Compliance Officer shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Document Management system.

KAP-565.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-565.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-565.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-565.2.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-565.2.10 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2020/270 and that compliance is certified every quarter.

Section 565.3 Customer Acceptance - Operating Rule Set 565.3

KAP-565.3.1 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-565.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-565.3.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-565.3.4 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/131 and that compliance is certified every quarter.

KAP-565.3.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure D-21.

KAP-565.3.6 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-565.3.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure A-23.

KAP-565.3.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-33.

KAP-565.3.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-565.3.10 The Operations Head shall review cash transaction reports within 30 working days of receipt and record the outcome in the Core Banking system.

Section 565.4 Customer Acceptance - Operating Rule Set 565.4

KAP-565.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-565.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-565.4.3 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-565.4.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-565.4.5 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure C-15.

KAP-565.4.6 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-565.4.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-565.4.8 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-565.4.9 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure H-8.

KAP-565.4.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-565.4.11 Cases involving beneficial-owner declarations with an exposure above Rs. 363 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.9.

KAP-565.4.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 2 days written notice.

PART 48 - CHAPTER 566: CUSTOMER IDENTIFICATION

Section 566.1 Customer Identification - Operating Rule Set 566.1

KAP-566.1.1 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-566.1.2 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-566.1.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-566.1.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 20 working days, with the supporting documents listed in Annexure F-31.

KAP-566.1.5 Cases involving cash transaction reports with an exposure above Rs. 111 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.2.

KAP-566.1.6 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-566.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-566.1.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure H-31.

KAP-566.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 566.2 Customer Identification - Operating Rule Set 566.2

KAP-566.2.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-566.2.2 Cases involving video-KYC sessions with an exposure above Rs. 378 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 11.25.

KAP-566.2.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-566.2.4 Cases involving account-opening forms with an exposure above Rs. 267 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.25.

KAP-566.2.5 The Regional Credit Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-566.2.6 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/295 and that compliance is certified every quarter.

KAP-566.2.7 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-566.2.8 The Compliance Officer shall review account-opening forms within 28 working days of receipt and record the outcome in the Document Management system.

KAP-566.2.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure H-20.

Section 566.3 Customer Identification - Operating Rule Set 566.3

KAP-566.3.1 The Regional Credit Officer shall review identity documents within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-566.3.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-566.3.3 The Operations Head shall review correspondent-bank relationships within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-566.3.4 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-566.3.5 Cases involving cash transaction reports with an exposure above Rs. 500 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.29.

KAP-566.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-566.3.7 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure G-14.

KAP-566.3.8 Cases involving PEP screening results with an exposure above Rs. 92 lakh require prior written approval from

the Compliance Officer; otherwise the case is an exception under Clause 10.14.

KAP-566.3.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure G-12.

Section 566.4 Customer Identification - Operating Rule Set 566.4

KAP-566.4.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/161 and that compliance is certified every quarter.

KAP-566.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-566.4.3 Cases involving beneficial-owner declarations with an exposure above Rs. 354 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.5.

KAP-566.4.4 In case of a request for exception, the Operations Head must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure B-15.

KAP-566.4.5 The Zonal Head shall review identity documents within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-566.4.6 The Regional Credit Officer shall review risk-rating files within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-566.4.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-566.4.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-566.4.9 For partnership customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-566.4.10 Cases involving cash transaction reports with an exposure above Rs. 63 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 7.8.

KAP-566.4.11 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-566.4.12 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-566.4.13 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

Section 566.5 Customer Identification - Operating Rule Set 566.5

KAP-566.5.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-566.5.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-566.5.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-566.5.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/143 and that compliance is certified every quarter.

KAP-566.5.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-566.5.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-566.5.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-566.5.8 Cases involving video-KYC sessions with an exposure above Rs. 329 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.24.

KAP-566.5.9 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure H-20.

Section 566.6 Customer Identification - Operating Rule Set 566.6

KAP-566.6.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the

customer 10 days written notice.

KAP-566.6.2 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-566.6.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-566.6.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-566.6.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-566.6.6 The Audit Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Document Management system.

KAP-566.6.7 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/025 and that compliance is certified every quarter.

KAP-566.6.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/047 and that compliance is certified every quarter.

KAP-566.6.9 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/047 and that compliance is certified every quarter.

KAP-566.6.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-566.6.11 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 29 days written notice.

Section 566.7 Customer Identification - Operating Rule Set 566.7

KAP-566.7.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-566.7.2 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-566.7.3 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure H-34.

KAP-566.7.4 The Operations Head shall review PEP screening results within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-566.7.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-566.7.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-566.7.7 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-566.7.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-566.7.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-566.7.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-566.7.11 In case of a request for exception, the Branch Manager must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure F-26.

PART 48 - CHAPTER 567: CUSTOMER DUE DILIGENCE

Section 567.1 Customer Due Diligence - Operating Rule Set 567.1

KAP-567.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-567.1.2 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/129 and that compliance is certified every quarter.

KAP-567.1.3 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the

Operations Head within 2 working days, with the supporting documents listed in Annexure D-34.

KAP-567.1.4 Cases involving video-KYC sessions with an exposure above Rs. 475 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.19.

KAP-567.1.5 The Risk Management Department shall review identity documents within 20 working days of receipt and record the outcome in the Document Management system.

KAP-567.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-567.1.7 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure F-28.

KAP-567.1.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-567.1.9 Cases involving address proofs with an exposure above Rs. 185 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.18.

Section 567.2 Customer Due Diligence - Operating Rule Set 567.2

KAP-567.2.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-567.2.2 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/186 and that compliance is certified every quarter.

KAP-567.2.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure B-11.

KAP-567.2.4 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-567.2.5 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-567.2.6 The Audit Department shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-567.2.7 The Risk Management Department shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-567.2.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-567.2.9 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/135 and that compliance is certified every quarter.

Section 567.3 Customer Due Diligence - Operating Rule Set 567.3

KAP-567.3.1 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-567.3.2 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure C-25.

KAP-567.3.3 Cases involving account-opening forms with an exposure above Rs. 228 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.16.

KAP-567.3.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/209 and that compliance is certified every quarter.

KAP-567.3.5 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/038 and that compliance is certified every quarter.

KAP-567.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-567.3.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure H-3.

KAP-567.3.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-567.3.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-567.3.10 For sole-proprietor customers, address proofs shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-567.3.11 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-567.3.12 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/026 and that compliance is certified every quarter.

KAP-567.3.13 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/295 and that compliance is certified every quarter.

KAP-567.3.14 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 567.4 Customer Due Diligence - Operating Rule Set 567.4

KAP-567.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 135 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 12.3.

KAP-567.4.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/071 and that compliance is certified every quarter.

KAP-567.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-567.4.4 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-567.4.5 Cases involving PEP screening results with an exposure above Rs. 378 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.6.

KAP-567.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-567.4.7 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-567.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-567.4.9 The Branch Manager shall review PEP screening results within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-567.4.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 567.5 Customer Due Diligence - Operating Rule Set 567.5

KAP-567.5.1 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/205 and that compliance is certified every quarter.

KAP-567.5.2 For trust customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-567.5.3 The Compliance Officer shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-567.5.4 For NRI customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-567.5.5 The Risk Management Department shall review cash transaction reports within 21 working days of receipt and record the outcome in the Case Management system.

KAP-567.5.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-567.5.7 The Audit Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-567.5.8 The Branch Manager shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Case Management system.

KAP-567.5.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-567.5.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be

made available to internal auditors on request.

PART 48 - CHAPTER 568: ENHANCED DUE DILIGENCE

Section 568.1 Enhanced Due Diligence - Operating Rule Set 568.1

KAP-568.1.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-568.1.2 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/096 and that compliance is certified every quarter.

KAP-568.1.3 The Branch Manager shall review PEP screening results within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-568.1.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure A-40.

KAP-568.1.5 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/182 and that compliance is certified every quarter.

KAP-568.1.6 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/118 and that compliance is certified every quarter.

KAP-568.1.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 30 days written notice.

KAP-568.1.8 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure A-23.

KAP-568.1.9 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure H-9.

KAP-568.1.10 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 568.2 Enhanced Due Diligence - Operating Rule Set 568.2

KAP-568.2.1 Cases involving beneficial-owner declarations with an exposure above Rs. 46 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.19.

KAP-568.2.2 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/250 and that compliance is certified every quarter.

KAP-568.2.3 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure A-3.

KAP-568.2.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-568.2.5 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/037 and that compliance is certified every quarter.

KAP-568.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-568.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-568.2.8 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-568.2.9 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure G-32.

KAP-568.2.10 For sole-proprietor customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-568.2.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 568.3 Enhanced Due Diligence - Operating Rule Set 568.3

KAP-568.3.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure D-39.

KAP-568.3.2 Cases involving risk-rating files with an exposure above Rs. 350 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.29.

KAP-568.3.3 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure G-12.

KAP-568.3.4 The Compliance Officer shall review cash transaction reports within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-568.3.5 Cases involving account-opening forms with an exposure above Rs. 404 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.9.

KAP-568.3.6 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/129 and that compliance is certified every quarter.

KAP-568.3.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-568.3.8 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-568.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-568.3.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-568.3.11 Cases involving identity documents with an exposure above Rs. 136 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.13.

Section 568.4 Enhanced Due Diligence - Operating Rule Set 568.4

KAP-568.4.1 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/256 and that compliance is certified every quarter.

KAP-568.4.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/151 and that compliance is certified every quarter.

KAP-568.4.3 The Audit Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Loan Origination system.

KAP-568.4.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-568.4.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-568.4.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-568.4.7 Cases involving cash transaction reports with an exposure above Rs. 258 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.18.

KAP-568.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-568.4.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

Section 568.5 Enhanced Due Diligence - Operating Rule Set 568.5

KAP-568.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-568.5.2 Cases involving beneficial-owner declarations with an exposure above Rs. 56 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.22.

KAP-568.5.3 Cases involving video-KYC sessions with an exposure above Rs. 450 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.6.

KAP-568.5.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-568.5.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-568.5.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-568.5.7 The Regional Credit Officer shall review PEP screening results within 18 working days of receipt and record

the outcome in the Document Management system.

KAP-568.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-568.5.9 Cases involving risk-rating files with an exposure above Rs. 497 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.17.

KAP-568.5.10 The Audit Department shall review correspondent-bank relationships within 27 working days of receipt and record the outcome in the Document Management system.

KAP-568.5.11 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/179 and that compliance is certified every quarter.

KAP-568.5.12 The Operations Head shall review risk-rating files within 15 working days of receipt and record the outcome in the Loan Origination system.

PART 48 - CHAPTER 569: RISK CATEGORISATION

Section 569.1 Risk Categorisation - Operating Rule Set 569.1

KAP-569.1.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure C-23.

KAP-569.1.2 The Branch Manager shall review address proofs within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-569.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-569.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-569.1.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-569.1.6 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 7 working days, with the supporting documents listed in Annexure C-31.

KAP-569.1.7 The Audit Department shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-569.1.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

Section 569.2 Risk Categorisation - Operating Rule Set 569.2

KAP-569.2.1 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure E-5.

KAP-569.2.2 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-569.2.3 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-569.2.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-569.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-569.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-569.2.7 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-569.2.8 In case of a regulatory query, the Zonal Head must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure C-5.

KAP-569.2.9 The Risk Management Department shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Case Management system.

KAP-569.2.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-569.2.11 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in

Circular KAP/2023/089 and that compliance is certified every quarter.

Section 569.3 Risk Categorisation - Operating Rule Set 569.3

KAP-569.3.1 The Compliance Officer shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-569.3.2 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/033 and that compliance is certified every quarter.

KAP-569.3.3 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure H-29.

KAP-569.3.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-569.3.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/242 and that compliance is certified every quarter.

KAP-569.3.6 The Branch Manager shall review PEP screening results within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-569.3.7 In case of a system outage, the Operations Head must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure F-5.

KAP-569.3.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-569.3.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/051 and that compliance is certified every quarter.

Section 569.4 Risk Categorisation - Operating Rule Set 569.4

KAP-569.4.1 The Credit Committee shall review account-opening forms within 18 working days of receipt and record the outcome in the Document Management system.

KAP-569.4.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure A-27.

KAP-569.4.3 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/104 and that compliance is certified every quarter.

KAP-569.4.4 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-569.4.5 Cases involving risk-rating files with an exposure above Rs. 159 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.2.

KAP-569.4.6 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-569.4.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-569.4.8 The Operations Head shall review PEP screening results within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-569.4.9 The Compliance Officer shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-569.4.10 The Risk Management Department shall review identity documents within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-569.4.11 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure E-28.

KAP-569.4.12 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-569.4.13 The Zonal Head shall review address proofs within 15 working days of receipt and record the outcome in the Loan Origination system.

Section 569.5 Risk Categorisation - Operating Rule Set 569.5

KAP-569.5.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-569.5.2 Cases involving address proofs with an exposure above Rs. 383 lakh require prior written approval from the

Audit Department; otherwise the case is an exception under Clause 16.11.

KAP-569.5.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-569.5.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/199 and that compliance is certified every quarter.

KAP-569.5.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-569.5.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure A-3.

KAP-569.5.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-569.5.8 The Audit Department shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-569.5.9 The Regional Credit Officer shall review PEP screening results within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-569.5.10 For partnership customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-569.5.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-569.5.12 Cases involving risk-rating files with an exposure above Rs. 474 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.15.

KAP-569.5.13 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

PART 48 - CHAPTER 570: TRANSACTION MONITORING

Section 570.1 Transaction Monitoring - Operating Rule Set 570.1

KAP-570.1.1 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/113 and that compliance is certified every quarter.

KAP-570.1.2 The Operations Head shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-570.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-570.1.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-570.1.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure F-33.

KAP-570.1.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-570.1.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/185 and that compliance is certified every quarter.

KAP-570.1.8 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-570.1.9 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-570.1.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 570.2 Transaction Monitoring - Operating Rule Set 570.2

KAP-570.2.1 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/292 and that compliance is certified every quarter.

KAP-570.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 448 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.15.

KAP-570.2.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made

available to the regulator on request.

KAP-570.2.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-30.

KAP-570.2.5 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/073 and that compliance is certified every quarter.

KAP-570.2.6 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/284 and that compliance is certified every quarter.

KAP-570.2.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 11 working days, with the supporting documents listed in Annexure C-6.

KAP-570.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-570.2.9 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-570.2.10 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure A-34.

Section 570.3 Transaction Monitoring - Operating Rule Set 570.3

KAP-570.3.1 The Operations Head shall review identity documents within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-570.3.2 The Regional Credit Officer shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Document Management system.

KAP-570.3.3 In case of a customer complaint, the Audit Department must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure F-2.

KAP-570.3.4 Cases involving risk-rating files with an exposure above Rs. 426 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.27.

KAP-570.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-570.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-570.3.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-570.3.8 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

Section 570.4 Transaction Monitoring - Operating Rule Set 570.4

KAP-570.4.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-570.4.2 Cases involving video-KYC sessions with an exposure above Rs. 365 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.12.

KAP-570.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 145 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.22.

KAP-570.4.4 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure E-22.

KAP-570.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-570.4.6 The Branch Manager shall review account-opening forms within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-570.4.7 Cases involving cash transaction reports with an exposure above Rs. 333 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.23.

KAP-570.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

Section 570.5 Transaction Monitoring - Operating Rule Set 570.5

KAP-570.5.1 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained

on the procedures in Circular KAP/2021/167 and that compliance is certified every quarter.

KAP-570.5.2 Cases involving PEP screening results with an exposure above Rs. 336 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.29.

KAP-570.5.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-570.5.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-570.5.5 Cases involving cash transaction reports with an exposure above Rs. 328 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.19.

KAP-570.5.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/202 and that compliance is certified every quarter.

KAP-570.5.7 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-570.5.8 The Risk Management Department shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Risk Engine system.

Section 570.6 Transaction Monitoring - Operating Rule Set 570.6

KAP-570.6.1 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure B-7.

KAP-570.6.2 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/056 and that compliance is certified every quarter.

KAP-570.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-570.6.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-570.6.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-570.6.6 The Branch Manager shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-570.6.7 The Zonal Head shall review account-opening forms within 3 working days of receipt and record the outcome in the Document Management system.

KAP-570.6.8 The Credit Committee shall review cash transaction reports within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-570.6.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

PART 48 - CHAPTER 571: SUSPICIOUS TRANSACTION REPORTING

Section 571.1 Suspicious Transaction Reporting - Operating Rule Set 571.1

KAP-571.1.1 The Risk Management Department shall review correspondent-bank relationships within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-571.1.2 In case of a system outage, the Credit Committee must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure D-2.

KAP-571.1.3 The Risk Management Department shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-571.1.4 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/051 and that compliance is certified every quarter.

KAP-571.1.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-571.1.6 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-571.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-571.1.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2

and be made available to internal auditors on request.

KAP-571.1.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 21 working days, with the supporting documents listed in Annexure D-29.

Section 571.2 Suspicious Transaction Reporting - Operating Rule Set 571.2

KAP-571.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-571.2.2 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/116 and that compliance is certified every quarter.

KAP-571.2.3 The Compliance Officer shall review address proofs within 3 working days of receipt and record the outcome in the Case Management system.

KAP-571.2.4 Cases involving account-opening forms with an exposure above Rs. 161 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.17.

KAP-571.2.5 The Branch Manager shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Case Management system.

KAP-571.2.6 Cases involving address proofs with an exposure above Rs. 401 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.2.

KAP-571.2.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-571.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-571.2.9 The Audit Department shall review account-opening forms within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-571.2.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-571.2.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-571.2.12 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-571.2.13 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/124 and that compliance is certified every quarter.

Section 571.3 Suspicious Transaction Reporting - Operating Rule Set 571.3

KAP-571.3.1 The Credit Committee shall review cash transaction reports within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-571.3.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-571.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-571.3.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-571.3.5 The Audit Department shall review identity documents within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-571.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-571.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-571.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 571.4 Suspicious Transaction Reporting - Operating Rule Set 571.4

KAP-571.4.1 The Credit Committee shall review cash transaction reports within 15 working days of receipt and record the outcome in the Case Management system.

KAP-571.4.2 The Operations Head shall review PEP screening results within 26 working days of receipt and record the

outcome in the Case Management system.

KAP-571.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 235 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 9.17.

KAP-571.4.4 Cases involving account-opening forms with an exposure above Rs. 319 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.7.

KAP-571.4.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure G-32.

KAP-571.4.6 The Audit Department shall review address proofs within 20 working days of receipt and record the outcome in the Document Management system.

KAP-571.4.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/075 and that compliance is certified every quarter.

KAP-571.4.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-571.4.9 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure A-30.

KAP-571.4.10 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure F-7.

KAP-571.4.11 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/019 and that compliance is certified every quarter.

KAP-571.4.12 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

Section 571.5 Suspicious Transaction Reporting - Operating Rule Set 571.5

KAP-571.5.1 In case of a regulatory query, the Operations Head must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure F-16.

KAP-571.5.2 The Branch Manager shall review cash transaction reports within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-571.5.3 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

KAP-571.5.4 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-571.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-571.5.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-571.5.7 The Audit Department shall review identity documents within 24 working days of receipt and record the outcome in the Customer Relationship system.

KAP-571.5.8 The Audit Department shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Core Banking system.

KAP-571.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-571.5.10 The Operations Head shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Document Management system.

Section 571.6 Suspicious Transaction Reporting - Operating Rule Set 571.6

KAP-571.6.1 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure A-32.

KAP-571.6.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-571.6.3 The Risk Management Department shall review cash transaction reports within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-571.6.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure B-2.

KAP-571.6.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-571.6.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/050 and that compliance is certified every quarter.

KAP-571.6.7 Cases involving video-KYC sessions with an exposure above Rs. 367 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.30.

KAP-571.6.8 The Zonal Head shall review identity documents within 23 working days of receipt and record the outcome in the Case Management system.

KAP-571.6.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-571.6.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-571.6.11 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

PART 48 - CHAPTER 572: POLITICALLY EXPOSED PERSONS

Section 572.1 Politically Exposed Persons - Operating Rule Set 572.1

KAP-572.1.1 The Audit Department shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Customer Relationship system.

KAP-572.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-572.1.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-572.1.4 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure F-35.

KAP-572.1.5 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-572.1.6 Cases involving PEP screening results with an exposure above Rs. 179 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.8.

KAP-572.1.7 For sole-proprietor customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-572.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-572.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-572.1.10 Cases involving PEP screening results with an exposure above Rs. 211 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.7.

KAP-572.1.11 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 572.2 Politically Exposed Persons - Operating Rule Set 572.2

KAP-572.2.1 The Regional Credit Officer shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-572.2.2 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-572.2.3 For partnership customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-572.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-572.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 189 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.5.

KAP-572.2.6 The Credit Committee shall review identity documents within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-572.2.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-572.2.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-572.2.9 The Regional Credit Officer shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Case Management system.

KAP-572.2.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

Section 572.3 Politically Exposed Persons - Operating Rule Set 572.3

KAP-572.3.1 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure D-13.

KAP-572.3.2 Cases involving identity documents with an exposure above Rs. 236 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.10.

KAP-572.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-572.3.4 The Zonal Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-572.3.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/084 and that compliance is certified every quarter.

KAP-572.3.6 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure F-6.

KAP-572.3.7 Cases involving video-KYC sessions with an exposure above Rs. 314 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.16.

KAP-572.3.8 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-572.3.9 The Regional Credit Officer shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Loan Origination system.

Section 572.4 Politically Exposed Persons - Operating Rule Set 572.4

KAP-572.4.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-572.4.2 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/152 and that compliance is certified every quarter.

KAP-572.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-572.4.4 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-5.

KAP-572.4.5 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-572.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 49 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.7.

KAP-572.4.7 Cases involving video-KYC sessions with an exposure above Rs. 128 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.7.

KAP-572.4.8 Cases involving PEP screening results with an exposure above Rs. 149 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.9.

KAP-572.4.9 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-572.4.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/149 and that compliance is certified every quarter.

KAP-572.4.11 In case of a system outage, the Zonal Head must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure G-36.

Section 572.5 Politically Exposed Persons - Operating Rule Set 572.5

KAP-572.5.1 Cases involving account-opening forms with an exposure above Rs. 315 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.12.

KAP-572.5.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-572.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-572.5.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-572.5.5 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/002 and that compliance is certified every quarter.

KAP-572.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-572.5.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-572.5.8 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

Section 572.6 Politically Exposed Persons - Operating Rule Set 572.6

KAP-572.6.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure G-39.

KAP-572.6.2 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-572.6.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-572.6.4 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/077 and that compliance is certified every quarter.

KAP-572.6.5 The Risk Management Department shall review account-opening forms within 17 working days of receipt and record the outcome in the Case Management system.

KAP-572.6.6 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-572.6.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-572.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-572.6.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-572.6.10 Cases involving address proofs with an exposure above Rs. 222 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.22.

PART 48 - CHAPTER 573: BENEFICIAL OWNERSHIP

Section 573.1 Beneficial Ownership - Operating Rule Set 573.1

KAP-573.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-573.1.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 10 working days, with the supporting documents listed in Annexure C-12.

KAP-573.1.3 The Compliance Officer shall review beneficial-owner declarations within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-573.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-573.1.5 For partnership customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-573.1.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-573.1.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-573.1.8 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/261 and that compliance is certified every quarter.

KAP-573.1.9 Cases involving account-opening forms with an exposure above Rs. 498 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.11.

KAP-573.1.10 In case of a system outage, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure B-21.

Section 573.2 Beneficial Ownership - Operating Rule Set 573.2

KAP-573.2.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-573.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-573.2.3 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/245 and that compliance is certified every quarter.

KAP-573.2.4 The Branch Manager shall review cash transaction reports within 20 working days of receipt and record the outcome in the Case Management system.

KAP-573.2.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-573.2.6 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

KAP-573.2.7 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure F-9.

KAP-573.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 359 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.10.

KAP-573.2.9 The Branch Manager shall review cash transaction reports within 9 working days of receipt and record the outcome in the Document Management system.

Section 573.3 Beneficial Ownership - Operating Rule Set 573.3

KAP-573.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-573.3.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-573.3.3 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-573.3.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/242 and that compliance is certified every quarter.

KAP-573.3.5 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-573.3.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-573.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-573.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-573.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 429 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.17.

KAP-573.3.10 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure D-18.

KAP-573.3.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

Section 573.4 Beneficial Ownership - Operating Rule Set 573.4

KAP-573.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 280 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 2.14.

KAP-573.4.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure H-4.

KAP-573.4.3 The Risk Management Department shall review identity documents within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-573.4.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-573.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-573.4.6 The Credit Committee shall review account-opening forms within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-573.4.7 The Compliance Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-573.4.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-573.4.9 Cases involving beneficial-owner declarations with an exposure above Rs. 185 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.5.

KAP-573.4.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

PART 48 - CHAPTER 574: RECORD KEEPING

Section 574.1 Record Keeping - Operating Rule Set 574.1

KAP-574.1.1 For trust customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-574.1.2 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure B-35.

KAP-574.1.3 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/030 and that compliance is certified every quarter.

KAP-574.1.4 The Audit Department shall review identity documents within 20 working days of receipt and record the outcome in the Risk Engine system.

KAP-574.1.5 The Operations Head shall review address proofs within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-574.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-574.1.7 Cases involving video-KYC sessions with an exposure above Rs. 53 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.17.

KAP-574.1.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-574.1.9 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-574.1.10 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/295 and that compliance is certified every quarter.

KAP-574.1.11 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-574.1.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 17 days written notice.

Section 574.2 Record Keeping - Operating Rule Set 574.2

KAP-574.2.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-574.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-574.2.3 For partnership customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-574.2.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure C-17.

KAP-574.2.5 The Regional Credit Officer shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-574.2.6 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure D-20.

KAP-574.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-574.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-574.2.9 In case of a change in borrower profile, the Audit Department must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure C-15.

KAP-574.2.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

Section 574.3 Record Keeping - Operating Rule Set 574.3

KAP-574.3.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-574.3.2 Cases involving identity documents with an exposure above Rs. 383 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 9.15.

KAP-574.3.3 The Credit Committee shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-574.3.4 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure F-10.

KAP-574.3.5 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure H-11.

KAP-574.3.6 The Zonal Head shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-574.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 399 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.5.

KAP-574.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-574.3.9 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure G-7.

Section 574.4 Record Keeping - Operating Rule Set 574.4

KAP-574.4.1 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure D-14.

KAP-574.4.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-574.4.3 Cases involving address proofs with an exposure above Rs. 226 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.19.

KAP-574.4.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-574.4.5 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure A-25.

KAP-574.4.6 Cases involving PEP screening results with an exposure above Rs. 492 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.23.

KAP-574.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-574.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and

be made available to statutory auditors on request.

Section 574.5 Record Keeping - Operating Rule Set 574.5

KAP-574.5.1 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/091 and that compliance is certified every quarter.

KAP-574.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-574.5.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 260 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.13.

KAP-574.5.4 Cases involving PEP screening results with an exposure above Rs. 150 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.4.

KAP-574.5.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure G-17.

KAP-574.5.6 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/154 and that compliance is certified every quarter.

KAP-574.5.7 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-574.5.8 The Operations Head shall review identity documents within 28 working days of receipt and record the outcome in the Case Management system.

KAP-574.5.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 574.6 Record Keeping - Operating Rule Set 574.6

KAP-574.6.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/039 and that compliance is certified every quarter.

KAP-574.6.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-574.6.3 The Zonal Head shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-574.6.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-574.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-574.6.6 The Risk Management Department shall review identity documents within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-574.6.7 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/254 and that compliance is certified every quarter.

KAP-574.6.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 10 days written notice.

PART 48 - CHAPTER 575: STAFF TRAINING

Section 575.1 Staff Training - Operating Rule Set 575.1

KAP-575.1.1 The Risk Management Department shall review address proofs within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-575.1.2 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure E-32.

KAP-575.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-575.1.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-575.1.5 Cases involving account-opening forms with an exposure above Rs. 262 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.25.

KAP-575.1.6 The Branch Manager shall review address proofs within 29 working days of receipt and record the outcome in the Case Management system.

KAP-575.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-575.1.8 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/040 and that compliance is certified every quarter.

KAP-575.1.9 The Operations Head shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-575.1.10 The Regional Credit Officer shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-575.1.11 The Branch Manager shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-575.1.12 The Compliance Officer shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

Section 575.2 Staff Training - Operating Rule Set 575.2

KAP-575.2.1 The Zonal Head shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Risk Engine system.

KAP-575.2.2 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-575.2.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-575.2.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-575.2.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-575.2.6 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-575.2.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-575.2.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-575.2.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/074 and that compliance is certified every quarter.

KAP-575.2.10 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-575.2.11 Cases involving beneficial-owner declarations with an exposure above Rs. 36 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.2.

Section 575.3 Staff Training - Operating Rule Set 575.3

KAP-575.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-575.3.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-575.3.3 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure B-19.

KAP-575.3.4 The Regional Credit Officer shall review identity documents within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-575.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-575.3.6 The Branch Manager shall review account-opening forms within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-575.3.7 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-575.3.8 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the

procedures in Circular KAP/2024/194 and that compliance is certified every quarter.

KAP-575.3.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/284 and that compliance is certified every quarter.

KAP-575.3.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-18.

Section 575.4 Staff Training - Operating Rule Set 575.4

KAP-575.4.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-575.4.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 15 working days, with the supporting documents listed in Annexure B-24.

KAP-575.4.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/157 and that compliance is certified every quarter.

KAP-575.4.4 Cases involving account-opening forms with an exposure above Rs. 250 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.6.

KAP-575.4.5 Cases involving PEP screening results with an exposure above Rs. 118 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.28.

KAP-575.4.6 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/083 and that compliance is certified every quarter.

KAP-575.4.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-575.4.8 Cases involving account-opening forms with an exposure above Rs. 418 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.7.

Section 575.5 Staff Training - Operating Rule Set 575.5

KAP-575.5.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-575.5.2 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-575.5.3 In case of a request for exception, the Zonal Head must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure A-31.

KAP-575.5.4 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/046 and that compliance is certified every quarter.

KAP-575.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-575.5.6 Cases involving account-opening forms with an exposure above Rs. 187 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.18.

KAP-575.5.7 Cases involving address proofs with an exposure above Rs. 275 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.3.

KAP-575.5.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

PART 48 - CHAPTER 576: INDEPENDENT AUDIT

Section 576.1 Independent Audit - Operating Rule Set 576.1

KAP-576.1.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure B-19.

KAP-576.1.2 The Compliance Officer shall review PEP screening results within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-576.1.3 The Risk Management Department shall review address proofs within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-576.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-576.1.5 Cases involving video-KYC sessions with an exposure above Rs. 182 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.3.

KAP-576.1.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/241 and that compliance is certified every quarter.

KAP-576.1.7 Cases involving video-KYC sessions with an exposure above Rs. 135 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.25.

KAP-576.1.8 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-576.1.9 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

Section 576.2 Independent Audit - Operating Rule Set 576.2

KAP-576.2.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/115 and that compliance is certified every quarter.

KAP-576.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-576.2.3 The Regional Credit Officer shall review account-opening forms within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-576.2.4 The Compliance Officer shall review PEP screening results within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-576.2.5 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/066 and that compliance is certified every quarter.

KAP-576.2.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-19.

KAP-576.2.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-576.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 118 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.11.

KAP-576.2.9 Cases involving video-KYC sessions with an exposure above Rs. 264 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.22.

Section 576.3 Independent Audit - Operating Rule Set 576.3

KAP-576.3.1 Cases involving PEP screening results with an exposure above Rs. 111 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.28.

KAP-576.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-576.3.3 For sole-proprietor customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-576.3.4 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-576.3.5 The Branch Manager shall review address proofs within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-576.3.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-576.3.7 Cases involving video-KYC sessions with an exposure above Rs. 307 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.13.

KAP-576.3.8 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure H-26.

KAP-576.3.9 The Audit Department shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Case Management system.

Section 576.4 Independent Audit - Operating Rule Set 576.4

KAP-576.4.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-576.4.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-576.4.3 For trust customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-576.4.4 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Risk Management Department within 15 working days, with the supporting documents listed in Annexure H-29.

KAP-576.4.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure G-39.

KAP-576.4.6 The Audit Department shall review address proofs within 8 working days of receipt and record the outcome in the Case Management system.

KAP-576.4.7 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/027 and that compliance is certified every quarter.

KAP-576.4.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-576.4.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-576.4.10 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

PART 49 - CHAPTER 577: CUSTOMER ACCEPTANCE

Section 577.1 Customer Acceptance - Operating Rule Set 577.1

KAP-577.1.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure F-11.

KAP-577.1.2 The Branch Manager shall review PEP screening results within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-577.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-577.1.4 The Credit Committee shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-577.1.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-577.1.6 The Audit Department shall review correspondent-bank relationships within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-577.1.7 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-577.1.8 Cases involving PEP screening results with an exposure above Rs. 497 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.26.

KAP-577.1.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-577.1.10 The Operations Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Core Banking system.

Section 577.2 Customer Acceptance - Operating Rule Set 577.2

KAP-577.2.1 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-577.2.2 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/070 and that compliance is certified every quarter.

KAP-577.2.3 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/098 and that compliance is certified every quarter.

KAP-577.2.4 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/226 and that compliance is certified every quarter.

KAP-577.2.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/048 and that compliance is certified every quarter.

KAP-577.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-577.2.7 Cases involving beneficial-owner declarations with an exposure above Rs. 22 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.20.

KAP-577.2.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-577.2.9 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 8 working days, with the supporting documents listed in Annexure B-20.

Section 577.3 Customer Acceptance - Operating Rule Set 577.3

KAP-577.3.1 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-36.

KAP-577.3.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/175 and that compliance is certified every quarter.

KAP-577.3.3 The Risk Management Department shall review beneficial-owner declarations within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-577.3.4 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-577.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-577.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-577.3.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-577.3.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-577.3.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-577.3.10 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure H-17.

KAP-577.3.11 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure D-10.

KAP-577.3.12 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 577.4 Customer Acceptance - Operating Rule Set 577.4

KAP-577.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-577.4.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-577.4.3 The Compliance Officer shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-577.4.4 Cases involving video-KYC sessions with an exposure above Rs. 409 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.4.

KAP-577.4.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/248 and that compliance is certified every quarter.

KAP-577.4.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/047 and that compliance is certified every quarter.

KAP-577.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-577.4.8 Cases involving beneficial-owner declarations with an exposure above Rs. 465 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.27.

KAP-577.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 290 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 16.25.

KAP-577.4.10 The Credit Committee shall review correspondent-bank relationships within 27 working days of receipt and

record the outcome in the Document Management system.

Section 577.5 Customer Acceptance - Operating Rule Set 577.5

KAP-577.5.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/286 and that compliance is certified every quarter.

KAP-577.5.2 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure C-25.

KAP-577.5.3 The Risk Management Department shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-577.5.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-577.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-577.5.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-577.5.7 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-577.5.8 Cases involving address proofs with an exposure above Rs. 350 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.25.

KAP-577.5.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/070 and that compliance is certified every quarter.

KAP-577.5.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-577.5.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-577.5.12 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

Section 577.6 Customer Acceptance - Operating Rule Set 577.6

KAP-577.6.1 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 5 working days, with the supporting documents listed in Annexure H-34.

KAP-577.6.2 The Branch Manager shall review address proofs within 30 working days of receipt and record the outcome in the Document Management system.

KAP-577.6.3 The Audit Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-577.6.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-577.6.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-577.6.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure D-22.

KAP-577.6.7 Cases involving video-KYC sessions with an exposure above Rs. 109 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.15.

KAP-577.6.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-577.6.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-577.6.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

PART 49 - CHAPTER 578: CUSTOMER IDENTIFICATION

Section 578.1 Customer Identification - Operating Rule Set 578.1

KAP-578.1.1 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/102 and that compliance is certified every quarter.

KAP-578.1.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-578.1.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-578.1.4 Cases involving cash transaction reports with an exposure above Rs. 145 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.28.

KAP-578.1.5 Cases involving beneficial-owner declarations with an exposure above Rs. 26 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.26.

KAP-578.1.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/029 and that compliance is certified every quarter.

KAP-578.1.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-578.1.8 In case of a system outage, the Branch Manager must escalate the matter to the Risk Management Department within 2 working days, with the supporting documents listed in Annexure B-26.

KAP-578.1.9 For NRI customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-578.1.10 The Zonal Head shall review risk-rating files within 5 working days of receipt and record the outcome in the Document Management system.

Section 578.2 Customer Identification - Operating Rule Set 578.2

KAP-578.2.1 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/208 and that compliance is certified every quarter.

KAP-578.2.2 The Branch Manager shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Core Banking system.

KAP-578.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-578.2.4 The Credit Committee shall review risk-rating files within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-578.2.5 The Credit Committee shall review account-opening forms within 15 working days of receipt and record the outcome in the Loan Origination system.

KAP-578.2.6 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/271 and that compliance is certified every quarter.

KAP-578.2.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

KAP-578.2.8 The Operations Head shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Document Management system.

KAP-578.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-578.2.10 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-578.2.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

Section 578.3 Customer Identification - Operating Rule Set 578.3

KAP-578.3.1 For NRI customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-578.3.2 Cases involving cash transaction reports with an exposure above Rs. 124 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.23.

KAP-578.3.3 The Credit Committee shall review beneficial-owner declarations within 19 working days of receipt and record the outcome in the Customer Relationship system.

KAP-578.3.4 The Risk Management Department shall review alerts generated by the monitoring system within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-578.3.5 The Credit Committee shall review risk-rating files within 2 working days of receipt and record the outcome in

the Case Management system.

KAP-578.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-578.3.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure H-19.

KAP-578.3.8 The Audit Department shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-578.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

Section 578.4 Customer Identification - Operating Rule Set 578.4

KAP-578.4.1 The Regional Credit Officer shall review identity documents within 15 working days of receipt and record the outcome in the Document Management system.

KAP-578.4.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/163 and that compliance is certified every quarter.

KAP-578.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-578.4.4 Cases involving identity documents with an exposure above Rs. 404 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.2.

KAP-578.4.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-578.4.6 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/181 and that compliance is certified every quarter.

KAP-578.4.7 The Regional Credit Officer shall review risk-rating files within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-578.4.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/267 and that compliance is certified every quarter.

KAP-578.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-578.4.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

PART 49 - CHAPTER 579: CUSTOMER DUE DILIGENCE

Section 579.1 Customer Due Diligence - Operating Rule Set 579.1

KAP-579.1.1 Cases involving risk-rating files with an exposure above Rs. 451 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.6.

KAP-579.1.2 Cases involving PEP screening results with an exposure above Rs. 110 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.23.

KAP-579.1.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure H-3.

KAP-579.1.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure C-5.

KAP-579.1.5 For sole-proprietor customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-579.1.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure H-14.

KAP-579.1.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/184 and that compliance is certified every quarter.

KAP-579.1.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-579.1.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-579.1.10 The Branch Manager shall review risk-rating files within 15 working days of receipt and record the outcome in

the Customer Relationship system.

Section 579.2 Customer Due Diligence - Operating Rule Set 579.2

KAP-579.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 102 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.28.

KAP-579.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-579.2.3 In case of a regulatory query, the Credit Committee must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure E-11.

KAP-579.2.4 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure E-11.

KAP-579.2.5 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-579.2.6 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-579.2.7 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/029 and that compliance is certified every quarter.

KAP-579.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-579.2.9 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure C-8.

KAP-579.2.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-579.2.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

Section 579.3 Customer Due Diligence - Operating Rule Set 579.3

KAP-579.3.1 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/025 and that compliance is certified every quarter.

KAP-579.3.2 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-579.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-579.3.4 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-579.3.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-579.3.6 Cases involving address proofs with an exposure above Rs. 254 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 17.5.

KAP-579.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-579.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-579.3.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-579.3.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

Section 579.4 Customer Due Diligence - Operating Rule Set 579.4

KAP-579.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-579.4.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-579.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance

Officer by the 9th day of the following month.

KAP-579.4.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure H-12.

KAP-579.4.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure H-20.

KAP-579.4.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-579.4.7 Cases involving account-opening forms with an exposure above Rs. 335 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.27.

KAP-579.4.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-579.4.9 Cases involving video-KYC sessions with an exposure above Rs. 60 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.27.

KAP-579.4.10 The Regional Credit Officer shall review identity documents within 19 working days of receipt and record the outcome in the Document Management system.

KAP-579.4.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-579.4.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

PART 49 - CHAPTER 580: ENHANCED DUE DILIGENCE

Section 580.1 Enhanced Due Diligence - Operating Rule Set 580.1

KAP-580.1.1 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-580.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-580.1.3 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-580.1.4 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/108 and that compliance is certified every quarter.

KAP-580.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-580.1.6 Cases involving video-KYC sessions with an exposure above Rs. 64 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.16.

KAP-580.1.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-580.1.8 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-3.

KAP-580.1.9 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-580.1.10 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure D-30.

Section 580.2 Enhanced Due Diligence - Operating Rule Set 580.2

KAP-580.2.1 The Regional Credit Officer shall review PEP screening results within 21 working days of receipt and record the outcome in the Case Management system.

KAP-580.2.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/202 and that compliance is certified every quarter.

KAP-580.2.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-580.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-580.2.5 Cases involving video-KYC sessions with an exposure above Rs. 104 lakh require prior written approval from

the Compliance Officer; otherwise the case is an exception under Clause 4.10.

KAP-580.2.6 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-580.2.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-580.2.8 The Branch Manager shall review identity documents within 11 working days of receipt and record the outcome in the Case Management system.

KAP-580.2.9 Cases involving risk-rating files with an exposure above Rs. 163 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.3.

KAP-580.2.10 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/009 and that compliance is certified every quarter.

KAP-580.2.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 580.3 Enhanced Due Diligence - Operating Rule Set 580.3

KAP-580.3.1 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-580.3.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-580.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-580.3.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/258 and that compliance is certified every quarter.

KAP-580.3.5 For trust customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-580.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-580.3.7 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/011 and that compliance is certified every quarter.

KAP-580.3.8 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure F-28.

KAP-580.3.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/142 and that compliance is certified every quarter.

KAP-580.3.10 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 580.4 Enhanced Due Diligence - Operating Rule Set 580.4

KAP-580.4.1 The Operations Head shall review video-KYC sessions within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-580.4.2 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/293 and that compliance is certified every quarter.

KAP-580.4.3 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-580.4.4 Cases involving cash transaction reports with an exposure above Rs. 325 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.2.

KAP-580.4.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-580.4.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-580.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-580.4.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 3 working days, with the supporting documents listed in Annexure D-14.

KAP-580.4.9 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/149 and that compliance is certified every quarter.

Section 580.5 Enhanced Due Diligence - Operating Rule Set 580.5

KAP-580.5.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-580.5.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-580.5.3 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-580.5.4 The Compliance Officer shall review PEP screening results within 16 working days of receipt and record the outcome in the Case Management system.

KAP-580.5.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-580.5.6 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-580.5.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Zonal Head within 24 working days, with the supporting documents listed in Annexure H-18.

KAP-580.5.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure B-31.

KAP-580.5.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-580.5.10 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure D-19.

KAP-580.5.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-580.5.12 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

PART 49 - CHAPTER 581: RISK CATEGORISATION

Section 581.1 Risk Categorisation - Operating Rule Set 581.1

KAP-581.1.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-581.1.2 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/057 and that compliance is certified every quarter.

KAP-581.1.3 In case of a change in borrower profile, the Audit Department must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure H-38.

KAP-581.1.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-581.1.5 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-581.1.6 In case of a system outage, the Regional Credit Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure D-5.

KAP-581.1.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure E-24.

KAP-581.1.8 The Compliance Officer shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Case Management system.

KAP-581.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-581.1.10 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/206 and that compliance is certified every quarter.

Section 581.2 Risk Categorisation - Operating Rule Set 581.2

KAP-581.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by

the 8th day of the following month.

KAP-581.2.2 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/011 and that compliance is certified every quarter.

KAP-581.2.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure H-26.

KAP-581.2.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-581.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-581.2.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure C-17.

KAP-581.2.7 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/241 and that compliance is certified every quarter.

KAP-581.2.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-581.2.9 For private-limited-company customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-581.2.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-581.2.11 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/042 and that compliance is certified every quarter.

KAP-581.2.12 The Compliance Officer shall review risk-rating files within 11 working days of receipt and record the outcome in the Risk Engine system.

Section 581.3 Risk Categorisation - Operating Rule Set 581.3

KAP-581.3.1 Cases involving risk-rating files with an exposure above Rs. 65 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.19.

KAP-581.3.2 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/218 and that compliance is certified every quarter.

KAP-581.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-581.3.4 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-581.3.5 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-581.3.6 In case of a system outage, the Operations Head must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure F-6.

KAP-581.3.7 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-581.3.8 The Operations Head shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-581.3.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 30 days written notice.

Section 581.4 Risk Categorisation - Operating Rule Set 581.4

KAP-581.4.1 Cases involving PEP screening results with an exposure above Rs. 229 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.5.

KAP-581.4.2 Cases involving identity documents with an exposure above Rs. 333 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.26.

KAP-581.4.3 For private-limited-company customers, address proofs shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-581.4.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-581.4.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-581.4.6 Cases involving video-KYC sessions with an exposure above Rs. 356 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.25.

KAP-581.4.7 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-581.4.8 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/107 and that compliance is certified every quarter.

KAP-581.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 450 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.2.

PART 49 - CHAPTER 582: TRANSACTION MONITORING

Section 582.1 Transaction Monitoring - Operating Rule Set 582.1

KAP-582.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-582.1.2 The Credit Committee shall review video-KYC sessions within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-582.1.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure F-13.

KAP-582.1.4 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure H-29.

KAP-582.1.5 Cases involving address proofs with an exposure above Rs. 179 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.5.

KAP-582.1.6 The Regional Credit Officer shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Risk Engine system.

KAP-582.1.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/286 and that compliance is certified every quarter.

KAP-582.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-582.1.9 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure E-38.

Section 582.2 Transaction Monitoring - Operating Rule Set 582.2

KAP-582.2.1 The Operations Head shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-582.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-582.2.3 For sole-proprietor customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-582.2.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-582.2.5 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-582.2.6 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/077 and that compliance is certified every quarter.

KAP-582.2.7 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 7 working days, with the supporting documents listed in Annexure D-24.

KAP-582.2.8 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure E-6.

KAP-582.2.9 For trust customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

Section 582.3 Transaction Monitoring - Operating Rule Set 582.3

KAP-582.3.1 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit

Committee within 8 working days, with the supporting documents listed in Annexure H-12.

KAP-KEY-09 All customer-facing staff must complete AML training once a year, with a minimum pass mark of 80%.

KAP-582.3.2 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure F-20.

KAP-582.3.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-582.3.4 For partnership customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-582.3.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-582.3.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-582.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-582.3.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

Section 582.4 Transaction Monitoring - Operating Rule Set 582.4

KAP-582.4.1 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure D-21.

KAP-582.4.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-582.4.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-582.4.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-582.4.5 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

KAP-582.4.6 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-582.4.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-582.4.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-582.4.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 26 days written notice.

KAP-582.4.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

Section 582.5 Transaction Monitoring - Operating Rule Set 582.5

KAP-582.5.1 Cases involving PEP screening results with an exposure above Rs. 247 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.8.

KAP-582.5.2 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/023 and that compliance is certified every quarter.

KAP-582.5.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-582.5.4 The Credit Committee shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Document Management system.

KAP-582.5.5 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-27.

KAP-582.5.6 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-582.5.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be

made available to the Board Audit Committee on request.

KAP-582.5.8 The Branch Manager shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Customer Relationship system.

KAP-582.5.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-582.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

PART 49 - CHAPTER 583: SUSPICIOUS TRANSACTION REPORTING

Section 583.1 Suspicious Transaction Reporting - Operating Rule Set 583.1

KAP-583.1.1 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-583.1.2 Cases involving account-opening forms with an exposure above Rs. 140 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.26.

KAP-583.1.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-583.1.4 The Compliance Officer shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-583.1.5 The Risk Management Department shall review account-opening forms within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-583.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-583.1.7 For NRI customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-583.1.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-583.1.9 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure B-22.

KAP-583.1.10 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/280 and that compliance is certified every quarter.

KAP-583.1.11 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 28 days written notice.

Section 583.2 Suspicious Transaction Reporting - Operating Rule Set 583.2

KAP-583.2.1 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-583.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-583.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-583.2.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-583.2.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-583.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-583.2.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/266 and that compliance is certified every quarter.

KAP-583.2.8 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure G-20.

KAP-583.2.9 Cases involving risk-rating files with an exposure above Rs. 6 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.30.

Section 583.3 Suspicious Transaction Reporting - Operating Rule Set 583.3

KAP-583.3.1 The Operations Head shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-583.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 374 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.26.

KAP-583.3.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 174 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.26.

KAP-583.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 306 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.27.

KAP-583.3.5 The Audit Department shall review video-KYC sessions within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-583.3.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-583.3.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-583.3.8 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 8 working days, with the supporting documents listed in Annexure A-3.

KAP-583.3.9 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/057 and that compliance is certified every quarter.

KAP-583.3.10 The Risk Management Department shall review alerts generated by the monitoring system within 22 working days of receipt and record the outcome in the Case Management system.

KAP-583.3.11 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-583.3.12 The Regional Credit Officer shall review PEP screening results within 7 working days of receipt and record the outcome in the Core Banking system.

Section 583.4 Suspicious Transaction Reporting - Operating Rule Set 583.4

KAP-583.4.1 The Operations Head shall review PEP screening results within 12 working days of receipt and record the outcome in the Document Management system.

KAP-583.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-583.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-583.4.4 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-583.4.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-583.4.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-583.4.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-583.4.8 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure B-16.

KAP-583.4.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure D-13.

PART 49 - CHAPTER 584: POLITICALLY EXPOSED PERSONS

Section 584.1 Politically Exposed Persons - Operating Rule Set 584.1

KAP-584.1.1 Cases involving address proofs with an exposure above Rs. 241 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 13.23.

KAP-584.1.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Compliance Officer within 19 working days, with the supporting documents listed in Annexure G-20.

KAP-584.1.3 For partnership customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-584.1.4 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-584.1.5 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/012 and that compliance is certified every quarter.

KAP-584.1.6 Cases involving address proofs with an exposure above Rs. 311 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.9.

KAP-584.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-584.1.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/179 and that compliance is certified every quarter.

KAP-584.1.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

Section 584.2 Politically Exposed Persons - Operating Rule Set 584.2

KAP-584.2.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-584.2.2 Cases involving address proofs with an exposure above Rs. 448 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.2.

KAP-584.2.3 The Operations Head shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Document Management system.

KAP-584.2.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure F-14.

KAP-584.2.5 The Regional Credit Officer shall review identity documents within 2 working days of receipt and record the outcome in the Case Management system.

KAP-584.2.6 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/154 and that compliance is certified every quarter.

KAP-584.2.7 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-584.2.8 The Zonal Head shall review identity documents within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-584.2.9 Cases involving account-opening forms with an exposure above Rs. 312 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.3.

KAP-584.2.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-584.2.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-584.2.12 The Branch Manager shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

Section 584.3 Politically Exposed Persons - Operating Rule Set 584.3

KAP-584.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-584.3.2 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/179 and that compliance is certified every quarter.

KAP-584.3.3 The Zonal Head shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-584.3.4 Cases involving PEP screening results with an exposure above Rs. 196 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.4.

KAP-584.3.5 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-584.3.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-584.3.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the

customer 22 days written notice.

KAP-584.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 66 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.3.

KAP-584.3.9 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure G-38.

KAP-584.3.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 27 days written notice.

Section 584.4 Politically Exposed Persons - Operating Rule Set 584.4

KAP-584.4.1 Cases involving correspondent-bank relationships with an exposure above Rs. 459 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.20.

KAP-584.4.2 The Credit Committee shall review risk-rating files within 10 working days of receipt and record the outcome in the Case Management system.

KAP-584.4.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-584.4.4 Cases involving identity documents with an exposure above Rs. 233 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.4.

KAP-584.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-584.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-584.4.7 Cases involving video-KYC sessions with an exposure above Rs. 401 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.24.

KAP-584.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-584.4.9 In case of a system outage, the Zonal Head must escalate the matter to the Audit Department within 22 working days, with the supporting documents listed in Annexure D-35.

KAP-584.4.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 154 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.16.

KAP-584.4.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

Section 584.5 Politically Exposed Persons - Operating Rule Set 584.5

KAP-584.5.1 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-584.5.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/169 and that compliance is certified every quarter.

KAP-584.5.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-584.5.4 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/231 and that compliance is certified every quarter.

KAP-584.5.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 25 working days, with the supporting documents listed in Annexure B-9.

KAP-584.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-584.5.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/171 and that compliance is certified every quarter.

KAP-584.5.8 The Branch Manager shall review identity documents within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-584.5.9 The Operations Head shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-584.5.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-584.5.11 In case of a customer complaint, the Zonal Head must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure F-7.

KAP-584.5.12 The Audit Department shall review PEP screening results within 30 working days of receipt and record the outcome in the Core Banking system.

PART 49 - CHAPTER 585: BENEFICIAL OWNERSHIP

Section 585.1 Beneficial Ownership - Operating Rule Set 585.1

KAP-585.1.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-585.1.2 Cases involving account-opening forms with an exposure above Rs. 274 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.17.

KAP-585.1.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-585.1.4 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-585.1.5 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure C-29.

KAP-585.1.6 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-585.1.7 The Audit Department shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-585.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-585.1.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-585.1.10 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

Section 585.2 Beneficial Ownership - Operating Rule Set 585.2

KAP-585.2.1 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/084 and that compliance is certified every quarter.

KAP-585.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-585.2.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-585.2.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-585.2.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-585.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 337 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.14.

KAP-585.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-585.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-585.2.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-585.2.10 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-585.2.11 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-585.2.12 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/135 and that compliance is certified every quarter.

Section 585.3 Beneficial Ownership - Operating Rule Set 585.3

KAP-585.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-585.3.2 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure H-30.

KAP-585.3.3 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/177 and that compliance is certified every quarter.

KAP-585.3.4 Cases involving beneficial-owner declarations with an exposure above Rs. 176 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.12.

KAP-585.3.5 For trust customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-585.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 217 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.6.

KAP-585.3.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-585.3.8 Cases involving beneficial-owner declarations with an exposure above Rs. 255 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.11.

KAP-585.3.9 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure B-34.

KAP-585.3.10 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure E-39.

KAP-585.3.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 585.4 Beneficial Ownership - Operating Rule Set 585.4

KAP-585.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-585.4.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/248 and that compliance is certified every quarter.

KAP-585.4.3 Cases involving PEP screening results with an exposure above Rs. 397 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.18.

KAP-585.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-585.4.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-585.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-585.4.7 The Operations Head shall review beneficial-owner declarations within 11 working days of receipt and record the outcome in the Document Management system.

KAP-585.4.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 6 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.14.

KAP-585.4.9 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure A-40.

KAP-585.4.10 The Risk Management Department shall review PEP screening results within 20 working days of receipt and record the outcome in the Loan Origination system.

Section 585.5 Beneficial Ownership - Operating Rule Set 585.5

KAP-585.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-585.5.2 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-585.5.3 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-585.5.4 Cases involving risk-rating files with an exposure above Rs. 84 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.17.

KAP-585.5.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-585.5.6 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure D-15.

KAP-585.5.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-585.5.8 The Zonal Head shall review identity documents within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-585.5.9 Cases involving video-KYC sessions with an exposure above Rs. 352 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.19.

KAP-585.5.10 The Operations Head shall review PEP screening results within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-585.5.11 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-585.5.12 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-585.5.13 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 30 days written notice.

PART 49 - CHAPTER 586: RECORD KEEPING

Section 586.1 Record Keeping - Operating Rule Set 586.1

KAP-586.1.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-586.1.2 Cases involving risk-rating files with an exposure above Rs. 482 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.23.

KAP-586.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 326 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.8.

KAP-586.1.4 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/042 and that compliance is certified every quarter.

KAP-586.1.5 Cases involving correspondent-bank relationships with an exposure above Rs. 467 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.23.

KAP-586.1.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-586.1.7 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-14.

KAP-586.1.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-586.1.9 Cases involving address proofs with an exposure above Rs. 145 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.23.

KAP-586.1.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

Section 586.2 Record Keeping - Operating Rule Set 586.2

KAP-586.2.1 The Risk Management Department shall review beneficial-owner declarations within 13 working days of receipt and record the outcome in the Document Management system.

KAP-586.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-586.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 403 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.13.

KAP-586.2.4 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/255 and that compliance is certified every quarter.

KAP-586.2.5 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-586.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 234 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.10.

KAP-586.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-586.2.8 For individual customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-586.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

Section 586.3 Record Keeping - Operating Rule Set 586.3

KAP-586.3.1 The Compliance Officer shall review PEP screening results within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-586.3.2 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/190 and that compliance is certified every quarter.

KAP-586.3.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-586.3.4 In case of a change in borrower profile, the Operations Head must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure H-33.

KAP-586.3.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-586.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-586.3.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-586.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 586.4 Record Keeping - Operating Rule Set 586.4

KAP-586.4.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-586.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-586.4.3 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-586.4.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-586.4.5 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure A-4.

KAP-586.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-586.4.7 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-586.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-586.4.9 In case of a regulatory query, the Zonal Head must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-11.

KAP-586.4.10 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure H-40.

KAP-586.4.11 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-586.4.12 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on

the procedures in Circular KAP/2023/167 and that compliance is certified every quarter.

Section 586.5 Record Keeping - Operating Rule Set 586.5

KAP-586.5.1 The Compliance Officer shall review cash transaction reports within 11 working days of receipt and record the outcome in the Case Management system.

KAP-586.5.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/222 and that compliance is certified every quarter.

KAP-586.5.3 The Operations Head shall review account-opening forms within 11 working days of receipt and record the outcome in the Document Management system.

KAP-586.5.4 Cases involving video-KYC sessions with an exposure above Rs. 430 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.28.

KAP-586.5.5 In case of a customer complaint, the Operations Head must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure D-26.

KAP-586.5.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-586.5.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-586.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-586.5.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-586.5.10 For sole-proprietor customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-586.5.11 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

PART 49 - CHAPTER 587: STAFF TRAINING

Section 587.1 Staff Training - Operating Rule Set 587.1

KAP-587.1.1 Cases involving PEP screening results with an exposure above Rs. 391 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.26.

KAP-587.1.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-587.1.3 The Regional Credit Officer shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Core Banking system.

KAP-587.1.4 Cases involving identity documents with an exposure above Rs. 11 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.23.

KAP-587.1.5 The Branch Manager shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-587.1.6 Cases involving account-opening forms with an exposure above Rs. 314 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.8.

KAP-587.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-587.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

Section 587.2 Staff Training - Operating Rule Set 587.2

KAP-587.2.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-587.2.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-587.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-587.2.4 Cases involving cash transaction reports with an exposure above Rs. 182 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.28.

KAP-587.2.5 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-587.2.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-587.2.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-587.2.8 Cases involving cash transaction reports with an exposure above Rs. 244 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 3.13.

KAP-587.2.9 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

Section 587.3 Staff Training - Operating Rule Set 587.3

KAP-587.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-587.3.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-587.3.3 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-587.3.4 Cases involving correspondent-bank relationships with an exposure above Rs. 179 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.9.

KAP-587.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-587.3.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-587.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-587.3.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-587.3.9 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-587.3.10 Cases involving video-KYC sessions with an exposure above Rs. 111 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.28.

KAP-587.3.11 The Zonal Head shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Risk Engine system.

Section 587.4 Staff Training - Operating Rule Set 587.4

KAP-587.4.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/016 and that compliance is certified every quarter.

KAP-587.4.2 In case of a regulatory query, the Audit Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure B-34.

KAP-587.4.3 Cases involving risk-rating files with an exposure above Rs. 105 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.12.

KAP-587.4.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-587.4.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-587.4.6 In case of a request for exception, the Operations Head must escalate the matter to the Regional Credit Officer within 23 working days, with the supporting documents listed in Annexure G-21.

KAP-587.4.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-587.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 587.5 Staff Training - Operating Rule Set 587.5

KAP-587.5.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-587.5.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-587.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-587.5.4 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-587.5.5 The Zonal Head shall review cash transaction reports within 29 working days of receipt and record the outcome in the Loan Origination system.

KAP-587.5.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure C-35.

KAP-587.5.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure B-31.

KAP-587.5.8 The Branch Manager shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-587.5.9 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

Section 587.6 Staff Training - Operating Rule Set 587.6

KAP-587.6.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-587.6.2 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/186 and that compliance is certified every quarter.

KAP-587.6.3 The Compliance Officer shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Document Management system.

KAP-587.6.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-587.6.5 For sole-proprietor customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-587.6.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/264 and that compliance is certified every quarter.

KAP-587.6.7 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-587.6.8 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure F-11.

KAP-587.6.9 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure H-26.

KAP-587.6.10 In case of a system outage, the Risk Management Department must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure F-5.

KAP-587.6.11 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-587.6.12 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure G-35.

KAP-587.6.13 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

PART 49 - CHAPTER 588: INDEPENDENT AUDIT

Section 588.1 Independent Audit - Operating Rule Set 588.1

KAP-588.1.1 The Credit Committee shall review cash transaction reports within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-588.1.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-588.1.3 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-588.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-588.1.5 For partnership customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-588.1.6 The Branch Manager shall review account-opening forms within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-588.1.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-588.1.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-588.1.9 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-588.1.10 The Risk Management Department shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Loan Origination system.

KAP-588.1.11 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-588.1.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

Section 588.2 Independent Audit - Operating Rule Set 588.2

KAP-588.2.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-588.2.2 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-588.2.3 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-588.2.4 Cases involving account-opening forms with an exposure above Rs. 491 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.12.

KAP-588.2.5 Cases involving cash transaction reports with an exposure above Rs. 168 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.21.

KAP-588.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-588.2.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-588.2.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

Section 588.3 Independent Audit - Operating Rule Set 588.3

KAP-588.3.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-588.3.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/269 and that compliance is certified every quarter.

KAP-588.3.3 Cases involving account-opening forms with an exposure above Rs. 428 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.12.

KAP-588.3.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-588.3.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-588.3.6 The Risk Management Department shall review account-opening forms within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-588.3.7 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer

within 20 working days, with the supporting documents listed in Annexure C-21.

KAP-588.3.8 Cases involving beneficial-owner declarations with an exposure above Rs. 9 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.28.

KAP-588.3.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/038 and that compliance is certified every quarter.

Section 588.4 Independent Audit - Operating Rule Set 588.4

KAP-588.4.1 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/204 and that compliance is certified every quarter.

KAP-588.4.2 Cases involving address proofs with an exposure above Rs. 121 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.24.

KAP-588.4.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-588.4.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-588.4.5 The Regional Credit Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-588.4.6 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-588.4.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/074 and that compliance is certified every quarter.

KAP-588.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-588.4.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure D-16.

KAP-588.4.10 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

Section 588.5 Independent Audit - Operating Rule Set 588.5

KAP-588.5.1 In case of a system outage, the Operations Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure C-35.

KAP-588.5.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 41 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.18.

KAP-588.5.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-588.5.4 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure E-1.

KAP-588.5.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-588.5.6 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/134 and that compliance is certified every quarter.

KAP-588.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-588.5.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-588.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-588.5.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

Section 588.6 Independent Audit - Operating Rule Set 588.6

KAP-588.6.1 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-588.6.2 For sole-proprietor customers, cash transaction reports shall be assessed using the manual-review method,

with a tolerance of 3% as approved by the Board.

KAP-588.6.3 For individual customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-588.6.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-588.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-588.6.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-588.6.7 Cases involving address proofs with an exposure above Rs. 103 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.15.

KAP-588.6.8 In case of a system outage, the Credit Committee must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure G-16.

KAP-588.6.9 The Risk Management Department shall review identity documents within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-588.6.10 Cases involving address proofs with an exposure above Rs. 454 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.26.

PART 50 - CHAPTER 589: CUSTOMER ACCEPTANCE

Section 589.1 Customer Acceptance - Operating Rule Set 589.1

KAP-589.1.1 Cases involving address proofs with an exposure above Rs. 295 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.6.

KAP-589.1.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-589.1.3 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/170 and that compliance is certified every quarter.

KAP-589.1.4 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-589.1.5 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-589.1.6 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-589.1.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-589.1.8 The Audit Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Core Banking system.

Section 589.2 Customer Acceptance - Operating Rule Set 589.2

KAP-589.2.1 Cases involving identity documents with an exposure above Rs. 145 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.17.

KAP-589.2.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-589.2.3 The Credit Committee shall review address proofs within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-589.2.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-589.2.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-589.2.6 In case of a system outage, the Zonal Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure B-26.

KAP-589.2.7 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-589.2.8 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the

customer 7 days written notice.

KAP-589.2.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-589.2.10 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure G-21.

Section 589.3 Customer Acceptance - Operating Rule Set 589.3

KAP-589.3.1 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-589.3.2 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-23.

KAP-589.3.3 In case of a customer complaint, the Audit Department must escalate the matter to the Operations Head within 17 working days, with the supporting documents listed in Annexure B-33.

KAP-589.3.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-589.3.5 The Regional Credit Officer shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-589.3.6 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure H-9.

KAP-589.3.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-589.3.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-589.3.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

Section 589.4 Customer Acceptance - Operating Rule Set 589.4

KAP-589.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-589.4.2 The Zonal Head shall review cash transaction reports within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-589.4.3 For sole-proprietor customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-589.4.4 The Branch Manager shall review address proofs within 11 working days of receipt and record the outcome in the Core Banking system.

KAP-589.4.5 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-589.4.6 Cases involving video-KYC sessions with an exposure above Rs. 318 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.26.

KAP-589.4.7 Cases involving video-KYC sessions with an exposure above Rs. 21 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.29.

KAP-589.4.8 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-589.4.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

Section 589.5 Customer Acceptance - Operating Rule Set 589.5

KAP-589.5.1 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-589.5.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Audit Department within 16 working days, with the supporting documents listed in Annexure H-21.

KAP-589.5.3 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-589.5.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Zonal

Head within 23 working days, with the supporting documents listed in Annexure A-6.

KAP-589.5.5 Cases involving correspondent-bank relationships with an exposure above Rs. 367 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.9.

KAP-589.5.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-589.5.7 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-589.5.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure B-32.

KAP-589.5.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/021 and that compliance is certified every quarter.

Section 589.6 Customer Acceptance - Operating Rule Set 589.6

KAP-589.6.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-589.6.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 29 days written notice.

KAP-589.6.3 The Risk Management Department shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Loan Origination system.

KAP-589.6.4 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-589.6.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-589.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-589.6.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-589.6.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-589.6.9 The Risk Management Department shall review beneficial-owner declarations within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-589.6.10 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/116 and that compliance is certified every quarter.

PART 50 - CHAPTER 590: CUSTOMER IDENTIFICATION

Section 590.1 Customer Identification - Operating Rule Set 590.1

KAP-590.1.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-590.1.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 253 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.1.

KAP-590.1.3 For trust customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-590.1.4 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-590.1.5 The Audit Department shall review address proofs within 13 working days of receipt and record the outcome in the Core Banking system.

KAP-590.1.6 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure E-38.

KAP-590.1.7 Cases involving video-KYC sessions with an exposure above Rs. 275 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.5.

KAP-590.1.8 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Operations Head within 4 working days, with the supporting documents listed in Annexure C-4.

KAP-590.1.9 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be

made available to internal auditors on request.

KAP-590.1.10 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure E-39.

Section 590.2 Customer Identification - Operating Rule Set 590.2

KAP-590.2.1 The Compliance Officer shall review account-opening forms within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-590.2.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-590.2.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-590.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-590.2.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure H-38.

KAP-590.2.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-590.2.7 In case of a request for exception, the Risk Management Department must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure G-15.

KAP-590.2.8 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-590.2.9 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

Section 590.3 Customer Identification - Operating Rule Set 590.3

KAP-590.3.1 The Risk Management Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Case Management system.

KAP-590.3.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-590.3.3 The Risk Management Department shall review correspondent-bank relationships within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-590.3.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-590.3.5 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-590.3.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 242 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.23.

KAP-590.3.7 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/201 and that compliance is certified every quarter.

KAP-590.3.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-590.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-590.3.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-590.3.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 4 days written notice.

Section 590.4 Customer Identification - Operating Rule Set 590.4

KAP-590.4.1 The Operations Head shall review address proofs within 4 working days of receipt and record the outcome in the Case Management system.

KAP-590.4.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure B-22.

KAP-590.4.3 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method,

with a tolerance of 5% as approved by the Board.

KAP-590.4.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-590.4.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/210 and that compliance is certified every quarter.

KAP-590.4.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-590.4.7 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-590.4.8 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-590.4.9 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure C-20.

PART 50 - CHAPTER 591: CUSTOMER DUE DILIGENCE

Section 591.1 Customer Due Diligence - Operating Rule Set 591.1

KAP-591.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-591.1.2 Cases involving address proofs with an exposure above Rs. 494 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.21.

KAP-591.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-591.1.4 The Zonal Head shall review address proofs within 21 working days of receipt and record the outcome in the Document Management system.

KAP-591.1.5 The Audit Department shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-591.1.6 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-591.1.7 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-591.1.8 Cases involving correspondent-bank relationships with an exposure above Rs. 221 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.16.

KAP-591.1.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 24 days written notice.

Section 591.2 Customer Due Diligence - Operating Rule Set 591.2

KAP-591.2.1 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-591.2.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-591.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-591.2.4 Cases involving address proofs with an exposure above Rs. 95 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.12.

KAP-591.2.5 Cases involving beneficial-owner declarations with an exposure above Rs. 264 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.29.

KAP-591.2.6 In case of a system outage, the Operations Head must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure C-36.

KAP-591.2.7 For trust customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-591.2.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure H-9.

KAP-591.2.9 Cases involving cash transaction reports with an exposure above Rs. 363 lakh require prior written approval

from the Risk Management Department; otherwise the case is an exception under Clause 10.10.

KAP-591.2.10 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-591.2.11 The Compliance Officer shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

Section 591.3 Customer Due Diligence - Operating Rule Set 591.3

KAP-591.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-591.3.2 Cases involving cash transaction reports with an exposure above Rs. 293 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.21.

KAP-591.3.3 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/227 and that compliance is certified every quarter.

KAP-591.3.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-591.3.5 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/146 and that compliance is certified every quarter.

KAP-591.3.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-591.3.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-591.3.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 591.4 Customer Due Diligence - Operating Rule Set 591.4

KAP-591.4.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-591.4.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-591.4.3 The Compliance Officer shall review identity documents within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-591.4.4 Cases involving account-opening forms with an exposure above Rs. 83 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.14.

KAP-591.4.5 The Regional Credit Officer shall review beneficial-owner declarations within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-591.4.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-591.4.7 In case of a regulatory query, the Audit Department must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure E-25.

KAP-591.4.8 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

Section 591.5 Customer Due Diligence - Operating Rule Set 591.5

KAP-591.5.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/201 and that compliance is certified every quarter.

KAP-591.5.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-591.5.3 Cases involving address proofs with an exposure above Rs. 332 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.17.

KAP-591.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-591.5.5 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure F-25.

KAP-591.5.6 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a

tolerance of 6% as approved by the Board.

KAP-591.5.7 For private-limited-company customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-591.5.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-591.5.9 For partnership customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

Section 591.6 Customer Due Diligence - Operating Rule Set 591.6

KAP-591.6.1 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-591.6.2 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-591.6.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-591.6.4 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/058 and that compliance is certified every quarter.

KAP-591.6.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-591.6.6 In case of a customer complaint, the Branch Manager must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure G-39.

KAP-591.6.7 For individual customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-591.6.8 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-591.6.9 Cases involving cash transaction reports with an exposure above Rs. 162 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.11.

KAP-591.6.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-591.6.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

Section 591.7 Customer Due Diligence - Operating Rule Set 591.7

KAP-591.7.1 Cases involving risk-rating files with an exposure above Rs. 280 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.14.

KAP-591.7.2 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-591.7.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-591.7.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure F-32.

KAP-591.7.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-591.7.6 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-591.7.7 For trust customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-591.7.8 The Credit Committee shall review risk-rating files within 11 working days of receipt and record the outcome in the Case Management system.

KAP-591.7.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure G-3.

KAP-591.7.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-591.7.11 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/202 and that compliance is certified every quarter.

PART 50 - CHAPTER 592: ENHANCED DUE DILIGENCE

Section 592.1 Enhanced Due Diligence - Operating Rule Set 592.1

KAP-592.1.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-592.1.2 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/072 and that compliance is certified every quarter.

KAP-592.1.3 The Credit Committee shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-592.1.4 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/037 and that compliance is certified every quarter.

KAP-592.1.5 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure H-5.

KAP-592.1.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-592.1.7 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-592.1.8 The Zonal Head shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-592.1.9 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-592.1.10 The Risk Management Department shall review risk-rating files within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-592.1.11 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-592.1.12 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 27 days written notice.

Section 592.2 Enhanced Due Diligence - Operating Rule Set 592.2

KAP-592.2.1 The Operations Head shall review account-opening forms within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-592.2.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-592.2.3 The Credit Committee shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Customer Relationship system.

KAP-592.2.4 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-592.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-592.2.6 The Regional Credit Officer shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-592.2.7 The Compliance Officer shall review risk-rating files within 10 working days of receipt and record the outcome in the Document Management system.

KAP-592.2.8 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-592.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-592.2.10 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 16 days written notice.

Section 592.3 Enhanced Due Diligence - Operating Rule Set 592.3

KAP-592.3.1 The Credit Committee shall review cash transaction reports within 16 working days of receipt and record the

outcome in the Core Banking system.

KAP-592.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-592.3.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-592.3.4 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-592.3.5 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-592.3.6 The Risk Management Department shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Case Management system.

KAP-592.3.7 Cases involving identity documents with an exposure above Rs. 24 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.29.

KAP-592.3.8 For individual customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-592.3.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 15 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.1.

KAP-592.3.10 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-592.3.11 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-592.3.12 Cases involving alerts generated by the monitoring system with an exposure above Rs. 278 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.18.

Section 592.4 Enhanced Due Diligence - Operating Rule Set 592.4

KAP-592.4.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-592.4.2 Cases involving video-KYC sessions with an exposure above Rs. 182 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.4.

KAP-592.4.3 The Compliance Officer shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Document Management system.

KAP-592.4.4 Cases involving video-KYC sessions with an exposure above Rs. 163 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.20.

KAP-592.4.5 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/041 and that compliance is certified every quarter.

KAP-592.4.6 The Credit Committee shall review account-opening forms within 3 working days of receipt and record the outcome in the Document Management system.

KAP-592.4.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-592.4.8 The Risk Management Department shall review video-KYC sessions within 24 working days of receipt and record the outcome in the Core Banking system.

PART 50 - CHAPTER 593: RISK CATEGORISATION

Section 593.1 Risk Categorisation - Operating Rule Set 593.1

KAP-593.1.1 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/119 and that compliance is certified every quarter.

KAP-593.1.2 Cases involving PEP screening results with an exposure above Rs. 68 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.11.

KAP-593.1.3 For partnership customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-593.1.4 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-593.1.5 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the

procedures in Circular KAP/2019/210 and that compliance is certified every quarter.

KAP-593.1.6 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure A-21.

KAP-593.1.7 Cases involving beneficial-owner declarations with an exposure above Rs. 443 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.6.

KAP-593.1.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-593.1.9 Cases involving risk-rating files with an exposure above Rs. 123 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.11.

Section 593.2 Risk Categorisation - Operating Rule Set 593.2

KAP-593.2.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-593.2.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-593.2.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-593.2.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-593.2.5 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/284 and that compliance is certified every quarter.

KAP-593.2.6 The Risk Management Department shall review identity documents within 2 working days of receipt and record the outcome in the Document Management system.

KAP-593.2.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-593.2.8 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/028 and that compliance is certified every quarter.

KAP-593.2.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-593.2.10 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/131 and that compliance is certified every quarter.

Section 593.3 Risk Categorisation - Operating Rule Set 593.3

KAP-593.3.1 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/246 and that compliance is certified every quarter.

KAP-593.3.2 Cases involving beneficial-owner declarations with an exposure above Rs. 69 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.24.

KAP-593.3.3 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/053 and that compliance is certified every quarter.

KAP-593.3.4 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-593.3.5 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-593.3.6 Cases involving account-opening forms with an exposure above Rs. 209 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.16.

KAP-593.3.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/254 and that compliance is certified every quarter.

KAP-593.3.8 Cases involving video-KYC sessions with an exposure above Rs. 189 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 5.30.

KAP-593.3.9 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure D-18.

KAP-593.3.10 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/239 and that compliance is certified every quarter.

Section 593.4 Risk Categorisation - Operating Rule Set 593.4

KAP-593.4.1 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure F-34.

KAP-593.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-593.4.3 In case of a regulatory query, the Credit Committee must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure F-28.

KAP-593.4.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-593.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-593.4.6 In case of a regulatory query, the Branch Manager must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure A-33.

KAP-593.4.7 Cases involving account-opening forms with an exposure above Rs. 210 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.9.

KAP-593.4.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-593.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-593.4.10 The Branch Manager shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-593.4.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-593.4.12 The Regional Credit Officer shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Customer Relationship system.

Section 593.5 Risk Categorisation - Operating Rule Set 593.5

KAP-593.5.1 The Branch Manager shall review account-opening forms within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-593.5.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/141 and that compliance is certified every quarter.

KAP-593.5.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-593.5.4 Cases involving risk-rating files with an exposure above Rs. 477 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.15.

KAP-593.5.5 Cases involving correspondent-bank relationships with an exposure above Rs. 306 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 4.5.

KAP-593.5.6 The Compliance Officer shall review risk-rating files within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-593.5.7 The Regional Credit Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-593.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-593.5.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/257 and that compliance is certified every quarter.

KAP-593.5.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

PART 50 - CHAPTER 594: TRANSACTION MONITORING

Section 594.1 Transaction Monitoring - Operating Rule Set 594.1

KAP-594.1.1 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/089 and that compliance is certified every quarter.

KAP-594.1.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches,

after giving the customer 30 days written notice.

KAP-594.1.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-594.1.4 The Operations Head shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-594.1.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 480 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.2.

KAP-594.1.6 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/042 and that compliance is certified every quarter.

KAP-594.1.7 The Branch Manager shall review beneficial-owner declarations within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-594.1.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-594.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-594.1.10 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/160 and that compliance is certified every quarter.

KAP-594.1.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-594.1.12 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

Section 594.2 Transaction Monitoring - Operating Rule Set 594.2

KAP-594.2.1 Cases involving risk-rating files with an exposure above Rs. 150 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.21.

KAP-594.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-594.2.3 Cases involving video-KYC sessions with an exposure above Rs. 195 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.20.

KAP-594.2.4 Cases involving video-KYC sessions with an exposure above Rs. 335 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 18.26.

KAP-594.2.5 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/067 and that compliance is certified every quarter.

KAP-594.2.6 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-594.2.7 For private-limited-company customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-594.2.8 Cases involving identity documents with an exposure above Rs. 450 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.22.

Section 594.3 Transaction Monitoring - Operating Rule Set 594.3

KAP-594.3.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-594.3.2 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/292 and that compliance is certified every quarter.

KAP-594.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-594.3.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/022 and that compliance is certified every quarter.

KAP-594.3.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/218 and that compliance is certified every quarter.

KAP-594.3.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/136 and that compliance is certified every quarter.

KAP-594.3.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 22 days written notice.

KAP-594.3.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-594.3.9 Cases involving address proofs with an exposure above Rs. 169 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.21.

KAP-594.3.10 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/170 and that compliance is certified every quarter.

KAP-594.3.11 Cases involving correspondent-bank relationships with an exposure above Rs. 408 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.28.

Section 594.4 Transaction Monitoring - Operating Rule Set 594.4

KAP-594.4.1 Cases involving video-KYC sessions with an exposure above Rs. 404 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.11.

KAP-594.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-594.4.3 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 23 working days, with the supporting documents listed in Annexure B-12.

KAP-594.4.4 The Regional Credit Officer shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Case Management system.

KAP-594.4.5 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-594.4.6 The Compliance Officer shall review address proofs within 23 working days of receipt and record the outcome in the Case Management system.

KAP-594.4.7 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure C-19.

KAP-594.4.8 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure A-3.

KAP-594.4.9 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-594.4.10 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure G-37.

Section 594.5 Transaction Monitoring - Operating Rule Set 594.5

KAP-594.5.1 Cases involving video-KYC sessions with an exposure above Rs. 48 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.18.

KAP-594.5.2 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-594.5.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-594.5.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-594.5.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-594.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-594.5.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-594.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-594.5.9 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/260 and that compliance is certified every quarter.

Section 594.6 Transaction Monitoring - Operating Rule Set 594.6

KAP-594.6.1 Cases involving address proofs with an exposure above Rs. 325 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.5.

KAP-594.6.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-594.6.3 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/047 and that compliance is certified every quarter.

KAP-594.6.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-594.6.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-594.6.6 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-594.6.7 The Audit Department shall review account-opening forms within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-594.6.8 Cases involving video-KYC sessions with an exposure above Rs. 380 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.3.

KAP-594.6.9 The Branch Manager shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-594.6.10 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/021 and that compliance is certified every quarter.

PART 50 - CHAPTER 595: SUSPICIOUS TRANSACTION REPORTING

Section 595.1 Suspicious Transaction Reporting - Operating Rule Set 595.1

KAP-595.1.1 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure A-7.

KAP-595.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-595.1.3 Cases involving PEP screening results with an exposure above Rs. 454 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.2.

KAP-595.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-595.1.5 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-595.1.6 Cases involving beneficial-owner declarations with an exposure above Rs. 279 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.6.

KAP-595.1.7 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-595.1.8 The Operations Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-595.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

Section 595.2 Suspicious Transaction Reporting - Operating Rule Set 595.2

KAP-595.2.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-595.2.2 Cases involving cash transaction reports with an exposure above Rs. 385 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.10.

KAP-595.2.3 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-595.2.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-595.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 155 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.28.

KAP-595.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 26 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.18.

KAP-595.2.7 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-595.2.8 Cases involving risk-rating files with an exposure above Rs. 225 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.24.

KAP-595.2.9 Cases involving address proofs with an exposure above Rs. 172 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.3.

KAP-595.2.10 Cases involving beneficial-owner declarations with an exposure above Rs. 345 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.17.

KAP-595.2.11 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-595.2.12 For trust customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

Section 595.3 Suspicious Transaction Reporting - Operating Rule Set 595.3

KAP-595.3.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-595.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-595.3.3 Cases involving PEP screening results with an exposure above Rs. 158 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.3.

KAP-595.3.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-10.

KAP-595.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-595.3.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/156 and that compliance is certified every quarter.

KAP-595.3.7 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-29.

KAP-595.3.8 For individual customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-595.3.9 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

Section 595.4 Suspicious Transaction Reporting - Operating Rule Set 595.4

KAP-595.4.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/292 and that compliance is certified every quarter.

KAP-595.4.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-595.4.3 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-595.4.4 The Risk Management Department shall review identity documents within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-595.4.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-3.

KAP-595.4.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure A-29.

KAP-595.4.7 Cases involving address proofs with an exposure above Rs. 342 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 2.27.

KAP-595.4.8 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/174 and that compliance is certified every quarter.

KAP-595.4.9 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 26 days written notice.

KAP-595.4.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

Section 595.5 Suspicious Transaction Reporting - Operating Rule Set 595.5

KAP-595.5.1 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-595.5.2 The Zonal Head shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-595.5.3 Cases involving risk-rating files with an exposure above Rs. 110 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.28.

KAP-595.5.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-595.5.5 Cases involving cash transaction reports with an exposure above Rs. 92 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 3.22.

KAP-595.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-595.5.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-595.5.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-595.5.9 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-595.5.10 The Operations Head shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-595.5.11 Cases involving video-KYC sessions with an exposure above Rs. 193 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.8.

KAP-595.5.12 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

Section 595.6 Suspicious Transaction Reporting - Operating Rule Set 595.6

KAP-595.6.1 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-595.6.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/214 and that compliance is certified every quarter.

KAP-595.6.3 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/251 and that compliance is certified every quarter.

KAP-595.6.4 Cases involving beneficial-owner declarations with an exposure above Rs. 214 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.10.

KAP-595.6.5 Cases involving PEP screening results with an exposure above Rs. 468 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 19.1.

KAP-595.6.6 For individual customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-595.6.7 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-595.6.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-595.6.9 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/202 and that compliance is certified every quarter.

KAP-595.6.10 The Regional Credit Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/088 and that compliance is certified every quarter.

KAP-595.6.11 The Audit Department shall review alerts generated by the monitoring system within 10 working days of receipt and record the outcome in the Customer Relationship system.

PART 50 - CHAPTER 596: POLITICALLY EXPOSED PERSONS

Section 596.1 Politically Exposed Persons - Operating Rule Set 596.1

KAP-596.1.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-596.1.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-596.1.3 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-596.1.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-596.1.5 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/223 and that compliance is certified every quarter.

KAP-596.1.6 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 22 working days, with the supporting documents listed in Annexure D-10.

KAP-596.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-596.1.8 The Zonal Head shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-596.1.9 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/156 and that compliance is certified every quarter.

KAP-596.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-596.1.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

Section 596.2 Politically Exposed Persons - Operating Rule Set 596.2

KAP-596.2.1 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure F-19.

KAP-596.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-596.2.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-596.2.4 Cases involving PEP screening results with an exposure above Rs. 301 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.8.

KAP-596.2.5 Cases involving video-KYC sessions with an exposure above Rs. 256 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.4.

KAP-596.2.6 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-596.2.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-596.2.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-596.2.9 The Zonal Head shall review address proofs within 12 working days of receipt and record the outcome in the Customer Relationship system.

KAP-596.2.10 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 596.3 Politically Exposed Persons - Operating Rule Set 596.3

KAP-596.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-596.3.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Operations Head within 5 working days, with the supporting documents listed in Annexure A-18.

KAP-596.3.3 The Bank reserves the right to request additional documents where material information is found to be

incorrect, after giving the customer 24 days written notice.

KAP-596.3.4 The Branch Manager shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-596.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-596.3.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-596.3.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Credit Committee within 12 working days, with the supporting documents listed in Annexure D-35.

KAP-596.3.8 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 5 working days, with the supporting documents listed in Annexure D-24.

KAP-596.3.9 Cases involving correspondent-bank relationships with an exposure above Rs. 142 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.29.

Section 596.4 Politically Exposed Persons - Operating Rule Set 596.4

KAP-596.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-596.4.2 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/043 and that compliance is certified every quarter.

KAP-596.4.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-596.4.4 In case of a regulatory query, the Operations Head must escalate the matter to the Branch Manager within 29 working days, with the supporting documents listed in Annexure F-8.

KAP-596.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-596.4.6 For partnership customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-596.4.7 Cases involving address proofs with an exposure above Rs. 283 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.24.

KAP-596.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-596.4.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

Section 596.5 Politically Exposed Persons - Operating Rule Set 596.5

KAP-596.5.1 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-596.5.2 Cases involving account-opening forms with an exposure above Rs. 78 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.16.

KAP-596.5.3 For partnership customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-596.5.4 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure A-22.

KAP-596.5.5 The Compliance Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Document Management system.

KAP-596.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-596.5.7 Cases involving PEP screening results with an exposure above Rs. 282 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.27.

KAP-596.5.8 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/235 and that compliance is certified every quarter.

PART 50 - CHAPTER 597: BENEFICIAL OWNERSHIP

Section 597.1 Beneficial Ownership - Operating Rule Set 597.1

KAP-597.1.1 The Audit Department shall review alerts generated by the monitoring system within 16 working days of receipt and record the outcome in the Customer Relationship system.

KAP-597.1.2 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-597.1.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-597.1.4 The Audit Department shall review identity documents within 17 working days of receipt and record the outcome in the Case Management system.

KAP-597.1.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-597.1.6 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/016 and that compliance is certified every quarter.

KAP-597.1.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-597.1.8 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-597.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-597.1.10 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/135 and that compliance is certified every quarter.

Section 597.2 Beneficial Ownership - Operating Rule Set 597.2

KAP-597.2.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-597.2.2 Cases involving PEP screening results with an exposure above Rs. 376 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.17.

KAP-597.2.3 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-597.2.4 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-597.2.5 For partnership customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-597.2.6 In case of a change in borrower profile, the Credit Committee must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure B-28.

KAP-597.2.7 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 26 days written notice.

KAP-597.2.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

Section 597.3 Beneficial Ownership - Operating Rule Set 597.3

KAP-597.3.1 Cases involving account-opening forms with an exposure above Rs. 343 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 18.3.

KAP-597.3.2 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure C-28.

KAP-597.3.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-597.3.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 7th day of the following month.

KAP-597.3.5 The Audit Department shall review beneficial-owner declarations within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-597.3.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 19 days written notice.

KAP-597.3.7 The Risk Management Department shall ensure that staff handling address proofs are trained on the

procedures in Circular KAP/2024/108 and that compliance is certified every quarter.

KAP-597.3.8 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-597.3.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

Section 597.4 Beneficial Ownership - Operating Rule Set 597.4

KAP-597.4.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-597.4.2 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure G-23.

KAP-597.4.3 The Branch Manager shall review account-opening forms within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-597.4.4 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/136 and that compliance is certified every quarter.

KAP-597.4.5 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-597.4.6 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure G-34.

KAP-597.4.7 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-597.4.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-597.4.9 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-597.4.10 Cases involving beneficial-owner declarations with an exposure above Rs. 398 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 9.20.

KAP-597.4.11 In case of a system outage, the Compliance Officer must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure H-19.

Section 597.5 Beneficial Ownership - Operating Rule Set 597.5

KAP-597.5.1 Cases involving correspondent-bank relationships with an exposure above Rs. 78 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.10.

KAP-597.5.2 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/161 and that compliance is certified every quarter.

KAP-597.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-597.5.4 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/054 and that compliance is certified every quarter.

KAP-597.5.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/154 and that compliance is certified every quarter.

KAP-597.5.6 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-597.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-597.5.8 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/266 and that compliance is certified every quarter.

KAP-597.5.9 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

PART 50 - CHAPTER 598: RECORD KEEPING

Section 598.1 Record Keeping - Operating Rule Set 598.1

KAP-598.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 218 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.10.

KAP-598.1.2 For NRI customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-598.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 8 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.11.

KAP-598.1.4 In case of a regulatory query, the Operations Head must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure C-25.

KAP-598.1.5 In case of a request for exception, the Audit Department must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure H-26.

KAP-598.1.6 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-598.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-598.1.8 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 19 working days, with the supporting documents listed in Annexure A-24.

Section 598.2 Record Keeping - Operating Rule Set 598.2

KAP-598.2.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-598.2.2 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/222 and that compliance is certified every quarter.

KAP-598.2.3 The Risk Management Department shall review video-KYC sessions within 21 working days of receipt and record the outcome in the Case Management system.

KAP-598.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-598.2.5 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-598.2.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/207 and that compliance is certified every quarter.

KAP-598.2.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure H-23.

KAP-598.2.8 The Branch Manager shall review identity documents within 15 working days of receipt and record the outcome in the Case Management system.

KAP-598.2.9 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-598.2.10 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/035 and that compliance is certified every quarter.

KAP-598.2.11 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/165 and that compliance is certified every quarter.

KAP-598.2.12 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/224 and that compliance is certified every quarter.

Section 598.3 Record Keeping - Operating Rule Set 598.3

KAP-598.3.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-598.3.2 Cases involving video-KYC sessions with an exposure above Rs. 257 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.16.

KAP-598.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-598.3.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 18 days written notice.

KAP-598.3.5 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-598.3.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit

Officer by the 5th day of the following month.

KAP-598.3.7 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/165 and that compliance is certified every quarter.

KAP-598.3.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure B-34.

KAP-598.3.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

Section 598.4 Record Keeping - Operating Rule Set 598.4

KAP-598.4.1 In case of a request for exception, the Zonal Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure F-36.

KAP-598.4.2 The Credit Committee shall review correspondent-bank relationships within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-598.4.3 Cases involving PEP screening results with an exposure above Rs. 482 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 10.2.

KAP-598.4.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-598.4.5 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/052 and that compliance is certified every quarter.

KAP-598.4.6 The Operations Head shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Case Management system.

KAP-598.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-598.4.8 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure G-18.

KAP-598.4.9 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/201 and that compliance is certified every quarter.

Section 598.5 Record Keeping - Operating Rule Set 598.5

KAP-598.5.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-598.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-598.5.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-598.5.4 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/188 and that compliance is certified every quarter.

KAP-598.5.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-598.5.6 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure E-28.

KAP-598.5.7 Cases involving identity documents with an exposure above Rs. 292 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.18.

KAP-598.5.8 In case of a request for exception, the Credit Committee must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure C-10.

KAP-598.5.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/149 and that compliance is certified every quarter.

KAP-598.5.10 The Regional Credit Officer shall review correspondent-bank relationships within 6 working days of receipt and record the outcome in the Core Banking system.

PART 50 - CHAPTER 599: STAFF TRAINING

Section 599.1 Staff Training - Operating Rule Set 599.1

KAP-599.1.1 Cases involving PEP screening results with an exposure above Rs. 134 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.14.

KAP-599.1.2 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-599.1.3 For private-limited-company customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-599.1.4 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/093 and that compliance is certified every quarter.

KAP-599.1.5 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/256 and that compliance is certified every quarter.

KAP-599.1.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-599.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-599.1.8 In case of a request for exception, the Branch Manager must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure G-30.

KAP-599.1.9 The Credit Committee shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Document Management system.

Section 599.2 Staff Training - Operating Rule Set 599.2

KAP-599.2.1 The Compliance Officer shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Document Management system.

KAP-599.2.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-599.2.3 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure A-4.

KAP-599.2.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-599.2.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-599.2.6 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-599.2.7 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/263 and that compliance is certified every quarter.

KAP-599.2.8 The Zonal Head shall review account-opening forms within 7 working days of receipt and record the outcome in the Case Management system.

KAP-599.2.9 Cases involving risk-rating files with an exposure above Rs. 171 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.17.

KAP-599.2.10 Cases involving risk-rating files with an exposure above Rs. 272 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.16.

Section 599.3 Staff Training - Operating Rule Set 599.3

KAP-599.3.1 Cases involving address proofs with an exposure above Rs. 481 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.18.

KAP-599.3.2 The Branch Manager shall review account-opening forms within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-599.3.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-599.3.4 In case of a system outage, the Branch Manager must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure D-1.

KAP-599.3.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-599.3.6 The Risk Management Department shall review account-opening forms within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-599.3.7 The Operations Head shall review identity documents within 20 working days of receipt and record the

outcome in the Risk Engine system.

KAP-599.3.8 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/111 and that compliance is certified every quarter.

KAP-599.3.9 The Zonal Head shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Loan Origination system.

Section 599.4 Staff Training - Operating Rule Set 599.4

KAP-599.4.1 For trust customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-599.4.2 The Credit Committee shall review identity documents within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-599.4.3 Cases involving cash transaction reports with an exposure above Rs. 246 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.18.

KAP-599.4.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-599.4.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-599.4.6 Cases involving address proofs with an exposure above Rs. 245 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.30.

KAP-599.4.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-599.4.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-599.4.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-599.4.10 Cases involving account-opening forms with an exposure above Rs. 23 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.13.

KAP-599.4.11 For individual customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-599.4.12 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-599.4.13 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-599.4.14 The Credit Committee shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Loan Origination system.

PART 50 - CHAPTER 600: INDEPENDENT AUDIT

Section 600.1 Independent Audit - Operating Rule Set 600.1

KAP-600.1.1 The Branch Manager shall review cash transaction reports within 15 working days of receipt and record the outcome in the Case Management system.

KAP-600.1.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-600.1.3 For partnership customers, identity documents shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-600.1.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-600.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-600.1.6 The Credit Committee shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Case Management system.

KAP-600.1.7 Cases involving identity documents with an exposure above Rs. 190 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.21.

KAP-600.1.8 The Compliance Officer shall review address proofs within 19 working days of receipt and record the outcome

in the Core Banking system.

KAP-600.1.9 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 26 working days, with the supporting documents listed in Annexure D-15.

KAP-600.1.10 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 14 working days, with the supporting documents listed in Annexure A-3.

Section 600.2 Independent Audit - Operating Rule Set 600.2

KAP-600.2.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-600.2.2 Cases involving address proofs with an exposure above Rs. 230 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.19.

KAP-600.2.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-600.2.4 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/188 and that compliance is certified every quarter.

KAP-600.2.5 For individual customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-600.2.6 Cases involving beneficial-owner declarations with an exposure above Rs. 272 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.10.

KAP-600.2.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-600.2.8 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure B-33.

KAP-600.2.9 The Compliance Officer shall review identity documents within 9 working days of receipt and record the outcome in the Risk Engine system.

Section 600.3 Independent Audit - Operating Rule Set 600.3

KAP-600.3.1 Cases involving video-KYC sessions with an exposure above Rs. 327 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.28.

KAP-600.3.2 Cases involving address proofs with an exposure above Rs. 212 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.11.

KAP-600.3.3 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-600.3.4 Cases involving risk-rating files with an exposure above Rs. 303 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.20.

KAP-600.3.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-600.3.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-600.3.7 Cases involving video-KYC sessions with an exposure above Rs. 298 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.22.

KAP-600.3.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-600.3.9 For private-limited-company customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-600.3.10 For partnership customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-600.3.11 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 600.4 Independent Audit - Operating Rule Set 600.4

KAP-600.4.1 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure D-14.

KAP-600.4.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be

made available to the Board Audit Committee on request.

KAP-600.4.3 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/079 and that compliance is certified every quarter.

KAP-600.4.4 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/058 and that compliance is certified every quarter.

KAP-600.4.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-600.4.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-600.4.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-600.4.8 Cases involving PEP screening results with an exposure above Rs. 134 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.15.

KAP-600.4.9 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-600.4.10 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/142 and that compliance is certified every quarter.

KAP-600.4.11 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/177 and that compliance is certified every quarter.

PART 51 - CHAPTER 601: CUSTOMER ACCEPTANCE

Section 601.1 Customer Acceptance - Operating Rule Set 601.1

KAP-601.1.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-601.1.2 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/133 and that compliance is certified every quarter.

KAP-601.1.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-601.1.4 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure D-33.

KAP-601.1.5 In case of a system outage, the Credit Committee must escalate the matter to the Credit Committee within 29 working days, with the supporting documents listed in Annexure A-14.

KAP-601.1.6 Cases involving video-KYC sessions with an exposure above Rs. 230 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.10.

KAP-601.1.7 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-601.1.8 In case of a regulatory query, the Branch Manager must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure D-30.

KAP-601.1.9 The Regional Credit Officer shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-601.1.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-601.1.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

Section 601.2 Customer Acceptance - Operating Rule Set 601.2

KAP-601.2.1 The Regional Credit Officer shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-601.2.2 The Regional Credit Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-601.2.3 For NRI customers, address proofs shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-601.2.4 In case of a system outage, the Credit Committee must escalate the matter to the Regional Credit Officer

within 4 working days, with the supporting documents listed in Annexure B-23.

KAP-601.2.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-601.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-601.2.7 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-601.2.8 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/207 and that compliance is certified every quarter.

KAP-601.2.9 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-601.2.10 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/093 and that compliance is certified every quarter.

Section 601.3 Customer Acceptance - Operating Rule Set 601.3

KAP-601.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-601.3.2 In case of a system outage, the Risk Management Department must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure B-16.

KAP-601.3.3 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/132 and that compliance is certified every quarter.

KAP-601.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-601.3.5 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure C-40.

KAP-601.3.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-601.3.7 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/097 and that compliance is certified every quarter.

KAP-601.3.8 Cases involving video-KYC sessions with an exposure above Rs. 251 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.1.

KAP-601.3.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

Section 601.4 Customer Acceptance - Operating Rule Set 601.4

KAP-601.4.1 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/042 and that compliance is certified every quarter.

KAP-601.4.2 The Compliance Officer shall review PEP screening results within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-601.4.3 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/155 and that compliance is certified every quarter.

KAP-601.4.4 Cases involving correspondent-bank relationships with an exposure above Rs. 420 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.8.

KAP-601.4.5 The Branch Manager shall review PEP screening results within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-601.4.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure D-30.

KAP-601.4.7 In case of a request for exception, the Branch Manager must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure G-36.

KAP-601.4.8 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure F-18.

KAP-601.4.9 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-601.4.10 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-601.4.11 The Operations Head shall review PEP screening results within 19 working days of receipt and record the outcome in the Case Management system.

KAP-601.4.12 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

Section 601.5 Customer Acceptance - Operating Rule Set 601.5

KAP-601.5.1 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-601.5.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure F-28.

KAP-601.5.3 Cases involving correspondent-bank relationships with an exposure above Rs. 462 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.26.

KAP-601.5.4 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/052 and that compliance is certified every quarter.

KAP-601.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-601.5.6 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/213 and that compliance is certified every quarter.

KAP-601.5.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-601.5.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-601.5.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

PART 51 - CHAPTER 602: CUSTOMER IDENTIFICATION

Section 602.1 Customer Identification - Operating Rule Set 602.1

KAP-602.1.1 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-602.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 139 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.11.

KAP-602.1.3 Cases involving account-opening forms with an exposure above Rs. 176 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.27.

KAP-602.1.4 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/233 and that compliance is certified every quarter.

KAP-602.1.5 Cases involving video-KYC sessions with an exposure above Rs. 345 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.7.

KAP-602.1.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 3 days written notice.

KAP-602.1.7 In case of a change in borrower profile, the Operations Head must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure F-12.

KAP-602.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-602.1.9 Cases involving beneficial-owner declarations with an exposure above Rs. 183 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 16.13.

KAP-602.1.10 The Credit Committee shall review PEP screening results within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-602.1.11 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-602.1.12 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-602.1.13 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

Section 602.2 Customer Identification - Operating Rule Set 602.2

KAP-602.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-602.2.2 Cases involving correspondent-bank relationships with an exposure above Rs. 34 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.13.

KAP-602.2.3 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure B-10.

KAP-602.2.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-602.2.5 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-602.2.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-602.2.7 Cases involving PEP screening results with an exposure above Rs. 265 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.3.

KAP-602.2.8 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/219 and that compliance is certified every quarter.

KAP-602.2.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 118 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.20.

KAP-602.2.10 In case of a regulatory query, the Zonal Head must escalate the matter to the Regional Credit Officer within 16 working days, with the supporting documents listed in Annexure A-11.

KAP-602.2.11 The Zonal Head shall review risk-rating files within 13 working days of receipt and record the outcome in the Loan Origination system.

Section 602.3 Customer Identification - Operating Rule Set 602.3

KAP-602.3.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-602.3.2 The Operations Head shall review identity documents within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-602.3.3 The Regional Credit Officer shall review beneficial-owner declarations within 2 working days of receipt and record the outcome in the Document Management system.

KAP-602.3.4 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure B-24.

KAP-602.3.5 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-602.3.6 Cases involving cash transaction reports with an exposure above Rs. 181 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.11.

KAP-602.3.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-602.3.8 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

Section 602.4 Customer Identification - Operating Rule Set 602.4

KAP-602.4.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/044 and that compliance is certified every quarter.

KAP-602.4.2 The Regional Credit Officer shall review alerts generated by the monitoring system within 13 working days of receipt and record the outcome in the Case Management system.

KAP-602.4.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-602.4.4 Cases involving PEP screening results with an exposure above Rs. 300 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.12.

KAP-602.4.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 25 days written notice.

KAP-602.4.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-602.4.7 The Operations Head shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-602.4.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-602.4.9 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-602.4.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure A-35.

Section 602.5 Customer Identification - Operating Rule Set 602.5

KAP-602.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 30 days written notice.

KAP-602.5.2 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-602.5.3 In case of a customer complaint, the Operations Head must escalate the matter to the Credit Committee within 2 working days, with the supporting documents listed in Annexure B-34.

KAP-602.5.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-602.5.5 Cases involving account-opening forms with an exposure above Rs. 452 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.3.

KAP-602.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-602.5.7 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-602.5.8 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

Section 602.6 Customer Identification - Operating Rule Set 602.6

KAP-602.6.1 The Compliance Officer shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-602.6.2 The Regional Credit Officer shall review account-opening forms within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-602.6.3 In case of a request for exception, the Audit Department must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure B-33.

KAP-602.6.4 The Branch Manager shall review PEP screening results within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-602.6.5 The Branch Manager shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/150 and that compliance is certified every quarter.

KAP-602.6.6 Cases involving PEP screening results with an exposure above Rs. 430 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.18.

KAP-602.6.7 The Compliance Officer shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-602.6.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-602.6.9 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure H-23.

KAP-602.6.10 Cases involving address proofs with an exposure above Rs. 256 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.4.

KAP-602.6.11 The Compliance Officer shall review correspondent-bank relationships within 26 working days of receipt and

record the outcome in the Document Management system.

Section 602.7 Customer Identification - Operating Rule Set 602.7

KAP-602.7.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-602.7.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-602.7.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-602.7.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-602.7.5 In case of a request for exception, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure C-22.

KAP-602.7.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-602.7.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/245 and that compliance is certified every quarter.

KAP-602.7.8 Cases involving identity documents with an exposure above Rs. 267 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.28.

KAP-602.7.9 Cases involving risk-rating files with an exposure above Rs. 434 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.6.

KAP-602.7.10 Cases involving cash transaction reports with an exposure above Rs. 385 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.22.

PART 51 - CHAPTER 603: CUSTOMER DUE DILIGENCE

Section 603.1 Customer Due Diligence - Operating Rule Set 603.1

KAP-603.1.1 The Compliance Officer shall review risk-rating files within 2 working days of receipt and record the outcome in the Case Management system.

KAP-603.1.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/183 and that compliance is certified every quarter.

KAP-603.1.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure E-25.

KAP-603.1.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-603.1.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-603.1.6 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/171 and that compliance is certified every quarter.

KAP-603.1.7 The Credit Committee shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/073 and that compliance is certified every quarter.

KAP-603.1.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/061 and that compliance is certified every quarter.

KAP-603.1.9 In case of a regulatory query, the Zonal Head must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure C-9.

KAP-603.1.10 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure B-38.

KAP-603.1.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

Section 603.2 Customer Due Diligence - Operating Rule Set 603.2

KAP-603.2.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-603.2.2 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/292 and that compliance is certified every quarter.

KAP-603.2.3 For partnership customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-603.2.4 Cases involving account-opening forms with an exposure above Rs. 23 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.22.

KAP-603.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-603.2.6 Cases involving correspondent-bank relationships with an exposure above Rs. 440 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.20.

KAP-603.2.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-603.2.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-603.2.9 Cases involving risk-rating files with an exposure above Rs. 286 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 6.3.

Section 603.3 Customer Due Diligence - Operating Rule Set 603.3

KAP-603.3.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-603.3.2 In case of a system outage, the Compliance Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure H-2.

KAP-603.3.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/239 and that compliance is certified every quarter.

KAP-603.3.4 The Operations Head shall review risk-rating files within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-603.3.5 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-603.3.6 The Operations Head shall review risk-rating files within 3 working days of receipt and record the outcome in the Case Management system.

KAP-603.3.7 Cases involving cash transaction reports with an exposure above Rs. 385 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.14.

KAP-603.3.8 Cases involving beneficial-owner declarations with an exposure above Rs. 427 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.16.

KAP-603.3.9 Cases involving cash transaction reports with an exposure above Rs. 305 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.7.

Section 603.4 Customer Due Diligence - Operating Rule Set 603.4

KAP-603.4.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-603.4.2 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/071 and that compliance is certified every quarter.

KAP-603.4.3 Cases involving correspondent-bank relationships with an exposure above Rs. 13 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.18.

KAP-603.4.4 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/249 and that compliance is certified every quarter.

KAP-603.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-603.4.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-603.4.7 The Operations Head shall review alerts generated by the monitoring system within 2 working days of receipt and record the outcome in the Customer Relationship system.

KAP-603.4.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure H-37.

KAP-603.4.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be

made available to the Board Audit Committee on request.

Section 603.5 Customer Due Diligence - Operating Rule Set 603.5

KAP-603.5.1 Cases involving risk-rating files with an exposure above Rs. 83 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.3.

KAP-603.5.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-603.5.3 For partnership customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-603.5.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Zonal Head within 27 working days, with the supporting documents listed in Annexure C-17.

KAP-603.5.5 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-603.5.6 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-603.5.7 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-603.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-603.5.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

PART 51 - CHAPTER 604: ENHANCED DUE DILIGENCE

Section 604.1 Enhanced Due Diligence - Operating Rule Set 604.1

KAP-604.1.1 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure H-7.

KAP-604.1.2 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-604.1.3 Cases involving video-KYC sessions with an exposure above Rs. 413 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.27.

KAP-604.1.4 The Credit Committee shall review account-opening forms within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-604.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-604.1.6 Cases involving address proofs with an exposure above Rs. 193 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.16.

KAP-604.1.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure F-7.

KAP-604.1.8 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/114 and that compliance is certified every quarter.

KAP-604.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-604.1.10 The Regional Credit Officer shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

Section 604.2 Enhanced Due Diligence - Operating Rule Set 604.2

KAP-604.2.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-604.2.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Branch Manager within 20 working days, with the supporting documents listed in Annexure H-33.

KAP-604.2.3 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-604.2.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-604.2.5 Cases involving risk-rating files with an exposure above Rs. 40 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.25.

KAP-604.2.6 The Audit Department shall review account-opening forms within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-604.2.7 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-604.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-604.2.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-604.2.10 Cases involving account-opening forms with an exposure above Rs. 317 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.20.

Section 604.3 Enhanced Due Diligence - Operating Rule Set 604.3

KAP-604.3.1 Cases involving cash transaction reports with an exposure above Rs. 459 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.2.

KAP-604.3.2 Cases involving PEP screening results with an exposure above Rs. 373 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.20.

KAP-604.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-604.3.4 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-604.3.5 Cases involving PEP screening results with an exposure above Rs. 328 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 9.2.

KAP-604.3.6 For trust customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-604.3.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-604.3.8 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-604.3.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-604.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 136 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.13.

KAP-604.3.11 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure D-29.

Section 604.4 Enhanced Due Diligence - Operating Rule Set 604.4

KAP-604.4.1 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-604.4.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-604.4.3 The Zonal Head shall review address proofs within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-604.4.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 6 working days, with the supporting documents listed in Annexure H-10.

KAP-604.4.5 Cases involving identity documents with an exposure above Rs. 227 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.22.

KAP-604.4.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Compliance Officer within 15 working days, with the supporting documents listed in Annexure E-8.

KAP-604.4.7 The Audit Department shall review risk-rating files within 14 working days of receipt and record the outcome in the Loan Origination system.

KAP-604.4.8 Cases involving PEP screening results with an exposure above Rs. 367 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 12.8.

KAP-604.4.9 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-604.4.10 The Operations Head shall review identity documents within 28 working days of receipt and record the outcome in the Case Management system.

Section 604.5 Enhanced Due Diligence - Operating Rule Set 604.5

KAP-604.5.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 19 working days, with the supporting documents listed in Annexure H-6.

KAP-604.5.2 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-604.5.3 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-604.5.4 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 24 days written notice.

KAP-604.5.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 5 working days, with the supporting documents listed in Annexure D-31.

KAP-604.5.6 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure G-20.

KAP-604.5.7 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-604.5.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 13 days written notice.

KAP-604.5.9 The Branch Manager shall review beneficial-owner declarations within 24 working days of receipt and record the outcome in the Loan Origination system.

Section 604.6 Enhanced Due Diligence - Operating Rule Set 604.6

KAP-604.6.1 Cases involving identity documents with an exposure above Rs. 58 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.28.

KAP-604.6.2 For trust customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-604.6.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-604.6.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-604.6.5 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-604.6.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/057 and that compliance is certified every quarter.

KAP-604.6.7 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-604.6.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/253 and that compliance is certified every quarter.

KAP-604.6.9 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-604.6.10 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-604.6.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-604.6.12 The Credit Committee shall review account-opening forms within 11 working days of receipt and record the outcome in the Loan Origination system.

PART 51 - CHAPTER 605: RISK CATEGORISATION

Section 605.1 Risk Categorisation - Operating Rule Set 605.1

KAP-605.1.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/277 and that compliance is certified every quarter.

KAP-605.1.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-605.1.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-605.1.4 The Risk Management Department shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-605.1.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-605.1.6 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-605.1.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure E-8.

KAP-605.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 366 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.12.

KAP-605.1.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

Section 605.2 Risk Categorisation - Operating Rule Set 605.2

KAP-605.2.1 Cases involving address proofs with an exposure above Rs. 111 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.1.

KAP-605.2.2 The Branch Manager shall review cash transaction reports within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-605.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-605.2.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-605.2.5 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 28 working days, with the supporting documents listed in Annexure A-19.

KAP-605.2.6 The Compliance Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/057 and that compliance is certified every quarter.

KAP-605.2.7 The Operations Head shall review cash transaction reports within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-605.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-605.2.9 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure A-11.

Section 605.3 Risk Categorisation - Operating Rule Set 605.3

KAP-605.3.1 Cases involving address proofs with an exposure above Rs. 14 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.5.

KAP-605.3.2 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Risk Management Department within 27 working days, with the supporting documents listed in Annexure D-38.

KAP-605.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-605.3.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-605.3.5 For partnership customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-605.3.6 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/007 and that compliance is certified every quarter.

KAP-605.3.7 The Audit Department shall review PEP screening results within 27 working days of receipt and record the

outcome in the Loan Origination system.

KAP-605.3.8 Cases involving cash transaction reports with an exposure above Rs. 210 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.14.

KAP-605.3.9 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure C-14.

KAP-605.3.10 Cases involving risk-rating files with an exposure above Rs. 410 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 15.23.

KAP-605.3.11 In case of a change in borrower profile, the Audit Department must escalate the matter to the Credit Committee within 10 working days, with the supporting documents listed in Annexure A-17.

Section 605.4 Risk Categorisation - Operating Rule Set 605.4

KAP-605.4.1 Cases involving PEP screening results with an exposure above Rs. 323 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.9.

KAP-605.4.2 The Branch Manager shall review address proofs within 23 working days of receipt and record the outcome in the Case Management system.

KAP-605.4.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-605.4.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 2 working days, with the supporting documents listed in Annexure B-33.

KAP-605.4.5 The Risk Management Department shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Customer Relationship system.

KAP-605.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-605.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-605.4.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure A-27.

KAP-605.4.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-605.4.10 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 23 days written notice.

Section 605.5 Risk Categorisation - Operating Rule Set 605.5

KAP-605.5.1 Cases involving cash transaction reports with an exposure above Rs. 20 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 2.14.

KAP-605.5.2 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/176 and that compliance is certified every quarter.

KAP-605.5.3 Cases involving address proofs with an exposure above Rs. 372 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.30.

KAP-605.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-605.5.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-605.5.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-605.5.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 27 working days, with the supporting documents listed in Annexure E-39.

KAP-605.5.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-605.5.9 The Branch Manager shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Core Banking system.

Section 605.6 Risk Categorisation - Operating Rule Set 605.6

KAP-605.6.1 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2020/283 and that compliance is certified every quarter.

KAP-605.6.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-605.6.3 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure A-25.

KAP-605.6.4 The Operations Head shall review account-opening forms within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-605.6.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-605.6.6 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure A-36.

KAP-605.6.7 Cases involving address proofs with an exposure above Rs. 399 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 17.5.

KAP-605.6.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

KAP-605.6.9 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-605.6.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-605.6.11 Cases involving address proofs with an exposure above Rs. 111 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.7.

KAP-605.6.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

PART 51 - CHAPTER 606: TRANSACTION MONITORING

Section 606.1 Transaction Monitoring - Operating Rule Set 606.1

KAP-606.1.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Credit Committee within 27 working days, with the supporting documents listed in Annexure E-10.

KAP-606.1.2 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-606.1.3 In case of a regulatory query, the Branch Manager must escalate the matter to the Branch Manager within 17 working days, with the supporting documents listed in Annexure A-19.

KAP-606.1.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-606.1.5 The Branch Manager shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Document Management system.

KAP-606.1.6 Cases involving account-opening forms with an exposure above Rs. 414 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.9.

KAP-606.1.7 The Risk Management Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-606.1.8 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/183 and that compliance is certified every quarter.

KAP-606.1.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-606.1.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Branch Manager within 6 working days, with the supporting documents listed in Annexure A-36.

Section 606.2 Transaction Monitoring - Operating Rule Set 606.2

KAP-606.2.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-606.2.2 For trust customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-606.2.3 Cases involving risk-rating files with an exposure above Rs. 213 lakh require prior written approval from the

Credit Committee; otherwise the case is an exception under Clause 10.18.

KAP-606.2.4 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure H-6.

KAP-606.2.5 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/239 and that compliance is certified every quarter.

KAP-606.2.6 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-606.2.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-606.2.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-606.2.9 Cases involving PEP screening results with an exposure above Rs. 351 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.1.

KAP-606.2.10 In case of a regulatory query, the Zonal Head must escalate the matter to the Audit Department within 25 working days, with the supporting documents listed in Annexure F-27.

KAP-606.2.11 The Zonal Head shall review cash transaction reports within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-606.2.12 For NRI customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

Section 606.3 Transaction Monitoring - Operating Rule Set 606.3

KAP-606.3.1 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-606.3.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-606.3.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-606.3.4 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/078 and that compliance is certified every quarter.

KAP-606.3.5 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/005 and that compliance is certified every quarter.

KAP-606.3.6 Cases involving correspondent-bank relationships with an exposure above Rs. 129 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.1.

KAP-606.3.7 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-606.3.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/182 and that compliance is certified every quarter.

KAP-606.3.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-606.3.10 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 18 days written notice.

KAP-606.3.11 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 11 working days, with the supporting documents listed in Annexure B-3.

Section 606.4 Transaction Monitoring - Operating Rule Set 606.4

KAP-606.4.1 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure A-22.

KAP-606.4.2 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-606.4.3 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-606.4.4 Cases involving video-KYC sessions with an exposure above Rs. 384 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 13.14.

KAP-606.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-606.4.6 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-606.4.7 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 27 days written notice.

KAP-606.4.8 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/065 and that compliance is certified every quarter.

KAP-606.4.9 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/188 and that compliance is certified every quarter.

PART 51 - CHAPTER 607: SUSPICIOUS TRANSACTION REPORTING

Section 607.1 Suspicious Transaction Reporting - Operating Rule Set 607.1

KAP-607.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-607.1.2 The Credit Committee shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Case Management system.

KAP-607.1.3 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-607.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-607.1.5 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/074 and that compliance is certified every quarter.

KAP-607.1.6 Cases involving cash transaction reports with an exposure above Rs. 461 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 1.18.

KAP-607.1.7 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 4 working days, with the supporting documents listed in Annexure H-14.

KAP-607.1.8 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/143 and that compliance is certified every quarter.

KAP-607.1.9 The Operations Head shall review cash transaction reports within 20 working days of receipt and record the outcome in the Document Management system.

Section 607.2 Suspicious Transaction Reporting - Operating Rule Set 607.2

KAP-607.2.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-607.2.2 Cases involving address proofs with an exposure above Rs. 106 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 15.2.

KAP-607.2.3 The Compliance Officer shall review alerts generated by the monitoring system within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-607.2.4 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure B-15.

KAP-607.2.5 The Risk Management Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Document Management system.

KAP-607.2.6 For sole-proprietor customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-607.2.7 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-607.2.8 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-607.2.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure D-29.

KAP-607.2.10 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/284 and that compliance is certified every quarter.

KAP-607.2.11 The Risk Management Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

Section 607.3 Suspicious Transaction Reporting - Operating Rule Set 607.3

KAP-607.3.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2019/206 and that compliance is certified every quarter.

KAP-607.3.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/254 and that compliance is certified every quarter.

KAP-607.3.3 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-607.3.4 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/053 and that compliance is certified every quarter.

KAP-607.3.5 In case of a regulatory query, the Audit Department must escalate the matter to the Regional Credit Officer within 13 working days, with the supporting documents listed in Annexure E-30.

KAP-607.3.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure F-26.

KAP-607.3.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 284 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.27.

KAP-607.3.8 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure D-21.

KAP-607.3.9 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/284 and that compliance is certified every quarter.

KAP-607.3.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/203 and that compliance is certified every quarter.

Section 607.4 Suspicious Transaction Reporting - Operating Rule Set 607.4

KAP-607.4.1 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-607.4.2 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/149 and that compliance is certified every quarter.

KAP-607.4.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/242 and that compliance is certified every quarter.

KAP-607.4.4 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 7th day of the following month.

KAP-607.4.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure C-37.

KAP-607.4.6 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/059 and that compliance is certified every quarter.

KAP-607.4.7 In case of a system outage, the Branch Manager must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure D-34.

KAP-607.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-607.4.9 The Zonal Head shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-607.4.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-607.4.11 Cases involving identity documents with an exposure above Rs. 45 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.23.

Section 607.5 Suspicious Transaction Reporting - Operating Rule Set 607.5

KAP-607.5.1 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-607.5.2 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-607.5.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-607.5.4 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/195 and that compliance is certified every quarter.

KAP-607.5.5 Cases involving video-KYC sessions with an exposure above Rs. 323 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.14.

KAP-607.5.6 For trust customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-607.5.7 In case of a change in borrower profile, the Audit Department must escalate the matter to the Risk Management Department within 10 working days, with the supporting documents listed in Annexure A-2.

KAP-607.5.8 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-607.5.9 Cases involving PEP screening results with an exposure above Rs. 283 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.30.

KAP-607.5.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

PART 51 - CHAPTER 608: POLITICALLY EXPOSED PERSONS

Section 608.1 Politically Exposed Persons - Operating Rule Set 608.1

KAP-608.1.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

KAP-608.1.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-608.1.3 For trust customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-608.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-608.1.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-608.1.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-608.1.7 The Operations Head shall review PEP screening results within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-608.1.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-608.1.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

Section 608.2 Politically Exposed Persons - Operating Rule Set 608.2

KAP-608.2.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/172 and that compliance is certified every quarter.

KAP-608.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-608.2.3 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 27 days written notice.

KAP-608.2.4 The Risk Management Department shall review identity documents within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-608.2.5 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/110 and that compliance is certified every quarter.

KAP-608.2.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-608.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-608.2.8 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-608.2.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-608.2.10 Cases involving address proofs with an exposure above Rs. 323 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.3.

KAP-608.2.11 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure D-24.

Section 608.3 Politically Exposed Persons - Operating Rule Set 608.3

KAP-608.3.1 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-608.3.2 The Credit Committee shall review cash transaction reports within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-608.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-608.3.4 The Zonal Head shall review risk-rating files within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-608.3.5 Cases involving beneficial-owner declarations with an exposure above Rs. 357 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.16.

KAP-608.3.6 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-608.3.7 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-608.3.8 The Audit Department shall review cash transaction reports within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-608.3.9 Cases involving PEP screening results with an exposure above Rs. 447 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 7.2.

Section 608.4 Politically Exposed Persons - Operating Rule Set 608.4

KAP-608.4.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-608.4.2 The Risk Management Department shall review PEP screening results within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-608.4.3 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-608.4.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-608.4.5 The Credit Committee shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-608.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-608.4.7 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure D-36.

KAP-608.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-608.4.9 The Audit Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Customer Relationship system.

Section 608.5 Politically Exposed Persons - Operating Rule Set 608.5

KAP-608.5.1 The Audit Department shall review identity documents within 28 working days of receipt and record the outcome in the Case Management system.

KAP-608.5.2 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-608.5.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-608.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-608.5.5 The Zonal Head shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-608.5.6 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/178 and that compliance is certified every quarter.

KAP-608.5.7 The Zonal Head shall review address proofs within 22 working days of receipt and record the outcome in the Customer Relationship system.

KAP-608.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 445 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.26.

KAP-608.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 176 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 15.22.

Section 608.6 Politically Exposed Persons - Operating Rule Set 608.6

KAP-608.6.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-608.6.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-608.6.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-608.6.4 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/217 and that compliance is certified every quarter.

KAP-608.6.5 The Credit Committee shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-608.6.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 11 working days, with the supporting documents listed in Annexure D-29.

KAP-608.6.7 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure B-20.

KAP-608.6.8 The Zonal Head shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Document Management system.

PART 51 - CHAPTER 609: BENEFICIAL OWNERSHIP

Section 609.1 Beneficial Ownership - Operating Rule Set 609.1

KAP-609.1.1 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

KAP-609.1.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 11th day of the following month.

KAP-609.1.3 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/168 and that compliance is certified every quarter.

KAP-609.1.4 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/168 and that compliance is certified every quarter.

KAP-609.1.5 Cases involving PEP screening results with an exposure above Rs. 109 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.14.

KAP-609.1.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-609.1.7 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-609.1.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-609.1.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-609.1.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-609.1.11 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/069 and that compliance is certified every quarter.

Section 609.2 Beneficial Ownership - Operating Rule Set 609.2

KAP-609.2.1 The Credit Committee shall review video-KYC sessions within 5 working days of receipt and record the outcome in the Core Banking system.

KAP-609.2.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-609.2.3 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/040 and that compliance is certified every quarter.

KAP-609.2.4 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-609.2.5 In case of a system outage, the Operations Head must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure G-26.

KAP-609.2.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-609.2.7 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-609.2.8 The Audit Department shall review risk-rating files within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-609.2.9 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/231 and that compliance is certified every quarter.

Section 609.3 Beneficial Ownership - Operating Rule Set 609.3

KAP-609.3.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-609.3.2 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure F-5.

KAP-609.3.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-609.3.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure D-12.

KAP-609.3.5 Cases involving cash transaction reports with an exposure above Rs. 74 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.24.

KAP-609.3.6 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/172 and that compliance is certified every quarter.

KAP-609.3.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-37.

KAP-609.3.8 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-609.3.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-609.3.10 For sole-proprietor customers, video-KYC sessions shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-609.3.11 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 609.4 Beneficial Ownership - Operating Rule Set 609.4

KAP-609.4.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-609.4.2 The Credit Committee shall review PEP screening results within 17 working days of receipt and record the outcome in the Core Banking system.

KAP-609.4.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-609.4.4 The Branch Manager shall review cash transaction reports within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-609.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-609.4.6 Cases involving address proofs with an exposure above Rs. 81 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.4.

KAP-609.4.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-609.4.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure C-6.

PART 51 - CHAPTER 610: RECORD KEEPING

Section 610.1 Record Keeping - Operating Rule Set 610.1

KAP-610.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-610.1.2 The Zonal Head shall review PEP screening results within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-610.1.3 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-610.1.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-610.1.5 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-610.1.6 Cases involving PEP screening results with an exposure above Rs. 389 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.12.

KAP-610.1.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-610.1.8 The Zonal Head shall review PEP screening results within 5 working days of receipt and record the outcome in the Case Management system.

KAP-610.1.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-610.1.10 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/036 and that compliance is certified every quarter.

Section 610.2 Record Keeping - Operating Rule Set 610.2

KAP-610.2.1 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-610.2.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-610.2.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-610.2.4 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-610.2.5 Cases involving alerts generated by the monitoring system with an exposure above Rs. 318 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.10.

KAP-610.2.6 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-610.2.7 The Operations Head shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-610.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 610.3 Record Keeping - Operating Rule Set 610.3

KAP-610.3.1 For NRI customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-610.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-610.3.3 For trust customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-610.3.4 The Regional Credit Officer shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-610.3.5 Cases involving risk-rating files with an exposure above Rs. 298 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.4.

KAP-610.3.6 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-610.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 264 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.15.

KAP-610.3.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-610.3.9 Cases involving identity documents with an exposure above Rs. 351 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.26.

KAP-610.3.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

Section 610.4 Record Keeping - Operating Rule Set 610.4

KAP-610.4.1 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/110 and that compliance is certified every quarter.

KAP-610.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-610.4.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-610.4.4 Cases involving address proofs with an exposure above Rs. 397 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.13.

KAP-610.4.5 In case of a request for exception, the Credit Committee must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure H-3.

KAP-610.4.6 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-610.4.7 Cases involving video-KYC sessions with an exposure above Rs. 458 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.14.

KAP-610.4.8 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Credit Committee within 22 working days, with the supporting documents listed in Annexure B-40.

KAP-610.4.9 Cases involving PEP screening results with an exposure above Rs. 68 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.29.

KAP-610.4.10 Cases involving PEP screening results with an exposure above Rs. 469 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.2.

Section 610.5 Record Keeping - Operating Rule Set 610.5

KAP-610.5.1 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 3 working days, with the supporting documents listed in Annexure G-20.

KAP-610.5.2 Cases involving cash transaction reports with an exposure above Rs. 441 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.22.

KAP-610.5.3 Cases involving PEP screening results with an exposure above Rs. 137 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.25.

KAP-610.5.4 Cases involving address proofs with an exposure above Rs. 354 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.12.

KAP-610.5.5 The Audit Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/226 and that compliance is certified every quarter.

KAP-610.5.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-610.5.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-610.5.8 For individual customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-610.5.9 In case of a customer complaint, the Credit Committee must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure F-37.

Section 610.6 Record Keeping - Operating Rule Set 610.6

KAP-610.6.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-610.6.2 The Risk Management Department shall review video-KYC sessions within 29 working days of receipt and record the outcome in the Risk Engine system.

KAP-610.6.3 For individual customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-610.6.4 For sole-proprietor customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-610.6.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-610.6.6 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-610.6.7 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure B-40.

KAP-610.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-610.6.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-610.6.10 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/070 and that compliance is certified every quarter.

PART 51 - CHAPTER 611: STAFF TRAINING

Section 611.1 Staff Training - Operating Rule Set 611.1

KAP-611.1.1 For private-limited-company customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-611.1.2 Cases involving identity documents with an exposure above Rs. 168 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.27.

KAP-611.1.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 21 days written notice.

KAP-611.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-611.1.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-611.1.6 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-611.1.7 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/010 and that compliance is certified every quarter.

KAP-611.1.8 The Risk Management Department shall review PEP screening results within 6 working days of receipt and record the outcome in the Loan Origination system.

KAP-611.1.9 The Zonal Head shall review address proofs within 9 working days of receipt and record the outcome in the Case Management system.

Section 611.2 Staff Training - Operating Rule Set 611.2

KAP-611.2.1 In case of a system outage, the Operations Head must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure B-27.

KAP-611.2.2 Cases involving account-opening forms with an exposure above Rs. 240 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.24.

KAP-611.2.3 For individual customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-611.2.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-611.2.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-611.2.6 In case of a regulatory query, the Operations Head must escalate the matter to the Risk Management Department within 8 working days, with the supporting documents listed in Annexure C-7.

KAP-611.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-611.2.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-611.2.9 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-611.2.10 Cases involving video-KYC sessions with an exposure above Rs. 226 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.10.

Section 611.3 Staff Training - Operating Rule Set 611.3

KAP-611.3.1 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-611.3.2 The Risk Management Department shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-611.3.3 Cases involving PEP screening results with an exposure above Rs. 105 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.29.

KAP-611.3.4 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/139 and that compliance is certified every quarter.

KAP-611.3.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-611.3.6 The Risk Management Department shall review video-KYC sessions within 19 working days of receipt and record the outcome in the Case Management system.

KAP-611.3.7 The Credit Committee shall review correspondent-bank relationships within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-611.3.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-611.3.9 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

Section 611.4 Staff Training - Operating Rule Set 611.4

KAP-611.4.1 The Zonal Head shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Core Banking system.

KAP-611.4.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-611.4.3 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/187 and that compliance is certified every quarter.

KAP-611.4.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-611.4.5 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-611.4.6 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-611.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 49 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.16.

KAP-611.4.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 18 days written notice.

KAP-611.4.9 Cases involving video-KYC sessions with an exposure above Rs. 228 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.18.

KAP-611.4.10 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/120 and that compliance is certified every quarter.

Section 611.5 Staff Training - Operating Rule Set 611.5

KAP-611.5.1 For sole-proprietor customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-611.5.2 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-611.5.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/017 and that compliance is certified every quarter.

KAP-611.5.4 Cases involving correspondent-bank relationships with an exposure above Rs. 496 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.11.

KAP-611.5.5 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-611.5.6 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure D-21.

KAP-611.5.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-611.5.8 Cases involving risk-rating files with an exposure above Rs. 392 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.23.

KAP-611.5.9 The Operations Head shall review address proofs within 23 working days of receipt and record the outcome in the Risk Engine system.

Section 611.6 Staff Training - Operating Rule Set 611.6

KAP-611.6.1 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure A-25.

KAP-611.6.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure G-24.

KAP-611.6.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-611.6.4 Cases involving identity documents with an exposure above Rs. 447 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.24.

KAP-611.6.5 Cases involving account-opening forms with an exposure above Rs. 342 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.5.

KAP-611.6.6 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-611.6.7 For sole-proprietor customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-611.6.8 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-611.6.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-611.6.10 Cases involving beneficial-owner declarations with an exposure above Rs. 88 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.6.

KAP-611.6.11 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after

giving the customer 22 days written notice.

KAP-611.6.12 In case of a system outage, the Regional Credit Officer must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure C-15.

KAP-611.6.13 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/209 and that compliance is certified every quarter.

PART 51 - CHAPTER 612: INDEPENDENT AUDIT

Section 612.1 Independent Audit - Operating Rule Set 612.1

KAP-612.1.1 In case of a request for exception, the Audit Department must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure H-12.

KAP-612.1.2 For individual customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-612.1.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-612.1.4 The Audit Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

KAP-612.1.5 The Branch Manager shall review correspondent-bank relationships within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-612.1.6 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-612.1.7 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-612.1.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-612.1.9 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/021 and that compliance is certified every quarter.

KAP-612.1.10 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure A-5.

KAP-612.1.11 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

Section 612.2 Independent Audit - Operating Rule Set 612.2

KAP-612.2.1 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/064 and that compliance is certified every quarter.

KAP-612.2.2 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-612.2.3 The Audit Department shall review alerts generated by the monitoring system within 11 working days of receipt and record the outcome in the Loan Origination system.

KAP-612.2.4 For NRI customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-612.2.5 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-612.2.6 For sole-proprietor customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-612.2.7 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-612.2.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/158 and that compliance is certified every quarter.

KAP-612.2.9 Cases involving PEP screening results with an exposure above Rs. 11 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.8.

Section 612.3 Independent Audit - Operating Rule Set 612.3

KAP-612.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-612.3.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-612.3.3 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/290 and that compliance is certified every quarter.

KAP-612.3.4 The Credit Committee shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-612.3.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-612.3.6 Cases involving video-KYC sessions with an exposure above Rs. 258 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.3.

KAP-612.3.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-612.3.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-612.3.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/006 and that compliance is certified every quarter.

KAP-612.3.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

Section 612.4 Independent Audit - Operating Rule Set 612.4

KAP-612.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-612.4.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-612.4.3 Cases involving address proofs with an exposure above Rs. 382 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.21.

KAP-612.4.4 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/184 and that compliance is certified every quarter.

KAP-612.4.5 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure E-22.

KAP-612.4.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-612.4.7 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-612.4.8 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/040 and that compliance is certified every quarter.

KAP-612.4.9 Cases involving identity documents with an exposure above Rs. 461 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 7.11.

KAP-612.4.10 Cases involving account-opening forms with an exposure above Rs. 179 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 17.28.

KAP-612.4.11 Cases involving correspondent-bank relationships with an exposure above Rs. 173 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 14.11.

Section 612.5 Independent Audit - Operating Rule Set 612.5

KAP-612.5.1 Cases involving address proofs with an exposure above Rs. 257 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.30.

KAP-612.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-612.5.3 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/068 and that compliance is certified every quarter.

KAP-612.5.4 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/180 and that compliance is certified every quarter.

KAP-612.5.5 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in

Circular KAP/2022/238 and that compliance is certified every quarter.

KAP-612.5.6 Cases involving PEP screening results with an exposure above Rs. 434 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.3.

KAP-612.5.7 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-612.5.8 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Regional Credit Officer within 21 working days, with the supporting documents listed in Annexure C-28.

Section 612.6 Independent Audit - Operating Rule Set 612.6

KAP-612.6.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-612.6.2 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/063 and that compliance is certified every quarter.

KAP-612.6.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-612.6.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-612.6.5 Cases involving PEP screening results with an exposure above Rs. 465 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.3.

KAP-612.6.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-612.6.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-612.6.8 For private-limited-company customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 612.7 Independent Audit - Operating Rule Set 612.7

KAP-612.7.1 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/076 and that compliance is certified every quarter.

KAP-612.7.2 The Zonal Head shall review alerts generated by the monitoring system within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-612.7.3 Cases involving risk-rating files with an exposure above Rs. 27 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.5.

KAP-612.7.4 The Operations Head shall review correspondent-bank relationships within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-612.7.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-612.7.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-612.7.7 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/077 and that compliance is certified every quarter.

KAP-612.7.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

Section 612.8 Independent Audit - Operating Rule Set 612.8

KAP-612.8.1 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-612.8.2 Cases involving beneficial-owner declarations with an exposure above Rs. 254 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.3.

KAP-612.8.3 For partnership customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-612.8.4 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/087 and that compliance is certified every quarter.

KAP-612.8.5 For individual customers, address proofs shall be assessed using the rule-based method, with a tolerance of

3% as approved by the Board.

KAP-612.8.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 30 days written notice.

KAP-612.8.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/219 and that compliance is certified every quarter.

KAP-612.8.8 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 16 days written notice.

KAP-612.8.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-612.8.10 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/281 and that compliance is certified every quarter.

PART 52 - CHAPTER 613: CUSTOMER ACCEPTANCE

Section 613.1 Customer Acceptance - Operating Rule Set 613.1

KAP-613.1.1 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/243 and that compliance is certified every quarter.

KAP-613.1.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/106 and that compliance is certified every quarter.

KAP-613.1.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-613.1.4 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/282 and that compliance is certified every quarter.

KAP-613.1.5 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-613.1.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-613.1.7 Cases involving correspondent-bank relationships with an exposure above Rs. 430 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.7.

KAP-613.1.8 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-613.1.9 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-613.1.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-613.1.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-613.1.12 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-613.1.13 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

Section 613.2 Customer Acceptance - Operating Rule Set 613.2

KAP-613.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-613.2.2 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-613.2.3 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/252 and that compliance is certified every quarter.

KAP-613.2.4 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure E-25.

KAP-613.2.5 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure B-19.

KAP-613.2.6 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a

tolerance of 7% as approved by the Board.

KAP-613.2.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-613.2.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure A-11.

KAP-613.2.9 Cases involving cash transaction reports with an exposure above Rs. 242 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 15.17.

KAP-613.2.10 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/084 and that compliance is certified every quarter.

KAP-613.2.11 The Audit Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-613.2.12 Cases involving correspondent-bank relationships with an exposure above Rs. 288 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.27.

Section 613.3 Customer Acceptance - Operating Rule Set 613.3

KAP-613.3.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-613.3.2 The Operations Head shall review address proofs within 23 working days of receipt and record the outcome in the Customer Relationship system.

KAP-613.3.3 Cases involving identity documents with an exposure above Rs. 163 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.6.

KAP-613.3.4 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-613.3.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-613.3.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure E-31.

KAP-613.3.7 The Risk Management Department shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-613.3.8 For trust customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-613.3.9 Cases involving video-KYC sessions with an exposure above Rs. 39 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.18.

KAP-613.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 323 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.21.

KAP-613.3.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

Section 613.4 Customer Acceptance - Operating Rule Set 613.4

KAP-613.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-613.4.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-613.4.3 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 8 working days, with the supporting documents listed in Annexure D-26.

KAP-613.4.4 In case of a customer complaint, the Risk Management Department must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure A-38.

KAP-613.4.5 The Audit Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-613.4.6 Cases involving account-opening forms with an exposure above Rs. 445 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.9.

KAP-613.4.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-613.4.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

Section 613.5 Customer Acceptance - Operating Rule Set 613.5

KAP-613.5.1 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-613.5.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-613.5.3 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-613.5.4 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure G-22.

KAP-613.5.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 19 working days, with the supporting documents listed in Annexure A-38.

KAP-613.5.6 The Audit Department shall review identity documents within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-613.5.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-613.5.8 The Audit Department shall review video-KYC sessions within 30 working days of receipt and record the outcome in the Loan Origination system.

KAP-613.5.9 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Regional Credit Officer within 28 working days, with the supporting documents listed in Annexure C-7.

KAP-613.5.10 Cases involving identity documents with an exposure above Rs. 348 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.30.

Section 613.6 Customer Acceptance - Operating Rule Set 613.6

KAP-613.6.1 The Risk Management Department shall review risk-rating files within 14 working days of receipt and record the outcome in the Customer Relationship system.

KAP-613.6.2 The Branch Manager shall review beneficial-owner declarations within 9 working days of receipt and record the outcome in the Case Management system.

KAP-613.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-613.6.4 The Audit Department shall review video-KYC sessions within 13 working days of receipt and record the outcome in the Document Management system.

KAP-613.6.5 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-613.6.6 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-613.6.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-613.6.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-613.6.9 In case of a regulatory query, the Credit Committee must escalate the matter to the Regional Credit Officer within 27 working days, with the supporting documents listed in Annexure D-11.

PART 52 - CHAPTER 614: CUSTOMER IDENTIFICATION

Section 614.1 Customer Identification - Operating Rule Set 614.1

KAP-614.1.1 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/183 and that compliance is certified every quarter.

KAP-614.1.2 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-614.1.3 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-614.1.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after

giving the customer 14 days written notice.

KAP-614.1.5 Cases involving cash transaction reports with an exposure above Rs. 289 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.29.

KAP-614.1.6 The Regional Credit Officer shall review identity documents within 2 working days of receipt and record the outcome in the Case Management system.

KAP-614.1.7 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-614.1.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-614.1.9 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 25 working days, with the supporting documents listed in Annexure E-10.

KAP-614.1.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 45 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.26.

KAP-614.1.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-614.1.12 Cases involving account-opening forms with an exposure above Rs. 232 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.11.

Section 614.2 Customer Identification - Operating Rule Set 614.2

KAP-614.2.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-614.2.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/200 and that compliance is certified every quarter.

KAP-614.2.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-614.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-614.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 21 days written notice.

KAP-614.2.6 For trust customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-614.2.7 Cases involving PEP screening results with an exposure above Rs. 242 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.20.

KAP-614.2.8 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-614.2.9 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-614.2.10 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure A-31.

Section 614.3 Customer Identification - Operating Rule Set 614.3

KAP-614.3.1 Cases involving beneficial-owner declarations with an exposure above Rs. 193 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 20.16.

KAP-614.3.2 Cases involving alerts generated by the monitoring system with an exposure above Rs. 297 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 16.21.

KAP-614.3.3 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 4 working days, with the supporting documents listed in Annexure F-23.

KAP-614.3.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-614.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 11th day of the following month.

KAP-614.3.6 The Compliance Officer shall review cash transaction reports within 17 working days of receipt and record the outcome in the Risk Engine system.

KAP-614.3.7 The Operations Head shall review account-opening forms within 24 working days of receipt and record the outcome in the Loan Origination system.

KAP-614.3.8 Cases involving identity documents with an exposure above Rs. 226 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.4.

KAP-614.3.9 The Compliance Officer shall review cash transaction reports within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-614.3.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 614.4 Customer Identification - Operating Rule Set 614.4

KAP-614.4.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-614.4.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-614.4.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-614.4.4 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/025 and that compliance is certified every quarter.

KAP-614.4.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-614.4.6 For private-limited-company customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-614.4.7 In case of a regulatory query, the Risk Management Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-32.

KAP-614.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-614.4.9 The Audit Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-614.4.10 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/269 and that compliance is certified every quarter.

KAP-614.4.11 For partnership customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-614.4.12 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

Section 614.5 Customer Identification - Operating Rule Set 614.5

KAP-614.5.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-614.5.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-614.5.3 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-614.5.4 The Branch Manager shall review correspondent-bank relationships within 24 working days of receipt and record the outcome in the Core Banking system.

KAP-614.5.5 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 8 days written notice.

KAP-614.5.6 For NRI customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-614.5.7 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-614.5.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

PART 52 - CHAPTER 615: CUSTOMER DUE DILIGENCE

Section 615.1 Customer Due Diligence - Operating Rule Set 615.1

KAP-615.1.1 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/100 and that compliance is certified every quarter.

KAP-615.1.2 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/278 and that compliance is certified every quarter.

KAP-615.1.3 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-615.1.4 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-615.1.5 Cases involving identity documents with an exposure above Rs. 278 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.6.

KAP-615.1.6 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Operations Head within 14 working days, with the supporting documents listed in Annexure B-39.

KAP-615.1.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-615.1.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-615.1.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure H-33.

KAP-615.1.10 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 19 days written notice.

Section 615.2 Customer Due Diligence - Operating Rule Set 615.2

KAP-615.2.1 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 22 days written notice.

KAP-615.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-615.2.3 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-33.

KAP-615.2.4 The Audit Department shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Loan Origination system.

KAP-615.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-615.2.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-615.2.7 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure B-32.

KAP-615.2.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-615.2.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-615.2.10 The Regional Credit Officer shall review account-opening forms within 12 working days of receipt and record the outcome in the Loan Origination system.

Section 615.3 Customer Due Diligence - Operating Rule Set 615.3

KAP-615.3.1 In case of a system outage, the Operations Head must escalate the matter to the Operations Head within 23 working days, with the supporting documents listed in Annexure A-35.

KAP-615.3.2 Cases involving video-KYC sessions with an exposure above Rs. 382 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 4.11.

KAP-615.3.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-615.3.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-615.3.5 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure F-26.

KAP-615.3.6 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/278 and that compliance is certified every quarter.

KAP-615.3.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-615.3.8 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure B-35.

Section 615.4 Customer Due Diligence - Operating Rule Set 615.4

KAP-615.4.1 Cases involving risk-rating files with an exposure above Rs. 456 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 18.1.

KAP-615.4.2 The Operations Head shall review cash transaction reports within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-615.4.3 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/191 and that compliance is certified every quarter.

KAP-615.4.4 Cases involving address proofs with an exposure above Rs. 467 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 11.22.

KAP-615.4.5 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-615.4.6 Cases involving identity documents with an exposure above Rs. 231 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.29.

KAP-615.4.7 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/095 and that compliance is certified every quarter.

KAP-615.4.8 The Zonal Head shall review cash transaction reports within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-615.4.9 For trust customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-615.4.10 In case of a request for exception, the Zonal Head must escalate the matter to the Audit Department within 24 working days, with the supporting documents listed in Annexure G-14.

KAP-615.4.11 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure E-40.

Section 615.5 Customer Due Diligence - Operating Rule Set 615.5

KAP-615.5.1 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/178 and that compliance is certified every quarter.

KAP-615.5.2 Cases involving cash transaction reports with an exposure above Rs. 411 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.27.

KAP-615.5.3 The Audit Department shall review risk-rating files within 15 working days of receipt and record the outcome in the Case Management system.

KAP-615.5.4 The Operations Head shall review PEP screening results within 11 working days of receipt and record the outcome in the Document Management system.

KAP-615.5.5 For partnership customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-615.5.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 21 working days, with the supporting documents listed in Annexure A-16.

KAP-615.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-615.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-615.5.9 The Regional Credit Officer shall review account-opening forms within 6 working days of receipt and record the outcome in the Risk Engine system.

PART 52 - CHAPTER 616: ENHANCED DUE DILIGENCE

Section 616.1 Enhanced Due Diligence - Operating Rule Set 616.1

KAP-616.1.1 Cases involving video-KYC sessions with an exposure above Rs. 446 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.24.

KAP-616.1.2 The Compliance Officer shall review risk-rating files within 4 working days of receipt and record the outcome in the Loan Origination system.

KAP-616.1.3 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 26 days written notice.

KAP-616.1.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-616.1.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-616.1.6 The Regional Credit Officer shall review identity documents within 27 working days of receipt and record the outcome in the Case Management system.

KAP-616.1.7 Cases involving risk-rating files with an exposure above Rs. 74 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.18.

KAP-616.1.8 The Audit Department shall review address proofs within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-616.1.9 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 17 days written notice.

KAP-616.1.10 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-616.1.11 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Zonal Head within 13 working days, with the supporting documents listed in Annexure D-16.

KAP-616.1.12 In case of a system outage, the Branch Manager must escalate the matter to the Compliance Officer within 18 working days, with the supporting documents listed in Annexure D-17.

KAP-616.1.13 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

Section 616.2 Enhanced Due Diligence - Operating Rule Set 616.2

KAP-616.2.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-616.2.2 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-616.2.3 Cases involving video-KYC sessions with an exposure above Rs. 221 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.9.

KAP-616.2.4 For NRI customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-616.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-616.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-616.2.7 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/258 and that compliance is certified every quarter.

KAP-616.2.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

KAP-616.2.9 Cases involving beneficial-owner declarations with an exposure above Rs. 301 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.10.

KAP-616.2.10 The Branch Manager shall review identity documents within 20 working days of receipt and record the outcome in the Document Management system.

KAP-616.2.11 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure E-11.

Section 616.3 Enhanced Due Diligence - Operating Rule Set 616.3

KAP-616.3.1 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/099 and that compliance is certified every quarter.

KAP-616.3.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-616.3.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-616.3.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 499 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 13.26.

KAP-616.3.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-616.3.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-616.3.7 Cases involving correspondent-bank relationships with an exposure above Rs. 352 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.11.

KAP-616.3.8 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 616.4 Enhanced Due Diligence - Operating Rule Set 616.4

KAP-616.4.1 Cases involving PEP screening results with an exposure above Rs. 472 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.21.

KAP-616.4.2 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/298 and that compliance is certified every quarter.

KAP-616.4.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-616.4.4 In case of a regulatory query, the Operations Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure F-12.

KAP-616.4.5 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-616.4.6 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-616.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-616.4.8 For NRI customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-616.4.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-616.4.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 30 days written notice.

Section 616.5 Enhanced Due Diligence - Operating Rule Set 616.5

KAP-616.5.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-616.5.2 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/221 and that compliance is certified every quarter.

KAP-616.5.3 Cases involving risk-rating files with an exposure above Rs. 44 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 17.21.

KAP-616.5.4 Cases involving beneficial-owner declarations with an exposure above Rs. 25 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.25.

KAP-616.5.5 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

KAP-616.5.6 The Credit Committee shall review cash transaction reports within 22 working days of receipt and record the outcome in the Document Management system.

KAP-616.5.7 Cases involving beneficial-owner declarations with an exposure above Rs. 393 lakh require prior written

approval from the Branch Manager; otherwise the case is an exception under Clause 3.26.

KAP-616.5.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-616.5.9 Cases involving account-opening forms with an exposure above Rs. 445 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.15.

Section 616.6 Enhanced Due Diligence - Operating Rule Set 616.6

KAP-616.6.1 Cases involving risk-rating files with an exposure above Rs. 235 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.21.

KAP-616.6.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-616.6.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-616.6.4 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-616.6.5 For NRI customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-616.6.6 Cases involving beneficial-owner declarations with an exposure above Rs. 316 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 3.25.

KAP-616.6.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-616.6.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-616.6.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Compliance Officer within 26 working days, with the supporting documents listed in Annexure C-21.

KAP-616.6.10 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 616.7 Enhanced Due Diligence - Operating Rule Set 616.7

KAP-616.7.1 The Branch Manager shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Document Management system.

KAP-616.7.2 Cases involving risk-rating files with an exposure above Rs. 167 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 12.29.

KAP-616.7.3 The Regional Credit Officer shall review identity documents within 29 working days of receipt and record the outcome in the Case Management system.

KAP-616.7.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-616.7.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-616.7.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-616.7.7 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-616.7.8 The Regional Credit Officer shall review address proofs within 29 working days of receipt and record the outcome in the Case Management system.

KAP-616.7.9 For NRI customers, identity documents shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

PART 52 - CHAPTER 617: RISK CATEGORISATION

Section 617.1 Risk Categorisation - Operating Rule Set 617.1

KAP-617.1.1 The Risk Management Department shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Customer Relationship system.

KAP-617.1.2 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-617.1.3 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/152 and that compliance is certified every quarter.

KAP-617.1.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-617.1.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-617.1.6 Cases involving risk-rating files with an exposure above Rs. 163 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.21.

KAP-617.1.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-617.1.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-617.1.9 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/266 and that compliance is certified every quarter.

Section 617.2 Risk Categorisation - Operating Rule Set 617.2

KAP-617.2.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/248 and that compliance is certified every quarter.

KAP-617.2.2 In case of a customer complaint, the Risk Management Department must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure H-35.

KAP-617.2.3 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-617.2.4 The Audit Department shall review address proofs within 25 working days of receipt and record the outcome in the Case Management system.

KAP-617.2.5 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure B-21.

KAP-617.2.6 Cases involving identity documents with an exposure above Rs. 73 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.13.

KAP-617.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-617.2.8 The Audit Department shall review cash transaction reports within 19 working days of receipt and record the outcome in the Document Management system.

KAP-617.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-617.2.10 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-617.2.11 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

Section 617.3 Risk Categorisation - Operating Rule Set 617.3

KAP-617.3.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-617.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-617.3.3 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/166 and that compliance is certified every quarter.

KAP-617.3.4 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/173 and that compliance is certified every quarter.

KAP-617.3.5 The Branch Manager shall review risk-rating files within 3 working days of receipt and record the outcome in the Document Management system.

KAP-617.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-617.3.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made

available to the regulator on request.

KAP-617.3.8 Cases involving risk-rating files with an exposure above Rs. 114 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.13.

KAP-617.3.9 The Audit Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/120 and that compliance is certified every quarter.

KAP-617.3.10 The Operations Head shall review beneficial-owner declarations within 28 working days of receipt and record the outcome in the Case Management system.

KAP-617.3.11 The Zonal Head shall review PEP screening results within 23 working days of receipt and record the outcome in the Risk Engine system.

Section 617.4 Risk Categorisation - Operating Rule Set 617.4

KAP-617.4.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 334 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.15.

KAP-617.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-617.4.3 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Branch Manager within 3 working days, with the supporting documents listed in Annexure A-14.

KAP-617.4.4 Cases involving risk-rating files with an exposure above Rs. 398 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 12.17.

KAP-617.4.5 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-617.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-617.4.7 For NRI customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-617.4.8 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 21 working days, with the supporting documents listed in Annexure A-2.

KAP-617.4.9 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 2 days written notice.

KAP-617.4.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

Section 617.5 Risk Categorisation - Operating Rule Set 617.5

KAP-617.5.1 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 9 working days, with the supporting documents listed in Annexure A-38.

KAP-617.5.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-617.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-617.5.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-617.5.5 Cases involving cash transaction reports with an exposure above Rs. 80 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.27.

KAP-617.5.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-617.5.7 For partnership customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-617.5.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-617.5.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-617.5.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-617.5.11 In case of a customer complaint, the Risk Management Department must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure D-20.

Section 617.6 Risk Categorisation - Operating Rule Set 617.6

KAP-617.6.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-617.6.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-617.6.3 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/001 and that compliance is certified every quarter.

KAP-617.6.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 221 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.30.

KAP-617.6.5 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/137 and that compliance is certified every quarter.

KAP-617.6.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

KAP-617.6.7 For private-limited-company customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-617.6.8 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-617.6.9 Cases involving beneficial-owner declarations with an exposure above Rs. 14 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 16.14.

KAP-617.6.10 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-617.6.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-617.6.12 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

PART 52 - CHAPTER 618: TRANSACTION MONITORING

Section 618.1 Transaction Monitoring - Operating Rule Set 618.1

KAP-618.1.1 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/291 and that compliance is certified every quarter.

KAP-618.1.2 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/104 and that compliance is certified every quarter.

KAP-618.1.3 In case of a system outage, the Branch Manager must escalate the matter to the Zonal Head within 18 working days, with the supporting documents listed in Annexure A-39.

KAP-618.1.4 Cases involving alerts generated by the monitoring system with an exposure above Rs. 50 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 20.6.

KAP-618.1.5 Cases involving cash transaction reports with an exposure above Rs. 219 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.26.

KAP-618.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-618.1.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-618.1.8 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-618.1.9 Cases involving video-KYC sessions with an exposure above Rs. 356 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.27.

Section 618.2 Transaction Monitoring - Operating Rule Set 618.2

KAP-618.2.1 For sole-proprietor customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-618.2.2 For private-limited-company customers, PEP screening results shall be assessed using the manual-review

method, with a tolerance of 2% as approved by the Board.

KAP-618.2.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-618.2.4 Cases involving PEP screening results with an exposure above Rs. 432 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 10.30.

KAP-618.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-618.2.6 In case of a customer complaint, the Zonal Head must escalate the matter to the Risk Management Department within 14 working days, with the supporting documents listed in Annexure H-33.

KAP-618.2.7 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/168 and that compliance is certified every quarter.

KAP-618.2.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 312 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.23.

KAP-618.2.9 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Operations Head within 20 working days, with the supporting documents listed in Annexure E-39.

KAP-618.2.10 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-618.2.11 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

Section 618.3 Transaction Monitoring - Operating Rule Set 618.3

KAP-618.3.1 The Zonal Head shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-618.3.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-618.3.3 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/008 and that compliance is certified every quarter.

KAP-618.3.4 Cases involving account-opening forms with an exposure above Rs. 392 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.3.

KAP-618.3.5 Cases involving risk-rating files with an exposure above Rs. 363 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.29.

KAP-618.3.6 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-618.3.7 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-618.3.8 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/293 and that compliance is certified every quarter.

KAP-618.3.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-618.3.10 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/255 and that compliance is certified every quarter.

Section 618.4 Transaction Monitoring - Operating Rule Set 618.4

KAP-618.4.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-618.4.2 The Branch Manager shall review correspondent-bank relationships within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-618.4.3 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/078 and that compliance is certified every quarter.

KAP-618.4.4 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/096 and that compliance is certified every quarter.

KAP-618.4.5 Cases involving video-KYC sessions with an exposure above Rs. 476 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.16.

KAP-618.4.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-618.4.7 For private-limited-company customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-618.4.8 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 26 days written notice.

Section 618.5 Transaction Monitoring - Operating Rule Set 618.5

KAP-618.5.1 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/042 and that compliance is certified every quarter.

KAP-618.5.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-618.5.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-618.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-618.5.5 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-618.5.6 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/031 and that compliance is certified every quarter.

KAP-618.5.7 For individual customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-618.5.8 Cases involving beneficial-owner declarations with an exposure above Rs. 212 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.11.

KAP-618.5.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-618.5.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 618.6 Transaction Monitoring - Operating Rule Set 618.6

KAP-618.6.1 Cases involving risk-rating files with an exposure above Rs. 290 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 2.24.

KAP-618.6.2 The Operations Head shall review cash transaction reports within 21 working days of receipt and record the outcome in the Core Banking system.

KAP-618.6.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-618.6.4 The Operations Head shall review cash transaction reports within 22 working days of receipt and record the outcome in the Core Banking system.

KAP-618.6.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-618.6.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 7th day of the following month.

KAP-618.6.7 Cases involving identity documents with an exposure above Rs. 328 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.20.

KAP-618.6.8 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-618.6.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-618.6.10 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

Section 618.7 Transaction Monitoring - Operating Rule Set 618.7

KAP-618.7.1 Cases involving video-KYC sessions with an exposure above Rs. 329 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.5.

KAP-618.7.2 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/239 and that compliance is certified every quarter.

KAP-618.7.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-618.7.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-618.7.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-618.7.6 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/161 and that compliance is certified every quarter.

KAP-618.7.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-618.7.8 Cases involving address proofs with an exposure above Rs. 357 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.12.

PART 52 - CHAPTER 619: SUSPICIOUS TRANSACTION REPORTING

Section 619.1 Suspicious Transaction Reporting - Operating Rule Set 619.1

KAP-619.1.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-619.1.2 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-619.1.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-619.1.4 Cases involving account-opening forms with an exposure above Rs. 53 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 15.19.

KAP-619.1.5 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/041 and that compliance is certified every quarter.

KAP-619.1.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-619.1.7 Cases involving risk-rating files with an exposure above Rs. 199 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 1.2.

KAP-619.1.8 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-619.1.9 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 619.2 Suspicious Transaction Reporting - Operating Rule Set 619.2

KAP-619.2.1 The Risk Management Department shall review risk-rating files within 30 working days of receipt and record the outcome in the Customer Relationship system.

KAP-619.2.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-619.2.3 Cases involving PEP screening results with an exposure above Rs. 286 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.4.

KAP-619.2.4 The Risk Management Department shall review cash transaction reports within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-619.2.5 The Compliance Officer shall review address proofs within 25 working days of receipt and record the outcome in the Customer Relationship system.

KAP-619.2.6 The Zonal Head shall review identity documents within 13 working days of receipt and record the outcome in the Risk Engine system.

KAP-619.2.7 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-619.2.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-619.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

Section 619.3 Suspicious Transaction Reporting - Operating Rule Set 619.3

KAP-619.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-619.3.2 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-619.3.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2023/038 and that compliance is certified every quarter.

KAP-619.3.4 For sole-proprietor customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-619.3.5 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-619.3.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-619.3.7 The Branch Manager shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/099 and that compliance is certified every quarter.

KAP-619.3.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 4 working days, with the supporting documents listed in Annexure D-38.

KAP-619.3.9 Cases involving risk-rating files with an exposure above Rs. 344 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.18.

KAP-619.3.10 Cases involving cash transaction reports with an exposure above Rs. 13 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.22.

KAP-619.3.11 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-619.3.12 Cases involving correspondent-bank relationships with an exposure above Rs. 112 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.25.

KAP-619.3.13 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

Section 619.4 Suspicious Transaction Reporting - Operating Rule Set 619.4

KAP-619.4.1 The Audit Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-619.4.2 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure B-1.

KAP-619.4.3 Cases involving alerts generated by the monitoring system with an exposure above Rs. 100 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 14.13.

KAP-619.4.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-619.4.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/037 and that compliance is certified every quarter.

KAP-619.4.6 Cases involving PEP screening results with an exposure above Rs. 89 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.8.

KAP-619.4.7 The Risk Management Department shall review address proofs within 7 working days of receipt and record the outcome in the Case Management system.

KAP-619.4.8 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Credit Committee within 14 working days, with the supporting documents listed in Annexure C-32.

KAP-619.4.9 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-619.4.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 13 working days, with the supporting documents listed in Annexure B-30.

KAP-619.4.11 Cases involving address proofs with an exposure above Rs. 375 lakh require prior written approval from the

Audit Department; otherwise the case is an exception under Clause 15.18.

PART 52 - CHAPTER 620: POLITICALLY EXPOSED PERSONS

Section 620.1 Politically Exposed Persons - Operating Rule Set 620.1

KAP-620.1.1 Cases involving cash transaction reports with an exposure above Rs. 262 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 19.19.

KAP-620.1.2 Cases involving cash transaction reports with an exposure above Rs. 287 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 2.12.

KAP-620.1.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-620.1.4 Cases involving beneficial-owner declarations with an exposure above Rs. 297 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.7.

KAP-620.1.5 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/014 and that compliance is certified every quarter.

KAP-620.1.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Zonal Head within 6 working days, with the supporting documents listed in Annexure H-32.

KAP-620.1.7 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 4 working days, with the supporting documents listed in Annexure C-12.

KAP-620.1.8 For individual customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-620.1.9 The Branch Manager shall review risk-rating files within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-620.1.10 For individual customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-620.1.11 The Operations Head shall review beneficial-owner declarations within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-620.1.12 The Risk Management Department shall review alerts generated by the monitoring system within 9 working days of receipt and record the outcome in the Core Banking system.

Section 620.2 Politically Exposed Persons - Operating Rule Set 620.2

KAP-620.2.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 12 days written notice.

KAP-620.2.2 The Zonal Head shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-620.2.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-620.2.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/013 and that compliance is certified every quarter.

KAP-620.2.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-620.2.6 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/241 and that compliance is certified every quarter.

KAP-620.2.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-620.2.8 Cases involving video-KYC sessions with an exposure above Rs. 257 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 19.19.

KAP-620.2.9 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/276 and that compliance is certified every quarter.

KAP-620.2.10 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-620.2.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-620.2.12 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the

6th day of the following month.

Section 620.3 Politically Exposed Persons - Operating Rule Set 620.3

KAP-620.3.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-620.3.2 The Risk Management Department shall review PEP screening results within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-620.3.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-620.3.4 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/199 and that compliance is certified every quarter.

KAP-620.3.5 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-620.3.6 The Regional Credit Officer shall review cash transaction reports within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-620.3.7 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-620.3.8 Cases involving cash transaction reports with an exposure above Rs. 197 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.2.

KAP-620.3.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-620.3.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-620.3.11 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/236 and that compliance is certified every quarter.

KAP-620.3.12 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 3 days written notice.

Section 620.4 Politically Exposed Persons - Operating Rule Set 620.4

KAP-620.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-620.4.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-620.4.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-620.4.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 11 days written notice.

KAP-620.4.5 Cases involving identity documents with an exposure above Rs. 404 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 12.8.

KAP-620.4.6 The Risk Management Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/018 and that compliance is certified every quarter.

KAP-620.4.7 In case of a customer complaint, the Compliance Officer must escalate the matter to the Credit Committee within 26 working days, with the supporting documents listed in Annexure F-20.

KAP-620.4.8 For NRI customers, address proofs shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

Section 620.5 Politically Exposed Persons - Operating Rule Set 620.5

KAP-620.5.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-620.5.2 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 27 working days, with the supporting documents listed in Annexure E-13.

KAP-620.5.3 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure E-24.

KAP-620.5.4 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Credit

Committee within 27 working days, with the supporting documents listed in Annexure F-18.

KAP-620.5.5 The Credit Committee shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Case Management system.

KAP-620.5.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-620.5.7 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-620.5.8 In case of a regulatory query, the Audit Department must escalate the matter to the Branch Manager within 11 working days, with the supporting documents listed in Annexure H-7.

KAP-620.5.9 For NRI customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 620.6 Politically Exposed Persons - Operating Rule Set 620.6

KAP-620.6.1 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 4 working days, with the supporting documents listed in Annexure G-4.

KAP-620.6.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-620.6.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-620.6.4 For partnership customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 5% as approved by the Board.

KAP-620.6.5 Cases involving identity documents with an exposure above Rs. 146 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 11.3.

KAP-620.6.6 Cases involving correspondent-bank relationships with an exposure above Rs. 210 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 5.3.

KAP-620.6.7 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Risk Management Department within 18 working days, with the supporting documents listed in Annexure C-31.

KAP-620.6.8 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/248 and that compliance is certified every quarter.

KAP-620.6.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-620.6.10 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-620.6.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

PART 52 - CHAPTER 621: BENEFICIAL OWNERSHIP

Section 621.1 Beneficial Ownership - Operating Rule Set 621.1

KAP-621.1.1 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-621.1.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-621.1.3 The Risk Management Department shall review beneficial-owner declarations within 27 working days of receipt and record the outcome in the Loan Origination system.

KAP-621.1.4 The Risk Management Department shall review address proofs within 6 working days of receipt and record the outcome in the Case Management system.

KAP-621.1.5 Cases involving cash transaction reports with an exposure above Rs. 352 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.25.

KAP-621.1.6 For private-limited-company customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-621.1.7 The Credit Committee shall review correspondent-bank relationships within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-621.1.8 The Regional Credit Officer shall review alerts generated by the monitoring system within 16 working days of

receipt and record the outcome in the Loan Origination system.

KAP-621.1.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-621.1.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-621.1.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-621.1.12 The Compliance Officer shall review account-opening forms within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-621.1.13 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

Section 621.2 Beneficial Ownership - Operating Rule Set 621.2

KAP-621.2.1 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/107 and that compliance is certified every quarter.

KAP-621.2.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-621.2.3 Cases involving PEP screening results with an exposure above Rs. 275 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.24.

KAP-621.2.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure E-11.

KAP-621.2.5 For trust customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-621.2.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure A-8.

KAP-621.2.7 The Risk Management Department shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Loan Origination system.

KAP-621.2.8 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-621.2.9 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-621.2.10 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-621.2.11 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

Section 621.3 Beneficial Ownership - Operating Rule Set 621.3

KAP-621.3.1 In case of a regulatory query, the Zonal Head must escalate the matter to the Branch Manager within 9 working days, with the supporting documents listed in Annexure H-28.

KAP-621.3.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-621.3.3 Cases involving correspondent-bank relationships with an exposure above Rs. 448 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.10.

KAP-621.3.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-621.3.5 In case of a system outage, the Zonal Head must escalate the matter to the Regional Credit Officer within 6 working days, with the supporting documents listed in Annexure H-20.

KAP-621.3.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-621.3.7 For sole-proprietor customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-621.3.8 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-621.3.9 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure C-1.

KAP-621.3.10 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

Section 621.4 Beneficial Ownership - Operating Rule Set 621.4

KAP-621.4.1 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-621.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 10 working days, with the supporting documents listed in Annexure A-38.

KAP-621.4.3 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-621.4.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-621.4.5 The Audit Department shall review PEP screening results within 12 working days of receipt and record the outcome in the Document Management system.

KAP-621.4.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/206 and that compliance is certified every quarter.

KAP-621.4.7 For partnership customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-621.4.8 The Regional Credit Officer shall review account-opening forms within 23 working days of receipt and record the outcome in the Core Banking system.

KAP-621.4.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

Section 621.5 Beneficial Ownership - Operating Rule Set 621.5

KAP-621.5.1 Cases involving beneficial-owner declarations with an exposure above Rs. 382 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 4.27.

KAP-621.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-621.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-621.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-621.5.5 Cases involving beneficial-owner declarations with an exposure above Rs. 15 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 5.7.

KAP-621.5.6 Cases involving address proofs with an exposure above Rs. 199 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.4.

KAP-621.5.7 For partnership customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-621.5.8 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/043 and that compliance is certified every quarter.

KAP-621.5.9 In case of a request for exception, the Zonal Head must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure D-18.

KAP-621.5.10 The Compliance Officer shall review PEP screening results within 5 working days of receipt and record the outcome in the Customer Relationship system.

Section 621.6 Beneficial Ownership - Operating Rule Set 621.6

KAP-621.6.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-621.6.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-621.6.3 Cases involving identity documents with an exposure above Rs. 333 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 16.19.

KAP-621.6.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 4th day of the following month.

KAP-621.6.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-621.6.6 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-621.6.7 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure C-39.

KAP-621.6.8 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 4 days written notice.

KAP-621.6.9 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-621.6.10 In case of a system outage, the Risk Management Department must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure A-15.

KAP-621.6.11 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-621.6.12 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

Section 621.7 Beneficial Ownership - Operating Rule Set 621.7

KAP-621.7.1 Cases involving correspondent-bank relationships with an exposure above Rs. 113 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 4.15.

KAP-621.7.2 Cases involving address proofs with an exposure above Rs. 495 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.18.

KAP-621.7.3 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 4% as approved by the Board.

KAP-621.7.4 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/254 and that compliance is certified every quarter.

KAP-621.7.5 Cases involving account-opening forms with an exposure above Rs. 184 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.20.

KAP-621.7.6 Cases involving correspondent-bank relationships with an exposure above Rs. 288 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.4.

KAP-621.7.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 327 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 3.30.

KAP-621.7.8 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-621.7.9 Cases involving account-opening forms with an exposure above Rs. 182 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.1.

KAP-621.7.10 In case of a request for exception, the Credit Committee must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure H-14.

Section 621.8 Beneficial Ownership - Operating Rule Set 621.8

KAP-621.8.1 Cases involving beneficial-owner declarations with an exposure above Rs. 277 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 1.30.

KAP-621.8.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-621.8.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-621.8.4 Cases involving identity documents with an exposure above Rs. 412 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.14.

KAP-621.8.5 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-621.8.6 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the

Branch Manager within 25 working days, with the supporting documents listed in Annexure F-20.

KAP-621.8.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-621.8.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 24 days written notice.

PART 52 - CHAPTER 622: RECORD KEEPING

Section 622.1 Record Keeping - Operating Rule Set 622.1

KAP-622.1.1 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-622.1.2 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 8 working days, with the supporting documents listed in Annexure F-6.

KAP-622.1.3 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/169 and that compliance is certified every quarter.

KAP-622.1.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure E-20.

KAP-622.1.5 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2024/016 and that compliance is certified every quarter.

KAP-622.1.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-622.1.7 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-622.1.8 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/060 and that compliance is certified every quarter.

KAP-622.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-622.1.10 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 4 days written notice.

Section 622.2 Record Keeping - Operating Rule Set 622.2

KAP-622.2.1 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-622.2.2 Cases involving account-opening forms with an exposure above Rs. 139 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.12.

KAP-622.2.3 The Risk Management Department shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Document Management system.

KAP-622.2.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-622.2.5 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-622.2.6 For partnership customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-622.2.7 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-622.2.8 The Branch Manager shall review identity documents within 6 working days of receipt and record the outcome in the Customer Relationship system.

KAP-622.2.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

KAP-622.2.10 In case of a customer complaint, the Branch Manager must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure A-32.

KAP-622.2.11 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/222 and that compliance is certified every quarter.

Section 622.3 Record Keeping - Operating Rule Set 622.3

KAP-622.3.1 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure H-22.

KAP-622.3.2 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-622.3.3 In case of a discrepancy in submitted documents, the Zonal Head must escalate the matter to the Compliance Officer within 23 working days, with the supporting documents listed in Annexure B-7.

KAP-622.3.4 Cases involving risk-rating files with an exposure above Rs. 133 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.6.

KAP-622.3.5 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-622.3.6 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-622.3.7 For private-limited-company customers, identity documents shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-622.3.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 622.4 Record Keeping - Operating Rule Set 622.4

KAP-622.4.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-622.4.2 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure E-29.

KAP-622.4.3 For individual customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-622.4.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-622.4.5 The Zonal Head shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-622.4.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-622.4.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure C-12.

KAP-622.4.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/007 and that compliance is certified every quarter.

KAP-622.4.9 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/186 and that compliance is certified every quarter.

KAP-622.4.10 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 20 days written notice.

Section 622.5 Record Keeping - Operating Rule Set 622.5

KAP-622.5.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

KAP-622.5.2 The Regional Credit Officer shall review cash transaction reports within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-622.5.3 The Operations Head shall review identity documents within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-622.5.4 In case of a system outage, the Zonal Head must escalate the matter to the Branch Manager within 30 working days, with the supporting documents listed in Annexure G-6.

KAP-622.5.5 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-622.5.6 Cases involving correspondent-bank relationships with an exposure above Rs. 499 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.28.

KAP-622.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager

by the 8th day of the following month.

KAP-622.5.8 Cases involving address proofs with an exposure above Rs. 131 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 8.28.

KAP-622.5.9 Cases involving address proofs with an exposure above Rs. 74 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.13.

Section 622.6 Record Keeping - Operating Rule Set 622.6

KAP-622.6.1 The Branch Manager shall review alerts generated by the monitoring system within 5 working days of receipt and record the outcome in the Document Management system.

KAP-622.6.2 The Compliance Officer shall review account-opening forms within 29 working days of receipt and record the outcome in the Case Management system.

KAP-622.6.3 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-622.6.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-622.6.5 The Credit Committee shall review risk-rating files within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-622.6.6 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure F-35.

KAP-622.6.7 The Regional Credit Officer shall review correspondent-bank relationships within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-622.6.8 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/132 and that compliance is certified every quarter.

KAP-622.6.9 For individual customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

Section 622.7 Record Keeping - Operating Rule Set 622.7

KAP-622.7.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-622.7.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-622.7.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-622.7.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/197 and that compliance is certified every quarter.

KAP-622.7.5 The Credit Committee shall review identity documents within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-622.7.6 For trust customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-622.7.7 Cases involving video-KYC sessions with an exposure above Rs. 50 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.5.

KAP-622.7.8 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-622.7.9 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-622.7.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-622.7.11 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 11th day of the following month.

PART 52 - CHAPTER 623: STAFF TRAINING

Section 623.1 Staff Training - Operating Rule Set 623.1

KAP-623.1.1 The Operations Head shall review risk-rating files within 4 working days of receipt and record the outcome in the Case Management system.

KAP-623.1.2 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-623.1.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-623.1.4 In case of a request for exception, the Credit Committee must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure G-28.

KAP-623.1.5 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/134 and that compliance is certified every quarter.

KAP-623.1.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/005 and that compliance is certified every quarter.

KAP-623.1.7 Cases involving risk-rating files with an exposure above Rs. 406 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.25.

KAP-623.1.8 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-623.1.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 3 days written notice.

KAP-623.1.10 For individual customers, cash transaction reports shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

Section 623.2 Staff Training - Operating Rule Set 623.2

KAP-623.2.1 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure C-35.

KAP-623.2.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-623.2.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-623.2.4 Cases involving address proofs with an exposure above Rs. 83 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 5.7.

KAP-623.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 355 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.12.

KAP-623.2.6 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Zonal Head within 3 working days, with the supporting documents listed in Annexure E-8.

KAP-623.2.7 Cases involving video-KYC sessions with an exposure above Rs. 241 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.25.

KAP-623.2.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-623.2.9 Cases involving correspondent-bank relationships with an exposure above Rs. 228 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 20.10.

KAP-623.2.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

KAP-623.2.11 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 623.3 Staff Training - Operating Rule Set 623.3

KAP-623.3.1 For individual customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-623.3.2 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-623.3.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-623.3.4 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-623.3.5 The Zonal Head shall review risk-rating files within 3 working days of receipt and record the outcome in the

Core Banking system.

KAP-623.3.6 The Compliance Officer shall review risk-rating files within 24 working days of receipt and record the outcome in the Risk Engine system.

KAP-623.3.7 The Risk Management Department shall review address proofs within 8 working days of receipt and record the outcome in the Customer Relationship system.

KAP-623.3.8 Cases involving identity documents with an exposure above Rs. 118 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 12.6.

KAP-623.3.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-623.3.10 The Regional Credit Officer shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Case Management system.

KAP-623.3.11 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure C-26.

Section 623.4 Staff Training - Operating Rule Set 623.4

KAP-623.4.1 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-623.4.2 Cases involving account-opening forms with an exposure above Rs. 22 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.9.

KAP-623.4.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/266 and that compliance is certified every quarter.

KAP-623.4.4 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-623.4.5 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-623.4.6 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 23 days written notice.

KAP-623.4.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/167 and that compliance is certified every quarter.

KAP-623.4.8 The Regional Credit Officer shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Case Management system.

KAP-623.4.9 The Operations Head shall review video-KYC sessions within 4 working days of receipt and record the outcome in the Core Banking system.

Section 623.5 Staff Training - Operating Rule Set 623.5

KAP-623.5.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/228 and that compliance is certified every quarter.

KAP-623.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-623.5.3 Cases involving PEP screening results with an exposure above Rs. 348 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 5.15.

KAP-623.5.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-623.5.5 The Regional Credit Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Loan Origination system.

KAP-623.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to internal auditors on request.

KAP-623.5.7 For partnership customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-623.5.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 72 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 1.30.

KAP-623.5.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-623.5.10 Cases involving alerts generated by the monitoring system with an exposure above Rs. 136 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 14.27.

KAP-623.5.11 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 623.6 Staff Training - Operating Rule Set 623.6

KAP-623.6.1 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2023/176 and that compliance is certified every quarter.

KAP-623.6.2 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Zonal Head within 22 working days, with the supporting documents listed in Annexure F-4.

KAP-623.6.3 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-623.6.4 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-623.6.5 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure C-16.

KAP-623.6.6 The Risk Management Department shall review account-opening forms within 27 working days of receipt and record the outcome in the Document Management system.

KAP-623.6.7 The Branch Manager shall review account-opening forms within 27 working days of receipt and record the outcome in the Case Management system.

KAP-623.6.8 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-623.6.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/144 and that compliance is certified every quarter.

KAP-623.6.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

PART 52 - CHAPTER 624: INDEPENDENT AUDIT

Section 624.1 Independent Audit - Operating Rule Set 624.1

KAP-624.1.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-624.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-624.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-624.1.4 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 27 days written notice.

KAP-624.1.5 For sole-proprietor customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-624.1.6 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Regional Credit Officer within 26 working days, with the supporting documents listed in Annexure D-14.

KAP-624.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 68 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 1.26.

KAP-624.1.8 The Risk Management Department shall review PEP screening results within 19 working days of receipt and record the outcome in the Loan Origination system.

KAP-624.1.9 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-624.1.10 Cases involving cash transaction reports with an exposure above Rs. 216 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 16.24.

KAP-624.1.11 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-624.1.12 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

Section 624.2 Independent Audit - Operating Rule Set 624.2

KAP-624.2.1 The Credit Committee shall review correspondent-bank relationships within 23 working days of receipt and record the outcome in the Case Management system.

KAP-624.2.2 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-624.2.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-624.2.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 23 days written notice.

KAP-624.2.5 Cases involving video-KYC sessions with an exposure above Rs. 121 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.2.

KAP-624.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-624.2.7 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure G-37.

KAP-624.2.8 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-624.2.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-624.2.10 Cases involving video-KYC sessions with an exposure above Rs. 28 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 6.7.

Section 624.3 Independent Audit - Operating Rule Set 624.3

KAP-624.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-624.3.2 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-624.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-624.3.4 The Credit Committee shall review identity documents within 19 working days of receipt and record the outcome in the Document Management system.

KAP-624.3.5 Cases involving account-opening forms with an exposure above Rs. 433 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 1.7.

KAP-624.3.6 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-624.3.7 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/119 and that compliance is certified every quarter.

KAP-624.3.8 The Branch Manager shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-624.3.9 For private-limited-company customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-624.3.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

Section 624.4 Independent Audit - Operating Rule Set 624.4

KAP-624.4.1 Cases involving beneficial-owner declarations with an exposure above Rs. 364 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.17.

KAP-624.4.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-624.4.3 The Branch Manager shall review beneficial-owner declarations within 8 working days of receipt and record the outcome in the Loan Origination system.

KAP-624.4.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-624.4.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 10 days written notice.

KAP-624.4.6 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure A-8.

KAP-624.4.7 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-624.4.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-624.4.9 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-624.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

Section 624.5 Independent Audit - Operating Rule Set 624.5

KAP-624.5.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Risk Management Department within 16 working days, with the supporting documents listed in Annexure C-28.

KAP-624.5.2 For partnership customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-624.5.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-624.5.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-624.5.5 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-624.5.6 In case of a system outage, the Compliance Officer must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure A-18.

KAP-624.5.7 The Risk Management Department shall review address proofs within 5 working days of receipt and record the outcome in the Loan Origination system.

KAP-624.5.8 For individual customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-624.5.9 The Credit Committee shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/173 and that compliance is certified every quarter.

KAP-624.5.10 Cases involving correspondent-bank relationships with an exposure above Rs. 187 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.22.

PART 53 - CHAPTER 625: CUSTOMER ACCEPTANCE

Section 625.1 Customer Acceptance - Operating Rule Set 625.1

KAP-625.1.1 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-625.1.2 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/072 and that compliance is certified every quarter.

KAP-625.1.3 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-625.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-625.1.5 Cases involving address proofs with an exposure above Rs. 379 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 8.10.

KAP-625.1.6 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/158 and that compliance is certified every quarter.

KAP-625.1.7 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-625.1.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

Section 625.2 Customer Acceptance - Operating Rule Set 625.2

KAP-625.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-625.2.2 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Risk Management Department within 20 working days, with the supporting documents listed in Annexure G-27.

KAP-625.2.3 The Credit Committee shall review alerts generated by the monitoring system within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-625.2.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/168 and that compliance is certified every quarter.

KAP-625.2.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-625.2.6 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-625.2.7 Cases involving video-KYC sessions with an exposure above Rs. 395 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 6.22.

KAP-625.2.8 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/215 and that compliance is certified every quarter.

KAP-625.2.9 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure B-40.

KAP-625.2.10 Cases involving beneficial-owner declarations with an exposure above Rs. 325 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.11.

KAP-625.2.11 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Zonal Head within 2 working days, with the supporting documents listed in Annexure F-22.

Section 625.3 Customer Acceptance - Operating Rule Set 625.3

KAP-625.3.1 For trust customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-625.3.2 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-625.3.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

KAP-625.3.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 24 days written notice.

KAP-625.3.5 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure A-22.

KAP-625.3.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-625.3.7 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/245 and that compliance is certified every quarter.

KAP-625.3.8 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-625.3.9 Cases involving PEP screening results with an exposure above Rs. 371 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 19.26.

KAP-625.3.10 In case of a suspected mismatch in records, the Compliance Officer must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure E-30.

KAP-625.3.11 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-625.3.12 The Regional Credit Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/274 and that compliance is certified every quarter.

Section 625.4 Customer Acceptance - Operating Rule Set 625.4

KAP-625.4.1 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-625.4.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-625.4.3 In case of a change in borrower profile, the Zonal Head must escalate the matter to the Zonal Head within 30 working days, with the supporting documents listed in Annexure F-29.

KAP-625.4.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-625.4.5 Records relating to address proofs shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

KAP-625.4.6 In case of a system outage, the Audit Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure H-1.

KAP-625.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-625.4.8 The Risk Management Department shall review alerts generated by the monitoring system within 15 working days of receipt and record the outcome in the Document Management system.

Section 625.5 Customer Acceptance - Operating Rule Set 625.5

KAP-625.5.1 For trust customers, address proofs shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-625.5.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 2 days written notice.

KAP-625.5.3 For trust customers, identity documents shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-625.5.4 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-625.5.5 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-625.5.6 The Regional Credit Officer shall review risk-rating files within 20 working days of receipt and record the outcome in the Loan Origination system.

KAP-625.5.7 For individual customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-625.5.8 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure E-13.

KAP-625.5.9 Cases involving beneficial-owner declarations with an exposure above Rs. 388 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.17.

Section 625.6 Customer Acceptance - Operating Rule Set 625.6

KAP-625.6.1 The Zonal Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2020/208 and that compliance is certified every quarter.

KAP-625.6.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-625.6.3 The Regional Credit Officer shall review video-KYC sessions within 6 working days of receipt and record the outcome in the Case Management system.

KAP-625.6.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-625.6.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure D-1.

KAP-625.6.6 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure D-2.

KAP-625.6.7 The Operations Head shall review identity documents within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-625.6.8 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

Section 625.7 Customer Acceptance - Operating Rule Set 625.7

KAP-625.7.1 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure B-34.

KAP-625.7.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-625.7.3 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-625.7.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-625.7.5 Cases involving PEP screening results with an exposure above Rs. 238 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.28.

KAP-625.7.6 Cases involving address proofs with an exposure above Rs. 41 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.12.

KAP-625.7.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-625.7.8 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/085 and that compliance is certified every quarter.

PART 53 - CHAPTER 626: CUSTOMER IDENTIFICATION

Section 626.1 Customer Identification - Operating Rule Set 626.1

KAP-626.1.1 For individual customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-626.1.2 The Operations Head shall review identity documents within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-626.1.3 Cases involving beneficial-owner declarations with an exposure above Rs. 267 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 18.4.

KAP-626.1.4 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-626.1.5 For sole-proprietor customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-626.1.6 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/259 and that compliance is certified every quarter.

KAP-626.1.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to internal auditors on request.

KAP-626.1.8 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Audit Department within 23 working days, with the supporting documents listed in Annexure C-16.

KAP-626.1.9 The Credit Committee shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Case Management system.

KAP-626.1.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/099 and that compliance is certified every quarter.

Section 626.2 Customer Identification - Operating Rule Set 626.2

KAP-626.2.1 The Audit Department shall review address proofs within 20 working days of receipt and record the outcome in the Case Management system.

KAP-626.2.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-626.2.3 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-626.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-626.2.5 In case of a regulatory query, the Risk Management Department must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-38.

KAP-626.2.6 For partnership customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-626.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-626.2.8 For individual customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-626.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

KAP-626.2.10 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-626.2.11 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

Section 626.3 Customer Identification - Operating Rule Set 626.3

KAP-626.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-626.3.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-626.3.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-626.3.4 In case of a customer complaint, the Zonal Head must escalate the matter to the Operations Head within 7 working days, with the supporting documents listed in Annexure F-25.

KAP-626.3.5 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-3.

KAP-626.3.6 The Risk Management Department shall review risk-rating files within 12 working days of receipt and record the outcome in the Document Management system.

KAP-626.3.7 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-626.3.8 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/191 and that compliance is certified every quarter.

KAP-626.3.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

KAP-626.3.10 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-626.3.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-626.3.12 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

Section 626.4 Customer Identification - Operating Rule Set 626.4

KAP-626.4.1 For trust customers, cash transaction reports shall be assessed using the rule-based method, with a tolerance of 2% as approved by the Board.

KAP-626.4.2 Cases involving video-KYC sessions with an exposure above Rs. 140 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.30.

KAP-626.4.3 The Regional Credit Officer shall review identity documents within 6 working days of receipt and record the outcome in the Risk Engine system.

KAP-626.4.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-626.4.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-626.4.6 For NRI customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-626.4.7 The Zonal Head shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-626.4.8 The Zonal Head shall review identity documents within 2 working days of receipt and record the outcome in the

Case Management system.

PART 53 - CHAPTER 627: CUSTOMER DUE DILIGENCE

Section 627.1 Customer Due Diligence - Operating Rule Set 627.1

KAP-627.1.1 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-627.1.2 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/196 and that compliance is certified every quarter.

KAP-627.1.3 The Zonal Head shall review address proofs within 2 working days of receipt and record the outcome in the Case Management system.

KAP-627.1.4 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Audit Department within 29 working days, with the supporting documents listed in Annexure C-35.

KAP-627.1.5 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/108 and that compliance is certified every quarter.

KAP-627.1.6 The Operations Head shall review PEP screening results within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-627.1.7 The Branch Manager shall review identity documents within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-627.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-627.1.9 The Zonal Head shall review risk-rating files within 2 working days of receipt and record the outcome in the Customer Relationship system.

Section 627.2 Customer Due Diligence - Operating Rule Set 627.2

KAP-627.2.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-627.2.2 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-627.2.3 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-627.2.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to the regulator on request.

KAP-627.2.5 Cases involving risk-rating files with an exposure above Rs. 151 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 4.19.

KAP-627.2.6 For partnership customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 6% as approved by the Board.

KAP-627.2.7 For individual customers, alerts generated by the monitoring system shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-627.2.8 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/114 and that compliance is certified every quarter.

KAP-627.2.9 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/032 and that compliance is certified every quarter.

Section 627.3 Customer Due Diligence - Operating Rule Set 627.3

KAP-627.3.1 The Audit Department shall review address proofs within 10 working days of receipt and record the outcome in the Customer Relationship system.

KAP-627.3.2 The Risk Management Department shall review correspondent-bank relationships within 22 working days of receipt and record the outcome in the Loan Origination system.

KAP-627.3.3 The Branch Manager shall review correspondent-bank relationships within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-627.3.4 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/149 and that compliance is certified every quarter.

KAP-627.3.5 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure G-25.

KAP-627.3.6 In case of a change in borrower profile, the Operations Head must escalate the matter to the Compliance Officer within 24 working days, with the supporting documents listed in Annexure H-39.

KAP-627.3.7 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/013 and that compliance is certified every quarter.

KAP-627.3.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure A-17.

KAP-627.3.9 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 19 days written notice.

Section 627.4 Customer Due Diligence - Operating Rule Set 627.4

KAP-627.4.1 The Zonal Head shall review cash transaction reports within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-627.4.2 Cases involving PEP screening results with an exposure above Rs. 95 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 15.4.

KAP-627.4.3 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-627.4.4 The Compliance Officer shall review correspondent-bank relationships within 30 working days of receipt and record the outcome in the Risk Engine system.

KAP-627.4.5 For private-limited-company customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-627.4.6 The Risk Management Department shall review alerts generated by the monitoring system within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-627.4.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-627.4.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-627.4.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-627.4.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

Section 627.5 Customer Due Diligence - Operating Rule Set 627.5

KAP-627.5.1 In case of a regulatory query, the Branch Manager must escalate the matter to the Credit Committee within 18 working days, with the supporting documents listed in Annexure D-27.

KAP-627.5.2 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/287 and that compliance is certified every quarter.

KAP-627.5.3 The Regional Credit Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/015 and that compliance is certified every quarter.

KAP-627.5.4 Cases involving PEP screening results with an exposure above Rs. 322 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 3.1.

KAP-627.5.5 Cases involving address proofs with an exposure above Rs. 301 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.1.

KAP-627.5.6 Cases involving risk-rating files with an exposure above Rs. 460 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.1.

KAP-627.5.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-627.5.8 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-627.5.9 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 14 days written notice.

KAP-627.5.10 For individual customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

Section 627.6 Customer Due Diligence - Operating Rule Set 627.6

KAP-627.6.1 Cases involving identity documents with an exposure above Rs. 42 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.10.

KAP-627.6.2 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/147 and that compliance is certified every quarter.

KAP-627.6.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-627.6.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-627.6.5 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-627.6.6 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-627.6.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/255 and that compliance is certified every quarter.

KAP-627.6.8 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-627.6.9 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-627.6.10 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/232 and that compliance is certified every quarter.

Section 627.7 Customer Due Diligence - Operating Rule Set 627.7

KAP-627.7.1 For private-limited-company customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-627.7.2 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-627.7.3 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-627.7.4 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-627.7.5 The Operations Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/118 and that compliance is certified every quarter.

KAP-627.7.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Credit Committee by the 12th day of the following month.

KAP-627.7.7 For trust customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-627.7.8 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 27 days written notice.

Section 627.8 Customer Due Diligence - Operating Rule Set 627.8

KAP-627.8.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-627.8.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-627.8.3 For NRI customers, identity documents shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-627.8.4 The Operations Head shall review alerts generated by the monitoring system within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-627.8.5 Cases involving risk-rating files with an exposure above Rs. 91 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 17.8.

KAP-627.8.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-627.8.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 1 and

be made available to statutory auditors on request.

KAP-627.8.8 Cases involving video-KYC sessions with an exposure above Rs. 123 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.12.

KAP-627.8.9 The Compliance Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/165 and that compliance is certified every quarter.

PART 53 - CHAPTER 628: ENHANCED DUE DILIGENCE

Section 628.1 Enhanced Due Diligence - Operating Rule Set 628.1

KAP-628.1.1 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-628.1.2 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-628.1.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/053 and that compliance is certified every quarter.

KAP-628.1.4 Cases involving cash transaction reports with an exposure above Rs. 295 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.30.

KAP-628.1.5 The Audit Department shall review address proofs within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-628.1.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the regulator on request.

KAP-628.1.7 For NRI customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-628.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-628.1.9 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/196 and that compliance is certified every quarter.

KAP-628.1.10 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/134 and that compliance is certified every quarter.

Section 628.2 Enhanced Due Diligence - Operating Rule Set 628.2

KAP-628.2.1 The Compliance Officer shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Risk Engine system.

KAP-628.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-628.2.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-628.2.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-628.2.5 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 23 working days, with the supporting documents listed in Annexure A-18.

KAP-628.2.6 Cases involving cash transaction reports with an exposure above Rs. 110 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.3.

KAP-628.2.7 For partnership customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-628.2.8 The Credit Committee shall review cash transaction reports within 27 working days of receipt and record the outcome in the Case Management system.

KAP-628.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-628.2.10 For NRI customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-628.2.11 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-628.2.12 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 22

working days, with the supporting documents listed in Annexure E-23.

Section 628.3 Enhanced Due Diligence - Operating Rule Set 628.3

KAP-628.3.1 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/029 and that compliance is certified every quarter.

KAP-628.3.2 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/217 and that compliance is certified every quarter.

KAP-628.3.3 In case of a system outage, the Zonal Head must escalate the matter to the Compliance Officer within 16 working days, with the supporting documents listed in Annexure E-28.

KAP-628.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-628.3.5 Cases involving risk-rating files with an exposure above Rs. 153 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.19.

KAP-628.3.6 For private-limited-company customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-628.3.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-628.3.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-628.3.9 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/285 and that compliance is certified every quarter.

KAP-628.3.10 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Risk Management Department within 12 working days, with the supporting documents listed in Annexure E-14.

Section 628.4 Enhanced Due Diligence - Operating Rule Set 628.4

KAP-628.4.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-628.4.2 For sole-proprietor customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-628.4.3 The Compliance Officer shall review identity documents within 30 working days of receipt and record the outcome in the Core Banking system.

KAP-628.4.4 In case of a customer complaint, the Branch Manager must escalate the matter to the Risk Management Department within 24 working days, with the supporting documents listed in Annexure H-40.

KAP-628.4.5 In case of a request for exception, the Risk Management Department must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure E-1.

KAP-628.4.6 In case of a customer complaint, the Risk Management Department must escalate the matter to the Branch Manager within 24 working days, with the supporting documents listed in Annexure B-40.

KAP-628.4.7 Cases involving cash transaction reports with an exposure above Rs. 471 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.26.

KAP-628.4.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-628.4.9 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/126 and that compliance is certified every quarter.

Section 628.5 Enhanced Due Diligence - Operating Rule Set 628.5

KAP-628.5.1 The Audit Department shall review video-KYC sessions within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-628.5.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-628.5.3 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/219 and that compliance is certified every quarter.

KAP-628.5.4 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/115 and that compliance is certified every quarter.

KAP-628.5.5 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be

made available to the Board Audit Committee on request.

KAP-628.5.6 For partnership customers, address proofs shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-628.5.7 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-628.5.8 The Credit Committee shall review cash transaction reports within 21 working days of receipt and record the outcome in the Loan Origination system.

KAP-628.5.9 The Operations Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/296 and that compliance is certified every quarter.

KAP-628.5.10 For NRI customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

Section 628.6 Enhanced Due Diligence - Operating Rule Set 628.6

KAP-628.6.1 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 4% as approved by the Board.

KAP-628.6.2 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-628.6.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-628.6.4 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-628.6.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure D-39.

KAP-628.6.6 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-628.6.7 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-628.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-628.6.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

PART 53 - CHAPTER 629: RISK CATEGORISATION

Section 629.1 Risk Categorisation - Operating Rule Set 629.1

KAP-629.1.1 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-629.1.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-629.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-629.1.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 22 days written notice.

KAP-629.1.5 In case of a customer complaint, the Credit Committee must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure C-16.

KAP-629.1.6 For individual customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-629.1.7 The Compliance Officer shall review beneficial-owner declarations within 17 working days of receipt and record the outcome in the Customer Relationship system.

KAP-629.1.8 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/263 and that compliance is certified every quarter.

KAP-629.1.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 9 and be made available to the regulator on request.

Section 629.2 Risk Categorisation - Operating Rule Set 629.2

KAP-629.2.1 The Zonal Head shall review risk-rating files within 18 working days of receipt and record the outcome in the Document Management system.

KAP-629.2.2 The Regional Credit Officer shall review account-opening forms within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-629.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-629.2.4 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/076 and that compliance is certified every quarter.

KAP-629.2.5 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure H-32.

KAP-629.2.6 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 19 days written notice.

KAP-629.2.7 The Risk Management Department shall review address proofs within 28 working days of receipt and record the outcome in the Core Banking system.

KAP-629.2.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 4 and be made available to the Board Audit Committee on request.

KAP-629.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to statutory auditors on request.

KAP-629.2.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-629.2.11 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/178 and that compliance is certified every quarter.

Section 629.3 Risk Categorisation - Operating Rule Set 629.3

KAP-629.3.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-629.3.2 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-629.3.3 For sole-proprietor customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 9% as approved by the Board.

KAP-629.3.4 The Branch Manager shall review PEP screening results within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-629.3.5 Cases involving risk-rating files with an exposure above Rs. 469 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 20.19.

KAP-629.3.6 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 21 days written notice.

KAP-629.3.7 Cases involving video-KYC sessions with an exposure above Rs. 25 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 17.18.

KAP-629.3.8 For sole-proprietor customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-629.3.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 8th day of the following month.

KAP-629.3.10 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

Section 629.4 Risk Categorisation - Operating Rule Set 629.4

KAP-629.4.1 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 15 working days, with the supporting documents listed in Annexure C-38.

KAP-629.4.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-629.4.3 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 30 working days, with the supporting documents listed in Annexure G-37.

KAP-629.4.4 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after

giving the customer 2 days written notice.

KAP-629.4.5 For individual customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-629.4.6 The Regional Credit Officer shall review beneficial-owner declarations within 29 working days of receipt and record the outcome in the Case Management system.

KAP-629.4.7 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Operations Head within 18 working days, with the supporting documents listed in Annexure A-16.

KAP-629.4.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-629.4.9 The Zonal Head shall review beneficial-owner declarations within 5 working days of receipt and record the outcome in the Document Management system.

KAP-629.4.10 The Credit Committee shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/171 and that compliance is certified every quarter.

KAP-629.4.11 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 629.5 Risk Categorisation - Operating Rule Set 629.5

KAP-629.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-629.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-629.5.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-629.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-629.5.5 For NRI customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-629.5.6 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-629.5.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-629.5.8 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/166 and that compliance is certified every quarter.

KAP-629.5.9 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/270 and that compliance is certified every quarter.

Section 629.6 Risk Categorisation - Operating Rule Set 629.6

KAP-629.6.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-629.6.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 4 days written notice.

KAP-629.6.3 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-629.6.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to internal auditors on request.

KAP-629.6.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 8th day of the following month.

KAP-629.6.6 The Operations Head shall review alerts generated by the monitoring system within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-629.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-629.6.8 The Risk Management Department shall review alerts generated by the monitoring system within 18 working days of receipt and record the outcome in the Loan Origination system.

Section 629.7 Risk Categorisation - Operating Rule Set 629.7

KAP-629.7.1 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 25 days written notice.

KAP-629.7.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-629.7.3 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 28 days written notice.

KAP-629.7.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-629.7.5 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 10th day of the following month.

KAP-629.7.6 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 22 days written notice.

KAP-629.7.7 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/277 and that compliance is certified every quarter.

KAP-629.7.8 The Branch Manager shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/271 and that compliance is certified every quarter.

KAP-629.7.9 Cases involving address proofs with an exposure above Rs. 444 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 14.5.

KAP-629.7.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to statutory auditors on request.

Section 629.8 Risk Categorisation - Operating Rule Set 629.8

KAP-629.8.1 Cases involving PEP screening results with an exposure above Rs. 161 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.16.

KAP-629.8.2 The Operations Head shall review beneficial-owner declarations within 15 working days of receipt and record the outcome in the Risk Engine system.

KAP-629.8.3 Cases involving correspondent-bank relationships with an exposure above Rs. 234 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.7.

KAP-629.8.4 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-629.8.5 The Audit Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2022/018 and that compliance is certified every quarter.

KAP-629.8.6 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-629.8.7 Cases involving beneficial-owner declarations with an exposure above Rs. 387 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 6.22.

KAP-629.8.8 Cases involving risk-rating files with an exposure above Rs. 484 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.6.

KAP-629.8.9 The Operations Head shall review beneficial-owner declarations within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-629.8.10 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/034 and that compliance is certified every quarter.

KAP-629.8.11 The Risk Management Department shall review correspondent-bank relationships within 29 working days of receipt and record the outcome in the Customer Relationship system.

PART 53 - CHAPTER 630: TRANSACTION MONITORING

Section 630.1 Transaction Monitoring - Operating Rule Set 630.1

KAP-630.1.1 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-630.1.2 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-630.1.3 The Branch Manager shall review PEP screening results within 29 working days of receipt and record the

outcome in the Customer Relationship system.

KAP-630.1.4 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-630.1.5 In case of a system outage, the Compliance Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure H-19.

KAP-630.1.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-630.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-630.1.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 456 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 12.5.

KAP-630.1.9 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

Section 630.2 Transaction Monitoring - Operating Rule Set 630.2

KAP-630.2.1 The Regional Credit Officer shall review beneficial-owner declarations within 26 working days of receipt and record the outcome in the Customer Relationship system.

KAP-630.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-630.2.3 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 16 days written notice.

KAP-630.2.4 The Credit Committee shall review address proofs within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-630.2.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-630.2.6 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 6th day of the following month.

KAP-630.2.7 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/110 and that compliance is certified every quarter.

KAP-630.2.8 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-630.2.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-630.2.10 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

Section 630.3 Transaction Monitoring - Operating Rule Set 630.3

KAP-630.3.1 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-630.3.2 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure C-32.

KAP-630.3.3 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-630.3.4 Cases involving PEP screening results with an exposure above Rs. 363 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.19.

KAP-630.3.5 For private-limited-company customers, correspondent-bank relationships shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-630.3.6 In case of a request for exception, the Credit Committee must escalate the matter to the Regional Credit Officer within 20 working days, with the supporting documents listed in Annexure E-14.

KAP-630.3.7 For NRI customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-630.3.8 The Operations Head shall review PEP screening results within 7 working days of receipt and record the outcome in the Document Management system.

KAP-630.3.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure D-35.

KAP-630.3.10 The Zonal Head shall review correspondent-bank relationships within 7 working days of receipt and record the outcome in the Customer Relationship system.

KAP-630.3.11 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

Section 630.4 Transaction Monitoring - Operating Rule Set 630.4

KAP-630.4.1 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 3 days written notice.

KAP-630.4.2 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-630.4.3 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2021/176 and that compliance is certified every quarter.

KAP-630.4.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 14 and be made available to the regulator on request.

KAP-630.4.5 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-630.4.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure B-11.

KAP-630.4.7 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Zonal Head within 16 working days, with the supporting documents listed in Annexure C-34.

KAP-630.4.8 In case of a request for exception, the Branch Manager must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure E-9.

PART 53 - CHAPTER 631: SUSPICIOUS TRANSACTION REPORTING

Section 631.1 Suspicious Transaction Reporting - Operating Rule Set 631.1

KAP-631.1.1 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 24 days written notice.

KAP-631.1.2 Cases involving account-opening forms with an exposure above Rs. 353 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.3.

KAP-631.1.3 For individual customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-631.1.4 For individual customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-631.1.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 21 working days, with the supporting documents listed in Annexure G-3.

KAP-631.1.6 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 20 working days, with the supporting documents listed in Annexure C-40.

KAP-631.1.7 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/207 and that compliance is certified every quarter.

KAP-631.1.8 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/050 and that compliance is certified every quarter.

KAP-631.1.9 Cases involving cash transaction reports with an exposure above Rs. 465 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 9.19.

KAP-631.1.10 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 10th day of the following month.

Section 631.2 Suspicious Transaction Reporting - Operating Rule Set 631.2

KAP-631.2.1 The Compliance Officer shall review PEP screening results within 9 working days of receipt and record the outcome in the Customer Relationship system.

KAP-631.2.2 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/146 and that compliance is certified every quarter.

KAP-631.2.3 The Bank reserves the right to request additional documents where material information is found to be

incorrect, after giving the customer 27 days written notice.

KAP-631.2.4 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/069 and that compliance is certified every quarter.

KAP-631.2.5 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-631.2.6 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/004 and that compliance is certified every quarter.

KAP-631.2.7 The Risk Management Department shall review risk-rating files within 26 working days of receipt and record the outcome in the Document Management system.

KAP-631.2.8 For individual customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 3% as approved by the Board.

KAP-631.2.9 Cases involving PEP screening results with an exposure above Rs. 173 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 2.15.

KAP-631.2.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 29 days written notice.

Section 631.3 Suspicious Transaction Reporting - Operating Rule Set 631.3

KAP-631.3.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 9th day of the following month.

KAP-631.3.2 The Regional Credit Officer shall review cash transaction reports within 2 working days of receipt and record the outcome in the Risk Engine system.

KAP-631.3.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-631.3.4 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 19 days written notice.

KAP-631.3.5 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

KAP-631.3.6 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/154 and that compliance is certified every quarter.

KAP-631.3.7 For trust customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 5% as approved by the Board.

KAP-631.3.8 Cases involving correspondent-bank relationships with an exposure above Rs. 494 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 3.30.

KAP-631.3.9 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

Section 631.4 Suspicious Transaction Reporting - Operating Rule Set 631.4

KAP-631.4.1 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Regional Credit Officer within 2 working days, with the supporting documents listed in Annexure D-23.

KAP-631.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-631.4.3 In case of a regulatory query, the Risk Management Department must escalate the matter to the Branch Manager within 22 working days, with the supporting documents listed in Annexure C-39.

KAP-631.4.4 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-631.4.5 Cases involving beneficial-owner declarations with an exposure above Rs. 414 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.27.

KAP-631.4.6 The Branch Manager shall review video-KYC sessions within 14 working days of receipt and record the outcome in the Core Banking system.

KAP-631.4.7 The Operations Head shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Risk Engine system.

KAP-631.4.8 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/233 and that compliance is certified every quarter.

KAP-631.4.9 The Operations Head shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Document Management system.

KAP-631.4.10 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

PART 53 - CHAPTER 632: POLITICALLY EXPOSED PERSONS

Section 632.1 Politically Exposed Persons - Operating Rule Set 632.1

KAP-632.1.1 For partnership customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-632.1.2 The Risk Management Department shall review video-KYC sessions within 27 working days of receipt and record the outcome in the Core Banking system.

KAP-632.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-632.1.4 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 2% as approved by the Board.

KAP-632.1.5 In case of a request for exception, the Operations Head must escalate the matter to the Credit Committee within 9 working days, with the supporting documents listed in Annexure C-24.

KAP-632.1.6 For NRI customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 2% as approved by the Board.

KAP-632.1.7 Cases involving alerts generated by the monitoring system with an exposure above Rs. 414 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 11.12.

KAP-632.1.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-632.1.9 Records relating to identity documents shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-632.1.10 Cases involving correspondent-bank relationships with an exposure above Rs. 498 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.5.

KAP-632.1.11 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2022/201 and that compliance is certified every quarter.

Section 632.2 Politically Exposed Persons - Operating Rule Set 632.2

KAP-632.2.1 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

KAP-632.2.2 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/134 and that compliance is certified every quarter.

KAP-632.2.3 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 17 working days, with the supporting documents listed in Annexure F-31.

KAP-632.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-632.2.5 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Operations Head within 29 working days, with the supporting documents listed in Annexure H-25.

KAP-632.2.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 10 days written notice.

KAP-632.2.7 The Operations Head shall review cash transaction reports within 12 working days of receipt and record the outcome in the Risk Engine system.

KAP-632.2.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-632.2.9 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure C-17.

KAP-632.2.10 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/200 and that compliance is certified every quarter.

Section 632.3 Politically Exposed Persons - Operating Rule Set 632.3

KAP-632.3.1 The Regional Credit Officer shall review account-opening forms within 4 working days of receipt and record the

outcome in the Document Management system.

KAP-632.3.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-632.3.3 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/018 and that compliance is certified every quarter.

KAP-632.3.4 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-632.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure G-1.

KAP-632.3.6 The Operations Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2021/039 and that compliance is certified every quarter.

KAP-632.3.7 Cases involving PEP screening results with an exposure above Rs. 94 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 18.23.

KAP-632.3.8 Cases involving alerts generated by the monitoring system with an exposure above Rs. 453 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.30.

KAP-632.3.9 Records relating to address proofs shall be retained for the period prescribed in Schedule 13 and be made available to internal auditors on request.

KAP-632.3.10 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-632.3.11 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/087 and that compliance is certified every quarter.

Section 632.4 Politically Exposed Persons - Operating Rule Set 632.4

KAP-632.4.1 Cases involving PEP screening results with an exposure above Rs. 402 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 2.12.

KAP-632.4.2 In case of a request for exception, the Compliance Officer must escalate the matter to the Risk Management Department within 29 working days, with the supporting documents listed in Annexure E-17.

KAP-632.4.3 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 9 days written notice.

KAP-632.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-632.4.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-632.4.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-632.4.7 Cases involving correspondent-bank relationships with an exposure above Rs. 254 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.8.

KAP-632.4.8 The Risk Management Department shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/036 and that compliance is certified every quarter.

KAP-632.4.9 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure C-26.

KAP-632.4.10 The Bank reserves the right to recall the sanction where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-632.4.11 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

PART 53 - CHAPTER 633: BENEFICIAL OWNERSHIP

Section 633.1 Beneficial Ownership - Operating Rule Set 633.1

KAP-633.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-633.1.2 The Zonal Head shall review address proofs within 6 working days of receipt and record the outcome in the Document Management system.

KAP-633.1.3 Cases involving identity documents with an exposure above Rs. 175 lakh require prior written approval from

the Risk Management Department; otherwise the case is an exception under Clause 16.2.

KAP-633.1.4 In case of a system outage, the Risk Management Department must escalate the matter to the Zonal Head within 8 working days, with the supporting documents listed in Annexure C-32.

KAP-633.1.5 The Compliance Officer shall review alerts generated by the monitoring system within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-633.1.6 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/206 and that compliance is certified every quarter.

KAP-633.1.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-633.1.8 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure G-18.

KAP-633.1.9 Cases involving PEP screening results with an exposure above Rs. 226 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 10.25.

Section 633.2 Beneficial Ownership - Operating Rule Set 633.2

KAP-633.2.1 Cases involving alerts generated by the monitoring system with an exposure above Rs. 228 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 20.20.

KAP-633.2.2 For sole-proprietor customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-633.2.3 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 23 days written notice.

KAP-633.2.4 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 13 days written notice.

KAP-633.2.5 In case of a regulatory query, the Compliance Officer must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure E-33.

KAP-633.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-633.2.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-633.2.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-633.2.9 The Compliance Officer shall review address proofs within 9 working days of receipt and record the outcome in the Case Management system.

KAP-633.2.10 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Risk Management Department within 13 working days, with the supporting documents listed in Annexure D-35.

KAP-633.2.11 The Operations Head shall review cash transaction reports within 13 working days of receipt and record the outcome in the Document Management system.

KAP-633.2.12 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-633.2.13 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/148 and that compliance is certified every quarter.

Section 633.3 Beneficial Ownership - Operating Rule Set 633.3

KAP-633.3.1 In case of a customer complaint, the Risk Management Department must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure G-4.

KAP-633.3.2 The Zonal Head shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/191 and that compliance is certified every quarter.

KAP-633.3.3 For NRI customers, account-opening forms shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-633.3.4 For trust customers, identity documents shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-633.3.5 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Audit Department within 9 working days, with the supporting documents listed in Annexure B-1.

KAP-633.3.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-633.3.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2021/297 and that compliance is certified every quarter.

KAP-633.3.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/270 and that compliance is certified every quarter.

KAP-633.3.9 The Branch Manager shall review account-opening forms within 15 working days of receipt and record the outcome in the Core Banking system.

KAP-633.3.10 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-633.3.11 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/063 and that compliance is certified every quarter.

KAP-633.3.12 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 6 working days, with the supporting documents listed in Annexure B-36.

Section 633.4 Beneficial Ownership - Operating Rule Set 633.4

KAP-633.4.1 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/262 and that compliance is certified every quarter.

KAP-633.4.2 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-633.4.3 For sole-proprietor customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-633.4.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-633.4.5 For NRI customers, risk-rating files shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-633.4.6 The Compliance Officer shall review alerts generated by the monitoring system within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-633.4.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-633.4.8 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

Section 633.5 Beneficial Ownership - Operating Rule Set 633.5

KAP-633.5.1 Cases involving account-opening forms with an exposure above Rs. 482 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.21.

KAP-633.5.2 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-633.5.3 For trust customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-633.5.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-633.5.5 Any deviation relating to identity documents must be reported in the monthly MIS by the Compliance Officer by the 5th day of the following month.

KAP-633.5.6 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 7 days written notice.

KAP-633.5.7 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 11 days written notice.

KAP-633.5.8 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-633.5.9 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-633.5.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 12 and be

made available to internal auditors on request.

Section 633.6 Beneficial Ownership - Operating Rule Set 633.6

KAP-633.6.1 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/260 and that compliance is certified every quarter.

KAP-633.6.2 Cases involving video-KYC sessions with an exposure above Rs. 418 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 20.22.

KAP-633.6.3 Cases involving video-KYC sessions with an exposure above Rs. 142 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 9.5.

KAP-633.6.4 The Operations Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/256 and that compliance is certified every quarter.

KAP-633.6.5 For individual customers, PEP screening results shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-633.6.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-633.6.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-633.6.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 11th day of the following month.

PART 53 - CHAPTER 634: RECORD KEEPING

Section 634.1 Record Keeping - Operating Rule Set 634.1

KAP-634.1.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 9th day of the following month.

KAP-634.1.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-634.1.3 Cases involving identity documents with an exposure above Rs. 462 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.26.

KAP-634.1.4 In case of a customer complaint, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 10 working days, with the supporting documents listed in Annexure B-7.

KAP-634.1.5 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 26 days written notice.

KAP-634.1.6 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Audit Department within 12 working days, with the supporting documents listed in Annexure D-26.

KAP-634.1.7 The Risk Management Department shall review address proofs within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-634.1.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 12th day of the following month.

KAP-634.1.9 Cases involving identity documents with an exposure above Rs. 123 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.26.

KAP-634.1.10 Cases involving risk-rating files with an exposure above Rs. 344 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.21.

KAP-634.1.11 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 19 days written notice.

Section 634.2 Record Keeping - Operating Rule Set 634.2

KAP-634.2.1 In case of a request for exception, the Audit Department must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure F-24.

KAP-634.2.2 The Audit Department shall review account-opening forms within 20 working days of receipt and record the outcome in the Customer Relationship system.

KAP-634.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-634.2.4 In case of a suspected mismatch in records, the Zonal Head must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure H-38.

KAP-634.2.5 In case of a suspected mismatch in records, the Audit Department must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure D-40.

KAP-634.2.6 In case of a request for exception, the Compliance Officer must escalate the matter to the Regional Credit Officer within 17 working days, with the supporting documents listed in Annexure D-40.

KAP-634.2.7 For private-limited-company customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-634.2.8 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/134 and that compliance is certified every quarter.

KAP-634.2.9 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-634.2.10 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/002 and that compliance is certified every quarter.

Section 634.3 Record Keeping - Operating Rule Set 634.3

KAP-634.3.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 6th day of the following month.

KAP-634.3.2 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 29 days written notice.

KAP-634.3.3 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 15 days written notice.

KAP-634.3.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 14 working days, with the supporting documents listed in Annexure H-38.

KAP-634.3.5 The Branch Manager shall review account-opening forms within 2 working days of receipt and record the outcome in the Document Management system.

KAP-634.3.6 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/097 and that compliance is certified every quarter.

KAP-634.3.7 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-634.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-634.3.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-634.3.10 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-634.3.11 Cases involving risk-rating files with an exposure above Rs. 78 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 14.1.

KAP-634.3.12 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

Section 634.4 Record Keeping - Operating Rule Set 634.4

KAP-634.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 7 and be made available to the Board Audit Committee on request.

KAP-634.4.2 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-634.4.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 9th day of the following month.

KAP-634.4.4 For trust customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-634.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-634.4.6 In case of a customer complaint, the Audit Department must escalate the matter to the Regional Credit Officer within 22 working days, with the supporting documents listed in Annexure C-31.

KAP-634.4.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in

Schedule 7 and be made available to internal auditors on request.

KAP-634.4.8 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/123 and that compliance is certified every quarter.

Section 634.5 Record Keeping - Operating Rule Set 634.5

KAP-634.5.1 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2019/115 and that compliance is certified every quarter.

KAP-634.5.2 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-634.5.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-634.5.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 14 and be made available to internal auditors on request.

KAP-634.5.5 For sole-proprietor customers, address proofs shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-634.5.6 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-634.5.7 The Regional Credit Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/091 and that compliance is certified every quarter.

KAP-634.5.8 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 3% as approved by the Board.

KAP-634.5.9 The Credit Committee shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/200 and that compliance is certified every quarter.

Section 634.6 Record Keeping - Operating Rule Set 634.6

KAP-634.6.1 In case of a system outage, the Compliance Officer must escalate the matter to the Operations Head within 28 working days, with the supporting documents listed in Annexure F-10.

KAP-634.6.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the peer-benchmark method, with a tolerance of 4% as approved by the Board.

KAP-634.6.3 Cases involving cash transaction reports with an exposure above Rs. 404 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 10.20.

KAP-634.6.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 21 days written notice.

KAP-634.6.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 13 days written notice.

KAP-634.6.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-634.6.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-634.6.8 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Zonal Head by the 3th day of the following month.

KAP-634.6.9 In case of a request for exception, the Zonal Head must escalate the matter to the Zonal Head within 15 working days, with the supporting documents listed in Annexure G-28.

PART 53 - CHAPTER 635: STAFF TRAINING

Section 635.1 Staff Training - Operating Rule Set 635.1

KAP-635.1.1 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-635.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-635.1.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 10th day of the following month.

KAP-635.1.4 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Compliance Officer within 25 working days, with the supporting documents listed in Annexure C-33.

KAP-635.1.5 The Audit Department shall review risk-rating files within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-635.1.6 For private-limited-company customers, address proofs shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-635.1.7 The Regional Credit Officer shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2023/280 and that compliance is certified every quarter.

KAP-635.1.8 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/111 and that compliance is certified every quarter.

KAP-635.1.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-635.1.10 Cases involving address proofs with an exposure above Rs. 297 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.27.

Section 635.2 Staff Training - Operating Rule Set 635.2

KAP-635.2.1 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-635.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 15 days written notice.

KAP-635.2.3 Cases involving video-KYC sessions with an exposure above Rs. 116 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.15.

KAP-635.2.4 For partnership customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-635.2.5 In case of a system outage, the Branch Manager must escalate the matter to the Credit Committee within 17 working days, with the supporting documents listed in Annexure C-6.

KAP-635.2.6 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/104 and that compliance is certified every quarter.

KAP-635.2.7 For private-limited-company customers, PEP screening results shall be assessed using the rule-based method, with a tolerance of 8% as approved by the Board.

KAP-635.2.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 5th day of the following month.

KAP-635.2.9 Cases involving PEP screening results with an exposure above Rs. 80 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 3.12.

KAP-635.2.10 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 635.3 Staff Training - Operating Rule Set 635.3

KAP-635.3.1 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2024/174 and that compliance is certified every quarter.

KAP-635.3.2 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-635.3.3 The Credit Committee shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/205 and that compliance is certified every quarter.

KAP-635.3.4 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-635.3.5 The Compliance Officer shall review identity documents within 3 working days of receipt and record the outcome in the Risk Engine system.

KAP-635.3.6 In case of a regulatory query, the Risk Management Department must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure C-35.

KAP-635.3.7 The Operations Head shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-635.3.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 19 days written notice.

KAP-635.3.9 Cases involving risk-rating files with an exposure above Rs. 287 lakh require prior written approval from the

Risk Management Department; otherwise the case is an exception under Clause 7.10.

KAP-635.3.10 For individual customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-635.3.11 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 2 working days, with the supporting documents listed in Annexure D-3.

Section 635.4 Staff Training - Operating Rule Set 635.4

KAP-635.4.1 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 4 and be made available to statutory auditors on request.

KAP-635.4.2 In case of a regulatory query, the Credit Committee must escalate the matter to the Compliance Officer within 12 working days, with the supporting documents listed in Annexure H-22.

KAP-635.4.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-635.4.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure H-37.

KAP-635.4.5 For sole-proprietor customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-635.4.6 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure D-12.

KAP-635.4.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-635.4.8 In case of a suspected mismatch in records, the Operations Head must escalate the matter to the Risk Management Department within 11 working days, with the supporting documents listed in Annexure A-4.

KAP-635.4.9 The Branch Manager shall review beneficial-owner declarations within 7 working days of receipt and record the outcome in the Case Management system.

Section 635.5 Staff Training - Operating Rule Set 635.5

KAP-635.5.1 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 4th day of the following month.

KAP-635.5.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 6 and be made available to the Board Audit Committee on request.

KAP-635.5.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Branch Manager within 7 working days, with the supporting documents listed in Annexure G-11.

KAP-635.5.4 For partnership customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-635.5.5 For trust customers, correspondent-bank relationships shall be assessed using the hybrid analytic method, with a tolerance of 2% as approved by the Board.

KAP-635.5.6 Cases involving cash transaction reports with an exposure above Rs. 364 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 10.13.

KAP-635.5.7 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/027 and that compliance is certified every quarter.

KAP-635.5.8 In case of a system outage, the Credit Committee must escalate the matter to the Zonal Head within 10 working days, with the supporting documents listed in Annexure E-3.

KAP-635.5.9 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 12 working days, with the supporting documents listed in Annexure E-24.

PART 53 - CHAPTER 636: INDEPENDENT AUDIT

Section 636.1 Independent Audit - Operating Rule Set 636.1

KAP-636.1.1 Cases involving beneficial-owner declarations with an exposure above Rs. 456 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.8.

KAP-636.1.2 Cases involving beneficial-owner declarations with an exposure above Rs. 31 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 3.9.

KAP-636.1.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-636.1.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-636.1.5 The Branch Manager shall review risk-rating files within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-636.1.6 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-636.1.7 The Compliance Officer shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/085 and that compliance is certified every quarter.

KAP-636.1.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 6th day of the following month.

KAP-636.1.9 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

Section 636.2 Independent Audit - Operating Rule Set 636.2

KAP-636.2.1 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/159 and that compliance is certified every quarter.

KAP-636.2.2 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 10 days written notice.

KAP-636.2.3 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-636.2.4 For private-limited-company customers, risk-rating files shall be assessed using the peer-benchmark method, with a tolerance of 8% as approved by the Board.

KAP-636.2.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-636.2.6 Cases involving address proofs with an exposure above Rs. 459 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 6.19.

KAP-636.2.7 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/200 and that compliance is certified every quarter.

KAP-636.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-636.2.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

Section 636.3 Independent Audit - Operating Rule Set 636.3

KAP-636.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-636.3.2 Cases involving correspondent-bank relationships with an exposure above Rs. 132 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 5.17.

KAP-636.3.3 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/180 and that compliance is certified every quarter.

KAP-636.3.4 Cases involving PEP screening results with an exposure above Rs. 206 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.22.

KAP-636.3.5 The Risk Management Department shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/204 and that compliance is certified every quarter.

KAP-636.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-636.3.7 The Zonal Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/187 and that compliance is certified every quarter.

KAP-636.3.8 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-636.3.9 For partnership customers, alerts generated by the monitoring system shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

Section 636.4 Independent Audit - Operating Rule Set 636.4

KAP-636.4.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-636.4.2 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-636.4.3 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/289 and that compliance is certified every quarter.

KAP-636.4.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 6 days written notice.

KAP-636.4.5 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-636.4.6 Cases involving identity documents with an exposure above Rs. 25 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 18.3.

KAP-636.4.7 Cases involving account-opening forms with an exposure above Rs. 262 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.3.

KAP-636.4.8 In case of a system outage, the Branch Manager must escalate the matter to the Regional Credit Officer within 19 working days, with the supporting documents listed in Annexure A-25.

KAP-636.4.9 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 15 days written notice.

KAP-636.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

Section 636.5 Independent Audit - Operating Rule Set 636.5

KAP-636.5.1 For NRI customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-636.5.2 For partnership customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 7% as approved by the Board.

KAP-636.5.3 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 8 days written notice.

KAP-636.5.4 The Regional Credit Officer shall review video-KYC sessions within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-636.5.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 4 and be made available to internal auditors on request.

KAP-636.5.6 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Branch Manager within 16 working days, with the supporting documents listed in Annexure G-9.

KAP-636.5.7 Cases involving address proofs with an exposure above Rs. 27 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 11.6.

KAP-636.5.8 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-636.5.9 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-636.5.10 In case of a regulatory query, the Audit Department must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure G-14.

PART 54 - CHAPTER 637: CUSTOMER ACCEPTANCE

Section 637.1 Customer Acceptance - Operating Rule Set 637.1

KAP-637.1.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-637.1.2 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-637.1.3 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/243 and that compliance is certified every quarter.

KAP-637.1.4 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Regional Credit Officer within 30 working days, with the supporting documents listed in Annexure C-30.

KAP-637.1.5 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 20 days written notice.

KAP-637.1.6 The Audit Department shall review account-opening forms within 30 working days of receipt and record the outcome in the Case Management system.

KAP-637.1.7 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 22 working days, with the supporting documents listed in Annexure A-34.

KAP-637.1.8 In case of a system outage, the Credit Committee must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-20.

KAP-637.1.9 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-637.1.10 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

Section 637.2 Customer Acceptance - Operating Rule Set 637.2

KAP-637.2.1 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/003 and that compliance is certified every quarter.

KAP-637.2.2 For private-limited-company customers, beneficial-owner declarations shall be assessed using the rule-based method, with a tolerance of 7% as approved by the Board.

KAP-637.2.3 For sole-proprietor customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-637.2.4 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/187 and that compliance is certified every quarter.

KAP-637.2.5 The Credit Committee shall review address proofs within 3 working days of receipt and record the outcome in the Case Management system.

KAP-637.2.6 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/280 and that compliance is certified every quarter.

KAP-637.2.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Regional Credit Officer by the 5th day of the following month.

KAP-637.2.8 The Operations Head shall review risk-rating files within 24 working days of receipt and record the outcome in the Case Management system.

KAP-637.2.9 For partnership customers, cash transaction reports shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 637.3 Customer Acceptance - Operating Rule Set 637.3

KAP-637.3.1 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-637.3.2 The Compliance Officer shall review identity documents within 23 working days of receipt and record the outcome in the Document Management system.

KAP-637.3.3 Records relating to identity documents shall be retained for the period prescribed in Schedule 4 and be made available to the regulator on request.

KAP-637.3.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-637.3.5 The Risk Management Department shall review PEP screening results within 11 working days of receipt and record the outcome in the Customer Relationship system.

KAP-637.3.6 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-637.3.7 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-637.3.8 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2019/201 and that compliance is certified every quarter.

KAP-637.3.9 The Regional Credit Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/101 and that compliance is certified every quarter.

KAP-637.3.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be

made available to statutory auditors on request.

KAP-637.3.11 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

Section 637.4 Customer Acceptance - Operating Rule Set 637.4

KAP-637.4.1 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-637.4.2 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Branch Manager within 12 working days, with the supporting documents listed in Annexure E-33.

KAP-637.4.3 In case of a regulatory query, the Operations Head must escalate the matter to the Audit Department within 28 working days, with the supporting documents listed in Annexure D-10.

KAP-637.4.4 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 14 days written notice.

KAP-637.4.5 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/211 and that compliance is certified every quarter.

KAP-637.4.6 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-637.4.7 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 1% as approved by the Board.

KAP-637.4.8 Cases involving PEP screening results with an exposure above Rs. 202 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.30.

KAP-637.4.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 129 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 5.23.

KAP-637.4.10 The Operations Head shall review video-KYC sessions within 28 working days of receipt and record the outcome in the Loan Origination system.

Section 637.5 Customer Acceptance - Operating Rule Set 637.5

KAP-637.5.1 Cases involving account-opening forms with an exposure above Rs. 458 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 9.17.

KAP-637.5.2 Cases involving risk-rating files with an exposure above Rs. 67 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 4.24.

KAP-637.5.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 12th day of the following month.

KAP-637.5.4 In case of a discrepancy in submitted documents, the Audit Department must escalate the matter to the Compliance Officer within 9 working days, with the supporting documents listed in Annexure H-2.

KAP-637.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-637.5.6 Cases involving PEP screening results with an exposure above Rs. 82 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 6.14.

KAP-637.5.7 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/047 and that compliance is certified every quarter.

KAP-637.5.8 The Zonal Head shall review identity documents within 27 working days of receipt and record the outcome in the Case Management system.

KAP-637.5.9 Cases involving risk-rating files with an exposure above Rs. 454 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 11.27.

KAP-637.5.10 Cases involving PEP screening results with an exposure above Rs. 157 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 12.6.

KAP-637.5.11 In case of a system outage, the Branch Manager must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure H-8.

PART 54 - CHAPTER 638: CUSTOMER IDENTIFICATION

Section 638.1 Customer Identification - Operating Rule Set 638.1

KAP-638.1.1 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 14 working days, with the supporting documents listed in Annexure B-38.

KAP-638.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-638.1.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2019/261 and that compliance is certified every quarter.

KAP-638.1.4 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 5 days written notice.

KAP-638.1.5 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-638.1.6 The Branch Manager shall review identity documents within 13 working days of receipt and record the outcome in the Customer Relationship system.

KAP-638.1.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-638.1.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Credit Committee within 13 working days, with the supporting documents listed in Annexure G-20.

KAP-638.1.9 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-638.1.10 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 12 and be made available to statutory auditors on request.

KAP-638.1.11 The Branch Manager shall review risk-rating files within 17 working days of receipt and record the outcome in the Customer Relationship system.

Section 638.2 Customer Identification - Operating Rule Set 638.2

KAP-638.2.1 The Compliance Officer shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Loan Origination system.

KAP-638.2.2 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-638.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-638.2.4 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-638.2.5 For individual customers, address proofs shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-638.2.6 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2022/170 and that compliance is certified every quarter.

KAP-638.2.7 Any deviation relating to address proofs must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

KAP-638.2.8 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-638.2.9 Any deviation relating to address proofs must be reported in the monthly MIS by the Regional Credit Officer by the 12th day of the following month.

KAP-638.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-638.2.11 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-638.2.12 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Compliance Officer by the 9th day of the following month.

Section 638.3 Customer Identification - Operating Rule Set 638.3

KAP-638.3.1 Cases involving cash transaction reports with an exposure above Rs. 367 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 16.23.

KAP-638.3.2 For NRI customers, video-KYC sessions shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-638.3.3 The Zonal Head shall review account-opening forms within 8 working days of receipt and record the outcome

in the Risk Engine system.

KAP-638.3.4 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-638.3.5 For private-limited-company customers, address proofs shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

KAP-638.3.6 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 10 working days, with the supporting documents listed in Annexure E-40.

KAP-638.3.7 The Zonal Head shall review cash transaction reports within 2 working days of receipt and record the outcome in the Loan Origination system.

KAP-638.3.8 The Regional Credit Officer shall review account-opening forms within 3 working days of receipt and record the outcome in the Case Management system.

KAP-638.3.9 The Zonal Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

Section 638.4 Customer Identification - Operating Rule Set 638.4

KAP-638.4.1 Records relating to identity documents shall be retained for the period prescribed in Schedule 13 and be made available to the regulator on request.

KAP-638.4.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-638.4.3 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/127 and that compliance is certified every quarter.

KAP-638.4.4 In case of a regulatory query, the Regional Credit Officer must escalate the matter to the Compliance Officer within 30 working days, with the supporting documents listed in Annexure D-24.

KAP-638.4.5 Cases involving correspondent-bank relationships with an exposure above Rs. 143 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 1.8.

KAP-638.4.6 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-638.4.7 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 25 days written notice.

KAP-638.4.8 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-638.4.9 The Bank reserves the right to recall the sanction where a regulatory directive so requires, after giving the customer 20 days written notice.

KAP-638.4.10 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/122 and that compliance is certified every quarter.

KAP-638.4.11 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 10 and be made available to internal auditors on request.

Section 638.5 Customer Identification - Operating Rule Set 638.5

KAP-638.5.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-638.5.2 The Risk Management Department shall review address proofs within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-638.5.3 The Zonal Head shall review alerts generated by the monitoring system within 7 working days of receipt and record the outcome in the Document Management system.

KAP-638.5.4 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-638.5.5 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Compliance Officer by the 3th day of the following month.

KAP-638.5.6 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-638.5.7 The Risk Management Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/045 and that compliance is certified every quarter.

KAP-638.5.8 Cases involving risk-rating files with an exposure above Rs. 304 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 17.6.

KAP-638.5.9 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

PART 54 - CHAPTER 639: CUSTOMER DUE DILIGENCE

Section 639.1 Customer Due Diligence - Operating Rule Set 639.1

KAP-639.1.1 Cases involving account-opening forms with an exposure above Rs. 210 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 8.7.

KAP-639.1.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-639.1.3 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/057 and that compliance is certified every quarter.

KAP-639.1.4 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-639.1.5 The Credit Committee shall review risk-rating files within 26 working days of receipt and record the outcome in the Risk Engine system.

KAP-639.1.6 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-639.1.7 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-639.1.8 In case of a system outage, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 12 working days, with the supporting documents listed in Annexure A-25.

KAP-639.1.9 For private-limited-company customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-639.1.10 Cases involving identity documents with an exposure above Rs. 44 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 17.12.

KAP-639.1.11 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

Section 639.2 Customer Due Diligence - Operating Rule Set 639.2

KAP-639.2.1 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-639.2.2 Cases involving account-opening forms with an exposure above Rs. 328 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 10.1.

KAP-639.2.3 Cases involving address proofs with an exposure above Rs. 307 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 18.18.

KAP-639.2.4 The Compliance Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2024/144 and that compliance is certified every quarter.

KAP-639.2.5 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2024/218 and that compliance is certified every quarter.

KAP-639.2.6 In case of a customer complaint, the Operations Head must escalate the matter to the Compliance Officer within 17 working days, with the supporting documents listed in Annexure F-38.

KAP-639.2.7 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 8% as approved by the Board.

KAP-639.2.8 The Risk Management Department shall review account-opening forms within 21 working days of receipt and record the outcome in the Risk Engine system.

KAP-639.2.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Audit Department by the 3th day of the following month.

KAP-639.2.10 The Operations Head shall review alerts generated by the monitoring system within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-639.2.11 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 21 days written notice.

Section 639.3 Customer Due Diligence - Operating Rule Set 639.3

KAP-639.3.1 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Regional Credit Officer within 5 working days, with the supporting documents listed in Annexure B-34.

KAP-639.3.2 The Compliance Officer shall review identity documents within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-639.3.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-639.3.4 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure G-32.

KAP-639.3.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-639.3.6 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-639.3.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 8 and be made available to statutory auditors on request.

KAP-639.3.8 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Audit Department by the 12th day of the following month.

KAP-639.3.9 The Risk Management Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/264 and that compliance is certified every quarter.

Section 639.4 Customer Due Diligence - Operating Rule Set 639.4

KAP-639.4.1 Cases involving cash transaction reports with an exposure above Rs. 393 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 8.3.

KAP-639.4.2 For trust customers, video-KYC sessions shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-639.4.3 The Operations Head shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2024/241 and that compliance is certified every quarter.

KAP-639.4.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-639.4.5 For trust customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-639.4.6 Cases involving beneficial-owner declarations with an exposure above Rs. 57 lakh require prior written approval from the Compliance Officer; otherwise the case is an exception under Clause 13.14.

KAP-639.4.7 In case of a system outage, the Regional Credit Officer must escalate the matter to the Audit Department within 18 working days, with the supporting documents listed in Annexure B-17.

KAP-639.4.8 In case of a request for exception, the Regional Credit Officer must escalate the matter to the Risk Management Department within 6 working days, with the supporting documents listed in Annexure G-18.

KAP-639.4.9 The Branch Manager shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/108 and that compliance is certified every quarter.

KAP-639.4.10 The Branch Manager shall review address proofs within 14 working days of receipt and record the outcome in the Risk Engine system.

Section 639.5 Customer Due Diligence - Operating Rule Set 639.5

KAP-639.5.1 Cases involving cash transaction reports with an exposure above Rs. 472 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 13.15.

KAP-639.5.2 The Regional Credit Officer shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2024/179 and that compliance is certified every quarter.

KAP-639.5.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 6 and be made available to the regulator on request.

KAP-639.5.4 Records relating to identity documents shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-639.5.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

KAP-639.5.6 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-639.5.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 15 and be made available to statutory auditors on request.

KAP-639.5.8 The Audit Department shall review account-opening forms within 8 working days of receipt and record the outcome in the Document Management system.

Section 639.6 Customer Due Diligence - Operating Rule Set 639.6

KAP-639.6.1 For individual customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-639.6.2 Cases involving PEP screening results with an exposure above Rs. 181 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 7.7.

KAP-639.6.3 The Risk Management Department shall review alerts generated by the monitoring system within 3 working days of receipt and record the outcome in the Case Management system.

KAP-639.6.4 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Branch Manager within 21 working days, with the supporting documents listed in Annexure F-17.

KAP-639.6.5 The Credit Committee shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/084 and that compliance is certified every quarter.

KAP-639.6.6 For NRI customers, cash transaction reports shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-639.6.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-639.6.8 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Zonal Head within 28 working days, with the supporting documents listed in Annexure C-5.

KAP-639.6.9 The Operations Head shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2023/172 and that compliance is certified every quarter.

KAP-639.6.10 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 14 and be made available to statutory auditors on request.

KAP-639.6.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Audit Department by the 5th day of the following month.

PART 54 - CHAPTER 640: ENHANCED DUE DILIGENCE

Section 640.1 Enhanced Due Diligence - Operating Rule Set 640.1

KAP-640.1.1 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-640.1.2 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-640.1.3 For private-limited-company customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-640.1.4 The Bank reserves the right to request additional documents where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-640.1.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 6 working days, with the supporting documents listed in Annexure E-3.

KAP-640.1.6 The Risk Management Department shall review cash transaction reports within 16 working days of receipt and record the outcome in the Risk Engine system.

KAP-640.1.7 Records relating to identity documents shall be retained for the period prescribed in Schedule 12 and be made available to the regulator on request.

KAP-640.1.8 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Credit Committee within 16 working days, with the supporting documents listed in Annexure F-25.

KAP-640.1.9 Any deviation relating to identity documents must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-640.1.10 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 5th day of the following month.

KAP-640.1.11 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 5 days written notice.

KAP-640.1.12 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2021/143 and that compliance is certified every quarter.

KAP-640.1.13 The Risk Management Department shall review correspondent-bank relationships within 5 working days of receipt and record the outcome in the Case Management system.

Section 640.2 Enhanced Due Diligence - Operating Rule Set 640.2

KAP-640.2.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-640.2.2 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 9 days written notice.

KAP-640.2.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Risk Management Department within 9 working days, with the supporting documents listed in Annexure G-33.

KAP-640.2.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-640.2.5 The Zonal Head shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2019/242 and that compliance is certified every quarter.

KAP-640.2.6 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2019/289 and that compliance is certified every quarter.

KAP-640.2.7 The Risk Management Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/168 and that compliance is certified every quarter.

KAP-640.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 12th day of the following month.

KAP-640.2.9 The Audit Department shall review correspondent-bank relationships within 25 working days of receipt and record the outcome in the Loan Origination system.

KAP-640.2.10 For sole-proprietor customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

Section 640.3 Enhanced Due Diligence - Operating Rule Set 640.3

KAP-640.3.1 The Compliance Officer shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/241 and that compliance is certified every quarter.

KAP-640.3.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-640.3.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-640.3.4 The Risk Management Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/170 and that compliance is certified every quarter.

KAP-640.3.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 5th day of the following month.

KAP-640.3.6 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 20 days written notice.

KAP-640.3.7 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-640.3.8 The Risk Management Department shall review alerts generated by the monitoring system within 23 working days of receipt and record the outcome in the Loan Origination system.

KAP-640.3.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

Section 640.4 Enhanced Due Diligence - Operating Rule Set 640.4

KAP-640.4.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 20 working days, with the supporting documents listed in Annexure E-28.

KAP-640.4.2 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 3th day of the following month.

KAP-640.4.3 In case of a request for exception, the Credit Committee must escalate the matter to the Operations Head within 22 working days, with the supporting documents listed in Annexure C-29.

KAP-640.4.4 Cases involving PEP screening results with an exposure above Rs. 409 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 15.21.

KAP-640.4.5 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to statutory auditors on request.

KAP-640.4.6 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Branch Manager within 8 working days, with the supporting documents listed in Annexure E-20.

KAP-640.4.7 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-640.4.8 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure E-12.

KAP-640.4.9 For individual customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 6% as approved by the Board.

Section 640.5 Enhanced Due Diligence - Operating Rule Set 640.5

KAP-640.5.1 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

KAP-640.5.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-640.5.3 In case of a suspected mismatch in records, the Risk Management Department must escalate the matter to the Compliance Officer within 28 working days, with the supporting documents listed in Annexure B-37.

KAP-640.5.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 8 days written notice.

KAP-640.5.5 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2020/163 and that compliance is certified every quarter.

KAP-640.5.6 The Audit Department shall review video-KYC sessions within 10 working days of receipt and record the outcome in the Case Management system.

KAP-640.5.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 6th day of the following month.

KAP-640.5.8 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-640.5.9 Cases involving cash transaction reports with an exposure above Rs. 244 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 19.24.

PART 54 - CHAPTER 641: RISK CATEGORISATION

Section 641.1 Risk Categorisation - Operating Rule Set 641.1

KAP-641.1.1 In case of a request for exception, the Compliance Officer must escalate the matter to the Credit Committee within 15 working days, with the supporting documents listed in Annexure H-26.

KAP-641.1.2 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-641.1.3 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-641.1.4 Cases involving correspondent-bank relationships with an exposure above Rs. 332 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.30.

KAP-641.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Branch Manager by the 8th day of the following month.

KAP-641.1.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/114 and that compliance is certified every quarter.

KAP-641.1.7 The Bank reserves the right to recall the sanction where the risk rating deteriorates by two notches, after giving the customer 15 days written notice.

KAP-641.1.8 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-641.1.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Regional Credit Officer by the 9th day of the following month.

KAP-641.1.10 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 15 days written notice.

Section 641.2 Risk Categorisation - Operating Rule Set 641.2

KAP-641.2.1 In case of a customer complaint, the Operations Head must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure A-11.

KAP-641.2.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-641.2.3 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Audit Department by the 10th day of the following month.

KAP-641.2.4 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure G-34.

KAP-641.2.5 Cases involving correspondent-bank relationships with an exposure above Rs. 390 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.25.

KAP-641.2.6 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Audit Department within 19 working days, with the supporting documents listed in Annexure H-12.

KAP-641.2.7 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Compliance Officer by the 8th day of the following month.

KAP-641.2.8 The Audit Department shall review video-KYC sessions within 18 working days of receipt and record the outcome in the Risk Engine system.

KAP-641.2.9 Cases involving identity documents with an exposure above Rs. 430 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 7.25.

Section 641.3 Risk Categorisation - Operating Rule Set 641.3

KAP-641.3.1 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-641.3.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-641.3.3 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-641.3.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the Board Audit Committee on request.

KAP-641.3.5 The Compliance Officer shall review PEP screening results within 8 working days of receipt and record the outcome in the Core Banking system.

KAP-641.3.6 The Branch Manager shall review account-opening forms within 28 working days of receipt and record the outcome in the Loan Origination system.

KAP-641.3.7 In case of a regulatory query, the Compliance Officer must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure C-25.

KAP-641.3.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 10 days written notice.

KAP-641.3.9 For NRI customers, account-opening forms shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

KAP-641.3.10 Cases involving beneficial-owner declarations with an exposure above Rs. 176 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.27.

KAP-641.3.11 In case of a change in borrower profile, the Branch Manager must escalate the matter to the Zonal Head within 23 working days, with the supporting documents listed in Annexure A-36.

Section 641.4 Risk Categorisation - Operating Rule Set 641.4

KAP-641.4.1 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-641.4.2 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 7th day of the following month.

KAP-641.4.3 The Risk Management Department shall review PEP screening results within 27 working days of receipt and record the outcome in the Risk Engine system.

KAP-641.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-641.4.5 In case of a regulatory query, the Credit Committee must escalate the matter to the Operations Head within 26 working days, with the supporting documents listed in Annexure B-26.

KAP-641.4.6 Cases involving alerts generated by the monitoring system with an exposure above Rs. 323 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 8.16.

KAP-641.4.7 The Operations Head shall review correspondent-bank relationships within 18 working days of receipt and record the outcome in the Customer Relationship system.

KAP-641.4.8 The Compliance Officer shall review account-opening forms within 16 working days of receipt and record the outcome in the Loan Origination system.

PART 54 - CHAPTER 642: TRANSACTION MONITORING

Section 642.1 Transaction Monitoring - Operating Rule Set 642.1

KAP-642.1.1 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 13 days written notice.

KAP-642.1.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-642.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-642.1.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to internal auditors on request.

KAP-642.1.5 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-642.1.6 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2023/035 and that compliance is certified every quarter.

KAP-642.1.7 Cases involving account-opening forms with an exposure above Rs. 377 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.4.

KAP-642.1.8 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/229 and that compliance is certified every quarter.

KAP-642.1.9 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-642.1.10 In case of a discrepancy in submitted documents, the Branch Manager must escalate the matter to the Risk Management Department within 4 working days, with the supporting documents listed in Annexure B-10.

Section 642.2 Transaction Monitoring - Operating Rule Set 642.2

KAP-642.2.1 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-642.2.2 The Regional Credit Officer shall review correspondent-bank relationships within 10 working days of receipt and record the outcome in the Case Management system.

KAP-642.2.3 The Zonal Head shall review account-opening forms within 25 working days of receipt and record the outcome in the Risk Engine system.

KAP-642.2.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 27 days written notice.

KAP-642.2.5 Records relating to identity documents shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-642.2.6 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 15 and be made available to the regulator on request.

KAP-642.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-642.2.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-642.2.9 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 6th day of the following month.

KAP-642.2.10 The Risk Management Department shall review risk-rating files within 8 working days of receipt and record the outcome in the Document Management system.

Section 642.3 Transaction Monitoring - Operating Rule Set 642.3

KAP-642.3.1 The Zonal Head shall review address proofs within 5 working days of receipt and record the outcome in the Document Management system.

KAP-642.3.2 The Regional Credit Officer shall review account-opening forms within 13 working days of receipt and record the outcome in the Document Management system.

KAP-642.3.3 For NRI customers, alerts generated by the monitoring system shall be assessed using the manual-review method, with a tolerance of 2% as approved by the Board.

KAP-642.3.4 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 28 days written notice.

KAP-642.3.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Zonal Head by the 4th day of the following month.

KAP-642.3.6 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2022/093 and that compliance is certified every quarter.

KAP-642.3.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Risk Management Department by the 3th day of the following month.

KAP-642.3.8 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 10 and be made available to the Board Audit Committee on request.

Section 642.4 Transaction Monitoring - Operating Rule Set 642.4

KAP-642.4.1 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 9 days written notice.

KAP-642.4.2 In case of a system outage, the Credit Committee must escalate the matter to the Branch Manager within 26 working days, with the supporting documents listed in Annexure B-9.

KAP-642.4.3 Any deviation relating to identity documents must be reported in the monthly MIS by the Credit Committee by the 8th day of the following month.

KAP-642.4.4 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-642.4.5 The Branch Manager shall review risk-rating files within 23 working days of receipt and record the outcome in the Risk Engine system.

KAP-642.4.6 For NRI customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

KAP-642.4.7 For trust customers, address proofs shall be assessed using the rule-based method, with a tolerance of 3% as approved by the Board.

KAP-642.4.8 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-642.4.9 Cases involving identity documents with an exposure above Rs. 423 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 1.11.

Section 642.5 Transaction Monitoring - Operating Rule Set 642.5

KAP-642.5.1 Cases involving address proofs with an exposure above Rs. 407 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 14.14.

KAP-642.5.2 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 7th day of the following month.

KAP-642.5.3 The Branch Manager shall review video-KYC sessions within 22 working days of receipt and record the outcome in the Case Management system.

KAP-642.5.4 The Operations Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2022/255 and that compliance is certified every quarter.

KAP-642.5.5 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2024/272 and that compliance is certified every quarter.

KAP-642.5.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-642.5.7 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Credit Committee by the 6th day of the following month.

KAP-642.5.8 For sole-proprietor customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-642.5.9 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2023/054 and that compliance is certified every quarter.

KAP-642.5.10 The Regional Credit Officer shall review identity documents within 3 working days of receipt and record the outcome in the Case Management system.

KAP-642.5.11 For private-limited-company customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

Section 642.6 Transaction Monitoring - Operating Rule Set 642.6

KAP-642.6.1 For individual customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-642.6.2 Any deviation relating to address proofs must be reported in the monthly MIS by the Risk Management Department by the 12th day of the following month.

KAP-642.6.3 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-642.6.4 Records relating to address proofs shall be retained for the period prescribed in Schedule 7 and be made available to the regulator on request.

KAP-642.6.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/157 and that compliance is certified every quarter.

KAP-642.6.6 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 12 days written notice.

KAP-642.6.7 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2023/202 and that compliance is certified every quarter.

KAP-642.6.8 The Bank reserves the right to withhold disbursement where material information is found to be incorrect, after giving the customer 3 days written notice.

KAP-642.6.9 The Branch Manager shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/060 and that compliance is certified every quarter.

KAP-642.6.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-642.6.11 In case of a change in borrower profile, the Operations Head must escalate the matter to the Audit Department within 27 working days, with the supporting documents listed in Annexure C-27.

KAP-642.6.12 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Compliance Officer within 2 working days, with the supporting documents listed in Annexure H-22.

KAP-642.6.13 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

Section 642.7 Transaction Monitoring - Operating Rule Set 642.7

KAP-642.7.1 For trust customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 7% as approved by the Board.

KAP-642.7.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 3th day of the following month.

KAP-642.7.3 The Audit Department shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/269 and that compliance is certified every quarter.

KAP-642.7.4 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 12 days written notice.

KAP-642.7.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-642.7.6 For trust customers, alerts generated by the monitoring system shall be assessed using the scorecard-based

method, with a tolerance of 9% as approved by the Board.

KAP-642.7.7 In case of a customer complaint, the Branch Manager must escalate the matter to the Branch Manager within 15 working days, with the supporting documents listed in Annexure D-34.

KAP-642.7.8 The Branch Manager shall review risk-rating files within 20 working days of receipt and record the outcome in the Document Management system.

PART 54 - CHAPTER 643: SUSPICIOUS TRANSACTION REPORTING

Section 643.1 Suspicious Transaction Reporting - Operating Rule Set 643.1

KAP-643.1.1 The Zonal Head shall review risk-rating files within 25 working days of receipt and record the outcome in the Case Management system.

KAP-643.1.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 14 and be made available to the Board Audit Committee on request.

KAP-643.1.3 The Operations Head shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2021/132 and that compliance is certified every quarter.

KAP-643.1.4 The Compliance Officer shall review risk-rating files within 24 working days of receipt and record the outcome in the Case Management system.

KAP-643.1.5 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 9 and be made available to the Board Audit Committee on request.

KAP-643.1.6 The Branch Manager shall review identity documents within 14 working days of receipt and record the outcome in the Risk Engine system.

KAP-643.1.7 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-643.1.8 Cases involving beneficial-owner declarations with an exposure above Rs. 73 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 8.29.

KAP-643.1.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 13 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 13.18.

KAP-643.1.10 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 19 days written notice.

Section 643.2 Suspicious Transaction Reporting - Operating Rule Set 643.2

KAP-643.2.1 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 28 days written notice.

KAP-643.2.2 The Bank reserves the right to recall the sanction where material information is found to be incorrect, after giving the customer 4 days written notice.

KAP-643.2.3 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/081 and that compliance is certified every quarter.

KAP-643.2.4 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 8 days written notice.

KAP-643.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 12th day of the following month.

KAP-643.2.6 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

KAP-643.2.7 The Credit Committee shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2021/105 and that compliance is certified every quarter.

KAP-643.2.8 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-643.2.9 The Operations Head shall review alerts generated by the monitoring system within 14 working days of receipt and record the outcome in the Case Management system.

KAP-643.2.10 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

Section 643.3 Suspicious Transaction Reporting - Operating Rule Set 643.3

KAP-643.3.1 Any deviation relating to account-opening forms must be reported in the monthly MIS by the Audit Department by the 4th day of the following month.

KAP-643.3.2 The Audit Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2019/052 and that compliance is certified every quarter.

KAP-643.3.3 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 23 days written notice.

KAP-643.3.4 In case of a request for exception, the Branch Manager must escalate the matter to the Zonal Head within 25 working days, with the supporting documents listed in Annexure A-6.

KAP-643.3.5 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Compliance Officer within 7 working days, with the supporting documents listed in Annexure F-37.

KAP-643.3.6 The Credit Committee shall review alerts generated by the monitoring system within 21 working days of receipt and record the outcome in the Document Management system.

KAP-643.3.7 For NRI customers, identity documents shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

KAP-643.3.8 Cases involving account-opening forms with an exposure above Rs. 160 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 15.28.

KAP-643.3.9 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 6% as approved by the Board.

Section 643.4 Suspicious Transaction Reporting - Operating Rule Set 643.4

KAP-643.4.1 The Zonal Head shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/069 and that compliance is certified every quarter.

KAP-643.4.2 The Compliance Officer shall review account-opening forms within 20 working days of receipt and record the outcome in the Core Banking system.

KAP-643.4.3 In case of a customer complaint, the Audit Department must escalate the matter to the Zonal Head within 17 working days, with the supporting documents listed in Annexure A-29.

KAP-643.4.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to internal auditors on request.

KAP-643.4.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 20 days written notice.

KAP-643.4.6 Cases involving address proofs with an exposure above Rs. 79 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 11.9.

KAP-643.4.7 In case of a request for exception, the Operations Head must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure D-35.

KAP-643.4.8 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 16 days written notice.

KAP-643.4.9 For sole-proprietor customers, identity documents shall be assessed using the rule-based method, with a tolerance of 4% as approved by the Board.

KAP-643.4.10 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Compliance Officer by the 11th day of the following month.

KAP-643.4.11 The Compliance Officer shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/119 and that compliance is certified every quarter.

KAP-643.4.12 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be made available to internal auditors on request.

KAP-643.4.13 Any deviation relating to identity documents must be reported in the monthly MIS by the Zonal Head by the 11th day of the following month.

Section 643.5 Suspicious Transaction Reporting - Operating Rule Set 643.5

KAP-643.5.1 Records relating to address proofs shall be retained for the period prescribed in Schedule 2 and be made available to statutory auditors on request.

KAP-643.5.2 For partnership customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-643.5.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-643.5.4 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 12 and be

made available to internal auditors on request.

KAP-643.5.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 9 and be made available to statutory auditors on request.

KAP-643.5.6 Cases involving address proofs with an exposure above Rs. 196 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 18.5.

KAP-643.5.7 The Zonal Head shall review video-KYC sessions within 8 working days of receipt and record the outcome in the Risk Engine system.

KAP-643.5.8 Cases involving video-KYC sessions with an exposure above Rs. 56 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 8.13.

KAP-643.5.9 Cases involving alerts generated by the monitoring system with an exposure above Rs. 90 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 7.20.

KAP-643.5.10 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 14 days written notice.

Section 643.6 Suspicious Transaction Reporting - Operating Rule Set 643.6

KAP-643.6.1 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 10th day of the following month.

KAP-643.6.2 The Audit Department shall review cash transaction reports within 29 working days of receipt and record the outcome in the Document Management system.

KAP-643.6.3 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 14 working days, with the supporting documents listed in Annexure G-21.

KAP-643.6.4 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-643.6.5 Cases involving identity documents with an exposure above Rs. 452 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 19.12.

KAP-643.6.6 For trust customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 1% as approved by the Board.

KAP-643.6.7 Cases involving video-KYC sessions with an exposure above Rs. 316 lakh require prior written approval from the Regional Credit Officer; otherwise the case is an exception under Clause 19.15.

KAP-643.6.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Branch Manager by the 6th day of the following month.

KAP-643.6.9 The Zonal Head shall review account-opening forms within 4 working days of receipt and record the outcome in the Core Banking system.

KAP-643.6.10 The Zonal Head shall review PEP screening results within 26 working days of receipt and record the outcome in the Customer Relationship system.

Section 643.7 Suspicious Transaction Reporting - Operating Rule Set 643.7

KAP-643.7.1 In case of a request for exception, the Risk Management Department must escalate the matter to the Credit Committee within 25 working days, with the supporting documents listed in Annexure H-16.

KAP-643.7.2 The Bank reserves the right to suspend processing where the risk rating deteriorates by two notches, after giving the customer 30 days written notice.

KAP-643.7.3 The Risk Management Department shall review PEP screening results within 3 working days of receipt and record the outcome in the Loan Origination system.

KAP-643.7.4 The Operations Head shall review beneficial-owner declarations within 4 working days of receipt and record the outcome in the Risk Engine system.

KAP-643.7.5 The Credit Committee shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2021/122 and that compliance is certified every quarter.

KAP-643.7.6 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Regional Credit Officer by the 11th day of the following month.

KAP-643.7.7 The Compliance Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2024/215 and that compliance is certified every quarter.

KAP-643.7.8 Any deviation relating to address proofs must be reported in the monthly MIS by the Operations Head by the 8th day of the following month.

KAP-643.7.9 In case of a customer complaint, the Compliance Officer must escalate the matter to the Audit Department within 21 working days, with the supporting documents listed in Annexure G-5.

PART 54 - CHAPTER 644: POLITICALLY EXPOSED PERSONS

Section 644.1 Politically Exposed Persons - Operating Rule Set 644.1

KAP-644.1.1 The Operations Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/044 and that compliance is certified every quarter.

KAP-644.1.2 For private-limited-company customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 7% as approved by the Board.

KAP-644.1.3 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-644.1.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 24 days written notice.

KAP-644.1.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

KAP-644.1.6 The Audit Department shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2022/055 and that compliance is certified every quarter.

KAP-644.1.7 The Compliance Officer shall review correspondent-bank relationships within 15 working days of receipt and record the outcome in the Case Management system.

KAP-644.1.8 The Regional Credit Officer shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2023/127 and that compliance is certified every quarter.

KAP-644.1.9 In case of a regulatory query, the Audit Department must escalate the matter to the Operations Head within 12 working days, with the supporting documents listed in Annexure B-6.

KAP-644.1.10 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

Section 644.2 Politically Exposed Persons - Operating Rule Set 644.2

KAP-644.2.1 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2022/189 and that compliance is certified every quarter.

KAP-644.2.2 In case of a regulatory query, the Branch Manager must escalate the matter to the Regional Credit Officer within 25 working days, with the supporting documents listed in Annexure H-24.

KAP-644.2.3 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to internal auditors on request.

KAP-644.2.4 In case of a discrepancy in submitted documents, the Risk Management Department must escalate the matter to the Operations Head within 3 working days, with the supporting documents listed in Annexure F-40.

KAP-644.2.5 In case of a customer complaint, the Risk Management Department must escalate the matter to the Risk Management Department within 30 working days, with the supporting documents listed in Annexure G-39.

KAP-644.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 13 and be made available to the Board Audit Committee on request.

KAP-644.2.7 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-644.2.8 Any deviation relating to identity documents must be reported in the monthly MIS by the Regional Credit Officer by the 7th day of the following month.

KAP-644.2.9 The Operations Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2023/109 and that compliance is certified every quarter.

KAP-644.2.10 The Branch Manager shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/246 and that compliance is certified every quarter.

KAP-644.2.11 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/291 and that compliance is certified every quarter.

Section 644.3 Politically Exposed Persons - Operating Rule Set 644.3

KAP-644.3.1 For private-limited-company customers, PEP screening results shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-644.3.2 Cases involving account-opening forms with an exposure above Rs. 45 lakh require prior written approval from

the Regional Credit Officer; otherwise the case is an exception under Clause 5.28.

KAP-644.3.3 For NRI customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 6% as approved by the Board.

KAP-644.3.4 Cases involving video-KYC sessions with an exposure above Rs. 249 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 19.10.

KAP-644.3.5 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Zonal Head within 4 working days, with the supporting documents listed in Annexure D-7.

KAP-644.3.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 6 days written notice.

KAP-644.3.7 The Branch Manager shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/034 and that compliance is certified every quarter.

KAP-644.3.8 For private-limited-company customers, alerts generated by the monitoring system shall be assessed using the hybrid analytic method, with a tolerance of 5% as approved by the Board.

KAP-644.3.9 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 11 days written notice.

Section 644.4 Politically Exposed Persons - Operating Rule Set 644.4

KAP-644.4.1 The Compliance Officer shall review identity documents within 16 working days of receipt and record the outcome in the Core Banking system.

KAP-644.4.2 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-644.4.3 In case of a suspected mismatch in records, the Regional Credit Officer must escalate the matter to the Branch Manager within 18 working days, with the supporting documents listed in Annexure C-14.

KAP-644.4.4 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-644.4.5 The Bank reserves the right to withhold disbursement where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-644.4.6 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 3 and be made available to internal auditors on request.

KAP-644.4.7 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in Circular KAP/2020/262 and that compliance is certified every quarter.

KAP-644.4.8 The Compliance Officer shall review cash transaction reports within 4 working days of receipt and record the outcome in the Case Management system.

KAP-644.4.9 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Zonal Head by the 10th day of the following month.

KAP-644.4.10 Records relating to identity documents shall be retained for the period prescribed in Schedule 11 and be made available to the Board Audit Committee on request.

KAP-644.4.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Zonal Head by the 8th day of the following month.

Section 644.5 Politically Exposed Persons - Operating Rule Set 644.5

KAP-644.5.1 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 2 and be made available to the Board Audit Committee on request.

KAP-644.5.2 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Compliance Officer within 5 working days, with the supporting documents listed in Annexure H-19.

KAP-644.5.3 In case of a discrepancy in submitted documents, the Credit Committee must escalate the matter to the Operations Head within 13 working days, with the supporting documents listed in Annexure E-27.

KAP-644.5.4 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-644.5.5 In case of a request for exception, the Compliance Officer must escalate the matter to the Compliance Officer within 3 working days, with the supporting documents listed in Annexure G-39.

KAP-644.5.6 For individual customers, cash transaction reports shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-644.5.7 Cases involving address proofs with an exposure above Rs. 494 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.22.

KAP-644.5.8 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

Section 644.6 Politically Exposed Persons - Operating Rule Set 644.6

KAP-644.6.1 Cases involving account-opening forms with an exposure above Rs. 397 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 12.2.

KAP-644.6.2 The Bank reserves the right to suspend processing where the customer fails to respond to two notices, after giving the customer 17 days written notice.

KAP-644.6.3 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Compliance Officer within 11 working days, with the supporting documents listed in Annexure D-5.

KAP-644.6.4 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 10th day of the following month.

KAP-644.6.5 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 12 and be made available to the Board Audit Committee on request.

KAP-644.6.6 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to internal auditors on request.

KAP-644.6.7 The Bank reserves the right to initiate a re-verification where material information is found to be incorrect, after giving the customer 16 days written notice.

KAP-644.6.8 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 2 days written notice.

KAP-644.6.9 For private-limited-company customers, beneficial-owner declarations shall be assessed using the hybrid analytic method, with a tolerance of 9% as approved by the Board.

KAP-644.6.10 For sole-proprietor customers, identity documents shall be assessed using the manual-review method, with a tolerance of 9% as approved by the Board.

PART 54 - CHAPTER 645: BENEFICIAL OWNERSHIP

Section 645.1 Beneficial Ownership - Operating Rule Set 645.1

KAP-645.1.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 2 and be made available to the regulator on request.

KAP-645.1.2 The Bank reserves the right to revise the applicable charges where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-645.1.3 Records relating to PEP screening results shall be retained for the period prescribed in Schedule 1 and be made available to statutory auditors on request.

KAP-645.1.4 The Bank reserves the right to revise the applicable charges where a regulatory directive so requires, after giving the customer 11 days written notice.

KAP-645.1.5 The Bank reserves the right to initiate a re-verification where the customer fails to respond to two notices, after giving the customer 14 days written notice.

KAP-645.1.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 29 days written notice.

KAP-645.1.7 In case of a suspected mismatch in records, the Credit Committee must escalate the matter to the Audit Department within 26 working days, with the supporting documents listed in Annexure D-17.

KAP-645.1.8 The Regional Credit Officer shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2022/269 and that compliance is certified every quarter.

KAP-645.1.9 In case of a regulatory query, the Branch Manager must escalate the matter to the Zonal Head within 14 working days, with the supporting documents listed in Annexure F-30.

KAP-645.1.10 For private-limited-company customers, video-KYC sessions shall be assessed using the hybrid analytic method, with a tolerance of 7% as approved by the Board.

Section 645.2 Beneficial Ownership - Operating Rule Set 645.2

KAP-645.2.1 Cases involving video-KYC sessions with an exposure above Rs. 366 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.29.

KAP-645.2.2 The Zonal Head shall ensure that staff handling PEP screening results are trained on the procedures in

Circular KAP/2024/090 and that compliance is certified every quarter.

KAP-645.2.3 Cases involving correspondent-bank relationships with an exposure above Rs. 6 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 13.30.

KAP-645.2.4 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 6 days written notice.

KAP-645.2.5 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Audit Department by the 7th day of the following month.

KAP-645.2.6 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-645.2.7 The Audit Department shall review cash transaction reports within 28 working days of receipt and record the outcome in the Risk Engine system.

KAP-645.2.8 Cases involving PEP screening results with an exposure above Rs. 97 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 10.20.

KAP-645.2.9 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 4 days written notice.

Section 645.3 Beneficial Ownership - Operating Rule Set 645.3

KAP-645.3.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 18 days written notice.

KAP-645.3.2 In case of a customer complaint, the Compliance Officer must escalate the matter to the Branch Manager within 13 working days, with the supporting documents listed in Annexure G-25.

KAP-645.3.3 The Credit Committee shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2020/017 and that compliance is certified every quarter.

KAP-645.3.4 In case of a request for exception, the Risk Management Department must escalate the matter to the Audit Department within 6 working days, with the supporting documents listed in Annexure F-8.

KAP-645.3.5 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Branch Manager by the 4th day of the following month.

KAP-645.3.6 The Audit Department shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/094 and that compliance is certified every quarter.

KAP-645.3.7 The Regional Credit Officer shall review video-KYC sessions within 26 working days of receipt and record the outcome in the Loan Origination system.

KAP-645.3.8 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-645.3.9 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 12 days written notice.

KAP-645.3.10 The Risk Management Department shall ensure that staff handling risk-rating files are trained on the procedures in Circular KAP/2020/243 and that compliance is certified every quarter.

Section 645.4 Beneficial Ownership - Operating Rule Set 645.4

KAP-645.4.1 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 6 days written notice.

KAP-645.4.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Regional Credit Officer by the 4th day of the following month.

KAP-645.4.3 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Operations Head by the 3th day of the following month.

KAP-645.4.4 Cases involving beneficial-owner declarations with an exposure above Rs. 445 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 14.25.

KAP-645.4.5 For trust customers, risk-rating files shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-645.4.6 The Bank reserves the right to suspend processing where a regulatory directive so requires, after giving the customer 7 days written notice.

KAP-645.4.7 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Risk Management Department by the 9th day of the following month.

KAP-645.4.8 In case of a change in borrower profile, the Regional Credit Officer must escalate the matter to the Regional Credit Officer within 9 working days, with the supporting documents listed in Annexure B-40.

KAP-645.4.9 The Compliance Officer shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2019/005 and that compliance is certified every quarter.

Section 645.5 Beneficial Ownership - Operating Rule Set 645.5

KAP-645.5.1 Cases involving video-KYC sessions with an exposure above Rs. 74 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 5.5.

KAP-645.5.2 Any deviation relating to correspondent-bank relationships must be reported in the monthly MIS by the Credit Committee by the 4th day of the following month.

KAP-645.5.3 The Risk Management Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2023/077 and that compliance is certified every quarter.

KAP-645.5.4 Cases involving identity documents with an exposure above Rs. 383 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 9.17.

KAP-645.5.5 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 6th day of the following month.

KAP-645.5.6 For private-limited-company customers, account-opening forms shall be assessed using the manual-review method, with a tolerance of 8% as approved by the Board.

KAP-645.5.7 The Regional Credit Officer shall review risk-rating files within 3 working days of receipt and record the outcome in the Document Management system.

KAP-645.5.8 For individual customers, account-opening forms shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-645.5.9 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Operations Head within 9 working days, with the supporting documents listed in Annexure H-38.

KAP-645.5.10 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 3 days written notice.

PART 54 - CHAPTER 646: RECORD KEEPING

Section 646.1 Record Keeping - Operating Rule Set 646.1

KAP-646.1.1 In case of a change in borrower profile, the Operations Head must escalate the matter to the Regional Credit Officer within 29 working days, with the supporting documents listed in Annexure C-14.

KAP-646.1.2 Records relating to address proofs shall be retained for the period prescribed in Schedule 5 and be made available to the Board Audit Committee on request.

KAP-646.1.3 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 15 and be made available to internal auditors on request.

KAP-646.1.4 Cases involving risk-rating files with an exposure above Rs. 376 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 20.25.

KAP-646.1.5 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Audit Department by the 11th day of the following month.

KAP-646.1.6 Cases involving risk-rating files with an exposure above Rs. 251 lakh require prior written approval from the Audit Department; otherwise the case is an exception under Clause 4.10.

KAP-646.1.7 The Bank reserves the right to withhold disbursement where the customer fails to respond to two notices, after giving the customer 7 days written notice.

KAP-646.1.8 The Bank reserves the right to revise the applicable charges where the customer fails to respond to two notices, after giving the customer 5 days written notice.

KAP-646.1.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 11 and be made available to statutory auditors on request.

KAP-646.1.10 In case of a suspected mismatch in records, the Branch Manager must escalate the matter to the Regional Credit Officer within 15 working days, with the supporting documents listed in Annexure E-9.

Section 646.2 Record Keeping - Operating Rule Set 646.2

KAP-646.2.1 In case of a change in borrower profile, the Audit Department must escalate the matter to the Zonal Head within 11 working days, with the supporting documents listed in Annexure H-19.

KAP-646.2.2 The Audit Department shall review risk-rating files within 25 working days of receipt and record the outcome in

the Document Management system.

KAP-646.2.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Operations Head within 16 working days, with the supporting documents listed in Annexure H-36.

KAP-646.2.4 The Compliance Officer shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2021/189 and that compliance is certified every quarter.

KAP-646.2.5 For private-limited-company customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 9% as approved by the Board.

KAP-646.2.6 The Zonal Head shall ensure that staff handling identity documents are trained on the procedures in Circular KAP/2020/200 and that compliance is certified every quarter.

KAP-646.2.7 The Branch Manager shall ensure that staff handling alerts generated by the monitoring system are trained on the procedures in Circular KAP/2020/219 and that compliance is certified every quarter.

KAP-646.2.8 Cases involving account-opening forms with an exposure above Rs. 382 lakh require prior written approval from the Operations Head; otherwise the case is an exception under Clause 16.30.

KAP-646.2.9 For trust customers, correspondent-bank relationships shall be assessed using the scorecard-based method, with a tolerance of 8% as approved by the Board.

KAP-646.2.10 The Compliance Officer shall review cash transaction reports within 27 working days of receipt and record the outcome in the Customer Relationship system.

KAP-646.2.11 Records relating to identity documents shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

KAP-646.2.12 For partnership customers, correspondent-bank relationships shall be assessed using the rule-based method, with a tolerance of 5% as approved by the Board.

Section 646.3 Record Keeping - Operating Rule Set 646.3

KAP-646.3.1 For private-limited-company customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 3% as approved by the Board.

KAP-646.3.2 For NRI customers, beneficial-owner declarations shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-646.3.3 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/271 and that compliance is certified every quarter.

KAP-646.3.4 The Bank reserves the right to revise the applicable charges where material information is found to be incorrect, after giving the customer 25 days written notice.

KAP-646.3.5 Any deviation relating to cash transaction reports must be reported in the monthly MIS by the Compliance Officer by the 10th day of the following month.

KAP-646.3.6 For trust customers, video-KYC sessions shall be assessed using the scorecard-based method, with a tolerance of 1% as approved by the Board.

KAP-646.3.7 Cases involving identity documents with an exposure above Rs. 190 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 14.7.

KAP-646.3.8 Cases involving risk-rating files with an exposure above Rs. 214 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 6.2.

KAP-646.3.9 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Operations Head by the 9th day of the following month.

Section 646.4 Record Keeping - Operating Rule Set 646.4

KAP-646.4.1 The Bank reserves the right to initiate a re-verification where a regulatory directive so requires, after giving the customer 17 days written notice.

KAP-646.4.2 For trust customers, risk-rating files shall be assessed using the rule-based method, with a tolerance of 9% as approved by the Board.

KAP-646.4.3 Records relating to address proofs shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-646.4.4 In case of a system outage, the Compliance Officer must escalate the matter to the Credit Committee within 8 working days, with the supporting documents listed in Annexure H-7.

KAP-646.4.5 The Branch Manager shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2024/088 and that compliance is certified every quarter.

KAP-646.4.6 The Regional Credit Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2022/038 and that compliance is certified every quarter.

KAP-646.4.7 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 10 and be made available to statutory auditors on request.

KAP-646.4.8 The Regional Credit Officer shall review beneficial-owner declarations within 30 working days of receipt and record the outcome in the Document Management system.

KAP-646.4.9 Cases involving correspondent-bank relationships with an exposure above Rs. 170 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 20.9.

KAP-646.4.10 In case of a change in borrower profile, the Compliance Officer must escalate the matter to the Compliance Officer within 27 working days, with the supporting documents listed in Annexure D-16.

Section 646.5 Record Keeping - Operating Rule Set 646.5

KAP-646.5.1 The Branch Manager shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2024/146 and that compliance is certified every quarter.

KAP-646.5.2 In case of a request for exception, the Zonal Head must escalate the matter to the Operations Head within 25 working days, with the supporting documents listed in Annexure C-15.

KAP-646.5.3 In case of a discrepancy in submitted documents, the Operations Head must escalate the matter to the Credit Committee within 24 working days, with the supporting documents listed in Annexure H-10.

KAP-646.5.4 Any deviation relating to beneficial-owner declarations must be reported in the monthly MIS by the Risk Management Department by the 4th day of the following month.

KAP-646.5.5 The Audit Department shall review address proofs within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-646.5.6 The Audit Department shall ensure that staff handling cash transaction reports are trained on the procedures in Circular KAP/2020/077 and that compliance is certified every quarter.

KAP-646.5.7 Cases involving correspondent-bank relationships with an exposure above Rs. 24 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 7.3.

KAP-646.5.8 Cases involving risk-rating files with an exposure above Rs. 75 lakh require prior written approval from the Risk Management Department; otherwise the case is an exception under Clause 4.4.

KAP-646.5.9 The Branch Manager shall review account-opening forms within 3 working days of receipt and record the outcome in the Customer Relationship system.

KAP-646.5.10 The Zonal Head shall ensure that staff handling video-KYC sessions are trained on the procedures in Circular KAP/2021/195 and that compliance is certified every quarter.

PART 54 - CHAPTER 647: STAFF TRAINING

Section 647.1 Staff Training - Operating Rule Set 647.1

KAP-647.1.1 The Regional Credit Officer shall review address proofs within 21 working days of receipt and record the outcome in the Customer Relationship system.

KAP-647.1.2 The Bank reserves the right to suspend processing where material information is found to be incorrect, after giving the customer 5 days written notice.

KAP-647.1.3 In case of a customer complaint, the Zonal Head must escalate the matter to the Zonal Head within 21 working days, with the supporting documents listed in Annexure D-6.

KAP-647.1.4 For private-limited-company customers, PEP screening results shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-647.1.5 Records relating to correspondent-bank relationships shall be retained for the period prescribed in Schedule 3 and be made available to the Board Audit Committee on request.

KAP-647.1.6 Cases involving correspondent-bank relationships with an exposure above Rs. 398 lakh require prior written approval from the Branch Manager; otherwise the case is an exception under Clause 13.30.

KAP-647.1.7 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 5 and be made available to statutory auditors on request.

KAP-647.1.8 Records relating to address proofs shall be retained for the period prescribed in Schedule 8 and be made available to the regulator on request.

KAP-647.1.9 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 9 days written notice.

KAP-647.1.10 The Branch Manager shall review risk-rating files within 5 working days of receipt and record the outcome in the Risk Engine system.

KAP-647.1.11 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 1 and be made available to the Board Audit Committee on request.

Section 647.2 Staff Training - Operating Rule Set 647.2

KAP-647.2.1 The Zonal Head shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2020/259 and that compliance is certified every quarter.

KAP-647.2.2 Any deviation relating to PEP screening results must be reported in the monthly MIS by the Risk Management Department by the 8th day of the following month.

KAP-647.2.3 Records relating to account-opening forms shall be retained for the period prescribed in Schedule 7 and be made available to internal auditors on request.

KAP-647.2.4 For individual customers, risk-rating files shall be assessed using the manual-review method, with a tolerance of 4% as approved by the Board.

KAP-647.2.5 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

KAP-647.2.6 For trust customers, PEP screening results shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-647.2.7 Any deviation relating to identity documents must be reported in the monthly MIS by the Branch Manager by the 5th day of the following month.

KAP-647.2.8 The Risk Management Department shall ensure that staff handling address proofs are trained on the procedures in Circular KAP/2022/175 and that compliance is certified every quarter.

KAP-647.2.9 Records relating to beneficial-owner declarations shall be retained for the period prescribed in Schedule 5 and be made available to the regulator on request.

KAP-647.2.10 For NRI customers, account-opening forms shall be assessed using the peer-benchmark method, with a tolerance of 1% as approved by the Board.

Section 647.3 Staff Training - Operating Rule Set 647.3

KAP-647.3.1 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Zonal Head by the 9th day of the following month.

KAP-647.3.2 In case of a change in borrower profile, the Risk Management Department must escalate the matter to the Zonal Head within 5 working days, with the supporting documents listed in Annexure H-38.

KAP-647.3.3 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-647.3.4 Cases involving account-opening forms with an exposure above Rs. 50 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.27.

KAP-647.3.5 In case of a regulatory query, the Operations Head must escalate the matter to the Operations Head within 2 working days, with the supporting documents listed in Annexure G-35.

KAP-647.3.6 The Bank reserves the right to initiate a re-verification where the risk rating deteriorates by two notches, after giving the customer 7 days written notice.

KAP-647.3.7 The Audit Department shall ensure that staff handling account-opening forms are trained on the procedures in Circular KAP/2020/052 and that compliance is certified every quarter.

KAP-647.3.8 The Compliance Officer shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2019/073 and that compliance is certified every quarter.

Section 647.4 Staff Training - Operating Rule Set 647.4

KAP-647.4.1 The Audit Department shall ensure that staff handling correspondent-bank relationships are trained on the procedures in Circular KAP/2021/258 and that compliance is certified every quarter.

KAP-647.4.2 Cases involving address proofs with an exposure above Rs. 162 lakh require prior written approval from the Zonal Head; otherwise the case is an exception under Clause 6.27.

KAP-647.4.3 For trust customers, correspondent-bank relationships shall be assessed using the manual-review method, with a tolerance of 1% as approved by the Board.

KAP-647.4.4 For sole-proprietor customers, identity documents shall be assessed using the hybrid analytic method, with a tolerance of 6% as approved by the Board.

KAP-647.4.5 Cases involving PEP screening results with an exposure above Rs. 500 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 11.14.

KAP-647.4.6 For NRI customers, beneficial-owner declarations shall be assessed using the scorecard-based method, with a tolerance of 5% as approved by the Board.

KAP-647.4.7 Records relating to cash transaction reports shall be retained for the period prescribed in Schedule 10 and be made available to the regulator on request.

KAP-647.4.8 The Bank reserves the right to withhold disbursement where the risk rating deteriorates by two notches, after giving the customer 28 days written notice.

Section 647.5 Staff Training - Operating Rule Set 647.5

KAP-647.5.1 Records relating to alerts generated by the monitoring system shall be retained for the period prescribed in Schedule 1 and be made available to the regulator on request.

KAP-647.5.2 Records relating to risk-rating files shall be retained for the period prescribed in Schedule 3 and be made available to statutory auditors on request.

KAP-647.5.3 The Risk Management Department shall review video-KYC sessions within 11 working days of receipt and record the outcome in the Document Management system.

KAP-647.5.4 The Bank reserves the right to request additional documents where the risk rating deteriorates by two notches, after giving the customer 17 days written notice.

KAP-647.5.5 The Risk Management Department shall review video-KYC sessions within 12 working days of receipt and record the outcome in the Loan Origination system.

KAP-647.5.6 The Credit Committee shall ensure that staff handling beneficial-owner declarations are trained on the procedures in Circular KAP/2019/281 and that compliance is certified every quarter.

KAP-647.5.7 The Credit Committee shall review risk-rating files within 21 working days of receipt and record the outcome in the Case Management system.

KAP-647.5.8 Any deviation relating to risk-rating files must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

Section 647.6 Staff Training - Operating Rule Set 647.6

KAP-647.6.1 In case of a discrepancy in submitted documents, the Regional Credit Officer must escalate the matter to the Credit Committee within 28 working days, with the supporting documents listed in Annexure C-14.

KAP-647.6.2 Any deviation relating to alerts generated by the monitoring system must be reported in the monthly MIS by the Credit Committee by the 3th day of the following month.

KAP-647.6.3 In case of a regulatory query, the Compliance Officer must escalate the matter to the Zonal Head within 7 working days, with the supporting documents listed in Annexure G-35.

KAP-647.6.4 The Bank reserves the right to request additional documents where a regulatory directive so requires, after giving the customer 14 days written notice.

KAP-647.6.5 In case of a discrepancy in submitted documents, the Compliance Officer must escalate the matter to the Audit Department within 20 working days, with the supporting documents listed in Annexure B-9.

KAP-647.6.6 The Audit Department shall review cash transaction reports within 19 working days of receipt and record the outcome in the Core Banking system.

KAP-647.6.7 Cases involving beneficial-owner declarations with an exposure above Rs. 442 lakh require prior written approval from the Credit Committee; otherwise the case is an exception under Clause 8.3.

KAP-647.6.8 For partnership customers, address proofs shall be assessed using the hybrid analytic method, with a tolerance of 3% as approved by the Board.

KAP-647.6.9 The Bank reserves the right to request additional documents where the customer fails to respond to two notices, after giving the customer 2 days written notice.

KAP-647.6.10 The Audit Department shall review address proofs within 19 working days of receipt and record the outcome in the Risk Engine system.

KAP-647.6.11 Any deviation relating to video-KYC sessions must be reported in the monthly MIS by the Compliance Officer by the 7th day of the following month.

Section 647.7 Staff Training - Operating Rule Set 647.7

KAP-647.7.1 Records relating to video-KYC sessions shall be retained for the period prescribed in Schedule 8 and be made available to the Board Audit Committee on request.

KAP-647.7.2 The Audit Department shall review alerts generated by the monitoring system within 20 working days of receipt and record the outcome in the Case Management system.